

Phase 12 -- Standard Hypotheticals

Suitability & Best-Interest Training

499 hypotheticals

Item 1 of 499

NON-COMPLIANT

Topic: leveraged_etp_supervision_reg_bi

Difficulty: hard

Standard: Regulation Best Interest, Rule 15l-1(a)(2)(ii) (Care Obligation) and Rule 15l-1(a)(2)(iv) (Compliance Obligation) under the Securities Exchange Act of 1934; FINRA Rule 3110 (Supervision); FINRA Rule 2111 (Suitability); SEC Release No. 34-86031 (Reg BI Adopting Release)

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Granite Peak Securities, Inc. (CRD #189432), a mid-sized broker-dealer headquartered in Rochester, New York, maintained a product shelf that included inverse and leveraged exchange-traded products (NT-ETPs), such as the ProShares UltraPro Short QQQ (SQQQ) and the Direxion Daily Semiconductor Bull 3X Shares (SOXL). Between March 2024 and January 2025, registered representative Kevin Moriarty (CRD #6418823) recommended NT-ETP positions to 47 retail customers through the firm's standard brokerage accounts. Among these customers was Margaret Dalton, age 72, a retired school administrator with a \$340,000 portfolio, a moderate risk tolerance, an income-oriented investment objective, and a stated need for liquidity to cover assisted-living expenses anticipated within 18 months. Moriarty recommended that Dalton purchase \$51,000 in SOXL and hold the position as a long-term growth allocation. Dalton held SOXL for 94 trading days, during which volatility decay eroded the position's value by approximately \$18,340. Across all 47 customers, Moriarty's NT-ETP recommendations resulted in aggregate realized and unrealized losses of \$127,615, with average holding periods ranging from 38 to 112 trading days.

Granite Peak's written supervisory procedures required registered representatives to complete an online NT-ETP training module and sign a one-page attestation confirming familiarity with the risks of holding leveraged and inverse products beyond a single trading session. The firm's WSPs assigned a supervising principal to review each NT-ETP transaction at the point of sale, but the review checklist consisted solely of confirming (a) that the representative had signed the attestation and (b) that the customer's account was approved for options or speculative trading. The WSPs contained no guidance on evaluating intended holding periods, no automated alerts for positions held beyond five trading days, and no reference to Regulation Best Interest or the obligation to assess whether a recommendation was in the customer's best interest under Rule 15l-1. The supervising principal, Diana Cho, approved all 47 transactions using the two-item checklist without further inquiry into suitability or best-interest considerations.

In February 2025, FINRA's Department of Enforcement opened an examination after a customer complaint from Dalton. The examination revealed that 31 of the 47 customers were aged 65 or older, that none were informed of the risks of holding NT-ETPs beyond a single session in any personalized manner, and that Granite Peak had not updated its compliance manual to incorporate Reg BI obligations with respect to complex products since the rule's June 30, 2020 compliance date.

Question

Did Granite Peak Securities violate Regulation Best Interest and its supervisory obligations under FINRA Rules by failing to establish a reasonably designed system for overseeing NT-ETP recommendations, and what is the likely regulatory outcome?

Answer

Granite Peak Securities violated Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) and

FINRA Rules 3110 (Supervision) and 2111 (Suitability, to the extent pre-Reg BI conduct is implicated). The violation is clear on multiple independent grounds.

First, under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommended security and to have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile. NT-ETPs are designed to deliver leveraged or inverse daily returns; holding them beyond a single trading session exposes customers to compounding and volatility decay that can diverge dramatically from the underlying index's return. Moriarty's recommendation that Margaret Dalton--a 72-year-old retiree with moderate risk tolerance, income needs, and an 18-month liquidity horizon--purchase and hold SOXL (a 3x leveraged semiconductor ETF) for 94 days was facially inconsistent with her investment profile. The \$18,340 loss is a direct, foreseeable consequence of the holding-period mismatch. This analysis extends to the broader cohort of 47 customers, 31 of whom were seniors.

Second, Reg BI's Compliance Obligation (Rule 15l-1(a)(2)(iv)) requires firms to establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance with the rule. Granite Peak's WSPs failed entirely to address Reg BI as applied to NT-ETPs: they contained no holding-period guidance, no best-interest analytical framework, and no automated surveillance for extended positions. The supervising principal's review was limited to a mechanical two-item checklist--attestation signature and account approval--which is analogous to the deficiency found in the Pinnacle Investments AWC cited in FINRA's July 2025 disciplinary report. Such a perfunctory review is per se insufficient under FINRA Rule 3110(a), which mandates a supervisory system reasonably designed to achieve compliance with applicable securities laws and regulations.

Third, the firm's failure to update its compliance manual to incorporate Reg BI obligations five years after the rule's compliance date demonstrates a systemic disregard for regulatory requirements, which aggravates the violation.

Granite Peak has no viable defense. The attestation program, standing alone, does not satisfy the Care or Compliance Obligations because it does not ensure that representatives actually understand product-specific risks or apply that understanding to individualized recommendations. The likely regulatory outcome is an AWC imposing a censure, a fine in the range of \$100,000-\$200,000, restitution of realized losses (approximately \$127,615 plus interest), and undertakings requiring wholesale revision of the firm's NT-ETP supervisory framework.

Key Factor

The firm's supervisory system for NT-ETP recommendations was limited to verifying representative attestations and account approvals, with no mechanism to evaluate holding periods or assess whether recommendations were in the customer's best interest under Reg BI.

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NON-COMPLIANT

Topic: adviser_fiduciary_duty_of_care_and_loyalty

Difficulty: hard

Standard: Investment Advisers Act of 1940 §§ 206(1), 206(2); SEC Release No. IA-5248 (Commission Interpretation Regarding Standard of Conduct for Investment Advisers, effective July 12, 2019), specifically the Duty of Care (including duty to provide advice in the best interest of the client) and Duty of Loyalty (including full and fair disclosure of material conflicts and obtaining informed consent); SEC v. Capital Gains Research Bureau, Inc., 375 U.S. 180 (1963); Form ADV Part 2A disclosure requirements under 17 CFR 275.204-3

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Ridgemont Capital Advisors, LLC ('Ridgemont') is an SEC-registered investment adviser based in Charlotte, North Carolina, managing approximately \$1.8 billion in assets for roughly 420 clients, most of whom are high-net-worth individuals and small institutional accounts. Marcus Telford, a managing partner and portfolio manager at Ridgemont, oversees a team of four advisers. In March 2022, Ridgemont entered into a sub-advisory revenue-sharing arrangement with Pinnacle Alternative Fund Partners, LP ('Pinnacle'), a private fund sponsor offering a series of interval funds focused on commercial real estate debt. Under the arrangement, Pinnacle agreed to pay Ridgemont 25 basis points annually on all assets that Ridgemont-advised clients invested in Pinnacle's interval funds, in addition to the standard 1.0% advisory fee Ridgemont already charged those clients.

Between April and September 2022, Telford recommended and allocated approximately \$74 million of client assets across 63 advisory accounts into Pinnacle's Interval Fund III, a fund investing in mezzanine commercial real estate loans with a five-year lockup and quarterly repurchase offers capped at 5% of NAV. Many of these clients had moderate risk tolerances and investment time horizons of three to seven years documented in their investment policy statements. Several clients -- including retired schoolteacher Helen Garza, age 71, with a \$1.2 million retirement portfolio and stated need for liquidity to cover potential healthcare expenses -- were placed into Fund III for 18-22% of their total portfolio values. Ridgemont's Form ADV Part 2A, last updated in January 2022, disclosed that the firm 'may receive compensation from third parties in connection with certain investment products' but did not specifically disclose the Pinnacle revenue-sharing arrangement, the 25 basis point payment, or the conflict of interest it created.

When Ridgemont's Chief Compliance Officer, Dana Whitfield, flagged the arrangement in an internal compliance memo in June 2022, Telford responded that the revenue-sharing payment was immaterial relative to total firm revenues and that the fund was a 'quality product' suitable for diversification. Whitfield's recommendation to update the ADV and provide individualized disclosure to affected clients was not implemented until February 2023 -- after 90% of the allocations had already been made. No client received specific written disclosure of the Pinnacle conflict prior to investment, and no client provided informed consent to the arrangement.

Question

Did Ridgemont Capital Advisors and Marcus Telford violate their fiduciary duties under the Investment Advisers Act as interpreted in SEC Release IA-5248, and if so, which specific duties were breached?

Answer

Ridgemont and Telford violated both the duty of care and the duty of loyalty under Section 206 of the Investment Advisers Act of 1940, as articulated and clarified in the Commission's Final Interpretation in Release No. IA-5248

(effective July 12, 2019).

****Duty of Loyalty Violation:**** Release IA-5248 makes clear that the duty of loyalty requires an investment adviser to not place its own interests ahead of its client's interests. The interpretation specifically emphasizes that an adviser must make full and fair disclosure of all material facts relating to the advisory relationship, including all conflicts of interest that might incline the adviser -- consciously or unconsciously -- to render advice that is not disinterested. The Pinnacle revenue-sharing arrangement is a textbook material conflict: Ridgemont had a direct financial incentive (25 basis points on \$74 million, roughly \$185,000 annually) to recommend Pinnacle's Fund III over comparable or potentially superior alternatives. The firm's generic Form ADV language about potentially receiving third-party compensation was insufficient. IA-5248 requires that disclosure must be sufficiently specific so that a client can provide informed consent. A vague, boilerplate reference to possible third-party payments fails this standard. Moreover, informed consent was never obtained -- clients were never told about the specific arrangement or given the opportunity to consent before the allocations were made. Whitfield's compliance memo demonstrates the firm had actual knowledge of the conflict, and the 8-month delay in updating the ADV compounds the violation.

****Duty of Care Violation:**** IA-5248 articulates three sub-components of the duty of care: (1) the duty to provide advice in the client's best interest, (2) the duty to seek best execution, and (3) the duty to provide advice and monitoring over the course of the relationship. With respect to the first sub-component, the interpretation requires that the adviser conduct a reasonable investigation into the investment and make a reasonable determination that the advice is in the client's best interest based on the client's objectives and financial situation. Allocating 18-22% of Helen Garza's \$1.2 million retirement portfolio -- a 71-year-old retiree with moderate risk tolerance and liquidity needs for healthcare -- into an illiquid interval fund with a five-year lockup and 5% quarterly repurchase cap is facially inconsistent with her documented investment policy statement and liquidity requirements. The same concern applies to similarly situated clients.

Telford's defense that the revenue-sharing was 'immaterial' is legally irrelevant; materiality is assessed from the client's perspective, not the firm's revenue base. A reasonable client would consider it significant that her adviser receives additional compensation for recommending a specific product. This scenario presents clear, concurrent violations of Sections 206(1) and 206(2) of the Advisers Act, as interpreted by IA-5248.

Key Factor

Ridgemont failed to provide specific, timely disclosure of the Pinnacle revenue-sharing conflict and never obtained informed client consent before allocating \$74 million into a product that financially benefited the adviser, thereby subordinating client interests to the firm's own financial interest in direct violation of the duty of loyalty.

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NON-COMPLIANT

Topic: reg_bi_suitability_overlap

Difficulty: hard

Standard: Regulation Best Interest, Rule 15l-1 (17 CFR 240.15l-1), including the Care Obligation (Rule 15l-1(a)(2)(ii)(B)), Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(C)), and Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)); SEC Release No. 34-86031 (84 FR 33318); FINRA Rule 2111 (Suitability) as amended by SR-FINRA-2020-007 (Release No. 34-88422), Supplementary Material .08

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Marcus Webb is a registered representative with Ridgeline Securities, LLC, a mid-sized broker-dealer based in Charlotte, North Carolina. On August 15, 2020--after the June 30, 2020 Reg BI compliance date--Marcus received a call from Patricia Dominguez, a 68-year-old retired schoolteacher with a \$410,000 rollover IRA and approximately \$85,000 in a taxable brokerage account at Ridgeline. Patricia's investment profile, documented during her most recent account update in January 2020, listed her risk tolerance as 'moderate-conservative,' her time horizon as '10-15 years,' her annual income from pension and Social Security as \$52,000, and her liquid net worth (exclusive of her primary residence) as \$510,000. She told Marcus she wanted 'steady income with some growth to keep up with inflation.'

Marcus recommended that Patricia invest \$200,000 of her IRA into the Ridgeline Structured Income Note Series 7, a proprietary structured product with a seven-year maturity, a 5.25% coupon tied to the S&P 500 remaining above a 70% knock-in barrier, and an early redemption penalty equivalent to 4% of principal. Ridgeline earned a 3.1% placement fee on these notes, compared to 0.75% on third-party bond funds that Marcus could also have recommended. Ridgeline's compliance department had recently updated its conflict-of-interest policies in response to Reg BI but had not yet implemented a process to evaluate whether the heightened compensation on proprietary structured notes created a material conflict requiring mitigation under the Conflict of Interest Obligation. The firm's product committee had approved the note for sale to customers with 'moderate' or higher risk tolerances but performed no comparative cost-benefit analysis against reasonably available alternatives.

Marcus did not discuss any alternative income-producing investments with Patricia, nor did he disclose the magnitude of the compensation differential between the proprietary note and comparable third-party products. He provided the standard Form CRS but did not furnish any supplemental written disclosure regarding the specific conflicts associated with this transaction. The trade was executed on August 20, 2020. Patricia's IRA was now approximately 49% concentrated in a single illiquid structured product. Three months later, when Patricia needed \$30,000 for unexpected medical expenses, she discovered that early redemption would cost her \$8,000 in penalties, and she filed a complaint with FINRA.

Question

Did Marcus Webb and Ridgeline Securities comply with Regulation Best Interest in connection with the recommendation of the proprietary structured note to Patricia Dominguez?

Answer

No. Marcus Webb and Ridgeline Securities failed to comply with Regulation Best Interest (Rule 15l-1 under the Exchange Act) on multiple grounds. Because this recommendation was made to a retail customer after June 30, 2020, it is squarely subject to Reg BI rather than FINRA Rule 2111 (Suitability), consistent with FINRA's proposed

amendments in SR-FINRA-2020-007, which added Supplementary Material .08 to Rule 2111 stating that the suitability rule does not apply to recommendations subject to Reg BI.

Reg BI imposes four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. Marcus and Ridgeline fell short on at least three.

First, regarding the Care Obligation (Rule 15l-1(a)(2)(ii)(B)), the broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation, have a reasonable basis to believe the recommendation is in the customer's best interest, and consider reasonably available alternatives. Marcus recommended concentrating nearly half of Patricia's IRA--her primary retirement asset--in a single illiquid structured product with a seven-year lockup and a knock-in barrier tied to equity index performance, for a client who is 68 years old, moderate-conservative in risk tolerance, and dependent on retirement income. He failed to consider or present any reasonably available alternatives, such as diversified bond funds or Treasury ladders, which would have offered income with significantly greater liquidity and lower cost. The 4% early redemption penalty was materially inconsistent with Patricia's potential liquidity needs.

Second, regarding the Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(C)), Ridgeline was required to establish, maintain, and enforce written policies and procedures reasonably designed to identify and mitigate conflicts of interest, including those arising from compensation structures that incentivize recommendations of proprietary products. The 3.1% placement fee--more than four times the compensation on comparable alternatives--is a textbook material conflict. Ridgeline's compliance department acknowledged the need to update its procedures but had not yet implemented a process to evaluate or mitigate this specific compensation-driven conflict, rendering its policies deficient.

Third, regarding the Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)), while Form CRS was provided, it is a general document. The SEC's Release No. 86031 makes clear that material facts relating to conflicts associated with a specific recommendation must be disclosed prior to or at the time of the recommendation. Marcus failed to disclose the compensation differential or the specific conflicts associated with recommending the proprietary note.

Ridgeline cannot defend on the basis that the product was approved by its product committee, because the approval process itself was inadequate--no comparative cost analysis was performed. The pivotal failures here are the absence of a reasonable alternatives analysis, the unmitigated compensation conflict, and the inadequate disclosure, all of which collectively demonstrate a recommendation that did not meet the best interest standard.

Key Factor

Marcus failed to consider reasonably available alternatives or mitigate the material compensation conflict created by a proprietary product placement fee more than four times higher than that of comparable third-party products, while concentrating nearly half of a retired client's IRA in a single illiquid structured note.

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NON-COMPLIANT

Topic: ia_fiduciary_duty_of_care_and_loyalty

Difficulty: hard

Standard: Investment Advisers Act of 1940 §§206(1), 206(2); SEC Release No. IA-5248 (Commission Interpretation Regarding Standard of Conduct for Investment Advisers, effective July 12, 2019); SEC v. Capital Gains Research Bureau, Inc., 375 U.S. 180 (1963); 17 CFR Part 276

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Greenleaf Capital Advisors, LLC ('Greenleaf') is an SEC-registered investment adviser based in Denver, Colorado, managing approximately \$340 million in assets under management as of March 2023. Greenleaf's principal, Marcus Thornton, CFA, also holds a 35% equity stake in Ridgeline Fixed Income Partners, LP ('Ridgeline'), a private fund that invests primarily in below-investment-grade municipal bonds. Ridgeline charges a 1.75% management fee and a 20% performance allocation above a 6% hurdle rate.

In April 2023, Thornton directed Greenleaf's portfolio managers to begin allocating portions of client portfolios to Ridgeline. Between April and September 2023, Greenleaf allocated approximately \$18.2 million across 47 advisory client accounts to Ridgeline. The affected clients ranged from retirees with moderate risk tolerance and \$400,000 portfolios to younger professionals with aggressive growth mandates and \$1.5 million accounts. No individualized suitability or best interest analysis was documented for any of these allocations. Client investment policy statements ('IPS') for 29 of the 47 accounts specified maximum allocations to below-investment-grade fixed income of 10%, yet several of these accounts received Ridgeline allocations representing 15-22% of total portfolio value.

Greenleaf's Form ADV Part 2A, last updated in January 2022, disclosed in general terms that the firm 'may recommend affiliated products from time to time' but did not specifically identify Ridgeline, did not describe Thornton's ownership interest, and did not quantify the additional layer of fees clients would bear through the Ridgeline allocation. Greenleaf did not obtain informed written consent from any of the 47 clients prior to making the Ridgeline allocations. When questioned by a client, Helen Yardley, age 68 and retired, whose \$520,000 account received a \$104,000 (20%) allocation to Ridgeline despite her IPS specifying a conservative-to-moderate risk profile with a 10% cap on below-investment-grade holdings, Thornton responded via email that the fund 'provides excellent diversification and yield enhancement' without disclosing his personal financial interest.

During the period of these allocations, several comparable non-affiliated municipal bond funds were available with lower fee structures (management fees of 0.65%-0.90%) and similar or superior risk-adjusted performance over trailing 3- and 5-year periods. Greenleaf's compliance officer, Dana Petrova, raised concerns in an internal memorandum dated May 15, 2023, noting the conflict of interest and the absence of client-level documentation. Thornton acknowledged the memorandum but took no corrective action, stating that the allocations were 'in the best long-term interest of clients' without further elaboration.

Question

Did Greenleaf Capital Advisors and Marcus Thornton violate their fiduciary duties under the Investment Advisers Act of 1940, as interpreted in SEC Release IA-5248, in connection with the allocation of client assets to the Ridgeline fund?

Answer

Yes. Greenleaf Capital Advisors and Marcus Thornton violated their fiduciary duties under Sections 206(1) and 206(2) of the Investment Advisers Act of 1940, as comprehensively interpreted in SEC Release IA-5248 (the Commission Interpretation Regarding Standard of Conduct for Investment Advisers, effective July 12, 2019). The violations span both the duty of care and the duty of loyalty.

****Duty of Care Violations:**** Release IA-5248 reaffirms that the duty of care requires an adviser to provide investment advice that is in the best interest of the client, based on the client's objectives, and to provide advice and monitoring over the course of the relationship. Here, Greenleaf failed on multiple fronts. First, no individualized suitability or best interest analysis was documented for any of the 47 accounts allocated to Ridgeline, directly contravening the requirement that advice reflect a reasonable understanding of each client's objectives and circumstances. Second, 29 accounts had IPS documents capping below-investment-grade fixed income exposure at 10%, yet multiple accounts received allocations of 15-22%--a clear breach of the duty to provide advice consistent with the client's stated investment profile. Helen Yardley's account exemplifies this: a retired 68-year-old with a conservative-to-moderate profile received a 20% allocation to a high-yield municipal bond fund. Third, the duty to seek best execution and evaluate reasonably available alternatives was breached, as comparable non-affiliated funds with lower fees (0.65%-0.90% vs. 1.75% plus performance fees) and similar or superior performance were readily available but were not considered or documented as having been evaluated.

****Duty of Loyalty Violations:**** Release IA-5248 emphasizes that the duty of loyalty requires an adviser to not place its own interests ahead of its client's interests, and that an adviser must make full and fair disclosure of all material facts relating to conflicts of interest sufficient to enable the client to provide informed consent. Thornton's 35% ownership stake in Ridgeline is a material conflict of interest that was neither adequately disclosed nor consented to. The Form ADV Part 2A's generic language about 'affiliated products' was insufficient--it did not identify Ridgeline, quantify Thornton's economic interest, or explain the dual-layer fee impact on clients. No informed written consent was obtained from any client. Thornton's email to Mrs. Yardley affirmatively concealed the conflict. Release IA-5248 makes clear that an adviser cannot satisfy its duty of loyalty through generic or incomplete disclosure; the disclosure must be sufficiently specific so that a client can understand and consent to the conflict.

Thornton's defense that the allocations were 'in the best long-term interest of clients' is unavailing absent documented analysis, and even if the investment thesis were sound, the loyalty violations relating to undisclosed self-dealing cannot be cured by investment performance. The compliance officer's memorandum, which was ignored, further demonstrates willful disregard of fiduciary obligations. Greenleaf and Thornton face potential enforcement action under Sections 206(1) and 206(2) for fraudulent and deceptive conduct in connection with their advisory relationship.

Key Factor

Thornton directed client assets into a fund in which he held a 35% ownership stake without making full and fair disclosure of the conflict or obtaining informed consent, while simultaneously failing to document any individualized best interest analysis and breaching client investment policy constraints.

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NON-COMPLIANT

Topic: robo_adviser_suitability_questionnaire_deficiency

Difficulty: hard

Standard: Investment Advisers Act of 1940 §§206(1), 206(2), 206(4); Rule 206(4)-7 (Compliance Programs); Form ADV Part 2A disclosure obligations; SEC IM Guidance Update No. 2017-02 (Robo-Advisers), Sections 1-3; Rule 3a-4 under the Investment Company Act of 1940

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

AlgoWealth Advisors, LLC ('AlgoWealth') is a registered investment adviser based in Austin, Texas, that launched its robo-advisory platform in March 2021. The platform provides discretionary asset management services to retail clients through a mobile application and website, with no option for direct human interaction with investment advisory personnel. As of December 2023, AlgoWealth manages approximately \$1.2 billion in assets for roughly 47,000 client accounts, with an average account size of \$25,500. The firm charges 0.25% annually on assets under management.

AlgoWealth's onboarding process requires new clients to complete a five-question intake questionnaire. The questions ask for: (1) the client's age, (2) approximate annual income (selected from four brackets: under \$50K, \$50K-\$100K, \$100K-\$250K, over \$250K), (3) a self-assessed risk tolerance on a scale of 1-5, (4) a general investment goal selected from three options ('Grow my wealth,' 'Save for retirement,' or 'Preserve my capital'), and (5) an estimated investment time horizon chosen from three ranges (under 5 years, 5-15 years, over 15 years). The questionnaire does not ask about the client's total net worth, existing investment holdings outside AlgoWealth, liquidity needs, tax situation, debt obligations, or any specific financial circumstances such as upcoming major expenses or dependents.

In September 2023, Margaret Cho, a 62-year-old recently widowed schoolteacher in San Diego earning \$68,000 annually, opened an account with AlgoWealth and deposited \$410,000--the entirety of her late husband's life insurance payout. She selected 'Save for retirement' as her goal, indicated a risk tolerance of 3 out of 5, and chose the '5-15 years' time horizon. Based solely on these inputs, AlgoWealth's algorithm placed her in a 'Moderate Growth' portfolio consisting of 70% equity ETFs (including 15% in emerging markets and 10% in small-cap growth) and 30% fixed-income ETFs. The algorithm did not account for the fact that this \$410,000 represented substantially all of Ms. Cho's liquid assets, that she had no other retirement savings beyond a modest CalSTRS pension, or that she would need to begin drawing on these funds within three years when she planned to retire at age 65.

By February 2024, Ms. Cho's portfolio had declined approximately 14% to \$352,600 due to a significant emerging markets selloff and rising interest rates impacting small-cap equities. When she attempted to contact AlgoWealth about her losses, she could only reach a chatbot that directed her to FAQ pages. AlgoWealth's compliance program had no procedures for escalating client concerns to human compliance personnel, nor did it include any periodic review mechanism to assess whether the algorithm's recommendations remained suitable for clients whose circumstances may have changed. The firm's Form ADV Part 2A brochure disclosed the algorithmic nature of the service and stated that 'investment recommendations are based on information provided by the client,' but did not explain the limitations of its questionnaire or the risks of relying on limited client data.

Question

Did AlgoWealth Advisors, LLC violate its fiduciary obligations under the Investment Advisers Act of 1940 by relying on an inadequate client questionnaire and failing to implement a compliance program reasonably designed to address the risks of providing automated investment advice?

Answer

Yes, AlgoWealth violated its fiduciary obligations under the Advisers Act in multiple, overlapping respects. The analysis proceeds along the three areas identified in IM Guidance Update 2017-02.

First, regarding the duty to obtain sufficient client information (Advisers Act §206(1) and (2) fiduciary duty; IM Guidance 2017-02, Section 2): The Staff guidance specifically states that robo-advisers have an obligation to obtain information from clients sufficient to support a duty to provide suitable advice. The guidance emphasizes that robo-advisers should consider whether their questionnaires elicit sufficient information to meet the suitability obligation and whether the questions are designed to address potential inconsistencies in client responses. AlgoWealth's five-question intake was critically deficient. It failed to gather information about Ms. Cho's total net worth, existing retirement savings, liquidity needs, debt obligations, tax situation, or the fact that the deposited funds represented substantially all of her liquid wealth. Without this information, the algorithm could not meaningfully assess suitability. Placing a 62-year-old client who is three years from retirement, with no material savings beyond this single deposit, into a 70% equity portfolio with significant emerging markets and small-cap exposure is facially unsuitable when viewed against the totality of her circumstances.

Second, regarding disclosure obligations (Advisers Act §206(1), (2), and (4); Form ADV Part 2A; IM Guidance 2017-02, Section 1): The guidance instructs robo-advisers to provide meaningful disclosure about the limitations of their services, including the scope and limitations of the advisory services, the risks of relying on limited client data, and the degree of human oversight. AlgoWealth's Form ADV disclosure was boilerplate and failed to clearly explain that the questionnaire captured only a narrow slice of relevant financial data, that no human review supplemented the algorithm's output, and that clients with complex financial situations--such as those investing the entirety of their liquid assets--faced heightened risk from algorithmic recommendations based on incomplete information.

Third, regarding the compliance program (Advisers Act §206(4); Rule 206(4)-7; IM Guidance 2017-02, Section 3): The guidance specifically states that robo-advisers should adopt and implement compliance programs reasonably designed to address concerns particular to providing automated advice, including periodic review of the algorithm's performance and suitability determinations, and mechanisms for clients to escalate issues to human personnel. AlgoWealth had no escalation procedure--Ms. Cho could reach only a chatbot--and no periodic suitability review mechanism. This represents a clear failure to adopt policies and procedures reasonably designed to prevent violations, as required by Rule 206(4)-7.

AlgoWealth might argue that its disclosure placed the burden on the client to provide accurate and complete information. However, the fiduciary duty under §206 is non-delegable; an adviser cannot disclaim its obligation to gather adequate information by shifting the burden to an unsophisticated retail client. The firm's inadequate questionnaire made it structurally impossible for clients to provide the information the algorithm would have needed to generate suitable recommendations.

Key Factor

AlgoWealth's five-question intake questionnaire was materially insufficient to gather the client information necessary to support the robo-adviser's fiduciary duty to provide suitable investment advice, and no compliance mechanism existed to identify or remediate this deficiency.

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NON-COMPLIANT

Topic: fiduciary_duty_complex_etp_holding_period

Difficulty: hard

Standard: Investment Advisers Act of 1940, Sections 206(2), 206(4), and Rule 206(4)-7 (17 C.F.R. § 275.206(4)-7); SEC fiduciary duty of care principles as articulated in Commission Release IA-5248 (June 2019) and applied in *In re Summit Planning Group, Inc.* (Inv. Adv. Act Rel. No. 6423, Sept. 18, 2023)

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Ridgeline Wealth Advisors, LLC is a registered investment adviser based in Scottsdale, Arizona, with approximately \$185 million in assets under management across 612 client accounts. Derek Halston, the firm's founder and sole portfolio manager, has full discretionary authority over all client accounts pursuant to standard advisory agreements. In March 2023, Halston became concerned about a potential spike in market volatility following regional banking sector stress and decided to implement a tactical allocation to the ProShares Ultra VIX Short-Term Futures ETF (UVXY), a leveraged volatility-linked exchange-traded product designed to deliver 1.5x the daily return of the S&P 500 VIX Short-Term Futures Index. UVXY's prospectus explicitly warns that the product is intended for short-term trading, is subject to significant value erosion from contango in VIX futures, and is unsuitable for buy-and-hold strategies exceeding a single trading session without active monitoring.

Between March 15, 2023, and March 20, 2023, Halston purchased UVXY positions representing approximately 4.5% of each portfolio across 378 of his 612 client accounts, including accounts belonging to retirees, conservative-risk-tolerance clients, and two ERISA-governed 401(k) plan accounts. Halston did not conduct any individualized suitability analysis for these clients prior to the purchases. He held the UVXY positions for 72 trading days, finally liquidating all positions on June 27, 2023. During this holding period, UVXY declined approximately 58% in value due to the well-documented structural decay inherent in leveraged volatility products. The 378 affected client accounts collectively suffered losses of approximately \$1,247,000 attributable to the extended UVXY holding period.

Ridgeline's compliance manual contained no written policies or procedures addressing the use of complex or leveraged exchange-traded products, nor did it establish any maximum holding period guidelines, pre-trade review requirements, or risk monitoring protocols for such instruments. Halston's CCO, Miranda Chen, had raised concerns in a January 2023 compliance committee meeting about the absence of such policies, but Halston tabled the discussion and no policies were ever adopted. Halston later told SEC examiners that he believed the volatility spike 'would come eventually' and that the 4.5% position size was 'small enough not to worry about.'

Question

Did Ridgeline Wealth Advisors and Derek Halston violate their fiduciary duties under the Investment Advisers Act of 1940 by purchasing and holding a leveraged volatility-linked ETP in discretionary client accounts for 72 trading days without a reasonable basis, and by failing to adopt and implement policies and procedures governing the use of complex exchange-traded products?

Answer

Yes, Ridgeline Wealth Advisors and Derek Halston violated Sections 206(2) and 206(4) of the Investment Advisers Act of 1940, as well as Rule 206(4)-7 thereunder. The analysis closely parallels the SEC's findings in *In the Matter of Summit Planning Group, Inc.* and *Richard Urciuoli* (Investment Adv. Act Rel. No. 6423).

First, under Section 206(2), an investment adviser owes a fiduciary duty of care to its clients, which requires the adviser to have a reasonable basis for investment recommendations and discretionary investment decisions. The fiduciary duty of care demands that an adviser conduct a reasonable investigation into the characteristics, risks, and intended use of any investment before deploying client assets. UVXY's prospectus and pricing supplement unambiguously state that the product is designed for very short-term holding periods--ideally a single trading session--and that extended holding will almost certainly result in structural value erosion due to contango in VIX futures markets. Halston held the positions for 72 trading days, far exceeding any reasonable interpretation of the product's intended use. His stated rationale--that the volatility spike 'would come eventually'--does not constitute a reasonable basis for maintaining a position in an instrument specifically designed to decay over time. The Summit Planning Group order found that holding VXX for as few as 34 trading days was inconsistent with the product's intended use; 72 trading days is substantially more egregious.

Second, Halston exercised discretionary authority to allocate UVXY across 378 accounts without conducting individualized suitability analyses. Accounts belonging to retirees, conservative-risk-tolerance clients, and ERISA-governed plans were treated identically to all other accounts, compounding the breach. The uniform 4.5% allocation without regard to client-specific risk tolerances, time horizons, or investment objectives demonstrates a failure of the duty of care at the individual account level.

Third, under Section 206(4) and Rule 206(4)-7, every registered investment adviser must adopt and implement written policies and procedures reasonably designed to prevent violations of the Advisers Act. Ridgeline had no written policies addressing complex or leveraged ETPs--no pre-trade review requirements, no maximum holding period guidelines, and no risk monitoring protocols. The CCO's documented concern in January 2023, which Halston dismissed, further evidences the willful nature of the compliance failure. The \$1,247,000 in collective client losses is a direct and foreseeable consequence of these violations. Halston's defense that the position size was 'small enough not to worry about' is legally irrelevant; the fiduciary duty of care applies regardless of position size, and the losses demonstrate material harm.

Key Factor

The adviser exercised discretionary authority to buy and hold a leveraged volatility-linked ETP explicitly designed for single-session trading for 72 trading days across hundreds of client accounts without a reasonable basis and without any written compliance policies governing complex product usage.

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NON-COMPLIANT

Topic: reasonable_basis_suitability_private_placements

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111 Supplementary Material .05 (Reasonable-Basis Obligation); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 03_FINRA_AWC

Fact Pattern

Pinnacle Securities Group, LLC (CRD No. 287445) is a mid-sized introducing broker-dealer headquartered in Miami, Florida, with 85 registered representatives operating across two branch offices. The firm primarily serves high-net-worth Brazilian and Colombian nationals seeking U.S. investment exposure. Between September 2019 and April 2020, Pinnacle recommended three separate private placement offerings to approximately 140 customers, generating approximately \$47 million in total sales and \$2.8 million in commissions.

The first offering, Meridian Real Estate Income Fund LP, was a \$20 million Regulation D offering purporting to invest in distressed commercial real estate in secondary U.S. markets. The second, Solaris Digital Infrastructure Notes, was a \$15 million offering of unsecured promissory notes funding cryptocurrency mining facilities in Paraguay. The third, Crestview Agriculture Holdings LLC, was a \$12 million offering for farmland acquisition in the Midwest. For each offering, the issuers provided Pinnacle with private placement memoranda (PPMs), subscription agreements, and marketing materials.

Pinnacle's head of due diligence, Marcus Wellford, reviewed only the PPMs and issuer-provided financial projections. He did not independently verify the issuers' financial statements, did not conduct background checks on the principals of any of the three offerings, did not analyze the underlying asset valuations, and did not visit any of the physical operations or engage third-party experts. For the Solaris offering in particular, Wellford acknowledged in internal emails that he had 'limited understanding of the crypto mining economics' but approved the product for sale based solely on a 45-minute conference call with the issuer's CEO. The firm's written supervisory procedures contained only a generic two-paragraph section on private placement due diligence that did not specify required steps, assign responsibilities, or establish documentation requirements. The designated supervisory principal, Andrea Chen, approved each offering for sale after reviewing Wellford's one-page summary memos, which contained no risk analysis. Four months after the offerings closed, Solaris defaulted on its note obligations, and Crestview's principals were charged by the SEC with fraud.

Question

Did Pinnacle Securities Group violate FINRA Rules 2111 and 3110 by recommending the three private placements without conducting adequate reasonable-basis due diligence and by failing to maintain a supervisory system reasonably designed to ensure compliance with the suitability rule?

Answer

Yes, Pinnacle Securities Group violated both FINRA Rule 2111 (through Rule 2010) and FINRA Rule 3110 (through Rule 2010). The analysis proceeds on two independent grounds.

First, regarding reasonable-basis suitability under FINRA Rule 2111 and Supplementary Material .05: The

reasonable-basis obligation requires that a firm or associated person, based on reasonable diligence, have a reasonable basis to believe that a recommendation is suitable for at least some investors. Rule 2111.05 specifies that the diligence must provide an understanding of the potential risks and rewards associated with the recommended security, and that the rigor of diligence varies with the complexity and risks of the product and the firm's familiarity with it. Private placements--particularly those involving distressed real estate, cryptocurrency mining, and farmland--are complex, illiquid, high-risk securities that demand heightened due diligence.

Pinnacle's due diligence was deficient in virtually every respect. Wellford relied exclusively on issuer-provided materials without independent verification of financials, did not conduct background checks on principals (a critical failure given the subsequent fraud charges against Crestview's principals), did not assess underlying asset valuations, and did not engage third-party experts. For Solaris, his own email admission that he had 'limited understanding of the crypto mining economics' is dispositive evidence that the firm lacked the requisite understanding of risks and rewards. A 45-minute issuer call cannot substitute for substantive independent analysis of a novel and opaque investment structure. These facts closely mirror the XP Investments AWC, where FINRA found violations based on analogous failures to conduct reasonable diligence on private placements before recommending them to customers.

Second, regarding supervisory failures under FINRA Rule 3110: The firm must establish and maintain a supervisory system, including written supervisory procedures, reasonably designed to achieve compliance with applicable rules. Pinnacle's WSPs contained only a generic two-paragraph section on private placement due diligence with no specified steps, no assigned responsibilities, and no documentation requirements. Principal Andrea Chen's approval based solely on one-page summary memos lacking risk analysis demonstrates that the supervisory review was pro forma rather than substantive. The absence of a structured framework ensured that no meaningful check existed on the quality of due diligence.

Pinnacle cannot defend by arguing that the products ultimately performed well (Meridian may not have caused losses), because reasonable-basis suitability is measured at the time of recommendation, not by outcome. The \$47 million in customer exposure and \$2.8 million in commissions underscore the materiality of the violations. Both the substantive suitability violation and the supervisory failure independently constitute violations of FINRA Rule 2010's ethical standards requirement.

Key Factor

The firm recommended three complex private placements without independently verifying issuer financials, conducting principal background checks, or analyzing underlying asset valuations, relying solely on issuer-provided materials despite acknowledging a lack of understanding of the investment economics.

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COMPLIANT

Topic: senior_investor_diminished_capacity

Difficulty: hard

Standard: FINRA Rule 2165 (Financial Exploitation of Specified Adults); FINRA Rule 4512(a)(1)(F) (Trusted Contact Person); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); FINRA Rule 4511 (General Requirements for Books and Records); FINRA Rule 2111 (Suitability)

Source: 03_FINRA_AWC

Fact Pattern

Margaret Kensington, age 82, has been a client of registered representative David Sorensen at Lakeview Financial Group, a FINRA member firm, since 2003. Mrs. Kensington's account held approximately \$1.4 million in diversified municipal bonds, blue-chip equities, and money market funds, consistent with her documented moderate-conservative risk tolerance and income-oriented investment objective. Her designated trusted contact person on file was her daughter, Linda Kensington-Park, listed pursuant to FINRA Rule 4512(a)(1)(F).

In March 2023, during a routine quarterly review call, Sorensen noticed that Mrs. Kensington was repeating questions she had asked minutes earlier, could not recall the purpose of the call despite having scheduled it herself, and expressed confusion about whether her late husband--who had passed away in 2019--would be joining the call. Three days later, Mrs. Kensington called Sorensen's office and requested the liquidation of her entire equity portfolio (\$620,000) to wire the proceeds to an individual named 'Pastor Michael' at a church she had never previously mentioned, claiming she had been 'blessed' and needed to fulfill a 'divine financial covenant.' This pattern was entirely inconsistent with her prior investment behavior and instructions over the preceding 20 years.

Sorensen immediately escalated the matter to his branch manager, Patricia Hollis, documenting his observations and concerns in the firm's senior investor tracking system. Hollis contacted the firm's Elder Client Initiatives (ECI) team, which reviewed the case within 24 hours. The ECI team recommended placing a temporary hold on the disbursement under the firm's written supervisory procedures implementing FINRA Rule 2165, and Sorensen contacted Linda Kensington-Park as the trusted contact to discuss the situation. Linda confirmed her mother had recently been diagnosed with early-stage Alzheimer's disease and that the 'Pastor Michael' individual had been visiting her mother's assisted living facility. The firm also filed a suspicious activity report and notified the Missouri Department of Health and Senior Services Adult Protective Services division. The temporary hold was maintained for 15 business days while the family obtained legal guardianship. The liquidation request was ultimately not processed.

Question

Did David Sorensen and Lakeview Financial Group comply with FINRA rules and effective practices regarding the identification and response to potential financial exploitation and diminished capacity of a senior investor?

Answer

Yes, Sorensen and Lakeview Financial Group acted in full compliance with applicable FINRA rules and exemplified the effective practices promoted by FINRA for working with senior investors.

First, the firm had properly obtained a trusted contact person designation for Mrs. Kensington pursuant to FINRA Rule 4512(a)(1)(F), which requires member firms to make reasonable efforts to obtain the name and contact information of a trusted contact person upon account opening or updating. This foundational step proved critical in enabling the firm's

response. The trusted contact is not an authorized party on the account but rather a resource the firm may contact when there are concerns about the customer's health, welfare, or potential financial exploitation--precisely how it was used here.

Second, the firm appropriately invoked FINRA Rule 2165, which permits a member firm to place a temporary hold on a disbursement of funds or securities from the account of a 'specified adult' (defined as a person age 65 or older, or a person age 18 or older who the firm reasonably believes has a mental or physical impairment that renders the individual unable to protect his or her own interests). The rule requires that the firm reasonably believe that financial exploitation has occurred, is occurring, has been attempted, or will be attempted. Here, the red flags were compelling: Mrs. Kensington exhibited clear signs of cognitive decline during the call, made a request wholly inconsistent with 20 years of documented investment behavior, and the beneficiary of the proposed wire was an unknown third party soliciting funds through what appeared to be an affinity-based exploitation scheme. Under Rule 2165(b)(1), the temporary hold may last up to 15 business days, with an extension of up to 10 additional business days if warranted.

Third, Sorensen's detailed contemporaneous documentation of his observations satisfies the firm's obligations under FINRA Rule 4511 (Books and Records) and the internal escalation to the branch manager and ECI team reflects sound supervisory practices under FINRA Rule 3110. The filing of a suspicious activity report and referral to Adult Protective Services further demonstrates adherence to both regulatory obligations and FINRA's stated effective practices for elder financial exploitation cases.

Finally, Sorensen's conduct throughout was consistent with FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade. Rather than processing a transaction that would have generated commissions, he prioritized his client's welfare. This case illustrates the precise framework FINRA has encouraged firms to adopt: trained representatives who recognize warning signs, established escalation protocols, functional ECI teams, and proper use of trusted contact and temporary hold provisions.

Key Factor

The firm's prompt recognition of cognitive decline indicators and proper invocation of FINRA Rule 2165's temporary hold mechanism, combined with timely contact of the designated trusted contact person and referral to Adult Protective Services, constituted a model response to suspected elder financial exploitation.

Item 9 of 499

NON-COMPLIANT

Topic: suitability_customer_specific_obligations

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), including customer-specific suitability under Rule 2111(a) and the investment profile factors enumerated therein; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade); FINRA Rule 3110 (Supervision); FINRA Regulatory Notices 11-02, 11-25, and 12-25

Source: 03_FINRA_AWC

Fact Pattern

Marcus Reilly, a registered representative with Eastgate Capital Partners (a FINRA member firm), has been licensed since 2009 and primarily serves retail clients in the greater Philadelphia area. In September 2012, Reilly began working with a new client, Dorothy Albrecht, a 74-year-old retired schoolteacher. Albrecht opened a brokerage account with Eastgate after her husband passed away and she received a \$430,000 life insurance payout. During the new account process, Albrecht completed a customer profile form indicating that her investment objectives were 'income and preservation of capital,' her risk tolerance was 'conservative,' her annual income from Social Security and a small pension was \$38,000, her liquid net worth aside from the insurance proceeds was approximately \$85,000, her time horizon was '5-10 years,' and she had no prior investment experience beyond certificates of deposit and a savings account.

Between October 2012 and March 2013, Reilly recommended and executed a series of transactions in Albrecht's account. He placed approximately \$175,000 into a leveraged closed-end bond fund that employed 35% structural leverage and had experienced significant NAV volatility, \$95,000 into a non-traded REIT with a seven-year lockup period and limited redemption provisions, and \$60,000 across three separate high-yield (junk) bond ETFs. Reilly also recommended that Albrecht invest \$40,000 in a speculative small-cap biotech stock that he described to her as a 'ground floor opportunity.' In total, approximately \$370,000 of the \$430,000 in proceeds--roughly 86% of the insurance payout--was directed into products carrying material risk of principal loss, illiquidity, or both.

Reilly's internal notes from the October 2012 meeting stated only: 'Client wants growth to supplement retirement income. Discussed various options.' He did not document any discussion of the specific risks of leveraged funds, non-traded REITs, high-yield bonds, or speculative equities, nor did he note any assessment of how these products aligned with Albrecht's stated conservative risk tolerance, limited investment experience, or liquidity needs. Eastgate's compliance department did not flag any of the transactions at the time, and the firm's supervisory review procedures relied on a single quarterly exception report that only flagged accounts with more than 15 trades per month, which Albrecht's account did not trigger.

Question

Did Marcus Reilly violate FINRA Rule 2111's customer-specific suitability obligation by recommending leveraged funds, a non-traded REIT, high-yield bond ETFs, and a speculative biotech stock to Dorothy Albrecht?

Answer

Yes, Marcus Reilly violated FINRA Rule 2111's customer-specific suitability obligation, and Eastgate Capital Partners likely violated FINRA Rule 3110's supervisory obligations. The analysis proceeds as follows.

FINRA Rule 2111(a) requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy involving a security or securities is suitable for the customer, based on information obtained through reasonable diligence to ascertain the customer's investment profile. Rule 2111 codifies three distinct suitability obligations: reasonable-basis, customer-specific, and quantitative. The customer-specific obligation--the primary basis for violation here--requires the broker to have a reasonable basis to believe the recommendation is suitable for the particular customer based on that customer's investment profile, which under Rule 2111 explicitly includes age, investment experience, time horizon, liquidity needs, risk tolerance, financial situation and needs, tax status, investment objectives, and other investments.

Applying these factors to Albrecht's profile reveals a stark mismatch. She was 74 years old, had zero investment experience beyond CDs and savings, stated her objectives as income and capital preservation, identified her risk tolerance as conservative, had a 5-10 year time horizon, and had modest income of \$38,000 per year. A leveraged closed-end bond fund with 35% structural leverage carries amplified downside risk wholly inconsistent with capital preservation. The non-traded REIT's seven-year lockup is incompatible with a 74-year-old client's liquidity needs and time horizon. High-yield bond ETFs carry material credit and principal risk, and a speculative biotech stock is antithetical to conservative objectives. Moreover, concentrating 86% of the insurance proceeds--which represented the vast majority of her investable assets--in these products left Albrecht with insufficient liquid, conservative reserves.

Reilly's documentation failures compound the violation. Regulatory Notice 12-25 emphasizes that while FINRA generally permits a risk-based approach to documentation, the obligation to perform and evidence reasonable diligence is paramount, particularly with complex products sold to inexperienced, elderly clients. Reilly's one-sentence note fails to demonstrate any analysis of product-specific risks relative to Albrecht's profile.

Additionally, Eastgate's supervisory framework under FINRA Rule 3110 was deficient. A quarterly exception report keyed solely to trade frequency would never capture concentrated, unsuitable allocations in a low-trade-count account. This represents a failure to establish and maintain a system reasonably designed to achieve compliance with applicable securities laws and FINRA rules.

No plausible defense exists. The customer's documented profile directly contradicts every material recommendation. The volume of unsuitable investments was not a single misjudgment but a systematic pattern over six months. Both Reilly and Eastgate bear responsibility under Rules 2111 and 2010 (standards of commercial honor and just and equitable principles of trade).

Key Factor

Reilly recommended high-risk, illiquid, and speculative products comprising 86% of a 74-year-old conservative, inexperienced client's investable assets without any documented analysis of how those products aligned with her stated investment profile.

Item 10 of 499**NON-COMPLIANT**

Topic: complex_products_suitability_supervision

Difficulty: hard

Standard: FINRA Rule 3110 (Supervision); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-03 (Heightened Supervision of Complex Products); FINRA Regulatory Notice 22-08 (Complex Products and Options)

Source: 03_FINRA_AWC

Fact Pattern

Pinnacle Wealth Advisors, Inc. (CRD No. 54892) is a mid-sized broker-dealer based in Dallas, Texas, with approximately 340 registered representatives and a predominantly retail client base. In March 2021, the firm launched a self-directed digital platform called 'Pinnacle Direct' that allowed retail customers to open accounts and trade a wide range of products, including leveraged and inverse exchange-traded products (ETPs), structured notes with knock-in/knock-out barriers, and multi-leg options strategies including iron condors and calendar spreads.

Between March 2021 and December 2021, approximately 4,200 retail customers opened Pinnacle Direct accounts. The platform's onboarding process required customers to complete a brief questionnaire consisting of five multiple-choice questions about their investment experience, risk tolerance, and time horizon. However, there was no mechanism to assess whether customers actually understood the specific characteristics and risks of complex products before granting access to trade them. Any customer who self-certified as having 'some experience' with securities and selected 'aggressive' or 'moderate' risk tolerance was automatically approved to trade the full suite of complex products, including triple-leveraged inverse ETPs and Level 4 options strategies.

Margaret Chen, age 62, a recently retired schoolteacher from Plano, Texas, with a \$385,000 retirement portfolio and limited investment experience, opened a Pinnacle Direct account in June 2021. She self-certified as having 'some experience' and selected 'moderate' risk tolerance. Between June and November 2021, Chen allocated approximately \$210,000 -- over 54% of her liquid net worth -- to positions in ProShares UltraPro Short QQQ (SQQQ), a triple-leveraged inverse ETF, and sold uncovered put options on volatile technology stocks. She held the SQQQ position for periods ranging from 3 to 11 weeks, far exceeding the single-day holding period for which the product was designed. By November 2021, Chen had realized losses of approximately \$137,000.

Pinnacle's written supervisory procedures (WSPs) for Pinnacle Direct contained no specific provisions for heightened review of complex product trading by self-directed customers. The firm's compliance department did not generate exception reports for concentrated complex product positions, did not monitor holding periods for leveraged/inverse ETPs, and did not conduct any post-trade surveillance specifically tailored to complex products. The firm's Chief Compliance Officer, David Reinhardt, had raised concerns internally in February 2021 about the absence of complex product guardrails on the platform but was overruled by the firm's CEO, who stated that 'restricting product access would put us at a competitive disadvantage against Robinhood and Webull.' No additional supervisory measures were implemented.

Question

Did Pinnacle Wealth Advisors violate its supervisory obligations under FINRA rules by failing to implement adequate controls and supervision over retail customers' self-directed trading in complex products on its digital platform?

Answer

Yes, Pinnacle Wealth Advisors violated FINRA Rules 3110, 2111, and 2010 through its systemic failure to establish and maintain a supervisory system reasonably designed to address the unique risks of complex product trading by retail customers on its self-directed platform.

First, under FINRA Rule 3110 (Supervision), member firms are required to establish and maintain a system to supervise the activities of each associated person and the firm's business that is reasonably designed to achieve compliance with applicable securities laws and FINRA rules. This obligation extends to self-directed platforms. Pinnacle's WSPs contained no specific provisions for heightened review of complex product trading -- no exception reports for concentrated positions in leveraged/inverse ETPs, no monitoring of holding periods for products designed for single-day use, and no post-trade surveillance tailored to complex products. FINRA Regulatory Notice 12-03 (Heightened Supervision of Complex Products) explicitly states that firms must implement heightened supervisory procedures for complex products, including training, suitability considerations, and post-sale review. Pinnacle's complete absence of these measures constitutes a serious supervisory deficiency.

Second, while FINRA Rule 2111 (Suitability) applies most directly to recommended transactions, the firm's onboarding process effectively functioned as a gateway approval mechanism that enabled unsuitable trading. The five-question self-certification questionnaire was woefully inadequate to assess whether customers like Margaret Chen -- a 62-year-old retiree with limited experience -- actually understood the essential characteristics and risks of triple-leveraged inverse ETFs or uncovered options. The questionnaire did not test product-specific knowledge, did not explain the compounding decay inherent in leveraged ETPs held beyond a single day, and did not disclose the unlimited loss potential of uncovered puts. By granting unrestricted access based on superficial self-certification, the firm created a foreseeable pathway to investor harm.

Third, the firm's conduct violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), which requires members to observe high standards of commercial honor and just and equitable principles of trade. The CEO's explicit decision to override the CCO's compliance concerns for competitive reasons demonstrates that the firm prioritized revenue generation over investor protection -- a fundamental breach of its obligations.

The firm cannot defend on the basis that these were self-directed, unsolicited trades. FINRA has made clear that even in self-directed environments, firms retain supervisory obligations, particularly with respect to complex products where the potential for investor misunderstanding and harm is heightened. The documented internal resistance to implementing safeguards further undermines any good-faith defense. Chen's losses -- \$137,000, or approximately 36% of her retirement portfolio -- in products fundamentally misaligned with her profile exemplify the foreseeable harm that adequate supervision would have mitigated.

Key Factor

The firm's complete failure to implement any complex-product-specific supervisory controls, exception reporting, or meaningful customer knowledge assessments on its self-directed platform -- compounded by the CEO's deliberate override of the CCO's compliance concerns -- constituted a systemic supervisory failure under FINRA Rule 3110.

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NON-COMPLIANT

Topic: reg_bi_care_obligation_account_type_recommendation

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(1) (Regulation Best Interest -- general obligation); Exchange Act Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade)

Source: 03_FINRA_AWC

Fact Pattern

Richard Gallagher, a registered representative with CRD No. 4587231, has been associated with Meridian Securities Group, Inc. since 2017. Gallagher services approximately 140 retail customer accounts, roughly 60% of which are fee-based advisory accounts charging a wrap fee of 1.25% annually on assets under management, with the remainder being commission-based brokerage accounts. In October 2024, Gallagher developed a short-duration tactical strategy he branded the 'Holiday Momentum Trade,' which involved purchasing 8 mid-cap growth stocks in late November and selling them by mid-January to capitalize on anticipated year-end tax-loss harvesting rebounds and seasonal momentum patterns. The anticipated holding period was 45-60 days.

Gallagher recommended this strategy to 22 of his retail customers between November 4 and November 22, 2024. Of these 22 customers, 17 were aged 65 or older, and all 22 already maintained fee-based advisory accounts at Meridian with sufficient cash or margin availability to execute the trades. The average position size per customer was \$38,000 across the 8 stocks, totaling approximately \$304,000 per customer. In the fee-based accounts, the customers would have paid no incremental transaction cost since trading was covered by the existing wrap fee. Instead, Gallagher directed 18 of the 22 customers to open new commission-based brokerage accounts at Meridian, where they were each charged an average commission of \$49.95 per trade -- \$399.60 per customer for the 8 buy-side transactions alone, with an identical cost anticipated on the sell side, for total round-trip commissions of approximately \$799.20 per customer.

Gallagher's compensation in the commission-based accounts was a 40% payout on gross commissions, yielding him approximately \$319.68 per customer, compared to no incremental compensation for the same trades placed in the existing advisory accounts. Gallagher did not document any analysis comparing the costs between account types for any of the 22 customers. When questioned by Meridian's compliance department after a surveillance review flagged the pattern of new account openings in late November, Gallagher stated that he believed the short holding period made brokerage accounts 'more appropriate' because the customers 'shouldn't pay a wrap fee for a two-month trade,' but he could not produce any written cost comparison, and the wrap fee was already being charged on existing assets in the advisory accounts regardless of whether additional trades were executed.

Meridian terminated Gallagher on January 8, 2025, and filed a Form U5 disclosing that he 'recommended customers execute trades in newly opened commission-based accounts rather than existing fee-based advisory accounts, resulting in higher costs to customers without documented justification.'

Question

Did Gallagher's recommendation that customers execute the 'Holiday Momentum Trade' in new commission-based brokerage accounts rather than their existing fee-based advisory accounts violate Regulation Best Interest's Care Obligation and FINRA Rule 2010?

Answer

Yes, Gallagher violated the Care Obligation of Regulation Best Interest under Exchange Act Rule 15l-1(a)(2)(ii) and FINRA Rule 2010. The analysis proceeds on multiple grounds.

First, Reg BI's Care Obligation requires that when a broker-dealer or associated person makes a recommendation of any securities transaction or investment strategy involving securities -- including account recommendations -- to a retail customer, the associated person must exercise reasonable diligence, care, and skill to have a reasonable basis to believe the recommendation is in the best interest of the particular retail customer. This assessment must be based on the customer's investment profile and the potential risks, rewards, and costs associated with the recommendation. See Exchange Act Rule 15l-1(a)(2)(ii).

The recommendation here was not merely to purchase 8 mid-cap growth stocks; it was also an account-type recommendation -- specifically, the recommendation to execute trades in newly opened commission-based accounts rather than in the customers' existing fee-based advisory accounts. Account recommendations are expressly within Reg BI's scope under Rule 15l-1(a)(1).

The pivotal failure is cost analysis. All 22 customers already maintained fee-based advisory accounts where additional trades would incur no incremental transaction costs because those accounts charged an existing wrap fee on AUM regardless of trading activity. By directing customers to commission-based accounts, Gallagher imposed approximately \$799.20 in unnecessary round-trip commissions per customer. Gallagher produced no written cost comparison and no documented rationale supporting his assertion that brokerage accounts were 'more appropriate.' His stated justification -- that customers should not pay a wrap fee for a short-term trade -- is factually hollow because the customers were already paying the wrap fee on their existing advisory account assets irrespective of whether the tactical trades were placed there.

Second, Gallagher's financial interest is directly implicated. He earned approximately \$319.68 per customer in commission payout from the brokerage accounts versus zero incremental compensation for executing the identical trades in existing advisory accounts. Reg BI's overarching obligation under Rule 15l-1(a)(1) prohibits placing the financial interest of the associated person ahead of the retail customer's interest. The compensation differential, combined with the absence of any cost-benefit documentation, creates a strong inference that the account-type recommendation was driven by Gallagher's economic self-interest.

Third, the concentration of senior customers -- 17 of 22 being age 65 or older -- heightens the Care Obligation concern, as the customer investment profile under Reg BI expressly includes age and financial situation. FINRA has consistently emphasized enhanced scrutiny for recommendations to senior investors.

Finally, a violation of Reg BI constitutes a concurrent violation of FINRA Rule 2010, which requires associated persons to observe high standards of commercial honor and just and equitable principles of trade. Recommending a costlier execution venue without reasonable basis and to one's own financial benefit falls squarely below that standard. Gallagher's defense lacks merit because the marginal cost comparison clearly favored the existing advisory accounts, and no reasonable analysis could have concluded otherwise.

Key Factor

Gallagher recommended customers execute trades in new commission-based accounts at higher cost rather than in their existing fee-based advisory accounts where the trades would have incurred no additional transaction costs, without any documented cost comparison, while earning incremental compensation only from the commission-based account structure.

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NON-COMPLIANT

Topic: reg_bi_suitability_private_placements

Difficulty: hard

Standard: Regulation Best Interest (17 CFR §240.15l-1), Care Obligation; FINRA Rule 2111 (Suitability) -- reasonable-basis and customer-specific suitability; FINRA Rule 3110(a) (Supervision); FINRA Rule 4511 (Books and Records); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 03_FINRA_AWC

Fact Pattern

Apex Capital Securities, LLC is a FINRA-registered broker-dealer that operates an online platform facilitating private debt placements to accredited investors. The firm's Form CRS, effective June 2023, states that 'given the nature of the firm's business, registered representatives do not recommend specific investments or strategies to investors' and that 'the specific suitability requirements outlined in FINRA Rule 2111 do not apply.' The firm's supervisory procedures mirror this language, instructing supervisors that suitability reviews are unnecessary unless a designated principal affirmatively identifies a recommendation in correspondence or customer file reviews.

In October 2023, registered representative Marcus Devlin contacts client Helena Vasquez, a 62-year-old retired schoolteacher with a \$420,000 portfolio consisting primarily of municipal bonds and Treasury securities, a moderate risk tolerance, and annual income of \$48,000 from pension and Social Security. Devlin emails Vasquez directly, highlighting a specific 18-month private credit note issued by a startup logistics company, NovaTrans LLC, with a 14.2% stated yield and a \$50,000 minimum investment. In his email, Devlin writes: 'Helena, I think this deal is a great fit for someone in your position looking for income -- the yield is outstanding and I've seen the financials, they look solid.' Vasquez invests \$75,000 -- approximately 17.9% of her total portfolio -- in the NovaTrans note. NovaTrans defaults on the note seven months later, and Vasquez loses her entire investment.

During a subsequent FINRA examination, the firm argues that no recommendation was made because the platform is 'self-directed,' consistent with its CRS disclosure. The designated principal, Karen Liu, reviewed no correspondence related to the Vasquez transaction despite the firm's own stated policy requiring such review when recommendations are identified. Devlin's email to Vasquez was stored in the firm's email archiving system but was never flagged or reviewed. The firm produced no evidence that Vasquez's investor questionnaire was updated prior to the NovaTrans investment, and the original questionnaire from 2021 listed her investment objective as 'capital preservation' and her risk tolerance as 'conservative.'

Question

Did Apex Capital Securities and its registered representative violate Regulation Best Interest, FINRA Rule 2111, and FINRA Rule 3110 by characterizing the transaction as self-directed despite the representative's individualized communication, and by failing to supervise the recommendation?

Answer

Yes, both Apex Capital Securities and Marcus Devlin violated Regulation Best Interest (Reg BI), FINRA Rule 2111 (Suitability), and FINRA Rule 3110 (Supervision). The analysis proceeds on multiple levels.

First, Devlin's email to Vasquez constitutes a 'recommendation' under both Reg BI and FINRA Rule 2111. FINRA has long held that whether a communication is a recommendation depends on the facts and circumstances, including

whether it is individually tailored and could reasonably be viewed as a suggestion to act. See FINRA Regulatory Notice 12-25. Devlin's email singled out a specific security (the NovaTrans note), was directed to a specific customer, and included an explicit opinion that the investment was 'a great fit for someone in your position.' This is squarely within the definition of a recommendation, regardless of the firm's self-directed platform characterization.

Under Reg BI (17 CFR §240.15l-1), when a recommendation is made, the broker-dealer must satisfy the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation. The Care Obligation requires the firm to exercise reasonable diligence, care, and skill to understand the investment and have a reasonable basis to believe the recommendation is in the customer's best interest. A 14.2% yield private credit note from a startup, with a \$50,000 minimum and no liquidity, is entirely inconsistent with Vasquez's conservative risk tolerance, capital preservation objective, fixed-income-dominated portfolio, and retirement status. The \$75,000 allocation -- nearly 18% of her portfolio -- created dangerous concentration risk. Devlin failed the Care Obligation on both reasonable-basis and customer-specific grounds.

Under FINRA Rule 2111, the same analysis applies: the recommendation lacked reasonable-basis suitability (high-risk startup private debt) and customer-specific suitability (conservative retiree). The quantitative suitability component is less directly implicated, but the concentration issue reinforces the violation.

Critically, Apex Capital's supervisory framework under FINRA Rule 3110 was deficient. The firm's own written supervisory procedures required the designated principal to review correspondence for recommendations, yet Karen Liu never reviewed Devlin's email despite it being archived. This is a textbook 3110(a) violation -- failure to establish and maintain a system to supervise activities of registered representatives reasonably designed to achieve compliance. The firm's reliance on its CRS language disclaiming suitability obligations does not override the legal reality that a recommendation triggers regulatory duties. A firm cannot contractually or disclosively waive Reg BI or Rule 2111 obligations.

The firm's defense that the platform is 'self-directed' fails because the self-directed exemption applies only when the customer independently decides to invest without an individualized recommendation from the representative. Devlin's proactive, tailored outreach eliminated any self-directed characterization. The firm's CRS disclosure itself contemplates the possibility that recommendations could occur and requires supervisory follow-up -- a standard the firm failed to meet. This constitutes a violation of FINRA Rule 2010 (Standards of Commercial Honor) as well, given the cumulative misconduct.

Key Factor

The registered representative's individualized, proactive email recommending a specific high-risk private debt note to a conservative retired investor constituted a recommendation that triggered Reg BI and FINRA Rule 2111 obligations, notwithstanding the firm's CRS characterization of its platform as self-directed.

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NON-COMPLIANT

Topic: regbi_concentration_care_obligation

Difficulty: hard

Standard: SEC Exchange Act Rule 15l-1(a)(1) (Reg BI General Obligation); Rule 15l-1(a)(2)(ii) (Care Obligation); SEC Release No. 34-86031 (Reg BI Adopting Release); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Trenton, a General Securities Representative (CRD No. 3847291) registered with Harbor Point Securities, Inc., a mid-sized FINRA member firm, has been in the securities industry since 2005. In March 2021, he met with Dorothy Keane, a 68-year-old retired schoolteacher living in suburban Ohio. Mrs. Keane's investment profile, documented on Harbor Point's new account form completed on March 15, 2021, reflected the following: liquid net worth of approximately \$320,000 (excluding her primary residence valued at \$185,000), annual income of \$42,000 from Social Security and a small pension, a moderate risk tolerance, an investment objective of 'income with capital preservation,' an investment time horizon of 10-15 years, and moderate liquidity needs given anticipated medical expenses for a chronic condition. Her existing portfolio at the time consisted of \$120,000 in a diversified bond mutual fund and \$50,000 in a money market account, both held at Harbor Point.

Between April and August 2021, Trenton recommended that Mrs. Keane invest a total of \$150,000 in Meridian Capital Income Notes, a series of unrated, illiquid corporate debt instruments issued by Meridian Capital Holdings, LLC, a privately held specialty finance company. The Notes carried a 7-year maturity, no secondary market, and a stated interest rate of 8.5%. Meridian's offering memorandum disclosed significant risk factors, including subordination to senior creditors, limited operating history, and reliance on continued capital raises to fund interest payments. Trenton executed the purchases across three transactions: \$50,000 on April 12, 2021; \$60,000 on June 3, 2021; and \$40,000 on August 19, 2021.

Following the final purchase, approximately 46.9% of Mrs. Keane's liquid net worth was concentrated in Meridian Capital Income Notes. Trenton earned a total commission of \$9,750 (6.5%) across the three transactions. When Harbor Point's compliance department flagged the third transaction for supervisory review due to the concentration level, Trenton responded via email stating that Mrs. Keane 'understood the risks and wanted the income.' He did not document any analysis of alternative income-producing investments or explain why concentrating nearly half of Mrs. Keane's liquid net worth in a single unrated, illiquid issuer was consistent with her stated objectives of income with capital preservation. In February 2023, Meridian Capital Holdings suspended interest payments and subsequently filed for Chapter 11 bankruptcy, rendering the Notes effectively worthless.

Question

Did Marcus Trenton's recommendations that Mrs. Keane invest \$150,000 in Meridian Capital Income Notes violate the Care Obligation under Regulation Best Interest and FINRA Rule 2010?

Answer

Yes, Trenton's recommendations violated the Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii) (Regulation Best Interest) and FINRA Rule 2010. The analysis proceeds as follows.

First, Reg BI's threshold applicability requirements are satisfied: Trenton was a natural person associated with a

broker-dealer (Harbor Point Securities), he made affirmative recommendations of specific securities transactions (the three purchases of Meridian Capital Income Notes), and Mrs. Keane was a retail customer--a natural person who used the recommendation primarily for personal, family, or household purposes.

Second, the Care Obligation under Rule 15l-1(a)(2)(ii) required Trenton to exercise reasonable diligence, care, and skill to have a reasonable basis to believe that each recommendation was in Mrs. Keane's best interest based on her retail customer investment profile and the potential risks, rewards, and costs associated with the recommendation. Mrs. Keane's profile--age 68, retired, moderate risk tolerance, income-with-capital-preservation objective, moderate liquidity needs, and a 10-15 year time horizon--was fundamentally inconsistent with concentrating 46.9% of her liquid net worth in unrated, illiquid, 7-year corporate debt instruments from a single issuer with a limited operating history and structural subordination risk. The Meridian Notes carried concentration risk, credit risk, and severe liquidity risk that were incompatible with both her capital preservation objective and her anticipated medical expenses.

As established in the Everhart AWC and in the SEC's adopting release for Reg BI (Release No. 34-86031), a recommendation may not be in the best interest of a customer if it results in a concentration in a particular security or category of securities that creates a risk of loss inconsistent with the customer's investment profile. Here, the progressive accumulation across three transactions--building from 15.6% to 34.4% to 46.9% of liquid net worth--demonstrates a pattern of increasing concentration that Trenton should have recognized as creating outsized risk of loss.

Trenton's defense that Mrs. Keane 'understood the risks and wanted the income' is insufficient. Reg BI imposes an obligation on the associated person independent of customer consent; customer acquiescence does not relieve the representative of the duty to exercise reasonable diligence, care, and skill. Furthermore, Trenton failed to document any consideration of less risky, more liquid income-producing alternatives--such as investment-grade bond funds, Treasury securities, or diversified high-yield portfolios--that could have met Mrs. Keane's income needs without the extreme concentration and illiquidity risk.

The 6.5% commission structure, while not dispositive, is relevant to the general obligation under Rule 15l-1(a)(1) not to place the financial interest of the associated person ahead of the customer's interest.

Finally, a violation of Reg BI constitutes a violation of FINRA Rule 2010, which requires associated persons to observe high standards of commercial honor and just and equitable principles of trade. Trenton's conduct fell below these standards. The violations warrant significant sanctions including suspension, fine, and restitution.

Key Factor

Trenton concentrated approximately 46.9% of a 68-year-old retiree's liquid net worth in a single unrated, illiquid corporate debt instrument, creating a risk of loss fundamentally inconsistent with her stated investment objective of income with capital preservation and her moderate risk tolerance.

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NON-COMPLIANT

Topic: excessive_trading_reg_bi_care_obligation

Difficulty: hard

Standard: SEC Rule 15l-1(a)(1) (Regulation BI Best Interest Obligation); SEC Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); FINRA Rule 2111 (Suitability, including Supplementary Material .05(c) -- Quantitative Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus DeLuca, CRD No. 5872104, has been a General Securities Representative registered with Pinnacle Financial Group, LLC (CRD No. 189422) since March 2018. In January 2021, DeLuca opened an account for Helen Barringer, a 68-year-old retired schoolteacher living in Scottsdale, Arizona, with a fixed income of \$3,400 per month from Social Security and a small pension. Barringer deposited \$185,000 -- essentially her entire liquid net worth -- into a non-discretionary brokerage account with DeLuca. On her new account form, Barringer's investment objective was marked as 'income with capital preservation,' her risk tolerance was listed as 'moderate,' her investment time horizon was '5-10 years,' and her annual income was listed at \$40,800. She had limited investment experience, having previously held only certificates of deposit and a single bond mutual fund at her credit union.

Between February 2021 and March 2023, DeLuca recommended and executed 247 transactions in Barringer's account, consisting primarily of short-term round-trip trades in equity securities -- purchasing shares in companies like Ford Motor, Pfizer, AT&T, and several small-cap technology stocks, holding them for an average of 8 to 14 trading days, and then liquidating the positions. Many of these trades were executed in rapid succession, with proceeds from one sale immediately reinvested into a new equity position the same day or the following day. During this period, the account generated \$38,740 in total commissions and fees for DeLuca and Pinnacle Financial Group. DeLuca's personal payout on the commissions was approximately \$19,370 at a 50% grid rate.

An analysis of Barringer's account over the relevant period revealed an annualized turnover rate of 9.2 and a cost-to-equity ratio of 28.4%. The account's net value declined from \$185,000 to approximately \$139,200, representing a loss of \$45,800, of which \$38,740 was attributable to commissions and transaction costs. Barringer testified during FINRA's investigation that she 'trusted Marcus completely' and 'just did whatever he told me to do with the account.' She stated she never independently directed a trade and rarely reviewed her monthly statements in detail. DeLuca, in his defense, asserted that each individual trade had a reasonable basis, that Barringer verbally approved every transaction, and that the short-term trading was an attempt to generate income through capital gains to supplement her retirement income.

Pinnacle Financial Group's supervisory system flagged Barringer's account for elevated trading activity in November 2021, but the branch manager, after a brief conversation with DeLuca, cleared the exception without contacting Barringer or conducting any independent review of the account activity.

Question

Did Marcus DeLuca violate Regulation BI's Care Obligation and FINRA Rules 2111 and 2010 by recommending the series of transactions in Helen Barringer's account, and does his defense that each trade was individually reasonable and verbally approved by the customer provide a viable defense?

Answer

Marcus DeLuca violated Regulation BI's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii), FINRA Rule 2111, and FINRA Rule 2010. The violations are clear and DeLuca's defenses are legally insufficient.

First, regarding Regulation BI (applicable to all recommendations made on or after June 30, 2020): Rule 15l-1(a)(1) requires that when making a recommendation to a retail customer, a broker-dealer or associated person must act in the best interest of that customer without placing their own financial interest ahead of the customer's interest. The Care Obligation under Rule 15l-1(a)(2)(ii) specifically requires the exercise of reasonable diligence, care, and skill to have a reasonable basis to believe that a series of recommended transactions, even if in the customer's best interest when viewed in isolation, is not excessive and is in the customer's best interest in light of the customer's investment profile. Barringer's account exhibited an annualized turnover rate of 9.2 and a cost-to-equity ratio of 28.4%. Both metrics substantially exceeded the generally accepted thresholds -- a turnover rate of 6 or above and a cost-to-equity ratio above 20% -- that presumptively indicate excessive trading. The in-and-out trading pattern, with average holding periods of 8 to 14 days and immediate reinvestment of sale proceeds, further evidences churning-type activity.

Second, under FINRA Rule 2111 (applicable to the pre-June 30, 2020 conduct and, under 2111.05(c), continuing in effect for recommendations not subject to Reg BI): The quantitative suitability obligation required DeLuca to have a reasonable basis to believe that the series of recommended transactions was not excessive and unsuitable given Barringer's investment profile. A 68-year-old retiree with \$40,800 in annual income, limited investment experience, a 'capital preservation' objective, and moderate risk tolerance is the paradigmatic customer for whom aggressive short-term equity trading is unsuitable. The account lost \$45,800, with \$38,740 (approximately 84% of total losses) attributable solely to commissions and costs -- demonstrating that DeLuca's trading primarily benefited himself and his firm.

DeLuca's defense that each trade was individually reasonable fails because the Care Obligation and quantitative suitability analysis explicitly evaluate the series of transactions in the aggregate, not in isolation. His claim that Barringer verbally approved each trade is similarly unavailing. Under Reg BI, customer consent does not absolve the broker of the obligation to act in the customer's best interest; approval of individual trades by an unsophisticated customer who 'trusted Marcus completely' and 'did whatever he told me' reflects reliance and de facto control, not informed independent judgment. FINRA Rule 2010 is also violated because a violation of Reg BI or FINRA Rule 2111 constitutes a failure to observe high standards of commercial honor and just and equitable principles of trade. The supervisory failure at Pinnacle compounds the situation but does not diminish DeLuca's individual liability.

Key Factor

The account's annualized turnover rate of 9.2 and cost-to-equity ratio of 28.4% -- both well above the presumptive thresholds of 6 and 20% respectively -- demonstrate that DeLuca's series of recommended transactions was excessive and not in the retail customer's best interest given her conservative investment profile.

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NON-COMPLIANT

Topic: excessive_trading_reg_bi_care_obligation

Difficulty: hard

Standard: SEC Rule 15l-1(a)(1) (Regulation BI Best Interest Obligation); SEC Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); FINRA Rule 2111 (Suitability, including quantitative suitability under Supplementary Material .05(c)); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Delgado (CRD No. 7214558) has been registered as a General Securities Representative with Pinnacle Wealth Securities, LLC (CRD No. 158903) since March 2019. Between October 2020 and June 2023, Delgado serviced two retail brokerage accounts. The first account belonged to Helen Yurkowski, a 67-year-old retired schoolteacher with a stated net worth of \$410,000 (excluding her primary residence), liquid assets of \$185,000, and annual income of \$42,000 from Social Security and a modest pension. Her new account form listed her investment objective as 'growth' with a moderate risk tolerance and a time horizon of 10-15 years. Over 32 months, Delgado executed 174 trades in Yurkowski's account, primarily in mid-cap equities, generating \$47,320 in total commissions. An analysis of the account showed an annualized turnover rate of 9.4 and a cost-to-equity ratio of 28.6%. Yurkowski's account declined in value from \$185,000 to approximately \$131,200 during the period.

The second account belonged to Raymond Stipe, age 54, a self-employed plumber with a net worth of \$290,000, liquid assets of \$120,000, annual income of \$78,000, and a stated investment objective of 'speculation' with an aggressive risk tolerance. Between October 2020 and June 2023, Delgado executed 203 trades in Stipe's account across equities, leveraged ETFs, and options, generating \$39,880 in commissions. The annualized turnover rate in Stipe's account was 11.2, and the cost-to-equity ratio was 33.1%. Stipe's account declined from \$120,000 to approximately \$74,500.

Delgado earned approximately 62% of his total annual production from commissions generated in these two accounts. He communicated with both customers approximately twice per week by phone and text, often encouraging rapid position changes to 'capture momentum.' Neither customer had significant investment experience prior to opening their accounts with Delgado. Pinnacle Wealth's supervisory system flagged both accounts for elevated trading activity in Q2 2021, but the branch manager cleared the exception after a brief conversation with Delgado in which Delgado stated the customers had verbally approved each trade.

FINRA's examination staff identified the trading patterns during a routine cycle examination of Pinnacle Wealth in early 2024.

Question

Did Marcus Delgado violate Regulation BI's Care Obligation and FINRA Rules 2111 and 2010 through his trading activity in the Yurkowski and Stipe accounts, and does the speculative investment objective of Customer Stipe provide a defense to the excessive trading allegations?

Answer

Delgado violated Regulation BI (Exchange Act Rule 15l-1(a)(1) and (a)(2)(ii)), FINRA Rule 2111, and FINRA Rule 2010. The analysis proceeds in two temporal phases and addresses both customers.

For the period from October 2020 forward (post-Reg BI compliance date of June 30, 2020), the Care Obligation under Rule 15l-1(a)(2)(ii) requires that a broker-dealer or associated person exercise reasonable diligence, care, and skill to have a reasonable basis to believe that a series of recommended transactions, even if each is in the customer's best interest when viewed in isolation, is not excessive and is in the customer's best interest in light of the customer's investment profile. Notably, under Reg BI, the element of de facto control that was previously required under FINRA Rule 2111.05(c) is no longer necessary -- the focus is solely on the quantitative and qualitative indicia of excessive trading.

For Yurkowski, the annualized turnover rate of 9.4 far exceeds the generally accepted threshold of 6, and the cost-to-equity ratio of 28.6% significantly exceeds the 20% benchmark. These figures demonstrate that her account would have needed to appreciate by nearly 29% annually merely to break even on trading costs -- an unrealistic expectation for a moderate-risk growth portfolio held by a retired customer with limited income. These metrics conclusively establish excessive trading.

For Stipe, the turnover rate of 11.2 and cost-to-equity ratio of 33.1% are even more extreme. While Stipe's stated investment objective was 'speculation' with an aggressive risk tolerance, this does not immunize Delgado from the excessive trading analysis. SEC and FINRA precedent consistently holds that even speculative customers are not expected to endure trading levels that effectively guarantee losses from transaction costs alone. A 33.1% cost-to-equity ratio means Stipe's portfolio needed to generate one-third returns annually just to cover commissions -- a threshold that is unreasonable even for speculative accounts. The speculative objective is therefore not a valid defense.

For the period between October 2020 and June 30, 2020 (the pre-Reg BI period, which would apply only if trading began earlier -- here the fact pattern starts in October 2020, so only Reg BI applies), FINRA Rule 2111 would still technically apply to any non-Reg BI recommendations, though given these are retail customer accounts post-June 30, 2020, Reg BI is the primary standard. FINRA Rule 2111 remains relevant as a parallel violation where applicable.

Additionally, Delgado's violations of Reg BI and Rule 2111 independently constitute violations of FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade. The fact that Delgado derived 62% of his production from these two accounts underscores the conflict of interest and the placement of his financial interest ahead of his customers'. Pinnacle Wealth's supervisory failure in clearing the exception flags does not mitigate Delgado's individual liability. Based on the Tranchina AWC precedent, Delgado would face a multi-month suspension, a fine, and ordered restitution of customer losses attributable to excessive commissions.

Key Factor

Both accounts exhibited annualized turnover rates far exceeding 6 and cost-to-equity ratios far exceeding 20%, establishing that the series of recommended transactions was excessive regardless of customers' stated investment objectives.

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NON-COMPLIANT

Topic: excessive_trading_reg_bi_care_obligation

Difficulty: hard

Standard: SEC Rule 15l-1(a)(1) (Reg BI Best Interest Obligation); SEC Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(c) (Quantitative Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Hale, CRD No. 6438291, has been registered as a General Securities Representative with Pinnacle Wealth Advisors, LLC (CRD No. 189442) since March 2019. Pinnacle is a mid-size broker-dealer headquartered in Boca Raton, Florida. Between August 2020 and November 2022, Hale served as the primary broker for three retail customers, including Dorothy Kessler, a 72-year-old retired schoolteacher with a stated moderate risk tolerance, annual income of \$48,000 from Social Security and a small pension, liquid net worth of approximately \$310,000, and an investment objective of capital preservation with income. Kessler's account was opened at Pinnacle in July 2020, and she funded it with \$275,000 in proceeds from her late husband's life insurance policy.

From August 2020 through October 2022, Hale executed 187 transactions in Kessler's account, the vast majority of which were short-term round-trip trades in mid-cap equities and leveraged ETFs. The account reflected an annualized turnover rate of 11.4 and a cost-to-equity ratio of 34.7%. Kessler's account declined in value from \$275,000 to approximately \$161,000 over the period, while generating \$95,620 in total commissions and fees, of which Hale received approximately \$57,372 in production credits. Hale had discretionary authority over Kessler's account pursuant to a limited power of attorney signed at account opening, although Pinnacle's written supervisory procedures required pre-approval for discretionary trading, which Hale never obtained.

In a second customer account belonging to Raymond Liu, age 55, a software engineer with a growth-oriented investment objective and \$520,000 in liquid assets, Hale executed 142 transactions between September 2020 and November 2022, generating an annualized turnover rate of 8.2 and a cost-to-equity ratio of 27.1%. Liu's account generated \$78,440 in commissions and fees. Hale communicated with both customers primarily through personal text messages on his cell phone, which were not captured by Pinnacle's archival systems. Both customers testified that they trusted Hale's judgment and rarely questioned his recommendations. FINRA discovered the pattern during a cycle examination of Pinnacle in early 2023.

Question

Did Hale's pattern of trading in the Kessler and Liu accounts violate the Care Obligation under Regulation BI and FINRA Rules 2111 and 2010, and what factors would FINRA consider in evaluating the excessiveness of the trading?

Answer

Hale's conduct constitutes a clear violation of the Care Obligation under Regulation BI (Exchange Act Rule 15l-1(a)(2)(ii)), FINRA Rule 2111 (for pre-June 30, 2020 conduct), and FINRA Rule 2010.

Starting with the Reg BI analysis, which applies to recommendations made on or after June 30, 2020: Rule 15l-1(a)(1) requires that when making a recommendation to a retail customer, a broker-dealer or associated person must act in the best interest of that customer without placing the financial interest of the broker ahead of the customer's interest. The

Care Obligation under Rule 15l-1(a)(2)(ii) specifically requires reasonable diligence, care, and skill to ensure that a series of recommended transactions, even if individually suitable, is not excessive and is in the customer's best interest in light of their investment profile.

The quantitative evidence here is overwhelming. For Kessler, the annualized turnover rate of 11.4 and cost-to-equity ratio of 34.7% far exceed the generally accepted thresholds--a turnover rate of six or a cost-to-equity ratio above 20% generally indicates excessive trading. Liu's account, with a turnover rate of 8.2 and cost-to-equity ratio of 27.1%, similarly breaches both thresholds. The in-and-out trading pattern in mid-cap equities and leveraged ETFs--products particularly unsuitable for a 72-year-old retiree with a capital preservation objective--further evidences excessiveness.

Notably, under Reg BI's Care Obligation, the element of de facto control that was previously required under FINRA Rule 2111.05(c)'s quantitative suitability component was eliminated effective June 30, 2020. Therefore, Hale's exercise of discretionary authority, while an aggravating factor, is not a necessary element for finding a Reg BI violation. The focus is on whether the recommended series of transactions was excessive and contrary to the customer's best interest.

Hale's conduct also violates FINRA Rule 2010 because a violation of Reg BI or Rule 2111 constitutes a failure to observe high standards of commercial honor and just and equitable principles of trade. The undisclosed use of personal text messages for customer communications compounds the violations by implicating FINRA recordkeeping requirements, though that is a separate violation.

Hale cannot credibly defend the trading by pointing to Liu's growth objective or Kessler's signed discretionary authority. The cost-to-equity ratios mean Kessler's account needed to appreciate 34.7% annually merely to break even--a near impossibility for a moderate-risk portfolio--and the \$95,620 in commissions consumed roughly 35% of her original investment. This trading pattern served Hale's financial interests, not his customers'. A six-month suspension or greater, disgorgement, and a fine would be consistent with FINRA sanctions guidelines for excessive trading.

Key Factor

The annualized turnover rates of 11.4 and 8.2, and cost-to-equity ratios of 34.7% and 27.1%, far exceeded the generally accepted thresholds of 6 and 20% respectively, establishing that the series of recommended transactions was excessive under the Reg BI Care Obligation.

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NON-COMPLIANT

Topic: excessive_trading_reg_bi_care_obligation

Difficulty: hard

Standard: SEC Rule 15l-1 (Regulation BI), specifically the Care Obligation at Exchange Act Rule 15l-1(a)(2)(ii); FINRA Rule 2111 and Supplementary Material .05(c); FINRA Rule 2010; Article V, Section 2 of FINRA By-Laws; FINRA Rule 1122

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Caldwell, CRD No. 5891204, has been registered as a General Securities Representative through Meridian Wealth Securities, LLC (CRD No. 189723) since March 2018. Caldwell primarily services retail brokerage accounts and earns transaction-based commissions on equity trades. Between January 2019 and September 2022, Caldwell managed eight accounts, including three belonging to senior customers aged 68, 72, and 75.

One of Caldwell's senior clients, Dorothy Gressman, age 72, is a retired schoolteacher with a stated annual income of \$48,000 (primarily Social Security and a modest pension), liquid net worth of \$215,000, and a moderate risk tolerance noted on her new account form. Her stated investment objective was income with capital preservation. Between March 2019 and September 2022, Caldwell executed 347 trades in Gressman's account, generating an annualized turnover rate of 14.2 and a cost-to-equity ratio of 28.6%. The account generated \$62,400 in commissions for Caldwell while Gressman's account value declined from \$215,000 to \$141,300, representing a realized loss of approximately \$73,700. Many of the trades involved short-term round-trip transactions in mid-cap equities held for fewer than 30 days.

Another customer, Brian Telford, age 45, a software engineer with a \$190,000 annual income, \$420,000 in liquid net worth, and a growth investment objective, experienced an annualized turnover rate of 9.8 and a cost-to-equity ratio of 22.1% across 214 trades from January 2019 through August 2022. Telford's account generated \$47,200 in total commissions while declining in value by \$38,500. Caldwell had de facto control over both accounts: neither Gressman nor Telford initiated trade ideas, and both testified they relied entirely on Caldwell's recommendations without independently evaluating any transaction.

In October 2021, Gressman submitted a written complaint to Meridian Wealth alleging that Caldwell had churned her account and caused her significant losses. Caldwell was aware of the complaint but failed to amend his Form U4 to disclose it within the required 30-day period. As of a FINRA cycle examination in February 2023, the complaint remained unreported on Caldwell's Form U4.

Question

Did Caldwell's pattern of trading in the Gressman and Telford accounts violate Regulation BI's Care Obligation and/or FINRA Rule 2111's suitability requirements, and did his failure to update his Form U4 constitute a separate violation?

Answer

Caldwell's conduct constitutes multiple violations spanning the pre- and post-Regulation BI periods, as well as a separate Form U4 reporting violation.

First, for the period January 2019 through June 29, 2020, FINRA Rule 2111 (Suitability) applied to Caldwell's recommendations. Under Rule 2111.05(c), where an associated person exercises actual or de facto control over a

customer account, the representative must have a reasonable basis to believe that a series of recommended transactions, even if suitable when viewed in isolation, is not excessive and unsuitable for the customer when considered in light of the customer's investment profile. Caldwell had de facto control over both accounts -- neither customer independently initiated trades, and both relied entirely on his judgment. The annualized turnover rates of 14.2 (Gressman) and 9.8 (Telford), combined with cost-to-equity ratios of 28.6% and 22.1% respectively, are well above the thresholds FINRA enforcement actions and case law have consistently deemed indicative of excessive trading (typically turnover rates above 6 and cost-to-equity ratios above 20%). These quantitative metrics, coupled with the short holding periods and substantial net losses in both accounts, establish that Caldwell's trading was excessive and unsuitable under Rule 2111.

Second, for the period from June 30, 2020, through September 2022, Regulation BI's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii) requires that associated persons exercise reasonable diligence, care, and skill to have a reasonable basis to believe that a series of recommended transactions is not excessive and is in the retail customer's best interest in light of the customer's investment profile. Caldwell's continued high-frequency trading in Gressman's account -- an account belonging to a 72-year-old retiree with income and preservation objectives -- directly contravened this obligation. The trading pattern served Caldwell's commission interest, not the customer's best interest. A violation of Regulation BI simultaneously constitutes a violation of FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade.

Third, Caldwell's failure to amend his Form U4 within 30 days of becoming aware of Gressman's written complaint violates Article V, Section 2 of FINRA's By-Laws and FINRA Rules 1122 and 2010. Written customer complaints alleging sales practice violations are reportable events requiring timely disclosure. The omission deprived regulators and the public of material information about his conduct history.

No plausible defense of unsolicited trading exists given the de facto control findings, and the quantitative evidence of excessive trading is overwhelming.

Key Factor

Caldwell exercised de facto control over customer accounts and generated annualized turnover rates and cost-to-equity ratios far exceeding recognized excessive trading thresholds, while simultaneously failing to report a written customer complaint on his Form U4.

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NON-COMPLIANT

Topic: reg_bi_care_obligation_complex_product

Difficulty: hard

Standard: SEC Rule 15l-1(a)(2)(ii)(B) (Care Obligation); Rule 15l-1(a)(2)(ii)(C) (Conflict of Interest Obligation); Rule 15l-1(a)(2)(ii)(D) (Compliance Obligation); Exchange Act Release No. 34-86031 (Adopting Release, June 5, 2019); SEC Division of Examinations Risk Alert dated January 30, 2023

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Beacon Ridge Securities, LLC is a mid-sized broker-dealer based in Charlotte, North Carolina, with approximately 340 registered representatives. In September 2022, financial professional Derek Hollis recommended that his client, Margaret Tran, age 67, invest \$185,000 -- representing roughly 42% of her liquid net worth of \$440,000 -- into the Pinnacle Structured Growth Note Series 7, a complex structured product linked to the S&P 500 with a 6-year maturity, a 15% downside buffer, and a performance cap of 38% over the life of the note. Margaret is a retired school administrator receiving a state pension of \$3,200/month and Social Security of \$1,850/month. Her investment profile on file with Beacon Ridge lists her risk tolerance as 'moderate,' her investment time horizon as '3-5 years,' her liquidity needs as 'moderate,' and her investment objective as 'capital preservation with modest growth.' She has no prior experience with structured products, options, or alternative investments.

Derek Hollis received enhanced compensation for selling Pinnacle structured notes: a 2.75% gross commission compared to the firm's standard 1.0% commission on Treasury or investment-grade bond transactions. Beacon Ridge's written supervisory procedures required that financial professionals document a 'Reasonable Basis Analysis' for any complex product recommendation, including a comparison of at least two reasonably available alternatives, an assessment of the product's costs relative to its expected return, and a narrative explanation of why the recommended product serves the specific retail customer's stated objectives and profile. Derek's file for the Tran recommendation contained only the customer account form, a pre-populated product fact sheet from Pinnacle Capital Markets, and a signed general disclosure form acknowledging that structured products involve risk. No comparative analysis, no cost-benefit assessment, and no individualized narrative were present.

Beacon Ridge's compliance department conducted a post-trade review of the transaction on October 14, 2022, but the review consisted solely of confirming that the signed disclosure form was on file. The compliance reviewer, Sandra Liu, checked a box marked 'Documentation Complete' and closed the review without examining whether the recommendation was consistent with Margaret's investment profile or whether the firm's own Reasonable Basis Analysis requirement had been satisfied. The firm's compliance procedures manual, last updated in March 2021, did not specify what a post-trade reviewer should evaluate beyond the presence of signed disclosures.

Question

Did Derek Hollis and Beacon Ridge Securities violate Regulation Best Interest's Care Obligation and Compliance Obligation in connection with the structured note recommendation to Margaret Tran?

Answer

Yes, both Derek Hollis and Beacon Ridge Securities violated Regulation Best Interest. The violations implicate at minimum the Care Obligation under Rule 15l-1(a)(2)(ii)(B) and the Compliance Obligation under Rule 15l-1(a)(2)(ii)(D), and likely the Conflict of Interest Obligation under Rule 15l-1(a)(2)(ii)(C) as well.

****Care Obligation (Rule 15l-1(a)(2)(ii)(B)):** This provision requires that a financial professional exercise reasonable diligence, care, and skill to (1) understand the potential risks, rewards, and costs of the recommendation; (2) have a reasonable basis to believe the recommendation is in the best interest of the particular retail customer based on that customer's investment profile; and (3) have a reasonable basis to believe that a series of recommended transactions is not excessive. Here, the recommendation of a 6-year structured note with a 15% buffer to a 67-year-old retiree whose stated time horizon is 3-5 years and whose objective is capital preservation with modest growth raises serious red flags. The product's maturity exceeds her stated horizon by at least one year, the concentration of 42% of liquid assets in a single illiquid structured product conflicts with her moderate liquidity needs, and the complexity of the product is inconsistent with her complete lack of experience with structured products. The SEC's Adopting Release (Release No. 34-86031) makes clear that the Care Obligation requires a particularized assessment -- not merely product-level diligence but customer-specific analysis. Derek Hollis's file contained no comparative analysis of reasonably available alternatives (e.g., investment-grade bonds, CDs, or balanced funds that would have better matched her profile) and no individualized rationale. The 2.75% commission versus the 1.0% bond commission further suggests cost was not adequately weighed, as Release No. 34-86031 specifically identifies cost as a factor that must be considered in determining whether a recommendation is in the customer's best interest.

****Compliance Obligation (Rule 15l-1(a)(2)(ii)(D)):** Beacon Ridge had written procedures requiring a Reasonable Basis Analysis with comparative alternatives and narrative justification, yet its post-trade review process failed entirely to enforce those procedures. Sandra Liu's review checked only for signed disclosures, not substantive compliance. The SEC's January 2023 Risk Alert specifically identifies as a deficiency firms that establish policies but fail to implement or enforce them -- so-called 'paper compliance.' The firm's procedures manual, not updated since March 2021, also failed to specify meaningful review criteria, constituting a weakness in the design of the compliance program itself.

****Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(C)):** The enhanced compensation of 2.75% for the structured note creates a material financial conflict. Beacon Ridge's procedures should have identified this differential compensation as a conflict and either mitigated or eliminated it. The absence of any documented mitigation -- such as heightened supervisory review triggered by the compensation differential -- constitutes a further deficiency.

Beacon Ridge cannot defend the recommendation by pointing to Margaret's signed disclosure form. Disclosure alone does not satisfy the Care Obligation, which is an independent substantive requirement. The combination of unsuitable product characteristics, absent documentation, unenforced internal procedures, and unmitigated compensation conflicts represents a multi-pronged violation of Regulation Best Interest.

Key Factor

The financial professional failed to document any individualized reasonable basis analysis and recommended a complex, illiquid 6-year structured product to a 67-year-old retiree with a 3-5 year time horizon, capital preservation objective, and no experience with structured products, while the firm's compliance review checked only for signed disclosures rather than substantive adherence to its own written supervisory procedures.

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NON-COMPLIANT

Topic: excessive_trading_supervision_failure

Difficulty: hard

Standard: FINRA Rule 3110(a) and (b) (supervisory system and WSPs); FINRA Rule 2010 (standards of commercial honor); Exchange Act Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation -- excessive trading); Exchange Act Rule 15l-1(a)(2)(iv) (Reg BI Compliance Obligation); FINRA Rule 2111 and Supplementary Material .05(c) (quantitative suitability, pre-June 30, 2020)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Greenfield Capital Securities, Inc. (CRD No. 24891) is a FINRA member firm headquartered in Parsippany, New Jersey, with 11 branch offices and approximately 75 registered representatives. The firm has been a FINRA member since 1997 and conducts a general securities business with a significant portion of revenue derived from commission-based brokerage accounts. Thomas Delvecchio (CRD No. 3104582) has been registered with Greenfield Capital since March 2016 and has served as the firm's Chief Compliance Officer since September 2018. Prior to becoming CCO, Delvecchio had been censured in a 2014 AWC for failing to supervise variable annuity switching activity at a prior firm, resulting in a 30-day suspension in a principal capacity.

From January 2019 through June 2023, three registered representatives at Greenfield Capital -- James Hannon, Lisa Bartoli, and Derek Chung -- engaged in a pattern of excessive trading across 14 retail customer accounts. The affected customers ranged in age from 58 to 79, with moderate or conservative investment profiles, account sizes between \$125,000 and \$620,000, and stated investment objectives of income and capital preservation. Annualized turnover rates across these accounts ranged from 8.2 to 27.6, and cost-to-equity ratios ranged from 18% to 49%. In aggregate, the three representatives generated approximately \$1.34 million in commissions and fees across these accounts during the relevant period, while the customers collectively experienced net losses of approximately \$487,000.

Greenfield Capital's written supervisory procedures referenced FINRA Rule 2111 suitability requirements and, after June 30, 2020, included a generic reference to Regulation Best Interest. However, the WSPs did not specify quantitative thresholds for turnover rates or cost-to-equity ratios that would trigger exception reports or supervisory review. The firm's compliance system generated monthly activity reports listing all accounts by commission revenue, but the reports did not calculate or display turnover rates, cost-to-equity ratios, or in-and-out trading patterns. Delvecchio reviewed monthly revenue reports but did not take steps to investigate accounts with high commission generation relative to account size. When the firm's clearing firm flagged two of Derek Chung's accounts for potentially excessive activity in August 2021, Delvecchio reviewed Chung's written explanation that the customers had requested frequent trading, noted the explanation in a log, and took no further action -- he did not contact the customers, review trade confirmations, or compare the activity against the customers' investment profiles. No heightened supervision was imposed on any of the three representatives during the entire period.

Question

Did Greenfield Capital Securities and its CCO Thomas Delvecchio violate their supervisory obligations under FINRA Rules 3110 and 2010, as well as Reg BI's Care and Compliance Obligations, by failing to establish and enforce a supervisory system reasonably designed to detect and prevent excessive trading in retail customer accounts?

Answer

Yes. Both Greenfield Capital and Delvecchio violated FINRA Rules 3110 and 2010, and -- for the period beginning June 30, 2020 -- the Compliance Obligation of Regulation Best Interest (Exchange Act Rule 15l-1(a)(2)(iv)) and, derivatively, the Care Obligation under Rule 15l-1(a)(2)(ii).

FINRA Rule 3110(a) requires member firms to establish and maintain a system to supervise the activities of each associated person that is reasonably designed to achieve compliance with applicable securities laws and regulations and FINRA rules. Rule 3110(b) requires firms to establish, maintain, and enforce written supervisory procedures to implement such supervision. A violation of Rule 3110 also constitutes a violation of FINRA Rule 2010's requirement to observe high standards of commercial honor.

Here, Greenfield Capital's WSPs were materially deficient in two critical respects. First, they contained no quantitative parameters -- such as turnover rate thresholds, cost-to-equity ratio benchmarks, or in-and-out trading frequency metrics -- that would trigger supervisory review for excessive trading. The absence of such criteria is a recognized hallmark of an unreasonable supervisory system in the excessive trading context, as evidenced by the virtually identical deficiency identified in the Network 1/Molinaro AWC. Second, the firm's exception reporting system did not generate the data necessary to identify excessive trading -- it tracked only gross revenue without calculating the metrics regulators and courts have long used to evaluate churning and excessive activity.

Delvecchio's personal liability under Rules 3110 and 2010 is equally clear. As CCO from September 2018, he bore direct responsibility for designing and enforcing the supervisory system. His review of monthly revenue reports without investigating accounts showing disproportionate commissions relative to size -- particularly with customers aged 58-79 holding conservative profiles -- reflects a failure to exercise reasonable supervisory diligence. His handling of the clearing firm's August 2021 flag was especially egregious: accepting a representative's self-serving explanation without contacting customers, reviewing trade records, or comparing activity to stated investment objectives does not constitute meaningful supervisory follow-up.

With respect to Reg BI, effective June 30, 2020, Exchange Act Rule 15l-1(a)(2)(ii) (the Care Obligation) explicitly requires broker-dealers to have a reasonable basis to believe that a series of recommended transactions is not excessive and is in the customer's best interest. Rule 15l-1(a)(2)(iv) (the Compliance Obligation) requires firms to establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance with Reg BI. Greenfield's generic WSP reference to Reg BI, without operational controls to detect excessive trading, fails the Compliance Obligation. The annualized turnover rates of 8.2 to 27.6 and cost-to-equity ratios of 18% to 49% across conservative-profile accounts are textbook indicators of excessive activity that a reasonably designed system should have flagged. Delvecchio's prior disciplinary history for supervision failures further undermines any defense that the deficiencies were inadvertent.

Key Factor

The firm's written supervisory procedures and exception reporting systems lacked any quantitative thresholds or metrics -- such as turnover rates and cost-to-equity ratios -- necessary to detect and prevent excessive trading in retail customer accounts.

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NON-COMPLIANT

Topic: regbi_care_obligation_illiquid_bonds

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(1) (Reg BI General Obligation); Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation); Exchange Act Rule 15l-1(a)(2)(ii)(B) (Customer-Specific Prong); Exchange Act Release No. 34-86031 (Adopting Release) at pp. 13, 45-46, 72; Sections 15(b) and 21C of the Securities Exchange Act of 1934; Section 203(f) of the Investment Advisers Act of 1940

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Pellegrini, age 58, is a registered representative associated with Horizon Capital Securities, LLC, a dually registered broker-dealer and investment adviser based in Scottsdale, Arizona. Between October 2020 and March 2022, Pellegrini recommended that 14 retail customers purchase high-yield corporate bonds issued by Greenleaf Longevity Holdings, Inc. ('Greenleaf'), a financial services company whose primary business was purchasing life insurance policies on the secondary market and securitizing the expected death benefits. Greenleaf marketed its 'Longevity Bonds' (or 'LV Bonds') as offering fixed interest rates between 5.50% and 8.50% depending on maturity, with terms ranging from 2 to 7 years. The LV Bonds were illiquid, had no secondary trading market, and were rated below investment grade. Greenleaf's audited financials, available on EDGAR, showed net losses exceeding \$180 million over the prior three fiscal years, negative operating cash flow, and significant reliance on continued bond sales to fund operations and debt service -- a structure Greenleaf itself disclosed as a going-concern risk.

Among Pellegrini's customers was Diane Okamoto, a 72-year-old retired public school teacher in Mesa, Arizona, with a stated annual income of \$48,000 (primarily Social Security and a modest pension), liquid net worth of approximately \$310,000, an investment objective of capital preservation and income, a moderate risk tolerance, and a 5-year time horizon. Pellegrini recommended that Okamoto invest \$95,000 -- approximately 30.6% of her liquid net worth -- in 5-year LV Bonds paying 7.25%. Pellegrini also recommended LV Bonds to Gerald and Sylvia Huang, ages 67 and 65, retired small business owners with combined liquid assets of \$520,000, conservative risk tolerance, and an investment objective of retirement income. The Huangs invested \$140,000 in LV Bonds across two tranches. Pellegrini earned a 5% commission on each LV Bond sale, totaling approximately \$72,800 across all 14 customers during the relevant period.

Pellegrini's CRM notes for Okamoto and the Huangs contained no analysis of how the concentration in illiquid, below-investment-grade bonds aligned with their conservative profiles, liquidity needs, or time horizons. There was no documented comparison to alternative fixed-income products. Pellegrini did not review Greenleaf's SEC filings or offering documents with the customers, and did not discuss the going-concern risk, the lack of a secondary market, or the fact that Greenleaf's ability to pay interest depended on continued bond sales. Internal compliance at Horizon Capital had circulated a product-specific risk bulletin in September 2020 flagging Greenleaf LV Bonds as requiring enhanced suitability review, but Pellegrini did not submit his recommendations through the enhanced review process.

Question

Did Marcus Pellegrini violate Regulation Best Interest's Care Obligation and General Obligation in recommending Greenleaf LV Bonds to Diane Okamoto and the Huangs?

Answer

Yes. Pellegrini violated both the Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii) and, consequently, the General Obligation under Exchange Act Rule 15l-1(a)(1).

Regulation Best Interest's Care Obligation requires that a broker-dealer or associated person exercise reasonable diligence, care, and skill to, among other things, have a reasonable basis to believe that the recommendation is in the best interest of the particular retail customer based on that customer's investment profile and the potential risks, rewards, and costs associated with the recommendation. See Exchange Act Rule 15l-1(a)(2)(ii)(B) (the 'customer-specific' prong). As emphasized in the Adopting Release (Exchange Act Release No. 34-86031 at pp. 13, 72), failure to comply with any single component obligation constitutes a violation of the General Obligation -- there is no balancing test or safe harbor.

Here, several facts demonstrate a clear failure. First, Pellegrini recommended an illiquid, unrated or below-investment-grade bond paying 7.25% over five years to Okamoto, a 72-year-old retiree whose stated objectives were capital preservation and income and whose risk tolerance was moderate. A 30.6% concentration of liquid net worth in a single illiquid issuer with going-concern risk is facially inconsistent with capital preservation for a retiree with limited income. Second, the Huangs had conservative risk tolerance and retirement income objectives, yet \$140,000 -- approximately 26.9% of their liquid assets -- was placed in an illiquid product with structural risks analogous to a Ponzi-like cash flow dependency. Third, Pellegrini's CRM notes contain no customer-specific analysis, no comparison to less risky alternatives, and no evidence that he reviewed or conveyed material risk disclosures -- particularly Greenleaf's going-concern language and its reliance on continuous bond sales to service existing debt.

Pellegrini's failure to participate in the firm's enhanced suitability review process, despite the September 2020 compliance bulletin, further undermines any claim that he exercised reasonable diligence. The 5% commission structure, substantially above typical fixed-income commissions, also raises Conflict of Interest Obligation concerns under Rule 15l-1(a)(2)(iii), though the Care Obligation violation alone is independently dispositive.

No defense of reasonable professional judgment is available where the associated person failed to perform -- and failed to document -- any meaningful customer-specific analysis. The pattern closely parallels the SEC's findings in *In re Tony Barouti* (Release No. 34-103675), where recommendations of GWG L Bonds to retail customers without adequate customer-specific diligence constituted willful violations of both the Care Obligation and the General Obligation. Pellegrini would face potential sanctions under Sections 15(b) and 21C of the Exchange Act and Section 203(f) of the Advisers Act, including disgorgement, civil penalties, and potential industry bars.

Key Factor

Pellegrini failed to exercise reasonable diligence, care, and skill to form a reasonable basis to believe that concentrating a retired, conservative-profile customer's liquid assets in illiquid, below-investment-grade bonds with going-concern risk was in the customer's best interest.

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NON-COMPLIANT

Topic: excessive_trading_reg_bi_care_obligation

Difficulty: hard

Standard: SEC Rule 15l-1(a)(1) (Regulation Best Interest general obligation); SEC Rule 15l-1(a)(2)(ii) (Care Obligation -- excessive trading component); FINRA Rule 2111 (Suitability, including quantitative suitability under Supplementary Material .05(c)); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Delgado (CRD No. 5438821) has been registered as a General Securities Representative with Pinnacle Wealth Securities, LLC (CRD No. 189402) since March 2019. In August 2020, Delgado onboarded a new retail customer, Patricia Henning, a 68-year-old retired school principal with a stated liquid net worth of approximately \$620,000. Henning's new account documents reflected a moderate risk tolerance, an income-oriented investment objective with capital preservation as secondary, and a 10-year investment time horizon. She told Delgado she needed her portfolio to supplement her pension and Social Security income by generating approximately \$2,500 per month in reliable income.

Between September 2020 and November 2022, Delgado recommended a series of approximately 312 trades across Henning's two accounts -- a taxable individual brokerage account funded with \$410,000 and a traditional IRA rollover account funded with \$210,000. The trading activity consisted primarily of short-term round-trip transactions in large-cap equities and leveraged ETFs, with average holding periods of 8 to 14 days. During this period, the annualized turnover rate in the taxable account was 9.4 and in the IRA account was 11.2. The cost-to-equity ratios were 28.6% and 34.1%, respectively. Total commissions and trading costs across both accounts exceeded \$147,000, while the accounts suffered combined realized and unrealized losses of approximately \$83,000. Henning's account statements were sent to her home but she testified she relied entirely on Delgado's judgment and routinely approved his recommendations by phone without independently reviewing them.

Delgado earned approximately \$88,200 in personal commissions from these accounts during the relevant period. Pinnacle Wealth's supervisory system flagged the IRA account for high turnover in Q1 2021, but the branch manager cleared the exception after a brief conversation with Delgado in which Delgado stated Henning was 'comfortable with active trading.' No follow-up contact with Henning was made by the firm. Delgado did not document any change to Henning's investment profile that would justify the trading strategy employed.

Question

Did Delgado's pattern of trading in Patricia Henning's accounts violate Regulation Best Interest's Care Obligation and FINRA Rules 2111 and 2010, and what are the key analytical factors supporting that conclusion?

Answer

Delgado's conduct constitutes clear violations of SEC Rule 15l-1(a)(1) (Regulation Best Interest), the Care Obligation under Rule 15l-1(a)(2)(ii), FINRA Rule 2111 (for the pre-June 30, 2020 suitability period, though here the relevant conduct begins September 2020, so Reg BI applies throughout), and FINRA Rule 2010.

First, under Reg BI's Care Obligation at Exchange Act Rule 15l-1(a)(2)(ii), an associated person must exercise reasonable diligence, care, and skill to have a reasonable basis to believe that a series of recommended transactions, even if potentially suitable in isolation, is not excessive and is in the retail customer's best interest when viewed in light

of the customer's investment profile. Henning's profile -- a 68-year-old retiree with moderate risk tolerance seeking income and capital preservation -- is fundamentally incompatible with the short-term, high-frequency trading strategy Delgado employed.

The quantitative metrics are dispositive. The annualized turnover rates of 9.4 and 11.2 dramatically exceed the generally accepted threshold of 6, which FINRA guidance and case law recognize as presumptively excessive. The cost-to-equity ratios of 28.6% and 34.1% far surpass the 20% benchmark, meaning Henning's accounts needed to appreciate by nearly 29% and 34% respectively just to break even after costs -- an unrealistic expectation for any moderate-risk income portfolio and an impossibility given the actual losses sustained.

Delgado placed his financial interest ahead of Henning's. He generated \$88,200 in personal commissions while the customer lost \$83,000 in portfolio value plus \$147,000 in costs. This directly contravenes the core Reg BI mandate under Rule 15l-1(a)(1) that a broker must act in the best interest of the retail customer without placing the broker's financial interest ahead of the customer's.

Henning's de facto reliance on Delgado's recommendations -- routinely approving trades by phone without independent review -- reinforces that these were recommended transactions subject to Reg BI. Notably, post-June 30, 2020, the element of customer control is no longer required for a quantitative excessive trading analysis; the focus is on whether the recommendations themselves were excessive and contrary to the customer's best interest.

The absence of any documented change to Henning's investment profile forecloses a defense that the strategy was authorized. Delgado's oral representation to his supervisor that Henning was 'comfortable with active trading' is unsupported and insufficient. Additionally, this violation of Reg BI and the standards of conduct it imposes also constitutes a violation of FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade.

Key Factor

Annualized turnover rates of 9.4 and 11.2 and cost-to-equity ratios of 28.6% and 34.1% -- each far exceeding the presumptive thresholds of 6 and 20% respectively -- in accounts belonging to a 68-year-old retiree with moderate risk tolerance and income-oriented objectives establish that the recommended trading was excessive and not in the customer's best interest.

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NON-COMPLIANT

Topic: excessive_trading_reg_bi_care_obligation

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(1) (Regulation Best Interest - General Obligation); Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade); SEC Release No. 34-86031 (Reg BI Adopting Release)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus DeVille, CRD No. 7112345, has been a General Securities Representative registered through Apex Wealth Securities, LLC (CRD No. 198432) since March 2019. In January 2021, DeVille onboarded a new customer, Patricia Langford, a 68-year-old retired school administrator living on a fixed income consisting of a \$3,200 monthly pension and Social Security benefits. Langford had limited investment experience, having previously held only a 403(b) retirement account and a small certificate of deposit. She told DeVille her primary investment objectives were income and capital preservation, with a moderate risk tolerance. She funded her brokerage account with \$175,000 from the proceeds of her deceased husband's life insurance policy. On her new account form, DeVille documented her investment objective as 'growth' and her risk tolerance as 'aggressive,' which did not match the notes from their initial meeting or her verbal representations.

Between January 2021 and March 2023, DeVille recommended 187 transactions in Langford's account, consisting primarily of short-term trades in mid-cap equities, leveraged ETFs, and a handful of speculative biotech stocks. Many positions were held for fewer than 30 days before being liquidated and replaced with similar securities--a classic in-and-out trading pattern. During this period, the account's annualized turnover rate was 22, and the annualized cost-to-equity ratio was 78%. DeVille generated \$52,614 in total commissions from Langford's account, while the account suffered \$134,208 in realized losses, eroding over 76% of her original principal.

Langford, who trusted DeVille as her sole financial professional, did not independently review her monthly statements and relied on DeVille's periodic verbal assurances that her account was 'performing well given market conditions.' She first learned the extent of her losses in April 2023, when her nephew, a CPA, reviewed her statements during tax preparation. Apex Wealth Securities' supervisory system had flagged Langford's account for high turnover in September 2021 and again in June 2022, but the branch manager, Ryan Kowalski, cleared both alerts without meaningful follow-up, noting only 'customer has aggressive profile per account documentation.' A subsequent FINRA cycle examination of Apex Wealth uncovered the trading pattern and the discrepancies between Langford's actual profile and her documented profile.

Question

Did Marcus DeVille violate Regulation Best Interest's Care Obligation and FINRA Rule 2010 by recommending the series of transactions in Patricia Langford's account, and what factors support or undermine his potential defense that Langford's account documentation authorized aggressive, growth-oriented trading?

Answer

Marcus DeVille violated the Best Interest Obligation under Exchange Act Rule 15l-1(a)(1) (Regulation BI) and the Care Obligation under Rule 15l-1(a)(2)(ii), as well as FINRA Rule 2010. The analysis is straightforward on multiple grounds.

First, Reg BI Rule 15l-1(a)(1) requires that when making a recommendation to a retail customer, an associated person must act in the best interest of that customer at the time of the recommendation, without placing the financial or other interest of the associated person ahead of the customer's interest. DeVille's pattern of 187 transactions generating \$52,614 in commissions while producing \$134,208 in losses plainly placed his commission income ahead of Langford's interests.

Second, the Care Obligation under Rule 15l-1(a)(2)(ii) specifically requires that an associated person exercise reasonable diligence, care, and skill to have a reasonable basis to believe that a series of recommended transactions, even if each could be justified in isolation, is not excessive and is in the customer's best interest when viewed in light of the customer's investment profile. Here, the quantitative metrics are devastating: an annualized turnover rate of 22 far exceeds the traditional guidepost of 6, and a cost-to-equity ratio of 78% dwarfs the 20% threshold that generally indicates excessive trading. Langford's account needed to appreciate by 78% annually merely to break even on costs--an absurd benchmark for any account, let alone one belonging to a 68-year-old retiree seeking income and capital preservation.

DeVille's likely defense--that the account documentation listed 'growth' and 'aggressive'--fails for several reasons. Reg BI requires that recommendations be assessed against the customer's actual investment profile, which encompasses stated objectives, financial situation, needs, age, and other relevant characteristics. FINRA has consistently held that inaccurate or inflated account documentation created by the representative cannot serve as a shield against excessive trading charges. The evidence from the initial meeting notes, Langford's fixed-income circumstances, her age, her limited experience, and her verbal representations all establish that her true profile was conservative. The discrepancy itself constitutes an additional red flag.

The in-and-out trading pattern--positions held fewer than 30 days and replaced with similar securities--is a hallmark of churning that generates commissions without serving any plausible investment thesis. The violation of Reg BI simultaneously constitutes a violation of FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade. The supervisory failures by Kowalski, while separately actionable, do not mitigate DeVille's individual liability.

Key Factor

An annualized turnover rate of 22 and a cost-to-equity ratio of 78% in a retired senior's account, combined with falsified account documentation misrepresenting the customer's actual conservative investment profile, establish clear excessive trading in violation of Reg BI's Care Obligation.

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NON-COMPLIANT

Topic: reg_bi_excessive_trading_care_obligation

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); Exchange Act Rule 15l-1(a)(1) (Reg BI Best Interest Obligation); FINRA Rule 2010 (Standards of Commercial Honor); SEC Release No. 34-86031 (Reg BI Adopting Release, June 5, 2019)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Derek Halloran, CRD No. 8412556, registered as a General Securities Representative with Pinnacle Edge Securities LLC (CRD No. 318904) in March 2022. Between August 2022 and June 2023, Halloran served as the primary broker for two retail customers at the firm's suburban Philadelphia branch office.

Customer 1, Margaret Trevino, age 64, was a retired school administrator with a stated annual income of \$125,000 (pension and Social Security), a liquid net worth of \$340,000, and a moderate risk tolerance. Her stated investment objective was income with capital preservation, and she indicated a 10-year time horizon. Customer 2, Ronald Padgett, age 61, was a semi-retired electrician with a stated annual income of \$150,000, a liquid net worth of \$425,000, and a moderate-to-growth risk tolerance. Padgett's stated objective was growth and income, with a 7-year time horizon. Both customers granted Halloran discretionary authority over their accounts.

Over the 10-month period, Halloran executed 247 trades in Trevino's account (initial equity of \$185,000) and 312 trades in Padgett's account (initial equity of \$260,000). The trading in both accounts consisted primarily of short-term, in-and-out transactions in large-cap equities and leveraged ETFs, with average holding periods of 4.7 days for Trevino and 3.2 days for Padgett. Halloran generated \$61,400 in commissions and fees from Trevino's account and \$89,200 from Padgett's account. An analysis of the accounts showed that Trevino's account had an annualized turnover rate of 34 and a cost-to-equity ratio of 41.2%, while Padgett's account had an annualized turnover rate of 42 and a cost-to-equity ratio of 47.8%. During this period, Trevino's account lost \$52,300 in value and Padgett's account lost \$71,900.

When FINRA's examination staff flagged the trading activity, Halloran asserted that each individual trade was suitable and that both customers had verbally approved a short-term active trading strategy. Pinnacle Edge's supervisory system had generated exception reports for both accounts beginning in October 2022, but Halloran's branch manager, who was also a producing broker generating substantial commissions, reviewed and cleared the alerts without contacting either customer or imposing any trading restrictions.

Question

Did Halloran's pattern of short-term, in-and-out trading in the accounts of Trevino and Padgett violate the Care Obligation under Regulation Best Interest and FINRA Rule 2010, and does his defense that each individual trade was suitable insulate him from liability?

Answer

Halloran's conduct constitutes a clear violation of both the Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii) (Regulation Best Interest) and FINRA Rule 2010. The analysis proceeds as follows.

First, under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill to have a reasonable basis to believe that a series of recommended transactions, even if in the retail customer's best interest when viewed in isolation, is not excessive and is in the retail customer's best interest in light of the customer's investment profile. This provision explicitly requires an evaluation of the cumulative effect of a series of transactions -- not merely each trade in isolation. Halloran's defense that each individual trade was suitable therefore fails as a matter of law; the Care Obligation was specifically designed to capture exactly this type of pattern-level harm.

Second, the quantitative metrics are extraordinarily damning. The generally accepted benchmarks hold that a turnover rate of 6 or above, or a cost-to-equity ratio exceeding 20%, indicates excessive trading. Trevino's annualized turnover rate of 34 exceeds the threshold by more than five times, and her cost-to-equity ratio of 41.2% is more than double the benchmark. Padgett's figures are even worse: a turnover rate of 42 and a cost-to-equity ratio of 47.8%. These accounts had to appreciate by more than 40% merely to break even on commissions and costs -- an unrealistic expectation for accounts with moderate risk tolerances and income/preservation or growth-and-income objectives.

Third, the trading pattern -- average holding periods of 3-5 days, in-and-out transactions in leveraged ETFs for a retiree seeking capital preservation -- is fundamentally inconsistent with both customers' documented investment profiles. Halloran placed his own financial interests (commission generation) and those of Pinnacle Edge ahead of the customers' interests, which is the precise conduct Reg BI prohibits.

Fourth, any purported verbal consent to an active trading strategy does not constitute a defense. Reg BI imposes an objective standard of care; a customer's acquiescence to a strategy that is not in their best interest does not relieve the associated person of the obligation to ensure the series of recommendations is not excessive. A violation of Reg BI also independently constitutes a violation of FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade. The supervisory failures at Pinnacle Edge may give rise to separate firm-level liability but do not mitigate Halloran's personal responsibility.

Key Factor

The annualized turnover rates (34 and 42) and cost-to-equity ratios (41.2% and 47.8%) vastly exceeded the generally recognized thresholds of 6 and 20% respectively, establishing that the series of recommended transactions was excessive and not in either customer's best interest.

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NON-COMPLIANT

Topic: excessive_trading_reg_bi_care_obligation

Difficulty: hard

Standard: SEC Rule 15l-1(a)(1) (Reg BI Best Interest Obligation); SEC Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); FINRA Rule 2111 (Suitability) and Supplementary Material .05(c) (Quantitative Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Devlin (CRD No. 5891204) has been registered as a General Securities Representative with Coastal Ridge Securities, LLC (CRD No. 189432) since March 2016. Between July 2020 and November 2023, Devlin served as the primary broker for four retail customers, including retirees Helen Kowalski (age 72) and Frank Barbieri (age 68), as well as moderate-income earners Priya Nair (age 45) and David Luong (age 52).

Helen Kowalski opened her account in August 2020 with \$185,000 in rollover IRA assets and indicated a conservative investment objective focused on capital preservation and income generation, with a low risk tolerance and a 5-10 year time horizon. Despite this profile, between September 2020 and October 2023, Devlin recommended and effected 247 trades in Kowalski's account, generating commissions and markups totaling \$41,200. The annualized turnover rate in her account was 9.4, and the cost-to-equity ratio was 28.6%. The trading pattern consisted of frequent in-and-out transactions in speculative equities and leveraged ETFs, with average holding periods of approximately 11 trading days. Kowalski's account suffered realized losses of \$52,300 during this period.

Frank Barbieri invested \$140,000 from his pension distribution in a brokerage account in July 2020 with a stated moderate risk tolerance and growth-and-income objective. Between August 2020 and August 2023, Devlin executed 198 trades, resulting in an annualized turnover rate of 7.8 and a cost-to-equity ratio of 24.1%, with total commissions of \$27,400. David Luong opened his account in January 2021 with \$95,000 and a moderate-growth objective; his account reflected a turnover rate of 6.3 and a cost-to-equity ratio of 21.7% through November 2023, with \$18,900 in total commissions. Priya Nair's account, opened in March 2019 with \$110,000, had a turnover rate of 5.1 and a cost-to-equity ratio of 17.2% through February 2023, with \$14,300 in commissions.

Devlin exercised de facto control over all four accounts, as each customer routinely followed his recommendations without independent evaluation. Devlin earned approximately \$101,800 in total commissions across the four accounts. During a FINRA cycle examination of Coastal Ridge Securities in early 2024, examiners identified the anomalous trading patterns and opened an investigation.

Question

Did Marcus Devlin violate Regulation Best Interest's Care Obligation and/or FINRA Rule 2111's quantitative suitability component through his trading activity in the four customer accounts, and what sanctions framework would apply?

Answer

Devlin violated Regulation Best Interest (Reg BI) under Exchange Act Rule 15l-1(a)(1) with respect to trading activity occurring on or after June 30, 2020, and FINRA Rule 2111 for pre-Reg BI conduct, as well as FINRA Rule 2010 as a predicate ethics violation in all instances.

For the three accounts opened after June 30, 2020 (Kowalski, Barbieri, and Luong), Reg BI's Care Obligation under Rule 15l-1(a)(2)(ii) required Devlin to exercise reasonable diligence, care, and skill, and to have a reasonable basis to believe that the series of recommended transactions was not excessive and was in each customer's best interest in light of their investment profiles. Kowalski's annualized turnover rate of 9.4 and cost-to-equity ratio of 28.6% far exceed the generally accepted thresholds of 6 and 20%, respectively. Her conservative profile and capital preservation objective make the speculative in-and-out trading egregiously unsuitable. Barbieri's turnover of 7.8 and cost-to-equity of 24.1%, and Luong's turnover of 6.3 and cost-to-equity of 21.7%, also exceed both thresholds. Under Reg BI, the element of control is not required--FINRA removed that element from the quantitative suitability analysis effective June 30, 2020. The excessive trading alone, measured against each customer's investment profile, establishes the violation.

For Nair's account, which was opened in March 2019, pre-Reg BI conduct is governed by FINRA Rule 2111 and its supplementary material at .05(c), which required a reasonable basis for believing that a recommended series of transactions was not excessive and unsuitable. Rule 2111 required actual or de facto control, which Devlin exercised as all customers routinely followed his recommendations. However, Nair's turnover rate of 5.1 and cost-to-equity ratio of 17.2% fall below the general 6/20% thresholds. While these metrics are concerning, they may not independently establish quantitative unsuitability under the traditional analytical framework. FINRA could still pursue a qualitative suitability claim based on the pattern of trading relative to Nair's stated objectives, but the quantitative case is weaker.

Each Reg BI or Rule 2111 violation independently constitutes a FINRA Rule 2010 violation, as excessive trading to generate commissions at the expense of customers fails to observe high standards of commercial honor and just and equitable principles of trade. Appropriate sanctions would include a suspension of at least nine months, a fine consistent with FINRA's Sanction Guidelines for excessive trading, and restitution of the excessive commissions across the three clearly violative accounts--approximately \$87,500 plus prejudgment interest.

Key Factor

Devlin's annualized turnover rates (ranging from 6.3 to 9.4) and cost-to-equity ratios (ranging from 21.7% to 28.6%) in three of four customer accounts substantially exceeded the generally accepted thresholds of 6 and 20%, establishing that the series of recommended transactions was excessive and not in customers' best interests.

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NON-COMPLIANT

Topic: regbi_care_obligation_concentration_discretion

Difficulty: hard

Standard: SEC Rule 15l-1(a)(1) (Regulation BI); SEC Rule 15l-1(a)(2)(ii) (Care Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 3260(b) (Discretionary Accounts); FINRA Rule 4511 (Books and Records); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Whitfield, CRD No. 4871293, has been a General Securities Representative associated with Meridian Securities Group since March 2016. Between February 2019 and November 2023, Whitfield serviced approximately 65 retail customer accounts, primarily retirees and near-retirees in the Minneapolis-St. Paul metropolitan area.

One of Whitfield's clients, Dorothy Engstrom, age 74, was a retired schoolteacher with a total liquid net worth of approximately \$410,000, virtually all of which was held at Meridian Securities. Her account documents listed her investment objectives as 'income and preservation of capital,' her risk tolerance as 'moderate,' and her investment time horizon as '5-10 years.' She had limited investment experience, having previously held only certificates of deposit and a single balanced mutual fund. Between March 2020 and September 2023, Whitfield recommended that Engstrom invest approximately \$345,000--84% of her liquid assets at the firm--in a concentrated portfolio of micro-cap and small-cap speculative stocks, including shares of three pre-revenue biotechnology companies (ViraCure Therapeutics, NanoSynth Biologics, and Helix Genomic Partners) and two early-stage lithium mining companies (Atacama Lithium Corp. and Great Basin Resources Inc.). Over this period, Engstrom's account experienced losses of approximately \$187,000, representing a 54% decline in the value of those holdings.

A second client, Robert Johansson, age 68, a retired electrician with \$290,000 in investable assets and a stated objective of 'growth and income' with 'moderate' risk tolerance, was similarly concentrated by Whitfield into speculative equities. Between July 2020 and August 2023, approximately 78% of Johansson's portfolio was invested in the same cluster of micro-cap stocks. Johansson's account lost approximately \$139,000.

In addition, FINRA's cycle examination of Meridian Securities revealed that from January 2021 through November 2023, Whitfield executed 214 trades across 31 customer accounts without obtaining prior written authorization from the customers or written approval from Meridian Securities to exercise discretion. Whitfield would select the specific security, quantity, and timing of trades based on his own judgment, sometimes placing orders before informing customers. Separately, the examination found that Whitfield mismarked 412 solicited trades as 'unsolicited' in 38 customer accounts between June 2019 and October 2023, including in Engstrom's and Johansson's accounts, which obscured the pattern of his recommendations from the firm's supervisory review systems.

Question

Did Whitfield's conduct--concentrating elderly, moderate-risk-tolerance retirees into speculative micro-cap stocks, exercising unauthorized discretion, and mismarking solicited orders as unsolicited--violate Regulation BI, FINRA Rule 2111, and related FINRA rules?

Answer

Whitfield's conduct constitutes multiple overlapping violations of Regulation BI, FINRA Rule 2111, FINRA Rules

3260(b), 4511, and 2010.

First, for recommendations made on or after June 30, 2020, Whitfield willfully violated SEC Rule 15l-1(a)(1) (Regulation BI). The Care Obligation under Rule 15l-1(a)(2)(ii) requires that an associated person exercise reasonable diligence, care, and skill to have a reasonable basis to believe a recommendation is in the best interest of a particular retail customer, based on that customer's investment profile--including age, financial situation and needs, investment objectives, risk tolerance, time horizon, liquidity needs, and investment experience. Engstrom was a 74-year-old retiree with limited investment experience, a moderate risk tolerance, income-and-preservation objectives, and a 5-10 year horizon. Concentrating 84% of her liquid net worth in pre-revenue biotechnology and early-stage mining micro-caps is fundamentally incompatible with every material element of her investment profile. The same analysis applies to Johansson, whose 78% concentration in speculative equities contradicted his moderate risk tolerance and growth-and-income objective. No reasonable associated person exercising diligence, care, and skill could conclude these recommendations were in either customer's best interest.

For recommendations made prior to June 30, 2020, the identical fact pattern establishes a violation of FINRA Rule 2111's suitability requirement, which uses the same investment profile factors. The customer-specific suitability obligation under Rule 2111.05 required Whitfield to have a reasonable basis to believe the recommended securities were suitable for each particular customer. Both Engstrom's and Johansson's profiles made speculative concentration plainly unsuitable.

Second, Whitfield violated FINRA Rule 3260(b) by exercising discretion in 214 trades across 31 accounts without obtaining prior written authorization from customers or written acceptance of the accounts as discretionary by Meridian Securities. Rule 3260(b) explicitly prohibits a registered representative from exercising discretionary power in a customer's account unless the customer has given prior written authorization and the member firm has accepted the account as discretionary in writing.

Third, Whitfield violated FINRA Rule 4511 by mismarking 412 solicited trades as unsolicited across 38 accounts. Rule 4511 requires members and associated persons to make and preserve books and records as required under FINRA rules and applicable securities laws. Systematically mismarking order tickets as unsolicited falsifies the books and records of the firm and, critically, undermines the firm's ability to conduct supervisory review of the representative's recommendation activity.

All three categories of misconduct also independently violate FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade. The mismarking, in particular, was not merely a record-keeping lapse--it functioned as a deliberate mechanism to evade supervisory detection of the pattern of unsuitable and non-best-interest recommendations, compounding the severity of the violations.

Key Factor

Whitfield concentrated elderly, moderate-risk-tolerance retirees overwhelmingly into speculative micro-cap stocks in direct contradiction of their stated investment profiles, while exercising unauthorized discretion and mismarking solicited trades to evade supervisory detection.

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NON-COMPLIANT

Topic: reg_bi_esg_standards_of_conduct

Difficulty: hard

Standard: Regulation Best Interest (17 CFR §240.15l-1), including Care Obligation §240.15l-1(a)(2)(ii)(B), Disclosure Obligation §240.15l-1(a)(2)(ii)(A), Conflict of Interest Obligation §240.15l-1(a)(2)(ii)(C); Form CRS (17 CFR §240.17a-14); FINRA Rule 2111 (Suitability); SEC 2022 Division of Examinations Priorities (ESG Investing, Standards of Conduct sections)

Source: 05_SEC_Exam_Findings

Fact Pattern

Greenfield Wealth Advisors, LLC ('Greenfield') is a dual-registrant firm based in Denver, Colorado, registered as both an investment adviser under the Investment Advisers Act of 1940 and a broker-dealer with FINRA. In March 2022, Greenfield's chief marketing officer, Dana Prescott, launched a new 'ESG Premier' advisory program marketed to retail investors as providing 'rigorously screened, best-in-class ESG portfolios aligned with your values.' The program was offered through both the advisory and brokerage channels, with the brokerage side recommending ESG-labeled mutual funds and ETFs on a transactional basis, and the advisory side managing discretionary ESG model portfolios for a 1.35% annual wrap fee.

One of Greenfield's registered representatives, Marcus Hale, recommended the ESG Premier brokerage product to 74-year-old retired schoolteacher Elaine Garza in April 2022. Mrs. Garza had a moderate risk tolerance, \$430,000 in rollover IRA assets, a stated investment objective of capital preservation with modest income, and had expressed a general interest in 'doing something good with her money.' Hale recommended she invest \$310,000 across three ESG-labeled mutual funds: the Verdant Global Impact Fund (Class A shares, 5.25% front-end load, 0.92% expense ratio), the CleanTech Growth Fund (Class C shares, 1.85% expense ratio with a 1% CDSC), and the Sustainable Income Bond Fund (Class A shares, 3.50% front-end load, 0.78% expense ratio). All three funds were on Greenfield's approved product list. Greenfield received revenue-sharing payments from two of the three fund families totaling approximately \$14,500 annually based on assets placed.

Hale did not document any analysis comparing the recommended ESG funds to lower-cost ESG index ETFs available on the platform that tracked similar strategies with expense ratios between 0.10% and 0.25% and no sales loads. The Form CRS delivered to Mrs. Garza at account opening was a 2020 version that did not reflect Greenfield's updated revenue-sharing arrangements or the ESG Premier program. Greenfield's written supervisory procedures for Reg BI compliance had not been updated since their initial adoption in June 2020, and contained no specific protocols for evaluating ESG product claims against actual fund holdings, nor any procedures for documenting the cost-component analysis required under Reg BI's Care Obligation. During an SEC Division of Examinations sweep in September 2022, examiners flagged these deficiencies.

Question

Did Marcus Hale's recommendation of the ESG-labeled mutual funds to Elaine Garza, and Greenfield's related supervisory framework, satisfy the requirements of Regulation Best Interest?

Answer

No. Hale's recommendation and Greenfield's supervisory infrastructure failed to satisfy multiple components of Regulation Best Interest (17 CFR §240.15l-1), and the deficiencies are compounding.

****Care Obligation (Rule 15l-1(a)(2)(ii)(B)):** Reg BI's Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, including understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made. Here, Hale recommended Class A shares with a 5.25% front-end load and Class C shares with a 1.85% expense ratio to a 74-year-old retiree with a capital preservation objective. The platform offered substantially similar ESG index ETFs with expense ratios of 0.10%-0.25% and no loads. The cost differential on \$310,000 is dramatic: the front-end loads alone consumed approximately \$14,400 of Mrs. Garza's retirement capital. Hale documented no reasonably diligent analysis comparing these cost structures. Without such documentation -- and absent any articulable rationale for why the higher-cost share classes served Mrs. Garza's specific needs better than available alternatives -- the Care Obligation is not satisfied. The SEC has repeatedly emphasized in risk alerts (e.g., the April 2022 Staff Bulletin on Standards of Conduct) that cost is a critical factor, particularly for investors with income and preservation objectives.

****Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)):** Greenfield delivered an outdated 2020 Form CRS that omitted the revenue-sharing arrangements generating \$14,500 annually and failed to disclose material conflicts associated with the ESG Premier program. Reg BI requires full and fair disclosure of all material facts relating to conflicts of interest associated with the recommendation. Revenue-sharing creates a direct financial incentive to recommend specific fund families, and its omission is a clear disclosure failure.

****Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(C)):** Greenfield was required to establish, maintain, and enforce written policies and procedures reasonably designed to identify and mitigate conflicts of interest, including those arising from revenue-sharing. The firm's written supervisory procedures were stale -- unchanged since June 2020 -- and contained no protocols for the ESG Premier program, no cost-comparison methodology, and no framework to assess whether ESG marketing claims matched actual fund holdings. This represents a systemic compliance infrastructure failure.

****ESG-Specific Concerns:** Consistent with the 2022 Examination Priorities' focus on ESG investing (Section I.B), examiners scrutinize whether ESG claims are substantiated and whether firms have policies to evaluate ESG product labeling. Greenfield's lack of any procedure to verify ESG fund holdings against marketing claims heightens the risk of misleading recommendations.

Greenfield cannot credibly assert that Hale's recommendations were consistent with Reg BI. The combination of undocumented cost analysis, stale disclosures, undisclosed revenue-sharing conflicts, and absent ESG-specific supervisory procedures constitutes a multi-pronged violation.

Key Factor

Hale failed to document any cost-comparison analysis between high-load ESG mutual funds and substantially similar low-cost ESG ETFs available on the same platform, defeating the Care Obligation's requirement of reasonable diligence in assessing costs relative to reasonably available alternatives.

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NON-COMPLIANT

Topic: fee_selection_reverse_churning

Difficulty: hard

Standard: Investment Advisers Act §206(1)-(2) (anti-fraud/fiduciary duty); Investment Advisers Act §204 and Rule 204-3 (Form ADV delivery and disclosure); FINRA Rule 2111 (Suitability); OCIE 2015 Examination Priorities (Fee Selection and Reverse Churning)

Source: 05_SEC_Exam_Findings

Fact Pattern

Greenleaf Wealth Partners, LLC ('Greenleaf') is a dually registered investment adviser and broker-dealer based in Scottsdale, Arizona, with approximately \$1.2 billion in assets under management. In January 2015, Greenleaf's management directed its 38 financial adviser representatives to begin migrating existing brokerage clients into fee-based advisory accounts charging a 1.25% annual asset-based fee. The initiative was internally referred to as 'Project Elevation.' Between January and September 2015, Greenleaf transitioned approximately 1,400 client accounts--representing roughly \$340 million in assets--from commission-based brokerage accounts to fee-based advisory accounts.

Among the affected clients was Margaret Ellison, age 72, a retired schoolteacher in Mesa, Arizona, with a \$485,000 portfolio consisting primarily of 15 individual investment-grade municipal bonds, three certificates of deposit, and a single S&P 500 index fund. Mrs. Ellison's account had generated only \$380 in total commissions over the prior 24 months because her holdings were buy-and-hold, income-oriented positions that required minimal trading. Her financial adviser, Kevin Driscoll, moved her account into Greenleaf's 'Premier Advisory Program' in March 2015 without conducting any updated suitability analysis or investment profile review. Under the new fee-based arrangement, Mrs. Ellison was charged \$6,062.50 in advisory fees during the first twelve months--a roughly 1,500% increase in total costs--despite no meaningful change in her investment strategy, no additional financial planning services, and no increase in the frequency of portfolio reviews. The Form ADV Part 2A brochure delivered to Mrs. Ellison at the time of the transition contained boilerplate language about fee-based accounts offering 'alignment of interests' and 'ongoing portfolio monitoring,' but did not disclose that her prior brokerage arrangement would likely have been significantly less expensive given her trading pattern.

Greenleaf's Chief Compliance Officer, Diana Reyes, had flagged the initiative in a February 2015 memo to management, noting that clients with low trading activity could be harmed by the transition and recommending individualized cost-benefit analyses before any migration. Management overruled the recommendation, citing competitive pressures and the desire for 'more predictable revenue streams.' No individualized analyses were performed for any of the 1,400 transitioned accounts. Internal emails later revealed that Greenleaf's representatives received a one-time \$500 bonus per account transitioned, creating an additional financial incentive to move clients regardless of suitability.

Question

Did Greenleaf Wealth Partners and its representative Kevin Driscoll violate their fiduciary and regulatory obligations by transitioning Margaret Ellison's low-activity brokerage account to a fee-based advisory account without conducting an individualized cost-benefit analysis?

Answer

Yes, Greenleaf and Driscoll violated multiple fiduciary and regulatory obligations. The conduct constitutes a textbook case of 'reverse churning'--the practice of placing a client in a fee-based advisory account where the ongoing asset-based fee substantially exceeds any benefit the client derives, particularly when the client's trading activity is minimal and the advisory services provided are negligible.

First, under Investment Advisers Act §206(1) and (2), investment advisers owe clients a fiduciary duty that encompasses both a duty of care and a duty of loyalty. The duty of care requires that an adviser provide advice that is in the client's best interest, including ensuring that the fee arrangement is suitable in light of the services actually rendered. By migrating Mrs. Ellison--a buy-and-hold retiree whose commission costs were \$380 over two years--into an account costing over \$6,000 annually with no incremental services, Greenleaf breached its duty of care. The duty of loyalty was also breached because the transition was motivated by Greenleaf's desire for predictable revenue and incentivized by the \$500-per-account bonus paid to representatives, creating an undisclosed material conflict of interest.

Second, the 2015 OCIE examination priorities explicitly identified 'Fee Selection and Reverse Churning' as a focus area, noting that where an adviser offers a variety of fee arrangements, examiners will scrutinize 'recommendations of account types and whether they are in the best interest of the client at the inception of the arrangement and thereafter, including fees charged, services provided, and disclosures made.' Greenleaf's wholesale migration without individualized analysis directly implicates this priority.

Third, to the extent Driscoll acted in his broker-dealer capacity when recommending the transition, FINRA Rule 2111 (Suitability) required a reasonable basis for believing the recommendation was suitable based on the customer's investment profile. No updated investment profile review was conducted, and the dramatically higher cost was unjustified by any change in strategy or services. The quantitative suitability component--while typically applied to excessive trading--is analogous here: the cost-to-benefit ratio was grossly disproportionate.

Fourth, the Form ADV Part 2A disclosure was inadequate under Advisers Act §204 and Rule 204-3 because it used boilerplate language about 'alignment of interests' without disclosing the material fact that Mrs. Ellison's prior arrangement was far less costly given her trading pattern. The CCO's documented warning, which management overruled, further demonstrates that Greenleaf had actual knowledge of the potential harm and consciously disregarded it. This aggravating factor would likely elevate any enforcement action beyond a simple compliance deficiency to potential fraud charges under §206.

Greenleaf cannot defend on grounds that the client received the ADV brochure, as boilerplate disclosure does not satisfy fiduciary obligations when the adviser knows the specific client will be disadvantaged.

Key Factor

Greenleaf transitioned a low-activity, buy-and-hold retiree into a fee-based advisory account that increased her costs by approximately 1,500% without conducting any individualized cost-benefit analysis, while its CCO's written warning was overruled and representatives were paid per-account bonuses to incentivize the migration.

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NON-COMPLIANT

Topic: robo_adviser_risk_tolerance_questionnaire_deficiency

Difficulty: hard

Standard: Investment Advisers Act of 1940 §§ 206(1), 206(2), 206(4); Advisers Act Rule 206(4)-7 (Compliance Rule); Advisers Act Rule 203A-2(e) (Internet Adviser Exemption); Advisers Act § 204 (Recordkeeping); SEC Division of Investment Management Guidance Update: Robo-Advisers (Feb. 23, 2017); SEC Division of Examinations eIA Risk Alert (Nov. 9, 2021)

Source: 05_SEC_Exam_Findings

Fact Pattern

Apex Digital Advisors, LLC ('Apex'), a registered investment adviser that registered with the SEC in reliance on the Internet adviser exemption under Advisers Act Rule 203A-2(e), launched its robo-advisory platform 'SmartNest' in March 2019 to provide automated portfolio management to retail investors and participants in employer-sponsored 401(k) plans. By September 2021, SmartNest managed approximately \$1.8 billion in assets across 42,000 individual accounts and 15 employer-sponsored retirement plans covering roughly 28,000 participants.

SmartNest's onboarding process required new clients to complete a 7-question online risk tolerance questionnaire. The questionnaire asked about the client's age, annual income, investment time horizon, and general comfort with market volatility, but did not inquire about the client's existing assets outside the platform, outstanding liabilities (such as mortgage debt or student loans), liquidity needs, tax situation, or specific financial goals beyond retirement. Based solely on the questionnaire responses, Apex's proprietary algorithm assigned each client to one of five model portfolios ranging from 'Conservative' (80% fixed income / 20% equities) to 'Aggressive Growth' (10% fixed income / 90% equities, including a 15% allocation to a proprietary ETF, Apex Growth Fund (ticker: APXG), managed by Apex's affiliated entity, Apex Fund Management, LLC). The algorithm's default setting automatically placed any client under age 35 into the Aggressive Growth portfolio unless the client manually selected a different risk level--a feature buried three screens deep in the settings menu.

Margaret Chen, a 29-year-old school teacher in Austin, Texas earning \$52,000 annually, opened a SmartNest account in June 2020 and contributed \$38,000 of her savings. Margaret had \$87,000 in outstanding student loan debt and was saving for a home down payment she planned to make within two years. Because the questionnaire never asked about her liquidity needs, debt obligations, or near-term goals, the algorithm placed her entirely in the Aggressive Growth portfolio. During the market correction in September 2021, Margaret's portfolio lost approximately \$7,600 (20%), severely impacting her ability to make her planned down payment. Apex's Form ADV Part 2A disclosed that 'portfolios are constructed using an algorithm that considers client-reported information' but did not disclose the age-based default assignment methodology or the conflict of interest arising from the 15% allocation to the affiliated APXG fund, which charged a 0.65% expense ratio--nearly double the 0.35% expense ratio of a comparable unaffiliated index ETF.

During a Division of Examinations sweep under the Electronic Investment Advice Initiative in October 2021, examiners found that Apex had not updated its risk questionnaire since the platform's 2019 launch, had no written policies or procedures governing periodic review or validation of the algorithm's suitability determinations, and had received 214 client complaints about inappropriate portfolio assignments over the prior 18 months without escalating the issue to the Chief Compliance Officer.

Question

Did Apex Digital Advisors breach its fiduciary duty under the Investment Advisers Act by failing to adequately capture

client investment profiles through its risk tolerance questionnaire, failing to disclose its age-based default assignment methodology and affiliated fund conflict, and failing to adopt and implement adequate compliance policies and procedures?

Answer

Apex Digital Advisors committed multiple violations of the Investment Advisers Act of 1940 and related obligations. The analysis proceeds on three grounds.

First, Apex breached its fiduciary duty of care under the Advisers Act by failing to act in its clients' best interests. Under SEC guidance, including the Division of Investment Management's February 2017 Guidance Update on Robo-Advisers, a robo-adviser must ensure that its client profiling process gathers sufficient information to form a reasonable basis for its investment recommendations. Apex's 7-question questionnaire omitted critical financial profile elements--outstanding liabilities, liquidity needs, near-term financial goals, outside assets, and tax considerations. As the eIA Risk Alert explicitly warns, when 'a robo-adviser's client survey process does not appropriately capture a client's risk tolerance, it could result in advice to invest in securities that are not aligned with the client's best interest.' Margaret Chen's situation is a textbook example: a 29-year-old with \$87,000 in student debt and a two-year home purchase timeline was algorithmically placed into a 90% equity portfolio solely because of her age. This constitutes a failure of the duty of care.

Second, Apex breached its fiduciary duty of loyalty and violated Advisers Act Section 206(1) and 206(2) by failing to disclose material conflicts of interest. The 15% default allocation to the affiliated APXG fund--which carried expense ratios nearly double those of comparable alternatives--constituted a conflict that Apex was required to fully and fairly disclose. The Form ADV Part 2A's generic statement that 'portfolios are constructed using an algorithm that considers client-reported information' was insufficient to inform clients of either the age-based default override or the affiliated fund allocation. Under Section 206(2), an adviser engages in a fraudulent or deceptive act when it fails to disclose material conflicts, regardless of intent. Apex's omission satisfies this standard.

Third, Apex violated Advisers Act Section 206(4) and Rule 206(4)-7 (the Compliance Rule), which requires every registered adviser to adopt and implement written policies and procedures reasonably designed to prevent violations of the Advisers Act. Apex had no written procedures governing periodic review or validation of its algorithm's suitability determinations, had not updated the questionnaire in over two years despite evolving client demographics and market conditions, and failed to escalate 214 client complaints to the CCO. These facts demonstrate a systemic compliance failure, not an isolated oversight.

Apex cannot defend on the basis that clients voluntarily completed the questionnaire or that the settings menu theoretically allowed manual portfolio selection. A fiduciary cannot shift the burden to unsophisticated retail investors to discover and correct deficiencies in the adviser's own profiling methodology, particularly when the override mechanism was buried three screens deep. The totality of the facts--inadequate information gathering, undisclosed conflicts, affiliated fund self-dealing, and absent compliance infrastructure--constitutes a clear pattern of non-compliance identified as a core risk in the Division's eIA Initiative examinations.

Key Factor

Apex's risk tolerance questionnaire failed to capture critical client financial information--including liquidity needs, outstanding liabilities, and near-term goals--resulting in algorithmically generated portfolio assignments that were not aligned with clients' best interests, compounded by undisclosed conflicts from affiliated fund allocations.

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NON-COMPLIANT

Topic: reg_bi_cost_suitability_excess_property_procurement

Difficulty: hard

Standard: Regulation Best Interest (17 CFR §240.15l-1), including Care Obligation (Rule 15l-1(a)(2)(ii)(B)), Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)), Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(D)); FINRA Rule 3110 (Supervision); FINRA Rule 2111 (Suitability); Regulation S-P (17 CFR §248.30); SEC Form CRS (17 CFR §249.640)

Source: 05_SEC_Exam_Findings

Fact Pattern

Meridian Securities LLC is a dual-registered broker-dealer and investment adviser based in Arlington, Virginia, with approximately \$2.3 billion in assets under advisement and 147 registered representatives. In March 2025, the SEC's Division of Examinations commenced a routine examination of Meridian focusing on Regulation Best Interest (Reg BI) compliance. During the exam, staff discovered that Meridian's Chief Operating Officer, Sandra Whitfield, had been responsible for a cost-reduction initiative launched in September 2024. As part of that initiative, Whitfield directed the firm's operations team to procure 85 refurbished laptop computers and 40 network switches from a third-party surplus dealer, Apex Resale Partners, for a total cost of \$187,500. These devices were deployed across branch offices for use by registered representatives who accessed client portfolio management systems, custodial platforms, and the firm's order management system.

The examination staff found that the refurbished equipment had not been subjected to any supply chain risk assessment, and the laptops shipped with outdated operating systems (Windows 10, which had reached end-of-life support in October 2025). The network switches lacked current firmware and had no documented chain of custody from their original government or corporate owners. Meridian's written supervisory procedures (WSPs) referenced a cybersecurity policy requiring that all IT equipment meet NIST SP 800-53 controls, but Whitfield bypassed the internal IT security review process, justifying the decision as a 'cost-saving procurement measure.' No vulnerability scan, configuration audit, or secure wipe verification was performed before deployment.

During the same exam period, staff also reviewed a sample of 200 retail customer accounts and identified that 34 customers--primarily retirees aged 65-78 with moderate risk profiles and account sizes ranging from \$120,000 to \$475,000--had been recommended Class C shares of the Prestige Growth & Income Fund, which carried a 1.00% annual 12b-1 fee and a 1.00% contingent deferred sales charge (CDSC). An institutional share class of the same fund was available on Meridian's platform at a net expense ratio of 0.45% with no sales load, and these customers' account sizes qualified for the lower-cost share class. Meridian's compliance department had not updated its share class conflict disclosure since 2021, and the firm's Reg BI disclosure (Form CRS) did not mention the availability of lower-cost share classes for the specific fund family. Registered representative Derek Hollis, who handled 28 of the 34 accounts, received a 0.25% trailing commission on Class C shares that he would not have received on the institutional class.

Question

Did Meridian Securities LLC violate Regulation Best Interest and its related component obligations by (a) recommending higher-cost share classes to retail customers without adequate disclosure or consideration of reasonably available alternatives, and (b) deploying unsecured IT equipment that could compromise client data, and what are the specific regulatory implications?

Answer

Meridian Securities LLC committed multiple violations implicating Regulation Best Interest (17 CFR §240.15l-1) and related supervisory obligations under FINRA Rules.

First, regarding the share class recommendations: Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)) requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs associated with a recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering reasonably available alternatives. Here, 34 retail customers--predominantly senior investors with moderate risk profiles--were placed in Class C shares carrying a combined cost burden of approximately 2.00% (1.00% 12b-1 plus potential CDSC), when a qualifying institutional share class at 0.45% was available on the firm's own platform. The \$120,000-\$475,000 account sizes clearly met institutional class thresholds. This represents a failure of the Care Obligation because Derek Hollis and Meridian failed to consider the reasonably available lower-cost alternative.

Additionally, the Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(D)) required Meridian to establish, maintain, and enforce written policies and procedures reasonably designed to identify, disclose, and mitigate or eliminate material conflicts of interest. Hollis's 0.25% trailing commission on Class C shares created a direct financial incentive to recommend the higher-cost class. The firm's failure to update its conflict disclosures since 2021 and the omission of share class availability from Form CRS violated the Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)). This mirrors findings from the SEC's November 2020 Risk Alert on Reg BI examinations and the longstanding share-class selection disclosure initiative.

Second, the IT procurement issue implicates FINRA Rule 3110 (Supervision) and Regulation S-P (17 CFR §248.30), which requires broker-dealers to adopt written policies and procedures reasonably designed to safeguard customer records and information. Deploying 85 unvetted laptops with end-of-life operating systems and 40 network switches without firmware updates, chain-of-custody verification, or vulnerability scanning--while bypassing the firm's own NIST-aligned cybersecurity policies--creates material risk of unauthorized access to client data. The SEC's guidance on excess personal property procurement (OCOO.01, February 2025) illustrates that even the SEC itself requires rigorous supply chain and configuration review before deploying surplus IT equipment. A regulated entity holding sensitive retail customer data bears at least an equivalent duty.

Meridian cannot raise a cost-efficiency defense; Reg BI and supervisory obligations are not subject to budgetary convenience exceptions. The firm's WSPs were adequate on paper but were willfully circumvented, establishing a supervisory failure. The verdict is non-compliant on both counts, exposing Meridian to potential enforcement action, disgorgement of excess compensation, and remedial undertakings.

Key Factor

Meridian's registered representative received a 0.25% trailing commission on Class C shares while an available lower-cost institutional share class was never considered or disclosed, directly failing Reg BI's Care and Conflict of Interest Obligations.

Item 30 of 499

NON-COMPLIANT

Topic: robo_adviser_risk_tolerance_questionnaire_deficiency

Difficulty: hard

Standard: Investment Advisers Act of 1940 §206(1), §206(2), §206(4); Rule 206(4)-1 (disclosure); Rule 206(4)-7 (compliance programs); Rule 203A-2(e) (Internet adviser exemption); SEC Interpretation Regarding Standard of Conduct for Investment Advisers (IA-5248, June 2019); OCIE/Division of Examinations Risk Alert: Observations from Examinations of Advisers that Provide Electronic Investment Advice (Nov. 9, 2021)

Source: 05_SEC_Exam_Findings

Fact Pattern

NovaTech Digital Advisors, LLC ('NovaTech') is an SEC-registered investment adviser that launched its robo-advisory platform in January 2019, registering under the Internet adviser exemption pursuant to Advisers Act Rule 203A-2(e). By March 2023, NovaTech managed approximately \$1.8 billion in assets across 47,000 individual retail accounts and approximately 120 employer-sponsored 401(k) plans covering 15,000 participants. NovaTech's platform uses a proprietary algorithm to construct and manage diversified ETF portfolios across five risk tiers: Conservative, Moderately Conservative, Balanced, Growth, and Aggressive Growth.

NovaTech's onboarding process includes a seven-question digital risk tolerance questionnaire ('RTQ'). The RTQ asks clients about their investment time horizon, annual income, net worth, and general comfort with market volatility, but does not ask about liquidity needs, existing debt obligations, concentration in employer stock (relevant for 401(k) participants), or near-term financial goals such as home purchases or college tuition. Additionally, the RTQ uses a static scoring methodology that has not been updated or back-tested since the platform's initial launch in 2019, despite significant changes in market conditions--including the COVID-19 sell-off and the 2022 rate-driven equity/bond drawdowns. NovaTech's compliance team flagged the RTQ's limitations in an internal memorandum dated September 2021, recommending the addition of at least four supplemental questions addressing liquidity and near-term cash needs. Senior management deferred the update to a future product release that, as of August 2023, had not been implemented.

In one illustrative case, Margaret Ellison, age 62, a participant in the Harbor Industries 401(k) plan serviced by NovaTech, completed the RTQ in April 2022. She indicated a five-year time horizon (reflecting her expected retirement at 67), household income of \$95,000, and moderate comfort with volatility. Based solely on these inputs, the algorithm placed her in the 'Growth' tier--an 80% equity / 20% fixed income allocation--without ascertaining that she had \$42,000 in outstanding consumer debt and planned to draw \$60,000 from her 401(k) within 18 months to pay off that debt and fund a kitchen renovation. Ms. Ellison's Growth portfolio lost approximately 17.4% (\$31,320 on a \$180,000 balance) during the 2022 market downturn. Had the questionnaire captured her near-term liquidity need and debt profile, the algorithm would have placed her in the 'Moderately Conservative' tier (35% equity / 65% fixed income), which lost only 5.2% over the same period. NovaTech's Form ADV Part 2A brochure stated that the firm 'constructs portfolios tailored to each client's unique financial circumstances and risk profile,' without disclosing that the RTQ did not capture liquidity needs or near-term spending goals.

Question

Did NovaTech Digital Advisors violate its fiduciary obligations under the Investment Advisers Act by failing to update its risk tolerance questionnaire and by omitting material questions regarding liquidity needs and near-term financial goals, resulting in unsuitable portfolio allocations for clients like Margaret Ellison?

Answer

Yes. NovaTech violated its fiduciary duty under the Investment Advisers Act of 1940, specifically the duty of care and duty of loyalty owed to advisory clients, as articulated in *SEC v. Capital Gains Research Bureau, Inc.*, 375 U.S. 180 (1963), and as reinforced by the SEC's June 2019 Commission Interpretation Regarding Standard of Conduct for Investment Advisers (IA-5248). The Division of Examinations' 2021 Risk Alert on Electronic Investment Advice specifically identified deficient client survey processes--those that fail to appropriately capture a client's risk tolerance--as a key compliance concern that can result in advice misaligned with a client's best interest.

First, NovaTech's duty of care requires it to have a reasonable basis for the investment advice it provides, which necessarily includes a reasonable process for gathering client information. The RTQ's omission of questions regarding liquidity needs, outstanding debt, and near-term financial goals renders it materially deficient. Under Advisers Act §206(1) and §206(2), an adviser engages in fraud or deceit when it fails to obtain sufficient information to form a reasonable basis for its recommendations. The seven-question RTQ, which ignored liquidity and near-term cash demands, cannot support a 'reasonable belief' that the resulting allocation serves the client's best interest. The 2021 Risk Alert explicitly warns that if a robo-adviser's questionnaire 'does not appropriately capture a client's risk tolerance, it could result in advice to invest in securities that are not aligned with the client's best interest.'

Second, NovaTech's Form ADV Part 2A disclosure was materially misleading in violation of Advisers Act §206(4) and Rule 206(4)-1. The brochure represented that portfolios were 'tailored to each client's unique financial circumstances,' when in fact the RTQ systematically excluded key financial circumstances. This creates an inadequate and misleading disclosure, another specific deficiency category identified in the Risk Alert.

Third, NovaTech's internal compliance memorandum from September 2021 documenting the RTQ's deficiencies--and management's failure to act on it for nearly two years--undermines any defense of good faith and demonstrates a potential violation of Advisers Act §206(4) and Rule 206(4)-7 (compliance program requirements). An adviser's compliance policies must be reasonably designed to prevent violations; knowingly deferring a remediation of an identified deficiency is itself a compliance program failure.

Ms. Ellison's case concretely illustrates the harm: a \$31,320 loss versus an estimated \$9,360 loss had the questionnaire been adequate. NovaTech cannot defend by arguing automation alone satisfies its obligations; the fiduciary duty applies with equal force regardless of the delivery mechanism. The firm should have updated the RTQ, disclosed its limitations, or implemented a process for human review of edge cases involving retirement-age participants with near-term liquidity needs.

Key Factor

NovaTech's risk tolerance questionnaire systematically omitted questions regarding liquidity needs, near-term financial goals, and outstanding debt, resulting in unsuitable portfolio allocations that the firm's own compliance team had flagged but management failed to remediate for nearly two years.

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NON-COMPLIANT

Topic: alternative_investment_due_diligence

Difficulty: hard

Standard: Investment Advisers Act of 1940 §206(1), (2), and (4); Rule 206(4)-7 (Compliance Policies and Procedures); SEC v. Capital Gains Research Bureau, Inc., 375 U.S. 180 (1963); ERISA §404(a)(1)(B) (Prudent Expert Standard); OCIE Risk Alert on Investment Adviser Due Diligence Processes for Selecting Alternative Investments (Jan. 28, 2014)

Source: 05_SEC_Exam_Findings

Fact Pattern

Ridgewood Capital Advisors, LLC ('Ridgewood') is an SEC-registered investment adviser based in Hartford, Connecticut, with approximately \$2.8 billion in assets under management. Ridgewood serves as the investment consultant to the Connecticut Municipal Employees' Pension Fund ('the Fund'), a defined benefit plan with \$1.4 billion in total assets covering 12,000 active and retired municipal workers. In March 2022, Ridgewood's Chief Investment Officer, David Thornton, recommended that the Fund allocate \$70 million -- roughly 5% of total plan assets -- to Pinnacle Offshore Partners, LP, a Cayman Islands-domiciled hedge fund employing a long/short credit strategy managed by Pinnacle Asset Management Group ('Pinnacle'). Thornton had attended a capital introduction dinner hosted by Pinnacle's prime broker, Goldman Sachs, in January 2022 and was impressed by the fund's purported 18.2% annualized net return over five years.

Ridgewood's written due diligence policy, last updated in 2019, required that before recommending any alternative investment to pension plan clients, the firm must: (1) conduct an onsite visit to the manager's offices; (2) independently verify assets under management through the fund administrator; (3) obtain and review position-level transparency or a transparency report from an independent risk aggregator; (4) perform comprehensive background checks on key personnel through a third-party provider; and (5) confirm the existence and independence of critical service providers including the auditor, administrator, and prime broker. Ridgewood's compliance manual further stated that these steps must be documented in an investment memorandum prior to any allocation.

In practice, Thornton bypassed several of these steps. No onsite visit was conducted; Thornton instead relied on a 45-minute Zoom call with Pinnacle's head of investor relations. Ridgewood did not independently verify Pinnacle's \$900 million in reported AUM through the fund's administrator, Apex Fund Services, and instead accepted Pinnacle's self-reported figure from its marketing deck. No background checks were run on Pinnacle's portfolio manager, Marcus Webb, who -- had a check been performed -- would have revealed a 2017 FINRA bar for unauthorized trading at a prior broker-dealer. Ridgewood did not request or obtain any position-level transparency or independent transparency report. The only due diligence document produced was a two-page summary memo drafted by a junior analyst who had joined the firm three weeks earlier. The \$70 million allocation was executed on April 15, 2022. By November 2022, Pinnacle had suspended redemptions, and the Fund ultimately recovered only \$11.2 million of its investment after Pinnacle's collapse amid revelations of inflated NAV reporting.

During an SEC examination in Q1 2023, OCIE staff reviewed Ridgewood's due diligence files and identified the gaps between Ridgewood's written policies and its actual practices regarding the Pinnacle allocation.

Question

Did Ridgewood Capital Advisors breach its fiduciary duty under the Investment Advisers Act and its own compliance policies in connection with the due diligence performed on the Pinnacle Offshore Partners allocation for the Connecticut

Municipal Employees' Pension Fund?

Answer

Ridgewood Capital Advisors clearly breached its fiduciary duty under the Investment Advisers Act of 1940, and its conduct would likely be cited as deficient under Section 206(1) and (2) of the Advisers Act, which prohibit fraudulent, deceptive, or manipulative practices, as well as Section 206(4) and Rule 206(4)-7, which require advisers to adopt and implement written compliance policies and procedures reasonably designed to prevent violations. The Supreme Court's foundational holding in *SEC v. Capital Gains Research Bureau, Inc.*, 375 U.S. 180 (1963), establishes that an investment adviser owes a fiduciary duty to act in its clients' best interests, encompassing a duty of care that necessarily includes the obligation to conduct reasonable investigation before making investment recommendations.

The OCIE Risk Alert at issue specifically identifies best practices for due diligence of alternative investments, including: (i) conducting onsite reviews; (ii) independently verifying assets through fund administrators; (iii) obtaining position-level transparency or independent transparency reports; (iv) having independent providers perform comprehensive background checks; and (v) confirming the independence and existence of critical service providers. Ridgewood's own written compliance policies incorporated each of these steps, yet the firm failed to execute any of them with respect to the Pinnacle allocation.

The failure is compounded by several factors. First, Ridgewood owed heightened duties as a pension consultant under ERISA §404(a)(1)(B), which requires fiduciaries to act with the 'care, skill, prudence, and diligence' of a prudent expert -- the so-called 'prudent expert' standard. Allocating \$70 million of pension assets based on a marketing deck and a brief video call with investor relations, without any independent verification, falls well below this standard. Second, the failure to conduct background checks on Marcus Webb, which would have revealed his FINRA bar under FINRA Rule 2111 considerations and general prudence requirements, represents a material gap -- the very type of operational due diligence failure the Risk Alert warns against. Third, Ridgewood's reliance on a two-page memo drafted by a newly hired junior analyst demonstrates a failure to utilize experienced investment teams when evaluating complex strategies, another deficiency highlighted by OCIE.

Ridgewood cannot defend its conduct by arguing reliance on Pinnacle's representations; the fiduciary duty demands independent verification, not passive acceptance. The firm's written policies existed precisely because the complexity and opacity of alternative investments demand heightened scrutiny. The disconnect between Ridgewood's written procedures and its actual conduct constitutes a violation of Rule 206(4)-7's implementation requirement. The SEC has consistently held that adopting policies on paper without following them is itself a compliance failure. Ridgewood's conduct was non-compliant across multiple dimensions.

Key Factor

Ridgewood systematically failed to follow its own written due diligence policies -- including onsite visits, independent AUM verification, background checks, and position-level transparency review -- before allocating \$70 million of pension assets to an alternative investment manager whose principal had a prior FINRA bar.

Item 32 of 499**NON-COMPLIANT**

Topic: dol_fiduciary_definition_annuity_rollover

Difficulty: hard

Standard: ERISA §3(21)(A)(ii); ERISA §§404(a), 406(a), 406(b); IRC §4975(c)(1)(D)-(F); IRC §4975(e)(3)(B); PTE 2020-02 §§II(a)-(d); Proposed Retirement Security Rule (RIN 1210-AC02); Proposed Amendment to PTE 2020-02 (Application No. D-12057, RIN 1210-ZA32); 29 CFR 2550

Source: 06_DOL_Fiduciary

Fact Pattern

Marcus Whitfield is a registered representative with Pinnacle Financial Services, a dually registered broker-dealer and investment adviser. In March 2024, Marcus contacts Helen Ostrowski, a 62-year-old public school teacher nearing retirement, after obtaining her information from a lead-generation service that targets participants in the state teachers' 403(b) plan. Helen has \$387,000 in her 403(b) account, invested in a diversified portfolio of low-cost target-date funds with an all-in expense ratio of 0.12%. Marcus invites Helen to a complimentary 'retirement readiness workshop' at a local hotel, where he delivers a presentation emphasizing the risks of market volatility and the importance of guaranteed lifetime income in retirement.

Following the workshop, Marcus schedules an individual meeting with Helen. During this meeting, he recommends that she roll over her entire 403(b) balance into an individual retirement account (IRA) at Pinnacle, and then invest the proceeds in the Apex Secure Horizon Plus fixed indexed annuity, which carries a 10-year surrender charge schedule starting at 9%, an annual rider fee of 1.35% for a guaranteed lifetime withdrawal benefit, and a 1.15% annual spread charge. Marcus would receive a 6.5% upfront commission (\$25,155) on the sale, plus a 0.25% trail commission. Marcus does not document any analysis comparing Helen's existing 403(b) plan investment options, fees, and available annuity options within the plan to the recommended IRA rollover and annuity purchase. He does not evaluate whether Helen's existing plan offers an institutional-share annuity with lower fees. His written recommendation to Helen states only that 'guaranteed income provides peace of mind in retirement' and that 'an IRA gives you more control over your money.'

Pinnacle's compliance department has a rollover review policy, but it requires only that the representative complete a one-page checklist confirming the client was informed of rollover options. The checklist does not require a quantitative comparison of plan fees, investment options, or a cost-benefit analysis of remaining in the existing plan versus rolling over. Marcus completes the checklist, checks all boxes, and the transaction is approved the same day. Helen signs the rollover paperwork and annuity application without receiving any written disclosure of the conflicts of interest arising from Marcus's compensation differential.

Question

Under the DOL's proposed Retirement Security Rule and the existing/proposed requirements of PTE 2020-02, did Marcus and Pinnacle Financial Services satisfy their fiduciary obligations in connection with Helen's rollover recommendation and annuity purchase?

Answer

No. Marcus and Pinnacle Financial Services failed to satisfy their fiduciary obligations under both the proposed Retirement Security Rule's expanded definition of investment advice fiduciary and the conditions of PTE 2020-02, as proposed to be amended.

First, under the proposed Retirement Security Rule (RIN 1210-AC02), Marcus's recommendation that Helen roll over her 403(b) into an IRA would constitute fiduciary investment advice. The proposal broadens the definition under ERISA §3(21)(A)(ii) and IRC §4975(e)(3)(B) to capture one-time rollover recommendations made by persons who hold themselves out as providing individualized retirement advice for a fee or other compensation, which Marcus clearly does through the workshop and individual consultation.

As a fiduciary, Marcus's rollover recommendation triggers the prohibited transaction rules under ERISA §406(b) and IRC §4975(c)(1)(D)-(F), because the recommendation generates substantial variable compensation (6.5% upfront commission plus trails) that creates a direct conflict of interest. To rely on PTE 2020-02 for relief, both Marcus and Pinnacle must satisfy several conditions they plainly failed to meet.

Under PTE 2020-02 §II(a), the investment professional must provide advice in the "best interest" of the retirement investor, meaning the fiduciary must act with the care, skill, prudence, and diligence that a prudent person would exercise based on the investment objectives, risk tolerance, financial circumstances, and needs of the investor, without regard to the financial interests of the adviser. Marcus conducted no documented comparison of Helen's existing 403(b) plan costs (0.12% all-in) versus the recommended annuity (combined annual costs exceeding 2.50% plus a 9% surrender penalty). This omission is fatal.

Under PTE 2020-02 §II(b), specifically addressing rollover recommendations, the fiduciary must consider the existing plan's fees, available investment options, services, and potential penalty-free distribution features. Marcus performed none of this analysis. The one-page checklist used by Pinnacle does not constitute the specific rollover documentation the DOL requires under the exemption's conditions.

Under PTE 2020-02 §II(c) and (d), the financial institution must adopt and enforce written policies and procedures reasonably designed to ensure compliance with the Impartial Conduct Standards and must disclose material conflicts of interest, including compensation differentials. Pinnacle's perfunctory checklist policy falls far short of this requirement, and Marcus provided Helen no written conflict-of-interest disclosure.

The proposed amendments to PTE 2020-02 further tighten these requirements, making Pinnacle's same-day approval process and lack of quantitative analysis even more clearly deficient. Without satisfying PTE 2020-02's conditions, the transaction constitutes a non-exempt prohibited transaction under ERISA §406(b) and IRC §4975(c).

Key Factor

Marcus failed to perform or document any comparative analysis of Helen's existing low-cost 403(b) plan options versus the higher-cost IRA annuity, as required by PTE 2020-02's rollover-specific conditions, rendering the prohibited transaction exemption unavailable.

Item 33 of 499

NON-COMPLIANT

Topic: dol_fiduciary_rollover_recommendation

Difficulty: hard

Standard: ERISA §3(21)(A)(ii); ERISA §§404(a), 406(b); IRC §4975(c)(1)(D)-(F), §4975(e)(3)(B); PTE 2020-02 §II(a) Impartial Conduct Standards; PTE 2020-02 proposed amendments regarding rollover documentation requirements; DOL Proposed Rule 88 FR 75890 (Nov. 3, 2023); 29 CFR §2550.408b-2

Source: 06_DOL_Fiduciary

Fact Pattern

Marcus Harding is a registered representative and investment adviser representative affiliated with Pinnacle Financial Partners, Inc., an independent broker-dealer and corporate RIA based in Des Moines, Iowa, with approximately 800 financial professionals. On March 12, 2024, Marcus met with Linda Kowalski, a 58-year-old public school teacher in Cedar Rapids, Iowa, who was considering what to do with her 403(b) plan after learning she would be eligible for early retirement in September 2024. Linda's 403(b) held \$287,000, invested in a lineup of low-cost TIAA-CREF index funds with a blended expense ratio of 0.08%. Linda also had a small traditional IRA with \$34,000 at a local bank, invested in a 12-month CD earning 4.85% APY.

During their meeting, Marcus recommended that Linda roll her 403(b) into a new IRA at Pinnacle, where he would manage the assets in a fee-based advisory account charging 1.25% annually. He also recommended consolidating the bank IRA into the same account for simplicity. Marcus prepared a financial plan projecting 7% annual growth and emphasized the benefits of 'holistic management' and 'personalized attention.' He did not document any comparison of the 403(b) plan's investment options, fees, or available services against the proposed IRA. He did not evaluate whether Linda could remain in the 403(b) post-separation or whether the plan offered any institutional share classes, stable value funds, or annuity guarantees that would be unavailable in a retail IRA.

Marcus's compensation would increase significantly from the rollover: he would earn approximately \$3,587.50 annually in advisory fees on the combined \$321,000, whereas he earned nothing from Linda's existing 403(b) or CD-based IRA. Pinnacle Financial Partners had a general rollover recommendation policy template but did not require advisers to complete a specific rollover comparison worksheet or document the basis for recommending a rollover over staying in the employer plan. Marcus submitted the rollover paperwork on April 3, 2024, and Linda's assets were transferred by April 22, 2024.

Question

Under the DOL's proposed expanded fiduciary definition and the requirements of PTE 2020-02 as proposed to be amended, did Marcus Harding and Pinnacle Financial Partners satisfy their fiduciary obligations in connection with the rollover recommendation to Linda Kowalski?

Answer

No. Marcus Harding and Pinnacle Financial Partners failed to satisfy their fiduciary obligations under both the DOL's proposed expanded definition of investment advice fiduciary and the conditions of PTE 2020-02 as proposed to be amended.

First, under the proposed rule expanding the definition of 'investment advice for a fee' under ERISA §3(21)(A)(ii) and Internal Revenue Code §4975(e)(3)(B), Marcus's rollover recommendation to Linda clearly constitutes fiduciary

investment advice. The proposed rule eliminates the prior five-part test and instead captures one-time recommendations -- including rollover recommendations -- made by persons who hold themselves out as providing individualized advice in exchange for a fee. Marcus met with Linda individually, presented a personalized financial plan, and would receive ongoing advisory fees from the rolled-over assets. This squarely falls within the proposed rule's broader fiduciary definition.

Second, because Marcus is a fiduciary receiving compensation that creates a conflict of interest (he earns 1.25% on rolled-over assets versus nothing on the 403(b)), the transaction is a prohibited transaction under ERISA §406(b) and IRC §4975(c)(1)(D)-(F). To rely on PTE 2020-02 for relief, Marcus and Pinnacle must satisfy several conditions, including the Impartial Conduct Standards requiring that the advice be in the customer's best interest at the time of the recommendation, that compensation be reasonable, and that no materially misleading statements be made. Critically, PTE 2020-02 as proposed to be amended specifically requires documentation of the specific reasons why a rollover recommendation is in the retirement investor's best interest, including a comparison of investment options, fees, and services available in the existing plan versus the recommended IRA.

Marcus performed no such comparison. He did not evaluate whether Linda could remain in the 403(b) post-retirement, did not compare the 0.08% blended expense ratio against the proposed 1.25% advisory fee, and did not assess whether TIAA-CREF's institutional products -- including potential stable value or guaranteed income options -- would be lost. The annual fee differential alone (approximately \$3,350 more per year in the IRA) with no documented offsetting benefit strongly suggests the recommendation was not in Linda's best interest.

Pinnacle's supervisory failure compounds the violation. Under PTE 2020-02's amended provisions, the financial institution must establish, maintain, and enforce written policies and procedures to ensure compliance, including specific protocols for rollover recommendations. Pinnacle's generic template without a mandatory rollover comparison worksheet is insufficient. The pivotal failures are the absence of any documented comparative analysis and the significant fee disparity that was neither disclosed nor justified.

Key Factor

Marcus failed to perform or document any comparison of the 403(b) plan's 0.08% expense ratio, institutional investment options, and post-separation availability against the proposed 1.25% fee-based IRA, rendering the rollover recommendation unsupported as being in Linda's best interest under PTE 2020-02.

Item 34 of 499

NON-COMPLIANT

Topic: ira_rollover_fiduciary_conflict

Difficulty: hard

Standard: ERISA §404(a)(1)(A)-(B) (duties of loyalty and prudence); ERISA §406(b) (prohibited transactions--self-dealing); PTE 2020-02 (Improving Investment Advice for Workers & Retirees), including best interest standard, conflict mitigation policies, and prohibition on sales contests; DOL Proposed Retirement Security Rule (October 31, 2023) expanding the definition of investment advice fiduciary under 29 CFR 2510.3-21

Source: 06_DOL_Fiduciary

Fact Pattern

Marcus Webley is a registered representative at Granite Peak Financial Services, a broker-dealer that also offers proprietary variable annuity products underwritten by its insurance affiliate, Granite Peak Life Insurance Company. On March 14, 2024, Marcus meets with Patricia Sandoval, a 58-year-old public school teacher who is retiring at the end of the school year. Patricia has accumulated \$412,000 in her employer-sponsored 403(b) plan, which is invested in a diversified portfolio of low-cost Vanguard target-date funds with an all-in expense ratio of 0.12%. Patricia tells Marcus she is nervous about managing her money in retirement and wants 'someone to watch over it.' She says she has no other significant assets aside from her anticipated state pension of \$3,200 per month.

Marcus recommends that Patricia roll over her entire \$412,000 403(b) balance into a traditional IRA at Granite Peak, and invest the full amount into the Granite Peak Strategic Growth Variable Annuity, which carries a 1.35% mortality and expense risk charge, a 0.85% administrative fee, a 7-year declining surrender charge schedule starting at 7%, and underlying sub-account fees averaging 0.92%. The total annual cost of the annuity is approximately 3.12%. Marcus receives a 5.5% upfront commission of \$22,660 on the sale, plus a 0.25% annual trail commission. The Granite Peak internal product bulletin, obtained during a subsequent compliance review, shows that Marcus was enrolled in a quarterly sales contest where the top seller of the Strategic Growth VA would receive a \$10,000 bonus and an all-expenses-paid trip to Cabo San Lucas.

Marcus's rollover recommendation documentation consists of a one-page form that checks a box stating 'client desires professional management' and 'client wants guaranteed income options,' but does not include any comparative analysis of the fees in Patricia's existing 403(b) plan versus the proposed IRA annuity. Marcus does not disclose the sales contest to Patricia. His firm's compliance department had circulated a memo in January 2024 referencing the DOL's proposed Retirement Security Rule and reminding advisers to document rollover recommendations with detailed cost comparisons, but Marcus did not follow this guidance.

Question

Under the DOL's proposed Retirement Security Rule and the conditions of PTE 2020-02, did Marcus Webley and Granite Peak Financial Services satisfy their fiduciary obligations in connection with the rollover recommendation and variable annuity sale to Patricia Sandoval?

Answer

No. Marcus Webley and Granite Peak Financial Services violated their fiduciary obligations under the DOL's proposed Retirement Security Rule and failed to satisfy the conditions necessary to rely on PTE 2020-02 for the conflicted transaction.

First, under the proposed Retirement Security Rule, Marcus's recommendation to roll over Patricia's 403(b) into an IRA constitutes fiduciary investment advice. The proposed rule broadens the definition of an investment advice fiduciary to encompass one-time recommendations--such as rollover recommendations--made by persons who hold themselves out as trusted advisers providing individualized recommendations. Marcus clearly held himself out as a knowledgeable professional making a personalized recommendation to Patricia, bringing him squarely within the proposed fiduciary definition. As a fiduciary, Marcus owes duties of prudence under ERISA §404(a)(1)(B) and loyalty under ERISA §404(a)(1)(A).

Second, the recommendation to invest the entirety of Patricia's \$412,000 retirement savings into a proprietary variable annuity generating a 5.5% upfront commission and ongoing trail fees constitutes a prohibited transaction under ERISA §406(b), as Marcus received compensation that creates a direct conflict between his financial interest and Patricia's. To engage in this transaction lawfully, Marcus and Granite Peak must satisfy all conditions of PTE 2020-02.

PTE 2020-02 requires, among other things, that the fiduciary provide advice in the retirement investor's best interest, meaning the advice reflects the care, skill, prudence, and diligence that a prudent person would exercise based on the investment objectives, risk tolerance, financial circumstances, and needs of the investor, without placing the financial interest of the adviser ahead of the investor's interest. The exemption further requires that financial institutions establish policies and procedures designed to mitigate conflicts of interest and that compensation not be based on sales contests or quotas with respect to specific products.

Marcus failed these conditions on multiple grounds. The 3.12% total annual cost of the variable annuity versus the 0.12% cost of Patricia's existing target-date funds represents a 26-fold increase in fees with no documented justification. The absence of any comparative cost analysis directly contravenes PTE 2020-02's requirement for a prudent process. The undisclosed sales contest offering a \$10,000 bonus and vacation trip is precisely the type of conflicted incentive that PTE 2020-02 prohibits, as the exemption bars financial institutions from using quotas, bonuses, or contests based on sales of specific products that could encourage advice contrary to the investor's best interest. Finally, the perfunctory checkbox documentation fails to demonstrate the care, skill, and diligence required. Granite Peak's own compliance memo acknowledged these obligations, making the firm's supervisory failure an additional aggravating factor. Neither Marcus nor Granite Peak can rely on PTE 2020-02 to excuse the prohibited transaction.

Key Factor

Marcus's undisclosed enrollment in a proprietary product sales contest directly violated PTE 2020-02's prohibition on compensation structures--such as quotas, bonuses, and contests--that incentivize recommendations contrary to the retirement investor's best interest.

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NON-COMPLIANT

Topic: fiduciary_definition_rollover_advice

Difficulty: hard

Standard: ERISA §404(a)(1)(A)-(B) (fiduciary duties of loyalty and prudence); ERISA §406(b) (prohibited transactions involving fiduciary self-dealing); DOL Definition of Fiduciary, 81 Fed. Reg. 20945 (2016); PTE 2020-02 Impartial Conduct Standards (best interest, reasonable compensation, no misleading statements); 29 CFR §2550.404a-1 (investment duties); DOL Retirement Security Rule (2024)

Source: 06_DOL_Fiduciary

Fact Pattern

Marcus Whitfield, age 58, is a longtime member of the International Brotherhood of Electrical Workers (IBEW) Local 134 in Chicago. After 32 years of employment with Commonwealth Electric, Marcus is taking early retirement in March 2024. He has accumulated \$487,000 in the IBEW-National Electrical Contractors Association (NECA) Pension Trust Fund, a collectively bargained defined benefit plan, and an additional \$214,000 in the NECA-IBEW 401(k) Plan. Upon separation from employment, Marcus receives a packet from the plan administrator outlining his distribution options, including a lump-sum rollover.

Marcus visits Lakefront Wealth Advisors, a broker-dealer in downtown Chicago, where he meets with registered representative Dana Colbert. Dana is compensated primarily through commissions and receives an additional quarterly bonus when total assets under management in proprietary variable annuity products exceed \$5 million. During the initial meeting on March 15, 2024, Dana reviews Marcus's pension and 401(k) statements and recommends that Marcus roll over both his DB lump sum (\$487,000) and his 401(k) balance (\$214,000) -- a total of \$701,000 -- into a Lakefront-branded variable annuity product with a 7-year surrender schedule, a 1.45% annual mortality and expense charge, a 0.25% administrative fee, and underlying sub-account expenses averaging 0.85%. The total all-in annual cost would be approximately 2.55%. The variable annuity also pays Dana a 5.5% upfront commission (\$38,555).

Dana does not discuss the option of Marcus leaving his assets in the collectively bargained plans, where the DB plan charges no direct fees to participants and the 401(k) plan offers a diversified lineup of institutional index funds with an average expense ratio of 0.06%. Dana does not document any analysis comparing the costs, investment options, or features of the existing plans versus the recommended variable annuity. Dana's written recommendation letter to Marcus states only that the variable annuity will provide 'tax-deferred growth and guaranteed income options for retirement,' without addressing the fee differential or the fact that IRA assets already enjoy tax-deferred treatment. Marcus signs the rollover paperwork on March 22, 2024.

Question

Did Dana Colbert satisfy her fiduciary obligations under ERISA and applicable DOL standards when recommending that Marcus roll over \$701,000 from his collectively bargained retirement plans into a high-cost proprietary variable annuity?

Answer

Dana Colbert violated her fiduciary obligations under ERISA and the DOL's fiduciary framework in multiple respects.

First, under the DOL's definition of fiduciary investment advice -- which the 2016 Fiduciary Rule (81 Fed. Reg. 20945) and the 2024 Retirement Security Rule sought to clarify -- a recommendation to roll over assets from an ERISA-covered plan constitutes fiduciary investment advice when it is individualized to the participant, provided for a

fee, and made under circumstances indicating reliance. Dana's one-on-one recommendation to Marcus, for which she received a 5.5% commission, clearly meets all elements of the fiduciary definition. The rollover recommendation itself is the critical threshold: once Dana recommended that Marcus move assets out of the ERISA plans, she became a fiduciary with respect to that advice.

Second, ERISA §404(a)(1)(A) and (B) require a fiduciary to act solely in the interest of participants and beneficiaries and with the care, skill, prudence, and diligence that a prudent person would use. Dana's failure to conduct or document any comparative analysis of the existing plan options versus the variable annuity is a textbook prudence failure. The collectively bargained plans offered institutional pricing at 0.06% average expense -- roughly 42 times less expensive than the 2.55% all-in cost of the variable annuity. A prudent fiduciary would have analyzed and documented this fee differential, the surrender charges, and the absence of any incremental tax benefit (since IRAs and qualified plans both offer tax deferral).

Third, the recommendation created a prohibited transaction under ERISA §406(b) because Dana's compensation was directly enhanced by the rollover -- she received \$38,555 in upfront commissions and contributed to her quarterly proprietary-product bonus. To rely on PTE 2020-02, Dana would need to satisfy its Impartial Conduct Standards, including the best interest standard, reasonable compensation requirement, and the obligation not to make materially misleading statements. Dana failed all three: the recommendation was not in Marcus's best interest given the massive fee disparity; the 2.55% annual cost plus 5.5% load is difficult to justify as reasonable for a near-retiree with low-cost plan alternatives; and her written recommendation omitted material facts about comparative costs and the redundancy of tax-deferral.

Dana has no viable defense. The fact that the variable annuity offers a guaranteed income rider does not cure the analysis gap -- a prudent process requires weighing that feature against significantly higher costs and documenting why it serves the client's specific needs. No such documentation exists. This is a clear fiduciary breach.

Key Factor

Dana failed to perform or document any comparative analysis of the low-cost collectively bargained plan options versus the high-cost proprietary variable annuity, while receiving a \$38,555 commission that created an unmitigated conflict of interest.

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NON-COMPLIANT

Topic: fiduciary_status_rollover_recommendation

Difficulty: hard

Standard: 29 CFR §2510.3-21 (2016 Fiduciary Rule); ERISA §404(a)(1)(A)-(B) (duties of loyalty and prudence); ERISA §406(b)(1) (prohibited self-dealing transactions); IRC §4975(c)(1)(E) (prohibited transactions for IRAs); PTE 2016-01 (Best Interest Contract Exemption), including Impartial Conduct Standards and institutional compliance requirements

Source: 06_DOL_Fiduciary

Fact Pattern

Marcus Delgado is a registered representative of Pinnacle Financial Group, a dual-registered broker-dealer and RIA based in Charlotte, North Carolina. On March 15, 2017, Marcus met with Patricia Okonkwo, a 58-year-old public school teacher who had recently left her position after 26 years of service. Patricia had accumulated \$387,000 in her employer-sponsored 403(b) plan administered by TIAA, which held a diversified mix of low-cost index funds with a weighted average expense ratio of 0.08%. Patricia contacted Marcus after seeing a mailer from Pinnacle offering 'free retirement planning consultations for educators.'

During the meeting, Marcus reviewed Patricia's 403(b) statement and recommended she roll the entire \$387,000 balance into a new IRA at Pinnacle. He told Patricia that the IRA would give her 'more investment choices and better personalized service.' He did not discuss the option of leaving the assets in the 403(b) plan, nor did he compare the fees, investment options, or services available in the existing plan versus the proposed IRA. Marcus recommended allocating the IRA proceeds into a combination of Class A mutual funds carrying front-end loads averaging 4.75% and variable annuities with mortality and expense charges of 1.35% plus fund sub-account expenses averaging 0.85%. The total first-year cost to Patricia would include approximately \$18,382 in front-end sales charges plus ongoing annual expenses exceeding \$8,500--compared to approximately \$310 annually in the 403(b) plan.

Marcus earned a \$9,500 commission on the mutual fund sales and a \$7,800 commission on the variable annuity placement. He did not execute any written acknowledgment of fiduciary status. Pinnacle had no written policies requiring its representatives to document the basis for rollover recommendations or to conduct comparative fee analyses between existing retirement plans and proposed IRAs. Marcus provided Patricia with standard brokerage account disclosures but did not provide any document specifically addressing conflicts of interest related to the rollover recommendation or the compensation differential between leaving assets in the 403(b) versus moving them to Pinnacle.

Question

Under the DOL's 2016 Fiduciary Rule framework and applicable prohibited transaction provisions, did Marcus Delgado's rollover recommendation and subsequent investment of Patricia's retirement assets constitute a fiduciary act, and if so, did his conduct violate ERISA and Code fiduciary standards?

Answer

Marcus Delgado's conduct constitutes a clear violation of fiduciary standards under the DOL's 2016 Conflict of Interest Rule. The analysis proceeds on two levels: fiduciary status and prohibited transaction liability.

First, under the 2016 final rule amending 29 CFR §2510.3-21, Marcus qualifies as a fiduciary because he provided a

recommendation to Patricia regarding the rollover of her 403(b) plan assets--an IRA rollover recommendation--for a fee or other compensation (commissions totaling \$17,300). The 2016 rule was specifically designed to eliminate the narrow five-part test from the 1975 regulation, which had allowed advisers to avoid fiduciary status when providing one-time rollover recommendations. Under the revised definition, a person who makes a recommendation to roll over assets from an ERISA plan or 403(b) to an IRA, and who receives compensation in connection with that recommendation, is a fiduciary. Marcus's personalized recommendation to Patricia, directed at her specific retirement assets and made in the context of a compensated advisory relationship, satisfies this standard.

Second, as a fiduciary, Marcus is subject to ERISA §404(a)'s duty of prudence and loyalty and the prohibited transaction rules under ERISA §406 and Code §4975. His recommendation that Patricia move from a 0.08% expense ratio plan to investments costing over 2.2% annually--without any documented analysis of whether this served Patricia's interests--violates the duty of prudence under ERISA §404(a)(1)(B). Moreover, the commissions Marcus earned create a direct conflict of interest constituting a prohibited transaction under ERISA §406(b)(1) and Code §4975(c)(1)(E), as he used his fiduciary authority to generate compensation for himself.

To engage in these otherwise prohibited transactions, Marcus and Pinnacle would have needed to satisfy the conditions of the Best Interest Contract Exemption (BIC Exemption, PTE 2016-01), finalized concurrently with the 2016 rule. The BIC Exemption requires, among other things: (1) written acknowledgment of fiduciary status; (2) adherence to Impartial Conduct Standards including a best interest standard; (3) disclosure of material conflicts and compensation; and (4) institutional policies and procedures to mitigate conflicts. Marcus failed every one of these conditions--no fiduciary acknowledgment was executed, no comparative analysis was performed, no conflict disclosures were provided specific to the rollover, and Pinnacle maintained no policies requiring documentation of rollover rationale.

Pinnacle's institutional failure to maintain written supervisory procedures for rollover recommendations compounds the violation, as the BIC Exemption imposed firm-level compliance obligations. The absence of any defense under an applicable PTE renders both Marcus and Pinnacle liable for prohibited transactions, exposing them to excise taxes under Code §4975 and potential enforcement action by the DOL.

Key Factor

Marcus recommended a rollover generating \$17,300 in personal commissions without performing or documenting any comparative analysis of fees, services, or investment options between the existing low-cost 403(b) plan and the proposed IRA, and without satisfying any exemption conditions to permit the conflicted transaction.

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COMPLIANT

Topic: fiduciary_definition_education_vs_recommendation

Difficulty: hard

Standard: ERISA §3(21)(A)(ii); Proposed Retirement Security Rule, 88 Fed. Reg. 75890 (Nov. 3, 2023), RIN 1210-AC02; DOL Interpretive Bulletin 96-1 (29 CFR 2509.96-1); ERISA §§404(a), 406(b)

Source: 06_DOL_Fiduciary

Fact Pattern

Pinnacle Retirement Services, LLC is a registered investment adviser and recordkeeper serving approximately 340 employer-sponsored 401(k) plans with combined assets of \$8.2 billion. In March 2024, Pinnacle launches a financial wellness program called "RetireReady" for participants of its largest client, Greystone Manufacturing Corp.'s 401(k) plan, which has 4,200 participants and \$620 million in plan assets. The RetireReady program consists of automated emails, webinars, and an interactive online portal that provides participants with general information about asset allocation principles, the power of compound interest, the importance of diversification, the effect of fees on long-term investment returns, and the general tax consequences of taking early distributions versus rolling assets into an IRA at separation from service.

Maria Calderon, age 58, is a Greystone participant with a \$412,000 account balance who is considering early retirement. She logs into the RetireReady portal and receives a series of educational screens that explain, in general terms, that participants nearing retirement should consider their time horizon, risk tolerance, and income needs. The portal includes generic asset allocation models (e.g., 'conservative,' 'moderate,' 'aggressive') keyed to general age ranges but does not reference any specific investment options in the Greystone plan, nor does it suggest that Maria select any particular fund, model portfolio, or take any specific distribution action. Each screen carries a prominent disclaimer stating: 'This information is educational only and does not constitute a recommendation to buy or sell any investment or to take any distribution. Please consult a qualified financial adviser for personalized advice.'

Separately, when Maria calls Pinnacle's participant services line to ask about rolling her balance into an IRA, the call center representative, Jake Thornton, follows a scripted protocol. Jake explains the general differences between keeping assets in the plan versus rolling over to an IRA, including fee structures, investment option breadth, creditor protections under ERISA versus state law, and required minimum distribution rules. Jake does not recommend that Maria roll over, stay in the plan, or choose any specific IRA provider. He provides Maria with a checklist of factors to consider and suggests she may want to speak with a financial adviser for a personalized recommendation. The call is recorded and reviewed by Pinnacle's compliance department within 48 hours as part of its standard quality assurance process.

Question

Under the DOL's proposed Retirement Security Rule redefining 'investment advice fiduciary,' does Pinnacle's RetireReady educational program and Jake Thornton's call center interaction with Maria Calderon constitute fiduciary investment advice triggering ERISA fiduciary obligations?

Answer

No -- based on the facts presented, neither Pinnacle's RetireReady program nor Jake Thornton's call center interaction with Maria Calderon would likely constitute fiduciary investment advice under the proposed Retirement Security Rule (88 Fed. Reg. 75890, Nov. 3, 2023), though the analysis requires careful attention to the boundaries between education

and recommendation.

The proposed rule redefines who is a fiduciary by reason of providing investment advice, and the threshold element is whether a 'recommendation' has been made. The Department describes a recommendation as 'a communication that, based on its content, context, and presentation, would reasonably be viewed as a suggestion that the retirement investor engage in or refrain from taking a particular course of action.' This is a facts-and-circumstances test.

Pinnacle's RetireReady portal provides general educational content -- asset allocation principles, compound interest illustrations, diversification concepts, and generic age-based allocation models -- without referencing specific plan investment options or suggesting particular courses of action. This falls squarely within the safe harbor for investment education under DOL Interpretive Bulletin 96-1 (29 CFR 2509.96-1), which permits general financial and investment information, asset allocation models, and interactive investment materials, provided they are not individually directed recommendations. The disclaimers further reinforce the educational nature of the communications, though disclaimers alone are not dispositive.

Jake Thornton's call center interaction is the closer question, particularly because the proposed rule specifically targets rollover recommendations as fiduciary advice. However, Jake adhered to a scripted protocol that presented objective factors (fees, investment breadth, creditor protections, RMD rules) without suggesting Maria take any specific action. He did not recommend rolling over, staying in the plan, or selecting any IRA provider. Providing a balanced checklist of considerations and directing the participant to seek personalized advice is consistent with education, not a recommendation. As Vanguard's comment letter emphasizes, an overly broad reading of 'recommendation' that captures such interactions would 'unintentionally reduce access to information and knowledge' and 'discourage firms from providing useful and understandable' communications.

Pinnacle's compliance controls -- recorded calls, 48-hour quality assurance review, scripted protocols, and prominent disclaimers -- demonstrate robust safeguards to ensure the education/advice boundary is maintained. The pivotal compliance factor is that neither the portal nor Jake made individualized suggestions that Maria take a particular course of action with respect to her specific assets or distribution decision. Had Jake said 'you should probably roll this into an IRA given your situation,' that would cross the line into a recommendation triggering fiduciary status under ERISA §3(21)(A)(ii) and the proposed rule.

Key Factor

Neither the automated educational portal nor the call center representative made an individualized suggestion that the participant engage in or refrain from a particular course of action, keeping the communications within the education safe harbor rather than crossing the threshold into a fiduciary recommendation.

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NON-COMPLIANT

Topic: investment_advice_fiduciary_definition

Difficulty: hard

Standard: Proposed Retirement Security Rule, 29 CFR Part 2510 (RIN 1210-AC02); ERISA §3(21)(A)(ii) (fiduciary definition); ERISA §404(a) (prudence and loyalty); ERISA §406(b) (prohibited transactions -- self-dealing); PTE 2020-02 (conditions for exemption including fiduciary acknowledgment, best interest standard, conflict disclosure, and compliance policies)

Source: 06_DOL_Fiduciary

Fact Pattern

Marcus Wellingham is a licensed insurance agent affiliated with Heartland Financial Solutions, LLC, a firm that sells fixed indexed annuities and variable annuities. On March 14, 2024, Marcus met with Dorothy Chen, a 67-year-old recently retired schoolteacher in Omaha, Nebraska, who had accumulated \$485,000 in a 403(b) plan through her school district. Dorothy contacted Marcus after seeing a radio advertisement offering a 'free retirement income analysis.' During the meeting, Marcus reviewed Dorothy's 403(b) statement and recommended she roll the entire \$485,000 into a fixed indexed annuity issued by Patriot Life Insurance Company -- the 'Patriot Secure Growth 10 Annuity' -- which carried a 10-year surrender period with declining surrender charges starting at 9%, an annual spread of 2.75% applied to index-linked gains, and a first-year commission to Marcus of 6.5% (\$31,525). Marcus told Dorothy that this product would 'protect her principal from market losses' and 'guarantee lifetime income,' but he did not discuss the surrender charges in detail, did not compare the annuity to leaving funds in her existing 403(b) plan's low-cost target-date fund (which had an expense ratio of 0.12%), and did not document the basis for his recommendation. Marcus's firm, Heartland Financial Solutions, had no written policies or procedures addressing conflicts of interest in rollover recommendations. Marcus did not acknowledge fiduciary status in any written disclosure and maintained the position that he was acting solely in an insurance sales capacity, not as a fiduciary under ERISA. Dorothy signed the application, and the rollover was processed on March 28, 2024. Two months later, Dorothy needed \$40,000 for unexpected medical expenses and discovered she would owe a \$3,600 surrender penalty to access those funds.

Marcus had previously made similar rollover recommendations to at least fourteen other recently retired public school employees in the Omaha metropolitan area between January and June 2024, each time recommending the same Patriot Secure Growth 10 Annuity product and earning comparable commissions. Heartland Financial Solutions received revenue-sharing payments from Patriot Life Insurance Company based on sales volume targets, a fact that was never disclosed to Dorothy or other clients.

Question

Under the DOL's proposed Retirement Security Rule redefining 'investment advice fiduciary,' would Marcus Wellingham's rollover recommendation to Dorothy Chen constitute fiduciary investment advice, and if so, what specific provisions did his conduct violate?

Answer

Marcus Wellingham's rollover recommendation would constitute fiduciary investment advice under the DOL's proposed Retirement Security Rule (29 CFR Part 2510, RIN 1210-AC02), and his conduct would violate multiple ERISA provisions.

Under the proposed rule, a person renders 'investment advice for a fee or other compensation, direct or indirect' and is

therefore a fiduciary when they make a recommendation to a retirement investor regarding the rollover of assets from an ERISA-covered plan (such as Dorothy's 403(b)) to another product, where the recommendation is provided in the context of a professional relationship. Marcus's conduct satisfies every element of the proposed definition: (1) he made a recommendation -- the specific direction to roll \$485,000 into the Patriot Secure Growth 10 Annuity; (2) the recommendation concerned plan assets and their disposition via rollover; (3) the recommendation was made for a fee or other compensation -- Marcus received a 6.5% commission (\$31,525), and Heartland received undisclosed revenue-sharing payments from Patriot Life; and (4) the recommendation occurred in the context of a professional relationship, as Marcus held himself out as a financial professional through radio advertising offering retirement analysis services. The proposed rule explicitly targets one-time rollover recommendations, closing the gap in the 1975 regulation that required an ongoing advisory relationship or the 'regular basis' prong under the five-part test.

As a fiduciary, Marcus would be subject to ERISA §404(a)'s duties of prudence and loyalty, requiring him to act solely in Dorothy's interest. His failure to compare the high-cost annuity (2.75% spread, 9% front-end surrender charge, 6.5% commission) against her existing low-cost target-date fund (0.12% expense ratio) constitutes a clear breach of the duty of prudence. His failure to disclose the surrender charge implications, Heartland's revenue-sharing arrangement, and his substantial commission violates the duty of loyalty.

Additionally, his receipt of commission compensation creates a prohibited transaction under ERISA §406(b), as he used his fiduciary authority for his own benefit. To rely on Prohibited Transaction Exemption 2020-02, Marcus would need to satisfy conditions including: acknowledging fiduciary status in writing, providing full conflict-of-interest disclosures, making recommendations in the customer's best interest without placing his own financial interests ahead, and operating under his firm's written compliance policies. Marcus failed every one of these conditions -- he denied fiduciary status, made no written disclosures, failed to document his recommendation's basis, and Heartland maintained no conflict-of-interest policies whatsoever.

Marcus's position that he acted solely in an insurance sales capacity is precisely the regulatory gap the proposed Retirement Security Rule is designed to close. His systematic targeting of retiring public employees with identical annuity recommendations generating substantial commissions further underscores the conflicted nature of the advice.

Key Factor

Marcus denied fiduciary status and failed to satisfy any condition of PTE 2020-02 while receiving a \$31,525 commission on a rollover recommendation made in a professional capacity to a retirement investor, triggering fiduciary status under the proposed Retirement Security Rule's broadened definition.

Item 39 of 499**NON-COMPLIANT**

Topic: mutual_fund_suitability_and_risk_disclosure

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), specifically .05(a) customer-specific obligation; Regulation Best Interest, 17 C.F.R. § 240.15l-1(a)(2)(ii) (Care Obligation); Securities Act of 1933 § 5(b)(2) (Prospectus Delivery); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 07_Practitioner_Commentary

Fact Pattern

On March 15, 2023, registered representative David Brennan of Meridian Securities Group (a FINRA member broker-dealer) met with new client Dolores Vega, a 72-year-old retired postal worker residing in Tucson, Arizona. Mrs. Vega had recently received a \$285,000 lump-sum pension distribution and had no other liquid savings aside from a \$32,000 checking account and Social Security income of \$2,150 per month. She told Brennan explicitly that her primary objectives were capital preservation and generating monthly income to supplement her Social Security, and that she was 'terrified of losing money' after watching a neighbor suffer significant losses in 2008. Her completed new account form reflected a 'conservative' risk tolerance, a 'short-to-intermediate' time horizon, annual income of \$25,800, and no prior experience with securities beyond a bank CD.

Brennan recommended that Mrs. Vega invest the full \$285,000 into three mutual funds: \$120,000 into the Apex Aggressive Growth Fund (a concentrated small-cap equity fund with a five-year average annual volatility of 24% and a front-end load of 5.75%), \$95,000 into the Sterling Emerging Markets Bond Fund (an unrated high-yield emerging market bond fund with a 4.50% front-end load and significant currency risk), and \$70,000 into the Pinnacle Technology Sector Fund (a non-diversified technology sector fund with a front-end load of 5.25%). None of these funds had any principal protection features, and Brennan did not discuss or recommend any money market funds, short-term bond funds, or diversified balanced/hybrid funds as alternatives. In total, Mrs. Vega paid approximately \$14,962.50 in upfront sales charges.

Brennan documented the recommendations in a brief email stating: 'Per our discussion, these funds offer strong growth potential that should serve your long-term financial needs.' He did not document any analysis of Mrs. Vega's stated conservative risk tolerance, her income needs, or her lack of investment experience. He also did not provide her with the prospectuses for any of the three funds prior to her signing the purchase orders. By September 2023, the portfolio had declined to \$213,400 -- a loss of over \$71,600 (25.1%) from her initial investment -- and Mrs. Vega was unable to cover an unexpected \$8,500 medical bill without liquidating shares at a loss.

Question

Did David Brennan violate applicable suitability and best interest obligations when he recommended that Mrs. Vega invest her entire \$285,000 pension distribution into three high-risk, high-cost mutual funds?

Answer

Brennan's recommendations constitute clear violations of multiple regulatory standards. The analysis proceeds as follows.

First, under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment

profile. Rule 2111 establishes three suitability obligations: (a) reasonable-basis suitability (the recommendation makes sense for at least some investors), (b) customer-specific suitability (the recommendation is suitable for the particular customer), and (c) quantitative suitability (the series of transactions is not excessive). Brennan's recommendations fail customer-specific suitability on every relevant factor. Mrs. Vega's documented profile -- age 72, conservative risk tolerance, short-to-intermediate time horizon, fixed income of \$25,800 per year, no investment experience, and an explicit stated need for capital preservation and income -- is fundamentally incompatible with concentrated small-cap equity, emerging market high-yield bonds, and non-diversified technology sector funds. These products carry extreme volatility, no income orientation consistent with her needs, and high correlation to equity market drawdowns. The ICI guide itself notes that investors 'should determine [their] investment objectives before buying mutual fund shares' and that 'you can lose money investing in a mutual fund.' This foundational investor education principle was ignored entirely.

Second, under Regulation Best Interest (17 C.F.R. § 240.15l-1), effective since June 30, 2020 and applicable at the time of Brennan's recommendation, a broker-dealer must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. Reg BI's Care Obligation (paragraph (a)(2)(ii)) requires the representative to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation, and to have a reasonable basis to believe the recommendation is in the customer's best interest considering reasonably available alternatives. Brennan failed to consider any lower-risk alternatives -- money market funds, short-term bond funds, or balanced/hybrid funds -- all of which the ICI guide identifies as basic mutual fund types appropriate for different investor needs. The concentration of 100% of Mrs. Vega's only liquid assets into high-volatility, high-cost products, generating nearly \$15,000 in front-end loads, strongly suggests Brennan's financial interest in commission income was placed ahead of the customer's best interest.

Third, FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) while not directly applicable to mutual funds, reflects FINRA's broader supervisory expectations regarding suitability documentation for seniors. Additionally, Brennan's failure to deliver prospectuses prior to purchase may violate Section 5(b)(2) of the Securities Act of 1933 and Rule 159A, which requires prospectus delivery.

Brennan's email documentation actually undermines his position, as it references 'long-term financial needs' and 'strong growth potential' -- objectives directly contradicted by Mrs. Vega's documented profile. No reasonable compliance defense exists here; the disparity between the client profile and the recommendations is extreme and undocumented.

Key Factor

Brennan recommended three high-risk, high-cost, growth-oriented mutual funds to a 72-year-old retiree with a conservative risk tolerance, no investment experience, and an explicit need for capital preservation and income, without considering any lower-risk alternatives or documenting any rationale for the mismatch.

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NON-COMPLIANT

Topic: best_interest_duty_cross_border_advice

Difficulty: hard

Standard: NI 31-103 ss. 13.3 (suitability), 13.4 (conflicts of interest), 14.2 (relationship disclosure); IIROC Dealer Member Rule 1300.1 (suitability of recommendations); Ontario Securities Act s. 2.1 of OSC Rule 31-505 (duty to deal fairly, honestly and in good faith); CSA Consultation Paper 33-403 Part 6 (key investor protection concerns) and Part 7 (proposed statutory best interest duty)

Source: 07_Practitioner_Commentary

Fact Pattern

Marcus Pellerin is a registered dealing representative at Brookfield Capital Securities Inc., an IIROC-registered investment dealer headquartered in Toronto, Ontario. On March 15, 2013, he meets with retail client Diane Tremblay, a 62-year-old recently widowed schoolteacher from Gatineau, Quebec, who has just received a \$485,000 life insurance payout and a \$220,000 lump-sum pension commutation. Diane has no prior investment experience beyond a GIC ladder at her local credit union, has a stated risk tolerance of 'conservative,' and tells Marcus her primary goals are capital preservation and generating \$2,800 per month in retirement income beginning in 18 months.

Marcus recommends that Diane invest \$525,000 (approximately 74% of her liquid assets) into a portfolio of four proprietary structured notes issued by Brookfield Capital's affiliated entity, Brookfield Structured Products LP. These notes carry 7-year maturities, embedded leverage of 2x on the S&P/TSX 60 Index, a contingent coupon of 8.5% triggered only if the index does not decline more than 25% from its initial level, and early redemption penalties of 4.5% in years one through three. The remaining \$180,000 is placed in a Brookfield Capital money market fund. Marcus earns a 3.2% upfront selling commission on the structured notes (\$16,800 total), which is roughly four times the commission he would earn placing Diane in a diversified portfolio of third-party bond ETFs.

Marcus's written suitability assessment notes Diane's 'moderate' risk tolerance--contradicting her signed KYC form, which records 'conservative'--and does not mention the embedded leverage, the contingent nature of the coupon payments, or the early redemption penalties. He does not discuss any alternative products such as GICs, government bond funds, or balanced mutual funds. Diane is not informed that Brookfield Capital receives a 1.15% annual trailer from its affiliated structured products entity, nor that Marcus's branch manager has set a quarterly target encouraging representatives to allocate at least 60% of new client assets to proprietary products. Diane signs the new account documentation on March 22, 2013.

By September 2013, the S&P/TSX 60 has declined 18% from its March level. Diane receives no coupon payment for the first semi-annual period because the index breached a 15% interim barrier embedded in the note terms--a feature Marcus never disclosed. She contacts Marcus to liquidate and is told the early redemption penalty would cost her approximately \$23,625. Diane files a complaint with Brookfield Capital's compliance department on October 10, 2013.

Question

Under the existing Canadian securities regulatory framework in effect in October 2012--including NI 31-103 suitability obligations, KYC requirements, and the conflict of interest provisions--and considering the CSA Consultation Paper 33-403's articulation of key investor protection concerns, did Marcus Pellerin's conduct violate his standard of conduct obligations, and would the outcome differ if a statutory best interest duty of the type contemplated in the Consultation Paper had been in effect?

Answer

Marcus Pellerin's conduct constitutes multiple violations of his existing regulatory obligations under NI 31-103 (Registration Requirements, Exemptions and Ongoing Registrant Obligations) and IIROC Dealer Member Rules, even absent the statutory best interest duty contemplated by CSA Consultation Paper 33-403.

First, under NI 31-103 section 13.3, a registrant must take reasonable steps to ensure that a recommended investment is suitable for the client based on the client's KYC information. Marcus's written suitability assessment records Diane's risk tolerance as 'moderate,' directly contradicting the 'conservative' designation on her signed KYC form. This internal inconsistency alone constitutes a failure to perform a proper suitability determination. Concentrating 74% of a conservative, inexperienced 62-year-old retiree's assets in leveraged structured notes with 7-year maturities and contingent coupons is facially unsuitable given her stated objectives of capital preservation and near-term income generation. The products' embedded 2x leverage and path-dependent coupon triggers introduce significant downside risk fundamentally incompatible with a conservative profile.

Second, under NI 31-103 section 13.4 and IIROC Rule 1300.1, Marcus had an obligation to disclose material conflicts of interest, including the 3.2% upfront selling commission differential, the 1.15% annual trailer paid by the affiliated entity, and the branch-level proprietary product sales targets. His failure to disclose any of these conflicts violates the conflict of interest provisions under NI 31-103 section 13.4, which requires registrants to address material conflicts in the client's best interest or, if that is not possible, to avoid them.

Third, Marcus's failure to explain the contingent coupon mechanics, embedded leverage, interim barriers, and early redemption penalties breaches the relationship disclosure obligation under NI 31-103 section 14.2 and the general obligation to deal fairly, honestly, and in good faith under securities legislation (e.g., Ontario Securities Act s. 2.1 of OSC Rule 31-505).

The CSA Consultation Paper 33-403 identifies five key investor protection concerns, including the expectation gap (investors believe advisers act in their best interests when the legal standard may not require it), conflicts of interest arising from compensation structures, and product concentration driven by proprietary incentives. Marcus's conduct exemplifies all three concerns. Under a statutory best interest duty as contemplated in Part 7 of the Consultation Paper, the analysis would be even more straightforward: Marcus would bear an affirmative obligation to prioritize Diane's interests, which would have required recommending lower-cost, lower-risk alternatives and fully disclosing all compensation-related conflicts. The statutory duty would eliminate any argument that merely meeting a technical suitability threshold satisfies the adviser's obligations.

However, even under the existing framework, Marcus's conduct is non-compliant. The suitability determination was deficient, material conflicts were undisclosed, and product features were misrepresented or omitted. No reasonable defense--such as reliance on Diane's signature on account documents--can cure the foundational KYC inconsistency or the failure to disclose conflicts. This is a clear enforcement matter under both NI 31-103 and IIROC disciplinary jurisdiction.

Key Factor

Marcus overrode Diane's documented 'conservative' risk tolerance with a 'moderate' designation in his suitability assessment to justify concentrating her assets in unsuitable proprietary leveraged structured notes that generated commissions four times higher than appropriate alternatives.

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COMPLIANT

Topic: fiduciary_investment_governance_process

Difficulty: hard

Standard: ERISA Section 404(a)(1)(A)-(D) (fiduciary duties of loyalty, prudence, diversification, and adherence to plan documents); ERISA Section 408(b)(2) (reasonable compensation); ERISA Section 3(21) (fiduciary adviser status); DOL Interpretive Bulletin 2016-01 (investment policy guidance); *Donovan v. Bierwirth*, 680 F.2d 263 (2d Cir. 1982) (procedural prudence standard)

Source: 07_Practitioner_Commentary

Fact Pattern

Dr. Rachel Nguyen serves as the chairperson of the Investment Committee for the Heartland Regional Hospital Employees' Pension Plan, an ERISA-covered defined benefit plan with \$285 million in assets as of December 31, 2023. The plan covers approximately 4,200 active participants and 1,800 retirees. In January 2024, after reading the CFA Institute Research Foundation monograph 'Investment Governance for Fiduciaries' by Drew and Walk, Dr. Nguyen proposed a comprehensive overhaul of the plan's investment governance framework. The committee, which also includes CFO Marcus Whitfield, HR Director Elaine Trask, and two independent members with CFA designations -- James Okafor and Priya Desai -- adopted several reforms.

First, the committee drafted and adopted a formal Investment Policy Statement (IPS) that articulated the plan's return objectives (actuarial assumed rate of 6.75%), risk tolerance benchmarked to funded status volatility, liquidity requirements tied to projected benefit payments over rolling 10-year horizons, and explicit constraints on illiquid alternative investments (capped at 15% of plan assets). The IPS also codified a rebalancing policy with tolerance bands of +/- 3% around target allocations and established a quarterly review schedule. The committee engaged Meridian Fiduciary Consultants, an independent ERISA Section 3(21) investment adviser, to provide non-discretionary recommendations. Meridian's fee of 12 basis points on plan assets was benchmarked against three competing proposals and documented as reasonable.

Second, the committee established a formal due diligence process for manager selection and monitoring. Each investment manager was evaluated on a standardized scorecard covering performance attribution, risk-adjusted returns relative to style-appropriate benchmarks, organizational stability, key-person risk, fee competitiveness, and ESG integration policies. When the plan's small-cap equity manager, Ridgeline Capital Partners, underperformed its Russell 2000 benchmark by 340 basis points over trailing three years, the committee placed the manager on a formal watch list in March 2024, conducted an on-site meeting in April 2024, and ultimately terminated the mandate in June 2024 after documenting specific concerns about portfolio manager turnover and style drift. The committee selected a replacement manager, Cascade Equity Advisors, through a competitive RFP process involving five finalist firms.

Third, all committee meetings were documented with detailed minutes reflecting the information considered, the alternatives discussed, the rationale for each decision, and any dissenting views. When James Okafor raised concerns in the February 2024 meeting that the plan's 8% allocation to private credit through Blackstone Credit Fund II might present liquidity risk given the plan's maturing demographic profile, the minutes reflected the committee's deliberation, the actuarial data reviewed, and the ultimate decision to reduce the allocation to 5% over 18 months. A Department of Labor auditor reviewed the plan's governance practices in September 2024 as part of a routine examination.

Question

Did the Heartland Regional Hospital Pension Plan's Investment Committee satisfy its fiduciary obligations under ERISA

with respect to its investment governance framework, including the prudent process for selecting, monitoring, and terminating investment managers?

Answer

The Investment Committee's conduct is compliant with ERISA's fiduciary standards. Under ERISA Section 404(a)(1)(B), fiduciaries must discharge their duties 'with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims.' Critically, the DOL and federal courts have consistently interpreted this as a procedural prudence standard -- evaluating the process by which fiduciaries make decisions, not merely outcomes. See *Donovan v. Bierwirth*, 680 F.2d 263 (2d Cir. 1982); *DiFelice v. U.S. Airways, Inc.*, 497 F.3d 410 (4th Cir. 2007).

The committee satisfied the prudence requirement across multiple dimensions. First, the adoption of a comprehensive IPS with articulated return objectives, risk parameters, liquidity constraints, rebalancing triggers, and asset class limits demonstrates forward-looking governance consistent with DOL guidance and the principles outlined in the CFA Institute monograph. The IPS serves as the documented framework against which all subsequent decisions are measured.

Second, the engagement of Meridian Fiduciary Consultants as a 3(21) adviser, with fees benchmarked through competitive bidding, satisfies ERISA Section 404(a)(1)(A)'s requirement to defray reasonable plan expenses and Section 408(b)(2)'s reasonable compensation standard. The committee appropriately retained fiduciary responsibility while leveraging expert guidance -- consistent with the co-fiduciary framework.

Third, the manager monitoring and termination process for Ridgeline Capital Partners exemplifies procedural prudence. The standardized scorecard methodology, the progressive discipline approach (watch list, on-site review, termination), documentation of specific concerns (personnel turnover, style drift), and competitive RFP for replacement all demonstrate the deliberative process courts require. Under ERISA Section 404(a)(1)(C), fiduciaries must diversify investments to minimize the risk of large losses -- the structured allocation limits and rebalancing policy address this requirement.

Fourth, the thorough meeting minutes documenting information reviewed, alternatives considered, rationale, and dissenting opinions create the contemporaneous record that is the fiduciary's strongest defense. The committee's response to Okafor's liquidity concerns -- reviewing actuarial data and adjusting the private credit allocation -- demonstrates active deliberation rather than rubber-stamping. Under the 'adequate consideration' framework, fiduciaries must demonstrate they actually analyzed relevant factors before acting.

A DOL auditor reviewing this governance framework would find a well-documented, procedurally sound investment process. The committee's approach aligns with the investment governance principles advocated in the Drew and Walk monograph and satisfies the core ERISA fiduciary requirements of loyalty (Section 404(a)(1)(A)), prudence (Section 404(a)(1)(B)), diversification (Section 404(a)(1)(C)), and adherence to plan documents (Section 404(a)(1)(D)).

Key Factor

The committee's adoption of a comprehensive, documented investment governance process -- including a formal IPS, competitive adviser selection, standardized manager monitoring scorecards, progressive discipline for underperformance, and detailed contemporaneous meeting minutes reflecting deliberative decision-making -- satisfies the procedural prudence standard that is the cornerstone of ERISA fiduciary compliance.

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NON-COMPLIANT

Topic: reg_bi_suitability_overlap_non_cash_compensation

Difficulty: hard

Standard: Reg BI (Exchange Act Rule 15l-1), specifically the Conflict of Interest Obligation at Rule 15l-1(a)(2)(iii)(D); Reg BI Care Obligation at Rule 15l-1(a)(2)(ii); FINRA Rule 2341 (Investment Company Securities) as amended by FINRA Notice 20-18; FINRA Rule 2111 (Suitability) as amended by Notice 20-18; FINRA Rules 2310, 2320, 5110 (non-cash compensation provisions as amended)

Source: 07_Practitioner_Commentary

Fact Pattern

Meridian Securities LLC is a mid-size broker-dealer registered with FINRA and the SEC, with approximately 340 registered representatives operating out of 28 branch offices across the Midwest. In September 2020--well after the June 30, 2020 Reg BI compliance date--Meridian's national sales director, Kevin Hartwell, launched a quarterly incentive program called 'Q4 Momentum.' Under the program, any registered representative who sold at least \$500,000 in Class A shares of three specific proprietary mutual fund families (Meridian Growth Fund, Meridian Income Allocation Fund, and Meridian Small-Cap Opportunity Fund) between October 1 and December 15, 2020, would receive an all-expenses-paid trip to a luxury resort in Scottsdale, Arizona valued at approximately \$4,200 per person. The program was memorialized in an internal email distributed to all representatives on September 28, 2020, and was explicitly tied to the sale of these three specific fund families within the stated 75-day window.

During this same period, registered representative Angela Torres, based in Meridian's Kansas City office, recommended the Meridian Growth Fund to four retail customers. One of those customers was Patricia Mendez, a 62-year-old recently widowed schoolteacher with a \$410,000 IRA rollover from her deceased husband's 401(k). Patricia's investment profile--documented by Torres during the account opening process--indicated a moderate risk tolerance, a 5-to-8-year time horizon before retirement distributions, an annual income of \$58,000, and limited investment experience beyond her own employer's 403(b) plan. Torres recommended that Patricia allocate 45% of the rollover (\$184,500) to the Meridian Growth Fund, which carried a front-end sales load of 5.25% and an expense ratio of 1.18%, despite the availability of a substantially similar large-cap growth index ETF with no load and an expense ratio of 0.04% that was also available on Meridian's platform.

Meridian's compliance department had updated its written supervisory procedures in May 2020 to reference Reg BI's Care Obligation and Disclosure Obligation, but had not revised its policies regarding non-cash compensation to address Reg BI's Conflict of Interest Obligation. The firm's chief compliance officer, Daniel Fung, was aware of the Q4 Momentum program but believed it was permissible because it covered three fund families rather than a single security, and because the firm's legacy non-cash compensation policies predating Reg BI had permitted similar incentive trips in prior years under FINRA Rule 2341's non-cash compensation provisions.

Question

Did Meridian Securities LLC and its registered representative Angela Torres comply with Reg BI's Conflict of Interest Obligation and the amended FINRA non-cash compensation rules in connection with the Q4 Momentum incentive program and Torres's recommendation of the Meridian Growth Fund to Patricia Mendez?

Answer

Meridian Securities LLC and Angela Torres failed to comply with both Reg BI's Conflict of Interest Obligation and the

amended FINRA non-cash compensation rules. The violations are multi-layered and involve both the firm's incentive program design and the individual recommendation to Patricia Mendez.

First, regarding the Q4 Momentum program: Reg BI's Conflict of Interest Obligation, codified at Exchange Act Rule 15l-1(a)(2)(iii)(D), requires broker-dealers to establish, maintain, and enforce written policies and procedures reasonably designed to 'identify and eliminate any sales contests, sales quotas, bonuses, and non-cash compensation that are based on the sales of specific securities or specific types of securities within a limited time period.' The Q4 Momentum program is a textbook violation of this provision. It offered a non-cash incentive (the \$4,200 resort trip) explicitly conditioned on the sale of three specific proprietary mutual fund families within a 75-day window--precisely the structure Reg BI was designed to prohibit. CCO Daniel Fung's belief that covering three fund families rather than a single security rendered the program permissible reflects a fundamental misreading of the rule, which expressly covers 'specific types of securities,' not merely individual securities.

As FINRA Notice 20-18 makes clear, FINRA amended its non-cash compensation rules under FINRA Rules 2310, 2320, 2341, and 5110 specifically to require that non-cash compensation practices 'also must be consistent with Reg BI.' Meridian's failure to update its non-cash compensation policies to incorporate Reg BI's Conflict of Interest Obligation--despite updating other WSPs for the Care and Disclosure Obligations--constitutes an independent supervisory failure. The firm's reliance on legacy practices permissible under pre-Reg BI FINRA Rule 2341 is unavailing because Notice 20-18 explicitly amended those rules to impose the additional requirement of Reg BI consistency, effective June 30, 2020.

Second, regarding Torres's recommendation to Patricia Mendez: The Q4 Momentum program created a material conflict of interest that infected Torres's recommendation. Reg BI's Care Obligation requires that a recommendation be in the retail customer's best interest and not place the financial interest of the broker-dealer or associated person ahead of the customer's interest. Recommending a 45% allocation (\$184,500) to a fund carrying a 5.25% front-end load (approximately \$9,686 in immediate charges) and a 1.18% expense ratio, when a substantially similar low-cost index ETF was available on the same platform, raises serious questions about whether Torres's recommendation was driven by the incentive program rather than Patricia's best interest. While FINRA Rule 2111's suitability standard no longer applies to this retail customer recommendation per the Notice 20-18 amendment--which states Rule 2111 'will not apply to recommendations subject to Reg BI'--the higher Reg BI standard demands more than mere suitability.

The pivotal compliance failure is the firm's design and maintenance of a non-cash compensation program that Reg BI's Conflict of Interest Obligation required it to eliminate, compounded by the firm's failure to update its written policies and procedures accordingly.

Key Factor

Meridian's Q4 Momentum program constituted a non-cash compensation incentive tied to the sale of specific types of securities within a limited time period, which Reg BI's Conflict of Interest Obligation expressly requires firms to identify and eliminate, and which the amended FINRA non-cash compensation rules require to be consistent with Reg BI.

Item 43 of 499**NON-COMPLIANT**

Topic: ny_annuity_suitability_pre_reg187

Difficulty: hard

Standard: 11 NYCRR 224 (NY Regulation 60, annuity suitability); NAIC Suitability in Annuity Transactions Model Regulation (Model 275), Sections 6(A)-(D); New York Insurance Law §§ 2110, 2122, 2405, 4226

Source: 08_State_Fiduciary_Rules

Fact Pattern

In October 2010, licensed insurance producer Gerald Fontaine, operating through his agency Fontaine Financial Services in Rochester, New York, met with Margaret Kowalski, a 78-year-old retired school teacher. Mrs. Kowalski had \$340,000 in a bank CD that was maturing and \$1,850 per month in combined Social Security and pension income. She told Fontaine she needed safe, liquid funds to cover potential nursing home costs, as her husband had recently been diagnosed with early-stage dementia and she herself had been treated for a mild stroke six months prior. She explicitly stated she wanted 'something safe like another CD, but maybe paying a little more interest.'

Fontaine recommended she place \$285,000 into a 12-year surrender-period fixed indexed annuity issued by Great Northern Life Insurance Company, with a 9% surrender charge in year one declining by 0.75% annually. The annuity offered a 4% premium bonus but included a market value adjustment provision that could reduce the account value upon early withdrawal. The product had a 10% annual free withdrawal provision, but amounts exceeding that threshold would trigger the full surrender charge plus MVA. Fontaine earned a 7.5% first-year commission of \$21,375 on the sale.

Fontaine completed the insurer's suitability questionnaire but listed Mrs. Kowalski's risk tolerance as 'moderate' and her liquidity needs as 'low,' despite her clear verbal statements to the contrary. He also listed her investment time horizon as '10+ years' and did not document her husband's health condition or her own recent stroke. The application was processed by Great Northern Life, which had been authorized to do business in New York and was subject to oversight by the New York State Insurance Department under Superintendent James J. Wrynn. Mrs. Kowalski's daughter discovered the annuity nine months later when trying to access funds for her father's memory care facility placement, at which point a withdrawal of \$150,000 would have triggered approximately \$12,825 in surrender charges plus an adverse market value adjustment estimated at \$3,200.

Question

Under the New York State Insurance Department's regulatory framework in effect as of 2010, including applicable NAIC-based annuity suitability standards and New York Insurance Law, did Gerald Fontaine's sale of this fixed indexed annuity to Mrs. Kowalski violate applicable suitability requirements, and what enforcement authority would the Superintendent have had?

Answer

Verdict: Gerald Fontaine's conduct constitutes a clear violation of New York's annuity suitability requirements as they existed in 2010, and the Superintendent of Insurance had broad enforcement authority to address it.

In 2010, New York had adopted Regulation 60 (11 NYCRR 224), which incorporated suitability standards for annuity transactions modeled on the NAIC Suitability in Annuity Transactions Model Regulation (Model 275). Under these provisions, an insurance producer recommending the purchase of an annuity was required to have reasonable grounds for believing the recommendation was suitable for the consumer based on facts disclosed by the consumer regarding,

among other things, age, financial situation, investment objectives, intended use of the annuity, liquidity needs, risk tolerance, and existing insurance or annuity holdings.

Fontaine violated multiple elements of these suitability requirements. First, regarding liquidity needs: Mrs. Kowalski explicitly communicated a need for accessible funds to cover potential nursing home expenses. A 12-year surrender period annuity with a 9% first-year surrender charge and market value adjustment provision is fundamentally incompatible with high liquidity needs. Second, regarding risk tolerance: Fontaine falsified the suitability questionnaire by recording her risk tolerance as 'moderate' when she requested CD-like safety, and listed her liquidity needs as 'low' when they were demonstrably high. This constitutes a material misrepresentation on required documentation. Third, regarding age and time horizon: At 78 years old with documented health concerns, a 10+ year investment horizon designation was unreasonable and unsupported by the facts.

Under New York Insurance Law §§ 2110 and 2122, the Superintendent had authority to revoke, suspend, or decline to renew Fontaine's insurance producer license for, among other grounds, demonstrated untrustworthiness or incompetence in conducting business. Under § 2405 and related enforcement provisions, the Department could impose monetary penalties. The deliberate falsification of suitability documentation would also implicate Insurance Law § 4226 regarding unfair trade practices.

Fontaine cannot credibly argue the 4% premium bonus or 10% free withdrawal provision cured the suitability deficiency. The bonus was subject to the same surrender schedule, effectively acting as a recapture mechanism, and the 10% free withdrawal was grossly insufficient given Mrs. Kowalski's foreseeable need for \$150,000. The \$21,375 commission further evidences a conflict that should have heightened Fontaine's suitability analysis. Note that although NY Reg 187 (11 NYCRR 224, as later amended in 2018-2019) would subsequently impose a best interest standard, even the 2010 suitability standard was plainly breached here.

Key Factor

Fontaine deliberately misrepresented Mrs. Kowalski's liquidity needs, risk tolerance, and time horizon on the suitability questionnaire to facilitate the sale of a long-surrender-period annuity that was fundamentally incompatible with her clearly stated need for safe, accessible funds to cover imminent healthcare expenses.

Item 44 of 499**NON-COMPLIANT**

Topic: naic_model_275_annuity_suitability_state_adoption

Difficulty: hard

Standard: D.C. MUN. REGS. tit. 26A, §§ 8400-8499 (2010/2011); NAIC Suitability in Annuity Transactions Model Regulation #275, §§ 5 (Duties of Insurers and Producers), 6 (Insurer Supervision System); prior version of NAIC Model Regulation adopted by D.C.

Source: 08_State_Fiduciary_Rules

Fact Pattern

Patricia Lawson is a 71-year-old retired schoolteacher living in the District of Columbia. She has \$340,000 in a traditional IRA, a \$1,200/month pension, and receives \$2,100/month in Social Security. She has no long-term care insurance and mild early-stage cognitive decline, though she remains legally competent. In March 2024, she meets with Ronald Hensley, a licensed insurance producer affiliated with Keystone Annuity Distributors, LLC, at a free dinner seminar held at a hotel in Georgetown. Hensley recommends that Patricia liquidate her entire IRA and purchase a 12-year market value adjustment (MVA) fixed indexed annuity issued by National Fidelity Life Insurance Company, with a \$340,000 single premium. The annuity carries a 10-year surrender charge schedule starting at 9% and declining to 0%, and includes an income rider with a 1.10% annual charge. The guaranteed minimum surrender value would not equal the premium paid until year 11. Hensley's commission on the sale is \$23,800 (7% of premium). During the meeting, Hensley fills out a suitability questionnaire but marks Patricia's risk tolerance as 'moderate growth' and her liquidity needs as 'none anticipated,' despite Patricia verbally mentioning that she might need funds within two years for possible assisted living costs. Hensley does not document Patricia's mention of potential near-term liquidity needs, does not inquire about her health status or existing insurance coverage, and does not consider any alternative products. He submits the application the same day. The insurer's home office suitability review team approves the application based solely on the questionnaire without independent verification. Patricia's niece, a financial planner, discovers the transaction 45 days later -- after the D.C. free-look period has expired -- and files a complaint with the D.C. Department of Insurance, Securities and Banking.

Question

Did Ronald Hensley and Keystone Annuity Distributors, LLC violate the annuity suitability requirements applicable in the District of Columbia, and what are the respective obligations of the producer and the insurer under the controlling regulation?

Answer

This transaction is non-compliant and constitutes multiple violations of the District of Columbia's annuity suitability regulation. The D.C. Municipal Regulations, Title 26A, §§ 8400-8499 (adopted 2010/2011), govern suitability in annuity transactions and are based on a previous version of the NAIC Suitability in Annuity Transactions Model Regulation (#275). Notably, as reflected in the NAIC state page chart, D.C. has not adopted the most recent (2020) revised NAIC Model Regulation, meaning the older framework applies -- but even under that earlier standard, the facts here reveal clear violations.

First, regarding the producer's duty: Under the NAIC Model and its D.C. counterpart, a producer must have reasonable grounds for believing that a recommendation is suitable based on facts disclosed by the consumer concerning, among other things, the consumer's age, financial situation, tax status, insurance needs, investment objectives, liquidity needs, and risk tolerance. Hensley failed this obligation in several critical respects. He recorded Patricia's liquidity needs as

'none anticipated' despite her explicit verbal disclosure of potential near-term assisted living expenses. Misrepresenting or ignoring known consumer information on the suitability form is a direct violation of the duty to make a suitable recommendation based on the consumer's actual profile. A 12-year MVA annuity with a 10-year declining surrender charge starting at 9% is fundamentally unsuitable for a 71-year-old with near-term liquidity concerns and no long-term care coverage. The surrender penalties would severely penalize Patricia if she needed funds for assisted living within two years.

Second, Hensley failed to consider alternative products or to document why this particular annuity -- consuming 100% of Patricia's liquid retirement assets -- was preferable. Under the model regulation framework, the recommendation must be suitable not merely in product type but in the specific allocation relative to the consumer's overall financial profile.

Third, the insurer, National Fidelity Life, bears supervisory responsibility. Under the NAIC Model §6 (and the D.C. counterpart), insurers must establish and maintain a system to supervise recommendations that is reasonably designed to detect unsuitable transactions. Approving this application based solely on the questionnaire -- without independent verification or flagging the age-to-surrender-period mismatch and the 100% asset concentration -- represents a failure of the insurer's supervisory system. The insurer cannot rely solely on the producer's representations when red flags are apparent on the face of the application.

Hensley and Keystone face potential disciplinary action, including license suspension or revocation, fines, and an order to rescind the transaction. National Fidelity Life faces parallel supervisory liability for its inadequate review system.

Key Factor

Hensley deliberately failed to document and act upon Patricia's disclosed near-term liquidity needs, resulting in a recommendation of a long-surrender, illiquid annuity that consumed 100% of her retirement assets and was fundamentally unsuitable for her age, health, and financial profile.

Item 45 of 499

NON-COMPLIANT

Topic: naic_model_275_best_interest_annuity_suitability

Difficulty: hard

Standard: NAIC Suitability in Annuity Transactions Model Regulation (#275), as revised February 2020, Sections 6A (Best Interest Obligation), 6B (Care Obligation), 6D (Conflict of Interest Obligation), 6E (Documentation Obligation), and Section 7 (Insurer Supervision System); Kansas adoption effective January 1, 2022; Dodd-Frank Act Section 989J (federal preemption safe harbor for state annuity suitability standards meeting NAIC model requirements)

Source: 08_State_Fiduciary_Rules

Fact Pattern

Gerald Whitmore is a licensed insurance producer in Kansas who holds appointments with three annuity carriers. On April 15, 2022, Gerald meets with Dorothy Redmond, a 72-year-old retired schoolteacher living in Topeka. Dorothy's financial profile includes a \$185,000 fixed-rate CD maturing at her local bank, a \$62,000 checking/savings balance, Social Security income of \$2,400/month, and a small Kansas Public Employees Retirement System (KPERS) pension of \$1,100/month. Dorothy has moderate risk tolerance, no outstanding debts, and her primary financial goal is preserving principal while generating modest supplemental income to cover anticipated long-term care expenses she discussed with Gerald. She explicitly tells Gerald she wants liquidity because her husband recently passed and she is uncertain about future medical costs.

Gerald recommends a 10-year fixed indexed annuity (FIA) from Heartland Life Insurance Company with a \$175,000 single premium. The product features a 10-year surrender period with declining charges starting at 12% in year one, a 10% annual free withdrawal provision, a guaranteed minimum interest rate of 0.25%, and participation in S&P 500 index gains capped at 4.5%. The product pays Gerald a 7.2% first-year commission (\$12,600). Gerald completes the required suitability disclosure form but does not document any consideration of alternative products--including a 3-year or 5-year MYGA (multi-year guaranteed annuity) offered by the same carrier with much shorter surrender periods and guaranteed rates of 2.8% and 3.1%, respectively. He also fails to document why locking up 94.6% of Dorothy's liquid assets in a long-surrender product serves her stated liquidity needs.

Gerald's supervising insurer, Heartland Life, has adopted a best interest compliance framework in anticipation of Kansas adopting the revised NAIC Suitability in Annuity Transactions Model Regulation (#275). Kansas formally adopted the revised Model #275 effective January 1, 2022, incorporating the best interest standard. Heartland Life's compliance system flags the transaction due to the client's age, concentration of liquid assets, and surrender period length, but the compliance reviewer approves it after Gerald verbally assures the reviewer that Dorothy 'understood the product and wanted the higher upside potential.' No written rationale addressing the care, skill, and prudence obligations or the conflict of interest posed by the differential commission structure is placed in the file.

Question

Under the revised NAIC Model #275 best interest standard as adopted by Kansas, did Gerald Whitmore and Heartland Life Insurance Company satisfy their respective obligations in recommending the 10-year fixed indexed annuity to Dorothy Redmond?

Answer

Neither Gerald Whitmore nor Heartland Life Insurance Company satisfied their obligations under the revised NAIC

Suitability in Annuity Transactions Model Regulation (#275) as adopted by Kansas. The recommendation is non-compliant for multiple independent reasons.

First, under Section 6A of revised Model #275, a producer must act in the best interest of the consumer at the time of the recommendation, and this obligation encompasses four component obligations: Care, Disclosure, Conflict of Interest, and Documentation. Gerald failed virtually all of them.

Regarding the Care Obligation (Section 6B), the producer must exercise reasonable diligence, care, and skill to know the consumer's financial situation, insurance needs, and financial objectives, and must consider reasonably available alternatives. Dorothy explicitly stated her priority was principal preservation with liquidity to cover uncertain future medical costs. Recommending a product that locks up 94.6% of her liquid assets for 10 years with a 12% first-year surrender charge directly contradicts her stated objectives. The existence of 3-year and 5-year MYGAs from the same carrier--products that would have addressed Dorothy's liquidity and preservation needs far more appropriately--demonstrates Gerald failed to evaluate reasonably available alternatives as required.

Regarding the Conflict of Interest Obligation (Section 6D), the producer must not place his financial interest ahead of the consumer's interest. The 7.2% commission (\$12,600) on the 10-year FIA compared to the materially lower commissions on shorter-surrender MYGAs creates a textbook compensation conflict. Gerald made no effort to document how this conflict was identified and mitigated, as Model #275 requires.

Regarding the Documentation Obligation (Section 6E), the producer must make a written record of the basis for the recommendation. Gerald's file contains no written rationale explaining why the 10-year FIA was in Dorothy's best interest despite her liquidity needs and the availability of shorter-term alternatives.

Heartland Life also failed its insurer supervision obligations under Section 7 of Model #275, which requires the insurer to establish and maintain a system to supervise recommendations that is reasonably designed to achieve compliance with the best interest standard. The compliance system appropriately flagged the transaction, but the reviewer accepted a mere verbal assurance rather than requiring documented substantiation addressing the specific red flags. This constitutes a failure of the insurer's supervisory system.

Gerald cannot rely on the safe harbor in Section 6H (if adopted by Kansas) because that provision requires the recommendation to have been made in compliance with the substantive best interest components--which it was not. The transaction is non-compliant under revised Model #275, Sections 6A, 6B, 6D, 6E, and 7.

Key Factor

Gerald failed to document consideration of reasonably available shorter-surrender alternatives that aligned with the client's explicitly stated liquidity needs, while recommending a product that paid him materially higher compensation--violating the care, conflict of interest, and documentation obligations under revised Model #275.

Item 46 of 499

NON-COMPLIANT

Topic: naic_model_275_safe_harbor_fixed_annuity_supervision

Difficulty: hard

Standard: NAIC Suitability in Annuity Transactions Model Regulation (Model 275-1), Sections 6(C)(1), 6(C)(3)(a), 6(C)(3)(b), 6(D), 6(E)(1), 6(E)(3); SEC Regulation Best Interest (17 CFR §240.15l-1); FINRA Rules 2330, 3110, 3120, 3130

Source: 08_State_Fiduciary_Rules

Fact Pattern

Heritage Life Insurance Company ('Heritage Life') is a mid-sized life insurer domiciled in Iowa that issues both fixed indexed annuities (FIAs) and registered variable annuities across 38 states. In March 2025, Heritage Life entered into a selling agreement with Pinnacle Financial Group, a FINRA-registered broker-dealer headquartered in Ohio. Under the agreement, Pinnacle's registered representatives who also hold insurance producer licenses may sell Heritage Life's full product line, including the Heritage Horizon 10 FIA -- a 10-year fixed indexed annuity with a 7% surrender charge in year one and a 2% annual premium bonus.

On June 15, 2025, Marcus Chen, a dual-licensed registered representative of Pinnacle and insurance producer in Ohio, recommended the Heritage Horizon 10 FIA to Dorothy Waverly, a 72-year-old retired schoolteacher with \$340,000 in liquid savings, a modest \$2,100/month pension, and Social Security income of \$1,850/month. Dorothy expressed a primary need for guaranteed income and liquidity for potential healthcare expenses. Marcus recommended she allocate \$280,000 -- approximately 82% of her liquid assets -- into the Heritage Horizon 10 FIA, citing the premium bonus and index-linked growth potential. The recommendation was processed through Pinnacle's standard Reg BI compliance workflow, which generated a CRS disclosure and a best interest obligation assessment. Pinnacle applied its Reg BI policies and procedures to the FIA sale even though Reg BI does not directly apply to unregistered fixed annuities.

Heritage Life sought to rely on the NAIC Model 275 safe harbor provision, Section 6(E), for this transaction. During its onboarding of Pinnacle in early 2025, Heritage Life verified that Pinnacle was a registered broker-dealer and confirmed that Pinnacle represented it would apply its Reg BI business rules, controls, and procedures to fixed annuity recommendations. However, Heritage Life did not independently establish any monitoring framework for Pinnacle's supervision of fixed annuity transactions. Heritage Life's compliance department did not conduct any audits of Pinnacle's supervisory systems for fixed annuity sales, nor did it request or review any transaction-level data regarding the Waverly recommendation. Heritage Life's internal compliance manual stated: 'For safe harbor transactions, Heritage Life relies entirely on the supervising broker-dealer's compliance systems and does not conduct independent review or audits of individual fixed annuity sales.'

A subsequent state regulatory examination in September 2025 flagged the Waverly transaction as potentially unsuitable given Dorothy's age, liquidity needs, and the high concentration of assets in a single long-surrender-period product. Examiners also questioned Heritage Life's supervisory framework under the safe harbor.

Question

Did Heritage Life Insurance Company satisfy its obligations under the NAIC Model Regulation's safe harbor provision, specifically its Section 6(C)(1) supervisory duty and its monitoring and audit obligations under Sections 6(E)(3) and 6(C)(3)(b), with respect to the Waverly fixed indexed annuity transaction?

Answer

Heritage Life did not satisfy its obligations under the NAIC Model Regulation (Model 275-1), and its reliance on the safe harbor is deficient for multiple independent reasons.

First, under Section 6(C)(1), an insurer must have a reasonable basis to believe that an annuity recommendation meets a consumer's financial and insurance needs, regardless of whether the safe harbor applies. The NAIC guidance adopted in November 2025 explicitly states that this obligation persists 'whether that annuity is a federally registered security or a fixed annuity.' Heritage Life made no independent assessment of whether allocating \$280,000 -- 82% of Dorothy Waverly's liquid savings -- into a 10-year FIA with a 7% year-one surrender charge was appropriate for a 72-year-old retiree whose stated primary needs included liquidity for healthcare expenses. The product's long surrender period and illiquidity profile directly conflict with Dorothy's expressed financial objectives. Heritage Life's failure to evaluate the transaction against the consumer's profile is a standalone violation of Section 6(C)(1).

Second, while Heritage Life contractually assigned supervisory functions to Pinnacle under Section 6(C)(3)(a), which is permissible, it failed to comply with Section 6(C)(3)(b), which requires the insurer to 'monitor and, as appropriate, conduct audits to assure the contracted function is properly performed.' Heritage Life's own compliance manual explicitly disclaimed any independent review or audit of individual fixed annuity sales. This blanket abdication of audit responsibility is directly contrary to the Model Regulation's requirements and the adopted guidance.

Third, under the safe harbor's monitoring requirement in Section 6(E)(3), Heritage Life was required to 'monitor the relevant conduct of the financial professional or the entity responsible for supervising the financial professional using information gathered in the normal course of an insurer's business.' Heritage Life gathered no transaction-level data on the Waverly sale, requested no supervisory reports from Pinnacle regarding fixed annuity recommendations, and had no system for flagging potentially unsuitable fixed annuity transactions. The guidance clarifies that monitoring is an affirmative, ongoing duty -- not a passive assumption that the broker-dealer's systems are functioning.

Heritage Life cannot defend by arguing that Pinnacle applied Reg BI procedures to the FIA. The guidance acknowledges that broker-dealers may voluntarily extend Reg BI controls to fixed annuities, and this can form the basis for safe harbor reliance. However, the safe harbor does not eliminate the insurer's independent supervisory duties under Sections 6(C)(1), 6(C)(3)(b), and 6(E)(3). Heritage Life's total delegation without monitoring or audit constitutes a failure to meet the conditions for valid safe harbor reliance, exposing the insurer to regulatory action for supervisory deficiencies under the Model Regulation.

Key Factor

Heritage Life's compliance manual explicitly disclaimed any independent monitoring or audit of fixed annuity transactions processed under the safe harbor, directly violating its non-delegable supervisory obligations under Sections 6(C)(1), 6(C)(3)(b), and 6(E)(3) of the Model Regulation.

Item 47 of 499**NON-COMPLIANT**

Topic: annuity_replacement_suitability_disclosure

Difficulty: hard

Standard: New York Insurance Regulation 60 (11 NYCRR Part 51), including Appendix 10B Disclosure Statement requirements; New York Insurance Regulation 187 (11 NYCRR Part 224) best interest and suitability standard for annuity transactions; New York Insurance Law § 4223(a)(1)(E) regarding guaranteed annuity purchase rates

Source: 08_State_Fiduciary_Rules

Fact Pattern

Margaret Olsen, age 72, is a retired schoolteacher living in Syracuse, New York, with an annual pension income of \$38,000 and Social Security benefits of \$22,800. In March 2017, she held a flexible premium deferred variable annuity issued by Horizon Life Insurance Company with an accumulation value of \$187,400. The deferred annuity contract included guaranteed annuity purchase rates established in 2004 that were significantly more favorable than prevailing market rates, effectively guaranteeing a monthly income stream of approximately \$1,215 per month if she elected to annuitize the existing contract under its guaranteed terms.

Brandon Kessler, a career agent licensed in New York and contracted with Ridgepoint Life Insurance Company, approached Margaret at a community financial literacy seminar. After a 45-minute meeting at her home on April 3, 2017, during which he collected basic information about her age, income, and desire for 'guaranteed monthly income,' Kessler recommended that Margaret surrender her Horizon deferred annuity and purchase a Ridgepoint single premium immediate annuity (SPIA) using the \$187,400 surrender proceeds. The Ridgepoint SPIA would pay Margaret \$1,048 per month for life--\$167 less per month than the guaranteed annuitization rate available under her existing Horizon contract. Kessler earned a 4.5% commission (\$8,433) on the replacement SPIA sale.

Kessler completed a Disclosure Statement (Appendix 10B to Insurance Regulation 60) but left the section comparing guaranteed annuitization rates of the existing deferred annuity blank, writing 'N/A--client is purchasing a new product.' He did not contact Horizon to obtain the guaranteed annuity purchase rates embedded in Margaret's existing contract, nor did he explain to Margaret that she could annuitize her existing contract for a higher guaranteed payment. Ridgepoint's home office compliance unit processed the replacement paperwork without flagging the incomplete disclosure or conducting an independent suitability review comparing the annuitization values. Internal training records show that Ridgepoint had not updated its agent training materials on Regulation 187's suitability requirements since 2014, and had no documented supervisory procedure requiring comparison of existing contract annuitization rates before approving a replacement immediate annuity.

Margaret did not discover the disparity until 2019, when a new financial adviser reviewed her records and informed her that she had forfeited approximately \$2,004 per year in guaranteed income by surrendering the Horizon contract.

Question

Did Ridgepoint Life Insurance Company and its agent Brandon Kessler violate New York Insurance Regulations 60 and 187 in connection with the replacement of Margaret Olsen's deferred annuity with a single premium immediate annuity?

Answer

Yes. Both Ridgepoint Life Insurance Company and agent Brandon Kessler violated New York Insurance Regulations 60

and 187 in multiple respects, and the fact pattern closely mirrors the conduct at issue in the DFS Consent Order against Principal Life Insurance Company.

First, regarding Regulation 60 (11 NYCRR Part 51), the regulation requires that when a replacement annuity transaction occurs, the agent and insurer must complete the Disclosure Statement prescribed in Appendix 10B, which mandates a side-by-side comparison of the existing deferred annuity and the proposed replacement immediate annuity, including guaranteed annuitization values. Kessler left the annuitization comparison section blank and wrote 'N/A,' which constitutes a failure to provide accurate and complete disclosures as required. The fact that he did not contact Horizon to obtain the guaranteed annuity purchase rates embedded in Margaret's existing contract is directly analogous to the DFS finding that Principal 'failed to obtain appropriate annuitization information for replaced deferred annuities.' Without this information, the Disclosure Statement was materially deficient, depriving Margaret of the information necessary to make an informed decision.

Second, regarding Regulation 187 (11 NYCRR Part 224), which requires that any recommendation to replace an annuity must be suitable and in the best interest of the consumer, the recommendation fails on its face. The replacement SPIA paid \$167 less per month than the guaranteed annuitization option available under the existing contract. There was no documented analysis of whether the replacement was suitable, no consideration of guaranteed benefits being forfeited, and no evidence that the recommendation served Margaret's best interest rather than the agent's commission interest. Under Regulation 187, the producer and insurer must act in the best interest of the consumer, and the insurer must establish and maintain a system of supervision reasonably designed to achieve compliance.

Third, Ridgepoint's supervisory failures are material. The company processed the replacement without flagging the incomplete Appendix 10B disclosure, conducted no independent suitability review comparing annuitization values, had not updated training materials on Regulation 187 since 2014, and maintained no documented procedure requiring comparison of existing contract annuitization rates. These failures mirror the DFS findings that Principal 'failed to adequately train agents and brokers to conduct proper suitability reviews' and 'failed to maintain adequate supervisory controls.' Under both Regulations 60 and 187, the insurer bears independent responsibility for ensuring compliance.

Ridgepoint could argue the consumer signed the paperwork voluntarily, but this is not a defense when the disclosures were incomplete and the consumer was not informed of a materially better alternative embedded in her existing contract. The consumer was harmed in the amount of approximately \$2,004 annually in lost guaranteed income.

Key Factor

The agent and insurer failed to obtain and disclose the guaranteed annuitization rates available under the existing deferred annuity contract, thereby preventing the consumer from making an informed comparison and causing her to replace a more financially favorable contract with an inferior immediate annuity.

Item 48 of 499**NON-COMPLIANT**

Topic: class_a_mutual_fund_share_suitability_supervision

Difficulty: hard

Standard: Securities Act of Washington, RCW 21.20.010 (anti-fraud), RCW 21.20.040 (broker-dealer conduct and registration requirements); FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); NASAA multistate enforcement framework as applied in Order No. S-19-2768-23-CO01

Source: 08_State_Fiduciary_Rules

Fact Pattern

Rebecca Thornton, age 62, is a retired school administrator in Spokane, Washington, with a moderate risk tolerance, a total liquid net worth of approximately \$485,000, and a stated investment objective of generating income to supplement her pension over the next three to five years before enrolling in Medicare and drawing Social Security. In March 2017, she opened a brokerage account with Pacific Ridge Financial Services, LP ('Pacific Ridge'), a broker-dealer registered in Washington since 1991 and also SEC-registered as an investment adviser. Her financial advisor, Craig Meyers (CRD #441876), recommended she invest \$210,000 across four mutual fund families, all in Class A shares, each carrying a front-end load of approximately 4.75%. Craig documented Rebecca's investment time horizon as 'long-term (10+ years)' on her new account form, even though during their recorded discovery meeting Rebecca stated she anticipated needing to liquidate portions of the portfolio within two to four years to cover healthcare expenses before Medicare eligibility. Craig's branch manager, Linda Farrell, approved the transactions without questioning the discrepancy between the documented time horizon and the client's actual stated needs.

Within 18 months, by September 2018, Rebecca had liquidated approximately \$145,000 of her Class A mutual fund holdings to pay for a hip replacement surgery and bridge health insurance premiums--exactly the scenario she had described in her initial meeting. The early liquidation meant Rebecca effectively paid approximately \$6,887 in front-end loads on shares she held for less than two years, forfeiting the long-term cost advantage that was the primary rationale for selecting Class A shares over lower-load or no-load alternatives such as Class C shares or no-transaction-fee funds available through Pacific Ridge's advisory platform.

A subsequent multistate investigation coordinated through NASAA discovered that Pacific Ridge had no systematic supervisory procedures to flag accounts where Class A shares were recommended to clients whose documented or stated time horizons were inconsistent with the cost structure of those shares. The firm's compliance manual referenced suitability obligations under Washington's Securities Act but contained no written supervisory procedures specifically addressing share class selection relative to client-stated liquidity needs. Craig Meyers's compensation was higher on Class A share sales due to the upfront commission structure, and Pacific Ridge's internal training materials acknowledged that Class A shares were generally unsuitable for investors with short-to-intermediate holding periods.

Question

Did Pacific Ridge Financial Services and its financial advisor Craig Meyers violate Washington's Securities Act and applicable suitability obligations by recommending Class A mutual fund shares to a client whose stated liquidity needs were inconsistent with the long-term holding period required to justify Class A front-end loads, and did the firm fail in its supervisory duties?

Answer

This conduct constitutes a violation of the Securities Act of Washington, RCW 21.20, specifically RCW 21.20.010

(anti-fraud provisions) and RCW 21.20.040 (registration and conduct requirements for broker-dealers and their agents), as well as FINRA Rules 2111 (Suitability) and 3110 (Supervision), which Washington incorporates by reference in its regulatory enforcement.

First, regarding the suitability violation: FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction is suitable for the customer based on that customer's investment profile, including the customer's age, financial situation, investment objectives, time horizon, liquidity needs, and risk tolerance. Here, Rebecca Thornton explicitly communicated a three-to-five-year time horizon and anticipated liquidity needs for healthcare expenses. Craig Meyers disregarded these stated needs and instead documented a 'long-term (10+ years)' horizon to justify Class A share recommendations. Pacific Ridge's own training materials acknowledged that Class A shares are generally unsuitable for investors with short-to-intermediate holding periods because the front-end load cannot be amortized over sufficient time to produce a cost advantage over Class C or no-load alternatives. The approximately \$6,887 in forfeited front-end load value is direct, quantifiable client harm.

Second, the documentation discrepancy between what Rebecca stated and what Craig recorded constitutes a potential violation of RCW 21.20.010's anti-fraud provisions, which prohibit any device, scheme, or artifice to defraud, or any act or practice that operates as a fraud upon any person. Misrepresenting a client's time horizon to justify a higher-commission product is precisely the type of conduct this provision targets.

Third, Pacific Ridge failed its supervisory obligations under FINRA Rule 3110 and RCW 21.20.040. The firm lacked written supervisory procedures to identify and flag share class recommendations inconsistent with documented or stated client time horizons. Branch manager Linda Farrell approved the transactions without reconciling the evident inconsistency. The NASAA multistate investigation framework, as described in the Edward Jones consent order (Order No. S-19-2768-23-CO01), establishes the precedent that firms must maintain supervisory systems specifically addressing share class suitability in the context of client liquidity needs and investment horizons.

Pacific Ridge might argue that Rebecca's liquidation was unanticipated. However, this defense fails because the client articulated her anticipated liquidity needs during the recorded discovery meeting. The firm's own records contradict any claim of surprise. The violation is both at the advisor level (unsuitable recommendation and inaccurate documentation) and at the firm level (failure of supervisory procedures and supervisory review).

Key Factor

The financial advisor documented a long-term investment horizon directly contradicting the client's stated three-to-five-year liquidity needs to justify Class A mutual fund share recommendations that generated higher upfront commissions, and the firm lacked supervisory procedures to detect this discrepancy.

Item 49 of 499

NON-COMPLIANT

Topic: ny_reg187_annuity_replacement_best_interest

Difficulty: hard

Standard: New York Insurance Regulation 187 (11 NYCRR §224), specifically Sections 224.4(d) (best interest standard), 224.4(e) (replacement transaction considerations including surrender charges, loss of guarantees, and new surrender periods), 224.4(g) (documentation requirements), and the duty of care and duty of loyalty obligations as applied to annuity replacement transactions

Source: 08_State_Fiduciary_Rules

Fact Pattern

On March 15, 2023, licensed insurance producer Gerald Novak met with his client, Dolores Ferrante, age 71, a retired school administrator living in Syracuse, New York. Dolores had an existing fixed indexed annuity issued by Integrity Life Insurance Company, purchased in 2019 with a \$285,000 premium. The existing annuity carried a 7-year surrender charge schedule (currently in year 4, with a remaining surrender charge of 5.25%, equaling approximately \$14,962), a guaranteed minimum interest rate of 2.1%, a 10% annual free withdrawal provision, and a guaranteed lifetime withdrawal benefit (GLWB) rider with a 5.5% payout factor that had already been activated. Dolores's annual income from Social Security and her pension totaled \$52,000, and she relied on the GLWB payments of approximately \$15,675 annually to supplement her living expenses. She had \$38,000 in a savings account and no other liquid investments. Her risk tolerance was conservative, and she had expressed concern about outliving her savings.

Gerald recommended that Dolores surrender her existing Integrity annuity and purchase a new fixed indexed annuity from National Beacon Insurance Company for \$270,038 (the net surrender value after the 5.25% charge). The new National Beacon product offered a first-year premium bonus of 8%, a new 10-year surrender charge schedule starting at 9%, and a GLWB rider with a 5.0% payout factor--but the GLWB would not be available for income until after a mandatory 2-year deferral period. Gerald's commission on the new sale was 6.5%, compared to the 0% trail commission he was earning on the in-force Integrity contract. Gerald documented the transaction by noting that the new product had a 'higher premium bonus' and 'competitive index crediting strategies,' but he did not document any analysis comparing the GLWB payout rates, the impact of the 2-year income gap, the surrender charge loss on the existing contract, or the loss of the existing guaranteed 2.1% minimum rate. He did not discuss with Dolores the fact that her GLWB income stream would be interrupted for two years, nor did he analyze whether the premium bonus would offset the surrender charges and reduced payout factor over Dolores's expected lifetime.

Gerald submitted the replacement paperwork to National Beacon on March 22, 2023. The insurer's suitability review unit flagged the transaction for further review due to the client's age and the active GLWB status on the existing policy, but Gerald responded by reiterating the premium bonus advantage without providing additional comparative analysis. The transaction was processed on April 10, 2023.

Question

Did Gerald Novak's recommendation that Dolores Ferrante replace her existing fixed indexed annuity with the National Beacon product satisfy the best interest standard under New York Regulation 187?

Answer

No. Gerald Novak's recommendation to replace Dolores Ferrante's existing annuity fails the best interest standard under New York Insurance Regulation 187 (11 NYCRR §224) on multiple grounds.

First, Regulation 187, Section 224.4(d), requires that a recommendation be in the best interest of the consumer, meaning the producer must act with reasonable diligence, care, and skill, placing the consumer's interests ahead of the producer's financial interests. Here, Gerald's documented rationale focused exclusively on the premium bonus and crediting strategies of the new product, without any comparative analysis of the two products' guaranteed benefits. This fails the duty of care component, which demands that the producer evaluate the consumer's existing coverage and how a replacement would materially alter the consumer's financial position.

Second, under Section 224.4(e), when recommending a replacement of an existing annuity, the producer must specifically consider whether the consumer would be subject to a surrender charge on the existing product, whether the consumer would lose existing guarantees, and whether the replacement would result in a new surrender charge period. Gerald's recommendation triggered a \$14,962 surrender charge (5.25%) on the Integrity contract, initiated a new 10-year surrender schedule starting at 9%, eliminated a 2.1% guaranteed minimum rate, and replaced a 5.5% GLWB payout factor with a lower 5.0% factor subject to a 2-year deferral. None of these material disadvantages were documented or disclosed to the client, violating the documentation requirements of Section 224.4(g).

Third, the 2-year income gap is particularly egregious given Dolores's reliance on the GLWB income (\$15,675 annually) to meet basic living expenses, and her limited liquid reserves of only \$38,000. The replacement effectively forces a 71-year-old conservative retiree to deplete her savings account during the deferral period--a result fundamentally incompatible with her stated financial objectives and risk tolerance.

Fourth, the duty of loyalty under Regulation 187 prohibits placing the producer's compensation interest above the consumer's interest. Gerald earned 6.5% commission on the new sale versus 0% on the in-force contract, and provided no substantive justification for why the replacement benefited the client. The compensation disparity, combined with the absence of any genuine comparative analysis, creates a strong inference that the recommendation was compensation-driven.

Gerald cannot defend the recommendation by pointing to the 8% premium bonus, as Regulation 187 requires holistic analysis--not cherry-picking a single product feature. The premium bonus does not offset the surrender charge loss, reduced GLWB payout factor, income interruption, extended surrender period, and loss of guaranteed minimum crediting rate when analyzed over Dolores's expected lifetime. This transaction is non-compliant with NY Reg 187's best interest standard.

Key Factor

Gerald failed to perform or document any comparative analysis of the existing annuity's superior GLWB payout factor, active income stream, and guarantees against the replacement product's features, while the replacement was driven by a 6.5% commission and created a two-year income gap for a retiree dependent on annuity withdrawals for living expenses.

Item 50 of 499**NON-COMPLIANT**

Topic: nevada_fiduciary_duty_broker_dealer

Difficulty: hard

Standard: NRS 628A.020 (fiduciary duty imposed on broker-dealers and investment advisers); Nevada SB 383, effective July 1, 2017; NRS Chapter 233B (Administrative Procedures Act, governing rulemaking authority); Nevada Securities Division regulatory authority under SB 383

Source: 08_State_Fiduciary_Rules

Fact Pattern

Marcus Delgado is a registered representative with Sierra Ridge Financial Services, a broker-dealer licensed in Nevada since 2014. Sierra Ridge is a small firm with 38 employees and is headquartered in Reno. On August 14, 2017, Marcus met with Patricia Langley, a 62-year-old recently retired schoolteacher in Henderson, Nevada, who had accumulated \$485,000 in a traditional IRA rollover from the Nevada Public Employees' Retirement System (PERS). Patricia told Marcus she needed steady income to supplement her pension, which covered only about 60% of her monthly expenses, and that she had minimal risk tolerance given her fixed income and no other liquid savings.

Marcus recommended that Patricia invest \$340,000 (approximately 70% of her total liquid assets) in a Class C share variable annuity product issued by National Guaranty Life, which carried a 1.85% annual mortality and expense charge, a 0.45% administrative fee, and underlying subaccount expenses averaging 1.10%, bringing the all-in annual cost to approximately 3.40%. The product had a seven-year contingent deferred sales charge schedule starting at 7% in year one. Marcus earned a 4% upfront commission of \$13,600, plus a 1% annual trail commission. He placed the remaining \$145,000 in a balanced mutual fund with a 5.25% front-end load.

Marcus did not discuss lower-cost alternatives such as no-load index funds, fixed annuities with guaranteed income riders, or fee-based advisory accounts. His firm's compliance manual, updated in June 2017, acknowledged the passage of SB 383 and its effective date of July 1, 2017, but stated that the firm was 'awaiting further regulatory guidance from the Nevada Securities Division before implementing specific fiduciary duty compliance procedures.' Marcus documented his recommendation using the firm's standard suitability worksheet, which assessed Patricia's risk tolerance as 'moderate'--contradicting her stated preference--and did not include any analysis of whether the recommendation was in Patricia's best interest. Patricia signed the account paperwork on August 21, 2017, and the trades were executed the following day.

In October 2017, Patricia attended a financial literacy seminar at her local library and learned that her annuity's cost structure was unusually high and that she could have obtained similar income guarantees through a fixed indexed annuity at roughly half the cost. She filed a complaint with the Nevada Securities Division on November 6, 2017.

Question

Did Marcus Delgado and Sierra Ridge Financial Services violate Nevada's statutory fiduciary duty under NRS Chapter 628A as enacted by SB 383, and does the firm's stated position of 'awaiting further regulatory guidance' constitute a viable defense?

Answer

Marcus Delgado and Sierra Ridge Financial Services violated Nevada's statutory fiduciary duty under NRS 628A.020 as enacted by SB 383, effective July 1, 2017. The firm's defense that it was 'awaiting further regulatory guidance'

before implementing fiduciary compliance procedures is not viable.

First, the critical legal point: SB 383 imposed a statutory fiduciary duty on broker-dealers and investment advisers effective July 1, 2017, by operation of law. The statute did not condition the fiduciary obligation on the promulgation of implementing regulations. The Division's authority to adopt regulations under SB 383 was permissive--it authorized the Administrator to 'adopt regulations relating to this fiduciary duty,' including regulations that would 'further define acts, practices, or a course of business that are a violation of the fiduciary duty.' However, the absence of such regulations does not suspend or defer the underlying statutory duty. The fiduciary standard was self-executing as of its effective date. Sierra Ridge's compliance manual effectively acknowledged the law's existence but chose not to comply, which demonstrates awareness coupled with deliberate inaction--potentially an aggravating factor rather than a mitigating one.

Second, applying fiduciary duty principles to Marcus's conduct reveals multiple failures. A fiduciary duty generally encompasses duties of care and loyalty. Under the duty of care, Marcus was obligated to conduct a reasonable investigation of Patricia's financial situation and to recommend products that served her best interest. The facts show he recommended a high-cost Class C variable annuity consuming 70% of her liquid retirement assets for a 62-year-old retiree with minimal risk tolerance and income needs--a profile far better suited to lower-cost fixed income or fixed annuity products. The all-in cost of 3.40% annually would significantly erode Patricia's retirement income. The seven-year CDSC effectively locked her into a product that was misaligned with her needs. Under the duty of loyalty, Marcus failed to disclose or consider lower-cost alternatives and appears to have been motivated by the \$13,600 upfront commission. The mischaracterization of Patricia's risk tolerance as 'moderate' on the suitability worksheet, contradicting her stated conservative preference, suggests the documentation was tailored to justify the recommendation rather than to faithfully record her profile.

Third, the fact that the Division was still in the process of drafting regulations--including the workshop scheduled for September 2017 and the small business impact assessment with an August 15, 2017 comment deadline--does not create a regulatory safe harbor. The document explicitly states the Division intended regulations to 'further define' violations and potential exclusions, not to create the duty itself. Marcus's trades were executed on August 22, 2017, well after the July 1 effective date. Both Marcus individually and Sierra Ridge as the supervising broker-dealer face liability under NRS 628A.020.

Key Factor

The firm's deliberate decision to defer fiduciary compliance pending regulatory guidance does not suspend the self-executing statutory fiduciary duty that took effect on July 1, 2017, under NRS 628A.020.

Item 51 of 499

NON-COMPLIANT

Topic: vulnerable_adult_financial_exploitation

Difficulty: hard

Standard: MD Criminal Law § 3-604 (Abuse or Neglect of a Vulnerable Adult, First Degree); MD HB 780 (2020) amending § 14-101(a) and Public Safety § 5-101(c); FINRA Rules 2111 (Suitability), 2165 (Financial Exploitation of Specified Adults), 3110 (Supervision), 3240 (Borrowing From or Lending to Customers); Maryland common-law fiduciary duty for investment advisers

Source: 08_State_Fiduciary_Rules

Fact Pattern

Margaret Tillman is an 81-year-old widow residing in Annapolis, Maryland, who suffers from moderate dementia and is largely unable to manage her own daily affairs, including her finances. She has approximately \$1.2 million in retirement savings, including an IRA rollover account at a regional broker-dealer, and receives \$2,400/month in Social Security benefits. In February 2020, her live-in nephew, David Tillman, who has served as her informal caregiver since her husband's death in 2017, contacts Margaret's registered financial adviser, Brian Cosgrove, at Chesapeake Wealth Advisors LLC, requesting a full liquidation of Margaret's IRA into a non-qualified variable annuity with a 12-year surrender period and annual fees of 3.45%. David presents a general durable power of attorney that Margaret signed in 2016, before her cognitive decline became pronounced. Brian Cosgrove has met Margaret in person only once, in 2018, and noted in his CRM that she appeared confused during the meeting and did not seem to understand the products being discussed. Despite this note, Brian processes the transaction based solely on David's instructions, generating a \$42,000 commission for himself. Brian does not contact Margaret's adult daughter, Karen Tillman-Ross, who is listed as the contingent beneficiary on the IRA and who lives in Baltimore. Brian also fails to contact Maryland Adult Protective Services or his firm's compliance department. Over the next six months, David withdraws \$185,000 from the annuity's free-withdrawal corridor, directing the funds to his personal bank account. When Karen discovers the transactions in September 2020 during a visit, she finds her mother malnourished, living in unsanitary conditions, and without access to her prescribed medications. Karen contacts law enforcement and files a complaint with the Maryland Securities Division.

Question

Under Maryland law, including MD Criminal Law § 3-604 as referenced in HB 780, FINRA rules, and applicable state fiduciary and suitability standards, what violations has the financial adviser Brian Cosgrove committed, and what is his potential liability exposure?

Answer

Brian Cosgrove faces severe multi-layered liability exposure under Maryland criminal law, FINRA rules, and state fiduciary/suitability standards.

First, under Maryland Criminal Law § 3-604, as amplified by HB 780's proposed inclusion of first-degree vulnerable adult abuse as a 'crime of violence' under § 14-101(a), Cosgrove may face criminal exposure as an aider or accessory. Margaret Tillman clearly qualifies as a 'vulnerable adult' under § 3-604(a)(10)--she is an adult who 'lacks the physical or mental capacity to provide for the adult's daily needs' due to her moderate dementia. David Tillman, as a 'caregiver' under § 3-604(a)(3) with a duty of care, and a 'household member' under § 3-604(a)(6), has committed both financial exploitation and neglect under § 3-604(a)(7) by intentionally failing to provide food, essential medical treatment, and proper supervision--all enumerated necessities. The neglect caused serious physical harm. Under § 3-604(b)(1) and

(b)(2), this constitutes first-degree abuse or neglect of a vulnerable adult, a felony. While Cosgrove is not the direct caregiver, his facilitation of the unsuitable liquidation and his willful disregard of known red flags may expose him to accomplice liability under Maryland Criminal Law § 1-301.

Second, under FINRA Rule 2111 (Suitability), Cosgrove violated all three suitability obligations: reasonable-basis (a 12-year surrender variable annuity is categorically unsuitable for an 81-year-old with dementia and liquidity needs), customer-specific (the product contradicts Margaret's age, health, risk tolerance, and income needs), and quantitative (the 3.45% fee structure is excessive). Under FINRA Rule 2165, Cosgrove had the authority--and arguably the obligation--to place a temporary hold on disbursements when he had a reasonable belief of financial exploitation of a 'specified adult' (age 65+). His own CRM notes documenting Margaret's confusion in 2018 constitute direct evidence of knowledge of diminished capacity.

Third, under FINRA Rule 3240, Cosgrove should not have processed a transaction generating a \$42,000 commission based solely on POA instructions without adequate due diligence. His failure to contact his firm's compliance department violates standard supervisory procedures required under FINRA Rule 3110.

Finally, under Maryland's common-law fiduciary duty and any applicable state investment adviser fiduciary standards, Cosgrove breached his duty of care and loyalty by prioritizing his commission over his client's manifest best interest. The pivotal failure was ignoring documented red flags of cognitive incapacity and proceeding with an unsuitable, commission-generating transaction at the direction of a third party.

Key Factor

Cosgrove processed a highly unsuitable transaction for a client he had personally documented as cognitively impaired, based solely on the instructions of a third-party caregiver, without contacting compliance, Adult Protective Services, or other family members, thereby facilitating the financial exploitation and physical neglect of a vulnerable adult under MD Criminal Law § 3-604.

Item 52 of 499**NON-COMPLIANT**

Topic: broker_customer_lending_vulnerable_investor

Difficulty: hard

Standard: FINRA Rule 3240 (Borrowing From or Lending to Customers); FINRA Rule 2111 (Suitability); SEC Regulation Best Interest (17 CFR § 240.15l-1); NASAA Dishonest or Unethical Business Practices of Broker-Dealers and Agents Model Rule (adopted by Ohio); FINRA Rule 2165 (Financial Exploitation of Specified Adults); FINRA Rule 3110 (Supervision)

Source: 08_State_Fiduciary_Rules

Fact Pattern

Marcus Henley is a registered representative associated with Brightline Securities, Inc., a FINRA member broker-dealer headquartered in Richmond, Virginia. In March 2023, Marcus began servicing the account of Dorothy Anselm, an 81-year-old retired schoolteacher living in Ohio with a moderate-risk brokerage account valued at approximately \$620,000. Dorothy's husband passed away in 2021, and she has limited family contact--her only living relative is a niece in Portland, Oregon, whom she speaks with sporadically. Over time, Marcus became Dorothy's primary social contact, calling her weekly and occasionally visiting her home to discuss her portfolio.

In July 2023, Marcus approached Dorothy about a personal financial difficulty: he explained that he needed \$85,000 to cover unexpected medical expenses for his daughter and asked Dorothy if she could lend him the funds from her personal savings account, separate from her brokerage account. Marcus told Dorothy the loan would be repaid within 12 months at 3% interest and drafted a simple promissory note on plain paper, which both signed on July 18, 2023. Marcus did not notify Brightline Securities of the loan arrangement, nor did he seek written pre-approval from any supervisor. Brightline's written supervisory procedures explicitly require associated persons to obtain prior written approval from a designated principal before entering into any lending or borrowing arrangement with a customer, consistent with FINRA Rule 3240.

Following the loan, Marcus began recommending that Dorothy reallocate \$175,000 of her brokerage account from a balanced mutual fund portfolio into a series of higher-commission variable annuity products. Between August and November 2023, Dorothy purchased three variable annuities with surrender periods of seven years each, generating approximately \$12,250 in upfront commissions for Marcus. Dorothy's investment profile and stated objectives had not changed; she continued to need income stability and liquidity for potential long-term care expenses. In December 2023, Brightline's compliance department discovered the lending arrangement during a routine email review when Marcus referenced the promissory note in a text message captured by the firm's archival system.

Ohio has adopted NASAA's Dishonest or Unethical Business Practices model rule, which includes an outright prohibition on associated persons borrowing from or lending to customers, without exception.

Question

Did Marcus Henley's borrowing of \$85,000 from Dorothy Anselm and his subsequent investment recommendations violate applicable FINRA rules, state regulations, and fiduciary/suitability standards, and what regulatory consequences could follow?

Answer

Marcus Henley's conduct constitutes multiple serious regulatory violations at both the FINRA and state levels.

First, the \$85,000 loan from Dorothy Anselm violates FINRA Rule 3240 (Borrowing From or Lending to Customers). Rule 3240 requires that any permissible borrowing or lending arrangement between an associated person and a customer fall within one of several specifically enumerated exceptions (e.g., the customer is a family member, is a financial institution, or the arrangement is based on a personal relationship outside the broker-customer relationship) and, critically, that the member firm's written procedures permit such arrangements and that the associated person obtain written pre-approval from a designated principal before entering into the arrangement. Marcus obtained no pre-approval, and there is no indication that Dorothy falls within any of the enumerated exceptions. Moreover, the relationship between Marcus and Dorothy originated and was sustained through the broker-customer relationship--she was not a pre-existing friend or family member. This is a clear Rule 3240 violation.

Second, Ohio has adopted NASAA's Dishonest or Unethical Business Practices of Broker-Dealers and Agents model rule, which categorically prohibits associated persons from borrowing money from or lending money to customers, without any exceptions. As noted in the NASAA comment letter, at least 44 U.S. jurisdictions have adopted this outright prohibition. Marcus's conduct therefore independently violates Ohio state law, subjecting him to potential administrative action by the Ohio Division of Securities, including license suspension or revocation.

Third, the subsequent recommendations to reallocate \$175,000 into high-commission variable annuities raise acute suitability concerns under FINRA Rule 2111 (Suitability) and, if applicable, Regulation Best Interest (Reg BI) under SEC Rule 15l-1. Dorothy's stated investment objectives--income stability and liquidity for long-term care--are directly inconsistent with seven-year surrender period variable annuities. The timing strongly suggests the recommendations were motivated by Marcus's need to generate commission income to repay the loan, which is precisely the conflict of interest the NASAA comment letter identifies: 'a registered person who owes money to a customer may be inclined to recommend more transactions or sell more-remunerative products in order to increase commissions and pay the loan back more quickly.' This conflict was neither disclosed nor mitigated.

Finally, Dorothy qualifies as a vulnerable investor--elderly, socially isolated, and dependent on Marcus as her primary social contact. FINRA's heightened scrutiny around protection of senior investors (including FINRA Rule 2165 regarding financial exploitation of specified adults) underscores the severity of this misconduct. Marcus exploited a position of trust to obtain personal financial benefit at Dorothy's expense. Regulatory consequences could include FINRA disciplinary action (fine, suspension, or bar), Ohio state enforcement, customer restitution, and potential civil liability for elder financial exploitation.

Key Factor

Marcus borrowed \$85,000 from a vulnerable, socially isolated 81-year-old customer without firm pre-approval or any qualifying exception, in a jurisdiction that categorically prohibits such arrangements, and then recommended unsuitable high-commission products to generate income to repay the loan.

Item 53 of 499

NON-COMPLIANT

Topic: broker_dealer_adviser_blurring_duties

Difficulty: hard

Standard: Investment Advisers Act of 1940, Section 202(a)(11)(C); SEC Regulation Best Interest (17 CFR 240.15I-1), Disclosure Obligation and Care Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 2210 (Communications with the Public); FINRA Rule 3110 (Supervision); N.J.S.A. 49:3-52(a) (New Jersey Uniform Securities Law); Securities Exchange Act of 1934, Section 15(l)

Source: 08_State_Fiduciary_Rules

Fact Pattern

Marcus Reilly is a registered representative of Ridgeline Securities, LLC, a FINRA-member broker-dealer headquartered in Newark, New Jersey. In January 2023, Ridgeline launched a 'Premier Advisory Solutions' marketing campaign, rebranding all of its registered representatives as 'Financial Advisors' on business cards, websites, and client-facing materials. The firm's compensation model remained entirely commission-based, and Ridgeline continued to rely on the Section 202(a)(11)(C) broker-dealer exclusion under the Investment Advisers Act of 1940 to avoid registration as an investment adviser.

In March 2023, Marcus met with Helen and David Cortez, both 62, who were approaching retirement. They had \$1.4 million in combined savings, primarily in bank CDs and a traditional IRA rollover from David's prior employer. During their initial meeting at Ridgeline's office, Marcus presented himself as their 'dedicated financial advisor' and discussed a comprehensive retirement income plan. He recommended they liquidate the CDs and invest heavily in a suite of proprietary structured notes issued by Ridgeline's affiliate, Ridgeline Capital Markets, which carried a 4.25% upfront commission and an embedded 2.1% annual cost. Marcus did not disclose that Ridgeline was acting as a dealer selling from its own inventory, nor did he explain that lower-cost Treasury bond ladders or fee-based advisory accounts with fiduciary protections were available alternatives. He told the Cortezes that as their 'advisor,' he was 'legally obligated to act in their best interest.'

The Cortezes invested \$1.1 million into the structured notes. Over the following twelve months, the notes underperformed comparable Treasury yields by approximately 310 basis points after all costs. In February 2024, Helen Cortez filed a complaint with FINRA and the New Jersey Bureau of Securities, alleging that Marcus and Ridgeline misrepresented their regulatory status, failed to disclose material conflicts of interest, and breached fiduciary duties owed to the couple.

Question

Did Marcus Reilly and Ridgeline Securities violate applicable federal and state regulatory standards by marketing commission-based brokerage services as fiduciary advisory services, selling proprietary principal-traded products without adequate disclosure, and representing a fiduciary obligation that did not legally apply?

Answer

Yes, Marcus Reilly and Ridgeline Securities likely violated multiple regulatory standards on several grounds.

First, regarding the broker-dealer exclusion under Section 202(a)(11)(C) of the Investment Advisers Act of 1940: This exclusion permits broker-dealers to provide advice that is 'solely incidental' to brokerage services without registering as investment advisers, provided they receive no 'special compensation' (i.e., asset-based fees). Ridgeline technically

meets the compensation prong, as it charges only commissions. However, the SEC and courts have long recognized that when broker-dealers hold themselves out to the public as advisors providing comprehensive advisory services -- as Ridgeline did through its 'Premier Advisory Solutions' branding and Marcus's explicit representation that he was 'legally obligated to act in their best interest' -- the advice may no longer be considered 'solely incidental.' The SEC's 2005 rule addressing fee-based brokerage accounts (later vacated in *Financial Planning Association v. SEC*, 482 F.3d 481 (D.C. Cir. 2007)) underscored regulatory concern about this exact blurring of roles.

Second, under FINRA Rule 2210 (Communications with the Public), firms may not make false, exaggerated, or misleading statements. Marcus's affirmative representation that he was legally obligated to act as a fiduciary is misleading because, as a commission-based registered representative relying on the broker-dealer exclusion, he was subject to the suitability standard under FINRA Rule 2111 (now supplemented by SEC Regulation Best Interest), not a fiduciary duty. Additionally, under Reg BI (Rule 15l-1 under the Exchange Act), the Disclosure Obligation requires broker-dealers to provide written disclosure of their capacity, material conflicts, and compensation at or before the recommendation. Marcus's failure to disclose the principal trading relationship with Ridgeline Capital Markets and the embedded cost differential violated the Disclosure Obligation. The Care Obligation under Reg BI also requires reasonable diligence to understand the risks, rewards, and costs and to consider reasonably available alternatives. Recommending a 4.25% upfront commission proprietary product over a lower-cost Treasury ladder, without documented analysis, fails this standard.

Third, under New Jersey securities law (N.J.S.A. 49:3-52(a)), it is unlawful for any person to employ any device, scheme, or artifice to defraud or to make untrue statements of material fact in connection with the offer or sale of securities. Marcus's affirmative misrepresentation of fiduciary status constitutes a material misstatement. Ridgeline's systemic rebranding campaign exacerbates firm-level supervisory failures under FINRA Rule 3110.

The pivotal issue is Ridgeline's deliberate campaign to market brokerage services under the guise of advisory services while retaining the lower regulatory obligations of a broker-dealer -- precisely the regulatory arbitrage concern identified in the RAND Report and by SEC leadership.

Key Factor

Marcus and Ridgeline affirmatively represented fiduciary status and advisory obligations to clients while operating exclusively as a commission-based broker-dealer relying on the Advisers Act exclusion, thereby misleading clients about the legal standard of care and concealing material conflicts inherent in principal trading of proprietary products.

Item 54 of 499

NON-COMPLIANT

Topic: ia_duty_of_care_institutional_clients

Difficulty: hard

Standard: Investment Advisers Act of 1940, Section 206(1) and 206(2); SEC Fiduciary Interpretation (Release No. IA-5248, June 2019); SEC duty of care framework including duty to provide suitable advice consistent with client objectives and assumed obligations

Source: 09_Law_Firm_Memos

Fact Pattern

Pinnacle Capital Advisors, LLC ('Pinnacle') is an SEC-registered investment adviser based in Chicago, Illinois, with approximately \$4.2 billion in assets under management. Pinnacle serves as the investment adviser to the Pinnacle Growth Opportunities Fund, LP (the 'Fund'), a private fund organized as a Delaware limited partnership with 38 institutional limited partners, including public pension funds, university endowments, and family offices. The Fund's limited partnership agreement and offering memorandum describe an investment strategy focused on mid-cap equities with a long-term growth orientation and state that derivatives will be used 'only for hedging purposes.'

In March 2022, Pinnacle's Chief Investment Officer, Raj Mehta, CFA, began directing the Fund to take substantial speculative positions in total return swaps referencing a basket of highly volatile small-cap biotech stocks. By June 2022, the notional value of these swap positions reached \$680 million -- approximately 42% of the Fund's \$1.6 billion net asset value. The swaps were not used to hedge existing equity positions but rather to establish leveraged directional bets on FDA approval outcomes for three pre-revenue biotechnology companies. Mehta believed these positions offered outsized return potential and discussed them informally at an industry conference, but Pinnacle did not update the Fund's offering memorandum, distribute any supplemental disclosures to limited partners, or convene the advisory committee contemplated by the LPA for material strategy changes.

In September 2022, two of the three biotech companies received FDA rejection letters, causing the swap positions to lose approximately \$195 million in value within a two-week period. Several limited partners, including the Michigan Municipal Employees' Retirement System (which had committed \$120 million to the Fund) and the Hargrove University Endowment (\$75 million commitment), complained that the positions were inconsistent with the Fund's stated strategy. An SEC examination in Q4 2022 identified the swap positions and the lack of updated disclosures or LP notification. The SEC's Division of Enforcement opened a formal investigation in January 2023, focusing on whether Pinnacle breached its fiduciary duty of care under Section 206 of the Investment Advisers Act.

Question

Did Pinnacle Capital Advisors breach its fiduciary duty of care under Section 206 of the Investment Advisers Act by taking speculative derivative positions materially inconsistent with the Fund's stated strategy without updating disclosures or notifying limited partners?

Answer

Pinnacle Capital Advisors likely breached its fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940, as interpreted by the SEC's 2019 Fiduciary Interpretation. The analysis proceeds on multiple grounds.

First, the SEC's Fiduciary Interpretation articulated that the duty of care requires an investment adviser to provide advice that is in the best interest of the client, which encompasses a duty to provide advice that is suitable in light of the

client's objectives, and a duty to act and provide advice consistent with any obligations the adviser has assumed -- including obligations set forth in governing documents. The Fund's LPA and offering memorandum explicitly limited derivatives use to hedging purposes and described a mid-cap equity growth strategy. By deploying \$680 million in notional total return swaps on speculative small-cap biotech positions -- representing 42% of NAV -- Pinnacle materially deviated from these stated investment parameters. This deviation constitutes a failure to provide advice consistent with the adviser's assumed obligations, a core component of the duty of care.

Second, the duty of care includes an obligation to make a reasonable investigation sufficient to ensure that the adviser is not basing its advice on materially inaccurate or incomplete information. Here, the concern is less about inadequate research and more about the related principle that the adviser must have a reasonable basis for its recommendations. Concentrating 42% of NAV in leveraged binary-outcome bets on FDA approvals -- for a fund designed for long-term mid-cap growth -- raises serious questions about whether Pinnacle exercised the reasonable care, skill, and diligence expected.

Third, critically, the Fiduciary Interpretation and subsequent SEC enforcement actions -- including those referenced in the article concerning advisers to institutional fund clients -- make clear that these duties extend fully to institutional relationships. Pinnacle cannot defend on the basis that its LPs are sophisticated institutional investors. The SEC has explicitly stated that advisers have a fiduciary duty to private fund clients comprising both duty of care and duty of loyalty, enforceable under Section 206's antifraud provisions.

Fourth, the failure to update the offering memorandum, notify limited partners, or convene the advisory committee compounds the violation. While disclosure failures implicate the duty of loyalty, they also reinforce the duty of care breach: Pinnacle deprived its institutional clients of information necessary to evaluate whether the strategy shift was consistent with their own investment mandates and risk tolerances.

Pinnacle might argue that broad investment discretion granted by the LPA provides latitude, but the explicit limitation on derivatives to hedging purposes negates this defense. The \$195 million loss, while not itself dispositive of a breach, provides powerful evidence of the materiality of the deviation and the risk of harm. Under Section 206(1) and 206(2) of the Advisers Act, the SEC can pursue this as both a fraud-based and negligence-based violation.

Key Factor

Pinnacle deployed speculative leveraged derivatives constituting 42% of fund NAV in direct contradiction of the fund's governing documents, which limited derivatives to hedging only, without any updated disclosure or investor notification.

Item 55 of 499

NON-COMPLIANT

Topic: dol_fiduciary_rule_rollover_recommendation

Difficulty: hard

Standard: DOL Proposed Retirement Security Rule (88 Fed. Reg. 75890, RIN 1210-AC02); ERISA §3(21)(A)(ii); ERISA §406(b); IRC §4975(c)(1)(E)-(F); PTE 2020-02, Sections II(a)(1)-(3); SEC Regulation Best Interest, 17 CFR §240.15l-1(a)(2)(ii); FINRA Rule 2111 (Suitability)

Source: 09_Law_Firm_Memos

Fact Pattern

Marcus Whitfield is a registered representative at Horizon Wealth Partners, a dual-registered broker-dealer and RIA. In March 2024, Marcus contacts Patricia Gonzalez, a 58-year-old schoolteacher in Texas who is retiring from her school district after 30 years. Patricia has \$412,000 in her 403(b) plan administered by the district, invested in a diversified mix of low-cost index funds with a weighted average expense ratio of 0.08%. The 403(b) plan also offers stable value options and institutional share class target-date funds. Marcus met Patricia once at a retirement planning seminar hosted by the school district in January 2024, where he collected her contact information. He calls her in March, introduces himself as a "retirement specialist," and recommends she roll her 403(b) assets into an IRA at Horizon Wealth Partners. Marcus tells Patricia that the IRA will give her "more choices and better personalized service." He recommends she invest the IRA proceeds into a proprietary variable annuity product offered by Horizon's affiliated insurance company, the Horizon SecureGrowth VA, which carries a 1.35% annual mortality and expense charge, a 0.25% administrative fee, and underlying sub-account expense ratios averaging 0.85%--a total all-in cost of approximately 2.45% annually. The variable annuity also carries a 7-year surrender charge schedule starting at 7% and declining by 1% per year. Marcus receives a 5.5% upfront commission on the VA sale (\$22,660) plus a 0.25% annual trailing commission. Marcus does not document any comparison of Patricia's existing 403(b) plan fees, investment options, or available institutional services against the proposed IRA and VA product. He does not consider that Patricia's 403(b) plan offers penalty-free distributions at age 55 for plan separations (a benefit lost in an IRA rollover where the penalty-free age is 59½). His internal notes simply state: "Client wants more flexibility in retirement--recommended rollover to IRA and VA for guaranteed income features." Horizon Wealth Partners has a written policy requiring advisers to complete a rollover analysis form for any retirement plan-to-IRA rollover recommendation, but Marcus does not complete the form.

Question

Under the DOL's proposed Retirement Security Rule and existing PTE 2020-02 requirements, did Marcus Whitfield's rollover recommendation and variable annuity sale to Patricia Gonzalez satisfy the applicable fiduciary and exemption conditions?

Answer

Marcus Whitfield's conduct fails to satisfy the requirements under both the DOL's proposed Retirement Security Rule (RIN 1210-AC02) and the existing conditions of PTE 2020-02, and would also likely violate Reg BI's care obligation under 17 CFR §240.15l-1.

First, under the proposed Retirement Security Rule (88 Fed. Reg. 75890, Nov. 3, 2023), Marcus's one-time rollover recommendation would constitute fiduciary investment advice. The proposal eliminates the historical five-part test from the 1975 regulation, which required advice to be rendered on a "regular basis" pursuant to a "mutual understanding." Under the proposed rule, a single recommendation to roll over retirement plan assets to an IRA is sufficient to trigger

fiduciary status if the person making the recommendation does so in a professional capacity and receives compensation. Marcus clearly satisfies these criteria: he holds himself out as a "retirement specialist," he contacted Patricia in a professional capacity, and he receives substantial commission compensation (\$22,660 upfront plus trailing fees).

Second, because Marcus is now a fiduciary under ERISA §3(21)(A)(ii) and Code §4975(e)(3)(B), his receipt of commission-based compensation from the VA sale creates a prohibited transaction under ERISA §406(b) and Code §4975(c)(1)(E)-(F). To rely on PTE 2020-02 to excuse this conflict, Marcus must satisfy several conditions, including: (1) providing advice in the retirement investor's best interest (PTE 2020-02, Section II(a)(1)); (2) ensuring the recommendation reflects the care, skill, prudence, and diligence that a prudent person would exercise (the "prudence" standard); (3) not placing his own financial interest ahead of the investor's; and (4) making required disclosures about conflicts of interest, fees, and the basis for the rollover recommendation.

Marcus fails on multiple fronts. He conducted no documented comparison of Patricia's 403(b) plan costs (0.08% expense ratio) versus the proposed VA (2.45% all-in cost)--a roughly 30x increase in annual fees. He ignored the 403(b) plan's penalty-free distribution feature at age 55 for separated employees, a material benefit Patricia would forfeit by rolling to an IRA where penalty-free access begins at 59½. He failed to complete Horizon's own internal rollover analysis form, violating the firm's policies and procedures--which PTE 2020-02, Section II(a)(3) requires firms to establish, maintain, and enforce. His internal notes are conclusory and devoid of substantive analysis.

Additionally, under Reg BI's Care Obligation (17 CFR §240.15l-1(a)(2)(ii)), Marcus was required to exercise reasonable diligence, care, and skill in making this recommendation, including evaluating reasonably available alternatives. The massive fee differential and loss of early distribution rights without documented justification demonstrates a failure to satisfy this standard.

The pivotal deficiency is the complete absence of any comparative analysis supporting the rollover recommendation, rendering both the fiduciary best-interest standard and PTE 2020-02's exemptive conditions unsatisfied.

Key Factor

Marcus failed to perform or document any comparative analysis of Patricia's low-cost 403(b) plan against the significantly more expensive IRA variable annuity, rendering the rollover recommendation unsupported under both the DOL fiduciary best-interest standard and PTE 2020-02's exemptive conditions.

Item 56 of 499

NON-COMPLIANT

Topic: fiduciary_duty_high_cost_products_dual_registrant

Difficulty: hard

Standard: Investment Advisers Act of 1940 §§ 206(1), 206(2); Rule 206(4)-7 (Compliance Programs); SEC 2019 Commission Interpretation Regarding Standard of Conduct for Investment Advisers (IA Release No. 5248); Form ADV Part 2A disclosure obligations; 2025 SEC EXAMS Priorities (fiduciary standards, dual registrants, high-cost products, compliance program effectiveness)

Source: 09_Law_Firm_Memos

Fact Pattern

Meridian Wealth Partners LLC is a dually registered investment adviser and broker-dealer based in Dallas, Texas. Its principal, Robert Calloway, CFA, manages approximately \$420 million in advisory assets across 1,200 client accounts. Meridian's affiliated broker-dealer, Meridian Securities Inc., receives revenue-sharing payments from three proprietary product sponsors: Pinnacle Alternative Income Fund (a non-traded REIT with a 6.5% upfront commission and 1.85% annual management fee), Granite Structured Credit Fund (an interval fund charging a 2.10% management fee plus a 20% performance allocation), and Apex Private Lending Fund (a non-traded BDC with a 5.5% upfront load and 2.25% total annual expense ratio).

Between January and September 2024, Calloway and his team of six advisers recommended allocations to these three products across 340 client accounts, representing approximately \$78 million in new investments. The clients ranged from retired schoolteachers with \$250,000 portfolios to small business owners with \$2 million in investable assets. In each case, the advisers used Meridian's standard advisory agreement, which disclosed in a general footnote on page 14 that 'the Firm or its affiliates may receive compensation from product sponsors,' but did not quantify the revenue-sharing payments, specify which products generated such payments, or explain the material conflict of interest created by the dual-registration structure. The Form ADV Part 2A brochure, last updated in March 2022, similarly contained only boilerplate conflict-of-interest language and did not reference the three specific proprietary products or the magnitude of the revenue-sharing arrangements, which totaled approximately \$3.9 million in 2024.

Notably, in at least 87 of the 340 accounts, lower-cost alternatives were readily available. For example, Vanguard Real Estate Index Fund (0.12% expense ratio) could have substituted for the Pinnacle non-traded REIT allocation, and publicly traded BDCs with total costs below 1.00% existed as alternatives to the Apex Private Lending Fund. Internal emails recovered during a routine EXAMS examination in October 2024 showed that Calloway had circulated a memo to his advisers in February 2024 stating: 'Push the Pinnacle and Apex products hard in Q1 -- the revenue share helps us cover the new office build-out in Frisco.' No individualized cost-benefit analysis or best-interest documentation was maintained for any of the 340 client recommendations.

During the examination, EXAMS staff also discovered that Meridian had not updated its compliance policies since 2021, had no written procedures for evaluating conflicts arising from revenue-sharing arrangements, and had not conducted any annual compliance review under Rule 206(4)-7 for the calendar year 2023. The firm's Chief Compliance Officer, Linda Pham, held the title on a part-time basis while also serving as the firm's head of operations.

Question

Did Meridian Wealth Partners and its advisers violate their fiduciary duties under the Investment Advisers Act and related SEC standards by recommending high-cost proprietary products to advisory clients without adequate disclosure, individualized best-interest analysis, or effective compliance oversight?

Answer

Yes, Meridian Wealth Partners and its advisers committed multiple fiduciary violations under the Investment Advisers Act of 1940 and related SEC rules. The analysis proceeds across several dimensions.

First, the duty of care under Section 206(1) and 206(2) of the Advisers Act requires that an adviser provide advice in the best interest of the client, considering the client's financial situation, investment objectives, and reasonably available alternatives. The SEC's 2019 Commission Interpretation Regarding Standard of Conduct for Investment Advisers explicitly states that the duty of care includes a duty to provide advice that is in the client's best interest and to seek best execution. Here, Meridian recommended high-cost, illiquid products -- a non-traded REIT with a 6.5% upfront commission and 1.85% annual fee, an interval fund with 2.10% management fees plus performance allocation, and a non-traded BDC with a 5.5% load -- without any documented individualized analysis of whether these products were superior to readily available, substantially lower-cost alternatives. The absence of any written best-interest determination across 340 accounts is a systemic failure of the duty of care.

Second, the duty of loyalty under Sections 206(1) and 206(2) requires full and fair disclosure of all material conflicts of interest. The revenue-sharing arrangements totaling \$3.9 million in 2024 represent a textbook material conflict. Meridian's disclosure -- a generic footnote buried on page 14 of the advisory agreement and outdated boilerplate in the Form ADV Part 2A -- falls far short of the standard articulated in SEC enforcement actions and the 2019 Interpretation, which requires disclosure 'sufficiently specific' so that a client can understand the conflict and provide informed consent. Failing to identify the specific products, quantify the payments, or explain how the dual-registration structure incentivized recommendations is a clear violation.

Third, Calloway's internal email directing advisers to 'push' proprietary products to fund office construction is direct evidence that the recommendations were motivated by the firm's financial interests rather than clients' best interests -- the precise conflict the fiduciary duty is designed to prevent.

Fourth, the compliance program failures compound the violations. Rule 206(4)-7 under the Advisers Act requires every registered adviser to adopt and implement written compliance policies and procedures reasonably designed to prevent violations, and to conduct an annual review of their adequacy. Meridian failed to update policies since 2021, had no procedures addressing revenue-sharing conflicts, and skipped the 2023 annual review entirely. The part-time CCO arrangement, while not per se impermissible, is a factor EXAMS has flagged as undermining compliance program effectiveness, especially given the firm's size and complexity.

No viable defense exists. The boilerplate disclosure does not constitute informed consent, and the complete absence of individualized documentation forecloses any argument that the recommendations were, in fact, in clients' best interests. This fact pattern directly implicates the 2025 EXAMS priorities regarding high-cost products, dual registrants, and compliance program effectiveness.

Key Factor

Meridian's advisers systematically recommended high-cost proprietary products generating \$3.9 million in revenue-sharing payments without any individualized best-interest analysis or adequate disclosure of the material conflicts created by the dual-registration structure.

Item 57 of 499

NON-COMPLIANT

Topic: erisa_excessive_fee_fiduciary_liability

Difficulty: hard

Standard: ERISA §404(a)(1)(A)-(B) (29 U.S.C. §1104(a)(1)(A)-(B)); ERISA §406(b) (29 U.S.C. §1106(b)); ERISA §409(a) (29 U.S.C. §1109(a)); ERISA §410(a) (29 U.S.C. §1110(a)); *Tibble v. Edison International*, 575 U.S. 523 (2015); DOL fiduciary duty guidance on fee reasonableness and investment monitoring

Source: 09_Law_Firm_Memos

Fact Pattern

Greenfield Manufacturing, Inc. is a mid-sized industrial equipment company headquartered in Columbus, Ohio, with approximately 2,400 employees. The company sponsors the Greenfield Manufacturing 401(k) Retirement Savings Plan (the 'Plan'), which holds approximately \$187 million in assets as of December 31, 2023. The Plan's Investment Committee consists of three members: CFO Denise Hartwell, VP of Human Resources Marcus Chen, and General Counsel Patricia Reeves. In March 2020, the Investment Committee selected Pinnacle Wealth Advisors ('Pinnacle') as the Plan's recordkeeper and investment adviser, entering into a bundled services agreement. Pinnacle charges the Plan an all-in fee of 1.42% of plan assets annually, which includes recordkeeping, investment advisory, participant education, and plan administration services. This fee structure has remained unchanged since inception. The committee has not conducted a formal request for proposals (RFP) or benchmarking study since the original selection in 2020, nor has it obtained any independent fee analysis comparing Pinnacle's fees to those charged by competitors for similar-sized plans. Industry data from the 2023 NEPC 401(k) Fee Benchmarking Survey indicates that the median all-in fee for plans of comparable size (\$150M-\$250M, 2,000-3,000 participants) is approximately 0.52% of plan assets. The Plan's investment menu includes 22 actively managed mutual funds, of which 14 are proprietary Pinnacle funds. Several of these proprietary funds have consistently underperformed their benchmarks over trailing 3- and 5-year periods, including the Pinnacle Large Cap Growth Fund (underperforming the Russell 1000 Growth Index by 185 basis points annually over five years) and the Pinnacle International Equity Fund (underperforming the MSCI EAFE Index by 220 basis points annually over five years). No index fund alternatives are offered in the Plan's investment lineup. On February 14, 2024, a class action complaint was filed in the U.S. District Court for the Southern District of Ohio by participant Sarah Mendez on behalf of all Plan participants, alleging that the Investment Committee members breached their fiduciary duties under ERISA by permitting unreasonable fees and failing to monitor Plan investments. The complaint seeks disgorgement of excess fees, removal of fiduciaries, and attorneys' fees. Greenfield Manufacturing had purchased a fiduciary liability insurance policy from Continental Assurance Group with a \$5 million limit and a \$250,000 self-insured retention, but the policy contains an exclusion for claims arising from the selection of proprietary investment products offered by a service provider that also serves as the Plan's investment adviser.

Question

Did the Greenfield Manufacturing 401(k) Plan Investment Committee breach its ERISA fiduciary duties, and what are the implications of the fiduciary liability insurance policy's proprietary fund exclusion for the committee members' personal exposure?

Answer

The Investment Committee likely breached its fiduciary duties under ERISA in multiple respects, and the insurance policy exclusion creates significant personal liability exposure for the individual committee members.

First, under ERISA §404(a)(1)(A)-(B) (29 U.S.C. §1104(a)(1)(A)-(B)), fiduciaries must discharge their duties solely in the

interest of participants and beneficiaries, and with the care, skill, prudence, and diligence that a prudent person acting in like capacity would use. The Investment Committee's failure to conduct any RFP or independent fee benchmarking study since 2020 constitutes a clear failure of the prudent process obligation. The Department of Labor has consistently emphasized that fiduciary prudence is measured by process, not merely outcomes, and a four-year gap without competitive review is indefensible, particularly given the Plan's substantial asset size.

Second, the all-in fee of 1.42%--nearly three times the industry median of 0.52% for comparable plans--raises a strong inference of unreasonableness under the excessive fee doctrine established in cases like *Tibble v. Edison International*, 575 U.S. 523 (2015), where the Supreme Court held that ERISA fiduciaries have a continuing duty to monitor plan investments and remove imprudent ones. The annual excess cost to the Plan is approximately \$1.68 million (90 basis points x \$187 million), compounding participant losses over multiple years.

Third, the heavy concentration of proprietary Pinnacle funds--14 of 22 offerings--with documented persistent underperformance and no index fund alternatives demonstrates a failure of the duty of loyalty under ERISA §404(a)(1)(A) and the duty to monitor under *Tibble*. The absence of low-cost index options is particularly problematic given the DOL's guidance and prevailing fiduciary standards for plans of this size.

Fourth, under ERISA §406(b) (29 U.S.C. §1106(b)), the bundled arrangement with Pinnacle serving simultaneously as recordkeeper, investment adviser, and proprietary fund provider creates prohibited transaction concerns, as Pinnacle is a party in interest dealing with plan assets for its own benefit.

Regarding insurance coverage, the Continental Assurance Group policy's exclusion for claims arising from selection of proprietary investment products offered by the Plan's investment adviser is highly consequential. Because 14 of 22 funds are proprietary Pinnacle products, a substantial portion of the damages claim--particularly the investment underperformance component--will likely fall within this exclusion. The committee members face personal liability under ERISA §409(a) (29 U.S.C. §1109(a)) for losses resulting from the breach, and ERISA §410(a) prohibits any agreement that relieves a fiduciary from personal liability for breach. While Greenfield Manufacturing could indemnify the committee members, this shifts the cost to the company rather than eliminating liability, and Ohio law does not restrict such indemnification for ERISA fiduciaries. However, indemnification does not cover DOL-imposed penalties or equitable relief such as disgorgement. The practical result is that the committee members have meaningful uninsured personal exposure, likely in the millions of dollars.

Key Factor

The Investment Committee's failure to conduct any competitive fee benchmarking or RFP process for over four years, while permitting fees nearly three times the industry median and a lineup dominated by underperforming proprietary funds, constitutes a breach of the ERISA prudent process and loyalty obligations.

Item 58 of 499

NON-COMPLIANT

Topic: leveraged_inverse_etf_sales_practices

Difficulty: hard

Standard: SEC Regulation Best Interest (Rule 15l-1, Exchange Act), including Care Obligation; Proposed Rule 15l-2 (Exchange Act) and Proposed Rule 211(h)-1 (Advisers Act) -- Sales Practices Rules for Leveraged/Inverse Investment Vehicles; FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); FINRA Regulatory Notices 09-31 and 09-65

Source: 09_Law_Firm_Memos

Fact Pattern

Greenfield Wealth Advisors is a dually registered broker-dealer and investment adviser based in Hartford, Connecticut, with approximately \$1.2 billion in assets under management serving primarily retail clients. On March 15, 2021, registered representative and investment adviser representative Karen Trujillo received a call from Margaret Hessler, a 72-year-old retired schoolteacher with a conservative risk profile, a \$640,000 IRA rollover account, and stated investment objectives of capital preservation and modest income generation. Mrs. Hessler mentioned she had read an article about 'triple-leveraged ETFs' in a financial magazine and asked Karen whether these might help her 'catch up' on retirement savings she felt were inadequate.

Karen explained that leveraged ETFs use derivatives to amplify daily index returns--for example, the Direxion Daily S&P 500 Bull 3X Shares (SPXL) seeks 300% of the daily performance of the S&P 500. Karen noted that the product resets daily and is generally designed for short-term trading, not buy-and-hold strategies. Despite this disclosure, Mrs. Hessler expressed enthusiasm, and Karen executed a purchase of \$128,000 (20% of the account) in SPXL within the IRA on March 18, 2021. Greenfield's compliance manual included a general suitability section referencing FINRA Rule 2111 and Reg BI obligations, but the firm had not adopted any specific heightened due diligence procedures, account approval requirements, or written supervisory protocols specifically addressing leveraged or inverse ETFs or other leveraged/inverse investment vehicles.

Karen's branch manager, David Liu, reviewed the trade as part of routine post-trade surveillance on March 22, 2021, but did not flag it for further review despite the client's age, conservative risk tolerance, and the concentrated position in a 3x leveraged product within a retirement account. No enhanced suitability analysis, risk disclosure documentation, or specialized client acknowledgment was obtained. Six months later, after significant market volatility, Mrs. Hessler's SPXL position had declined to approximately \$74,000--a loss of roughly \$54,000, or 42%--even though the S&P 500 was roughly flat over the same period due to the compounding and daily-reset effects of the leveraged product.

Question

Did Greenfield Wealth Advisors and its representative Karen Trujillo comply with Regulation Best Interest, the proposed Sales Practices Rules for leveraged/inverse investment vehicles, and applicable FINRA supervisory obligations in effecting the purchase of a 3x leveraged ETF for Mrs. Hessler's retirement account?

Answer

Greenfield and Karen Trujillo failed to comply with multiple regulatory requirements, and the conduct is non-compliant under Reg BI, the proposed Sales Practices Rules, and FINRA supervisory obligations.

First, under SEC Regulation Best Interest (Rule 15l-1 under the Exchange Act), a broker-dealer must satisfy four

component obligations when recommending securities to retail customers: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires the broker-dealer to exercise reasonable diligence, care, and skill in making a recommendation, including understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the customer's best interest without placing the financial interest of the broker-dealer ahead of the customer. Here, recommending a 20% allocation to a 3x daily-reset leveraged ETF to a 72-year-old retiree with a conservative risk profile and capital preservation objectives in a tax-advantaged retirement account fails the Care Obligation on its face. The daily-reset compounding risk is fundamentally incompatible with Mrs. Hessler's buy-and-hold intention and conservative objectives.

Second, the SEC's proposed Sales Practices Rules--proposed Rule 15l-2 under the Exchange Act and proposed Rule 211(h)-1 under the Advisers Act--would impose a heightened due diligence requirement when effecting transactions in leveraged/inverse investment vehicles for natural person customers or clients. These rules specifically contemplate that firms must go beyond standard suitability analysis for these complex products. Greenfield had no written policies, specialized approval procedures, or enhanced due diligence protocols for leveraged/inverse ETFs, meaning the firm lacked the institutional framework to satisfy this heightened standard.

Third, under FINRA Rule 3110 (Supervision), member firms must establish and maintain a supervisory system, including written supervisory procedures, reasonably designed to achieve compliance with applicable securities laws and FINRA rules. David Liu's routine post-trade review that failed to flag a \$128,000 leveraged ETF purchase for a conservative 72-year-old retiree reflects a systemic supervisory failure. FINRA has issued specific guidance (e.g., Regulatory Notice 09-31 and 09-65) warning that leveraged ETFs are typically unsuitable for long-term investors and require enhanced suitability review.

Finally, under FINRA Rule 2111 (Suitability), the customer-specific suitability obligation requires that a recommendation be suitable for the particular customer based on that customer's investment profile. The mismatch between product characteristics and client profile is stark. Karen's verbal disclosure of daily-reset risk does not cure the underlying unsuitability of the recommendation. The pivotal failure is the absence of any heightened diligence framework at both the representative and firm level for a product category the SEC has specifically identified as requiring enhanced scrutiny.

Key Factor

Greenfield failed to adopt or apply any heightened due diligence procedures for leveraged/inverse ETF transactions as contemplated by the proposed Sales Practices Rules and existing FINRA guidance, resulting in a fundamentally unsuitable 3x leveraged ETF recommendation to a conservative, elderly retiree.

Item 59 of 499**NON-COMPLIANT**

Topic: dol_fiduciary_rule_ira_rollover_recommendation

Difficulty: hard

Standard: DOL Final Rule on Definition of Fiduciary (29 C.F.R. § 2510.3-21, effective April 10, 2017); Best Interest Contract Exemption (PTE 2016-01, §§ II-IV); Internal Revenue Code § 4975(c)(1)(D) and (E); ERISA § 3(21)(A)(ii)

Source: 09_Law_Firm_Memos

Fact Pattern

Marcus Trenton is a registered representative at Pinnacle Wealth Partners, a dually registered broker-dealer and investment adviser based in Charlotte, North Carolina. On March 15, 2017--after the DOL's Final Rule applicability date of April 10, 2017 was approaching--Marcus met with Eleanor Vasquez, a 58-year-old school administrator preparing for retirement. Eleanor had accumulated \$412,000 in her employer-sponsored 403(b) plan, which was invested in a diversified mix of low-cost Vanguard index funds with a blended expense ratio of 0.08%. Eleanor mentioned she was considering whether to leave the funds in the 403(b) or roll them into an IRA.

During the meeting, Marcus recommended that Eleanor roll the entire \$412,000 into a new IRA at Pinnacle, where the funds would be invested in a suite of proprietary American Funds Class A shares. The recommended portfolio carried a blended expense ratio of 1.12% and a front-end sales load averaging 4.25%, generating an upfront commission to Marcus of approximately \$17,510. Marcus did not conduct any written analysis comparing the costs, investment options, or services available in Eleanor's existing 403(b) plan versus the proposed IRA. He told Eleanor verbally that 'you'll get much better personal service and more investment choices in an IRA,' but did not document these claimed benefits or quantify them against the substantially higher costs.

Pinnacle Wealth Partners had not yet fully implemented the compliance infrastructure required by the BIC Exemption. The firm had drafted but not yet executed the requisite written best interest contract for IRA clients, had not built the required disclosure webpage, and had not established policies and procedures to mitigate the impact of material conflicts of interest as required under the exemption's conditions. Marcus's branch manager, Danielle Cho, approved the rollover transaction after a cursory review of the account application but did not review any cost comparison or suitability documentation because no such documentation existed.

After the DOL's April 10, 2017 applicability date passed, Eleanor signed the IRA paperwork on April 28, 2017, and the rollover was processed on May 3, 2017. Eleanor was never provided a written contract acknowledging Pinnacle's fiduciary status with respect to the IRA recommendation, nor was she given the point-of-sale disclosures regarding material conflicts of interest, fees, and the compensation Marcus would receive.

Question

Did Marcus Trenton's rollover recommendation to Eleanor Vasquez comply with the DOL's Final Rule on investment advice fiduciary status and the conditions of the Best Interest Contract Exemption?

Answer

Marcus Trenton's conduct violated the DOL's Final Rule in multiple respects, and the transaction constituted a non-exempt prohibited transaction under ERISA § 4975 of the Internal Revenue Code as applied to IRA accounts.

First, fiduciary status. Under the DOL's amended definition of 'fiduciary' (29 C.F.R. § 2510.3-21), Marcus made a 'recommendation' to Eleanor--the rollover of her \$412,000 from the 403(b) to an IRA--that was individualized, directed to a specific retirement investor, and involved specific investment property (American Funds Class A shares). This was not general education, a platform or selection communication, or any other carved-out activity. Marcus therefore became a fiduciary by reason of providing investment advice for a fee or other compensation. The DOL's Final Rule explicitly encompasses IRA rollover recommendations as fiduciary investment advice, a significant expansion from the prior five-part test under the 1975 regulation.

Second, because Marcus received differential compensation (the \$17,510 front-end load commission) that varied based on the investment selected, the recommendation created a prohibited transaction under Code § 4975(c)(1)(D) and (E)--self-dealing and receipt of consideration from a party to the transaction. To avoid prohibited transaction liability, Pinnacle and Marcus needed to satisfy the conditions of the Best Interest Contract Exemption (PTE 2016-01).

The BIC Exemption requires, among other conditions: (1) acknowledgment of fiduciary status in a written contract with the IRA holder (BIC Exemption § II(a)); (2) a commitment to adhere to 'Impartial Conduct Standards,' including providing advice in the customer's best interest, charging no more than reasonable compensation, and making no materially misleading statements (§ II(c)); (3) specific point-of-sale disclosures regarding material conflicts, fees, and compensation (§ III); and (4) adoption of policies and procedures reasonably designed to mitigate the harmful impact of material conflicts (§ IV).

Marcus and Pinnacle failed virtually every condition. No written best interest contract was executed with Eleanor. No cost-benefit comparison of the 403(b) versus the IRA was prepared, making it impossible to demonstrate the recommendation was in Eleanor's best interest given the 14-fold increase in expense ratios (0.08% to 1.12%) plus the 4.25% sales load. No point-of-sale disclosures were provided. And Pinnacle had not implemented the required conflict-mitigation policies. The cursory supervisory review by Danielle Cho does not substitute for the substantive compliance infrastructure the BIC Exemption demands.

Pinnacle cannot claim reliance on the 'transition period' streamlined BIC requirements (effective April 10, 2017 through January 1, 2018), because even the transitional Impartial Conduct Standards required adherence to the best interest standard, reasonable compensation, and no misleading statements--none of which were demonstrably met here. The absence of any documented analysis comparing plan options is dispositive evidence that the best interest standard was not satisfied. This is a clear prohibited transaction violation exposing Marcus to potential excise taxes under Code § 4975 and exposing Pinnacle to enforcement action.

Key Factor

Marcus recommended a costly IRA rollover generating \$17,510 in commissions without executing the required BIC Exemption written contract, performing any cost comparison, or providing mandated conflict-of-interest disclosures to the IRA client.

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NON-COMPLIANT

Topic: naic_275_best_interest_annuity_suitability

Difficulty: hard

Standard: NAIC Suitability in Annuity Transactions Model Regulation #275 (Spring 2020): Section 1(A) (best interest purpose); Section 5(C)(8),(10),(11),(12) (consumer profile information requirements); Section 6 (duties of insurers and producers, best interest standard, obligation to consider reasonably available alternatives, conflict mitigation); Section 8 (compliance mitigation, penalties, enforcement); Appendix A (producer disclosure); Appendix C (consumer decision not based on recommendation); Dodd-Frank Act Section 989J (state regulatory authority over annuity suitability)

Source: 10_Academic_Articles

Fact Pattern

On March 15, 2023, licensed insurance producer Diane Kowalski met with retired schoolteacher Harold Brennan, age 74, at his home in Columbus, Ohio. Harold's wife had recently passed away, and he had just received a \$385,000 life insurance death benefit payout. Harold told Diane that he needed reliable monthly income to supplement his \$2,100/month pension and \$1,950/month Social Security, that he had approximately \$42,000 in a savings account, and that he was concerned about outliving his money. He mentioned he had no other investments, carried \$18,000 in remaining medical debt from his wife's illness, and expected potential nursing home costs within the next five to seven years. His total liquid net worth, including the death benefit proceeds, was approximately \$427,000.

Diane recommended that Harold place \$340,000--roughly 88% of his liquid assets--into a 12-year surrender-period fixed indexed annuity issued by Heartland National Life Insurance Company, the 'Heartland Horizon Plus FIA.' The product featured a 7.5% surrender charge in year one declining to 0% in year thirteen, a 10% annual free withdrawal provision, a 1.15% annual spread fee, and an optional guaranteed lifetime withdrawal benefit (GLWB) rider with an additional 1.05% annual charge. The GLWB rider would not begin payouts until Harold reached age 79. Diane earned a 6.8% first-year commission (\$23,120) on the sale, which was the highest commission product available to her from Heartland National. Heartland also offered a 5-year surrender-period fixed annuity paying a 4.25% guaranteed rate with a 3.2% first-year commission, which Diane did not present or discuss with Harold.

Diane completed the consumer profile information form but left the 'liquidity needs' and 'financial time horizon' fields blank. She noted Harold's risk tolerance as 'moderate' despite his stated concern about running out of money and his near-term medical debt. She did not document any consideration of alternative products, did not discuss the surrender charge schedule in detail, and did not disclose that a shorter-duration annuity with lower fees was available from the same carrier. Harold signed the application and the Appendix A producer disclosure form the same day. Heartland National's home office suitability review system flagged the transaction for the high concentration of liquid assets and the consumer's age, but a supervisory reviewer approved it after a single phone call with Diane in which she stated Harold 'wanted growth potential.'

Question

Did Diane Kowalski's recommendation of the 12-year surrender-period fixed indexed annuity to Harold Brennan satisfy the best interest standard of care under NAIC Model Regulation #275, Section 6?

Answer

The recommendation did not satisfy the best interest standard under NAIC Model Regulation #275, and multiple

provisions were violated.

First, Section 1(A) establishes that the purpose of the regulation is to require producers to act in the best interest of the consumer when making a recommendation, ensuring the consumer's insurance needs and financial objectives at the time of the transaction are effectively addressed. Here, Harold's primary objectives--reliable near-term income supplementation, liquidity to address \$18,000 in medical debt, and potential nursing home costs within five to seven years--are fundamentally mismatched with a product whose 12-year surrender period and GLWB rider not commencing until age 79 lock up 88% of his liquid assets for a period well beyond his stated financial time horizon.

Second, Section 5(C) requires the producer to gather complete consumer profile information including, at minimum, liquidity needs (C)(10), liquid net worth (C)(11), financial time horizon (C)(8), and risk tolerance (C)(12). Diane left the liquidity needs and financial time horizon fields blank on the consumer profile form, and she inaccurately recorded Harold's risk tolerance as 'moderate' when his stated concerns indicated a conservative, income-and-preservation-oriented posture. Incomplete and inaccurate consumer profile information fatally undermines the foundation upon which any best interest determination rests.

Third, Section 6 imposes affirmative duties requiring producers to consider reasonably available alternatives. Diane failed to present or even discuss Heartland National's own 5-year surrender-period fixed annuity with a 4.25% guaranteed rate--a product from the same carrier that far better aligned with Harold's liquidity timeline and income needs. The fact that Diane's commission on the recommended product (\$23,120 at 6.8%) dwarfed the commission on the suitable alternative (approximately \$10,880 at 3.2%) raises a material conflict of interest that Section 6 requires to be addressed and mitigated, not ignored.

Fourth, the insurer's supervisory obligations under Section 6 were also deficient. Although Heartland National's suitability review system correctly flagged the transaction for age and concentration risk, the supervisory review consisted of a single phone call in which Diane's characterization of Harold's goals ('wanted growth potential') contradicted the documented consumer profile. The insurer failed to maintain an adequate system to supervise recommendations as required by Section 1(A) and Section 6's insurer supervision provisions.

Diane cannot claim the safe harbor for consumer-initiated transactions (Appendix C) because she affirmatively recommended the product. Section 1(B) precludes a private cause of action, but the violation remains subject to regulatory penalties under Section 8, including potential license suspension or revocation. The pivotal failures--incomplete profiling, disregard of the consumer's actual time horizon and liquidity needs, and undisclosed superior alternatives from the same carrier--demonstrate that the recommendation was driven by compensation rather than the consumer's best interest.

Key Factor

Diane failed to gather complete consumer profile information, ignored Harold's near-term liquidity needs and short financial time horizon, and recommended a high-commission, long-surrender product over a clearly more suitable alternative from the same carrier, thereby prioritizing her own compensation over the consumer's best interest.

Item 61 of 499**NON-COMPLIANT**

Topic: naic_model_275_best_interest_annuity_supervision

Difficulty: hard

Standard: NAIC Model Regulation #275 -- Suitability in Annuity Transactions (2020 Best Interest Amendments): Section 6A (Best Interest Obligation), Section 6A(2) (Care Obligation -- reasonable efforts to obtain suitability information, consideration of consumer's existing insurance products, financial situation, liquidity needs), Section 6D (Insurer Supervision System), Section 6F (FINRA Safe Harbor); Ohio Administrative Code incorporating revised NAIC Model #275 effective March 1, 2021

Source: 10_Academic_Articles

Fact Pattern

Gerald Marsh, a 71-year-old retired school principal in Columbus, Ohio, contacted Heritage Financial Partners, a licensed insurance agency, in March 2021 after seeing a seminar advertisement about 'guaranteed retirement income solutions.' Gerald met with Rebecca Sloane, a licensed insurance producer affiliated with Heritage, on March 18, 2021. During the meeting, Gerald disclosed the following: he had \$410,000 in a traditional IRA rollover from his state pension supplement, \$85,000 in a savings account, \$22,000 in a checking account, a fully paid-off home valued at approximately \$290,000, and monthly Social Security income of \$2,650. He also disclosed that he was in good health, had moderate risk tolerance, and wanted to ensure that his wife, Diane (age 68), would have income security if he predeceased her. Gerald specifically told Rebecca that he wanted to keep at least \$80,000 liquid for potential home repairs and medical expenses.

Rebecca recommended that Gerald allocate \$385,000 -- virtually the entire IRA -- into a single 10-year surrender-period fixed indexed annuity issued by Keystone Life Insurance Company, the 'Keystone Horizon Plus FIA,' which carried a 9% surrender charge in year one declining to 0% in year eleven, a 1.15% annual spread fee, and a participation rate of 55% on the S&P 500 annual point-to-point crediting method. The product offered an optional guaranteed lifetime withdrawal benefit (GLWB) rider at an additional 0.95% annual charge. Rebecca completed the suitability data collection form but left several fields blank, including Gerald's existing annuity holdings (he held a \$60,000 fixed annuity purchased in 2017 with National Western Life that was still within its surrender period), his annual expenses, and his overall risk classification. She noted on the form that Gerald's objective was 'growth and income' without further elaboration.

Heritage Financial Partners had outsourced its annuity supervision review process to CompliFirst Solutions, a third-party compliance firm. CompliFirst's review process consisted of a single automated check verifying that the producer's license was active and that the application form was signed; it did not involve any substantive review of the suitability data, the ratio of annuity allocation to liquid net worth, the appropriateness of the surrender period relative to the client's age, or whether the recommendation was in the consumer's best interest. CompliFirst approved the application on March 22, 2021, within 48 hours, and Keystone Life issued the policy on April 1, 2021. Ohio had adopted the revised NAIC Model Regulation #275 effective March 1, 2021, incorporating the best interest standard.

Question

Did Heritage Financial Partners and producer Rebecca Sloane comply with the revised NAIC Suitability in Annuity Transactions Model Regulation #275 (2020 best interest amendments) as adopted by Ohio, with respect to both the producer's recommendation and the insurer/agency's supervision obligations?

Answer

Neither Rebecca Sloane nor Heritage Financial Partners complied with the revised NAIC Model Regulation #275 as adopted by Ohio effective March 1, 2021. The violations span both the producer's best interest obligation and the insurer/agency's supervision duties.

First, regarding the producer's best interest obligation under Section 6A of the revised Model #275, a producer must act in the best interest of the consumer at the time the recommendation is made, without placing the producer's or insurer's financial interest ahead of the consumer's interest. The best interest standard requires the producer to satisfy four component obligations: care, disclosure, conflict of interest, and documentation. Under the care obligation (Section 6A(2)), the producer must make reasonable efforts to obtain all relevant suitability information -- the 2020 amendments expanded the suitability data points and require thorough consideration of the consumer's existing insurance products, financial situation, liquidity needs, risk tolerance, and financial objectives. Rebecca left critical fields blank on the data collection form, including Gerald's existing annuity holdings (\$60,000 with National Western Life still in surrender), his annual expenses, and his risk classification. This incomplete data gathering is a direct violation of the care obligation, as a producer cannot demonstrate a reasonable basis for believing the recommendation is in the consumer's best interest without this information.

Substantively, recommending that Gerald commit \$385,000 of his \$410,000 IRA -- 93.9% of his qualified retirement assets -- to a single product with a 10-year surrender period when the client is 71 years old and specifically requested \$80,000 in liquidity raises serious best interest concerns. The recommendation effectively left Gerald with only \$107,000 in liquid assets (\$85,000 savings + \$22,000 checking) while locking up nearly all retirement funds during a period when healthcare and long-term care costs are statistically most likely to arise. The existing National Western Life annuity was not considered in the analysis, meaning Rebecca failed to evaluate the totality of Gerald's insurance portfolio as required under Section 6A(2)(d).

Second, Heritage's supervision system failed under Section 6D, which requires insurers (and agencies acting under outsourcing arrangements) to establish and maintain a supervision system reasonably designed to achieve compliance with the best interest standard. The 2010 amendments and subsequent 2020 revisions both contemplate that where supervision is outsourced to a third party, additional oversight requirements apply -- the insurer or supervising entity retains ultimate responsibility. CompliFirst's automated review -- limited to license verification and signature confirmation -- constitutes a facially inadequate supervision system. It performed no substantive review of the concentration risk, surrender-period-to-age appropriateness, liquidity ratio analysis, or completeness of the suitability form. This is precisely the type of rubber-stamp review that the revised Model #275 was designed to prevent.

Heritage cannot invoke the FINRA safe harbor provision from the 2010 amendments (Section 6F) because this was a fixed indexed annuity transaction outside FINRA jurisdiction, and the transaction did not comply with FINRA conduct standards in any event. The combination of incomplete data collection, an unsuitable concentration recommendation, and a systemically deficient supervision process represents multiple violations of the revised Model Regulation #275.

Key Factor

The producer failed to collect and consider critical suitability information -- including existing annuity holdings and liquidity needs -- and the supervising entity's outsourced review process was limited to administrative checks with no substantive best interest analysis, rendering both the recommendation and the supervision system non-compliant with the revised NAIC Model #275 best interest standard.

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NON-COMPLIANT

Topic: conflicted_ira_rollover_advice

Difficulty: hard

Standard: Regulation Best Interest (SEC Rule 15l-1) under Section 15(l) of the Securities Exchange Act of 1934; specifically the Disclosure Obligation (Rule 15l-1(a)(2)(i)), Care Obligation (Rule 15l-1(a)(2)(ii)), and Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)); FINRA Rule 2111 (Suitability); FINRA Rule 2210 (Communications with the Public)

Source: 10_Academic_Articles

Fact Pattern

Margaret Dawson, age 62, retired from Consolidated Manufacturing in March 2023 after 31 years. She had accumulated \$487,000 in her employer's 401(k) plan, which offered a menu of low-cost Vanguard index funds with an average expense ratio of 0.04%. The 401(k) plan also permitted in-plan distributions and had no account maintenance fees. Margaret's neighbor referred her to Brian Kessler, a registered representative of Ridgeline Financial Services, a FINRA-member broker-dealer. Brian held himself out as a 'retirement planning specialist' on his business cards and LinkedIn profile.

During their initial meeting on April 10, 2023, Brian reviewed Margaret's 401(k) statement and recommended she roll the entire \$487,000 balance into an IRA at Ridgeline. He told Margaret that 'having your own IRA gives you much more flexibility and access to better investment options.' He did not discuss the option of leaving her assets in the 401(k) plan, nor did he compare the fee structures. Brian recommended allocating the IRA as follows: \$195,000 into a Class A share equity mutual fund (American Growth Fund, 5.25% front-end load, 0.82% annual expense ratio), \$145,000 into a variable annuity product (Ridgeline Secure Income VA, with a 1.35% mortality and expense charge plus 0.65% sub-account fees and a 7-year surrender period), and \$147,000 into a proprietary Ridgeline bond fund (1.10% expense ratio). Brian received a \$10,237.50 commission on the Class A shares, a 6% commission (\$8,700) on the variable annuity, and a 2% placement fee (\$2,940) on the proprietary bond fund -- totaling \$21,877.50 in upfront compensation.

Brian provided Margaret with a Reg BI disclosure form (Form CRS) but only briefly mentioned that he 'may receive commissions that could vary by product.' He did not quantify his compensation, did not discuss how the variable annuity's surrender charges could restrict Margaret's liquidity during her early retirement years when she might need accessible funds, and did not present any lower-cost alternatives. Margaret signed the paperwork that day. Over the following 12 months, Margaret's IRA returned 3.1% net of fees, while her former 401(k) plan's comparable allocation returned 5.8%. Margaret discovered the fee disparity only after attending a financial literacy seminar at her local library in June 2024.

Question

Did Brian Kessler's recommendation that Margaret roll over her 401(k) into an IRA and invest in high-cost, commission-generating products violate Regulation Best Interest, and what specific elements of the regulation were breached?

Answer

Brian Kessler's conduct violated Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) across multiple component obligations.

First, the Disclosure Obligation (Rule 15l-1(a)(2)(i)) requires that the broker-dealer disclose, prior to or at the time of the recommendation, all material facts relating to conflicts of interest associated with the recommendation, including the specific compensation arrangements. Brian's cursory mention that he 'may receive commissions that could vary by product' was materially deficient. He failed to quantify his \$21,877.50 in total upfront compensation, failed to explain how the commission differentials across the three products created an incentive to recommend those specific products, and failed to disclose that the proprietary Ridgeline bond fund generated a placement fee that non-proprietary alternatives would not. Merely providing a Form CRS does not satisfy the disclosure obligation when material compensation details are omitted from the actual recommendation conversation.

Second, the Care Obligation (Rule 15l-1(a)(2)(ii)) requires that Brian exercise reasonable diligence, care, and skill to understand the available alternatives and make a recommendation in the customer's best interest. The Care Obligation has three sub-components: understanding the product, understanding the customer, and having a reasonable basis to believe the recommendation is in the customer's best interest considering costs. Brian failed all three. He did not evaluate whether leaving the assets in the low-cost 401(k) (0.04% expense ratio) was superior to rolling into products averaging over 1% annually in fees. For a newly retired 62-year-old who may need liquidity, recommending a variable annuity with a 7-year surrender period and combined annual charges of 2.0% was particularly problematic. The 270 basis point performance gap over 12 months is consistent with the CEA's empirical finding that conflicted advice reduces returns by approximately 100 basis points annually, compounded here by the front-end load drag.

Third, the Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)) requires that Ridgeline Financial Services establish, maintain, and enforce policies reasonably designed to identify and mitigate conflicts of interest, and to eliminate sales contests and similar incentives tied to specific products. Brian's \$21,877.50 compensation -- representing 4.5% of Margaret's life savings -- was a product of conflict-laden compensation structures that the firm apparently did not adequately mitigate through supervision or product-level review.

Brian cannot defend by arguing that the products were 'suitable.' Reg BI explicitly supersedes the prior suitability standard for broker-dealers and demands affirmative consideration of costs and reasonably available alternatives. The failure to even analyze the keep-in-plan option is a fundamental breach. This case exemplifies the retirement savings erosion documented in the CEA report.

Key Factor

Brian failed to evaluate and compare the low-cost 401(k) retention option against the high-cost IRA rollover, and his compensation of \$21,877.50 was neither adequately disclosed nor mitigated, directly breaching Reg BI's Care and Disclosure Obligations.

Item 63 of 499

NON-COMPLIANT

Topic: erisa_fiduciary_duty_monitoring_failure

Difficulty: hard

Standard: ERISA § 404(a)(1)(A)-(D) (29 U.S.C. § 1104(a)(1)(A)-(D)) -- duties of loyalty, exclusive benefit, prudent expert standard, diversification, and compliance with plan documents; ERISA § 405(a) (29 U.S.C. § 1105(a)) -- co-fiduciary liability; *Tibble v. Edison International*, 575 U.S. 523 (2015) -- continuing duty to monitor; DOL Interpretive Bulletin 96-1 (29 C.F.R. § 2509.96-1) -- fiduciary duties regarding selection and monitoring of service providers

Source: 10_Academic_Articles

Fact Pattern

Greenfield Manufacturing, Inc. is a mid-size private employer based in Columbus, Ohio, with approximately 800 employees and a 401(k) plan governed by ERISA with \$62 million in total plan assets as of December 31, 2023. The company's VP of Human Resources, Sandra Whitfield, has been designated as the plan's named fiduciary in the plan document since the plan's inception in 2011. The plan offers 22 investment options across various asset classes, including target-date funds, domestic and international equity funds, bond funds, and a stable value fund.

In March 2019, the plan's Investment Committee -- consisting of Sandra Whitfield, CFO Robert Huang, and General Counsel Patricia Delgado -- selected the Apex Growth Equity Fund (ticker: AGEF) as a new large-cap growth option for the plan. At the time of selection, AGEF had a 5-year annualized return of 14.2%, an expense ratio of 0.72%, and a Morningstar 4-star rating. The committee documented its selection rationale in meeting minutes, comparing AGEF against three peer funds on performance, fees, manager tenure, and investment style consistency. The selection process was thorough and well-documented.

However, between 2020 and 2023, AGEF experienced significant deterioration. Its lead portfolio manager departed in June 2020, and the fund's strategy drifted from large-cap growth into concentrated positions in speculative technology stocks. By December 2023, AGEF's 3-year annualized return had fallen to -4.8%, placing it in the bottom 5th percentile of its Morningstar category. Its expense ratio had also increased to 1.15% following a fee restructuring in January 2022. Approximately \$8.3 million of plan assets -- representing roughly 13.4% of total plan assets -- remained invested in AGEF. Despite these changes, the Investment Committee did not convene a single meeting between April 2019 and January 2024 to review the plan's investment lineup. Sandra Whitfield later stated in a deposition that she 'assumed the fund company would handle things' and that she had been 'too busy with other HR initiatives to look at fund performance.' When a participant, James Tran, emailed Sandra in September 2022 expressing concern about AGEF's poor performance and high fees compared to an available index fund alternative with a 0.04% expense ratio, Sandra replied that she would 'look into it' but took no further action.

Question

Did the Greenfield Manufacturing Investment Committee, and Sandra Whitfield specifically, breach their ERISA fiduciary duties by failing to monitor the Apex Growth Equity Fund after its initial selection in 2019?

Answer

Yes, the Investment Committee and Sandra Whitfield breached their ERISA fiduciary duties through a clear and sustained failure to monitor the Apex Growth Equity Fund after its initial selection. While the 2019 selection process itself appears to have been procedurally sound, ERISA's fiduciary obligations are ongoing and do not terminate upon

the initial selection of a service provider or investment option.

Under ERISA § 404(a)(1)(A)-(B) (29 U.S.C. § 1104(a)(1)(A)-(B)), a fiduciary must discharge duties solely in the interest of participants and beneficiaries, for the exclusive purpose of providing benefits, and with the care, skill, prudence, and diligence that a prudent person acting in a like capacity and familiar with such matters would use under the circumstances then prevailing -- the so-called 'prudent expert' standard. Critically, ERISA fiduciary duty encompasses a continuing obligation to monitor plan investments after selection, as established in case law such as *Tibble v. Edison International*, 575 U.S. 523 (2015), where the Supreme Court held that a fiduciary's duty to monitor investments is 'separate and apart' from the duty to exercise prudence at the time of initial selection, and that the statute of limitations for a monitoring claim begins at the time of each failure to monitor, not at the time of initial selection.

Here, the committee failed on multiple fronts. First, the nearly five-year gap between committee meetings (April 2019 to January 2024) represents a wholesale abdication of the duty to monitor plan investments. No prudent fiduciary familiar with investment management would allow such a prolonged period without reviewing fund performance, fees, manager changes, or strategy drift. Second, the fund experienced three significant red flags -- departure of the lead portfolio manager (June 2020), a material fee increase from 0.72% to 1.15% (January 2022), and severe underperformance placing it in the bottom 5th percentile -- none of which triggered any committee review. Third, Sandra Whitfield's statement that she 'assumed the fund company would handle things' reflects a fundamental misunderstanding of non-delegable fiduciary responsibility under ERISA § 404(a)(1). Fourth, the participant complaint from James Tran in September 2022, which was acknowledged but never acted upon, constitutes actual notice of a problem that was ignored.

Sandra's defense that she was 'too busy' is legally insufficient. ERISA's prudent person standard under § 404(a)(1)(B) is objective, not subjective. A fiduciary who lacks the time or expertise to fulfill their obligations must either delegate appropriately under ERISA § 405(a) with proper monitoring of the delegate, or resign the role. The diversification requirement under § 404(a)(1)(C) may also be implicated, as 13.4% of plan assets remained concentrated in a severely underperforming fund. The committee's inaction exposed participants to approximately \$8.3 million in poorly performing, high-cost investments when a prudent fiduciary would have conducted regular reviews and likely replaced or placed the fund on a watch list years earlier.

Key Factor

The Investment Committee's complete failure to convene any meeting or conduct any review of the plan's investment options for nearly five years, despite multiple material red flags including manager departure, fee increases, severe underperformance, and a direct participant complaint, constitutes a breach of the ongoing duty to monitor under ERISA § 404(a)(1)(B).

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NON-COMPLIANT

Topic: dol_fiduciary_rule_rollover_advice

Difficulty: hard

Standard: DOL Fiduciary Rule, 81 Fed. Reg. 20945 (Definition of 'Fiduciary'); ERISA § 3(21)(A)(ii); ERISA § 404(a)(1)(A)-(B) (duties of loyalty and prudence); ERISA § 406(b) (prohibited transactions); Best Interest Contract Exemption, 81 Fed. Reg. 21002; 29 C.F.R. § 2510.3-21

Source: 10_Academic_Articles

Fact Pattern

Marcus Jennings is a registered representative with Patriot Financial Group, a dual-registered broker-dealer and investment adviser. On March 15, 2017--just weeks before the DOL Fiduciary Rule's original applicability date of April 10, 2017--Marcus contacted Gerald and Patricia Hoffmann, ages 62 and 59 respectively, who were members of the United Steelworkers Local 1219. Gerald had recently accepted an early retirement package from Allegheny Steel Corp. and had accumulated \$387,000 in the company's collectively bargained defined contribution 401(k) plan, which was invested in a diversified lineup of Vanguard index funds with a blended expense ratio of 0.07%. Patricia had \$142,000 in a separate ERISA-covered multiemployer pension plan's defined contribution component. Marcus obtained the Hoffmanns' contact information through a list purchased from a data vendor that identified recently separated union employees. During a meeting at the Hoffmanns' home in Youngstown, Ohio, Marcus recommended that both Gerald and Patricia roll their retirement plan assets--totaling \$529,000--into IRAs at Patriot Financial Group. Marcus recommended allocating 60% of the combined assets into a proprietary variable annuity product, the Patriot Strategic Growth VA, which carried a 1.85% annual mortality and expense charge, a 0.75% administrative fee, and a 7-year declining surrender charge starting at 7%. The remaining 40% would be placed in Class A mutual funds carrying a 5.25% front-end load. Marcus would earn a \$22,467 commission on the variable annuity sale and approximately \$11,109 in front-end load commissions on the mutual funds--totaling \$33,576 in upfront compensation. Marcus did not disclose the specific commission amounts to the Hoffmanns, nor did he compare the fees of the recommended products to those in their existing plans. He told them their current plans were 'too risky' because they were 'tied to one company' and that the variable annuity offered 'guaranteed protection.' He did not mention that the Vanguard index funds in Gerald's 401(k) provided broad market diversification at minimal cost. Patriot Financial Group had not yet implemented any compliance procedures to satisfy the DOL's Best Interest Contract Exemption (BIC Exemption), and Marcus did not execute any written best interest contract with the Hoffmanns.

Question

Did Marcus Jennings violate the DOL Fiduciary Rule and ERISA fiduciary standards in recommending that the Hoffmanns roll over their collectively bargained retirement plan assets into high-cost proprietary products at Patriot Financial Group?

Answer

Marcus Jennings violated both the DOL Fiduciary Rule and underlying ERISA fiduciary standards in multiple respects. The analysis proceeds as follows:

First, under the DOL's 2016 Final Fiduciary Rule (81 Fed. Reg. 20945), Marcus's rollover recommendation constituted fiduciary investment advice. The Rule broadened the definition of 'fiduciary' under ERISA § 3(21)(A)(ii) to encompass anyone who provides a recommendation to a plan participant regarding the disposition of assets in a plan or IRA, including rollover recommendations. Marcus's individualized recommendation that the Hoffmanns move \$529,000 from

their ERISA-covered plans into IRAs squarely triggered fiduciary status.

Second, as an ERISA fiduciary, Marcus was bound by ERISA § 404(a)(1)(A)-(B), requiring him to act solely in the interest of plan participants and beneficiaries, with the care, skill, prudence, and diligence that a prudent person acting in a like capacity would use. His recommendation failed this standard on multiple grounds: (a) he recommended replacing low-cost Vanguard index funds (0.07% expense ratio) with a proprietary variable annuity carrying combined annual charges of approximately 2.60%, representing a roughly 37-fold increase in annual costs; (b) he imposed an additional 5.25% front-end load on 40% of the assets, immediately eroding principal; (c) the 7-year surrender charge locked illiquid retirees into a product they could not exit without penalty; and (d) his characterization of diversified index funds as 'too risky' because they were 'tied to one company' was materially misleading.

Third, because the rollover recommendation involved commission-based compensation that created a prohibited transaction under ERISA § 406(b), Marcus and Patriot Financial Group needed to satisfy a prohibited transaction exemption--specifically, the Best Interest Contract (BIC) Exemption (81 Fed. Reg. 21002). The BIC Exemption required, among other conditions: (i) a written contract acknowledging fiduciary status and committing to a best interest standard; (ii) disclosure of material conflicts of interest and compensation; and (iii) adoption of policies and procedures reasonably designed to mitigate conflicts. Marcus executed no written BIC contract, failed to disclose \$33,576 in commission compensation, and Patriot had implemented no compliance infrastructure for the exemption. Without satisfying the BIC Exemption, the transaction constituted a prohibited transaction.

Marcus cannot defend on the basis that the Rule's applicability date had not yet arrived, as the Rule became effective June 7, 2016, and the April 10, 2017 applicability date was imminent. Moreover, the underlying ERISA fiduciary duties in §§ 404 and 406 applied independently. The conflict of interest--\$33,576 in commissions driving a recommendation to abandon low-cost collectively bargained plan investments--is precisely the harm the DOL Fiduciary Rule was designed to address, and which the AFL-CIO's comment letter highlighted as disproportionately affecting union retirees rolling over collectively bargained plan assets.

Key Factor

Marcus recommended rolling over \$529,000 from low-cost collectively bargained ERISA plan investments into high-cost proprietary products generating \$33,576 in undisclosed commissions without executing a Best Interest Contract or conducting any comparative cost analysis.

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NON-COMPLIANT

Topic: esg_fiduciary_duty_investment_management

Difficulty: hard

Standard: Swiss Code of Obligations Art. 398 para. 2 (duty of loyalty and duty of care); Swiss Financial Services Act (FinSA) Art. 8-9 (duties of information and suitability); Swiss Financial Institutions Act (FinIA) organizational and conduct requirements; UNEP FI Fiduciary Duty in the 21st Century Final Report (2020); Freshfields Report (2005)

Source: 10_Academic_Articles

Fact Pattern

Alpine Wealth Management AG, a Zurich-based discretionary portfolio manager registered under the Swiss Financial Institutions Act (FinIA), manages CHF 420 million across 187 client mandates, primarily for Swiss pension fund beneficiaries and high-net-worth individuals. In March 2022, the firm's Chief Investment Officer, Stefan Keller, unilaterally decided to transition all client portfolios to an ESG-integrated investment strategy. Keller read extensively about the evolving interpretation of fiduciary duty under Art. 398 para. 2 of the Swiss Code of Obligations (CO), particularly the arguments advanced in UNEP FI reports suggesting that ESG integration is consistent with--and may even be required by--modern fiduciary obligations. He believed the shift was both financially prudent and ethically necessary.

Without amending any Investment Management Agreements (IMAs), without obtaining client consent or even notifying clients, and without documenting any financial materiality analysis, Keller instructed the portfolio management team to divest from all fossil fuel holdings across every mandate within 60 days. This resulted in the forced sale of approximately CHF 58 million in oil, gas, and coal-related equities and bonds during a period of elevated energy sector performance (Q1 2022, when energy stocks rallied significantly due to geopolitical events). The divestment generated realized losses of approximately CHF 3.2 million relative to holding the positions, and caused tracking error deviations of over 400 basis points against client-agreed benchmarks for 43 mandates that specifically referenced energy-inclusive indices.

One of the largest affected clients, the Cantonal Employees Pension Fund of Aargau ("Pensionskasse Aargau"), had a CHF 85 million mandate with Alpine. The IMA for this mandate specified a benchmark of the SPI (Swiss Performance Index) and required Alpine to maintain sector deviations within +/-3% of the benchmark. The forced fossil fuel divestment caused a 6.8% underweight in the energy sector. Pensionskasse Aargau had never expressed any ESG preferences, and its investment regulations required that its managers pursue the "sole financial interest" of beneficiaries. When the pension fund's board discovered the unauthorized strategy change in its Q2 2022 performance report, it immediately terminated the mandate and filed a complaint with FINMA.

Keller defended his actions by arguing that emerging international standards--particularly the UNEP FI Fiduciary Duty in the 21st Century reports--support the proposition that ESG integration is now part of the duty of care and that failing to consider climate risks would itself be a fiduciary breach. He pointed to the growing body of academic literature suggesting fiduciary duty should be "modernly interpreted" to encompass sustainability factors.

Question

Did Stefan Keller and Alpine Wealth Management AG breach their fiduciary duties under Swiss law by unilaterally transitioning all client portfolios to an ESG-integrated strategy, including blanket fossil fuel divestment, without client consent, IMA amendments, or documented financial materiality analysis?

Answer

Yes, Stefan Keller and Alpine Wealth Management AG breached their fiduciary duties. While the academic literature—including the article by Mehmetaj and Brunner and the UNEP FI reports—presents compelling arguments that a modern interpretation of fiduciary duty under Art. 398 para. 2 CO may permit or even encourage ESG integration, the manner in which Keller implemented the strategy change was fundamentally incompatible with core fiduciary obligations under Swiss law.

First, regarding the duty of loyalty (Art. 398 para. 2 CO): The fiduciary must act in the client's best interest as defined by the mandate. The IMA with Pensionskasse Aargau—and apparently with other clients—did not authorize ESG-based exclusions or thematic divestments. The pension fund's own investment regulations explicitly required pursuit of the "sole financial interest" of beneficiaries. Keller's unilateral decision to impose his own values-based investment philosophy without client authorization constitutes a clear breach of the duty of loyalty. As the Mehmetaj/Brunner article acknowledges, fiduciary duty is fundamentally about acting for the client's benefit, which "is in most cases financial." A manager cannot substitute his own sustainability convictions for the client's expressed or contractually defined investment objectives.

Second, regarding the duty of care (Art. 398 para. 2 CO): Even if ESG integration were contractually permitted, a prudent manager must conduct and document a financial materiality analysis before making significant portfolio changes. Keller performed no such analysis. The UNEP FI reports themselves emphasize that ESG factors should be integrated precisely because they are financially material—not as an end in themselves divorced from financial analysis. The blanket divestment of CHF 58 million in energy holdings without assessing financial impact, during a period of strong energy sector performance, and in violation of contractual tracking error constraints (6.8% sector deviation versus a +/-3% limit), demonstrates a failure of prudence.

Third, under Swiss supervisory law (FinSA Art. 8-9 and FinIA organizational requirements), financial services providers owe duties of information and suitability. Alpine failed to inform clients of a material change in investment strategy and failed to ensure the new approach was suitable for each mandate's specific parameters.

Keller's defense—that international soft-law standards support ESG integration as a fiduciary imperative—misconstrues the academic argument. Mehmetaj and Brunner analyze whether Swiss law concepts **can** and **should** be modernly interpreted to accommodate ESG; they do not argue that managers may override contractual mandates and client preferences unilaterally. The modern interpretation argument is about expanding the permissible scope of fiduciary considerations, not about eliminating the requirement for client consent and contractual compliance. The breach is clear and multifaceted.

Key Factor

Keller unilaterally imposed a blanket ESG divestment strategy across all client mandates without obtaining client consent, amending IMAs, or conducting any documented financial materiality analysis, directly contravening contractual investment parameters and the core fiduciary duty of loyalty.

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NON-COMPLIANT

Topic: fiduciary_duty_monitoring_securitization

Difficulty: hard

Standard: Delaware fiduciary duty of care and oversight (Caremark/Stone v. Ritter); DGCL § 141(a); business judgment rule; state consumer protection and predatory lending statutes; In re Caremark Int'l Inc. Derivative Litigation, 698 A.2d 959 (Del. Ch. 1996); Stone v. Ritter, 911 A.2d 362 (Del. 2006)

Source: 10_Academic_Articles

Fact Pattern

Meridian Capital Holdings, Inc. is a publicly traded financial institution headquartered in Charlotte, North Carolina, with approximately \$48 billion in assets under management as of Q3 2007. The firm's board of directors is chaired by Thomas Whitfield, age 62, a former commercial banker who also chairs the board's Risk Oversight Committee. Between 2005 and 2007, Meridian's Structured Products Division, led by Senior Vice President Rachel Okafor, aggressively expanded its acquisition and securitization of subprime residential mortgage-backed securities (RMBS). During this period, Meridian purchased approximately \$6.2 billion in subprime mortgage pools from three primary originators: QuickHome Lending LLC, Sunbelt Mortgage Corp., and National Direct Financial Services. Internal due diligence reports prepared by Meridian's compliance department in February 2006 and again in September 2006 flagged that QuickHome Lending had an abnormally high percentage of stated-income loans (approximately 78%) and that borrower default rates on QuickHome-originated loans were trending 340 basis points above industry averages. The reports also noted that Sunbelt Mortgage had been the subject of three state attorney general investigations in Georgia, Florida, and Alabama for predatory lending practices, including excessive fees and misleading teaser-rate disclosures to borrowers with FICO scores below 580.

Despite these red flags, the Risk Oversight Committee, under Whitfield's leadership, met only twice during the entire 2006 calendar year -- once in March and once in November -- and the February 2006 compliance report was not placed on the agenda for either meeting. Okafor's division continued purchasing and securitizing QuickHome and Sunbelt pools, packaging them into CDO tranches rated AAA through BB by cooperating rating agencies, and selling them to institutional and retail investors through Meridian's broker-dealer subsidiary, Meridian Securities LLC. Meridian earned approximately \$185 million in securitization fees and trading revenue from these activities between January 2006 and August 2007.

By March 2008, the underlying mortgage pools experienced default rates exceeding 38%, resulting in catastrophic losses for investors. Meridian's own retained tranches lost approximately \$1.9 billion in value, causing the firm's stock price to decline from \$74 per share to \$11 per share over six months. Shareholders filed a derivative lawsuit alleging that Whitfield and the board breached their fiduciary duties of care and loyalty by failing to monitor compliance with applicable consumer protection laws and by ignoring internal red flags about the quality and legality of the mortgage pools being securitized. Separately, several communities in Atlanta, Memphis, and Birmingham documented sharp increases in foreclosures concentrated in predominantly minority neighborhoods, directly linked to QuickHome and Sunbelt originations that Meridian had securitized.

Question

Did the Meridian board of directors, and specifically Chairman Whitfield, breach their fiduciary duty of care by failing to monitor the firm's compliance with laws governing the subprime mortgage pools it was acquiring and securitizing, and does the resulting harm to both shareholders and non-shareholder communities illustrate the broader public-interest implications of such a breach?

Answer

The Meridian board, and Chairman Whitfield in particular, almost certainly breached their fiduciary duty of care under the Caremark standard (In re Caremark Int'l Inc. Derivative Litigation, 698 A.2d 959 (Del. Ch. 1996)) and its progeny, including *Stone v. Ritter*, 911 A.2d 362 (Del. 2006). Under Caremark, directors breach their duty of loyalty -- which subsumes the oversight obligation -- when they either (a) utterly fail to implement any reporting or information system, or (b) having implemented such a system, consciously fail to monitor or oversee its operation, thereby disabling themselves from being informed of risks or problems requiring their attention.

Here, Meridian did have a compliance department that produced internal due diligence reports flagging serious red flags -- QuickHome's 78% stated-income loan concentration, default rates 340 basis points above industry norms, and Sunbelt's three state attorney general investigations for predatory lending. The critical failure was at the board level: the Risk Oversight Committee met only twice in all of 2006, and the February 2006 compliance report was never placed on the agenda. This constitutes a conscious failure to monitor an existing reporting system. Whitfield, as both board chair and chair of the Risk Oversight Committee, bore a heightened responsibility for ensuring these reports received board-level attention. His failure to convene adequate meetings or review flagged compliance issues satisfies the 'sustained or systematic failure of the board to exercise oversight' standard articulated in *Stone v. Ritter*.

The business judgment rule, which ordinarily shields directorial decisions from judicial second-guessing under Delaware General Corporation Law § 141(a), does not protect directors who have abdicated their oversight responsibilities. The defense that securitization generated \$185 million in fees is unavailing; the duty to monitor compliance with law is non-delegable and cannot be excused by short-term profitability. As Professor Wade's article emphasizes, when fiduciaries fail to monitor compliance with laws enacted to protect the public interest, shareholder wealth-maximization goals are not served -- they are undermined. The \$1.9 billion in retained tranche losses and the collapse from \$74 to \$11 per share demonstrate that the interests of shareholders and the public converged rather than conflicted.

Moreover, Wade's central thesis is powerfully illustrated here: the fiduciary breach's impact extended far beyond shareholders to devastate non-shareholder constituencies -- the communities in Atlanta, Memphis, and Birmingham that experienced concentrated foreclosure waves. While these communities lack standing under traditional corporate fiduciary duty doctrine, the cascade of harm demonstrates that fiduciary duties, though 'anchored in the interests of the parties to the relationship' (Frankel, *Fiduciary Law* at 166), have pervasive public-interest implications when breached. This case exemplifies why robust board-level compliance monitoring serves both shareholder and public interests simultaneously.

Key Factor

The Risk Oversight Committee's conscious failure to review flagged internal compliance reports documenting predatory lending red flags in acquired mortgage pools constitutes a sustained failure of board oversight under Caremark/*Stone v. Ritter*.

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NON-COMPLIANT

Topic: reg_bi_care_obligation_failure

Difficulty: hard

Standard: Regulation Best Interest, Rule 15l-1 under the Securities Exchange Act of 1934 (17 CFR § 240.15l-1), specifically: Care Obligation (Rule 15l-1(a)(2)(ii)); Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)); Compliance Obligation (Rule 15l-1(a)(2)(iv)); Disclosure Obligation (Rule 15l-1(a)(2)(i)); FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision)

Source: 10_Academic_Articles

Fact Pattern

Marcus Delgado is a registered representative at Horizon Capital Securities, a mid-sized broker-dealer based in Dallas, Texas. On March 14, 2023, Marcus met with Patricia Okonkwo, a 62-year-old recently widowed retail customer who received a \$1.2 million life insurance payout following her husband's death. Patricia told Marcus she needed income to supplement her modest Social Security payments of \$1,850 per month, that she had no other retirement savings, and that she wanted to preserve the principal so she could leave something to her two adult children. She described herself as having 'very low' risk tolerance and stated she had never invested in anything other than bank CDs.

Marcus recommended that Patricia invest \$900,000 -- 75% of her total liquid assets -- in a portfolio consisting of three non-traded REITs: Pinnacle Healthcare REIT (\$350,000), SunBelt Industrial REIT (\$300,000), and GreenField Agriculture REIT (\$250,000). Each product carried upfront commissions ranging from 6.5% to 7.0%, resulting in approximately \$59,250 in total commissions to Marcus. The non-traded REITs featured 7- to 10-year lockup periods with limited redemption provisions, and each prospectus disclosed that distributions might be funded in part from return of capital rather than operating income. Marcus completed a CRS Form but did not provide Patricia with a written comparison of any alternative products such as investment-grade bond funds, Treasury ladders, or dividend-paying equity mutual funds.

Horizon Capital's internal compliance system flagged the transaction for supervisory review because Patricia's investment profile indicated low risk tolerance and high liquidity needs. However, the branch manager, Sandra Choi, approved the transaction after a five-minute phone call with Marcus in which he stated that 'the client wants yield and these REITs pay 6.5%.' No documentation of any alternatives analysis was retained. Horizon Capital's written supervisory procedures for Reg BI compliance had not been updated since their initial adoption on June 29, 2020, and contained no specific protocols for reviewing recommendations of illiquid products to elderly clients with concentrated positions.

Question

Did Marcus Delgado and Horizon Capital Securities violate Regulation Best Interest's Care Obligation and Conflict of Interest Obligation in recommending that Patricia Okonkwo invest \$900,000 of her \$1.2 million in non-traded REITs?

Answer

Yes, both Marcus Delgado and Horizon Capital Securities violated Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) across multiple component obligations, most critically the Care Obligation and the Conflict of Interest Obligation.

Care Obligation (Reg BI Rule 15l-1(a)(2)(ii)): The Care Obligation requires that a broker-dealer exercise reasonable

diligence, care, and skill in making a recommendation, including understanding the potential risks, rewards, and costs of the recommendation and considering the customer's investment profile. The SEC's adopting release makes clear that this requires evaluation of reasonably available alternatives. Marcus failed this obligation on multiple grounds. First, concentrating 75% of Patricia's total liquid net worth in illiquid non-traded REITs with 7- to 10-year lockup periods is fundamentally inconsistent with her stated need for principal preservation and income supplementation, and her explicitly low risk tolerance. Non-traded REITs carry significant liquidity risk, valuation uncertainty, and the prospectuses themselves disclosed that distributions could be funded from return of capital -- meaning Patricia could be receiving her own money back rather than true income. Second, Marcus failed to consider or document any reasonable alternatives. Investment-grade bond funds, Treasury ladders, or diversified dividend equity funds would have provided income with significantly lower costs and greater liquidity. The absence of any alternatives analysis is a hallmark Care Obligation deficiency that the SEC has repeatedly flagged in its public risk alerts and examination priorities.

Conflict of Interest Obligation (Reg BI Rule 15l-1(a)(2)(iii)): This obligation requires broker-dealers to establish, maintain, and enforce written policies and procedures reasonably designed to identify and address conflicts of interest. The \$59,250 in upfront commissions (approximately 6.6% blended rate) created a material financial incentive for Marcus to recommend non-traded REITs over lower-cost alternatives. The SEC's adopting release specifically identified compensation-driven incentives as conflicts requiring mitigation. Horizon Capital's failure to update its written supervisory procedures since initial adoption in June 2020, and the absence of any protocol for reviewing illiquid product recommendations to elderly clients with concentrated positions, demonstrates that the firm's conflict-mitigation infrastructure was inadequate.

Compliance Obligation (Reg BI Rule 15l-1(a)(2)(iv)): Sandra Choi's cursory five-minute approval without documented alternatives analysis reflects a systemic compliance failure. The SEC has signaled through staff statements and risk alerts that it expects robust supervisory review, particularly where internal flags are triggered.

Marcus cannot defend by arguing Patricia consented to the recommendation. Reg BI imposes an affirmative obligation on the broker-dealer that cannot be disclaimed or shifted to the customer. Disclosure alone does not cure a deficient care analysis. This fact pattern presents a strong enforcement case across all four Reg BI component obligations.

Key Factor

Marcus recommended concentrating 75% of a 62-year-old widow's sole liquid assets in illiquid, high-commission non-traded REITs without conducting or documenting any analysis of reasonably available lower-cost, more liquid alternatives consistent with her stated low risk tolerance and income needs.

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NON-COMPLIANT

Topic: erisa_esg_fiduciary_duty

Difficulty: hard

Standard: ERISA § 404(a)(1)(A)-(B), 29 U.S.C. § 1104(a)(1)(A)-(B); ERISA § 409(a), 29 U.S.C. § 1109(a); Fifth Third Bancorp v. Dudenhoeffer, 573 U.S. 409 (2014); DOL Final Rule, 'Prudence and Loyalty in Selecting Plan Investments and Exercising Shareholder Rights,' 87 Fed. Reg. 73822 (Dec. 1, 2022); IRC § 430(i) (at-risk plans)

Source: 10_Academic_Articles

Fact Pattern

Margaret Thornton serves as the named fiduciary and investment committee chair for the Heartland Manufacturing Employees' Pension Plan, a defined benefit plan with \$420 million in assets and approximately 6,200 participants. In March 2023, following the DOL's finalization of its 2022 rule on 'Prudence and Loyalty in Selecting Plan Investments and Exercising Shareholder Rights,' Thornton proposed a major reallocation of the plan's equity portfolio. Specifically, she recommended moving \$85 million--approximately 20% of total plan assets--from a diversified large-cap index fund (Vanguard 500 Index Fund, expense ratio 0.03%, 10-year annualized return of 12.1%) into the GreenPath ESG Leaders Fund, a thematic ESG fund with an expense ratio of 0.72% and a 10-year annualized return of 9.4%.

Thornton presented the reallocation to the five-member investment committee at a meeting on April 12, 2023. Her presentation slides emphasized that the GreenPath fund excluded fossil fuel companies, invested in firms with strong diversity metrics, and aligned with 'the values our workforce cares about.' The slides contained two pages on ESG alignment criteria and only a single bullet point on projected risk-adjusted returns, which stated the fund was 'competitive with broad market indices over the long term.' No independent investment analysis or consulting report was commissioned. Committee member David Reeves, a CFA charterholder, raised concerns that the 270-basis-point return differential and the 24x expense ratio increase could cost the plan an estimated \$22.95 million over ten years in foregone returns and excess fees. Thornton responded that 'the DOL's new rule gives us the green light to consider ESG factors' and that 'participants would want their retirement money invested responsibly.' The committee voted 3-2 to approve the reallocation, with Reeves and one other member dissenting.

No participant survey was conducted. The plan's Investment Policy Statement (IPS), last updated in 2019, stated that all investment decisions must be made 'solely on the basis of risk-adjusted financial return relative to the plan's actuarial assumptions and funded status.' The IPS was not amended before the vote. Heartland's plan was 94% funded at the time of the reallocation, with an actuarial assumed rate of return of 7.0%.

By December 2023, the GreenPath fund had underperformed its benchmark by 3.8%, and the plan's funded status had declined to 89.2%, triggering an at-risk determination under IRC § 430(i). A participant, retired machinist Carl Jensen, age 72, filed a complaint with the DOL alleging breach of fiduciary duty.

Question

Did Margaret Thornton and the Heartland Manufacturing Employees' Pension Plan investment committee breach their ERISA fiduciary duties by reallocating \$85 million of plan assets into the GreenPath ESG Leaders Fund?

Answer

Yes, Thornton and the approving committee members likely breached their fiduciary duties under ERISA § 404(a)(1),

codified at 29 U.S.C. § 1104(a)(1). The analysis turns on multiple interrelated failures.

First, ERISA § 404(a)(1)(A) requires fiduciaries to act 'solely in the interest of the participants and beneficiaries' and 'for the exclusive purpose of providing benefits to participants and their beneficiaries.' The Supreme Court in *Fifth Third Bancorp v. Dudenhoeffer*, 573 U.S. 409, 420-21 (2014), confirmed that this refers to financial benefits. Thornton's own presentation emphasized 'values our workforce cares about' and ESG alignment criteria rather than pecuniary factors, strongly suggesting the primary motivation was collateral social objectives rather than financial benefit--what scholars Schanzenbach and Sitkoff (72 Stan. L. Rev. 381 (2020)) term 'collateral benefits ESG' as opposed to 'risk-return ESG.'

Second, even under the DOL's 2022 final rule, which relaxed certain restrictions from the 2020 rule, fiduciaries must still demonstrate that ESG considerations are relevant to the risk-return analysis. The 2022 rule permits consideration of ESG factors only insofar as they are material to financial value. Here, no independent investment analysis was conducted, the fund's 10-year return lagged by 270 basis points, expenses were 24 times higher, and the committee's own IPS--which was never amended--mandated decisions based 'solely on the basis of risk-adjusted financial return.' The failure to even reconcile the decision with the existing IPS is itself a procedural prudence failure under ERISA § 404(a)(1)(B), which requires fiduciaries to act 'with the care, skill, prudence, and diligence' of a prudent expert.

Third, the committee ignored the substantive objection raised by Reeves, who quantified a \$22.95 million projected cost. A prudent fiduciary process requires meaningful deliberation and documentation of the financial rationale for investment decisions. The absence of a consulting report, the cursory return analysis, and the failure to address the expense differential all constitute procedural imprudence.

The defense that the 2022 DOL rule 'gives the green light' to ESG investing is a mischaracterization. The rule removed the chilling effect of the 2020 rule's special documentation requirements for ESG, but it did not relieve fiduciaries of the statutory duty of exclusive purpose and prudence. Subordinating returns and increasing costs to pursue non-pecuniary objectives remains impermissible. The decline in funded status to 89.2% and the at-risk determination under IRC § 430(i) provide concrete evidence of participant harm, strengthening Jensen's complaint. Thornton and the three approving committee members face personal liability under ERISA § 409(a) for losses resulting from the breach.

Key Factor

The fiduciary's primary stated motivation for the reallocation was participants' social values rather than pecuniary financial benefit, and the decision was made without independent financial analysis, in direct contravention of the plan's own IPS, and in the face of documented evidence of materially inferior risk-adjusted returns and substantially higher costs.

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NON-COMPLIANT

Topic: fiduciary_duty_retirement_plan_rollover

Difficulty: hard

Standard: SEC Regulation Best Interest (Rule 15l-1), including Care Obligation (Rule 15l-1(a)(2)(ii)(B)), Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)), and Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(C)); FINRA Rule 2111 (Suitability); FINRA Regulatory Notice 13-45 (Rollover Recommendations); FINRA Rule 3110 (Supervision); FINRA Rule 2210 (Communications with the Public); Investment Advisers Act of 1940 Sections 206(1) and 206(2)

Source: 10_Academic_Articles

Fact Pattern

Margaret Donovan, age 62, is a recently retired schoolteacher from Tampa, Florida, with a 403(b) plan through her employer, the Hillsborough County School District, containing \$487,000 in low-cost Vanguard target-date funds with an all-in expense ratio of 0.12%. In March 2026, she attends a free retirement planning seminar hosted by Kevin Trask, a registered representative of Beacon Point Financial, a dual-registered broker-dealer and investment adviser. Trask holds the Chartered Retirement Plans Specialist (CRPS(R)) and Accredited Investment Fiduciary (AIF(R)) designations, credentials he prominently features on his business cards and seminar materials. During a follow-up one-on-one meeting on April 3, 2026, Trask recommends that Margaret roll her entire 403(b) balance into a newly opened IRA at Beacon Point Financial. He proposes allocating the rollover proceeds into a suite of Class A mutual funds across five fund families, carrying front-end loads averaging 4.75% (generating approximately \$23,132 in upfront commissions) and ongoing expense ratios averaging 0.87%. Trask's written recommendation letter states the rollover will provide Margaret with 'greater investment flexibility, consolidated account management, and professional ongoing guidance.' However, Trask does not prepare a written comparison of the fees, investment options, or services available in Margaret's existing 403(b) plan versus the proposed IRA. He does not document why the specific share class was selected over lower-cost alternatives available within the same fund families (such as institutional shares or advisory share classes). Trask does not disclose that Beacon Point Financial receives revenue-sharing payments from three of the five recommended fund families, nor does he mention that he will earn a production bonus from his firm if his quarterly gross commissions exceed \$150,000 -- a threshold this rollover transaction would help him surpass. Margaret signs the rollover paperwork on April 10, 2026. Beacon Point Financial's compliance department approves the transaction the same day without requesting any documentation of the existing plan's fees or investment options.

Question

Did Kevin Trask and Beacon Point Financial comply with their regulatory obligations under Regulation Best Interest, the Investment Advisers Act, and applicable FINRA rules in recommending the IRA rollover to Margaret Donovan?

Answer

No. Kevin Trask and Beacon Point Financial violated multiple regulatory obligations. The analysis proceeds across several frameworks.

First, under SEC Regulation Best Interest (Rule 15l-1 under the Exchange Act), a broker-dealer must satisfy four component obligations when making a recommendation to a retail customer: Disclosure, Care, Conflict of Interest, and Compliance. Trask failed the Care Obligation (Rule 15l-1(a)(2)(ii)(B)), which requires the broker to exercise reasonable diligence, care, and skill in understanding the potential risks, rewards, and costs of a recommendation and to have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made without placing

the financial interest of the broker ahead of the customer. The SEC has specifically identified IRA rollovers as a context demanding heightened scrutiny. Trask failed to perform any documented comparison of the existing 403(b) plan's costs (0.12% expense ratio, no load) versus the proposed IRA allocation (4.75% front-end load, 0.87% ongoing expenses). Over a 20-year retirement horizon, this cost differential could reduce Margaret's portfolio value by well over \$100,000. The Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)) was also violated because Trask did not disclose the revenue-sharing arrangements with fund families or the production bonus he stood to receive. The Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(C)) requires the firm to establish policies to identify, disclose, and mitigate or eliminate conflicts -- the firm's same-day approval without requesting existing plan documentation demonstrates a systemic compliance failure.

Second, under FINRA Rule 2111 (Suitability) and FINRA Regulatory Notice 13-45, which specifically addresses IRA rollover recommendations, a registered representative must consider the costs and benefits of the existing plan against the proposed IRA. The failure to gather and document this information constitutes a suitability violation.

Third, under FINRA Rule 2210 and the SEC's guidance on professional designations, Trask's prominent use of the AIF(R) and CRPS(R) designations in seminar materials could create an unjustified expectation of fiduciary-level care, compounding the misleading nature of the recommendation. If the meeting was conducted in an advisory capacity, the fiduciary duty under the Investment Advisers Act Section 206(1) and (2) would apply, imposing an even higher duty of loyalty and care.

Beacon Point Financial's compliance department independently failed its supervisory obligations under FINRA Rule 3110 by approving the rollover without any record of a cost-benefit analysis. Trask's conduct and the firm's supervisory failures collectively constitute non-compliance.

Key Factor

Trask failed to perform or document any comparative analysis of the existing 403(b) plan's significantly lower costs and investment options against the proposed higher-cost IRA rollover, while simultaneously concealing material conflicts of interest including revenue-sharing payments and a personal production bonus.

Item 70 of 499

NON-COMPLIANT

Topic: hsa_retirement_savings_suitability

Difficulty: hard

Standard: SEC Regulation Best Interest, 17 CFR § 240.15l-1 (Care, Disclosure, and Conflict of Interest Obligations); Investment Advisers Act of 1940, Sections 206(1) and 206(2); FINRA Rule 2111 (Suitability); SEC v. Capital Gains Research Bureau, 375 U.S. 180 (1963)

Source: 10_Academic_Articles

Fact Pattern

Marcus Whitfield is a dually registered financial adviser (Series 7 and Series 66) at Pinnacle Wealth & Benefits Group, a broker-dealer and RIA hybrid firm based in Minneapolis, Minnesota. In March 2024, Marcus meets with a new client, Janet Kowalski, age 58, a mid-level HR administrator at a regional healthcare system earning \$72,000 per year. Janet has \$48,000 in a 401(k), no IRA, and \$11,000 in a standard savings account. She is recently divorced, has Type 2 diabetes requiring regular specialist visits and insulin prescriptions, and her annual out-of-pocket healthcare costs have averaged \$6,200 over the past three years. Janet tells Marcus she is anxious about retirement readiness and wants to maximize her savings over the next seven years before she plans to retire at age 65.

Marcus recommends that Janet enroll in her employer's high-deductible health plan (HDHP) with a \$3,200 annual deductible during the upcoming open enrollment, thereby qualifying her for a Health Savings Account. He recommends she contribute the 2024 individual HSA maximum of \$4,150 (including the \$1,000 catch-up for those 55+), and simultaneously reduce her 401(k) contribution from 6% to 3% of salary (forgoing her employer's full 5% match on the first 6%) to free up cash flow for the HSA contribution. Marcus presents Janet with marketing materials from Fidelity and his own firm showing projected HSA balances at retirement, highlighting the triple tax advantage. He tells Janet that the HSA 'functions just like a retirement account but better' and that she should invest the HSA funds in a growth equity fund with a 1.12% expense ratio offered through Pinnacle's proprietary platform, on which Pinnacle earns a 25-basis-point revenue sharing fee.

Marcus documents the recommendation in a brief email but does not prepare a written financial plan, does not model Janet's expected healthcare costs under the HDHP versus her current PPO plan, does not analyze the impact of reducing the 401(k) match, and does not disclose the revenue-sharing arrangement on the proprietary HSA investment platform. Janet follows the recommendation, enrolls in the HDHP at open enrollment in November 2024, and by February 2025 has already incurred \$2,800 in out-of-pocket costs for her diabetes management, depleting most of the HSA balance she had accumulated.

Question

Did Marcus Whitfield satisfy his fiduciary duty under the Investment Advisers Act and his Regulation Best Interest obligations in recommending that Janet Kowalski switch to an HDHP/HSA and reduce her 401(k) contributions?

Answer

Marcus Whitfield violated both his fiduciary duty under the Investment Advisers Act of 1940 and his obligations under SEC Regulation Best Interest (Reg BI), 17 CFR § 240.15l-1. The analysis proceeds on multiple grounds.

First, under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation, considering the client's investment profile including financial situation, tax status,

age, health, and other investments. Marcus failed to model Janet's predictable healthcare expenditures under the HDHP. Given her documented chronic condition (Type 2 diabetes) with \$6,200 in average annual out-of-pocket costs and a \$3,200 deductible, it was foreseeable that the HDHP would result in immediate, significant out-of-pocket exposure that would erode or eliminate the HSA's savings benefit. A reasonable adviser exercising diligence would have recognized that an HDHP is unsuitable for a client with high, predictable medical costs and limited liquid reserves.

Second, the recommendation to reduce 401(k) contributions from 6% to 3% caused Janet to forfeit approximately \$2,160 annually in employer matching (3% of \$72,000), which represents guaranteed, immediate 100% return on her contribution. Redirecting those funds into a tax-advantaged account that would be immediately depleted by healthcare costs is not in the client's best interest under any reasonable analysis. This fails the Care Obligation's requirement to weigh costs and benefits of the recommendation against reasonably available alternatives.

Third, under Reg BI's Disclosure Obligation (Rule 15l-1(a)(2)(i)), Marcus was required to disclose all material facts relating to conflicts of interest, including the 25-basis-point revenue sharing fee Pinnacle earns on the proprietary HSA investment platform. His failure to disclose this compensation arrangement also violates the Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)), which requires written policies to identify, disclose, and mitigate or eliminate conflicts. Under the Investment Advisers Act, SEC v. Capital Gains Research Bureau (1963) establishes that an adviser's fiduciary duty encompasses full and fair disclosure of all material conflicts; the undisclosed revenue sharing arrangement breaches this duty.

Fourth, to the extent Marcus was acting in his investment adviser capacity when providing holistic financial planning advice integrating health and retirement savings, his fiduciary duty under the Advisers Act (Sections 206(1) and 206(2)) required him to place Janet's interests ahead of his own and the firm's. The totality of the conduct--unsuitable HDHP recommendation for a chronically ill client, sacrifice of employer match, undisclosed proprietary platform compensation, and absence of any documented analysis--constitutes a breach. Marcus cannot defend on the basis of HSA tax advantages alone; the academic literature, including the Parente and Feldman research, emphasizes that HSA election decisions are conditional on health status, income, and prior savings behavior, and that the purported retirement-savings benefits of HSAs are attenuated for individuals with high current healthcare utilization.

Key Factor

Marcus recommended an HDHP/HSA to a chronically ill client with high predictable healthcare costs without analyzing her medical utilization, causing foreseeable depletion of savings, while simultaneously advising her to forfeit employer 401(k) matching contributions and failing to disclose his firm's proprietary revenue-sharing conflict.

Item 71 of 499

NON-COMPLIANT

Topic: esg_fiduciary_duty_portfolio_construction

Difficulty: hard

Standard: Investment Advisers Act of 1940 §206(1)-(2); SEC Fiduciary Interpretation (IA-5248, June 2019); Regulation Best Interest (17 CFR §240.15l-1), Care Obligation (Rule 15l-1(a)(2)(ii)), Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)); FINRA Rule 2111 (Suitability); SEC v. Capital Gains Research Bureau, 375 U.S. 180 (1963)

Source: 10_Academic_Articles

Fact Pattern

Rebecca Thornton is a dual-registered investment adviser representative with Clearwater Wealth Partners, an SEC-registered investment adviser, and also holds her Series 7 and Series 66 through an affiliated broker-dealer. In March 2024, she meets with Gerald and Patricia Hsu, both age 67, recently retired schoolteachers with a combined retirement portfolio of \$1.85 million held across two 403(b) accounts and one traditional IRA. The Hsus' stated objectives are capital preservation, income generation to supplement their combined \$4,200/month pension income, and moderate growth to keep pace with inflation. They have a conservative risk tolerance, a 20-year time horizon, and annual withdrawal needs of approximately \$52,000 from their portfolio. During the initial consultation, Gerald mentions in passing that he read an article about ESG investing and thinks it 'sounds like a nice idea.' Patricia does not express any opinion on the matter.

Based primarily on Gerald's casual comment, Thornton constructs a portfolio allocated 70% to three ESG-themed equity funds -- the GreenEdge Climate Solutions Fund (expense ratio 1.12%), the Sustainable Future Global Equity Fund (expense ratio 0.97%), and the CleanTech Innovation ETF (expense ratio 0.75%) -- and 30% to a conventional intermediate-term bond index fund (expense ratio 0.06%). The three ESG equity funds are heavily concentrated in thematic sectors: clean energy, sustainable agriculture, and healthcare innovation, respectively. The GreenEdge Climate Solutions Fund has experienced 28% annualized volatility over the prior three years. Thornton's firm receives 12b-1 fees of 0.25% on the GreenEdge and Sustainable Future funds. Thornton documents the investment policy statement as 'Growth with ESG focus per client preference' and does not document the Hsus' stated income needs, conservative risk tolerance, or the specific withdrawal requirements.

By September 2024, the portfolio has declined 14.2% due to underperformance of the concentrated thematic ESG equity funds relative to broad market indices. The Hsus' withdrawals, combined with market losses, have reduced the portfolio to \$1.53 million. Gerald calls Thornton concerned about their ability to sustain withdrawals, and Thornton reassures him that 'ESG investing is a long-term strategy' and recommends staying the course without revisiting the asset allocation.

Question

Did Rebecca Thornton violate her fiduciary duty under the Investment Advisers Act and Regulation Best Interest in constructing and maintaining the Hsus' ESG-themed portfolio?

Answer

Yes, Rebecca Thornton violated both her fiduciary duty under the Investment Advisers Act of 1940 and Regulation Best Interest (Reg BI) under Securities Exchange Act Rule 15l-1. The violations are multi-layered and severe.

First, under the Investment Advisers Act fiduciary duty, as interpreted by SEC v. Capital Gains Research Bureau (1963) and reinforced by the SEC's June 2019 Fiduciary Interpretation (IA-5248), Thornton owes the Hsus a duty of care and a duty of loyalty. The duty of care requires providing advice that is in the client's best interest based on a reasonable understanding of the client's objectives, financial situation, and needs. The Hsus clearly articulated conservative risk tolerance, income needs of \$52,000 annually, and a capital preservation objective. Allocating 70% to high-volatility thematic ESG equity funds -- one with 28% annualized volatility -- is fundamentally inconsistent with these stated objectives. A casual remark expressing interest in ESG as 'a nice idea' does not constitute an informed investment objective that overrides explicit risk and income parameters.

Second, the duty of loyalty requires the adviser to eliminate or fully disclose all material conflicts of interest. Thornton's firm receives 12b-1 fees on two of the three ESG funds, creating a material conflict. There is no indication these fees were disclosed or that lower-cost alternatives were considered, violating the conflict-of-interest obligations under both the Advisers Act and Reg BI's Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)).

Third, under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)), to the extent any of the transactions involved brokerage recommendations, Thornton was required to exercise reasonable diligence, care, and skill to ensure the recommendations were in the Hsus' best interest considering their investment profile. The concentrated thematic allocation fails this standard.

Fourth, Thornton's documentation is deficient. The IPS mischaracterizes the clients' objectives as 'Growth with ESG focus' while omitting their income needs, conservative risk tolerance, and withdrawal requirements. This violates recordkeeping obligations and undermines any defense that the recommendations were suitable. Under FINRA Rule 2111 (Suitability) and its reasonable-basis, customer-specific, and quantitative components, the portfolio fails customer-specific suitability.

Finally, Thornton's September 2024 response -- recommending the Hsus 'stay the course' without revisiting the allocation in light of realized losses and ongoing withdrawal pressure -- constitutes a continuing breach of the duty to monitor, as articulated in the SEC's Fiduciary Interpretation for advisers with ongoing advisory relationships. The adviser had an obligation to reassess whether the allocation remained appropriate given the changed circumstances.

Key Factor

Thornton constructed a high-volatility, concentrated thematic ESG equity portfolio based on a client's casual remark while ignoring their explicitly stated conservative risk tolerance, income needs, and capital preservation objectives, and failed to disclose the 12b-1 fee conflicts.

Item 72 of 499

NON-COMPLIANT

Topic: dol_fiduciary_rule_annuity_rollover

Difficulty: hard

Standard: ERISA § 3(21)(A)(ii); ERISA § 406(b); IRC § 4975(c)(1)(E)-(F); IRC § 4975(e)(3)(B); DOL Proposed Retirement Security Rule (RIN 1210-AC02); Prohibited Transaction Exemption 2020-02 §§ II(a)(1)-(3), III(c)-(d); DOL Proposed Amendment to PTE 2020-02 (Application No. D-12057, RIN 1210-ZA32)

Source: 10_Academic_Articles

Fact Pattern

Margaret Okonkwo, age 62, is a retired school cafeteria worker in Tulsa, Oklahoma, with a modest 403(b) plan containing \$187,400 invested in a balanced target-date fund with an expense ratio of 0.12%. In September 2024, she attends a free dinner seminar hosted by David Renner, a registered representative of Pinnacle Financial Partners, a broker-dealer. Renner presents himself as a 'retirement income specialist' and, during a follow-up one-on-one meeting at his office, recommends that Margaret roll her entire 403(b) into an individual retirement account (IRA) and use the proceeds to purchase a fixed indexed annuity issued by National Guardian Life, the 'SecureHarvest 10 Plus.' The product carries a 10-year surrender period with a declining surrender charge starting at 9%, a 1.15% annual spread fee, and an optional guaranteed lifetime withdrawal benefit (GLWB) rider costing an additional 1.05% annually. Renner receives an upfront commission of 6.5% (\$12,181) on the sale, plus a 25-basis-point trail. He does not document a comparison of Margaret's existing 403(b) investment options, costs, or features against the proposed annuity. He does not discuss lower-cost annuity alternatives available on his firm's platform, including a similar fixed indexed annuity from Pacific Mutual with a 5-year surrender period, 0.80% spread, and a 4.5% commission. Renner's internal notes state only: 'Client wants guaranteed income in retirement. Recommended SecureHarvest 10 Plus.' Pinnacle Financial Partners has a revenue-sharing arrangement with National Guardian Life under which it receives an additional 15 basis points on all SecureHarvest product sales. Two months after purchase, Margaret needs \$30,000 for emergency home repairs and discovers she would owe a \$2,700 surrender charge to access her funds. She files a complaint with the Department of Labor.

Question

Under the DOL's proposed Retirement Security Rule and amended PTE 2020-02, did David Renner and Pinnacle Financial Partners satisfy their fiduciary obligations in recommending the rollover and annuity purchase to Margaret Okonkwo?

Answer

No. Under both the DOL's proposed Retirement Security Rule (RIN 1210-AC02) and the existing/amended Prohibited Transaction Exemption 2020-02, Renner and Pinnacle Financial Partners failed to meet their fiduciary obligations in multiple respects.

First, the proposed Retirement Security Rule broadens the definition of 'investment advice fiduciary' under ERISA § 3(21)(A)(ii) and IRC § 4975(e)(3)(B). Renner's individualized recommendation to Margaret to roll over her 403(b) into an IRA and purchase a specific annuity product constitutes fiduciary investment advice because it was a recommendation made to a specific retirement investor, for a fee, in a context where a reasonable person would rely on the advice. Under the proposed rule, even a single interaction can establish fiduciary status--the prior five-part test's 'regular basis' requirement is eliminated. Thus, Renner became a fiduciary the moment he made his rollover and product recommendation.

Second, as a fiduciary, Renner engaged in a prohibited transaction under ERISA § 406(b) and IRC § 4975(c)(1)(E)-(F) by receiving variable compensation (the 6.5% commission) that creates a direct conflict of interest. To rely on PTE 2020-02 for relief, Renner and Pinnacle must satisfy the exemption's Impartial Conduct Standards, which require: (1) a best interest recommendation, (2) receipt of no more than reasonable compensation, and (3) no materially misleading statements. They failed on all three counts.

Regarding best interest, PTE 2020-02 § II(a)(1)-(3) requires that the recommendation reflect the care, skill, prudence, and diligence that a prudent person would exercise based on the investment objectives, risk tolerance, financial circumstances, and needs of the retirement investor. Renner failed to perform any documented comparison between Margaret's low-cost 403(b) target-date fund (0.12% expense ratio) and the significantly more expensive annuity (combined annual costs exceeding 2.20%). He also failed to consider the lower-cost Pacific Mutual alternative on his own platform, suggesting the recommendation was driven by compensation rather than client need. Margaret's modest account size and potential liquidity needs made a 10-year surrender period particularly unsuitable.

Regarding reasonable compensation, Pinnacle's undisclosed revenue-sharing arrangement with National Guardian Life, combined with the elevated commission structure, raises serious questions under PTE 2020-02 § II(a)(2) about whether total compensation was reasonable relative to the services provided.

Finally, the failure to disclose the revenue-sharing arrangement and the existence of lower-cost alternatives constitutes a materially misleading omission under PTE 2020-02 § II(a)(3). Pinnacle's supervisory and compliance infrastructure also appears deficient, as the firm failed to identify and mitigate the conflicts embedded in its product shelf and compensation grid, violating the firm-level obligations under amended PTE 2020-02 § III(c)-(d). Both Renner individually and Pinnacle as a firm are exposed to fiduciary liability and excise tax penalties under IRC § 4975.

Key Factor

Renner failed to perform or document any comparative analysis of Margaret's existing low-cost 403(b) investments versus the recommended high-cost, long-surrender-period annuity, and steered her to the product generating the highest compensation for himself and his firm.

Item 73 of 499

NON-COMPLIANT

Topic: ai_fiduciary_duty_robo_adviser_loyalty

Difficulty: hard

Standard: Investment Advisers Act of 1940, Sections 206(1) and 206(2); SEC Interpretation Regarding Standard of Conduct for Investment Advisers (Release No. IA-5248, June 2019); Rule 206(4)-7 (Compliance Programs); SEC Guidance Update No. 2017-02 (Robo-Advisers); SEC v. Capital Gains Research Bureau, Inc., 375 U.S. 180 (1963); Form ADV Part 2A disclosure requirements under Rule 204-3

Source: 10_Academic_Articles

Fact Pattern

NovaTech Wealth Solutions LLC is an SEC-registered investment adviser that launched an AI-driven portfolio management platform called 'NovaBot' in March 2023. NovaBot provides fully automated investment recommendations, portfolio rebalancing, and financial planning guidance to retail clients with account balances ranging from \$5,000 to \$500,000. The platform was marketed as a 'digital fiduciary' that would 'always act in your best interest, just like a human financial adviser.' By January 2024, NovaBot had approximately 38,000 active client accounts managing roughly \$2.1 billion in aggregate assets.

NovaTech's business model relied heavily on revenue-sharing agreements with three affiliated mutual fund families -- Apex Growth Funds, Ridgeline Income Partners, and Cobalt ESG Series -- which collectively paid NovaTech 15 to 25 basis points in annual revenue-sharing fees on assets directed into their products. NovaBot's recommendation algorithm was designed by NovaTech's engineering team under instructions from the firm's Chief Revenue Officer, Priya Deshmukh, who directed the team to incorporate a 'revenue optimization layer' that systematically favored affiliated fund products over substantially similar, lower-cost alternatives. For example, NovaBot routinely recommended the Apex U.S. Large Cap Growth Fund (expense ratio 0.72%) to clients with moderate growth profiles instead of the Vanguard Growth Index Fund (expense ratio 0.04%), even when the client's stated objectives, risk tolerance, and tax situation made the lower-cost option clearly more suitable. Internal testing documents dated November 2023, authored by senior data engineer Marcus Reilly, showed that the revenue optimization layer increased NovaTech's annual revenue by approximately \$3.8 million while costing clients an estimated \$5.2 million in excess fees annually.

NovaTech's Form ADV Part 2A brochure, last amended in February 2023, disclosed in general terms that the firm 'may receive compensation from third-party fund providers' but did not disclose the existence of the revenue optimization layer, the specific magnitude of the revenue-sharing arrangements, or the fact that NovaBot's algorithm was engineered to prefer affiliated products. Client Margaret Okoye, a 61-year-old retired schoolteacher in Evanston, Illinois, opened a \$220,000 IRA rollover account with NovaBot in April 2023. Over the subsequent nine months, NovaBot allocated 68% of her portfolio to affiliated fund products, generating approximately \$290 in excess fees relative to comparable unaffiliated alternatives, and placed her in a more aggressive allocation than her conservative risk questionnaire answers warranted. NovaTech did not employ any human oversight mechanism to review NovaBot's recommendations for conflicts of interest or suitability before execution.

Question

Did NovaTech Wealth Solutions breach its fiduciary duties under the Investment Advisers Act of 1940 by deploying an AI recommendation system that systematically favored higher-cost affiliated fund products without adequate disclosure or conflict mitigation, and what are the regulatory implications?

Answer

NovaTech Wealth Solutions is in clear violation of its fiduciary obligations under the Investment Advisers Act of 1940. The analysis proceeds on multiple grounds.

First, as an SEC-registered investment adviser, NovaTech owes its clients fiduciary duties of loyalty and care under *SEC v. Capital Gains Research Bureau, Inc.*, 375 U.S. 180 (1963). The duty of loyalty requires an adviser to place its clients' interests ahead of its own and to make full and fair disclosure of all material conflicts of interest. The SEC's April 2019 Interpretation Regarding Standard of Conduct for Investment Advisers (IA-5248) reaffirmed that the duty of loyalty obligates an adviser to 'not place its own interests ahead of its client's interests' and to either eliminate or fully disclose and obtain informed consent for all material conflicts. NovaTech's deliberate engineering of a 'revenue optimization layer' into NovaBot -- which systematically steered client assets into higher-cost affiliated products generating \$3.8 million in additional firm revenue at a \$5.2 million annual cost to clients -- constitutes a textbook breach of the duty of loyalty. The conflict was embedded in the algorithm by design under the direction of the Chief Revenue Officer, demonstrating that NovaTech prioritized its own financial interests over clients' interests.

Second, NovaTech's disclosure was materially deficient. Under Section 206(1) and 206(2) of the Advisers Act, an adviser may not employ any device, scheme, or artifice to defraud clients or engage in practices that operate as a fraud or deceit. The firm's Form ADV Part 2A disclosed only generic third-party compensation in vague terms, failing to reveal the algorithmic preference mechanism, the specific revenue-sharing magnitudes, or the quantifiable impact on client costs. The SEC's 2019 Interpretation makes clear that disclosure must be 'sufficiently specific' so that a client can provide informed consent; boilerplate language is insufficient.

Third, NovaTech breached its duty of care. The SEC Interpretation and Rule 206(4)-7 (compliance programs) require advisers to provide advice in the client's best interest, including a reasonable investigation into investment recommendations. Regarding Margaret Okoye specifically, NovaBot overrode her conservative risk questionnaire results with a more aggressive allocation, violating the duty to provide suitable, personalized advice. The absence of any human oversight or supervisory review mechanism over the AI's recommendations further violates the adviser's obligation under Rule 206(4)-7 to adopt and implement written compliance policies and procedures reasonably designed to prevent violations.

NovaTech cannot defend on the basis that AI-driven recommendations are somehow outside the fiduciary framework. The SEC's 2017 Guidance Update on robo-advisers explicitly states that automated advisers owe the same fiduciary duties as human advisers and must adequately address conflicts of interest in their algorithms. As the academic literature -- including the source paper's analysis of applying fiduciary duties of loyalty to AI systems -- emphasizes, the power and information asymmetry between an opaque algorithmic system and a retail client heightens, rather than diminishes, the fiduciary obligation.

The pivotal violation is the intentional algorithmic engineering of conflicted recommendations without adequate disclosure or mitigation, combined with the complete absence of human supervisory review.

Key Factor

NovaTech intentionally embedded a revenue optimization layer into its AI recommendation algorithm that systematically favored higher-cost affiliated products over clients' interests, while failing to provide sufficiently specific disclosure of this material conflict to clients.

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COMPLIANT

Topic: erisa_duty_of_prudence_alternative_investments

Difficulty: hard

Standard: ERISA §404(a)(1)(A) (duty of loyalty); ERISA §404(a)(1)(B) (duty of prudence); ERISA §502(a)(2) (civil enforcement); Fifth Third Bancorp v. Dudenhoeffer, 573 U.S. 409 (2014); Anderson v. Intel Corp. Investment Policy Committee, No. 22-16268 (9th Cir. 2025); Fed. R. Civ. P. 12(b)(6); Bell Atl. Corp. v. Twombly, 550 U.S. 544 (2007)

Source: 11_Case_Law

Fact Pattern

Meridian Technologies, Inc. is a publicly traded semiconductor company headquartered in Portland, Oregon, with approximately 22,000 employees. Meridian sponsors two ERISA-governed defined contribution retirement plans: the Meridian 401(k) Savings Plan (with \$4.2 billion in assets as of December 2023) and the Meridian Retirement Contribution Plan (with \$1.8 billion in assets). Both plans are overseen by the Meridian Investment Policy Committee (IPC), a five-member body chaired by CFO Sandra Reeves, with members including Treasurer Paul Nakamura, VP of Human Resources Diane Kolberg, outside investment consultant Dr. Aaron Whitfield (a professor of finance at Stanford), and independent trustee Margaret Liu, a former SEC commissioner.

In Q2 2021, after a 14-month evaluation process documented in detailed meeting minutes, the IPC approved an allocation of up to 12% of total plan assets to alternative investments, including hedge fund-of-funds vehicles managed by Bridgewater Capital Partners and a private equity fund-of-funds administered by Hamilton Lane. The IPC retained Aon Investments as an independent investment consultant, which provided quarterly performance reports, fee analyses, and risk assessments. The hedge fund allocation carried a management fee of 1.2% plus a 15% performance fee, while the private equity allocation charged 0.85% in management fees plus 12% carried interest. At the time of allocation, the IPC reviewed academic literature on alternatives in defined contribution plans, analyzed the specific fee structures against median fees for comparable institutional alternative investment vehicles, and stress-tested the portfolio under multiple macroeconomic scenarios.

In March 2024, plan participant Robert Haskell, a senior process engineer who had been contributing to both plans since 2009, filed a putative class action in the U.S. District Court for the District of Oregon alleging that the IPC breached its fiduciary duty of prudence under ERISA §404(a)(1)(B) by investing in hedge funds and private equity funds that were excessively risky, illiquid, and expensive compared to passively managed index funds. Haskell alleged that over the period from Q3 2021 through Q4 2023, the plans' total return was 6.8% annualized, while a hypothetical portfolio consisting entirely of Vanguard target-date funds and S&P 500 index funds would have returned 9.1% annualized. Haskell did not allege any specific deficiency in the IPC's deliberative process, did not identify any comparable defined contribution plan that declined to invest in alternatives after a similar evaluation, and did not allege that the IPC failed to monitor the alternative investments on an ongoing basis. Haskell also alleged a breach of the duty of loyalty under ERISA §404(a)(1)(A), claiming that Meridian's corporate venture capital division, Meridian Ventures, had co-invested alongside one of the underlying funds in the Hamilton Lane vehicle in a Series C round for a cybersecurity startup called ShieldAI, creating a conflict of interest. Haskell did not allege that any IPC member had a personal financial interest in ShieldAI or that the Hamilton Lane fund's investment in ShieldAI was directed by anyone at Meridian.

Question

Under the Ninth Circuit's framework as articulated in *Anderson v. Intel Corp. Investment Policy Committee*, did Haskell

state a plausible claim for breach of the duty of prudence or duty of loyalty sufficient to survive a motion to dismiss?

Answer

Under the framework established in *Anderson v. Intel Corp. Investment Policy Committee* (9th Cir. 2025), Haskell's complaint would likely fail to survive a motion to dismiss on both the duty of prudence and duty of loyalty claims.

Duty of Prudence (ERISA §404(a)(1)(B)): The Ninth Circuit held that ERISA's duty of prudence is evaluated prospectively--based on the methods the fiduciaries employed--not retrospectively based on investment results. Under *Fifth Third Bancorp v. Dudenhoeffer*, 573 U.S. 409 (2014), and its progeny, a plaintiff must provide 'factual enhancement' beyond merely alleging that a different investment strategy would have produced better returns. The *Anderson* court specifically required plaintiffs to provide 'a sound basis for comparison' when relying on the theory that a prudent fiduciary would have selected different funds.

Haskell's complaint suffers from the same deficiencies identified in *Anderson*. First, his comparison of the plans' 6.8% return to a hypothetical all-index-fund portfolio returning 9.1% is a classic retrospective performance comparison that does not account for the different risk-return profiles, diversification objectives, or inflation-hedging characteristics that motivated the alternative investment allocation. The Ninth Circuit explicitly held that 'it is not enough for a plaintiff simply to allege that the fiduciaries could have obtained better results.' Second, Haskell makes only 'general arguments about the riskiness and costliness of hedge funds and private equity funds' without alleging facts suggesting these specific allocations were ill-suited to the Meridian plans' particular investment objectives. Third, Haskell fails to allege any deficiency in the IPC's actual deliberative process--the IPC conducted a 14-month evaluation, retained an independent investment consultant (Aon), reviewed academic literature, analyzed comparative fee structures, and conducted stress testing. Without allegations that the process itself was flawed, the retrospective underperformance comparison alone is insufficient to state a plausible claim.

Duty of Loyalty (ERISA §404(a)(1)(A)): The *Anderson* court held that a plaintiff must 'plausibly allege a real conflict of interest, rather than the mere potential for a conflict of interest.' Haskell alleges only that Meridian Ventures co-invested alongside one underlying fund in the Hamilton Lane vehicle. He does not allege that any IPC member had a personal financial stake, that anyone at Meridian directed the Hamilton Lane fund's investment decisions, or that the IPC's selection of Hamilton Lane was motivated by the co-investment relationship. This alleges, at most, a theoretical potential for conflict--precisely what *Anderson* found insufficient.

The motion to dismiss should be granted. The IPC's conduct appears compliant with ERISA fiduciary standards.

Key Factor

The plaintiff alleged only retrospective underperformance and generalized criticisms of alternative asset classes without identifying any specific deficiency in the fiduciaries' documented deliberative process or establishing a meaningful benchmark comparison, which is insufficient to state a plausible duty-of-prudence claim under the Ninth Circuit's *Anderson* framework.

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NON-COMPLIANT

Topic: fiduciary_duty_representative_diversion_of_resident_funds

Difficulty: hard

Standard: 42 U.S.C. § 1396r(c)(5)(A)(ii) and (B)(ii); 42 C.F.R. § 483.15(a)(3); Ohio Admin. Code 5160-3-02(C)(4); Ohio Consumer Sales Practices Act R.C. Chapter 1345; Vesper v. Otterbein Lebanon, 2021-Ohio-4545 (12th Dist.)

Source: 11_Case_Law

Fact Pattern

Harold Brinkman, age 84, was admitted to Pinehurst Senior Living Community in Hamilton County, Ohio, on March 3, 2018, for long-term skilled nursing care. His monthly care costs totaled \$7,450. Harold's daughter, Janet Brinkman-Cole, age 56, signed Pinehurst's Residency Agreement as 'Representative,' a defined role in the agreement that imposed fiduciary obligations to manage Harold's funds for his care. Janet held a general durable power of attorney executed by Harold in 2016, which granted her broad authority over Harold's financial accounts, including his \$128,000 in savings at First National Bank, a \$1,400/month Social Security benefit, and a \$2,100/month pension from his former employer, Dayton Manufacturing Corp.

From March 2018 through December 2018, Janet properly directed Harold's Social Security and pension income to Pinehurst and coordinated with the facility's Medicaid specialist to submit a Medicaid application. Harold was approved for Medicaid coverage effective January 1, 2019, which covered all but a \$1,850 monthly patient liability amount. Janet was responsible for remitting that patient liability from Harold's income each month. However, beginning in February 2019, Janet began depositing Harold's pension checks into her own personal checking account at PNC Bank rather than remitting them to Pinehurst. Over the next 14 months, Janet diverted approximately \$29,400 in pension income that should have been applied to Harold's patient liability. She used these funds for personal expenses, including a \$12,500 down payment on a new vehicle and approximately \$16,900 in credit card payments.

Pinehurst's billing department sent Janet multiple written notices of the growing delinquency, totaling \$29,400 by April 2020. Janet responded by claiming she was 'working on getting the funds together' but never made any payments. In May 2020, Pinehurst filed suit against Janet in Hamilton County Court of Common Pleas under the Residency Agreement's 'Diversion of Resident's Resources' clause, which provided that if funds available to pay for the resident's care are 'withheld, misappropriated for personal use, or otherwise not turned over' to the facility, the Representative agrees to pay those amounts from her own resources. Janet defended by arguing that the Residency Agreement constituted an illegal third-party guarantee prohibited under 42 U.S.C. § 1396r(c)(5)(A)(ii) and Ohio Admin. Code 5160-3-02(C)(4).

Question

Did Janet Brinkman-Cole's diversion of Harold's pension income for personal use trigger personal liability under the Residency Agreement's 'Diversion of Resident's Resources' provision, or does federal and state law prohibiting third-party guarantees shield her from liability?

Answer

Janet Brinkman-Cole is personally liable under the Residency Agreement's 'Diversion of Resident's Resources' provision. Her defense under the federal and state anti-guarantee statutes fails.

Under 42 U.S.C. § 1396r(c)(5)(A)(ii) and (B)(ii), as well as 42 C.F.R. § 483.15(a)(3) and Ohio Admin. Code 5160-3-02(C)(4), nursing facilities are prohibited from requiring a third party to personally guarantee payment of a resident's charges as a condition of admission. However, as the Twelfth District Court of Appeals recognized in *Vesper v. Otterbein Lebanon*, 2021-Ohio-4545, these statutes and regulations do not prohibit a nursing facility from requiring a third party who has legal access to the resident's funds to enter into a contractual obligation to pay from those funds. The critical legal distinction is between a personal guarantee of charges (prohibited) and a fiduciary commitment to manage and apply the resident's own resources for the resident's care (permitted).

Here, the Residency Agreement did not impose personal liability on Janet for Harold's care costs generally. The agreement explicitly disclaimed personal liability for the resident's financial obligations consistent with federal and state law. Rather, the 'Diversion of Resident's Resources' clause created a conditional obligation: personal liability attaches only when the Representative diverts, withholds, or misappropriates the resident's funds that are otherwise available to pay for care. This is not a guarantee -- it is a contractual remedy for breach of fiduciary duty.

Janet represented to Pinehurst that she had legal access to Harold's income through the durable power of attorney. The agreement's 'Legal Authority to Access Resident's Funds' provision established that Pinehurst relied on this assertion. Janet then breached her fiduciary obligation under the 'Duty of Representative on Behalf of Resident' clause by diverting \$29,400 in pension income -- funds that were clearly available and should have been applied to Harold's patient liability -- into her personal account for personal expenditures.

The diversion clause specifically provides that when funds 'available to pay for the Resident's care are withheld, misappropriated for personal use, or otherwise not turned over,' the Representative 'agrees to pay those amounts to Otterbein from the Representative's own resources.' Janet's conduct -- depositing pension checks into her own account and spending them on a vehicle down payment and credit card debt -- constitutes textbook misappropriation for personal use. The \$29,400 diverted amount is therefore collectible from Janet's personal resources. The anti-guarantee statutes do not apply because Janet's liability arises not from guaranteeing Harold's debt but from her own tortious and contractual breach in misappropriating funds she was duty-bound to steward.

Key Factor

Janet diverted \$29,400 in pension income belonging to the resident into her personal account for personal use, triggering the Residency Agreement's 'Diversion of Resident's Resources' personal liability provision, which is legally distinct from a prohibited third-party guarantee.

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NON-COMPLIANT

Topic: suitability_excessive_trading_churning

Difficulty: hard

Standard: Section 10(b) of the Securities Exchange Act of 1934, 15 U.S.C. § 78j(b); Rule 10b-5, 17 C.F.R. § 240.10b-5; Sections 17(a)(1), 17(a)(2), and 17(a)(3) of the Securities Act of 1933, 15 U.S.C. § 77q(a); FINRA Rule 2111 (Suitability); Section 21(d)(3) of the Exchange Act, 15 U.S.C. § 78u(d)(3) (civil penalties); 28 U.S.C. § 2462 (statute of limitations)

Source: 11_Case_Law

Fact Pattern

Marcus Delano, a registered representative at Praetorian Securities Inc. in New York City from March 2013 through December 2019, managed discretionary and non-discretionary brokerage accounts for approximately 14 retail customers. Among his clients were Evelyn Hartfield, a 72-year-old retired schoolteacher with \$340,000 in savings and a stated objective of capital preservation and modest income, and Robert Quinlan, a 58-year-old small business owner with \$520,000 in investable assets and a moderate growth objective with a medium risk tolerance. Both clients signed new account forms reflecting these conservative-to-moderate profiles.

Beginning in mid-2016, Delano implemented what he described to clients as an 'event-driven catalyst strategy' involving frequent trading in equity options, leveraged ETFs, and small-cap equities surrounding earnings announcements, FDA decisions, and merger activity. In Hartfield's account, the annualized turnover ratio exceeded 18.5, and the cost-to-equity ratio was approximately 31.2% over a 28-month period from June 2016 to October 2018. In Quinlan's account, the turnover ratio was 14.7 with a cost-to-equity ratio of 26.8% over the same period. Hartfield's account lost \$187,400, while Quinlan's lost \$143,600. Meanwhile, Delano generated approximately \$214,000 in gross commissions across both accounts.

In several instances, Delano executed trades in Hartfield's account without her prior authorization, including a \$45,000 purchase of out-of-the-money call options on a biotech stock ahead of an FDA ruling. Hartfield testified that she never authorized options trading and did not understand what options were. Delano told Quinlan the strategy was 'conservative hedging,' though internal emails between Delano and a colleague described it as 'aggressive directional bets.' Praetorian's compliance department flagged the turnover rates in August 2017 but took no action beyond sending Delano a written reminder about suitability obligations. In January 2020, the SEC filed an enforcement action against Delano alleging violations of Section 10(b) of the Securities Exchange Act, Rule 10b-5, and Sections 17(a)(1)-(3) of the Securities Act of 1933. Delano's counsel argued that the suitability claim was subsumed by the churning claim and could not stand as a separate theory, and that the SEC needed direct customer testimony from every affected customer to prove unauthorized trading.

Question

Did Delano's conduct constitute separate violations for both churning and suitability under the antifraud provisions of the federal securities laws, and were the SEC's claims regarding unauthorized trading properly supported even absent testimony from every defrauded customer?

Answer

Delano's conduct constitutes actionable violations on both churning and suitability theories, and the SEC's unauthorized trading claims are not deficient for lack of universal customer testimony. This conclusion follows directly from the

Second Circuit's reasoning in *SEC v. Fowler*, No. 20-1081-cv (2d Cir. 2021).

First, regarding the distinction between churning and suitability: churning requires proof that (1) the broker controlled the account, (2) trading was excessive in light of the customer's objectives, and (3) the broker acted with scienter. See *Caiola v. Citibank, N.A.*, 295 F.3d 312, 324 (2d Cir. 2002). A suitability claim, by contrast, requires that the broker knew or reasonably believed that the recommended securities or strategy were unsuitable for the customer given the customer's stated investment objectives, yet recommended them anyway. See *In re Am. Express Fin. Advisors Sec. Litig.*, 672 F.3d 113, 121 n.3 (2d Cir. 2011). As the *Fowler* court held, excessive trading can independently support both a churning claim and a suitability claim -- they are distinct theories with overlapping but not identical elements. Here, the event-driven catalyst strategy involving leveraged ETFs and out-of-the-money options was fundamentally unsuitable for Hartfield's capital preservation objective and arguably for Quinlan's moderate growth profile, irrespective of trading frequency. The annualized turnover ratios of 18.5 and 14.7, and cost-to-equity ratios of 31.2% and 26.8% respectively, far exceed the thresholds courts have found indicative of excessive trading, typically turnover ratios above 6.0 and cost-to-equity ratios above 20%. This evidence supports both the churning theory (excessive volume for commission generation) and the suitability theory (the strategy itself was inappropriate).

Second, Delano's argument that direct customer testimony is required from every affected customer to prove unauthorized trading fails under *Fowler*. The Second Circuit held that unauthorized trading may be proved through circumstantial evidence, including account records, internal communications, new account documentation, and testimony from compliance personnel or other witnesses. Hartfield's testimony that she never authorized options trading, combined with documentary evidence such as the new account forms reflecting conservative objectives and the internal emails characterizing the strategy as 'aggressive directional bets,' is sufficient.

The civil penalties properly reflect the number of defrauded customers under Section 21(d)(3) of the Exchange Act, 15 U.S.C. § 78u(d)(3), which permits tiered penalties that may be calculated per violation or per affected customer. Delano's violations of Section 10(b), Rule 10b-5, and Sections 17(a)(1)-(3) of the Securities Act are each independently established. Praetorian's failure to act on its compliance flag does not exculpate Delano, whose personal scienter is demonstrated by the mischaracterization of the strategy and the unauthorized trades.

Key Factor

Delano recommended and implemented a high-frequency, speculative event-driven trading strategy that was fundamentally unsuitable for customers with conservative-to-moderate investment objectives, generating excessive commissions while causing substantial customer losses.

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COMPLIANT

Topic: erisa_fiduciary_duty_service_provider_fee_negotiation

Difficulty: hard

Standard: ERISA §3(21)(A), 29 U.S.C. §1002(21)(A) (definition of fiduciary); ERISA §404(a)(1), 29 U.S.C. §1104(a)(1) (prudence and loyalty duties of plan fiduciaries); ERISA §406, 29 U.S.C. §1106 (prohibited transactions); Santomenno v. Transamerica Life Ins. Co., 883 F.3d 833 (9th Cir. 2018); Hecker v. Deere & Co., 556 F.3d 575 (7th Cir. 2009)

Source: 11_Case_Law

Fact Pattern

Pinnacle Insurance Company ('Pinnacle') is an insurance company headquartered in Hartford, Connecticut, that offers group annuity contracts used to fund employer-sponsored 401(k) plans. In March 2019, Greenfield Manufacturing, Inc. ('Greenfield'), a mid-sized auto parts manufacturer with 2,200 employees and approximately \$185 million in total plan assets, began seeking a new retirement plan recordkeeper and investment platform provider. Greenfield's VP of Human Resources, Sandra Whitfield, who served as the named plan fiduciary, solicited proposals from four providers, including Pinnacle.

During arm's-length negotiations between January and April 2019, Pinnacle proposed a bundled service arrangement under which it would provide recordkeeping, participant communication services, and a proprietary investment platform of 28 mutual fund options. Pinnacle's compensation structure, which was fully disclosed in a 47-page service agreement signed on May 15, 2019, included: (1) a per-participant annual recordkeeping fee of \$42; (2) an annual platform maintenance fee of 0.12% of plan assets; and (3) revenue-sharing payments ranging from 10 to 35 basis points paid by the underlying fund managers to Pinnacle. The revenue-sharing arrangement was itemized in Schedule C of the agreement and disclosed in the plan's Form 5500 filing. All fees were definitively calculable and nondiscretionary--meaning Pinnacle had no authority to adjust them unilaterally.

In September 2021, plan participant Marcus Jennings, a machinist who had been contributing 8% of his \$67,000 annual salary to the plan since 2016, filed suit on behalf of himself and a putative class of 1,850 participants. Jennings alleged that Pinnacle breached its ERISA fiduciary duties in two ways: first, by negotiating excessive fees during the pre-contract period; and second, by withdrawing the contractually specified fees from plan assets each quarter after becoming the plan's service provider. Jennings pointed to lower-cost alternatives available from competitors and argued that the revenue-sharing payments from fund managers constituted undisclosed self-dealing. Pinnacle moved to dismiss, arguing it was not acting as an ERISA fiduciary during either the negotiation phase or the fee-collection phase.

Greenfield's plan committee had reviewed and approved the fee structure annually, and the service agreement explicitly authorized Pinnacle to deduct the stated fees from plan assets quarterly. The revenue-sharing payments flowed from the fund managers' own revenues to Pinnacle and were never drawn from plan assets. No allegations were made that Pinnacle exercised any discretionary authority over plan management or asset disposition beyond collecting its pre-set contractual compensation.

Question

Did Pinnacle breach its ERISA fiduciary duties either by negotiating its fees with Greenfield prior to becoming a plan service provider, or by withdrawing its contractually predetermined, nondiscretionary fees from plan assets after becoming the provider?

Answer

Pinnacle did not breach its ERISA fiduciary duties in either the pre-contract negotiation phase or the post-contract fee-collection phase, and its motion to dismiss should be granted.

First, regarding the pre-contract negotiations: Under ERISA §3(21)(A), 29 U.S.C. §1002(21)(A), a person is a fiduciary only to the extent they exercise discretionary authority or control over plan management or administration, exercise authority or control over plan assets, or render investment advice for a fee. When Pinnacle was negotiating fees with Greenfield, it had not yet become a plan service provider and was dealing at arm's length with a prospective customer. As the Ninth Circuit held in *Santomenno v. Transamerica Life Insurance Co.* (2018), joining the Third, Seventh, and other circuits, a plan service provider is not an ERISA fiduciary when negotiating its compensation with a prospective employer-customer. At the negotiation stage, Pinnacle had no relationship to the plan, exercised no discretionary authority over plan assets or administration, and owed no fiduciary obligation to participants. The fact that Pinnacle may have proposed fees higher than competitors is irrelevant--arm's-length bargaining over future compensation does not trigger fiduciary status.

Second, regarding the revenue-sharing payments: These payments flowed from fund managers' own revenues to Pinnacle and were fully disclosed in the service agreement and Form 5500. Because the payments did not come from plan assets and were transparently disclosed to the plan fiduciary (Sandra Whitfield) before the agreement was executed, Pinnacle did not exercise discretionary authority or control over plan assets under ERISA §3(21)(A). This is consistent with the *Santomenno* court's reasoning that disclosed revenue-sharing from third parties does not convert a service provider into a fiduciary.

Third, regarding the quarterly withdrawal of fees from plan assets: When a service provider's compensation is definitively calculable, nondiscretionary, and clearly set forth in a contract signed by the fiduciary-employer, the mere act of collecting those fees in strict adherence to the contractual terms does not constitute an exercise of discretionary authority or control over plan assets. See *Santomenno*, citing parallel reasoning from the Seventh Circuit in *Hecker v. Deere & Co.*, 556 F.3d 575 (7th Cir. 2009). Pinnacle's quarterly deductions of \$42 per participant and 0.12% of plan assets were mechanistic applications of predetermined contractual provisions approved by Greenfield's plan committee. This ministerial fee collection does not rise to the level of fiduciary conduct under ERISA.

Jennings's claim that lower-cost alternatives existed does not alter the analysis. The duty to select a cost-effective provider and monitor fees belongs to the plan fiduciary--Greenfield and its plan committee under ERISA §404(a)(1)--not to the service provider itself. The complaint should be dismissed.

Key Factor

Pinnacle's fees were definitively calculable, nondiscretionary, and fully disclosed in a contract negotiated at arm's length with the employer-fiduciary, meaning neither the pre-contract negotiations nor the mechanical collection of those fees constituted the exercise of discretionary authority sufficient to trigger ERISA fiduciary status.

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NON-COMPLIANT

Topic: fiduciary_duty_reasonable_care_california

Difficulty: hard

Standard: California common law fiduciary duty (CACI No. 4100 et seq.); Investment Advisers Act of 1940 §§ 206(1), 206(2); SEC v. Capital Gains Research Bureau, Inc., 375 U.S. 180 (1963); Roditi v. New River Investments Inc., No. 3:20-cv-01908-RBM-MSB (S.D. Cal. 2023)

Source: 11_Case_Law

Fact Pattern

Elena Vasquez, age 67, and her husband Carlos Vasquez, age 70, are retired schoolteachers residing in San Diego, California. In March 2019, they engaged Coastal Ridge Financial Advisors Inc., a California-registered investment adviser, and its principal, Derek Halloran, CFA, to manage their combined retirement savings of \$1.85 million. The Vasquez couple completed an intake questionnaire indicating a conservative risk tolerance, a primary objective of capital preservation with modest income generation, and a 10-year investment horizon. They explicitly stated they could not afford to lose more than 10% of their portfolio value.

Between April 2019 and January 2020, Halloran allocated approximately 55% of the Vasquez portfolio--roughly \$1,017,500--into a concentrated position of three high-yield emerging market bond funds and two leveraged REIT ETFs. These instruments carried significant credit and interest rate risk, and the leveraged REIT ETFs had annualized volatility exceeding 30%. Halloran did not document any updated suitability analysis or investment policy statement reflecting these allocations. He also failed to conduct ongoing monitoring of the portfolio's risk exposure relative to the clients' stated objectives. During this period, Halloran's firm received 12(b)-1 fees and revenue-sharing payments from two of the three emerging market bond fund sponsors, which were disclosed only in a general ADV Part 2A brochure but never specifically discussed with the Vasquezes.

When the COVID-19 market downturn hit in March 2020, the Vasquez portfolio lost approximately \$482,000--a 26% decline--significantly exceeding both the benchmark loss for a conservative portfolio and the couple's stated risk tolerance. The Vasquezes filed a complaint alleging breach of fiduciary duty, including failure to exercise reasonable care in managing the portfolio, failure to disclose material conflicts of interest, and breach of the duty of loyalty. Coastal Ridge and Halloran defended by arguing that the plaintiffs' complaint only alleged breach of fiduciary duty in general terms and never specifically pled a 'failure to use reasonable care' as a standalone claim, and that losses were caused solely by extraordinary, unforeseeable market conditions. They also argued that reasonable care is a negligence standard inapplicable to fiduciary duty claims.

Question

Under California law and applicable federal standards, does the Vasquezes' claim for breach of fiduciary duty against Coastal Ridge and Halloran properly encompass a claim for failure to exercise reasonable care, and did the adviser's conduct violate the applicable standard of care?

Answer

The Vasquezes' breach of fiduciary duty claim properly encompasses a claim for failure to exercise reasonable care, and Halloran's conduct constitutes a violation of both California fiduciary duty law and the Investment Advisers Act of 1940 § 206.

Under California law, as articulated in the *Roditi v. New River Investments* line of reasoning and reflected in CACI No. 4100 et seq., a claim for breach of fiduciary duty is not a monolithic cause of action--it gives rise to multiple constituent duties, including the duty of care, the duty of loyalty, and the duty of disclosure. The duty of reasonable care is an inherent element of a fiduciary duty claim, not a separate negligence cause of action that must be independently pled. As the court in *Roditi* recognized, defendants cannot defeat a fiduciary duty claim simply by arguing that 'reasonable care' was not expressly labeled as a standalone count. The fiduciary standard applicable to investment advisers in California imposes a heightened duty of care exceeding ordinary negligence, requiring the adviser to act with the skill, prudence, and diligence that a reasonably competent financial adviser would exercise under similar circumstances.

Here, Halloran owed fiduciary duties under both California common law and Investment Advisers Act § 206(1) and (2), which prohibit advisers from employing any device, scheme, or artifice to defraud clients, or engaging in any transaction, practice, or course of business which operates as a fraud or deceit. See *SEC v. Capital Gains Research Bureau, Inc.*, 375 U.S. 180 (1963). Halloran's allocation of 55% of a conservative retiree portfolio into high-yield emerging market bonds and leveraged REIT ETFs--without documenting an updated investment policy statement, without conducting ongoing risk monitoring, and without meaningfully disclosing revenue-sharing conflicts--falls well below the standard of reasonable care expected of a fiduciary adviser.

The defense that market losses were solely attributable to unforeseeable COVID-19 conditions fails because the duty of care analysis focuses on the prudence of the investment process at the time of the decision, not solely on outcomes. An adviser managing a conservative portfolio for clients who explicitly stated they could not absorb more than a 10% loss had an affirmative obligation to construct a portfolio with risk characteristics consistent with that constraint. A 55% allocation to volatile, high-risk instruments for a 67- and 70-year-old conservative couple is facially unreasonable regardless of subsequent market events. Additionally, the failure to specifically disclose the 12(b)-1 and revenue-sharing conflicts associated with the selected funds constitutes a breach of the duty of loyalty and disclosure under both California fiduciary law and Advisers Act § 206(2).

The adviser's conduct is non-compliant and constitutes a breach of fiduciary duty encompassing the failure to exercise reasonable care.

Key Factor

The adviser allocated 55% of a conservative retiree portfolio to high-volatility, high-risk instruments without documenting a suitability analysis, conducting ongoing risk monitoring, or meaningfully disclosing revenue-sharing conflicts, thereby breaching the duty of reasonable care inherent in the fiduciary relationship.

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NON-COMPLIANT

Topic: alt_investment_complex_product_supervision

Difficulty: hard

Standard: SEC Regulation Best Interest (Rule 15l-1(a)(1), (a)(2)(i)-(iv)); FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 12-03 (Complex Products); Investment Advisers Act of 1940 §§206(1), 206(2); SEC Release IA-5248

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Westridge Capital Partners, LLC is a dual-registered broker-dealer and investment adviser based in Denver, Colorado, with approximately \$480 million in assets under management across 1,200 retail customer accounts. In March 2022, the firm's product committee approved the addition of EquityBridge Interval Fund, a non-traded closed-end interval fund investing primarily in mezzanine debt, CLO equity tranches, and distressed commercial real estate loans. The fund carried a 5.75% upfront sales load, a 2.15% annual management fee, a 1.50% annual distribution fee, quarterly repurchase offers limited to 5% of outstanding shares, and a minimum three-year recommended holding period. The fund's private placement memorandum disclosed substantial illiquidity risk, credit risk, and potential for total loss of principal.

Starting in April 2022, registered representative Derek Halloran began recommending the EquityBridge Interval Fund to a broad segment of his book, including Margaret Chen, a 71-year-old retired schoolteacher with a \$310,000 IRA, a moderate risk tolerance profile, a stated investment objective of 'income with capital preservation,' and an annual income of \$42,000 from Social Security and a small pension. Halloran recommended that Chen invest \$155,000 -- exactly 50% of her IRA -- into the EquityBridge fund, telling her it was 'like a bond fund but with better yields.' He did not explain the interval fund redemption structure, the illiquidity constraints, the CLO equity exposure, or the layered fee structure. Chen signed the subscription documents on April 18, 2022.

Westridge's supervisory procedures for alternative investments required a principal review of all transactions exceeding \$50,000 or 25% of a customer's liquid net worth in non-traded products. However, the firm's designated reviewing principal, Lisa Merriam, approved Halloran's recommendation after reviewing only the customer's signed account documents and the product's marketing summary -- not the PPM, Chen's financial profile in detail, or the concentration level. The firm's written supervisory procedures (WSPs) did not include specific suitability criteria for interval funds, did not require an enhanced due diligence questionnaire for customers over age 65, and did not require documentation of product-specific risk disclosures to customers. The firm had not updated its WSPs since 2019 despite adding seven new alternative products in the intervening period.

Question

Did Westridge Capital Partners and registered representative Derek Halloran comply with their obligations under Regulation Best Interest, FINRA suitability rules, and supervisory requirements in recommending the EquityBridge Interval Fund to Margaret Chen?

Answer

No. Both Halloran and Westridge Capital Partners violated multiple regulatory obligations. The analysis proceeds along four dimensions: Reg BI's component obligations, FINRA conduct rules, and supervisory failures.

First, under SEC Regulation Best Interest (Rule 15l-1(a)(1)), a broker-dealer must act in the retail customer's best interest at the time of the recommendation and may not place its own interest ahead of the customer's. Reg BI imposes four component obligations: Disclosure, Care, Conflict of Interest, and Compliance.

Regarding the Care Obligation (Rule 15l-1(a)(2)(ii)), Halloran was required to exercise reasonable diligence, care, and skill to understand the product's risks, costs, and features; to develop a reasonable basis for believing the recommendation was in Chen's best interest considering her investment profile; and to evaluate concentration risk. Halloran failed on all three prongs. He characterized a complex interval fund with CLO equity and distressed debt exposure as 'like a bond fund,' demonstrating either a fundamental misunderstanding of the product or a material misrepresentation. The 50% concentration in a single illiquid product for a 71-year-old retiree with modest income and a capital preservation objective is facially unreasonable. The fund's three-year holding period and 5% quarterly repurchase limitation created severe liquidity mismatches with Chen's likely need for retirement income and capital access.

Regarding the Disclosure Obligation (Rule 15l-1(a)(2)(i)), Halloran failed to disclose material facts about the interval fund structure, redemption limitations, layered fees (totaling approximately 9.40% in the first year including the load), and the nature of underlying CLO equity and distressed debt holdings. This omission is independently violative.

Under the Compliance Obligation (Rule 15l-1(a)(2)(iv)), Westridge failed to establish, maintain, and enforce reasonably designed written policies and procedures. The firm's WSPs had not been updated since 2019, contained no interval fund-specific criteria, lacked age-based enhanced review requirements, and did not mandate product-specific risk disclosure documentation. This violates FINRA Rule 3110(a) and (b), which require firms to establish and maintain supervisory systems and WSPs reasonably designed to achieve compliance.

Further, reviewing principal Lisa Merriam's approval based solely on signed account documents and marketing materials -- without reviewing Chen's detailed financial profile, the PPM, or the concentration level -- constitutes a failure of supervisory review under FINRA Rule 3110. FINRA Regulatory Notice 12-03 specifically addresses heightened supervision for complex products, stating firms must ensure registered representatives understand product features before recommending them and must perform a reasonable-basis suitability analysis at the firm level.

Additionally, under Investment Advisers Act §206(1) and (2), to the extent Westridge acted in an advisory capacity through its dual registration, the misleading characterization and omission of material product risks constitute a breach of fiduciary duty.

No viable defense exists. The signed subscription documents do not cure the disclosure and care failures, as Reg BI imposes affirmative obligations beyond mere document execution.

Key Factor

Halloran recommended a 50% IRA concentration in a complex, illiquid interval fund to a 71-year-old retiree with a capital preservation objective without disclosing the product's illiquidity constraints, layered fees, or underlying CLO equity and distressed debt exposure, while the firm's outdated supervisory procedures failed to require enhanced review for complex alternative products.

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NON-COMPLIANT

Topic: robo_adviser_suitability_questionnaire_deficiency

Difficulty: hard

Standard: Investment Advisers Act of 1940 §§206(1), 206(2), and Rule 206(4)-7; SEC IM Guidance Update No. 2017-02 (Robo-Advisers); SEC Release IA-5248

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

WealthPath Digital Advisors, LLC ("WealthPath"), a registered investment adviser based in Austin, Texas, launched its robo-advisory platform in March 2021. WealthPath's platform uses an algorithm-driven model to construct diversified ETF portfolios for retail clients, charging a flat annual fee of 0.25% on assets under management. As of September 2023, WealthPath manages approximately \$840 million across 32,000 client accounts.

WealthPath's onboarding process consists of a five-question digital questionnaire administered through its mobile application. The questions ask: (1) the client's age, (2) annual household income range, (3) whether the client's investment goal is 'growth,' 'income,' or 'balanced,' (4) a single risk-tolerance question asking whether the client would prefer to 'stay the course,' 'reduce exposure,' or 'invest more' during a market downturn, and (5) the client's estimated time horizon selected from three options: 'less than 3 years,' '3-10 years,' or 'more than 10 years.' The questionnaire does not ask about existing investment holdings outside the platform, total net worth, liquidity needs, tax situation, or specific financial obligations such as outstanding debts or anticipated major expenses.

In November 2023, Margaret Chen, a 61-year-old recently widowed retiree in Scottsdale, Arizona, opened an account with WealthPath and deposited \$475,000 -- representing approximately 80% of her liquid net worth. She selected 'growth' as her investment goal, 'more than 10 years' as her time horizon, and indicated she would 'stay the course' during downturns. Based solely on these responses, WealthPath's algorithm placed her in a 90% equity / 10% fixed-income portfolio heavily weighted toward small-cap and international growth ETFs. WealthPath's platform provided no mechanism for Ms. Chen to disclose that she had \$38,000 in credit card debt, that her only other assets were a \$120,000 IRA with another institution, or that she would need to begin drawing \$3,500 per month from her WealthPath account within 18 months to cover living expenses after her late husband's pension benefits terminated.

WealthPath's compliance program, overseen by Chief Compliance Officer Derek Rawlings, had not been updated since the firm's initial launch. The firm's written policies and procedures contained a generic reference to 'gathering sufficient client information' but did not specify what data points the algorithm required, how the questionnaire was designed or validated, or what steps should be taken if client responses appeared internally inconsistent. WealthPath did not employ or contract with any investment advisory personnel to review flagged accounts or follow up with clients whose profiles suggested heightened risk. The firm had no process for periodic re-evaluation of client questionnaire responses or portfolio suitability.

Question

Did WealthPath Digital Advisors satisfy its fiduciary duty under the Investment Advisers Act of 1940 to obtain sufficient client information to support suitable investment advice for Margaret Chen?

Answer

WealthPath did not satisfy its fiduciary obligations. Under Sections 206(1) and 206(2) of the Investment Advisers Act of

1940, a registered investment adviser owes a fiduciary duty to its clients, which encompasses the obligation to provide advice that is suitable in light of each client's financial situation and investment objectives. IM Guidance Update No. 2017-02 specifically addresses robo-advisers and identifies as a core consideration 'the obligation to obtain information from clients to support the robo-adviser's duty to provide suitable advice.'

The Guidance Update makes clear that robo-advisers must design their questionnaires and information-gathering tools to elicit sufficient information to form a reasonable basis for providing suitable investment advice. The Staff noted that some robo-advisers 'rely solely on questionnaires of varying lengths to obtain information from their clients,' but emphasized that whatever method is used, it must be adequate to support the adviser's fiduciary obligation. Where a robo-adviser provides limited or no human interaction, the questionnaire itself becomes the sole mechanism through which the adviser discharges this duty, making its comprehensiveness critically important.

WealthPath's five-question questionnaire was materially deficient. It failed to collect information about Ms. Chen's total net worth, existing holdings at other institutions, liquidity needs, outstanding debts, tax considerations, or anticipated cash flow requirements. These are precisely the types of data points that an adviser needs to construct a suitable portfolio. Without knowledge of Ms. Chen's \$38,000 in credit card debt, her limited total liquid assets, and her imminent need to withdraw \$3,500 monthly, WealthPath's algorithm placed her in an aggressive 90% equity portfolio -- a plainly unsuitable allocation for a 61-year-old retiree who would need significant near-term liquidity and capital preservation.

Moreover, the Guidance Update specifically addresses compliance programs, stating that robo-advisers should adopt and implement effective compliance programs 'reasonably designed to address particular concerns relevant to providing automated advice.' Under Rule 206(4)-7 of the Advisers Act, every registered adviser must adopt written policies and procedures reasonably designed to prevent violations. WealthPath's compliance program failed on multiple fronts: it contained only generic language about information gathering, did not specify or validate the questionnaire's adequacy, established no process for flagging internally inconsistent client profiles, provided no mechanism for human review of high-risk accounts, and was never updated after launch. CCO Rawlings's failure to address these deficiencies compounds the violation.

WealthPath cannot defend itself by arguing that Ms. Chen voluntarily selected 'growth' and a long time horizon. The fiduciary duty runs to the adviser, not the client, and WealthPath had an affirmative obligation to design its platform to gather the information necessary to identify when a client's self-reported preferences may be inconsistent with their actual financial circumstances. The firm's systemic failure to collect adequate client data constitutes a violation of Sections 206(1), 206(2), and Rule 206(4)-7 under the Advisers Act.

Key Factor

WealthPath's onboarding questionnaire failed to collect critical financial information -- including total net worth, liquidity needs, outstanding debts, and near-term cash flow requirements -- rendering the algorithm incapable of generating suitable investment advice for clients like Ms. Chen.

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NON-COMPLIANT

Topic: predictive_data_analytics_conflicts_reg_bi

Difficulty: hard

Standard: Regulation Best Interest, Rule 15l-1(a)(2)(i)-(iv) under the Securities Exchange Act of 1934; SEC Release No. 34-86031 (Reg BI Adopting Release); Investment Advisers Act §206(1)-(2) (to the extent advisory accounts were affected); SEC Release No. 34-97990 (Proposed Rule on Conflicts of Interest Associated with Predictive Data Analytics)

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Meridian Capital Securities, LLC ('Meridian') is a dually registered broker-dealer and investment adviser based in Chicago, Illinois, with approximately \$4.2 billion in assets under management and 38,000 retail customer accounts. In March 2024, Meridian deployed a proprietary algorithmic recommendation engine called 'OptiPath' across its mobile trading platform and its advisory client portal. OptiPath uses machine learning models trained on behavioral data--including login frequency, scroll patterns, time spent viewing certain asset classes, past trade history, and stated risk tolerance--to generate personalized investment recommendations to retail customers.

OptiPath was designed by Meridian's fintech subsidiary, MeridianTech Solutions, and internally validated by a three-person compliance team led by Deputy CCO Rachel Thornton. During internal testing in January 2024, Thornton's team identified that OptiPath's optimization function disproportionately recommended Meridian's proprietary exchange-traded funds (the 'Meridian Core ETF Suite'), which carry expense ratios of 0.72%-0.95%, over comparable third-party ETFs with expense ratios of 0.03%-0.15%. The proprietary ETFs generated approximately \$6.8 million in annual revenue-sharing payments to Meridian from its affiliated asset management arm, Meridian Asset Management, Inc. Thornton flagged this bias in a memorandum dated January 18, 2024, but Meridian's President, David Kowalski, directed the technology team to proceed with deployment, stating that 'the algorithm reflects our best thinking on portfolio construction' and that 'existing Reg BI disclosures on Form CRS are sufficient.'

Meridian did not update its Form CRS or Reg BI disclosure documents to describe OptiPath's methodology, the proprietary product bias, or the revenue-sharing arrangement specific to algorithmic recommendations. No additional conflict mitigation measures were implemented. Between March and August 2024, OptiPath generated over 142,000 personalized buy recommendations to retail brokerage customers, of which approximately 68% involved one or more Meridian Core ETFs. One affected customer, Margaret Liu, age 62, a retired school administrator in Naperville, Illinois, with a moderate risk profile and a \$430,000 rollover IRA, received 14 OptiPath-generated recommendations over five months, 11 of which directed her into Meridian Core ETFs with a blended expense ratio of 0.84%, costing her approximately \$1,290 more in annual fees than a comparable third-party portfolio.

In September 2024, the SEC's Division of Examinations opened an inquiry into Meridian's use of OptiPath, focusing on whether the firm's deployment of predictive data analytics created unaddressed conflicts of interest and whether its Reg BI compliance framework was adequate.

Question

Did Meridian Capital Securities violate Regulation Best Interest by deploying OptiPath without mitigating the algorithm's bias toward higher-cost proprietary products and without adequately disclosing the technology-driven conflicts of interest?

Answer

Meridian Capital Securities likely violated multiple component obligations of Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934). The analysis proceeds through each of the four component obligations.

****Disclosure Obligation (Rule 15l-1(a)(2)(i)):** Reg BI requires broker-dealers to provide, prior to or at the time of a recommendation, full and fair disclosure of all material facts relating to the scope and terms of the relationship, including material conflicts of interest. Meridian failed to update its Form CRS or any Reg BI disclosure to describe OptiPath's recommendation methodology, the embedded proprietary product bias, or the specific revenue-sharing arrangement that incentivized the algorithm's outputs. The conflict between Meridian's financial interest in recommending its own ETFs and the customer's interest in lower-cost alternatives is plainly material. This omission violates the Disclosure Obligation.

****Care Obligation (Rule 15l-1(a)(2)(ii)):** The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to ensure that a recommendation is in the retail customer's best interest and does not place the firm's interest ahead of the customer's. Margaret Liu's case is illustrative: a moderate-risk retiree was systematically channeled into proprietary ETFs costing approximately \$1,290 more annually than comparable alternatives, with no individualized analysis justifying the higher-cost products. The algorithm's optimization function prioritized firm revenue over cost-efficiency for customers. Meridian failed to demonstrate that OptiPath's recommendations reflected reasonable diligence regarding cost, alternatives, and customer-specific factors.

****Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)):** This obligation requires firms to establish, maintain, and enforce written policies and procedures reasonably designed to identify and mitigate conflicts of interest associated with recommendations. Critically, where a conflict creates an incentive for an associated person (or, by extension, an automated system acting on behalf of the firm) to place its interest ahead of the customer's, the firm must mitigate or eliminate that conflict. Thornton's January 2024 memorandum demonstrates that Meridian had actual knowledge of the algorithmic bias and chose not to remediate it. The absence of any mitigation measures--such as re-weighting the algorithm, implementing cost-comparison guardrails, or enhanced supervisory review of proprietary product recommendations--is a clear violation.

****Compliance Obligation (Rule 15l-1(a)(2)(iv)):** Meridian's policies and procedures were not reasonably designed to achieve compliance with Reg BI as applied to algorithmic recommendations. A three-person team reviewing a firm-wide AI deployment for 38,000 accounts, combined with management override of a documented compliance concern, reflects structural inadequacy.

Kowalski's defense that 'existing Reg BI disclosures on Form CRS are sufficient' is unavailing. The SEC has made clear that Form CRS is a summary document and does not substitute for the specific, transaction-level disclosure required under Reg BI's Disclosure Obligation. The firm's conduct represents a systemic failure across all four Reg BI component obligations.

Key Factor

Meridian had documented internal knowledge that its algorithmic recommendation engine was biased toward higher-cost proprietary products generating revenue-sharing payments, yet deployed it without any conflict mitigation or updated disclosure.

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NON-COMPLIANT

Topic: reg_bi_care_obligation_cost_analysis

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(2)(ii)(B) (Care Obligation); Rule 15l-1(a)(2)(ii)(C) (Conflict of Interest Obligation); Rule 15l-1(a)(2)(ii)(D) (Compliance Obligation); Exchange Act Release No. 86031 (Reg BI Adopting Release, June 5, 2019); SEC Division of Examinations Risk Alert, January 30, 2023

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Pinnacle Securities Group, LLC ('Pinnacle') is a mid-sized broker-dealer registered under the Securities Exchange Act of 1934, with approximately 340 financial professionals operating across 28 branch offices in the southeastern United States. Pinnacle's primary retail business involves recommending mutual funds, variable annuities, and proprietary structured notes to retail customers. On September 14, 2022, financial professional Derek Halston met with Margaret Colburn, a 67-year-old recently retired schoolteacher with a \$485,000 rollover IRA representing substantially all of her liquid retirement savings. Margaret described her objectives as capital preservation with modest income generation, a moderate risk tolerance, a 15-to-20-year time horizon, and a need for quarterly income distributions of approximately \$4,500 to supplement her pension and Social Security.

During the meeting, Halston recommended that Margaret invest \$290,000 (approximately 60% of her portfolio) in the Pinnacle Advantage Strategic Income Fund, a proprietary mutual fund carrying a front-end sales load of 4.25%, an annual expense ratio of 1.38%, and a 12b-1 fee of 0.25%. Halston did not evaluate or document any comparison to reasonably available alternatives, including two third-party income-oriented funds available on Pinnacle's platform -- the Vanguard Wellesley Income Fund (no load, 0.23% expense ratio) and the Fidelity Strategic Income Fund (no load, 0.67% expense ratio) -- both of which had comparable or superior risk-adjusted performance over the trailing 3-, 5-, and 10-year periods. Halston received a 35-basis-point production bonus for placing client assets in Pinnacle proprietary products, on top of the standard payout grid.

Pinnacle's written policies and procedures under Regulation Best Interest stated that financial professionals must 'consider costs when making recommendations' but provided no specific guidance on how to evaluate costs relative to reasonably available alternatives, no documentation requirements for cost comparisons, and no supervisory review process to verify that cost analysis had actually been performed. Branch manager Tina Ogilvie approved the transaction after reviewing only the account application and trade ticket, without examining whether Halston had assessed lower-cost alternatives. When the SEC Division of Examinations conducted a retail-focused examination of Pinnacle in March 2023, examiners found that in 78% of sampled proprietary fund recommendations, financial professionals had not documented any cost comparison analysis, and Pinnacle's compliance department had never conducted targeted surveillance of proprietary product recommendations despite the embedded compensation conflicts.

Question

Did Derek Halston and Pinnacle Securities Group violate Regulation Best Interest's Care Obligation and Conflict of Interest Obligation in recommending the proprietary fund to Margaret Colburn?

Answer

Yes, both Derek Halston and Pinnacle Securities Group likely violated Regulation Best Interest (Exchange Act Rule

15l-1) with respect to the Care Obligation under Rule 15l-1(a)(2)(ii)(B) and the Conflict of Interest Obligation under Rule 15l-1(a)(2)(ii)(C), and Pinnacle independently violated the Compliance Obligation under Rule 15l-1(a)(2)(ii)(D).

Care Obligation Violation: Rule 15l-1(a)(2)(ii)(B) requires that a financial professional exercise reasonable diligence, care, and skill to, among other things, understand the potential risks, rewards, and costs associated with a recommendation, and have a reasonable basis to believe the recommendation is in the best interest of the particular retail customer. The SEC Adopting Release (Exchange Act Release No. 86031) specifically emphasizes that cost is a relevant factor that must be evaluated, and that when a financial professional recommends a more expensive product over a less expensive alternative, there should be a documented, reasonable basis for doing so. Here, Halston recommended a proprietary fund with a 4.25% front-end load and 1.38% expense ratio -- meaning Margaret would have paid approximately \$12,325 in front-end charges alone -- without evaluating or documenting any comparison to the Vanguard (0.23% ER) or Fidelity (0.67% ER) alternatives on the same platform. Given Margaret's profile as a capital-preservation-oriented retiree with limited liquid assets and an income need, cost drag is highly material. The failure to perform any documented cost analysis for a transaction of this magnitude and given this customer profile constitutes a failure of reasonable diligence under the Care Obligation.

Conflict of Interest Obligation Violation: Rule 15l-1(a)(2)(ii)(C) requires firms to establish, maintain, and enforce written policies and procedures reasonably designed to identify and address conflicts of interest associated with recommendations. The 35-basis-point production bonus for proprietary product placement is a material conflict of interest that incentivizes Halston to recommend the Pinnacle fund over less costly alternatives. The January 2023 Risk Alert specifically flagged as deficient those firms whose policies merely stated that costs should be 'considered' without providing concrete guidance, documentation requirements, or supervisory mechanisms to address conflicts such as differential compensation. Pinnacle's policy was vague and unenforceable -- it identified no specific process for mitigating the proprietary product conflict, required no documentation, and imposed no supervisory overlay.

Compliance Obligation Violation: Under Rule 15l-1(a)(2)(ii)(D), Pinnacle was required to establish and enforce policies and procedures reasonably designed to achieve compliance with Regulation Best Interest as a whole. The absence of targeted surveillance of proprietary recommendations -- despite the known compensation conflict -- and the 78% non-documentation rate discovered during examination demonstrate systemic non-enforcement. Branch manager Ogilvie's cursory review of only the trade ticket, without verifying cost analysis, reflects a supervisory failure that compounds the compliance deficiency.

Pinnacle cannot defend by arguing that the proprietary fund was merely 'suitable.' Regulation Best Interest imposes an enhanced standard beyond traditional suitability. The pivotal failure is not that the fund was inherently unsuitable, but that neither the financial professional nor the firm undertook the reasonably diligent, documented cost and conflict analysis the rule demands.

Key Factor

Halston failed to evaluate or document any cost comparison between the recommended proprietary fund and reasonably available lower-cost alternatives on the firm's platform, despite a material compensation conflict favoring the proprietary product.

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NON-COMPLIANT

Topic: pda_conflicts_reg_bi_plus

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii)-(iv) (Care and Conflict of Interest Obligations); Investment Advisers Act §§206(1), 206(2); SEC Release IA-5248 (2019 Fiduciary Interpretation); SEC Proposed Rule on PDA Conflicts, File No. S7-12-23 (July 26, 2023); SEC Release No. 34-86031 (Reg BI Adopting Release)

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

NovaTrade Securities, LLC is a dual-registered broker-dealer and investment adviser headquartered in Chicago, Illinois. In March 2024, NovaTrade deployed a proprietary mobile trading application called 'SmartPulse' targeting self-directed retail investors with accounts under \$50,000. SmartPulse incorporated a machine-learning-based recommendation engine -- classified internally as 'predictive data analytics' (PDA) technology -- that analyzed user behavioral data including scrolling patterns, session duration, trading frequency, and loss-aversion indicators to dynamically surface investment opportunities on users' home screens.

The PDA engine was configured with dual optimization objectives: (1) maximize user engagement metrics (time-in-app, trades per session), and (2) prioritize display of products where NovaTrade earned the highest revenue-sharing payments from product sponsors. Specifically, the algorithm gave a 3.2x weighting multiplier to three complex leveraged ETFs issued by Apex Capital Partners, from which NovaTrade received 42 basis points in revenue sharing per transaction -- roughly triple the compensation earned on comparable unleveraged index ETFs. NovaTrade's Chief Technology Officer, Derek Halloran, approved the weighting parameters after consulting with the firm's revenue optimization team but did not involve the compliance department.

Between March and September 2024, approximately 14,200 self-directed SmartPulse users executed over \$87 million in aggregate transactions in the three Apex leveraged ETFs. Many of these users -- including 62-year-old retired schoolteacher Margaret Kowalski of Omaha, Nebraska, who had a \$38,000 IRA and a moderate risk tolerance profile -- were exposed to the algorithmically prioritized leveraged ETF tiles an average of 11 times per session. Kowalski purchased \$12,400 of the Apex 3x Bull Semiconductor ETF over four transactions in June 2024, resulting in a \$3,100 loss by August 2024. NovaTrade's Form CRS and account disclosures mentioned that 'the firm may receive compensation from product sponsors' but did not disclose the specific algorithmic prioritization of higher-revenue products or the PDA weighting methodology.

NovaTrade's compliance department conducted a post-deployment review in October 2024 and flagged the PDA configuration as potentially problematic, but no remedial action was taken. The firm argued internally that because SmartPulse users were 'self-directed,' no individualized recommendation was made, and therefore neither Reg BI's recommendation-triggered obligations nor the Advisers Act fiduciary duty applied to the algorithmically surfaced product displays.

Question

Did NovaTrade Securities violate its obligations under Regulation Best Interest, the Investment Advisers Act fiduciary duty, or the SEC's proposed framework for predictive data analytics conflicts by deploying SmartPulse's PDA-driven product prioritization without adequate conflict mitigation or disclosure?

Answer

NovaTrade Securities likely violated multiple regulatory standards, and its defense that self-directed interactions fall outside Reg BI and fiduciary obligations is legally insufficient under both existing and proposed frameworks.

First, under Regulation Best Interest (Rule 15l-1 under the Exchange Act), the critical threshold question is whether the algorithmically surfaced product displays constitute 'recommendations.' SEC guidance in the Reg BI Adopting Release (Release No. 34-86031) adopts the traditional facts-and-circumstances analysis from FINRA's long-standing suitability framework, under which a communication is a recommendation if it could reasonably be viewed as a 'call to action' based on the customer's specific situation. SmartPulse's PDA engine used individualized behavioral data -- loss aversion indicators, trading patterns -- to curate which products appeared prominently to each user. This degree of personalization strongly supports characterization as a recommendation, triggering Reg BI's Disclosure, Care, Conflict of Interest, and Compliance Obligations. The 3.2x revenue-based weighting multiplier directly placed NovaTrade's financial interest ahead of the investor's, violating the Care Obligation (Rule 15l-1(a)(2)(ii)) which requires that the recommendation not place the broker-dealer's interest ahead of the retail customer's. The Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)) further requires policies and procedures to identify and mitigate conflicts -- here, compliance was not even consulted before deployment.

Second, as a dual registrant, NovaTrade owes fiduciary duties under Sections 206(1) and 206(2) of the Investment Advisers Act of 1940. The SEC's 2019 Fiduciary Interpretation (Release IA-5248) makes clear that these duties -- of care and loyalty -- apply to the full scope of the advisory relationship and cannot be disclaimed merely by labeling accounts as 'self-directed.' The algorithmic curation of investment options based on the firm's revenue interests, without full and fair disclosure of the methodology, constitutes a breach of the duty of loyalty.

Third, under the SEC's proposed PDA conflicts rule (File No. S7-12-23), and as elaborated by the comment letter's 'Reg BI+ option,' the use of predictive data analytics technology in investor interactions -- including non-recommendation, self-directed contexts -- that has the effect of placing the firm's interests ahead of investors' would be prohibited. NovaTrade's configuration precisely illustrates the concern animating this proposal: algorithmic optimization for firm revenue disguised as neutral product presentation. The generic Form CRS disclosure was materially inadequate; it failed to disclose the specific PDA weighting favoring higher-compensation products.

NovaTrade's central defense -- that self-directed status eliminates regulatory obligations -- fails. The personalization inherent in PDA-driven displays likely converts interactions into recommendations under existing law, and the proposed rulemaking specifically targets the gap in non-recommendation interactions. The firm's conduct is non-compliant.

Key Factor

NovaTrade's PDA algorithm applied a 3.2x weighting multiplier favoring products generating the highest firm revenue, effectively placing the firm's financial interest ahead of retail investors' interests without meaningful disclosure or conflict mitigation.

Item 84 of 499**NON-COMPLIANT**

Topic: digital_engagement_practices_gamification_conflict

Difficulty: hard

Standard: Regulation Best Interest, Rule 15l-1(a)(2)(i)-(iv) under the Securities Exchange Act of 1934; Investment Advisers Act of 1940 §§206(1), 206(2); SEC Release IA-5248; SEC Release No. 34-92766 (Request for Comment on DEPs); Form CRS (Rule 17a-14)

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

NovaTrade Securities LLC is a dual-registered broker-dealer and investment adviser headquartered in Austin, Texas, operating a popular mobile-first trading platform called 'NovaApp.' As of March 2024, the platform had 2.8 million active retail accounts, with approximately 62% of account holders under the age of 30. NovaTrade's revenue model relies heavily on payment for order flow (PFOF), earning approximately \$0.0042 per share routed to its two primary market-making counterparties, Apex Flow LLC and Citrine Execution Services.

In January 2024, NovaTrade's product team, led by VP of Growth Marcus Delgado, deployed a new feature called 'Momentum Streaks.' The feature uses a predictive analytics engine that identifies securities experiencing short-term price surges and presents them to users through push notifications accompanied by animated confetti graphics, leaderboard rankings of 'top traders' among the user's social connections, and a 'streak counter' that rewards users with digital badges for executing trades on consecutive days. The algorithm underlying Momentum Streaks was explicitly optimized to maximize 'user engagement minutes' and 'trades per session,' metrics that NovaTrade's internal documents show are directly correlated with PFOF revenue. An internal product memo dated December 15, 2023, authored by Delgado, stated: 'The primary KPI for Momentum Streaks is increasing average daily trades per user from 3.2 to 5.5 by end of Q1 2024, which our revenue model projects will generate an additional \$14.2 million in PFOF annually.'

Among the affected users is Jasmine Okafor, a 24-year-old graduate student in Atlanta with an annual income of \$28,000 and \$6,200 in her NovaTrade account. Between January 15 and March 8, 2024, Jasmine executed 347 trades--up from an average of 22 trades per month before the Momentum Streaks rollout. Her portfolio turnover rate exceeded 4,800% annualized. She concentrated heavily in volatile small-cap equities surfaced by the Momentum Streaks notifications, ultimately suffering realized losses of \$3,840. NovaTrade's Form CRS and platform disclosures referenced PFOF in general terms but did not disclose that the Momentum Streaks feature was algorithmically designed to increase trading frequency to maximize the firm's PFOF revenue. The firm's compliance department conducted no independent review of Momentum Streaks before deployment and did not update the firm's conflict of interest policies or Reg BI policies and procedures to address the feature.

Question

Did NovaTrade Securities LLC violate Regulation Best Interest and its fiduciary obligations under the Investment Advisers Act by deploying the Momentum Streaks feature without mitigating the inherent conflicts of interest or updating its compliance framework?

Answer

NovaTrade Securities LLC likely violated multiple provisions of Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) and its fiduciary duty under Sections 206(1) and 206(2) of the Investment Advisers Act of 1940.

First, regarding Reg BI's Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)): broker-dealers must establish, maintain, and enforce written policies and procedures reasonably designed to identify and at a minimum disclose, or eliminate, material conflicts of interest associated with recommendations. The Momentum Streaks feature created a direct, material conflict: the algorithm was explicitly optimized to increase trading frequency, which directly increased NovaTrade's PFOF revenue. The internal memo from Delgado confirms the feature's primary purpose was revenue generation--not investor benefit. NovaTrade failed to (a) identify this conflict in its policies, (b) disclose the specific link between the algorithmic design and PFOF revenue, and (c) mitigate the conflict through any mechanism such as trading frequency alerts, guardrails, or heightened suitability screening.

Second, under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)), when a recommendation is made--and push notifications algorithmically curating specific securities for specific users likely constitute recommendations under the SEC's broad functional interpretation--the broker-dealer must exercise reasonable diligence, care, and skill to ensure the recommendation is in the retail customer's best interest. Pushing volatile small-cap equities to a 24-year-old graduate student earning \$28,000 with a \$6,200 account, generating 4,800% annualized turnover, fails this standard on its face. The firm made no individualized assessment of whether such trading frequency was appropriate for customers like Jasmine Okafor.

Third, to the extent NovaTrade acted in its investment adviser capacity (as a dual registrant providing algorithmic investment suggestions), Sections 206(1) and 206(2) of the Advisers Act impose a fiduciary duty of loyalty and care. The SEC has consistently held, including in Release IA-5248, that advisers must not place their own interests ahead of clients. Designing an engagement tool whose documented purpose is maximizing firm revenue at the expense of client outcomes is a textbook breach of the duty of loyalty.

Fourth, the Disclosure Obligation under Reg BI (Rule 15l-1(a)(2)(i)) and Form CRS requirements were not satisfied. Generic PFOF disclosures are insufficient when a specific product feature is engineered to exploit the conflict. The SEC's 2021 Request for Comment and the IAC Disclosure Subcommittee's February 2024 draft recommendation specifically flag that DEPs using predictive analytics optimized for firm revenue create conflicts that demand targeted disclosure and mitigation.

NovaTrade's compliance department's complete failure to review the feature before deployment further demonstrates a violation of the Compliance Obligation (Rule 15l-1(a)(2)(iv)), which requires policies and procedures reasonably designed to achieve compliance. No credible defense of good faith exists when compliance was entirely bypassed. The firm is exposed to SEC enforcement action, FINRA disciplinary proceedings, and potential state-law claims.

Key Factor

NovaTrade's Momentum Streaks feature was algorithmically designed and documented to maximize trading frequency for firm PFOF revenue, creating an undisclosed and unmitigated material conflict of interest in direct contravention of Reg BI's Conflict of Interest and Care Obligations.

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NON-COMPLIANT

Topic: reg_bi_best_interest_complex_products

Difficulty: hard

Standard: Regulation Best Interest, Rule 15l-1(a)(2)(i)-(iii) (Exchange Act); SEC Release No. 34-83062; FINRA Rule 3110 (Supervision); FINRA Rule 2111 (Suitability); Investment Advisers Act §206 (for dual registrant capacity considerations)

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Margaret Delgado, age 74, is a retired school teacher in Coral Gables, Florida, with a total liquid net worth of approximately \$285,000, nearly all of which is held in a traditional IRA rollover account at Coastal Horizon Securities, LLC, a dually registered broker-dealer and investment adviser. Mrs. Delgado has no prior investment experience beyond certificates of deposit and a basic 403(b) plan she held during her teaching career. Her stated investment objectives on her new account form, completed in March 2023, list 'income' and 'capital preservation,' with a risk tolerance marked as 'conservative' and a time horizon of '5-10 years.' She relies on monthly distributions of approximately \$1,400 from the IRA to supplement her Social Security income of \$1,850 per month.

Her registered representative, Daniel Kresky (CRD #4478823), who holds himself out on his business card and LinkedIn profile as a 'Financial Advisor' and 'Retirement Planning Specialist,' recommended in April 2023 that Mrs. Delgado invest \$210,000--roughly 74% of her liquid net worth--into a non-traded Real Estate Investment Trust (REIT) called Pinnacle Growth Income REIT II. The product carries a 7-year lock-up period, a front-end commission of 7% (\$14,700), and an early redemption penalty of 10% during the first three years. Kresky told Mrs. Delgado the product would provide 'steady monthly income like a CD but with better returns,' and provided her with the prospectus but did not walk through the risk disclosures. He did not discuss alternative products such as publicly traded REIT ETFs, investment-grade bond funds, or Treasury securities, all of which were available on Coastal Horizon's platform and would have provided income with substantially greater liquidity and lower cost.

Coastal Horizon's compliance department had flagged non-traded REITs for enhanced supervisory review in February 2023, requiring that any allocation exceeding 15% of a client's liquid net worth receive prior principal approval. Records show that no principal pre-approval was obtained for Mrs. Delgado's transaction. When Mrs. Delgado needed emergency funds in September 2023 to pay for an unexpected home repair costing \$18,000, she discovered she could not access her capital without incurring a \$21,000 early redemption penalty. She filed a complaint with Coastal Horizon, which responded that the investment was 'suitable' given the income objective on her account form and that she had signed the subscription agreement acknowledging the risks.

Question

Did Daniel Kresky and Coastal Horizon Securities violate Regulation Best Interest in recommending the non-traded REIT to Mrs. Delgado, and does the firm's 'suitability' defense insulate them from liability?

Answer

Kresky and Coastal Horizon Securities violated Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) across multiple component obligations, and the firm's assertion that the recommendation was merely 'suitable' does not constitute an adequate defense under the heightened Reg BI standard.

First, the Care Obligation under Rule 15l-1(a)(2)(ii)(B) requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made. The recommendation to concentrate 74% of a 74-year-old retiree's liquid net worth in an illiquid, 7-year lock-up product--when the client has conservative risk tolerance, an income objective, and demonstrable near-term liquidity needs--fails the reasonable-basis and customer-specific components of the Care Obligation. Kresky did not evaluate whether reasonably available alternatives such as publicly traded REIT ETFs, investment-grade bond funds, or Treasury securities could achieve Mrs. Delgado's income goal with materially less cost and liquidity risk. The rule explicitly requires consideration of reasonably available alternatives offered by the firm.

Second, the Disclosure Obligation under Rule 15l-1(a)(2)(i) requires full and fair disclosure of all material facts relating to the scope and terms of the relationship, including conflicts of interest. Kresky's characterization of the non-traded REIT as being 'like a CD but with better returns' was materially misleading and obscured the illiquidity, redemption penalties, and 7% front-end load. This mischaracterization undermines any claim that meaningful disclosure was provided, even though a prospectus was delivered.

Third, the Conflict of Interest Obligation under Rule 15l-1(a)(2)(iii) requires firms to establish policies and procedures to identify, disclose, and mitigate or eliminate conflicts. The \$14,700 front-end commission created an acute financial conflict. Coastal Horizon's own compliance policy required principal pre-approval for non-traded REIT allocations exceeding 15% of liquid net worth; the failure to obtain this approval constitutes a supervisory failure under both Reg BI's Compliance Obligation and FINRA Rules 3110 (supervision) and 2111 (suitability, still relevant as a floor).

The firm's defense that the investment was 'suitable' is precisely the inadequacy that Reg BI was designed to address. As the SEC stated in Release No. 34-83062 and as the University of Miami IRC comment letter highlights, the suitability standard permits recommendations that benefit the broker at the client's expense so long as the product is not wholly inappropriate. Reg BI's best interest standard is explicitly higher and requires that the broker not place his or her financial interest ahead of the customer's. Given the availability of lower-cost, liquid alternatives that served the same income objective, suitability alone is not a defense. The conduct is non-compliant.

Key Factor

Kresky concentrated 74% of an elderly, conservative client's liquid net worth in an illiquid, high-commission non-traded REIT without evaluating reasonably available lower-cost alternatives and without obtaining required principal pre-approval, directly contravening Reg BI's Care and Conflict of Interest Obligations.

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NON-COMPLIANT

Topic: reg_bi_firm_transition_suitability

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii)(A)-(D) (Exchange Act); FINRA Rule 3110 (Supervision); FINRA Rule 2111 (Suitability, to the extent applicable); SEC Release No. 34-86031 (Reg BI Adopting Release); Investment Advisers Act §206 (to the extent dual-hat obligations apply); FINRA Rule 2330 (Variable Annuity Transactions)

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Marcus Hyland is a registered representative who, as of January 2024, was associated with Granite Peak Securities, a large FINRA-registered broker-dealer with approximately 4,200 registered representatives and 310 branch offices nationwide. In March 2024, Hyland transferred his registration to Ridgeline Capital Partners, a small firm with 14 registered representatives, one branch office in Scottsdale, Arizona, and a business model concentrated in variable annuities and alternative investments. Ridgeline's supervisory structure consisted of a single designated principal, Elena Marchetti, who also maintained her own production book of approximately \$38 million in client assets.

Upon joining Ridgeline, Hyland brought over 187 retail customer accounts representing roughly \$62 million in assets under management. Within the first 90 days of his transition, Hyland recommended that 74 of those customers -- predominantly retirees aged 62-78 with moderate risk tolerances and income-oriented objectives -- liquidate their existing diversified portfolios of equities and fixed-income mutual funds and reinvest the proceeds into a combination of Class B variable annuities issued by National Horizon Life Insurance Company and a non-traded REIT called Apex Healthcare Realty Trust. The variable annuities carried surrender periods of 7 years with contingent deferred sales charges starting at 7%, and the non-traded REIT imposed a 5-year lockup with early redemption penalties of 10%. Hyland earned an average upfront commission of 6.5% on the variable annuity sales and 7% on the non-traded REIT placements, generating approximately \$4.1 million in gross commissions during the quarter.

Hyland's customer relationship summaries (CRS) provided to clients upon the transition referenced Ridgeline's Form CRS, which disclosed that the firm 'may recommend proprietary and limited menu products,' but did not specifically identify the concentration risk or illiquidity constraints of the recommended products. Marchetti approved all 74 account transitions in a single batch review session on June 14, 2024, spending approximately 45 minutes reviewing the documentation. FINRA's 2025 Industry Snapshot data confirms the ongoing trend of representatives transferring from large to small firms, and highlights the supervisory challenges inherent in small-firm structures where principals also maintain production responsibilities. Ridgeline did not maintain a written supervisory procedure addressing heightened review of account transitions or concentrated product recommendations to senior investors.

Question

Did Hyland and Ridgeline Capital Partners comply with Regulation Best Interest and FINRA supervisory obligations in connection with the systematic liquidation and reinvestment of 74 transferred customer accounts into illiquid, high-commission products?

Answer

Hyland and Ridgeline Capital Partners violated multiple provisions of Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) and FINRA supervisory rules. The analysis proceeds through each Reg BI

component obligation and the applicable FINRA rules.

First, regarding the Care Obligation (Rule 15l-1(a)(2)(ii)(B)), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made. Hyland recommended that 74 predominantly retired, income-oriented clients with moderate risk tolerances liquidate diversified portfolios to concentrate in Class B variable annuities with 7-year surrender periods and a non-traded REIT with a 5-year lockup. For clients aged 62-78 seeking income, the imposition of combined illiquidity horizons of 5-7 years, surrender charges of up to 7%, and early redemption penalties of 10% is facially inconsistent with their stated objectives and time horizons. The systematic, near-uniform nature of the recommendation across 74 accounts -- irrespective of individual differences -- further demonstrates a failure of individualized care analysis.

Second, under the Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(D)), Ridgeline was required to establish, maintain, and enforce written policies and procedures reasonably designed to identify and mitigate conflicts of interest associated with financial incentives. Hyland earned approximately \$4.1 million in commissions in a single quarter, with per-product commissions of 6.5%-7%, creating an overwhelming financial incentive. Ridgeline had no written supervisory procedures addressing heightened review for concentrated, high-commission recommendations or account transitions -- a direct failure under this obligation.

Third, FINRA Rule 3110 (Supervision) required Ridgeline to establish and maintain a supervisory system, including written supervisory procedures, reasonably designed to achieve compliance with applicable securities laws. Marchetti's batch approval of 74 complex account restructurings in 45 minutes -- while simultaneously maintaining her own \$38 million production book -- constitutes a manifestly inadequate supervisory review. FINRA's own 2025 Industry Snapshot highlights the structural risks of small-firm supervision where principals are also producers, precisely the dynamic at issue here.

Finally, the Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)) was not meaningfully satisfied. While Form CRS was provided, the generic reference to 'proprietary and limited menu products' failed to disclose the specific material facts about concentration risk, illiquidity, and the magnitude of conflicts created by the commission structure. No defense of reliance on Form CRS alone can substitute for transaction-specific disclosure. The violations are systemic and span both the representative and firm level.

Key Factor

The systematic replacement of diversified portfolios with illiquid, high-commission products across 74 predominantly elderly client accounts -- combined with the absence of written supervisory procedures and a perfunctory 45-minute batch review -- demonstrates a failure of both the Reg BI Care Obligation and FINRA's supervisory requirements.

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NON-COMPLIANT

Topic: reg_bi_care_obligation_conflicts

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii)(A)-(D) (Disclosure, Care, Conflict of Interest, and Compliance Obligations); FINRA Rule 5310 (Best Execution and Interpositioning); FINRA Rule 3110 (Supervision); FINRA Rule 3120 (Supervisory Control System); SEC Form CRS (Rule 17a-14 / Form ADV Part 3); Exchange Act Rule 606 (Disclosure of Order Routing Information)

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Ridgeway Capital Markets, LLC is a FINRA-registered broker-dealer headquartered in Scottsdale, Arizona, with approximately 140 registered representatives serving roughly 28,000 retail customer accounts. In January 2022, the firm transitioned to a zero-commission model for equity trades but simultaneously entered into enhanced payment-for-order-flow (PFOF) arrangements with two wholesale market makers, Apex Execution Services and Trident Liquidity Partners. Under these arrangements, Ridgeway receives an average of \$0.0038 per share for non-held equity orders routed to Apex and \$0.0041 per share for orders routed to Trident. The firm's internal order-routing algorithm defaults to routing 85% of retail equity order flow to Trident, the higher-paying venue, without conducting any regular or systematic review of execution quality differences between the two venues.

On March 15, 2022, registered representative Danielle Kowalski recommends that her client, Margaret Chen, a 67-year-old retired schoolteacher with a \$410,000 IRA rollover account and a moderate risk tolerance, liquidate her existing diversified mutual fund portfolio and reinvest the proceeds into a concentrated portfolio of 12 individual equities. Kowalski explains to Chen that the trades will be 'commission-free' and therefore cost-efficient. However, Kowalski does not disclose that Ridgeway receives PFOF revenue on each equity transaction, nor does she discuss the potential price improvement differences between execution venues. The firm's Form CRS, last updated in June 2021, contains only a single generic sentence stating that the firm 'may receive compensation from third parties in connection with your transactions' without specifying PFOF or explaining how it creates a conflict of interest affecting order routing.

During a FINRA examination in August 2022, examiners discover that Ridgeway's written supervisory procedures (WSPs) for Reg BI compliance contain no protocols for evaluating whether the firm's order-routing practices--specifically the preferential routing to higher-PFOF venues--are consistent with the Care Obligation or the Conflict of Interest Obligation. The firm's best execution committee had not convened since September 2020 and had never analyzed execution quality data from its PFOF counterparties. Additionally, examiners find that Kowalski's recommendation to concentrate Chen's retirement account into 12 individual equities was not supported by any documented reasonable-basis or customer-specific analysis, and the firm's supervisory review consisted solely of an automated trade-size flag that was not triggered because no single trade exceeded \$50,000.

Question

Did Ridgeway Capital Markets and its representative Danielle Kowalski violate Regulation Best Interest and FINRA's best execution requirements in connection with the recommendation to Margaret Chen and the firm's order-routing practices?

Answer

Yes, Ridgeway Capital Markets and Danielle Kowalski committed multiple violations of Regulation Best Interest (Rule

15l-1 under the Securities Exchange Act of 1934) and FINRA Rule 5310 (Best Execution and Interpositioning).

First, regarding the Care Obligation under Reg BI (Rule 15l-1(a)(2)(ii)(B)), associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This requires a reasonable-basis analysis (understanding the product and its risks) and a customer-specific analysis (evaluating whether the recommendation is in the customer's best interest given their investment profile). Kowalski recommended that Chen--a 67-year-old retiree with moderate risk tolerance and a \$410,000 IRA--liquidate a diversified mutual fund portfolio and concentrate into 12 individual equities. No documented analysis supports why this concentration was appropriate for Chen's retirement horizon, risk profile, or income needs. The absence of any reasonable-basis or customer-specific suitability documentation constitutes a clear Care Obligation failure.

Second, the Conflict of Interest Obligation under Reg BI (Rule 15l-1(a)(2)(ii)(D)) requires firms to establish, maintain, and enforce written policies and procedures reasonably designed to identify, disclose, and mitigate--or in some cases eliminate--conflicts of interest associated with recommendations. Ridgeway's PFOF arrangements create a direct financial incentive to route orders to higher-paying venues regardless of execution quality. The firm's WSPs contained no protocols addressing this conflict in the Reg BI context, and the Form CRS disclosure was insufficiently specific--failing to identify PFOF by name or explain how it influences routing decisions. FINRA's 2022 Report specifically flags inadequate conflict-of-interest identification and mitigation as a key examination finding.

Third, FINRA Rule 5310 requires firms to use reasonable diligence to ascertain the best market for the security and buy or sell so that the resultant price is as favorable as possible under prevailing market conditions. Ridgeway's default routing of 85% of flow to its highest-PFOF counterparty without any regular comparative execution quality review--and the fact that the best execution committee had not met in nearly two years--demonstrates a systemic failure of reasonable diligence. The 2022 Report emphasizes that FINRA is specifically examining zero-commission firms' order-routing conflicts and PFOF impacts.

Finally, the firm's supervisory framework was deficient under FINRA Rules 3110 and 3120. An automated trade-size flag that fails to capture the substantive risk of an unsuitable concentration recommendation is not a reasonably designed supervisory system. Ridgeway cannot claim it met its supervisory obligations when the only control was a dollar-threshold trigger irrelevant to the nature of the violation.

Ridgeway has no viable defense. The zero-commission framing does not eliminate the obligation to disclose and mitigate PFOF conflicts or to ensure best execution. The violations span the Disclosure, Care, and Conflict of Interest Obligations of Reg BI, as well as FINRA's best execution rule.

Key Factor

Ridgeway's systematic default routing of 85% of retail order flow to the highest-PFOF-paying venue without any comparative execution quality analysis, combined with the absence of WSPs addressing this conflict under Reg BI, constitutes the pivotal compliance failure.

Item 88 of 499**NON-COMPLIANT**

Topic: uniform_fiduciary_standard_dual_registrant

Difficulty: hard

Standard: Investment Advisers Act of 1940 §§206(1), 206(2), 211; SEC Release IA-5248; Regulation Best Interest Rule 15l-1(a)(2)(i)-(iv); Dodd-Frank Act §913; FINRA Rules 2111, 2210; SEC Release No. 34-69013 (File No. 4-606)

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Richard Castillo is a registered representative of Meridian Securities, LLC, a broker-dealer registered with FINRA, and is also an investment adviser representative of Meridian Advisory Services, LLC, a separately organized SEC-registered investment adviser under common ownership with the broker-dealer. Meridian Advisory Services holds itself out on its website and Form ADV Part 2A as providing 'holistic financial planning grounded in a fiduciary commitment to our clients.' Richard holds the CFP(R) certification and markets himself at local seminars as a 'fiduciary financial planner' who always acts in clients' best interests.

In March 2023, Margaret Chen, a 62-year-old recently widowed schoolteacher, approached Richard after attending one of his seminars. She had a \$640,000 rollover IRA from her deceased husband's 401(k) plan and a separate \$185,000 in a taxable brokerage account. Margaret told Richard she needed stable income to supplement her pension of \$3,200/month, had limited investment experience, and had a moderate-to-conservative risk tolerance. She expressly stated she wanted someone who would 'look out for her interests like a fiduciary.'

Richard opened a fee-based advisory account at Meridian Advisory Services for the \$640,000 IRA, charging a 1.25% annual advisory fee. However, for the \$185,000 taxable account, Richard directed Margaret to open a commission-based brokerage account at Meridian Securities, LLC. He did not clearly disclose to Margaret that the brokerage account would be governed by a different legal standard than the advisory account, nor did he explain the material differences in the nature of the relationships or the applicable duties of care. The brokerage account agreement contained boilerplate language noting the account was 'not advisory in nature,' but this was buried on page 14 of a 22-page document that Margaret signed electronically.

Within the brokerage account, Richard recommended and executed purchases of \$110,000 in Class C shares of three high-expense equity mutual funds (average expense ratio of 1.85%) and \$75,000 in a structured note linked to a technology index with a 5-year maturity and a 3.5% upfront commission to Meridian Securities. Lower-cost ETF alternatives and shorter-duration Treasury instruments were available and more consistent with Margaret's stated objectives. Richard received a total of approximately \$5,200 in commissions on these brokerage transactions. Meridian Securities had a revenue-sharing arrangement with the mutual fund families whose Class C shares were recommended. Richard did not disclose the revenue-sharing arrangement or its potential impact on his recommendations to Margaret.

Question

Did Richard Castillo and Meridian Securities, LLC comply with their obligations under the fiduciary duty framework of the Investment Advisers Act of 1940, Regulation Best Interest, and applicable FINRA rules in their handling of Margaret Chen's accounts?

Answer

Richard Castillo and Meridian Securities, LLC failed to comply with multiple overlapping regulatory obligations. The analysis proceeds on two tracks: the advisory relationship and the brokerage relationship.

****Advisory Account - Investment Advisers Act §206 Fiduciary Duty:**** While the IRA was placed in an advisory account, the broader conduct raises concern. Under §206(1) and §206(2) of the Advisers Act, an adviser owes a fiduciary duty to act in the client's best interest, which includes a duty of care and a duty of loyalty. As emphasized in SEC Release IA-5248 and the SEC's 2010 Form ADV amendments cited in the Financial Planning Coalition's comment letter, the adviser must serve the best interests of its clients. Richard's marketing as a 'fiduciary financial planner' created a reasonable expectation across the entire relationship. By bifurcating Margaret's assets between advisory and brokerage accounts without clearly disclosing the different standards and the economic incentives driving that split, Richard breached his duty of full and fair disclosure -- a core component of fiduciary obligation under the Advisers Act. The channeling of assets into the commission-based account appears motivated by compensation rather than client interest.

****Brokerage Account - Regulation Best Interest (Rule 15l-1):**** For the brokerage account, Reg BI's four component obligations were each implicated. Under the **Disclosure Obligation** (Rule 15l-1(a)(2)(i)), Richard was required to provide full and fair disclosure of all material facts relating to the scope and terms of the relationship, including conflicts of interest. The revenue-sharing arrangement was a material conflict that was never disclosed. Burying the non-advisory nature of the account on page 14 of a 22-page click-through agreement fails to satisfy the standard of disclosure 'before or at the time' of the recommendation. Under the **Care Obligation** (Rule 15l-1(a)(2)(ii)), Richard was required to exercise reasonable diligence, care, and skill to ensure the recommendations were in Margaret's best interest. Recommending Class C shares with 1.85% expense ratios and a 5-year structured note with a 3.5% front-end load to a 62-year-old conservative investor seeking income -- when lower-cost, more suitable alternatives existed -- fails this standard. Under the **Conflict of Interest Obligation** (Rule 15l-1(a)(2)(iv)), Meridian Securities was required to establish, maintain, and enforce written policies to identify and mitigate conflicts, including revenue-sharing and compensation incentives. The undisclosed revenue-sharing arrangement is a direct violation.

****FINRA Rule 2111 (Suitability) and Rule 2210 (Communications):**** The structured note and high-expense equity funds were inconsistent with Margaret's moderate-to-conservative profile and income needs, raising suitability concerns under FINRA Rule 2111. Richard's seminar marketing as a 'fiduciary' for all purposes, without qualification, is also potentially misleading under FINRA Rule 2210.

The pivotal issue is the deliberate bifurcation of the client relationship to capture commission revenue in the brokerage channel while marketing a uniform fiduciary standard -- precisely the consumer confusion the Financial Planning Coalition's letter urged the SEC to remedy through a uniform fiduciary standard under Dodd-Frank §913.

Key Factor

Richard failed to disclose to Margaret that her brokerage account was governed by a different and less protective standard than her advisory account, and he steered assets into the commission-based channel to capture undisclosed revenue-sharing compensation, in violation of both Reg BI's disclosure and conflict-of-interest obligations and the Advisers Act fiduciary duty.

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NON-COMPLIANT

Topic: wrap_fee_fiduciary_duty_reverse_churning

Difficulty: hard

Standard: Investment Advisers Act of 1940, Sections 206(1), 206(2), and 206(4); Rule 206(4)-7 (Compliance Programs); Form ADV Part 2A Appendix 1 (Wrap Fee Program Brochure); SEC v. Capital Gains Research Bureau, Inc., 375 U.S. 180 (1963); SEC Division of Examinations Risk Alert on Wrap Fee Programs (July 21, 2021)

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Sterling Capital Advisors, LLC ('Sterling'), a dually-registered investment adviser and broker-dealer based in Charlotte, North Carolina, sponsors the 'Sterling Select' wrap fee program. Under this program, clients pay an annual wrap fee of 1.85% of assets under management, which covers investment advisory services, portfolio management, and the execution of all equity and fixed-income transactions. Sterling employs 42 investment adviser representatives ('IARs') who manage approximately \$2.3 billion in wrap fee accounts as of December 2023.

In March 2022, IAR David Kenworth transitioned 87 of his existing brokerage clients into Sterling Select wrap fee accounts. Among these clients were Harold and Evelyn Marsh, both age 72, retired schoolteachers with a combined portfolio of \$485,000. The Marshes had a conservative investment profile, seeking capital preservation and modest income. Kenworth placed their assets into a portfolio consisting of 60% investment-grade municipal bonds, 25% Treasury securities, and 15% in a single large-cap equity index ETF. Over the subsequent 22 months (March 2022 through December 2023), the Marshes' account generated a total of four trades: two bond maturities that were reinvested into similar municipal bonds, one Treasury roll, and one ETF dividend reinvestment. The total commissions that would have been charged in a traditional brokerage account for these four transactions would have been approximately \$312. Instead, the Marshes paid \$17,908 in cumulative wrap fees over the same period.

Sterling's Form ADV Part 2A Appendix 1 (the wrap fee brochure) disclosed that 'wrap fee programs may cost more or less than purchasing such services separately' but did not specifically identify the risk that accounts with low trading activity could pay significantly more in a wrap fee structure than in a commission-based arrangement. Sterling's compliance manual contained a general policy requiring IARs to document the suitability of wrap fee recommendations, but the firm had no automated monitoring system to flag accounts with minimal trading activity. Kenworth's internal notes for the Marsh account stated only 'clients prefer simplicity of single fee structure' with no analysis comparing wrap fee costs to commission-based alternatives. An internal review conducted by Sterling's Chief Compliance Officer in Q3 2023 identified 34 additional accounts with similar profiles--conservative, buy-and-hold investors with fewer than six trades annually--that were enrolled in Sterling Select, but no remedial action was taken.

Question

Did Sterling Capital Advisors and its IAR David Kenworth violate their fiduciary duties under the Investment Advisers Act by recommending and maintaining the Marshes' participation in the Sterling Select wrap fee program given the clients' low trading activity and the absence of adequate cost-comparison analysis?

Answer

Yes, Sterling Capital Advisors and David Kenworth violated their fiduciary duties under Sections 206(1) and 206(2) of the Investment Advisers Act of 1940. The analysis follows.

Under Section 206(2), it is unlawful for an investment adviser to engage in any transaction, practice, or course of business that operates as a fraud or deceit upon any client or prospective client. The fiduciary duty owed by an investment adviser encompasses both a duty of care and a duty of loyalty, as articulated by the Supreme Court in *SEC v. Capital Gains Research Bureau, Inc.*, 375 U.S. 180 (1963). This duty requires advisers to have a reasonable basis to believe that a recommendation is in the client's best interest at the time of the initial recommendation and on an ongoing basis.

The pivotal failure here is twofold. First, Kenworth failed to perform any meaningful cost-benefit analysis before transitioning the Marshes into the wrap fee program. His sole documentation--'clients prefer simplicity of single fee structure'--is legally insufficient to establish a reasonable basis for the recommendation. The SEC's Division of Examinations has specifically identified this concern, noting that advisers must evaluate whether a wrap fee arrangement is appropriate relative to the client's anticipated trading frequency. Where a client's conservative, buy-and-hold strategy would generate only \$312 in traditional commissions versus \$17,908 in wrap fees over the same period--a ratio exceeding 57:1--the recommendation lacks any reasonable basis and constitutes a practice commonly termed 'reverse churning.'

Second, Sterling's compliance infrastructure was deficient under Section 206(4) and Rule 206(4)-7, which require advisers to adopt and implement written compliance policies and procedures reasonably designed to prevent violations of the Advisers Act. Although Sterling had a general suitability documentation policy, the absence of any automated monitoring system to flag low-activity wrap fee accounts--particularly after the CCO identified 34 similarly situated accounts in Q3 2023 and took no remedial action--constitutes a failure to implement reasonably designed compliance procedures.

Additionally, Sterling's Form ADV Part 2A Appendix 1 disclosure was inadequate. While it noted wrap fees 'may cost more or less,' it failed to specifically disclose the material conflict of interest that the firm and its IARs have an economic incentive to place low-activity clients in wrap fee programs, as the firm retains the full wrap fee regardless of trading volume. This omission violates the disclosure obligations under Form ADV Part 2A, Item 4, and constitutes a material omission under Section 206(2).

Sterling might argue the Marshes consented to the arrangement after receiving the wrap fee brochure. However, disclosure alone does not cure a fiduciary breach when the underlying recommendation lacks a reasonable basis. The fiduciary duty is non-waivable through boilerplate disclosures. The combination of an unsuitable recommendation, inadequate documentation, deficient compliance monitoring, and insufficient disclosure establishes clear violations.

Key Factor

The adviser failed to perform or document any cost-comparison analysis before recommending the wrap fee program for a conservative, low-trading-activity client whose actual transaction costs would have been a fraction of the wrap fees charged, constituting reverse churning and a breach of fiduciary duty.

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NON-COMPLIANT

Topic: fiduciary_duty_complex_etp_holding_period

Difficulty: hard

Standard: Investment Advisers Act of 1940 §§ 206(1), 206(2), 206(4); Rule 206(4)-7 (Compliance Programs);
Fiduciary duty of care for discretionary investment advisers; Product-specific suitability obligations

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Ridgeline Capital Advisors, LLC ("Ridgeline") is a registered investment adviser based in Stamford, Connecticut, with approximately \$185 million in assets under management across 612 client accounts. Derek Winslow is Ridgeline's founder, chief compliance officer, and sole portfolio manager. Ridgeline exercises full discretionary authority over all client accounts pursuant to its advisory agreements, which state that Ridgeline owes a fiduciary duty to act in clients' best interests and will manage portfolios consistent with each client's stated investment objectives and risk tolerance.

On March 14, 2022, Winslow purchased a 4.5% allocation in the ProShares Ultra VIX Short-Term Futures ETF ("UVXY") across 387 of Ridgeline's 612 client accounts, including accounts belonging to retirees with conservative income-oriented investment objectives. UVXY is a leveraged volatility-linked exchange-traded product whose prospectus explicitly warns that it is intended for short-term trading, will likely lose value if held over periods longer than a single trading session due to the effects of daily rebalancing and contango in VIX futures, and is not suitable for buy-and-hold investors. Winslow believed elevated market volatility would persist through mid-2022 due to the Federal Reserve's anticipated interest rate increases and geopolitical uncertainty related to the Russia-Ukraine conflict.

Winslow did not reduce or liquidate the UVXY positions until June 27, 2022--73 trading days after the initial purchase. During this holding period, UVXY declined approximately 58% in value, resulting in aggregate client losses of approximately \$1.83 million across the 387 accounts. Winslow did not document any analysis of UVXY's risk characteristics, did not assess the suitability of the product for each client's individual profile, did not monitor the positions on a daily basis as the product's prospectus recommended, and did not disclose to clients that he was allocating their assets to a leveraged volatility product. Ridgeline's compliance manual contained no policies or procedures addressing the use of complex or leveraged exchange-traded products, holding period limitations, or concentration limits for speculative instruments. Several clients, including Harold Greenbaum (age 74, retired schoolteacher with a \$320,000 account designated as 'conservative-income') and Maria Santos (age 68, retired nurse with a \$275,000 account designated as 'moderate-conservative'), suffered losses of \$6,624 and \$5,692 respectively from the UVXY allocation alone.

Question

Did Ridgeline Capital Advisors and Derek Winslow violate their fiduciary duties under the Investment Advisers Act of 1940 by purchasing and holding UVXY across discretionary client accounts for 73 trading days without conducting individualized suitability analysis, without monitoring the positions as recommended by the product's prospectus, and without adopting adequate compliance policies?

Answer

Yes, Ridgeline and Winslow violated Sections 206(1) and 206(2) of the Investment Advisers Act of 1940 (15 U.S.C. §§ 80b-6(1) and 80b-6(2)), which prohibit investment advisers from employing any device, scheme, or artifice to defraud clients or engaging in any transaction, practice, or course of business that operates as a fraud or deceit upon clients.

These provisions impose a fiduciary duty of care and loyalty on registered investment advisers. Additionally, Ridgeline violated Section 206(4) and Rule 206(4)-7 thereunder, which require advisers to adopt and implement written compliance policies and procedures reasonably designed to prevent violations of the Advisers Act.

The fiduciary duty of care requires an adviser exercising discretionary authority to have a reasonable basis for investment decisions and to act in each client's best interest. Here, Winslow purchased UVXY--a leveraged, short-term volatility product whose own prospectus states it is designed for intraday or very short-term holding periods and will likely lose value if held longer--across 387 accounts without any documented analysis of the product's risk characteristics or suitability for individual clients. This is directly analogous to the SEC's findings in the Summit Planning Group matter, where VXX was held for 34 to 86 trading days in contravention of the product's stated design. Winslow held UVXY for 73 trading days, even longer than several of the Summit holding periods, and UVXY carries additional risk as a leveraged product.

Critically, the allocation was applied indiscriminately to accounts with vastly different risk profiles. Placing a 4.5% allocation in a leveraged volatility ETP in the accounts of retirees like Harold Greenbaum and Maria Santos--whose accounts were designated conservative-income and moderate-conservative respectively--demonstrates a failure to perform individualized suitability analysis, a core component of the fiduciary duty of care. The lack of daily monitoring, as recommended by the prospectus, further evidences a breach of the ongoing duty to monitor discretionary positions.

Ridgeline's failure to maintain any compliance policies addressing the use of complex or leveraged ETPs, holding period guardrails, or concentration limits for speculative instruments constitutes a standalone violation of Rule 206(4)-7. The compliance manual's silence on these topics meant there was no mechanism to flag or prevent precisely this type of harm. The defense that Winslow held a good-faith macroeconomic thesis does not excuse the failure to evaluate product-specific risks, match positions to individual client objectives, or implement any risk controls. The \$1.83 million in aggregate client losses was a foreseeable consequence of holding a product explicitly designed against extended holding periods.

Key Factor

The adviser used discretionary authority to purchase and hold a leveraged volatility-linked ETP designed for short-term trading across hundreds of client accounts for 73 trading days without individualized suitability analysis, daily monitoring, or any compliance policies governing complex product usage.

Item 91 of 499

NON-COMPLIANT

Topic: fiduciary_duty_overexposure_option_overlay

Difficulty: hard

Standard: Investment Advisers Act of 1940, Section 206(2) (fraud/deceit by adviser); Section 206(4) (fraudulent practices); Rule 206(4)-7 (compliance policies and procedures); Sarbanes-Oxley Act of 2002, Section 308(a) (Fair Fund); SEC Rules on Fair Fund and Disgorgement Plans, Rule 1103

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Northstar Wealth Advisors, LLC ('Northstar'), a dually registered broker-dealer and investment adviser based in Boston, Massachusetts, maintained a referral arrangement with Pinnacle Options Group LLC ('Pinnacle'), a registered investment adviser specializing in structured option overlay strategies. Under the arrangement, Northstar referred high-net-worth clients--primarily retirees with balanced portfolios ranging from \$2 million to \$15 million--to Pinnacle for management of Pinnacle's 'Enhanced Yield Collar Strategy' ('EYCS'). Each referred client signed an Investment Management Agreement specifying that EYCS option positions would not exceed a notional exposure of 50% of the client's designated collateral account value.

Between June 2019 and November 2021, Pinnacle systematically executed EYCS option positions at notional levels ranging from 75% to 130% of clients' designated collateral values for 312 of the 408 referred accounts. This overexposure generated approximately \$4.8 million in excess management fees for Pinnacle (calculated as 1.25% annually on notional amounts) and resulted in aggregate realized losses of \$6.2 million during the March 2020 market downturn for overexposed clients. Pinnacle's Chief Compliance Officer, Sandra Ellison, had flagged the notional drift issue in an internal memo dated January 2020 but no remedial action was taken, and no written compliance policies or procedures addressed monitoring of authorized notional limits.

Northstar's financial advisers received monthly portfolio reports from Pinnacle that clearly showed notional exposure percentages exceeding the IMA-authorized levels. Despite this visibility, Northstar did not alert affected clients, did not escalate the issue internally, and continued to refer new clients to Pinnacle. Northstar's own supervisory procedures manual contained a section on third-party manager oversight, but it did not specifically address monitoring notional exposure limits in option overlay strategies. Client Margaret Yuen, age 72, with a \$5.4 million retirement portfolio and a moderate risk tolerance, was among those overexposed at 118% notional, resulting in \$187,000 in excess losses during Q1 2020 and \$14,200 in excess fees. She was never informed of the deviation from her IMA terms.

Northstar earned approximately \$1.6 million in referral fees from Pinnacle during the relevant period, and Pinnacle earned a total of \$9.1 million in management fees, of which the \$4.8 million attributable to overexposure was in excess of what would have been earned under IMA-compliant execution.

Question

Did Northstar and Pinnacle each violate their fiduciary duties under the Investment Advisers Act, and what specific statutory and regulatory provisions were breached by their respective conduct?

Answer

Both Northstar and Pinnacle violated their fiduciary obligations under the Investment Advisers Act of 1940, and the violations are independently actionable against each respondent.

Pinnacle's Violations: Pinnacle willfully violated Section 206(2) of the Advisers Act, which prohibits an investment adviser from engaging in any transaction, practice, or course of business that operates as a fraud or deceit upon any client. By systematically executing EYCS option positions at notional levels materially exceeding the amounts clients expressly authorized in their IMAs--in some cases by more than double the authorized limit--Pinnacle engaged in a course of business that was deceptive and breached the contractual and fiduciary obligations owed to each client. The IMA represented the client's informed consent to a defined level of risk; exceeding that level without disclosure or re-authorization is inherently fraudulent under Section 206(2), which does not require scienter--negligence suffices. Additionally, Pinnacle willfully violated Section 206(4) of the Advisers Act and Rule 206(4)-7 thereunder by failing to adopt and implement written compliance policies and procedures reasonably designed to prevent overexposure. The January 2020 internal memo from CCO Ellison documenting the notional drift--with no subsequent remediation--demonstrates that Pinnacle had actual awareness of the compliance gap yet failed to implement any monitoring controls. Rule 206(4)-7 requires policies reasonably designed to prevent violations; the complete absence of procedures governing notional limit monitoring is a textbook violation.

Northstar's Violations: As a dually registered investment adviser, Northstar owed independent fiduciary duties to clients it referred to Pinnacle. Northstar willfully violated Section 206(2) of the Advisers Act because it knew or reasonably should have known--based on the monthly portfolio reports it received--that clients' actual notional exposure materially exceeded IMA-authorized levels, yet it failed to notify affected clients or take any remedial action. An investment adviser's fiduciary duty includes the obligation to disclose material information, and overexposure to an option overlay strategy that directly increases both risk and fees is plainly material. Northstar's continued referrals and silence constituted a breach of its duty of care and loyalty. Northstar also violated Section 206(4) and Rule 206(4)-7 by failing to maintain compliance policies specifically addressing oversight of third-party manager adherence to IMA terms, despite its supervisory procedures manual containing a general section on third-party oversight.

Neither respondent can claim reliance on the other as a defense. Pinnacle cannot deflect responsibility to Northstar for failing to catch the overexposure, and Northstar cannot claim it delegated investment management authority; the fiduciary duty to disclose known material deviations is non-delegable. The Commission would likely order disgorgement of excess fees, prejudgment interest, and civil money penalties, potentially establishing a combined Fair Fund under Sarbanes-Oxley Section 308(a) for distribution to harmed investors.

Key Factor

Both the executing adviser and the referring adviser independently breached their fiduciary duties by permitting and failing to disclose option overlay notional exposures that materially exceeded client-authorized levels under the Investment Management Agreement.

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NON-COMPLIANT

Topic: excessive_trading_churning_supervision_failure

Difficulty: hard

Standard: Regulation Best Interest: Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation) and Rule 15l-1(a)(2)(iv) (Compliance Obligation); Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5; Section 17(a)(1) of the Exchange Act and Rule 17a-14; FINRA Rules 2020, 2010, 3110(a), and 3110(b)

Source: 03_FINRA_AWC

Fact Pattern

Coastal Ridge Securities LLC is a small introducing broker-dealer based in Toms River, New Jersey, with eight registered representatives, registered with FINRA since 2016. The firm generates substantially all of its revenue from commissions on equity trades in retail customer accounts. Between January 2021 and March 2023, three of the firm's representatives--Mark Delano (CRD No. 5542198), Patricia Hwang (CRD No. 6218734), and Steven Briggs (CRD No. 4891003)--collectively engaged in a pattern of high-frequency trading across 74 customer accounts. The customers were predominantly retirees aged 62 to 81, with moderate risk tolerances and investment objectives listed as 'income' or 'growth and income,' and liquid net worths ranging from \$150,000 to \$800,000.

During the relevant period, the 74 accounts generated aggregate commissions and trading costs of \$2,487,310. The annualized cost-to-equity ratios in these accounts ranged from 24.3% to 97.8%, meaning customers needed to earn returns of at least 24.3% to 97.8% annually just to break even after paying trading costs. Annualized turnover rates ranged from 7.12 to 28.6, reflecting that portfolios were being fully liquidated and reconstituted multiple times per year. Of the 74 excessively traded accounts, 31 were also churned--meaning the representatives exercised de facto control over these accounts and traded them with scienter to generate commissions. Every one of the 74 accounts suffered net realized losses during the period.

In September 2020, following a FINRA examination, Coastal Ridge represented to FINRA staff that it had overhauled its supervisory system. The firm submitted revised Written Supervisory Procedures stating that the designated supervising principal, Chief Compliance Officer Dana Kowalski, would review monthly active account exception reports generated by the firm's clearing firm, send active account inquiry letters to customers whose accounts exceeded cost-to-equity or turnover rate thresholds, and document all supervisory reviews. However, an investigation revealed that from September 2020 through at least January 2023, Kowalski never reviewed the monthly exception reports, never sent active account letters, and maintained no documentation of supervisory reviews of trading activity. Additionally, the firm's Form CRS, filed November 2020 and remaining in effect through March 2023, stated: 'We monitor your account on an ongoing basis using daily exception reports to identify unusual trading patterns.' In fact, the firm did not utilize daily exception reports and had no systematic monitoring process in place.

Delano, Hwang, and Briggs each had prior regulatory histories, including customer complaints alleging excessive trading at prior firms. Kowalski was aware of these histories at the time of hiring but took no enhanced supervisory measures.

Question

Did Coastal Ridge Securities LLC and its representatives violate Regulation Best Interest's Care and Compliance Obligations, antifraud provisions, and FINRA supervisory rules through their trading activity, supervisory failures, and misleading Form CRS disclosures?

Answer

Yes. Coastal Ridge Securities LLC committed multiple serious violations across several regulatory frameworks.

First, the excessive trading and churning violated Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii). The Care Obligation requires broker-dealers and associated persons to exercise reasonable diligence, care, and skill to have a reasonable basis to believe that a series of recommended transactions is not excessive and is in the retail customer's best interest in light of the customer's investment profile. Here, annualized cost-to-equity ratios of 24.3% to 97.8% and turnover rates of 7.12 to 28.6 far exceed accepted thresholds (cost-to-equity above 20% and turnover above 6 are generally presumptive of excessive trading). The customer profiles--retirees with moderate risk tolerances and income-oriented objectives--make the trading patterns even more egregious. The firm is liable for these violations because its representatives acted within the scope of their association.

Second, the churning of the 31 accounts in which representatives exercised de facto control with scienter to generate commissions constitutes a violation of Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5, as well as FINRA Rule 2020 (prohibiting manipulative, deceptive, or fraudulent conduct). Churning requires (1) control over the account, (2) excessive trading, and (3) scienter. All three elements are satisfied given the representatives' de facto control, the extreme quantitative metrics, and the inference of scienter from the pattern of trading that produced losses for customers and commissions for representatives.

Third, Coastal Ridge willfully violated Reg BI's Compliance Obligation by failing to establish, maintain, and enforce policies and procedures reasonably designed to achieve compliance with Reg BI. The firm's complete failure to implement the supervisory measures it committed to--reviewing monthly exception reports, sending active account letters, documenting supervisory reviews--constitutes a violation of FINRA Rules 3110(a) and (b) (requiring reasonable supervisory systems and WSPs) and FINRA Rule 2010 (requiring observance of high standards of commercial honor).

Fourth, the false statements in Form CRS--claiming ongoing monitoring via daily exception reports when no such monitoring occurred--constitute willful violations of Section 17(a)(1) of the Exchange Act and Rule 17a-14, which requires accurate Form CRS disclosures, and FINRA Rule 2010. The misrepresentation is particularly egregious because it directly related to the firm's capacity to protect customers from the very harm that materialized.

The firm's prior representations to FINRA that it had remediated its supervisory deficiencies, followed by complete non-implementation, is a significant aggravating factor. The hiring of representatives with prior excessive trading complaints without enhanced supervision further demonstrates systemic supervisory failure.

Key Factor

The firm's complete failure to implement promised supervisory measures--including reviewing exception reports, sending active account letters, and documenting reviews--allowed systematic excessive trading and churning across 74 accounts to persist undetected for over two years, directly causing \$2,487,310 in trading costs and net losses to predominantly elderly retail customers.

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NON-COMPLIANT

Topic: regbi_care_obligation_options_suitability

Difficulty: hard

Standard: SEC Rule 15l-1(a)(1) and (a)(2)(ii) (Regulation Best Interest - General Obligation and Care Obligation); Release No. 34-86031 (Reg BI Adopting Release); FINRA Rule 2360(b)(19)(A) (Options Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Brennan, CRD No. 7231445, has been a registered General Securities Representative associated with Ridgepoint Securities, LLC (CRD No. 18923) since March 2019. In January 2022, Brennan onboarded three new retail customers--all retirees--who transferred accounts from a prior adviser. The first customer, Dorothy Huang, age 72, is a retired schoolteacher with a \$485,000 brokerage account, a moderate risk tolerance, a balanced allocation investment objective, an investment time horizon of 10-15 years, and annual income of approximately \$42,000 from Social Security and a small pension. The second customer, Gerald Pratt, age 69, is a retired postal worker with \$310,000 in investable assets, a moderate risk tolerance, a growth-and-income objective, and annual income of \$38,000. The third customer, Helen Cosgrove, age 74, is a retired nurse with \$620,000 in her brokerage account, a moderate risk tolerance, a balanced allocation objective, and annual income of \$51,000 from Social Security and a 403(b) distribution.

Beginning in February 2022 and continuing through April 2023, Brennan recommended that all three customers sell uncovered (naked) put options on high-volatility technology and biotech stocks including Palantir Technologies (PLTR), Rivian Automotive (RIVN), and Moderna (MRNA). Over this 14-month period, Brennan executed approximately 187 short put contracts across the three accounts--68 in Huang's account, 52 in Pratt's account, and 67 in Cosgrove's account. The notional exposure from these short puts at various times exceeded the total account value for each customer. When the underlying stocks declined sharply during the technology selloff in the second half of 2022, many of the puts were assigned, forcing the customers to purchase shares at well-above-market prices. Huang suffered realized losses of approximately \$137,000 (28% of her account), Pratt suffered losses of approximately \$98,000 (32% of his account), and Cosgrove suffered losses of approximately \$174,000 (28% of her account).

Brennan collected approximately \$14,200 in aggregate commissions from these options transactions. Ridgepoint's options principal approved the accounts for Level 3 options trading but did not document any individualized review of why speculative short put strategies were appropriate for retirees with moderate risk tolerances and balanced objectives. When the firm's compliance department flagged the concentrated options activity in October 2022, Brennan responded via email that the customers 'understood the risks and wanted income,' but he could produce no written notes, emails, or recorded calls documenting any such conversations or any updated customer investment profiles reflecting a change in risk tolerance or objectives.

Question

Did Brennan's recommendations of speculative short put options strategies to these three senior retail customers violate Regulation BI's Care Obligation, FINRA Rule 2360(b)(19)(A), and FINRA Rule 2010?

Answer

Yes. Brennan's conduct violated Regulation BI (Exchange Act Rule 15l-1(a)(1) and (a)(2)(ii)), FINRA Rule 2360(b)(19)(A), and FINRA Rule 2010, and his pattern of recommendations closely mirrors the violations in the Zachary

Taylor AWC (No. 2022075083801).

****Regulation BI - Care Obligation (Rule 15l-1(a)(2)(ii)):** Reg BI requires that when making a recommendation to a retail customer, an associated person must exercise reasonable diligence, care, and skill to have a reasonable basis to believe the recommendation is in the best interest of that particular retail customer, based on the customer's investment profile--including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. The Adopting Release (Release No. 34-86031) emphasizes that where the 'match' between the recommendation and the customer's profile appears less reasonable, the associated person bears a heightened burden to document the basis for his belief. Here, all three customers were senior retirees (ages 69-74), had moderate risk tolerances, balanced or growth-and-income objectives, and relied on fixed income. Selling uncovered puts on high-volatility technology and biotech stocks is a speculative strategy that exposes the seller to substantial downside risk--potentially exceeding the entire account value. The notional exposure in each account exceeded total account value, a fact fundamentally irreconcilable with moderate risk tolerance and balanced objectives. Brennan had no documented basis to believe these recommendations matched the customers' profiles. His after-the-fact assertion that customers 'wanted income' is insufficient absent contemporaneous documentation of a meaningful change in investment profile.

****FINRA Rule 2360(b)(19)(A):** This rule prohibits an associated person from recommending an options transaction unless the person has a reasonable basis for believing the customer has sufficient knowledge, experience, and financial resources to bear the risks of the proposed transaction. Senior retirees with moderate profiles and fixed incomes are textbook examples of customers for whom speculative short put strategies are inappropriate. Ridgepoint's options principal approved Level 3 trading without individualized documentation, compounding the failure.

****FINRA Rule 2010:** Brennan's conduct--recommending unsuitable speculative strategies that generated \$14,200 in personal commissions while exposing vulnerable retirees to catastrophic losses--falls below the standards of commercial honor and just and equitable principles of trade required by Rule 2010.

No viable defense exists. The absence of any contemporaneous documentation, updated customer profiles, or recorded acknowledgments of changed risk tolerance fatally undermines any claim of informed customer consent. The losses--ranging from 28% to 32% of account value--confirm the materiality of the mismatch.

Key Factor

Brennan recommended speculative short put options on high-volatility stocks to senior retirees with moderate risk tolerances and balanced objectives, creating notional exposure exceeding account values, with no documented reasonable basis to believe the recommendations matched the customers' investment profiles.

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NON-COMPLIANT

Topic: excessive_trading_reg_bi_care_obligation

Difficulty: hard

Standard: SEC Exchange Act Rule 15l-1(a)(1) (Regulation Best Interest - General Obligation); Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(c) (Quantitative Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Release No. 34-86031

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Redfield, CRD No. 5521489, has been a registered General Securities Representative associated with Patriot Securities Group (CRD No. 18224) since April 2017. From July 2020 through September 2023, Redfield served as the primary broker for two retail customers: Customer A, a 68-year-old retired postal worker named Gloria Stanton with a stated annual income of \$42,000 (Social Security and a modest pension), liquid net worth of approximately \$285,000, a moderate risk tolerance, and a stated investment objective of income with capital preservation; and Customer B, Raymond Cho, a 57-year-old small business owner with an annual income of \$115,000, a liquid net worth of approximately \$520,000, a moderate-to-growth risk tolerance, and a stated objective of growth.

For Customer A (Gloria Stanton), Redfield recommended 147 transactions between July 2020 and August 2023 in her \$195,000 account, generating approximately \$47,300 in commissions and fees. The annualized turnover rate in her account was 9.4 and the cost-to-equity ratio was 28.7%. The trading consisted predominantly of in-and-out trades in mid-cap equities, with average holding periods of approximately 18 days. Gloria's account declined by \$61,200 over the period, while Redfield earned commissions on each round-trip trade. Gloria had not expressed any desire for active trading and had told Redfield during their initial meeting that she wanted 'something safe that pays dividends so I don't have to worry.'

For Customer B (Raymond Cho), Redfield recommended 89 transactions between July 2020 and September 2023 in his \$340,000 account. The annualized turnover rate was 7.1, and the cost-to-equity ratio was 23.4%. Redfield executed frequent switches between growth-oriented ETFs and individual tech stocks, generating approximately \$64,800 in commissions. Cho's account experienced a net loss of \$97,300 during the period. Cho had given Redfield discretionary authority over trade execution timing but had not authorized the level or frequency of trading that occurred.

Patriot Securities Group's supervisory system flagged Stanton's account twice during 2021 for high turnover, but the branch manager, Karen Liu, accepted Redfield's explanation that the customer had verbally approved each trade and cleared the exception reports without further investigation or direct contact with the customer. Cho's account was never flagged because the firm's automated surveillance thresholds were set at a turnover rate of 8.0, which Cho's account did not exceed until Q3 2023.

Question

Did Marcus Redfield violate Regulation BI's Care Obligation and FINRA Rules 2111 and 2010 through his pattern of trading in the accounts of Gloria Stanton and Raymond Cho, and what are the key factors supporting that conclusion?

Answer

Redfield violated Regulation Best Interest (Exchange Act Rule 15l-1(a)(1)) and its Care Obligation (Rule 15l-1(a)(2)(ii)), as well as FINRA Rules 2111 and 2010, with respect to both customer accounts.

Starting with the legal framework: Reg BI, effective June 30, 2020, requires that when a broker-dealer or associated person recommends a securities transaction or investment strategy to a retail customer, they must act in the best interest of that customer without placing their own financial interest ahead of the customer's. The Care Obligation under Rule 15l-1(a)(2)(ii) specifically requires reasonable diligence, care, and skill to ensure that a series of recommended transactions, even if individually justifiable, is not excessive and remains in the customer's best interest in light of the customer's investment profile.

Three quantitative metrics are central to an excessive trading analysis: turnover rate, cost-to-equity ratio, and the presence of in-and-out trading. A turnover rate of six or more and a cost-to-equity ratio above 20% generally indicate excessive trading. For Gloria Stanton, the annualized turnover rate of 9.4 and cost-to-equity ratio of 28.7% both dramatically exceed these benchmarks. For Raymond Cho, the turnover rate of 7.1 and cost-to-equity ratio of 23.4% likewise exceed them. Both accounts exhibited classic in-and-out trading patterns with short holding periods.

Importantly, under Reg BI's Care Obligation, the element of de facto control--previously required under FINRA Rule 2111.05(c)'s quantitative suitability component--was removed as of June 30, 2020. Thus, for the post-June 2020 period, Redfield need not have exercised control over the accounts for the trading to be deemed excessive under Reg BI; it is sufficient that he recommended the transactions. Nonetheless, control is evident here: Stanton was a passive, unsophisticated retiree who relied entirely on Redfield's recommendations, and Cho had granted discretionary authority over trade execution.

Redfield's conduct also violated FINRA Rule 2111 for any trading recommendations that predate Reg BI's applicability, though in this case all relevant trading post-dates June 30, 2020. Rule 2111 remains in effect but yields to Reg BI for retail customer recommendations after that date. Regardless of which standard applies, the excessive trading constitutes a violation of FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade, as a violation of either Reg BI or Rule 2111 independently constitutes a Rule 2010 violation.

Redfield cannot credibly defend on the basis that customers approved individual trades. Oral authorization of each trade does not cure a pattern of excessive trading that is inconsistent with a customer's stated investment profile. Stanton explicitly requested conservative, income-oriented investments, and Cho's growth objective did not contemplate hyper-active commission-generating trading. The aggregate commission drag made it virtually impossible for either customer to earn positive returns, which is precisely what the cost-to-equity ratio demonstrates.

Key Factor

The annualized turnover rates (9.4 and 7.1) and cost-to-equity ratios (28.7% and 23.4%) for both customers substantially exceeded the generally accepted thresholds of 6.0 and 20%, respectively, establishing that the recommended trading was excessive and not in the retail customers' best interests.

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NON-COMPLIANT

Topic: reg_bi_care_obligation_deficiency

Difficulty: hard

Standard: SEC Rule 15l-1 (Regulation Best Interest) -- specifically Rule 15l-1(a)(2)(ii)(B) (Care Obligation), Rule 15l-1(a)(2)(ii)(C) (Conflict of Interest Obligation), Rule 15l-1(a)(2)(ii)(D) (Compliance Obligation); Exchange Act Release No. 34-86031 (Adopting Release, June 5, 2019); SEC Division of Examinations Risk Alert dated January 30, 2023

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Greenfield Capital Securities, LLC is a mid-sized broker-dealer registered with the SEC and FINRA, headquartered in Tampa, Florida, with approximately 180 registered representatives serving primarily retail customers. On September 14, 2022, financial professional David Kowalski recommended that his client, Margaret Ouellet, a 68-year-old recently retired schoolteacher with a \$410,000 rollover IRA and moderate risk tolerance, invest \$205,000 (approximately 50% of her liquid retirement assets) in a non-traded REIT called Pinnacle Healthcare Properties Trust, which carried a 7% upfront commission, a 10-year liquidity horizon, and limited redemption features. Margaret's stated investment objectives were income generation and capital preservation to fund living expenses throughout retirement. Her annual income from Social Security and a small pension totaled \$38,000, and her monthly expenses were approximately \$3,200.

Kowalski's recommendation was generated in part by Greenfield's internal product committee, which had approved the Pinnacle REIT for sale on the firm's platform. However, the firm's written policies and procedures for Reg BI compliance did not require financial professionals to document the basis for why a specific product was in a particular retail customer's best interest relative to other reasonably available alternatives. Instead, the firm's procedures merely required representatives to confirm that the product was on the approved list and that the customer's risk tolerance was at least 'moderate.' Greenfield did not maintain any systematic process for comparing costs, liquidity features, or risk profiles of the Pinnacle REIT against other income-generating alternatives such as investment-grade bond funds, dividend equity ETFs, or publicly traded REITs, all of which were also available on the firm's platform at substantially lower cost and with daily liquidity.

During a subsequent SEC Division of Examinations sweep in March 2023, examiners reviewed Kowalski's transaction documentation and found no written rationale explaining why the illiquid, high-commission non-traded REIT was in the best interest of a 68-year-old retiree who needed accessible income and capital preservation. The examiners also found that Greenfield's compliance department had not conducted any post-trade surveillance or exception reporting on concentration in illiquid products among retirement-age clients. Kowalski received \$14,350 in gross commissions on the transaction, compared to the approximately \$1,025 he would have earned had Margaret been placed in a comparable publicly traded REIT ETF.

Question

Did Greenfield Capital Securities and its financial professional David Kowalski comply with the Care Obligation and Compliance Obligation under Regulation Best Interest in recommending the non-traded REIT to Margaret Ouellet?

Answer

No. Both Greenfield Capital Securities and David Kowalski violated Regulation Best Interest, specifically the Care

Obligation under Rule 15l-1(a)(2)(ii)(B) and the Compliance Obligation under Rule 15l-1(a)(2)(ii)(D), and the firm's policies and procedures were deficient under the Conflict of Interest Obligation as well.

Care Obligation (Rule 15l-1(a)(2)(ii)(B)): The Care Obligation requires that a broker-dealer and its financial professionals exercise reasonable diligence, care, and skill to (1) understand the potential risks, rewards, and costs associated with the recommendation; (2) have a reasonable basis to believe that the recommendation is in the best interest of the particular retail customer based on that customer's investment profile; and (3) have a reasonable basis to believe the recommendation does not place the financial professional's interest ahead of the retail customer's. Here, Kowalski recommended concentrating 50% of a 68-year-old retiree's liquid retirement savings in a product with a 10-year liquidity horizon and a 7% upfront commission, when the customer's stated objectives were income and capital preservation to fund ongoing living expenses. The illiquidity of the non-traded REIT is fundamentally at odds with Margaret's need for accessible capital during retirement. Moreover, the SEC's Adopting Release (Release No. 34-86031) makes clear that the Care Obligation requires consideration of reasonably available alternatives. Greenfield's platform offered publicly traded REIT ETFs, investment-grade bond funds, and dividend equity strategies -- all of which provided income generation with daily liquidity and dramatically lower costs. The absence of any documented analysis comparing these alternatives to the recommended product demonstrates a failure to exercise reasonable diligence, care, and skill.

Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(C)): The 14:1 compensation differential (\$14,350 vs. \$1,025) created an acute financial conflict. Greenfield's policies did not require any process for identifying or mitigating the incentive to recommend higher-commission products, nor did the firm require documentation of why a costlier product was nevertheless in the customer's best interest -- a specific weakness highlighted in the January 2023 Risk Alert.

Compliance Obligation (Rule 15l-1(a)(2)(ii)(D)): Greenfield failed to establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance. Specifically, the firm's procedures did not require product-level best-interest documentation, did not implement post-trade surveillance for concentration in illiquid products among vulnerable populations, and relied on a checkbox confirmation of risk tolerance rather than a substantive suitability-plus analysis. These are precisely the types of weak practices the Division of Examinations flagged in its January 30, 2023 Risk Alert as likely to result in deficiencies. The firm's approved-product-list approach, without more, does not satisfy Reg BI's enhanced standard.

Key Factor

The firm's policies and procedures failed to require financial professionals to document a reasonable basis for believing that a specific product recommendation was in the retail customer's best interest relative to reasonably available lower-cost, more liquid alternatives, and the financial professional recommended concentrating 50% of a retiree's liquid assets in an illiquid, high-commission product misaligned with her stated need for income accessibility and capital preservation.

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NON-COMPLIANT

Topic: churning_excessive_trading_fake_statements

Difficulty: hard

Standard: SEC Rule 15l-1 (Regulation Best Interest), Care Obligation (Rule 15l-1(a)(2)(ii)); FINRA Rule 2111 (Suitability); FINRA Rule 2020 (Fraud); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 8210 (Provision of Information and Testimony); Section 10(b) of the Securities Exchange Act of 1934; Rule 10b-5 thereunder

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Hale (CRD No. 5612088) has been a General Securities Representative registered with Pinnacle Capital Securities, a mid-sized FINRA member broker-dealer, since March 2018. Hale services approximately 85 retail client accounts from his branch office in Scottsdale, Arizona. Between January 2022 and January 2023, Hale exercised de facto control over three accounts belonging to four customers: (1) a joint brokerage account held by Gerald and Patricia Novak, both retired school teachers aged 72 and 69 respectively, with a moderate risk tolerance and average account equity of approximately \$380,000; (2) an individual account held by Diane Whitfield, a 66-year-old retired nurse with a conservative risk tolerance and average account equity of approximately \$290,000; and (3) a trust account held by Raymond Cho, a 74-year-old widower with moderate risk tolerance and average account equity of \$510,000. None of these customers had meaningful trading experience, and all relied almost entirely on Hale's recommendations.

During the twelve-month period, Hale directed over 4,100 trades across the three accounts representing net trading volume exceeding \$275 million. In the Novak joint account, Hale executed an average of 95 trades per month, generating an annualized cost-to-equity ratio of 34% and an annualized turnover rate of 42 (excluding options). In the Whitfield account, the cost-to-equity ratio was 29% with a turnover rate of 36. In the Cho trust account, the cost-to-equity ratio was 38% with a turnover rate of 54. Across all three accounts, customers collectively lost approximately \$1.8 million in account value and paid more than \$560,000 in total trading costs and margin interest, of which approximately \$470,000 was in commissions paid to Hale.

Beginning in May 2022, after the Novaks expressed concern about a decline in their account value during a phone call, Hale began generating falsified account statements using a template he created in Adobe InDesign that mimicked Pinnacle Capital's official format. Over the next eight months, Hale emailed seven fabricated statements to the Novaks from his personal Gmail account, each showing inflated portfolio values and fabricated gains. When Patricia Novak asked why the statements looked slightly different from earlier ones, Hale told her the firm had updated its statement format. Additionally, during a FINRA Rule 8210 investigation initiated in February 2023, Hale provided false written responses claiming the Novaks had independently directed all trading activity, and during subsequent on-the-record testimony in April 2023, he falsely testified that he had never sent any account statements directly to customers from a personal email address.

Question

Did Marcus Hale's conduct -- including the pattern of trading, fabrication of account statements, and false statements during the FINRA investigation -- violate applicable FINRA rules and SEC regulations, and what specific violations are implicated?

Answer

Marcus Hale's conduct constitutes multiple serious violations of FINRA rules and federal securities regulations.

First, the trading activity across all three accounts constitutes churning and excessive trading in violation of SEC Rule 15l-1 (Regulation Best Interest) and FINRA Rules 2111 (Suitability) and 2020 (Use of Manipulative, Deceptive or Other Fraudulent Devices). Churning requires three elements: (1) the registered representative exercised control over the account; (2) the trading was excessive in light of the customer's investment objectives; and (3) the representative acted with scienter. Here, all four customers lacked meaningful trading experience and relied entirely on Hale's recommendations, establishing de facto control. The quantitative indicia are overwhelming: annualized cost-to-equity ratios of 29% to 38% far exceed the 20% threshold courts and FINRA have treated as presumptively excessive. Turnover rates of 36 to 54 dramatically exceed the threshold of 6, which is widely recognized as indicative of excessive trading. The fact that Hale generated \$470,000 in personal commissions while his customers collectively lost \$1.8 million powerfully demonstrates scienter -- he traded to enrich himself at his customers' expense.

Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill in making recommendations, including having a reasonable basis to believe the recommendation is in the customer's best interest and does not place the financial interest of the broker ahead of the customer's. Hale's trading pattern -- averaging 95 trades per month in the Novak account alone with no rational investment purpose -- is fundamentally incompatible with the Care Obligation.

Second, the fabrication of account statements violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and constitutes fraud under Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5. Creating seven falsified statements designed to conceal losses and inflate portfolio values is a textbook material misrepresentation directed at customers to prevent them from discovering the harm caused by churning.

Third, Hale's false written responses and perjured on-the-record testimony during the FINRA Rule 8210 investigation violate FINRA Rules 8210 (Provision of Information and Testimony) and 2010. Providing false information to FINRA during an investigation is independently sanctionable conduct that FINRA treats with particular severity, as it undermines the self-regulatory process itself.

No viable defense exists. Hale cannot claim the customers directed trading when the quantitative evidence and customer profiles demonstrate otherwise, and his attempt to do so during testimony compounds his violations. The totality of conduct -- churning, fabricating documents, and lying to regulators -- would warrant severe sanctions including a permanent bar from the securities industry, disgorgement of commissions, and restitution.

Key Factor

Hale exercised de facto control over accounts of unsophisticated retirees and directed over 4,100 trades generating annualized cost-to-equity ratios up to 38% and turnover rates up to 54, resulting in \$1.8 million in customer losses while earning \$470,000 in personal commissions, and then fabricated account statements and lied to FINRA to conceal the scheme.

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NON-COMPLIANT

Topic: regbi_care_obligation_options_suitability

Difficulty: hard

Standard: SEC Exchange Act Rule 15l-1(a)(1) and 15l-1(a)(2)(ii) (Regulation Best Interest - General Obligation and Care Obligation); Release No. 34-86031 (Reg BI Adopting Release); FINRA Rule 2360(b)(19) (Options Suitability); FINRA Rule 4511 (Books and Records); FINRA Rule 3260(b) (Discretionary Accounts); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Delano Wright, CRD No. 5498321, has been a registered representative with Pinnacle Securities Group, LLC since March 2017. In July 2022, Wright began working with a new retail customer, Patricia Caldwell, a 68-year-old recently widowed retired schoolteacher. Caldwell's account opening documents, which Wright helped her complete, indicated annual income of \$42,000 (pension and Social Security), liquid net worth of \$310,000, total net worth of \$485,000 (including her paid-off home), a conservative risk tolerance, an investment objective of 'income and capital preservation,' limited investment experience consisting only of certificates of deposit and a single balanced mutual fund held for 15 years, and an investment time horizon of 5-10 years. Caldwell told Wright that the \$310,000 represented her entire retirement savings and that she could not afford to lose principal.

Between September and November 2022, Wright recommended and executed a series of 14 short put option transactions on volatile technology and biotech stocks--including NVDA, TSLA, and MRNA--in Caldwell's account. The notional exposure from these positions totaled approximately \$487,000, far exceeding her liquid net worth. Wright earned approximately \$6,800 in commissions from these transactions. When two of the short puts were assigned in October 2022 during a market downturn, Caldwell was obligated to purchase shares worth \$138,000, resulting in unrealized losses of approximately \$41,500 within three weeks. Caldwell had no prior options trading experience and did not understand the obligation associated with selling put options.

In January 2023, following an internal review triggered by a customer complaint, Pinnacle's compliance department discovered that Wright had also revised Caldwell's account profile in August 2022--one month before the first options trade--changing her risk tolerance from 'conservative' to 'aggressive growth,' her investment experience to 'extensive,' and her annual income to \$95,000, without any documented basis for these changes. Caldwell later confirmed in a written statement that she never authorized these changes and that the revised profile did not reflect her actual financial circumstances. Wright was terminated by Pinnacle in March 2023, and a Form U5 was filed citing 'recommending unsuitable options transactions and falsification of customer account records.'

Question

Did Wright violate Regulation Best Interest's Care Obligation, FINRA Rules 2360(b)(19) and 2010, and FINRA Rules 4511 and 2010, and what are the specific bases for each violation?

Answer

Wright violated multiple regulatory standards across three distinct categories of misconduct.

First, Wright willfully violated Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii). Reg BI required Wright, when recommending options transactions to Caldwell--a retail customer--to exercise reasonable

diligence, care, and skill, and to have a reasonable basis to believe that each recommendation was in the best interest of the particular retail customer based on her investment profile and the potential risks, rewards, and costs. Caldwell's actual investment profile--a 68-year-old retiree with \$42,000 in annual income, \$310,000 in liquid net worth representing her entire retirement savings, conservative risk tolerance, an income and capital preservation objective, limited experience confined to CDs and a single mutual fund, and an explicit inability to sustain principal loss--was fundamentally incompatible with short put options on volatile technology and biotech equities carrying \$487,000 in notional exposure. The Reg BI Adopting Release (Release No. 34-86031) emphasizes that where the 'match' between a customer's profile and the recommendation appears less reasonable, the associated person bears an elevated burden to demonstrate reasonable belief that the recommendation served the customer's best interest. Wright cannot meet that burden. The complexity and risk of naked short puts, particularly at notional values exceeding the customer's entire liquid net worth, represent one of the clearest failures of the Care Obligation's matching requirement.

Second, Wright violated FINRA Rule 2360(b)(19), which imposes specific suitability obligations for options transactions, requiring that recommendations be suitable in light of the customer's financial situation, investment objectives, and experience. Even under the pre-Reg BI suitability framework, these trades would have been patently unsuitable. This also constitutes a violation of FINRA Rule 2010's just and equitable principles of trade standard, as recommending such speculative strategies to a vulnerable retiree falls below the ethical standards the industry demands.

Third, Wright violated FINRA Rule 4511 and Rule 2010 by falsifying Caldwell's account records. Rule 4511 requires member firms and associated persons to make and preserve books, accounts, and records as required under FINRA rules and applicable securities laws. By changing Caldwell's risk tolerance, income, and experience level without authorization or documented basis--apparently to make the options trades appear facially suitable--Wright created false records. Caldwell's uncontroverted written statement confirming she never authorized the changes eliminates any defense of customer consent. The falsification is particularly egregious because it was apparently designed to circumvent the firm's supervisory controls and obscure the unsuitability of the recommendations.

No viable defense exists. Wright cannot claim reliance on the altered profile because he himself fabricated it. The totality of the conduct--profile falsification followed by aggressive options trading in a vulnerable retiree's account--warrants significant sanctions.

Key Factor

Wright falsified the customer's account profile to mask the fundamental mismatch between a conservative retired widow's actual investment profile and speculative short put options carrying notional exposure exceeding her entire liquid net worth.

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NON-COMPLIANT

Topic: regbi_care_obligation_excessive_trading

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(1) (General Obligation); Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation); Exchange Act Rule 15l-1(a)(2)(iv) (Compliance Obligation); Sections 15(b)(4)(E) and 21C of the Securities Exchange Act of 1934; SEC Release No. 34-86031 (Reg BI Adopting Release)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Meridian Capital Securities, Inc. ('Meridian') is a small broker-dealer registered with the SEC since 2012, headquartered in Boca Raton, Florida, with a branch office in Garden City, New York. From March 2020 through December 2022, one of Meridian's registered representatives, Derek Halpern (CRD No. 5587432), serviced approximately 35 retail customer accounts. Among these, Halpern concentrated his activity on nine accounts belonging to retail investors aged 55 to 74, most of whom had moderate risk tolerances, annual incomes between \$45,000 and \$85,000, liquid net worths between \$100,000 and \$350,000, and stated investment objectives of 'growth and income' or 'capital preservation.'

Between July 2020 and November 2022 -- entirely within the Reg BI compliance period -- Halpern recommended a rapid-fire trading strategy in these nine accounts, executing an average of 187 trades per account annually, primarily in mid-cap equities and leveraged ETFs. The annualized cost-to-equity ratios across the nine accounts ranged from 28% to 61%, and the annualized turnover rates ranged from 9.2 to 22.7. Every one of the nine accounts suffered net losses during the period, with aggregate customer losses totaling approximately \$612,000. Meanwhile, Halpern and Meridian collectively earned approximately \$538,000 in commissions, markups, and transaction fees from these accounts. Several customers later stated they had trusted Halpern's judgment and did not understand the volume or cost implications of the trading.

Meridian's written supervisory procedures ('WSPs') contained a general statement that the firm would 'monitor for excessive trading,' but the firm did not employ any exception reports, automated surveillance tools, or quantitative thresholds (such as cost-to-equity or turnover rate triggers) to flag potentially excessive activity. Halpern's branch manager, Lisa Corwin, reviewed blotters monthly but testified she did not calculate turnover or cost-to-equity ratios and was unaware of industry benchmarks. No account was ever flagged for review. Meridian did not conduct any Reg BI-specific training after the June 30, 2020 compliance date, and its WSPs were last updated in January 2019, containing no reference to Reg BI or its component obligations.

Question

Did Meridian Capital Securities violate Regulation Best Interest's Care Obligation, Compliance Obligation, and General Obligation through Halpern's trading activity and the firm's supervisory framework?

Answer

Yes, Meridian violated all three obligations. The analysis proceeds as follows:

****Care Obligation -- Exchange Act Rule 15l-1(a)(2)(ii):**** Reg BI's Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill when making recommendations to retail customers. Critically, this obligation applies not only to individual transactions viewed in isolation but also to a series of recommended transactions that, taken together, must not be excessive and must be in the customer's best interest in light of the customer's investment

profile. The SEC has made clear -- as illustrated in the PHX Financial order (Release No. 34-101361) -- that cost-to-equity ratios above approximately 20% and annualized turnover rates well above 6 are strong quantitative indicators of excessive trading. Here, Halpern's accounts exhibited cost-to-equity ratios of 28% to 61% and turnover rates of 9.2 to 22.7, making it virtually impossible for customers to realize positive returns. The customer profiles -- moderate risk tolerance, income-oriented objectives, ages 55-74, and modest liquid net worth -- are fundamentally incompatible with a high-cost, high-frequency trading strategy in leveraged ETFs and speculative equities. The \$612,000 in aggregate customer losses against \$538,000 in firm compensation confirms the parasitic economics of the strategy. Meridian, as the broker-dealer through which Halpern acted, bears direct liability for these Care Obligation violations under Reg BI's entity-level framework.

****Compliance Obligation -- Exchange Act Rule 15l-1(a)(2)(iv):**** This provision requires broker-dealers to establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance with Reg BI. Meridian's WSPs had not been updated since January 2019 and contained no reference to Reg BI. The firm used no automated surveillance, set no quantitative thresholds for turnover or cost-to-equity, and provided no Reg BI training. Branch manager Corwin's monthly blotter reviews were facially inadequate -- she was unaware of basic industry metrics for identifying excessive trading. This is virtually identical to the deficiency found in PHX Financial, where the absence of effective monitoring tools constituted a Compliance Obligation failure.

****General Obligation -- Exchange Act Rule 15l-1(a)(1):**** Because Meridian violated both component obligations, it necessarily violated the General Obligation, which requires compliance with each of Reg BI's sub-obligations.

Meridian cannot defend on the basis that individual trades may have been reasonable in isolation; the Care Obligation explicitly encompasses the cumulative effect of a series of recommendations. Nor does customer acquiescence excuse the violation, as Reg BI imposes an affirmative obligation on the firm irrespective of customer sophistication or consent.

Key Factor

Meridian failed to employ any quantitative surveillance metrics -- such as cost-to-equity ratios or turnover rate thresholds -- to detect and prevent excessive trading, rendering its written supervisory procedures facially inadequate to achieve compliance with Reg BI's Care and Compliance Obligations.

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NON-COMPLIANT

Topic: reg_bi_care_obligation_unsuitable_recommendation

Difficulty: hard

Standard: SEC Rule 15l-1(a)(2)(ii) (Care Obligation); SEC Rule 15l-1(a)(2)(iii) (Conflict of Interest Obligation); SEC Rule 15l-1(a)(2)(iv) (Compliance Obligation); SEC Release No. 34-86031 (Reg BI Adopting Release); FINRA Rule 2111 (Suitability, as superseded by Reg BI for retail customers)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Feldman is a registered representative at Apex Securities Group, a mid-size broker-dealer based in Charlotte, North Carolina. On March 14, 2023, he met with Patricia Dunlap, a 68-year-old recently retired school teacher with a total liquid net worth of approximately \$410,000, nearly all of which consisted of her 403(b) rollover IRA. Patricia told Marcus during their initial meeting that her primary investment objectives were capital preservation and modest income generation to supplement her \$2,400/month pension and Social Security benefits. She explicitly stated she had a conservative risk tolerance and could not afford to lose principal because this was her only significant retirement asset. Marcus documented these preferences on Patricia's new account form.

Despite this documented risk profile, on April 2, 2023, Marcus recommended that Patricia invest \$275,000--approximately 67% of her liquid net worth--into the Apex High-Yield Emerging Markets Bond Fund (ticker: AHYEM), a proprietary fund carrying a front-end sales load of 4.25% and an annual expense ratio of 1.85%. The fund's prospectus disclosed that it invested primarily in below-investment-grade sovereign and corporate debt in frontier and emerging market economies, and that it had experienced a maximum drawdown of 31% during the prior three-year period. Marcus earned a 3.5% commission on the sale, totaling \$9,625, which was approximately three times the commission he would have earned had he recommended a comparable non-proprietary investment-grade bond fund offered on Apex's platform. Marcus did not discuss any alternative products with Patricia, nor did he explain the fund's credit risk, currency risk, or its historical volatility. He provided Patricia with a Form CRS at account opening but did not deliver any supplemental written disclosure about the specific conflicts of interest arising from the higher compensation he received for recommending the proprietary fund.

Apex Securities Group had written supervisory procedures (WSPs) requiring supervisors to review recommendations involving more than 50% of a client's liquid net worth in a single product, but Marcus's branch manager, Kevin Ostrowski, approved the transaction the same day without conducting any documented review or contacting Patricia to confirm her understanding of the investment. By September 2023, the AHYEM fund had declined 22%, reducing Patricia's position to approximately \$214,500--a loss of over \$60,000 from her initial investment, not including the \$11,687.50 in front-end load charges.

Question

Did Marcus Feldman's recommendation of the Apex High-Yield Emerging Markets Bond Fund to Patricia Dunlap comply with the Care Obligation under SEC Regulation Best Interest?

Answer

Marcus Feldman's recommendation clearly violated the Care Obligation under Regulation Best Interest, SEC Rule 15l-1(a)(2)(ii). The Care Obligation requires that a broker-dealer, when making a recommendation, exercise reasonable diligence, care, and skill to: (1) understand the potential risks, rewards, and costs of the recommendation; (2) have a

reasonable basis to believe the recommendation is in the best interest of the particular retail customer based on that customer's investment profile; and (3) have a reasonable basis to believe that a series of recommended transactions is not excessive.

Applying these elements to the facts, Marcus failed on multiple fronts. First, regarding reasonable basis, concentrating 67% of a 68-year-old retiree's sole retirement asset in a below-investment-grade emerging markets bond fund with a documented maximum drawdown of 31% is fundamentally incompatible with Patricia's stated conservative risk tolerance and capital preservation objective. The Care Obligation requires the broker-dealer to consider the retail customer's investment profile, including age, financial situation, investment objectives, and risk tolerance. Patricia's profile unambiguously pointed away from a high-volatility, high-risk credit product.

Second, the cost dimension of the Care Obligation was violated. Marcus recommended a proprietary fund with a 4.25% front-end load and 1.85% expense ratio when a comparable non-proprietary investment-grade bond fund was available on the platform at significantly lower cost. Under Reg BI, while cost alone is not dispositive, a broker-dealer must have a reasonable basis to believe the recommendation is in the customer's best interest considering reasonably available alternatives. Marcus made no effort to evaluate or present alternatives.

Third, the conflict of interest component intersects with the Care Obligation. Marcus earned approximately three times the commission on the proprietary fund. While Reg BI's Conflict of Interest Obligation under Rule 15l-1(a)(2)(iii) does not require elimination of all conflicts, it requires disclosure, mitigation, and in some cases elimination. Marcus provided no product-specific conflict disclosure beyond the generic Form CRS.

Additionally, the firm-level Compliance Obligation under Rule 15l-1(a)(2)(iv) was breached. Apex's own WSPs required heightened supervisory review for concentrated positions exceeding 50% of liquid net worth, yet branch manager Kevin Ostrowski rubber-stamped the transaction without documented review. This supervisory failure compounds the violation.

No reasonable defense applies. Marcus cannot argue the recommendation was suitable under the old suitability standard, let alone that it met the enhanced best-interest standard. The SEC's adopting release (Release No. 34-86031) makes clear that Reg BI imposes obligations beyond the former FINRA suitability rule, requiring a qualitative assessment of whether the recommendation serves the customer's best interest, not merely whether the product is 'not unsuitable.' The recommendation was a clear Reg BI Care Obligation violation.

Key Factor

Marcus concentrated 67% of a conservative, retired client's sole retirement asset in a high-risk, high-cost proprietary emerging markets bond fund without evaluating reasonably available alternatives or documenting any basis for believing the recommendation was in her best interest.

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NON-COMPLIANT

Topic: excessive_trading_care_obligation

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation); Exchange Act Rule 15l-1(a)(2)(iv) (Compliance Obligation); Exchange Act Section 10(b); Rules 10b-5(a) and 10b-5(c); Securities Act Sections 17(a)(1) and 17(a)(3)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Coastal Ridge Securities LLC ('Coastal Ridge') is a small broker-dealer registered with the SEC since 2012, headquartered in Hauppauge, New York, with approximately 2,200 retail customer accounts and 18 registered representatives. Between January 2020 and December 2023, three of its registered representatives--Mark Deluca, Jennifer Yun, and Anthony Bianchi--recommended and executed a high-frequency, short-duration trading strategy in the accounts of 22 retail customers (the 'Affected Accounts'). These customers ranged in age from 54 to 78, with moderate risk tolerances and stated investment objectives of capital preservation and income generation. Many were retired or nearing retirement and had liquid net worths between \$150,000 and \$600,000.

Over this period, the three representatives collectively executed more than 3,400 trades in the Affected Accounts, primarily in mid-cap equities and leveraged ETFs. The average holding period for positions was approximately 8 trading days. The annualized cost-to-equity ratios in the Affected Accounts ranged from 24% to 67%, and turnover rates ranged from 8 to 22. The customers collectively suffered aggregate realized and unrealized losses exceeding \$1,450,000, while Coastal Ridge and the three representatives earned approximately \$890,000 in commissions and markups from the trading. Customer Margaret Tolliver, age 72, a retired schoolteacher with a \$280,000 account, saw her account value decline by \$127,000 over 26 months while generating \$74,000 in commissions for the firm.

Coastal Ridge's written supervisory procedures ('WSPs') referenced Reg BI's Care Obligation in general terms but contained no specific quantitative thresholds, exception reports, or surveillance mechanisms for identifying excessive trading. The firm's Chief Compliance Officer, David Narang, testified during the examination that the firm relied on quarterly branch manager reviews of blotters but had no automated surveillance tools, no cost-to-equity ratio monitoring, and no turnover rate alerts. Branch managers were not trained on Reg BI's Care Obligation as it pertains to excessive trading. When FINRA examiners flagged two of the accounts in a 2021 cycle examination, Narang acknowledged the concern but took no corrective action. No heightened supervision was imposed on any of the three representatives, despite Deluca having a prior customer complaint alleging churning at a previous firm.

Question

Did Coastal Ridge Securities violate Reg BI's Care Obligation and Compliance Obligation through its representatives' excessive trading and the firm's failure to implement adequate supervisory procedures?

Answer

Yes, Coastal Ridge Securities violated both the Care Obligation and the Compliance Obligation of Regulation Best Interest (Exchange Act Rule 15l-1), and the underlying trading conduct also violated Exchange Act Section 10(b) and Rules 10b-5(a) and (c), as well as Securities Act Sections 17(a)(1) and 17(a)(3).

First, regarding the Care Obligation under Rule 15l-1(a)(2)(ii), a broker-dealer must exercise reasonable diligence, care,

and skill when making a recommendation to a retail customer and must have a reasonable basis to believe that the recommendation is in the customer's best interest and does not place the broker-dealer's interest ahead of the customer's. When a series of recommended transactions is viewed together, the broker must have a reasonable basis to believe the series is not excessive. Here, the annualized cost-to-equity ratios of 24% to 67% and turnover rates of 8 to 22 far exceed the thresholds traditionally recognized as presumptive indicators of excessive trading (generally, cost-to-equity above 20% and turnover above 6 are strong indicators). The 8-day average holding period, combined with the customers' stated objectives of capital preservation and income, makes it virtually impossible that these customers could have profited from the strategy. The fact that customers collectively lost \$1,450,000 while the firm earned \$890,000 in commissions demonstrates that the firm's financial interest was placed ahead of the customers' interests, directly contravening the Care Obligation's prohibition.

Second, under the Compliance Obligation (Rule 15l-1(a)(2)(iv)), the firm must establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance with Reg BI. Coastal Ridge's WSPs were deficient on their face: they contained no quantitative surveillance thresholds for cost-to-equity ratios, turnover rates, or holding periods; deployed no automated exception reports; and provided no training to branch managers on identifying excessive trading. The CCO's acknowledged failure to act after FINRA flagged concerns in 2021 constitutes a failure to enforce even the minimal procedures that existed. The absence of heightened supervision for Deluca, despite his prior churning complaint, further evidences systemic compliance failure.

The firm cannot defend on the basis that customers approved individual trades. The SEC has consistently held that customer consent does not negate an excessive trading claim where the broker controls the account's trading activity through a pattern of recommendations. The Salomon Whitney LLC proceeding (Release No. 34-98619) is directly analogous: there, the SEC found violations based on strikingly similar cost-to-equity ratios, customer losses, and compliance deficiencies. Coastal Ridge's violations are, if anything, more egregious given the larger number of affected accounts and the firm's conscious disregard of a regulatory warning.

Key Factor

The firm's representatives recommended over 3,400 trades generating cost-to-equity ratios as high as 67% in accounts of moderate-risk, income-oriented retirees, making it virtually impossible for the customers to profit while the firm collected \$890,000 in commissions.

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NON-COMPLIANT

Topic: care_obligation_cost_analysis_failure

Difficulty: hard

Standard: SEC Rule 15l-1 (Regulation Best Interest), specifically Rule 15l-1(a)(2)(ii)(B) (Care Obligation), Rule 15l-1(a)(2)(ii)(C) (Conflict of Interest Obligation), Rule 15l-1(a)(2)(ii)(D) (Compliance Obligation); Exchange Act Release No. 34-86031 (Adopting Release, June 5, 2019)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Greenleaf Securities, LLC is a mid-sized broker-dealer registered with the SEC and FINRA, with approximately 340 financial professionals operating across 28 branch offices in the Southeast. On September 14, 2022, financial professional Marcus Holden, a Series 7 and 66 registered representative in the firm's Atlanta branch, met with retail customer Dolores Wainwright, a 67-year-old recently retired elementary school teacher with a moderate risk tolerance, an annual pension income of \$42,000, liquid investable assets of approximately \$385,000 (representing her 403(b) rollover), and no prior experience investing in complex products. Wainwright's stated investment objective was capital preservation with modest income generation to supplement her pension during retirement.

During their meeting, Holden recommended that Wainwright invest \$210,000 -- approximately 54.5% of her liquid assets -- into the Apex Dynamic Income Fund (Class A shares), a non-traded REIT with a 5.75% front-end sales load, a 1.85% annual expense ratio, limited liquidity with a 7-year lockup period, and quarterly distributions that were partially funded by return of capital. Greenleaf Securities earned a gross dealer concession of 7.0% on Apex sales, compared to 0.25% on the firm's suite of listed bond ETFs and 1.5% on comparable publicly traded REIT funds. Holden's personal production grid entitled him to a 45% payout on Apex sales versus 38% on listed products, creating a meaningful compensation differential of approximately \$5,355 on this single transaction.

Greenleaf's written policies and procedures required financial professionals to document a cost comparison for any recommendation involving a product with a front-end load exceeding 3.5% or an expense ratio exceeding 1.50%. However, the firm's compliance department had not updated its supervisory review checklist to flag non-traded REIT recommendations for cost comparison verification, and branch manager Cheryl Redmond approved Holden's recommendation after reviewing only the new account form and the product-specific suitability questionnaire. No cost comparison was performed or documented in the customer file. Holden's written rationale for the recommendation stated only: 'Client seeks income and Apex offers attractive quarterly distributions.' There was no analysis of less costly alternatives, no discussion of the liquidity constraints relative to Wainwright's age and retirement income needs, and no consideration of the concentration risk from allocating over half of her assets to a single illiquid product.

Question

Did Marcus Holden and Greenleaf Securities comply with the Care Obligation and Conflict of Interest Obligation under Regulation Best Interest when recommending that Dolores Wainwright invest \$210,000 in the Apex Dynamic Income Fund?

Answer

No. Both Marcus Holden and Greenleaf Securities violated Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii)(B) and the Conflict of Interest Obligation under Rule 15l-1(a)(2)(ii)(C), and Greenleaf additionally failed its Compliance Obligation under Rule 15l-1(a)(2)(ii)(D).

Care Obligation Violation: Rule 15l-1(a)(2)(ii)(B) requires that a broker-dealer and its financial professionals exercise reasonable diligence, care, and skill to (1) understand the potential risks, rewards, and costs associated with the recommendation, (2) have a reasonable basis to believe the recommendation is in the best interest of the particular retail customer based on that customer's investment profile, and (3) have a reasonable basis to believe that a series of recommended transactions is not excessive. Here, Holden failed on multiple prongs. First, he performed no documented cost analysis comparing the Apex Fund's 5.75% front-end load and 1.85% expense ratio against reasonably available lower-cost alternatives -- specifically the firm's listed bond ETFs and publicly traded REITs -- despite the firm's own written policies requiring such a comparison for products exceeding the stated thresholds. Second, the recommendation was facially unreasonable given Wainwright's profile: a 67-year-old retiree with moderate risk tolerance, capital preservation objectives, and no complex product experience was directed to concentrate 54.5% of her liquid retirement assets in an illiquid, non-traded REIT with a 7-year lockup. The SEC's Adopting Release (Release No. 34-86031) emphasizes that cost is a relevant factor that must be evaluated in the context of reasonably available alternatives, and that the Care Obligation requires consideration of the customer's age, liquidity needs, and investment horizon. Holden's cursory rationale -- referencing only 'attractive quarterly distributions' without acknowledging the return-of-capital component or liquidity risk -- demonstrates a failure of reasonable diligence.

Conflict of Interest Obligation Violation: Under Rule 15l-1(a)(2)(ii)(C), Greenleaf was required to establish, maintain, and enforce written policies and procedures reasonably designed to identify and address conflicts of interest, including mitigation or elimination of conflicts that create incentives for financial professionals to place their interests ahead of the customer's. The substantial compensation differential -- a 7.0% gross dealer concession versus 0.25%-1.5% on alternatives, and a 45% versus 38% payout grid -- created a material financial incentive that was neither identified, disclosed, nor mitigated in connection with this recommendation.

Compliance Obligation Failure: Greenleaf's supervisory review checklist was not updated to operationalize its own cost-comparison policy for non-traded REITs, rendering the firm's written procedures ineffective. Branch manager Redmond's approval without verifying the cost comparison constitutes a failure to enforce existing policies under Rule 15l-1(a)(2)(ii)(D). The SEC Division of Examinations' January 2023 Risk Alert specifically identified as deficiencies both the failure to perform reasonably available alternatives analyses and the failure to enforce existing written supervisory procedures through adequate transaction-level review.

Key Factor

Holden performed no cost comparison against reasonably available lower-cost alternatives despite the firm's own policy requiring one, and the recommendation to concentrate over half of a 67-year-old retiree's liquid assets in an illiquid, high-cost non-traded REIT was not supported by any documented reasonable-basis analysis.

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NON-COMPLIANT

Topic: regbi_care_obligation_concentration_risk

Difficulty: hard

Standard: SEC Rule 15l-1(a)(1) (Regulation Best Interest); SEC Rule 15l-1(a)(2)(ii) (Care Obligation); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2111 (Suitability, as applicable pre-June 30, 2020); Securities Exchange Act of 1934, Release No. 34-86031

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Devlin, CRD No. 4821903, has been a registered representative associated with Bridgepoint Financial Group, Inc. (CRD No. 52178) since March 2016. He holds Series 7 and Series 63 licenses and primarily serves retail clients in the Phoenix, Arizona metropolitan area.

In September 2021, Devlin met with Margaret "Peggy" Stanhope, age 72, a retired school teacher receiving a monthly pension of \$2,850 and Social Security income of \$1,940 per month. Stanhope's liquid net worth was approximately \$285,000, held primarily in a traditional IRA containing a diversified portfolio of investment-grade bond funds and blue-chip equity mutual funds. Her stated investment objectives on her account documentation were "income" and "preservation of capital," her risk tolerance was listed as "conservative," and her investment time horizon was noted as "5-10 years." Stanhope had no prior experience with alternative investments, private placements, or non-traded securities.

Devlin recommended that Stanhope invest \$125,000 from her IRA into Meridian Yield Corp. L-Bonds, an unrated, speculative debt security issued by a publicly traded company that purchased life settlement contracts. The L-Bonds offered a 7.5% annual interest rate with a 3-year maturity but were illiquid, subordinated, and carried significant credit risk, including the risk of total loss. Meridian's prospectus disclosed that the bonds were "suitable only for investors who can bear the risk of losing their entire investment." After the transaction, Stanhope's concentration in alternative investments reached approximately 43.8% of her liquid net worth. Devlin earned a 5.75% commission (\$7,187.50) on the sale.

Devlin did not document any analysis of how the L-Bond recommendation was consistent with Stanhope's conservative risk tolerance, income-oriented objectives, or limited investment experience. He did not discuss the concentration risk the investment would create, nor did he consider reasonably available lower-cost, lower-risk income-producing alternatives such as Treasury bonds or investment-grade corporate bond funds. Devlin's supervisor at Bridgepoint approved the transaction after a cursory review that did not flag the concentration level or the mismatch with the customer's investment profile.

Question

Did Marcus Devlin violate Regulation Best Interest's Care Obligation and FINRA Rule 2010 by recommending the \$125,000 L-Bond investment to Margaret Stanhope?

Answer

Yes, Marcus Devlin violated Exchange Act Rule 15l-1(a)(1) (Regulation Best Interest) and FINRA Rule 2010 by recommending the Meridian Yield Corp. L-Bond investment to Margaret Stanhope.

Regulation BI, effective June 30, 2020, requires that when a broker-dealer or associated person makes a recommendation of any securities transaction to a retail customer, they must act in the best interest of that customer at the time the recommendation is made, without placing their financial or other interest ahead of the customer's interest. The Care Obligation under Rule 15l-1(a)(2)(ii) specifically requires the associated person to exercise reasonable diligence, care, and skill to have a reasonable basis to believe that the recommendation is in the best interest of the particular retail customer based on that customer's investment profile and the potential risks, rewards, and costs associated with the recommendation.

Stanhope's retail customer investment profile--as defined under Reg BI to include age, other investments, financial situation and needs, investment objectives, experience, time horizon, liquidity needs, and risk tolerance--is fundamentally inconsistent with the recommended security. She was 72 years old, retired, living on fixed income, had conservative risk tolerance, income and capital preservation objectives, no alternative investment experience, and a 5-10 year time horizon. The L-Bonds were speculative, unrated, illiquid, subordinated debt instruments carrying a risk of total loss--characteristics directly contrary to every element of her profile.

Critically, the recommendation resulted in a concentration of approximately 43.8% of Stanhope's liquid net worth in alternative investments. As established in FINRA enforcement precedent, including the Kunz AWC (No. 2021070498103), a recommendation that results in a concentration in a particular security or category of securities creating a risk of loss inconsistent with the customer's investment profile may not be in the customer's best interest. Here, nearly half of a 72-year-old retiree's liquid assets were placed in a single speculative, illiquid product--a concentration level that is manifestly inconsistent with conservative, income-oriented objectives.

Devlin's failure to document any analysis of the suitability of the recommendation, to consider reasonably available alternatives with lower risk and cost, and to evaluate the concentration risk further demonstrates a failure to exercise the reasonable diligence, care, and skill required by the Care Obligation. The 5.75% commission (\$7,187.50) also raises the question of whether Devlin's financial interest was placed ahead of the customer's interest, particularly when lower-cost income alternatives existed.

A violation of Reg BI also constitutes a violation of FINRA Rule 2010, which requires associated persons to observe high standards of commercial honor and just and equitable principles of trade. Devlin's conduct falls well below that standard. No credible defense exists on these facts; the mismatch between the product's risk characteristics and the customer's profile is stark and unambiguous.

Key Factor

The recommendation of a speculative, unrated, illiquid debt security resulting in a 43.8% concentration in alternative investments was fundamentally inconsistent with the 72-year-old retired customer's conservative risk tolerance, income objectives, and limited investment experience.

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NON-COMPLIANT

Topic: reg_bi_care_obligation_complex_product

Difficulty: hard

Standard: Regulation Best Interest, 17 CFR §240.15l-1(a)(2)(ii)(A)-(D); Exchange Act §15(l); SEC Form CRS (17 CFR §249.640); FINRA Rule 3110 (Supervision); FINRA Rule 2111 (Suitability, as background standard)

Source: 05_SEC_Exam_Findings

Fact Pattern

Ridgemont Wealth Partners, LLC is a dually registered broker-dealer and investment adviser based in Charlotte, North Carolina, with approximately \$1.8 billion in assets under management and 47 registered representatives. In March 2022, Ridgemont's home office approved a new structured note product--the 'Apex Capital Protection Note Series 7'--issued by a mid-tier European bank, offering a 7.2% coupon tied to a basket of three technology stocks (NVIDIA, AMD, and Palantir), with a knock-in barrier at 60% of the initial reference level and a 5-year maturity. The product carried a 3.25% upfront commission to the placing broker, compared to 0.75% for comparable Treasury-based fixed income alternatives.

Between April and August 2022, registered representative Daniel Whitford recommended the Apex Note to 31 retail customers through Ridgemont's brokerage channel, triggering Regulation Best Interest obligations. Among these customers was Margaret Huang, a 72-year-old retired schoolteacher with a \$410,000 retirement portfolio, a stated investment objective of 'capital preservation and income,' a moderate risk tolerance score of 4 out of 10 on Ridgemont's proprietary questionnaire, a 3-year investment time horizon documented in her account opening paperwork, and no prior experience with structured products or derivatives. Whitford allocated \$125,000--approximately 30.5% of Huang's total portfolio--into the Apex Note. Whitford's notes in the CRM system stated only: 'Client wants higher yield than CDs. Discussed structured note. Client agreed.'

Ridgemont's compliance department had issued an internal product memorandum in February 2022 requiring that structured note recommendations include a documented analysis of the customer's ability to withstand the loss of the entire principal, an assessment of the customer's understanding of knock-in barriers and issuer credit risk, and a comparison with reasonably available alternatives. A post-examination review by the SEC Division of Examinations in October 2022 found that Whitford's customer files for 28 of the 31 customers--including Huang--contained none of the three required analyses. Additionally, Ridgemont's supervisory system flagged only recommendations exceeding \$200,000, meaning Huang's \$125,000 allocation was never subject to heightened supervisory review despite her age and risk profile. Ridgemont's Form CRS, filed in June 2020, had not been updated to reflect the firm's expanded structured product offerings and did not disclose the materially higher compensation associated with these products.

Question

Did Ridgemont Wealth Partners and its registered representative Daniel Whitford comply with their obligations under Regulation Best Interest when recommending the Apex structured note to Margaret Huang?

Answer

No. Ridgemont and Whitford violated multiple component obligations of Regulation Best Interest (17 CFR §240.15l-1) in connection with the recommendation of the Apex Capital Protection Note to Margaret Huang.

****Care Obligation (Rule 15l-1(a)(2)(ii)(B)):** Reg BI's Care Obligation requires that a broker-dealer and its associated

persons exercise reasonable diligence, care, and skill to (1) understand the potential risks, rewards, and costs of the recommendation, (2) have a reasonable basis to believe the recommendation is in the retail customer's best interest given the customer's investment profile, and (3) have a reasonable basis to believe the recommendation does not place the firm's interest ahead of the customer's. Here, the Apex Note is a complex product with embedded knock-in put options, significant issuer credit risk, and a 5-year maturity. Huang's documented profile--72 years old, capital preservation objective, moderate risk tolerance of 4/10, 3-year time horizon, and no structured product experience--is fundamentally misaligned with a product that could result in total principal loss if any of three volatile technology stocks declines 40% or more. The 30.5% concentration in a single illiquid product further evidences a failure to consider the investment in the context of the customer's entire portfolio. Whitford's CRM notation is woefully insufficient to demonstrate the required reasonable-basis and customer-specific analysis.

****Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(C)):** The 3.25% upfront commission--over four times the compensation for comparable fixed-income alternatives--creates a material conflict of interest. Ridgemont was required to establish, maintain, and enforce written policies and procedures reasonably designed to identify, disclose, and mitigate this conflict. The failure to update Form CRS to disclose the materially higher compensation associated with structured products violates both the Conflict of Interest Obligation and the Disclosure Obligation under Rule 15l-1(a)(2)(ii)(A).

****Compliance Obligation (Rule 15l-1(a)(2)(ii)(D)):** Ridgemont's own internal compliance memorandum required three specific documented analyses for structured note recommendations. The absence of these analyses in 28 of 31 files--including Huang's--demonstrates a systemic failure to enforce the firm's own written supervisory procedures. Moreover, the \$200,000 supervisory review threshold was unreasonably designed because it failed to account for concentration risk or customer vulnerability factors such as age and risk tolerance, leaving a 72-year-old retiree's \$125,000 structured note allocation entirely unreviewed.

Ridgemont cannot defend by arguing that Huang consented. Reg BI imposes an affirmative obligation on the firm and representative independent of customer agreement. The combination of product-profile mismatch, excessive concentration, inadequate documentation, undisclosed compensation conflicts, and deficient supervisory architecture constitutes a clear violation of Regulation Best Interest across all four component obligations.

Key Factor

The registered representative recommended a complex, illiquid, 5-year structured note with total-principal-loss risk to a 72-year-old retiree with a 3-year time horizon, capital preservation objective, and no structured product experience, without performing or documenting the required reasonable-basis and customer-specific analysis under Reg BI's Care Obligation.

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NON-COMPLIANT

Topic: sec_internal_property_acquisition_suitability

Difficulty: hard

Standard: SEC OCOO.01 Excess Personal Property Guidance (February 2025), Sections 2, 3, and 4; FAR 8.002; FAR Part 13 (micro-purchase threshold); Executive Order 14028 (Improving the Nation's Cybersecurity, May 12, 2021); OMB Memorandum M-22-18 (Enhancing the Security of the Software Supply Chain, Sept. 14, 2022)

Source: 05_SEC_Exam_Findings

Fact Pattern

In March 2025, the SEC's Division of Enforcement needed to replace 120 aging laptop computers used by staff attorneys for investigative casework involving sensitive, non-public information related to ongoing insider trading and market manipulation investigations. Jennifer Watts, a Contracting Officer Representative (COR) in the Office of Information Technology (OIT), was tasked with sourcing replacements. Rather than procuring new equipment through the standard acquisition process, Watts identified 120 refurbished Dell Latitude laptops listed on the GSA Personal Property Management System (PPMS) from the Department of Agriculture at an estimated value of \$156,000 -- well above the FAR micro-purchase threshold of \$10,000.

Watts reviewed the PPMS listings and noted the laptops were manufactured in 2021 and appeared to meet the SEC's minimum hardware specifications. However, she did not verify whether the laptops had been wiped of prior agency data, whether they were virus-free, or whether they were properly configured in accordance with the SEC's cybersecurity protocols. Critically, she also failed to confirm whether the laptops' supply chain provenance complied with Executive Order 14028 (Improving the Nation's Cybersecurity) or OMB Memorandum M-22-18 regarding secure software development practices. Watts documented in her acquisition memorandum that 'GSA has confirmed these items are available and suitable for SEC use,' despite the fact that GSA makes no such suitability determination and explicitly leaves compliance verification to the acquiring agency.

Watts also did not check whether existing SEC inventory could satisfy the Division of Enforcement's needs before proceeding with the PPMS acquisition, as required by FAR 8.002 and the OCOO.01 guidance. An internal audit conducted in May 2025 by the SEC's Office of Inspector General revealed that the SEC's asset management records showed 47 functional laptops in storage at the SEC's Alexandria, Virginia facility that met or exceeded the required specifications. The OIG further found that three of the acquired PPMS laptops contained residual data from the Department of Agriculture, and two had firmware from manufacturers flagged under supply chain risk advisories.

Question

Did the SEC COR's acquisition of excess IT property from the GSA PPMS comply with the SEC's OCOO.01 Excess Personal Property Guidance dated February 2025, and what specific procedural and substantive failures occurred?

Answer

The acquisition was non-compliant with the SEC's OCOO.01 Excess Personal Property Guidance (February 2025) on multiple grounds, representing both procedural and substantive failures that exposed the SEC to significant cybersecurity and operational risk.

First, under Section 3 (Applicability), the OCOO.01 guidance expressly incorporates FAR 8.002, which requires that

before seeking excess personal property through the GSA System, the SEC must first determine that its requirements 'cannot be satisfied using existing SEC inventory.' Watts failed to perform this prerequisite check. The OIG audit confirmed that 47 functional laptops already in SEC storage could have partially satisfied the Division of Enforcement's needs. This threshold failure alone rendered the entire PPMS acquisition procedurally deficient.

Second, under Section 2 (Purpose and Scope), the guidance explicitly warns that GSA 'does not currently require that personal property, including IT Property, made available on the GSA System is compliant with other federal requirements, such as supply chain risk management requirements set forth in Executive Order 14028' and 'OMB M-22-18.' The guidance places the 'responsibility to each agency to determine, among other things, that excess IT Property made available on the GSA System is wiped, virus-free, properly configured, and otherwise compliant with other federal legal requirements and directives.' Watts conducted none of these evaluations. Her memorandum's assertion that 'GSA has confirmed these items are suitable for SEC use' was materially inaccurate, as GSA explicitly does not make suitability representations -- the suitability determination framework established by Section 2 requires SEC personnel to independently evaluate compliance with cybersecurity directives.

Third, the discovery of residual Department of Agriculture data on three laptops and flagged supply chain firmware on two others confirms that the risks contemplated by the OCOO.01 guidance materialized. For laptops destined for Division of Enforcement staff handling non-public investigative materials, these failures pose acute risks of data contamination and potential compromise of enforcement proceedings.

Watts's defense that the PPMS listing appeared facially adequate does not excuse her obligations under the guidance; the OCOO.01 framework exists precisely because facial adequacy on the GSA System is insufficient. The COR role, as defined in Section 4.1, requires 'technical knowledge and understanding,' making Watts's omissions not merely administrative oversights but failures of the substantive competency her role demands.

Key Factor

The COR failed to independently verify that excess IT property obtained from the GSA PPMS was wiped, virus-free, properly configured, and compliant with EO 14028 and OMB M-22-18, and also failed to first check existing SEC inventory as required by FAR 8.002 before proceeding with the acquisition.

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NON-COMPLIANT

Topic: reg_bi_care_obligation_share_class

Difficulty: hard

Standard: Regulation Best Interest (17 CFR §240.15l-1), including Care Obligation §240.15l-1(a)(2)(ii)(B), Conflict of Interest Obligation §240.15l-1(a)(2)(ii)(D), Compliance Obligation under Exchange Act §15(l); FINRA Rule 2111 (Suitability); SEC Division of Examinations 2023 Examination Priorities (Standards of Conduct focus area, Section I.C.1)

Source: 05_SEC_Exam_Findings

Fact Pattern

Greenfield Wealth Partners, LLC is a dually registered broker-dealer and investment adviser headquartered in Scottsdale, Arizona. Its associated person, Marcus Henley, CRD# 4823917, holds Series 7 and Series 66 licenses and serves approximately 340 retail customers, predominantly retirees and pre-retirees with moderate risk tolerances and investment horizons of 10-20 years. In March 2023, Henley recommended that 87 of his retail brokerage customers invest in Class A shares of the Bridgewater Strategic Growth Fund, which carry a 5.25% front-end sales load and a 12b-1 fee of 0.25%. The aggregate amount invested across these 87 customers was \$14.6 million, generating approximately \$766,500 in upfront load commissions for Greenfield and roughly \$191,625 in personal production credits for Henley under the firm's compensation grid.

At the time of these recommendations, a lower-cost institutional share class of the same Bridgewater Strategic Growth Fund (the "I-Class") was available to each of these 87 customers through Greenfield's clearing platform. The I-Class shares carried no front-end load, no 12b-1 fee, and had an expense ratio of 0.42% compared to the A-Class expense ratio of 0.91%. Each of the 87 customers met the \$100,000 minimum investment threshold for I-Class eligibility, and Greenfield's compliance manual explicitly listed the I-Class as an available share class on its approved product list. Greenfield's supervisory procedures required that registered representatives document a cost-benefit analysis when a lower-cost share class was available but not selected; however, an internal review revealed that Henley completed no such documentation for any of the 87 transactions.

During the SEC Division of Examinations' 2023 cycle examination of Greenfield, examiners flagged these transactions as part of their Reg BI focus area. When questioned, Henley stated that he believed A-Class shares were 'more appropriate because the customers valued personal service and the sales load funded ongoing support.' Greenfield's Chief Compliance Officer, Diana Rourke, acknowledged that the firm had not conducted any retrospective review of Henley's share class recommendations and that the firm's Reg BI policies had not been updated since their initial adoption in June 2020, despite changes to the firm's product shelf and fee structures in 2021 and 2022.

Question

Did Marcus Henley and Greenfield Wealth Partners violate Regulation Best Interest in connection with the systematic recommendation of higher-cost Class A shares when lower-cost institutional shares were available and accessible to each customer?

Answer

Yes, both Marcus Henley and Greenfield Wealth Partners violated Regulation Best Interest (17 CFR §240.15l-1) across multiple component obligations.

****Care Obligation (Rule 15l-1(a)(2)(ii)(B)):** The Care Obligation requires that a broker-dealer or associated person exercise reasonable diligence, care, and skill when making a recommendation to a retail customer, including understanding the reasonably available alternatives and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering costs. Henley recommended Class A shares carrying a 5.25% front-end load and 0.91% expense ratio when the identical investment strategy was available via I-Class shares with no load and a 0.42% expense ratio -- and every customer met the I-Class eligibility threshold. The cost differential is substantial: on \$14.6 million, the front-end load alone cost customers approximately \$766,500 that could have been avoided entirely. Henley's post-hoc justification that customers 'valued personal service' funded by the load is legally insufficient because the level of service provided would not differ based on share class, and no contemporaneous analysis was documented to support that rationale. The SEC has consistently stated in risk alerts (including the April 2022 Reg BI Exam Observations Staff Bulletin) that cost is a critical factor and that identical strategy/different cost comparisons demand rigorous documentation.

****Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(D)):** Greenfield was required to establish, maintain, and enforce written policies and procedures reasonably designed to identify and mitigate conflicts of interest associated with financial incentives. Henley's compensation grid directly rewarded higher-load share class sales. The firm's own supervisory procedures required a cost-benefit analysis when a lower-cost share class was available -- yet no such analysis was completed for any of the 87 transactions, evidencing a wholesale failure to enforce its own conflict mitigation procedures.

****Compliance Obligation (Rule 15l-1(a)(2)(ii)(D) and Exchange Act §15(l)):** Greenfield's CCO admitted the firm's Reg BI policies had not been updated since June 2020 despite material changes to its product shelf. The Division of Examinations' 2023 priorities explicitly identified stale or deficient Reg BI compliance programs as examination targets. A firm that fails to keep its policies current with product and fee changes cannot reasonably claim it has satisfied its compliance obligations.

Henley's defense fails because Reg BI does not permit cost-insensitive recommendations where the only material variable between two otherwise identical products is the fee structure, absent a documented, reasonable justification. The systematic nature of the conduct across 87 customers further undermines any claim of individualized analysis. Both the registered representative and the firm face potential enforcement action.

Key Factor

Henley systematically recommended Class A shares with a 5.25% front-end load and higher ongoing expenses when every customer was eligible for no-load institutional shares of the identical fund, and he failed to document any cost-benefit analysis as required by the firm's own Reg BI supervisory procedures.

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NON-COMPLIANT

Topic: fee_selection_reverse_churning

Difficulty: hard

Standard: Investment Advisers Act §§206(1), 206(2), 203(e)(6); Investment Advisers Act §204 (books and records / examination authority); FINRA Rule 3110 (Supervision); FINRA Rule 2111 (Suitability); OCIE 2016 Examination Priority: Fee Selection and Reverse Churning

Source: 05_SEC_Exam_Findings

Fact Pattern

Meridian Wealth Partners LLC is a dually-registered investment adviser and broker-dealer based in Scottsdale, Arizona. In March 2016, Meridian's registered representative and investment adviser representative, Darren Kowalski, transitioned 47 retail brokerage clients into fee-based advisory accounts charging a 1.35% annual asset-based fee. Among these clients was Patricia Ellsworth, a 68-year-old retired schoolteacher with a \$620,000 portfolio consisting primarily of municipal bonds, a diversified large-cap equity index fund, and a small allocation to investment-grade corporate bonds. Mrs. Ellsworth's investment objective was capital preservation with modest income generation, and her historical trading activity over the prior three years averaged only two trades per year -- both of which were minor rebalancing transactions initiated by Kowalski himself.

Kowalski sent Mrs. Ellsworth a form letter in February 2016 explaining that her account would be 'upgraded' to an advisory account providing 'ongoing monitoring, holistic financial planning, and dedicated portfolio management.' The letter did not include a comparative fee analysis showing her historical commission costs versus the projected advisory fees. Under the new arrangement, Mrs. Ellsworth would pay approximately \$8,370 annually in advisory fees, compared to an average of \$185 per year in commissions over the preceding three years. After the conversion, Kowalski's actual services to Mrs. Ellsworth's account consisted of generating one quarterly performance report using automated software and conducting a single 15-minute phone call in September 2016 to confirm she was 'comfortable' with her holdings. No trades were executed in her account for the entire 2016 calendar year.

Meridian's compliance department had implemented a policy requiring advisers to document the rationale for account-type conversions on a standardized form, including a fee-impact analysis. However, an internal audit conducted in November 2016 revealed that Kowalski had submitted the standardized form for only 11 of the 47 converted accounts, and Mrs. Ellsworth's form was not among those completed. The Chief Compliance Officer, Sandra Miyamoto, flagged the deficiency in a memo to Kowalski's branch manager but took no further remedial action. The branch manager, in turn, did not follow up or impose any corrective measures. Meridian retained the advisory fees collected from all 47 accounts throughout 2016.

Question

Did Kowalski and Meridian Wealth Partners comply with their fiduciary obligations and applicable regulatory standards when transitioning Mrs. Ellsworth's brokerage account to a fee-based advisory account?

Answer

No. Kowalski and Meridian Wealth Partners violated multiple regulatory standards, and this fact pattern represents a textbook case of 'reverse churning' -- the precise examination priority identified by OCIE in its 2016 Examination Priorities document.

First, under the Investment Advisers Act of 1940, Sections 206(1) and 206(2), an investment adviser owes a fiduciary duty to its clients, which includes the duty to act in the client's best interest and to make full and fair disclosure of all material facts, including conflicts of interest. Kowalski's recommendation to convert Mrs. Ellsworth's account to a fee-based arrangement was not in her best interest. Her historical trading activity (two trades per year averaging \$185 in commissions) was negligible compared to the \$8,370 annual advisory fee -- a cost increase of approximately 4,422%. A buy-and-hold, capital-preservation portfolio with minimal trading activity is the paradigmatic scenario where a commission-based arrangement is more cost-effective and appropriate for the client. The failure to provide a comparative fee analysis in the transition letter constitutes a material omission under Section 206(2).

Second, OCIE's 2016 priorities explicitly stated that examiners would focus on 'recommendations of account types and whether the recommendations are in the best interest of the retail investor at the inception of the arrangement.' The conversion here served Kowalski's economic interest (generating a predictable, substantially higher revenue stream) rather than Mrs. Ellsworth's. This is precisely the reverse churning dynamic -- parking a low-activity client in a fee-based account to extract ongoing fees without providing commensurate advisory services.

Third, Meridian's supervisory failures compound the violation. Under Section 203(e)(6) of the Advisers Act and, on the broker-dealer side, FINRA Rule 3110 (Supervision), Meridian was required to reasonably supervise Kowalski's activities. The firm's own internal policy required documented fee-impact analyses for account conversions, yet Kowalski completed forms for only 11 of 47 accounts. When CCO Miyamoto identified the deficiency, neither she nor the branch manager took remedial action -- no account reviews, no fee reversals, no client notifications. This represents a failure of both the supervisory system and its enforcement.

Kowalski cannot defend the conversion by pointing to the generic 'ongoing monitoring' language in the transition letter, as the actual services rendered (automated quarterly reports and one brief phone call) were de minimis and did not justify a 1.35% annual fee on a \$620,000 portfolio. The fiduciary standard demands substance, not labels. The violation is clear, and both the individual representative and the firm bear liability.

Key Factor

Kowalski converted a low-activity, capital-preservation client from a commission account averaging \$185/year to a fee-based account costing \$8,370/year without documenting a rationale, performing a fee-impact analysis, or providing advisory services commensurate with the fee.

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NON-COMPLIANT

Topic: reg_bi_care_obligation_share_class_selection

Difficulty: hard

Standard: Regulation Best Interest, 17 CFR §240.15l-1(a)(2)(ii)(B) (Care Obligation); 17 CFR §240.15l-1(a)(2)(ii)(D) (Conflict of Interest Obligation); Form CRS, 17 CFR §240.17a-14; FINRA Rule 2111 (Suitability); Investment Advisers Act §206 (Anti-Fraud)

Source: 05_SEC_Exam_Findings

Fact Pattern

Meridian Financial Partners, LLC is a dually registered broker-dealer and investment adviser based in Charlotte, North Carolina, with approximately \$1.8 billion in assets under advisement and 94 registered representatives. In January 2023, the SEC Division of Examinations selected Meridian for a Reg BI-focused examination as part of the Division's 2023 priorities around Standards of Conduct.

During the examination, staff reviewed the account of Margaret Ellison, a 68-year-old retired school principal with a \$620,000 rollover IRA, moderate risk tolerance, a 15-year investment horizon, and stated income needs of approximately \$2,800 per month to supplement Social Security. Her registered representative, David Nguyen, recommended she invest \$410,000 across five American Funds mutual funds, each in Class A shares carrying a 5.75% front-end load. The total upfront sales charge was approximately \$23,575. Nguyen's Form U4 disclosed that he received a 3.5% gross payout on Class A shares versus 1.0% on advisory wrap accounts. Meridian's product shelf also included institutional share classes and lower-cost ETF equivalents for each of the five funds recommended, with expense ratios averaging 42 basis points lower annually than the selected A shares.

Meridian's written Reg BI policies stated that representatives must document a "reasonable basis" for share class selection and consider cost as a factor, but the firm's compliance surveillance system only flagged transactions where the front-end load exceeded 6.0%. Nguyen's account documentation for Mrs. Ellison consisted of a single sentence: "Client prefers mutual funds for retirement income." No comparison of share classes, alternative products, or cost analysis was performed or documented. Meridian's Form CRS, filed in June 2020, stated that the firm "may" have financial incentives to recommend certain products but did not specifically describe differential compensation across share classes.

The examination also revealed that 73% of Nguyen's brokerage recommendations in 2022 involved Class A shares even when breakpoint-eligible amounts or lower-cost share classes were available, and Meridian's compliance department had not conducted any targeted review of share class selection practices since Reg BI's June 30, 2020 compliance date.

Question

Did Meridian Financial Partners and its registered representative David Nguyen comply with Regulation Best Interest's Care Obligation and Conflict of Interest Obligation in recommending Class A mutual fund shares to Margaret Ellison?

Answer

Meridian and Nguyen violated Regulation Best Interest (17 CFR §240.15l-1) in multiple respects, specifically the Care Obligation under Rule 15l-1(a)(2)(ii)(B) and the Conflict of Interest Obligation under Rule 15l-1(a)(2)(ii)(D).

Care Obligation Violation: The Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill when making a recommendation, considering the investment's risks, rewards, and costs, as well as the retail customer's investment profile. The obligation has three components: (1) a reasonable-basis obligation to understand the product, (2) a customer-specific obligation to tailor the recommendation to the customer, and (3) a quantitative obligation not to place excessive costs on the customer. Here, Nguyen recommended \$410,000 in Class A shares generating \$23,575 in immediate load charges without documenting any comparison to available institutional shares or lower-cost ETFs on the same product shelf. Given Mrs. Ellison's retirement status, fixed-income needs, and moderate risk tolerance, the 5.75% front-end load materially reduced her investable principal at a time when she required income generation. The SEC's Reg BI adopting release explicitly states that cost is a required consideration and that when a lower-cost alternative is "reasonably available" and substantially similar, the representative must have a reasonable basis for the higher-cost recommendation. Nguyen's single-sentence documentation--"Client prefers mutual funds"--fails to demonstrate any such analysis and would not withstand scrutiny.

Conflict of Interest Obligation Violation: Rule 15l-1(a)(2)(ii)(D) requires firms to establish, maintain, and enforce written policies and procedures reasonably designed to identify and mitigate conflicts of interest arising from financial incentives. Nguyen's 3.5% payout on A shares versus 1.0% on advisory accounts created an acute incentive to recommend the higher-commission product. Meridian's surveillance threshold of 6.0% was ineffective as a mitigation measure because it systematically failed to capture the 5.75% load transactions that constituted the vast majority of Nguyen's book. Furthermore, the 73% concentration in A shares across Nguyen's book is a red flag the firm should have identified through pattern surveillance.

Form CRS Deficiency: Meridian's Form CRS disclosed conflicts only generically using the word "may," failing to provide the specific, prominent disclosure of material differential compensation across share classes contemplated by Form CRS instructions (17 CFR §240.17a-14).

Meridian cannot rely on the defense that its written policies addressed share class selection, because those policies were not reasonably enforced--no targeted review had been conducted since Reg BI's compliance date. The Division of Examinations' 2023 priorities specifically flagged share class selection, cost analysis, and conflict mitigation as examination focus areas, making this a foreseeable deficiency.

Key Factor

Nguyen failed to document any cost comparison or reasonable basis for selecting higher-cost Class A shares over available lower-cost alternatives, while Meridian's compliance surveillance was calibrated at a threshold that systematically failed to detect the very conflict it was designed to mitigate.

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NON-COMPLIANT

Topic: qdia_fiduciary_decumulation_selection

Difficulty: hard

Standard: ERISA §404(a)(1)(A) (duty of loyalty); ERISA §404(a)(1)(B) (duty of prudence); ERISA §406(b)(2) (prohibited transactions -- conflicts of interest); 29 CFR §2550.404c-5 (QDIA safe harbor regulation); SECURE Act §204 (lifetime income fiduciary safe harbor); DOL QDIA Final Rule (2007)

Source: 06_DOL_Fiduciary

Fact Pattern

Greenfield Manufacturing, Inc. sponsors a 401(k) plan with approximately 4,200 participants and \$380 million in assets. The plan's named fiduciary is the Benefits Committee, chaired by CFO Diana Kowalski. In March 2024, the committee decided to replace the plan's existing QDIA -- a low-cost Vanguard Target Retirement Fund series with an average expense ratio of 0.10% -- with the 'RetireSecure Managed Account' product offered by Patriot Financial Services, Inc. The RetireSecure product is a managed account QDIA that includes an embedded group variable annuity component designed to provide a guaranteed lifetime withdrawal benefit beginning at age 65. The all-in fee for the RetireSecure product is 0.95% annually, inclusive of the annuity insurance charge of 0.40% and the managed account advisory fee of 0.55%.

Diana Kowalski's brother-in-law, Marcus Trent, is a regional vice president at Patriot Financial Services. Marcus made the initial presentation to the Benefits Committee in January 2024, and he personally stood to earn a \$75,000 placement bonus if Greenfield adopted the RetireSecure product. The committee meeting minutes from the January and March meetings reflect only a brief notation that 'the committee reviewed managed account options with lifetime income features' and that 'the committee voted unanimously to adopt the RetireSecure Managed Account as the plan's QDIA effective July 1, 2024.' There is no documentation of any benchmarking analysis, fee comparison with the incumbent Vanguard TDF series or other managed account providers, evaluation of the annuity carrier's financial strength, or assessment of whether the lifetime income feature was appropriate given the plan's participant demographics -- 62% of whom are under age 40.

Following the transition on July 1, 2024, approximately 2,900 participants who had never made an affirmative investment election were automatically moved into the RetireSecure Managed Account. Within six months, several participants complained about the higher fees and the surrender charges that would apply if they transferred out of the annuity component within seven years. The DOL's Employee Benefits Security Administration (EBSA) subsequently opened an investigation into the QDIA selection process.

Question

Did the Greenfield Benefits Committee satisfy its ERISA fiduciary duties under the QDIA safe harbor regulations when it replaced the incumbent target date fund with the RetireSecure Managed Account as the plan's qualified default investment alternative?

Answer

The Benefits Committee almost certainly failed to satisfy its ERISA fiduciary duties, and the QDIA safe harbor under 29 CFR §2550.404c-5 likely does not protect the committee from liability.

First, the threshold issue: the QDIA regulation at 29 CFR §2550.404c-5(b) provides relief to fiduciaries for investment

outcomes when participants are defaulted into a QDIA, but it does not relieve fiduciaries of their obligation to prudently select and monitor the QDIA itself. The preamble to the 2007 final QDIA regulation and subsequent DOL guidance make clear that the selection of a QDIA remains subject to the full fiduciary standards of ERISA §404(a)(1)(A) and (B) -- the duties of loyalty and prudence.

Under ERISA §404(a)(1)(B), a fiduciary must act 'with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use.' The committee's process was deficient in multiple respects: (1) no documented benchmarking analysis comparing the RetireSecure product against the incumbent TDF or competing managed account or lifetime income QDIAs; (2) no fee reasonableness analysis despite a nearly tenfold increase in expense ratios (0.10% to 0.95%); (3) no evaluation of participant demographics -- 62% of participants are under 40, raising serious questions about the appropriateness of embedding an annuity with surrender charges for a young workforce; and (4) no assessment of the annuity carrier's financial strength ratings.

Under ERISA §404(a)(1)(A), the duty of loyalty requires fiduciaries to act 'solely in the interest of the participants and beneficiaries.' Diana Kowalski's brother-in-law Marcus Trent directly solicited the business and stood to earn a \$75,000 placement bonus. While the relationship itself does not automatically constitute a prohibited transaction, the failure to disclose and manage this conflict -- combined with the absence of any independent evaluation -- strongly suggests the decision was influenced by considerations other than participant welfare. This implicates ERISA §406(b)(2), which prohibits a fiduciary from acting in a transaction involving the plan on behalf of a party whose interests are adverse to the plan.

The seven-year surrender charge is also problematic. As the 2024 ERISA Advisory Council report highlights, QDIA regulations were designed primarily for the accumulation phase, and embedding illiquid annuity features in a default investment constrains participant choice -- a tension the Council specifically flagged. The surrender charges effectively penalize participants who later make an affirmative investment election, undermining the purpose of the QDIA framework.

The committee cannot invoke the QDIA safe harbor to shield itself because the safe harbor's prerequisite -- prudent selection -- was not met. The EBSA investigation will likely find breaches of ERISA §§404(a)(1)(A), 404(a)(1)(B), and potentially §406(b), exposing committee members to personal liability for losses attributable to the excessive fees.

Key Factor

The Benefits Committee failed to document any prudent process -- including fee benchmarking, demographic appropriateness analysis, or conflict-of-interest management -- when replacing a low-cost TDF QDIA with a high-cost managed account product solicited by a committee member's relative who received a placement bonus.

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NON-COMPLIANT

Topic: erisa_fiduciary_rollover_advice

Difficulty: hard

Standard: ERISA §§3(21)(A)(ii), 404(a)(1)(A)-(B), 406(a), 406(b)(1), 406(b)(3); 29 CFR §2510.3-21 (DOL Fiduciary Rule); PTE 2016-01 (Best Interest Contract Exemption); IRC §4975(c)(1); CFP Board Standards of Professional Conduct

Source: 06_DOL_Fiduciary

Fact Pattern

Marcus Reilly is a registered representative of Granite Peak Financial Services, a broker-dealer, and also holds the CFP(R) designation. On March 15, 2018, he met with Patricia Okonkwo, a 58-year-old public school teacher nearing retirement, who had accumulated \$412,000 in her employer-sponsored 403(b) plan invested in a diversified portfolio of low-cost index funds with a blended expense ratio of 0.08%. Patricia contacted Marcus after attending a free 'Retirement Readiness' seminar organized by Granite Peak at a local hotel. During their meeting, Marcus recommended that Patricia roll her entire 403(b) balance into a new IRA at Granite Peak, where he proposed investing the proceeds into a suite of proprietary actively managed mutual funds offered by Granite Peak's affiliate, Granite Peak Asset Management. The recommended funds carried an average expense ratio of 1.35%, plus a 5.25% front-end sales load, which would generate approximately \$21,630 in upfront commissions for Marcus personally. Marcus told Patricia that the rollover would give her 'more investment choices and personalized attention,' but he did not perform or document any comparative analysis of the costs, investment performance, or features of her existing 403(b) plan versus the proposed IRA. He did not disclose that Granite Peak paid enhanced compensation grids for sales of its proprietary funds, nor did he mention that Patricia's existing 403(b) plan offered institutional share classes unavailable in a retail IRA. Marcus prepared only a brief suitability questionnaire noting Patricia's moderate risk tolerance and retirement timeline of seven years, but conducted no analysis of the total cost differential over Patricia's expected retirement horizon. Patricia signed the rollover paperwork on March 22, 2018, and the rollover was completed on April 5, 2018. Over the next three years, Patricia's IRA underperformed what her 403(b) portfolio would have returned by approximately \$38,000, largely attributable to the higher fee structure and the initial sales load drag.

Question

Under the DOL's fiduciary rule framework, ERISA prohibited transaction provisions, and applicable exemption conditions, did Marcus Reilly's rollover recommendation to Patricia Okonkwo comply with his fiduciary obligations, and could Granite Peak rely on a prohibited transaction exemption for the compensation it received?

Answer

Marcus Reilly's conduct constitutes a clear violation of ERISA fiduciary standards and would not qualify for relief under the applicable Prohibited Transaction Exemptions. Under the DOL's fiduciary rule (29 CFR §2510.3-21), Marcus's individualized rollover recommendation to Patricia constituted 'investment advice' for compensation, rendering him a fiduciary under ERISA §3(21)(A)(ii). As an ERISA fiduciary, he was subject to ERISA §404(a)(1)'s duty of loyalty and prudence, requiring him to act solely in the interest of the participant and with the care, skill, prudence, and diligence that a prudent person would exercise.

Marcus's recommendation triggered ERISA §406(b) prohibited transaction rules because the compensation he and Granite Peak received from the rollover--\$21,630 in front-end loads plus ongoing revenue from proprietary fund expense ratios--constituted self-dealing and transactions involving conflicts of interest. Specifically, §406(b)(1) prohibits

a fiduciary from dealing with plan assets in his own interest, and §406(b)(3) prohibits receiving consideration from a party dealing with the plan in connection with a transaction involving plan assets.

To receive such conflicted compensation, Granite Peak would need to satisfy the conditions of a Prohibited Transaction Exemption, such as PTE 2016-01 (Best Interest Contract Exemption) or its successors. The BIC Exemption required, among other conditions, that the adviser provide advice in the 'best interest' of the retirement investor, meaning advice that reflects the care, skill, prudence, and diligence that a prudent person would exercise based on the investment objectives, risk tolerance, financial circumstances, and needs of the investor, without regard to the financial or other interests of the adviser. Marcus fundamentally failed this standard. He performed no documented cost-benefit analysis comparing Patricia's low-cost 403(b) plan (0.08% expense ratio, no loads, institutional share classes) against the proposed IRA (1.35% expense ratio plus 5.25% front-end load). The cost differential alone--approximately \$5,238 annually in excess fees plus the initial load--was material and quantifiable. The BIC Exemption also required specific written disclosures of conflicts, including enhanced compensation arrangements for proprietary products, which Marcus failed to provide.

Marcus cannot rely on a defense that he completed a suitability questionnaire; suitability is a lower standard than the fiduciary best-interest obligation required under ERISA and the PTEs. The Financial Planning Coalition's comment letter in this very docket emphasized that advisers operating under fiduciary standards across business models--including CFP(R) professionals like Marcus--can and should perform this analysis. Marcus's CFP(R) designation independently obligated him to act as a fiduciary, making his failure doubly egregious. The rollover recommendation was non-compliant, the exemption conditions were unsatisfied, and Granite Peak faces prohibited transaction liability under ERISA §§406(a) and 406(b).

Key Factor

Marcus failed to perform or document any comparative cost-benefit analysis between Patricia's low-cost 403(b) plan and the significantly more expensive proprietary IRA products, defeating any claim to the best-interest standard required under the BIC Exemption.

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NON-COMPLIANT

Topic: esg_investment_erisa_fiduciary_duty

Difficulty: hard

Standard: ERISA §404(a)(1)(A) (duty of loyalty/exclusive purpose); ERISA §404(a)(1)(B) (duty of prudence); 29 CFR §2509.2015-01 (IB 2015-01 on ETIs/ESG); DOL Field Assistance Bulletin 2018-01; ERISA §405(a) (co-fiduciary liability); ERISA §409(a) (liability for breach)

Source: 06_DOL_Fiduciary

Fact Pattern

Margaret Hollister is the chair of the Investment Committee for the Greenfield Manufacturing Company 401(k) Plan, a defined contribution plan with approximately \$340 million in assets covering 2,800 participants. In January 2019, Margaret attended a conference on sustainable investing and became enthusiastic about integrating environmental, social, and governance (ESG) criteria into the plan's investment lineup. She subsequently directed the plan's investment consultant, Ridgeline Advisory Group, to replace four of the plan's twelve core investment options with ESG-themed alternatives.

Specifically, Margaret instructed Ridgeline to replace the plan's S&P 500 index fund (expense ratio: 0.03%, 10-year annualized return: 13.2%) with the Verdant Global ESG Leaders Fund (expense ratio: 0.72%, 10-year annualized return: 11.4%); the plan's mid-cap value fund (expense ratio: 0.18%, 10-year annualized return: 10.8%) with the SustainEquity Mid-Cap Impact Fund (expense ratio: 0.85%, 10-year annualized return: 9.1%); and two fixed-income options with ESG-screened bond funds that carried higher expense ratios and slightly lower yields. The total incremental annual cost to plan participants from these substitutions was estimated at approximately \$1.9 million.

Ridgeline Advisory Group prepared an investment analysis for the committee that flagged the performance differential and higher fees of the ESG replacement funds. The analysis noted that while certain ESG factors could be material to long-term risk assessment, the specific funds selected were primarily marketed based on their alignment with social and environmental objectives, not superior risk-adjusted returns. Margaret nonetheless persuaded three of the five committee members to approve the changes, stating in the recorded committee meeting minutes from March 15, 2019: 'Our company has a responsibility to invest in a way that reflects our corporate sustainability values, and this plan should be no different. These funds align with who we are as a company.'

Two committee members, David Park and Susan Lehman, dissented, noting that the committee's duty was to plan participants, not to corporate branding. No participant survey was conducted, and no documentation was created analyzing whether the ESG factors embedded in the replacement funds presented material economic risks or opportunities that would justify their selection on a purely financial basis. The committee did not evaluate whether the ESG funds were economically equivalent or superior to the existing options.

Question

Did Margaret Hollister and the Greenfield Manufacturing 401(k) Plan Investment Committee breach their ERISA fiduciary duties by replacing existing plan investment options with higher-cost, lower-performing ESG-themed funds based on the company's corporate sustainability values?

Answer

Yes. Margaret Hollister and the concurring committee members breached their fiduciary duties under ERISA

§404(a)(1)(A) and (B). The analysis follows.

Under ERISA §404(a)(1)(A), fiduciaries must discharge their duties solely in the interest of plan participants and beneficiaries and for the exclusive purpose of providing benefits and defraying reasonable plan expenses. Under §404(a)(1)(B), fiduciaries must act with the care, skill, prudence, and diligence of a prudent person acting in a like capacity -- the so-called 'prudent expert' standard.

As DOL Field Assistance Bulletin 2018-01 makes clear, the Department's longstanding position -- reiterated in Interpretive Bulletin 2015-01 (29 CFR §2509.2015-01) -- is that ERISA fiduciaries are not permitted to sacrifice investment return or take on additional investment risk as a means of promoting collateral social policy goals. FAB 2018-01 clarified that ESG factors may be considered when they present material business risks or opportunities that qualified investment professionals would treat as economic considerations under generally accepted investment theories. In such cases, ESG factors are appropriate economic considerations -- not mere tie-breakers. However, the bulletin explicitly cautioned against treating ESG considerations as standalone justifications for investment selection absent a documented economic rationale.

Here, the facts demonstrate multiple violations. First, the committee's stated rationale -- aligning investments with corporate sustainability values -- is a textbook example of promoting collateral social policy goals in violation of ERISA's exclusive purpose and sole interest requirements. Margaret's recorded statement that 'this plan should reflect who we are as a company' evidences loyalty to corporate identity rather than to participants. Second, the replacement funds carried demonstrably higher expense ratios (0.72% vs. 0.03% for the large-cap option; 0.85% vs. 0.18% for mid-cap) and lower historical returns, resulting in an estimated \$1.9 million annual cost increase to participants. Third, the committee failed to document any analysis showing that ESG-specific factors in the selected funds presented material economic risks or opportunities justifying their selection on purely financial grounds. Ridgeline's own analysis flagged that the funds were marketed primarily on social and environmental alignment, not risk-adjusted economic merit. Fourth, the ESG funds were not shown to be economically equivalent to existing options -- which would be the minimum threshold for the tie-breaker analysis permitted under IB 2015-01.

The dissent of Park and Lehman does not insulate the committee; fiduciary liability under ERISA §405(a) can attach to co-fiduciaries who participate in a known breach. However, their documented dissent would likely mitigate their individual exposure. Margaret and the three concurring members face potential personal liability for plan losses under ERISA §409(a). The absence of any documented economic analysis is particularly damaging, as it defeats any procedural prudence defense under the framework established in *Tibble v. Edison International*, 575 U.S. 523 (2015).

Key Factor

The committee selected higher-cost, lower-performing ESG funds based on corporate sustainability values rather than documented economic analysis demonstrating material financial benefits to plan participants, directly violating ERISA's sole interest and exclusive purpose requirements.

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NON-COMPLIANT

Topic: fiduciary_definition_bank_rollover_recommendation

Difficulty: hard

Standard: ERISA § 406(b)(1) and (b)(3); 29 C.F.R. § 2510.3-21(c) (expanded fiduciary definition); PTE 2020-02 Sections II(a)(1), II(b), II(c), and II(d) (Impartial Conduct Standards, disclosure, and policies-and-procedures conditions); ERISA § 404(a)(1) (prudent person standard); 88 Fed. Reg. 75,890 (Retirement Security Rule); 88 Fed. Reg. 75,979 (PTE 2020-02 amendments)

Source: 06_DOL_Fiduciary

Fact Pattern

Heartland National Bank is a mid-sized regional bank headquartered in Kansas City, Missouri, with approximately \$8.2 billion in assets under management. In March 2024, Janet Kowalski, a 58-year-old manufacturing plant supervisor, retired from Benson Industries after 27 years of employment. Janet had accumulated \$412,000 in her employer's 401(k) plan, which was invested in a diversified mix of low-cost Vanguard index funds with a blended expense ratio of 0.06%.

Janet visited the Heartland National Bank branch on April 15, 2024, to discuss her options for the 401(k) balance. She met with Marcus Delgado, a bank employee with the title 'Retirement Services Specialist.' Marcus was compensated through a base salary plus a quarterly incentive bonus tied to the volume of IRA rollovers he facilitated into the bank's proprietary products, including Heartland-branded mutual funds and fixed annuities. During their 45-minute meeting, Marcus told Janet that rolling her 401(k) into a Heartland IRA was 'the smart move for someone in your situation' and recommended she allocate the funds into three Heartland proprietary mutual funds with a blended expense ratio of 1.12% and a Heartland fixed annuity with a 7-year surrender period carrying a 6% surrender charge. Marcus did not discuss the option of leaving the money in the 401(k) plan, nor did he mention that she could roll into a lower-cost IRA at another institution. He did not document any analysis of her existing plan's fees, investment options, or the relative costs of the rollover.

Heartland National Bank had not updated its compliance procedures to account for the DOL's proposed Retirement Security Rule expanding the definition of investment advice fiduciary under 29 C.F.R. § 2510.3-21. The bank's internal compliance manual still referenced the now-vacated 2016 fiduciary rule framework and contained no specific protocols for documenting rollover recommendations or disclosing conflicts of interest related to proprietary product incentives. Marcus did not provide Janet with any written disclosure regarding his compensation structure, the bank's conflicts of interest, or a comparison of the costs associated with her existing 401(k) versus the recommended IRA products. Janet signed the rollover paperwork the same day, and the \$412,000 was transferred into the Heartland IRA within two weeks.

Question

Under the DOL's expanded fiduciary definition and PTE 2020-02 requirements, did Marcus Delgado and Heartland National Bank satisfy their fiduciary obligations and the conditions of the prohibited transaction exemption when recommending Janet Kowalski roll over her 401(k) into proprietary bank products?

Answer

No. Marcus Delgado and Heartland National Bank failed to satisfy their fiduciary obligations and did not meet the conditions required under PTE 2020-02 to receive relief from ERISA's prohibited transaction rules.

First, under the DOL's expanded definition of investment advice fiduciary at 29 C.F.R. § 2510.3-21(c), as proposed in the Retirement Security Rule (88 Fed. Reg. 75,890 (2023)), Marcus's rollover recommendation constitutes fiduciary investment advice. He provided a recommendation regarding the disposition of retirement assets (the rollover itself) and the specific investment of those assets (proprietary funds and annuity), he did so for compensation (his incentive bonus), and the recommendation was individualized to Janet based on her particular retirement situation. Under the expanded rule, one-time rollover recommendations are squarely within the fiduciary definition -- there is no requirement for an ongoing advisory relationship.

Second, because Marcus recommended proprietary Heartland products that generated additional compensation for himself and the bank, this constitutes a prohibited transaction under ERISA § 406(b)(1) and (b)(3) -- a fiduciary dealing with plan assets in his own interest and receiving consideration from a party dealing with the plan. To obtain relief, Heartland must satisfy PTE 2020-02 (88 Fed. Reg. 75,979), which requires: (1) the advice must be in the retirement investor's best interest (the Impartial Conduct Standards); (2) compensation must be reasonable; (3) the fiduciary must not make materially misleading statements; and (4) specific disclosure, documentation, and policies-and-procedures requirements must be met.

Heartland and Marcus failed virtually every condition. On best interest, Marcus recommended products with a blended expense ratio of 1.12% -- nearly 19 times the 0.06% cost of Janet's existing 401(k) investments -- plus a 7-year surrender-charge annuity, without any documented analysis showing these products were superior. PTE 2020-02 Section II(a)(1) requires that advice reflect the care, skill, prudence, and diligence that a prudent person would exercise. The failure to even consider or document the leave-in-plan option or lower-cost alternatives is a clear violation. On disclosure, PTE 2020-02 Section II(b) and (c) require written disclosure of the financial institution's conflicts of interest, the specific costs associated with the recommended products versus alternatives, and the compensation received. None of this was provided. On policies and procedures, Section II(d) requires the financial institution to establish, maintain, and enforce written policies designed to ensure compliance with the Impartial Conduct Standards, including mitigation of conflicts such as incentive compensation tied to proprietary product sales. Heartland's outdated compliance manual, still referencing the vacated 2016 rule, demonstrates a systemic failure.

The bank cannot invoke any defense based on the ABA's comment letter concerns about overbreadth, as the facts here represent precisely the scenario the DOL's rulemaking targets: a conflicted, one-time rollover recommendation into high-cost proprietary products without adequate disclosure or best-interest analysis. This is a prohibited transaction without valid exemptive relief.

Key Factor

Marcus recommended a rollover into high-cost proprietary bank products generating incentive compensation for himself without documenting a best-interest analysis, disclosing conflicts, or comparing the costs of the existing 401(k) plan -- failing the core conditions of PTE 2020-02.

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NON-COMPLIANT

Topic: dol_fiduciary_rule_prohibited_transaction_ira_rollover

Difficulty: hard

Standard: ERISA §§ 3(21), 404(a)(1)(A)-(B), 406(b)(3); 29 C.F.R. § 2510.3-21 (pre-2016 five-part test); IRC § 4975(e)(3); FINRA Rules 2111 (Suitability), 2232 (Customer Account Statements), 3110 (Supervision); Chamber of Commerce v. DOL, No. 17-10238 (5th Cir. 2018); Pinnacle Financial Partners internal WSPs regarding rollover documentation

Source: 06_DOL_Fiduciary

Fact Pattern

In March 2017, Robert Calloway, a registered representative with Pinnacle Financial Partners, LLC, a broker-dealer and insurance agency based in Dallas, Texas, was contacted by Margaret Dunleavy, a 62-year-old recently retired schoolteacher from Irving, Texas. Margaret had accumulated \$485,000 in a 403(b) plan through the Irving Independent School District and wanted guidance on her options. Robert met with Margaret at his office on March 22, 2017, and during the meeting recommended she roll her entire 403(b) balance into a new IRA at Pinnacle, and then invest the proceeds into a fixed indexed annuity issued by Southwest Heritage Life Insurance Company, the 'Heritage Growth Plus 10' product. The annuity carried a 10-year surrender period with a declining surrender charge starting at 9%, a 1.25% annual spread charge, and a 2.5% participation rate cap on the S&P 500 index. Pinnacle would receive a 7% upfront commission (\$33,950) on the annuity sale, paid by Southwest Heritage Life. Margaret's existing 403(b) plan offered a menu of low-cost target-date funds with expense ratios averaging 0.12%, and she was eligible to leave her money in the plan post-retirement with continued access to those institutional share classes.

Robert did not perform a written comparison of Margaret's existing 403(b) investment options versus the proposed IRA rollover. He did not document why the rollover was in Margaret's best interest, nor did he disclose that his compensation on the fixed indexed annuity was approximately six times what he would earn if Margaret remained in the 403(b) or chose a fee-based IRA advisory account. Robert's internal notes stated only: 'Client wants guaranteed income and protection from market downside. Recommended Heritage Growth Plus 10 FIA.' Margaret signed the annuity application and rollover paperwork on April 5, 2017.

Pinnacle's compliance department had adopted a policy in early 2017, in anticipation of the DOL Fiduciary Rule's phased implementation beginning June 9, 2017, requiring advisers to document a reasonable basis for rollover recommendations and to provide a cost comparison. However, Robert completed the transaction before the June 9 applicability date. The DOL Fiduciary Rule was ultimately vacated by the Fifth Circuit in Chamber of Commerce v. DOL in March 2018, but Pinnacle's internal policy remained nominally in effect. Margaret later discovered the high surrender charges when she needed funds for an unexpected medical procedure in 2019 and faced a \$29,175 surrender penalty.

Question

Did Robert Calloway's recommendation that Margaret Dunleavy roll her 403(b) into an IRA to purchase a fixed indexed annuity violate applicable fiduciary or suitability obligations, and what is the regulatory significance of the Fifth Circuit's vacatur of the 2016 DOL Fiduciary Rule to this analysis?

Answer

Robert Calloway's conduct raises serious compliance concerns under multiple overlapping frameworks, though the precise legal exposure depends on the applicable regulatory regime at the time of the transaction and the survival of

certain internal firm policies.

First, regarding the 2016 DOL Fiduciary Rule: The transaction occurred on April 5, 2017, before the Rule's initial applicability date of June 9, 2017. Even under the phased implementation schedule, the full Best Interest Contract Exemption (BIC Exemption) conditions--including the requirement to act in the client's best interest, provide cost disclosures, and avoid misleading statements in connection with IRA rollover recommendations--had not yet taken legal effect. Moreover, the Fifth Circuit in *Chamber of Commerce of the United States v. DOL*, No. 17-10238 (5th Cir. Mar. 15, 2018), vacated the entire Fiduciary Rule package, finding that DOL had overreached its statutory authority under ERISA and the Internal Revenue Code by redefining 'investment advice fiduciary' in a manner inconsistent with the five-part test under 29 C.F.R. § 2510.3-21 and by imposing legally unauthorized contract terms. The vacatur means the 2016 Rule cannot serve as an independent basis for liability.

However, Robert's conduct is not absolved. Under the pre-2016 regulatory framework, the rollover recommendation to an IRA was not treated as fiduciary advice under ERISA because IRAs are not Title I plans (they fall under IRC § 4975). But FINRA suitability obligations under Rule 2111 (and now Reg BI under SEC Rule 15l-1, effective June 30, 2020, though not yet applicable here) still governed. Under FINRA Rule 2111, the recommendation had to be suitable considering Margaret's investment profile, including her age, liquidity needs, risk tolerance, time horizon, and existing holdings. A 10-year surrender period with a 9% initial surrender charge for a 62-year-old retiree who might need liquidity presents a significant suitability red flag. The failure to document any comparison of the 403(b) plan's low-cost institutional funds versus the high-commission FIA, and the failure to consider the cost differential, would likely constitute a violation of FINRA Rule 2111's reasonable-basis and customer-specific suitability components.

Additionally, Pinnacle's own internal compliance policy--adopted in anticipation of the DOL Rule--required rollover documentation and cost comparisons. Even after the Rule's vacatur, FINRA and state regulators routinely hold firms accountable for following their own written supervisory procedures. Robert's failure to comply with the firm's internal policy could support a FINRA Rule 3110 supervisory violation against the firm and a separate violation by Robert for disregarding established procedures.

The pivotal compliance failure is Robert's complete lack of documentation showing the rollover and annuity were in Margaret's interest relative to her existing low-cost 403(b) options, compounded by the undisclosed compensation differential that created an acute conflict of interest.

Key Factor

Robert failed to document any reasonable basis or cost comparison for recommending the rollover from a low-cost 403(b) into a high-commission, illiquid fixed indexed annuity, creating an undisclosed compensation-driven conflict in violation of FINRA suitability requirements and the firm's own written supervisory procedures.

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NON-COMPLIANT

Topic: ira_rollover_fiduciary_conflict

Difficulty: hard

Standard: ERISA §3(21)(A)(ii); ERISA §404(a) (prudence and loyalty); ERISA §406(b) (prohibited self-dealing); IRC §4975(c)(1)(D)-(F); IRC §4975(e)(3); DOL 2016 Final Fiduciary Rule (29 CFR §2510.3-21); Best Interest Contract Exemption (BIC Exemption, PTE 2016-01); Advisory Opinion 2005-23A (superseded by 2016 rule on rollovers)

Source: 06_DOL_Fiduciary

Fact Pattern

Marcus Whitfield is a registered representative of Clearpoint Financial Services, a dual-registered broker-dealer and RIA based in Charlotte, North Carolina. In March 2016, shortly before the DOL's final fiduciary rule was published in April 2016, Marcus contacted Linda Okafor, a 58-year-old middle school teacher who was preparing to retire from the Wake County Public School System after 30 years of service. Linda had accumulated \$410,000 in her employer-sponsored 403(b) plan, which was invested in a diversified mix of low-cost Vanguard target-date funds with an all-in expense ratio of 0.12%. Linda also had a modest traditional IRA with \$35,000 at Fidelity, invested in index funds.

Marcus, who had obtained Linda's contact information through a retirement seminar he hosted at a local hotel, met with her and recommended she roll her entire \$410,000 403(b) balance into a new IRA at Clearpoint. He told Linda that consolidating her retirement assets would 'simplify her financial life' and give her access to 'institutional-quality investment management.' He recommended allocating the rollover IRA into a combination of Class A mutual funds with 5.25% front-end loads and two variable annuities -- a Jackson National Perspective II (\$150,000) and an Allianz Benefit Control (\$100,000) -- each carrying surrender periods of seven and nine years respectively, mortality and expense charges of 1.35%, and optional living benefit riders adding another 1.10% annually. Marcus's total first-year compensation from the rollover would be approximately \$18,700 in commissions and trail fees.

Marcus did not perform or document any comparative analysis of the costs, investment options, or services available in Linda's existing 403(b) plan versus the proposed IRA. He did not disclose the specific dollar amount of his compensation, nor did he explain that Linda's existing plan investments had substantially lower fees. Clearpoint's compliance department had no supervisory protocol requiring advisers to document the basis for rollover recommendations or to compare existing plan features against proposed IRA arrangements. Linda signed the rollover paperwork the same day as the initial meeting.

Question

Under the DOL's 2016 fiduciary rule framework and ERISA prohibited transaction provisions, did Marcus Whitfield act as a fiduciary when recommending the IRA rollover, and did his conduct comply with applicable exemption requirements?

Answer

Marcus Whitfield's conduct constitutes a clear violation of ERISA fiduciary standards and fails to satisfy the conditions of any available prohibited transaction exemption. Under the DOL's 2016 final rule expanding the definition of 'fiduciary' under ERISA §3(21)(A)(ii) and IRC §4975(e)(3), Marcus's individualized recommendation that Linda roll over her 403(b) assets into an IRA constitutes 'investment advice' rendered for a fee, making him a fiduciary. The 2016 rule specifically

addressed the rollover context, reversing the position taken in Advisory Opinion 2005-23A, which had suggested that a one-time rollover recommendation might not trigger fiduciary status under the old 1975 five-part test. Under the final rule, a recommendation to roll over plan assets to an IRA is fiduciary investment advice if the person making it receives compensation and the recommendation is individualized -- both conditions clearly met here.

As a fiduciary, Marcus is subject to ERISA §404(a)'s duty of prudence and loyalty, requiring him to act solely in Linda's interest. His recommendation also triggers the prohibited transaction rules under ERISA §406(b) and IRC §4975(c)(1)(D)-(F), because his compensation from the rollover (approximately \$18,700) creates a direct conflict of interest -- he benefits financially from a transaction he is recommending in his fiduciary capacity.

To receive conflicted compensation lawfully, Marcus would need to satisfy the conditions of an applicable prohibited transaction exemption, most notably the Best Interest Contract Exemption (BIC Exemption) finalized alongside the 2016 rule. The BIC Exemption requires, among other things: (1) acknowledgment of fiduciary status; (2) adherence to Impartial Conduct Standards, including a best interest standard, a reasonable compensation requirement, and no materially misleading statements; (3) documentation of the basis for the recommendation; and (4) disclosure of compensation and conflicts.

Marcus fails virtually every condition. He performed no comparative cost analysis between the 403(b) plan's 0.12% expense ratio and the proposed IRA's blended costs exceeding 2.5% annually. He did not disclose his \$18,700 compensation. He did not document any rationale for why the rollover served Linda's best interest. Clearpoint's lack of supervisory protocols for rollover documentation further evidences systemic non-compliance. The front-loaded mutual funds and long-surrender-period variable annuities are particularly problematic for a 58-year-old nearing retirement, as they impose illiquidity and excessive costs without demonstrated incremental benefit over her existing low-cost plan options.

No reasonable defense exists. The 'simplification' rationale is insufficient absent documented evidence that consolidation benefits outweigh the dramatically higher cost structure. Marcus's conduct represents a textbook case of conflicted advice prioritizing adviser compensation over client welfare.

Key Factor

Marcus performed no documented comparative analysis of Linda's existing low-cost 403(b) plan versus the proposed high-cost IRA, and failed to disclose his \$18,700 compensation, rendering the rollover recommendation a self-interested prohibited transaction without a valid exemption.

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NON-COMPLIANT

Topic: ira_rollover_fiduciary_conflict

Difficulty: hard

Standard: ERISA §§404(a), 406(b)(1)-(3); IRC §4975(c)(1)(E)-(F); DOL Proposed Rule 29 CFR §2510.3-21 (2015); Proposed Best Interest Contract Exemption (BIC Exemption); DOL Interpretive Bulletin 96-1 (investment education vs. advice); AO 2005-23A (rollover recommendations as fiduciary acts)

Source: 06_DOL_Fiduciary

Fact Pattern

Gerald Whitfield, age 61, retired in March 2015 from a mid-sized manufacturing company in Toledo, Ohio, after 28 years of service. He had accumulated \$387,000 in the company's 401(k) plan, which was invested in a diversified lineup of low-cost Vanguard index funds with a blended expense ratio of approximately 0.06%. The plan also offered access to stable value funds yielding 2.1% and had strong fiduciary governance overseen by an independent investment committee.

In April 2015, Gerald visited the local branch of Heartland Financial Services, a broker-dealer, to discuss his options. His registered representative, Dana Kowalski, had been Series 7 and Series 66 licensed for nine years. Dana conducted a 45-minute meeting during which she gathered basic information about Gerald's retirement timeline, Social Security expectations (\$1,850/month beginning at age 66), and his modest pension of \$1,100/month. Gerald mentioned he was risk-averse and wanted to preserve capital while generating some income.

Dana recommended that Gerald roll his entire \$387,000 balance out of the 401(k) and into a traditional IRA at Heartland, where she placed approximately \$230,000 into a variable annuity product issued by National Guaranty Life Insurance Company -- the "SecureGrowth Plus" product -- which carried a 7-year surrender period, a surrender charge starting at 7%, annual mortality and expense charges of 1.35%, subaccount fees averaging 0.85%, and an optional guaranteed minimum withdrawal benefit rider costing an additional 1.10% annually. The remaining \$157,000 was placed into Class A mutual fund shares carrying front-end loads averaging 5.25%. Dana received a 5% commission on the annuity sale (\$11,500) and the standard dealer concession on the Class A shares (approximately \$6,250), for total compensation of roughly \$17,750 on the transaction.

Dana did not document any comparison of the fees or investment options within the existing 401(k) plan versus the proposed IRA investments. She did not disclose that Heartland Financial Services had a revenue-sharing arrangement with National Guaranty Life under which the firm received an additional 25 basis points annually on all SecureGrowth Plus assets held through its platform. Gerald's existing 401(k) plan had no distribution restrictions, offered free partial withdrawals, and permitted in-plan Roth conversions. None of these features were discussed during the meeting. Dana's notes from the meeting simply stated: 'Client wants to consolidate retirement assets for simplicity. Recommended IRA rollover with diversified allocation.'

Question

Under the DOL's 2015 proposed fiduciary rule and ERISA's prohibited transaction framework, did Dana Kowalski's recommendation that Gerald roll over his 401(k) into an IRA -- and the subsequent investment of those assets into high-cost products generating substantial adviser compensation -- constitute a fiduciary violation involving conflicted investment advice?

Answer

Yes, Dana Kowalski's conduct constitutes a clear fiduciary violation under the DOL's expanded fiduciary framework as articulated in the 2015 proposed rule and the underlying ERISA/IRC prohibited transaction provisions. The analysis proceeds on multiple grounds.

First, under the 2015 proposed amendment to the 1975 rule (29 CFR §2510.3-21), the DOL sought to expand the definition of fiduciary investment advice to cover individualized recommendations to plan participants regarding rollovers from ERISA-covered plans to IRAs. Dana's personalized recommendation that Gerald move his \$387,000 from the 401(k) to a Heartland IRA squarely qualifies as fiduciary investment advice under the proposed rule, which eliminated the old five-part test's requirement for a 'regular basis' and 'mutual understanding' -- elements that historically allowed broker-dealers to disclaim fiduciary status on one-time rollover recommendations.

Second, once fiduciary status attaches, ERISA §406(b)(1) and IRC §4975(c)(1)(E)-(F) prohibit a fiduciary from dealing with plan/IRA assets in a manner that benefits the fiduciary's own interest or receiving compensation from third parties in connection with transactions involving plan/IRA assets. Dana received \$17,750 in direct compensation plus the firm's ongoing 25-basis-point revenue-sharing arrangement -- classic self-dealing and third-party compensation that trigger prohibited transactions.

Third, as detailed extensively in the Regulatory Impact Analysis, the DOL identified precisely this type of harm in the IRA rollover market: advisers steering participants out of low-cost employer plans into higher-cost IRA products that generate adviser compensation but erode participant returns. The RIA estimated annual losses to IRA investors from conflicted advice at approximately \$17 billion. Gerald's situation is paradigmatic: his blended cost increased from roughly 0.06% in the 401(k) to approximately 3.30% (1.35% M&E + 0.85% subaccount + 1.10% rider) in the annuity and 5.25% upfront plus ongoing expenses in the Class A shares -- a staggering cost increase with no documented offsetting benefit.

Fourth, Dana failed to satisfy any available prohibited transaction exemption. Under the proposed Best Interest Contract Exemption (BIC Exemption), the adviser must, among other things, act in the client's best interest, charge only reasonable compensation, and make specific disclosures including a point-of-sale comparison of the existing plan's features and costs versus the proposed IRA. Dana documented no such comparison, failed to disclose the revenue-sharing arrangement, and ignored superior features of the existing plan (free partial withdrawals, in-plan Roth conversion, low costs).

Dana's defense that the rollover was for 'simplicity' is insufficient. The DOL's 2015 analysis and the proposed BIC Exemption require substantive justification grounded in the investor's best interest, not a conclusory rationale. The 7-year surrender charge actually reduced Gerald's liquidity relative to the 401(k), directly contradicting any simplicity rationale for a risk-averse 61-year-old nearing distribution age. This recommendation was driven by compensation incentives, not client need.

Key Factor

Dana recommended a rollover from a low-cost 401(k) into high-cost IRA products generating \$17,750 in personal compensation without documenting any comparative analysis of fees, investment options, or plan features, rendering the advice a conflicted prohibited transaction for which no exemption conditions were satisfied.

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COMPLIANT

Topic: reg_bi_vs_state_model_rule_conflict

Difficulty: hard

Standard: SEC Regulation Best Interest, 17 CFR § 240.15l-1(a)(2)(i)-(iv); NASAA Dishonest or Unethical Business Practices of Broker-Dealers Model Rule (proposed 2023 revisions); FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuities and comparable product suitability standards by analogy for non-traded REITs)

Source: 07_Practitioner_Commentary

Fact Pattern

Meridian Financial Services, Inc. is a dual-registered broker-dealer and investment adviser headquartered in New Jersey with branch offices in Illinois and Texas. In October 2024, Meridian's Chief Compliance Officer, Sandra Whittaker, learns that two of the states in which Meridian operates have adopted versions of the NASAA Dishonest or Unethical Business Practices model rule that diverge from SEC Regulation Best Interest in material respects. Specifically, the adopted state rules impose a continuous monitoring obligation on broker-dealer representatives making securities recommendations, require written disclosure of 'all material conflicts of interest' using language that goes beyond Reg BI's Form CRS and Disclosure Obligation, and apply a 'best interest' standard that effectively mirrors an investment adviser fiduciary duty rather than Reg BI's four-component obligation.

Meridian's registered representative, Paul Cavanaugh, services approximately 340 retail brokerage accounts. On November 15, 2024, Cavanaugh recommends that his client, Margaret Holloway -- a 62-year-old retiree with \$485,000 in a non-qualified brokerage account, a moderate risk tolerance, and a 10-year investment horizon -- purchase \$75,000 in a non-traded REIT (Granite Industrial REIT II) that pays a 6.8% annual distribution and carries a 7-year lockup with early redemption penalties of 5%. Cavanaugh earns a 6% upfront commission (\$4,500) on the sale. Cavanaugh documents his reasonable basis for the recommendation, considers reasonably available alternatives including a publicly traded REIT ETF with lower fees, discloses the compensation differential and the product's illiquidity risk on Meridian's standard Reg BI disclosure supplement, and confirms Holloway's existing liquid assets (\$310,000 in money market and bond funds) are sufficient to meet her near-term income needs even with \$75,000 locked up.

Whittaker, anticipating potential state examinations, directs the compliance team to build a dual-track compliance framework: one track satisfying Reg BI's Care, Disclosure, Conflict of Interest, and Compliance Obligations at the federal level, and a second enhanced track for states that have adopted the more stringent NASAA-derived model rule, including ongoing account monitoring protocols for those state-registered clients and expanded conflict disclosures. The enhanced track is implemented firm-wide on December 1, 2024, two weeks after Cavanaugh's recommendation to Holloway.

Question

Under Reg BI and in light of the divergent state model rules described, was Cavanaugh's recommendation of the non-traded REIT to Holloway compliant at the time of the recommendation, and does Meridian's subsequent implementation of a dual-track compliance framework adequately address the regulatory landscape?

Answer

Cavanaugh's recommendation to Margaret Holloway was compliant with SEC Regulation Best Interest (17 CFR § 240.15l-1) as of the November 15, 2024 transaction date based on the facts presented. Analyzing each of Reg BI's four

component obligations:

Disclosure Obligation (Rule 15l-1(a)(2)(i)): Cavanaugh provided Holloway with Meridian's standard Reg BI disclosure supplement, which identified the 6% upfront commission (\$4,500), the compensation differential relative to alternative products, and the non-traded REIT's illiquidity risk and 7-year lockup. This satisfies the requirement to disclose, prior to or at the time of the recommendation, all material facts relating to the scope and terms of the relationship, including conflicts of interest associated with the recommendation.

Care Obligation (Rule 15l-1(a)(2)(ii)): Cavanaugh exercised reasonable diligence, care, and skill by (1) performing a reasonable-basis analysis of the Granite Industrial REIT II, (2) considering Holloway's specific investment profile -- her age, moderate risk tolerance, 10-year horizon, and liquidity needs -- and (3) evaluating reasonably available alternatives, including a publicly traded REIT ETF with lower costs. Critically, Cavanaugh confirmed Holloway retained \$310,000 in liquid assets, ensuring the \$75,000 illiquid allocation would not impair her near-term income needs. The recommendation did not place Cavanaugh's interest ahead of Holloway's.

Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)): Meridian's policies and procedures were designed to identify and disclose or eliminate conflicts, including the elevated commission on non-traded REITs. The 6% commission is within industry norms for this product type, and disclosure was made.

Compliance Obligation (Rule 15l-1(a)(2)(iv)): Meridian maintained written policies and procedures reasonably designed to achieve compliance with Reg BI.

Regarding the dual-track compliance framework, SIFMA's December 2023 comment letter to NASAA specifically warned that state model rules diverging from Reg BI -- such as imposing continuous monitoring duties or an effective fiduciary standard on broker-dealer recommendations -- would create regulatory fragmentation and increased costs. Nevertheless, from a practical compliance standpoint, Whittaker's decision to implement enhanced protocols for states with stricter rules is prudent and defensible. The firm-wide rollout also provides a buffer should additional states adopt NASAA's model rule. The two-week gap between Cavanaugh's recommendation and the enhanced framework's implementation does not create retroactive liability under Reg BI, which applies a point-of-recommendation standard rather than an ongoing monitoring duty. However, if the applicable state rule was already effective on November 15, 2024, Meridian could face state-level scrutiny for the absence of ongoing monitoring at the time of recommendation. This underscores SIFMA's concern about conflicting federal-state standards.

Key Factor

Cavanaugh's documented consideration of reasonably available alternatives, combined with verified client liquidity sufficient to absorb the illiquid allocation, satisfied Reg BI's Care Obligation at the point of recommendation despite the product's high commission and lockup period.

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NON-COMPLIANT

Topic: cfp_fiduciary_vs_naic_best_interest_limited_menu

Difficulty: hard

Standard: CFP Board Code of Ethics and Standards of Conduct, Standards A.1 (Duty of Loyalty), A.1(a)-(d) (Fiduciary Duty, Conflict Disclosure), A.2 (Duty of Care, Prudent Professional Standard); CFP Board Guidance on Limited Menu Recommendations; NAIC Suitability in Annuity Transactions Model Regulation MO-275-1, Sections 6(A), 6(B)(3), 6(C)(2)

Source: 07_Practitioner_Commentary

Fact Pattern

Derek Holcomb, CFP(R), is a licensed insurance agent affiliated with Pinnacle Annuity Distributors, LLC, a brokerage general agency that maintains selling agreements with only four annuity carriers: Midland National Life, American Equity, Athene Annuity, and North American Company for Life & Health. Derek operates in Ohio, which adopted the revised NAIC Suitability in Annuity Transactions Model Regulation (MO-275-1) effective January 1, 2023. In March 2024, Derek meets with Margaret Ellison, age 63, a recently retired school administrator with \$485,000 in a traditional IRA rollover from her Ohio State Teachers Retirement System optional 403(b) supplement, \$62,000 in a savings account, and annual pension income of \$58,000. Margaret tells Derek she wants principal protection, modest growth to outpace inflation, and guaranteed lifetime income beginning at age 70. She has moderate risk tolerance and no immediate liquidity needs beyond her emergency savings.

Derek conducts a suitability analysis under the NAIC Model Regulation framework, documenting Margaret's financial situation, insurance needs, and objectives. He reviews fixed indexed annuity (FIA) products from all four carriers on Pinnacle's platform and recommends the Athene Benefit 10 FIA with a guaranteed lifetime withdrawal benefit rider, requiring a \$400,000 premium from Margaret's IRA rollover. The product carries a 10-year surrender charge schedule starting at 9.5%, a 1.15% annual rider fee, and offers a 7% simple interest roll-up rate on the income benefit base during the deferral period. Derek's commission on this sale is 6.5% (\$26,000), which is the highest commission available among the four carriers' comparable products. The North American Charter Plus 14 FIA, also available on Pinnacle's platform, offers a comparable guaranteed lifetime income rider with a lower surrender charge schedule (8%, 12-year), a 0.95% annual rider fee, and a 6.5% roll-up rate, generating a commission of 5.0% (\$20,000). Derek does not evaluate any annuity products outside of Pinnacle's four-carrier platform.

During the recommendation meeting, Derek discloses to Margaret that he is compensated by commission and that Pinnacle has a limited number of carrier relationships. He does not disclose the specific commission differential between the Athene and North American products, nor does he explain that products available in the broader marketplace—including lower-cost registered index-linked annuities (RILAs) from carriers like Allianz or Lincoln Financial—might better serve her moderate risk tolerance and inflation-hedging objective. Derek documents his recommendation as being in Margaret's 'best interest' under state insurance law and files the required NAIC-compliant suitability documentation with Pinnacle's supervision team.

Question

Did Derek Holcomb satisfy his obligations under both the NAIC Model Regulation and CFP Board's Code of Ethics and Standards of Conduct when recommending the Athene FIA to Margaret Ellison from his firm's limited product shelf?

Answer

Derek likely satisfied the NAIC Model Regulation's requirements but violated CFP Board's Code of Ethics and Standards of Conduct, and his conduct would be deemed non-compliant under CFP Board standards.

Under the revised NAIC Model Regulation (MO-275-1), Section 6(A)-(B), a producer must act in the consumer's best interest at the time of the recommendation, exercising reasonable diligence, care, and skill. Critically, Section 6(B)(3) explicitly permits a producer to recommend products from a limited menu of options without requiring consideration of what is generally available in the marketplace. Additionally, Section 6(C)(2) excludes cash and non-cash compensation from the definition of material conflicts of interest. Derek documented Margaret's financial situation, needs, and objectives, compared available products on Pinnacle's platform, and made a disclosure about his compensation structure and the firm's limited carrier relationships. Under the Model Regulation's framework, his conduct facially satisfies the care, disclosure, and documentation obligations, because the Model Regulation explicitly permits limited-shelf recommendations and does not treat the commission differential as a material conflict.

However, under CFP Board's Code and Standards, Derek's conduct is deficient in several critical respects. First, Standard A.1 (Duty of Loyalty) and Standard A.1(a) require a CFP(R) professional to place the client's interests first and to act as a fiduciary--a standard the Model Regulation explicitly disclaims (MO-275-1, Section 6(A)(2)). Second, Standard A.1(d) and related CFP Board guidance on limited-menu recommendations require that when a CFP(R) professional can only recommend from a restricted product set, the professional must determine that at least one product on the limited menu is in the client's best interest compared to what is reasonably available in the broader marketplace. If no product on the shelf meets that standard, the CFP(R) professional must refrain from making a recommendation. Derek never evaluated broader marketplace alternatives such as RILAs, which may have better addressed Margaret's moderate risk tolerance and inflation objectives at lower cost.

Third, CFP Board's Standards treat compensation as a material conflict of interest (Standard A.1(b) and related guidance), unlike the Model Regulation. Derek's failure to disclose the specific commission differential (\$26,000 vs. \$20,000) between the Athene and North American products, and the influence this may have had on his recommendation, violates the Duty of Loyalty's conflict disclosure requirements. Fourth, the Code and Standards applies a prudent professional standard under the Duty of Care (Standard A.2), which asks whether a reasonably prudent CFP(R) professional with similar expertise would have recommended this product. A prudent professional likely would have either recommended the lower-cost North American product or directed Margaret to explore RILAs, given the 20 basis point rider fee differential and the commission-driven selection.

Derek cannot defend by asserting NAIC compliance, as CFP Board's standards are additive and independently enforceable. His certification is at risk of disciplinary action by CFP Board.

Key Factor

Derek recommended a higher-commission annuity from a limited product shelf without evaluating broader marketplace alternatives or disclosing the compensation differential, satisfying the NAIC Model Regulation but violating CFP Board's fiduciary duty, prudent professional standard, and conflict of interest disclosure requirements.

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COMPLIANT

Topic: complex_products_self_directed_suitability

Difficulty: hard

Standard: FINRA Rule 2360(b)(16) (Options Account Approval and Supervision); SEC Regulation Best Interest, 17 CFR § 240.15l-1 (Care Obligation triggered only upon a 'recommendation'); FINRA Rule 2111 (Suitability, applicable to recommended transactions); OCC Risk Disclosure Requirements

Source: 07_Practitioner_Commentary

Fact Pattern

Apex Securities LLC is a mid-size broker-dealer that offers both full-service brokerage accounts with registered representatives and a self-directed online trading platform called ApexDirect. In January 2023, Marcus Delgado, a 42-year-old software engineer earning \$285,000 annually with a liquid net worth of approximately \$1.8 million, opened a self-directed ApexDirect account. He indicated on his new account form that he had 8 years of options trading experience, had previously held Level 3 options approval at another firm, and listed his investment objective as 'speculation' with a risk tolerance of 'aggressive.' He also disclosed that he regularly traded leveraged and inverse ETFs.

In March 2023, Delgado applied for options approval on his ApexDirect account, specifically requesting Level 4 authorization to write uncovered (naked) calls and puts. Apex's options compliance team reviewed his application through a multi-step process: (1) an automated screening of his stated experience, income, net worth, and investment objectives against the firm's pre-established criteria for each options strategy tier; (2) an interactive online knowledge assessment consisting of 25 questions covering maximum loss scenarios for uncovered options, margin requirements, assignment risk, and the impact of implied volatility on pricing -- Delgado scored 92%; and (3) a mandatory review of Apex's options risk disclosure document, including the OCC's 'Characteristics and Risks of Standardized Options' booklet, with a digital acknowledgment of receipt. The entire approval process took 48 hours.

Between April and September 2023, Delgado executed approximately 140 options trades on a self-directed, non-recommended basis, including selling naked puts on SPY and QQQ, purchasing LEAPS on individual tech stocks, and constructing iron condor spreads on AMZN. No registered representative at Apex made any recommendation regarding these trades. In August 2023, Delgado suffered a \$47,000 loss on a series of naked put positions when the market declined sharply over two trading sessions. He subsequently filed a FINRA arbitration claim alleging that Apex failed to adequately protect him from the risks of complex products and should not have approved him for uncovered options trading.

Apex's compliance records show that no personalized recommendation was ever made to Delgado, that all trades were initiated solely by the customer through the self-directed platform, and that the firm's options approval procedures were applied consistently across all applicants. The firm's written supervisory procedures for options approval were last updated in December 2022 and incorporated guidance from both FINRA Rule 2360 and the firm's internal risk-based categorization framework.

Question

Did Apex Securities LLC violate its regulatory obligations under FINRA Rule 2360 and Regulation Best Interest by approving Marcus Delgado for Level 4 options trading on a self-directed platform and permitting him to execute uncovered options trades that resulted in significant losses?

Answer

Apex Securities LLC likely did not violate its regulatory obligations. The analysis requires separate examination under FINRA Rule 2360 (Options) and Regulation Best Interest (Reg BI).

Regarding FINRA Rule 2360, the rule requires broker-dealers to establish specific procedures for the approval of customer options accounts. Under Rule 2360(b)(16), a firm must exercise due diligence to learn the essential facts about a customer before approving options trading, including investment objectives, financial situation, trading experience, and knowledge of options. Apex followed a robust, multi-layered approval process: automated screening against pre-established eligibility criteria for each strategy tier, a substantive 25-question knowledge assessment on which Delgado scored 92%, and mandatory delivery and acknowledgment of the OCC risk disclosure document. Delgado's profile -- \$285,000 income, \$1.8 million liquid net worth, 8 years of options experience, prior Level 3 approval at another firm, aggressive risk tolerance, and a speculative investment objective -- is squarely within the parameters that would support Level 4 approval. The firm's written supervisory procedures were current and incorporated FINRA guidance. Rule 2360(b)(16) affords firms flexibility to establish their own appropriate option strategy categorizations and eligibility requirements, and Apex exercised that discretion reasonably.

Regarding Regulation Best Interest under SEC Rule 15l-1 (Reg BI), the obligation under Reg BI's four component obligations -- Disclosure, Care, Conflict of Interest, and Compliance -- is triggered only when a broker-dealer or associated person makes a 'recommendation' to a retail customer. The SEC and FINRA have been clear that Reg BI does not apply to self-directed transactions where no recommendation is made. Here, all 140 trades were initiated solely by Delgado through the ApexDirect self-directed platform, with no involvement from any registered representative. No personalized recommendation, whether explicit or implicit, was made. Thus, Reg BI's Care Obligation -- including the requirement to have a reasonable basis to believe a recommendation is in the customer's best interest -- is simply not implicated.

As SIFMA's comment letter on Regulatory Notice 22-08 emphasizes, extending Reg BI or suitability-like obligations to self-directed trading would represent a significant expansion of the existing regulatory framework and could restrict investor access to products that serve legitimate investment purposes, such as hedging, generating income, and managing portfolio risk. The current regime appropriately places the responsibility on the self-directed customer who has been properly approved and educated.

Delgado's arbitration claim is unlikely to succeed. The losses resulted from market movements affecting positions he independently chose to take in an account for which he was properly approved based on his substantial experience, financial resources, and risk tolerance. Apex's compliance infrastructure functioned as designed.

Key Factor

Because all trades were self-directed with no recommendation by a registered representative, and Apex followed a thorough, multi-step options approval process consistent with FINRA Rule 2360(b)(16), neither Reg BI's Care Obligation nor FINRA suitability requirements were triggered or violated.

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NON-COMPLIANT

Topic: best_interest_standard_insurance_regulation_vagueness

Difficulty: hard

Standard: New York Insurance Regulation 187 (11 NYCRR § 224), as revised effective August 1, 2019; New York Insurance Law § 4226; NAIC Suitability in Annuity Transactions Model Regulation; SEC Regulation Best Interest (17 CFR § 240.15l-1); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities)

Source: 07_Practitioner_Commentary

Fact Pattern

Marcus Ellison, a licensed life insurance producer affiliated with Great Northern Life Insurance Company, operates out of Albany, New York. In October 2019--after the effective date of Revised NY Regulation 187 (August 1, 2019) but before the Appellate Division's April 29, 2021 decision striking it down--Marcus met with Patricia Delgado, a 62-year-old retired schoolteacher with a modest pension of \$48,000 per year, \$215,000 in savings, and no dependents. Patricia expressed interest in leaving a bequest to her niece and inquired about life insurance options.

Marcus recommended a \$500,000 whole life insurance policy from Great Northern with an annual premium of \$18,700. The policy carried high front-loaded commissions: Marcus would receive a first-year commission of \$14,960 (approximately 80% of the first-year premium), dropping to 3% in renewal years. Great Northern also offered a significantly less expensive 20-year term life policy that would have provided \$500,000 in coverage at an annual premium of \$4,200, which would have been more than sufficient to meet Patricia's stated bequest objective given her age and health status. Marcus did not discuss the term life alternative with Patricia, nor did he document why the whole life policy better served her needs compared to available alternatives.

Marcus's supervisor at Great Northern, Diane Cho, was responsible for reviewing recommendations under the company's compliance procedures adopted to satisfy Revised NY Regulation 187. However, Great Northern's internal compliance manual merely restated the regulation's language--requiring that recommendations reflect 'the care that a prudent person would exercise in a similar situation without regard to the financial interests of any other party'--without providing concrete guidance, decision trees, or documentation standards for producers. Diane approved Marcus's recommendation after a cursory review that lasted less than five minutes and consisted solely of confirming that a suitability questionnaire had been completed.

Patricia purchased the whole life policy. Eighteen months later, she found herself unable to sustain the premium payments alongside her living expenses and was forced to surrender the policy, receiving a cash surrender value of only \$3,400 due to heavy surrender charges. She filed a complaint with DFS in March 2021, one month before the Appellate Division struck down the regulation.

Question

Did Marcus Ellison and Great Northern Life Insurance Company violate Revised NY Insurance Regulation 187's best interest standard in recommending the whole life policy to Patricia Delgado, and how does the Appellate Division's subsequent invalidation of the regulation affect their potential liability?

Answer

This scenario presents a likely violation of Revised NY Insurance Regulation 187 as it existed at the time of the sale,

coupled with significant legal uncertainty created by the Appellate Division's subsequent invalidation of the regulation.

First, analyzing the substantive conduct: Revised NY Regulation 187 required that a licensee act in the 'best interest' of the consumer by ensuring that any recommendation (1) is based on the consumer's suitability information, (2) reflects the care a prudent person would exercise in a similar situation without regard to the financial interests of any other party, (3) is suitable, and (4) involves reasonable disclosure of the consequences of the transaction. Marcus's recommendation fails on multiple elements. Patricia's suitability profile--a 62-year-old retiree with \$48,000 in annual pension income, \$215,000 in savings, no dependents, and a straightforward bequest objective--strongly favored a less expensive term life product. The \$18,700 annual premium consumed approximately 39% of her pension income and 8.7% of her total savings annually, creating foreseeable affordability risk. The regulation specifically prohibits making a recommendation unless the licensee has a reasonable basis to believe the consumer can meet the financial obligations under the policy. Marcus's failure to discuss the materially cheaper term alternative, combined with the outsized first-year commission of \$14,960, strongly suggests the recommendation was driven by compensation rather than Patricia's needs--directly contravening the 'without regard to the financial interests of any other party' prong.

Great Northern also failed its supervisory obligations under Regulation 187, which required insurers to 'establish and maintain procedures to prevent financial exploitation and abuse.' The company's compliance manual merely parroted the regulation's language without providing the 'concrete, practical guidance' that even the Appellate Division noted was necessary. Diane Cho's five-minute, checkbox-only review was facially inadequate.

However, the Appellate Division's April 29, 2021 decision complicates enforcement. The court struck down Revised NY Regulation 187 as unconstitutionally vague under a two-part test, finding it lacked sufficiently definite terms and clear enforcement standards, granting DFS 'virtually unfettered discretion.' If DFS initiated enforcement action after the Appellate Division ruling but before any stay was granted, defendants could argue the regulation was void ab initio. If, however, the Court of Appeals grants a stay--as the Willkie memo anticipates--the regulation would remain in effect pending final resolution, and DFS could pursue the complaint. Even absent Regulation 187, Patricia may have common-law fraud, negligence, or Insurance Law § 4226 claims. Additionally, the underlying pre-revision suitability standard (original Regulation 187 for annuities, and general Insurance Law provisions) and FINRA Rule 2330 principles regarding suitability in insurance-related transactions could provide alternative bases for liability. The pivotal compliance failure here is Marcus's disregard for affordability and his failure to consider reasonably available alternatives, which would constitute a violation under virtually any applicable standard.

Key Factor

Marcus recommended a high-commission whole life policy without considering or disclosing a materially cheaper term life alternative that better matched the client's modest income, limited savings, and straightforward bequest objective, prioritizing his own financial interest over the consumer's best interest.

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NON-COMPLIANT

Topic: ia_fiduciary_duty_institutional_vs_retail

Difficulty: hard

Standard: Investment Advisers Act of 1940, Sections 206(1) and 206(2); SEC Commission Interpretation Regarding Standard of Conduct for Investment Advisers, IA Release No. 5248 (June 5, 2019); SEC v. Capital Gains Research Bureau, Inc., 375 U.S. 180 (1963); Form ADV Part 2A disclosure requirements under Rule 204-3

Source: 07_Practitioner_Commentary

Fact Pattern

Meridian Capital Advisors LLC is a SEC-registered investment adviser with \$8.2 billion in assets under management, primarily serving institutional clients including public pension funds, endowments, and registered investment companies. In March 2023, Meridian's portfolio management team, led by Senior Vice President Angela Whitfield, was engaged by the City of Westbrook Public Employees' Retirement System ('Westbrook PERS'), a public pension fund with \$1.4 billion in assets, to manage a \$200 million allocation to a multi-strategy alternatives sleeve. The investment management agreement ('IMA') between Meridian and Westbrook PERS contained broad investment discretion language but was silent on the question of whether Meridian could allocate any portion of the \$200 million to affiliated private funds managed by Meridian's subsidiary, Meridian Private Fund Management LP.

Between April and September 2023, Whitfield directed \$45 million of Westbrook PERS's allocation into two affiliated private funds: \$25 million into Meridian Structured Credit Fund III and \$20 million into Meridian Real Assets Opportunity Fund II. Both funds charged a 1.5% management fee and 20% carried interest, generating approximately \$675,000 in annual management fees payable to Meridian's affiliate. Whitfield believed the investments were suitable and that the broad discretion language in the IMA implicitly authorized affiliated fund investments. She did not separately disclose the conflict of interest arising from the affiliated fund allocations to Westbrook PERS's board of trustees, nor did she obtain the board's informed consent. Meridian's Form ADV Part 2A disclosed generally that the firm 'may invest client assets in affiliated funds,' but this disclosure was last updated in March 2022 and did not specifically reference the two funds at issue or the magnitude of fees flowing to Meridian's affiliate.

In November 2023, during a routine audit, Westbrook PERS's independent fiduciary consultant, Hargrove & Associates, flagged the affiliated fund investments and the absence of specific conflict disclosure or consent. Hargrove noted that the pension fund's investment policy statement required explicit board approval for any related-party transactions exceeding \$5 million. When confronted, Whitfield argued that Meridian's general Form ADV disclosure was sufficient and that the institutional sophistication of Westbrook PERS reduced the firm's disclosure obligations. Meridian's Chief Compliance Officer, David Nakamura, initially supported Whitfield's position, citing SIFMA AMG's 2018 comment letter to the SEC arguing that fiduciary duty standards should account for the nature and sophistication of institutional clients and that the SEC's Proposed Interpretation should not impose retail-level disclosure requirements on institutional advisory relationships.

Question

Did Meridian Capital Advisors fulfill its fiduciary duty under Section 206 of the Investment Advisers Act by relying on general Form ADV disclosure and the institutional sophistication of Westbrook PERS to justify the affiliated fund allocations without obtaining specific informed consent?

Answer

No. Meridian Capital Advisors failed to satisfy its fiduciary duty under Section 206 of the Investment Advisers Act of 1940. While the analysis is nuanced, the firm's conduct falls short on multiple grounds.

Under Section 206(1) and 206(2) of the Advisers Act, an investment adviser owes a fiduciary duty to its clients encompassing both a duty of care and a duty of loyalty. The duty of loyalty requires full and fair disclosure of all material conflicts of interest sufficient to allow the client to provide informed consent. The SEC's 2019 Commission Interpretation Regarding Standard of Conduct for Investment Advisers (IA-5248) -- which finalized much of the framework discussed in the 2018 Proposed Interpretation referenced in the SIFMA AMG letter -- makes clear that this obligation applies to all advisory clients, including institutional clients, though the manner and extent of disclosure may vary based on the nature of the relationship.

Meridian's reliance on general Form ADV language stating it 'may invest client assets in affiliated funds' is insufficient to constitute full and fair disclosure of the specific conflict at issue. The SEC has consistently held that boilerplate or generic disclosures do not satisfy the adviser's obligation to disclose material conflicts with sufficient specificity to enable informed consent. Here, the allocation of \$45 million to two specific affiliated funds generating \$675,000 in annual fees to Meridian's affiliate is a concrete, material conflict requiring particularized disclosure -- not a hypothetical possibility.

Whitfield's argument that institutional sophistication reduces disclosure obligations misreads the legal standard. While SIFMA AMG's 2018 comment letter correctly noted that the scope of fiduciary obligations may be shaped by the client's sophistication and the terms of the advisory agreement, neither the SEC's final interpretation nor existing case law supports the proposition that institutional status eliminates the requirement for informed consent on self-dealing transactions. The SEC explicitly stated that an adviser cannot discharge its duty of loyalty merely through disclosure -- it must obtain informed consent, meaning the client must understand and agree to the conflict. Furthermore, Westbrook PERS's own investment policy statement required explicit board approval for related-party transactions exceeding \$5 million, and the IMA was silent on affiliated fund authority, further undermining any claim of implicit authorization.

Nakamura's compliance rationale conflates advocacy positions in a comment letter with binding legal standards. The final SEC interpretation did not adopt the position that institutional advisers are exempt from specific conflict disclosure. The pivotal failures are: (1) lack of specific, timely disclosure of the affiliated fund allocations and associated fee arrangements; (2) failure to obtain affirmative informed consent from Westbrook PERS's board; and (3) reliance on stale, generic Form ADV language. This constitutes a breach of the duty of loyalty under Section 206(2) and potentially Section 206(1) if the SEC finds the conduct involved fraud or deceit.

Key Factor

Meridian failed to provide specific, particularized disclosure of the affiliated fund conflict and obtain informed consent from the institutional client's board, instead relying on stale generic Form ADV language and the client's institutional status to excuse self-dealing.

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NON-COMPLIANT

Topic: erisa_401k_fee_prudence

Difficulty: hard

Standard: ERISA §404(a)(1)(A)-(B) (duty of loyalty and prudence); ERISA §405(a)(3) (co-fiduciary liability); ERISA §406(b)(2) (prohibited transactions--fiduciary acting on behalf of adverse party); *Tibble v. Edison International*, 575 U.S. 523 (2015) (continuing duty to monitor investments); DOL Interpretive Bulletin 96-1 (fiduciary duties regarding plan investment options and fees)

Source: 07_Practitioner_Commentary

Fact Pattern

Greenfield Manufacturing, Inc. is a mid-sized auto parts manufacturer based in Toledo, Ohio, with 1,200 employees and a 401(k) plan holding \$185 million in assets as of December 31, 2024. The plan's investment committee consists of CFO Margaret Huang, HR Director David Ellison, and external investment consultant Brian Treadwell of Beacon Retirement Advisors, LLC. Beacon serves as a non-discretionary investment adviser to the plan under an ERISA Section 3(21) co-fiduciary arrangement, for which it receives \$95,000 annually.

In March 2024, Brian Treadwell conducted the plan's annual investment review and recommended replacing four actively managed equity mutual funds with lower-cost index fund alternatives. The four incumbent funds--offered by Meridian Capital Group--carried asset-weighted average expense ratios of 0.72 percent, significantly above the 0.26 percent industry average for equity mutual funds held in 401(k) plans as reported by ICI for 2024. Brian's analysis showed that equivalent Vanguard and Fidelity index funds were available at expense ratios ranging from 0.03 to 0.06 percent, and the incumbent funds had underperformed their respective benchmarks over the trailing 3-, 5-, and 10-year periods. Brian presented these findings in a written report to Margaret and David on March 15, 2024.

Margaret and David acknowledged the report but took no action. The reason: Meridian Capital Group is a subsidiary of Toledo Financial Holdings, which also holds a 15 percent equity stake in Greenfield Manufacturing. Greenfield's CEO, Robert Greenfield, sits on Toledo Financial Holdings' board and had privately told Margaret that switching away from Meridian funds would 'create unnecessary friction with our investors.' Margaret relayed this to David, and the two agreed to table the fund change indefinitely. Brian Treadwell documented the committee's inaction but did not escalate the issue, resign, or take any further steps beyond noting the decision in the meeting minutes.

Over the twelve months ending December 31, 2024, the cost differential between the incumbent Meridian funds and the proposed index alternatives resulted in approximately \$1.22 million in excess fees borne by plan participants. The Meridian funds continued to underperform their benchmarks by an average of 1.3 percentage points during that period.

Question

Did the Greenfield Manufacturing investment committee members and Beacon Retirement Advisors breach their ERISA fiduciary duties by failing to replace the high-cost, underperforming equity mutual funds in the 401(k) plan?

Answer

Yes, both the plan's investment committee members (Margaret Huang and David Ellison) and Beacon Retirement Advisors (Brian Treadwell) breached their fiduciary duties under ERISA, though in different respects.

ERISA Section 404(a)(1)(A)-(B) requires that plan fiduciaries discharge their duties solely in the interest of participants

and beneficiaries, for the exclusive purpose of providing benefits and defraying reasonable expenses of administration, and with the care, skill, prudence, and diligence that a prudent person acting in a like capacity would use. This is the so-called 'exclusive benefit' rule and the 'prudent expert' standard.

Margaret and David violated Section 404(a)(1)(A)'s duty of loyalty by subordinating participant interests to the corporate relationship between Greenfield Manufacturing, Toledo Financial Holdings, and Meridian Capital Group. The Supreme Court's decision in *Tibble v. Edison International*, 575 U.S. 523 (2015), makes clear that ERISA fiduciaries have a continuing duty to monitor plan investments and remove imprudent ones within a reasonable time. Here, the committee had a documented recommendation from a qualified investment consultant showing that the incumbent funds charged expense ratios nearly three times the industry average (0.72% vs. 0.26%), had underperformed benchmarks over every measured period, and that substantially cheaper and better-performing alternatives were readily available. The decision to 'table' the fund change was not based on any investment-related rationale but solely on CEO Robert Greenfield's desire to avoid friction with an affiliated investor--a textbook prohibited transaction concern under ERISA Section 406(b)(2), which bars fiduciaries from acting in transactions involving the plan on behalf of a party whose interests are adverse to participants.

The \$1.22 million in excess fees over twelve months constitutes quantifiable participant harm, strengthening any DOL enforcement action or class action under ERISA Section 502(a)(2).

As for Brian Treadwell, while he properly identified and documented the problem, a Section 3(21) co-fiduciary has obligations under ERISA Section 405(a)(3), which imposes liability on a fiduciary who has knowledge of a co-fiduciary's breach and fails to make reasonable efforts to remedy it. Simply noting the committee's inaction in meeting minutes is insufficient. Treadwell should have formally escalated his concerns in writing to the full board of Greenfield Manufacturing, considered reporting to the DOL, or resigned from the engagement if the breach was not corrected--consistent with DOL guidance and fiduciary best practices. His passivity exposes Beacon to co-fiduciary liability.

No defense of business judgment or procedural prudence can survive here because the committee's process was explicitly tainted by a conflict of interest unrelated to participant welfare. The fact pattern presents both a loyalty breach and a prudence breach, with clear documentary evidence of each.

Key Factor

The investment committee's decision to retain high-cost, underperforming funds was driven entirely by the plan sponsor's corporate relationship with the fund provider's parent company, not by any participant-focused investment rationale.

Item 121 of 499

NON-COMPLIANT

Topic: reg_bi_care_obligation_cost_comparison

Difficulty: hard

Standard: Regulation Best Interest, Rule 15l-1 under the Securities Exchange Act of 1934 -- specifically the Care Obligation (Rule 15l-1(a)(2)(ii)(B)), Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(C)), Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)), and Compliance Obligation (Rule 15l-1(a)(2)(ii)(D)); FINRA Rule 2111 (Suitability); Form CRS (Rule 17a-14)

Source: 07_Practitioner_Commentary

Fact Pattern

Marcus Rivera is a registered representative and associated person of Beacon Harbor Securities, LLC, a dually registered broker-dealer and investment adviser based in Uniondale, New York. On September 14, 2022, Marcus met with Sandra Kellerman, a 62-year-old recently widowed retail customer who had just received a \$1.4 million life insurance payout and had an existing \$380,000 IRA rollover account at Beacon Harbor. Sandra described her investment objectives as capital preservation and modest income generation to supplement her anticipated Social Security benefits beginning at age 67. She stated she had low risk tolerance and no prior experience with complex financial products. Her annual income from a part-time library consulting position was approximately \$38,000.

During the meeting, Marcus recommended that Sandra invest \$900,000 of the insurance proceeds into a proprietary non-traded REIT -- Beacon Harbor Real Estate Income Fund II -- which carried a 7% upfront sales load (\$63,000 in commissions), a 1.85% annual management fee, and a seven-year lock-up period with early redemption penalties of 5% in years one through three and 3% in years four through six. Marcus's grid payout on the proprietary REIT was 52%, compared to 38% on third-party products. The firm's product shelf also included a Vanguard Real Estate ETF (VNQ) with a 0.12% expense ratio and full daily liquidity, a Schwab U.S. REIT ETF at 0.07%, and a PIMCO Income Fund (Class D) with a 0.76% expense ratio and no front-end load -- all of which were reasonably available alternatives that could have provided income generation consistent with Sandra's stated objectives.

Marcus's written recommendation memo, which was reviewed and approved by his branch supervisor, noted Sandra's desire for income but did not reference any cost comparison among available alternatives, did not mention the liquidity constraints of the non-traded REIT relative to Sandra's age and stated need for accessible capital, and did not address the conflict of interest arising from the differential compensation grid. The firm's Reg BI compliance policies, last updated in January 2021, required representatives to document consideration of costs and reasonably available alternatives but did not mandate use of a standardized comparison template or require supervisory verification that such analysis had actually been performed. Sandra signed the Form CRS and a general suitability questionnaire but was not provided any supplemental written disclosure about Marcus's enhanced compensation on proprietary products.

Question

Did Marcus Rivera and Beacon Harbor Securities satisfy the Care Obligation and Conflict of Interest Obligation under Regulation Best Interest when recommending the proprietary non-traded REIT to Sandra Kellerman?

Answer

No. Marcus Rivera and Beacon Harbor Securities violated both the Care Obligation and the Conflict of Interest Obligation under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), and the firm's compliance infrastructure failed to satisfy the Compliance Obligation as well.

Care Obligation (Rule 15l-1(a)(2)(ii)(B)): The Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill to (1) understand the potential risks, rewards, and costs of the recommendation; (2) have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile without placing the financial or other interest of the broker-dealer ahead of the customer's interest; and (3) have a reasonable basis to believe that a series of recommended transactions is not excessive. Here, Marcus recommended concentrating \$900,000 -- approximately 51% of Sandra's total liquid assets -- into a single illiquid, high-cost proprietary product for a 62-year-old, low-risk-tolerance widow who expressly sought capital preservation and accessibility. The 7% front-end load immediately reduced Sandra's invested principal by \$63,000, and the seven-year lock-up directly conflicted with her near-term income needs and age-related liquidity requirements. Crucially, Marcus's recommendation memo failed to document any consideration of costs relative to reasonably available alternatives -- the Vanguard VNQ ETF at 0.12% and the Schwab U.S. REIT ETF at 0.07% both offered comparable real estate income exposure with full daily liquidity and negligible transaction costs. The absence of this analysis is precisely the deficiency the SEC has identified in its examination findings as a failure to satisfy the Care Obligation's requirement to consider 'reasonably available alternatives.'

Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(C)): This obligation requires firms to establish, maintain, and enforce written policies and procedures reasonably designed to identify, disclose, and mitigate -- or in some cases eliminate -- conflicts of interest associated with recommendations. Marcus's 52% grid payout on proprietary products versus 38% on third-party alternatives created a material financial incentive to recommend the Beacon Harbor REIT. Neither the Form CRS nor any supplemental disclosure informed Sandra of this differential compensation structure. The firm's failure to disclose this specific conflict, and to implement procedures that would mitigate the incentive (such as requiring enhanced supervisory review of proprietary product recommendations or leveling compensation across comparable products), constitutes a clear violation.

Compliance Obligation (Rule 15l-1(a)(2)(ii)(D)): Beacon Harbor's policies nominally required cost-and-alternatives documentation, but the absence of a standardized comparison template and the lack of supervisory verification that such analysis was actually performed rendered those policies ineffective. The branch supervisor approved the recommendation memo despite its patent omission of any alternatives analysis, demonstrating a systemic compliance failure.

The defense that Sandra signed a suitability questionnaire and Form CRS is unavailing; Reg BI's obligations are substantive and cannot be satisfied through disclosure alone. The recommendation must genuinely be in the customer's best interest at the time it is made.

Key Factor

Marcus failed to document or perform any cost comparison against reasonably available liquid alternatives and did not disclose or mitigate the material compensation differential that incentivized the proprietary product recommendation, directly violating Reg BI's Care and Conflict of Interest Obligations.

Item 122 of 499

NON-COMPLIANT

Topic: ny_reg187_best_interest_enforcement_uncertainty

Difficulty: hard

Standard: New York Insurance Regulation 187 (11 NYCRR 224), as revised effective August 1, 2019; New York Insurance Law § 4226 (unfair practices); Appellate Division, Third Department decision of April 29, 2021 (striking Revised Reg 187 as unconstitutionally vague); NAIC Suitability in Annuity Transactions Model Regulation (#275)

Source: 08_State_Fiduciary_Rules

Fact Pattern

In March 2021, licensed insurance producer David Kowalski, employed by Empire Life Solutions Group, a mid-sized insurance brokerage headquartered in Syracuse, New York, recommended a \$425,000 whole life insurance policy from National Fidelity Life Insurance Company to his client, Margaret Chen, a 72-year-old retired schoolteacher living in Westchester County. Margaret had approximately \$680,000 in liquid savings, a modest pension of \$3,200 per month, Social Security benefits of \$2,100 per month, and no dependents. She had expressed a desire for principal preservation and modest growth to fund her healthcare expenses and leave a small legacy to her church. Margaret had no prior experience with cash-value life insurance products.

David recommended the whole life policy, which carried annual premiums of \$18,500 for 15 years, a first-year commission to David of \$21,250 (5% of face value), and a cash surrender value that would not exceed total premiums paid until approximately year 12. David did not document any analysis comparing the whole life policy to alternative products such as a guaranteed annuity or a simpler term life policy paired with a conservative fixed-income portfolio. David's internal notes reflected only that Margaret 'wanted something safe with a legacy component.' He did not disclose his commission structure or the fact that Empire Life Solutions Group received a supplemental production bonus from National Fidelity for placing over \$2 million in whole life premium volume in Q1 2021.

Empire Life Solutions Group's compliance department had implemented procedures based on Revised NY Regulation 187's best interest standard, requiring producers to document suitability analyses, disclose material conflicts of interest, and demonstrate that recommendations reflected the care of a prudent person acting in the consumer's best interest. However, after the Appellate Division's April 29, 2021 decision striking down Revised NY Regulation 187 as unconstitutionally vague, Empire's Chief Compliance Officer, Linda Ferraro, circulated a memorandum on May 3, 2021, instructing all producers that 'the best interest standard is no longer enforceable and producers should revert to the prior suitability-only standard under the original Regulation 187 for annuity transactions; life insurance sales are no longer subject to specific suitability regulation.' David retained the memorandum and cited it when Margaret's nephew later filed a complaint with DFS in August 2021.

DFS opened an investigation into David's conduct in October 2021, during the period when the appeal to the Court of Appeals was pending and the regulatory status of Revised NY Regulation 187 remained uncertain.

Question

Was Empire Life Solutions Group's compliance decision to instruct producers to abandon the best interest standard immediately after the Appellate Division's decision legally prudent, and did David Kowalski's recommendation to Margaret Chen satisfy applicable regulatory standards as of March 2021?

Answer

This scenario presents a layered compliance failure on multiple fronts. First, regarding the timing of David's recommendation in March 2021: at that point, the Appellate Division had not yet issued its April 29, 2021 decision striking down Revised NY Regulation 187. The regulation had been published in the New York State Register on August 1, 2018, with an effective date of August 1, 2019 for annuity transactions and was extended to life insurance. The lower court (New York State Supreme Court) had dismissed challenges to the regulation on August 7, 2020, upholding it as valid. Therefore, in March 2021, Revised NY Regulation 187 was fully in effect and enforceable. David's recommendation of the whole life policy to Margaret was subject to the best interest standard, which required that the recommendation be based on the consumer's suitability information, reflect the care a prudent person would exercise, be made without regard to the financial interests of the producer or insurer, and that the consumer be reasonably informed of the consequences of the transaction.

David's conduct in March 2021 violated multiple provisions of Revised NY Regulation 187. He failed to document a reasonable basis for believing the recommendation was in Margaret's best interest -- a 72-year-old with no dependents, modest income, and a principal-preservation objective does not present an obvious case for a \$425,000 whole life policy with a 15-year premium horizon and a 12-year break-even on cash surrender value. He failed to compare alternative products. He did not disclose his \$21,250 commission or the supplemental production bonus -- a material conflict of interest. The regulation's requirement that the recommendation be made 'without regard to the financial interests of any other party' was plainly implicated by the production bonus arrangement.

Second, regarding Linda Ferraro's May 3, 2021 memorandum: this guidance was legally imprudent even though the Appellate Division had struck down the regulation. The document itself notes that DFS was almost certain to appeal and could seek a stay from the Court of Appeals, which would allow Revised NY Regulation 187 to remain in effect pending final resolution. Advising producers to immediately abandon the best interest standard created significant regulatory risk, because if a stay were granted, the regulation would be deemed continuously operative. Moreover, even absent Revised NY Regulation 187, New York Insurance Law § 4226 prohibits unfair methods of competition and deceptive practices, and the original (pre-2018) Regulation 187 still imposed suitability requirements on annuity transactions. Ferraro's blanket instruction that 'life insurance sales are no longer subject to specific suitability regulation' was overbroad and ignored residual statutory consumer protections. A prudent compliance approach would have maintained existing best interest procedures pending final appellate resolution, consistent with the regulatory uncertainty described in the Appellate Division's aftermath.

Key Factor

David's recommendation was made in March 2021, when Revised NY Regulation 187 was fully in effect and enforceable, and he failed to document a best interest analysis, disclose material conflicts of interest, or demonstrate that the whole life policy recommendation reflected the care of a prudent person given Margaret's age, financial profile, and objectives.

Item 123 of 499

NON-COMPLIANT

Topic: ny_reg187_inforce_transaction_best_interest

Difficulty: hard

Standard: NY DFS Regulation 187 -- Suitability and Best Interests in Life Insurance and Annuity Transactions (11 NYCRR 224); effective August 1, 2019 for annuity contracts; in-force transaction provisions requiring best interest review when new sales compensation is involved; enhanced documentation requirements for basis of recommendations; insurer supervisory oversight obligations; prohibition on producer financial interest influencing recommendations

Source: 08_State_Fiduciary_Rules

Fact Pattern

Robert Callahan is a licensed insurance producer operating out of Syracuse, New York, affiliated with Pinnacle Wealth Distributors, a broker-dealer that has a selling group agreement with Lincoln Life & Annuity Company of New York. In November 2019, Robert contacts his existing client, Diane Moretti, age 62, a retired school administrator with a modest pension of \$48,000 annually and \$310,000 in liquid savings. Diane had purchased a Lincoln fixed indexed annuity in 2017 with a \$175,000 single premium, which carried a 7-year surrender charge schedule (currently at 5% in year three). The annuity was earning a crediting rate tied to the S&P 500 annual point-to-point with a 5.25% cap.

Robert recommends that Diane surrender her existing annuity and use the proceeds, net of the \$8,750 surrender charge, to purchase a new Lincoln variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider carrying an annual rider fee of 1.15% plus underlying fund expenses averaging 0.87%. Robert tells Diane the new product will provide 'better long-term income guarantees' and presents a hypothetical illustration showing projected withdrawals beginning at age 67. Robert earns a 5.5% first-year commission on the new variable annuity, totaling approximately \$9,144 on the \$166,250 net proceeds. Robert completed the NY Reg 187 Best Interests training course in July 2019, prior to the annuity effective date of August 1, 2019.

However, Robert's documentation of the transaction consists only of a new account application and the variable annuity illustration. He did not prepare or retain any written analysis comparing the features, benefits, and costs of Diane's existing fixed indexed annuity against the proposed variable annuity. He did not document why absorbing a \$8,750 surrender penalty and transitioning from a product with no explicit annual asset-based fees to one with combined annual charges of approximately 2.02% served Diane's best interest. He also did not document Diane's risk tolerance, noting only her age and retirement status on the application. Robert's supervisor at Pinnacle reviewed the application but did not flag the absence of a comparative suitability analysis.

Question

Did Robert Callahan's recommendation that Diane Moretti surrender her existing fixed indexed annuity and purchase a new variable annuity comply with the best interest and documentation requirements of NY Regulation 187?

Answer

No, Robert Callahan's conduct violated multiple provisions of NY Regulation 187. The regulation, effective August 1, 2019 for annuity transactions, requires that any recommendation -- including in-force transactions -- must be made in the consumer's best interest, with only the consumer's interests, and not the financial interests of the producer or insurer, influencing the recommendation. This transaction constitutes an in-force transaction involving new sales compensation (the 5.5% first-year commission of \$9,144), which triggers the full suitability and best interest review

obligation under NY Reg 187.

First, on the substantive best interest standard: Robert recommended Diane surrender a product still within its surrender charge period, imposing a \$8,750 penalty, and move into a variable annuity with significantly higher ongoing costs (approximately 2.02% annually versus no explicit annual asset-based charges on the fixed indexed annuity). The regulation requires that the recommendation address the consumer's insurance needs and financial objectives at the time of the transaction. Diane is a 62-year-old retiree with a moderate pension and limited liquid savings. Exposing \$166,250 to market risk via a variable annuity, layering on materially higher annual fees, and absorbing a surrender penalty raises serious questions about whether this recommendation was driven by the consumer's best interest or the producer's compensation incentive. The regulation explicitly states that a producer's financial interest cannot influence the recommendation.

Second, on documentation: NY Reg 187 imposes enhanced documentation requirements regarding the basis for any recommendation. Robert was required to document consideration of product features, benefits, and costs -- particularly in a replacement context where a comparison of the existing product's advantages against the proposed product's features is essential. Robert's failure to prepare or retain any written comparative analysis of the two products, his failure to document Diane's risk tolerance beyond cursory demographic information, and his reliance solely on an application and hypothetical illustration fall far short of the regulation's enhanced disclosure and documentation mandates.

Third, regarding supervisory obligations: NY Reg 187 requires insurers and their delegated supervisory entities (here, Pinnacle Wealth Distributors as the broker-dealer) to maintain a supervisory system that ensures best interest compliance. Pinnacle's supervisor reviewed the application but failed to identify the missing comparative analysis, constituting a supervisory deficiency. While third-party supervision delegation is permitted under the regulation, the insurer retains oversight responsibility and must take corrective action where appropriate.

Robert's completion of the NY Reg 187 training course does not serve as a defense; training is a prerequisite, not a safe harbor. The absence of a documented best interest rationale, combined with the economically disadvantageous nature of the replacement, creates a strong basis for regulatory enforcement action by the NY DFS, which retains exclusive enforcement authority as the regulation does not contain a private right of action.

Key Factor

Robert failed to document any comparative analysis of the existing and proposed annuities' features, benefits, and costs, and the replacement generated substantial new sales compensation while imposing surrender charges and materially higher ongoing fees on a retired client with limited assets.

Item 124 of 499

NON-COMPLIANT

Topic: naic_model_275_annuity_best_interest_conflicts

Difficulty: hard

Standard: NAIC Suitability in Annuity Transactions Model Regulation (#275), as amended -- Section 6A (Best Interest Obligation), Section 6B(1)-(4) (Consumer Profile Factors), Section 6D (Care Obligation), Section 6F (Conflict of Interest Obligation); ERISA § 3(21)(A)(ii) fiduciary definition (as referenced in Rutkowski comments regarding IRA rollover harmonization); DOL Fiduciary Rule (referenced as benchmark standard)

Source: 08_State_Fiduciary_Rules

Fact Pattern

On March 14, 2019, Gerald Tomkins, a 68-year-old retired postal worker in Topeka, Kansas, met with insurance producer Darla Fessenden of Heartland Financial Solutions, LLC. Gerald had \$340,000 in a traditional IRA rollover from his USPS Thrift Savings Plan and a modest Social Security benefit of \$2,180 per month. He told Darla he needed steady income to supplement Social Security and wanted to preserve principal for his wife Margaret, age 65, who had early-stage Parkinson's disease and anticipated rising medical costs. Gerald explicitly stated he had no tolerance for market risk and wanted liquidity in case of medical emergencies.

Darla recommended Gerald place \$280,000--over 82% of his liquid retirement assets--into a 12-year surrender-period fixed indexed annuity (FIA) issued by Patriot Life Insurance Company, the 'Patriot Horizon Plus 12.' The product featured a 7% first-year commission to the producer, a 14% declining surrender charge schedule, an annual 10% free withdrawal provision, and participation in S&P 500 returns capped at 4.25% with a 0% floor. No guaranteed lifetime withdrawal benefit rider was included. The remaining \$60,000 was placed in a 5-year bank CD yielding 2.8%. Darla's agency, Heartland Financial Solutions, had a production bonus agreement with Patriot Life under which the agency received an additional 50 basis points on all Patriot Horizon Plus 12 sales exceeding \$2 million in annual premium volume--a threshold the agency was close to meeting at the time of Gerald's transaction.

Darla's suitability documentation noted Gerald's 'moderate' risk tolerance and a 15-year investment time horizon, despite his verbal statements to the contrary. She did not document Margaret's health condition or the couple's potential need for liquidity. Darla did not disclose the production bonus arrangement to Gerald, nor did she present any alternative annuity products with shorter surrender periods, lower fees, or guaranteed income riders that might have better addressed his stated needs. A competing 5-year MYGA from another carrier offered a guaranteed 3.6% annual rate with a 3% surrender charge and would have provided substantially greater liquidity. Gerald signed the application after a single 45-minute meeting.

Question

Under the NAIC Suitability in Annuity Transactions Model Regulation (Model #275, as amended to incorporate best interest standards) and the concerns raised by consumer advocates regarding conflict management, did Darla Fessenden's recommendation of the Patriot Horizon Plus 12 FIA comply with the best interest standard of conduct?

Answer

No. Darla Fessenden's recommendation fails to satisfy the best interest standard of conduct under the NAIC Model #275 (revised) on multiple grounds.

First, under Section 6A of the amended Model Regulation, a producer must act in the best interest of the consumer at

the time of the recommendation, without placing the producer's or insurer's financial interest ahead of the consumer's interest. The facts strongly suggest Darla prioritized her 7% commission and her agency's production bonus over Gerald's stated needs. The undisclosed 50-basis-point production bonus arrangement with Patriot Life created a material conflict of interest that directly incentivized the sale of this particular product over alternatives. Under Section 6B(1)-(4), the producer must consider the consumer's financial situation, insurance needs, financial objectives, and the particular annuity's suitability as a whole. Gerald's stated need for liquidity due to Margaret's Parkinson's diagnosis and rising medical costs is fundamentally incompatible with a 12-year surrender period and a 14% initial surrender charge. Placing 82% of his liquid retirement assets into such a product exposes Gerald to severe liquidity risk, particularly given his age and his wife's health condition.

Second, under Section 6D regarding care obligation, the producer must exercise reasonable diligence, care, and skill in making the recommendation. Darla's documentation falsified Gerald's risk tolerance as 'moderate' when he explicitly stated he had no tolerance for market risk. She recorded a 15-year time horizon inconsistent with his verbal statements. She failed to document Margaret's health condition--a critical factor in any liquidity analysis. This mischaracterization of the consumer profile to justify the sale is a hallmark violation of the care obligation.

Third, the conflict of interest provisions (Section 6F) require that material conflicts be identified and mitigated. The production bonus arrangement was never disclosed to Gerald, let alone mitigated. As Robert Rutkowski's comment letter and the consumer coalition emphasized, the original NAIC proposal was criticized precisely because it failed to adequately address conflict management--remaining 'weaker than the existing securities law suitability standard' on this point. Even under the strengthened best interest framework, Darla's complete failure to disclose or manage this conflict is a clear violation.

Finally, Darla failed to consider reasonably available alternatives, such as the 5-year MYGA with a 3.6% guaranteed rate and minimal surrender charges, which would have far better served Gerald's liquidity needs and risk profile. The absence of any comparative analysis or documentation of alternatives considered further evidences a failure to act in the consumer's best interest. No safe harbor or defense applies where the producer's documentation itself contradicts the consumer's stated objectives and material conflicts remain entirely undisclosed.

Key Factor

Darla placed 82% of the client's liquid retirement assets into a 12-year surrender-period annuity despite his explicit need for liquidity due to his wife's progressive illness, while failing to disclose a production bonus arrangement that incentivized the specific product recommendation.

Item 125 of 499**NON-COMPLIANT**

Topic: ny_reg187_compensation_influence_best_interest

Difficulty: hard

Standard: New York Insurance Regulation 187, 'Suitability & Best Interests in Life Insurance & Annuity Transactions' (11 NYCRR 224), effective August 1, 2019 for annuity transactions -- specifically the suitability standard (requiring analysis of risk tolerance, liquidity needs, financial experience, and financial objectives), the best interest standard (requiring care, skill, prudence, and diligence of a prudent person; analysis of costs, performance, and risks), the compensation non-influence provision, and the disclosure and documentation requirements.

Source: 08_State_Fiduciary_Rules

Fact Pattern

Margaret Doyle, age 62, is a retired public school teacher residing in Syracuse, New York, with an annual pension income of \$54,000, a 403(b) account worth \$185,000, a savings account of \$42,000, and no outstanding debts. In September 2019, she contacted licensed New York producer Brian Kessler of Pinnacle Insurance Solutions to discuss options for supplementing her retirement income. Margaret expressed that she wanted a conservative, predictable income stream starting at age 65 and emphasized that she could not afford to lose principal. She stated she had very limited investment experience, low risk tolerance, and would need access to at least \$30,000 in liquid funds for emergencies.

Brian conducted a suitability intake form and documented Margaret's financial profile, including her age, income, assets, liquidity needs, risk tolerance, and time horizon. However, rather than recommending a fixed annuity product that aligned with her stated conservative objectives and liquidity requirements -- which would have paid Brian a commission of approximately \$3,200 -- Brian recommended a variable annuity issued by Summit Life Insurance Company with an equity-indexed growth rider. This product carried a 9-year surrender charge schedule starting at 9%, annual mortality and expense charges of 1.35%, an investment advisory fee of 0.85%, and a rider fee of 1.10%. The first-year commission on this product was approximately \$11,400. Brian's agency, Pinnacle Insurance Solutions, was also running an internal sales contest in Q3 2019 offering a \$5,000 bonus to the top-producing agent in variable annuity sales.

Brian's disclosure form to Margaret noted the surrender charges and general fee structure, but did not mention the internal sales contest, did not compare the recommended variable annuity to a fixed annuity alternative, and did not address the market risk inherent in the equity-indexed rider relative to Margaret's stated low risk tolerance. Brian documented on the suitability form that the recommendation was 'suitable based on the client's desire for retirement income' but did not separately document a best interest analysis addressing costs, performance expectations, or risk appropriateness. Margaret signed the application on September 22, 2019, and the policy was delivered in New York on October 3, 2019.

Question

Did Brian Kessler's recommendation of the variable annuity to Margaret Doyle comply with the best interest and suitability standards under New York Insurance Regulation 187 as applied to annuity transactions effective August 1, 2019?

Answer

Brian Kessler's recommendation does not comply with New York Insurance Regulation 187. The regulation, effective for annuity transactions as of August 1, 2019, imposes both a suitability standard and a best interest standard on producers recommending annuity products to New York consumers. Brian's conduct fails multiple provisions.

First, regarding the suitability standard, Reg 187 requires that the producer have reasonable grounds for believing the recommendation is suitable based on relevant facts disclosed by the customer, including risk tolerance, liquidity needs, financial experience, and financial objectives. Margaret clearly stated she had low risk tolerance, limited investment experience, needed access to \$30,000 in liquid funds, and wanted conservative, predictable income. A variable annuity with a 9-year surrender schedule starting at 9%, combined with equity-indexed exposure subject to market risk, is facially inconsistent with these stated needs. The surrender schedule alone would effectively trap Margaret's capital and impair her stated liquidity requirement. Brian's documentation merely noted the product was 'suitable based on the client's desire for retirement income,' which is conclusory and does not demonstrate the required analysis of the enumerated suitability factors including risk tolerance, liquidity needs, and financial experience.

Second, and more critically, Reg 187's best interest standard requires that the producer act with the care, skill, prudence, and diligence that a prudent person familiar with the circumstances would use. The recommendation must reflect the customer's best interest in terms of costs, performance, and risks related to benefits. Here, the combined annual fee load of approximately 3.30% (M&E 1.35% + advisory 0.85% + rider 1.10%) is substantial for a conservative retiree. Brian failed to perform or document any comparative analysis between the recommended variable annuity and a lower-cost fixed annuity alternative that would have better matched Margaret's conservative profile. He also failed to analyze market risk and interest rate risk relative to her circumstances, as Reg 187 explicitly requires.

Third, Reg 187 provides that compensation may not influence the recommendation. Compensation or incentives are permissible only when the amount does not influence the recommendation, the transaction is suitable, and the customer is informed of how the producer is compensated. The \$11,400 commission (versus \$3,200 for the more suitable fixed product) and the concurrent \$5,000 internal sales contest create a strong inference of compensation-driven motivation. Brian's failure to disclose the sales contest further compounds the violation, as Reg 187 requires disclosure of the manner in which the producer is compensated, including incentives. The absence of any documented best interest analysis -- separate from the cursory suitability notation -- confirms that Brian did not meet the regulation's documentation requirements. This is a clear, multi-pronged violation of Reg 187.

Key Factor

Brian recommended a high-cost, market-risk-bearing variable annuity to a conservative, liquidity-dependent retiree without conducting or documenting a best interest analysis, while receiving substantially higher compensation and participating in an undisclosed sales contest -- directly contravening Reg 187's best interest, compensation non-influence, and disclosure requirements.

Item 126 of 499**NON-COMPLIANT**

Topic: ny_reg187_best_interest_annuity_replacement

Difficulty: hard

Standard: 11 NYCRR 224 (NY Insurance Regulation 187) as amended, specifically §§ 224.0(a)-(c), 224.1; Insurance Law Sections 2103, 2104, 2110, 2123, 2208, and Article 24; Insurance Law Article 42 (insurer conduct standards)

Source: 08_State_Fiduciary_Rules

Fact Pattern

Margaret Kowalski is a 71-year-old retired public school teacher living in Syracuse, New York. She has a fixed annuity issued by Reliable Life Insurance Company with a current accumulation value of \$318,000, a guaranteed minimum interest rate of 3.25%, and no remaining surrender charges (the contract completed its surrender period in 2021). Margaret's annual pension income is \$54,000, she receives \$22,800 in Social Security, and she has approximately \$87,000 in a bank savings account. She has no outstanding debts and owns her home outright. Her primary financial objective, as documented in prior suitability profiles, is capital preservation and income stability to cover long-term care costs should they arise.

On March 14, 2024, insurance producer Daniel Ferris, licensed in New York and appointed by Apex Financial Insurance Group, contacts Margaret about an opportunity to 'upgrade' her annuity. During a home visit, Daniel recommends she surrender her existing Reliable Life fixed annuity and purchase a new indexed annuity from Pinnacle Assurance Corp., the 'Pinnacle Growth Select 10' product. This new product has a 10-year surrender charge schedule starting at 9% in year one, a 0% guaranteed minimum interest rate, participation in the S&P 500 index with a 6.5% annual cap, and an optional income rider with a 0.95% annual fee. Daniel tells Margaret that the indexed annuity will 'almost certainly outperform' her current 3.25% guarantee and that the income rider will protect her if she needs long-term care funding. He does not discuss the loss of the 3.25% guaranteed floor, the new 10-year surrender period and its implications for a 71-year-old's liquidity needs, or the fact that the income rider does not provide actual long-term care benefits.

Daniel's compensation on the Pinnacle Growth Select 10 is a 6.5% first-year commission (\$20,670), compared to no trailing commission he was receiving on the existing Reliable Life contract. He documents on the replacement form that the transaction is suitable because the new product offers 'greater growth potential.' Apex Financial's supervisory review consists of a single checklist reviewed by an unlicensed office manager, Brenda Tate, who approves the transaction the same day without contacting Margaret or reviewing her existing policy details. The replacement is processed on March 22, 2024.

Question

Under New York Insurance Regulation 187 as amended (11 NYCRR 224), did producer Daniel Ferris and insurer Apex Financial Insurance Group satisfy their best interest obligations in recommending the replacement of Margaret Kowalski's fixed annuity with the Pinnacle Growth Select 10 indexed annuity?

Answer

No. Both Daniel Ferris and Apex Financial Insurance Group violated their obligations under NY Reg 187 (11 NYCRR 224) as amended effective August 1, 2019. The regulation imposes a best interest standard that applies to any recommendation with respect to a proposed or in-force policy (§ 224.1), and this replacement transaction clearly falls

within its scope.

First, under § 224.0(c), a producer making a recommendation must adhere to a best interest standard that ensures the transaction 'appropriately addresses the insurance needs and financial objectives of the consumer at the time of the transaction.' Margaret's documented objectives were capital preservation and income stability for potential long-term care costs. The recommendation to surrender a 3.25% guaranteed fixed annuity with no remaining surrender charges in favor of a product with a 0% guaranteed floor, a 10-year surrender schedule beginning at 9%, and capped index participation fundamentally undermines these objectives. The new product exposes Margaret -- who is 71 and may need liquidity for health-related expenses -- to a decade of significant surrender penalties, directly contradicting her capital preservation and liquidity needs.

Second, Daniel's statement that the indexed annuity would 'almost certainly outperform' the existing guarantee is misleading. The 0% floor means that in flat or declining market years, Margaret would earn nothing, whereas her current contract guaranteed 3.25% regardless of market conditions. Presenting speculative upside as near-certain constitutes a failure to act in the consumer's best interest and arguably constitutes a deceptive trade practice under Insurance Law Article 24, which § 224.0(a) expressly references as the superintendent's regulatory authority.

Third, Daniel's failure to disclose the material differences -- loss of the guaranteed rate, the new 10-year surrender period's implications for a septuagenarian, and the fact that the income rider does not provide long-term care benefits -- represents a failure to ensure the consumer could make an informed decision, a core component of the best interest obligation.

Fourth, the compensation disparity (\$20,670 first-year commission versus \$0 on the existing product) creates a significant conflict of interest. Under Reg 187's best interest framework, while compensation alone does not render a transaction non-compliant, the producer must demonstrate that the recommendation was driven by the consumer's interests, not the producer's financial incentive. The record here -- thin documentation citing only 'greater growth potential' -- fails to rebut the inference that compensation motivated the recommendation.

Finally, under § 224.0(b), the insurer must establish and maintain supervisory standards and procedures to ensure compliance. Apex Financial's review by an unlicensed office manager using a simple checklist, without contacting the consumer or reviewing the existing policy, is a material supervisory failure. The regulation requires the insurer to maintain controls that 'achieve compliance with this Part,' and a rubber-stamp, same-day approval by an unqualified individual does not satisfy this obligation.

Neither the producer nor the insurer met the best interest standard required by Reg 187.

Key Factor

The producer recommended replacing a fully liquid, 3.25% guaranteed fixed annuity with a 10-year surrender-charge indexed annuity offering a 0% floor for a 71-year-old client whose primary objective was capital preservation, without disclosing material disadvantages and while earning a \$20,670 first-year commission.

Item 127 of 499**NON-COMPLIANT**

Topic: dol_fiduciary_rule_rollover_recommendation

Difficulty: hard

Standard: SEC Regulation Best Interest (17 CFR § 240.15l-1); PTE 2020-02, Sections I(c) and II(a); ERISA § 3(21)(A)(ii); ERISA § 406; DOL Proposed Fiduciary Rule RIN 1210-AC02; FINRA Rule 2111 (Suitability); FINRA Rule 2020 (Use of Manipulative, Deceptive or Other Fraudulent Devices)

Source: 08_State_Fiduciary_Rules

Fact Pattern

Marcus Delgado is a registered representative affiliated with Osaic Wealth, Inc. and has been advising retirement investors in the Phoenix, Arizona area for fourteen years. In September 2024, he meets with Cynthia Rawlings, a 58-year-old school district employee who is retiring after 30 years of service. Cynthia has a 403(b) plan with TIAA-CREF containing \$412,000 in low-cost target-date funds with a blended expense ratio of 0.09%, and she is also entitled to a modest defined benefit pension of \$1,800 per month. During their initial meeting -- which Cynthia arranged after seeing Marcus's seminar advertisement at a local library -- Marcus recommends that Cynthia roll her entire 403(b) balance into a newly opened IRA brokerage account at Osaic Wealth and invest in a combination of Class A mutual funds and a variable annuity with a guaranteed minimum income benefit rider. The variable annuity (issued by a carrier with whom Osaic has a revenue-sharing arrangement) carries an all-in annual cost of 2.87%, and the Class A mutual funds carry front-end loads averaging 4.75% and ongoing expense ratios of 0.85%. Marcus earns a 5% upfront commission on the variable annuity sale of \$250,000 and standard front-end load commissions on the \$162,000 allocated to mutual funds. Marcus documents his recommendation by noting that Cynthia 'wants more investment options and personalized advice' but does not perform any written comparison of the costs, investment options, or features of the existing 403(b) plan versus the proposed IRA. He does not disclose the revenue-sharing arrangement with the annuity carrier, nor does he explain that the 403(b) plan offers access to institutional share classes unavailable in a retail IRA. Cynthia signs the rollover paperwork on September 18, 2024, and the transfer is completed by October 7, 2024.

Question

Did Marcus Delgado's rollover recommendation and subsequent investment of Cynthia Rawlings's 403(b) assets comply with the requirements of PTE 2020-02 and Regulation Best Interest, and what additional obligations would the DOL's proposed fiduciary rule (RIN 1210-AC02) impose?

Answer

Marcus Delgado's conduct fails to satisfy multiple regulatory requirements under both the existing framework and the proposed DOL fiduciary rule. First, under SEC Regulation Best Interest (17 CFR § 240.15l-1), a broker-dealer must satisfy four component obligations when making a recommendation to a retail customer: the Disclosure Obligation, the Care Obligation, the Conflict of Interest Obligation, and the Compliance Obligation. Marcus violated the Care Obligation by failing to conduct a reasonable basis analysis comparing the existing 403(b) plan's institutional-class funds (0.09% expense ratio, no surrender charges) against the proposed IRA investments (2.87% variable annuity all-in cost, 4.75% front-end loads). Reg BI requires that the recommendation reflect reasonable diligence, care, and skill, considering costs as a factor. The dramatic cost differential -- approximately \$11,800 annually in the IRA versus roughly \$370 in the existing plan -- demands a thorough documented justification, which Marcus did not provide. He also violated the Disclosure Obligation by failing to disclose the revenue-sharing arrangement with the annuity carrier, a material conflict of interest. Under the Conflict of Interest Obligation, his firm was required to establish policies to identify, disclose, and

mitigate conflicts, including compensation incentives that could motivate the rollover recommendation.

Under PTE 2020-02, which provides relief from ERISA prohibited transaction rules for rollover recommendations (since a rollover recommendation from a plan to an IRA constitutes fiduciary investment advice under ERISA § 3(21)(A)(ii)), Section I(c) requires the financial institution and investment professional to provide advice that is in the retirement investor's best interest at the time of the recommendation, reflecting the care, skill, prudence, and diligence that a prudent person would exercise. Section II(a) requires specific written documentation of why the rollover recommendation is in the investor's best interest, including a comparison of fees, available investment options, services, and features of the existing plan versus the IRA. Marcus's cursory notation that Cynthia 'wants more investment options' falls far short of this requirement.

Under the DOL's proposed fiduciary rule (RIN 1210-AC02), Marcus's one-time rollover recommendation would clearly constitute fiduciary investment advice because the proposed rule eliminates the requirement for an ongoing relationship, sweeping in single-instance recommendations made to retirement investors where there is a reasonable expectation of individualized advice. This broadened definition would impose ERISA fiduciary duties, including the duty of loyalty and prudence under ERISA § 404(a), making Marcus's failure to compare plan costs and his undisclosed conflicts per se violations. The pivotal failure here is the complete absence of a documented cost-benefit analysis of the rollover, which is the cornerstone requirement across all applicable standards.

Key Factor

Marcus failed to perform or document any comparative analysis of the costs, investment options, and features of Cynthia's existing low-cost 403(b) plan versus the significantly more expensive IRA investments, which is the central requirement under both PTE 2020-02 Section II(a) and Reg BI's Care Obligation for rollover recommendations.

Item 128 of 499**COMPLIANT**

Topic: vulnerable_adult_financial_exploitation_delay_disbursement

Difficulty: hard

Standard: NASAA Model Act to Protect Vulnerable Adults from Financial Exploitation, Sections 2 (Definitions -- vulnerable adult, qualified individual), 3 (Governmental Disclosures), 4 (Immunity for Governmental Disclosures), 5 (Third-Party Disclosures), 6 (Immunity for Third-Party Disclosures), 7 (Delaying Disbursements), 8 (Immunity for Delaying Disbursements), 9 (Records)

Source: 08_State_Fiduciary_Rules

Fact Pattern

Margaret Holloway, age 83, is a long-time client of Pinnacle Wealth Advisors, a state-registered investment advisory firm in a state that has adopted the NASAA Model Act to Protect Vulnerable Adults from Financial Exploitation. Margaret holds approximately \$1.4 million in a diversified portfolio consisting of municipal bonds, blue-chip equities, and a money market fund. Her designated trusted contact person on file is her daughter, Linda Chen, age 56, who lives in a neighboring state.

On March 12, 2025, Margaret's assigned financial adviser, David Kowalski (CRD #4478821), received a frantic phone call from Margaret requesting an immediate wire transfer of \$185,000 to a bank account in the name of 'Global Relief Partners LLC.' Margaret explained that she had been contacted by a man named 'Agent Reynolds' from the IRS who told her she owed back taxes and penalties and would face arrest if she did not pay immediately. Margaret was agitated, confused about the details, and repeatedly said she 'just needed this taken care of today.' David noticed that Margaret's speech patterns were unusually disorganized and that she could not provide a coherent explanation of the purported tax liability, despite having filed her returns on time every year with professional assistance.

David immediately placed a temporary hold on the disbursement and documented his observations in a detailed internal memorandum. Within two hours, he notified his firm's compliance officer, Patricia Reeves, who reviewed the matter and concurred with the hold. David also contacted Linda Chen, Margaret's trusted contact person, to inform her of the situation and his concerns about potential exploitation. Simultaneously, Patricia Reeves filed a report with the state securities administrator's office and with the local Adult Protective Services agency, providing details of the suspected financial exploitation. David and Patricia maintained detailed contemporaneous records of all communications, including the date and time of Margaret's call, the specifics of her request, the observations that raised concern, all notifications to the trusted contact and to governmental agencies, and the basis for delaying the disbursement.

The hold on the disbursement was maintained for 12 business days while the state securities regulator and APS investigated. During that period, David and Patricia cooperated fully with investigators, who ultimately confirmed that Margaret had been targeted by a sophisticated IRS impersonation scam. The disbursement was never made, and Margaret's assets were preserved.

Question

Did David Kowalski and Pinnacle Wealth Advisors act in compliance with the NASAA Model Act to Protect Vulnerable Adults from Financial Exploitation when they placed a temporary hold on Margaret Holloway's disbursement, disclosed information to her trusted contact person, and reported the suspected exploitation to governmental authorities?

Answer

Yes, David Kowalski and Pinnacle Wealth Advisors acted in full compliance with the NASAA Model Act to Protect Vulnerable Adults from Financial Exploitation.

First, under Section 7 of the Model Act, a qualified individual -- here, David Kowalski as the financial adviser with direct client contact -- who reasonably believes that financial exploitation of a vulnerable adult may have occurred, may have been attempted, or is being attempted, may place a temporary delay on a disbursement from the account. Margaret Holloway, at age 83, falls squarely within the definition of a vulnerable adult under Section 2 of the Act. The hallmarks of a classic IRS impersonation scam, combined with Margaret's uncharacteristic confusion, disorganized speech, and inability to explain the purported liability, provided David with ample reasonable belief that financial exploitation was being attempted. The delay was imposed promptly and in accordance with the Act's procedural requirements.

Second, under Section 5 of the Model Act, the adviser and firm are permitted to disclose information related to suspected financial exploitation to third parties, including a previously designated trusted contact person. David's prompt notification to Linda Chen, Margaret's designated trusted contact, was appropriate and expressly authorized. Importantly, Section 6 provides immunity for such third-party disclosures made in good faith and with reasonable care, shielding Pinnacle from any potential privacy or breach-of-confidentiality claims.

Third, under Section 3, governmental disclosures to entities such as the state securities administrator and Adult Protective Services are authorized when there is a reasonable belief of financial exploitation. Patricia Reeves's report to both the state regulator and APS fulfilled this obligation. Section 4 grants immunity for such governmental disclosures made in good faith.

Fourth, under Section 9, the Act requires maintenance of records related to the suspected exploitation, the delay, and all related disclosures. David and Patricia's detailed contemporaneous documentation -- covering the timing of the call, observations, notifications, and basis for the hold -- satisfies this recordkeeping requirement.

Finally, the 12-business-day duration of the hold was within the timeframes contemplated by Section 7, which generally permits a delay for a reasonable period pending investigation. No defense or exception is needed here because every element of the Act was satisfied: reasonable belief of exploitation, prompt action, appropriate disclosures to trusted contacts and governmental agencies, cooperation with investigators, and thorough recordkeeping. The firm's conduct is a textbook example of the protections the Model Act was designed to enable.

Key Factor

David Kowalski's prompt placement of a temporary hold based on a reasonable belief of financial exploitation, combined with timely notifications to the trusted contact person and governmental agencies and thorough contemporaneous documentation, satisfied every procedural and substantive requirement of the NASAA Model Act.

Item 129 of 499

NON-COMPLIANT

Topic: broker_dealer_fiduciary_standard_state_variation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) -- reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 3110 (Supervision); South Carolina common-law fiduciary duty imposed on broker-dealers exercising de facto discretion or holding out as advisers; Securities Exchange Act of 1934 § 15; Investment Advisers Act of 1940 anti-fraud provisions as analogized in state law

Source: 08_State_Fiduciary_Rules

Fact Pattern

Gerald Whitfield is a registered representative of Piedmont Securities, Inc., a mid-sized broker-dealer headquartered in Charlotte, North Carolina, but registered to do business in 14 states including California, Missouri, and South Carolina. In March 2023, Gerald meets with Margaret and Dennis Okafor, a married couple ages 62 and 59, respectively, residing in Columbia, South Carolina. Margaret is a retired high school principal with a state pension of \$48,000 per year, and Dennis is a part-time bookkeeper earning \$22,000 annually. Their combined liquid investable assets total \$285,000, held in a joint brokerage account, and they have an additional \$140,000 in Margaret's 403(b) plan. Their stated objectives, documented on Piedmont's new account form, are capital preservation, modest growth, and generating supplemental retirement income beginning in four years when Dennis plans to retire fully.

During the meeting, Gerald recommends the Okafors allocate \$180,000 of their joint brokerage account into the Meridian Strategic Equity Fund, a non-traded REIT with a 7-year lockup period, a 6.5% upfront commission, and a distribution yield that has historically been funded in part by return of capital. Gerald explains the product as 'a safe, income-producing real estate investment' and does not disclose the return-of-capital component of distributions, the illiquidity risk, or the fact that the fund's current loan-to-value ratio is 72%. He also does not discuss alternative products such as publicly traded REITs or diversified balanced funds that would provide liquidity and lower cost. Gerald's branch manager, Felicia Tran, approves the transaction after a cursory review of the account form without questioning the concentration or suitability given the clients' age, income needs, and four-year time horizon.

Gerald earns a \$11,700 gross commission on the sale. At the time of the recommendation, South Carolina applies the common-law standard articulated in state case law that imposes a heightened duty of care on broker-dealers when they exercise de facto discretion or hold themselves out as providing advisory services. Gerald's business card identifies him as a 'Senior Financial Consultant' at Piedmont Securities, and he had previously prepared a written retirement income analysis for the Okafors.

Question

Did Gerald Whitfield's recommendation of the non-traded REIT to the Okafors violate the applicable standard of care under South Carolina's common-law fiduciary framework and FINRA suitability requirements, and what liability exposure exists for Piedmont Securities?

Answer

Gerald Whitfield's recommendation almost certainly violates both the applicable South Carolina common-law fiduciary standard and FINRA's suitability rules, exposing both him and Piedmont Securities to significant liability.

First, under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis to believe that a

recommended transaction or investment strategy is suitable for the customer based on their investment profile. Rule 2111 encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching to the client's profile), and quantitative suitability. Here, the \$180,000 allocation to a non-traded REIT with a 7-year lockup represents approximately 63% of the Okafors' liquid investable assets. Given their ages (62 and 59), a four-year time horizon to full retirement, stated objectives of capital preservation and income generation, and modest combined income, concentrating nearly two-thirds of liquid assets in an illiquid product with a lockup extending well past their income-need date fails customer-specific suitability. The product's 72% loan-to-value ratio introduces leveraged real estate risk inconsistent with a capital preservation mandate. Gerald's failure to understand or disclose the return-of-capital component of distributions also suggests a failure of reasonable-basis suitability.

Second, under South Carolina common law, as discussed in the Finke and Langdon research, states that impose a heightened or fiduciary standard of care on broker-dealers do so particularly when the representative exercises de facto discretion or holds themselves out as providing advisory or planning services. Gerald's title of 'Senior Financial Consultant,' his prior preparation of a retirement income analysis, and his holistic recommendation regarding the couple's retirement strategy collectively establish that he was functioning in an advisory capacity, triggering a fiduciary duty under South Carolina's common-law framework. A fiduciary must act in the client's best interest, fully disclose material conflicts (including the \$11,700 commission incentive and the return-of-capital nature of distributions), and avoid recommending unsuitable concentrations in illiquid products.

Third, Piedmont Securities bears supervisory liability under FINRA Rule 3110 (Supervision). Felicia Tran's cursory approval of the transaction without questioning the concentration, the illiquidity mismatch with the clients' time horizon, or the adequacy of disclosure constitutes a failure of reasonable supervision. FINRA has consistently held that a supervisor's pro forma review of red-flag transactions does not satisfy supervisory obligations.

Gerald's potential defense that the clients consented to the investment is undermined by the material omissions regarding liquidity, return of capital, and leverage, which prevented informed consent. The fact that alternative, lower-cost, liquid products existed and were not discussed further evidences a breach of the duty of loyalty and care. Both Gerald and Piedmont face exposure to FINRA enforcement action, arbitration damages, and potential state-law claims for breach of fiduciary duty.

Key Factor

Gerald's concentration of 63% of the Okafors' liquid assets in a 7-year lockup non-traded REIT directly contradicted their four-year income timeline and capital preservation objective, while his 'Senior Financial Consultant' title and prior retirement analysis triggered a fiduciary duty he failed to honor through material omissions and self-interested recommendations.

Item 130 of 499**NON-COMPLIANT**

Topic: ny_reg187_life_insurance_best_interest

Difficulty: hard

Standard: New York Regulation 187 (11 NYCRR 224), specifically Sections 224.4(a) (best interest standard), 224.4(b) (documentation of recommendation basis), and 224.5 (insurer/agency supervision obligations); effective for life insurance transactions February 1, 2020

Source: 08_State_Fiduciary_Rules

Fact Pattern

Marcus Whitfield is a licensed life insurance agent operating in Albany, New York, affiliated with Summit Life Distributors, Inc. He holds only a state insurance license and is not a CFP(R) professional, nor is he registered with a broker-dealer or investment adviser. On March 15, 2020--after New York Regulation 187 took effect for life insurance on February 1, 2020--Marcus met with Elena Vasquez, a 58-year-old school administrator earning \$92,000 annually with a pension and approximately \$185,000 in savings. Elena told Marcus she wanted a simple, affordable policy to provide her two adult children with a \$250,000 death benefit to cover her remaining mortgage balance and final expenses. She explicitly stated she had no interest in cash value accumulation or investment features and wanted to keep premiums under \$200 per month.

Marcus recommended a \$250,000 indexed universal life (IUL) policy issued by Pinnacle National Life Insurance Company, featuring an S&P 500 index-linked crediting strategy with a 0% floor and 10.5% cap, a flexible premium structure starting at \$347 per month, and projected cash value accumulation of over \$78,000 by age 75 based on illustrated assumptions of 6.24% annual crediting. Marcus completed the insurer's suitability questionnaire, but he did not document Elena's stated preference for simplicity and low cost, nor did he present or analyze any term life insurance alternatives, which would have provided the same \$250,000 death benefit for approximately \$85 per month given her age and health profile. Marcus's commission on the IUL sale was approximately \$4,200 in first-year compensation, compared to roughly \$680 he would have earned on a 20-year level term policy.

Marcus's notes in the file consisted solely of the carrier's pre-printed suitability form, which listed Elena's income, assets, and insurance need amount but did not reflect her stated preferences regarding cost or product simplicity. Summit Life Distributors did not conduct any supervisory review of the recommendation prior to policy issuance. Eighteen months later, Elena struggled to maintain the \$347 monthly premium after unexpected medical expenses, and she contacted the New York Department of Financial Services to file a complaint.

Question

Did Marcus Whitfield's recommendation of the indexed universal life policy to Elena Vasquez comply with New York Regulation 187's best interest standard for life insurance recommendations made after February 1, 2020?

Answer

Marcus Whitfield's recommendation did not comply with New York Regulation 187 (11 NYCRR 224). The regulation, effective for life insurance transactions on February 1, 2020, requires that any recommendation to purchase a life insurance policy must be suitable for the consumer and must be in the consumer's best interest at the time the recommendation is made. Reg 187, specifically Section 224.4, mandates that a producer must have a reasonable basis to believe the recommendation is in the consumer's best interest, considering the consumer's expressed needs, financial situation, insurance objectives, and other relevant factors.

First, Marcus failed to satisfy the best interest obligation under Section 224.4(a). The regulation requires that the recommendation address the consumer's identified needs without placing the producer's or insurer's financial interest ahead of the consumer's interest. Elena explicitly communicated a desire for a simple, affordable death benefit product with premiums under \$200 per month. A 20-year level term policy would have met her stated \$250,000 coverage need at approximately \$85 per month--well within her budget--while the recommended IUL policy required \$347 per month, nearly double her stated maximum. The IUL's cash accumulation feature was a product characteristic Elena expressly said she did not want. The substantial commission differential (\$4,200 versus \$680) creates a strong inference that Marcus's financial interest influenced the recommendation, which is precisely the conflict Reg 187 was designed to address.

Second, Marcus violated Section 224.4(b)'s documentation requirements. Reg 187 requires producers to document the basis for each recommendation, including the consumer's suitability information and the rationale for why the recommended product serves the consumer's best interest. Marcus relied solely on the carrier's pre-printed suitability questionnaire and failed to document Elena's clearly articulated preference for low-cost, simple coverage. Critically, he also failed to document any comparative analysis of alternative products--particularly term life insurance--that would have been a more obvious fit for the consumer's stated objectives.

Third, Summit Life Distributors may have failed its supervisory obligations under Section 224.5, which requires insurers and agencies to establish and maintain reasonable supervision systems to achieve compliance with Reg 187. The absence of any supervisory review of a recommendation where a complex, high-commission product was sold to a consumer with simple, low-cost needs represents a systemic compliance failure.

Marcus could argue the IUL was suitable based on Elena's financial capacity at the time. However, Reg 187 imposes a best interest standard that goes beyond mere suitability--it requires the recommendation to affirmatively serve the consumer's best interest, not merely be one that the consumer can technically afford. The failure to consider and present lower-cost alternatives that directly matched the consumer's expressed needs is the core violation.

Key Factor

Marcus recommended a high-premium, complex indexed universal life policy without documenting or considering the consumer's explicit preference for simple, low-cost term coverage, placing his commission interest ahead of the client's expressed best interest in violation of Reg 187's best interest standard.

Item 131 of 499

NON-COMPLIANT

Topic: nv_broker_dealer_fiduciary_duty

Difficulty: hard

Standard: NRS 628A.010(3) as amended by NV SB 383 (2017) Section 1; NRS 628A.020 (fiduciary duty of financial planner); NV SB 383 Section 1.7 (Administrator enforcement authority); NRS 90.310 (sales representative licensing); NRS 90.630, 90.640 (sanctions and civil penalties up to \$25,000 for willful violations); NRS 628A.030 (civil liability)

Source: 08_State_Fiduciary_Rules

Fact Pattern

Marcus Ellison is a registered sales representative licensed under NRS 90.310, working for Pinnacle Securities, Inc., a broker-dealer based in Las Vegas, Nevada. In March 2019--after NV SB 383 took effect--Marcus met with retiree Gloria Dominguez, age 68, a former schoolteacher with a \$430,000 rollover IRA and a modest state pension of \$2,800 per month. Gloria's stated objectives were capital preservation and generation of stable income to supplement her pension. She had no prior experience with complex investment products and described her risk tolerance as 'very conservative' on her new account form.

During a series of three meetings in April 2019, Marcus recommended that Gloria allocate \$310,000 of her IRA into a portfolio of high-yield corporate bond funds carrying an average expense ratio of 1.42% and below-investment-grade credit ratings (BB and B-rated issuances), and \$85,000 into a non-traded REIT with a seven-year lockup period and total upfront costs (commissions and offering expenses) of 11.5%. Marcus earned a total of \$14,200 in commissions on the combined transactions. He did not discuss lower-cost Treasury bond laddering strategies, investment-grade bond funds, or liquid REIT alternatives. His internal notes reflect that he considered these alternatives but concluded they would 'not generate sufficient production credits for the quarter.'

By September 2020, the high-yield bond portfolio had declined 18% in value due to credit downgrades during economic turbulence, and the non-traded REIT suspended its distribution payments and imposed a full redemption freeze. Gloria filed a complaint with the Nevada Securities Division, alleging Marcus breached his fiduciary duty under Chapter 628A of NRS as amended by SB 383. Marcus's counsel argued that, prior to SB 383, broker-dealers and sales representatives were excluded from the definition of 'financial planner' under NRS 628A.010 and therefore owed no fiduciary duty--only a suitability obligation--and that this historical framework should inform the standard of care.

Question

Did Marcus Ellison breach his fiduciary duty under Nevada law as amended by SB 383, and can the Nevada Securities Division Administrator impose sanctions for his conduct?

Answer

Marcus Ellison breached his fiduciary duty under NRS Chapter 628A as amended by Nevada SB 383 (2017), and the Nevada Securities Division Administrator has authority to impose sanctions.

First, as to the applicable legal standard: Prior to SB 383, NRS 628A.010(3) excluded from the definition of 'financial planner' any 'broker-dealer or sales representative licensed pursuant to NRS 90.310 or exempt under NRS 90.320' and any 'investment adviser licensed pursuant to NRS 90.330 or exempt under NRS 90.340.' Section 1 of SB 383 struck these exclusions--subsections (c) and (d) of NRS 628A.010(3)--thereby making broker-dealers, sales representatives,

and investment advisers who 'for compensation advise[] others upon the investment of money' subject to the fiduciary duty provisions of Chapter 628A. Under NRS 628A.020, a financial planner owes 'the duty of a fiduciary toward a client,' which under Nevada common law and the statutory framework requires the adviser to act in the client's best interest, disclose all material conflicts, and avoid self-dealing.

Marcus satisfies the statutory definition of 'financial planner' under amended NRS 628A.010(3): he is a licensed sales representative under NRS 90.310, he provided advice to Gloria regarding the investment of money, and he received compensation (commissions totaling \$14,200). His conduct post-dates SB 383's effective date, so the defense that broker-dealers were historically excluded is inapplicable--the legislature expressly removed that carve-out.

As to the fiduciary breach, Marcus's internal notes are devastating. They reveal he considered lower-cost, lower-risk alternatives--Treasury bond laddering, investment-grade bond funds, liquid REITs--and rejected them not because they were unsuitable for Gloria but because they would 'not generate sufficient production credits.' This is textbook self-dealing: prioritizing personal compensation over the client's best interest. Recommending \$310,000 in below-investment-grade high-yield bonds and \$85,000 in an illiquid non-traded REIT with 11.5% upfront costs to a 68-year-old conservative retiree whose primary objective was capital preservation is fundamentally inconsistent with a fiduciary obligation. The seven-year lockup on the REIT posed acute liquidity risk for a client already in the distribution phase of retirement.

Regarding enforcement, Section 1.7 of SB 383 expressly authorizes the Administrator to enforce the fiduciary duty imposed on broker-dealers, sales representatives, and investment advisers. Under NRS 90.630 and 90.640, the Administrator may impose sanctions including license suspension or revocation and civil penalties of up to \$25,000 for willful violations. Marcus's documented awareness and deliberate choice to disregard Gloria's interests for personal gain supports a finding of willfulness. Gloria also retains a private right of action for civil liability under NRS 628A.030. Marcus's defense based on pre-SB 383 law is meritless given the unambiguous statutory amendment.

Key Factor

Marcus's internal notes revealed he consciously rejected lower-cost, more suitable alternatives for Gloria because they would not generate sufficient commission production credits, directly evidencing prioritization of self-interest over his fiduciary obligation under NRS 628A as amended by SB 383.

Item 132 of 499**NON-COMPLIANT**

Topic: md_consumer_protection_annuity_suitability

Difficulty: hard

Standard: NAIC Suitability in Annuity Transactions Model Regulation §§ 6A(1)-(2); COMAR 31.15.10.05 (Maryland adoption of NAIC Model); Md. Code Ann., Com. Law § 13-301 (Maryland Consumer Protection Act -- unfair or deceptive trade practices)

Source: 08_State_Fiduciary_Rules

Fact Pattern

In March 2025, Gerald Whitfield, a 74-year-old retired postal worker living in Silver Spring, Maryland, visited the offices of Chesapeake Financial Advisors, LLC, a Maryland-based insurance and financial advisory firm. Gerald had recently lost his wife and inherited her \$320,000 IRA rollover and a \$185,000 life insurance death benefit payout. His sole income consisted of \$2,400 per month in Social Security and a \$1,100 per month federal pension. Gerald had no prior investment experience beyond a savings account and a small CD at his local credit union. He told his adviser, Nathan Pryor, that he wanted safe, accessible money to cover medical expenses and possibly help his grandson with college tuition within the next two to three years.

Nathan Pryor, a licensed insurance producer registered in Maryland and holding a Series 65 license, recommended that Gerald place \$400,000 into a 12-year fixed indexed annuity issued by Atlantic Heritage Life Insurance Company. The product featured a 10-year surrender period with declining surrender charges starting at 9%, a 150% participation rate on the S&P 500 annual point-to-point crediting method with a 3.5% cap, and a guaranteed minimum surrender value of 87.5% of premiums less withdrawals. The annuity offered a 10% annual free withdrawal provision. Pryor earned a 6.2% commission on the sale, totaling \$24,800. Pryor completed a suitability questionnaire but listed Gerald's risk tolerance as "moderate growth" and his investment time horizon as "10+ years," despite Gerald's stated near-term liquidity needs. Pryor did not document Gerald's grandson's college funding need or his medical expense concerns. Pryor also did not consider or present any alternative products, such as shorter-duration annuities, Treasury securities, or bank CDs.

Four months later, Gerald needed \$45,000 for an unexpected cardiac procedure not fully covered by Medicare. He contacted Nathan Pryor to withdraw funds and was informed he would face a \$3,240 surrender charge on the amount exceeding the 10% free withdrawal allowance. Gerald filed a complaint with the Maryland Attorney General's Consumer Protection Division in August 2025.

Question

Did Nathan Pryor's recommendation of the 12-year fixed indexed annuity to Gerald Whitfield comply with Maryland consumer protection standards and applicable annuity suitability requirements?

Answer

No, Nathan Pryor's recommendation was non-compliant and would likely constitute a violation under multiple applicable frameworks. Maryland has adopted the NAIC Suitability in Annuity Transactions Model Regulation (substantially codified under COMAR 31.15.10), which requires that an insurance producer have reasonable grounds for believing that a recommendation is suitable for the consumer based on facts disclosed by the consumer regarding, among other things, the consumer's age, financial situation, tax status, investment objectives, liquidity needs, risk tolerance, and time horizon. See NAIC Model Reg § 6A(1) and COMAR 31.15.10.05.

Pryor's conduct fails the suitability standard on several grounds. First, Gerald explicitly communicated near-term liquidity needs -- medical expenses and a grandson's college tuition within two to three years -- yet Pryor recommended a product with a 10-year surrender period and 9% initial surrender charges. This directly contradicts the requirement under NAIC Model Reg § 6A(1)(e) that the producer consider the consumer's liquidity needs and existing financial resources. Second, Pryor falsified or materially misrepresented Gerald's suitability profile by recording a "moderate growth" risk tolerance and a "10+ year" time horizon when Gerald's own statements indicated conservative, short-term objectives. Misrepresenting client information on suitability documentation constitutes a separate violation under NAIC Model Reg § 6A(2), which requires that the producer make reasonable efforts to obtain accurate consumer profile information. Third, Pryor failed to consider reasonably available alternatives, a requirement increasingly enforced under state-level best interest standards and reinforced by Maryland's consumer protection framework under Md. Code Ann., Com. Law § 13-301, which prohibits unfair, abusive, or deceptive trade practices. Concentrating 79% of Gerald's liquid net worth (\$400,000 of approximately \$505,000) in a single illiquid product for a 74-year-old with no investment experience and documented short-term cash needs is facially unsuitable.

Pryor might argue that the 10% annual free withdrawal provision provided adequate liquidity. However, this defense fails because the \$40,000 annual free withdrawal amount was insufficient to cover Gerald's actual \$45,000 need, and more importantly, the fundamental mismatch between the product structure and the client's stated objectives cannot be cured by a partial liquidity feature. The Maryland Attorney General's Consumer Protection Division, which actively pursues cases involving exploitation of vulnerable consumers -- as highlighted in the 2025 Annual Report -- would likely view this as an actionable consumer protection violation warranting restitution of surrender charges and potentially additional penalties.

Key Factor

Pryor misrepresented Gerald's risk tolerance and time horizon on the suitability questionnaire and recommended a 12-year illiquid annuity despite Gerald's clearly stated near-term liquidity needs for medical expenses and education funding.

Item 133 of 499

NON-COMPLIANT

Topic: cross_border_advisory_latam_compliance

Difficulty: hard

Standard: Investment Advisers Act of 1940, Sections 206(1), 206(2), 206(4); Rule 204-3 (brochure delivery); Rule 206(4)-7 (compliance procedures); Securities Act Regulation S, Rules 901-905 (offshore transactions and directed selling efforts); FINRA Rules 2111 (suitability), 3110 (supervision); CVM regulations governing cross-border advisory services to Brazilian residents

Source: 09_Law_Firm_Memos

Fact Pattern

Meridian Capital Advisors LLC is an SEC-registered investment adviser headquartered in Miami, Florida, with approximately \$4.2 billion in assets under management. The firm specializes in serving high-net-worth Latin American clients and family offices, primarily from Brazil, Mexico, Colombia, and Argentina. In March 2023, Meridian's managing director, Ricardo Fuentes, traveled to São Paulo, Brazil, to attend a private wealth conference. During the trip, Fuentes met with 14 prospective Brazilian investors, including the Oliveira Family Office (with approximately \$85 million in investable assets) and three institutional investors affiliated with Brazilian pension funds. At these meetings, Fuentes distributed detailed marketing materials describing Meridian's model portfolios, fee structures (a 1.25% annual advisory fee on assets under management), and performance track records. The materials were printed in Portuguese and included specific references to three U.S.-domiciled mutual funds that Meridian frequently recommends--Vanguard Total Stock Market Index Fund, PIMCO Income Fund, and a Dechert-advised offshore Cayman-domiciled feeder fund structured under Regulation S. Fuentes collected signed advisory agreements from six of the prospective clients during his São Paulo meetings, including the Oliveira Family Office, without conducting any suitability analysis or obtaining information about their investment objectives, risk tolerance, or financial circumstances prior to execution. The agreements contained no disclosures regarding the applicability of U.S. fiduciary obligations, no Form ADV Part 2A brochure was delivered, and no mention was made of potential conflicts of interest arising from Meridian's receipt of revenue-sharing payments from two of the three recommended funds. Additionally, Meridian did not evaluate whether its solicitation activities in Brazil required registration with the Comissão de Valores Mobiliários (CVM), Brazil's securities regulator, or whether the in-person meetings and distribution of Portuguese-language marketing materials in São Paulo constituted 'directed selling efforts' under Regulation S. Meridian's chief compliance officer, Angela Torres, was not informed of Fuentes's client solicitation activities in Brazil until after the agreements were signed and assets were being transferred to Meridian's custodian at Pershing LLC.

Question

Did Meridian Capital Advisors and Ricardo Fuentes comply with applicable U.S. investment adviser regulations and cross-border regulatory requirements in soliciting and onboarding Brazilian clients during the São Paulo trip?

Answer

Meridian Capital Advisors and Ricardo Fuentes committed multiple serious compliance violations spanning U.S. federal investment adviser regulation, securities offering rules, and cross-border regulatory obligations.

First, under Section 206 of the Investment Advisers Act of 1940, a registered investment adviser owes a fiduciary duty to all clients--including non-U.S. clients--once a client relationship is established. The SEC has consistently taken the position that once registered, a U.S.-based adviser must comply with the full panoply of U.S. investment adviser regulations with respect to both U.S. and non-U.S. clients. By executing advisory agreements with six Brazilian clients

without first conducting any suitability or know-your-customer analysis, Meridian breached its fiduciary duty. The suitability obligation requires that an adviser obtain sufficient information about a client's investment objectives, financial situation, and risk tolerance before making recommendations, as outlined in SEC guidance and the duty of care component of the fiduciary standard under Sections 206(1) and 206(2).

Second, Meridian violated Rule 204-3 under the Advisers Act by failing to deliver Form ADV Part 2A brochures to the prospective clients before or at the time of entering into advisory agreements. This rule requires delivery no later than the time of entering into the advisory contract, and this obligation applies regardless of the client's domicile.

Third, the failure to disclose revenue-sharing arrangements with two of the three recommended funds constitutes a material omission under Section 206(2), which prohibits any transaction, practice, or course of business that operates as a fraud or deceit upon any client. Revenue-sharing creates a direct conflict of interest that must be disclosed prominently.

Fourth, Fuentes's in-person solicitation in São Paulo, distribution of Portuguese-language marketing materials targeting Brazilian investors, and execution of advisory agreements on Brazilian soil raise significant concerns under Regulation S of the Securities Act. The distribution of fund-specific marketing materials in-country likely constitutes 'directed selling efforts' under Rule 902(c), potentially jeopardizing any Regulation S safe harbor for the Cayman feeder fund offering.

Fifth, Meridian failed to assess whether its activities triggered registration or licensing requirements with the CVM, Brazil's securities regulator, which generally requires that entities providing advisory services to Brazilian residents be locally registered or operate under an applicable exemption.

Finally, the CCO's lack of awareness of Fuentes's activities reflects a failure of supervisory procedures under Rule 206(4)-7 of the Advisers Act, which requires advisers to adopt and implement written compliance policies and procedures reasonably designed to prevent violations. The firm's compliance infrastructure failed to capture or pre-approve cross-border solicitation activity, a critical control for firms serving Latin American clients.

Key Factor

Meridian executed advisory agreements with Brazilian clients during in-person meetings in São Paulo without conducting suitability analysis, delivering required disclosures, or disclosing material conflicts of interest, while failing to evaluate local regulatory requirements--all in violation of the firm's fiduciary obligations under the Advisers Act.

Item 134 of 499**NON-COMPLIANT**

Topic: investment_adviser_fiduciary_duty_vs_broker_dealer_standard

Difficulty: hard

Standard: Regulation Best Interest (Exchange Act Rule 15l-1(a)(2)(i)-(iv)); Investment Advisers Act §206; FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); SEC Form CRS (Rule 17a-14)

Source: 09_Law_Firm_Memos

Fact Pattern

Greenleaf Wealth Partners LLC is a dually registered firm -- registered as both an investment adviser under the Investment Advisers Act of 1940 and as a broker-dealer with FINRA. Marcus Holloway, a 58-year-old representative of Greenleaf, holds both Series 7 and Series 66 licenses. In March 2023, Holloway onboarded a new client, Dorothy Kessler, a 72-year-old retired schoolteacher with a \$1.2 million IRA rollover from her former employer's 403(b) plan and approximately \$340,000 in a taxable brokerage account. Kessler's stated investment objectives were capital preservation and income generation, with a moderate risk tolerance. She told Holloway during their initial meeting that she relied on this money to fund her retirement living expenses of approximately \$5,800 per month.

Holloway opened a discretionary advisory account for Kessler's IRA assets under Greenleaf's wrap-fee advisory program, charging an annual fee of 1.45% on assets under management. For the taxable brokerage account, however, Holloway recommended a commission-based arrangement and characterized the relationship as a standard brokerage account subject to Reg BI rather than a fiduciary standard. During the first six months, Holloway made 47 trades in the brokerage account, generating \$28,400 in commissions -- an annualized cost-to-equity ratio of approximately 16.7%. The trades consisted primarily of Class A mutual fund shares in aggressive growth funds and speculative small-cap equities, none of which aligned with Kessler's stated conservative objectives. Holloway did not document any change in Kessler's investment profile or risk tolerance, nor did he provide updated Form CRS or Reg BI disclosure at the point of any recommendation.

When Kessler's brokerage account declined by \$67,000 (approximately 19.7%) over eight months, she complained to Greenleaf's chief compliance officer, Linda Matsuda. Matsuda reviewed the account but concluded that because the brokerage account was subject only to Reg BI -- not the Advisers Act fiduciary standard -- and the trades were individually suitable at the time of recommendation, no violation had occurred. Matsuda took no further action, did not escalate the complaint, and did not review whether the totality of Holloway's conduct might give rise to a de facto advisory relationship or fiduciary obligation under common law or the Advisers Act.

Question

Did Holloway and Greenleaf violate their regulatory obligations -- under both Reg BI and potential fiduciary duty standards -- in their handling of Kessler's taxable brokerage account, and was Matsuda's compliance determination adequate?

Answer

Holloway and Greenleaf violated multiple regulatory obligations, and Matsuda's compliance determination was materially deficient.

First, under Regulation Best Interest (Exchange Act Rule 15l-1), a broker-dealer must act in the best interest of a retail customer at the time a recommendation is made, without placing the financial or other interest of the broker-dealer

ahead of the customer's interest. Reg BI has four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. Holloway failed the Care Obligation (Rule 15l-1(a)(2)(ii)) because the aggressive growth funds and speculative small-cap equities were plainly inconsistent with Kessler's stated objectives of capital preservation and income generation and her moderate risk tolerance. While Reg BI evaluates recommendations at the point of each transaction, FINRA and SEC guidance make clear that a pattern of recommendations -- here, 47 trades in six months with an annualized cost-to-equity ratio of 16.7% -- can evidence excessive trading that is not in the customer's best interest. An annualized cost-to-equity ratio above 6% has historically been treated by FINRA arbitration panels and courts as presumptive evidence of churning or excessive trading, even under the old suitability standard of FINRA Rule 2111.

Second, Holloway failed the Disclosure Obligation (Rule 15l-1(a)(2)(i)) by not providing updated Form CRS or point-of-sale Reg BI disclosures with each new recommendation, particularly given the shift toward increasingly aggressive and speculative positions that conflicted with the documented investor profile.

Third, and critically, as Brodsky's chapter emphasizes, courts may look beyond the formal label of a relationship. Where a registered representative of a dually registered firm exercises de facto discretion, provides ongoing advice, and the customer reposes trust and confidence -- as a 72-year-old retiree relying on these assets for living expenses clearly does -- courts have found a fiduciary relationship exists under common law and potentially under Section 206 of the Investment Advisers Act. Holloway's pattern of continuous, unsolicited trading in Kessler's account without meaningful client direction is functionally indistinguishable from discretionary management, potentially elevating his duty to that of a fiduciary regardless of account documentation.

Finally, Matsuda's compliance review was inadequate under FINRA Rule 3110 (Supervision), which requires member firms to establish and maintain a system to supervise the activities of each associated person that is reasonably designed to achieve compliance. Dismissing the complaint solely because the account was labeled as brokerage -- without examining the totality of the trading pattern, the cost-to-equity ratio, or whether a de facto advisory relationship had formed -- constitutes a supervision failure. The firm's Compliance Obligation under Reg BI (Rule 15l-1(a)(2)(iv)) independently required written policies and procedures reasonably designed to achieve compliance with the Care and Disclosure Obligations, which plainly were not followed here.

Key Factor

Holloway executed 47 commission-generating trades with a 16.7% annualized cost-to-equity ratio in speculative securities directly contrary to a 72-year-old retiree's documented conservative objectives, while the firm's compliance officer failed to evaluate the trading pattern or the potential existence of a de facto fiduciary relationship.

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NON-COMPLIANT

Topic: suitability_and_fiduciary_duty_ria

Difficulty: hard

Standard: Investment Advisers Act of 1940 §§206(1), 206(2); Rule 206(4)-7 (Compliance Policies and Procedures); Rule 204-2(a)(7) (Recordkeeping); FINRA Regulatory Notice 09-31 (Non-Traditional ETFs); SEC guidance on fiduciary duty of care and loyalty for registered investment advisers

Source: 09_Law_Firm_Memos

Fact Pattern

Wefea Capital LLC is a state-registered investment adviser based in New York with approximately \$85 million in regulatory assets under management. Hariharan Iyer serves as the firm's principal, sole portfolio manager, and Chief Compliance Officer. The firm adopted its Investment Advisor Compliance Policy Manual on January 25, 2021, which contains policies on rendering suitable investment advice, conflicts of interest, trading, and supervision. Under Section 9 of the manual, the firm committed to assessing client investment objectives, risk tolerance, financial situation, and time horizon before making recommendations.

In March 2023, Wefea Capital onboarded Margaret Donnelly, a 72-year-old retired schoolteacher from Westchester County, New York, with a \$1.2 million IRA rollover from TIAA. Mrs. Donnelly's signed client profile indicated conservative risk tolerance, an income-oriented investment objective, a 7-10 year time horizon, and limited investment experience beyond target-date retirement funds. Her annual income from Social Security and a small pension was approximately \$48,000, and the IRA represented roughly 85% of her liquid net worth. The advisory agreement specified a 1.25% annual management fee and granted Wefea Capital discretionary authority over the account.

Between April and September 2023, Iyer allocated approximately 62% of Mrs. Donnelly's portfolio (\$744,000) to a concentrated position in three micro-cap technology stocks--NovaTech Solutions (NVTs), Qubit Dynamics Inc. (QBDI), and FusionGrid Corp. (FSGC)--none of which paid dividends and all of which had market capitalizations below \$200 million and beta values exceeding 1.8. An additional 18% (\$216,000) was placed in a leveraged ETF tracking the NASDAQ-100 (ProShares UltraPro QQQ, ticker TQQQ). Only the remaining 20% was allocated to investment-grade bonds and a money market fund. By December 2023, the portfolio had declined approximately 38%, losing roughly \$456,000 in value. Mrs. Donnelly's daughter, a CPA, reviewed the account statements and filed a written complaint with the firm in January 2024. Iyer, acting in his dual capacity as CCO and portfolio manager, reviewed and responded to the complaint himself, concluding that the allocations were appropriate given 'long-term growth potential.' No independent review of the complaint was conducted, and the complaint was not logged in a formal complaint register as contemplated by Section 8 of the compliance manual.

Question

Did Wefea Capital LLC and Hariharan Iyer breach their fiduciary duty and internal compliance obligations under the Investment Advisers Act and the firm's own compliance manual with respect to the management of Margaret Donnelly's account?

Answer

Yes, Wefea Capital LLC and Hariharan Iyer committed multiple violations of both federal fiduciary standards and the firm's own compliance policies. The analysis proceeds on several grounds.

First, under Section 206(1) and 206(2) of the Investment Advisers Act of 1940, an investment adviser owes a fiduciary duty to its clients, which encompasses duties of care and loyalty. The duty of care requires that investment advice and portfolio management be suitable and in the client's best interest, considering the client's stated objectives, risk tolerance, financial circumstances, and time horizon. Allocating 62% of a 72-year-old conservative retiree's IRA--representing 85% of her liquid net worth--to speculative micro-cap equities with no income component, plus an additional 18% to a triple-leveraged ETF (TQQQ), is fundamentally incompatible with a conservative, income-oriented mandate. Leveraged ETFs like TQQQ are designed for short-term tactical trading and are widely recognized by regulators, including in FINRA Regulatory Notice 09-31 and SEC staff guidance, as unsuitable for long-term holding in retail retirement accounts due to compounding risk and volatility decay. This allocation pattern constitutes a breach of the duty of care under Section 206(2) and potentially a fraudulent or deceptive act under Section 206(1) given the magnitude of the departure from the client's documented profile.

Second, the firm's own compliance manual, Section 9 (Rendering Suitable Investment Advice), requires assessment of suitability factors prior to making investment decisions. The facts demonstrate that Iyer disregarded every documented suitability parameter. Under SEC and state regulatory expectations, an adviser's written policies and procedures adopted under Rule 206(4)-7 of the Advisers Act create an enforceable compliance framework; systematic deviation from those policies constitutes a violation of Rule 206(4)-7.

Third, the supervision structure is fatally compromised. Under Section 5.1 of the manual and Rule 206(4)-7, the CCO must provide independent oversight. Iyer's dual role as sole portfolio manager and CCO--without any independent compliance review mechanism--meant there was no meaningful supervisory check on his investment decisions. This structural deficiency is precisely the kind of inadequacy the SEC has cited in enforcement actions such as *In re Sands Brothers Asset Management, LLC*.

Fourth, Iyer's self-review and dismissal of Mrs. Donnelly's complaint, without independent escalation or formal logging as required by Section 8 of the manual, violates the firm's own complaint-handling procedures and further evidences a breakdown in compliance infrastructure. The absence of a complaint register undermines recordkeeping obligations under Rule 204-2(a)(7) of the Advisers Act.

No credible defense exists that 'long-term growth potential' justified the allocation for this client. The suitability determination is client-specific, not product-specific, and the documented profile unambiguously precluded speculative, high-volatility, non-income-producing positions of this magnitude.

Key Factor

Iyer allocated over 80% of a conservative 72-year-old retiree's IRA to speculative micro-cap stocks and a triple-leveraged ETF in direct contradiction of her documented conservative, income-oriented investment objectives and risk tolerance.

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NON-COMPLIANT

Topic: state_fiduciary_duty_broker_dealer_preemption

Difficulty: hard

Standard: Massachusetts Fiduciary Conduct Standard, 950 CMR 12.207; SEC Regulation Best Interest, 17 C.F.R. § 240.15l-1; Securities Exchange Act § 15(i) (15 U.S.C. § 78o(i)); Wyeth v. Levine, 555 U.S. 555 (2009); Patsos v. First Albany Corp., 741 N.E.2d 841 (Mass. 2001); Goldberg v. Bd. of Health of Granby, 830 N.E.2d 207 (Mass. 2005)

Source: 10_Academic_Articles

Fact Pattern

Apex Trading Securities, LLC ('Apex') is a broker-dealer registered in Massachusetts and with FINRA since 2018. Apex operates a mobile-first trading platform marketed primarily to retail investors between the ages of 18 and 30. The platform uses a commission-free model, generating approximately 78% of its \$42 million annual revenue from payment for order flow ('PFOF') arrangements with three wholesale market makers. Apex's platform features include push notifications highlighting trending stocks, a 'Top Movers' leaderboard showing daily percentage gainers, confetti animations upon trade execution, and a 'Scratch-Off' feature that awards free fractional shares for frequent trading activity.

In March 2023, Marcus Delgado, a 22-year-old part-time college student in Worcester, Massachusetts, opened an Apex brokerage account with an initial deposit of \$1,200. Marcus indicated on his new account form that he had no prior investment experience, an annual income of \$18,000 from part-time employment, liquid net worth of \$3,500, and a 'moderate' risk tolerance. Despite these modest financial circumstances, Apex's platform approved Marcus for Level 2 options trading within 48 hours of account opening based on an automated approval algorithm. Between March and August 2023, Marcus executed 847 trades, including 214 short-term options trades on volatile single-name equities such as AMC Entertainment and GameStop. The push notifications he received averaged 14 per day, often triggered by after-hours price movements. By August 2023, Marcus had lost \$9,400 -- more than his entire liquid net worth -- including \$6,100 in losses from expired options contracts.

On September 12, 2023, the Massachusetts Securities Division, acting under Secretary of the Commonwealth's authority, filed an administrative complaint against Apex alleging violations of the Massachusetts Fiduciary Conduct Standard (950 CMR 12.207), which became effective on September 1, 2020. The Division alleged that Apex failed to act in the best interest of Marcus and similarly situated Massachusetts customers by: (1) deploying game-like platform features ('gamification') that incentivized excessive and unsuitable trading; (2) approving options trading for a customer whose financial profile was inconsistent with such complex instruments; and (3) prioritizing PFOF revenue over customer welfare. Apex responded by filing suit in Suffolk Superior Court, arguing that the Massachusetts fiduciary rule was preempted by SEC Regulation Best Interest (Reg BI) and that the Secretary lacked authority to impose a fiduciary standard on broker-dealers beyond what federal law requires.

Question

Did Apex Trading Securities violate the Massachusetts Fiduciary Conduct Standard (950 CMR 12.207), and does federal Regulation Best Interest preempt Massachusetts from imposing a fiduciary duty on broker-dealers?

Answer

Apex Trading Securities likely violated the Massachusetts Fiduciary Conduct Standard, and the state fiduciary rule is

not preempted by federal Regulation Best Interest.

First, on the merits of the state fiduciary standard: 950 CMR 12.207(1) requires that broker-dealers and their agents, when making recommendations to retail customers, act in a manner consistent with a fiduciary duty, including the obligation to act in the customer's best interest without placing the broker-dealer's financial interest ahead of the customer's. The regulation encompasses both specific recommendations and the broader conduct environment in which customers make investment decisions.

Apex's conduct fails this standard on multiple grounds. The gamification features -- confetti animations, scratch-off rewards, and aggressive push notifications averaging 14 per day -- constitute a deliberate design architecture that encouraged frequent, speculative trading by an inexperienced investor. These features functionally serve as implicit recommendations to trade, and they were deployed without any consideration of Marcus Delgado's best interest. Marcus's customer profile -- no investment experience, \$18,000 income, \$3,500 liquid net worth, and stated moderate risk tolerance -- was fundamentally inconsistent with Level 2 options trading on volatile meme stocks. The automated approval algorithm that granted options access within 48 hours, without meaningful human review of his financial circumstances, demonstrates a systemic failure to discharge the care obligation embedded in 950 CMR 12.207(2)(a). The \$9,400 loss exceeding his entire liquid net worth is powerful evidence that the platform's design prioritized Apex's PFOF revenue over Marcus's financial welfare, violating the conflict-of-interest provisions under 950 CMR 12.207(2)(b).

Second, on preemption: As the NASAA amicus brief in *Robinhood v. Galvin* extensively argues, and as supported by *Wyeth v. Levine*, 555 U.S. 555 (2009), there is a strong presumption against federal preemption of state law, particularly in fields traditionally regulated by the states. Securities regulation is a domain of concurrent federal-state authority. Section 15(i) of the Securities Exchange Act of 1934, as amended by the National Securities Markets Improvement Act of 1996, preserves state authority to bring enforcement actions and to regulate broker-dealer conduct, even if state standards differ from -- or exceed -- federal requirements. Reg BI itself, adopted under 17 C.F.R. § 240.15l-1, does not contain an express preemption clause, and the SEC's adopting release explicitly acknowledged that states retain authority to impose additional or higher standards. The absence of a direct conflict is further confirmed by the fact that compliance with the Massachusetts fiduciary rule does not make it impossible to comply with Reg BI; it simply requires more. Apex's argument that the fiduciary rule reduces investor choice by potentially driving firms from the Massachusetts market is speculative and insufficient to establish implied conflict preemption, as the NASAA brief persuasively demonstrates. Accordingly, Apex's preemption defense fails, and the Massachusetts Securities Division has both the statutory authority and the factual basis to pursue enforcement.

Key Factor

Apex's deployment of gamification features and automated options approval for an inexperienced, low-net-worth customer demonstrates that the firm systematically prioritized its own PFOF revenue over the customer's best interest in violation of the Massachusetts fiduciary standard.

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NON-COMPLIANT

Topic: excessive_trading_churning_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 3260 (Discretionary Accounts); SEC Regulation Best Interest 17 CFR § 240.15l-1(a)(2)(ii)-(iv); SEC Rule 15c1-7 (Churning); FINRA Regulatory Notice 12-25

Source: 10_Academic_Articles

Fact Pattern

Marcus Delgado is a registered representative at Pinnacle Securities, LLC, a mid-size FINRA member broker-dealer headquartered in Dallas, Texas. In January 2022, Delgado opened a brokerage account for Patricia Hwan, a 62-year-old recently retired middle school teacher with a \$410,000 rollover IRA from her TIAA pension. Hwan's new account form listed her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' her annual income as \$38,000 (Social Security plus a small rental property), her liquid net worth as \$475,000, her investment experience as 'limited,' and her time horizon as '10+ years.' Hwan signed a standard brokerage agreement granting Delgado discretionary authority to execute trades without prior approval, though no separate written discretionary authorization was filed with the firm's compliance department as required by Pinnacle's internal procedures.

Between January 2022 and December 2023, Delgado executed 347 round-trip trades in Hwan's account, primarily in mid-cap technology and biotech equities. The account's annualized turnover ratio was 8.4, and the cost-to-equity ratio (the amount the account needed to earn just to break even after commissions and fees) was 24.6%. Over this period, Hwan's account generated \$101,200 in commissions and \$7,850 in margin interest charges for Pinnacle. The account's net value declined from \$410,000 to \$296,400 -- a loss of \$113,600, or 27.7% -- while the S&P 500 returned approximately 2.1% over the same period. Internal compliance surveillance reports flagged the account in June 2022 after only five months, noting the elevated turnover ratio and commission-to-equity ratio, but the branch manager, who received an override on Delgado's commissions, marked the exception as 'resolved -- client aware of active trading strategy' without documenting any client contact.

When Hwan finally reviewed her December 2023 statement and confronted Delgado, he told her the high volume of trading was necessary to 'take advantage of short-term momentum signals' and that 'sophisticated investors understand the market requires active participation.' Delgado pointed to three profitable trades in Nvidia and Moderna as evidence that his strategy was working. He also referenced academic research suggesting that some investors prefer the excitement of frequent trading and that Hwan had 'seemed enthusiastic' during their quarterly phone calls. Hwan filed a FINRA arbitration claim in February 2024, alleging churning, unsuitability, breach of fiduciary duty under the discretionary account, and failure to supervise against both Delgado and Pinnacle.

Question

Did Delgado's pattern of trading in Hwan's IRA account constitute churning and violate applicable FINRA rules, Reg BI, and supervisory obligations, and what are the likely outcomes of Hwan's arbitration claims?

Answer

Delgado's conduct almost certainly constitutes churning and violates multiple regulatory standards. The analysis proceeds element by element.

****Churning under FINRA Rule 2111 (Suitability) and SEC Rule 15c1-7:**** Churning requires (1) control over the account by the broker, (2) excessive trading in light of the customer's objectives and profile, and (3) scienter (intent to defraud or reckless disregard). Here, Delgado exercised de facto discretionary control -- Hwan granted discretionary authority and had limited investment experience, creating classic functional control. The quantitative metrics are dispositive: an annualized turnover ratio of 8.4 far exceeds the widely accepted threshold of 4-6 that FINRA enforcement actions and arbitration panels treat as presumptively excessive (see FINRA Regulatory Notice 12-25; *Costello v. Oppenheimer*, 711 F.2d 1361 (7th Cir. 1983)). The cost-to-equity ratio of 24.6% means the account needed to generate nearly 25% annual returns merely to break even -- an unrealistic hurdle for any moderate-risk income-oriented portfolio. Scienter is inferable from the sheer volume of commissions (\$101,200) relative to account size, Delgado's financial incentive, and his disregard of the compliance flag.

****Regulation Best Interest (17 CFR § 240.15l-1):**** Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), Delgado was required to exercise reasonable diligence, care, and skill to ensure his recommendations were in Hwan's best interest, considering her investment profile. A 62-year-old retiree with limited income and moderate risk tolerance has no reasonable basis for a hyper-active mid-cap tech/biotech trading strategy. Reg BI's Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)) further required Pinnacle to establish policies to mitigate the incentive created by per-trade commissions -- the branch manager's override commission compounded this failure.

****FINRA Rule 3110 (Supervision):**** Pinnacle's supervisory system failed. The June 2022 surveillance alert was effectively buried. Marking an exception as 'resolved' without documented client contact or meaningful review violates FINRA Rule 3110(b)(2), which requires written supervisory procedures be reasonably designed to achieve compliance. The branch manager's financial conflict (commission override) further taints the supervisory review.

****Discretionary Account Violations:**** FINRA Rule 3260 requires written authorization filed with the firm for discretionary accounts, plus supervisory acceptance. Pinnacle's compliance department never received the requisite documentation, making every discretionary trade an independent violation.

****Defenses:**** Delgado's argument that Hwan 'seemed enthusiastic' mirrors the behavioral finding in the underlying research that overconfidence and gambling preference drive excessive trading -- but investor enthusiasm does not relieve a broker of suitability or best interest obligations. Three profitable trades out of 347 do not demonstrate strategy soundness.

****Likely Outcome:**** Hwan will prevail on churning, Reg BI, and failure-to-supervise claims. Damages will likely include net losses (\$113,600), excess commissions, margin interest, and potentially punitive damages or attorneys' fees given the egregiousness of the conduct and supervisory breakdown.

Key Factor

An annualized turnover ratio of 8.4 and a cost-to-equity ratio of 24.6% in a moderate-risk retiree IRA, combined with a buried compliance exception by a conflicted branch manager, establish textbook churning and supervisory failure.

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NON-COMPLIANT

Topic: day_trading_suitability_reg_bi

Difficulty: hard

Standard: SEC Regulation Best Interest (Rule 15l-1) -- Care, Disclosure, and Conflict of Interest Obligations; FINRA Rule 2111 (Suitability); FINRA Rule 2210 (Communications with the Public); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor); Exchange Act §15(l)

Source: 10_Academic_Articles

Fact Pattern

Marcus Whitfield is a registered representative at Pinnacle Securities LLC, a FINRA-member broker-dealer. In March 2024, he opens a new account for Linda Choi, a 62-year-old recently retired elementary school teacher from Raleigh, North Carolina. Ms. Choi has a total liquid net worth of approximately \$340,000, consisting primarily of her 403(b) rollover IRA (\$285,000) and a savings account (\$55,000). She has no prior experience trading futures, options, or any leveraged products, and her stated investment objective on her new account form is 'income and capital preservation' with a 'moderate' risk tolerance. She tells Whitfield she needs this money to supplement her pension and Social Security over the next 25 years.

During their second meeting in April 2024, Whitfield shows Ms. Choi a marketing brochure he personally created titled 'Unlock Profits with Day Trading Futures.' The brochure highlights selected success stories and states that 'experienced futures day traders consistently generate returns exceeding 40% annually.' The brochure does not mention any academic research on the profitability of day trading, nor does it disclose that studies -- including SEC investigations and peer-reviewed research such as Barber, Lee, Liu, and Odean (2009, 2012) and Jordan and Diltz (2003) -- have found that the vast majority of individual day traders lose money after transaction costs, and that only a small fraction of beginners ever earn positive net returns.

Relying on Whitfield's representations, Ms. Choi agrees to allocate \$150,000 from her IRA into a futures day-trading strategy managed on a non-discretionary basis by Whitfield. Over the following six months (May-October 2024), Whitfield executes an average of 12 round-trip E-mini S&P 500 futures trades per day in her account. Total commissions and fees charged to the account during this period amount to \$47,200. By the end of October 2024, her account has declined to \$78,400, representing a total loss of \$71,600 (47.7% of the initial allocation). Whitfield earned \$31,800 in personal commissions from the activity.

Pinnacle Securities' compliance department had approved the marketing brochure without requiring balanced disclosure of the risks and academic evidence regarding day-trading profitability. The firm's supervisory procedures for futures accounts did not include any enhanced suitability review for retail customers over age 60 or for customers with no prior derivatives experience.

Question

Did Marcus Whitfield and Pinnacle Securities violate Regulation Best Interest, FINRA suitability rules, and supervisory obligations by recommending and facilitating a leveraged futures day-trading strategy for Linda Choi?

Answer

Yes, both Whitfield and Pinnacle Securities committed multiple serious violations.

****Regulation Best Interest (SEC Rule 15l-1, Exchange Act §15(l)):** Reg BI requires that a broker-dealer and its associated persons, when making a recommendation to a retail customer, act in the customer's best interest without placing their own financial interest ahead of the customer's. Reg BI has four component obligations -- Disclosure, Care, Conflict of Interest, and Compliance.

Under the Care Obligation (Rule 15l-1(a)(2)(ii)), Whitfield was required to exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and to have a reasonable basis to believe the recommendation was in Ms. Choi's best interest considering her investment profile. Ms. Choi is a 62-year-old retiree with no derivatives experience, moderate risk tolerance, an income/preservation objective, and a need for these assets over decades. A well-established body of academic research -- including the findings cited in Barber, Lee, Liu, and Odean (2009, 2012) and Jordan and Diltz (2003) -- demonstrates that the vast majority of individual day traders lose money, particularly after transaction costs. Recommending a high-frequency leveraged futures strategy consuming \$47,200 in commissions in six months is fundamentally incompatible with her profile. No reasonable basis existed for this recommendation.

Under the Disclosure Obligation (Rule 15l-1(a)(2)(i)), the firm's brochure was materially misleading. It cherry-picked success stories, omitted widely available empirical evidence that most day traders fail, and quoted a 40% return figure without adequate basis. This violates the obligation to disclose material facts relating to conflicts of interest and the scope of the recommendation.

Under the Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)), neither Whitfield nor the firm adequately identified, disclosed, or mitigated the conflict arising from the commission structure that incentivized excessive trading.

****FINRA Rules:** FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and quantitative suitability. The recommendation fails all three prongs. FINRA Rule 2010 (Standards of Commercial Honor) is also implicated by the misleading marketing material. FINRA Rule 3110 (Supervision) required Pinnacle to establish and maintain a supervisory system reasonably designed to achieve compliance. Approving the brochure without balanced risk disclosure and failing to implement enhanced review procedures for elderly, inexperienced clients in leveraged products constitutes a supervisory failure.

****FINRA Rule 2210 (Communications with the Public):** The brochure constitutes a retail communication that must be fair, balanced, and not misleading. The omission of material risk information and unsupported performance claims violate Rule 2210(d)(1).

The pivotal facts are Ms. Choi's complete inexperience with derivatives, her retirement-income dependence, and the overwhelming academic consensus that individual day traders -- particularly novices -- lose money after costs. Whitfield's personal commission of \$31,800 underscores the conflict. No defense of customer consent cures a Reg BI Care Obligation failure where the recommendation itself lacks a reasonable basis.

Key Factor

Recommending a leveraged futures day-trading strategy -- which academic evidence shows is unprofitable for the vast majority of individual traders -- to a 62-year-old retiree with no derivatives experience, moderate risk tolerance, and a capital-preservation objective, while using misleading marketing materials that omitted these well-documented risks, violated both the Care and Disclosure Obligations of Reg BI.

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NON-COMPLIANT

Topic: reg_bi_state_fiduciary_preemption

Difficulty: hard

Standard: Regulation Best Interest, Rule 15l-1(a)(2)(iii) (Conflict of Interest Obligation); Reg BI Adopting Release (SEC Release No. 34-86031); Exchange Act Section 15(l); Dodd-Frank Act Section 913; Massachusetts Fiduciary Conduct Standard, 950 CMR 12.207; FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision)

Source: 10_Academic_Articles

Fact Pattern

Marcus Delgado is a registered representative at Ridgeline Securities, LLC, a broker-dealer dually registered with the SEC and FINRA. Ridgeline operates branches in New Jersey, Massachusetts, and Nevada. In March 2023, Marcus recommended that his client, Teresa Hawkins -- a 62-year-old recently widowed schoolteacher in Massachusetts with \$410,000 in rollover IRA assets and a moderate risk tolerance -- liquidate her existing diversified index fund portfolio and reinvest the proceeds into a suite of proprietary variable annuities issued by Ridgeline's insurance affiliate, Ridgeline Life Insurance Co. The annuity products carried a 7-year surrender charge schedule starting at 7%, an annual mortality and expense charge of 1.45%, and an additional rider fee of 0.85% for a guaranteed minimum income benefit. Marcus's total compensation on the transaction was \$24,600 in upfront commissions (6% load), plus an ongoing 25-basis-point trail. Ridgeline's compliance department had completed a Reg BI-compliant Care Obligation review, documented a reasonable basis for the recommendation citing Teresa's desire for 'guaranteed retirement income,' and delivered the required Form CRS. However, Marcus did not disclose that he was participating in Ridgeline's 'President's Club' incentive trip program, which awarded an all-expenses-paid trip to Bermuda for representatives whose proprietary annuity sales exceeded \$500,000 in the calendar quarter. Teresa's purchase brought Marcus to \$512,000 for Q1 2023, qualifying him for the trip. Furthermore, Massachusetts had adopted its own fiduciary conduct standard for broker-dealers effective March 2020, which requires broker-dealers serving Massachusetts residents to act in a fiduciary capacity, including a duty to avoid or fully mitigate material conflicts of interest -- a standard that goes beyond Reg BI's disclosure-based conflict approach. Ridgeline's legal department took the position that the Massachusetts rule was preempted by Reg BI and instructed representatives to comply only with the federal standard. When the Massachusetts Securities Division opened an examination of Ridgeline's Boston branch in September 2023, examiners flagged Marcus's transaction with Teresa as potentially violating both Reg BI and the state fiduciary standard.

Question

Did Marcus Delgado and Ridgeline Securities violate Reg BI and/or the Massachusetts fiduciary conduct standard in connection with the annuity recommendation to Teresa Hawkins, and can Ridgeline successfully assert that Reg BI preempts the Massachusetts rule?

Answer

Marcus and Ridgeline likely violated both Reg BI and the Massachusetts fiduciary conduct standard, and Ridgeline's preemption defense is unlikely to succeed.

Under Reg BI (Rule 15l-1 under the Exchange Act), a broker-dealer must satisfy four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. While Ridgeline appears to have satisfied the Care Obligation by documenting a reasonable basis for the recommendation and delivered Form CRS as required by the Disclosure

Obligation, the firm almost certainly violated the Conflict of Interest Obligation under Rule 15l-1(a)(2)(iii). That provision requires broker-dealers to establish, maintain, and enforce written policies and procedures reasonably designed to identify and, at a minimum, disclose or eliminate material conflicts of interest associated with recommendations. Critically, Reg BI specifically addresses sales contests, quotas, and similar incentive arrangements. The SEC's adopting release explicitly states that firms must eliminate sales contests, sales quotas, bonuses, and non-cash compensation that are based on the sale of specific securities or specific types of securities within a limited time period. Ridgeline's President's Club incentive trip, which rewarded proprietary annuity sales exceeding a quarterly threshold, is precisely the type of incentive arrangement the SEC intended to prohibit. Marcus's nondisclosure of this incentive further compounds the Disclosure Obligation violation, as the conflict was material to Teresa's understanding of why the recommendation was made.

Regarding the Massachusetts fiduciary conduct standard (950 CMR 12.207), the state rule imposes a duty to act in the customer's best interest and requires mitigation -- not merely disclosure -- of material conflicts. Ridgeline's failure to mitigate the President's Club conflict, and its instruction to comply only with federal standards, represents a direct violation of Massachusetts law.

On preemption, Melkonyan's analysis in this article is directly on point. Section 913 of the Dodd-Frank Act, which authorized (but did not mandate) the SEC to adopt a uniform fiduciary standard, contains a savings clause preserving state authority. The SEC's own adopting release for Reg BI acknowledges that it does not displace state law and establishes a regulatory floor rather than a ceiling. Obstacle preemption -- the theory most applicable here -- requires showing that the state law stands as an obstacle to accomplishing congressional objectives. Because Congress in Dodd-Frank expressly preserved state authority and did not mandate federal exclusivity, the Massachusetts fiduciary standard, which imposes a more rigorous duty, would not be preempted. Ridgeline's legal position that Reg BI preempts the Massachusetts rule is legally unsound and does not constitute a viable defense.

In sum, Marcus and Ridgeline violated both the federal Conflict of Interest Obligation under Reg BI and the Massachusetts fiduciary standard, and they face enforcement exposure on both fronts.

Key Factor

Ridgeline maintained a quarterly sales contest (President's Club incentive trip) tied to proprietary annuity sales, which Reg BI's Conflict of Interest Obligation explicitly requires firms to eliminate, and failed to disclose or mitigate this conflict under either federal or Massachusetts law.

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NON-COMPLIANT

Topic: erisa_esg_fiduciary_duty

Difficulty: hard

Standard: ERISA § 404(a)(1)(A)-(B) (29 U.S.C. § 1104(a)(1)(A)-(B)) (duties of loyalty and prudence); ERISA § 406(b)(1) (29 U.S.C. § 1106(b)(1)) (prohibited transactions--self-dealing); 29 C.F.R. § 2550.404a-1 (DOL 2022 Prudence and Loyalty Rule); ERISA § 3(38) (29 U.S.C. § 1002(38)) (investment manager fiduciary status)

Source: 10_Academic_Articles

Fact Pattern

Greenfield Capital Management, LLC serves as the named investment manager under ERISA § 3(38) for the Midwest Industrial Workers Pension Fund, a multiemployer defined benefit plan with approximately 12,400 participants and \$1.82 billion in assets as of December 31, 2024. The plan's Investment Policy Statement (IPS), last amended in March 2022, directs fiduciaries to 'maximize risk-adjusted returns consistent with the plan's actuarial assumptions and liability structure,' which assumes a 6.75% long-term rate of return.

In January 2025, Greenfield's Chief Investment Officer, Marcus Holt, CFA, directed a strategic reallocation of approximately \$274 million--roughly 15% of plan assets--from a diversified portfolio of domestic large-cap equities and investment-grade fixed income into a suite of ESG-themed funds. The reallocated funds included the Verdant Climate Transition Equity Fund (expense ratio 0.82%, compared to 0.04% for the replaced S&P 500 index fund), the Clean Energy Infrastructure Credit Fund (expense ratio 1.15%, compared to 0.18% for the replaced Vanguard Total Bond Market fund), and the Global Carbon Reduction Leaders ETF (expense ratio 0.67%). Holt did not commission or document any independent financial analysis comparing the expected risk-adjusted returns of the ESG-themed funds against the replaced holdings. Internal emails between Holt and Greenfield's head of business development, Priya Nair, reference Greenfield's intention to 'position the firm as a leader in sustainable investing for institutional clients' and note that the ESG fund suite generates approximately \$1.95 million per year in additional sub-advisory revenue for Greenfield through revenue-sharing arrangements with the ESG fund sponsors.

The plan's Board of Trustees was presented with a two-page summary of the reallocation at their February 2025 meeting, which described the ESG funds as 'aligned with long-term value creation and risk mitigation in a carbon-constrained economy.' No quantitative comparison of fees, historical performance, or projected returns was provided to the trustees. By September 2025, the ESG-themed allocation had underperformed the replaced holdings by approximately 310 basis points, contributing to an estimated \$8.5 million shortfall against the plan's actuarial benchmark for the period.

A participant, retired pipefitter Gerald Dombrowski, age 71, receiving \$2,840 per month in pension benefits, filed a complaint with the Department of Labor alleging that the reallocation was motivated by Greenfield's commercial interests rather than the exclusive benefit of plan participants.

Question

Did Greenfield Capital Management breach its fiduciary duties under ERISA by reallocating \$274 million of pension assets into higher-cost ESG-themed funds without documented financial justification and while receiving additional revenue-sharing fees from the fund sponsors?

Answer

Greenfield Capital Management almost certainly breached its fiduciary duties under ERISA. The analysis proceeds under several interlocking statutory and regulatory provisions.

First, ERISA § 404(a)(1)(A) (29 U.S.C. § 1104(a)(1)(A)) imposes a duty of loyalty, requiring fiduciaries to act 'solely in the interest of the participants and beneficiaries' and 'for the exclusive purpose of providing benefits to participants and their beneficiaries.' The internal emails between Holt and Nair explicitly referencing firm positioning in the sustainable investing market and the \$1.95 million in incremental sub-advisory revenue constitute powerful evidence that the reallocation was motivated, at least in part, by Greenfield's own commercial interests rather than exclusively by the financial welfare of the 12,400 plan participants. Under ERISA's exclusive benefit rule--which is among the strictest fiduciary standards in American law--even a mixed motive is impermissible. The 'solely in the interest' language has been consistently interpreted by courts (see, e.g., *Donovan v. Bierwirth*, 680 F.2d 263 (2d Cir. 1982)) to prohibit fiduciaries from placing any weight on collateral objectives.

Second, ERISA § 404(a)(1)(B) requires fiduciaries to act 'with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use.' The DOL's 2022 final rule on 'Prudence and Loyalty in Selecting Plan Investments and Exercising Shareholder Rights' (29 C.F.R. § 2550.404a-1) permits consideration of ESG factors only where they are 'relevant to the risk-return analysis' based on 'appropriate investment horizons' and where the fiduciary's evaluation is 'consistent with their duty of prudence.' Critically, the regulation does not authorize ESG-motivated investments absent a documented, financially grounded rationale. Holt commissioned no independent financial analysis, produced no written comparison of risk-adjusted return expectations, and failed to evaluate the significantly higher expense ratios (0.82% versus 0.04%; 1.15% versus 0.18%). The two-page summary provided to trustees contained no quantitative data. This failure of process violates the procedural prudence requirement.

Third, the revenue-sharing arrangement implicates ERISA § 406(b)(1) (29 U.S.C. § 1106(b)(1)), which prohibits a fiduciary from dealing with plan assets in his own interest or for his own account. Receiving \$1.95 million in additional revenue from fund sponsors whose products were selected for the plan constitutes a classic self-dealing prohibited transaction unless a specific exemption applies.

Greenfield might argue that the ESG funds were selected for legitimate long-term risk-mitigation purposes in a carbon-constrained economy. However, the absence of any documented financial analysis fatally undermines this defense. The 310 basis point underperformance, while not dispositive in isolation, corroborates the inadequacy of the investment thesis. The pivotal facts--undocumented decision-making, self-interested revenue arrangements, and deviation from the IPS's return mandate--collectively establish breaches of loyalty, prudence, and the prohibited transaction rules.

Key Factor

Greenfield failed to document any financial analysis justifying the ESG reallocation while simultaneously receiving \$1.95 million in undisclosed revenue-sharing fees from the ESG fund sponsors, evidencing a self-interested motive incompatible with ERISA's exclusive benefit rule.

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NON-COMPLIANT

Topic: esg_fiduciary_duty_erisa

Difficulty: hard

Standard: ERISA § 404(a)(1)(A)-(B) (29 U.S.C. § 1104(a)(1)(A)-(B)); DOL Final Rule 29 C.F.R. § 2550.404a-1 (Prudence and Loyalty in Selecting Plan Investments, effective January 30, 2023); *Tibble v. Edison International*, 575 U.S. 523 (2015)

Source: 10_Academic_Articles

Fact Pattern

Margaret Townsend is the lead investment officer at Granite Peak Retirement Advisors, LLC, a registered investment adviser under the Investment Advisers Act of 1940 that also serves as a named fiduciary for the \$420 million Consolidated Municipal Workers' Pension Fund ('the Plan'), an ERISA-covered defined benefit pension plan based in Ohio. In January 2023, the Plan's investment policy statement (IPS) was updated to include a general directive that the fund should pursue 'long-term sustainable growth strategies,' but did not specifically authorize or prohibit ESG-based investing.

In March 2023, Townsend reallocated \$85 million -- roughly 20% of Plan assets -- from a diversified large-cap equity index fund (expense ratio: 0.03%) into the GreenHorizon ESG Leaders Fund, an actively managed mutual fund with a 0.92% expense ratio. The GreenHorizon fund screens out fossil fuel companies, tobacco manufacturers, and private prison operators, and tilts toward firms with high ESG ratings from MSCI. Townsend made this reallocation without conducting an independent analysis of whether the excluded sectors or the ESG tilt factors were material to the Plan's expected risk-adjusted returns. She did not document any comparison of the GreenHorizon fund's projected performance against the prior index fund holding, nor did she evaluate alternative ESG-integrated strategies with lower fee structures. Internal emails later revealed that Townsend was motivated primarily by her personal belief that 'climate change is the defining issue of our time' and that 'the Plan should be on the right side of history.'

By December 2023, the GreenHorizon fund had underperformed the prior index fund by 310 basis points, costing the Plan approximately \$2.6 million in relative returns. Additionally, the increased expense ratio resulted in approximately \$757,500 in additional annual fees. A Plan participant, Gerald Hoffman, age 58 and expecting to retire in 2030 with an estimated annual benefit of \$62,000, filed a complaint with the Department of Labor alleging that Townsend breached her fiduciary duties under ERISA.

Townsend defended her decision by citing the growing body of academic research linking ESG factors to long-term value creation, including studies referenced in industry white papers showing that SRI equity indexes have shown no statistical difference in long-term returns compared to broad market benchmarks. She argued that ESG integration is becoming integral to fiduciary duty and that neglecting ESG factors could itself constitute a breach.

Question

Did Margaret Townsend breach her fiduciary duties under ERISA by reallocating \$85 million of Plan assets into the higher-cost GreenHorizon ESG Leaders Fund without documenting a pecuniary-benefit analysis or evaluating lower-cost ESG alternatives?

Answer

Yes, Margaret Townsend likely breached her fiduciary duties under ERISA. The analysis proceeds under ERISA §§

404(a)(1)(A) and (B) (29 U.S.C. §§ 1104(a)(1)(A)-(B)), which impose dual obligations of loyalty and prudence on plan fiduciaries.

First, the duty of loyalty under ERISA § 404(a)(1)(A) requires that a fiduciary act 'solely in the interest of the participants and beneficiaries' and 'for the exclusive purpose of providing benefits to participants and their beneficiaries.' The Department of Labor's November 2022 final rule on 'Prudence and Loyalty in Selecting Plan Investments and Exercising Shareholder Rights' (29 C.F.R. § 2550.404a-1) permits fiduciaries to consider ESG factors, but only when those factors are relevant to a risk-return analysis -- they must be 'pecuniary factors,' meaning factors that a fiduciary prudently determines are expected to have a material effect on the risk and/or return of an investment. Townsend's internal emails reveal her primary motivation was personal conviction about climate change and a desire for the Plan to be 'on the right side of history,' not a documented determination that ESG factors would materially benefit risk-adjusted returns for Plan participants. This prioritization of personal values over pecuniary analysis is precisely the kind of conduct the DOL rule was designed to prevent.

Second, the duty of prudence under ERISA § 404(a)(1)(B) requires the fiduciary to act 'with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use.' The procedural prudence standard -- established in cases such as *Tibble v. Edison International*, 575 U.S. 523 (2015) -- demands a documented, rigorous process. Townsend failed to: (1) conduct an independent analysis of whether excluded sectors were material to expected returns; (2) compare projected risk-adjusted performance of the GreenHorizon fund against the incumbent holding; and (3) evaluate lower-cost ESG-integrated alternatives. The 0.89% fee differential alone demanded justification under the cost-consciousness principles reaffirmed in *Tibble*.

Townsend's defense -- citing academic research that SRI indexes show no statistical difference in long-term returns -- actually undermines her position. If ESG-screened strategies perform comparably, then moving to a fund charging 0.92% versus 0.03% without documenting a reasonable expectation of superior performance is imprudent on cost grounds alone. The DOL rule does not categorically prohibit ESG investing; it requires that the fiduciary's process be grounded in pecuniary analysis. The absence of contemporaneous documentation of such analysis is the pivotal failure here.

The underperformance and excess fees, while not dispositive of a breach (fiduciary duty evaluates process, not outcomes), serve as evidence that the lack of procedural diligence had tangible consequences for participants like Hoffman. Townsend's conduct constitutes a breach of both the loyalty and prudence prongs of ERISA § 404(a)(1).

Key Factor

Townsend reallocated Plan assets into a higher-cost ESG fund based on personal values without documenting a pecuniary-benefit analysis or evaluating lower-cost ESG alternatives, violating both the loyalty and procedural prudence requirements of ERISA § 404(a)(1).

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NON-COMPLIANT

Topic: reg_bi_care_obligation_high_cost_product

Difficulty: hard

Standard: SEC Regulation Best Interest, 17 CFR §240.15l-1(a)(2)(ii)(B) (Care Obligation); 17 CFR §240.15l-1(a)(2)(ii)(C) (Conflict of Interest Obligation); 17 CFR §240.15l-1(a)(2)(ii)(D) (Compliance Obligation); FINRA Rule 2111 (Suitability); Securities Exchange Act of 1934 §15l

Source: 10_Academic_Articles

Fact Pattern

Marcus Bellingham is a registered representative associated with Triton Capital Securities, LLC, a broker-dealer registered with the SEC and a FINRA member firm. On March 14, 2023, Marcus met with retail customer Linda Hargrove, a 62-year-old recently widowed schoolteacher living in Rochester, New York. Linda had just received \$485,000 from her late husband's life insurance policy and had approximately \$72,000 in an existing IRA at another institution. Linda told Marcus that she intended to retire in three years at age 65, that she had no other significant assets beyond her home (valued at approximately \$310,000 with \$95,000 remaining on the mortgage), and that she would depend on these funds, along with a modest state pension of \$2,800/month, for her retirement income. She described herself as conservative and expressed a desire for income generation and capital preservation.

After a single 45-minute meeting, Marcus recommended that Linda invest \$400,000 of her insurance proceeds into a Class B variable annuity issued by Apex Life Insurance Company -- the "Apex Growth & Income VA." This product carried a 7-year surrender charge schedule starting at 7% in year one and declining by 1% per year, annual mortality and expense charges of 1.35%, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 0.85%, for a total all-in annual cost of approximately 2.35%. The product also carried a guaranteed minimum income benefit rider costing an additional 1.10% annually. Marcus's commission on the sale was 6.5%, totaling \$26,000. Marcus did not document any consideration of reasonably available alternatives, such as lower-cost fixed annuities, bond funds, or a diversified portfolio of ETFs with total expense ratios under 0.20%. Triton Capital's product shelf included at least four lower-cost annuity products and numerous low-cost bond ETFs and target-date retirement funds.

Triton Capital had adopted written supervisory procedures referencing Reg BI compliance but had not updated its compliance review process to require documentation of alternatives considered for each recommendation. The firm's compliance department conducted only a cursory review of Marcus's annuity recommendation, checking only that the product was on the firm's approved list and that a Form CRS had been delivered. No supervisor examined whether the Care Obligation had been satisfied. Linda signed the paperwork the same day. She was not informed that the total annual costs would consume approximately \$13,800 per year on her \$400,000 investment, nor was she told that if she needed to access the funds within the first three years of retirement, she would face surrender charges of up to \$28,000.

Question

Did Marcus Bellingham and Triton Capital Securities comply with the Care Obligation and Conflict of Interest Obligation under SEC Regulation Best Interest in connection with the recommendation of the Apex Growth & Income VA to Linda Hargrove?

Answer

No. Both Marcus Bellingham and Triton Capital Securities violated Regulation Best Interest (17 CFR §240.15l-1),

specifically the Care Obligation under Rule 15l-1(a)(2)(ii)(B) and the Conflict of Interest Obligation under Rule 15l-1(a)(2)(ii)(C), as well as the Compliance Obligation under Rule 15l-1(a)(2)(ii)(D).

Care Obligation Violation: The Care Obligation requires that a broker-dealer and associated person exercise reasonable diligence, care, and skill to (1) understand the potential risks, rewards, and costs of the recommendation; (2) determine that the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation, without placing the financial or other interest of the broker-dealer ahead of the retail customer; and (3) identify and consider reasonably available alternatives. Marcus recommended a high-cost variable annuity with total annual expenses of approximately 3.45% (including the rider) to a 62-year-old conservative investor nearing retirement with limited assets and a stated need for capital preservation and income. The 7-year surrender schedule directly conflicts with Linda's 3-year retirement horizon and potential liquidity needs. Critically, Marcus failed to document -- or apparently even conduct -- any analysis of reasonably available alternatives on Triton's own product shelf, including lower-cost fixed annuities, bond ETFs, and target-date funds that would have been more consistent with Linda's stated objectives, time horizon, and risk tolerance. The SEC has emphasized that cost is a relevant factor that must be weighed, and the failure to consider alternatives is a core Care Obligation deficiency.

Conflict of Interest Obligation Violation: Marcus's \$26,000 commission (6.5%) created a material financial incentive to recommend this particular product over lower-cost alternatives. Under the Conflict of Interest Obligation, the firm must establish, maintain, and enforce written policies and procedures reasonably designed to identify and mitigate conflicts of interest that create an incentive for the associated person to place his interest ahead of the customer's interest. No evidence suggests Triton mitigated this conflict or even flagged it during supervisory review.

Compliance Obligation Violation: Triton's compliance infrastructure failed at the supervisory level. The Compliance Obligation requires firms to establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance with Reg BI as a whole. Triton's cursory review -- limited to checking product approval and Form CRS delivery -- did not address the substance of the Care Obligation. The firm's failure to require documentation of alternatives analysis is a systemic compliance deficiency.

Triton could argue the product was on its approved list and that the guaranteed income rider added value. However, Reg BI requires a recommendation-level, customer-specific analysis -- not merely product-level approval. The facts demonstrate that neither Marcus nor the firm satisfied the heightened standard Reg BI imposes beyond legacy FINRA Rule 2111 suitability.

Key Factor

Marcus failed to document or conduct any analysis of reasonably available lower-cost alternatives before recommending a high-cost, illiquid variable annuity to a conservative, near-retirement retail customer, while earning a \$26,000 commission on the transaction.

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NON-COMPLIANT

Topic: reg_bi_transactional_vs_fiduciary_ongoing_duty

Difficulty: hard

Standard: Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), specifically Rule 15l-1(a)(2)(i) Disclosure Obligation, Rule 15l-1(a)(2)(ii) Care Obligation, Rule 15l-1(a)(2)(iii) Conflict of Interest Obligation, Rule 15l-1(a)(2)(iv) Compliance Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision)

Source: 10_Academic_Articles

Fact Pattern

Marcus Delgado is a registered representative at Pinnacle Securities, LLC, a broker-dealer registered with the SEC and a FINRA member firm. On March 15, 2021, Marcus met with Helen Kowalski, a 67-year-old recently widowed retiree with a moderate risk tolerance, who received a \$1.2 million life insurance payout following her husband's death. Helen told Marcus she needed the funds to last through retirement and wanted stable income with limited downside risk. She explicitly stated she did not want an ongoing advisory relationship and preferred to make a one-time investment decision.

Marcus recommended that Helen allocate \$800,000 into a proprietary non-traded REIT (Pinnacle Real Estate Income Fund III) that carried a 7% upfront commission, a 10-year lockup period, and limited liquidity provisions. Pinnacle Securities received a 3.5% revenue-sharing arrangement from the REIT sponsor in addition to the standard commission. Marcus disclosed to Helen that he would receive a commission but did not disclose the revenue-sharing arrangement, the magnitude of the upfront load relative to lower-cost alternatives, or the specific liquidity constraints in writing. He provided the fund prospectus but did not walk Helen through the lockup terms or explain that comparable publicly traded REIT ETFs were available with annual expense ratios under 0.15% and daily liquidity.

Marcus documented in his CRM that the recommendation was suitable given Helen's stated interest in real estate income and her moderate risk profile. Pinnacle Securities' compliance department had adopted Reg BI policies in June 2020 but had not updated its product-level conflict inventory to include revenue-sharing arrangements on non-traded REITs. The firm's written supervisory procedures required a heightened review for illiquid alternative investments recommended to clients over age 65, but the branch manager approved the transaction after only a cursory review of the account documentation.

In September 2023, Helen needed \$200,000 for unexpected medical expenses but was unable to liquidate any portion of her REIT holdings due to the lockup provision. She filed a complaint with FINRA alleging that Marcus and Pinnacle Securities violated Regulation Best Interest.

Question

Did Marcus Delgado and Pinnacle Securities comply with Regulation Best Interest's four component obligations when recommending the non-traded REIT to Helen Kowalski?

Answer

Marcus Delgado and Pinnacle Securities failed to comply with Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) across multiple component obligations. Reg BI imposes four distinct obligations on broker-dealers making recommendations to retail customers: the Disclosure Obligation, the Care Obligation, the

Conflict of Interest Obligation, and the Compliance Obligation.

First, the Disclosure Obligation under Rule 15l-1(a)(2)(i) requires full and fair disclosure, prior to or at the time of the recommendation, of all material facts relating to the scope and terms of the relationship and all material conflicts of interest. Marcus failed to disclose the 3.5% revenue-sharing arrangement between Pinnacle Securities and the REIT sponsor. This revenue-sharing creates a material financial incentive for the firm to recommend its proprietary product over lower-cost alternatives. Merely disclosing that a commission would be paid is insufficient; the specific nature and magnitude of conflicts must be conveyed. The failure to disclose revenue-sharing is a clear Disclosure Obligation violation.

Second, the Care Obligation under Rule 15l-1(a)(2)(ii) requires that the broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. The document emphasizes that Reg BI is transactional -- the obligation crystallizes at the point of recommendation. Here, recommending an illiquid non-traded REIT with a 10-year lockup and 7% upfront load to a 67-year-old retiree whose \$1.2 million constituted her primary retirement asset, without analyzing lower-cost, liquid alternatives such as publicly traded REIT ETFs, fails the Care Obligation. The cost disparity alone -- 7% front-end load versus sub-0.15% annual expense ratios -- demands reasoned justification that Marcus never documented or communicated.

Third, the Conflict of Interest Obligation under Rule 15l-1(a)(2)(iii) requires the firm to establish, maintain, and enforce written policies and procedures reasonably designed to identify, disclose, and mitigate or eliminate material conflicts. Pinnacle Securities' failure to include revenue-sharing arrangements on non-traded REITs in its conflict inventory represents a systemic failure to satisfy this obligation.

Fourth, the Compliance Obligation under Rule 15l-1(a)(2)(iv) is implicated by the branch manager's cursory review, which contravened the firm's own heightened-review WSPs for illiquid alternatives recommended to clients over 65. This supervisory lapse compounds the violation.

Pinnacle Securities cannot defend by arguing the recommendation was merely 'suitable' under legacy FINRA Rule 2111 standards; Reg BI explicitly elevated the standard beyond traditional suitability. The transactional nature of Reg BI, as highlighted in the source document, does not diminish the intensity of the obligation at the moment of recommendation -- it simply means there is no ongoing monitoring duty. At the critical point of sale, both Marcus and Pinnacle Securities fell materially short.

Key Factor

Marcus failed to disclose the firm's revenue-sharing arrangement and did not evaluate reasonably available lower-cost, liquid alternatives before recommending a high-commission, illiquid non-traded REIT to a retired widow whose liquidity needs were foreseeable.

Item 144 of 499

NON-COMPLIANT

Topic: erisa_fiduciary_conflicted_rollover_advice

Difficulty: hard

Standard: ERISA § 3(21)(A)(ii); ERISA § 404(a)(1)(A)-(B) (duties of loyalty and prudence); ERISA § 406(b) (prohibited transactions -- self-dealing); 29 C.F.R. § 2510.3-21 (DOL 2016 fiduciary rule definition of investment advice); PTE 2016-01 (Best Interest Contract Exemption) Impartial Conduct Standards §§ II(c)(1)-(3); DOL Fiduciary Rule 81 FR 20946 (April 8, 2016)

Source: 10_Academic_Articles

Fact Pattern

Gerald Whitman, age 62, is a longtime machinist at Precision Aeroparts, Inc. in Wichita, Kansas. In March 2017, Gerald informed his employer he planned to retire effective June 1, 2017. Gerald had accumulated \$487,000 in the company's 401(k) plan -- the Precision Aeroparts Employee Savings Plan -- invested across a menu of low-cost Vanguard index funds with a blended expense ratio of 0.06%. His plan account represented approximately 85% of his total retirement savings.

In April 2017, Gerald received an unsolicited phone call from Derek Halloran, a registered representative affiliated with Midlands Wealth Partners, a dual-registered broker-dealer and investment adviser firm based in Overland Park, Kansas. Halloran obtained Gerald's contact information from a commercial lead-generation service that flags imminent retirees from mid-size manufacturing employers. During the call, Halloran described himself as a 'retirement specialist' and offered Gerald a complimentary 'retirement readiness review.' Gerald agreed to meet at Halloran's office the following week.

During the meeting, Halloran reviewed Gerald's 401(k) statement and strongly recommended that Gerald execute a full rollover of his \$487,000 balance into an Individual Retirement Account (IRA) at Midlands Wealth Partners upon retirement. Halloran told Gerald the IRA would provide 'more investment choices and personalized management,' and recommended allocating the proceeds into three variable annuity contracts issued by National Horizon Life Insurance Company: the Horizon Growth Select VA, the Horizon Income Plus VA, and the Horizon Balanced Shield VA. The combined annual fees on these products -- including mortality and expense risk charges, sub-account management fees, and optional living benefit riders -- totaled approximately 3.15% annually, or roughly \$15,341 per year, compared to the approximately \$292 in annual fees Gerald was paying inside the 401(k). Halloran stood to receive a 5.75% upfront commission of \$28,002.50, plus a 0.25% annual trail commission.

Halloran's recommendation documentation consisted of a one-page 'Client Suitability Form' noting Gerald's moderate risk tolerance and retirement income need. The form did not compare the costs of staying in the 401(k) plan versus executing the rollover, did not document any analysis of the existing Vanguard funds' performance or suitability, and did not disclose that Halloran had received an all-expenses-paid trip to Cancún from National Horizon Life the prior year as a top-producer reward. Halloran did not mention that Gerald could leave his assets in the Precision Aeroparts 401(k) plan post-retirement, which the plan document expressly permitted.

Question

Did Halloran's recommendation that Gerald roll over his 401(k) assets into high-cost variable annuities violate the DOL fiduciary rule's best interest standard and the Prohibited Transaction Exemption (PTE) 2016-01 (Best Interest Contract Exemption) conditions?

Answer

Halloran's conduct constitutes a clear violation of the DOL fiduciary rule and fails to satisfy the conditions of PTE 2016-01 (the Best Interest Contract Exemption, or 'BIC Exemption').

First, Halloran is a fiduciary under the DOL's 2016 fiduciary rule. By providing a personalized recommendation to Gerald -- a participant in an ERISA-covered 401(k) plan -- regarding the disposition of plan assets (i.e., the rollover recommendation), Halloran rendered 'investment advice' for a fee within the meaning of ERISA § 3(21)(A)(ii) and the expanded definition under 29 C.F.R. § 2510.3-21. Rollover recommendations are expressly captured under the rule as fiduciary advice because they involve a recommendation regarding the distribution of assets from an ERISA plan.

As a fiduciary, Halloran's recommendation must satisfy ERISA § 404(a)(1)'s duty of loyalty and prudence -- acting solely in the interest of participants and beneficiaries and with the care, skill, prudence, and diligence of a prudent person. His recommendation to move \$487,000 from funds costing 0.06% annually into variable annuities costing 3.15% annually -- a 52.5x increase in fees -- with no documented comparative analysis, fails both prongs. The recommendation generated \$28,002.50 in upfront commissions and ongoing trails, creating a textbook prohibited transaction under ERISA § 406(b) (fiduciary dealing with plan assets in own interest).

To receive otherwise-prohibited compensation, Halloran and Midlands Wealth Partners needed to satisfy PTE 2016-01's Impartial Conduct Standards. These require: (1) a best interest standard -- advice that is in the customer's best interest, reflecting the care, skill, prudence, and diligence of a prudent person, without regard to the financial interests of the adviser; (2) reasonable compensation; and (3) no materially misleading statements. Halloran fails all three.

On best interest: No reasonable, prudent adviser would recommend a 3.15% all-in-cost variable annuity suite over 0.06% index funds absent extraordinary circumstances not present here. The \$15,049 annual cost differential compounds devastatingly over Gerald's retirement horizon. On reasonable compensation: A 5.75% front-end load plus ongoing trails on a retirement rollover to a 62-year-old is excessive given available low-cost alternatives, including simply remaining in the existing plan. On misleading statements: Halloran's omission of the option to remain in the 401(k), and his failure to disclose the Cancún incentive trip -- a material non-cash compensation conflict -- constitute materially misleading conduct by omission.

Halloran cannot invoke carve-outs for general education or mere account opening because he provided a specific, personalized rollover and product recommendation. The superficial one-page suitability form is wholly inadequate documentation under BIC Exemption requirements. This is precisely the type of conflicted rollover advice the CFA comment letter identifies as causing billions in aggregate harm to retirement investors.

Key Factor

Halloran recommended a rollover into variable annuities costing 52.5 times more than the existing 401(k) investments without any documented comparative cost analysis, while receiving \$28,002.50 in undisclosed conflict-driven compensation.

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NON-COMPLIANT

Topic: broker_fiduciary_confusion_erisa_plan

Difficulty: hard

Standard: ERISA § 3(21)(A)(ii); ERISA § 3(38); ERISA § 404(a)(1)(B) (duty of prudence); ERISA § 406 (prohibited transactions); SEC Regulation Best Interest (17 CFR § 240.15I-1) -- Disclosure, Care, and Conflict of Interest Obligations; FINRA Rule 2111 (Suitability); FINRA Rule 2210 (Communications with the Public); DOL Fiduciary Rule proposed rulemaking (Docket EBSA-2010-0050)

Source: 10_Academic_Articles

Fact Pattern

Marcus Whitfield is a registered representative of Pinnacle Securities Group, a broker-dealer registered with FINRA and the SEC. Marcus holds Series 6 and Series 63 licenses but is not a registered investment adviser and does not hold any investment adviser representative registrations. His business cards identify him as a 'Senior Financial Advisor' and his email signature reads 'Marcus Whitfield, CFP(R), Senior Financial Advisor, Pinnacle Securities Group -- Retirement Planning & Wealth Management.' In March 2023, Marcus contacted Deborah Stanton, the HR Director and named plan fiduciary of Hartwell Manufacturing, Inc., a mid-sized company with 340 employees and a 401(k) plan holding approximately \$47 million in assets. Marcus pitched Deborah on replacing the plan's existing lineup of low-cost Vanguard index funds with a suite of actively managed American Funds Class A shares, explaining that 'as your dedicated financial advisor, I have a fiduciary obligation to recommend what's best for your plan participants.' He presented a comparison showing historical outperformance of certain American Funds over the prior three years, but omitted disclosure that the Class A shares carried front-end loads averaging 5.25% and 12b-1 fees of 0.25%, compared to the existing Vanguard funds' average expense ratio of 0.05%. Marcus also failed to disclose that Pinnacle Securities Group would receive approximately \$2.47 million in front-end sales charges plus ongoing 12b-1 trail revenue. Deborah, relying on Marcus's representation that he was acting as a fiduciary advisor, approved the fund change in April 2023 without conducting an independent fee benchmarking study or consulting with the plan's ERISA counsel. No written advisory agreement was executed; instead, a standard brokerage account agreement was signed. By January 2024, several plan participants filed complaints after noticing significantly higher expense ratios in their quarterly statements and reduced account balances attributable to the front-end loads. An internal audit revealed that Marcus had never been engaged as a fiduciary under ERISA § 3(21) or § 3(38), and that no Investment Policy Statement amendment was adopted to reflect the change in investment strategy.

Question

Did Marcus Whitfield and Pinnacle Securities Group violate applicable ERISA, SEC, and FINRA standards by representing broker-dealer services as fiduciary advice to the Hartwell Manufacturing 401(k) plan, and did Deborah Stanton breach her fiduciary duties by relying on those representations?

Answer

This scenario presents multiple overlapping violations across ERISA, FINRA, and SEC regulatory frameworks. First, regarding Marcus Whitfield and Pinnacle Securities Group: Marcus's representation that he owed a 'fiduciary obligation' to the plan and its participants was materially false and misleading. As a registered representative of a broker-dealer who was not appointed as a fiduciary under ERISA § 3(21)(A)(ii) (one who renders investment advice for a fee or other compensation with respect to plan assets) or § 3(38) (investment manager), Marcus had no fiduciary status under ERISA. His use of the title 'Senior Financial Advisor' compounds the deception identified in the document -- the blurring of the broker-advisor distinction that has long confused plan sponsors and participants. Under FINRA Rule 2210

(Communications with the Public), communications must be fair, balanced, and not misleading. Marcus's claim of fiduciary status when acting in a brokerage capacity violates this standard. Additionally, FINRA Rule 2111 (Suitability) required Marcus to have a reasonable basis for recommending the fund switch, but even under suitability -- a lesser standard than fiduciary duty -- replacing 0.05% expense ratio index funds with 5.25% front-load Class A shares generating \$2.47 million in commissions for his firm, without disclosing costs or conflicts, likely fails the reasonable-basis and customer-specific suitability obligations. Under Regulation Best Interest (17 CFR § 240.15l-1), effective since June 30, 2020, Marcus was required at the time of recommendation to act in the retail investor's best interest, satisfy the Disclosure Obligation (providing full and fair disclosure of material conflicts including compensation), the Care Obligation (exercising reasonable diligence to understand costs and reasonably available alternatives), and the Conflict of Interest Obligation. Marcus failed all three by concealing the magnitude of compensation, ignoring lower-cost alternatives already in place, and affirmatively misrepresenting his role. Regarding Deborah Stanton: As named plan fiduciary, she owed duties of prudence under ERISA § 404(a)(1)(B) -- the 'prudent expert' standard -- which required her to independently evaluate the fund change, benchmark fees, and verify the legal status of any purported advisor. Her failure to execute a written fiduciary advisory agreement under ERISA § 3(21) or § 3(38), failure to consult ERISA counsel, and failure to conduct an independent fee study constitute breaches of her fiduciary duty of prudence. A prudent fiduciary cannot blindly rely on a broker's self-serving characterization of his role. The DOL's position, consistent with the concerns raised in the 2015 fiduciary rule proposal (Docket EBSA-2010-0050), is that plan fiduciaries must understand whether they are working with a broker or a fiduciary advisor and document that determination. Deborah's reliance was neither reasonable nor procedurally prudent. The pivotal failure here is systemic: the deliberate conflation of broker and advisor roles that the commenter in the source document identified as the core problem the regulation should address.

Key Factor

Marcus Whitfield affirmatively misrepresented his non-fiduciary brokerage role as fiduciary advisory status to induce an ERISA plan fiduciary to approve a high-cost fund replacement generating substantial undisclosed commissions, while the plan fiduciary failed to independently verify his status or evaluate the recommendation.

Item 146 of 499

NON-COMPLIANT

Topic: trustee_prudent_investor_rule_passive_vs_active

Difficulty: hard

Standard: Uniform Prudent Investor Act §§ 2, 5, 7, and 9; Conn. Gen. Stat. §§ 45a-541a through 45a-541i; Restatement (Third) of Trusts §§ 78, 90; UPIA § 2(c) (cost reasonableness); UPIA § 2(f) (heightened standard for professional trustees)

Source: 10_Academic_Articles

Fact Pattern

Margaret Chen is a senior trust officer at Fidelity Heritage Trust Company ('FHTC'), a corporate trustee based in Hartford, Connecticut. FHTC serves as the sole trustee of the Whitfield Family Irrevocable Trust, established in 2016 with \$8.2 million in investable assets. The trust instrument grants FHTC broad discretionary investment authority and directs that the trust assets be managed 'prudently and in the best interests of the beneficiaries.' The trust's primary beneficiaries are three grandchildren of the settlor, ages 12, 15, and 17, with remainder interests passing to a charitable foundation upon the youngest grandchild reaching age 35. The trust's investment horizon is approximately 23 years.

In January 2020, Margaret allocated the trust portfolio as follows: 65% in actively managed equity mutual funds and 35% in actively managed bond funds. The equity allocation consisted of five funds managed by Ridgepoint Capital Management, a boutique asset manager whose CEO, David Pratt, serves on the same country club board of directors as FHTC's chief investment officer, Brian Newell. The Ridgepoint equity funds charged a weighted average expense ratio of 1.42%, compared to comparable Vanguard and iShares index funds offering exposure to the same asset classes at weighted average expense ratios of 0.06%. The actively managed bond funds charged 0.85% annually, versus 0.04% for comparable index alternatives. Over the period from January 2020 through December 2023, the Ridgepoint equity funds underperformed their respective benchmark indices by an average of 1.87% annually after fees, and the actively managed bond funds underperformed their benchmarks by 0.94% annually after fees.

In March 2023, one of the beneficiaries' parents, Robert Whitfield, retained an independent financial consultant who reviewed the trust's investment performance. The consultant estimated that the trust had incurred approximately \$412,000 in excess fees and \$637,000 in aggregate underperformance relative to a passively indexed portfolio with the same asset allocation over the four-year period -- a total cost to the trust of approximately \$1.05 million. Robert Whitfield wrote to Margaret Chen in April 2023, requesting that the trust shift to a low-cost passive index strategy. Margaret responded that FHTC's Investment Policy Committee had reviewed the Ridgepoint funds and determined that active management 'provides the potential for superior risk-adjusted returns' and that the existing allocation was 'consistent with our firm's investment philosophy.' No formal written analysis supporting this conclusion was provided, and no minutes of the Investment Policy Committee meeting addressing Robert's request were produced. FHTC continued the same allocation through December 2023. Robert Whitfield has now filed a petition in Connecticut Probate Court alleging breach of fiduciary duty.

Question

Did FHTC breach its fiduciary duties of prudence and loyalty under the Uniform Prudent Investor Act by maintaining a high-cost actively managed portfolio in the Ridgepoint funds without documented justification, and by failing to consider low-cost passive alternatives despite a beneficiary's formal request?

Answer

FHTC likely breached both the duty of prudence and the duty of loyalty under the Uniform Prudent Investor Act (UPIA), as adopted in Connecticut (Conn. Gen. Stat. §§ 45a-541a through 45a-541l), and potentially under the Restatement (Third) of Trusts § 90.

Duty of Prudence: UPIA § 2 (Conn. Gen. Stat. § 45a-541c) requires a trustee to invest and manage trust assets 'as a prudent investor would, by considering the purposes, terms, distribution requirements, and other circumstances of the trust.' UPIA § 2(c) specifically mandates that a trustee 'shall incur only costs that are appropriate and reasonable in relation to the assets, the purposes of the trust, and the skills of the trustee.' This provision, echoed in the Restatement (Third) of Trusts § 90, cmt. h, creates an affirmative obligation to evaluate and justify costs. FHTC's decision to invest 100% of the portfolio in actively managed funds carrying expense ratios 15 to 24 times higher than comparable index alternatives, without any documented analysis demonstrating a reasonable expectation that the active managers would generate returns sufficient to offset the fee differential, falls short of this standard. The four-year track record showing consistent underperformance of 0.94% to 1.87% annually after fees reinforces that the cost burden was not justified by results. The total estimated cost to the trust of approximately \$1.05 million over four years -- representing roughly 12.8% of the original corpus -- is substantial.

Duty of Loyalty: UPIA § 5 and the Restatement (Third) of Trusts § 78 require that the trustee invest solely in the interest of the beneficiaries. The social connection between FHTC's CIO Brian Newell and Ridgepoint Capital's CEO David Pratt raises a serious question of conflicted loyalties. Even if no explicit quid pro quo or revenue-sharing arrangement existed, the failure to disclose this relationship and the absence of any arm's-length, documented investment due diligence process selecting Ridgepoint over lower-cost alternatives creates at minimum the appearance of self-dealing or favoritism. Under UPIA, the trustee bears the burden of demonstrating that the investment decision was made solely for the beneficiaries' benefit when a conflict is present.

Process Failure: The absence of written minutes, formal analysis, or any documented rationale from the Investment Policy Committee's purported review is itself a breach of the duty of prudence. UPIA § 2(a) evaluates prudence based on process, not outcomes. A corporate trustee with professional investment expertise is held to an even higher standard under UPIA § 2(f), which states the standard is applied 'in light of the facts and circumstances... including the trustee's special skills.' FHTC's boilerplate response to Robert Whitfield's request, without substantive analysis, demonstrates a failure of process.

FHTC's defense that active management 'provides the potential for superior risk-adjusted returns' is unavailing without supporting evidence specific to the Ridgepoint funds, the trust's circumstances, and a cost-benefit analysis. The petition has substantial merit.

Key Factor

FHTC failed to document any reasonable justification for incurring investment management fees 15 to 24 times higher than comparable passive alternatives, while the selected active funds consistently underperformed their benchmarks, and the trustee's CIO had an undisclosed social relationship with the active manager's CEO.

Item 147 of 499

NON-COMPLIANT

Topic: dol_fiduciary_rule_bic_exemption_compliance

Difficulty: hard

Standard: DOL Fiduciary Rule, 29 CFR § 2510.3-21 (definition of fiduciary); ERISA § 406(b)(1) (29 USC § 1106(b)(1)); IRC § 4975(c)(1)(E) and (F); Best Interest Contract Exemption (PTE 2016-01), including Impartial Conduct Standards; DOL Field Assistance Bulletin 2017-02 (transition period guidance)

Source: 10_Academic_Articles

Fact Pattern

Marcus Reinhardt is a registered representative at Apex Securities Group, a mid-sized broker-dealer with approximately 1,200 retail clients. In March 2018, he was contacted by Patricia Volkov, a 58-year-old elementary school teacher nearing retirement, who had accumulated \$412,000 in a 403(b) plan through her school district. Patricia told Marcus she wanted to roll the funds into an IRA so she could have more investment options, and that her primary goals were capital preservation and modest growth to supplement her projected pension income.

Marcus recommended Patricia roll her 403(b) into a new IRA at Apex and invest the proceeds into a proprietary variable annuity product -- the Apex Horizon Plus VA -- which carried a 5.75% front-end sales charge and annual mortality and expense fees of 1.45%, plus an additional 0.85% in underlying sub-account management fees. The total first-year cost to Patricia was approximately \$23,690 in front-end charges plus \$9,486 in ongoing annual fees. The Apex Horizon Plus VA also carried a seven-year declining surrender charge schedule starting at 7%. Marcus received a \$16,480 commission on the sale, which was 150% higher than what he would have earned placing Patricia in a comparable third-party low-cost variable annuity with substantially similar features but total annual fees of only 0.65%. Marcus did not disclose the commission differential, nor did he document a comparison of the proprietary product against lower-cost alternatives. He did not execute a Best Interest Contract with Patricia.

Apex Securities had adopted policies stating that its representatives would comply with the DOL fiduciary rule's Impartial Conduct Standards during the transition period, but the firm's compliance department had not implemented any systematic monitoring of rollover recommendations or product-level cost comparisons. Internal emails later revealed that Apex's regional manager had circulated a memo in January 2018 encouraging representatives to prioritize proprietary annuity sales to meet quarterly revenue targets, noting that 'the DOL rule is on life support anyway.' Patricia discovered the fee disparity in late 2018 when she consulted an independent fee-only financial planner, who estimated she would pay approximately \$67,000 more in fees over a 15-year period compared to the lower-cost alternative.

Question

Did Marcus Reinhardt and Apex Securities Group violate the DOL fiduciary rule's Impartial Conduct Standards and the requirements of the Best Interest Contract Exemption in connection with the rollover recommendation and proprietary variable annuity sale to Patricia Volkov's IRA?

Answer

Yes. Marcus Reinhardt and Apex Securities Group committed multiple violations of the DOL fiduciary rule and failed to satisfy the conditions necessary for relief under the Best Interest Contract Exemption.

First, under the DOL's expanded definition of fiduciary under 29 CFR § 2510.3-21, Marcus became a fiduciary the

moment he provided individualized investment advice to Patricia regarding the rollover of her 403(b) retirement assets into an IRA. A rollover recommendation constitutes investment advice under the rule because it involves a recommendation regarding the disposition of plan assets. As a fiduciary, Marcus was subject to ERISA's prohibited transaction rules under 29 USC § 1106(b), which bar self-dealing, and the parallel provisions of IRC § 4975 applicable to IRAs.

Second, the receipt of the \$16,480 commission -- which was materially higher than the commission available on a comparable lower-cost product -- constitutes a prohibited transaction under ERISA § 406(b)(1) and IRC § 4975(c)(1)(E) and (F), because the fiduciary dealt with plan assets in his own interest and received compensation from a third party in connection with a transaction involving the plan. To receive such variable compensation, Marcus and Apex needed to satisfy the conditions of the Best Interest Contract Exemption (PTE 2016-01). They failed to do so on multiple grounds.

Under the BIC Exemption's Impartial Conduct Standards -- which were applicable even during the transition period following the June 9, 2017 applicability date -- the adviser must (1) provide advice that is in the retirement investor's best interest, meaning prudent and based solely on the investment objectives, risk tolerance, and financial circumstances of the investor; (2) charge no more than reasonable compensation; and (3) make no materially misleading statements. Marcus's recommendation of the Apex Horizon Plus VA, with total annual costs of 2.30% versus 0.65% for a substantially similar alternative, and a front-end load of 5.75%, was not in Patricia's best interest given her stated goals of capital preservation and modest growth. The \$67,000 fee differential over 15 years is strong evidence that compensation was not reasonable.

Moreover, the failure to execute a Best Interest Contract -- a written acknowledgment of fiduciary status and the commitment to act in the client's best interest -- means Apex could not rely on the full BIC Exemption even had the Impartial Conduct Standards been met. The internal memo from Apex's regional manager encouraging proprietary product sales to meet revenue targets is devastating evidence of a firm-level culture that prioritized revenue over client interests, directly contradicting the exemption's requirement that policies and procedures be reasonably designed to prevent violations. Apex's failure to implement systematic rollover monitoring or product cost comparisons further demonstrates inadequate supervisory infrastructure under the BIC Exemption's institutional requirements. This is a clear, multi-layered violation.

Key Factor

Marcus recommended a proprietary variable annuity with total annual costs 254% higher than a comparable alternative, driven by a commission that was 150% greater, without executing a Best Interest Contract or documenting any cost comparison analysis as required under the BIC Exemption's Impartial Conduct Standards.

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NON-COMPLIANT

Topic: erisa_esg_qdia_fiduciary_duty

Difficulty: hard

Standard: ERISA §404(a)(1)(A)-(B) (duties of loyalty and prudence); 29 C.F.R. §2550.404a-1 (November 2020 DOL final rule on pecuniary factors); 29 C.F.R. §2550.404c-5 (QDIA requirements); DOL IB 2015-01 (prohibition on subordinating participants' interests to unrelated objectives); ERISA §402(b)(1) (funding policy)

Source: 10_Academic_Articles

Fact Pattern

Greenfield Manufacturing, Inc. is a mid-size industrial parts manufacturer based in Toledo, Ohio, with 1,200 employees. The company sponsors a 401(k) defined contribution plan with approximately \$85 million in assets. The plan uses automatic enrollment for new hires, directing contributions into a Qualified Default Investment Alternative (QDIA), which has historically been the Vanguard Target Retirement 2040 Fund. In September 2020, the company's Benefits Committee--chaired by VP of Human Resources Diane Ostrowski--began reviewing the plan's investment lineup. Committee member and CFO Robert Yuen had recently attended a sustainability conference and became an advocate for ESG-oriented investing. He proposed replacing the existing QDIA with the Parnassus Core Equity Fund, a fund explicitly marketed as integrating ESG criteria into its investment selection process, including screens for fossil fuel exposure, labor practices, and board diversity.

At the November 18, 2020, committee meeting--five days after the DOL's final rule on pecuniary factors took effect--the committee voted 3-2 to designate the Parnassus Core Equity Fund as the plan's new QDIA, effective January 1, 2021. Yuen presented a one-page comparison showing that the Parnassus fund had outperformed the Vanguard target-date fund over the trailing three-year period by approximately 45 basis points annually, with a slightly higher expense ratio of 0.82% versus 0.12%. The committee did not retain an independent investment consultant to evaluate the change, did not conduct a comprehensive analysis of risk-adjusted returns over multiple time horizons, and did not document whether the selection was based solely on pecuniary factors. The meeting minutes noted that 'the committee believes responsible investing aligns with Greenfield's corporate values and will attract younger talent.' No analysis of the fund's suitability as a QDIA--including its lack of a target-date glide path or diversified asset allocation--was performed.

Approximately 340 automatically enrolled participants who made no affirmative investment election had their contributions directed into the Parnassus fund beginning January 2021. By March 2022, the fund had underperformed a comparable target-date benchmark by 210 basis points due to sector concentration in technology and healthcare. A participant, Sandra Kowalski, age 58 and within seven years of retirement, filed a complaint with the DOL alleging that the committee breached its fiduciary duties under ERISA.

Question

Did the Greenfield Manufacturing Benefits Committee breach its ERISA fiduciary duties by designating an ESG-focused equity fund as the plan's Qualified Default Investment Alternative under the November 2020 DOL regulation?

Answer

The Greenfield Manufacturing Benefits Committee likely breached its fiduciary duties under ERISA in multiple respects. The analysis proceeds under ERISA §404(a)(1)(A)-(B) (the duties of loyalty and prudence) and the DOL's November 2020 final rule codified at 29 C.F.R. §2550.404a-1, which was effective as of November 13, 2020--five days before the committee's vote.

First, the November 2020 rule explicitly prohibited a plan from designating as a QDIA any investment that was selected to support non-pecuniary goals. The committee's own meeting minutes state that the selection was motivated in part by alignment with 'corporate values' and talent attraction--objectives that are plainly non-pecuniary and unrelated to providing retirement income to participants and beneficiaries. Under ERISA's exclusive benefit rule (§404(a)(1)(A)), fiduciaries must act 'solely in the interest of the participants and beneficiaries' and 'for the exclusive purpose of providing benefits to participants and their beneficiaries.' Corporate branding and recruitment objectives are extraneous to this standard. The DOL's 2015 IB (IB 2015-01) and the November 2020 regulation both reinforce that a fiduciary may not subordinate participants' retirement income interests to unrelated objectives.

Second, even setting aside the QDIA prohibition, the committee failed the prudence standard under ERISA §404(a)(1)(B), which requires that fiduciaries act 'with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use.' The committee relied on a one-page trailing three-year performance comparison without engaging an independent investment consultant, without analyzing risk-adjusted returns across multiple market cycles, and without evaluating whether a concentrated equity fund--lacking a target-date glide path--was appropriate as a QDIA for a diverse participant population. Under DOL regulations at 29 C.F.R. §2550.404c-5, a QDIA must generally be a target-date fund, balanced fund, or managed account that provides diversified, age-appropriate asset allocation. A single-strategy equity fund with an 0.82% expense ratio (nearly seven times the incumbent's cost) and significant sector concentration does not satisfy these requirements.

Third, the committee's failure to document whether the investment decision was based solely on pecuniary factors violated the regulation's documentation requirements for any tie-breaker analysis. The committee did not even reach the tie-breaker stage in a compliant manner because no rigorous economic equivalence analysis was performed.

The committee might argue that the Parnassus fund's trailing outperformance demonstrates pecuniary merit. However, this defense fails because (a) the regulation requires a forward-looking, risk-adjusted analysis over appropriate investment horizons, not a simple backward-looking return comparison; (b) the non-pecuniary motivation is documented in the minutes; and (c) the fund's structural unsuitability as a QDIA is an independent violation regardless of ESG considerations. The committee's conduct constitutes a prohibited transaction under the QDIA restriction and a breach of both prudence and loyalty duties under ERISA §404(a).

Key Factor

The committee designated an ESG-focused equity fund as the plan's QDIA based in part on non-pecuniary corporate values objectives, in direct violation of the November 2020 DOL regulation's explicit prohibition on using investments supporting non-pecuniary goals as a QDIA.

Item 149 of 499**NON-COMPLIANT**

Topic: private_securities_suitability_and_reg_bi

Difficulty: hard

Standard: SEC Regulation Best Interest, 17 CFR §240.15l-1 (Care, Disclosure, and Conflict of Interest Obligations); FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); Securities Exchange Act §15(l); Regulation D, Rule 506(b)

Source: 10_Academic_Articles

Fact Pattern

Marcus Dalton is a registered representative at Pinnacle Wealth Partners, a dual-registered broker-dealer and investment adviser based in Atlanta, Georgia. In March 2025, Marcus was approached by his long-standing client, Helen Vasquez, a 62-year-old recently retired elementary school principal with a \$780,000 rollover IRA and a modest \$3,200 monthly pension. Helen's stated investment objectives on her updated Form CRS and account documentation were 'moderate growth with capital preservation,' a time horizon of 15-20 years, a risk tolerance of 'moderate,' and an annual income need of approximately \$28,000 from her portfolio to supplement her pension and Social Security.

Pinnacle Wealth Partners had recently entered into a selling agreement with Granite Ridge Capital Partners, a private equity fund sponsor, to distribute interests in the Granite Ridge Private Credit Opportunity Fund III, LP (the 'Fund'). The Fund invested in mezzanine debt and second-lien loans to mid-market companies, carried a 7-year lockup with no redemption rights, required a minimum investment of \$250,000, imposed a 2% management fee and 20% carried interest, and was offered exclusively under Regulation D, Rule 506(b), to accredited investors. Pinnacle received a 3.5% upfront placement fee on each subscription, compared to the 1.0% commission it typically earned on publicly traded bond funds.

Marcus recommended that Helen invest \$300,000 -- approximately 38.5% of her total IRA assets -- into the Fund. He described it to her as a 'bond-like' strategy that would provide 'steady income with low volatility.' He did not discuss the illiquidity risk, the 7-year lockup, the lack of daily pricing or transparency, the concentrated position risk, or the Fund's use of leverage (up to 2.5x). He did not compare the Fund to lower-cost, liquid alternatives such as publicly traded investment-grade bond ETFs or open-end credit funds. Marcus completed Pinnacle's internal product-specific suitability checklist by checking boxes indicating he had discussed all material risks, though his contemporaneous notes contained no evidence of such discussions. Pinnacle's compliance department approved the transaction after a cursory review, relying solely on Marcus's completed checklist without independent verification or a supervisory meeting with Helen.

Six months later, in September 2025, Helen needed \$75,000 for unexpected medical expenses. She discovered she could not access the \$300,000 invested in the Fund and was forced to liquidate other positions at a loss during a market downturn to meet her needs. She filed a complaint with FINRA.

Question

Did Marcus Dalton and Pinnacle Wealth Partners violate Regulation Best Interest and FINRA suitability rules in recommending that Helen Vasquez invest \$300,000 of her rollover IRA in the illiquid private credit fund?

Answer

Yes, Marcus Dalton and Pinnacle Wealth Partners committed multiple violations of Regulation Best Interest (Reg BI)

under SEC Rule 15l-1 (Exchange Act §15(l)) and FINRA Rules 2111 (Suitability) and 3110 (Supervision).

****Reg BI -- Care Obligation (Rule 15l-1(a)(2)(ii)(B)):** The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, considering the investment profile of the retail customer, including the customer's age, financial situation, liquidity needs, risk tolerance, and investment time horizon. Helen is a 62-year-old retiree dependent on portfolio income. Allocating 38.5% of her IRA to a 7-year lockup vehicle with no redemption rights is fundamentally inconsistent with her moderate risk tolerance, her documented need for \$28,000 in annual income, and the foreseeable possibility of unexpected liquidity needs. The Care Obligation also requires consideration of reasonably available alternatives; Marcus failed to compare the Fund to liquid, lower-cost fixed income alternatives, which would have been materially more suitable.

****Reg BI -- Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)):** Marcus described the Fund as 'bond-like' with 'steady income and low volatility,' which is materially misleading for a leveraged, illiquid private credit vehicle. He failed to disclose the lockup period's implications, leverage risk, lack of transparency, and concentrated position risk. This falls short of the requirement to provide full and fair disclosure of all material facts relating to the scope and terms of the relationship and all material conflicts.

****Reg BI -- Conflict of Interest Obligation (Rule 15l-1(a)(2)(ii)(D)):** The 3.5% placement fee -- 3.5 times the compensation on comparable liquid products -- created a material financial conflict. Pinnacle was required to establish written policies to identify, disclose, and mitigate this conflict, and to eliminate sales contests or quotas tied to specific products. The disproportionate compensation created an incentive that was neither adequately disclosed to Helen nor mitigated.

****FINRA Rule 2111 (Suitability):** The recommendation fails all three suitability components -- reasonable-basis (inadequate product due diligence regarding appropriateness for retail retirees), customer-specific (inconsistent with Helen's documented profile), and quantitative suitability (concentration of 38.5% in a single illiquid alternative).

****FINRA Rule 3110 (Supervision):** Pinnacle's compliance department approved the transaction based solely on Marcus's self-completed checklist without independent verification or a supervisory contact with the client. This constitutes a failure of reasonable supervisory procedures, particularly given the heightened review obligations for complex, illiquid products recommended to retired investors.

Marcus cannot defend by arguing Helen qualified as an accredited investor. Accredited investor status under Regulation D satisfies the offering exemption requirement but does not satisfy the broker-dealer's independent obligation under Reg BI and FINRA rules to ensure the recommendation is in the customer's best interest.

Key Factor

Marcus recommended that a 62-year-old retiree dependent on portfolio income invest 38.5% of her IRA in a 7-year lockup illiquid private credit fund without disclosing material risks, without evaluating suitable alternatives, and while earning 3.5 times his normal compensation -- failing the Care, Disclosure, and Conflict of Interest Obligations of Reg BI.

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NON-COMPLIANT

Topic: trustee_fiduciary_duty_wealth_management

Difficulty: hard

Standard: Uniform Prudent Investor Act §§ 2, 5; Conn. Gen. Stat. § 45a-541b; Investment Advisers Act of 1940 §§ 206(1), 206(2); SEC Release IA-5248 (2019); Regulation Best Interest 17 CFR § 240.15I-1; FINRA Rule 2111 (Suitability); Restatement (Third) of Trusts §§ 78, 90

Source: 10_Academic_Articles

Fact Pattern

Margaret Whitfield, age 78, is a widow residing in Connecticut with a net worth of approximately \$14.2 million, most of which is held in the Whitfield Family Irrevocable Trust established in 2003 by her late husband, Harold Whitfield. The trust holds roughly \$11.8 million in diversified financial assets and is intended to benefit Margaret during her lifetime and then pass to the couple's three adult children and seven grandchildren. In January 2021, the trust's original corporate trustee, First Heritage Trust Company, merged with Pinnacle Wealth Advisory Group, a dual-registered broker-dealer and investment adviser. Following the merger, the trust account was assigned to Derek Montrose, a Series 7 and Series 66 licensed representative at Pinnacle. Montrose was compensated primarily through commissions on transactions executed in trust accounts, with an additional annual bonus tied to revenue generated from proprietary Pinnacle alternative investment products.

Between March 2021 and September 2022, Montrose restructured the Whitfield Trust's portfolio dramatically. He liquidated approximately \$7.4 million in investment-grade municipal bonds, blue-chip equities, and index funds -- assets consistent with the trust's conservative investment policy statement (IPS) drafted in 2003 -- and reinvested the proceeds into a combination of Pinnacle's proprietary non-traded REITs (\$3.1 million), structured notes linked to volatile commodities indices (\$2.2 million), and a private credit fund managed by a Pinnacle affiliate (\$2.1 million). Each of these products carried front-end commissions ranging from 4.5% to 7%, generating approximately \$478,000 in total commissions for Montrose over the 18-month period. The trust's IPS specified a moderate-conservative risk tolerance, a target allocation of 60% fixed income and 40% equities with an emphasis on liquidity, and an explicit prohibition on illiquid alternative investments exceeding 10% of the portfolio.

Montrose did not seek or obtain Margaret Whitfield's informed written consent, nor did he consult with the trust's co-trustee (Margaret's eldest son, Robert Whitfield) before executing the trades. He did not update the IPS or document any rationale for deviating from the stated investment guidelines. When Robert Whitfield reviewed the trust's quarterly statement in October 2022 and questioned the changes, Montrose responded via email that the new allocations offered 'superior yield in a rising rate environment' and that 'modern wealth management requires flexibility beyond outdated IPS constraints.' By December 2022, the portfolio had declined by approximately \$1.9 million due to markdowns in the non-traded REITs and losses in the structured notes.

Question

Did Derek Montrose breach his fiduciary duties and violate applicable regulatory standards in his management of the Whitfield Family Irrevocable Trust?

Answer

Yes, Derek Montrose committed multiple fiduciary and regulatory violations in his handling of the Whitfield Family Irrevocable Trust. The analysis proceeds under several overlapping frameworks.

First, as a trustee or investment agent acting under a trust instrument, Montrose owed duties of loyalty and prudence under both common law and the Uniform Prudent Investor Act (UPIA), which Connecticut has adopted (Conn. Gen. Stat. § 45a-541b et seq.). The duty of loyalty requires that the trustee administer the trust solely in the interest of the beneficiaries (UPIA § 5; Restatement (Third) of Trusts § 78). Montrose's selection of proprietary Pinnacle products generating \$478,000 in personal commissions -- without disclosure, consent, or documented justification -- constitutes a textbook self-dealing violation. The duty of prudence under UPIA § 2 requires that investments be made with the care, skill, and caution of a prudent investor, considering the purposes, terms, and distribution requirements of the trust. Montrose's wholesale deviation from the trust's conservative IPS -- shifting approximately 63% of the portfolio into illiquid alternatives against an explicit 10% cap -- is a clear prudence breach.

Second, under the Investment Advisers Act of 1940 §§ 206(1) and 206(2), an investment adviser owes fiduciary duties prohibiting fraud, deceit, and conflicts of interest. Pinnacle, as a registered investment adviser, and Montrose, as its representative, had an affirmative obligation to disclose material conflicts -- particularly the commission incentives and proprietary product bias -- and to obtain informed consent. SEC Release IA-5248 (the Commission's fiduciary duty interpretation, June 2019) makes clear that an adviser must provide full and fair disclosure of all material facts and cannot place its own interest ahead of the client's.

Third, to the extent Montrose acted in a broker-dealer capacity, Regulation Best Interest (17 CFR § 240.15l-1) required him to satisfy four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. He failed the Care Obligation by recommending products inconsistent with the trust's investment profile and risk tolerance. He failed the Disclosure Obligation by not disclosing the magnitude of commissions and proprietary product conflicts. He failed the Conflict of Interest Obligation because Pinnacle's compensation structure created incentives to recommend proprietary products without adequate mitigation.

Fourth, FINRA Rule 2111 (Suitability) and its successor obligations under Reg BI required Montrose to have a reasonable basis for his recommendations and to ensure customer-specific suitability. Illiquid, high-commission alternative investments are facially unsuitable for a trust with explicit liquidity requirements and a conservative IPS benefiting a 78-year-old lifetime income beneficiary.

Montrose's email defense that 'modern wealth management requires flexibility' is legally unavailing. A trustee cannot unilaterally override the terms of a governing instrument without proper amendment procedures, and the IPS constitutes an integral part of the trust's investment mandate. His failure to consult the co-trustee further compounds the breach. Montrose's conduct represents a severe fiduciary failure across all applicable standards.

Key Factor

Montrose's wholesale reallocation of trust assets into proprietary illiquid products generating substantial personal commissions -- without disclosure, consent, co-trustee consultation, or IPS amendment -- constitutes self-dealing and a breach of both the duty of loyalty and the duty of prudence.

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NON-COMPLIANT

Topic: adviser_duty_of_care_institutional_clients

Difficulty: hard

Standard: Investment Advisers Act of 1940, Sections 206(1) and 206(2); SEC Release No. IA-5248 (June 5, 2019) (Commission Interpretation Regarding Standard of Conduct for Investment Advisers -- the Fiduciary Interpretation); SEC proposed rule on Private Fund Advisers (Release No. IA-5955)

Source: 11_Case_Law

Fact Pattern

Ridgeway Capital Advisors, LLC is an SEC-registered investment adviser based in Chicago, Illinois, managing approximately \$2.8 billion in assets under management as of December 2022. Ridgeway serves as the investment adviser to the Ridgeway Multi-Strategy Fund, LP (the 'Fund'), a private fund with 47 limited partners consisting primarily of pension funds, university endowments, and family offices. The Fund's limited partnership agreement and advisory agreement authorize Ridgeway to invest in a diversified portfolio of equity, fixed income, and alternative strategies, subject to certain concentration limits and liquidity parameters outlined in the Fund's offering memorandum.

In March 2023, Ridgeway's Chief Investment Officer, Marcus Delaney, directed the portfolio management team to allocate approximately \$340 million--roughly 28% of the Fund's NAV--into a series of illiquid structured credit instruments issued by Harborview Structured Products, a newly formed special purpose vehicle. Harborview's principals included a college roommate of Delaney's, though this relationship was not disclosed to the Fund's limited partners or the Fund's advisory committee. The structured credit instruments carried no independent credit rating, had a weighted average maturity of 12 years, and featured a liquidity lock-up preventing redemption for 7 years. The Fund's offering memorandum stated that no more than 15% of net assets would be invested in any single illiquid strategy and that the adviser would maintain sufficient portfolio liquidity to honor quarterly redemption requests with 90 days' notice.

Ridgeway's investment committee met briefly on March 10, 2023, to discuss the Harborview allocation. Meeting minutes reflect a 20-minute discussion with no independent credit analysis, no stress testing of the instruments under adverse market scenarios, and no assessment of the impact on the Fund's ability to meet redemption obligations. No third-party valuation was obtained. When the Fund's compliance officer, Janet Kowalski, flagged the concentration limit breach and liquidity concerns in a written memo dated March 14, 2023, Delaney responded via email that the 'opportunity is time-sensitive and the returns justify the risk.' The allocation proceeded on March 17, 2023. By September 2023, two limited partners--a state teachers' pension fund and a university endowment--submitted redemption requests totaling \$195 million. Ridgeway was forced to gate redemptions, citing insufficient portfolio liquidity, and the Harborview instruments were subsequently marked down by 40% following a deterioration in underlying collateral performance.

Question

Did Ridgeway Capital Advisors breach its fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940, as articulated in the SEC's 2019 Fiduciary Interpretation, in connection with the Harborview allocation?

Answer

Yes, Ridgeway Capital Advisors breached its fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940 (the 'Advisers Act') in multiple respects. The SEC's 2019 Fiduciary Interpretation ('Release No. IA-5248') reaffirmed and clarified that an investment adviser owes its clients--including institutional fund clients--a fiduciary duty

comprising both a duty of care and a duty of loyalty, enforceable under the antifraud provisions of Sections 206(1) and 206(2) of the Advisers Act.

The duty of care, as articulated by the SEC, requires an adviser to provide advice that is in the client's best interest, which encompasses (1) the duty to provide advice that is suitable and in the best interest of the client based on the client's objectives, (2) the duty to seek best execution, and (3) the duty to provide advice and monitoring over the course of the relationship. Each of these sub-duties was violated here.

First, Ridgeway failed to conduct a reasonable investigation before recommending and executing the Harborview allocation. The investment committee's 20-minute discussion with no independent credit analysis, no stress testing, and no third-party valuation falls far short of the reasonable inquiry standard. The Fiduciary Interpretation makes clear that an adviser must have a 'reasonable understanding of the... risks and rewards associated with the recommendation.' Investing 28% of Fund NAV in unrated, illiquid structured credit instruments issued by a newly formed SPV without any independent diligence is a paradigmatic failure of reasonable care.

Second, the allocation directly contravened the Fund's own offering memorandum, which imposed a 15% concentration limit on illiquid strategies and required maintaining sufficient liquidity for quarterly redemptions. An adviser's duty of care requires adherence to the investment parameters agreed upon with the client. By breaching these contractual constraints--which defined the scope of the advisory mandate--Ridgeway acted outside the bounds of its fiduciary authority.

Third, Ridgeway's disregard of its own compliance officer's written warning compounds the violation. The SEC has emphasized in enforcement actions that an adviser's internal compliance infrastructure is integral to discharging the duty of care, and the deliberate override of a compliance flag--particularly one identifying a concentration limit breach--evidences a knowing or reckless disregard of fiduciary obligations, supporting liability under both Section 206(1) (fraud) and Section 206(2) (negligence-based antifraud).

Fourth, the undisclosed personal relationship between Delaney and the Harborview principals implicates both the duty of care (failure to evaluate conflicts that could impair investment judgment) and the duty of loyalty (failure to disclose material conflicts). While the duty of loyalty analysis is separate, the failure to account for conflicts in the investment process itself is a duty of care deficiency.

Ridgeway cannot defend on the basis that the Fund's investors are sophisticated institutional parties. The SEC's Fiduciary Interpretation and subsequent statements--including in the 2022 Private Fund Advisers proposal--expressly confirm that the duty of care applies to advisers serving private fund clients. Sophistication of investors does not relieve the adviser of its independent obligation to act with care. The gating of redemptions and 40% markdown are consequential harms, but liability attaches to the process failures irrespective of outcome.

Key Factor

Ridgeway executed a \$340 million allocation into illiquid, unrated structured credit instruments--nearly double the Fund's stated concentration limit--without conducting any independent credit analysis, stress testing, or third-party valuation, and over the express written objection of its compliance officer.

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COMPLIANT

Topic: fiduciary_duty_account_type_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Investment Advisers Act of 1940 § 206 (15 U.S.C. § 80b-6); Regulation Best Interest (17 C.F.R. pt. 240); Securities Litigation Uniform Standards Act (SLUSA) 15 U.S.C. § 78bb(f); California fiduciary duty under Twomey v. Mitchum, Jones & Templeton, Inc., 69 Cal. Rptr. 222 (Ct. App. 1968)

Source: 11_Case_Law

Fact Pattern

In March 2017, Sandra Nguyen, age 62, and her husband Paul Nguyen, age 65, held a joint brokerage account at Westfield Securities, LLC, a dual-registered broker-dealer and investment adviser, with approximately \$485,000 in diversified equity and fixed-income holdings. Their registered representative, Marcus Holt, had managed their account on a commission basis since 2012, executing roughly 8-12 trades per year at their direction. The Nguyens had moderate investment knowledge, having previously managed a small self-directed IRA, and retained full decision-making authority over their brokerage account--approving each trade before execution.

In April 2017, Westfield Securities rolled out a new fee-based advisory platform charging 1.25% annually on assets under management. During a routine portfolio review meeting on April 22, 2017, Holt informed the Nguyens about the new advisory platform and suggested they consider switching their joint brokerage account to the fee-based advisory account, noting it would provide ongoing portfolio monitoring and quarterly rebalancing. He presented a comparison sheet showing that their historical commissions over the prior three years averaged \$3,200 per year, while the advisory fee at 1.25% would be approximately \$6,062 annually. The Nguyens asked Holt whether he thought the switch was a good idea, and Holt responded that 'it depends on your preferences--some clients prefer the predictability of an annual fee and the additional services, but the math shows you'd pay more given your current trading activity.' The Nguyens ultimately decided to switch.

By late 2018, the Nguyens realized they were paying nearly double in fees compared to their prior brokerage arrangement. They filed a class action in the Eastern District of California against Westfield Securities, alleging breach of fiduciary duty under FINRA Rules, the Investment Advisers Act of 1940, and California common law, claiming Holt had a duty to recommend only the account type that was in their best interest. Critically, the Nguyens structured their claims to avoid SLUSA preemption by framing the alleged misconduct as advice about account type rather than advice about the purchase or sale of securities. At the time of the recommendation (April 2017), Regulation Best Interest had not yet been adopted.

Question

Did Westfield Securities breach a fiduciary duty owed to the Nguyens by recommending they switch from a commission-based brokerage account to a fee-based advisory account in April 2017, when the recommendation resulted in nearly double the annual fees?

Answer

Based on the legal framework analyzed in *Anderson v. Edward D. Jones & Co.* (9th Cir. 2025, No. 24-6164), Westfield Securities likely did not breach a fiduciary duty, and summary judgment in its favor would be appropriate.

First, FINRA Rule 2111 (Suitability) cannot serve as the source of fiduciary duty here. Under 15 U.S.C. § 78c(a)(4)(A) and § 78o(b)(8), FINRA suitability obligations apply to broker-dealers acting 'in connection with the purchase or sale of securities.' The Nguyens deliberately framed their claim as involving advice about account type--not the purchase or sale of specific securities--to avoid preemption under the Securities Litigation Uniform Standards Act (SLUSA). This strategic framing, while preserving their state-law class action vehicle, simultaneously removes the conduct from FINRA Rule 2111's regulatory scope. Moreover, Regulation Best Interest (17 C.F.R. pt. 240, effective June 30, 2020; adopted at 84 Fed. Reg. 33318 (July 12, 2019)) did not exist in April 2017 when the recommendation was made. Therefore, no federal broker-dealer best-interest standard applied to account-type recommendations at that time.

Second, the Investment Advisers Act of 1940 § 206 (15 U.S.C. § 80b-6) imposes on investment advisers a duty not to engage in fraud or deceit. At the time of the recommendation, Holt was acting in a brokerage capacity with respect to the joint account. Even if Westfield's dual registration triggered some IAA obligations, the Nguyens have disclaimed any fraud-based theory. Holt disclosed the fee comparison transparently, showing the Nguyens that they would pay more under the advisory arrangement. Absent evidence of fraudulent misrepresentation or material omission, § 206(2) is not violated.

Third, under California common law, a fiduciary duty arises when the financial professional exercises a high degree of control over the client's accounts. See *Twomey v. Mitchum, Jones & Templeton, Inc.*, 69 Cal. Rptr. 222, 242 (Ct. App. 1968). Here, the Nguyens retained full decision-making authority, approved each trade individually, and independently decided to switch account types after receiving a transparent cost comparison. There is insufficient evidence that Holt was 'the controlling factor in the transactions.' Without such control, California law does not impose a fiduciary best-interest obligation on account-type advice.

Holt's transparent disclosure of the cost differential and the Nguyens' autonomous decision-making are dispositive. The higher fee alone does not establish breach absent a cognizable fiduciary duty.

Key Factor

No cognizable fiduciary duty attached to account-type advice where FINRA suitability rules did not cover non-transactional recommendations, Reg BI had not yet been adopted, no fraud was alleged under the IAA, and the adviser did not exercise the degree of control over client accounts necessary to trigger California common-law fiduciary obligations.

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NON-COMPLIANT

Topic: erisa_excessive_fee_fiduciary_duty

Difficulty: hard

Standard: ERISA §404(a)(1)(A) (duty of loyalty), 29 U.S.C. §1104(a)(1)(A); ERISA §404(a)(1)(B) (duty of prudence), 29 U.S.C. §1104(a)(1)(B); ERISA §502(a)(2), 29 U.S.C. §1132(a)(2); ERISA §409(a), 29 U.S.C. §1109(a); *Tibble v. Edison Int'l*, 575 U.S. 523 (2015); *Hughes v. Northwestern University*, 142 S. Ct. 737 (2022)

Source: 11_Case_Law

Fact Pattern

Greenfield Manufacturing, Inc. is a mid-size industrial equipment company headquartered in Milwaukee, Wisconsin, with approximately 4,200 employees. The company sponsors the Greenfield Manufacturing 401(k) Savings Plan (the 'Plan'), a defined contribution plan under ERISA with approximately \$620 million in total assets as of December 31, 2022. The Plan's Investment Committee, consisting of CFO Margaret Dunham, VP of Human Resources Robert Kelsey, and General Counsel Patricia Nguyen, serves as the named fiduciary responsible for selecting and monitoring the Plan's investment options and service providers.

Since 2014, the Plan has used Apex Retirement Services as its recordkeeper. Apex charges the Plan through a combination of direct per-participant fees (\$42 per participant per year) and revenue-sharing arrangements with 11 of the Plan's 22 investment options. The revenue-sharing payments range from 15 to 45 basis points on assets invested in those particular funds, resulting in total recordkeeping compensation to Apex of approximately \$1.87 million in 2022. Comparable recordkeepers serving plans of similar size in the same industry were charging between \$800,000 and \$1.1 million in total annual compensation during the same period. The Investment Committee has not conducted a formal request for proposals (RFP) from competing recordkeepers since Apex was initially selected in 2014, and meeting minutes from 2018 through 2022 contain no substantive discussion of the reasonableness of Apex's fees relative to market benchmarks.

In addition, the Plan offers several actively managed equity funds with expense ratios between 0.72% and 1.15%, including the Ridgeway Large Cap Growth Fund (0.95% expense ratio) and the Cascade Mid-Cap Value Fund (1.15% expense ratio). Both funds have consistently underperformed their benchmark indices over trailing 3-, 5-, and 10-year periods. Lower-cost institutional share classes of both funds were available to the Plan given its asset size, which would have reduced expense ratios by 25 to 40 basis points. The Investment Committee's meeting minutes from 2019 to 2022 show that investment performance reviews were conducted annually but do not reflect any analysis of whether cheaper share classes were available or any evaluation of replacing underperforming funds with passively managed index fund alternatives. Plan participant Marcus Thompson, a production line supervisor who has been contributing 8% of his \$67,000 annual salary to the Plan since 2016, filed suit in the Eastern District of Wisconsin in March 2023, alleging that the fiduciaries breached their duties of prudence and loyalty under ERISA §404.

Question

Did the Greenfield Manufacturing Plan's Investment Committee breach its ERISA fiduciary duties of prudence and loyalty by failing to monitor and control recordkeeping fees and by retaining high-cost, underperforming investment options without adequate review?

Answer

The Investment Committee likely breached its fiduciary duties under ERISA §404(a)(1)(A) (duty of loyalty) and

§404(a)(1)(B) (duty of prudence), and Thompson has stated viable claims that should survive a motion to dismiss under the framework articulated in *Hughes v. Northwestern University*, 142 S. Ct. 737 (2022), and applied in cases like *Albert v. Oshkosh Corporation*.

First, regarding recordkeeping fees: ERISA fiduciaries have a continuing duty to monitor plan expenses and ensure they are reasonable. See *Tibble v. Edison Int'l*, 575 U.S. 523, 529 (2015). The Plan paid Apex approximately \$1.87 million in 2022 when comparable services were available for \$800,000 to \$1.1 million -- an overpayment of roughly \$770,000 to \$1.07 million annually. The failure to conduct an RFP or any competitive benchmarking since 2014 -- an eight-year gap -- is particularly damaging. As the Seventh Circuit recognized in *Albert*, the duty of prudence requires fiduciaries to employ a deliberative process, and the total absence of recordkeeper fee benchmarking in committee minutes over four consecutive years strongly suggests a failure to engage in the kind of ongoing monitoring that a prudent fiduciary 'familiar with such matters' would undertake. 29 U.S.C. §1104(a)(1)(B). Revenue-sharing arrangements that obscure total recordkeeper compensation compound the problem, as fiduciaries must understand and evaluate the full cost of services, not merely direct fees.

Second, regarding investment options: The retention of the Ridgeway Large Cap Growth Fund and Cascade Mid-Cap Value Fund -- both with high expense ratios and persistent benchmark underperformance over 3-, 5-, and 10-year periods -- without any documented analysis of lower-cost share classes or index alternatives constitutes a plausible breach of prudence. Hughes made clear that the availability of cheaper alternatives within the plan's own menu does not excuse fiduciaries from ensuring each individual investment option is prudent. The fact that institutional share classes were available at 25-40 basis points less, and the committee never evaluated them, demonstrates a deficient monitoring process.

The Investment Committee might defend by arguing that offering a range of active and passive options satisfies its duties, but after Hughes, this defense is significantly weakened. The Supreme Court rejected the notion that merely providing adequate choices insulates fiduciaries from scrutiny of individual offerings. The Committee could also argue business judgment deference under the 'range of reasonable alternatives' standard, but the complete absence of documented deliberation on fee competitiveness and share class availability undermines any such defense. Under 29 U.S.C. §1109(a), the Committee members are personally liable to make the Plan whole for losses resulting from their breaches, including the excess fees paid to Apex and the drag on participant returns from unnecessarily expensive fund share classes.

Key Factor

The Investment Committee's failure to conduct any competitive benchmarking of recordkeeping fees for eight years and its failure to evaluate the availability of lower-cost share classes for consistently underperforming funds demonstrate a deficient fiduciary monitoring process in violation of ERISA's duty of prudence.

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COMPLIANT

Topic: suitability_account_type_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2090 (Know Your Customer); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Thornton, age 19, opened a brokerage account with QuickTrade Securities LLC in March 2024 through the firm's mobile application. At account opening, Thornton provided accurate information indicating he was a college sophomore with limited investment experience, an annual income of \$12,000 from part-time work, liquid net worth of \$3,500, and a moderate risk tolerance. His stated investment objective was growth over a 5-10 year horizon. QuickTrade's automated account opening system correctly processed Thornton's information and established a standard individual brokerage account appropriate for his age and profile.

In June 2024, Thornton's father, Raymond Thornton, contacted QuickTrade claiming that Marcus's account had been incorrectly designated and should have been opened as a custodial account under his control since Marcus was 'financially inexperienced.' Raymond demanded the firm convert the account and restrict Marcus's trading authority. QuickTrade's compliance department reviewed the account records and confirmed that Marcus was 19 years old at account opening--legally an adult in North Carolina--and that all account documentation was properly completed. The firm declined to convert the account without Marcus's consent.

Marcus subsequently made several options trades that resulted in losses of approximately \$2,800 between July and September 2024. Marcus then filed an arbitration claim alleging that QuickTrade committed securities fraud by 'depriving him of ownership and rightful access' to his securities and that the firm 'mishandled' his account. He claimed the firm should have somehow prevented his losses or that the account was improperly established. QuickTrade maintained that the account was opened correctly for an adult customer, that all trades were self-directed through the mobile platform, and that no investment recommendations were made by the firm. The firm's records showed Marcus independently selected and executed all transactions without any advice from QuickTrade representatives.

Question

Did QuickTrade Securities LLC violate FINRA suitability obligations or fail to act in the customer's best interest by establishing a standard individual brokerage account for the 19-year-old customer and allowing him to execute self-directed trades?

Answer

QuickTrade Securities LLC did not violate FINRA suitability rules or any best interest standard. The firm's conduct was compliant with applicable regulations.

Under FINRA Rule 2111, suitability obligations apply when a broker-dealer or associated person makes a 'recommendation' to a customer. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. However, the threshold requirement is that a recommendation must have been made. FINRA has consistently held that self-directed trading platforms where customers independently select investments without firm recommendations do not trigger traditional suitability obligations for each transaction.

Here, QuickTrade operated as a self-directed brokerage platform. The firm's records established that Marcus Thornton independently selected and executed all trades through the mobile application without receiving recommendations from any associated person. The account opening process itself was appropriate: Marcus was 19 years old, legally an adult under North Carolina law with full capacity to contract and open securities accounts. The firm had no obligation--and indeed no legal authority--to establish a custodial account for an adult or to restrict his trading based on a third party's request.

Regarding customer-specific suitability under Rule 2111(a), even if the account opening constituted an implicit recommendation of the account type, the standard individual brokerage account was entirely suitable for an adult customer with Thornton's stated moderate risk tolerance and growth objective. The firm collected required customer information pursuant to FINRA Rule 2090 (Know Your Customer) and processed the account application appropriately.

The claimant's allegations of 'securities fraud' and 'mishandling' lack factual foundation. No misrepresentations were made, no unsuitable recommendations were provided, and the firm maintained proper account records. The customer's subsequent trading losses resulted from his own self-directed investment decisions, not from any breach of duty by QuickTrade. The arbitration panel correctly denied all claims, finding no violation of FINRA Rules 2111 or 2010.

Key Factor

The firm made no investment recommendations to the self-directed customer, and the account type established was entirely appropriate for a legally adult customer with capacity to make his own investment decisions.

Item 155 of 499**NON-COMPLIANT**

Topic: high_risk_broker_suitability_supervision

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities); FINRA Rule 3110 (Supervision); FINRA Rule 4512 (Customer Account Information)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Garrett Mills, age 71, was a retired postal worker residing in Tulsa, Oklahoma with a modest retirement portfolio of approximately \$285,000 in savings accumulated over 35 years of service. In March 2019, Mills visited Westbrook Financial Partners LLC seeking conservative income-generating investments to supplement his pension and Social Security income. His customer account form documented a conservative risk tolerance, income as his primary investment objective, a 10-year time horizon, and limited investment experience consisting solely of bank CDs and a 401(k) target-date fund.

Mills was assigned to broker Derek Thornton, who had joined Westbrook Financial Partners in January 2019. Prior to joining Westbrook, Thornton had been registered with three different broker-dealers over the preceding five years, accumulating four customer complaints alleging unsuitable recommendations, two of which resulted in settlements totaling \$175,000. Thornton also had a pending customer arbitration claim for \$95,000 involving allegations of excessive trading in a senior investor's account. Westbrook's hiring review noted these disclosures but approved Thornton's registration without imposing any heightened supervision or practice restrictions.

Between April and August 2019, Thornton recommended that Mills invest \$210,000--approximately 74% of his liquid assets--into a portfolio of leveraged and inverse exchange-traded products, non-traded REITs with 7-year lockup periods, and high-yield bond funds rated below investment grade. Thornton represented these products as 'enhanced income solutions' that would generate superior yields compared to traditional fixed-income investments. He did not adequately explain the volatility risks associated with leveraged ETPs, the illiquidity constraints of the non-traded REITs, or the credit risk inherent in high-yield bonds.

By February 2020, Mills' portfolio had declined in value to approximately \$142,000, representing a loss of over \$143,000 from his original investment. The leveraged products performed poorly during market volatility, and Mills discovered he could not access approximately \$85,000 invested in the non-traded REITs when he needed funds for unexpected medical expenses. Westbrook Financial Partners had not implemented any enhanced supervisory procedures for Thornton's accounts despite his disciplinary history.

Question

Did Westbrook Financial Partners LLC and broker Derek Thornton violate suitability obligations under FINRA rules in connection with the recommendations made to Garrett Mills?

Answer

Yes, both Westbrook Financial Partners LLC and Derek Thornton violated FINRA suitability requirements, and the firm additionally failed its supervisory obligations regarding a high-risk broker.

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended

transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Rule 2111 encompasses three component obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Thornton's recommendations failed customer-specific suitability on multiple grounds. Mills' documented conservative risk tolerance and income-focused investment objective were fundamentally incompatible with leveraged and inverse ETPs, which are complex products designed for sophisticated short-term traders and carry substantial volatility risk. FINRA has repeatedly emphasized that leveraged ETPs are generally unsuitable for retail investors with long-term investment horizons. Additionally, concentrating 74% of a 71-year-old retiree's liquid assets in illiquid non-traded REITs with 7-year lockup periods directly contradicted Mills' need for accessible income and violated FINRA Rule 2330's concentration guidelines for variable annuities, which by analogy establishes reasonable concentration limits for senior investors in illiquid products.

Furthermore, Westbrook Financial Partners violated FINRA Rule 3110 (Supervision) by failing to establish and maintain a supervisory system reasonably designed to achieve compliance with applicable securities laws. Given Thornton's significant disciplinary history--including four customer complaints, two settlements totaling \$175,000, and a pending arbitration--the firm was obligated to implement heightened supervision. The failure to impose any practice restrictions or enhanced review procedures for a broker with documented misconduct history involving unsuitable recommendations represents a material supervisory deficiency.

The firm cannot defend its conduct by pointing to Thornton's employment approval, as FINRA guidance consistently emphasizes that hiring high-risk brokers requires commensurate supervisory measures. The concentration of an elderly, conservative investor's assets in complex, illiquid, and volatile products exemplifies precisely the type of harm heightened supervision is designed to prevent.

Key Factor

The firm hired a broker with extensive prior misconduct history involving unsuitable recommendations and failed to implement any heightened supervision, enabling him to concentrate a conservative 71-year-old retiree's assets in complex, illiquid, and volatile products wholly inconsistent with the customer's documented investment profile.

Item 156 of 499**NON-COMPLIANT**

Topic: holistic_suitability_assessment_elderly_investor

Difficulty: hard

Standard: Investment Advisers Act Section 206(1), Section 206(2); SEC fiduciary duty of care standard for investment advisers

Source: 09_Law_Firm_Memos

Fact Pattern

Clearwater Capital Advisors LLC is an SEC-registered investment adviser based in Denver, Colorado. In March 2020, registered representative and investment adviser representative Thomas Brennan met with new client Dorothy Sinclair, an 81-year-old retired schoolteacher. Mrs. Sinclair's client intake form documented the following: annual income of \$42,000 from Social Security and a small pension, liquid assets of \$385,000 (representing her entire life savings held in bank CDs), a stated investment objective of 'capital preservation with modest income,' a risk tolerance marked as 'conservative,' an investment time horizon of '3-5 years,' and a notation that she needed to maintain access to funds for potential assisted living expenses within 24 months. Mrs. Sinclair explicitly told Brennan during their meeting that she 'couldn't afford to lose any principal' and that her daughter had recently begun researching memory care facilities for her.

Brennan recommended that Mrs. Sinclair invest \$310,000--approximately 80% of her liquid assets--into a portfolio consisting of: \$150,000 in a high-yield bond fund with average duration of 8.2 years and holdings concentrated in CCC-rated corporate debt, \$100,000 in an emerging markets equity fund, and \$60,000 in a leveraged real estate investment trust that employed 2:1 leverage. Brennan's internal notes stated that these products would 'generate superior income compared to CDs' and that 'client needs growth to keep pace with healthcare inflation.' The firm's compliance manual, updated in January 2020, specifically emphasized that advisers must implement 'a holistic, risk-based approach that incorporates thorough due diligence of clients' and that 'compliance procedures cannot be applied in a check-the-box fashion.'

By September 2020, amid market volatility, Mrs. Sinclair's portfolio had declined to \$218,000, a loss of approximately \$92,000 or nearly 30%. When Mrs. Sinclair's daughter contacted the firm seeking to liquidate assets to fund her mother's move to an assisted living facility, she discovered the extent of the losses. The daughter filed a complaint with the SEC, alleging that Brennan had recommended investments wholly unsuitable for her mother's documented profile and circumstances.

Question

Did Thomas Brennan and Clearwater Capital Advisors LLC breach their fiduciary duty of care under the Investment Advisers Act by recommending this portfolio to Dorothy Sinclair?

Answer

Yes, Thomas Brennan and Clearwater Capital Advisors LLC clearly breached their fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940. As a registered investment adviser, Clearwater owed Mrs. Sinclair the duties of care and loyalty, requiring that advice be in the client's best interest based on a reasonable understanding of her objectives and circumstances.

The fiduciary duty of care requires an adviser to provide advice that is suitable for the client and to have a reasonable

basis to believe the advice is in the client's best interest. The SEC has consistently emphasized that this obligation requires consideration of the client's financial situation, investment objectives, risk tolerance, time horizon, and liquidity needs. Here, the recommended portfolio catastrophically failed every dimension of this analysis.

First, regarding risk tolerance: Mrs. Sinclair explicitly identified as conservative and stated she 'couldn't afford to lose any principal.' The recommended portfolio contained CCC-rated junk bonds (among the riskiest fixed income), emerging markets equities with substantial volatility, and a leveraged REIT--none appropriate for a conservative investor. Second, concerning time horizon and liquidity: Mrs. Sinclair had a 3-5 year horizon with documented near-term liquidity needs for assisted living expenses within 24 months. The high-yield bond fund's 8.2-year duration exposed her to significant interest rate risk, while the leveraged REIT and emerging markets fund presented substantial principal risk over short periods. Third, regarding concentration: Allocating 80% of an elderly client's entire life savings to high-risk instruments contradicts fundamental prudent investment principles for any conservative investor, let alone an 81-year-old with imminent healthcare needs.

Brennan's justification that the client needed 'growth to keep pace with healthcare inflation' demonstrates a substitution of his own judgment for the client's clearly expressed objectives--a quintessential breach of fiduciary duty. The firm's own compliance manual emphasized holistic, risk-based approaches and thorough client due diligence, yet Brennan ignored documented client constraints. The subsequent 30% loss, while not itself dispositive, confirms the unsuitability of this recommendation. This constitutes a clear violation of the adviser's fiduciary duty of care under Section 206(1) and 206(2) of the Investment Advisers Act.

Key Factor

The adviser recommended an aggressive, illiquid portfolio consisting of junk bonds, emerging markets equities, and leveraged REITs to an 81-year-old conservative investor with documented near-term liquidity needs and explicit instructions to preserve principal.

Item 157 of 499

NON-COMPLIANT

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; Investment Advisers Act Section 206; FINRA Rule 2111 Suitability

Source: 05_SEC_Exam_Findings

Fact Pattern

Clearwater Wealth Advisors, LLC, a dually-registered investment adviser and broker-dealer headquartered in Tampa, Florida, assigned representative Marcus Thornton to handle the account of Eleanor Vasquez, a 71-year-old retired schoolteacher. Ms. Vasquez opened her account in March 2024 with \$385,000 representing substantially all of her liquid retirement savings, having recently rolled over her 403(b) plan following her retirement after 38 years of teaching. Her account opening documents indicated a 'conservative' risk tolerance, a primary investment objective of 'capital preservation with modest income,' a 10-year investment time horizon, and limited investment experience consisting solely of target-date mutual funds held in her employer plan.

During their initial consultation on March 15, 2024, Mr. Thornton discussed market opportunities and recommended that Ms. Vasquez allocate \$115,500 (30% of her portfolio) to ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF tracking the Nasdaq-100 index. Mr. Thornton explained that technology stocks were poised for significant gains and that the leveraged product would 'supercharge her returns for retirement.' He did not explain the daily reset mechanism, volatility decay, or the product's design for short-term tactical trading rather than buy-and-hold strategies. The firm's product committee had designated TQQQ as suitable only for investors with 'aggressive' or 'speculative' risk profiles and investment horizons of 30 days or less.

Ms. Vasquez held the TQQQ position for seven months without any communication from Mr. Thornton regarding the ongoing appropriateness of maintaining a leveraged position. During this period, the Nasdaq-100 experienced significant volatility, and despite the index finishing roughly flat, Ms. Vasquez's TQQQ position declined by approximately 22% due to volatility decay and compounding effects, resulting in a loss of approximately \$25,400. A subsequent examination by the Division of Examinations in November 2024 flagged the recommendation as part of the SEC's focus on adherence to fiduciary standards of conduct and broker-dealer retail sales practices.

Question

Did Marcus Thornton's recommendation of the 3x leveraged ETF to Eleanor Vasquez satisfy his care obligation under Regulation Best Interest and the firm's fiduciary duty as a registered investment adviser?

Answer

No. Marcus Thornton's recommendation violated both Regulation Best Interest's Care Obligation and the firm's fiduciary duty of care under Investment Advisers Act Section 206.

Under Regulation Best Interest Rule 15l-1(a)(2)(ii), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation; have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile; and have a reasonable basis to believe that a series of recommended transactions is not excessive. Ms. Vasquez's documented profile--conservative risk tolerance, capital preservation objective, limited experience, and

10-year horizon--was fundamentally incompatible with TQQQ, a product explicitly designed for short-term tactical trading by sophisticated investors.

The recommendation fails each prong of the Care Obligation analysis. First, Mr. Thornton's failure to explain daily reset mechanics, volatility decay, and the product's short-term design suggests he either did not understand the product's risks or deliberately omitted material information. Second, no reasonable basis existed to believe a 3x leveraged ETF--internally designated for aggressive/speculative profiles with 30-day horizons--served the best interest of a 71-year-old retiree seeking capital preservation with her entire liquid retirement savings. Third, recommending a 30% allocation to a single leveraged position constitutes an excessive concentration given the customer profile.

Additionally, as a dually-registered adviser, Clearwater Wealth Advisors owed Ms. Vasquez a fiduciary duty under Section 206 of the Investment Advisers Act, requiring the firm to act in her best interest with undivided loyalty and utmost good faith. The recommendation breached this duty by prioritizing potential commission generation over prudent portfolio construction.

The firm's own internal product restrictions--designating TQQQ as appropriate only for aggressive investors with 30-day horizons--directly contradicted the recommendation, eliminating any good-faith defense. The seven-month holding period without review further demonstrates disregard for the product's inherent unsuitability for long-term holding. This matter represents a clear violation warranting enforcement consideration.

Key Factor

The representative recommended a 3x leveraged ETF designed for short-term tactical trading to a conservative 71-year-old retiree seeking capital preservation, directly contradicting the firm's own internal product suitability restrictions.

Item 158 of 499**NON-COMPLIANT**

Topic: promissory_note_counterclaim_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 12904(j) (Award Offsets)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Delgado, age 58, was a registered representative at Pinnacle Wealth Advisors from January 2015 through March 2019. Upon joining the firm, Delgado signed a promissory note for \$185,000, representing a forgivable loan tied to his continued employment over a five-year period. The note specified that if Delgado departed before the forgiveness period concluded, the outstanding balance would become immediately due and payable.

During his tenure, Delgado serviced the accounts of Eleanor Whitfield, a 72-year-old retired schoolteacher with a modest pension of \$3,200 monthly, a \$340,000 IRA rollover from her late husband's 401(k), and limited investment experience. Mrs. Whitfield's stated investment objectives were capital preservation and income generation, with a conservative risk tolerance documented in her new account forms. She explicitly noted her need for steady income to supplement her pension and cover medical expenses for a chronic condition.

Between June 2017 and February 2019, Delgado recommended that Mrs. Whitfield invest \$275,000 of her IRA assets into a portfolio consisting primarily of leveraged inverse ETFs, non-traded REITs with seven-year lockup periods, and high-yield emerging market bond funds. Delgado documented in his notes that these products would provide 'enhanced returns' and 'diversification benefits.' He did not document any analysis of how these complex, illiquid, and volatile investments aligned with Mrs. Whitfield's conservative profile and income needs.

In March 2019, Delgado resigned from Pinnacle Wealth Advisors with \$127,500 remaining on his promissory note. The firm demanded repayment. Mrs. Whitfield, having suffered losses of approximately \$89,000 and finding herself unable to access funds locked in the non-traded REITs for her medical expenses, filed an arbitration claim against both Delgado and Pinnacle Wealth Advisors alleging unsuitable recommendations and breach of fiduciary duty.

Question

Did Marcus Delgado's investment recommendations to Eleanor Whitfield satisfy FINRA's suitability requirements, and how should the arbitration panel address the competing monetary claims between the firm's promissory note demand and the customer's damages award?

Answer

The arbitration panel should find that Marcus Delgado violated FINRA Rule 2111 (Suitability) and that the competing monetary awards should be offset pursuant to FINRA Rule 12904(j).

Regarding suitability, FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, liquidity needs, and investment experience. Rule 2111 encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Delgado's recommendations failed customer-specific suitability analysis on multiple grounds. First, Mrs. Whitfield's documented conservative risk tolerance and capital preservation objective were fundamentally incompatible with leveraged inverse ETFs, which are designed for short-term trading and can experience dramatic losses. Second, the non-traded REITs with seven-year lockup periods directly contradicted her documented need for liquidity to cover ongoing medical expenses. A 72-year-old retiree with chronic health conditions and limited assets requires accessible funds, not illiquid alternative investments. Third, high-yield emerging market bonds carry substantial credit and currency risk inappropriate for a conservative investor seeking income stability.

Delgado's documentation noting 'enhanced returns' and 'diversification benefits' without any analysis connecting these products to Mrs. Whitfield's specific profile demonstrates a failure to perform the required customer-specific suitability analysis under Rule 2111(a). The concentration of \$275,000--representing over 80% of her investable assets--in unsuitable products further evidences the violation.

Pursuant to FINRA Rule 12904(j), effective October 24, 2016, when arbitrators order opposing parties to make payments to one another, the monetary awards shall offset absent specification to the contrary, with the party assessed the larger amount paying the net difference. If the panel awards Mrs. Whitfield \$89,000 in damages while finding Delgado owes \$127,500 on the promissory note, the awards would offset, requiring Delgado to pay only the \$38,500 net difference to Pinnacle. This offset mechanism, as explained in Regulatory Notice 16-36, mitigates the risk of non-payment and streamlines award satisfaction.

The suitability violations are clear and warrant an award to the claimant.

Key Factor

Delgado recommended leveraged inverse ETFs, illiquid non-traded REITs, and high-yield emerging market bonds to a 72-year-old conservative investor with documented liquidity needs and capital preservation objectives, without any documented analysis of customer-specific suitability.

Item 159 of 499

NON-COMPLIANT

Topic: unauthorized_fund_exchange_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2111.05 (Components of Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 67, was a retired schoolteacher residing in San Francisco with a modest retirement portfolio of approximately \$285,000 held at Westbrook Financial Partners LLC. Her investment profile, documented in March 2022, indicated a conservative risk tolerance, income generation as her primary objective, and a 10-year investment horizon. Chen's annual income from Social Security and a small pension totaled \$42,000, and she relied on quarterly dividends from her portfolio to supplement living expenses.

On August 14, 2023, Chen's registered representative, David Morrison (CRD #5847291), telephoned her regarding a proposed exchange from her existing balanced mutual fund (which had a 40% equity/60% fixed income allocation) into a growth-oriented equity fund with significantly higher volatility. The call lasted approximately eight minutes. Morrison explained that the new fund had generated 18% returns the previous year and suggested the exchange would benefit her long-term growth. Chen, whose primary language was Mandarin and who had limited English proficiency, asked several questions but later stated she did not fully understand the implications of the exchange.

Morrison executed the exchange on August 14, 2023, the same day as the phone conversation. No written confirmation was sent to Chen prior to the transaction, and Morrison's notes from the call consisted only of a single line stating 'discussed fund options.' Chen did not receive her quarterly statement until November 2023 because she had difficulty accessing the firm's online portal and had previously informed Morrison of this issue. Upon reviewing the statement, Chen discovered her portfolio had declined by \$31,000 due to market volatility affecting the growth fund.

When Chen filed a complaint in December 2023, Westbrook's compliance department could locate no contemporaneous documentation showing Chen's explicit authorization for the exchange, no email confirmation, and no evidence that Morrison had updated Chen's investment profile to reflect any change in her risk tolerance or objectives prior to recommending the more aggressive fund.

Question

Did Morrison's recommendation and execution of the fund exchange violate FINRA suitability requirements and constitute unsuitable investment advice for Chen?

Answer

Morrison's conduct violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). The recommendation was unsuitable and the execution lacked proper authorization.

Under FINRA Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, and time horizon. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Morrison failed customer-specific suitability under Rule 2111(a). Chen's documented profile explicitly indicated conservative risk tolerance and income generation objectives. At age 67 with fixed income of \$42,000 and reliance on portfolio dividends, she was clearly unsuited for a growth-oriented equity fund with high volatility. Morrison's recommendation directly contradicted every element of her investment profile. The fact that the growth fund had performed well historically is irrelevant; past performance does not transform an unsuitable recommendation into a suitable one.

Further, Morrison violated the documentation and authorization requirements implicit in Rule 2010's just and equitable principles of trade. Executing a material transaction the same day as an eight-minute phone call with a customer who had documented language barriers, without written confirmation prior to execution, demonstrates a failure to ensure informed customer consent. The absence of contemporaneous notes beyond a single vague line, combined with no email confirmation or updated suitability questionnaire, mirrors the evidentiary deficiencies cited in the underlying arbitration case.

Morrison cannot claim reliance on oral authorization given Chen's limited English proficiency and the lack of any follow-up confirmation. The firm's inability to produce documentation of explicit customer approval before execution creates an inference of unauthorized trading. Under FINRA Rule 2010, executing transactions without clear customer authorization constitutes conduct inconsistent with just and equitable principles.

The \$31,000 loss directly resulted from placing a conservative, income-dependent retiree into an unsuitable high-volatility product without proper authorization or documentation.

Key Factor

Morrison executed a fund exchange into a high-volatility growth product for a conservative, income-dependent retiree without documented authorization and contrary to her stated investment profile.

Item 160 of 499**NON-COMPLIANT**

Topic: day_trading_suitability_pattern_day_trader

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 4210 (Margin Requirements, Pattern Day Trader provisions); FINRA Rule 3110 (Supervision)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Marcus Chen, age 24, opened a margin account at Redwood Securities LLC in March 2024 with an initial deposit of \$12,500 from his savings accumulated while working as a restaurant server. Chen indicated on his new account form that his annual income was \$38,000, his liquid net worth was \$15,000, his investment objective was 'speculation,' and his risk tolerance was 'aggressive.' He had no prior investment experience beyond a small cryptocurrency portfolio he managed through a mobile app.

Chen's assigned registered representative, David Kowalski, actively encouraged Chen to pursue an aggressive day trading strategy in small-cap technology stocks after Chen expressed interest in 'making quick money in the markets.' Kowalski provided Chen with educational materials about day trading patterns and technical analysis, and suggested Chen could potentially generate substantial income through frequent intraday trades. Kowalski specifically recommended that Chen focus on volatile stocks with high daily trading ranges, executing multiple round-trip transactions daily.

Over the following six weeks, Chen executed 47 day trades, triggering the pattern day trader designation under FINRA Rule 4210. His account balance had declined to \$8,200 by mid-April 2024, falling well below the \$25,000 minimum equity requirement. When the firm's system flagged Chen's account and restricted his trading, Kowalski advised Chen to deposit additional funds from his emergency savings to restore trading privileges rather than discussing whether continued day trading was appropriate given his financial situation and mounting losses.

Chen borrowed \$10,000 from family members and deposited those funds on April 22, 2024, restoring his trading ability. By June 2024, his account balance had declined to \$4,100, representing a total loss of approximately \$18,400 including the borrowed funds. Throughout this period, Redwood Securities' supervisory system generated multiple alerts regarding Chen's account losses and concentrated trading activity, but no supervisor contacted Chen to assess whether the day trading strategy remained suitable.

Question

Did Kowalski's recommendation that Chen pursue an aggressive day trading strategy, and his subsequent advice to deposit additional funds to continue trading after significant losses, satisfy his suitability obligations under FINRA rules?

Answer

Kowalski's conduct violated FINRA Rule 2111 suitability requirements on multiple grounds. The recommendation that Chen pursue aggressive day trading was unsuitable at inception, and the subsequent advice to deposit additional funds to continue trading after substantial losses compounded the violation.

Under FINRA Rule 2111(a), a member must have a reasonable basis to believe a recommendation is suitable based on reasonable diligence concerning the customer's investment profile. Rule 2111 encompasses three components:

reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding customer-specific suitability, Chen's profile was fundamentally inconsistent with an aggressive day trading strategy. His \$12,500 initial deposit was substantially below the \$25,000 pattern day trader minimum equity threshold under Rule 4210, creating immediate structural problems. His \$38,000 annual income and \$15,000 liquid net worth meant day trading losses would materially impair his financial security. His complete lack of securities trading experience made him particularly vulnerable to the rapid decision-making demands of intraday trading. While Chen indicated aggressive risk tolerance and speculative objectives, FINRA guidance consistently emphasizes that customer-stated preferences do not override a representative's independent obligation to ensure strategy appropriateness.

Kowalski's advice to deposit additional funds after Chen's account declined below the \$25,000 threshold represents a separate suitability violation. Rather than reassessing whether continued day trading remained appropriate given Chen's demonstrated losses and depleted resources, Kowalski encouraged Chen to assume additional financial exposure by borrowing from family. This advice prioritized maintaining trading activity over Chen's financial wellbeing.

The firm's supervisory failures under FINRA Rules 3110 and 3120 further aggravated the situation. Multiple system alerts regarding account losses went unaddressed, demonstrating inadequate supervision of a high-risk strategy recommended to an inexperienced investor with limited resources.

Kowalski cannot defend by citing Chen's stated aggressive risk tolerance or speculation objective. The totality of Chen's financial circumstances--modest income, limited assets, zero experience, and insufficient capital for pattern day trading--rendered this strategy unsuitable regardless of stated preferences. The recommendation failed the customer-specific suitability requirement.

Key Factor

Recommending an aggressive day trading strategy to an inexperienced investor with insufficient capital to meet pattern day trader requirements and limited financial resources to absorb predictable losses.

Item 161 of 499**COMPLIANT**

Topic: energy_sector_concentration_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2014, Harold and Patricia Brennan, ages 68 and 65 respectively, opened a joint investment account with Piedmont Securities, LLC. The Brennans indicated on their new account documentation that they had a moderate risk tolerance, an investment objective of growth and income, a 10-15 year time horizon, and liquid net worth of approximately \$3.2 million. Their annual income from Social Security and a defined benefit pension totaled \$95,000. The account was managed by Financial Advisor Thomas Keller, who had 18 years of industry experience.

Over the following 18 months, Keller recommended a series of energy-sector equities including shares of major integrated oil companies, midstream pipeline operators, and domestic exploration and production firms. By December 2015, the Brennans' portfolio held approximately \$485,000 in energy-related positions, representing roughly 28% of their \$1.75 million account at Piedmont. The recommendations were made during a period of significant oil price volatility, with WTI crude declining from over \$100 per barrel in mid-2014 to under \$40 by early 2016.

The Brennans subsequently filed a FINRA arbitration claim in June 2017, alleging that Keller failed to diversify their portfolio, concentrated their holdings in unsuitable energy-sector investments, and breached his fiduciary duty. They sought \$312,000 in compensatory damages representing their losses in the energy positions. In his defense, Keller produced contemporaneous notes showing multiple conversations with Harold Brennan regarding energy market conditions, the Brennans' expressed interest in dividend-paying energy stocks for income, and their acknowledgment of sector-specific risks. Email correspondence confirmed the Brennans received and reviewed research materials on each recommended position before purchases were executed.

The arbitration panel reviewed all evidence including account statements, suitability questionnaires, trading records, and testimony from both parties. The Brennans could not produce documentation supporting their claim that they had instructed Keller to diversify out of energy holdings in July 2014.

Question

Did Financial Advisor Keller's recommendations of energy-sector equities to the Brennans satisfy his suitability obligations under FINRA rules?

Answer

Based on the facts presented, Financial Advisor Keller likely satisfied his suitability obligations under FINRA Rule 2111. The rule requires that a member or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile.

FINRA Rule 2111 encompasses three main suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Here, Keller appears to have met each component.

Regarding reasonable-basis suitability under Rule 2111(a), Keller recommended established energy-sector equities including major integrated oil companies and midstream operators--securities that, while volatile, are not inherently unsuitable. The documented research provided to the Brennans demonstrates Keller performed adequate product-level due diligence.

For customer-specific suitability, the Brennans' investment profile supports the recommendations: moderate risk tolerance, growth and income objectives, a 10-15 year time horizon, substantial liquid net worth of \$3.2 million, and stable pension income. A 28% allocation to energy equities, while concentrated, does not per se violate suitability standards for investors with this profile, particularly given their expressed interest in dividend-paying energy stocks for income purposes.

The contemporaneous documentation proves critical. Keller's notes reflecting multiple conversations about market conditions and risk acknowledgments, combined with email confirmations that the Brennans reviewed research before each purchase, demonstrate informed consent and ongoing communication consistent with FINRA Rule 2010's just and equitable principles of trade.

The Brennans' inability to substantiate their claimed July 2014 diversification instruction fatally undermines their core allegation. Without credible evidence of ignored customer instructions, the concentration claim fails. Similar to the outcome in FINRA Case 17-01671, where the panel found no credible evidence supporting diversification instructions or breach of fiduciary duty allegations, the documented record here supports Keller's defense.

Consequently, while the Brennans suffered losses, market decline alone does not establish unsuitability. The recommendations aligned with their stated profile and objectives, and Keller maintained appropriate documentation throughout the relationship.

Key Factor

The adviser maintained contemporaneous documentation of customer communications, risk disclosures, and the customers' expressed interest in energy-sector investments, while customers could not produce evidence supporting their claimed diversification instruction.

Item 162 of 499

NON-COMPLIANT

Topic: state_best_interest_annuity_suitability

Difficulty: hard

Standard: New York Regulation 187 (11 NYCRR 224); NAIC Suitability in Annuity Transactions Model Regulation 275

Source: 08_State_Fiduciary_Rules

Fact Pattern

Margaret Thornton, age 71, visited Keystone Financial Advisors LLC in Albany, New York, in March 2023 seeking guidance on repositioning her retirement savings. Margaret was a retired public school teacher with a modest pension of \$2,400 per month, Social Security benefits of \$1,850 per month, and total liquid assets of \$285,000, primarily held in bank CDs and a traditional IRA. Her stated investment objectives were capital preservation and maintaining liquidity to cover potential healthcare expenses, as she had recently been diagnosed with early-stage Parkinson's disease. She expressed to her adviser, Ronald Decker, that she wanted to keep at least \$100,000 readily accessible for medical costs and home modifications.

Decker, who was dually registered as a broker-dealer representative and insurance agent, recommended that Margaret liquidate her existing IRA and purchase a fixed indexed annuity from Meridian Life Insurance Company. The product, called the 'Meridian Growth Plus 10,' featured a 10-year surrender period with declining surrender charges starting at 9% in year one, a 10% free withdrawal provision, and participation in S&P 500 index gains subject to a 4.5% annual cap. Decker emphasized the principal protection feature and the potential for market-linked growth while earning a 6.5% commission on the \$235,000 premium.

Decker's documented suitability analysis noted Margaret's 'moderate' risk tolerance despite her explicit statements requesting conservative, liquid investments. He recorded her time horizon as '10+ years' based on actuarial life expectancy tables rather than her expressed need for near-term liquidity. The annuity application included a disclosure that the product was designed for long-term retirement planning and may not be appropriate for individuals with significant liquidity needs. Decker did not discuss alternative products such as shorter-term CDs, Treasury securities, or immediate annuities that might better address Margaret's stated healthcare funding concerns.

Three months after purchase, Margaret required \$45,000 for home accessibility modifications. When she attempted to withdraw funds, she discovered that only \$23,500 was available penalty-free, and accessing additional funds would trigger an 8.75% surrender charge. She filed a complaint with the New York Department of Financial Services in August 2023.

Question

Did Ronald Decker's recommendation of the Meridian Growth Plus 10 fixed indexed annuity comply with New York's Regulation 187 best interest standard?

Answer

Ronald Decker's recommendation violated New York Regulation 187 (11 NYCRR 224), which imposes a best interest standard on recommendations of annuity products to consumers in New York. The regulation, effective February 1, 2020 for annuity transactions, requires that insurance producers have a reasonable basis to believe the recommendation is in the best interest of the consumer based on an evaluation of the consumer's suitability information.

Under Regulation 187, Section 224.4(b), the producer must consider the consumer's financial situation, insurance needs, financial objectives, and the characteristics of the insurance product itself. Decker failed multiple prongs of this analysis. First, he documented Margaret's risk tolerance as 'moderate' when her explicit statements indicated a conservative, capital preservation objective--a clear misrepresentation of suitability information. Second, he recorded a 10+ year time horizon based on actuarial tables rather than Margaret's actual expressed need for near-term liquidity to address healthcare costs related to her Parkinson's diagnosis.

Section 224.4(d) specifically requires the producer to make reasonable efforts to obtain consumer suitability information and that recommendations be consistent with that information. Margaret explicitly stated she needed \$100,000 accessible for medical expenses. The Meridian Growth Plus 10's 10-year surrender period with 9% initial surrender charges and limited free withdrawal provision directly conflicted with this stated need. A product designed for long-term accumulation cannot reasonably be in the best interest of a client with documented near-term liquidity requirements.

Furthermore, Section 224.4(e) requires consideration of reasonably available alternatives. Decker failed to present or document consideration of more suitable products such as short-term CDs, Treasury securities, or immediate annuities that would have addressed Margaret's income and liquidity needs without substantial surrender penalties. His 6.5% commission creates an inference that compensation influenced the recommendation.

The recommendation fails the care obligation under Regulation 187's best interest standard. Decker prioritized product characteristics and his compensation over Margaret's clearly articulated financial situation and objectives.

Key Factor

Decker recommended a 10-year surrender period annuity to a 71-year-old client who explicitly stated she needed \$100,000 accessible for near-term healthcare expenses, directly contradicting her documented liquidity needs.

Item 163 of 499**NON-COMPLIANT**

Topic: unsuitable_complex_products_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Rule 15l-1 (Care Obligation); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Midland Ridge Securities, LLC is a mid-sized broker-dealer headquartered in Pittsburgh, Pennsylvania, with approximately 300 registered representatives across 95 branch offices. In March 2022, registered representative Thomas Brennan began servicing the account of Eleanor Whitfield, a 78-year-old retired schoolteacher residing in suburban Philadelphia. Mrs. Whitfield's new account documentation indicated she had a conservative risk tolerance, an investment objective of capital preservation and income, liquid net worth of approximately \$485,000 (representing her entire retirement savings), annual income of \$42,000 from Social Security and a small pension, a 5-year investment time horizon, and limited investment experience consisting primarily of CDs and money market funds held at her local bank.

During their initial meeting in April 2022, Brennan recommended that Mrs. Whitfield invest \$275,000--approximately 57% of her liquid net worth--into a portfolio of leveraged and inverse exchange-traded funds (ETFs) focused on the energy and technology sectors. Brennan explained these products would provide 'enhanced returns' to help Mrs. Whitfield keep pace with inflation and generate income. He did not explain that leveraged ETFs are designed for short-term trading and can experience significant value decay when held over extended periods due to daily rebalancing mechanics. Mrs. Whitfield executed the purchases based on Brennan's recommendation.

Over the following fourteen months, through June 2023, the leveraged ETF positions experienced substantial losses totaling approximately \$118,000, representing a 43% decline in value. Mrs. Whitfield's account statements showed the positions were held continuously without rebalancing or liquidation. When Mrs. Whitfield contacted Brennan expressing concern about the losses in September 2023, he advised her to 'stay the course' and that the positions would recover. Midland Ridge's supervisory system flagged Mrs. Whitfield's account for review in May 2023 due to concentrated positions in leveraged products, but the designated principal approved the holdings after a brief conversation with Brennan without conducting an independent review of the customer's profile or the suitability of the recommendations.

Question

Did Thomas Brennan and Midland Ridge Securities violate their suitability and best interest obligations under applicable FINRA rules and Regulation Best Interest in recommending leveraged ETFs to Mrs. Whitfield?

Answer

Yes, both Thomas Brennan and Midland Ridge Securities committed clear violations of their suitability and best interest obligations. The recommendation of leveraged ETFs to Mrs. Whitfield failed multiple regulatory requirements.

Under FINRA Rule 2111 (Suitability), a member must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Leveraged and inverse ETFs are complex products designed for sophisticated investors with short-term trading strategies--typically daily holding periods. FINRA has repeatedly

cautioned that these products are generally unsuitable for retail investors who plan to hold them for more than one trading session.

Applying the three-pronged suitability analysis: (1) Reasonable-basis suitability--Brennan failed to understand the fundamental mechanics of leveraged ETFs, including volatility decay and daily rebalancing risks; (2) Customer-specific suitability--the recommendation was wholly inconsistent with Mrs. Whitfield's conservative risk tolerance, capital preservation objective, 5-year time horizon, limited investment experience, and reliance on these funds for retirement; (3) Quantitative suitability--concentrating 57% of a 78-year-old's liquid net worth in volatile leveraged products was excessive given her profile.

Under Regulation Best Interest (Rule 15l-1), Brennan was required to exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and have a reasonable basis to believe it was in Mrs. Whitfield's best interest. The Care Obligation was violated as no reasonable basis existed to recommend complex, high-risk products to a conservative elderly investor with limited experience and a capital preservation objective.

Midland Ridge violated FINRA Rules 3110 and 2010 by failing to establish and maintain a supervisory system reasonably designed to achieve compliance. The principal's cursory review--approving flagged positions without independent analysis of customer suitability--constitutes a supervisory failure. The firm's obligation includes ensuring recommendations of complex products receive heightened scrutiny, particularly for vulnerable investors.

The recommendation to 'stay the course' after substantial losses further evidenced disregard for Mrs. Whitfield's best interests.

Key Factor

Recommending complex leveraged ETFs designed for short-term trading to a 78-year-old conservative investor with capital preservation objectives and a multi-year time horizon constituted a fundamental violation of customer-specific suitability and the Reg BI Care Obligation.

Item 164 of 499**NON-COMPLIANT**

Topic: feeder_fund_due_diligence_suitability

Difficulty: hard

Standard: Investment Advisers Act Section 206(1) and 206(2); SEC fiduciary duty of care requiring reasonable basis for recommendations and adequate due diligence on investment products

Source: 11_Case_Law

Fact Pattern

Cornerstone Wealth Advisors LLC, a registered investment adviser based in New York, managed approximately \$450 million in client assets as of December 2007. Marcus Holloway, age 68, was a retired pharmaceutical executive who approached Cornerstone in March 2007 seeking conservative income-generating investments for his \$2.8 million retirement portfolio. During the onboarding process, Holloway explicitly stated his objectives: capital preservation, steady income of approximately 5-6% annually, and minimal volatility given his reliance on these funds for living expenses. His investment policy statement documented a 'conservative' risk tolerance and a time horizon of 15-20 years.

Cornerstone's senior adviser, Daniel Reicher, recommended that Holloway allocate \$1.4 million (50% of his portfolio) to the Beacon Global Equity Fund, a feeder fund that invested exclusively with a single third-party manager, Sterling Asset Management. Reicher presented the fund as offering 'consistent, market-neutral returns averaging 10-12% annually with minimal correlation to equity markets.' The fund's marketing materials emphasized its purported split-strike conversion strategy and showed remarkably smooth returns over a fifteen-year period with no negative quarters.

Reicher conducted no independent verification of Sterling Asset Management's trading activity, did not request custody statements from Sterling's prime broker, and failed to investigate why the feeder fund's auditor was a small, relatively unknown accounting firm despite the fund's \$800 million in reported assets. Cornerstone received a 1.5% placement fee from Beacon Global for each client investment, a fact disclosed in a footnote within the advisory agreement but not verbally discussed with Holloway. In November 2008, Sterling Asset Management was revealed to be a fraud, and Holloway lost his entire \$1.4 million investment plus an additional \$180,000 in purported gains that had been reinvested.

Question

Did Cornerstone Wealth Advisors breach its fiduciary duty of care by recommending that Holloway invest 50% of his conservative retirement portfolio in the Beacon Global Equity Fund without conducting adequate due diligence on the underlying manager?

Answer

Cornerstone Wealth Advisors breached its fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940. As a registered investment adviser, Cornerstone owed Holloway fiduciary duties of care and loyalty, which require that advice be rendered in the client's best interest based on a reasonable investigation of investment recommendations.

The duty of care requires an adviser to have a reasonable basis for recommendations, which necessarily includes conducting appropriate due diligence on recommended investments. Here, Cornerstone's failures were manifold. First,

recommending that a 68-year-old retiree with documented conservative risk tolerance and income needs allocate 50% of his retirement assets to a single feeder fund was facially unsuitable. The concentration risk alone violated basic suitability principles regardless of the fund's purported strategy.

Second, Cornerstone failed to conduct reasonable inquiry into Beacon Global and its underlying manager, Sterling Asset Management. An adviser recommending a feeder fund structure has a heightened obligation to investigate because clients are dependent on the adviser's assessment--they cannot easily verify the underlying manager's operations. Reicher never requested custody confirmations, trade confirmations, or independent verification of Sterling's reported positions. The unusually consistent returns with no negative quarters over fifteen years should have triggered skepticism and additional scrutiny, as such performance is statistically improbable for any legitimate trading strategy.

Third, the auditor red flag--a small, unknown firm auditing an \$800 million fund--warranted investigation that never occurred. A reasonably diligent adviser would recognize that major funds typically engage recognized audit firms.

The 1.5% placement fee created an undisclosed conflict influencing the recommendation, further evidencing breach of fiduciary duty. While footnote disclosure existed, the SEC has consistently held that buried disclosures are insufficient when an adviser has reason to know the client would consider such information material.

Cornerstone's conduct fell below the standard of care expected of a fiduciary, and the recommendation was unsuitable for Holloway's documented investment profile, resulting in a clear breach of the adviser's duty of care under Section 206(2).

Key Factor

Cornerstone recommended a concentrated position in a feeder fund without conducting any independent verification of the underlying manager's trading activity or investigating obvious red flags, directly harming a conservative retiree client.

Item 165 of 499

NON-COMPLIANT

Topic: suitability_large_cap_concentration_retail_investor

Difficulty: medium

Standard: Regulation BI Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 Suitability (reasonable-basis, customer-specific, and quantitative suitability)

Source: 10_Academic_Articles

Fact Pattern

Margaret Holloway, age 67, is a retired schoolteacher who approached Granite Peak Securities LLC in March 2023 seeking advice on investing her \$485,000 in retirement savings. Her stated investment objectives were capital preservation and income generation to supplement her pension and Social Security benefits. She indicated a conservative risk tolerance on her new account documentation and noted she had limited investment experience, having previously held only certificates of deposit and a small municipal bond fund. Her annual income from pension and Social Security totaled approximately \$52,000, and she had no other significant assets beyond her primary residence.

Her assigned representative, Derek Fontaine, recommended that Mrs. Holloway invest 75% of her portfolio (\$363,750) into a concentrated position in three mega-cap technology stocks: Apex Digital Corp, TechnoSphere Industries, and DataFlow Solutions Inc. Fontaine explained that these were 'safe blue-chip companies' with strong market positions and that their size made them essentially risk-free. He noted that Park's academic research demonstrates how large companies dominate capital allocation in securities markets, suggesting this validated his concentration strategy.

Fontaine did not discuss the volatility characteristics of technology equities, nor did he explain that even large-cap stocks can experience significant price declines. He failed to present alternative investment options such as dividend-paying utilities, fixed-income securities, or balanced funds that would have been more consistent with Mrs. Holloway's stated objectives. Within eight months, the concentrated technology position declined by 28% as the sector experienced a correction, resulting in losses exceeding \$100,000. Mrs. Holloway filed a complaint alleging that the recommendation was unsuitable for her conservative profile and retirement income needs.

Question

Did Derek Fontaine's recommendation to concentrate 75% of Mrs. Holloway's retirement savings in three technology stocks satisfy his obligation to act in her best interest under Regulation BI?

Answer

Derek Fontaine violated Regulation BI's Care Obligation by recommending a concentrated technology stock position that was fundamentally inconsistent with Mrs. Holloway's customer profile. Under Regulation BI Rule 15l-1(a)(2)(ii), a broker-dealer must exercise reasonable diligence, care, and skill when making recommendations, ensuring the recommendation is in the customer's best interest based on the customer's investment profile.

The Care Obligation requires analysis of reasonably available alternatives. Fontaine failed this requirement by not considering income-generating investments such as dividend stocks, bonds, or balanced funds that aligned with Mrs. Holloway's stated objectives of capital preservation and income generation. A 67-year-old retiree with limited investment experience, conservative risk tolerance, and dependence on portfolio income for living expenses has a profile that fundamentally conflicts with a 75% concentration in volatile growth equities.

The recommendation also violated the reasonable-basis suitability component. Fontaine's justification that mega-cap companies are 'essentially risk-free' reflects a fundamental misunderstanding of equity risk. Technology stocks, regardless of market capitalization, carry significant volatility and are inappropriate as a dominant allocation for conservative retirees. His mischaracterization of academic research on corporate power to validate concentration strategy demonstrates lack of reasonable diligence.

Additionally, Fontaine failed to consider customer-specific factors mandated by Reg BI, including Mrs. Holloway's age, time horizon, liquidity needs, and risk tolerance. A 75% equity concentration in a single sector for someone requiring stable income contradicts basic portfolio construction principles for her demographic.

Fontaine cannot defend by arguing the stocks were individually high-quality. Reg BI's Care Obligation examines recommendations in context of the customer's entire profile, not merely the quality of individual securities. The concentrated, growth-oriented recommendation was unsuitable regardless of the underlying companies' market positions.

The 28% decline and \$100,000 loss, while not required to establish a violation, demonstrates the materialization of precisely the risk that a proper suitability analysis should have identified and avoided. Fontaine's recommendation constitutes a clear violation of Regulation BI's Care Obligation.

Key Factor

Recommending a 75% concentration in volatile technology equities to a 67-year-old conservative retiree seeking capital preservation and income directly contradicted her documented investment profile and objectives.

Item 166 of 499

NON-COMPLIANT

Topic: best_execution_duty_of_care_retail_orders

Difficulty: hard

Standard: FINRA Rules 5310(a), 5310.09(a) and (b), 3110(a) and (b), and 2010

Source: 03_FINRA_AWC

Fact Pattern

Meridian Securities LLC is a mid-sized broker-dealer headquartered in Boston, Massachusetts, with approximately 450 registered representatives serving both institutional and retail clients. From March 2018 through December 2021, Meridian operated a proprietary Alternative Trading System called 'MeridianX' while also providing retail brokerage services to individual investors.

Carol Henderson, age 58, opened a brokerage account with Meridian in January 2018 with an initial deposit of \$385,000, representing her retirement savings accumulated over 32 years of employment as a hospital administrator. Her investment profile documented moderate risk tolerance, income generation as her primary objective, and a 7-10 year investment horizon before planned retirement at age 65. Henderson indicated she was an unsophisticated investor with limited trading experience and relied heavily on her broker's recommendations.

Henderson's assigned representative, Thomas Whitfield, regularly recommended equity trades that Henderson approved based on his guidance. Unknown to Henderson, Meridian's smart order router was configured with a 'preference setting' that automatically routed all marketable retail customer orders to MeridianX first whenever the ATS showed sufficient liquidity at the NBBO, regardless of whether competing venues offered price improvement opportunities or faster execution speeds.

Internal execution quality reports generated quarterly by Meridian's operations department consistently showed that MeridianX fill rates averaged 67% compared to 78-84% at competing dark pools and exchanges. Additionally, analysis revealed that orders routed to MeridianX received price improvement on only 12% of executions, while competing venues provided price improvement on 23-31% of comparable orders. Despite these documented deficiencies, Meridian's compliance department never modified the routing preference or evaluated whether alternative routing arrangements would benefit customers like Henderson.

Over the relevant period, Henderson executed 847 equity transactions totaling approximately \$2.1 million in volume through her account. Meridian's supervisory procedures contained no specific guidance requiring supervisors to evaluate whether the firm's routing practices delivered best execution for retail customers, and no comparative analysis of execution venues was ever performed as part of the firm's compliance reviews.

Question

Did Meridian Securities LLC fulfill its best execution obligations and duty of care to Carol Henderson with respect to the routing and execution of her equity orders?

Answer

Meridian Securities LLC violated its best execution obligations to Carol Henderson and failed to satisfy its duty of care in executing her equity orders. The firm's conduct violated FINRA Rules 5310(a), 5310.09(a) and (b), 3110(a) and (b), and 2010.

Under FINRA Rule 5310(a), broker-dealers must use reasonable diligence to ascertain the best market for a security and execute transactions so that the resultant price is as favorable as possible under prevailing market conditions. Meridian's automatic preferencing of MeridianX for all marketable orders, without consideration of whether alternative venues offered superior price improvement or execution speed, directly contravenes this obligation. The firm's internal data demonstrating MeridianX's inferior fill rates (67% versus 78-84% at competitors) and substantially lower price improvement rates (12% versus 23-31%) provided clear evidence that routing alternatives would have benefited Henderson.

FINRA Rule 5310.09(a) mandates that firms routing orders on an automated basis must conduct regular and rigorous reviews of execution quality on at least a quarterly basis. While Meridian generated quarterly execution quality reports, the firm failed to act on the documented deficiencies or consider whether modifications to routing practices were warranted. Rule 5310.09(b) requires firms to compare execution quality across venues--an analysis Meridian never performed despite possessing comparative data showing MeridianX underperformed.

The supervisory failures compound these violations. Under FINRA Rules 3110(a) and (b), Meridian was required to establish written supervisory procedures reasonably designed to achieve compliance with best execution obligations. The firm's WSPs contained no guidance requiring supervisors to evaluate routing practices or respond to execution quality deficiencies. This structural failure meant Henderson's 847 transactions were systematically disadvantaged without any supervisory intervention.

Henderson's profile as an unsophisticated, moderate-risk investor approaching retirement heightens the firm's care obligation. She relied entirely on Meridian's expertise and had no means to independently evaluate execution quality. The firm's self-serving routing preference prioritized proprietary venue utilization over customer interests, resulting in quantifiable harm across \$2.1 million in transaction volume. Meridian's violations are clear and systemic.

Key Factor

Meridian's systematic preferencing of its proprietary ATS despite documented evidence of inferior fill rates and price improvement compared to competing venues, combined with failure to conduct meaningful comparative execution quality analysis, violated best execution obligations to retail customers.

Item 167 of 499**NON-COMPLIANT**

Topic: annuity_suitability_elderly_customer

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 78, was a longtime customer of Heartland Financial Partners and her registered representative, Thomas Brennan. Mrs. Holloway was a retired schoolteacher with a conservative risk tolerance, whose primary investment objective was capital preservation and income generation to supplement her fixed pension of \$2,400 per month. Her liquid net worth totaled approximately \$285,000, representing her entire life savings held in certificates of deposit and a money market account at her local bank.

In March 2019, Brennan met with Mrs. Holloway at her home to discuss her financial situation. Brennan recommended that she liquidate her bank holdings and invest \$240,000 into a variable annuity product with a 12-year surrender period and annual surrender charges starting at 8% in the first year. The annuity included various sub-account investment options heavily weighted toward equity growth funds. The product carried total annual expenses of 3.2%, including mortality and expense charges, administrative fees, and sub-account management fees. The annuity also included a guaranteed minimum income benefit rider costing an additional 1.1% annually.

Brennan's new account documentation noted Mrs. Holloway's risk tolerance as 'moderate growth' and her investment objective as 'capital appreciation,' despite her verbal statements during the meeting that she needed safe, accessible funds for potential medical expenses and could not afford to lose principal. Mrs. Holloway's documented health history included recent hospitalization for cardiac issues, and she mentioned concerns about affording potential long-term care needs.

Following market volatility in early 2020, Mrs. Holloway's annuity account declined by approximately \$52,000. When she attempted to access funds for unexpected medical bills totaling \$35,000, she discovered she would face surrender charges of approximately \$16,400. Her daughter subsequently filed a customer complaint alleging unsuitability and misrepresentation, which resulted in a settlement payment of \$68,000 from Heartland Financial Partners.

Question

Did Thomas Brennan's recommendation of the variable annuity with a 12-year surrender period to Mrs. Holloway satisfy FINRA's suitability requirements under Rule 2111?

Answer

No, Thomas Brennan's recommendation of the variable annuity violated FINRA Rule 2111's suitability requirements on multiple grounds.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

First, regarding customer-specific suitability under Rule 2111(a), the recommendation failed to account for Mrs. Holloway's actual investment profile. At age 78 with documented cardiac health issues, her investment time horizon was inconsistent with a 12-year surrender period. The surrender charges effectively locked up 84% of her liquid assets, directly contradicting her stated need for accessible funds for potential medical expenses. FINRA has consistently held that long-surrender-period annuities are presumptively unsuitable for elderly customers with liquidity needs.

Second, the documented risk tolerance of 'moderate growth' and investment objective of 'capital appreciation' appear to have been falsified, contradicting Mrs. Holloway's verbal statements about capital preservation needs. Under FINRA Rule 2010, Brennan had an obligation to accurately document customer information. The equity-heavy sub-account allocation exposed her to significant market risk inconsistent with her conservative profile.

Third, the product's total annual costs of 4.3% created a substantial drag on returns, making it exceedingly difficult for a conservative investor seeking income generation to achieve her stated objectives. For an elderly customer with limited income, these embedded costs further demonstrate unsuitability.

Brennan cannot defend by pointing to the signed documentation, as FINRA guidance makes clear that representatives cannot rely on inaccurate customer profiles that they themselves created. The recommendation prioritized generating commission over Mrs. Holloway's genuine financial needs and constraints, representing a clear violation of the care obligation embedded in Rule 2111's suitability framework.

Key Factor

Recommending a variable annuity with a 12-year surrender period to a 78-year-old customer with documented health issues and explicit liquidity needs for medical expenses was fundamentally unsuitable regardless of documented customer profile information.

Item 168 of 499**NON-COMPLIANT**

Topic: complex_product_suitability_for_conservative_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Customer Investment Profile); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollister, age 68, was a retired elementary school teacher who opened an account with Granite Peak Securities LLC in March 2019. During her new account interview with registered representative Thomas Brennan, Mrs. Hollister explained that her entire liquid net worth of \$425,000 represented her life savings accumulated over 35 years of teaching. She stated her primary investment objective was capital preservation with modest income generation to supplement her monthly pension of \$2,800 and Social Security benefits of \$1,950. She explicitly told Brennan that she could not afford to lose principal because she had no other resources and needed the funds to potentially cover future healthcare costs. Brennan documented her risk tolerance as 'conservative' and her investment time horizon as '5-7 years.'

Despite this documented profile, over the following six months Brennan recommended and executed a series of investments that concentrated approximately 65% of Mrs. Hollister's portfolio--roughly \$276,000--in leveraged and inverse exchange-traded products. Specifically, he placed \$145,000 in a 3x leveraged S&P 500 ETF, \$78,000 in a 2x inverse NASDAQ ETF, and \$53,000 in a leveraged emerging markets fund. Brennan told Mrs. Hollister these products would 'protect her from market downturns while capturing gains' and described them as 'sophisticated hedging tools that the professionals use.' He did not explain the daily reset mechanism, compounding decay, or the fact that these products were designed for short-term tactical trading rather than buy-and-hold strategies.

Mrs. Hollister held these positions for approximately fourteen months. During this period, despite relatively flat performance in the underlying indices, her leveraged positions lost approximately \$87,000 in value due to volatility decay and compounding effects. When she contacted Brennan in September 2020 expressing concern about her statements showing significant losses, he advised her to 'stay the course' because 'these products always recover.' By January 2021, her total portfolio had declined to \$298,000, representing a loss of nearly 30% of her life savings. She subsequently filed a customer complaint and FINRA arbitration claim against Granite Peak Securities.

Question

Did Thomas Brennan's recommendations of leveraged and inverse ETFs to Margaret Hollister satisfy his suitability obligations under FINRA rules?

Answer

Brennan's recommendations clearly violated FINRA Rule 2111 (Suitability) on multiple grounds, and the claim would likely succeed.

Under Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111(a), Brennan failed to understand the products he recommended. Leveraged and inverse ETFs are complex instruments that reset daily, making them unsuitable for holding periods beyond one day for most market conditions. FINRA has consistently warned that these products can produce dramatically unexpected results when held for longer periods due to the mathematics of compounding. Brennan's representation that these were appropriate 'hedging tools' for a fourteen-month hold demonstrates a fundamental misunderstanding of product mechanics.

The customer-specific suitability violation is even more pronounced. Mrs. Hollister's documented profile--age 68, conservative risk tolerance, capital preservation objective, 5-7 year time horizon, and explicit inability to sustain losses--made her categorically unsuitable for leveraged products. FINRA Rule 2111.05(a) requires brokers to make reasonable efforts to obtain and analyze customer profile information. Brennan obtained this information but disregarded it entirely. Concentrating 65% of a conservative retiree's life savings in leveraged instruments designed for sophisticated active traders represents a direct contradiction of her stated objectives and documented risk tolerance.

The fourteen-month holding period compounds the violation. These products' prospectuses explicitly warn against long-term holding, yet Brennan advised Mrs. Hollister to 'stay the course' when she expressed concern--further breaching his ongoing suitability obligations under Rule 2111.

Brennan also violated FINRA Rule 2010 (Standards of Commercial Honor) by misrepresenting the nature and risks of these products. Describing leveraged ETFs as safe hedging tools to a financially unsophisticated retiree constitutes conduct inconsistent with just and equitable principles of trade.

No viable defense exists. The firm cannot claim reliance on customer sophistication given her documented profile, nor can Brennan claim the customer requested these investments when he actively recommended them as appropriate.

Key Factor

Brennan concentrated 65% of a conservative 68-year-old retiree's life savings in leveraged and inverse ETFs--products explicitly unsuitable for buy-and-hold strategies--directly contradicting her documented capital preservation objective and inability to sustain losses.

Item 169 of 499

NON-COMPLIANT

Topic: annuity_suitability_retirement_accounts

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); California Corporations Code Section 25401

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, was a retired schoolteacher in Sacramento, California with a conservative risk tolerance and a primary investment objective of capital preservation with modest income generation. In March 2019, she met with Gerald Hayes, a registered representative at Pacific Coast Securities LLC, to discuss consolidating her retirement savings. Mrs. Thornton had accumulated approximately \$340,000 across multiple accounts: a defined benefit plan rollover worth \$185,000, a 403(b) account worth \$95,000, a traditional IRA worth \$42,000, and a Roth IRA worth \$18,000. She explicitly stated during her initial consultation that she needed reliable income to supplement her \$2,400 monthly pension and \$1,850 Social Security benefit, and that she could not afford to lose principal given her fixed income status.

Hayes recommended that Mrs. Thornton transfer all four accounts into variable annuities issued by National Guardian Insurance Company, specifically their 'Guardian Growth Plus' product. This variable annuity carried a seven-year surrender period with declining charges starting at 7%, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account expenses averaging 0.85% annually. Hayes allocated 65% of the annuity sub-accounts to aggressive growth equity funds and 35% to a high-yield bond fund. The total annual cost structure exceeded 2.35% before any optional rider fees.

Mrs. Thornton's new account documentation listed her risk tolerance as 'moderate growth' and investment objective as 'growth and income,' despite her verbal statements indicating conservative preferences. Hayes earned a 5.5% commission totaling approximately \$18,700 on the transactions. Within eighteen months, Mrs. Thornton's accounts had declined by approximately \$47,000 due to market volatility, and she faced surrender charges of over \$20,000 if she attempted to access her funds. Pacific Coast Securities' supervisory review consisted solely of a checkbox confirmation that the annuity forms were complete, with no documented assessment of whether the recommendations aligned with Mrs. Thornton's actual investment profile or liquidity needs.

Question

Did Gerald Hayes and Pacific Coast Securities LLC violate their suitability obligations under FINRA rules when recommending variable annuities with aggressive sub-account allocations to Mrs. Thornton?

Answer

The recommendations to Mrs. Thornton violated FINRA Rule 2111 (Suitability) across all three components and likely violated the California Corporations Code provisions governing securities sales. The claim should be sustained.

Regarding reasonable-basis suitability under Rule 2111.05(a), Hayes failed to perform adequate due diligence on the variable annuity's complex cost structure and risk characteristics. A seven-year surrender period with 2.35%+ annual expenses creates substantial drag on returns that is particularly problematic for a 67-year-old investor who may need liquidity for healthcare or other retirement expenses.

The customer-specific suitability analysis under Rule 2111.05(b) reveals multiple failures. Mrs. Thornton explicitly stated conservative risk tolerance and capital preservation objectives, yet Hayes documented 'moderate growth' and allocated 65% to aggressive equity funds. This mischaracterization of the customer's investment profile is a serious violation. The annuity's long surrender period was unsuitable for a retiree on fixed income who might need access to funds. FINRA guidance emphasizes that variable annuities with surrender periods may be unsuitable for elderly customers with liquidity needs.

Under quantitative suitability principles embedded in Rule 2111.05(c), the recommendation to place substantially all retirement assets into products with identical surrender restrictions eliminated Mrs. Thornton's financial flexibility and concentrated risk inappropriately.

Pacific Coast Securities violated FINRA Rule 3110 (Supervision) by failing to establish reasonable supervisory procedures. A checkbox review of form completion does not constitute meaningful supervision of annuity recommendations to elderly, conservative investors. The firm should have verified that documented risk tolerances matched actual customer communications and assessed the appropriateness of the surrender period given Mrs. Thornton's age and income needs.

The California Senior Investor Protection Act enhances scrutiny of securities recommendations to investors over 65, creating additional supervisory obligations that were not met. Hayes's substantial commission created an undisclosed incentive that contributed to the unsuitable recommendation. The combination of misrepresented customer information, unsuitable asset allocation, and inadequate supervision establishes clear suitability violations warranting compensatory damages.

Key Factor

Hayes documented Mrs. Thornton's risk tolerance as 'moderate growth' despite her explicit verbal statements indicating conservative preferences and capital preservation objectives, then allocated 65% of her retirement assets to aggressive equity funds within surrender-period-restricted variable annuities.

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NON-COMPLIANT

Topic: suitability_of_leveraged_investment_strategy

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Reasonable-Basis Suitability); FINRA Rule 2111.05(b) (Customer-Specific Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, was a retired schoolteacher who opened an account with Pinnacle Wealth Advisors in March 2018. Her account documents indicated she had moderate risk tolerance, an investment objective of income generation with capital preservation, liquid net worth of \$485,000 (representing her entire retirement savings), and annual income of \$42,000 from Social Security and a small pension. Her registered representative, David Hartwell, had been in the securities industry for twelve years and held Series 7 and 66 licenses.

In August 2018, Hartwell recommended that Thornton invest \$275,000--approximately 57% of her liquid assets--in a portfolio of leveraged exchange-traded funds (ETFs) tracking the S&P 500 and technology sector indices, including 3x leveraged products. Hartwell explained these products could generate 'enhanced returns' that would help her keep pace with inflation. He did not adequately explain that leveraged ETFs are designed for short-term trading and can experience significant value decay over longer holding periods due to daily rebalancing. The account documentation noted Thornton had 'limited' investment experience, primarily with certificates of deposit and a 403(b) retirement plan invested in target-date funds.

By February 2019, Thornton's portfolio had declined by \$87,000 despite modest gains in the underlying indices over the same period, due in part to the compounding effects and volatility decay inherent in leveraged ETFs. When Thornton contacted Hartwell expressing concern, he advised her to 'stay the course' and that the market would recover. Pinnacle's compliance manual specifically stated that leveraged and inverse ETFs were 'generally not suitable for retail investors with moderate or conservative risk profiles or those seeking long-term investments.' An internal review revealed Hartwell had not completed the firm's required specialized training module on complex products before recommending these instruments to clients.

Thornton filed a FINRA arbitration claim in April 2019 seeking compensatory damages of \$87,000 plus interest, alleging unsuitability, breach of fiduciary duty, and failure to supervise. Pinnacle and Hartwell denied all allegations, arguing Thornton had signed new account forms acknowledging the risks of her investments and that market conditions, not the product structure, caused her losses.

Question

Did Hartwell's recommendation that Thornton invest a majority of her retirement savings in leveraged ETFs violate FINRA suitability standards given her age, risk tolerance, investment objectives, and limited investment experience?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111. The analysis involves all three suitability obligations: reasonable-basis, customer-specific, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111.05(a), Hartwell failed to adequately understand the products he recommended. Leveraged ETFs are complex instruments designed for short-term trading by sophisticated investors who actively monitor their positions. The daily rebalancing mechanism causes significant value decay during volatile markets, making them inappropriate for buy-and-hold strategies. Hartwell's failure to complete required specialized training demonstrates he lacked the competence to recommend these products to any customer.

The customer-specific suitability violation under Rule 2111.05(b) is particularly egregious. Thornton's profile--67 years old, moderate risk tolerance, income generation objective with capital preservation, limited investment experience, and reliance on this portfolio for retirement--is fundamentally incompatible with leveraged ETFs. FINRA has consistently emphasized that these products are generally unsuitable for retail investors, particularly those with longer time horizons or conservative objectives. Concentrating 57% of her liquid assets in such products magnified the unsuitability.

The firm's own compliance manual explicitly identified leveraged ETFs as 'generally not suitable for retail investors with moderate or conservative risk profiles.' Hartwell's recommendation directly contradicted this internal guidance, evidencing a knowing departure from reasonable suitability standards.

Respondents' defense that Thornton signed acknowledgment forms is unavailing. Under established FINRA precedent, customer signatures on risk disclosures do not cure an unsuitable recommendation. The suitability obligation is non-delegable and rests with the registered representative and member firm. Rule 2010's just and equitable principles of trade reinforce that representatives must place customer interests ahead of their own compensation incentives.

Pinnacle also faces liability under FINRA Rule 3110 for failure to supervise. The firm failed to implement procedures ensuring representatives completed required training before recommending complex products and failed to detect the concentration of unsuitable products in a retirement account.

The Panel should find in favor of Claimant and award compensatory damages representing the losses attributable to the unsuitable recommendation.

Key Factor

Recommending complex leveraged ETFs to a 67-year-old retiree with moderate risk tolerance, capital preservation objectives, and limited investment experience directly contradicted the firm's own suitability guidelines and fundamental customer-specific suitability requirements.

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NON-COMPLIANT

Topic: suitability_complex_products_elderly_customer

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 210 (Standards of Commercial Honor); Exchange Act Section 10(b) anti-fraud provisions

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Dunleavy, age 74, had been a customer of Clearwater Securities Group since 2018. Following the death of her husband in January 2023, she inherited approximately \$1.2 million in proceeds from life insurance and the sale of the family home. She scheduled a meeting with her longtime broker, Thomas Harrington, in March 2023 to discuss how to invest these funds. Mrs. Dunleavy's customer account form, updated at that meeting, indicated she was retired, living on Social Security of approximately \$2,400 per month, had moderate investment knowledge, a conservative risk tolerance, and a primary investment objective of capital preservation with income generation to supplement her monthly expenses. She explicitly stated she could not afford to lose principal and needed reliable income.

During their March 2023 meeting, Harrington recommended that Mrs. Dunleavy invest \$800,000 of her inheritance into a portfolio consisting of three leveraged exchange-traded funds (ETFs): \$300,000 in a 2x leveraged S&P 500 ETF, \$250,000 in a 3x leveraged technology sector ETF, and \$250,000 in a 2x leveraged emerging markets ETF. Harrington explained these products could generate superior returns compared to traditional bond funds and that the leverage would 'work in her favor' over time. He did not explain the daily reset mechanism, volatility decay, or that these products were designed for short-term trading and generally unsuitable for buy-and-hold investors. The remaining \$400,000 was placed in a money market account.

By December 2023, due to market volatility and the compounding effects of daily leverage resets, Mrs. Dunleavy's leveraged ETF portfolio had declined to approximately \$485,000--a loss of \$315,000, representing nearly 40% of her invested capital. She had made no withdrawals and had followed Harrington's advice to hold the positions long-term. When she discovered the losses and researched the products, she learned that FINRA had specifically warned that leveraged ETFs are complex products unsuitable for most retail investors, particularly those with long-term holding periods. Mrs. Dunleavy filed a FINRA arbitration claim against Clearwater Securities Group seeking \$315,000 in compensatory damages plus punitive damages.

Question

Did Thomas Harrington violate his suitability obligations under FINRA Rule 2111 by recommending leveraged ETFs to Mrs. Dunleavy given her customer profile and investment objectives?

Answer

The panel would likely find that Thomas Harrington violated FINRA Rule 2111 by recommending leveraged ETFs to Mrs. Dunleavy. FINRA Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, and needs.

Rule 2111 encompasses three distinct suitability obligations. First, reasonable-basis suitability requires the broker to understand the product's risks and characteristics. While Harrington may have understood the products, his failure to

explain the daily reset mechanism and volatility decay suggests deficient understanding of how these characteristics would affect a buy-and-hold strategy. Second, customer-specific suitability requires that the recommendation be suitable for the particular customer. Mrs. Dunleavy was a 74-year-old widow with conservative risk tolerance, capital preservation objectives, limited investment knowledge, and explicit statements that she could not afford principal loss. Leveraged ETFs are inherently speculative instruments designed for short-term trading, fundamentally incompatible with her profile. Third, quantitative suitability examines whether the overall pattern of recommendations is suitable--here, concentrating 67% of inherited funds in three leveraged products is facially excessive given her profile.

FINRA has consistently emphasized that leveraged ETFs are complex products that require heightened suitability analysis. These products reset daily, meaning their performance over periods longer than one day can differ significantly from the underlying index performance multiplied by the leverage factor. This volatility decay effect makes them categorically unsuitable for long-term investors seeking capital preservation.

Harrington's recommendation also violated FINRA Rule 2010, requiring high standards of commercial honor, as he placed his customer in products fundamentally misaligned with her stated needs. Any defense that Mrs. Dunleavy approved the investments fails because suitability is the broker's obligation regardless of customer consent. The panel should award compensatory damages of \$315,000 representing her actual losses attributable to the unsuitable recommendations.

Key Factor

Recommending daily-resetting leveraged ETFs for long-term holding to a 74-year-old conservative investor seeking capital preservation directly contradicts all three components of the suitability obligation.

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NON-COMPLIANT

Topic: unsuitable_leveraged_etf_recommendation_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 210 (Standards of Commercial Honor and Principles of Trade); Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 74, was a longtime customer of Keystone Ridge Securities, LLC, a broker-dealer based in Phoenix, Arizona. In March 2020, Mrs. Holloway's husband of 52 years passed away, leaving her as the sole beneficiary of a \$485,000 rollover IRA that constituted virtually her entire retirement savings. Mrs. Holloway's customer account documentation, completed by her registered representative Derek Simmons in April 2020, indicated that she had a conservative risk tolerance, a primary investment objective of capital preservation and income generation, a 5-year investment time horizon, limited investment knowledge, and annual income of \$38,000 from Social Security and a small pension.

Between May and August 2020, Mr. Simmons recommended that Mrs. Holloway invest approximately \$290,000 of her IRA--nearly 60% of her total retirement assets--in a portfolio consisting primarily of triple-leveraged ETFs, including TQQQ (ProShares UltraPro QQQ), SOXL (Direxion Daily Semiconductor Bull 3X), and UPRO (ProShares UltraPro S&P 500). Mr. Simmons explained to Mrs. Holloway that these funds would help her 'catch up' on retirement savings she felt she had lost during the March 2020 market downturn and assured her they were 'just like regular index funds but with better returns.' He did not explain the daily rebalancing mechanism, volatility decay, or the instruments' unsuitability for buy-and-hold strategies.

Mrs. Holloway held these positions for approximately 14 months through September 2021. Despite a generally rising market during this period, the compounding effects of volatility decay and several sharp drawdowns resulted in her leveraged ETF portfolio declining by approximately \$87,000, representing a 30% loss. Meanwhile, a comparable unleveraged investment in the same underlying indices would have appreciated substantially. Mrs. Holloway filed a FINRA arbitration claim in October 2021 seeking compensatory damages of \$142,000, representing both actual losses and the opportunity cost of foregoing suitable investments. Keystone Ridge Securities and Mr. Simmons denied liability, arguing that Mrs. Holloway signed risk disclosures acknowledging the speculative nature of leveraged products and that the ultimate market performance was beyond their control.

Question

Did Mr. Simmons's recommendation that Mrs. Holloway invest 60% of her retirement IRA in triple-leveraged ETFs violate FINRA's suitability requirements under Rule 2111, and should the arbitration panel award damages?

Answer

The arbitration panel should find that Mr. Simmons violated FINRA Rule 2111 (Suitability) and award compensatory damages to Mrs. Holloway. Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon.

Rule 2111 encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and

quantitative suitability. Mr. Simmons failed the customer-specific suitability obligation under Rule 2111(a). Mrs. Holloway's documented profile--74 years old, conservative risk tolerance, capital preservation objective, limited investment knowledge, and 5-year time horizon--is fundamentally incompatible with triple-leveraged ETFs. These instruments are explicitly designed for short-term trading by sophisticated investors who actively monitor positions daily. FINRA has consistently emphasized that leveraged and inverse ETFs are generally unsuitable for retail investors who plan to hold them for longer than one trading session, particularly given the effects of daily rebalancing and volatility decay on long-term returns.

The allocation of 60% of Mrs. Holloway's sole retirement assets to these speculative instruments further aggravates the violation. For a widow dependent on this IRA for retirement income, concentration of this magnitude in high-risk, short-term trading vehicles demonstrates a complete disregard for her stated objectives and financial circumstances.

Keystone Ridge's defense that Mrs. Holloway signed risk disclosures is unavailing. Under FINRA jurisprudence, customer signatures on disclosure documents do not immunize brokers from suitability violations. A broker cannot satisfy suitability obligations merely by obtaining a signature; the broker must make recommendations consistent with the customer's actual profile. Moreover, Mr. Simmons's characterization of leveraged ETFs as 'just like regular index funds but with better returns' constitutes a material misrepresentation under FINRA Rule 2010 (Standards of Commercial Honor), compounding the suitability failure.

The panel should award compensatory damages reflecting both actual losses and appropriate consequential damages consistent with established FINRA arbitration precedent.

Key Factor

Recommending speculative triple-leveraged ETFs designed for daily trading to a 74-year-old conservative investor with limited knowledge and a buy-and-hold time horizon fundamentally violated customer-specific suitability requirements.

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NON-COMPLIANT

Topic: private_equity_suitability_for_retail_investors

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); Investment Advisers Act Section 206 fiduciary duty

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Westbrook Financial Advisors, LLC, a dually registered investment adviser and broker-dealer based in Denver, Colorado, employed Marcus Chen as a registered representative and investment adviser representative. In March 2022, Chen met with Eleanor Vasquez, a 62-year-old retired schoolteacher with a total liquid net worth of \$285,000, consisting primarily of her 403(b) rollover IRA valued at \$240,000 and \$45,000 in a savings account. Vasquez had a stated investment objective of capital preservation with modest income generation, a low risk tolerance documented on her account opening forms, a five-year investment time horizon aligned with her planned full Social Security election at age 67, and no prior experience with alternative investments.

During their meeting, Chen presented Vasquez with materials highlighting the superior long-term returns of private equity investments compared to traditional equity indices, citing industry research showing top-quartile private equity funds outperforming the S&P 500 by over 7% annually. Chen recommended that Vasquez invest \$175,000--representing 73% of her IRA assets--into the Granite Peak Private Equity Access Fund, a feeder fund offering retail investors exposure to a diversified portfolio of private equity investments. The fund required a minimum seven-year lock-up period, charged a 2% annual management fee plus 20% carried interest on profits, and was offered under Regulation D to accredited investors, with Vasquez barely qualifying based on her income threshold.

Chen's recommendation memorandum noted the fund's potential for 'equity-like returns with bond-like volatility' and emphasized diversification benefits. However, the memorandum failed to analyze how the seven-year illiquidity period conflicted with Vasquez's five-year time horizon, how the concentration in a single alternative investment strategy aligned with her low risk tolerance, or how the fee structure would impact her retirement income needs. Vasquez signed the subscription documents in April 2022. By January 2024, Vasquez needed to access funds for unexpected medical expenses but discovered she could not redeem her investment without substantial early withdrawal penalties equal to 15% of her invested capital.

Question

Did Marcus Chen's recommendation that Eleanor Vasquez invest 73% of her IRA in a private equity fund with a seven-year lock-up period satisfy his duty of care under Regulation Best Interest?

Answer

Marcus Chen's recommendation violated Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii). The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to have a reasonable basis to believe that the recommendation is in the retail customer's best interest based on their investment profile, including investment objectives, time horizon, risk tolerance, liquidity needs, and financial situation.

Chen failed multiple elements of this standard. First, the seven-year lock-up period directly conflicted with Vasquez's documented five-year investment time horizon. A retail customer approaching Social Security eligibility with defined

liquidity needs cannot reasonably be advised to lock up 73% of her retirement assets beyond that horizon. Second, the 73% concentration in a single illiquid alternative investment strategy fundamentally contradicted Vasquez's stated low risk tolerance and capital preservation objective. Private equity investments, despite industry claims of lower volatility, carry substantial risks including illiquidity risk, manager selection risk, and capital loss risk that are inappropriate for conservative investors.

Third, Reg BI requires consideration of reasonably available alternatives. Chen failed to document any analysis of whether lower-cost, more liquid investment options could achieve Vasquez's income and preservation goals. The fund's 2% management fee plus 20% carried interest structure would significantly erode returns for a retirement investor needing predictable income.

Fourth, the Care Obligation's requirement to consider 'quantitative factors' would have revealed that concentrating nearly three-quarters of retirement assets in an illiquid vehicle left Vasquez without adequate emergency reserves. The subsequent medical expense situation demonstrated exactly the liquidity mismatch that reasonable diligence should have identified.

Chen cannot defend by citing general industry research on private equity outperformance. Reg BI requires customer-specific analysis, not generic product advocacy. The recommendation prioritized a high-commission alternative product over Vasquez's actual financial circumstances, constituting a clear Care Obligation violation.

Key Factor

The seven-year illiquidity period of the recommended investment directly conflicted with the customer's documented five-year time horizon and created unacceptable concentration risk for a low-risk-tolerance retirement investor.

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COMPLIANT

Topic: failure_to_execute_suitability_claim

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Chen, age 52, maintained a self-directed brokerage account at Westbrook Online Brokerage, LLC since 2018. Chen's account documentation indicated he was a sophisticated investor with over 15 years of trading experience, a high risk tolerance, aggressive growth objectives, and liquid assets of approximately \$850,000. His investment experience included frequent trading in equities, options, and ADRs.

In January 2021, Chen independently researched and decided to invest in AsiaTech Education Holdings, a Chinese ADR trading on NASDAQ. Without any recommendation or advice from Westbrook, Chen placed multiple buy orders totaling 12,500 shares at an average price of \$4.85 per share, representing approximately \$60,625 of his portfolio. Westbrook's platform executed these orders as directed by Chen.

On February 3, 2021, Chen attempted to sell his entire AsiaTech position when the stock price reached \$7.92 per share. Chen alleged that due to technical difficulties on Westbrook's platform, his sell orders failed to execute during peak trading hours. By the time Chen was able to successfully place and execute his sell orders on February 8, 2021, the stock had declined to \$3.78 per share, resulting in an executed sale of approximately \$47,250 rather than the anticipated \$99,000.

Chen filed a claim against Westbrook alleging breach of contract, breach of fiduciary duty, negligence, fraud, misrepresentation, and failure to execute. He sought compensatory damages of \$38,480 (the difference between the anticipated February 3rd sale price and actual February 8th sale), plus punitive damages, attorneys' fees, and interest. Westbrook denied all allegations, asserting that Chen's account was self-directed, no advisory relationship existed, and that any platform issues were addressed within their customer agreement's terms of service.

Question

Did Westbrook Online Brokerage violate its suitability obligations or breach any fiduciary duty to Chen with respect to the AsiaTech investment or the alleged failure to execute his sell orders?

Answer

No violation occurred. The arbitrator correctly denied all of Chen's claims because this case fundamentally does not involve suitability or advisory obligations--it involves an execution dispute in a self-directed brokerage account.

Under FINRA Rule 2111 (Suitability), a broker-dealer must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. The critical threshold requirement is that there must be a 'recommendation' by the firm or its associated persons. Here, Chen independently selected AsiaTech without any input, suggestion, or recommendation from Westbrook. In self-directed accounts, where customers make their own investment decisions, the suitability rule is not triggered absent a recommendation.

Chen's breach of fiduciary duty claim similarly fails. Broker-dealers operating self-directed platforms do not owe fiduciary duties to customers regarding investment selection. The relationship is transactional--the firm's obligation is to execute orders as directed, not to provide individualized investment advice. Westbrook made no representations suggesting an advisory relationship existed, and Chen's account documentation confirmed his sophisticated investor status and self-directed trading approach.

The core dispute--alleged failure to execute--is a contract and operational matter, not a suitability issue. While FINRA Rule 2010 (Standards of Commercial Honor) requires firms to observe high standards of commercial honor, Chen's claims regarding platform functionality fall outside the suitability framework entirely. Moreover, brokerage customer agreements typically contain provisions addressing technology failures, market volatility, and execution timing that limit firm liability.

Given Chen's documented experience, high risk tolerance, aggressive objectives, and substantial liquid assets (\$850,000), even if a suitability analysis were applicable, a \$60,625 position in an ADR would likely satisfy reasonable-basis, customer-specific, and quantitative suitability requirements. The arbitrator appropriately denied all claims.

Key Factor

No suitability violation occurred because the customer made independent, unsolicited investment decisions in a self-directed account without any recommendation from the broker-dealer.

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COMPLIANT

Topic: suitability_of_liquidation_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.03 (Customer Investment Profile); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 58, opened a brokerage account with Trident Capital Securities LLC in March 2023. Her customer account profile indicated she was a moderate-risk investor with an investment objective of capital preservation and income generation for her approaching retirement in seven years. Her liquid net worth was approximately \$340,000, with the Trident account representing roughly \$85,000 of that total. Ms. Chen had limited investment experience, having previously held only mutual funds in her 401(k) plan.

In August 2024, Trident's registered representative, Jonathan Wells, contacted Ms. Chen regarding her portfolio composition. At that time, her account held a diversified mix of blue-chip equities, investment-grade corporate bonds, and a small allocation to a broad market ETF. Mr. Wells explained that based on a comprehensive portfolio review and Trident's updated risk assessment protocols, he believed her current allocation remained appropriate for her stated objectives. He noted that while market volatility had increased, her holdings were generating consistent dividend income and the bond allocation provided stability.

Ms. Chen expressed concern about recent market headlines and asked whether she should liquidate her entire portfolio and move to cash. Mr. Wells advised against a complete liquidation, explaining that such a drastic move could result in realized losses on certain positions acquired at higher prices, would eliminate her dividend income stream, and would leave her vulnerable to inflation erosion given her seven-year time horizon. He recommended instead maintaining her current allocation with minor rebalancing, specifically suggesting she reduce her equity exposure by approximately 5% and increase her bond allocation correspondingly.

Ms. Chen accepted this recommendation. Over the following four months, the equity markets experienced a 12% rally. Ms. Chen filed a FINRA arbitration claim in November 2024, alleging that Mr. Wells should have recommended complete liquidation because she verbally expressed fear about market conditions, and that his advice to remain invested was unsuitable given her risk aversion.

Question

Did Jonathan Wells' recommendation that Ms. Chen maintain her diversified portfolio with minor rebalancing, rather than liquidating entirely to cash, satisfy the suitability requirements under FINRA Rule 2111?

Answer

The recommendation satisfied FINRA Rule 2111 suitability requirements. The claim should be denied.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This includes three components: reasonable-basis suitability (understanding the product/strategy), customer-specific suitability (matching to the customer's profile), and quantitative suitability (avoiding excessive trading).

Regarding reasonable-basis suitability under Rule 2111(a), Mr. Wells demonstrated adequate understanding of both the existing portfolio holdings and the alternative strategies available. His analysis considered the implications of complete liquidation--realized losses, elimination of income, and inflation risk--reflecting competent professional judgment about investment strategies.

For customer-specific suitability, the critical analysis centers on Ms. Chen's documented investment profile. Her stated objectives were capital preservation and income generation with a seven-year retirement horizon. Her risk tolerance was documented as moderate. The recommendation to maintain a diversified portfolio of blue-chip equities, investment-grade bonds, and broad market ETFs--with a minor adjustment reducing equity exposure--was squarely aligned with these documented objectives. A complete liquidation to cash would have been inconsistent with her income generation objective and potentially unsuitable given inflation risk over a seven-year period.

Ms. Chen's verbal expression of fear during market volatility does not override her documented investment profile. Under Rule 2111.03, while customer statements are relevant, the documented customer profile remains the primary reference point for suitability analysis. Transient emotional reactions to market headlines do not constitute a change in investment objectives requiring immediate portfolio restructuring.

The subsequent market rally is irrelevant to the suitability analysis. Suitability is evaluated based on information available at the time of the recommendation, not hindsight. Mr. Wells' recommendation was reasonable and aligned with Ms. Chen's documented profile when made.

The recommendation complied with FINRA Rule 2111 in all respects, and the claim lacks merit.

Key Factor

The recommendation to maintain a diversified portfolio aligned with Ms. Chen's documented investment profile of moderate risk tolerance and income generation objectives, making it suitable despite her transient verbal concerns about market volatility.

Item 176 of 499**NON-COMPLIANT**

Topic: unsuitable_concentration_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a)-(d) (Components of Suitability Obligation); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Patricia Brennan, age 67, retired from her position as a school administrator in March 2019 with a lump sum pension distribution of \$485,000 and accumulated savings of \$215,000. She opened an account with Trident Capital Advisors, LLC in April 2019, where she was assigned to registered representative Marcus Chen. During her initial consultation, Brennan completed a new account form indicating her investment objective as 'income with capital preservation,' her risk tolerance as 'conservative,' her time horizon as '10-15 years,' and her investment experience as 'limited--primarily CDs and money market accounts.' She explicitly stated her primary goals were generating reliable monthly income to supplement her Social Security and preserving principal for potential long-term care expenses.

Between April and August 2019, Chen recommended that Brennan invest \$520,000--approximately 74% of her total liquid net worth--into a concentrated position in Energex Petroleum Partners, LP, a master limited partnership focused on midstream oil and gas infrastructure. Chen emphasized the MLP's 8.2% distribution yield and characterized it as 'safe income-producing infrastructure' comparable to utility stocks. He did not discuss the K-1 tax complexities, the partnership's leverage ratio of 4.8x debt-to-EBITDA, or the commodity price sensitivity inherent in midstream energy investments. Chen's notes from the meetings contained only brief references to 'client wants yield' without documenting how the recommendation aligned with Brennan's stated conservative profile.

By March 2020, Energex Petroleum Partners had declined 62% amid oil price volatility and distribution cuts. Brennan's position was worth approximately \$197,600, representing a loss of over \$322,000. She subsequently filed a FINRA arbitration claim against Trident Capital Advisors alleging unsuitable recommendations, breach of fiduciary duty, and failure to conduct adequate due diligence. Discovery revealed that Chen had received enhanced compensation of 4.5% on MLP sales compared to 1.2% on fixed income products, and that he had concentrated 18 other retired clients into the same security during the same period.

Question

Did Marcus Chen's recommendation that Patricia Brennan invest 74% of her liquid assets in a single master limited partnership violate FINRA's suitability requirements given her conservative risk profile and income preservation objectives?

Answer

The recommendation violated FINRA Rule 2111 across all three suitability components. Under Rule 2111(a), a broker must have a reasonable basis to believe a recommendation is suitable based on reasonable diligence concerning the product and the customer's investment profile. The evidence demonstrates multiple failures.

First, regarding reasonable-basis suitability under Rule 2111.05(a), Chen failed to perform adequate due diligence on Energex Petroleum Partners. His characterization of a highly leveraged MLP with commodity price exposure as equivalent to 'safe utility stocks' reflects either a fundamental misunderstanding of the product or willful

misrepresentation. MLPs carry distinct risks including distribution variability, K-1 tax complexity, and sensitivity to energy market conditions that require thorough analysis before recommendation.

Second, customer-specific suitability under Rule 2111.05(b) was clearly violated. Brennan's documented profile--conservative risk tolerance, income with capital preservation objective, limited investment experience confined to CDs and money markets, and reliance on these funds for retirement income--was fundamentally incompatible with a volatile, complex energy partnership. Chen's sparse documentation noting only 'client wants yield' fails to demonstrate the required analysis of how this specific product matched her complete investment profile as required under the rule.

Third, quantitative suitability under Rule 2111.05(c) was violated through excessive concentration. Placing 74% of a conservative retiree's liquid assets in a single speculative security creates unsuitable concentration risk regardless of the underlying investment's individual merits. FINRA guidance consistently recognizes that over-concentration in a single security or sector can render recommendations unsuitable even when the individual securities might otherwise be appropriate in smaller allocations.

Chen's enhanced compensation structure (4.5% versus 1.2%) and pattern of concentrating multiple retirees into the same security suggest the recommendation was driven by compensation rather than client suitability, potentially implicating Rule 2010's just and equitable principles. The lack of meaningful documentation further violates Rule 2111.05(d)'s requirement that firms maintain evidence supporting suitability determinations. A FINRA arbitration panel would likely find liability and award significant compensatory damages.

Key Factor

Concentrating 74% of a conservative retiree's liquid assets in a single volatile MLP directly contradicted her documented risk tolerance and investment objectives, constituting a clear customer-specific suitability violation.

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COMPLIANT

Topic: suitability_of_liquidation_timing_advice

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2111.05(a)-(c) (Components of Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, was a retired school administrator with a moderate risk tolerance and a primary investment objective of capital preservation with modest income generation. In August 2018, she maintained approximately \$485,000 in diversified mutual fund holdings at Sterling Coast Financial Services, LLC, under the supervision of registered representative Daniel Whitmore. During a period of significant market volatility in late August 2018, Mrs. Holloway contacted Whitmore expressing concern about potential losses and asked whether she should move her funds into a more conservative fixed annuity product.

Whitmore reviewed Mrs. Holloway's complete financial profile, including her pension income of \$4,200 monthly, Social Security benefits of \$1,850 monthly, and her stated 15-year investment horizon to support potential long-term care needs. He noted that her current allocation was approximately 55% equity funds and 45% bond funds, consistent with her documented moderate risk tolerance established at account opening in 2015. Whitmore advised Mrs. Holloway that while he understood her concerns about short-term volatility, liquidating her diversified portfolio during a market downturn to purchase a fixed annuity could lock in temporary losses and potentially reduce her long-term growth potential.

Whitmore documented the conversation thoroughly, noting that he explained the difference between short-term market fluctuations and long-term investment performance. He provided Mrs. Holloway with historical data showing market recovery patterns and reminded her of her stated 15-year horizon. He also discussed the surrender charges and liquidity restrictions associated with the annuity product she was considering. After their discussion, Mrs. Holloway decided to maintain her current allocation but requested quarterly reviews rather than semi-annual reviews going forward. Whitmore implemented this change and documented her decision. Six months later, the market recovered substantially, and Mrs. Holloway's account value had increased to \$512,000.

Question

Did Daniel Whitmore fulfill his suitability obligations under FINRA Rule 2111 when he advised Margaret Holloway against liquidating her mutual fund portfolio during market volatility to purchase a fixed annuity?

Answer

Whitmore's advice was suitable and compliant with FINRA Rule 2111. The suitability rule requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, and time horizon.

Under the three-component suitability framework, Whitmore satisfied all obligations. First, regarding reasonable-basis suitability under Rule 2111.05(a), Whitmore demonstrated adequate understanding of the implications of liquidating during market volatility and the characteristics of the annuity alternative, including surrender charges and liquidity

constraints. Second, for customer-specific suitability under Rule 2111.05(b), Whitmore properly analyzed Mrs. Holloway's complete profile: her age (67), moderate risk tolerance, capital preservation objective, 15-year time horizon, and stable income from pension and Social Security. His advice to maintain the existing diversified allocation was consistent with these documented factors.

Critically, Whitmore also fulfilled his quantitative suitability obligations by ensuring the recommendation did not involve excessive costs or unnecessary transactions. Advising against liquidation during temporary volatility prevented the customer from realizing losses and incurring potential surrender charges on a new annuity product.

Whitmore's documentation practices further demonstrate compliance with FINRA Rule 2111's requirements. He thoroughly recorded the customer's concerns, his analysis, the information provided to the customer, and her ultimate decision. This contemporaneous documentation is consistent with FINRA's guidance emphasizing the importance of documenting the basis for suitability determinations.

The fact that Mrs. Holloway initiated the inquiry about liquidation does not diminish Whitmore's suitability obligations. Under Rule 2111.03, even when a customer requests a specific transaction, the representative retains responsibility to ensure any recommended strategy is suitable. Whitmore appropriately counseled the customer while respecting her autonomy to make the final decision. The subsequent market recovery and account appreciation, while not dispositive of suitability at the time of advice, corroborates the reasonableness of his recommendation.

Key Factor

Whitmore's advice to maintain the existing allocation was supported by thorough analysis of the customer's documented investment profile, time horizon, and the potential adverse consequences of liquidating during market volatility.

Item 178 of 499

COMPLIANT

Topic: suitability_account_access_restriction

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2101 (Standards of Commercial Honor); Regulation Best Interest Care Obligation; Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Patricia Thornton, age 58, opened a self-directed brokerage account with QuickTrade Online, LLC in January 2024. Her account profile indicated moderate risk tolerance, an investment objective of growth and income, liquid net worth of \$180,000, and 15 years of investment experience trading equities. On March 15, 2024, QuickTrade's automated fraud detection system flagged unusual login activity on Thornton's account originating from an unrecognized device and IP address in a foreign jurisdiction. Following its security protocols, QuickTrade immediately restricted Thornton's account to prevent potential unauthorized transactions.

Thornton contacted QuickTrade's customer service on March 18, 2024, demanding immediate restoration of her trading access. She stated she was attempting to sell 500 shares of Meridian Technologies valued at approximately \$47,500 before an anticipated earnings announcement. QuickTrade's representatives requested that Thornton complete identity verification procedures, including submitting a government-issued ID and completing a verification call. Thornton found the process cumbersome and filed multiple complaints, but did not complete all verification steps until April 8, 2024.

During the account restriction period from March 15 through April 8, 2024, Meridian Technologies stock declined from \$95 per share to \$82 per share. Thornton subsequently filed a FINRA arbitration claim alleging that QuickTrade 'fraudulently obstructed' her account access and should compensate her for the \$6,500 paper loss she experienced. Thornton further alleged that QuickTrade's customer service was inadequate and that the firm failed in its duty to act in her best interest by preventing her from executing her desired trades.

QuickTrade responded that its security protocols were triggered by legitimate suspicious activity, that the account restriction was a protective measure rather than obstruction, and that the firm had no suitability or best interest obligation regarding Thornton's self-directed trading decisions. The firm noted that Thornton eventually verified her identity and regained full account access, and that no unauthorized transactions occurred.

Question

Did QuickTrade Online, LLC violate its suitability or best interest obligations to Patricia Thornton by restricting her account access and preventing her from executing trades during the security verification period?

Answer

QuickTrade Online, LLC did not violate suitability or best interest obligations to Thornton. The arbitration panel's analysis would properly conclude that no suitability violation occurred because QuickTrade made no investment recommendation to which suitability standards would attach.

Under FINRA Rule 2111 (Suitability), a member firm must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on their investment profile. The critical threshold requirement is that there must be a 'recommendation' by the firm. In this case, QuickTrade operated a self-directed

brokerage platform where Thornton made her own trading decisions. The firm neither recommended the purchase of Meridian Technologies nor advised Thornton on the timing of any sale. Absent a recommendation, Rule 2111 does not impose suitability obligations.

Similarly, Regulation Best Interest under Exchange Act Section 15(l) applies when a broker-dealer makes a 'recommendation' of any securities transaction or investment strategy. The Care Obligation requires brokers to exercise reasonable diligence when making recommendations. Since QuickTrade made no recommendation regarding Thornton's Meridian Technologies position or any trading strategy, Reg BI's Care Obligation is not implicated.

The account restriction was a security measure, not investment advice. QuickTrade's fraud detection protocols and identity verification requirements are operational controls designed to protect customers from unauthorized access--not recommendations subject to suitability review. While Thornton experienced frustration with customer service and the verification process constituted 'unsatisfactory customer relations performance,' poor customer service does not constitute fraud or a breach of fiduciary duty.

Furthermore, Thornton's alleged damages are speculative. The stock decline occurred while her identity remained unverified; she contributed to the delay by not promptly completing verification. The panel would properly find no recoverable damages attributable to any breach of duty. The claim should be denied as QuickTrade fulfilled its security obligations and had no duty regarding Thornton's self-directed investment decisions.

Key Factor

QuickTrade made no investment recommendation to Thornton, so suitability and best interest obligations were not triggered by the firm's security-related account restriction.

Item 179 of 499**NON-COMPLIANT**

Topic: municipal_bond_suitability_for_senior_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05 (Components of Suitability); FINRA Rule 4512 (Customer Account Information); FINRA Rule 3110 (Supervision)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Eleanor Westbrook, age 74, was a longtime client of Meridian Capital Partners, a FINRA-member firm based in Phoenix, Arizona. Mrs. Westbrook had accumulated \$485,000 in savings following her husband's death in 2019, representing substantially all of her liquid assets. Her investment profile, documented in April 2021, indicated she was a conservative investor seeking capital preservation and modest income to supplement her Social Security benefits of \$2,100 per month. She had limited investment experience, having previously held only certificates of deposit and a small position in a balanced mutual fund. Her stated time horizon was 3-5 years, and she explicitly noted on her new account form that she could not afford to lose principal.

In June 2021, her registered representative, Marcus Delano, recommended that Mrs. Westbrook invest \$340,000 (approximately 70% of her liquid assets) in a portfolio of long-duration Puerto Rico general obligation municipal bonds with maturities ranging from 2045 to 2052. Delano emphasized the bonds' tax-exempt status and higher yields compared to investment-grade alternatives, noting they offered approximately 5.2% yields when comparable AA-rated municipal bonds were yielding around 2.1%. Delano's branch manager approved the transactions after a cursory review.

Delano did not adequately explain to Mrs. Westbrook that these bonds carried substantial credit risk, having been downgraded to speculative grade following Puerto Rico's fiscal difficulties and debt restructuring proceedings. He also failed to discuss the significant interest rate risk associated with 25-30 year maturities or the limited liquidity in the secondary market for these securities. By March 2023, the portfolio had declined in value to approximately \$195,000, representing a loss of over \$145,000. Mrs. Westbrook filed a complaint stating she was never informed these bonds were considered high-risk speculative investments unsuitable for her conservative objectives.

Question

Did Marcus Delano's recommendation of long-duration, speculative-grade Puerto Rico municipal bonds to Eleanor Westbrook satisfy his suitability obligations under applicable FINRA rules?

Answer

No, Marcus Delano's recommendation violated FINRA Rule 2111 (Suitability) in multiple respects. Under Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs.

The recommendation failed all three components of suitability analysis. First, regarding reasonable-basis suitability, Delano was required to understand the risks of the speculative-grade Puerto Rico bonds before recommending them. Long-duration bonds with maturities of 25-30 years carry substantial interest rate risk, and below-investment-grade municipal securities carry meaningful credit risk--factors that required clear communication to any investor.

Second, and most critically, the recommendation failed customer-specific suitability. Mrs. Westbrook's documented profile established she was 74 years old, had limited investment experience, maintained a conservative risk tolerance, sought capital preservation, had a 3-5 year time horizon, and explicitly stated she could not afford principal loss. Recommending that she concentrate 70% of her liquid assets in speculative-grade bonds with 25-30 year maturities directly contradicted every element of her stated investment profile. The bonds' long duration was fundamentally incompatible with her short time horizon, and their speculative credit quality was wholly inappropriate for a conservative investor seeking capital preservation.

Third, the concentration of \$340,000 in a single asset class of high-risk securities violated quantitative suitability principles by creating an unsuitable level of exposure given her overall financial situation and limited ability to absorb losses.

The branch manager's superficial approval does not cure the violation, as FINRA Rule 3110 requires meaningful supervisory review. Delano's emphasis on yield without adequate risk disclosure further demonstrates he prioritized the attractive interest rate over fundamental suitability considerations. The subsequent \$145,000 loss, while not dispositive, illustrates the materialization of risks that should have precluded this recommendation from the outset.

Key Factor

The recommendation of speculative-grade, long-duration municipal bonds to a 74-year-old conservative investor seeking capital preservation with a 3-5 year time horizon fundamentally contradicted every element of her documented investment profile.

Item 180 of 499**NON-COMPLIANT**

Topic: variable_annuity_suitability_elderly_customer

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), 2010 (Standards of Commercial Honor and Principles of Trade), 3110 (Supervision)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Donovan, an 82-year-old widow, had been a client of Ridgewood Financial Services for fifteen years when her longtime adviser retired in March 2021. Her account was reassigned to Bradley Fontaine, a registered representative who had joined the firm eight months earlier after leaving a prior firm under circumstances not disclosed to Mrs. Donovan. At the time of reassignment, Mrs. Donovan's portfolio consisted of \$485,000 in certificates of deposit, \$125,000 in a money market account, and \$40,000 in blue-chip dividend stocks--a total liquid net worth of approximately \$650,000. Her sole income sources were Social Security benefits of \$2,100 monthly and a small pension of \$850 monthly. She had listed her investment objective as 'income and capital preservation' and her risk tolerance as 'conservative' on her most recent account update in January 2021.

During their first meeting in April 2021, Fontaine recommended that Mrs. Donovan liquidate her CDs and money market holdings to purchase a variable annuity product called the Premier Growth & Income VA, offered through Keystone Insurance Partners. The product featured a 12-year surrender period with declining surrender charges starting at 8%, an annual mortality and expense charge of 1.45%, and underlying sub-account options that included aggressive growth equity funds. Fontaine emphasized the death benefit guarantee and tax-deferral features, telling Mrs. Donovan these would help her 'leave more to her grandchildren.' He did not discuss the surrender charges in detail, the lengthy surrender period relative to her age and life expectancy, or the fact that her existing investments already received favorable tax treatment given her income level.

Mrs. Donovan agreed to the recommendation and invested \$575,000 into the variable annuity in May 2021, allocating 60% to aggressive growth sub-accounts and 40% to a bond sub-account at Fontaine's suggestion. Within eight months, the aggressive growth allocation had declined by approximately \$87,000 due to market volatility. When Mrs. Donovan's daughter, a CPA, reviewed the quarterly statement in February 2022, she discovered that accessing the funds to pay for her mother's increasing home healthcare costs would trigger surrender charges exceeding \$38,000. Mrs. Donovan had never been informed about alternative products with shorter surrender periods or lower-cost options that might preserve liquidity for healthcare needs.

Question

Did Bradley Fontaine's recommendation that Mrs. Donovan invest \$575,000 in the Premier Growth & Income variable annuity satisfy FINRA's suitability and annuity-specific disclosure requirements?

Answer

The recommendation was not suitable and violated FINRA Rules 2111 (Suitability), 2330 (Variable Annuities), and 2010 (Standards of Commercial Honor). Fontaine failed multiple elements of these interconnected requirements.

Under FINRA Rule 2111, a recommendation must be suitable based on reasonable diligence concerning the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, liquidity needs,

and time horizon. Mrs. Donovan was 82 years old with modest fixed income, clearly stated conservative risk tolerance, and capital preservation objectives. The 12-year surrender period extending to age 94 was fundamentally incompatible with her life expectancy and foreseeable liquidity needs for healthcare. The 60% allocation to aggressive growth sub-accounts directly contradicted her documented conservative risk tolerance.

FINRA Rule 2330 imposes heightened obligations for variable annuity recommendations. Under Rule 2330(b), the representative must have a reasonable basis to believe the customer would benefit from certain features of deferred variable annuities, including tax-deferred growth. Here, Mrs. Donovan's income level made tax deferral largely irrelevant--her existing investments already benefited from favorable tax treatment. Rule 2330(b)(1)(A) requires consideration of whether the customer has 'a long-term investment objective.' An 82-year-old with immediate income needs and potential healthcare expenses does not fit this criterion.

Furthermore, Fontaine failed to adequately disclose material features as required by Rule 2330(b)(1). The 8% surrender charge, 12-year surrender period, and 1.45% M&E ratio were not meaningfully explained in relation to her circumstances. The concentration of \$575,000--approximately 89% of her liquid assets--in a single illiquid product eliminated her financial flexibility.

Fontaine cannot claim he acted in good faith based on Mrs. Donovan's agreement, as suitability is an affirmative obligation independent of customer consent. The recommendation prioritized commission generation over customer welfare, constituting a violation of Rule 2010's ethical standards. The firm's supervisory systems under Rule 3110 should have flagged this transaction for heightened review given the customer's age and investment amount.

Key Factor

The 12-year surrender period and aggressive asset allocation were fundamentally unsuitable for an 82-year-old conservative investor with fixed income and foreseeable liquidity needs for healthcare expenses.

Item 181 of 499**NON-COMPLIANT**

Topic: suitability_kiwisaver_high_growth_elderly_client

Difficulty: medium

Standard: Financial Markets Conduct Act 2013; Financial Services Legislation Amendment Act 2019; Code of Professional Conduct for Financial Advice Services (NZ); FMA licensing requirements for Financial Advice Providers

Source: 23_International_Comparative

Fact Pattern

Margaret Thornton, age 72, visited Harbour Capital Advisers Ltd, a licensed Financial Advice Provider in Auckland, in September 2023. She met with adviser David Chen to discuss her retirement savings. Mrs. Thornton had NZD 285,000 in a conservative KiwiSaver scheme and an additional NZD 120,000 in term deposits. She explained that her husband had recently passed away, leaving her as the sole income earner with a modest NZ Superannuation pension of approximately NZD 24,000 annually. She indicated she needed to draw approximately NZD 15,000 per year from her KiwiSaver to supplement her living expenses and cover medical costs for her ongoing heart condition.

During the consultation, David Chen reviewed Mrs. Thornton's existing conservative KiwiSaver allocation and noted that over the past five years, high-growth funds had significantly outperformed conservative options. Without conducting a detailed analysis of Mrs. Thornton's actual income needs, time horizon, or capacity to withstand market volatility, Chen recommended she transfer her entire NZD 285,000 KiwiSaver balance to the Harbour Capital High Growth Fund, which held 95% in growth assets including international equities and emerging market exposure.

Chen documented in his client file that Mrs. Thornton was 'seeking better returns' and noted she had 'agreed to the recommendation.' However, he did not document any assessment of her withdrawal requirements, her health circumstances affecting her time horizon, or her emotional capacity to handle potential 20-30% portfolio declines. Mrs. Thornton signed the transfer paperwork the same day. Within eight months, the High Growth Fund declined 18% during a market correction, reducing her balance to approximately NZD 234,000 and significantly impacting her ability to meet her planned withdrawals without depleting her capital base.

Question

Did David Chen meet his duty under New Zealand's Financial Markets Conduct Act 2013 and Code of Professional Conduct to ensure his KiwiSaver recommendation was suitable for Mrs. Thornton's circumstances?

Answer

David Chen failed to meet his statutory duties under New Zealand's financial advice regime. Under the Financial Markets Conduct Act 2013 as amended by the Financial Services Legislation Amendment Act 2019, all financial advisers must comply with the duty to give advice that is suitable for the client, considering the client's circumstances. The Code of Professional Conduct for Financial Advice Services further requires advisers to exercise care, diligence, and skill, and to ensure recommendations are suitable based on a reasonable assessment of the client's situation.

Chen's recommendation violated these standards in several material respects. First, he failed to properly assess Mrs. Thornton's actual circumstances. A 72-year-old widow with ongoing health concerns, dependence on regular KiwiSaver withdrawals, and limited alternative income sources represents a classic conservative investor profile with a shortened investment horizon. The regime's universal duties require advisers to understand not merely what clients say they want,

but what is genuinely appropriate given their full financial picture.

Second, Chen's documentation was materially deficient. The new regime emphasizes that advice must be 'repeatable, defensible and documented.' Recording merely that the client was 'seeking better returns' without documenting analysis of her withdrawal needs, time horizon, health circumstances, or capacity for loss demonstrates a failure to follow proper investment governance processes.

Third, recommending a 95% growth asset allocation to a client who requires immediate and ongoing withdrawals contravenes fundamental suitability principles. The recommendation exposed Mrs. Thornton to sequence-of-returns risk precisely when she could least afford it. This misalignment between her income needs and the recommended strategy's volatility profile is a clear suitability breach.

Chen cannot rely on Mrs. Thornton's consent or signature as a defense. The duty to provide suitable advice is non-delegable; client agreement does not cure an objectively unsuitable recommendation. The FMA would likely find this advice failed to meet the standard expected under the regime's objective of ensuring consumers receive quality financial advice appropriate to their circumstances.

Key Factor

Chen recommended a high-growth KiwiSaver fund to an elderly widow with immediate income needs and health concerns without assessing her capacity to withstand market volatility or her actual withdrawal requirements.

Item 182 of 499

NON-COMPLIANT

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) -- reasonable-basis and customer-specific components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 71, was a retired schoolteacher who opened an account with Granite Peak Securities LLC in March 2022. Her intake documents reflected total liquid net worth of \$340,000, annual income of \$48,000 from Social Security and a small pension, a conservative risk tolerance, and an investment objective of capital preservation with modest income generation. She explicitly noted on her new account form that she could not afford to lose principal and needed her savings to supplement retirement income for the next 15-20 years.

Her assigned registered representative, Daniel Kowalski, recommended that Mrs. Ellison allocate \$95,000--approximately 28% of her liquid assets--to a triple-leveraged inverse oil ETF (ticker: OILB) and a double-leveraged technology sector ETF (ticker: TECHX). Kowalski explained these products as 'enhanced growth opportunities' that would 'supercharge returns in sectors poised for gains.' He did not explain the daily reset mechanism, volatility decay, or the products' explicit unsuitability for buy-and-hold investors as stated in their prospectuses.

Mrs. Ellison held these positions for approximately nine months. During this period, both ETFs experienced significant volatility decay despite mixed underlying index performance. By December 2022, her \$95,000 investment had declined to \$41,200--a loss of \$53,800 or approximately 57%. When Mrs. Ellison complained, Kowalski responded that 'markets are unpredictable' and that she should have monitored the positions more closely.

Granite Peak's compliance manual required heightened supervision for leveraged and inverse ETF recommendations, including a mandatory suitability attestation documenting why such products were appropriate for the specific customer. No such attestation was completed for Mrs. Ellison's account. The firm's written supervisory procedures also required a principal to review and approve leveraged ETF purchases exceeding \$25,000 within 24 hours; this review was never conducted.

Question

Did Daniel Kowalski and Granite Peak Securities violate their suitability obligations under FINRA rules when recommending leveraged and inverse ETFs to Margaret Ellison?

Answer

Yes, both Kowalski and Granite Peak Securities violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor) through this recommendation and the firm's supervisory failures.

FINRA Rule 2111 imposes three distinct suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Kowalski failed the first two components decisively. Reasonable-basis suitability under Rule 2111(a) requires that a representative have a reasonable basis to believe a recommendation is suitable for at least some investors based on reasonable diligence. Leveraged and inverse ETFs are explicitly designed for short-term

trading by sophisticated investors who can monitor positions daily; their prospectuses warn they are inappropriate for buy-and-hold strategies. Kowalski's failure to understand or communicate the daily reset mechanism and volatility decay demonstrates inadequate product knowledge.

Customer-specific suitability requires that the representative have a reasonable basis to believe the recommendation is suitable for the particular customer based on that customer's investment profile, including age, risk tolerance, financial situation, investment objectives, and time horizon. Mrs. Ellison's profile--a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited income, and explicit statements that she could not afford principal loss--is fundamentally incompatible with highly volatile leveraged products. Concentrating 28% of her liquid assets in such instruments was grossly unsuitable.

Granite Peak Securities independently violated FINRA Rule 3110 (Supervision) by failing to implement its own written supervisory procedures. The firm's compliance manual required principal pre-approval for leveraged ETF purchases exceeding \$25,000 and mandatory suitability attestations--neither occurred. This supervisory failure enabled the unsuitable recommendation to proceed unchecked.

The defense that Mrs. Ellison should have monitored positions more closely fails; the suitability obligation rests with the representative at the time of recommendation, not retroactively with the customer. The magnitude of concentration (28% of liquid assets) and the nine-month holding period compounded damages that proper supervision would have prevented. Both the representative and firm bear liability.

Key Factor

Recommending volatile leveraged and inverse ETFs designed for short-term sophisticated traders to a 71-year-old conservative retiree who expressly stated she could not afford principal loss constituted a clear customer-specific suitability violation.

Item 183 of 499**NON-COMPLIANT**

Topic: mutual_fund_share_class_best_interest

Difficulty: medium

Standard: Investment Advisers Act Section 206(1), 206(2), 206(4); Rule 206(4)-7; Fiduciary Duty of Care; Best Execution Obligation

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Heartland Wealth Advisors, LLC is a registered investment adviser based in Omaha, Nebraska, that provides portfolio management services to retail clients. The firm is dually registered as a broker-dealer and maintains a clearing arrangement with National Clearing Partners, Inc., which pays Heartland revenue sharing fees when advisory clients invest in certain mutual fund share classes.

In March 2020, Margaret Thornton, age 58, engaged Heartland to manage her \$425,000 IRA rollover from a previous employer's 401(k) plan. Mrs. Thornton indicated a moderate risk tolerance, a retirement income objective with a 7-year time horizon, and expressed concern about minimizing fees to maximize her retirement savings. Her investment policy statement explicitly noted that cost efficiency was a priority given her fixed retirement timeline.

Heartland's adviser, Kevin Bradshaw, recommended allocating \$280,000 of Mrs. Thornton's portfolio to a diversified mix of actively managed equity mutual funds. However, Bradshaw consistently placed Mrs. Thornton in Class A shares of these funds, which carried front-end sales loads averaging 4.25% and expense ratios of 0.95% annually. The same mutual fund families offered institutional share classes and clean shares available to advisory accounts that had no sales loads and expense ratios averaging 0.52% annually. Mrs. Thornton's account size and advisory relationship qualified her for these lower-cost share classes.

Heartland received revenue sharing payments from National Clearing Partners based on client assets invested in the load-bearing share classes. The firm's Form ADV Part 2A disclosed that it 'may receive compensation from third parties' but did not explain the specific conflict created by share class selection or that lower-cost alternatives existed. Heartland had no written compliance policies requiring advisers to evaluate share class alternatives or document why a particular share class was in the client's best interest. Over 18 months, Mrs. Thornton paid approximately \$11,900 in unnecessary front-end loads and an additional \$1,200 in excess ongoing expenses compared to available institutional shares.

Question

Did Heartland Wealth Advisors breach its fiduciary duty of care by recommending higher-cost mutual fund share classes to Mrs. Thornton when lower-cost share classes of the same funds were available?

Answer

Yes, Heartland Wealth Advisors breached its fiduciary duty of care under the Investment Advisers Act of 1940, Section 206. As a registered investment adviser, Heartland owes clients both a duty of care and a duty of loyalty, which together comprise the fiduciary duty articulated in SEC v. Capital Gains Research Bureau. The duty of care requires an adviser to provide advice that is in the client's best interest based on a reasonable understanding of the client's objectives.

Heartland violated this duty through multiple failures. First, the firm breached its best execution obligation by causing Mrs. Thornton to invest in Class A shares with 4.25% front-end loads and 0.95% expense ratios when institutional share classes with no loads and 0.52% expense ratios were available for her account. The SEC has consistently held that best execution encompasses not just trade execution but also the selection of investment vehicles that present the most favorable value under the circumstances. Given Mrs. Thornton's explicit cost-sensitivity and her qualification for lower-cost shares, recommending higher-cost alternatives was inconsistent with her stated investment objectives.

Second, Heartland failed to undertake any analysis to determine whether the recommended share classes were in Mrs. Thornton's best interest. The duty of care requires advisers to conduct a reasonable investigation and make recommendations based on the client's specific circumstances. The absence of any documented evaluation of share class alternatives demonstrates a failure to exercise the care required of a fiduciary.

Third, Heartland violated Section 206(4) and Rule 206(4)-7 by failing to adopt and implement written compliance policies reasonably designed to prevent these violations. A compliant firm would maintain procedures requiring advisers to evaluate available share classes and document the rationale for their selection.

The revenue sharing arrangement created an undisclosed incentive for Heartland to recommend costlier shares, compounding the breach. Mrs. Thornton's \$13,100 in excess costs represents a direct, quantifiable harm flowing from Heartland's failure to fulfill its fiduciary obligations.

Key Factor

The adviser recommended higher-cost mutual fund share classes without conducting any analysis of available alternatives, despite the client's explicit cost-sensitivity and qualification for institutional shares.

Item 184 of 499**NON-COMPLIANT**

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Customer-Specific and Reasonable-Basis Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities, by analogy for senior investor protections)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Ellison, age 71, retired from her position as a high school librarian in March 2021 with a modest pension and \$340,000 in liquid savings accumulated over her career. She became a client of Bridgewater Coast Securities in April 2021, opening an account with registered representative Daniel Kowalski. During the initial account opening, Mrs. Ellison completed a new account form indicating her investment objective as 'income with capital preservation,' her risk tolerance as 'conservative,' a 10-year investment time horizon, and annual income of approximately \$42,000 from Social Security and pension combined. She stated her primary goal was generating supplemental retirement income while protecting her principal.

In September 2021, Mr. Kowalski contacted Mrs. Ellison to discuss what he described as 'sophisticated income enhancement strategies that the professionals use.' He recommended she allocate \$85,000 of her portfolio to ProShares Ultra VIX Short-Term Futures ETF (UVXY), a 1.5x leveraged exchange-traded product designed to track short-term VIX futures. Kowalski explained that the product could provide 'outsized returns during market volatility' and would serve as 'portfolio insurance.' He did not explain the daily reset mechanism, the effects of contango on long-term performance, or that the product was designed for short-term tactical trading rather than buy-and-hold investment. Mrs. Ellison relied on his expertise and approved the purchase.

Mrs. Ellison held the UVXY position for fourteen months. During this period, despite several volatility spikes, the position declined by approximately 78%, losing roughly \$66,300. When Mrs. Ellison called in November 2022 concerned about her losses, Kowalski assured her to 'stay the course' because 'volatility always comes back.' Bridgewater Coast's supervision consisted solely of reviewing a monthly exception report that flagged accounts with concentrated positions exceeding 25%, but the firm had no specific procedures for reviewing complex product recommendations to senior investors or assessing the suitability of leveraged products for long-term holding periods.

Question

Did Daniel Kowalski's recommendation that Margaret Ellison invest \$85,000 of her retirement savings in a leveraged volatility ETF satisfy FINRA's suitability requirements under Rule 2111?

Answer

No, Daniel Kowalski's recommendation violated FINRA Rule 2111's suitability requirements on multiple grounds, constituting a clear failure of the care obligation owed to Mrs. Ellison.

Under FINRA Rule 2111(a), a member or associated person must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile. This obligation encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

First, regarding customer-specific suitability under Rule 2111.05(a), the recommendation fundamentally conflicted with Mrs. Ellison's documented investment profile. Her stated objectives were income generation and capital preservation with a conservative risk tolerance. A 1.5x leveraged volatility ETF is antithetical to these objectives--such products generate no income, are designed for short-term speculation, and carry extreme principal risk. Allocating 25% of her liquid assets (\$85,000 of \$340,000) to such a product grossly exceeded any reasonable allocation for a conservative 71-year-old retiree.

Second, Kowalski likely failed reasonable-basis suitability under Rule 2111.05(a). Leveraged ETFs with daily reset mechanisms are designed to achieve their stated leverage on a daily basis only. Over longer holding periods, compounding effects--particularly in contango markets typical of VIX futures--cause severe performance decay. Recommending a fourteen-month hold demonstrates either a fundamental misunderstanding of the product's mechanics or reckless disregard for its risks, neither of which satisfies the reasonable diligence standard.

Third, Kowalski's failure to explain the daily reset mechanism, contango effects, and the product's unsuitability for buy-and-hold strategies constitutes inadequate disclosure of material product characteristics. While not a suitability element per se, this failure undermined any reasonable basis for the recommendation.

Bridgewater Coast's supervisory deficiencies under FINRA Rule 3110 are also evident--the firm lacked procedures specifically addressing complex product recommendations to senior investors, contrary to heightened scrutiny expectations articulated by FINRA for such situations.

The recommendation was unsuitable, and both Kowalski and Bridgewater Coast bear responsibility for the resulting losses.

Key Factor

Recommending a leveraged volatility ETF designed for short-term tactical trading to a 71-year-old conservative investor seeking income and capital preservation, and advising her to hold the position for over a year, directly contradicted her documented investment profile and the product's intended use.

Item 185 of 499**NON-COMPLIANT**

Topic: private_fund_suitability_sophisticated_investor

Difficulty: hard

Standard: Investment Advisers Act Sections 206(1) and 206(2); SEC Fiduciary Interpretation (2019); Duty of Care requiring reasonable basis and client-specific suitability

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Crestview Capital Advisors, LLC, a registered investment adviser based in Denver, Colorado, manages several private funds including the Crestview Opportunistic Credit Fund LP. In March 2023, senior adviser Douglas Whitmore met with Evelyn Hartwell, a 67-year-old recently widowed client who had just received \$2.8 million from her late husband's life insurance proceeds and retirement accounts. Mrs. Hartwell explicitly stated during multiple meetings that she needed income to supplement her Social Security benefits, had no prior experience with alternative investments, and emphasized that capital preservation was her paramount concern given her age and lack of future earning capacity.

Despite these clearly articulated objectives, Whitmore recommended that Mrs. Hartwell invest \$1.4 million--exactly half of her liquid assets--into the Crestview Opportunistic Credit Fund LP, a private fund that invested primarily in distressed debt, mezzanine financing, and subordinated loans to middle-market companies undergoing restructuring. The fund had a seven-year lockup period with no redemption rights, charged a 2% management fee and 20% carried interest, and its offering memorandum disclosed that investors could lose their entire investment. The fund's historical volatility showed drawdowns of up to 35% during credit dislocations.

Whitmore's internal notes indicated that Mrs. Hartwell was classified as an 'accredited investor' based on her net worth, but contained no analysis of whether the investment aligned with her stated objectives of income generation and capital preservation. The adviser's compliance files showed no documentation of how the illiquid, high-risk nature of the distressed debt strategy was appropriate for a client with no alternative investment experience and an explicit need for accessible funds. When Mrs. Hartwell asked about accessing her money if she needed it for medical expenses, Whitmore assured her that 'the returns would more than compensate for any temporary illiquidity' without providing specific projections or addressing her fundamental concern about capital accessibility.

Question

Did Crestview Capital Advisors, through Douglas Whitmore, breach its fiduciary duty of care under the Investment Advisers Act by recommending the Crestview Opportunistic Credit Fund LP to Mrs. Hartwell?

Answer

Yes, Crestview Capital Advisors breached its fiduciary duty of care under Sections 206(1) and 206(2) of the Investment Advisers Act. As articulated in the SEC's 2019 fiduciary interpretation, an investment adviser owes clients a duty of care requiring it to provide advice that is in the client's best interest, which includes having a reasonable belief that the advice is suitable based on the client's investment profile.

The duty of care requires advisers to conduct a reasonable investigation into the investment sufficient to form a reasonable basis for the recommendation, and to have a reasonable belief that the recommendation is in the client's best interest based on the client's objectives, financial situation, and other circumstances. Crestview failed on both counts.

First, the recommendation was fundamentally misaligned with Mrs. Hartwell's clearly stated objectives. She explicitly communicated three critical parameters: need for income, desire for capital preservation, and concern about accessibility given her age and widow status. The Crestview Opportunistic Credit Fund's characteristics--seven-year lockup, distressed debt exposure with potential for total loss, and historical 35% drawdowns--are antithetical to every stated objective. The fund generates no regular income distributions, offers no capital preservation features, and completely eliminates liquidity for nearly a decade.

Second, Whitmore's documentation failures evidence a lack of reasonable diligence. While accredited investor status establishes legal eligibility to invest in private funds, it does not satisfy the adviser's fiduciary obligation to determine suitability. The absence of any documented analysis connecting the fund's risk-return profile to Mrs. Hartwell's circumstances demonstrates Crestview failed to exercise the care a prudent adviser would employ.

Third, Whitmore's dismissive response to Mrs. Hartwell's direct question about accessing funds for medical expenses--providing vague assurances rather than substantive analysis--further evidences a breach of the duty to provide advice in the client's best interest. Concentrating 50% of a 67-year-old widow's assets in an illiquid, high-risk strategy with no redemption rights cannot constitute advice in her best interest under any reasonable interpretation of fiduciary standards.

Key Factor

The adviser recommended an illiquid, high-risk private fund with a seven-year lockup to a 67-year-old widow who explicitly prioritized capital preservation, income generation, and accessibility--objectives fundamentally incompatible with the recommended investment.

Item 186 of 499

NON-COMPLIANT

Topic: investment_adviser_fiduciary_duty_care_obligation

Difficulty: hard

Standard: Investment Advisers Act of 1940 federal fiduciary duty; SEC Standard of Conduct Interpretation (June 5, 2019); Duty of Care requiring investment advice in client's best interest based on client's investment profile

Source: 07_Practitioner_Commentary

Fact Pattern

Thornbridge Capital Advisors LLC is an SEC-registered investment adviser based in Boston, Massachusetts, serving high-net-worth individuals and retirees. In March 2023, Marcus Whitfield, a 67-year-old retired schoolteacher, engaged Thornbridge as his investment adviser after receiving a \$485,000 inheritance from his late sister. During the initial consultation, Whitfield completed a comprehensive client questionnaire indicating that his primary investment objective was capital preservation with modest income generation to supplement his pension of \$3,200 per month. He explicitly stated he had a 'conservative' risk tolerance, noting he 'cannot afford to lose principal' and planned to use the funds to cover potential long-term care expenses and leave a legacy to his grandchildren. His investment time horizon was listed as 7-10 years, and he had no prior experience with complex investment products.

Notwithstanding this documented profile, Thornbridge senior adviser Patricia Dennison recommended that Whitfield allocate \$340,000 (approximately 70% of his investable assets) to a concentrated portfolio of small-cap growth equities and emerging market funds. Dennison's internal notes reflected that these recommendations were 'aligned with current market opportunities' and would 'maximize growth potential.' The notes made no reference to Whitfield's stated conservative objectives or his limited risk capacity. Additionally, Dennison recommended \$95,000 be placed in a non-traded REIT with a 7-year lockup period and significant illiquidity, despite Whitfield's potential need for liquidity to cover healthcare costs.

Within fourteen months, by May 2024, Whitfield's portfolio had declined by \$127,000 due to significant volatility in the small-cap and emerging market positions. The non-traded REIT suspended redemptions entirely, leaving Whitfield unable to access those funds. When Whitfield complained to Thornbridge's compliance department, Dennison defended her recommendations by stating that 'all clients should have growth exposure' and that 'the long-term performance would justify the short-term volatility.' Thornbridge's investment advisory agreement contained a provision stating that the adviser would 'act in accordance with fiduciary principles,' but no specific disclosure was made regarding how the firm would address conflicts between growth-oriented recommendations and conservative client profiles.

Question

Did Thornbridge Capital Advisors and adviser Patricia Dennison breach their fiduciary duty of care under the Investment Advisers Act by recommending a growth-oriented, illiquid portfolio to a conservative, income-focused retiree?

Answer

Yes, Thornbridge Capital Advisors and Patricia Dennison breached their fiduciary duty of care under the Investment Advisers Act of 1940. As articulated in the SEC's 2019 Standard of Conduct Interpretation, investment advisers owe a federal fiduciary duty to all clients--not merely retail customers--that encompasses both a duty of care and a duty of loyalty. The duty of care requires advisers to provide investment advice that is in the client's best interest, based on a

reasonable understanding of the client's objectives, risk tolerance, financial situation, and needs.

The Standard of Conduct Interpretation emphasizes that this duty applies through a principles-based framework, providing flexibility while demanding that advice be tailored to individual client circumstances. Here, Dennison possessed comprehensive documentation of Whitfield's conservative profile: capital preservation objective, inability to sustain principal losses, limited investment experience, and potential liquidity needs for healthcare expenses. Despite this clear evidence, she recommended allocating 70% of assets to volatile small-cap and emerging market equities--asset classes fundamentally inconsistent with capital preservation--and directed substantial funds to an illiquid non-traded REIT with a 7-year lockup.

Dennison's justification that 'all clients should have growth exposure' reflects a failure to discharge the individualized duty of care. The fiduciary standard does not permit advisers to apply generic investment philosophies without regard to documented client profiles. Her internal notes referencing 'market opportunities' rather than client objectives further evidence that the recommendations were driven by considerations other than Whitfield's best interest.

The resulting \$127,000 loss and complete illiquidity of \$95,000 demonstrate concrete harm flowing from unsuitable recommendations. While investment advisers are not guarantors of performance, the duty of care requires a reasonable basis for concluding that recommendations align with client objectives at the time they are made. Thornbridge cannot cure this breach through boilerplate advisory agreement language referencing 'fiduciary principles' without actually adhering to those principles in practice. The firm failed its fundamental obligation to provide advice reasonably designed to serve Whitfield's stated conservative, income-focused, and liquidity-conscious needs.

Key Factor

The adviser recommended a concentrated growth-oriented and illiquid portfolio directly contradicting the client's documented conservative risk tolerance, capital preservation objective, and liquidity needs.

Item 187 of 499**NON-COMPLIANT**

Topic: suitability_of_complex_trading_strategy_for_hedge_fund

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Customer Investment Profile); FINRA Rule 2010 (Standards of Commercial Honor); Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Zephyr Capital Partners, LP is a small hedge fund organized under Delaware law with approximately \$4.2 million in assets under management. The fund's investment manager, Marcus Whitfield, maintained a prime brokerage account with Sterling Securities, Inc. beginning in September 2016. The fund's stated investment objective was moderate growth with controlled volatility, focusing primarily on equity long/short strategies with limited use of derivatives for hedging purposes only.

On February 6, 2018, during a period of extreme market volatility following the VIX spike, Sterling Securities' registered representative, Devon Blackwell, recommended that Whitfield execute a series of complex options trades involving inverse volatility ETNs and leveraged VIX futures positions. Blackwell assured Whitfield that the strategy would allow the fund to capitalize on the volatility spike and that Sterling's proprietary trading algorithms would manage execution risk. The recommended trades involved approximately \$875,000 in notional exposure--representing over 20% of the fund's total AUM--concentrated in products that could lose substantial value in minutes.

Whitfield, who had limited experience with volatility products beyond basic put/call hedging, relied on Blackwell's representations regarding execution timing and risk parameters. The trading system experienced significant delays during the market chaos, and several orders were executed at prices substantially different from the levels discussed. The fund ultimately suffered losses of approximately \$267,000 on these trades within a four-hour window.

Sterling Securities' account documentation reflected that Zephyr Capital Partners had a 'moderate' risk tolerance and that derivatives usage was authorized only for hedging. The new account form, signed in 2016, contained no specific authorization for speculative volatility trading or inverse/leveraged ETN products. Additionally, Sterling's own product due diligence materials classified inverse VIX ETNs as suitable only for 'sophisticated investors with aggressive risk profiles and short holding periods,' neither of which applied to this fund based on its documented profile.

Question

Did Sterling Securities and its representative Devon Blackwell violate their suitability obligations under FINRA rules when recommending the complex volatility trading strategy to Zephyr Capital Partners?

Answer

The arbitration panel would likely find that Sterling Securities violated FINRA Rule 2111 (Suitability) in recommending the complex volatility strategy to Zephyr Capital Partners. Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile.

First, regarding reasonable-basis suitability under Rule 2111(a), there is evidence that Blackwell failed to understand the risks of inverse volatility ETNs during extreme market conditions. These products can lose 80-90% of value in hours

during volatility spikes--precisely the market environment in which the recommendation was made. A reasonable basis analysis required understanding these products' path-dependency and volatility decay characteristics.

Second, customer-specific suitability was clearly violated. The fund's documented profile indicated moderate risk tolerance and derivatives authorization limited to hedging. The recommended strategy involved speculative volatility trading representing 20% of AUM--directly contradicting both the risk tolerance and the stated derivatives limitation. Under Rule 2111.05(a), the representative must consider the customer's investment objectives and risk tolerance when making recommendations.

Third, quantitative suitability principles, while typically applied to excessive trading, are relevant here given the concentration of risk. Exposing 20% of a moderate-risk fund's assets to instruments capable of catastrophic single-day losses fails any reasonable suitability analysis.

Sterling's own product due diligence materials classified these products as suitable only for aggressive, sophisticated investors--neither descriptor applied to Zephyr based on account documentation. This internal inconsistency demonstrates actual knowledge that the recommendation was unsuitable.

Respondent may argue institutional customer exemptions under Rule 2111(b), but the exemption requires affirmative indication that the customer is exercising independent judgment and the broker-dealer believes the customer is capable of evaluating investment risks independently. Here, Whitfield expressly relied on Blackwell's expertise and representations, negating any institutional exemption.

The award of partial damages (similar to the \$12,500 awarded in the source case) would reflect comparative fault for the fund manager's decision to proceed, while recognizing Sterling's primary suitability violation under FINRA Rule 2111 and just and equitable principles under Rule 2010.

Key Factor

The recommended strategy involving inverse volatility ETNs directly contradicted the fund's documented moderate risk tolerance and hedging-only derivatives authorization, constituting a clear customer-specific suitability violation.

Item 188 of 499**NON-COMPLIANT**

Topic: unsuitable_complex_product_recommendation

Difficulty: hard

Standard: Regulation Best Interest Care Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); Exchange Act Section 15(b)

Source: 11_Case_Law

Fact Pattern

Greenleaf Securities LLC, a dual-registered broker-dealer and investment adviser based in Hartford, Connecticut, employed Marcus Thornton as a registered representative. In March 2021, Thornton met with Helen Kowalski, a 71-year-old retired schoolteacher who had recently received a \$485,000 inheritance from her late sister's estate. Mrs. Kowalski's account documentation reflected that she had limited investment experience consisting solely of certificates of deposit and a small municipal bond ladder held for fifteen years. Her stated investment objective was 'capital preservation with modest income,' her risk tolerance was marked as 'conservative,' and her investment time horizon was listed as '3-5 years' given her need to potentially access funds for assisted living costs.

During their second meeting on April 8, 2021, Thornton recommended that Mrs. Kowalski invest \$340,000--approximately 70% of her liquid assets--into the Apex Volatility Enhanced Income Fund, a complex structured product that employed a strategy of selling put options on equity indices to generate income while maintaining leveraged exposure to market volatility. The product's prospectus disclosed maximum potential losses of 35% in adverse market conditions and explicitly stated the product was designed for 'sophisticated investors who can bear substantial losses and understand derivatives strategies.'

Thornton's recommendation was based primarily on the fund's then-current 8.2% yield, which he emphasized would provide Mrs. Kowalski with approximately \$27,880 in annual income. Internal Greenleaf emails later revealed that Thornton was participating in a quarterly sales contest for the Apex fund, with prizes including an all-expenses-paid trip to Bermuda for representatives who placed more than \$1 million in client assets into the product. Thornton's supervisor, Rebecca Huang, approved the transaction after a cursory review that failed to note any of the suitability concerns.

By February 2022, significant market volatility caused Mrs. Kowalski's position to decline by \$108,800, representing a 32% loss. When she attempted to liquidate the position to cover her husband's unexpected hospitalization costs, she discovered substantial early redemption penalties that further reduced her proceeds.

Question

Did Marcus Thornton and Greenleaf Securities meet their regulatory obligations regarding the suitability and best interest of the Apex Volatility Enhanced Income Fund recommendation to Mrs. Kowalski?

Answer

No, Thornton and Greenleaf Securities clearly violated their regulatory obligations under both Regulation Best Interest and applicable suitability standards. The recommendation failed multiple components of the Care Obligation under Reg BI, which requires broker-dealers to exercise reasonable diligence, care, and skill when making recommendations.

First, regarding customer-specific suitability under FINRA Rule 2111 and Reg BI's Care Obligation, Thornton failed to ensure the recommendation was appropriate for Mrs. Kowalski's specific profile. Her documented conservative risk

tolerance, limited investment experience restricted to CDs and municipal bonds, and 3-5 year time horizon with potential near-term liquidity needs were fundamentally incompatible with a complex leveraged derivatives product designed for sophisticated investors who can bear substantial losses. The concentration of 70% of her liquid assets in a single high-risk product further exacerbated this mismatch.

Second, Thornton failed to consider reasonably available alternatives that would have satisfied Mrs. Kowalski's stated objectives of capital preservation with modest income. Investment-grade corporate bonds, Treasury securities, or dividend-paying equity funds would have provided income without the extreme downside risk and liquidity constraints of the Apex fund.

Third, the sales contest participation created financial incentives that compromised Thornton's ability to place Mrs. Kowalski's interest ahead of his own, violating Reg BI's requirement that recommendations not place the financial interest of the broker ahead of the retail customer's interest. The supervisor's cursory approval demonstrates a systemic failure in Greenleaf's supervisory procedures under Exchange Act Section 15(b) and FINRA Rule 3110.

The product's own prospectus disclosure that it was designed for sophisticated investors who understand derivatives strategies should have served as a clear warning that Mrs. Kowalski was not an appropriate candidate. Thornton's reliance solely on yield without adequate consideration of risk, liquidity needs, and investor sophistication represents a fundamental breach of the duty of care. The resulting \$108,800 loss plus redemption penalties was a foreseeable consequence of this unsuitable recommendation.

Key Factor

The recommendation of a complex leveraged derivatives product to a conservative 71-year-old investor with limited experience and near-term liquidity needs, motivated by sales contest incentives, fundamentally violated the care obligation and customer-specific suitability requirements.

Item 189 of 499

NON-COMPLIANT

Topic: independent_advice_range_assessment_suitability

Difficulty: hard

Standard: MiFID II Article 24(4), (7); ESMA Technical Advice on independent advice selection processes; MiFID II Delegated Regulation requirements for suitability assessments

Source: 09_Law_Firm_Memos

Fact Pattern

Meridian Wealth Advisors Ltd., a UK-based investment firm registered under MiFID II, marketed itself as providing independent investment advice to retail clients seeking retirement planning services. The firm's website and client-facing materials prominently featured the designation 'Independent Financial Adviser' and emphasized its objectivity in product selection.

In March 2023, Geoffrey Hartwell, age 58, approached Meridian seeking advice on investing his £425,000 pension transfer from a defined benefit scheme. Hartwell had moderate risk tolerance, a 7-year investment horizon until planned retirement, and stated his primary objective was capital preservation with modest growth to supplement his state pension. His annual income was £62,000 and he had no other significant investments beyond his primary residence.

Meridian adviser Sophia Kellerman conducted an initial suitability assessment and subsequently recommended that Hartwell invest the entire £425,000 in a portfolio consisting exclusively of funds managed by Vanguard Asset Management. The recommendation included 60% in Vanguard LifeStrategy 60% Equity Fund, 25% in Vanguard Global Bond Index Fund, and 15% in Vanguard UK Short-Term Investment Grade Bond Fund.

Internal compliance records later revealed that Meridian had entered into a preferred distribution arrangement with Vanguard in January 2023, under which Vanguard provided Meridian with enhanced research support, platform fee subsidies, and priority access to portfolio management tools. Kellerman's selection process documentation showed she had considered only Vanguard products, despite comparable or potentially more suitable offerings from BlackRock, Fidelity, and Legal & General that might have better matched Hartwell's specific capital preservation objective. The firm's investment committee had never formally assessed whether its exclusive focus on Vanguard products met the MiFID II requirements for independent advice, nor had it documented a comparison methodology covering a sufficient range of market instruments.

Question

Did Meridian Wealth Advisors meet its obligations under MiFID II to provide independent investment advice to Geoffrey Hartwell, and was the recommendation suitable given the firm's advice classification and selection process?

Answer

Meridian Wealth Advisors failed to meet its MiFID II obligations for independent advice and the recommendation was unsuitable based on the firm's deficient selection process.

Under MiFID II, a firm holding itself out as providing independent advice must define and implement a selection process to assess and compare a sufficient range of financial instruments available on the market. The selection process must ensure that the number and variety of instruments considered is adequately representative of the market, and that the instruments are not biased toward any particular provider. Critically, where a comparison across the market is not

possible due to business model constraints, the firm must not present itself as independent.

Meridian violated these requirements in several respects. First, the firm marketed itself as an independent adviser while exclusively recommending products from a single provider with whom it maintained a preferential commercial arrangement. The MiFID II framework explicitly requires that the quantity of instruments from closely linked or commercially favored entities be proportionate to the total market considered--here, Vanguard products constituted 100% of recommendations despite representing only a fraction of suitable market offerings.

Second, Kellerman's documentation failed to evidence any comparative analysis of competing products from BlackRock, Fidelity, Legal & General, or other providers that offered capital preservation-focused solutions potentially better aligned with Hartwell's stated objectives. MiFID II requires that selection criteria include all relevant aspects such as risks, costs, and complexity matched to client characteristics.

Third, the firm's investment committee never established whether the exclusive Vanguard focus satisfied independent advice requirements, representing a systemic process failure. The firm should have either expanded its product range or ceased holding itself out as independent, instead disclosing its restricted advice basis.

The substantive recommendation may have been reasonable in isolation, but the advice cannot be considered suitable when delivered under an independent advice framework that was fundamentally compromised. Hartwell was entitled to rely on the independent designation as assurance that market-wide alternatives had been properly assessed. The preferential arrangement with Vanguard, combined with the absence of documented comparison methodology, renders the advice non-compliant regardless of the ultimate product performance.

Key Factor

The firm held itself out as providing independent advice while exclusively recommending products from a single provider with whom it maintained a preferential distribution arrangement, without documenting any comparative market analysis.

Item 190 of 499

NON-COMPLIANT

Topic: discretionary_trading_without_authorization_suitability

Difficulty: medium

Standard: FINRA Rules 3260(b), 2111, and 2010

Source: 03_FINRA_AWC

Fact Pattern

Gerald Hutchinson, age 67, retired from his position as a municipal utilities manager in March 2020 with a \$485,000 rollover IRA at Brookfield Securities Partners, LLC. His account documentation listed his investment objective as 'income with capital preservation,' his risk tolerance as 'moderate,' and his investment time horizon as '10-15 years.' His primary goal was generating steady income to supplement his pension and Social Security benefits.

Between January 2022 and November 2023, his registered representative, Thomas Caldwell, executed 187 trades across Hutchinson's IRA account without speaking to Hutchinson on the dates of the transactions. Caldwell had general discussions with Hutchinson approximately once per quarter about market conditions and portfolio strategy, during which Hutchinson expressed satisfaction with his account performance. However, the account was never designated as discretionary by Brookfield Securities Partners, and Hutchinson never provided written authorization for discretionary trading.

The trades primarily involved rotating among dividend-paying equity positions and fixed-income securities. While the individual securities purchased were generally consistent with Hutchinson's stated income objective, the frequency of trading resulted in turnover that generated \$14,200 in commission charges over the 23-month period. Hutchinson's account value at the end of November 2023 was \$501,000, reflecting modest growth despite the commission expenses.

When Brookfield's compliance department conducted a routine review in December 2023, they discovered that Caldwell had been executing trades without same-day customer authorization. Caldwell explained that he believed his quarterly conversations with Hutchinson provided sufficient guidance to make investment decisions on his behalf, and that all trades were suitable for the customer's profile. He noted that Hutchinson had never complained about any transaction and had expressed appreciation for the account's performance.

Question

Did Thomas Caldwell's trading activity in Gerald Hutchinson's account violate applicable suitability and conduct standards, notwithstanding that the individual securities purchased appeared consistent with Hutchinson's investment objectives?

Answer

Yes, Thomas Caldwell violated FINRA Rules 3260(b) and 2010, and his conduct raises additional concerns under FINRA Rule 2111 (Suitability). The violations occurred regardless of whether the underlying investment selections were appropriate for the customer.

FINRA Rule 3260(b) explicitly prohibits a registered representative from exercising discretionary power in a customer's account unless two conditions are met: (1) the customer has provided prior written authorization, and (2) the member firm has accepted the account as discretionary, evidenced in writing. Here, neither condition was satisfied. Hutchinson

never executed written discretionary authorization, and Brookfield Securities Partners never designated the account as discretionary. Caldwell's execution of 187 trades over 23 months without same-day customer contact constitutes the unauthorized exercise of discretion.

Caldwell's defense that quarterly conversations provided sufficient guidance is legally insufficient. FINRA Rule 3260(b) requires contemporaneous authorization for each transaction in non-discretionary accounts, or proper written discretionary authority. General discussions about market conditions and strategy do not substitute for transaction-specific authorization or formal discretionary account status.

Additionally, FINRA Rule 2010 requires associated persons to observe high standards of commercial honor and just and equitable principles of trade. Executing trades without proper authorization, even when individually suitable, violates these standards because it deprives the customer of control over his own account and circumvents the regulatory framework designed to protect investors.

Regarding suitability under FINRA Rule 2111, while the individual securities may have been quantitatively suitable for Hutchinson's income objective, the pattern of unauthorized trading undermines the customer-specific suitability analysis. A recommendation strategy that assumes discretionary authority where none exists cannot satisfy the reasonable-basis and customer-specific suitability obligations because the customer has not authorized the representative to implement that strategy.

The fact that Hutchinson's account appreciated and he expressed no complaints does not cure the violations. Regulatory compliance is measured by adherence to rules at the time of conduct, not by outcome. Caldwell's conduct warrants sanctions consistent with FINRA's Sanction Guidelines for unauthorized discretion.

Key Factor

Caldwell executed 187 trades without same-day customer authorization in an account that was never designated as discretionary and lacked written discretionary authority from the customer.

Item 191 of 499**NON-COMPLIANT**

Topic: unsuitable_leveraged_etf_recommendation_arbitration_award

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.01 (Supplementary Material on Customer-Specific Suitability); Federal Arbitration Act 9 U.S.C. § 9 (Confirmation); 9 U.S.C. § 10 (Vacatur Standards)

Source: 22_PiABA_Materials

Fact Pattern

Margaret Thornton, age 71, was a retired schoolteacher who opened an account with Ridgeway Securities LLC in March 2021. Her new financial advisor, Bradley Cummings, documented her investment objectives as 'income and capital preservation' with a 'conservative' risk tolerance. Mrs. Thornton had approximately \$485,000 in total liquid net worth, consisting primarily of her rollover IRA from her pension and Social Security benefits totaling \$3,200 per month. She explicitly informed Cummings during their initial meeting that she could not afford to lose principal and needed her portfolio to generate steady income to supplement her fixed retirement income.

Between April 2021 and September 2021, Cummings recommended that Mrs. Thornton invest \$175,000 (approximately 36% of her liquid net worth) in a portfolio of leveraged and inverse exchange-traded funds, including a 3x leveraged technology sector ETF, a 2x leveraged small-cap ETF, and a -3x inverse energy sector ETF. Cummings told Mrs. Thornton these products would 'supercharge her returns' and help her 'catch up' on retirement savings. He did not explain the daily reset mechanism, the compounding decay effects, or that these products were designed for sophisticated short-term traders rather than buy-and-hold investors.

Mrs. Thornton held these positions for approximately fourteen months. By November 2022, her leveraged ETF positions had declined in value to approximately \$47,000, representing losses of approximately \$128,000 or 73% of her initial investment in these products. Mrs. Thornton filed a FINRA arbitration claim alleging unsuitability, breach of fiduciary duty, and negligence. The arbitration panel awarded Mrs. Thornton \$142,000 in compensatory damages, finding that Cummings violated his suitability obligations.

Ridgeway Securities filed a motion to vacate the arbitration award in federal district court, arguing that the arbitrators exceeded their authority and that the award reflected 'manifest disregard of the law' because the firm had provided Mrs. Thornton with a product-specific risk disclosure document about leveraged ETFs that she signed.

Question

Should the court confirm the arbitration award finding that Cummings' recommendation of leveraged and inverse ETFs was unsuitable for Mrs. Thornton, or should the motion to vacate be granted based on the firm's manifest disregard defense?

Answer

The court should confirm the arbitration award and deny Ridgeway Securities' motion to vacate. Under the Federal Arbitration Act, judicial review of arbitration awards is 'among the narrowest known to the law,' and courts must apply extraordinary deference to arbitrators' factual and legal determinations. The 'manifest disregard of the law' standard requires showing that arbitrators knew of a governing legal principle, understood it, and nonetheless refused to apply it--a threshold Ridgeway cannot meet here.

The arbitration panel correctly applied FINRA Rule 2111 suitability standards. Under Rule 2111(a), a broker must have a reasonable basis to believe a recommended transaction is suitable for the customer based on reasonable diligence concerning the customer's investment profile. Mrs. Thornton's profile--a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, limited liquid assets, and explicit statements about her inability to absorb principal losses--was fundamentally incompatible with leveraged and inverse ETFs.

These complex products are designed for sophisticated traders executing short-term strategies, not buy-and-hold retirement investors. FINRA has repeatedly emphasized that leveraged ETFs reset daily, causing performance to deviate significantly from the underlying index over longer holding periods due to compounding effects. Recommending a 14-month hold for 36% of a conservative retiree's assets in 2x and 3x leveraged products constitutes a clear customer-specific suitability violation under Rule 2111.01(a).

Ridgeway's defense that Mrs. Thornton signed a risk disclosure document does not establish manifest disregard. First, signed disclosures do not cure an unsuitable recommendation; suitability is determined by the recommendation's appropriateness for the customer's profile, not by whether risks were disclosed. Second, the arbitrators were entitled to weigh the evidence and conclude that Cummings' oral misrepresentations about 'supercharging returns' undermined any written disclosure. The panel's factual findings and damages calculation fall well within its authority, and no basis exists for vacatur under 9 U.S.C. § 10.

Key Factor

Recommending leveraged and inverse ETFs designed for short-term sophisticated traders to a 71-year-old conservative retiree seeking capital preservation, who then held the products for 14 months, constituted a fundamental customer-specific suitability violation.

Item 192 of 499

NON-COMPLIANT

Topic: hypothetical_performance_suitability

Difficulty: hard

Standard: Investment Advisers Act Section 206(1), Section 206(2); Fiduciary duty of care; Advisers Act Rule 206(4)-1 (advertising); suitability principles under investment adviser fiduciary standards

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Meridian Asset Strategies, LLC, a registered investment adviser based in Denver, Colorado, managed approximately \$425 million in assets as of December 2021. The firm's founder and chief investment officer, Kenneth R. Harmon, developed a proprietary investment strategy called the 'Diversified Momentum Allocation Portfolio' (DMAP) in early 2019. Harmon created DMAP performance data by back-testing a static allocation model using various equity and fixed-income indices dating back to 2008, selecting index combinations that demonstrated strong historical returns during the market recovery following the financial crisis.

In March 2022, Harmon met with prospective client Margaret Delacroix, a 67-year-old recently retired school administrator with a \$1.2 million rollover IRA from her pension plan. Delacroix explicitly stated her investment objectives were capital preservation with modest growth, noting she had a conservative risk tolerance and intended to begin taking distributions within two years to supplement her Social Security income. She expressed concern about market volatility and emphasized she could not afford significant losses to her retirement savings.

During the presentation, Harmon showed Delacroix marketing materials displaying DMAP's 'historical performance' of 14.3% annualized returns from 2008-2018, with a prominent chart showing steady upward growth. A footnote in 8-point font on the third page of the materials stated that 'certain performance information may include hypothetical or simulated results.' Harmon verbally represented that DMAP had 'consistently outperformed the market over a decade' without clarifying that these results were back-tested simulations created years after the time periods shown. Based on this presentation, Delacroix invested her entire \$1.2 million IRA in the DMAP strategy.

Within eight months, Delacroix's portfolio declined by 23% during market turbulence in late 2022. When she contacted Meridian expressing concern, she learned for the first time that the historical performance she had relied upon was entirely hypothetical and that DMAP had only existed as an actual investment strategy since 2019, with actual returns significantly below the advertised figures.

Question

Did Meridian Asset Strategies and Kenneth Harmon fulfill their fiduciary duty of care and provide suitable investment advice when recommending the DMAP strategy to Margaret Delacroix based on misleading hypothetical performance data?

Answer

No, Meridian Asset Strategies and Kenneth Harmon violated their fiduciary duty of care under Investment Advisers Act Section 206 and failed to provide suitable investment advice to Delacroix. The recommendation was neither suitable nor in her best interest for multiple interconnected reasons.

First, under Section 206(2), investment advisers are prohibited from engaging in any transaction, practice, or course of

business which operates as a fraud or deceit upon any client. The presentation of back-tested hypothetical performance as historical results--particularly when the disclosure was buried in fine print on a non-adjacent page and contradicted by verbal representations of 'consistent outperformance over a decade'--constitutes a deceptive practice. The SEC has consistently held that hypothetical performance disclosures must be sufficiently prominent and proximate to the performance data itself, and that conflicting statements suggesting actual performance negate inadequate disclosures.

Second, the fiduciary duty of care requires an adviser to make recommendations that are suitable for the specific client based on their stated objectives, risk tolerance, time horizon, and financial situation. Delacroix explicitly communicated conservative risk tolerance, capital preservation objectives, a short two-year distribution timeline, and anxiety about volatility. Recommending concentration of her entire retirement savings in a strategy marketed on hypothetical back-tested returns--which inherently carry significant risks that actual performance will deviate substantially from simulated results--was fundamentally incompatible with her stated profile.

Third, Harmon's failure to clearly distinguish between actual and hypothetical performance deprived Delacroix of material information necessary to provide informed consent. A client cannot meaningfully evaluate suitability when the adviser misrepresents the evidentiary basis for expected returns. The fact that DMAP had only three years of actual performance history, rather than the implied fourteen years, was a material fact that directly affected suitability analysis.

No adequate defense exists here. The presence of fine-print disclosure does not cure the misleading overall impression created by prominent performance graphics and contrary verbal statements. The adviser's duty runs to ensuring the client actually understands material risks, not merely that technical disclosures exist somewhere in the materials.

Key Factor

The adviser recommended concentration of a conservative retiree's entire retirement savings in a strategy based on misleading hypothetical back-tested performance that was inadequately disclosed and contradicted by verbal representations, making informed suitability assessment by the client impossible.

Item 193 of 499

NON-COMPLIANT

Topic: suitability_reasonable_diligence_reporting

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 4530 (Reporting Requirements); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Ridgeline Financial Partners, a FINRA member firm headquartered in Syracuse, New York, employed Marcus Thornton as a registered representative from January 2018 through December 2022. During this period, Thornton serviced approximately 145 retail accounts, many of which belonged to elderly clients in the rural Southern Tier region who had limited investment experience. In March 2021, Thornton recommended that Eleanor Whitfield, a 72-year-old retired schoolteacher with \$340,000 in liquid assets representing her entire retirement savings, invest \$275,000 (approximately 81% of her portfolio) in a portfolio of leveraged inverse ETFs designed to profit from market declines. Mrs. Whitfield's account documentation indicated a 'moderate' risk tolerance, 'income and preservation' as her investment objectives, a 10-year investment horizon, and limited understanding of complex derivative products. She had previously held only certificates of deposit and a small position in a balanced mutual fund.

Throughout the following eight months, Thornton actively traded the leveraged inverse ETF positions, executing 47 transactions that generated \$18,400 in commissions while Mrs. Whitfield's account declined in value by \$127,000 due to the decay characteristics inherent in leveraged products held over extended periods. The firm's compliance department received three separate trade alerts flagging the concentration and unsuitability of these recommendations in April, June, and September 2021, but the supervising principal, David Kessler, marked each alert as 'reviewed - no action required' without documenting any substantive analysis or customer contact.

In November 2021, Mrs. Whitfield's adult daughter, Catherine, contacted Ridgeline's compliance department directly to complain about the devastating losses in her mother's account. The compliance officer conducted a preliminary review and determined within three business days that Thornton had likely violated suitability obligations. However, the firm did not file a required regulatory report until January 15, 2022--approximately 75 calendar days after the compliance officer's initial determination. Ridgeline's internal policies stated that reporting decisions would be made 'in due course' without specifying timeframes or requiring reasonable diligence procedures to detect reportable violations.

Question

Did Marcus Thornton's recommendations of leveraged inverse ETFs to Mrs. Whitfield satisfy FINRA's suitability requirements, and did Ridgeline Financial Partners maintain adequate supervisory procedures to ensure timely detection and reporting of suitability violations?

Answer

The recommendations were unsuitable, and Ridgeline failed to exercise reasonable diligence in supervision and timely reporting. This analysis involves both FINRA Rule 2111 (Suitability) and the supervisory framework underlying Rule 4530 reporting obligations.

Regarding suitability under Rule 2111, Thornton violated all three component obligations. First, reasonable-basis suitability under Rule 2111(a) requires that a broker understand the risks and characteristics of a recommended

product. Leveraged inverse ETFs are complex instruments subject to daily rebalancing that causes performance decay when held beyond a single trading session--a characteristic fundamentally incompatible with Mrs. Whitfield's 10-year horizon. Second, customer-specific suitability was violated because the recommendation to concentrate 81% of a 72-year-old retiree's life savings in speculative leveraged products directly contradicted her documented moderate risk tolerance, income and preservation objectives, and limited investment experience. FINRA has repeatedly emphasized that leveraged and inverse ETFs are generally unsuitable for retail investors, particularly those with longer time horizons. Third, quantitative suitability was violated through the 47 transactions generating \$18,400 in commissions while the account lost \$127,000--a pattern suggestive of excessive trading inconsistent with the customer's stated objectives.

Regarding supervision, Ridgeline's procedures were deficient under FINRA Rule 3110. Principal Kessler's dismissal of three compliance alerts without documented analysis or customer contact demonstrates a failure to reasonably supervise. The firm's vague policy requiring reporting 'in due course' without reasonable diligence procedures violated the spirit of Rule 4530, which imposes obligations upon members knowing or who should have known of violations. As the Cornell Securities Law Clinic's comment letter emphasizes, firms should implement policies and procedures reasonably expected to detect reportable violations--similar to AML requirements under Rule 3310. The 75-day delay between the compliance officer's determination and regulatory filing far exceeded even the existing 30-day requirement, demonstrating systemic supervisory failures.

The combination of unsuitable recommendations, inadequate supervision, and delayed reporting reflects comprehensive compliance failures at both the representative and firm levels.

Key Factor

Recommending leveraged inverse ETFs--instruments designed for short-term tactical trading--to a 72-year-old retiree with moderate risk tolerance, income and preservation objectives, and a 10-year investment horizon was fundamentally unsuitable regardless of the firm's supervisory failures.

Item 194 of 499**NON-COMPLIANT**

Topic: ia_fiduciary_duty_suitability_speculative_securities

Difficulty: hard

Standard: Investment Advisers Act of 1940 Sections 206(1) and 206(2); Federal fiduciary duty as established in SEC v. Capital Gains Research Bureau, Inc.

Source: 11_Case_Law

Fact Pattern

Meridian Capital Advisors, LLC is a registered investment adviser based in White Plains, New York, managing approximately \$45 million in client assets. Gerald Thornton, the firm's founder and sole investment adviser representative, has been advising retail clients since 2008. In March 2023, Thornton began recommending shares of NexGen Biotech Corp., a speculative micro-cap pharmaceutical company with no approved products, negative earnings, and highly volatile trading patterns, to several of his clients.

One such client was Dorothy Wellman, a 71-year-old retired schoolteacher with a \$380,000 investment portfolio that represented her entire life savings. Her investment advisory agreement with Meridian identified her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income generation,' and her investment time horizon as '5-7 years.' Mrs. Wellman had no prior experience investing in speculative securities and relied entirely on Thornton's judgment for investment decisions.

Between March and June 2023, Thornton allocated approximately \$95,000 (25% of Mrs. Wellman's portfolio) to NexGen Biotech shares, purchasing the stock at prices ranging from \$4.25 to \$6.80 per share. Thornton had separately been accumulating NexGen shares in his personal brokerage account prior to recommending the stock to clients. After purchasing shares for his clients at elevated prices, Thornton would subsequently sell his personal holdings, profiting from the increased trading volume and price appreciation his client recommendations generated.

By October 2023, NexGen Biotech's stock had declined to \$0.45 per share following a failed clinical trial, resulting in losses of approximately \$88,000 for Mrs. Wellman. Thornton had not disclosed his personal trading in NexGen to Mrs. Wellman or conducted any documented analysis of whether the speculative investment was appropriate for her conservative profile before making the recommendations.

Question

Did Gerald Thornton breach his fiduciary duty to Dorothy Wellman under the Investment Advisers Act of 1940 by recommending the speculative NexGen Biotech investment?

Answer

Yes, Gerald Thornton breached his fiduciary duty to Dorothy Wellman under the Investment Advisers Act of 1940. As established in SEC v. Capital Gains Research Bureau, Inc., investment advisers owe their clients a federal fiduciary duty arising from Sections 206(1) and 206(2) of the Advisers Act, which impose obligations of utmost good faith, full disclosure, and a duty to act in the client's best interest.

Thornton's conduct violated this fiduciary standard in multiple respects. First, regarding the duty of care and suitability, the recommendation of a speculative micro-cap biotech stock to a 71-year-old conservative investor with capital preservation objectives was fundamentally unsuitable. Mrs. Wellman's documented investment profile--conservative

risk tolerance, income generation objective, and 5-7 year time horizon--was wholly incompatible with a volatile, speculative equity position. The 25% portfolio concentration in a single speculative security compounded this unsuitability.

Second, Thornton's personal trading pattern constitutes the precise 'scalping' conduct condemned in *Capital Gains*. The Supreme Court held that an adviser's practice of purchasing securities for his own account before recommending them to clients, then selling after the recommendation drives up prices, is a form of fraud under Section 206. Thornton's accumulation of NexGen shares before recommending them to clients, followed by his sales at elevated prices, mirrors this fraudulent scheme.

Third, Thornton failed his duty of full disclosure by not revealing his personal financial interest in NexGen or his trading activities. *Capital Gains* established that advisers must disclose material conflicts that could affect their judgment, and personal trading in recommended securities is precisely such a conflict.

The absence of documented investment analysis further evidences breach. A prudent adviser exercising reasonable care would have conducted due diligence on the security's appropriateness for each client's profile. Thornton's failure to document any such analysis suggests recommendations driven by self-interest rather than client welfare. Under the federal fiduciary standard, Thornton's conduct constitutes actionable violations of Sections 206(1) and 206(2) of the Investment Advisers Act.

Key Factor

Thornton recommended a highly speculative security fundamentally incompatible with the client's documented conservative profile while simultaneously engaging in undisclosed scalping activity for personal profit.

Item 195 of 499**NON-COMPLIANT**

Topic: outside_business_activity_supervision_suitability

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 3110 (Supervision), 3270 (Outside Business Activities), 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Harmonia Cultural Society, a small Pennsylvania-based nonprofit organization dedicated to preserving German-American heritage, maintained modest investment assets of approximately \$175,000 accumulated over decades from member dues and community fundraising. The organization's board consisted entirely of volunteer retirees with limited investment experience. In March 2014, registered representative Marcus Delvecchio of Summit Ridge Financial Advisors, Inc. approached the organization's treasurer, 72-year-old Herbert Kessler, at a community event. Delvecchio was registered with Summit Ridge but also operated an undisclosed outside business activity involving private placement investments in a purported real estate development fund.

Between April 2014 and November 2015, Delvecchio recommended that Harmonia Cultural Society invest \$126,798 into 'Heritage Capital Partners LLC,' which Delvecchio represented as a conservative income-producing real estate investment suitable for nonprofit endowments. Delvecchio provided marketing materials suggesting annual returns of 8-10% with minimal risk, claiming the investment was 'as safe as certificates of deposit.' The organization's investment policy statement, which Delvecchio reviewed, explicitly limited investments to publicly traded securities, money market instruments, and investment-grade bonds. The policy also required board approval for any investment exceeding \$25,000.

Delvecchio processed the investments through personal checks made payable to Heritage Capital Partners LLC rather than through Summit Ridge's standard custodial accounts. Summit Ridge's compliance department had no record of these transactions and had not approved Delvecchio's involvement with Heritage Capital Partners as an outside business activity. The firm's supervisory system failed to detect that Delvecchio was soliciting investments in unregistered securities through an unapproved OBA. When Heritage Capital Partners ceased operations in early 2016, Harmonia Cultural Society lost its entire \$126,798 investment. The organization subsequently filed a FINRA arbitration claim against Summit Ridge alleging failure to supervise, negligence, and violations of Pennsylvania securities laws.

Question

Did Summit Ridge Financial Advisors fail to meet its supervisory obligations under FINRA rules when its registered representative recommended unsuitable private placement investments to a nonprofit customer through an unapproved outside business activity?

Answer

Summit Ridge Financial Advisors violated its supervisory obligations under FINRA Rules 3110 and 3270, and the recommendation itself violated FINRA Rule 2111's suitability requirements. The analysis proceeds on multiple grounds.

First, regarding supervision under Rule 3110, member firms must establish and maintain a supervisory system reasonably designed to achieve compliance with applicable securities laws and FINRA rules. Summit Ridge's failure to detect Delvecchio's outside business activity involving Heritage Capital Partners represents a fundamental supervisory

breakdown. The firm had no procedures to monitor whether representatives were soliciting customers into investments outside the firm's approved product platform, particularly when funds bypassed normal custodial channels.

Second, Rule 3270 requires associated persons to provide prior written notice to their member firm before engaging in any outside business activity. Delvecchio's failure to disclose his involvement with Heritage Capital Partners, combined with Summit Ridge's failure to have systems detecting such undisclosed activities, compounds the supervisory failure.

Third, even setting aside the OBA issues, the recommendation itself violated Rule 2111's suitability standard. Under Rule 2111(a), a member must have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including risk tolerance, investment objectives, and financial situation. Harmonia Cultural Society was a nonprofit with a conservative investment policy explicitly prohibiting non-publicly traded securities. An illiquid private placement in an unregistered real estate fund was categorically unsuitable for this customer profile. The reasonable-basis suitability component was also violated, as Delvecchio could not have conducted adequate due diligence on an unregistered offering promoted through an undisclosed OBA.

While the arbitration panel in this matter ultimately denied the claimant's claims, a compliance analysis recognizes that Summit Ridge's supervisory systems were deficient. The respondeat superior theory advanced by claimants in such cases often hinges on whether the representative acted within the scope of employment--a factual determination that varies by jurisdiction. Nevertheless, the underlying conduct violated multiple FINRA rules governing suitability and supervision.

Key Factor

The firm's supervisory system failed to detect that a registered representative was soliciting nonprofit customer investments into unsuitable private placements through an undisclosed outside business activity, bypassing normal custodial and compliance review channels.

Item 196 of 499

NON-COMPLIANT

Topic: suitability_unregistered_recommendations

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); Securities Exchange Act Section 15(a) (Registration Requirements)

Source: 03_FINRA_AWC

Fact Pattern

Horizon Wealth Partners LLC employed Maria Delgado in an unregistered capacity beginning in March 2023. Delgado's official role was listed as 'Client Services Coordinator,' responsible for scheduling appointments and processing account paperwork. However, between April 2023 and February 2024, Delgado regularly communicated investment recommendations directly to firm clients without supervision by a registered representative.

One such client was Theodore Brennan, a 71-year-old retired postal worker with a portfolio valued at approximately \$285,000, consisting primarily of certificates of deposit and a conservative balanced mutual fund. Brennan's customer account documentation indicated a 'conservative' risk tolerance, 'capital preservation' as his primary investment objective, and a 10-year investment time horizon aligned with his retirement income needs. Brennan had no prior experience with options, commodities, or leveraged products.

During a phone call in August 2023, Delgado recommended that Brennan liquidate \$95,000 from his balanced fund and invest the proceeds in a leveraged exchange-traded fund (ETF) tracking the technology sector, specifically a 3x daily leveraged product. Delgado described the investment as 'a great opportunity to boost your returns before the market takes off.' She did not discuss the product's daily reset mechanism, its volatility decay characteristics, or its unsuitability for buy-and-hold investors. Brennan followed the recommendation.

By January 2024, Brennan's \$95,000 investment had declined to approximately \$52,000 due to market volatility and the compounding effects inherent in leveraged products. When Brennan complained to the firm, an internal review revealed that Delgado had made similar recommendations to at least four other retired clients with conservative profiles. FINRA subsequently opened an investigation and requested Delgado's testimony, which she refused to provide.

Question

Did the recommendation of a 3x leveraged technology ETF to Theodore Brennan violate applicable suitability requirements, and what standards govern recommendations made by an unregistered person?

Answer

The recommendation was clearly unsuitable and violated FINRA Rule 2111 and FINRA Rule 2010. Additionally, the fact that Delgado was unregistered does not insulate the conduct from regulatory scrutiny--it compounds the violations.

FINRA Rule 2111 establishes that a broker-dealer or associated person must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Here, the recommendation fails on multiple grounds.

First, regarding customer-specific suitability under Rule 2111(a), Brennan's documented profile--conservative risk

tolerance, capital preservation objective, age 71, reliance on retirement income--is fundamentally incompatible with a 3x leveraged ETF. These products are designed for sophisticated traders executing short-term tactical positions, not buy-and-hold retail investors. FINRA has repeatedly emphasized that leveraged and inverse ETFs are generally unsuitable for retail investors who plan to hold them for longer than one trading session due to daily reset mechanisms that cause performance to deviate significantly from the underlying index over time.

Second, Delgado failed to provide adequate disclosure of material risks, including volatility decay and the daily compounding structure. The description of the product as 'a great opportunity to boost returns' without risk discussion demonstrates a failure of the care obligation.

Third, Delgado's unregistered status is itself a violation. Under FINRA Rules and Section 15(a) of the Securities Exchange Act of 1934, persons effecting securities transactions or providing investment recommendations must be properly registered. The firm's supervisory failures under FINRA Rule 3110 are also implicated, as Horizon Wealth Partners failed to prevent an unregistered individual from making unsuitable recommendations.

Delgado's subsequent refusal to appear for FINRA testimony under Rule 8210 constitutes an independent violation of Rules 8210 and 2010, warranting a bar from the industry. The recommendation was unsuitable, the conduct was violative, and the firm's controls were deficient.

Key Factor

An unregistered individual recommended a highly volatile 3x leveraged ETF to a 71-year-old conservative investor seeking capital preservation, without disclosing material product risks.

Item 197 of 499

NON-COMPLIANT

Topic: ai_robo_adviser_suitability_elderly_investor

Difficulty: hard

Standard: Investment Advisers Act Section 206; SEC Fiduciary Duty Interpretation; SEC Guidance on Robo-Advisers; State fiduciary standards for investment advisers

Source: 09_Law_Firm_Memos

Fact Pattern

Apex Digital Wealth Advisors, a registered investment adviser based in Phoenix, Arizona, launched an AI-powered robo-advisory platform called 'SmartPortfolio Pro' in March 2023. The platform used machine learning algorithms to generate investment recommendations based on client questionnaire responses. Margaret Thornton, an 81-year-old retired schoolteacher with moderate dementia diagnosed in January 2023, opened an account in April 2023 with \$485,000 representing her entire liquid net worth, primarily from a recently matured certificate of deposit. Her daughter helped her complete the online questionnaire, which asked standard questions about investment timeline, risk tolerance, and financial goals.

The SmartPortfolio Pro algorithm processed Mrs. Thornton's responses--which indicated a 3-5 year investment horizon, 'moderate' risk tolerance, and 'income generation' as her primary objective--and automatically generated a portfolio allocation of 65% equities (including 20% in emerging market ETFs and 15% in small-cap growth funds), 25% high-yield corporate bonds, and 10% cash equivalents. The platform's algorithm weighted her stated 'moderate' risk tolerance heavily without accounting for her age, health status, or the fact that this represented her entire liquid savings needed for potential long-term care expenses.

Apex's compliance team had implemented the AI platform with minimal human oversight protocols. The firm's procedures stated that accounts under \$500,000 would receive fully automated recommendations without human review unless the client specifically requested adviser consultation. No licensed investment adviser reviewed Mrs. Thornton's account profile, her questionnaire responses, or the algorithm's recommendations before implementation. The platform executed trades within 48 hours of account funding.

By September 2023, Mrs. Thornton's portfolio had declined 22% to approximately \$378,300 due to emerging market volatility and rising interest rates affecting high-yield bonds. Her daughter discovered the losses when attempting to access funds for her mother's assisted living facility deposit. A review revealed the algorithm had never flagged the account for human review despite multiple risk indicators including client age over 80, 100% liquid net worth concentration, and healthcare-related withdrawal likelihood.

Question

Did Apex Digital Wealth Advisors breach its fiduciary duty of care under the Investment Advisers Act by relying solely on its AI-powered platform to generate investment recommendations for Mrs. Thornton without human adviser review?

Answer

Apex Digital Wealth Advisors violated its fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940. As the SEC has consistently emphasized, registered investment advisers owe their clients a fiduciary duty comprising both a duty of care and a duty of loyalty, regardless of whether advice is delivered through human advisers or automated platforms.

The duty of care requires an adviser to provide investment advice in the best interest of the client, based on the client's objectives. This duty cannot be fully delegated to an algorithm without appropriate human oversight, particularly when client circumstances present elevated risk factors. The SEC's guidance on robo-advisers has made clear that automated platforms must still fulfill all fiduciary obligations, and firms must ensure their algorithms are designed and monitored to achieve compliance.

Apex failed this standard in multiple respects. First, the firm's procedures establishing a blanket \$500,000 threshold for human review was arbitrary and failed to account for client-specific risk factors. Mrs. Thornton's profile presented numerous red flags warranting enhanced scrutiny: her advanced age (81), the concentration of 100% of her liquid assets, her short investment horizon (3-5 years), her stated income objective, and the likelihood of near-term healthcare-related liquidity needs. A prudent adviser exercising reasonable care would have recognized these factors necessitated a more conservative allocation.

Second, the algorithm's 65% equity allocation with substantial emerging market and small-cap exposure was fundamentally unsuitable for an octogenarian investing her entire liquid net worth with income generation objectives and a limited time horizon. The 25% high-yield bond allocation added credit risk inappropriate for capital preservation needs.

Third, Apex's compliance framework was deficient in failing to program the AI system to flag accounts with multiple vulnerability indicators for mandatory human review. SEC Chairman Gensler has specifically cautioned that investment professionals using AI platforms must ensure investors' interests take priority--a standard Apex manifestly failed to meet.

The firm cannot defend by pointing to Mrs. Thornton's questionnaire responses indicating 'moderate' risk tolerance. Fiduciary duty requires advisers to exercise independent professional judgment and not mechanically accept client self-assessments when objective factors suggest a mismatch. The totality of circumstances demanded conservative positioning that the algorithm--and Apex's oversight structure--failed to provide.

Key Factor

Apex's complete delegation of suitability determinations to an AI algorithm without human review protocols for vulnerable client profiles constituted a fundamental breach of the fiduciary duty of care owed to an elderly client investing her entire liquid net worth.

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NON-COMPLIANT

Topic: esop_valuation_prudence

Difficulty: hard

Standard: ERISA §404(a)(1)(B) duty of prudence; ERISA §406 prohibited transaction rules; DOL adequate consideration requirements for ESOP transactions

Source: 11_Case_Law

Fact Pattern

Pacific Coast Engineering Solutions, Inc. was a closely-held engineering consulting firm founded by Marcus Delgado and Christine Yamaguchi in Portland, Oregon. In March 2022, the co-founders decided to sell their company to a newly established Employee Stock Ownership Plan (ESOP) covering the firm's 47 employees. The ESOP trustee, Cascade Fiduciary Services LLC, was appointed to represent the plan participants in the transaction. Cascade engaged Meridian Business Appraisals to provide an independent valuation of Pacific Coast Engineering. Meridian's appraiser, Kenneth Holloway, determined the company's fair market value to be \$14.2 million based on a discounted cash flow analysis using a 12% discount rate and projected annual revenue growth of 8% for five years.

The ESOP ultimately purchased 100% of Pacific Coast Engineering's shares at \$14.2 million, financed through a seller note at 6.5% interest over 15 years. However, significant concerns existed regarding the valuation methodology. Pacific Coast Engineering had experienced declining revenues for the previous three fiscal years, dropping from \$6.1 million in 2019 to \$4.8 million in 2021. The company had also lost two major municipal contracts representing 35% of historical revenue in January 2022. Holloway's projections assumed these contracts would be replaced within six months, despite no concrete evidence of replacement clients. Additionally, the 12% discount rate applied was below industry standards for firms of similar size and risk profile, where rates typically ranged from 18-25%.

Cascade Fiduciary Services failed to conduct independent due diligence on Holloway's assumptions. The trustee did not request documentation supporting the projected contract replacements, did not compare the discount rate to industry benchmarks, and did not engage a second appraiser despite the declining revenue trend. Janet Morrison, the lead fiduciary at Cascade, later testified that she 'relied entirely on Meridian's professional judgment' and did not question any valuation inputs. The Department of Labor subsequently initiated an investigation after an anonymous employee complaint alleged the ESOP participants overpaid by approximately \$6 million based on a subsequent independent appraisal valuing the company at \$8.1 million.

Question

Did Cascade Fiduciary Services, as the ESOP trustee, breach its fiduciary duty of prudence under ERISA by approving the \$14.2 million purchase price without adequately scrutinizing the independent appraiser's valuation methodology and assumptions?

Answer

Cascade Fiduciary Services breached its fiduciary duty of prudence under ERISA §404(a)(1)(B), which requires fiduciaries to act 'with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use.' The trustee's conduct fails this standard for multiple reasons.

First, ERISA fiduciaries cannot blindly rely on outside experts, even qualified appraisers. Under established ERISA

jurisprudence, a fiduciary must independently evaluate the reasonableness of an expert's methodology and assumptions. Janet Morrison's testimony that she 'relied entirely on Meridian's professional judgment' without questioning any inputs demonstrates an abdication of fiduciary responsibility, not the exercise of prudent judgment.

Second, the trustee ignored multiple red flags requiring heightened scrutiny. Pacific Coast Engineering's three consecutive years of declining revenue (from \$6.1 million to \$4.8 million), combined with the loss of contracts representing 35% of historical revenue just two months before the transaction, should have triggered serious questions about Holloway's 8% annual growth projections. A prudent fiduciary would have demanded concrete evidence supporting the assumption that replacement clients would materialize within six months.

Third, the 12% discount rate fell significantly below the 18-25% industry range for comparable firms. Cascade failed to benchmark this critical input against industry standards or request justification for the below-market rate, which materially inflated the valuation.

Fourth, given these warning signs, prudent practice required engaging a second independent appraiser to validate the methodology. The trustee's failure to do so, particularly when the \$6 million overvaluation directly harmed plan participants' retirement security, constitutes imprudent conduct.

The trustee may argue reliance on a qualified independent appraiser provides protection, but ERISA's prudence standard requires active engagement, not passive acceptance. The subsequent \$8.1 million independent valuation confirms the original methodology was fundamentally flawed. Cascade's failures to investigate, question, and verify constitute a breach of ERISA §404(a)(1)(B), exposing the fiduciary to personal liability for plan losses.

Key Factor

The ESOP trustee abdicated its independent fiduciary duty by failing to scrutinize the appraiser's unrealistic growth assumptions and below-market discount rate despite clear warning signs of declining company performance.

Item 199 of 499**NON-COMPLIANT**

Topic: suitability_of_illiquid_alternative_investments

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); FINRA Rule 3110 (Supervision)

Source: 11_Case_Law

Fact Pattern

Marcus Wellington, age 67, retired from his position as a school administrator in March 2022 with a modest pension and approximately \$485,000 in retirement savings held in a traditional IRA. Wellington's documented investment objectives included capital preservation and income generation, with a moderate risk tolerance and a five-year investment horizon to fund his wife's anticipated medical expenses related to a chronic illness. Wellington consulted with Bradley Finch, a registered representative at Granite Peak Wealth Advisors, seeking guidance on generating steady income while protecting his principal.

During their initial meeting in April 2022, Finch recommended that Wellington invest \$290,000--approximately 60% of his liquid retirement assets--into Horizon Private Credit Fund III, a non-traded business development company (BDC) with a seven-year lock-up period, limited quarterly redemption rights capped at 5% of fund assets, and historical distributions averaging 8.2% annually. Finch emphasized the attractive yield compared to traditional fixed income alternatives and presented marketing materials highlighting the fund's 'stable' performance during market downturns.

Wellington signed the subscription documents in May 2022, though he later claimed Finch did not adequately explain the liquidity constraints or the possibility that redemption requests could be suspended during periods of market stress. The fund's prospectus disclosed these risks, but Wellington stated Finch verbally assured him he could access his funds 'within 90 days if needed.' By November 2023, Horizon Private Credit Fund III suspended all redemptions due to deteriorating credit conditions, leaving Wellington unable to access the \$290,000 investment precisely when his wife's medical bills escalated to over \$15,000 monthly.

Granite Peak's supervisory records reflected that Finch had recommended Horizon Private Credit Fund III to fourteen other clients over age 65 during the same period, with average concentration levels exceeding 45% of liquid assets. The firm's suitability policies stated that alternative investments should generally not exceed 25% of a client's liquid net worth absent documented justification.

Question

Did Bradley Finch's recommendation that Marcus Wellington invest 60% of his retirement assets in an illiquid non-traded BDC with a seven-year lock-up period satisfy the suitability and care obligations applicable to the transaction?

Answer

The recommendation was unsuitable and violated both FINRA Rule 2111 (Suitability) and Regulation BI's Care Obligation under Exchange Act Rule 15l-1. The analysis proceeds on multiple grounds.

First, under FINRA Rule 2111(a), a broker must have a reasonable basis to believe that a recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, and time

horizon. Wellington's profile--age 67, moderate risk tolerance, five-year horizon, and documented need for capital preservation and income to cover anticipated medical expenses--fundamentally conflicted with a seven-year lock-up investment representing 60% of his liquid assets. The concentration created acute liquidity risk that materialized when redemptions were suspended.

Second, Regulation BI's Care Obligation requires that the broker exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommendation and have a reasonable basis to believe it is in the customer's best interest without placing the financial interest of the broker ahead of the customer. The SEC has specifically noted that recommendations of illiquid products to customers with near-term liquidity needs raise heightened Care Obligation concerns. Finch's alleged verbal assurances contradicting prospectus disclosures compound the violation.

Third, the firm's own written supervisory procedures established a 25% concentration guideline for alternative investments. Finch's 60% allocation--absent any documented exception--constitutes both a suitability violation and a supervisory failure under FINRA Rule 3110.

The defense that Wellington signed prospectus acknowledgments is unavailing. Under established precedent, customer signatures do not cure fundamentally unsuitable recommendations, particularly where the broker's verbal representations contradict written disclosures. The pattern of similar recommendations to elderly clients suggests systemic disregard for suitability standards rather than isolated judgment error. Finch failed his duty of care, and Granite Peak failed its supervisory obligations.

Key Factor

The 60% concentration of retirement assets in a seven-year lock-up investment for a 67-year-old client with documented near-term liquidity needs and capital preservation objectives was fundamentally inconsistent with his investment profile.

Item 200 of 499**NON-COMPLIANT**

Topic: best_execution_retail_order_routing_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 5310 (Best Execution); Exchange Act antifraud provisions; broker-dealer fiduciary obligations in execution

Source: 16_Congressional_Materials

Fact Pattern

Marcus Thornton, age 72, is a retired postal worker with a \$185,000 IRA rollover at Velocity Online Brokerage, LLC. His customer account profile, completed in January 2024, indicates a conservative risk tolerance, income generation as his primary investment objective, and limited investment experience consisting mainly of bond funds in his former employer's 401(k). His annual income from Social Security and a small pension totals \$34,000, and he has no other liquid assets beyond his IRA.

In February 2024, Velocity's registered representative, Derek Simmons, recommended that Thornton begin actively trading individual technology stocks through the firm's mobile platform, emphasizing that 'zero-commission trading means you keep more of your profits.' Simmons explained that the firm's sophisticated order routing system would ensure Thornton received the best prices available. Over the following three months, Simmons encouraged Thornton to execute 147 trades in volatile semiconductor and AI-related equities, generating an account turnover ratio of 8.2.

Velocity routed 94% of Thornton's orders to Apex Wholesale Markets, from which Velocity received payment for order flow averaging \$0.0023 per share. Internal Velocity documents revealed that Apex consistently provided price improvement approximately 12% below the industry average offered by competing wholesalers. Simmons never discussed with Thornton the firm's PFOF arrangements, how order routing decisions were made, or the potential impact on execution quality.

By May 2024, Thornton's account had declined to \$127,400, representing a 31% loss. The cumulative effect of inferior execution quality due to the PFOF arrangements, combined with the frequent trading strategy, resulted in approximately \$4,200 in measurable execution cost disadvantage compared to industry-standard price improvement. Thornton, who needed his IRA for retirement income, was left with significantly diminished assets.

Question

Did Velocity Online Brokerage and its representative Derek Simmons violate their suitability and best execution obligations in recommending and executing the frequent trading strategy for Marcus Thornton?

Answer

This fact pattern presents clear violations of both FINRA suitability requirements and best execution obligations. The recommendation was unsuitable and the execution failed to meet the firm's duty of best execution.

Under FINRA Rule 2111 (Suitability), a broker-dealer must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Here, Simmons violated all three.

Customer-specific suitability was violated because Thornton's documented profile--conservative risk tolerance, income generation objective, limited experience, age 72, and dependence on the IRA for retirement--was fundamentally incompatible with active trading in volatile technology stocks. Quantitative suitability was violated through the 147 trades generating an 8.2 turnover ratio over three months, constituting excessive trading given Thornton's objectives. FINRA guidance indicates turnover ratios exceeding 6 annually raise presumptions of churning.

Regarding best execution under FINRA Rule 5310, broker-dealers must use reasonable diligence to ascertain the best market for a security and execute at the most favorable terms reasonably available. The rule requires periodic evaluation of execution quality from competing market centers. Velocity's routing of 94% of orders to a wholesaler providing price improvement 12% below industry average, motivated by PFOF revenue rather than customer benefit, violated this standard. The firm failed to periodically assess whether its routing arrangements served customers' interests.

The 'zero-commission' framing does not excuse these violations. As the document excerpt notes, hidden costs through inferior execution can offset commission savings. The \$4,200 execution cost disadvantage, combined with 31% account losses, demonstrates concrete customer harm.

Velocity cannot defend by citing its PFOF disclosures under SEC Rule 606, as disclosure does not cure unsuitable recommendations or failure to achieve best execution. The firm and Simmons breached their care obligations under both suitability doctrine and best execution requirements.

Key Factor

The recommendation of frequent active trading in volatile securities to a 72-year-old conservative investor dependent on his IRA for retirement income was fundamentally unsuitable regardless of commission structure, and the firm's PFOF-driven order routing prioritized firm revenue over execution quality.

Item 201 of 499

NON-COMPLIANT

Topic: ira_rollover_suitability_unauthorized_trading

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Harold Brennan, age 64, retired from a manufacturing company in March 2019 after 32 years of service. He had accumulated \$187,500 in his employer-sponsored 401(k), consisting primarily of target-date funds and stable value investments. Upon retirement, Harold contacted Ridgemont Securities, Inc., a FINRA member firm, seeking guidance on rolling over his retirement assets. His registered representative, Kevin Mallory, recommended rolling the funds into a self-directed IRA at Ridgemont.

During the account opening process in April 2019, Harold completed a customer profile indicating his investment objective was 'income with capital preservation,' his risk tolerance was 'conservative,' his time horizon was 'medium-term (5-10 years),' and he had 'limited' investment knowledge beyond basic mutual funds. Harold explicitly told Mallory he wanted to keep the money safe since it represented his primary retirement savings alongside modest Social Security benefits of approximately \$1,850 per month.

Between May 2019 and September 2019, Harold's IRA account experienced numerous options trades, including covered calls and cash-secured puts on volatile technology stocks. Harold had never authorized options trading and had not signed an options agreement. When Harold received his quarterly statement in October 2019 showing his account had declined to \$156,200, he was shocked to see transactions he did not understand or approve. Mallory had placed 47 options trades during this period without obtaining proper authorization or discussing the strategies with Harold.

Ridgemont's compliance department had flagged the account in July 2019 for unusual activity inconsistent with the customer profile but took no action beyond sending an internal inquiry to Mallory's branch manager. The branch manager responded that Mallory had verbal authorization, though no documentation supported this claim. Harold filed a FINRA arbitration claim in November 2019, alleging negligence, breach of fiduciary duty, and unauthorized transactions resulting in losses of approximately \$31,300.

Question

Did Ridgemont Securities and its representative violate suitability obligations by executing options trades in Harold Brennan's rollover IRA given his customer profile and the lack of proper authorization?

Answer

The arbitration panel would likely find in favor of Harold Brennan based on clear suitability violations under FINRA Rules 2111 and 2010. The conduct here fails multiple prongs of the suitability analysis and involves unauthorized trading that compounded the violations.

Under FINRA Rule 2111, a member firm must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence. This rule

encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

The customer-specific suitability obligation was clearly violated. Harold's documented profile indicated conservative risk tolerance, income with capital preservation objectives, limited investment knowledge, and medium-term time horizon. Options trading--particularly on volatile technology stocks--is fundamentally inconsistent with these profile characteristics. The representative recommended strategies requiring sophisticated market knowledge to a client with self-described limited investment experience, and speculative positions to a client seeking capital preservation.

Moreover, the transactions appear unauthorized. FINRA rules require proper documentation and customer authorization before executing options transactions. Harold never signed an options agreement, and there is no evidence he understood or consented to the specific strategies employed. The 47 trades executed over five months without customer communication or consent constitutes negligent, if not reckless, disregard for customer authorization requirements.

Ridgmont's supervisory failures under FINRA Rule 3110 are also implicated. The compliance department identified the problematic trading pattern but failed to take adequate corrective action despite the obvious discrepancy between the trading activity and customer profile. The branch manager's unsupported assertion of verbal authorization does not constitute adequate supervisory follow-through.

The firm's negligence is established by the failure to implement reasonable supervisory procedures to prevent unsuitable recommendations in retirement accounts, particularly where the trading pattern was already flagged internally. The \$15,000 compensatory damages awarded in similar cases, such as the instant FINRA arbitration, reflects recognition of firm liability for such negligent supervision of unsuitable trading activity.

Key Factor

The representative executed speculative options trades fundamentally inconsistent with the customer's documented conservative profile and capital preservation objectives, without proper authorization or customer understanding.

Item 202 of 499**NON-COMPLIANT**

Topic: excessive_trading_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), NASD Rules 3010(a) and (b) (Supervision)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Thornton, a 68-year-old retired schoolteacher in Boca Raton, Florida, opened a brokerage account with Coastal Atlantic Securities, LLC in March 2019. She deposited her entire retirement savings of \$285,000, consisting of proceeds from a pension lump-sum distribution and certificates of deposit that had matured. During account opening, her registered representative, Kevin Marsden, documented her investment objectives as 'income and capital preservation,' her risk tolerance as 'conservative,' her investment time horizon as '5-10 years,' and noted that she relied on this account to supplement her \$2,100 monthly Social Security income.

Between March 2019 and February 2021, Marsden executed 247 transactions in Mrs. Thornton's account, including frequent purchases and sales of speculative common stocks, leveraged ETFs, and options contracts. The account experienced an annualized turnover rate of 14.2 and a cost-to-equity ratio of 31.4%. During this 23-month period, Mrs. Thornton's account generated \$89,650 in commissions and fees for Marsden and Coastal Atlantic, while her account value declined from \$285,000 to \$142,300--a loss of approximately 50%.

Mrs. Thornton testified that Marsden called her almost daily recommending trades, often telling her that opportunities were 'time-sensitive' and that she needed to act immediately. She stated she trusted Marsden because he reminded her of her grandson and that she did not understand most of the transactions. Account records showed that Marsden exercised de facto control over the account, with Mrs. Thornton approving virtually every recommendation he made without substantive discussion. The firm's Chief Compliance Officer, Roland Hayes, had access to exception reports showing the elevated turnover and cost ratios but took no action to investigate or intervene, despite the firm's written supervisory procedures requiring review of accounts with turnover exceeding 6.0 annually.

Question

Did Kevin Marsden's trading activity in Margaret Thornton's account violate his suitability obligations under FINRA rules, and what supervisory failures contributed to the harm?

Answer

Kevin Marsden violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor) through excessive trading that was quantitatively unsuitable for Margaret Thornton's account. The conduct also reflects a supervisory failure under NASD Rule 3010.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111(a) encompasses quantitative suitability, which prohibits excessive trading in light of the customer's circumstances. The SEC and FINRA have consistently held that turnover rates exceeding 6.0 and cost-to-equity ratios above 20% create strong presumptions of excessive trading.

Here, Mrs. Thornton's account exhibited an annualized turnover rate of 14.2--more than double the presumptive threshold--and a cost-to-equity ratio of 31.4%, meaning she needed to earn over 31% annually merely to break even after costs. These metrics are facially inconsistent with her documented conservative risk tolerance, income-oriented objectives, and capital preservation goals. A 68-year-old retiree dependent on her account for supplemental income cannot reasonably be expected to sustain such trading costs.

Marsden exercised de facto control over the account through his near-daily calls, pressure tactics emphasizing time-sensitivity, and Mrs. Thornton's pattern of blanket approval of his recommendations. De facto control is established when a customer routinely follows the representative's advice without independent evaluation, which the account records demonstrate.

The firm's CCO, Roland Hayes, failed to fulfill his supervisory obligations under NASD Rule 3010(a) and (b). Exception reports flagging the elevated turnover were available but ignored, despite WSPs mandating review of accounts exceeding a 6.0 turnover rate. This supervisory failure allowed the unsuitable trading to continue for nearly two years.

Marsden's conduct constitutes churning--trading excessive in quantity and frequency given the customer's profile--violating quantitative suitability under Rule 2111 and the ethical standards of Rule 2010. Hayes's failure to act on clear red flags constitutes a supervisory violation enabling the harm.

Key Factor

The account's annualized turnover rate of 14.2 and cost-to-equity ratio of 31.4% were grossly inconsistent with the customer's documented conservative investment profile and income-oriented objectives, establishing quantitative unsuitability.

Item 203 of 499

NON-COMPLIANT

Topic: suitability_variable_annuity_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.03 (Liquidity Needs); FINRA Rule 2111.04 (Customer's Investment Profile); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Sullivan, age 71, was a longtime client of registered representative Thomas Darcy at Piedmont Securities Group, LLC, a FINRA member broker-dealer based in Philadelphia. Mrs. Sullivan was a retired schoolteacher with a modest pension of \$2,400 per month and total liquid assets of approximately \$285,000, consisting primarily of proceeds from her late husband's life insurance policy received in March 2021. Her documented investment profile indicated a conservative risk tolerance, capital preservation objective, a 3-5 year investment time horizon, and limited investment knowledge. She had no prior experience with variable annuities or complex insurance products.

In April 2021, Darcy recommended that Mrs. Sullivan invest \$225,000--nearly 80% of her liquid assets--into a variable annuity with a seven-year surrender period. The product carried annual fees totaling 3.2% including mortality and expense charges, administrative fees, and subaccount expenses. The annuity included a guaranteed minimum income benefit rider that would not begin payments until Mrs. Sullivan reached age 78. Darcy explained that the product would provide "guaranteed lifetime income" and "protect her principal from market losses," but did not adequately explain the surrender charges (starting at 7% in year one), the impact of fees on returns, or that accessing more than 10% of the account value annually would trigger substantial penalties.

Mrs. Sullivan's account opening documents showed she needed approximately \$1,500 per month from her investments to supplement her pension and cover living expenses, including significant ongoing medical costs for a chronic health condition. Within eight months of the purchase, Mrs. Sullivan required access to \$45,000 to cover unexpected medical bills and home repairs. The surrender charge resulted in a \$2,835 penalty, and she faced ordinary income tax treatment on the gains. Piedmont's compliance department had flagged the transaction during supervisory review but the branch manager approved it after Darcy provided a brief memo stating the client "wanted guaranteed income." No suitability documentation addressed how the product's illiquidity aligned with Mrs. Sullivan's stated liquidity needs and short investment horizon.

Question

Did Thomas Darcy's recommendation that Mrs. Sullivan invest \$225,000 in a variable annuity with a seven-year surrender period satisfy FINRA's suitability requirements given her documented investment profile and financial circumstances?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111. The suitability rule requires that a broker have a reasonable basis to believe that a recommended transaction is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

FINRA Rule 2111(a) establishes three suitability obligations: reasonable-basis suitability, customer-specific suitability,

and quantitative suitability. Darcy's recommendation failed the customer-specific component decisively. Mrs. Sullivan's documented profile established a conservative risk tolerance, capital preservation objective, and 3-5 year time horizon. A variable annuity with a seven-year surrender period fundamentally conflicts with a 3-5 year horizon. FINRA guidance has consistently emphasized that surrender periods must align with the customer's stated time horizon.

The liquidity mismatch is particularly egregious. Mrs. Sullivan required \$1,500 monthly from her investments to meet living expenses, yet Darcy concentrated 80% of her liquid assets in a product with severe access restrictions. This directly contradicts FINRA Rule 2111.03's requirement that recommendations account for the customer's liquidity needs. The subsequent surrender charge penalty demonstrates the foreseeable harm from this misalignment.

Mrs. Sullivan's age (71), limited investment experience, and reliance on these funds for essential expenses further aggravate the unsuitability. A guaranteed income rider beginning at age 78 provides little practical benefit to a client needing immediate income supplementation. The 3.2% annual fees substantially erode returns for a capital-preservation investor.

Darcy's brief memo stating the client "wanted guaranteed income" does not satisfy his suitability obligation. Under FINRA Rule 2111.04, a customer's stated desire does not relieve the broker of independent suitability analysis. The branch manager's approval following inadequate documentation represents a supervisory failure under FINRA Rule 3110, but does not cure the underlying suitability violation.

The recommendation violated FINRA Rules 2111 and 2010's requirement for just and equitable principles of trade.

Key Factor

The recommendation of a seven-year surrender period product to a client with documented 3-5 year time horizon and immediate liquidity needs created a fundamental mismatch that rendered the variable annuity unsuitable regardless of the product's features.

Item 204 of 499

NON-COMPLIANT

Topic: sustainability_preference_suitability

Difficulty: hard

Standard: MiFID II Article 25(2); MiFID II Delegated Regulation Articles 54 and 55 as amended for sustainability; ESMA Guidelines on MiFID II Suitability Requirements (ESMA35-43-3172)

Source: 23_International_Comparative

Fact Pattern

Meridian Capital Partners, an investment firm authorized under MiFID II operating in Frankfurt, Germany, provides independent investment advice to retail clients. On March 15, 2023, adviser Lukas Brenner met with client Ingrid Hoffman, a 58-year-old retired school administrator with \$420,000 in liquid assets and a moderate risk tolerance. During the initial suitability assessment, Brenner administered the firm's standard questionnaire, which included a section on sustainability preferences. Ms. Hoffman indicated strong preferences for environmentally sustainable investments, specifically stating she wanted to avoid any exposure to fossil fuel companies and preferred investments aligned with the EU Taxonomy for environmentally sustainable activities.

Brenner documented Ms. Hoffman's investment objectives as capital preservation with moderate growth, a 10-year investment horizon until she would need funds for potential care expenses, and her sustainability preferences as noted. However, when constructing her recommended portfolio of \$350,000, Brenner allocated 40% to a diversified equity fund (Europa Growth Fund) that, while marketed as 'ESG-aware,' did not meet Article 8 or Article 9 classification under the Sustainable Finance Disclosure Regulation and contained approximately 12% exposure to integrated oil and gas companies. Brenner selected this fund primarily because it had strong historical returns of 8.2% annually and lower management fees than comparable Article 8 funds.

Brenner's suitability report provided to Ms. Hoffman on March 22, 2023, stated that the recommended portfolio was suitable for her risk profile and investment objectives, but made no reference to how the recommendations addressed her stated sustainability preferences. The report did not explain why a fund with fossil fuel exposure was recommended despite her explicit preference to avoid such investments, nor did it document any discussion with Ms. Hoffman about the trade-offs between sustainability alignment and cost or performance considerations. Six months later, Ms. Hoffman discovered the fossil fuel holdings in her portfolio through an annual statement review and filed a complaint with the firm.

Question

Did Meridian Capital Partners and adviser Lukas Brenner comply with MiFID II suitability requirements when recommending the Europa Growth Fund to Ms. Hoffman despite her stated sustainability preferences?

Answer

Meridian Capital Partners and adviser Brenner violated MiFID II suitability requirements as articulated in Article 25(2) of MiFID II and the amended MiFID II Delegated Regulation integrating sustainability factors into suitability assessments.

Under the amended Article 54(2) of the MiFID II Delegated Regulation, investment firms must collect information on a client's sustainability preferences, which includes preferences regarding environmentally sustainable investments as defined by the EU Taxonomy, investments in sustainable investments under SFDR, and consideration of principal adverse impacts. Ms. Hoffman clearly articulated preferences for environmental sustainability and explicit avoidance of

fossil fuel exposure, satisfying the firm's obligation to collect this information.

However, the critical failure occurred at the matching stage. Under Article 54(5) and the ESMA guidelines on suitability, firms must not recommend products that do not meet the client's sustainability preferences unless the client has adapted those preferences. The guidelines emphasize that sustainability preferences must be given equal weight alongside risk tolerance, investment objectives, and time horizon in determining suitability. Brenner's recommendation of the Europa Growth Fund--which contained 12% fossil fuel exposure and lacked Article 8 or 9 classification--directly contradicted Ms. Hoffman's stated preferences without obtaining her informed consent to deviate.

The ESMA guidelines specifically address this scenario, requiring firms to document any client decision to adapt their sustainability preferences and explain why no products matching original preferences could be recommended. Brenner's suitability report entirely omitted any discussion of sustainability preference alignment, constituting a documentary failure under Article 25(6) of MiFID II requiring adequate reports explaining how recommendations meet client preferences.

The firm cannot defend on grounds of better performance or lower costs. The guidelines explicitly state that sustainability preferences are not subordinate to financial considerations; rather, they must be integrated as equal criteria. Brenner's prioritization of returns and fees over Ms. Hoffman's sustainability criteria inverts the regulatory hierarchy. The recommendation was unsuitable, and the firm failed its duty of care under MiFID II's suitability framework.

Key Factor

The adviser recommended a fund with fossil fuel exposure directly contradicting the client's documented sustainability preferences without obtaining informed consent to adapt those preferences or documenting any rationale for deviation.

Item 205 of 499

NON-COMPLIANT

Topic: variable_universal_life_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2111.04 (reasonable-basis and customer-specific suitability components)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, was a retired elementary school teacher with a fixed monthly pension of \$3,200 and Social Security benefits of \$1,800. In March 2019, she met with registered representative Thomas Brennan of Cornerstone Advisory Securities, LLC to discuss options for her \$185,000 in savings, which represented her entire liquid net worth. Mrs. Holloway stated her primary objectives were capital preservation and generating modest supplemental income to cover potential healthcare costs. She had no prior experience with variable products and described herself as 'very conservative' on her new account application, with a risk tolerance of 1 on a 5-point scale.

Brennan recommended that Mrs. Holloway invest \$140,000 into a Variable Universal Life Insurance Policy with a death benefit of \$350,000 and underlying subaccounts invested in aggressive growth equity funds. The product carried annual fees and charges totaling approximately 2.8%, including mortality and expense charges, administrative fees, and fund management expenses. Brennan explained the policy would provide life insurance coverage and 'tax-advantaged growth,' but spent minimal time discussing the investment risk associated with the equity subaccounts or the surrender charges that would apply for the first twelve years.

Mrs. Holloway signed the application materials, including a suitability questionnaire that Brennan had partially completed in advance. Within eighteen months, the policy's cash value had declined to \$108,000 due to market volatility in the equity subaccounts. Mrs. Holloway needed to access funds for an unexpected medical procedure but discovered she would face a \$9,400 surrender charge plus potential tax consequences. She filed a complaint with FINRA alleging the variable universal life policy was unsuitable for her conservative profile and income needs.

Cornerstone Advisory Securities ultimately settled the matter for a nominal amount without admitting liability. Brennan subsequently sought expungement of the disclosure from his CRD records, claiming the recommendation was appropriate based on Mrs. Holloway's stated desire for 'growth' during their initial meeting.

Question

Did Thomas Brennan's recommendation of a Variable Universal Life Policy with aggressive equity subaccounts satisfy his suitability obligations under FINRA rules given Mrs. Holloway's documented profile?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111. Under Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence. This rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Brennan failed customer-specific suitability under Rule 2111(a). Mrs. Holloway's documented profile--age 67, conservative risk tolerance (1 of 5), capital preservation objective, fixed income of \$5,000 monthly, entire liquid net

worth of \$185,000, and no experience with variable products--was fundamentally incompatible with a Variable Universal Life policy invested in aggressive growth equity subaccounts. The product allocated 76% of her liquid assets to a vehicle with significant market risk, high fees (2.8% annually), and twelve-year surrender charges. This directly contradicted her stated need for capital preservation and accessibility for healthcare expenses.

The recommendation also violated FINRA Rule 2010's requirement for high standards of commercial honor and just and equitable principles of trade. Pre-completing suitability documentation and providing inadequate disclosure of surrender charges and investment risks reflects conduct inconsistent with these standards.

Brennan's defense--that Mrs. Holloway verbally expressed interest in 'growth'--is unpersuasive. FINRA has consistently held that documented customer profile information governs suitability analysis. The new account form clearly indicated conservative risk tolerance and capital preservation objectives. A verbal reference to 'growth' cannot override comprehensive written documentation, particularly when the customer lacks sophistication with the recommended product type.

Additionally, recommending that a 67-year-old invest in a product with a twelve-year surrender period when she has articulated potential near-term liquidity needs for healthcare demonstrates a failure to consider time horizon and liquidity factors explicitly required under Rule 2111.04. The settlement, while nominal, reflects recognition that the underlying complaint had merit. The recommendation failed to meet applicable suitability standards.

Key Factor

Recommending an aggressive variable life product with a twelve-year surrender period to a 67-year-old conservative investor with documented capital preservation objectives and near-term liquidity needs constituted a clear customer-specific suitability violation.

Item 206 of 499

NON-COMPLIANT

Topic: suitability_elderly_client_high_risk_allocation

Difficulty: medium

Standard: Corporation Investment Dealer Rules requiring Dealer Members and Approved Persons to ensure investment recommendations are suitable based on client's documented investment objectives, risk tolerance, time horizon, and financial situation; supervisory obligations of Dealer Members over Approved Persons

Source: 23_International_Comparative

Fact Pattern

Thornwood Securities Inc., a Dealer Member registered with the Corporation in Ontario, employed Marcus Delacroix as an Approved Person and registered representative since 2018. In March 2024, Delacroix was assigned a new client, Eleanor Whitmore, a 74-year-old retired schoolteacher from Mississauga with a fixed income of \$3,200 monthly from her pension and Old Age Security benefits. Mrs. Whitmore had accumulated \$485,000 in registered retirement savings over her career, which she intended to use for living expenses and potential long-term care needs. During the Know Your Client interview, Mrs. Whitmore explicitly stated her investment objectives were capital preservation and income generation, with a low risk tolerance. She indicated she could not afford to lose more than 10% of her portfolio without materially affecting her retirement lifestyle.

Delacroix, noting that interest rates had been declining and that Mrs. Whitmore expressed frustration with low GIC yields, recommended reallocating 65% of her portfolio--approximately \$315,000--into a basket of small-cap technology equities and leveraged exchange-traded funds focused on the semiconductor sector. Delacroix documented in his internal notes that these products offered 'significant upside potential' and would 'help Mrs. Whitmore keep pace with inflation.' He did not document any analysis of how these volatile investments aligned with her stated low risk tolerance or capital preservation objective.

By September 2024, the technology sector experienced significant volatility, and Mrs. Whitmore's portfolio had declined by \$127,000, representing a 26% loss on her original capital. Mrs. Whitmore contacted Thornwood's compliance department expressing distress that she could no longer afford her planned assisted living transition. Upon review, the compliance team found that Delacroix had conducted no formal suitability analysis matching the recommended products to Mrs. Whitmore's documented investor profile, and there was no evidence that Delacroix explained the risks of leveraged ETFs or small-cap equities to his elderly client.

Question

Did Delacroix and Thornwood Securities meet their suitability obligations under Corporation requirements when recommending the high-risk technology allocation to Mrs. Whitmore?

Answer

Delacroix and Thornwood Securities failed to meet their suitability obligations under the Corporation's Investment Dealer requirements. The Corporation's suitability framework requires that Dealer Members and their Approved Persons ensure that any investment recommendation is suitable for the client based on factors including the client's investment objectives, risk tolerance, time horizon, and financial circumstances. This obligation extends to the firm level through proper supervision of Approved Persons.

The facts demonstrate multiple failures. First, Mrs. Whitmore's documented investor profile clearly established low risk tolerance, capital preservation objectives, and income generation as her primary goals. Her age (74), fixed income status (\$3,200 monthly pension), and explicit statement that she could not afford losses exceeding 10% without material lifestyle impact established a profile wholly inconsistent with leveraged ETFs and small-cap technology equities--products characterized by high volatility and significant principal risk.

Second, Delacroix's recommendation to allocate 65% (\$315,000) of her retirement savings to these aggressive instruments directly contradicted her stated objectives. The Corporation requirements mandate that recommendations have a reasonable basis for believing they are suitable. Delacroix's internal notes--citing only 'upside potential' and inflation concerns--demonstrate no analysis reconciling the recommendation with her documented low-risk profile. This omission constitutes a failure to perform the requisite suitability determination.

Third, the absence of documented risk disclosure regarding leveraged ETFs, which carry unique risks including compounding effects and potential for magnified losses, represents a failure in the Approved Person's duty to ensure the client understands the nature and risks of recommended products.

Thornwood Securities bears supervisory responsibility under Corporation requirements. The compliance infrastructure should have identified the incongruence between Mrs. Whitmore's profile and the recommended allocation before execution. The 26% loss--exceeding her stated 10% tolerance by a substantial margin--was a foreseeable outcome given the product characteristics.

The recommendation was unsuitable, and both Delacroix and Thornwood Securities violated their suitability obligations.

Key Factor

Delacroix recommended leveraged ETFs and small-cap equities comprising 65% of the portfolio to a 74-year-old client with documented low risk tolerance and capital preservation objectives, without conducting or documenting any suitability analysis.

Item 207 of 499**NON-COMPLIANT**

Topic: variable_annuity_suitability_senior_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2330 (Variable Annuity Suitability)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Donaldson, age 72, was a retired schoolteacher living in Birmingham, Alabama with her husband Gerald, age 75. In March 2021, she met with registered representative Thomas Brennan of Cornerstone Advisory Services, LP, to discuss her retirement savings following her husband's recent Parkinson's disease diagnosis. Margaret had \$485,000 in liquid assets, consisting primarily of CDs and a money market account at her local credit union. Her stated investment objectives were capital preservation and income generation to cover anticipated medical expenses, and she indicated a conservative risk tolerance on her new account documentation. Her annual income from pension and Social Security totaled \$52,000, and she anticipated needing to access \$8,000-\$12,000 annually for out-of-pocket healthcare costs.

During their second meeting on April 8, 2021, Brennan recommended that Margaret invest \$375,000--approximately 77% of her liquid net worth--into the Apex Growth Variable Annuity with a 10-year surrender period. The annuity carried a 7% declining surrender charge schedule and annual fees totaling 3.2%, including mortality and expense charges of 1.35%, administrative fees of 0.15%, and underlying subaccount expenses averaging 1.7%. Brennan emphasized the death benefit rider and tax-deferred growth, but spent minimal time discussing the surrender penalties or the illiquidity implications given Margaret's age and anticipated healthcare needs.

Margaret signed the application materials on April 15, 2021, and the annuity was funded on April 22, 2021. Within eight months, Gerald's condition deteriorated significantly, requiring Margaret to access funds for home healthcare modifications and medical equipment totaling \$45,000. When she attempted to withdraw these funds in December 2021, she was assessed a surrender charge of \$3,150 and learned that further withdrawals would incur additional penalties. Margaret filed a FINRA arbitration claim against Cornerstone Advisory Services in February 2022, alleging that Brennan's recommendation was unsuitable given her age, liquidity needs, conservative risk tolerance, and the concentration of her assets in a single illiquid product.

Question

Did Thomas Brennan's recommendation that Margaret Donaldson invest 77% of her liquid assets in a variable annuity with a 10-year surrender period violate FINRA's suitability requirements?

Answer

The recommendation violated FINRA Rule 2111's suitability requirements, particularly the customer-specific suitability obligation under Rule 2111(a). This rule requires that a broker have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon.

Brennan's recommendation failed multiple elements of customer-specific suitability analysis. First, Margaret's age (72) and her husband's age (75) with a serious medical diagnosis created foreseeable liquidity needs that were incompatible with a 10-year surrender period product. FINRA has consistently emphasized heightened scrutiny for annuity

recommendations to senior investors, and the 10-year surrender period effectively locked up critical funds until Margaret would be 82 years old.

Second, the concentration level--77% of liquid assets in a single illiquid product--was excessive given Margaret's stated objectives of capital preservation and income for medical expenses. A conservative investor with known near-term liquidity requirements should not have the vast majority of accessible assets committed to a product with 7% surrender penalties.

Third, the total annual cost of 3.2% significantly impaired the income-generation objective Margaret articulated. For a conservative investor seeking capital preservation, high-cost variable annuities with equity subaccounts represent a fundamental mismatch between product characteristics and customer needs.

Brennan may argue that the death benefit rider addressed estate planning concerns and that Margaret signed the disclosure documents. However, documentation does not cure an unsuitable recommendation, and FINRA Rule 2010's just and equitable principles of trade are violated when representatives prioritize product sales over customer welfare. The facts demonstrate that Brennan failed to reasonably consider Margaret's actual financial circumstances and foreseeable needs before making this recommendation.

The arbitration panel would likely find in Margaret's favor and award damages including surrender charges incurred, excess fees paid, and potentially the opportunity cost of more suitable conservative investments.

Key Factor

The recommendation concentrated 77% of a 72-year-old conservative investor's liquid assets in a 10-year surrender period variable annuity despite her documented need for accessible funds to cover anticipated healthcare expenses.

Item 208 of 499**COMPLIANT**

Topic: customer_initiated_trades_suitability_defense

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.03 (Recommended Strategies); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Whitfield, a registered representative at Beacon Ridge Securities LLC, serviced the account of Dr. Evelyn and Theodore Hartwell, a married couple aged 67 and 69 respectively, from January 2019 through December 2021. The Hartwells maintained a joint brokerage account with approximately \$2.8 million in investable assets, representing roughly 40% of their total net worth of \$7.2 million. Both clients were retired physicians who had previously served on the investment committee of their hospital system's pension fund and had completed multiple continuing education courses on portfolio management. Their account documents indicated a growth-oriented investment objective with moderate-to-aggressive risk tolerance and a 15-year investment horizon given their estate planning goals for their grandchildren.

During the relevant period, the Hartwells directed Whitfield to execute purchases totaling \$340,000 in concentrated technology sector positions, including \$180,000 in a single cloud computing company and \$160,000 in a semiconductor manufacturer. These purchases were initiated entirely by the Hartwells, who conducted their own research using institutional-grade analytical tools and presented Whitfield with detailed investment theses supporting each position. The Hartwells' close friend and former colleague, Dr. Patricia Nguyen, had made similar investments through another advisor and recommended the strategy to them.

In March 2022, following significant market volatility, the concentrated technology positions declined approximately 45%, resulting in unrealized losses of approximately \$153,000. The Hartwells filed an arbitration claim against Beacon Ridge Securities alleging that Whitfield failed to ensure the concentrated positions were suitable for retirees and should have discouraged the investments. Whitfield maintained contemporaneous notes documenting each conversation where the Hartwells initiated trade discussions, their stated rationale, and his disclosure of concentration risks. Beacon Ridge's compliance records confirmed that all order tickets were marked as unsolicited and that the firm's suitability questionnaire accurately reflected the Hartwells' sophisticated investor status.

Question

Did Marcus Whitfield violate his suitability obligations under FINRA Rule 2111 by executing the concentrated technology sector purchases for the Hartwells?

Answer

Based on the facts presented, Marcus Whitfield likely did not violate his suitability obligations under FINRA Rule 2111. The analysis turns on the customer-specific suitability component and the nature of the transactions as unsolicited, customer-initiated trades.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and investment experience. However, the rule's application differs

significantly when trades are unsolicited rather than recommended.

FINRA Rule 2111.03 (Recommended Strategies) establishes that suitability obligations attach to recommendations. Where a customer independently initiates a transaction without prompting from the broker, the suitability rule's protections are substantially diminished. The documentation here demonstrates the Hartwells initiated all trades, conducted independent research, and presented completed investment theses to Whitfield.

Moreover, the customer-specific suitability analysis under Rule 2111(a) favors Whitfield. The Hartwells were sophisticated investors with institutional investment committee experience, a documented growth objective with moderate-to-aggressive risk tolerance, and the concentrated positions represented approximately 12% of their total net worth--not an imprudent allocation for investors with their profile and 15-year horizon. Their age alone does not render growth investments unsuitable when balanced against their substantial remaining assets, stated objectives, and demonstrated sophistication.

Whitfield's contemporaneous documentation of the unsolicited nature of each transaction, his disclosure of concentration risks, and the firm's accurate suitability questionnaire provide strong evidentiary support. Similar to the underlying arbitration in Case 21-01341, where expungement was granted because trades were researched and initiated by experienced customers referred by friends making similar investments, the Hartwells' independent decision-making and sophisticated background negate a finding of suitability violation. A broker is not obligated to refuse unsolicited orders from sophisticated customers who understand the risks they are assuming.

Key Factor

The trades were unsolicited and initiated by sophisticated, experienced investors who conducted their own research, significantly limiting the broker's suitability obligations under FINRA Rule 2111.

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NON-COMPLIANT

Topic: municipal_bond_suitability_unsupervised_recommendations

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 3110 (Supervision), FINRA Rule 2010 (Standards of Commercial Honor), MSRB Rule G-19 (Suitability)

Source: 03_FINRA_AWC

Fact Pattern

Westbrook Municipal Partners, LLC is a broker-dealer based in Stamford, Connecticut, specializing in municipal securities. In March 2018, registered representative Harold Dennison recommended that his client, Margaret Holloway, a 72-year-old retired school administrator, invest \$340,000--representing approximately 85% of her liquid retirement savings--into a portfolio of unrated municipal bonds issued by small development authorities in Puerto Rico and the U.S. Virgin Islands. Mrs. Holloway's account documentation indicated a conservative risk tolerance, income-focused investment objective, and moderate investment experience limited to certificates of deposit and investment-grade corporate bonds held in her previous employer's 403(b) plan.

Dennison pitched the bonds as 'tax-advantaged income generators perfect for retirees' and emphasized their higher yields compared to investment-grade alternatives, without adequately explaining that the bonds were unrated, carried significant credit risk, and were issued by municipalities facing severe fiscal distress. He also failed to disclose that Westbrook Municipal Partners was acting as underwriter on several of the bond offerings and received elevated compensation for placing these securities with retail clients. The recommendations were made via Dennison's personal email account, which the firm neither monitored nor retained despite WSP requirements mandating email review.

Dennison's immediate supervisor, Principal Thomas Garfield, was aware that Dennison frequently used outside email for client communications but took no corrective action. Garfield also failed to review the suitability of the Holloway recommendations despite the firm's procedures requiring heightened scrutiny for concentrations exceeding 50% of liquid net worth in any single asset class. By November 2018, several of the Puerto Rico bonds defaulted following the issuer's bankruptcy filing, and Mrs. Holloway suffered losses exceeding \$185,000. When she complained, Westbrook's compliance department discovered the unreported communications and the lack of suitability documentation in Dennison's files.

Question

Did Dennison's recommendation to concentrate 85% of Mrs. Holloway's retirement savings in unrated, high-risk municipal bonds violate FINRA suitability requirements, and did the firm fail in its supervisory obligations?

Answer

Dennison's recommendations clearly violated FINRA Rule 2111 (Suitability) across all three suitability obligations. First, regarding reasonable-basis suitability under Rule 2111.05(a), Dennison failed to perform adequate due diligence on the unrated municipal bonds. A registered representative must have a reasonable basis to believe a recommendation is suitable for at least some investors based on reasonable diligence. Recommending bonds issued by fiscally distressed municipalities without understanding their credit profiles fails this threshold requirement.

Second, customer-specific suitability under Rule 2111.05(b) was egregiously violated. Mrs. Holloway's documented profile--conservative risk tolerance, income objective, limited investment experience, and age 72--was fundamentally

incompatible with an 85% concentration in unrated, high-risk municipal securities. FINRA guidance emphasizes that recommendations must align with the customer's investment profile, including risk tolerance, time horizon, and financial situation. Concentrating a retiree's liquid assets in speculative, credit-impaired bonds directly contradicts these requirements.

Third, quantitative suitability under Rule 2111.05(c) was implicated by the excessive concentration. While typically applied to churning contexts, the excessive allocation of retirement funds to a single high-risk asset class demonstrates disregard for prudent portfolio construction appropriate to the customer's circumstances.

The firm violated FINRA Rule 3110 (Supervision) on multiple fronts. Principal Garfield's knowledge of Dennison's outside email usage without corrective action constitutes supervisory failure. Moreover, the firm's WSPs required heightened review for concentrations exceeding 50% of liquid net worth, yet no such review occurred. Under Rule 3110(a), firms must establish and maintain supervisory systems reasonably designed to achieve compliance. The failure to enforce existing procedures, combined with the inability to review business communications conducted through unmonitored channels, demonstrates systemic supervisory breakdown.

The firm also violated FINRA Rule 2010 (Standards of Commercial Honor) by failing to observe high standards of commercial honor in permitting unsuitable recommendations and inadequate supervision. Dennison's failure to disclose the firm's underwriting compensation further compounds the violations.

Key Factor

The representative recommended an 85% concentration in unrated, high-risk municipal bonds to a 72-year-old conservative investor without adequate due diligence or supervisory review, directly contradicting her documented risk tolerance and investment objectives.

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NON-COMPLIANT

Topic: unsuitable_leveraged_etf_recommendation_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest - Exchange Act Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Regulatory Notice on Complex Products supervision requirements

Source: 16_Congressional_Materials

Fact Pattern

Margaret Holloway, age 74, was a retired elementary school teacher who maintained her life savings at Pinnacle Securities Group, a mid-sized broker-dealer in Phoenix, Arizona. Mrs. Holloway's account documentation, completed in February 2019, indicated she had \$485,000 in liquid assets, a conservative risk tolerance, an investment objective of capital preservation and income generation, a 3-5 year time horizon, and limited investment experience consisting primarily of certificates of deposit and Treasury bonds held over her 30-year teaching career.

Her registered representative, Derek Finnegan, had been with Pinnacle for four years and primarily served elderly clients in the greater Phoenix area. In March 2019, during a routine account review meeting, Finnegan recommended that Mrs. Holloway invest \$145,000--approximately 30% of her liquid assets--in ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF designed to deliver triple the daily performance of the Nasdaq-100 Index. Finnegan explained that technology stocks were 'guaranteed winners' and that the leveraged structure would 'supercharge her returns' to help offset inflation concerns she had expressed.

Finnegan's recommendation documentation consisted solely of a generic product description printed from the fund sponsor's website. He did not document any analysis of how this investment fit Mrs. Holloway's stated objectives, nor did he explain that leveraged ETFs are designed for short-term trading and can experience significant value decay over longer holding periods due to daily rebalancing effects. Pinnacle's own compliance manual specifically flagged leveraged ETFs as 'complex products requiring heightened suitability review' and mandated supervisor pre-approval for any allocation exceeding 10% of a client's portfolio.

By September 2019, following market volatility, Mrs. Holloway's TQQQ position had declined to \$97,500, representing a loss of approximately \$47,500 or 33% of her initial investment. When Mrs. Holloway expressed concern, Finnegan advised her to 'hold through the dip' rather than liquidating the position, despite the product's design being fundamentally unsuitable for buy-and-hold strategies.

Question

Did Derek Finnegan's recommendation of a 3x leveraged ETF to Margaret Holloway satisfy the care obligation under Regulation Best Interest?

Answer

No, Derek Finnegan's recommendation clearly violated the care obligation under Regulation Best Interest. While Reg BI's June 30, 2020 compliance date had not yet arrived at the time of this March 2019 recommendation, the conduct would fail both the existing FINRA suitability rule (Rule 2111) and the subsequently effective Reg BI care obligation, and illustrates precisely the conduct Congress was scrutinizing during this March 2019 hearing.

Under FINRA Rule 2111, a broker must have a reasonable basis for believing a recommendation is suitable for the

particular customer based on their investment profile. Finnegan's recommendation failed all three components of suitability analysis. First, reasonable-basis suitability: Finnegan apparently did not understand that 3x leveraged ETFs experience compounding decay and are designed for intraday trading, not long-term holding, evidenced by his advice to 'hold through the dip.' Second, customer-specific suitability: Mrs. Holloway's documented profile--conservative risk tolerance, capital preservation objective, limited experience, 3-5 year horizon--was fundamentally incompatible with a volatile leveraged product. Third, quantitative suitability: a 30% portfolio allocation to a high-risk complex product for a 74-year-old retiree with conservative objectives was excessive on its face.

Under Reg BI's care obligation (Exchange Act Rule 15l-1(a)(2)(ii)), the broker must exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the broker's interest ahead of the customer's. Finnegan failed to conduct required diligence--his documentation consisted only of marketing materials, and he bypassed Pinnacle's mandatory heightened review procedures requiring supervisor pre-approval for leveraged ETF allocations exceeding 10%.

Finnegan's characterization of technology stocks as 'guaranteed winners' compounded the violation by providing misleading information about investment risk. The \$47,500 loss--representing nearly 10% of Mrs. Holloway's total liquid assets--demonstrates the foreseeable harm from this unsuitable recommendation to an elderly, conservative investor.

Key Factor

Recommending a 3x leveraged ETF designed for short-term trading to a 74-year-old conservative investor seeking capital preservation, in a 30% portfolio allocation that bypassed the firm's mandatory heightened review procedures.

Item 211 of 499

NON-COMPLIANT

Topic: unsuitable_concentrated_recommendation_to_retiree

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability) -- reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 68, retired from her position as a school librarian in March 2019 with a modest pension of \$2,400 per month and a 403(b) retirement account valued at \$485,000. She contacted Cornerstone Wealth Partners, LLC in April 2019 seeking conservative investment advice to preserve her retirement savings while generating modest income to supplement her pension. Her new account documentation indicated a 'conservative' risk tolerance, 'capital preservation and income' as her investment objectives, a 15-year investment time horizon, limited investment experience consisting only of target-date mutual funds in her 403(b), and annual income of \$28,800 from her pension with no other assets beyond her home.

Her assigned registered representative, Daniel Kreiger, completed the customer profile and acknowledged Mrs. Thornton's stated objectives during their initial meeting on April 22, 2019. However, over the following three months, Kreiger recommended that Mrs. Thornton invest \$340,000 (approximately 70% of her liquid retirement assets) into a single leveraged closed-end fund, the Apex High Yield Credit Opportunities Fund, which employed 35% leverage and invested primarily in below-investment-grade corporate bonds and emerging market debt. Kreiger explained the fund's 8.2% distribution yield would 'more than meet her income needs' and characterized it as 'basically like a bond fund but with better returns.'

Mrs. Thornton followed Kreiger's recommendation and purchased the fund in July 2019. By March 2020, the fund had declined 47% in value due to the credit market disruption, reducing her \$340,000 investment to approximately \$180,200. The concentrated position and leveraged nature of the fund amplified her losses far beyond broader market declines. Mrs. Thornton filed a FINRA arbitration claim in September 2020 alleging unsuitability and breach of fiduciary duty, seeking recovery of her \$159,800 in losses plus interest.

Question

Did Daniel Kreiger's recommendation that Margaret Thornton invest 70% of her retirement assets in a single leveraged high-yield closed-end fund violate FINRA suitability requirements?

Answer

The recommendation was clearly unsuitable and violated FINRA Rule 2111. The analysis under all three suitability components demonstrates multiple violations.

Regarding reasonable-basis suitability under Rule 2111(a), while Kreiger may have understood the product's mechanics, his characterization of a leveraged below-investment-grade debt fund as 'basically like a bond fund' reflects either a fundamental misunderstanding or a deliberate misrepresentation of the product's risk characteristics. Leveraged closed-end funds employing 35% leverage in high-yield and emerging market debt carry substantially different risk profiles than investment-grade bond funds, including amplified volatility, credit risk, and potential for significant principal loss.

The customer-specific suitability violation under Rule 2111(a) is unambiguous. Mrs. Thornton's documented profile established a conservative risk tolerance, capital preservation objectives, limited investment experience, and dependence on this portfolio for retirement income supplementation. A 68-year-old retiree with these characteristics is fundamentally unsuited for a leveraged, below-investment-grade credit product. FINRA guidance has consistently emphasized that complex products requiring heightened due diligence--including leveraged funds--demand careful matching to customer sophistication and risk capacity.

The quantitative suitability component under Rule 2111(a) is also implicated by the concentration. Recommending that 70% of a conservative retiree's liquid assets be placed in a single high-risk product fails the reasonable-basis standard for portfolio construction regardless of the product's individual merits. Such concentration in a speculative vehicle for a client with capital preservation objectives represents a fundamental mismatch.

Kreiger also violated FINRA Rule 2010's just and equitable principles of trade by mischaracterizing the product's risk profile to induce the purchase. Describing a leveraged high-yield fund as equivalent to a standard bond fund constitutes a material misrepresentation.

No viable defense exists. The customer's documented profile directly contradicted the recommendation's risk characteristics. The arbitration panel would likely find in Mrs. Thornton's favor and award compensatory damages reflecting her losses attributable to the unsuitable recommendation.

Key Factor

Recommending that a conservative 68-year-old retiree concentrate 70% of her retirement assets in a single leveraged high-yield closed-end fund directly contradicted her documented investment objectives, risk tolerance, and financial circumstances.

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NON-COMPLIANT

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Meridian Securities Partners, LLC is a broker-dealer headquartered in Newark, New Jersey, with twelve registered representatives serving primarily retail customers. In September 2023, representative Thomas Brennan met with Martha Delgado, a 67-year-old retired school administrator who had recently received a \$340,000 inheritance following her husband's death. Mrs. Delgado completed a new account form indicating she had a conservative risk tolerance, an investment objective of capital preservation and income generation, limited investment knowledge, and that this inheritance represented approximately 85% of her liquid net worth. She explicitly stated during the meeting that she could not afford to lose this money as it would fund her retirement living expenses for the next two decades.

Brennan recommended that Mrs. Delgado invest \$170,000--half of her inheritance--in a 3x leveraged inverse ETF tracking the S&P 500 index. Brennan explained this would provide "downside protection" and "amplified returns when the market corrects." He did not explain that leveraged inverse ETFs are designed for short-term trading, typically single-day holds, and that the compounding effects could cause significant value decay over longer holding periods regardless of market direction. The firm's product catalog classified this ETF as suitable only for sophisticated investors with speculative objectives and high risk tolerance.

Mrs. Delgado held the leveraged inverse ETF for approximately seven months. During this period, the S&P 500 experienced moderate volatility but ended slightly higher. Due to the daily reset mechanism and volatility decay, Mrs. Delgado's \$170,000 investment declined to approximately \$98,000--a loss of \$72,000 or 42%--despite the underlying index moving only marginally. When Mrs. Delgado contacted the firm in April 2024 expressing distress about her losses, Brennan advised her to "hold tight" as he expected a market downturn. The firm's supervisory system had flagged the initial transaction for review, but the supervisor approved it after a cursory review noting only that Mrs. Delgado had signed the account documents.

Question

Did representative Brennan and Meridian Securities Partners violate their obligations under Regulation Best Interest when recommending the leveraged inverse ETF to Mrs. Delgado?

Answer

Yes, representative Brennan and Meridian Securities Partners violated Regulation Best Interest, specifically the Care Obligation under Rule 15l-1(a)(2)(ii). The Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation; have a reasonable basis to believe the recommendation is in the retail customer's best interest based on their investment profile; and have a reasonable basis to believe a series of recommended transactions is not excessive.

The recommendation fails on multiple grounds. First, Brennan failed to exercise reasonable diligence in understanding

the product. Leveraged inverse ETFs are explicitly designed for short-term, often single-day, holding periods. The prospectus and the firm's own product catalog would have disclosed the volatility decay risk and unsuitability for buy-and-hold strategies. Brennan's characterization of the product as providing "downside protection" was materially misleading and demonstrates inadequate product knowledge.

Second, the recommendation was manifestly inconsistent with Mrs. Delgado's investment profile. She was 67 years old, retired, with conservative risk tolerance, capital preservation objectives, limited investment knowledge, and high concentration risk given the investment represented approximately 43% of her total liquid assets. The firm's own suitability guidelines classified this product for sophisticated, speculative investors--the precise opposite of Mrs. Delgado's profile.

Third, the subsequent advice to "hold tight" compounded the violation by encouraging continued holding of a product designed for daily trading, directly contrary to its intended use and the customer's stated need for capital preservation.

The supervisor's cursory approval does not shield the firm. Under Reg BI's Compliance Obligation, firms must establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance. The supervisory system's failure to prevent an obviously unsuitable recommendation to a vulnerable retiree demonstrates inadequate supervisory controls. The firm violated FINRA Rule 2010's requirement to observe high standards of commercial honor through this conduct.

Key Factor

Recommending a complex leveraged inverse ETF designed for short-term speculative trading to a 67-year-old conservative retiree seeking capital preservation, representing nearly half of her liquid net worth, constituted a fundamental failure of the Care Obligation.

Item 213 of 499

NON-COMPLIANT

Topic: variable_annuity_suitability_elderly_client

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2330 (Variable Annuities), 3110 (Supervision), 4512 (Customer Account Information), 2010 (Standards of Commercial Honor)

Source: 13_FINRA_Rulebook

Fact Pattern

Margaret Thornton, age 78, was a retired schoolteacher living in Scottsdale, Arizona, with a fixed income consisting of \$2,400 monthly from Social Security and a \$1,800 monthly pension. In March 2023, she visited the branch office of Pinnacle Securities Group, LLC after her husband of 52 years passed away, leaving her as the sole beneficiary of his \$340,000 traditional IRA. Mrs. Thornton met with registered representative David Kowalski, who conducted an account opening interview and documented her investment profile. The customer profile form indicated Mrs. Thornton had a 'conservative' risk tolerance, an investment time horizon of '3-5 years,' an investment objective of 'income and preservation of capital,' liquid net worth of \$85,000 (excluding the inherited IRA), and annual income of approximately \$50,400. Mrs. Thornton explicitly stated during the meeting, which Kowalski noted in his contemporaneous records, that she needed reliable income to cover her assisted living expenses and anticipated needing access to the IRA funds within the next three to four years for potential long-term care needs.

Notwithstanding this documented profile, Kowalski recommended Mrs. Thornton invest \$290,000 of the inherited IRA proceeds into the Meridian Elite Variable Annuity, a product featuring a 7-year surrender period with declining surrender charges starting at 8% in year one. The annuity included a guaranteed minimum withdrawal benefit rider that added 1.35% in annual fees on top of the base contract's mortality and expense charge of 1.25% and underlying subaccount fees averaging 0.95%. The total annual cost structure exceeded 3.5%. Kowalski earned a 6.5% commission totaling \$18,850 on this transaction. The annuity's prospectus clearly disclosed that the product was designed for long-term investment and that early withdrawals would be subject to substantial surrender charges and potential tax penalties.

Kowalski's branch manager, Susan Pelletier, conducted a principal review of the transaction as required by firm procedures. The review consisted of verifying the customer's signature and confirming the forms were complete, but Pelletier did not conduct any substantive analysis of whether the recommendation was suitable given Mrs. Thornton's documented profile. The firm's supervisory procedures manual required principals to evaluate variable annuity transactions against specific suitability factors including liquidity needs, time horizon, and surrender period compatibility. Eighteen months later, Mrs. Thornton required \$45,000 to transition to an assisted living facility and incurred surrender charges of \$3,150 plus tax implications when liquidating a portion of the annuity.

Question

Did Kowalski's recommendation of the Meridian Elite Variable Annuity to Mrs. Thornton satisfy FINRA's suitability requirements under Rules 2111 and 2330, and did the firm's supervisory review comply with Rule 3110?

Answer

The recommendation was unsuitable, and both Kowalski and Pinnacle Securities Group violated applicable FINRA rules. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Rule 2111(a) requires customer-specific suitability analysis that matches the recommendation to the particular customer's documented profile.

FINRA Rule 2330 imposes heightened suitability obligations for variable annuity recommendations. Rule 2330(b)(1) specifically requires that before recommending a variable annuity, the registered representative must have a reasonable basis to believe the customer would benefit from certain features of the product, the customer's investment time horizon is consistent with the surrender period, and the customer has been informed of the surrender charges. Rule 2330(b)(1)(A)(ii) explicitly addresses the relationship between liquidity needs and surrender periods.

Here, Mrs. Thornton's documented profile created clear red flags: she was 78 years old with a 3-5 year time horizon and expressed need for funds within three to four years for long-term care. Recommending a product with a 7-year surrender period directly contradicted her stated liquidity needs and time horizon. Her conservative risk tolerance and preservation-of-capital objective were inconsistent with a variable annuity carrying over 3.5% in annual fees and market-linked subaccounts. The manifestation of harm--the \$3,150 surrender charge within 18 months--demonstrates the predictable consequences of this mismatch.

Regarding supervision, FINRA Rule 3110(a) requires firms to establish and maintain a supervisory system reasonably designed to ensure compliance with applicable securities laws and FINRA rules. Rule 2330(c) specifically requires principal review of variable annuity transactions with documented determination that the recommendation is suitable. Pelletier's ministerial review of signatures and form completion, without substantive suitability analysis, failed to satisfy this obligation despite the firm's own procedures requiring such review. The firm's supervisory failure constitutes a separate violation of Rules 3110 and 2330(c). Both the representative and the firm bear responsibility for this unsuitable recommendation.

Key Factor

The 7-year surrender period of the recommended variable annuity was fundamentally incompatible with Mrs. Thornton's documented 3-5 year investment time horizon and explicitly stated near-term liquidity needs for long-term care expenses.

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NON-COMPLIANT

Topic: suitability_variable_annuity_senior_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111.05 (Supplementary Material on Quantitative Suitability), FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 72, was a retired schoolteacher who had been a customer of Pinnacle Financial Advisors, LLC since 2018. Her investment profile documented a conservative risk tolerance, income-focused investment objective, a 3-5 year time horizon, and liquid net worth of approximately \$285,000, consisting primarily of certificates of deposit and a traditional IRA rolled over from her pension. Her annual income was \$42,000 from Social Security and a small pension.

In March 2023, her registered representative, David Marsden, recommended that Mrs. Thornton liquidate \$180,000 from her money market and CD holdings to purchase a variable annuity with a 7-year surrender period. The annuity carried surrender charges starting at 7% in year one and declining annually. Marsden emphasized the product's death benefit feature and tax-deferred growth, noting it would 'protect her legacy for her grandchildren.' The annuity's subaccounts were allocated 65% to equity funds, including emerging markets and small-cap growth options.

Mrs. Thornton's new account documentation, completed by Marsden, indicated a 'moderate' risk tolerance and a 10-15 year time horizon--inconsistent with the profile established in 2018 and her own stated needs during the meeting. Internal firm emails later revealed that Marsden was competing for a sales contest with a \$15,000 bonus for the highest variable annuity production that quarter.

In September 2023, Mrs. Thornton needed to access \$50,000 for unexpected medical expenses. She discovered she would face a \$3,500 surrender charge and potential tax consequences. She filed a customer complaint alleging the recommendation was unsuitable and that Marsden misrepresented the product's liquidity characteristics. The firm settled the complaint for \$38,000, with Marsden not contributing to the settlement amount.

Question

Did the registered representative's recommendation of the variable annuity violate FINRA's suitability obligations given Mrs. Thornton's documented investor profile and circumstances?

Answer

The recommendation clearly violated FINRA Rule 2111 (Suitability) on multiple grounds. Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance.

First, regarding customer-specific suitability under Rule 2111(a), the variable annuity was fundamentally inconsistent with Mrs. Thornton's documented profile. At age 72 with a 3-5 year stated time horizon, a product with a 7-year surrender period created an obvious mismatch. FINRA has repeatedly emphasized that long surrender periods are generally unsuitable for elderly investors who may need access to funds for healthcare or other emergencies. Her conservative risk tolerance was incompatible with subaccount allocations of 65% to equity funds, including volatile

emerging markets and small-cap growth investments.

Second, the documentation irregularities are deeply problematic. Marsden altered key profile elements--changing risk tolerance from 'conservative' to 'moderate' and extending the time horizon from 3-5 years to 10-15 years--without legitimate basis. Under FINRA Rule 2010 (Standards of Commercial Honor), such manipulation of customer documentation to justify an otherwise unsuitable recommendation constitutes a serious ethical violation.

Third, the concentration of \$180,000 (approximately 63% of her liquid assets) in a single illiquid product left Mrs. Thornton with insufficient accessible funds, violating quantitative suitability principles. FINRA Rule 2111.05(c) specifically addresses situations where a recommendation, even if suitable in isolation, may be unsuitable when considered in context of the customer's entire portfolio and liquidity needs.

The sales contest motivation, while not dispositive, evidences that Marsden prioritized his financial interest over the customer's needs. The firm's \$38,000 settlement, while not an admission of liability, reflects recognition of the claim's merit. This recommendation failed customer-specific suitability requirements and violated the broker's fundamental obligation to put the customer's interest ahead of his own compensation incentives.

Key Factor

The representative recommended a 7-year surrender period variable annuity with aggressive equity allocations to a 72-year-old conservative investor with a documented 3-5 year time horizon and liquidity needs, while altering her profile documentation to justify the sale.

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NON-COMPLIANT

Topic: suitability_complex_products_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

In March 2022, Marcus Delphino, a registered representative with Coastal Harbor Securities LLC, met with 74-year-old client Eleanor Matsumoto at her home in Sarasota, Florida. Mrs. Matsumoto had recently been widowed and received \$680,000 from her husband's life insurance policy. Her investment profile, documented at account opening, listed her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her annual income as \$42,000 from Social Security and a small pension, and her liquid net worth as \$125,000 excluding the insurance proceeds. She had no prior experience with securities beyond certificates of deposit and a small bond mutual fund held for fifteen years.

During the meeting, Delphino recommended that Mrs. Matsumoto invest \$425,000 in a portfolio of leveraged exchange-traded products (ETPs), specifically including \$200,000 in a 3x leveraged bull equity ETF, \$125,000 in a 2x leveraged emerging markets ETF, and \$100,000 in a leveraged volatility-linked ETN. Delphino explained that these products would 'supercharge her returns' and help her 'make up for lost time' in building retirement assets. He provided her with the prospectuses but did not explain the daily reset mechanism, compounding decay, or the products' unsuitability for long-term holding periods.

By November 2022, Mrs. Matsumoto's portfolio had declined to \$187,000 due to market volatility and the mathematical decay inherent in leveraged products held beyond their intended short-term horizon. When Mrs. Matsumoto called Delphino expressing concern, he recommended she hold the positions and 'wait for the market to recover.' The firm's compliance department had previously issued guidance in January 2022 specifically prohibiting recommendations of leveraged ETPs to clients over age 70 with conservative risk tolerances absent documented supervisory approval, which Delphino never obtained. Delphino received \$8,500 in commissions on these transactions.

Question

Did Marcus Delphino's recommendations of leveraged exchange-traded products to Eleanor Matsumoto satisfy his suitability obligations under applicable FINRA rules?

Answer

No, Delphino's recommendations clearly violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor). The violations are manifest across all three components of the suitability obligation.

Regarding reasonable-basis suitability under Rule 2111.05(a), Delphino failed to perform adequate due diligence on the leveraged ETPs he recommended. Leveraged and inverse ETPs are complex products that reset daily and are designed for short-term trading by sophisticated investors. FINRA has consistently emphasized that representatives must understand these products' compounding mechanics and their unsuitability for buy-and-hold strategies. Delphino's recommendation to hold these products long-term, and his subsequent advice to 'wait for the market to recover,'

demonstrates fundamental misunderstanding of the products' design.

Regarding customer-specific suitability under Rule 2111.05(b), the mismatch between Mrs. Matsumoto's profile and the recommended products is egregious. She was 74 years old, recently widowed, had conservative risk tolerance, an income-and-preservation objective, limited investment experience, and fixed income of \$42,000 annually. Concentrating \$425,000--over 62% of her total liquid assets post-insurance--in highly volatile leveraged products designed for sophisticated short-term traders directly contradicts every element of her documented profile.

Regarding quantitative suitability under Rule 2111.05(c), while not classical churning, the concentration of assets in high-cost, high-decay products generating \$8,500 in commissions from a conservative elderly client raises serious concerns about whether the recommendation served the customer's interest or the representative's compensation.

Delphino also violated the firm's internal compliance guidance requiring supervisory approval for leveraged ETP recommendations to clients over 70 with conservative profiles--approval he never obtained. This circumvention of supervisory controls constitutes an independent violation of FINRA Rule 2010.

No reasonable defense exists. The products' prospectus warnings, the firm's own guidance, and fundamental suitability principles all counseled against these recommendations. The resulting \$238,000 loss was foreseeable given the products' characteristics and the client's profile.

Key Factor

The recommendation of highly volatile leveraged exchange-traded products requiring sophisticated short-term trading to a 74-year-old conservative investor with no complex product experience and income/preservation objectives was fundamentally unsuitable under all three prongs of the suitability analysis.

Item 216 of 499

NON-COMPLIANT

Topic: discretionary_account_suitability_misrepresentation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Marcus Whitfield, age 58, was a compliance officer at Horizon Capital Partners, a FINRA member firm. In March 2023, Whitfield opened a brokerage account at Clearview Financial Services, LLC with registered representative Denise Holloway. Whitfield's investment profile indicated moderate risk tolerance, an investment objective of capital preservation with income, liquid net worth of \$420,000, and a time horizon of 7-10 years as he approached retirement. Due to his employment at a competing broker-dealer, Whitfield's employer required written confirmation from any outside firm regarding the nature of his external accounts for compliance monitoring purposes.

Holloway recommended that Whitfield establish a discretionary advisory account, arguing it would simplify his investing while allowing professional management. Whitfield agreed and signed the advisory agreement granting Holloway full discretionary authority. However, the account documentation also preserved Whitfield's ability to place self-directed trades if he chose to do so--a standard feature of Clearview's hybrid advisory platform. Over the following months, Holloway allocated Whitfield's \$285,000 portfolio primarily to growth-oriented equity mutual funds and sector ETFs with average expense ratios of 1.2%, despite his stated preference for capital preservation.

In September 2023, Horizon Capital Partners requested an attestation letter from Clearview regarding Whitfield's account. Holloway, without obtaining supervisory approval as required by Clearview's written procedures, drafted a letter on firm letterhead stating that Whitfield's account was 'fully managed on a discretionary basis' and that Whitfield 'does not have the ability to execute self-directed transactions.' Holloway signed and sent this letter directly to Whitfield, who submitted it to Horizon's compliance department. The letter's misstatement regarding self-directed trading capability materially affected Horizon's ability to properly supervise Whitfield's outside trading activities. When Clearview's compliance department discovered the unauthorized letter during a routine audit in January 2024, an internal investigation revealed both the misrepresentation and the mismatch between Whitfield's conservative profile and his growth-heavy portfolio allocation.

Question

Did Holloway's investment recommendations for Whitfield's account satisfy the suitability and best interest obligations applicable to discretionary advisory accounts?

Answer

Holloway's conduct violated applicable suitability and best interest standards on multiple grounds. Under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including risk tolerance, investment objectives, time horizon, and financial situation. For discretionary accounts, this obligation applies to each investment decision made on the customer's behalf.

Whitfield's documented investment profile expressly indicated moderate risk tolerance and an objective of capital

preservation with income--consistent with his age of 58 and approaching retirement timeline. Despite this clear profile, Holloway allocated the \$285,000 portfolio predominantly to growth-oriented equity mutual funds and sector ETFs. Growth-focused equity investments carry substantially higher volatility and principal risk than investments aligned with capital preservation objectives. This allocation was quantitatively unsuitable under FINRA Rule 2111(a)'s customer-specific suitability component.

Additionally, Holloway violated FINRA Rule 2010's requirement to observe high standards of commercial honor by drafting an attestation letter containing materially false statements. The letter incorrectly represented that Whitfield could not self-direct trades when, in fact, the hybrid advisory platform expressly preserved this capability. This misrepresentation was material because it directly impacted Horizon Capital Partners' compliance supervision of Whitfield's outside trading--a significant regulatory concern for FINRA member firms monitoring employee accounts.

Holloway's failure to obtain supervisory approval before issuing the letter further demonstrates disregard for firm procedures designed to prevent precisely this type of misrepresentation. While the attestation letter violation is separate from the suitability analysis, both reflect a pattern of prioritizing convenience over customer welfare and regulatory compliance.

No viable defense exists. Holloway cannot claim reliance on Whitfield's consent because suitability is a non-waivable obligation. The portfolio allocation was objectively inconsistent with documented customer preferences. The sanctions--suspension and fine--are proportionate given the negligent (rather than intentional) nature of the misrepresentations combined with the unsuitable investment strategy.

Key Factor

Holloway allocated a pre-retiree's capital preservation portfolio to growth-oriented equities while simultaneously misrepresenting account characteristics in attestation letters sent without supervisory approval.

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NON-COMPLIANT

Topic: suitability_complex_product_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) Reasonable-Basis Suitability; FINRA Rule 2111.05(b) Customer-Specific Suitability; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollingsworth, age 72, was a retired elementary school teacher living in Aurora, Colorado, with a fixed monthly pension of \$3,200 and Social Security benefits of \$1,850. In March 2021, she met with registered representative Daniel Kessler of Westbrook Financial Partners, LLC, after receiving a direct mail solicitation about 'maximizing retirement income.' Mrs. Hollingsworth had \$285,000 in savings, representing her entire liquid net worth accumulated over 38 years of teaching. Her stated investment objective was capital preservation with modest income generation, and her risk tolerance on intake documents was marked as 'conservative.' She explicitly told Kessler during their initial meeting that she could not afford to lose principal because this money needed to last through her remaining years and potentially cover future assisted living costs.

Kessler recommended that Mrs. Hollingsworth invest \$180,000 (approximately 63% of her liquid assets) in a structured product linked to an index of emerging market equities with a 7-year maturity and principal protection contingent on the index not declining more than 35% from its initial level. The product carried significant complexity, including barrier features, participation caps of 125%, and early redemption provisions that would result in substantial penalties. Kessler's explanation to Mrs. Hollingsworth consisted of a 20-minute presentation emphasizing the 'downside protection' feature without adequately explaining the contingent nature of principal protection or the illiquidity of the investment.

By December 2022, emerging market volatility caused the underlying index to breach the 35% barrier, eliminating principal protection entirely. Mrs. Hollingsworth's investment declined to approximately \$118,000, representing a loss of \$62,000. When she attempted to liquidate to cover unexpected medical expenses, she discovered early redemption penalties would reduce her proceeds further to approximately \$109,000. Mrs. Hollingsworth filed a FINRA arbitration claim against Westbrook Financial Partners alleging unsuitability, failure to understand customer profile, and breach of the duty of care.

Question

Did Daniel Kessler's recommendation of the structured product to Margaret Hollingsworth satisfy FINRA suitability obligations and the duty of care under applicable conduct standards?

Answer

The recommendation clearly violated FINRA Rule 2111 suitability requirements and the care obligation standards. FINRA Rule 2111 imposes three distinct suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. The facts demonstrate failures under at least the first two components.

Regarding reasonable-basis suitability under Rule 2111.05(a), Kessler had an obligation to perform reasonable diligence to understand the structured product's risks, features, and costs before recommending it to any customer. Structured products with contingent principal protection, barrier features, and early redemption penalties are inherently

complex instruments. Kessler's cursory 20-minute presentation emphasizing 'downside protection' without explaining the contingent nature of that protection suggests inadequate understanding of the product itself, or deliberate omission of material risks.

The customer-specific suitability violation under Rule 2111.05(b) is particularly egregious. Mrs. Hollingsworth's profile--a 72-year-old retiree with conservative risk tolerance, capital preservation objective, fixed income of approximately \$5,050 monthly, and explicit statements about needing funds for potential assisted living--was fundamentally incompatible with a 7-year illiquid structured product with contingent principal protection tied to volatile emerging market indices. Concentrating 63% of her liquid net worth in a single complex instrument with such characteristics directly contradicted her stated needs and documented risk tolerance.

FINRA Rule 2010 (Standards of Commercial Honor) reinforces that the recommendation fell below just and equitable principles of trade. The concentration risk alone--placing nearly two-thirds of a conservative retiree's assets in one illiquid, complex product--demonstrates disregard for prudent investment principles.

Kessler cannot credibly argue customer consent as a defense. While customers may accept recommended investments, suitability obligations are independent professional duties that cannot be waived by customer acquiescence to recommendations they do not fully understand. The inadequate disclosure of barrier breach consequences and early redemption penalties further undermines any consent defense. The recommendation was unsuitable and violated applicable standards.

Key Factor

Recommending a complex, illiquid 7-year structured product with contingent principal protection to a 72-year-old conservative retiree who explicitly required capital preservation and liquidity for potential future care needs directly contradicted her documented investment profile.

Item 218 of 499**NON-COMPLIANT**

Topic: supervisory_failure_suitability_review

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 3110 (Supervision), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Piedmont Securities Group, LLC, a regional broker-dealer headquartered in Charlotte, North Carolina, operated twelve branch offices across the Southeast. Between January 2018 and November 2019, registered representative Marcus Dellinger, operating out of the Rock Hill, South Carolina branch, recommended that fourteen retail customers concentrate their portfolios heavily in speculative energy sector exchange-traded funds (ETFs), including leveraged and inverse products. Among these customers was Eleanor Hutchins, a 71-year-old retired schoolteacher with \$340,000 in investable assets representing her entire retirement savings. Mrs. Hutchins had clearly documented on her new account form a conservative risk tolerance, income-generation investment objective, and a five-year time horizon given her reliance on these funds for living expenses.

Dellinger recommended that Mrs. Hutchins allocate \$180,000 (approximately 53% of her portfolio) to a 3x leveraged crude oil ETF, assuring her that energy prices were 'certain to recover' and that the product would 'triple her gains quickly.' The new account documentation reflected her conservative profile, yet no principal review or suitability analysis was conducted before the trade was executed. Within eight months, Mrs. Hutchins lost approximately \$127,000 due to the volatility decay inherent in leveraged products and declining energy prices.

Piedmont Securities' written supervisory procedures required that all recommendations involving leveraged or inverse products receive heightened principal review prior to execution, including verification that the customer's profile supported such recommendations. However, the firm operated what internal emails described as an 'honor system' whereby branch representatives self-certified compliance with these requirements rather than submitting trades to a designated supervisor. Regional manager Patricia Vance, who was responsible for overseeing the Rock Hill branch, acknowledged in subsequent interviews that she had not personally reviewed any of Dellinger's leveraged product recommendations during the relevant period and relied entirely on his self-certifications.

The firm's compliance department had flagged the Rock Hill branch for elevated complaint activity in mid-2018 but took no follow-up action. Documentation revealed that twelve of the fourteen customers who received similar recommendations from Dellinger shared profiles inconsistent with speculative leveraged products, including retirees, individuals with limited investment experience, and customers with stated conservative or moderate risk tolerances.

Question

Did Piedmont Securities Group and its representatives violate their suitability obligations under FINRA rules in recommending leveraged ETFs to Mrs. Hutchins and similar customers, and did the firm's supervisory system adequately ensure suitability compliance?

Answer

Piedmont Securities Group and Marcus Dellinger violated FINRA Rule 2111 (Suitability) and FINRA Rule 3110 (Supervision), and Dellinger additionally violated FINRA Rule 2010 (Standards of Commercial Honor). The violations

are clear and multi-faceted.

Regarding customer-specific suitability under Rule 2111(a), a member or associated person must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile. Mrs. Hutchins' documented profile--conservative risk tolerance, income-generation objective, 71 years of age, five-year time horizon, and complete dependence on her \$340,000 retirement savings--was fundamentally incompatible with a 3x leveraged crude oil ETF. These products are designed for short-term trading by sophisticated investors who understand volatility decay and can tolerate substantial losses. Allocating 53% of a conservative retiree's portfolio to such a product fails customer-specific suitability on every dimension. FINRA has consistently emphasized that leveraged and inverse products require heightened suitability analysis, and the recommendation here was patently unsuitable.

Under Rule 2111's quantitative suitability component, while not classical churning, the concentration and speculative nature of the recommendation evidences disregard for the customer's actual financial situation and needs.

Piedmont Securities violated Rule 3110 by failing to establish and maintain a supervisory system reasonably designed to achieve compliance with suitability requirements. The firm's 'honor system' of self-certification for heightened review trades--particularly for leveraged products requiring principal approval--was not reasonably designed to ensure compliance. This mirrors the supervisory failures documented in the underlying AWC matter. Regional manager Vance's complete reliance on representative self-certification, despite elevated complaint activity at the branch, constitutes a failure to reasonably supervise under Rule 3110(a) and (b).

The firm cannot defend by arguing procedures existed on paper; Rule 3110 requires enforcement of WSPs, not mere documentation. The systematic pattern across fourteen customers demonstrates the supervisory failure was not isolated.

Dellinger's conduct--recommending speculative products to vulnerable customers while ignoring documented profiles--violates Rule 2010's requirement of high standards of commercial honor. The \$127,000 loss to a retiree dependent on these funds underscores the gravity of these violations.

Key Factor

The recommendation of a 3x leveraged ETF to a 71-year-old conservative retiree dependent on her retirement savings, combined with the firm's self-certification 'honor system' that bypassed required principal review of leveraged product trades, constituted fundamental failures of both customer-specific suitability and supervisory oversight.

Item 219 of 499

COMPLIANT

Topic: erisa_investment_advice_fiduciary_exemption

Difficulty: hard

Standard: ERISA Section 408(b)(14), ERISA Section 408(g), Pension Protection Act of 2006 investment advice provisions

Source: 16_Congressional_Materials

Fact Pattern

Margaret Thornton, age 58, was a participant in the Midwest Manufacturing Corp. 401(k) Plan, which held approximately \$340,000 in her account as of March 2024. The plan sponsor engaged Clearview Retirement Advisors, LLC, a registered investment adviser, to provide individualized investment advice to plan participants. Clearview implemented a computer model developed by Fiduciary Analytics, an independent third party with no material affiliation with Clearview or any investment options in the plan. The model was certified annually by an independent accounting firm as applying generally accepted investment theories and treating similarly situated participants comparably.

Margaret requested a consultation with Daniel Reeves, a Clearview adviser, regarding her investment allocation. She disclosed that she planned to retire at age 62, had moderate risk tolerance, and wanted growth with capital preservation as she approached retirement. The computer model, after inputting her age, account balance, projected retirement date, and risk assessment responses, recommended a portfolio allocation of 55% diversified equity funds, 30% bond index funds, and 15% stable value funds. Daniel reviewed the recommendation with Margaret, explained the rationale, and confirmed the allocation aligned with her stated objectives.

Clearview received a level fee of 0.35% of assets under advisement from the plan sponsor, regardless of which investment options participants selected. All investment options in the plan were institutional share class mutual funds with no revenue sharing arrangements benefiting Clearview. The firm maintained written documentation of the computer model methodology, the annual certification, and Margaret's individual consultation notes. Six months later, following market volatility, Margaret's account declined by 8%, prompting her to question whether the advice she received was appropriate for someone approaching retirement.

Question

Did Clearview Retirement Advisors satisfy the requirements for providing fiduciary investment advice to Margaret under the statutory exemption established by the Pension Protection Act of 2006?

Answer

Clearview Retirement Advisors appears to have satisfied the requirements for the investment advice exemption established by the Pension Protection Act of 2006, which amended ERISA to permit fiduciaries to provide individualized investment advice to plan participants under specified conditions.

The PPA created a statutory exemption under ERISA Section 408(b)(14) and (g) allowing fiduciary advisers to provide investment advice that would otherwise constitute a prohibited transaction, provided certain safeguards are met. The exemption offers two permissible arrangements: (1) advice generated by an independently certified computer model, or (2) advice provided under a fee-leveling arrangement where the adviser's compensation does not vary based on investment options selected.

Clearview satisfied both available pathways. First, the computer model requirement was met because: (a) the model was developed by Fiduciary Analytics, an independent third party with no material affiliation with Clearview; (b) the model applied generally accepted investment theories taking into account participant-specific information including age, retirement date, risk tolerance, and account balance; (c) the model was certified annually by an independent auditor; and (d) the model operated objectively without favoring any particular investment option.

Second, Clearview independently satisfied the fee-leveling requirement. The firm received compensation of 0.35% of assets regardless of which investment options Margaret selected, eliminating any financial incentive to steer participants toward particular funds. The absence of revenue sharing arrangements further reinforced this neutrality.

The advice provided to Margaret--a 55/30/15 allocation across equities, bonds, and stable value funds--was objectively reasonable for a 58-year-old participant with moderate risk tolerance and a four-year retirement horizon. The subsequent 8% market decline does not render the advice unsuitable; fiduciary duty requires a prudent process, not guaranteed outcomes. Clearview maintained appropriate documentation of its methodology and Margaret's consultation, demonstrating procedural prudence.

The combination of the certified computer model, level fee structure, institutional share class investments, and documented participant-specific analysis establishes that Clearview operated within the PPA's statutory safe harbor for investment advice fiduciaries.

Key Factor

Clearview utilized both an independently certified computer model and a level fee structure that eliminated compensation-based conflicts, satisfying the PPA's dual pathways for permissible fiduciary investment advice.

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NON-COMPLIANT

Topic: interest_rate_sensitive_recommendation_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest, Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation)

Source: 16_Congressional_Materials

Fact Pattern

Margaret Hensley, age 71, was a retired schoolteacher with a \$485,000 portfolio held at Keystone Wealth Advisors, LLC. Her investment profile, updated in March 2024, documented her objectives as capital preservation and income generation, with a conservative risk tolerance and a 5-7 year investment time horizon. Her primary income sources were Social Security (\$2,100/month) and a state pension (\$2,400/month), and she needed to draw approximately \$1,200 monthly from her portfolio to cover living expenses and healthcare costs.

In April 2024, her registered representative, Thomas Bridwell, recommended she invest \$290,000--roughly 60% of her liquid assets--into a portfolio of long-duration Treasury bonds and mortgage-backed securities ETFs with average durations exceeding 15 years. Bridwell's written recommendation memo cited commentary from various economists about the Federal Reserve's balance sheet normalization and predicted that interest rates would decline significantly within 12-18 months, generating substantial capital appreciation. The memo stated that 'given the Fed's current QE unwinding trajectory and historical patterns, duration risk is minimal.'

Mrs. Hensley signed the account documents but later testified she did not understand duration risk and believed Treasuries were 'completely safe.' Bridwell's notes from their meeting indicated he spent approximately 8 minutes explaining the strategy. He did not document any discussion of how rising rates could impact principal value, nor did he analyze alternative income-generating strategies with shorter durations that might have been more appropriate for her liquidity needs.

By September 2024, rising interest rates caused Mrs. Hensley's long-duration holdings to decline by approximately \$52,000. When she attempted to liquidate a portion to cover an unexpected \$18,000 medical expense, she realized significant losses. A subsequent review revealed that Keystone's product committee had flagged long-duration bond funds as unsuitable for clients over 65 with conservative profiles without supervisory pre-approval--a process Bridwell had bypassed.

Question

Did Thomas Bridwell's recommendation of long-duration Treasury and MBS ETFs satisfy his care obligation and suitability requirements given Mrs. Hensley's investor profile?

Answer

The recommendation violated both FINRA Rule 2111 (Suitability) and Regulation BI's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii). The analysis reveals multiple failures across applicable standards.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for at least some investors (reasonable-basis suitability), suitable for the particular customer based on their investment profile (customer-specific suitability), and that any series of transactions is not excessive (quantitative suitability). Bridwell failed customer-specific suitability. Mrs. Hensley's documented profile--71 years old, conservative risk tolerance, capital

preservation objective, and demonstrated need for periodic portfolio liquidations--was fundamentally incompatible with a 60% concentration in highly interest-rate-sensitive instruments with 15+ year durations.

Regulation BI's Care Obligation requires that a broker exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made. Bridwell's conduct fails this standard on multiple grounds. First, his 8-minute explanation was inadequate to ensure the customer understood duration risk--a complex concept critical to evaluating this strategy. Second, his recommendation memo relied on speculative macroeconomic forecasts about Fed policy rather than Mrs. Hensley's actual risk capacity and liquidity needs. Third, he failed to consider reasonably available alternatives such as shorter-duration bond ladders or dividend-focused equity funds that could generate income without comparable principal volatility.

The firm's internal compliance flag designating long-duration products as presumptively unsuitable for conservative investors over 65 further undermines any defense. Bridwell's bypass of the supervisory pre-approval process demonstrates he was on notice that this recommendation category warranted heightened scrutiny. His failure to document any discussion of interest rate risk or alternative strategies evidences inadequate care. The recommendation prioritized a speculative rate thesis over the customer's documented preservation and income objectives, constituting a clear suitability violation.

Key Factor

Recommending a 60% concentration in long-duration interest-rate-sensitive securities to a 71-year-old conservative investor with documented liquidity needs and capital preservation objectives, based on speculative macroeconomic forecasts rather than customer-specific analysis.

Item 221 of 499

NON-COMPLIANT

Topic: unsuitable_concentration_retirement_account

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability) -- customer-specific, reasonable-basis, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, was a retired elementary school teacher in Newark, New Jersey, with a 403(b) retirement account valued at \$485,000 as of January 2022. Her documented investment objectives were capital preservation and income generation, with a conservative risk tolerance. Mrs. Holloway's only other assets consisted of her home (valued at approximately \$320,000 with no mortgage) and Social Security benefits of \$2,400 monthly. She had no pension and relied on her 403(b) for supplemental retirement income.

In February 2022, registered representative Daniel Caruso of Summit Ridge Financial Services recommended that Mrs. Holloway roll over her 403(b) into an IRA at the firm and concentrate approximately 72% of the account (\$350,000) into a single non-traded REIT--Meridian Commercial Properties Trust--which carried a seven-year lockup period, significant illiquidity risk, and a front-end commission of 7%. Caruso represented that the REIT would provide stable 6.5% annual distributions to supplement her retirement income. The remaining \$135,000 was allocated to a mix of investment-grade bond funds.

Caruso's new account documentation correctly noted Mrs. Holloway's conservative profile and income needs, yet his internal notes reflected that the REIT concentration was justified because 'client wants higher yield than bonds.' However, no written acknowledgment from Mrs. Holloway regarding the concentration risk or illiquidity was obtained. By September 2023, the REIT suspended distributions entirely due to commercial real estate market stress, and the fund's NAV declined by approximately 35%, leaving Mrs. Holloway's position worth roughly \$227,500. She filed a FINRA arbitration claim in October 2023, alleging unsuitability and breach of fiduciary duty, seeking \$200,000 in compensatory damages.

Question

Did Daniel Caruso violate his suitability obligations under FINRA Rule 2111 by recommending that Mrs. Holloway concentrate 72% of her retirement assets in an illiquid non-traded REIT given her conservative risk profile, income needs, and reliance on the account for retirement?

Answer

Caruso violated FINRA Rule 2111 (Suitability) on multiple grounds. Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction is suitable for the customer based on that customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon.

First, under Rule 2111(a)'s customer-specific suitability component, Caruso's recommendation was facially inconsistent with Mrs. Holloway's documented conservative risk tolerance and capital preservation objective. A 72% concentration in a single illiquid product with a seven-year lockup period is fundamentally incompatible with a 67-year-old retiree who depends on the account for supplemental income and has limited other liquid assets.

Second, the quantitative suitability component is implicated by the excessive concentration itself. FINRA has consistently held that over-concentration in a single investment--particularly in illiquid alternative products--can render a recommendation unsuitable regardless of the product's individual merits. Concentrating nearly three-quarters of a client's retirement savings in one non-traded REIT created undue risk exposure that no reasonable basis could support for this investor profile.

Third, under reasonable-basis suitability, while non-traded REITs may be appropriate for some investors, Caruso failed to adequately consider the product's characteristics--illiquidity, distribution suspension risk, and NAV volatility--relative to Mrs. Holloway's specific circumstances. Her reliance on the account for income and lack of other liquid resources made the lockup period and distribution uncertainty particularly harmful.

Caruso's defense that the client 'wanted higher yield' does not satisfy his independent obligation under Rule 2111 to ensure recommendations are suitable. A customer's desire for returns does not override the broker's duty to recommend only investments consistent with the customer's overall profile. The lack of written acknowledgment of concentration risk further undermines any defense.

Additionally, Rule 2010's just and equitable principles of trade are violated when a representative places commission income (7% front-end load) ahead of client welfare through manifestly unsuitable recommendations. The Panel would likely find liability and award substantial compensatory damages.

Key Factor

The 72% concentration of a conservative, income-dependent retiree's assets in a single illiquid non-traded REIT with a seven-year lockup was fundamentally inconsistent with her documented risk tolerance, liquidity needs, and investment objectives.

Item 222 of 499**NON-COMPLIANT**

Topic: margin_account_suitability_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 4210 (Margin Requirements)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollister, age 74, was a retired elementary school teacher who had accumulated approximately \$485,000 in savings, primarily held in certificates of deposit and a traditional IRA containing conservative bond mutual funds. In March 2023, Mrs. Hollister's longtime broker at Prescott Valley Securities retired, and her account was transferred to Kyle Denning, a registered representative with eight years of industry experience. During their initial meeting, Mrs. Hollister completed an updated account profile indicating her investment objective was 'income and preservation of capital,' her risk tolerance was 'conservative,' her time horizon was '5-7 years,' and her annual income from Social Security and her teacher's pension totaled \$52,000. She explicitly noted she could not afford to lose principal as her savings represented her entire financial cushion for medical expenses and potential long-term care needs.

Over the following six months, Denning persuaded Mrs. Hollister to open a margin account, explaining that she could 'enhance her income' by purchasing additional dividend-paying stocks using borrowed funds. He recommended she purchase \$180,000 worth of high-dividend energy stocks and REITs on margin, bringing her total equity exposure to approximately \$320,000. Denning assured her the dividend income would 'easily cover' the margin interest costs and provide additional monthly income. He did not explain maintenance margin requirements, the possibility of margin calls, or the amplified downside risk of leveraged positions.

In October 2023, energy sector volatility caused Mrs. Hollister's portfolio to decline approximately 18%, triggering a margin call of \$47,500. Unable to meet the call from her limited liquid assets, she was forced to liquidate positions at significant losses. Her account value fell from \$485,000 to approximately \$298,000 within seven months. Mrs. Hollister filed a FINRA arbitration claim alleging unsuitable recommendations and failure to satisfy the care obligation under applicable standards.

Question

Did Kyle Denning's recommendation that Mrs. Hollister utilize a margin account to purchase additional equity securities satisfy his suitability and care obligations under applicable FINRA rules?

Answer

The recommendation was unsuitable and violated FINRA Rules 2111 (Suitability) and 2010 (Standards of Commercial Honor). The panel should find in favor of the claimant.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, time horizon, and liquidity needs. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Denning's recommendation fails customer-specific suitability analysis decisively. Mrs. Hollister's profile presented

multiple red flags that made margin trading categorically inappropriate: she was 74 years old with a fixed income, had expressly stated she could not afford principal loss, indicated a conservative risk tolerance, and identified capital preservation as a primary objective. Margin accounts inherently amplify both gains and losses, and the potential for margin calls creates liquidity demands incompatible with her stated needs.

The care obligation requires that a broker exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. Denning failed this standard by recommending a leveraged strategy to a conservative, elderly investor wholly dependent on her savings for security. His assurances that dividends would 'easily cover' margin costs demonstrated either a misunderstanding of the risks involved or reckless disregard for his client's welfare.

Furthermore, Denning's failure to explain maintenance margin requirements, margin call mechanics, and amplified downside risk constitutes a breach of his disclosure obligations. A customer cannot meaningfully consent to margin trading without understanding these fundamental characteristics.

The defense cannot credibly argue that Mrs. Hollister's signature on margin account documents constitutes informed consent when the broker failed to explain the material risks. The dramatic unsuitability of this strategy--leveraged equity concentration for a 74-year-old conservative investor who explicitly stated she could not afford losses--represents a clear violation warranting full compensatory damages of approximately \$187,000 plus interest and costs.

Key Factor

Recommending a margin account strategy involving leveraged equity positions to a 74-year-old conservative investor who explicitly stated she could not afford principal loss and needed capital preservation was categorically unsuitable regardless of product selection.

Item 223 of 499

NON-COMPLIANT

Topic: pre_ipo_fund_suitability_retail_investors

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Meridian Capital Partners, a FINRA member broker-dealer based in Westchester, New York, specializes in alternative investments and private placements. In March 2022, registered representative Daniel Kowalski recommended that his client, Helen Marchetti, age 67, invest \$185,000 in the TechVenture Pre-IPO Growth Fund II, a private placement offering that pooled investor capital to acquire shares in late-stage private technology companies anticipated to go public within 24 to 36 months. Mrs. Marchetti was a recently widowed retired elementary school teacher with a modest pension of \$3,200 per month and total liquid assets of approximately \$420,000, primarily held in certificates of deposit and a traditional IRA. Her new account form indicated a conservative risk tolerance, an investment objective of capital preservation and income, a 5-year investment time horizon, and limited investment experience confined to mutual funds and fixed-income securities.

Kowalski presented the TechVenture Fund as a 'once-in-a-lifetime opportunity' to participate in the wealth creation of companies like a prominent electric vehicle manufacturer before they went public. He emphasized projected returns of 40-60% annually based on prior fund performance but did not explain that pre-IPO investments are highly speculative, illiquid for extended periods, and carry substantial risk of total loss. The fund's private placement memorandum disclosed a minimum five-year lock-up period, no guaranteed liquidity, and risks including dilution, regulatory uncertainty, and the possibility that portfolio companies might never achieve a public listing.

Meridian Capital's supervisory principal, Victoria Sandoval, approved the transaction after a cursory review that noted only that Mrs. Marchetti met the accredited investor financial thresholds based on her net worth. The firm's written supervisory procedures required heightened scrutiny for alternative investments recommended to customers over age 65 or those with conservative risk profiles, including a documented rationale for why the investment aligned with the customer's objectives. No such documentation was prepared for Mrs. Marchetti's transaction. By September 2023, the TechVenture Fund had written down 70% of its portfolio value as several target companies failed to achieve anticipated IPOs amid deteriorating market conditions, leaving Mrs. Marchetti's investment worth approximately \$55,500.

Question

Did Kowalski's recommendation of the TechVenture Pre-IPO Growth Fund II to Mrs. Marchetti satisfy Regulation Best Interest's Care Obligation?

Answer

No, Kowalski's recommendation violated Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii). The Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation; have a reasonable basis to believe the recommendation is in the retail customer's best interest based on that customer's investment profile; and consider reasonably available alternatives.

Kowalski failed all three prongs of the Care Obligation. First, while he may have understood the TechVenture Fund's general mechanics, his presentation to Mrs. Marchetti--emphasizing projected 40-60% returns without adequately disclosing illiquidity, speculative nature, and total loss risk--demonstrates he either did not understand or deliberately obscured the product's risk characteristics. Second, and most critically, no reasonable basis existed to believe this recommendation was in Mrs. Marchetti's best interest given her investment profile. She was 67 years old, recently widowed, dependent on a fixed pension, with conservative risk tolerance, capital preservation objectives, a five-year time horizon, and limited investment experience. A highly speculative pre-IPO fund with a five-year lock-up and significant loss potential directly contradicts every element of her stated profile. The recommendation effectively committed 44% of her liquid assets to an illiquid, speculative investment wholly incompatible with her need for preservation and income.

Third, Kowalski failed to consider reasonably available alternatives such as investment-grade bonds, dividend-paying equity funds, or conservative balanced funds that would have aligned with her objectives while providing liquidity and lower volatility.

Meridian Capital's supervisory failures compounded the violation. Despite WSPs requiring heightened scrutiny for alternative investments recommended to customers over 65 with conservative profiles, Principal Sandoval approved the transaction based solely on accredited investor status--a threshold that addresses legal eligibility, not suitability. The lack of documented rationale evidences systemic supervisory deficiency under FINRA Rule 3110.

Mrs. Marchetti meeting accredited investor thresholds provides no defense; Reg BI's Care Obligation applies irrespective of investor sophistication or net worth and requires customer-specific analysis beyond mere legal qualification.

Key Factor

The recommendation of a speculative, illiquid pre-IPO fund to a conservative, elderly widow dependent on fixed income directly contradicted her documented investment profile and objectives.

Item 224 of 499**NON-COMPLIANT**

Topic: suitability_of_speculative_recommendations_to_conservative_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollister, age 72, was a retired schoolteacher who opened an account with Pinnacle Securities Group, LLC in March 2020. Her account documentation indicated she had a conservative risk tolerance, an investment objective of income and capital preservation, a net worth of \$340,000 (excluding her primary residence), and annual income of \$42,000 from Social Security and a small pension. Ms. Hollister informed her registered representative, David Corbin, that this \$185,000 account represented the bulk of her liquid savings and that she needed to generate modest income to supplement her retirement while protecting principal for potential healthcare expenses.

Between April 2020 and September 2020, Corbin recommended and executed a series of trades that fundamentally transformed Ms. Hollister's portfolio. He placed approximately 65% of her assets into speculative small-cap technology stocks and leveraged ETFs, including positions in three-times leveraged semiconductor funds and micro-cap biotechnology companies with no earnings history. Corbin told Ms. Hollister these investments would 'supercharge her returns' and help her 'catch up' on retirement savings. He did not adequately explain the daily reset mechanism of leveraged ETFs or the volatility risks inherent in micro-cap securities.

By January 2021, Ms. Hollister's account had declined to approximately \$97,000, representing a loss of nearly \$88,000 or 47% of her initial investment. Meanwhile, a balanced portfolio consistent with her stated objectives would have appreciated modestly during the same period. When Ms. Hollister complained about the losses, Corbin stated that 'markets go up and down' and that she needed to 'stay the course.' Internal compliance records showed that Pinnacle's supervisory system had flagged three of Corbin's recommendations as potentially unsuitable for Ms. Hollister's profile, but the branch manager approved them without documented rationale after brief telephone conversations with Corbin.

Question

Did David Corbin's recommendations of speculative securities and leveraged ETFs to Margaret Hollister violate his suitability obligations under applicable FINRA rules?

Answer

Corbin's recommendations clearly violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor). The suitability analysis involves three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding customer-specific suitability under Rule 2111(a), a broker must have a reasonable basis to believe that a recommendation is suitable for the particular customer based on that customer's investment profile. Ms. Hollister's profile unambiguously indicated: (1) conservative risk tolerance; (2) income and capital preservation objectives; (3) age 72 with limited time horizon to recover losses; (4) modest fixed income making her unable to absorb significant losses; and (5) the account representing her primary liquid savings needed for healthcare contingencies.

Corbin's recommendations of leveraged ETFs and speculative micro-cap securities were fundamentally incompatible with every element of Ms. Hollister's profile. Leveraged ETFs are explicitly designed for short-term trading by sophisticated investors who understand compounding effects and daily resets--they are categorically inappropriate for elderly, conservative investors seeking income and preservation. FINRA has repeatedly emphasized that leveraged and inverse ETFs are unsuitable for retail investors who plan to hold them for longer than one trading session.

Corbin also failed reasonable-basis suitability by not adequately understanding the products he recommended. His failure to explain the daily reset mechanism suggests he himself may not have comprehended why these instruments decay over time regardless of underlying index performance.

The supervisory failures at Pinnacle compound the violation. When a compliance system flags recommendations as potentially unsuitable, Rule 3110 requires meaningful supervisory review. Approving flagged trades after undocumented telephone calls without written rationale constitutes inadequate supervision.

Corbin's statement that Ms. Hollister needed to 'catch up' on retirement savings is a classic red flag--using such rationale to justify unsuitable risk-taking violates the duty to recommend only investments consistent with the customer's actual profile, not hypothetical desires for higher returns. The 47% loss, while markets generally rose, demonstrates the concrete harm from these unsuitable recommendations.

Key Factor

Recommending leveraged ETFs and speculative micro-cap securities to a 72-year-old conservative investor seeking income and capital preservation directly contradicted every element of her documented investment profile.

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NON-COMPLIANT

Topic: ira_rollover_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest, Care Obligation (17 CFR 240.15I-1); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, was a retired school teacher with a \$412,000 pension rollover from her 403(b) plan in March 2022. She had modest investment experience limited to target-date funds held in her employer plan. Her stated investment objectives were capital preservation and income generation, with a conservative risk tolerance documented on her new account paperwork at Pinnacle Wealth Advisors, LLC. Her annual pension income was \$38,000, and the rollover represented approximately 85% of her liquid net worth.

Her assigned representative, Derek Fontaine (CRD #4523891), recommended that Mrs. Holloway roll over her entire 403(b) balance into a new IRA at Pinnacle. Upon completion of the rollover, Fontaine allocated the portfolio as follows: 40% into a proprietary high-yield bond fund with a 1.85% expense ratio, 35% into a non-traded REIT with a seven-year lockup period and 6% front-end load, and 25% into a variable annuity with a 15-year surrender period and annual M&E charges of 1.45%. Fontaine documented that these products would provide 'enhanced income potential' suitable for retirement.

Mrs. Holloway's account application noted she had a five-year investment time horizon and would need to begin taking distributions at age 70 to supplement her pension. Fontaine earned \$18,400 in commissions from these transactions. The high-yield bond fund subsequently declined 22% during the 2022 market downturn, and when Mrs. Holloway attempted to liquidate the non-traded REIT in early 2023 to cover unexpected medical expenses, she learned the product was illiquid and she would face substantial penalties.

Pinnacle's compliance department had previously issued guidance in January 2022 reminding representatives that non-traded REITs and long-surrender variable annuities generally required enhanced suitability review for clients over age 65 with moderate-to-conservative risk profiles. No such enhanced review was conducted for Mrs. Holloway's account.

Question

Did Derek Fontaine's investment recommendations for Mrs. Holloway's IRA rollover meet the suitability and best interest standards applicable to retirement account recommendations?

Answer

Derek Fontaine's recommendations clearly failed to meet applicable suitability and best interest standards under both FINRA Rule 2111 and Regulation Best Interest.

Under FINRA Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on their investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. The customer-specific suitability component was violated on multiple grounds.

First, Mrs. Holloway's documented five-year time horizon and need for distributions at age 70 were fundamentally incompatible with a seven-year lockup REIT and a 15-year surrender annuity. These illiquid products directly conflicted with her stated liquidity requirements. Second, her conservative risk tolerance and capital preservation objectives were inconsistent with a 40% allocation to high-yield bonds, which carry substantial credit and interest rate risk. Third, concentrating 85% of a 67-year-old retiree's liquid assets in products with high fees, extended lockups, and elevated risk profiles fails reasonable-basis suitability analysis.

Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1 further required Fontaine to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of his recommendations and to have a reasonable basis to believe the recommendations were in Mrs. Holloway's best interest. The combination of 6% front-end loads, 1.85% expense ratios, and 1.45% M&E charges imposed significant cost drag that undermined the income-generation objective. The \$18,400 in commissions suggests cost considerations were subordinated to compensation incentives.

Pinnacle's internal compliance guidance specifically flagged these product types as requiring enhanced review for clients matching Mrs. Holloway's profile. The absence of such review demonstrates both supervisory and representative-level failures.

The recommendation was unsuitable under FINRA Rule 2111 and failed the Care Obligation under Reg BI. The facts support a finding of violation.

Key Factor

The recommended products' liquidity restrictions and risk profiles directly contradicted the customer's documented conservative risk tolerance, five-year time horizon, and anticipated need for retirement distributions.

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NON-COMPLIANT

Topic: deposit_handling_and_investment_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Gerald Whitmore, age 72, was a retired schoolteacher with a modest pension and \$215,000 in retirement savings held at Bayside Securities Group. His investment profile, documented in March 2024, indicated conservative risk tolerance, income generation as his primary objective, and a five-year investment horizon. Mr. Whitmore had limited investment experience, having only held certificates of deposit and money market funds throughout his working career.

In April 2024, Mr. Whitmore attempted to deposit \$87,500 from a maturing CD into his Bayside account, intending to purchase Treasury bonds for stable income. His registered representative, Marcus Chen, delayed processing the deposit for three weeks while repeatedly recommending that Mr. Whitmore instead invest the funds in a leveraged inverse ETF tied to the energy sector. Chen explained the product could 'double his money quickly' and described it as 'just like a regular stock but better.' Chen's branch manager later acknowledged that Chen had been under pressure to meet quarterly production goals.

During this period, Treasury yields declined by 0.35%, and when Mr. Whitmore's funds were finally deposited and invested in Treasury securities in late May 2024, he received substantially lower yields than would have been available in April. Additionally, Chen had briefly placed \$25,000 of the deposit into the leveraged inverse ETF without explicit authorization, resulting in a \$4,200 loss over eight trading days before Mr. Whitmore discovered the position and demanded it be liquidated.

Mr. Whitmore filed a FINRA arbitration claim seeking \$93,503 in damages, representing the unauthorized trading losses, the yield differential on his Treasury investment, and associated costs. Bayside Securities defended by arguing that Chen's ETF recommendation was merely a 'suggestion' and that the deposit delay was due to routine compliance review.

Question

Did Marcus Chen's recommendation of a leveraged inverse ETF to a 72-year-old conservative investor seeking income generation violate FINRA suitability requirements, and was the firm liable for the resulting losses?

Answer

The recommendation of a leveraged inverse ETF to Gerald Whitmore constituted a clear violation of FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor). The arbitrator's decision to award full compensatory damages was well-supported by the regulatory framework.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111(a) establishes three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Chen's recommendation failed the customer-specific suitability requirement entirely.

Leveraged inverse ETFs are complex products designed for short-term trading by sophisticated investors who can monitor positions daily. FINRA has consistently emphasized that these products are generally unsuitable for retail investors, particularly those with conservative profiles and income objectives. Mr. Whitmore's documented profile--72 years old, conservative risk tolerance, income generation objective, limited investment experience, and five-year horizon--was fundamentally incompatible with a speculative, volatile instrument designed to deliver inverse daily returns with leverage.

Chen's conduct demonstrated multiple deficiencies: (1) failure to understand the product's risks and mechanics sufficiently to make reasonable-basis recommendations; (2) disregard for documented customer suitability factors; (3) prioritization of production goals over customer interests; and (4) unauthorized trading in violation of the customer's instructions. The firm's defense that the recommendation was merely a 'suggestion' fails because FINRA Rule 2111 applies to any recommendation, regardless of terminology used.

Moreover, the intentional delay of legitimate customer deposits to pressure unsuitable product sales violates Rule 2010's requirement of just and equitable principles of trade. The firm's supervisory failures under Rule 3110 compounded liability, as management was aware of the production pressure driving Chen's conduct.

The \$93,503 award appropriately compensated Mr. Whitmore for direct losses attributable to the unsuitable recommendation and improper deposit handling, consistent with principles of making the customer whole.

Key Factor

The broker recommended a leveraged inverse ETF--a complex speculative product--to a 72-year-old conservative investor seeking income, directly contradicting every element of the customer's documented investment profile.

Item 227 of 499

NON-COMPLIANT

Topic: investment_adviser_duty_of_care_retirement_portfolio

Difficulty: medium

Standard: Investment Advisers Act of 1940, Fiduciary Duty of Care as interpreted in SEC Release No. IA-4889; SEC v. Capital Gains Research Bureau, Inc.

Source: 10_Academic_Articles

Fact Pattern

Beacon Wealth Advisors, LLC is an SEC-registered investment adviser based in Phoenix, Arizona. In March 2022, Gerald Thompson, a 68-year-old retired postal worker, engaged Beacon as his investment adviser after receiving a \$485,000 lump sum pension distribution. Thompson completed Beacon's client intake questionnaire, indicating he had a conservative risk tolerance, needed the funds to supplement his Social Security income of \$2,100 per month, had no other significant assets, and had an investment objective of capital preservation with modest income generation. Thompson specifically noted on the questionnaire that he could not afford to lose principal because this represented his entire life savings.

Marcus Webb, the assigned investment adviser representative at Beacon, conducted a 45-minute telephone consultation with Thompson. During this call, Thompson reiterated his need for safety and income, mentioning he planned to withdraw approximately \$1,500 monthly to cover living expenses. Despite this information, Webb recommended allocating 70% of Thompson's portfolio (\$339,500) to a concentrated position in small-cap growth equity funds and emerging market ETFs, with the remaining 30% in investment-grade corporate bonds.

Webb justified this allocation in his internal notes by stating that Thompson needed growth to keep pace with inflation and that equities historically outperform over time. Webb did not document any analysis of Thompson's specific income needs, withdrawal timeline, or how the recommended portfolio would support Thompson's stated monthly distribution requirements. Webb also failed to discuss with Thompson the significant volatility risk associated with small-cap and emerging market investments or conduct any stress testing of the portfolio against Thompson's planned withdrawals.

By December 2022, Thompson's portfolio had declined to \$347,000, representing a 28% loss. Thompson was forced to sell equity positions at depressed prices to meet his monthly income needs, further depleting his retirement savings. Thompson filed a complaint with the SEC in February 2023, alleging Beacon and Webb breached their fiduciary duty by providing unsuitable investment advice.

Question

Did Beacon Wealth Advisors and Marcus Webb breach their fiduciary duty of care under the Investment Advisers Act by recommending a growth-oriented equity portfolio to Gerald Thompson?

Answer

Yes, Beacon Wealth Advisors and Marcus Webb breached their fiduciary duty of care under the Investment Advisers Act. As established in SEC v. Capital Gains Research Bureau, Inc. and reaffirmed in the SEC's Proposed Interpretation Regarding Standard of Conduct for Investment Advisers (Release No. IA-4889), investment advisers owe clients a fiduciary duty that includes an affirmative duty of care requiring advice that is in the client's best interest.

The duty of care requires advisers to have a reasonable understanding of the client's objectives and provide advice that

is suitable given the client's financial situation, investment experience, and stated goals. Here, Webb possessed clear information establishing Thompson's profile: a 68-year-old retiree with conservative risk tolerance, capital preservation objective, no other significant assets, and an immediate need for monthly income distributions of \$1,500.

Webb's recommendation of a 70% allocation to small-cap growth equities and emerging market ETFs directly contradicted every element of Thompson's stated profile. Small-cap and emerging market investments carry substantial volatility risk and are generally inappropriate for investors requiring capital preservation and near-term income. The recommendation failed to account for Thompson's sequence-of-returns risk--the danger that early portfolio losses combined with ongoing withdrawals would permanently impair his retirement security.

Critically, Webb failed in his duty to provide advice and monitoring over the course of the relationship. The SEC's interpretation emphasizes that advisers must consider how recommendations align with the client's ongoing needs. Webb's internal justification--that equities outperform historically--reflects a generic investment principle rather than analysis specific to Thompson's circumstances. The absence of any documented analysis regarding Thompson's income needs, withdrawal timeline, or portfolio stress testing demonstrates inadequate reasonable inquiry.

Beacon cannot defend by arguing Thompson signed off on the recommendation, as fiduciary duty cannot be disclaimed, and advisers must act in clients' best interests regardless of client acquiescence. The 28% portfolio loss and forced liquidation of equity positions at depressed prices directly resulted from advice that prioritized theoretical long-term growth over Thompson's immediate, documented needs for safety and income.

Key Factor

Webb recommended a high-volatility growth portfolio despite clear documentation that Thompson required capital preservation and immediate income, failing to conduct reasonable inquiry into how the recommendation aligned with the client's specific financial situation and objectives.

Item 228 of 499**NON-COMPLIANT**

Topic: concentration_suitability_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) -- customer-specific and quantitative suitability obligations; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Dorothy Whitman, age 74, was a retired schoolteacher residing in Scottsdale, Arizona, with a total liquid net worth of approximately \$385,000. Her investment profile, completed in March 2018 with registered representative Marcus Feldstein of Pinnacle Wealth Securities LLC, documented her investment objective as 'income with capital preservation,' her risk tolerance as 'conservative,' her time horizon as '5-7 years,' and her annual income as \$42,000 from Social Security and a modest pension. Mrs. Whitman had limited investment experience, having previously held only certificates of deposit and a small municipal bond fund.

Between April 2018 and September 2018, Mr. Feldstein recommended that Mrs. Whitman invest \$310,000--approximately 80% of her liquid assets--into a single non-traded Real Estate Investment Trust called Heartland Commercial Properties REIT. The REIT's offering documents disclosed illiquidity for a minimum of seven years, lack of a secondary market, substantial front-end commissions of 7%, and concentration in speculative commercial real estate developments in tertiary markets. Mr. Feldstein earned \$21,700 in commissions from these transactions.

Mr. Feldstein's notes from the April 2018 meeting indicated he explained the REIT would provide 'steady 6.5% distributions' that would supplement Mrs. Whitman's retirement income. However, the notes did not document any discussion of the concentration risk, the product's speculative nature, or how the illiquidity period aligned with Mrs. Whitman's stated 5-7 year time horizon and her age. The firm's product committee had approved the REIT for sale but had placed a 25% concentration limit for customers with conservative risk profiles.

In January 2020, Heartland Commercial Properties REIT suspended distributions and announced a 40% write-down in net asset value due to tenant defaults. Mrs. Whitman filed a FINRA arbitration claim in August 2020, alleging unsuitability, excessive concentration, and violation of the firm's internal guidelines. She sought recovery of her \$310,000 principal investment plus interest and costs.

Question

Did Mr. Feldstein's recommendation that Mrs. Whitman invest 80% of her liquid assets in a single illiquid non-traded REIT violate FINRA suitability requirements given her conservative risk profile, income-focused investment objective, and limited experience?

Answer

The arbitration panel should find in favor of Claimant Whitman. Mr. Feldstein's recommendation violated FINRA Rule 2111 (Suitability) in multiple respects, and the conduct also implicates FINRA Rule 2010 (Standards of Commercial Honor).

Under FINRA Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction is

suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile. Rule 2111.05(a) identifies relevant factors including age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon.

Applying customer-specific suitability analysis, the recommendation fails on multiple grounds. First, concentrating 80% of a 74-year-old conservative investor's liquid assets in a single speculative, illiquid product is fundamentally inconsistent with capital preservation and income objectives. Second, the seven-year illiquidity period extended Mrs. Whitman's investment horizon to age 81, creating substantial liquidity risk for an elderly investor who may face medical expenses or other contingencies. Third, Mrs. Whitman's limited investment experience--restricted to CDs and a municipal bond fund--meant she lacked the sophistication to evaluate the complex risk characteristics of non-traded REITs.

The quantitative suitability component under Rule 2111(b) further supports liability. While typically applied to excessive trading, the principle that a broker must have reasonable grounds for the scope of recommended activity applies here to concentration. Recommending that a conservative elderly investor place the vast majority of her assets in one speculative vehicle exceeds any reasonable recommendation.

Notably, Pinnacle Wealth Securities' own 25% concentration limit for conservative investors constitutes an admission that the firm recognized such concentration was unsuitable. Mr. Feldstein exceeded this limit by 55 percentage points, demonstrating disregard for both regulatory requirements and internal compliance standards.

Mr. Feldstein cannot defend on grounds that Mrs. Whitman signed disclosure documents. FINRA Rule 2111 imposes an affirmative obligation on the broker; customer signature does not cure an unsuitable recommendation. The panel should award compensatory damages representing the loss of principal plus prejudgment interest.

Key Factor

The recommendation to concentrate 80% of a conservative, elderly investor's liquid assets in a single illiquid, speculative non-traded REIT--exceeding the firm's own 25% concentration limit--was fundamentally inconsistent with her documented capital preservation objective and risk tolerance.

Item 229 of 499**NON-COMPLIANT**

Topic: excessive_trading_reg_bi_care_obligation

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; Exchange Act Section 10(b); Rule 10b-5; FINRA Rules 2020, 2010, 3110

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Margaret Thornton, age 72, was a retired schoolteacher who opened a brokerage account with Meridian Securities Group, LLC in March 2021, shortly after her husband's death. She deposited \$485,000 representing her life savings, including proceeds from her husband's life insurance policy. During her account opening meeting with registered representative Daniel Kramer, Mrs. Thornton clearly stated her objectives: capital preservation, modest income generation to supplement her \$2,100 monthly pension, and maintaining liquidity for potential healthcare expenses. Her account documentation reflected a 'conservative' risk tolerance and 'income with capital preservation' as her investment objective.

From April 2021 through November 2023, Kramer executed 847 trades in Mrs. Thornton's account, primarily in speculative small-cap equities and leveraged ETFs. The account experienced an annualized turnover rate of 42 and a cost-to-equity ratio of 187%. Total trading costs during this period exceeded \$412,000, including \$287,000 in commissions paid to Kramer personally. Mrs. Thornton's account value declined from \$485,000 to approximately \$89,000, representing total losses of nearly \$396,000.

Kramer utilized margin extensively in the account, with margin balances frequently exceeding 60% of account equity. Many positions were held for fewer than 30 days, with some sold within 48 hours of purchase. Mrs. Thornton trusted Kramer implicitly and followed his recommendations without question, rarely initiating trades herself. Kramer assured her that active trading was necessary to 'protect her portfolio in volatile markets' and that short-term losses would be recovered.

Meridian's compliance department received automated exception reports flagging Mrs. Thornton's account for excessive trading on seven separate occasions between June 2021 and August 2023. Branch manager Vincent Rosario reviewed the flags but took no action beyond documenting brief conversations with Kramer, who claimed the trading was appropriate given 'market conditions.' No meaningful supervisory intervention occurred, and trading continued unabated until Mrs. Thornton complained to FINRA after discovering her account had been nearly depleted.

Question

Did Daniel Kramer and Meridian Securities Group violate Regulation Best Interest's Care Obligation through the trading activity in Margaret Thornton's account?

Answer

Yes, Daniel Kramer and Meridian Securities Group violated Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii). The Care Obligation requires broker-dealers and their associated persons to exercise reasonable diligence, care, and skill to have a reasonable basis to believe that a recommendation is in the retail customer's best interest based on their investment profile, including risk tolerance, investment objectives, and financial situation.

The evidence demonstrates clear churning and excessive trading violations. The quantitative metrics are dispositive: an annualized turnover rate of 42 and cost-to-equity ratio of 187% far exceed the thresholds courts and regulators consistently cite as presumptive evidence of excessive trading. Generally, turnover rates above 6 and cost-to-equity ratios above 20% indicate excessive trading. Mrs. Thornton's metrics exceed these benchmarks by extraordinary margins.

Kramer's recommendations were fundamentally incompatible with Mrs. Thornton's documented investment profile. A 72-year-old widow with conservative risk tolerance, capital preservation objectives, and income needs should not have been directed into speculative small-cap equities and leveraged ETFs traded with such frequency. The extensive margin usage further compounded the unsuitability, exposing a conservative investor to amplified downside risk inappropriate for her circumstances.

The trading pattern--847 transactions over 32 months with many positions held fewer than 30 days--demonstrates recommendations made to generate compensation rather than to benefit the customer. Kramer earned \$287,000 in personal commissions while his client lost approximately \$396,000. This cost structure made it mathematically impossible for Mrs. Thornton to profit, evidencing that recommendations served Kramer's interests, not hers.

Mrs. Thornton's de facto control delegation to Kramer, combined with her trust and lack of independent trading initiative, establishes the control element necessary for churning under Exchange Act Section 10(b) and Rule 10b-5, as well as FINRA Rules 2020 and 2010.

Meridian's supervisory failures compound liability. Despite seven exception reports, no meaningful intervention occurred. This systematic failure to supervise enabled ongoing harm, violating the firm's supervisory obligations under FINRA Rules 3110 and Reg BI's Compliance Obligation.

Key Factor

The annualized turnover rate of 42 and cost-to-equity ratio of 187% in a conservative senior investor's account constituted quantitative churning that could not possibly serve the customer's stated preservation and income objectives.

Item 230 of 499

NON-COMPLIANT

Topic: excessive_trading_churning_care_obligation

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); Section 10(b) of the Securities Exchange Act of 1934; Exchange Act Rule 10b-5; FINRA Rules 2020, 2010, and 3110

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Coastal Ridge Securities LLC is a small introducing broker-dealer headquartered in Toms River, New Jersey, employing eight registered representatives and generating the majority of its revenue from commissions on equity transactions for retail customers. Between September 2021 and March 2024, registered representative Daniel Ferraro managed 47 customer accounts at the firm, including that of Margaret Holbrook, a 68-year-old retired schoolteacher.

Mrs. Holbrook opened her account in October 2021 with \$285,000 in retirement savings, representing approximately 70% of her liquid net worth. Her account documentation indicated a conservative risk tolerance, an investment objective of capital preservation with modest income generation, a 10-year investment time horizon, and limited investment experience confined to certificates of deposit and money market funds. She explicitly stated to Ferraro that she could not afford significant losses and needed the funds to supplement her pension income.

Despite Mrs. Holbrook's conservative profile, Ferraro engaged in frequent trading of speculative equities and leveraged ETFs in her account. Over the 30-month period, Ferraro executed 412 transactions, generating \$67,340 in total commissions and fees. The account exhibited an annualized cost-to-equity ratio of 47.3% and an annualized turnover rate of 18.6. Mrs. Holbrook's account declined from \$285,000 to \$142,800, a loss of approximately 50% of her original investment, while Ferraro earned substantial commissions on each transaction.

Coastal Ridge's compliance department had access to monthly exception reports flagging accounts with turnover rates exceeding 6.0 and cost-to-equity ratios above 20%. Mrs. Holbrook's account appeared on these reports consistently from January 2022 onward. However, the firm's chief compliance officer, Kenneth Walsh, never reviewed these reports or took any action to investigate the flagged accounts. The firm's written supervisory procedures required supervisors to send active account letters to customers whose accounts exhibited excessive trading metrics, but no such letters were ever sent to Mrs. Holbrook or any other affected customer.

Question

Did Coastal Ridge Securities and its registered representative Daniel Ferraro violate Regulation Best Interest's Care Obligation through the trading activity in Margaret Holbrook's account?

Answer

Yes, Coastal Ridge Securities and Daniel Ferraro willfully violated Regulation Best Interest's Care Obligation, as well as Section 10(b) of the Securities Exchange Act of 1934 and Exchange Act Rule 10b-5, through churning Mrs. Holbrook's account.

Under Exchange Act Rule 15l-1(a)(2)(ii), the Care Obligation requires broker-dealers and associated persons to exercise reasonable diligence, care, and skill when making recommendations to retail customers. Specifically, they must have a reasonable basis to believe that a series of recommended transactions, even if suitable when viewed in

isolation, is not excessive and is in the retail customer's best interest when considered in light of the customer's investment profile.

The quantitative metrics here are dispositive. An annualized cost-to-equity ratio of 47.3% means Mrs. Holbrook's account needed to generate returns exceeding 47% annually merely to break even after trading costs--an impossible standard for a conservative portfolio. The annualized turnover rate of 18.6 indicates her entire portfolio was liquidated and reconstituted more than 18 times annually, reflecting speculative trading wholly inconsistent with her stated objective of capital preservation. FINRA guidance and case law consistently hold that cost-to-equity ratios above 20% and turnover rates above 6.0 constitute presumptive evidence of excessive trading.

Ferraro knew or should have known Mrs. Holbrook's profile: a 68-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience, and explicit statements that she could not afford losses. The 412 transactions in speculative securities and leveraged ETFs directly contradicted these documented preferences. Ferraro's substantial commission earnings of \$67,340 demonstrate he placed his financial interest ahead of Mrs. Holbrook's interest, the precise conduct Reg BI prohibits.

Coastal Ridge's supervisory failures compounded the violation. Under FINRA Rule 3110, the firm was required to establish and maintain a supervisory system reasonably designed to achieve compliance. Despite having exception reports identifying the problematic trading, the firm took no remedial action, violating both Reg BI's Compliance Obligation under Rule 15l-1(a)(2)(iv) and FINRA Rules 3110 and 2010. The 50% account loss resulting from this misconduct constitutes clear customer harm attributable to violations of the care obligation.

Key Factor

The account's annualized cost-to-equity ratio of 47.3% and turnover rate of 18.6 constituted excessive trading that was quantitatively unsuitable for a conservative 68-year-old retiree seeking capital preservation.

Item 231 of 499

NON-COMPLIANT

Topic: excessive_trading_supervision_failure

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 3110 (Supervision); FINRA Rule 2111 (Suitability - quantitative component); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Westbrook Financial Services, LLC is a mid-sized broker-dealer headquartered in San Diego, California. Marcus Thornton serves as the firm's Director of Supervision and has held that role since 2019. In his capacity, Thornton oversees a team of branch supervisors who review daily trade alerts generated by the firm's surveillance system.

Between January 2021 and March 2023, Thornton received multiple escalations from branch supervisors concerning the trading activity of registered representative Derek Holloway in the accounts of several retail customers. The firm's surveillance system flagged Holloway's trading patterns based on parameters designed to identify solicited trades with unusually high principal amounts and trading frequency. Branch supervisor Angela Reyes escalated concerns to Thornton in April 2021 regarding the volume of trades Holloway was executing in client accounts, particularly those belonging to customers over age 70.

Among the affected customers was Eleanor Vance, an 81-year-old widow with \$875,000 in retirement savings. Mrs. Vance's account documentation indicated a capital preservation objective, conservative risk tolerance, and a need for income to supplement her Social Security benefits. Between January 2021 and March 2023, Holloway executed 247 solicited trades in Mrs. Vance's account, generating an annualized turnover rate of 8.2 and a cost-to-equity ratio of 23.7%. Mrs. Vance paid approximately \$189,000 in commissions and fees during this period and suffered realized losses of \$214,000.

Another affected customer was Robert Chen, a 74-year-old retired engineer with a moderate risk tolerance and growth-and-income objective. His account experienced an annualized turnover rate of 6.8 and cost-to-equity ratio of 18.4%, resulting in \$156,000 in trading costs and \$178,000 in realized losses. When Reyes and another supervisor, James Whitfield, raised these concerns to Thornton in September 2021 and again in February 2022, Thornton instructed them to limit their review to individual trade-by-trade suitability assessments rather than examining whether the cumulative series of trades constituted excessive trading. Thornton did not initiate any enhanced supervision of Holloway or conduct a pattern analysis of Holloway's overall trading activity across customer accounts.

Question

Did Marcus Thornton's supervisory response to the escalated red flags concerning Derek Holloway's trading activity satisfy the requirements under Regulation Best Interest and FINRA's supervision rules?

Answer

No, Marcus Thornton's supervisory response was materially deficient and violated both Regulation Best Interest and FINRA Rules 3110 and 2010. The analysis proceeds as follows:

Regulation Best Interest, codified at Exchange Act Rule 15l-1(a)(2)(ii), imposes a Care Obligation requiring broker-dealers and their associated persons to exercise reasonable diligence, care, and skill to have a reasonable

basis to believe that a series of recommended transactions is not excessive, even if each individual transaction is suitable when viewed in isolation. This quantitative suitability component is central to Reg BI's investor protection framework.

FINRA Rule 3110 requires member firms to establish and enforce supervisory systems reasonably designed to achieve compliance with securities laws and FINRA rules. Critically, this duty includes the obligation for designated supervisors to reasonably investigate red flags of potential misconduct and act upon the results of such investigation. Thornton's directive to conduct only trade-by-trade assessments--while explicitly declining to analyze the cumulative series of trades--represents a fundamental failure to investigate the very conduct that Reg BI and FINRA Rule 2111's quantitative suitability component were designed to prevent.

The quantitative indicia here were severe: Mrs. Vance's account exhibited a 23.7% cost-to-equity ratio and 8.2 turnover rate; Mr. Chen's account showed an 18.4% cost-to-equity ratio and 6.8 turnover rate. These metrics substantially exceed the thresholds historically recognized as presumptively excessive. When combined with the customers' conservative profiles--an 81-year-old widow seeking capital preservation and a 74-year-old retiree with moderate risk tolerance--the trading patterns were plainly inconsistent with their best interests.

Thornton cannot claim ignorance; multiple supervisors escalated concerns on multiple occasions over a two-year period. His instruction to limit review to individual trades effectively neutralized the firm's surveillance system and prevented detection of the very pattern the system was designed to identify. This constitutes a failure to reasonably respond to red flags under Rule 3110. A violation of Rule 3110 is also a violation of FINRA Rule 2010's requirement to observe high standards of commercial honor. Thornton's conduct failed to meet applicable supervisory standards.

Key Factor

Thornton's directive to review only individual trades rather than analyzing the series of transactions prevented detection of excessive trading patterns that were clearly indicated by the surveillance alerts and escalated supervisory concerns.

Item 232 of 499**NON-COMPLIANT**

Topic: variable_annuity_suitability_elderly_client

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2330 (Variable Annuity Recommendations)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 78, was a longtime customer of Pinnacle Financial Advisors LLC in San Francisco, California. Mrs. Thornton's late husband had left her a \$485,000 portfolio consisting primarily of Treasury bonds, municipal bonds, and blue-chip dividend stocks. Her investment objective, documented during her most recent account update in March 2021, was income preservation with minimal risk, and her risk tolerance was marked as 'conservative.' Mrs. Thornton lived on a fixed income of approximately \$3,200 per month from Social Security and a small pension, supplemented by approximately \$1,400 per month in dividend and interest income from her investment portfolio.

In June 2021, her registered representative, Daniel Kowalski (CRD# 5827441), recommended that Mrs. Thornton liquidate \$340,000 of her bond holdings and purchase a variable annuity product called the SecureGrowth Premier VA, which carried a 7-year surrender period with declining surrender charges starting at 7% in year one. The product included an optional living benefit rider with an annual fee of 1.35%, on top of mortality and expense charges of 1.25% and average subaccount expenses of 0.85%. Kowalski emphasized the 'guaranteed income for life' feature and downplayed the surrender charges by stating 'you probably won't need to touch this money anyway.'

Mrs. Thornton executed the purchase, but within eighteen months, she required access to \$75,000 for unexpected medical expenses and assisted living costs. She was forced to withdraw funds subject to a 5.5% surrender charge, costing her \$4,125 in penalties plus ordinary income tax treatment on the gains. Additionally, her monthly income from the portfolio decreased significantly because the variable annuity subaccounts did not generate the same level of current income as her prior bond holdings. The customer filed a complaint alleging that Kowalski's recommendation was unsuitable given her age, income needs, and documented conservative investment objectives.

Question

Did Daniel Kowalski's recommendation that Mrs. Thornton invest \$340,000 in a variable annuity with a 7-year surrender period satisfy his suitability obligations under applicable FINRA rules?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111 (Suitability). Under Rule 2111, a registered representative must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon.

Rule 2111's customer-specific suitability component required Kowalski to evaluate whether this specific variable annuity was appropriate for Mrs. Thornton individually. Multiple factors demonstrate the recommendation's unsuitability. First, Mrs. Thornton was 78 years old with a conservative risk tolerance and income preservation objective. Variable annuities are generally designed for long-term accumulation and are ill-suited for elderly investors who may need liquidity. The 7-year surrender period extended to when Mrs. Thornton would be 85 years old, creating substantial

illiquidity risk inconsistent with her profile.

Second, the product's fee structure--totaling approximately 3.45% annually--substantially eroded the income-generating capacity of her investment, directly contradicting her stated income preservation objective. Her documented reliance on portfolio income of \$1,400 monthly should have flagged the unsuitability of moving \$340,000 into a product with reduced current income characteristics.

Third, FINRA guidance has repeatedly emphasized heightened scrutiny for variable annuity recommendations to elderly customers, particularly where surrender charges could trap assets needed for healthcare or living expenses. Kowalski's statement that Mrs. Thornton 'probably won't need to touch this money' demonstrated inadequate analysis of her liquidity needs given her age and health considerations.

Kowalski also potentially violated FINRA Rule 2010 (Standards of Commercial Honor) by making a recommendation that prioritized product features over client-appropriate analysis. While Kowalski might argue the guaranteed income rider provided long-term value, this defense fails because the product's illiquidity and fee drag were fundamentally incompatible with Mrs. Thornton's documented objectives, age, and income dependency. The surrender penalty Mrs. Thornton ultimately incurred was a foreseeable consequence of an unsuitable recommendation.

Key Factor

Recommending a variable annuity with a 7-year surrender period to a 78-year-old client with documented conservative objectives, income needs, and foreseeable liquidity requirements was fundamentally inconsistent with customer-specific suitability obligations.

Item 233 of 499

NON-COMPLIANT

Topic: unsuitable_concentrated_position_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05 (Components of Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Delgado, age 67, was a recently retired school administrator who opened an account with Coastal Harbor Securities LLC in March 2019. Her account opening documents indicated a conservative risk tolerance, an investment objective of capital preservation with income generation, a liquid net worth of \$485,000 (representing her entire retirement savings), and a fixed annual income of \$38,000 from her pension and Social Security. Mrs. Delgado explicitly stated during her initial meeting with registered representative Thomas Wentworth that she could not afford to lose principal and needed her savings to last throughout retirement.

Between April 2019 and August 2019, Wentworth recommended that Mrs. Delgado invest \$340,000--approximately 70% of her liquid net worth--into a single oil and gas master limited partnership (MLP), Permian Energy Partners LP. Wentworth told Mrs. Delgado that the MLP offered attractive tax-advantaged distributions of approximately 9% annually and described it as 'stable income-producing infrastructure.' He did not meaningfully discuss the concentration risk, the partnership's exposure to volatile commodity prices, the illiquid nature of MLP units, or the potential for distribution cuts during energy market downturns.

In March 2020, as oil prices collapsed due to global demand disruption, Permian Energy Partners LP suspended its distributions and the unit price declined by 62%. Mrs. Delgado's \$340,000 investment was reduced to approximately \$129,000. When she contacted Wentworth about her losses, he acknowledged the market conditions were 'unprecedented' but maintained the recommendation had been appropriate. Mrs. Delgado subsequently filed a FINRA arbitration claim alleging that Wentworth's recommendation was unsuitable given her conservative profile and that Coastal Harbor Securities failed to adequately supervise the representative's recommendations to elderly, conservative investors.

Question

Did Thomas Wentworth's recommendation that Mrs. Delgado invest 70% of her liquid net worth in a single oil and gas MLP violate FINRA's suitability requirements given her documented conservative risk tolerance and capital preservation objectives?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) on multiple grounds. Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon.

Rule 2111 establishes three suitability obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the recommendation to the customer's profile), and quantitative suitability (ensuring the series of recommendations is not excessive). Wentworth's recommendation failed the customer-specific

suitability component decisively.

First, the concentration risk was incompatible with Mrs. Delgado's profile. Investing 70% of a 67-year-old retiree's liquid net worth in a single security--particularly one exposed to volatile commodity markets--is fundamentally inconsistent with a stated capital preservation objective and conservative risk tolerance. FINRA guidance has consistently emphasized that concentrated positions in speculative securities are presumptively unsuitable for conservative investors dependent on their portfolios for retirement income.

Second, the product characteristics were misaligned with her needs. MLPs carry unique risks including commodity price exposure, K-1 tax complexity, potential distribution variability, and relative illiquidity. Mrs. Delgado's documented inability to afford principal loss and her reliance on her savings for retirement income made an investment with significant downside risk and illiquidity particularly inappropriate.

Third, Wentworth's failure to adequately disclose the concentration and commodity risks suggests he did not fulfill his obligation under Rule 2111.05(a) to ensure the customer understood the recommendation's risks. Describing a commodity-linked MLP as 'stable income-producing infrastructure' without discussing the inherent volatility was misleading.

Coastal Harbor Securities also potentially violated FINRA Rule 3110 (Supervision) if it failed to implement reasonable supervisory procedures to detect unsuitable concentration in speculative products among elderly, conservative customers. The firm had an obligation to review recommendations that resulted in significant concentration, particularly for vulnerable investors.

Wentworth's defense that market conditions were 'unprecedented' does not excuse an unsuitable recommendation--suitability is evaluated at the time of the recommendation, and concentration risk in commodity-linked securities was foreseeable.

Key Factor

Recommending that a 67-year-old conservative retiree with capital preservation objectives invest 70% of her liquid net worth in a single commodity-linked MLP constituted a clear violation of customer-specific suitability requirements.

Item 234 of 499**NON-COMPLIANT**

Topic: diminished_capacity_suitability_elderly_client

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); FINRA Senior Investor Guidance

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 84, had been a client of Piedmont Wealth Advisors since 2002, maintaining a conservative portfolio of municipal bonds and blue-chip dividend stocks valued at approximately \$1.2 million. Her registered representative, Thomas Brennan, had managed her account for twelve years and was aware that Mrs. Holloway was a widow living on Social Security and portfolio income, with a stated investment objective of capital preservation and income generation and a low risk tolerance documented in her most recent account update from January 2018.

Beginning in March 2019, Mr. Brennan noticed concerning changes in Mrs. Holloway's behavior during their quarterly meetings. She repeatedly asked the same questions within minutes, could not recall recent conversations about her account, and on one occasion arrived at the branch office believing she had an appointment that had actually occurred two weeks prior. Her adult daughter, Caroline, who held a power of attorney on file with the firm, called Mr. Brennan in April 2019 expressing concern that her mother had been diagnosed with early-stage dementia.

Despite these documented red flags, in June 2019, Mr. Brennan recommended that Mrs. Holloway liquidate \$400,000 of her municipal bond holdings to purchase a variable annuity with a seven-year surrender period, the Apex Growth Variable Annuity, which carried a 6.5% surrender charge in year one declining to zero in year seven. The product featured sub-accounts invested in aggressive growth equity funds with expense ratios averaging 2.1% annually. Mr. Brennan documented that Mrs. Holloway verbally agreed to the transaction during a phone call, though he did not contact Caroline or request her participation in the discussion. The annuity generated a \$28,000 commission for Mr. Brennan.

Three months later, Mrs. Holloway's condition deteriorated significantly, and Caroline discovered the annuity purchase while reviewing her mother's accounts. Caroline immediately contacted Piedmont Wealth Advisors' compliance department, noting that the product was entirely inconsistent with her mother's longstanding conservative profile and that her mother had no recollection of authorizing the transaction.

Question

Did Thomas Brennan violate his suitability obligations under FINRA rules when he recommended the variable annuity to Mrs. Holloway given the documented signs of her diminished capacity?

Answer

Thomas Brennan violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) in recommending the Apex Growth Variable Annuity to Mrs. Holloway. The recommendation failed all three components of the suitability obligation.

Regarding reasonable-basis suitability under Rule 2111(a), while variable annuities can be suitable products generally, recommending one with a seven-year surrender period and aggressive growth sub-accounts to an 84-year-old client

with documented signs of cognitive decline reflects a failure to understand the product's risks in context. The surrender period would extend until Mrs. Holloway reached age 91, creating substantial liquidity risk for a client who may face increasing healthcare expenses.

The customer-specific suitability analysis under Rule 2111(a) is where the violation is most pronounced. Mrs. Holloway's documented investment profile--capital preservation objective, low risk tolerance, dependence on portfolio income--was fundamentally incompatible with an aggressive growth variable annuity. The 2.1% annual expense ratio would substantially erode income generation, while the equity sub-account volatility contradicted her conservative mandate. FINRA has consistently held that recommendations must align with documented customer profiles, and the twenty-year account history establishing Mrs. Holloway's conservative orientation made deviation particularly egregious.

More critically, Mr. Brennan possessed actual knowledge of Mrs. Holloway's diminished capacity through direct observation of cognitive symptoms and explicit notification from her daughter regarding the dementia diagnosis. Under these circumstances, proceeding with a complex, long-term financial product without involving the designated power of attorney holder--whose contact information was on file specifically for such situations--demonstrated a profound failure of the care obligation. FINRA guidance on senior investors emphasizes that observed diminished capacity should trigger enhanced scrutiny and involvement of trusted contacts.

The \$28,000 commission provides evidence of motivation inconsistent with the customer's best interest. Mr. Brennan cannot credibly argue the recommendation was suitable when he knowingly exploited a cognitively impaired client to generate substantial compensation through a product antithetical to her established investment parameters. The firm's failure to supervise this transaction compounds the violation.

Key Factor

The representative proceeded with a complex, unsuitable product recommendation despite documented actual knowledge of the elderly client's diminished capacity and without contacting the designated power of attorney holder.

Item 235 of 499**NON-COMPLIANT**

Topic: unsuitable_variable_annuity_recommendation_elderly_client

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellsworth, age 74, was a longtime client of Beacon Ridge Financial Services, LLC. In February 2021, her husband of 48 years passed away, leaving her with approximately \$620,000 in life insurance proceeds and a modest Social Security income of \$1,890 per month. Mrs. Ellsworth had no prior investment experience beyond a savings account and her late husband's pension, which terminated upon his death. She scheduled a meeting with her registered representative, Daniel Hargrove, expressing her primary concern: preserving her capital to cover living expenses, potential long-term care costs, and leaving a modest inheritance to her grandchildren.

During their March 2021 consultation, Mr. Hargrove documented Mrs. Ellsworth's investment objective as 'moderate growth' and her risk tolerance as 'moderate,' despite her verbal statements emphasizing capital preservation and liquidity needs. He recommended she invest \$485,000 of her life insurance proceeds into a variable annuity product with a 7-year surrender period carrying declining surrender charges starting at 7%. The product included various sub-account options invested primarily in equity mutual funds, and annual mortality and expense charges of 1.35% plus fund expenses averaging 0.85%.

Mrs. Ellsworth signed the paperwork, relying on Mr. Hargrove's assurance that this was 'the safest way to grow her money.' Within eight months, she needed to access \$45,000 to cover unexpected medical expenses and home repairs. She was shocked to discover she would incur a \$2,835 surrender charge plus potential tax penalties for early withdrawal. Her account had also declined approximately 12% due to market volatility in the equity sub-accounts. In her complaint filed in January 2022, Mrs. Ellsworth alleged that Mr. Hargrove never adequately explained the surrender period, fees, or market risk, and that the recommendation was fundamentally unsuitable given her age, limited income, and stated need for accessible funds.

Question

Did Mr. Hargrove's recommendation of the variable annuity with a 7-year surrender period violate his suitability obligations under FINRA Rule 2111 given Mrs. Ellsworth's stated financial needs and circumstances?

Answer

The recommendation violated FINRA Rule 2111 suitability requirements on multiple grounds. Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, investment objectives, time horizon, liquidity needs, and risk tolerance.

First, regarding customer-specific suitability under Rule 2111(a), the recommendation failed to account for Mrs. Ellsworth's actual circumstances. At age 74 with limited fixed income and no other liquid assets, her 7-10 year effective time horizon created by the surrender period was fundamentally misaligned with her life stage and stated objectives. FINRA has consistently held that long surrender periods present heightened suitability concerns for elderly clients who may need access to funds for healthcare or other emergencies.

Second, Mr. Hargrove appears to have inaccurately documented Mrs. Ellsworth's investment profile. Recording her objective as 'moderate growth' and risk tolerance as 'moderate' contradicted her explicit verbal statements emphasizing capital preservation and liquidity. This documentation discrepancy suggests either a failure to understand the customer's actual needs or an attempt to justify an otherwise unsuitable recommendation.

Third, the concentration of \$485,000--representing approximately 78% of her total liquid assets--in a single illiquid product with significant equity exposure violated reasonable-basis suitability principles. Given her reliance on these funds for living expenses and potential healthcare costs, recommending such substantial illiquidity was imprudent.

Fourth, the total annual cost structure of approximately 2.2% in combined fees required substantial market gains merely to break even, creating additional risk inconsistent with capital preservation objectives.

Mr. Hargrove cannot rely on Mrs. Ellsworth's signature as a defense. FINRA Rule 2111.05 explicitly states that a customer's acceptance of a recommendation does not relieve a broker of suitability obligations. The broker bears responsibility for ensuring the recommendation aligns with the customer's actual profile, not merely documented preferences that contradict stated needs. This recommendation constituted a clear suitability violation warranting damages.

Key Factor

Recommending an illiquid variable annuity with a 7-year surrender period to a 74-year-old widow with limited income and explicit liquidity needs constituted a fundamental customer-specific suitability violation.

Item 236 of 499**NON-COMPLIANT**

Topic: ira_rollover_fiduciary_advice_reasonable_expectations

Difficulty: hard

Standard: 2024 DOL Retirement Security Rule definition of fiduciary investment advice; ERISA Section 404 prudence standard; ERISA Section 406 prohibited transaction rules; Impartial Conduct Standards requiring best interest advice

Source: 06_DOL_Fiduciary

Fact Pattern

Margaret Thornton, age 62, visited Cornerstone Wealth Partners in March 2024 seeking guidance on what to do with her \$487,000 401(k) balance following her early retirement from a manufacturing company. Margaret had moderate risk tolerance, a conservative income objective for retirement, and limited investment experience beyond her employer plan. During the meeting, representative David Chen presented himself as a 'retirement planning specialist' and conducted a detailed review of Margaret's financial situation, including her pension income, Social Security projections, monthly expenses, and healthcare needs. Chen prepared a personalized 'Retirement Income Analysis' document that compared her current 401(k) holdings to a recommended IRA portfolio at Cornerstone.

Chen strongly recommended Margaret roll her entire 401(k) into a Cornerstone IRA and invest in a variable annuity product called 'SecureLife Growth Plus' with a 7-year surrender period and annual fees totaling 3.2%. Chen emphasized that the annuity's guaranteed minimum withdrawal benefit would protect her retirement income, presenting projections showing how the product would perform under various market scenarios. He told Margaret that his analysis was 'specifically designed for her situation' and that she could 'rely on his expertise' to guide her toward the best retirement outcome.

Margaret's existing 401(k) plan offered low-cost index funds with expense ratios averaging 0.08% and had no surrender charges. The plan also offered stable value funds yielding 4.1% and permitted systematic withdrawals. Chen never meaningfully compared the costs of remaining in the 401(k) versus the IRA rollover, nor did he document why the significantly higher fees of the variable annuity were justified given Margaret's conservative income objective. Chen received a 5.5% commission on the variable annuity sale, totaling approximately \$26,785. Margaret signed the paperwork based on Chen's representations that this was the optimal path for her retirement security.

Question

Did David Chen's rollover recommendation to Margaret Thornton constitute fiduciary investment advice under the 2024 DOL Retirement Security Rule, and if so, did the recommendation satisfy the applicable best interest standard?

Answer

Under the 2024 DOL Retirement Security Rule, David Chen's recommendation clearly constitutes fiduciary investment advice, and his conduct fails to meet the applicable best interest standard under ERISA and the accompanying prohibited transaction exemption requirements.

First, applying the 2024 rule's narrower definition of fiduciary investment advice, Chen's recommendation satisfies all three elements establishing fiduciary status. The recommendation was made under circumstances indicating to a reasonable investor that: (1) it was based on a review of Margaret's particular needs--Chen conducted a detailed analysis of her pension, Social Security, expenses, and healthcare needs; (2) it reflected the application of professional

judgment to her individual circumstances--Chen prepared a personalized 'Retirement Income Analysis' and presented himself as a 'retirement planning specialist'; and (3) it could be relied upon as intended to advance Margaret's best interest--Chen explicitly stated she could 'rely on his expertise' for her 'best retirement outcome.' This was not a mere sales pitch; the totality of circumstances would lead a reasonable 62-year-old retiree to expect fiduciary advice.

Having established fiduciary status, Chen's recommendation of the IRA rollover and variable annuity fails the ERISA Section 404 prudence standard and the best interest requirements necessary for prohibited transaction relief. The variable annuity's 3.2% annual fees versus 0.08% in her existing plan represents a 40-fold cost increase without documented justification. For a \$487,000 account, this translates to approximately \$15,584 annually in additional fees. Chen failed to meaningfully compare retaining the 401(k)--which offered low-cost options, stable value funds, and no surrender restrictions--against the recommended rollover. The 7-year surrender period also restricts Margaret's access to funds during critical early retirement years, conflicting with her conservative income objective.

Chen's \$26,785 commission creates a prohibited transaction under ERISA Section 406 that cannot be excused absent compliance with exemption conditions requiring the advice to be in Margaret's best interest. The absence of cost comparison documentation, the significant fee disparity, and the product's restrictive features demonstrate Chen prioritized compensation over Margaret's retirement security. This constitutes a clear violation of fiduciary duty under the 2024 rule framework.

Key Factor

Chen held himself out as providing personalized fiduciary advice but failed to document or justify why a variable annuity with 40-times higher fees than Margaret's existing low-cost 401(k) options served her conservative retirement income objective.

Item 237 of 499**NON-COMPLIANT**

Topic: suitability_concentrated_position_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) -- customer-specific suitability, reasonable-basis suitability, quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Delacroix, age 78, had been a customer of Coastal Ridge Financial Advisors since 2015. Her registered representative, Thomas Harrington, managed her \$1.2 million retirement portfolio, which represented substantially all of her liquid assets. Mrs. Delacroix's account documentation consistently reflected a conservative risk tolerance, income-focused investment objective, and a 5-year investment time horizon. She was a retired schoolteacher with a monthly pension of \$3,200 and relied on portfolio distributions of approximately \$2,500 monthly to cover living expenses and medical costs.

Between March 2020 and August 2021, Harrington recommended that Mrs. Delacroix concentrate approximately 62% of her portfolio--roughly \$744,000--into three speculative technology growth stocks: Quantum Dynamics Corp., NeuraTech Holdings, and CloudMatrix Systems. None of these companies paid dividends, and all three had price-to-earnings ratios exceeding 85. Harrington documented in his notes that these positions would provide 'generational wealth opportunities' and characterized the recommendations as suitable because 'technology is the future.' He did not document any analysis of how these growth-oriented, non-income-producing securities aligned with Mrs. Delacroix's stated need for current income or her conservative risk profile.

During client meetings, Mrs. Delacroix expressed concern about market volatility and repeatedly asked whether her investments were 'safe enough for someone my age.' Harrington assured her the positions were appropriate and that any short-term losses would recover. By January 2022, the concentrated technology positions had declined by approximately \$485,000, representing a 65% loss in those holdings. Mrs. Delacroix was forced to liquidate positions at substantial losses to meet her living expense needs. She subsequently filed a customer complaint alleging unsuitable recommendations and breach of fiduciary duty, seeking damages of \$485,000 plus consequential damages.

Question

Did Thomas Harrington's recommendation to concentrate 62% of Mrs. Delacroix's retirement portfolio in speculative, non-dividend-paying technology stocks violate FINRA suitability requirements?

Answer

Yes, Harrington's recommendations clearly violated FINRA Rule 2111 (Suitability) across multiple dimensions. Under Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile.

First, regarding customer-specific suitability under Rule 2111(a), Harrington failed to ensure the recommendations aligned with Mrs. Delacroix's documented investment profile. Her conservative risk tolerance, income-focused objective, and 5-year time horizon were fundamentally incompatible with speculative growth stocks that paid no dividends and exhibited extreme volatility. The customer-specific suitability obligation requires the representative to

consider factors including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Here, virtually every relevant factor counseled against the concentration strategy Harrington recommended.

Second, the 62% concentration in a single speculative sector violated quantitative suitability principles. While concentration alone is not per se unsuitable, the degree of concentration here--in high-volatility, non-income-producing securities for an elderly investor dependent on portfolio income--demonstrates a reckless disregard for prudent diversification principles and the customer's specific needs.

Third, Harrington's documentation failures compound the violation. His notes reflect no meaningful analysis connecting the speculative technology recommendations to the customer's conservative, income-dependent profile. The notation that 'technology is the future' reflects no reasonable-basis suitability analysis under Rule 2111.

Harrington's conduct also likely violated FINRA Rule 2010 (Standards of Commercial Honor), as recommending manifestly unsuitable investments to a vulnerable elderly investor constitutes conduct inconsistent with just and equitable principles of trade. The customer's repeated expressions of concern about safety, which Harrington dismissed with unfounded assurances, further evidence his failure to prioritize her interests. An arbitration panel would likely find liability for unsuitable recommendations and award substantial damages.

Key Factor

Recommending a 62% concentration in speculative, non-dividend-paying growth stocks to a 78-year-old conservative investor who depended on portfolio income for living expenses directly contradicted her documented investment profile and violated customer-specific suitability requirements.

Item 238 of 499**NON-COMPLIANT**

Topic: suitability_complex_product_elderly_customer

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Donovan, age 74, was a retired elementary school teacher with a modest fixed income consisting of her teacher's pension (\$2,400/month) and Social Security benefits (\$1,850/month). In March 2019, she visited Pinnacle Investment Advisors, LLC, where registered representative Thomas Hensley reviewed her \$285,000 in savings, which represented her entire liquid net worth accumulated over 42 years of teaching. Mrs. Donovan explicitly stated to Hensley during their initial meeting that her primary investment objectives were capital preservation and generating modest supplemental income, and that she had a conservative risk tolerance due to her age and reliance on these funds for potential medical expenses and long-term care needs.

Hensley recommended that Mrs. Donovan invest \$180,000--approximately 63% of her liquid assets--in a portfolio of leveraged exchange-traded funds (ETFs) tracking the energy and technology sectors, claiming these products would provide 'enhanced returns' to help her keep pace with inflation. He did not explain that leveraged ETFs are designed for short-term trading, reset daily, and can experience significant value decay during volatile markets due to compounding effects. Mrs. Donovan signed the account documents, trusting Hensley's expertise.

Over the following fourteen months, Mrs. Donovan's leveraged ETF holdings experienced substantial volatility. During a market correction in October 2019, her portfolio declined by approximately 47%, resulting in losses exceeding \$84,000. When Mrs. Donovan contacted Hensley expressing concern, he advised her to 'stay the course' and hold the positions. By February 2020, her account value had recovered only partially before declining again during the March 2020 market disruption. Her total losses ultimately reached \$112,000.

Pinnacle Investment Advisors' compliance records showed that Hensley had completed only a basic product training module on leveraged ETFs and that his notes from the account opening did not document any discussion of the daily reset mechanism, the potential for accelerated losses, or why such products would be appropriate for a 74-year-old conservative investor seeking capital preservation.

Question

Did Thomas Hensley's recommendation that Margaret Donovan invest 63% of her liquid assets in leveraged ETFs violate his suitability obligations under FINRA rules?

Answer

Yes, Thomas Hensley violated his suitability obligations under FINRA Rule 2111. The recommendation was unsuitable under all three components of the suitability framework.

First, regarding reasonable-basis suitability under Rule 2111(a), Hensley failed to demonstrate adequate understanding of leveraged ETFs' mechanics before recommending them. These products employ daily rebalancing and are designed for sophisticated short-term traders, not buy-and-hold investors. His advice to 'stay the course' during market volatility

demonstrates fundamental misunderstanding of the product, as holding leveraged ETFs through volatile periods subjects investors to compounding losses from daily reset mechanisms. The minimal product training documented in compliance records further evidences his insufficient diligence.

Second, the recommendation failed customer-specific suitability under Rule 2111(a). Mrs. Donovan's investment profile--74 years old, conservative risk tolerance, capital preservation objective, fixed income with no additional earning capacity, and reliance on these assets for healthcare needs--is directly incompatible with leveraged ETFs. FINRA has repeatedly emphasized that leveraged ETFs are generally unsuitable for retail investors, particularly elderly investors with conservative objectives. The concentration of 63% of her liquid assets in these volatile instruments compounded the unsuitability.

Third, the recommendation violated quantitative suitability principles. Even if some exposure to growth-oriented investments were appropriate, the concentration level was excessive given Mrs. Donovan's stated need for capital preservation and her lack of other liquid resources.

Hensley also violated FINRA Rule 2010's just and equitable principles of trade by failing to adequately explain the daily reset mechanism, compounding effects during volatility, and the products' intended short-term trading purpose. The absence of documentation regarding risk discussions suggests these critical disclosures were never made.

The firm's supervisory systems under FINRA Rule 3110 also appear deficient for permitting such an unsuitable recommendation without heightened review given the customer's age and the complex product involved. The \$112,000 loss--representing 39% of Mrs. Donovan's life savings--was a foreseeable consequence of this fundamentally unsuitable recommendation.

Key Factor

Recommending volatile, daily-resetting leveraged ETFs designed for short-term trading to a 74-year-old conservative investor seeking capital preservation, with inadequate product understanding and excessive concentration.

Item 239 of 499**NON-COMPLIANT**

Topic: complex_product_suitability_senior_investor

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 3110 (Supervision), and 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Midwest Premier Securities, LLC is a full-service broker-dealer headquartered in Kansas City, Missouri, with approximately 85 registered representatives across 30 branch offices. In March 2022, registered representative Daniel Hoffman met with Margaret Thornton, a 72-year-old retired school teacher residing in suburban St. Louis. Mrs. Thornton had recently lost her husband and received \$380,000 from his life insurance policy, which represented the majority of her liquid assets. Her existing portfolio consisted of \$45,000 in a money market account and approximately \$120,000 in a traditional IRA invested in conservative bond funds.

During their initial meeting, Mrs. Thornton completed a new account form indicating her investment objective as 'income with capital preservation,' her risk tolerance as 'conservative,' her investment time horizon as '5-7 years,' and her annual income as approximately \$32,000 from Social Security and a small pension. She explicitly stated she needed reliable income to supplement her fixed retirement sources and could not afford to lose principal. Hoffman noted these details in her customer profile but did not document any discussion of her investment knowledge or experience with complex products.

Over the following four months, Hoffman recommended and executed purchases of \$285,000 in non-traded REITs across three different issuers, representing 52% of Mrs. Thornton's total investable assets. These products carried 7-year lockup periods with no guaranteed liquidity, upfront commissions averaging 7%, and prospectus disclosures warning they were suitable only for investors who could bear total loss of principal. Hoffman earned \$19,950 in commissions on these transactions. The firm's written supervisory procedures required heightened review for illiquid alternative investments sold to customers over age 65, but the branch manager approved the transactions after only a cursory review of the account documentation.

By late 2023, two of the three REIT sponsors had suspended distributions due to declining commercial real estate values, and Mrs. Thornton was unable to access her funds to pay for unexpected medical expenses. She filed a customer complaint in January 2024.

Question

Did Hoffman's recommendation of non-traded REITs to Mrs. Thornton satisfy his suitability obligations under FINRA Rule 2111, and did the firm meet its supervisory responsibilities under FINRA Rule 3110?

Answer

Hoffman's recommendations violated FINRA Rule 2111, and Midwest Premier Securities failed its supervisory obligations under FINRA Rule 3110. The recommendations were unsuitable under all three components of the suitability analysis.

Under FINRA Rule 2111(a), a broker must have a reasonable basis to believe a recommendation is suitable based on reasonable diligence concerning the customer's investment profile. Rule 2111 requires analysis of reasonable-basis

suitability, customer-specific suitability, and quantitative suitability.

Regarding reasonable-basis suitability, non-traded REITs are complex, illiquid products with significant risks including total loss of principal. While Hoffman could theoretically recommend these products to appropriate customers, he failed to document any assessment of Mrs. Thornton's ability to understand these complex instruments, violating his obligation to ensure she could evaluate the risks.

The customer-specific suitability violation is clear and egregious. Mrs. Thornton's documented profile--72 years old, conservative risk tolerance, income-focused objective, 5-7 year time horizon, and explicit need for capital preservation--was fundamentally incompatible with products featuring 7-year lockups, no liquidity guarantees, and risk of total principal loss. Concentrating 52% of her assets in illiquid alternatives directly contradicted her stated need to preserve capital and generate reliable income. FINRA has consistently held that illiquid alternative investments are generally unsuitable for elderly investors with conservative profiles and liquidity needs.

The firm violated FINRA Rule 3110(a) and (b) by failing to maintain a supervisory system reasonably designed to achieve compliance. Although written procedures required heightened review for alternative investments sold to seniors, the branch manager's cursory approval failed to identify the glaring mismatch between the customer profile and product characteristics. This constitutes a failure to enforce written supervisory procedures as required by Rule 3110(b)(1).

The high commission structure (\$19,950) suggests Hoffman prioritized his compensation over Mrs. Thornton's interests, though even absent this factor, the recommendation would fail suitability analysis. Both Hoffman and the firm violated FINRA Rule 2010's requirement to observe high standards of commercial honor. No reasonable defense exists given the documented customer profile directly contradicting the appropriateness of these recommendations.

Key Factor

The concentration of 52% of a 72-year-old conservative investor's assets in illiquid non-traded REITs with 7-year lockups directly contradicted her documented need for capital preservation and income, constituting a clear customer-specific suitability violation.

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NON-COMPLIANT

Topic: leveraged_etf_suitability_retail_investor

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision)

Source: 07_Practitioner_Commentary

Fact Pattern

Greenfield Securities, LLC is a dually registered broker-dealer and investment adviser based in Phoenix, Arizona. In March 2023, registered representative Marcus Holloway met with new client Dorothy Pemberton, a 71-year-old retired school teacher with a modest pension and \$340,000 in savings from her late husband's life insurance proceeds. During the account opening process, Mrs. Pemberton completed a new account form indicating her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her investment time horizon as '5-10 years,' and her annual income as approximately \$42,000 from Social Security and pension combined. She explicitly stated she could not afford to lose principal and needed the funds to supplement her retirement income and potentially cover future healthcare costs.

Holloway recommended that Mrs. Pemberton invest \$85,000 (25% of her liquid net worth) in ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF that seeks daily investment results corresponding to three times the daily performance of the NASDAQ-100 Index. Holloway explained that the fund 'tracks technology companies' and would provide 'enhanced growth potential,' but did not explain the mechanics of daily rebalancing, volatility decay, or that the product was designed for short-term trading by sophisticated investors. He did not document any reasonable basis for believing this recommendation was suitable.

Over the following eight months, the position experienced significant volatility due to the leveraged product's daily reset mechanism. By November 2023, Mrs. Pemberton's TQQQ position had declined to \$51,000, representing a loss of approximately \$34,000 or 40% of her original investment. When she called to express concern, Holloway advised her to 'hold and wait for recovery,' further demonstrating his misunderstanding of how leveraged products perform over extended holding periods. Greenfield's supervisory review system flagged no issues because the firm lacked specific supervisory procedures for leveraged and inverse ETF recommendations to retail customers.

Question

Did Marcus Holloway's recommendation of the 3x leveraged ETF to Dorothy Pemberton satisfy the Care Obligation under Regulation Best Interest and FINRA's suitability requirements?

Answer

Marcus Holloway's recommendation clearly violated both the Care Obligation under Regulation Best Interest and FINRA Rule 2111's suitability requirements. The recommendation failed on multiple analytical levels.

Under Regulation Best Interest's Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)), a broker-dealer must exercise reasonable diligence, care, and skill to have a reasonable basis to believe that the recommendation is in the retail customer's best interest based on that customer's investment profile. Mrs. Pemberton's profile unambiguously indicated conservative risk tolerance, income and capital preservation objectives, and explicit inability to sustain principal losses. A 3x leveraged ETF is categorically inconsistent with these parameters.

FINRA Rule 2111 requires customer-specific suitability analysis. FINRA has issued extensive guidance emphasizing that leveraged and inverse ETFs are complex products designed to achieve their stated objectives on a daily basis only. Due to effects of compounding and volatility decay, performance over longer periods can differ significantly--and often dramatically negatively--from their stated daily objectives. These products are generally unsuitable for retail investors who plan to hold them for more than one trading session, particularly in volatile markets.

Holloway failed the reasonable-basis suitability component by not understanding the fundamental mechanics of the product he recommended. His subsequent advice to 'hold and wait for recovery' demonstrates this deficiency, as holding leveraged ETFs long-term can result in significant losses even if the underlying index eventually returns to its starting point.

The customer-specific suitability failure is equally clear. Allocating 25% of a 71-year-old conservative investor's liquid assets to a highly speculative, short-term trading instrument designed for sophisticated investors directly contradicts her stated objectives and risk tolerance. No reasonable basis exists to conclude this recommendation was in her best interest.

Greenfield Securities' supervisory failures under FINRA Rule 3110 compounded the violation by failing to establish procedures addressing complex product recommendations. The recommendation was unsuitable, and the Care Obligation was manifestly breached.

Key Factor

Recommending a 3x leveraged ETF designed for short-term sophisticated trading to a 71-year-old conservative investor seeking capital preservation demonstrated a fundamental failure of both reasonable-basis and customer-specific suitability.

Item 241 of 499**NON-COMPLIANT**

Topic: unsuitable_concentration_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 67, had been a customer of Pinnacle Securities Group since 2018. Following her husband's death in January 2023, she received \$485,000 in life insurance proceeds and \$220,000 from a 401(k) rollover. Her registered representative, Thomas Wexford (CRD# 5847291), met with her in February 2023 to discuss investment options. Mrs. Ellison completed a new account form indicating her investment objective was 'income with capital preservation,' her risk tolerance was 'conservative,' and her time horizon was '5-10 years' given her planned retirement at age 70. She noted on the form that this represented approximately 85% of her liquid net worth and that she would need to draw approximately \$2,500 monthly from the account to supplement her Social Security income.

During the February meeting, Wexford recommended that Mrs. Ellison invest \$550,000 of her \$705,000 in proceeds into a single high-yield corporate bond fund, the Meridian High Income Fund, which concentrated in CCC-rated and below bonds with an average duration of 7.2 years. The fund had experienced a 23% drawdown during 2022's rate environment and carried an expense ratio of 1.85%. Wexford explained that the fund's 8.4% yield would easily cover her income needs and leave room for growth. He did not discuss the fund's credit risk, interest rate sensitivity, or the concentration risk of placing 78% of her liquid assets in a single investment vehicle.

Mrs. Ellison followed Wexford's recommendation in March 2023. By October 2023, the fund had declined 18% in value due to credit spread widening and rising default rates in the junk bond market, reducing her investment to approximately \$451,000. She filed a FINRA arbitration claim in December 2023, alleging that Wexford's recommendation was unsuitable given her documented conservative risk tolerance, income needs, and the concentration in a single high-risk fixed income product.

Question

Did Thomas Wexford's recommendation to concentrate 78% of Mrs. Ellison's liquid assets in a high-yield bond fund violate FINRA's suitability requirements given her documented investment profile?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) under both the customer-specific and quantitative suitability components. Rule 2111(a) requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and liquidity needs.

Regarding customer-specific suitability under Rule 2111(a), the facts demonstrate multiple violations. First, Mrs. Ellison explicitly documented 'conservative' risk tolerance and 'income with capital preservation' as her objective. High-yield bond funds investing in CCC-rated securities represent speculative-grade credit risk fundamentally inconsistent with capital preservation objectives. The fund's 23% drawdown in the prior year evidenced significant volatility inappropriate for a conservative investor.

Second, concentrating 78% of liquid assets in any single investment vehicle creates undue concentration risk. FINRA has consistently held that excessive concentration, even in otherwise suitable investments, can render a recommendation unsuitable. For a 67-year-old widow dependent on these assets for income, this concentration amplified an already-unsuitable recommendation.

Third, Mrs. Ellison's documented need for \$2,500 monthly withdrawals required a stable income source. High-yield funds with 7.2-year duration face significant principal volatility during rate movements, threatening the corpus from which she needed to draw. The combination of credit risk and duration risk made this recommendation particularly unsuitable for a client with near-term income requirements.

Wexford cannot claim the recommendation had reasonable-basis suitability simply because high-yield bonds generate income. Rule 2111.05(a) makes clear that suitability analysis must consider the customer's entire profile holistically, not merely match a single characteristic (income need) while ignoring contrary factors (conservative risk tolerance, capital preservation objective, age, concentration concerns).

The quantitative suitability component is also implicated: recommending that a client place substantially all liquid assets in a single high-risk product creates a de facto unsuitable strategy regardless of the underlying investment's merits. The arbitration panel would likely find liability under FINRA Rules 2111 and 2010 (Standards of Commercial Honor), with damages measured by the client's losses attributable to the unsuitable recommendation.

Key Factor

Wexford recommended concentrating 78% of a conservative, income-dependent widow's liquid assets in a speculative-grade high-yield bond fund despite her documented capital preservation objective and conservative risk tolerance.

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NON-COMPLIANT

Topic: fiduciary_duty_continuity_failure_client_harm

Difficulty: hard

Standard: NASAA Model Rule on Business Continuity and Succession Planning; Uniform Securities Act Sections 102 (1956) and 502 (2002) fiduciary duty provisions; state investment adviser suitability obligations

Source: 08_State_Fiduciary_Rules

Fact Pattern

Greenfield Wealth Advisors, LLC was a state-registered investment adviser in Colorado with \$45 million in assets under management, operated solely by Marcus Greenfield, age 67. In January 2023, Marcus managed a concentrated equity portfolio for his client, Dorothy Brennan, age 78, a retired school teacher with \$380,000 in investable assets representing her entire retirement savings. Dorothy's investment profile documented a conservative risk tolerance, income generation as her primary objective, and a 5-year time horizon given her age and health considerations. Despite her profile, Marcus had allocated 65% of Dorothy's portfolio to growth technology stocks and emerging market ETFs, reasoning that 'long-term appreciation would benefit her estate planning goals' without documenting any discussion with Dorothy about this aggressive allocation.

On March 15, 2023, Marcus suffered a sudden stroke and was incapacitated. Greenfield Wealth Advisors had no written Business Continuity and Succession Plan, no designated successor, and no arrangements for client communication during emergencies. Dorothy's portfolio remained unmonitored for 47 days while Marcus was hospitalized. During this period, a significant market correction in technology stocks caused Dorothy's portfolio to decline by \$94,000, representing a 24.7% loss. Dorothy, unaware of her adviser's incapacitation and unable to reach anyone at the firm, could not take protective action or liquidate positions.

When Marcus's daughter finally contacted clients in early May 2023, Dorothy discovered her losses. She also learned for the first time that her portfolio had been positioned aggressively contrary to her documented conservative profile. The Colorado Division of Securities initiated an examination and found that Marcus had never established any business continuity procedures despite operating as a sole proprietor for twelve years. Dorothy filed a complaint alleging that the unsuitable allocation, combined with the absence of any continuity planning, constituted a breach of fiduciary duty that directly caused her financial harm.

Question

Did Marcus Greenfield breach his fiduciary duty to Dorothy Brennan by maintaining an unsuitable aggressive portfolio allocation for a conservative client, and did the absence of business continuity planning compound this breach?

Answer

Marcus Greenfield breached his fiduciary duty to Dorothy Brennan on multiple grounds. The analysis must address both the suitability of the investment recommendations and the fiduciary obligations inherent in maintaining operational continuity.

First, regarding investment suitability: Under state investment adviser fiduciary standards and the principles codified in the Uniform Securities Act, an investment adviser owes clients a duty of care requiring that recommendations be suitable for the client's investment profile. Dorothy's documented profile established conservative risk tolerance, income generation objectives, and a limited time horizon appropriate for a 78-year-old retiree dependent on these assets.

Marcus's allocation of 65% to growth technology stocks and emerging market ETFs was fundamentally inconsistent with these documented parameters. His stated rationale regarding 'estate planning goals' appears nowhere in Dorothy's investment policy documentation and represents an impermissible substitution of his own judgment for his client's expressed objectives. This constitutes a clear suitability violation.

Second, the Commentary to the NASAA Model Rule on Business Continuity and Succession Planning explicitly states that 'upholding the obligations of the Model Rule and Guidance are also inherent to an adviser's fiduciary duty.' The Model Rule requires every investment adviser to 'establish, implement, and maintain written procedures relating to a Business Continuity and Succession Plan.' Specifically, the plan must provide for 'assignment of duties to qualified responsible persons in the event of the death or unavailability of key personnel' and 'otherwise minimizing service disruptions and client harm.' Marcus operated as a sole proprietor for twelve years without any succession arrangements, designated contacts, or alternative communication procedures. This absence directly contributed to 47 days of portfolio neglect during which Dorothy could not access advice or take protective action.

The combination of unsuitable positioning and operational abandonment created compounded harm. A properly positioned conservative portfolio would have experienced significantly less volatility during the market correction. The lack of continuity planning prevented any intervention. Marcus's fiduciary duty required both prudent investment selection AND operational arrangements to protect clients during unforeseen circumstances. His failures on both counts constitute clear breaches entitling Dorothy to remediation.

Key Factor

The adviser maintained an aggressive 65% growth allocation for a 78-year-old conservative client while simultaneously operating without any business continuity plan, and both failures combined to cause substantial client harm when the adviser became incapacitated.

Item 243 of 499**NON-COMPLIANT**

Topic: reg_bi_care_obligation_complex_product_recommendation

Difficulty: hard

Standard: Exchange Act Rule 15l-1 (Regulation Best Interest); General Obligation Rule 15l-1(a)(1); Care Obligation Rule 15l-1(a)(2)(ii)(A)-(C); Compliance Obligation Rule 15l-1(a)(2)(iv); FINRA Rule 2111 (Suitability)

Source: 16_Congressional_Materials

Fact Pattern

Marianne Delgado, age 67, retired from her position as a school librarian in March 2023 with a modest pension of \$2,400 per month and accumulated savings of \$285,000 in a traditional IRA rolled over from her employer's 403(b) plan. In April 2023, she visited Paramount Securities LLC, a dual-registered broker-dealer in Phoenix, Arizona, seeking guidance on how to generate supplemental income while preserving capital for potential healthcare expenses. During her initial meeting, Mrs. Delgado completed a new account form indicating she had a conservative risk tolerance, limited investment knowledge (having held only target-date funds previously), a 5-7 year investment horizon, and identified her primary objectives as capital preservation and income generation.

Brandon Whitfield, a registered representative at Paramount Securities, reviewed Mrs. Delgado's profile and recommended she invest \$215,000--approximately 75% of her retirement assets--into the Apex Strategic Yield Fund, a non-traded business development company (BDC) that invested in subordinated debt of middle-market companies. The BDC offered a stated 9.2% annual distribution rate but carried significant liquidity restrictions, including a minimum seven-year holding period with early redemption penalties of 10% during years one through three. The offering documents disclosed leverage ratios of up to 2:1 and concentration in speculative-grade credits.

Whitfield's recommendation was documented in a brief email stating the BDC would 'meet her income needs better than bonds or CDs' and noting the attractive yield compared to money market rates of approximately 4.5% at the time. He did not document any analysis of alternative income-producing investments, did not discuss the liquidity constraints relative to Mrs. Delgado's potential healthcare needs, and did not explain how the concentration of 75% in a single illiquid, leveraged product aligned with her stated conservative risk tolerance. Paramount Securities' commission on the BDC investment was 7%, totaling \$15,050, compared to approximately \$300 that would have been earned on a comparable investment in investment-grade bond funds.

By September 2024, Mrs. Delgado needed to access \$45,000 for unexpected medical procedures. She discovered she could not redeem her BDC shares without incurring a \$21,500 early redemption penalty, and the fund had suspended its distribution payments due to credit deterioration in its portfolio.

Question

Did Brandon Whitfield and Paramount Securities LLC satisfy their Care Obligation under Regulation Best Interest when recommending the non-traded BDC to Mrs. Delgado?

Answer

No, Brandon Whitfield and Paramount Securities LLC violated the Care Obligation under Regulation Best Interest. The Care Obligation, codified in Exchange Act Rule 15l-1(a)(2)(ii), requires that a broker-dealer exercise reasonable diligence, care, and skill to: (A) understand the potential risks, rewards, and costs of the recommendation; (B) have a reasonable basis to believe the recommendation is in the best interest of the retail customer based on that customer's

investment profile; and (C) have a reasonable basis to believe that a series of recommended transactions is not excessive.

First, regarding the customer-specific component under prong (B), Mrs. Delgado's documented investment profile--conservative risk tolerance, limited investment experience, capital preservation objective, and 5-7 year horizon with potential healthcare liquidity needs--was fundamentally incompatible with a non-traded BDC featuring seven-year lockup provisions, 2:1 leverage, concentration in speculative-grade credits, and severe early redemption penalties. Concentrating 75% of a conservative retiree's assets in a single illiquid, high-risk product cannot reasonably be deemed in her best interest.

Second, Whitfield failed to conduct the required reasonable-basis analysis under prong (A). The documentation consisted solely of a conclusory email comparing yields without analyzing the product's risks, costs, or liquidity constraints relative to Mrs. Delgado's specific circumstances. The SEC's Reg BI adopting release emphasized that broker-dealers must consider reasonably available alternatives; Whitfield's failure to document consideration of investment-grade bonds, dividend-paying equities, or other income-producing vehicles with superior liquidity profiles demonstrates inadequate diligence.

Third, the significant compensation differential--\$15,050 versus \$300--creates an inference that the recommendation prioritized the broker-dealer's financial interest over the customer's best interest, directly contravening the General Obligation under Rule 15l-1(a)(1) to not place the broker-dealer's interest ahead of the retail customer's interest.

The outcome--Mrs. Delgado's inability to access funds for medical needs without devastating penalties--directly resulted from the mismatch between the recommendation and her stated profile. Paramount Securities' compliance framework failed to prevent this unsuitable recommendation, indicating systemic deficiencies in its Compliance Obligation under Rule 15l-1(a)(2)(iv). The Care Obligation was clearly breached.

Key Factor

Concentrating 75% of a conservative, liquidity-dependent retiree's assets in an illiquid, leveraged, seven-year lockup product without documented analysis of alternatives or consideration of her healthcare liquidity needs fundamentally violated the customer-specific Care Obligation.

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NON-COMPLIANT

Topic: suitability_ipo_allocation_to_retail_customer

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111.05 (Customer-Specific Suitability), FINRA Rule 3110(a) (Supervision), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Margaret Holloway, age 67, was a retired school administrator who opened a brokerage account with Kensington Securities Group in March 2021. Her account application indicated annual income of \$52,000 from pension and Social Security, liquid net worth of \$185,000, investment objective of 'income and preservation of capital,' risk tolerance of 'conservative,' and a 5-year investment time horizon. Her account held primarily municipal bonds and dividend-paying blue-chip equities.

In August 2021, registered representative David Thornton contacted Mrs. Holloway about an opportunity to participate in an upcoming IPO for BioGenix Therapeutics, Inc., a pre-revenue biotechnology company developing experimental gene therapies. The offering price was \$18 per share, and Thornton recommended Mrs. Holloway purchase 2,500 shares (\$45,000), representing approximately 24% of her liquid net worth. Thornton told Mrs. Holloway that IPOs were 'once-in-a-lifetime opportunities' and that BioGenix had 'tremendous upside potential.'

Thornton's notes from the conversation indicated that Mrs. Holloway expressed concern about the investment size and asked whether the company paid dividends. Thornton noted he explained the company did not currently pay dividends but 'might in the future.' Despite these documented concerns, Thornton proceeded with the allocation after Mrs. Holloway reluctantly agreed. Within six months, BioGenix shares had declined 73% to \$4.86 per share, resulting in losses of approximately \$32,850 for Mrs. Holloway.

Kensington Securities' supervisory review of the transaction consisted of an automated suitability check that flagged the trade as potentially unsuitable due to concentration, but the supervising principal approved it after Thornton submitted a brief email stating 'customer understands and accepts risk.' No follow-up conversation with the customer occurred, and the principal did not review Thornton's call notes documenting Mrs. Holloway's concerns.

Question

Did Kensington Securities and David Thornton violate their suitability obligations under FINRA Rules when recommending the BioGenix IPO allocation to Mrs. Holloway?

Answer

Yes, both the firm and representative violated FINRA Rules 2111 and 2010. The recommendation of BioGenix Therapeutics shares to Mrs. Holloway failed to satisfy the customer-specific suitability obligation under FINRA Rule 2111(a) and 2111.05.

FINRA Rule 2111(a) requires that a member or associated person have a reasonable basis to believe a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, and time horizon. Rule 2111.05 specifically addresses customer-specific suitability, requiring the recommendation to be suitable 'for the particular customer.'

The facts demonstrate multiple suitability failures. First, Mrs. Holloway's stated investment objective was 'income and preservation of capital,' yet BioGenix was a pre-revenue biotechnology company that paid no dividends and offered only speculative growth potential. Second, her conservative risk tolerance was fundamentally incompatible with IPO investments in speculative life sciences companies, which FINRA has consistently recognized as high-risk securities. Third, the 24% concentration of her liquid net worth in a single speculative security was excessive for any investor with her profile, particularly a 67-year-old retiree dependent on fixed income.

Thornton's documented awareness of Mrs. Holloway's concerns--specifically her questions about dividends and expressed hesitation about the investment size--demonstrates he proceeded despite knowing the recommendation conflicted with her needs. This constitutes an aggravating factor under FINRA suitability guidance.

The firm's supervisory failures compound the violation. Under FINRA Rule 3110(a), member firms must establish a supervisory system reasonably designed to achieve compliance with applicable securities rules. The supervising principal's reliance on Thornton's cursory email without reviewing the documented customer concerns or conducting independent verification reflects inadequate supervision. The automated flag was appropriately triggered but was improperly overridden without substantive review.

The post-hoc market decline, while not dispositive of suitability, confirms the inherent risks that made this recommendation unsuitable at inception. The recommendation violated FINRA Rules 2111 and 2010.

Key Factor

The representative recommended a speculative, non-dividend-paying IPO representing 24% of liquid net worth to a conservative, income-oriented retiree despite documented customer concerns about the investment's appropriateness.

Item 245 of 499

NON-COMPLIANT

Topic: suitability_alternative_investments_concentration

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) -- reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, was a retired schoolteacher residing in Provo, Utah, with a total liquid net worth of approximately \$620,000, consisting primarily of her 403(b) retirement rollover. Her stated investment objectives on her new account form, completed in March 2019, indicated 'income with capital preservation' and a 'moderate' risk tolerance. She explicitly noted on supplemental documentation that she needed the portfolio to generate approximately \$2,400 monthly to supplement her pension and Social Security income.

Her financial adviser at Ridgeline Wealth Partners, Derek Mullins, recommended a concentrated allocation strategy beginning in April 2019. Over the following fourteen months, Mullins directed approximately \$285,000 (46% of her portfolio) into three illiquid alternative investment products: the Clearwater Private Credit Fund LP, the Horizon Energy Infrastructure Partners II Fund, and the Pinnacle Mezzanine Opportunities Fund. Each product carried minimum holding periods of five to seven years, limited redemption windows, and substantial early withdrawal penalties ranging from 5% to 12%.

Mullins justified these recommendations in contemporaneous notes by citing the products' stated distribution yields of 7-9%, arguing they would meet Mrs. Thornton's income needs. However, he failed to document any analysis of concentration risk, liquidity constraints relative to her age and income dependency, or the speculative nature of the underlying investments in energy and distressed credit. The firm's product due diligence materials classified each fund as suitable only for investors with 'aggressive' or 'speculative' risk profiles and investment horizons exceeding ten years.

By October 2020, the Horizon Energy fund suspended distributions entirely due to oil market volatility, and the Clearwater fund reduced its quarterly distribution by 60%. Mrs. Thornton found herself unable to access the capital without incurring substantial penalties and facing a significant income shortfall. She filed a FINRA arbitration claim in January 2021 alleging unsuitability, breach of fiduciary duty, and violations of FINRA rules, seeking \$180,000 in compensatory damages.

Question

Did Derek Mullins violate FINRA suitability obligations by recommending the concentrated allocation to illiquid alternative investment products given Mrs. Thornton's documented customer profile?

Answer

Derek Mullins violated FINRA Rule 2111 (Suitability) across multiple dimensions. Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon.

First, regarding reasonable-basis suitability under Rule 2111(a), Mullins failed to perform adequate due diligence on the recommended products relative to his customer base. The firm's own materials classified these funds as appropriate only for aggressive/speculative investors with ten-plus year horizons--directly contradicting Mrs. Thornton's moderate risk tolerance and income-dependent status.

Second, under customer-specific suitability, the recommendations were fundamentally mismatched to Mrs. Thornton's profile. At age 67, dependent on portfolio income to meet monthly living expenses, she required liquidity and stable income generation. Concentrating 46% of her liquid assets in products with five-to-seven year lockups and early redemption penalties of 5-12% created unacceptable illiquidity risk. FINRA has consistently emphasized that concentration in illiquid products raises heightened suitability concerns for elderly, income-dependent investors.

Third, under quantitative suitability, while this element typically addresses excessive trading, the magnitude of concentration--nearly half her portfolio--in unsuitable products demonstrates a pattern of recommendations that were excessive relative to her profile when considered in totality.

Mullins' purported justification--the funds' stated distribution yields--does not constitute adequate suitability analysis. Distribution yields on alternative products are not guaranteed, as evidenced by the subsequent suspension and reduction. A reasonable adviser would have documented analysis of downside scenarios, concentration limits, and liquidity risk assessment, none of which appeared in Mullins' notes.

Ridgeline Wealth Partners may face additional liability under FINRA Rule 3110 for supervisory failures if its review systems failed to flag the concentration and product-profile mismatch. The recommendation violated FINRA Rule 2010's just and equitable principles of trade.

Verdict: The suitability violation is established. Mrs. Thornton's claim has substantial merit for compensatory damages reflecting losses and liquidity harm.

Key Factor

Mullins concentrated 46% of a 67-year-old income-dependent retiree's portfolio in illiquid alternative investments classified by the firm as suitable only for aggressive investors with ten-plus year horizons, directly contradicting her documented moderate risk tolerance and liquidity needs.

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NON-COMPLIANT

Topic: suitability_elderly_customer_concentrated_position

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111.03 (Hold Recommendations), FINRA Rule 2111.04 (Customer-Stated Objectives), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Elaine Thornton, age 78, was a widow who opened an account with Pacific Coast Securities LLC in Seattle, Washington in March 2019. Her late husband had been a Boeing engineer, and she inherited approximately \$1.2 million in Boeing stock upon his death in January 2019, representing virtually her entire net worth. Mrs. Thornton completed a new account form indicating she had a conservative risk tolerance, an investment objective of capital preservation with income generation, a 5-year investment time horizon, and limited investment experience beyond the Boeing shares she had held jointly with her husband. She explicitly noted on supplemental forms that she relied on Social Security and a small pension totaling \$2,400 monthly for living expenses and wanted to protect her principal.

Her assigned financial adviser, Kevin Blanchard, a registered representative with Pacific Coast Securities, met with Mrs. Thornton in April 2019. Rather than recommending diversification of her concentrated Boeing position, Blanchard advised her to maintain the entire Boeing holding, citing the company's strong dividend history and his belief that the stock would appreciate significantly following resolution of the 737 MAX issues. Blanchard documented in his notes that he discussed diversification but that Mrs. Thornton was 'emotionally attached' to the Boeing shares because of her late husband's career there. However, no written acknowledgment of the concentrated position risks was obtained from the client.

By March 2020, amid the COVID-19 pandemic and continued 737 MAX problems, Boeing's stock price had declined from approximately \$375 per share to under \$100 per share. Mrs. Thornton's account value dropped from \$1.2 million to approximately \$315,000. She filed a FINRA arbitration claim in August 2020, alleging that Blanchard and Pacific Coast Securities failed to provide suitable advice by allowing her to maintain a dangerously concentrated position inappropriate for her age, risk tolerance, and stated investment objectives. The respondents argued that Mrs. Thornton refused diversification recommendations and that maintaining the position was her autonomous decision.

Question

Did Kevin Blanchard and Pacific Coast Securities violate their suitability obligations under FINRA Rule 2111 by recommending that Mrs. Thornton maintain her concentrated Boeing position given her customer profile?

Answer

The conduct described constitutes a violation of FINRA Rule 2111 (Suitability). Under Rule 2111(a), a member or associated person must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on reasonable diligence regarding the customer's investment profile. The rule applies not only to purchase recommendations but also to recommendations to hold securities under FINRA Rule 2111.03.

Three components of suitability are implicated here. First, customer-specific suitability under Rule 2111(a) requires that the recommendation be suitable for the particular customer based on factors including age, financial situation,

investment objectives, risk tolerance, and time horizon. Mrs. Thornton was 78 years old with a conservative risk tolerance, capital preservation objective, 5-year time horizon, limited investment experience, and dependence on the assets for potential future needs. A concentrated position representing 100% of net worth in a single equity security is fundamentally incompatible with this profile.

Second, quantitative suitability is relevant given the concentration level. While typically applied to excessive trading, the principle extends to recommendations resulting in unsuitable portfolio composition. A 100% concentration in a single stock for a conservative elderly investor fails any reasonable quantitative test.

The respondents' defense that Mrs. Thornton was 'emotionally attached' to the shares does not excuse the suitability violation. Under FINRA Rule 2111.04, a firm cannot rely on customer statements that indicate investment objectives inconsistent with the recommended strategy. A customer's emotional preference for a concentrated position does not transform an unsuitable recommendation into a suitable one. Blanchard had an affirmative obligation to recommend diversification and, if refused, to document the refusal thoroughly and consider whether the account relationship should continue.

Furthermore, Pacific Coast Securities' supervisory obligations under FINRA Rule 3110 were implicated by the failure to identify and address a 100% concentration in a single security for an elderly, conservative customer. The lack of written acknowledgment of concentration risks suggests inadequate supervisory review. The recommendation to maintain the concentrated Boeing position violated FINRA Rules 2111 and 2010 (Standards of Commercial Honor).

Key Factor

Recommending that a 78-year-old conservative investor with capital preservation objectives maintain a 100% concentrated position in a single volatile equity violated customer-specific suitability requirements regardless of the customer's emotional attachment to the security.

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NON-COMPLIANT

Topic: suitability_of_concentrated_position_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2100 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, was a retired school teacher living in Cambridge, Massachusetts, with a fixed income consisting of her state pension of \$48,000 annually and Social Security benefits of \$22,000 per year. In March 2019, she inherited \$385,000 from her late husband's estate, representing her entire liquid net worth. Mrs. Holloway opened an account with Beacon Harbor Securities, LLC, and was assigned to registered representative Daniel Mercer. During her initial meeting, Mrs. Holloway completed a new account form indicating her investment objective as 'income with capital preservation,' her risk tolerance as 'conservative,' her investment time horizon as '5-10 years,' and her liquidity needs as 'moderate' given potential healthcare expenses.

Mr. Mercer reviewed Mrs. Holloway's profile and recommended that she invest \$290,000--approximately 75% of her liquid assets--into a single technology sector exchange-traded fund focused on semiconductor companies. He explained that the sector had experienced significant growth and would provide strong returns for her retirement years. Mrs. Holloway expressed concern about putting so much into one investment, but Mr. Mercer assured her that ETFs were 'diversified by nature' and represented a safer alternative to individual stocks. He did not discuss the concentrated sector exposure, the historical volatility of semiconductor stocks, or alternative income-producing investments such as dividend-focused funds or fixed income securities.

By February 2020, the semiconductor ETF had declined approximately 28% in value, reducing Mrs. Holloway's position to roughly \$209,000 before the broader market correction that month caused further losses. Mrs. Holloway filed a customer complaint alleging that the recommendation was unsuitable given her age, conservative risk tolerance, income-focused objectives, and the concentrated nature of the position. Beacon Harbor Securities settled the matter for \$95,000 without admitting liability. Mr. Mercer contributed \$15,000 personally to the settlement amount.

Question

Did Mr. Mercer's recommendation to invest 75% of Mrs. Holloway's liquid assets in a concentrated semiconductor sector ETF satisfy his suitability obligations under applicable FINRA rules?

Answer

The recommendation failed to satisfy FINRA Rule 2111 suitability requirements on multiple grounds. Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

First, regarding customer-specific suitability under Rule 2111(a), Mr. Mercer's recommendation directly contradicted Mrs. Holloway's documented profile. A 67-year-old retiree with fixed income, conservative risk tolerance, and stated objectives of 'income with capital preservation' should not have been directed into a volatile, growth-oriented sector concentration. Semiconductor ETFs, while providing some diversification across individual holdings, concentrate risk within a single cyclical industry known for significant price swings--incompatible with capital preservation objectives.

Second, the 75% concentration violated reasonable-basis suitability. Even if semiconductor investments might be appropriate for some portion of a diversified portfolio, no reasonable basis exists for recommending that a conservative retiree place three-quarters of her liquid wealth in a single sector. FINRA has consistently emphasized that concentration risk must be evaluated against customer profiles, and excessive concentration in volatile sectors is presumptively unsuitable for conservative, income-focused investors.

Third, Mr. Mercer's assurances that ETFs are 'diversified by nature' were misleading and failed to address the actual sector concentration risk. This representation obscured material information about the investment's risk characteristics, compounding the suitability violation with potential Rule 2010 (standards of commercial honor) concerns.

Mr. Mercer's personal contribution to the settlement further suggests acknowledgment of culpability. The defense that ETFs represent inherently conservative investments fails because the relevant inquiry is the specific ETF's characteristics relative to the customer's profile. The recommendation was unsuitable, and Mr. Mercer breached his duty of care under Rule 2111.

Key Factor

Recommending a 75% portfolio concentration in a volatile sector ETF to a 67-year-old conservative, income-focused retiree directly contradicted her documented investment objectives and risk tolerance.

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NON-COMPLIANT

Topic: mifid_ii_suitability_non_independent_advice

Difficulty: hard

Standard: MiFID II Article 25(2); MiFID II Delegated Regulation Articles 54-55 (suitability assessment requirements); ESMA Guidelines on certain aspects of the MiFID II suitability requirements

Source: 23_International_Comparative

Fact Pattern

Margarethe Hoffmann, age 71, a retired schoolteacher residing in Luxembourg, contacted Deutsche Vermogen Beratung S.A. in March 2023 seeking conservative investment advice for her €340,000 inheritance from her late husband. During the client onboarding process, Ms. Hoffmann completed a suitability questionnaire indicating she had limited investment experience (having only held savings accounts and government bonds), a low risk tolerance, an investment horizon of 3-5 years, and a primary objective of capital preservation with modest income generation to supplement her €2,100 monthly pension. She explicitly noted on the intake form that she 'cannot afford to lose this money as it represents my entire financial security.'

Her assigned adviser, Klaus Brenner, provided non-independent investment advice as disclosed in the firm's MiFID II client documentation. Between April and June 2023, Brenner recommended Ms. Hoffmann invest €280,000 (82% of her portfolio) in a basket of structured products linked to emerging market equities and commodities, including €120,000 in an autocallable note tied to the MSCI Emerging Markets Index with a 40% capital-at-risk barrier, €90,000 in a reverse convertible linked to a single Brazilian mining company, and €70,000 in leveraged commodity certificates. These products carried substantial complexity ratings under the firm's internal product governance framework and were classified as appropriate only for clients with 'extensive experience' and 'high risk tolerance.'

Brenner documented in his suitability report that these recommendations were appropriate because 'the client seeks income and these products offer enhanced yield potential.' He failed to document any analysis of how the recommended products aligned with Ms. Hoffmann's stated low risk tolerance, limited experience, or capital preservation objective. By December 2023, the emerging market downturn had caused Ms. Hoffmann's portfolio to decline by €94,000, representing a 34% loss on the structured products allocation. The firm's compliance review revealed that Brenner had received enhanced inducements from the product issuers for placing these specific structured notes.

Question

Did Klaus Brenner's investment recommendations to Ms. Hoffmann satisfy the MiFID II suitability requirements for non-independent investment advice?

Answer

The recommendations clearly violated MiFID II suitability requirements under Article 25(2) and the associated delegated regulations. The analysis demonstrates multiple failures in the adviser's duty of care.

Under MiFID II Article 25(2), investment firms providing advice must obtain necessary information regarding the client's knowledge and experience, financial situation including ability to bear losses, and investment objectives including risk tolerance. The firm must then ensure that any recommendation is suitable based on this collected information. The delegated regulation further specifies that suitability assessments must consider whether the client has the necessary

experience and knowledge to understand the risks, whether the transaction is consistent with the client's investment objectives, and whether the client can financially bear any related investment risks consistent with their objectives.

Brenner's conduct failed each suitability element. First, regarding knowledge and experience: Ms. Hoffmann's questionnaire explicitly indicated limited investment experience confined to savings accounts and government bonds. The structured products recommended--autocallables, reverse convertibles, and leveraged certificates--are complex instruments requiring extensive derivative knowledge. The firm's own product governance classified these as suitable only for clients with 'extensive experience,' directly contradicting Ms. Hoffmann's documented profile.

Second, regarding investment objectives and risk tolerance: Ms. Hoffmann stated her primary objective was capital preservation with a low risk tolerance. She explicitly documented she could not afford losses. Recommending products with 40% capital-at-risk barriers and single-stock reverse convertibles fundamentally contradicts these stated objectives. Brenner's documentation claiming alignment based solely on 'enhanced yield potential' represents a material failure to assess suitability comprehensively.

Third, regarding financial situation and loss-bearing capacity: The ?340,000 represented Ms. Hoffmann's entire financial security beyond her modest pension. Allocating 82% to high-risk structured products exposed her to losses she expressly stated she could not bear.

The fact that non-independent advice was disclosed does not diminish suitability obligations--it merely permits the adviser to focus on certain product ranges. Enhanced inducements from product issuers, while a separate conflict-of-interest concern, provide context for the adviser's motivation to recommend unsuitable products. This constitutes a clear suitability breach under MiFID II Article 25(2).

Key Factor

The adviser recommended complex, high-risk structured products to a client whose documented profile explicitly indicated low risk tolerance, limited experience, and inability to bear capital losses.

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NON-COMPLIANT

Topic: variable_annuity_suitability_elderly_customer

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

In March 2015, registered representative Daniel Hoffmann of Keystone Ridge Financial Services recommended that his client, Margaret Thornton, age 74, invest \$285,000--representing approximately 65% of her liquid net worth--into an EQUI-VEST Series 200 variable annuity issued by AXA Equitable Life Insurance Company. Mrs. Thornton was a retired schoolteacher with a fixed pension of \$2,800 per month and Social Security benefits of \$1,400 per month. Her investment objective, as documented on her new account form, was 'income with capital preservation,' and her risk tolerance was marked as 'conservative.' She had no prior experience with variable annuities or securities investments, having kept her savings in certificates of deposit and a money market account at her local bank.

Hoffmann allocated 70% of the variable annuity investment to small-cap and mid-cap equity portfolios and 20% to an emerging markets portfolio, with only 10% directed to the EQ/Money Market portfolio. The annuity contract carried a 6% maximum withdrawal charge applicable for the first seven years, an annual administrative charge of \$35, and mortality and expense charges of 1.25% annually. Hoffmann explained that the annuity would provide 'growth potential for retirement income' but did not adequately discuss the surrender charge period, the volatility risks associated with the aggressive sub-account allocations, or the fact that Mrs. Thornton was already retired and might need access to her funds for healthcare expenses.

Mrs. Thornton's husband had passed away eight months prior, and she expressed concern about having enough money to cover potential long-term care needs. Hoffmann's notes indicated that the client 'understood the product' but contained no documentation of any discussion regarding liquidity constraints, the appropriateness of a seven-year surrender period for a 74-year-old investor, or alternative investment options that might better suit her income and preservation objectives. Keystone Ridge's supervisory review consisted only of a brief checklist confirming the paperwork was complete, with no substantive analysis of whether the recommendation was suitable given Mrs. Thornton's documented profile and circumstances.

Question

Did Daniel Hoffmann's recommendation of the EQUI-VEST Series 200 variable annuity with aggressive sub-account allocations violate his suitability obligations under FINRA rules?

Answer

Yes, Daniel Hoffmann's recommendation violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor). The recommendation failed both the customer-specific and reasonable-basis suitability components of Rule 2111.

Under FINRA Rule 2111(a), a member or associated person must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs,

and risk tolerance.

Hoffmann's recommendation was unsuitable on multiple grounds. First, Mrs. Thornton's age (74) and documented liquidity needs created a fundamental mismatch with a product carrying a seven-year surrender charge period. The 6% maximum withdrawal charge would substantially penalize any withdrawals needed for healthcare or living expenses during this period--a foreseeable need given her expressed concerns about long-term care costs and her husband's recent death.

Second, the aggressive sub-account allocation--90% in small-cap, mid-cap, and emerging markets portfolios--directly contradicted her documented conservative risk tolerance and capital preservation objective. The product disclosure materials explicitly warn that investments in small/mid-cap companies 'may involve greater risks' and that foreign securities, including emerging markets, 'may be less liquid, more volatile and subject to less government supervision.' These heightened risks were wholly inappropriate for a conservative investor seeking income and preservation.

Third, Mrs. Thornton lacked any securities investment experience, making her particularly vulnerable to complex products like variable annuities where principal fluctuates based on sub-account performance.

Additionally, Keystone Ridge violated FINRA Rule 3110 (Supervision) by failing to conduct meaningful supervisory review. A checklist confirming paperwork completion does not satisfy the firm's obligation to establish and maintain a supervisory system reasonably designed to achieve compliance with suitability requirements. The supervisor should have identified the obvious red flags: an elderly, inexperienced, conservative investor with liquidity concerns placed in an illiquid, aggressively-allocated variable annuity.

Hoffmann's cursory documentation that the client 'understood the product' does not cure suitability deficiencies, as understanding alone does not render an unsuitable recommendation suitable.

Key Factor

Recommending a variable annuity with a seven-year surrender period and 90% aggressive equity allocation to a 74-year-old conservative investor with documented liquidity concerns and no securities experience constituted a clear suitability violation.

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NON-COMPLIANT

Topic: non_traded_reit_suitability_elderly_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 74, was a retired schoolteacher living in Sarasota, Florida, with a fixed income consisting of Social Security benefits (\$1,850/month) and a small pension (\$1,200/month). In March 2015, she met with registered representative David Thornton of Coastal Securities Partners, LLC to discuss investment options for her \$180,000 in savings, which represented substantially all of her liquid net worth. Mrs. Ellison expressly stated during her account opening meeting that she needed income to supplement her retirement, had a conservative risk tolerance, and could not afford to lose principal because these funds would be needed for potential healthcare expenses and living costs.

Despite documenting Mrs. Ellison's conservative profile, Thornton recommended she invest \$45,000 in Pinnacle Credit Property Trust III, a non-traded REIT focused on commercial real estate acquisitions, and an additional \$38,000 in Heritage Capital REIT II, another non-traded REIT specializing in hospitality properties. Thornton emphasized the attractive 7% distribution rates but minimized discussion of the products' 10-year holding periods, substantial illiquidity, high front-end commissions (approximately 15% combined load), and the speculative nature of non-traded REITs. The account documentation noted Mrs. Ellison's investment objective as 'growth and income' rather than the 'income with capital preservation' she had verbally requested.

By October 2016, both REITs had suspended distributions due to declining property values, and the estimated share values had dropped to approximately 60% of the original purchase price. Mrs. Ellison, now 75, faced an urgent need for liquidity when her husband required assisted living placement, but she discovered she could not access her REIT investments without accepting severe redemption penalties. She filed a FINRA arbitration claim against Coastal Securities Partners, LLC alleging unsuitability, negligence, breach of fiduciary duty, and failure to supervise.

Question

Did Thornton's recommendation of non-traded REITs to Mrs. Ellison violate FINRA's suitability requirements, and should Coastal Securities Partners be held liable for the resulting losses?

Answer

The arbitration panel should find that Thornton violated FINRA Rule 2111 (Suitability) and that Coastal Securities Partners bears liability for negligence, unsuitability, and breach of fiduciary duty, consistent with the outcome in similar cases involving non-traded REITs sold to elderly, conservative investors.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. The rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Thornton's recommendations failed customer-specific suitability on multiple grounds. First, Mrs. Ellison was 74 years

old with a conservative risk profile and expressly stated she could not afford to lose principal. Non-traded REITs are inherently speculative, illiquid investments unsuitable for investors who may need access to funds for healthcare or living expenses. Second, the 10-year holding periods were incompatible with Mrs. Ellison's age and potential liquidity needs. Third, the \$83,000 combined investment represented approximately 46% of her liquid net worth--an excessive concentration in illiquid, speculative products for any conservative investor, particularly one dependent on fixed income.

The documentation discrepancy--recording 'growth and income' rather than Mrs. Ellison's stated 'income with capital preservation' objective--suggests either negligent record-keeping or intentional mischaracterization to justify unsuitable recommendations. Under FINRA Rule 2010, members must observe high standards of commercial honor and just and equitable principles of trade.

Coastal Securities Partners also bears supervisory liability under FINRA Rule 3110 for failing to establish reasonable supervisory procedures to detect the sale of complex, illiquid products to elderly investors with conservative profiles and substantial concentration risk.

The defense that Mrs. Ellison signed account documents reflecting different objectives is unavailing; FINRA precedent establishes that brokers cannot rely on paperwork that contradicts a customer's actual stated circumstances. Compensatory damages should include the difference between the amount invested and current value, plus prejudgment interest.

Key Factor

The recommendation of illiquid non-traded REITs with 10-year holding periods to a 74-year-old conservative investor with potential near-term liquidity needs violated customer-specific suitability requirements.

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NON-COMPLIANT

Topic: suitability_complex_products_elderly_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Complex Products); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 74, had been a long-time client of Coastal Ridge Financial Services, LLC, maintaining a conservative portfolio of municipal bonds and dividend-paying blue-chip stocks totaling approximately \$485,000. Mrs. Thornton was a retired schoolteacher living on a fixed income of \$3,200 monthly from Social Security and a modest pension. Her investment objective, documented on her new account form dated January 2019, was 'capital preservation and income generation,' with a risk tolerance marked as 'conservative.' Her time horizon was listed as '5-7 years' and she indicated she had 'limited' investment knowledge.

In March 2021, her newly assigned representative, Marcus Hendricks, began recommending a series of leveraged and inverse exchange-traded products. Specifically, Hendricks recommended Mrs. Thornton invest \$125,000 in a 3x leveraged oil and gas sector ETN, and an additional \$85,000 in a 2x inverse S&P 500 ETF. Hendricks told Mrs. Thornton these products would 'protect her portfolio during market volatility' and 'enhance her returns significantly.' He did not explain the daily reset mechanism, the risks of decay in leveraged products held beyond a single trading day, or the substantial possibility of total loss.

Mrs. Thornton held these positions for approximately nine months. During this period, the leveraged oil ETN lost 67% of its value due to contango effects and volatility decay, while the inverse ETF lost 43% as the market trended upward. Her total losses exceeded \$127,000. A review of Hendricks' notes revealed no documentation that he had explained the products' mechanics, assessed whether Mrs. Thornton understood the risks, or analyzed whether these speculative instruments were appropriate given her documented conservative profile and limited investment knowledge.

Question

Did Marcus Hendricks violate his suitability obligations under FINRA Rule 2111 when he recommended leveraged and inverse ETFs to Margaret Thornton?

Answer

Yes, Marcus Hendricks violated FINRA Rule 2111 (Suitability) through failures at all three component obligations: reasonable-basis, customer-specific, and quantitative suitability.

Under FINRA Rule 2111(a), a member or associated person must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence. Rule 2111.05(a) specifically addresses complex products and emphasizes that representatives must understand the risks and features before recommending them.

First, regarding reasonable-basis suitability, Hendricks failed to demonstrate adequate understanding of leveraged and inverse ETFs. These products are designed for sophisticated short-term traders and carry well-documented risks including daily reset mechanisms that cause value decay over time, making them unsuitable for buy-and-hold investors.

The absence of any documentation showing Hendricks understood these mechanics suggests he lacked the foundational knowledge required to recommend them.

Second, customer-specific suitability under Rule 2111(a) was clearly violated. Mrs. Thornton's documented profile--a 74-year-old conservative investor with limited knowledge, fixed income dependency, capital preservation objectives, and a 5-7 year time horizon--was fundamentally incompatible with speculative leveraged products designed for daily trading. Concentrating over 43% of her portfolio (\$210,000 of \$485,000) in these instruments directly contradicted her stated objectives and risk tolerance.

Third, regarding the care obligation, Hendricks' misrepresentation that these products would 'protect her portfolio' when they are inherently speculative and prone to decay demonstrates either a fundamental misunderstanding or intentional mischaracterization. FINRA Rule 2010 (Standards of Commercial Honor) is also implicated by this misleading characterization.

The lack of documentation regarding product explanation and customer comprehension further evidences the failure to exercise reasonable diligence. FINRA has repeatedly emphasized through guidance that leveraged and inverse products require enhanced suitability analysis and are generally unsuitable for retail investors with conservative profiles and long holding periods. The \$127,000 loss--approximately 26% of Mrs. Thornton's total assets--represents the foreseeable consequence of these unsuitable recommendations.

Key Factor

Recommending leveraged and inverse ETFs designed for daily trading to a 74-year-old conservative investor with limited knowledge who held them for nine months directly contradicted her documented capital preservation objectives and conservative risk tolerance.

Item 252 of 499**NON-COMPLIANT**

Topic: suitability_complex_products_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, a 74-year-old retired schoolteacher residing in Boca Raton, Florida, maintained her retirement savings of approximately \$485,000 at Clearwater Wealth Advisors, a FINRA member firm. Her account documentation from January 2019 clearly indicated a conservative risk tolerance, income-generation investment objective, and a 3-5 year time horizon. Mrs. Holloway's sole income consisted of Social Security payments of \$2,100 monthly and a small pension of \$1,400 monthly. She expressly communicated to her registered representative, Daniel Forsythe, that she could not afford to lose principal as these funds represented her entire life savings and would be needed for medical expenses and assisted living costs in the coming years.

Between March 2019 and August 2020, Forsythe recommended and executed a series of transactions totaling \$312,000 into leveraged exchange-traded funds (ETFs) tracking volatile sectors including oil and gas exploration, biotechnology, and emerging markets. These products included 3x leveraged bull and bear ETFs that explicitly disclosed in their prospectuses that they were designed for sophisticated investors with short-term trading horizons and were unsuitable for buy-and-hold strategies. Forsythe told Mrs. Holloway these were 'enhanced growth vehicles' that would 'supercharge her retirement income' while downplaying the daily rebalancing risk and potential for significant principal loss.

By November 2020, Mrs. Holloway's account had declined to \$187,000, representing a loss of approximately \$298,000 from her original balance. The leveraged ETF positions experienced dramatic losses during market volatility, with some positions losing over 80% of their value. Internal compliance records showed that Clearwater Wealth Advisors' supervisory system had flagged four of Forsythe's transactions as potentially unsuitable for the customer profile, but the supervising principal, Rebecca Martinez, approved each transaction after only cursory review, noting 'customer verbally confirmed understanding' without any documented evidence of such confirmation. Mrs. Holloway filed a FINRA arbitration claim seeking compensatory damages of \$298,000 plus attorneys' fees.

Question

Did Daniel Forsythe and Clearwater Wealth Advisors violate their suitability obligations under FINRA rules by recommending leveraged ETFs to Mrs. Holloway given her documented investment profile and circumstances?

Answer

The Panel should find in favor of Claimant Holloway. The recommendations of leveraged ETFs to Mrs. Holloway constituted clear violations of FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade).

Under FINRA Rule 2111(a), a member must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile. This rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific

suitability, and quantitative suitability.

Forsythe failed customer-specific suitability requirements under Rule 2111. Mrs. Holloway's documented profile--74 years old, conservative risk tolerance, income objective, 3-5 year horizon, and dependence on these funds for medical and living expenses--is fundamentally incompatible with 3x leveraged ETFs. These products are explicitly designed for sophisticated traders with high risk tolerance and short-term (often single-day) holding periods. FINRA has repeatedly emphasized that leveraged ETFs are generally unsuitable for retail investors, particularly those with buy-and-hold strategies or conservative profiles.

The reasonable-basis suitability prong was also violated. Any competent securities professional exercising reasonable diligence would understand that leveraged ETFs carry compounding risks that can result in substantial losses over periods longer than one day, making them categorically inappropriate for an elderly investor seeking income preservation. Forsythe's characterization of these as 'enhanced growth vehicles' for 'retirement income' demonstrates either willful disregard or fundamental incompetence regarding product characteristics.

Clearwater Wealth Advisors bears supervisory liability under FINRA Rule 3110. Despite the compliance system flagging transactions as potentially unsuitable, Principal Martinez approved them without meaningful review or documented customer acknowledgment. This constitutes a failure to establish and maintain a supervisory system reasonably designed to achieve compliance with applicable rules.

The defense that Mrs. Holloway 'verbally confirmed understanding' lacks credibility absent documentation and does not absolve the firm of its independent suitability obligations. Compensatory damages of \$298,000 are warranted, representing the direct losses attributable to unsuitable recommendations.

Key Factor

Recommending 3x leveraged ETFs designed for sophisticated short-term traders to a 74-year-old conservative investor dependent on her savings for medical expenses directly contradicted every element of her documented investment profile.

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NON-COMPLIANT

Topic: excessive_trading_senior_customer

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(1) (Best Interest Obligation); Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(c) (Quantitative Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Margaret Thornton, age 72, is a retired elementary school principal residing in Tampa, Florida. She opened a brokerage account with Coastal Ridge Securities, LLC in March 2021 with a rollover from her 403(b) retirement plan totaling \$485,000. Her account documents indicated a moderate risk tolerance, an investment objective of income with capital preservation, a 10-15 year time horizon, and annual income of approximately \$62,000 from Social Security and a small pension. Mrs. Thornton informed her registered representative, Daniel Kowalski, that this account represented substantially all of her liquid assets and that she needed the funds to supplement her retirement income and cover potential medical expenses.

Between March 2021 and September 2023, Kowalski recommended an aggressive trading strategy in Mrs. Thornton's account, frequently purchasing equity positions and selling them within days or weeks. Kowalski called Mrs. Thornton approximately twice weekly with trade recommendations, which she routinely approved based on his advice. She testified that she did not understand the trading strategy but trusted Kowalski because he was 'the expert.' During the relevant period, Kowalski executed 247 trades in the account, generating \$78,400 in commissions for himself and the firm.

An analysis of Mrs. Thornton's account revealed an annualized turnover rate of 9.2 and a cost-to-equity ratio of 31.4%. The account experienced net losses of \$127,000 during the period, reducing her portfolio value to approximately \$358,000. Many of the trades involved speculative small-cap technology stocks and leveraged ETFs, products inconsistent with her documented investment objectives. Kowalski maintained that each individual trade recommendation was based on his market analysis and that Mrs. Thornton approved every transaction. Coastal Ridge's supervisory system flagged the account for elevated trading activity in January 2022, but the branch manager took no action after Kowalski explained the customer had verbally agreed to a more active strategy.

Question

Did Daniel Kowalski's trading recommendations in Margaret Thornton's account violate his obligations under Regulation Best Interest and FINRA Rule 2111?

Answer

Yes, Daniel Kowalski violated both Regulation Best Interest and FINRA Rule 2111 through his excessive and unsuitable trading in Mrs. Thornton's account.

Under Exchange Act Rule 15l-1(a)(1), associated persons making recommendations to retail customers must act in the customer's best interest without placing their own financial interests ahead of the customer's. The Care Obligation under Rule 15l-1(a)(2)(ii) specifically requires reasonable diligence, care, and skill to ensure that a series of recommended transactions, even if individually appropriate, is not excessive and remains in the customer's best

interest when viewed in light of the customer's investment profile.

The quantitative metrics here are dispositive. An annualized turnover rate of 9.2 substantially exceeds the threshold of 6 that generally indicates excessive trading. Similarly, the cost-to-equity ratio of 31.4% far surpasses the 20% benchmark, meaning Mrs. Thornton's account needed to appreciate over 31% annually merely to break even on transaction costs. These metrics establish a presumption of excessive trading that Kowalski has not rebutted.

FINRA Rule 2111 required Kowalski to have a reasonable basis to believe his recommendations were suitable for Mrs. Thornton. Under Rule 2111.05(c), where an associated person exercises de facto control over an account, quantitative suitability obligations apply. Mrs. Thornton's routine deference to Kowalski's recommendations, her lack of understanding of the strategy, and her reliance on his expertise establish de facto control. The trading pattern--frequent in-and-out transactions in speculative securities generating \$78,400 in commissions while the customer suffered \$127,000 in losses--was manifestly unsuitable for a 72-year-old retiree seeking income and capital preservation with moderate risk tolerance.

Kowalski's defense that Mrs. Thornton approved each trade is unavailing. Customer consent does not cure excessive trading where the representative controls the account. Additionally, the firm's failure to act on supervisory flags does not absolve Kowalski's individual liability. These violations of Reg BI and Rule 2111 also constitute violations of FINRA Rule 2010, which requires associated persons to observe high standards of commercial honor and just and equitable principles of trade.

Key Factor

The annualized turnover rate of 9.2 and cost-to-equity ratio of 31.4% substantially exceeded recognized thresholds for excessive trading, demonstrating that Kowalski placed his financial interest in generating commissions ahead of his senior customer's best interest.

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NON-COMPLIANT

Topic: consumer_duty_retail_customer_outcomes

Difficulty: hard

Standard: FCA Consumer Duty: PRIN 12 (Principle 12), PRIN 2A.2.2R (act in good faith), PRIN 2A.2.3R (avoid foreseeable harm), PRIN 2A.2.4R (enable and support customers), PRIN 2A.3 (Products and Services Outcome), PRIN 2A.5 (Consumer Understanding Outcome), PRIN 2A.9 (Board oversight requirements), FG22/5 (Consumer Duty Guidance)

Source: 23_International_Comparative

Fact Pattern

Meridian Wealth Partners LLP, an FCA-authorised investment firm operating in London, provides discretionary portfolio management and advisory services to retail clients. In March 2023, client Margaret Thornton, a 71-year-old retired schoolteacher, contacted the firm seeking advice on investing her £185,000 pension lump sum. During the fact-find meeting, Mrs. Thornton clearly articulated her objectives: capital preservation, modest income generation of approximately £6,000-£8,000 annually, and maintaining liquidity to cover potential care home expenses within the next 3-5 years. She disclosed limited investment experience consisting only of Premium Bonds and a basic building society savings account. Her risk questionnaire indicated a cautious risk tolerance, and she repeatedly emphasised her anxiety about market volatility.

Advisor James Whitfield, who held the firm's CF30 controlled function, recommended Mrs. Thornton invest 65% of her capital (£120,250) into the Meridian Strategic Growth Fund, an in-house fund-of-funds product investing primarily in emerging market equities, technology sector concentrated positions, and alternative investments including venture capital trusts. The fund carried an ongoing charges figure of 2.4% annually plus performance fees. Whitfield's recommendation letter stated the fund would provide 'long-term growth potential suitable for retirement planning' without addressing her stated liquidity needs or care cost planning horizon. The remaining 35% was placed in a 5-year fixed-term structured product linked to FTSE 100 performance with early redemption penalties of 8%.

By September 2023, the Strategic Growth Fund had declined 23% in value due to emerging market volatility, reducing Mrs. Thornton's investment to approximately £92,500. When she contacted the firm requesting access to funds for an unexpected care assessment, she discovered the early redemption penalties and illiquidity constraints. The firm's compliance records showed the suitability report had been auto-generated using templated language and had not been reviewed by a supervisor prior to implementation. Board-level monitoring reports from Q3 2023 contained no analysis of outcomes for vulnerable customers or assessment of whether products were delivering value consistent with customer understanding.

Question

Did Meridian Wealth Partners and advisor James Whitfield breach the FCA Consumer Duty obligations in their advice to Mrs. Thornton regarding suitability and delivering good customer outcomes?

Answer

This advice constitutes a clear breach of the FCA Consumer Duty, specifically Principle 12 (PRIN 2A) and the supporting cross-cutting rules and outcomes framework. The recommendation fundamentally failed to deliver good outcomes for Mrs. Thornton as a retail customer.

First, regarding the cross-cutting rule to 'act in good faith' under PRIN 2A.2.2R, Whitfield's recommendation demonstrated a disconnect between the client's clearly articulated needs and the products recommended. Mrs. Thornton explicitly stated capital preservation and liquidity requirements, yet received recommendations concentrated in volatile emerging market equities and illiquid structured products. The templated suitability letter suggests form over substance in the advisory process.

Second, the firm violated the cross-cutting obligation to 'avoid causing foreseeable harm' under PRIN 2A.2.3R. A 71-year-old client with no equity experience, cautious risk tolerance, and a 3-5 year liquidity horizon faced entirely foreseeable harm from a 65% allocation to high-volatility investments. The 8% early redemption penalty on the structured product directly contradicted her stated need for care funding access.

Third, under the Products and Services Outcome (PRIN 2A.3), firms must ensure products are designed to meet the needs of identified target markets. Mrs. Thornton clearly fell outside any reasonable target market for an emerging market growth fund with 2.4% charges plus performance fees. The firm failed to demonstrate how this product could deliver value to a cautious, income-focused retiree.

Fourth, the Consumer Understanding Outcome (PRIN 2A.5) requires firms to support customers' understanding. The generic suitability letter using 'long-term growth' language for a client needing medium-term liquidity suggests inadequate communication of product characteristics and risks.

The board-level governance failures compound these violations. Under PRIN 2A.9, boards must maintain oversight ensuring the Duty is embedded across the firm. The absence of vulnerable customer outcome monitoring and product value assessments in Q3 2023 board reports demonstrates systemic governance failure, not merely individual advisor error. The firm cannot rely on having documented a fact-find when that information was manifestly disregarded in the recommendation.

Key Factor

The adviser recommended high-risk, illiquid investments directly contradicting the client's explicitly stated needs for capital preservation and liquidity access within 3-5 years, constituting foreseeable harm under the Consumer Duty cross-cutting rules.

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NON-COMPLIANT

Topic: unsuitable_variable_annuity_recommendation_senior

Difficulty: medium

Standard: Kansas Uniform Securities Act; NASAA Model Rule on Unethical Business Practices of Investment Advisers; NASAA Model Rule on Dishonest or Unethical Business Practices by Broker-Dealers and Agents; NASAA Statement of Policy on Senior-Specific Certifications

Source: 14_NASAA_State_Enforcement

Fact Pattern

In March 2016, Margaret Thornton, a 78-year-old widow residing in Kansas, met with Bradley Simmons, a registered representative of Heartland Financial Services, LLC, a broker-dealer dually registered as an investment adviser in Kansas. Mrs. Thornton had recently received \$340,000 from her deceased husband's life insurance policy and sought advice on how to preserve this capital for her living expenses and potential nursing home costs. She explicitly informed Simmons that she had no other liquid assets beyond \$18,000 in a checking account, received \$1,840 monthly from Social Security, and had been diagnosed with early-stage Parkinson's disease. She stated her primary objectives were capital preservation and liquidity, with a conservative risk tolerance.

Simmons recommended that Mrs. Thornton invest \$295,000 into the Pinnacle Select Variable Annuity, a product featuring a seven-year surrender period with declining surrender charges starting at 8% in year one. The annuity's subaccounts were allocated 65% to aggressive growth equity funds and 20% to international emerging market funds, with only 15% in fixed income options. The product carried annual mortality and expense charges of 1.45% plus underlying fund expenses averaging 1.12%.

Simmons documented in his suitability notes that the annuity would provide 'guaranteed lifetime income' and 'tax-deferred growth,' but failed to document any analysis of Mrs. Thornton's liquidity needs, her health condition's impact on her investment timeline, or whether the aggressive subaccount allocation matched her stated conservative risk tolerance. He earned a \$17,700 commission on the sale. Six months later, Mrs. Thornton required \$45,000 for home healthcare modifications and incurred a \$3,600 surrender penalty plus tax consequences when forced to liquidate a portion of the annuity.

Question

Did Bradley Simmons violate applicable suitability and best interest standards under Kansas state securities law when recommending the variable annuity to Mrs. Thornton?

Answer

Yes, Bradley Simmons violated Kansas suitability requirements and the state's fiduciary standards applicable to investment adviser conduct. Under the Kansas Uniform Securities Act and consistent with NASAA Model Rules on dishonest and unethical business practices, an adviser or representative must have reasonable grounds for believing a recommendation is suitable based on the customer's financial situation, investment objectives, and needs.

Simmons failed multiple elements of the suitability obligation. First, the recommendation ignored Mrs. Thornton's explicitly stated need for capital preservation and liquidity. A seven-year surrender period product was fundamentally incompatible with a 78-year-old client with a progressive neurological condition who might require substantial healthcare expenditures. The NASAA Model Rule on Unethical Business Practices of Investment Advisers specifically

identifies recommending unsuitable investments as a dishonest practice.

Second, the subaccount allocation of 85% to aggressive equity and emerging market funds directly contradicted Mrs. Thornton's conservative risk tolerance. Kansas securities regulations require that recommendations align with the customer's stated risk profile, and an adviser cannot substitute his own judgment for the client's expressed preferences without documented justification and informed consent.

Third, Simmons failed to conduct adequate due diligence regarding the client's time horizon. Given Mrs. Thornton's age and health status, reasonable analysis would have identified that surrender charges would likely impair her ability to access funds during the expected holding period. The NASAA statement on senior investor protections emphasizes that agents must give heightened consideration to liquidity needs and time horizons when recommending products to elderly investors.

Simmons' documentation deficiencies compound the violation. He recorded purported benefits but failed to memorialize any analysis of why the product was appropriate despite obvious red flags. His \$17,700 commission created an incentive that appears to have influenced the recommendation over client welfare. The subsequent \$3,600 surrender penalty Mrs. Thornton incurred demonstrates the foreseeable harm from this unsuitable recommendation. This constitutes a clear violation warranting state enforcement action.

Key Factor

Recommending an illiquid variable annuity with a seven-year surrender period and aggressive equity allocation to a 78-year-old client with a progressive illness who explicitly requested capital preservation and liquidity was fundamentally unsuitable.

Item 256 of 499**NON-COMPLIANT**

Topic: suitability_complex_products_for_conservative_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollister, age 68, retired from her position as a high school librarian in January 2014. She had accumulated \$485,000 in savings, primarily from a 403(b) plan rollover and conservative bond mutual funds. In March 2014, she opened an account with Pacific Coast Wealth Advisors, a mid-sized broker-dealer, and was assigned to registered representative David Brennan. During the new account process, Mrs. Hollister clearly indicated her investment objective as 'income with capital preservation,' her risk tolerance as 'conservative,' and her investment time horizon as 'five to ten years.' She disclosed she had no prior experience with options, derivatives, or alternative investments, and that her liquid net worth was approximately \$520,000, with the account representing the vast majority of her investable assets.

In April 2014, Mr. Brennan recommended that Mrs. Hollister invest \$175,000 (approximately 36% of her account assets) in a leveraged exchange-traded note (ETN) linked to oil futures, explaining that energy prices were poised for significant gains and she would benefit from 'enhanced returns.' He also recommended \$95,000 in a non-traded REIT with a seven-year liquidity lock-up period and high upfront commissions. Mr. Brennan's internal notes reflected that he believed these products would 'generate alpha' for the client. He did not document any analysis of whether the leveraged ETN's daily reset mechanism or volatility characteristics were appropriate for Mrs. Hollister's profile.

By December 2014, the leveraged oil ETN had declined by 62% due to the dramatic collapse in crude oil prices, causing Mrs. Hollister to lose approximately \$108,500 in that position alone. The non-traded REIT remained illiquid, and she was unable to access those funds when she needed them for unexpected medical expenses in early 2015. Mrs. Hollister filed an arbitration claim against Pacific Coast Wealth Advisors in February 2015, alleging that Mr. Brennan's recommendations were unsuitable for her investment profile and that the firm failed to supervise his activities.

Question

Did registered representative David Brennan violate his suitability obligations under FINRA Rule 2111 by recommending the leveraged ETN and non-traded REIT to Mrs. Hollister?

Answer

Mr. Brennan violated FINRA Rule 2111 (Suitability) across multiple dimensions. Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This obligation encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

First, regarding customer-specific suitability under Rule 2111(a), Mr. Brennan's recommendations were fundamentally incompatible with Mrs. Hollister's documented profile. She was a 68-year-old retiree with conservative risk tolerance, income and capital preservation objectives, and no experience with complex products. The leveraged ETN, which uses derivatives to amplify daily returns on volatile oil futures, carries substantial risk of capital loss--particularly over holding

periods longer than one day due to compounding effects. Recommending that a conservative retiree allocate 36% of her account to such a product demonstrates a clear failure to match the investment to the customer's needs.

Second, the non-traded REIT recommendation also failed customer-specific suitability. With a seven-year lock-up period and Mrs. Hollister's stated time horizon of five to ten years, combined with the fact that this account represented nearly all her liquid assets, placing \$95,000 (approximately 20% of account assets) in an illiquid vehicle created foreseeable liquidity risk. FINRA has repeatedly emphasized that non-traded REITs require careful suitability analysis given their illiquidity and complexity.

Third, Mr. Brennan failed to document reasonable-basis suitability analysis. His internal notes reference generating 'alpha' but contain no analysis of the leveraged ETN's mechanics or risks. FINRA Rule 2111.05(a) requires that representatives understand the risks and rewards of recommended products. The absence of documented analysis suggests inadequate diligence.

The firm's supervisory obligations under FINRA Rule 3110 were also implicated, as Pacific Coast Wealth Advisors apparently approved these unsuitable recommendations without meaningful review. Mr. Brennan's conduct constitutes a violation of both FINRA Rule 2111 and FINRA Rule 2010's just and equitable principles of trade.

Key Factor

The representative recommended a leveraged ETN and illiquid non-traded REIT to a conservative 68-year-old retiree with no complex product experience, directly contradicting her documented investment objectives and risk tolerance.

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NON-COMPLIANT

Topic: soft_dollar_best_execution_suitability

Difficulty: hard

Standard: Investment Advisers Act Section 206 (fiduciary duty); Securities Exchange Act Section 28(e) (soft dollar safe harbor); SEC 2006 Revised Interpretation of Section 28(e); duty of best execution

Source: 09_Law_Firm_Memos

Fact Pattern

Pinnacle Asset Management LLC, a registered investment adviser with approximately \$2.1 billion in assets under management, managed discretionary accounts for various institutional and high-net-worth clients. Among its clients was Margaret Ellison, a 71-year-old retired school administrator with a \$1.8 million IRA rollover account established in March 2023. Mrs. Ellison's investment profile documented her as a conservative investor with capital preservation as her primary objective, moderate income needs, a 10-year investment horizon, and limited tolerance for principal loss.

Pinnacle's portfolio manager, Daniel Reeves, directed Mrs. Ellison's equity transactions exclusively to Vertex Securities, a full-service broker-dealer with whom Pinnacle maintained a soft dollar arrangement. Under this arrangement, Pinnacle received research services, market data terminals, and proprietary trading analytics from Vertex in exchange for directing client order flow. Vertex's average commission rate was \$0.08 per share, while competing execution-only brokers offered comparable execution quality at \$0.02 per share.

Between March 2023 and February 2024, Reeves executed 847 equity trades in Mrs. Ellison's account, generating \$127,050 in commissions to Vertex. The trading activity resulted in a portfolio turnover rate of 340%, substantially above both the account's stated long-term growth strategy and industry norms for conservative retirement portfolios. Internal records revealed that Pinnacle allocated approximately 65% of the soft dollar credits generated from Mrs. Ellison's account toward research services used primarily for the firm's aggressive growth strategies employed in other client accounts.

When questioned by Pinnacle's compliance officer, Reeves stated that the frequent trading was necessary to 'optimize tax-loss harvesting opportunities' and that the research services obtained benefited all firm clients proportionally. However, Mrs. Ellison's IRA was tax-deferred, rendering tax-loss harvesting strategies irrelevant. Additionally, the compliance review found no documentation that Reeves had conducted any analysis comparing Vertex's execution quality to alternative brokers or assessed whether the elevated commission costs were reasonable relative to the benefits received by Mrs. Ellison's account specifically.

Question

Did Pinnacle Asset Management and Daniel Reeves breach their fiduciary duty of care under the Investment Advisers Act by directing Mrs. Ellison's trades to Vertex Securities under the soft dollar arrangement given her conservative profile and the excessive trading activity?

Answer

Pinnacle Asset Management and Daniel Reeves violated their fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940. While Section 28(e) of the Securities Exchange Act provides a safe harbor for soft dollar arrangements, this protection requires a good faith determination that commissions paid are reasonable in relation to the value of brokerage and research services provided--a standard Pinnacle failed to meet with respect to

Mrs. Ellison's account.

First, the duty of best execution requires an investment adviser to seek the most favorable terms reasonably available under the circumstances for client transactions. Pinnacle paid Vertex \$0.08 per share when execution-only alternatives offered comparable quality at \$0.02 per share. For this premium to be justified under Section 28(e), the research and brokerage services received must provide lawful and appropriate assistance to the adviser in performing its investment decision-making responsibilities for the account paying the higher commission. The evidence shows 65% of soft dollar credits from Mrs. Ellison's account funded aggressive growth research strategies inapplicable to her conservative mandate, meaning she subsidized research benefiting other clients without proportional benefit to her own portfolio.

Second, the 340% turnover rate in a conservative IRA constitutes excessive trading inconsistent with Mrs. Ellison's documented investment objectives. Reeves's justification--tax-loss harvesting--is facially inapplicable to a tax-deferred retirement account, demonstrating either a fundamental misunderstanding of the client's situation or a pretextual explanation for commission-generating activity. This trading pattern suggests the adviser prioritized soft dollar credit generation over the client's investment interests.

Third, Pinnacle failed to document any good faith analysis comparing execution quality or assessing whether elevated costs were reasonable for Mrs. Ellison specifically. The SEC's 2006 interpretation of Section 28(e) emphasizes that money managers must evaluate whether commission arrangements serve each client's interests, not merely the adviser's aggregate research needs.

The combination of excessive trading unsuitable for a conservative 71-year-old retiree, disproportionate allocation of soft dollar benefits away from her account, and absence of documented best execution analysis establishes a clear breach of fiduciary duty. The Section 28(e) safe harbor does not protect arrangements where the adviser fails to make the required good faith determination or where trading activity itself is inconsistent with client suitability.

Key Factor

Pinnacle directed excessive trading through a high-cost soft dollar arrangement that primarily benefited other client accounts while failing to document any good faith determination that the arrangement served Mrs. Ellison's conservative investment objectives.

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COMPLIANT

Topic: subscription_way_suitability_review

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 2150(a) (Improper Use of Customer Funds); Limited relief guidance for subscription-way transactions

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Westbrook Financial Partners, a mid-sized broker-dealer specializing in alternative investments, received a subscription package from registered representative Daniel Hoffman on March 15, 2024, for his client Margaret Chen, age 58. Ms. Chen, a recently retired school administrator with a pension of \$4,200 monthly and liquid assets of \$340,000, sought to invest \$85,000 in the Pinnacle Real Estate Income Fund, a non-traded REIT sold on a subscription-way basis with a seven-year liquidity horizon and 6.5% target distribution yield.

Ms. Chen's customer account record documented her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' her time horizon as '10+ years,' and her annual income need from investments as 'supplemental.' Hoffman's notes indicated Ms. Chen understood the illiquidity risks and wanted to diversify away from her existing bond portfolio, which represented 70% of her liquid assets. Her net worth excluding primary residence was approximately \$520,000.

Upon receipt of the complete application package at Westbrook's Office of Supervisory Jurisdiction on March 15, 2024, supervising principal Rebecca Torres held Ms. Chen's check--made payable to Pinnacle Fund Services LLC as the transfer agent--while conducting a comprehensive suitability review. Torres examined Ms. Chen's concentration levels, noting the \$85,000 investment would represent 25% of liquid assets and approximately 16% of total net worth. She verified the customer account information was current, reviewed Hoffman's documentation of the client conversation, and confirmed Ms. Chen's pension provided stable income independent of investment returns.

Torres completed her principal review and transmitted the check to Pinnacle Fund Services on March 21, 2024--five business days after the OSJ received the application package. The suitability review file documented Torres's analysis of Ms. Chen's liquidity needs, concentration concerns, and alignment between the product's characteristics and the customer's stated objectives.

Question

Did Westbrook Financial Partners comply with its suitability and supervisory obligations, including the requirements for handling customer funds in subscription-way transactions, in connection with Margaret Chen's non-traded REIT investment?

Answer

Westbrook Financial Partners appears to have complied with its suitability and supervisory obligations under FINRA Rules 2111 and 3110, as well as the limited relief provisions regarding fund transmission in subscription-way transactions.

Under FINRA Rule 2111, a broker-dealer must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status,

investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Here, the recommendation of the Pinnacle Real Estate Income Fund to Ms. Chen appears reasonable: her documented moderate risk tolerance and income-with-growth objective align with a non-traded REIT's income-generating characteristics; her 10+ year time horizon exceeds the product's seven-year liquidity horizon; her \$4,200 monthly pension provides stable income independent of this investment; and the \$85,000 investment represents a reasonable 25% of liquid assets and 16% of total net worth--meaningful but not excessive concentration.

Regarding fund handling, the limited relief guidance permits firms to hold customer checks payable to issuers (or their agents, such as transfer agents) for up to seven business days from the OSJ's receipt of a complete application package, provided the hold is for the purpose of completing principal suitability review under FINRA Rules 2111 and 3110. Westbrook satisfied this condition: the check was payable to Pinnacle Fund Services LLC (the transfer agent), Torres held the check specifically to complete suitability review, and transmission occurred on the fifth business day--within the seven-day limit.

FINRA Rule 3110 requires supervisory systems reasonably designed to achieve compliance with applicable rules. Torres's documented review process--examining concentration levels, verifying current customer information, reviewing representative documentation, and analyzing liquidity needs--demonstrates adequate principal supervision of the subscription-way transaction.

The firm properly balanced its obligation to conduct meaningful suitability review against its duty to transmit customer funds, utilizing the relief framework designed to prevent the conflict between these competing obligations. The documentation maintained throughout the process further supports compliance.

Key Factor

The firm properly utilized the seven-business-day relief period to conduct a documented principal suitability review of the non-traded REIT recommendation before transmitting the customer's check, ensuring both supervisory obligations and fund handling requirements were satisfied.

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NON-COMPLIANT

Topic: suitability_complex_product_elderly_customer

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) including subsections .04 and .05; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 74, was a longtime customer of Pacific Coast Brokerage Services, Inc. She had been widowed in 2015 and relied primarily on her late husband's pension of \$2,400 per month and Social Security benefits totaling \$1,850 per month. Her total liquid assets consisted of \$485,000 in an IRA rollover from her husband's 401(k) and \$62,000 in a taxable brokerage account. Her account documentation at Pacific Coast listed her investment objective as 'Income with Capital Preservation,' her risk tolerance as 'Conservative,' and her investment time horizon as '5-10 years.' She had no prior experience with options, leveraged products, or alternative investments.

In March 2019, registered representative David Kowalski recommended that Mrs. Thornton invest \$175,000 of her IRA funds into a non-traded Business Development Company (BDC) called Apex Growth Capital Partners. Kowalski told Mrs. Thornton that the BDC would provide 'stable monthly distributions of 8.5%' and was 'much safer than stocks.' He did not explain that non-traded BDCs are illiquid, that distributions could include return of principal, or that the underlying portfolio consisted primarily of subordinated debt to highly leveraged middle-market companies. The product prospectus disclosed that the BDC was suitable only for investors with a 'long-term investment horizon' and 'ability to sustain a total loss of investment.'

Following this recommendation, Kowalski also placed \$95,000 of Mrs. Thornton's remaining IRA funds into a leveraged closed-end bond fund that used 35% leverage to enhance yield. He noted on internal documentation that the customer 'wanted higher income' without updating her risk profile or investment objectives. By December 2020, the BDC had suspended distributions and marked down its net asset value by 42%, while the leveraged bond fund had declined 28% during the COVID-19 market volatility. Mrs. Thornton's total losses exceeded \$127,000, representing approximately 23% of her life savings.

Pacific Coast's compliance department had issued an internal memorandum in January 2019 requiring enhanced suitability review for any customer over age 70 investing more than 25% of liquid net worth in non-traded products, but no such review was conducted for Mrs. Thornton's account. Kowalski received a 7% commission on the BDC sale.

Question

Did David Kowalski's recommendations of the non-traded BDC and leveraged closed-end bond fund to Margaret Thornton satisfy his suitability obligations under FINRA rules?

Answer

The recommendations clearly violated FINRA Rule 2111 (Suitability) across all three components: reasonable-basis, customer-specific, and quantitative suitability. This constitutes a serious breach warranting significant sanctions and customer restitution.

Regarding reasonable-basis suitability under Rule 2111.05(a), Kowalski failed to understand the products he

recommended. His characterization of the non-traded BDC as 'much safer than stocks' directly contradicted the prospectus disclosure that investors must be able to sustain 'total loss of investment.' Non-traded BDCs carry substantial risks including illiquidity, valuation uncertainty, and exposure to subordinated debt of leveraged companies. His failure to explain that 'distributions' may constitute return of principal rather than income demonstrates inadequate product knowledge.

The customer-specific suitability violation under Rule 2111.05(b) is egregious. Mrs. Thornton's documented profile--Conservative risk tolerance, Income with Capital Preservation objective, 5-10 year time horizon, age 74, dependence on fixed income--was fundamentally incompatible with both recommendations. The non-traded BDC's illiquidity premium requires a long-term horizon exceeding her stated timeframe, while the leveraged bond fund's volatility profile directly contradicted her conservative designation. Concentrating 36% of her IRA in a single illiquid alternative product violated basic diversification principles for a customer with no margin for error.

Kowalski's notation that the customer 'wanted higher income' without formally updating her risk profile and investment objectives violates the requirement under FINRA Rule 2111.04 that recommendations must be based on accurate customer information. The representative cannot override documented suitability factors with informal notations.

Further, Pacific Coast's failure to conduct the enhanced review required by its own January 2019 internal memorandum suggests supervisory failures under FINRA Rule 3110. The 7% commission on the BDC sale, while not dispositive, supports an inference that compensation rather than customer suitability drove the recommendation. The combination of an unsuitable product recommendation to a vulnerable elderly customer, misrepresentation of product risks, and circumvention of internal controls constitutes violations of both Rule 2111 and the ethical standards of FINRA Rule 2010 (Standards of Commercial Honor).

Key Factor

Recommending an illiquid, high-risk non-traded BDC representing 36% of a 74-year-old conservative investor's IRA directly contradicted her documented investment objectives, risk tolerance, and time horizon.

Item 260 of 499

NON-COMPLIANT

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision)

Source: 16_Congressional_Materials

Fact Pattern

Westbrook Securities Group is a mid-sized broker-dealer with approximately 340 registered representatives operating across the Midwest. In March 2024, registered representative Daniel Ostrowski met with new customer Gladys Tremaine, a 71-year-old retired schoolteacher from Columbus, Ohio. Mrs. Tremaine had recently lost her husband and received a \$485,000 life insurance payout, which represented essentially her entire liquid net worth aside from Social Security income of \$2,400 monthly. During the account opening process, Mrs. Tremaine completed a customer profile indicating her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her investment time horizon as '5-7 years,' and her investment experience as 'limited to CDs and savings accounts.'

During their second meeting on March 22, 2024, Ostrowski recommended that Mrs. Tremaine invest \$175,000 in ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF that seeks daily investment results corresponding to three times the daily performance of the Nasdaq-100 Index. Ostrowski explained to Mrs. Tremaine that 'technology stocks have historically outperformed everything else' and that this investment would 'supercharge her returns while maintaining ETF diversification.' He did not explain the daily reset mechanism, volatility decay, or the product's unsuitability for buy-and-hold investors. Mrs. Tremaine signed the purchase authorization, and the trade was executed at \$52.18 per share for approximately 3,354 shares.

Ostrowski also recommended allocating an additional \$185,000 to Direxion Daily Financial Bull 3X Shares (FAS), another triple-leveraged ETF tracking financial sector stocks. For the remaining \$125,000, he recommended a portfolio of high-yield corporate bonds rated CCC by Moody's. Over the following eight months, Mrs. Tremaine's leveraged ETF positions experienced significant volatility decay despite modest gains in the underlying indices. By November 2024, her TQQQ position had declined to approximately \$118,000 and her FAS position to approximately \$142,000, representing a combined loss of over \$100,000, or roughly 28% of her initial investment in these products.

Westbrook's compliance department maintains written supervisory procedures stating that leveraged and inverse ETFs require heightened suitability review and are 'generally unsuitable for customers with conservative risk profiles or limited investment experience.' The firm's product approval committee had issued internal guidance in January 2023 noting that 3x leveraged products carry 'extreme risk characteristics incompatible with capital preservation objectives.' However, Ostrowski's branch manager approved the trades without any documented suitability analysis.

Question

Did Daniel Ostrowski's recommendations of triple-leveraged ETFs to Mrs. Tremaine satisfy Regulation Best Interest's care obligation and the applicable suitability requirements?

Answer

No, Daniel Ostrowski's recommendations violated both Regulation Best Interest's Care Obligation and FINRA Rule 2111 suitability requirements. The recommendations were fundamentally inappropriate for Mrs. Tremaine's

documented investment profile.

Under Regulation Best Interest's Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)), a broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, have a reasonable basis for the recommendation, and ensure the recommendation is in the customer's best interest without placing the broker's interest ahead of the customer's. The Care Obligation incorporates a reasonable-basis, customer-specific, and quantitative suitability framework.

Ostrowski's recommendations fail on multiple grounds. First, regarding customer-specific suitability, Mrs. Tremaine's profile explicitly identified capital preservation as her objective, conservative risk tolerance, limited investment experience, and a 5-7 year time horizon. Triple-leveraged ETFs are designed for sophisticated short-term traders who actively monitor positions daily, not buy-and-hold retail investors. FINRA has consistently emphasized that leveraged ETFs have unique characteristics that make them unsuitable for investors who plan to hold them longer than one trading session.

Second, Ostrowski failed to provide a reasonable basis for his recommendation. He did not explain volatility decay, daily reset mechanisms, or the mathematical certainty that leveraged products underperform in sideways or volatile markets over extended periods. His characterization of these products as simply providing 'supercharged returns' while 'maintaining ETF diversification' was materially misleading and demonstrated inadequate product understanding.

Third, the concentration of 74% of Mrs. Tremaine's liquid assets (\$360,000 of \$485,000) in triple-leveraged ETFs was quantitatively unsuitable given her stated objective of capital preservation and her dependence on these funds for retirement security.

Westbrook's own compliance procedures recognized that leveraged ETFs are 'generally unsuitable for customers with conservative risk profiles or limited investment experience'--a description matching Mrs. Tremaine precisely. The branch manager's approval without documented suitability analysis constitutes a supervisory failure under FINRA Rule 3110.

The fact that Mrs. Tremaine signed the purchase authorization does not cure the suitability deficiency, as Regulation Best Interest places the obligation on the broker to ensure the recommendation is in the customer's best interest regardless of customer consent.

Key Factor

The recommendation of triple-leveraged ETFs designed for active daily trading was fundamentally incompatible with Mrs. Tremaine's documented conservative risk tolerance, capital preservation objective, and limited investment experience.

Item 261 of 499**NON-COMPLIANT**

Topic: variable_life_insurance_suitability_training_deficiencies

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2010 (Standards of Commercial Honor and Principles of Trade), 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Pinnacle Financial Advisors, LLC is a mid-sized broker-dealer headquartered in Minneapolis, Minnesota, with approximately 450 registered representatives nationwide. From January 2019 through August 2022, the firm employed Marcus Thornton as a senior training specialist responsible for conducting internal seminars educating representatives on variable life insurance products. Thornton developed a proprietary training curriculum titled 'Wealth Maximization Through VUL' that was presented at 47 regional seminars attended by over 300 firm representatives during this period.

The seminars, which typically lasted six hours, emphasized the investment component of variable universal life (VUL) policies while systematically minimizing discussion of the insurance protection features. Thornton's materials prominently featured hypothetical illustrations showing aggressive 10-12% annual returns within the policy's subaccounts, projecting substantial cash value accumulation that could be accessed tax-free through policy loans. However, the training materials devoted only 15 minutes to discussing the risks of policy lapse if investment performance underperformed projections, and failed to adequately explain how ongoing cost of insurance charges could erode cash values, particularly in later policy years.

Following Thornton's seminars, representative Jennifer Caldwell recommended a VUL policy with a \$750,000 death benefit to her client, Robert Hensley, a 58-year-old municipal employee earning \$82,000 annually with moderate risk tolerance and a primary objective of supplementing his defined benefit pension in retirement. Hensley had approximately \$340,000 in existing retirement savings and no prior experience with insurance-based investment products. Caldwell recommended annual premium payments of \$18,500, representing approximately 22% of Hensley's gross income, based on the aggressive return projections she had learned in Thornton's seminar.

Internal compliance reviews in March 2020 identified concerns with Thornton's training materials, noting that the seminars presented an 'overly optimistic' view of VUL performance and inadequately addressed downside scenarios. Despite these documented concerns, firm management permitted Thornton to continue conducting seminars without material modifications. Thornton's supervisor, Regional Director Amanda Fischer, received the compliance memorandum but took no corrective action, stating that Thornton's seminars were 'popular with the sales force' and generated significant VUL production.

Question

Did Pinnacle Financial Advisors, its training specialist Marcus Thornton, and representative Jennifer Caldwell meet their suitability obligations under applicable FINRA rules in connection with the VUL training program and subsequent recommendation to Robert Hensley?

Answer

No, multiple parties violated FINRA suitability and supervisory requirements. This matter presents a cascading compliance failure originating from deficient training that ultimately resulted in an unsuitable recommendation to a retail

customer.

Regarding Jennifer Caldwell's recommendation to Robert Hensley, FINRA Rule 2111 requires that a member or associated person have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Caldwell's recommendation of a VUL policy requiring \$18,500 in annual premiums--22% of Hensley's gross income--to a 58-year-old moderate-risk customer with modest savings and no experience with insurance-linked investments fails customer-specific suitability. The recommendation was predicated on aggressive 10-12% return assumptions that were inconsistent with Hensley's moderate risk tolerance and his primary objective of supplementing pension income with reliable cash flows.

Marcus Thornton violated FINRA Rule 2010's standards of commercial honor by developing and presenting training materials that systematically mischaracterized the risk profile of VUL products. By emphasizing investment returns while minimizing disclosure of lapse risk and cost-of-insurance erosion, Thornton's seminars created a foundation for unsuitable recommendations firm-wide. The training materials' failure to adequately present downside scenarios constitutes a misleading depiction of product characteristics.

Pinnacle Financial Advisors violated FINRA Rule 3110's supervisory requirements. The firm received documented compliance concerns regarding Thornton's seminars in March 2020 but failed to take adequate corrective action. Amanda Fischer's decision to permit continued seminars based on their popularity with the sales force demonstrates a prioritization of production over compliance. The firm's failure to enforce meaningful changes to training materials that it knew contained deficiencies constitutes a supervisory system failure.

The firm cannot defend on grounds that individual representatives bear ultimate suitability responsibility. When a firm knowingly permits deficient training to continue, it creates systemic conditions for unsuitable recommendations and bears institutional responsibility under Rule 3110.

Key Factor

The firm's documented awareness of training deficiencies combined with its failure to take corrective action created systemic conditions leading to an unsuitable VUL recommendation to a moderate-risk customer nearing retirement.

Item 262 of 499**NON-COMPLIANT**

Topic: failure_to_use_available_misconduct_data_in_hiring_suitability_chain

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 10_Academic_Articles

Fact Pattern

Margaret Holloway, a 72-year-old retired schoolteacher residing in Phoenix, Arizona, opened a brokerage account with Ridgemont Securities, LLC in March 2022. Mrs. Holloway had \$485,000 in total liquid assets, consisting primarily of her pension rollover and savings accumulated over 38 years of teaching. Her stated investment objectives were income generation and capital preservation, with a conservative risk tolerance. She indicated on her new account form that she had limited investment experience, having previously held only certificates of deposit and a small municipal bond fund.

Ridgemont assigned Mrs. Holloway's account to registered representative Derek Paulson. Unbeknownst to Mrs. Holloway, Paulson had three prior customer complaints resulting in settlements totaling \$127,000 at his previous firm, Coastal Brokerage Partners, between 2018 and 2021. These complaints alleged unsuitable recommendations of high-risk speculative securities to elderly, conservative investors. This information was publicly available on BrokerCheck, but Ridgemont's supervisory procedures did not require heightened supervision of representatives with multiple prior complaints.

Between April 2022 and November 2022, Paulson recommended that Mrs. Holloway invest \$340,000--approximately 70% of her liquid assets--in a concentrated portfolio of leveraged exchange-traded funds (ETFs) tracking the energy and technology sectors. These products carried explicit prospectus warnings that they were unsuitable for long-term holding periods and were designed for sophisticated, active traders. Paulson told Mrs. Holloway these were 'enhanced income funds' that would provide superior returns for her retirement. He did not explain the daily reset mechanism, compounding decay, or volatility risk inherent in leveraged products.

By February 2023, Mrs. Holloway's portfolio had declined by \$189,000, representing a 55% loss on her leveraged ETF positions. When she contacted Paulson expressing alarm, he recommended she 'hold through the volatility' and invest an additional \$50,000 to 'average down.' Mrs. Holloway refused and subsequently filed a customer complaint with FINRA arbitration, alleging Paulson and Ridgemont failed to make suitable recommendations given her age, risk tolerance, and investment objectives.

Question

Did Paulson and Ridgemont Securities violate their suitability obligations under FINRA Rule 2111 and Regulation Best Interest in recommending leveraged ETFs to Mrs. Holloway, and does Paulson's documented history of prior misconduct affect the analysis?

Answer

Paulson and Ridgemont Securities violated both FINRA Rule 2111 suitability requirements and Regulation Best Interest's Care Obligation. The violations are clear and the broker's prior misconduct history, while not directly creating liability, demonstrates a predictable pattern that heightened supervision should have addressed.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on reasonable diligence concerning the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, and investment experience. Mrs. Holloway's profile--72 years old, conservative risk tolerance, income and preservation objectives, limited investment experience--is fundamentally incompatible with leveraged ETFs. These products are explicitly designed for sophisticated short-term traders and carry prospectus warnings against long-term holding. Recommending that a conservative retiree concentrate 70% of her liquid assets in such products fails all three suitability components: reasonable-basis (leveraged ETFs are unsuitable for conservative long-term investors generally), customer-specific (her profile screamed unsuitability), and quantitative suitability (the concentration level was excessive).

Under Regulation Best Interest's Care Obligation (Securities Exchange Act Rule 15l-1), brokers must exercise reasonable diligence, care, and skill to understand potential risks, rewards, and costs, and have a reasonable basis to believe the recommendation is in the retail customer's best interest. Paulson's mischaracterization of leveraged ETFs as 'enhanced income funds' demonstrates either willful deception or incompetent analysis--neither satisfies the Care Obligation.

The academic research in the McCann, Qin, and Yan paper is directly relevant: BrokerCheck data showing prior misconduct is highly predictive of future misconduct. Paulson's three prior settlements totaling \$127,000 for similar conduct--unsuitable recommendations to elderly conservative investors--was publicly available. While FINRA Rule 3110 requires firms to establish supervisory systems, Ridgemont's failure to impose heightened supervision on a representative with documented patterns of unsuitable recommendations to the exact demographic Mrs. Holloway represents constitutes supervisory failure. The firm's procedures should have identified Paulson as requiring enhanced oversight, particularly regarding recommendations to elderly, conservative clients.

The recommendation to 'average down' after significant losses further evidences disregard for Mrs. Holloway's best interests and compounded the original violation.

Key Factor

Recommending leveraged ETFs--products explicitly unsuitable for long-term conservative investors--to a 72-year-old retiree seeking income and capital preservation, by a broker whose BrokerCheck record revealed a documented pattern of identical misconduct.

Item 263 of 499

NON-COMPLIANT

Topic: concentrated_position_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Customer-Specific Factors); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 72, was a retired schoolteacher and widow who opened an account with Bayside Financial Partners in March 2022. Her account application documented a conservative risk tolerance, an income-focused investment objective, a 5-year time horizon, liquid net worth of \$340,000, and annual income of \$48,000 consisting primarily of Social Security and a modest pension. Margaret explicitly stated during her onboarding meeting that she could not afford to lose principal and needed stable income to supplement her retirement.

Her registered representative, Daniel Prescott, initially allocated her portfolio appropriately across investment-grade bonds and dividend-paying blue-chip equities. However, in September 2022, Prescott recommended that Margaret invest \$170,000--representing 50% of her liquid net worth--into shares of a single biotechnology company, Veridian Therapeutics Inc., which had no earnings history and was awaiting FDA approval for its flagship drug candidate. Prescott told Margaret the stock was 'a once-in-a-lifetime opportunity' and that he had 'inside knowledge' the approval was imminent.

Margaret trusted Prescott based on their prior relationship and agreed to the purchase. By February 2023, Veridian Therapeutics received an FDA rejection letter, and the stock declined 78% from Margaret's purchase price. Her account value dropped from \$340,000 to approximately \$202,600. Margaret filed a customer complaint in April 2023 alleging that Prescott's recommendation was unsuitable given her age, risk tolerance, and dependence on her savings for retirement income. Prescott defended his recommendation by arguing that Margaret had signed a new account form acknowledging she understood investment risks and that the potential upside justified the recommendation.

Question

Did Daniel Prescott's recommendation that Margaret Holloway invest 50% of her liquid net worth in a speculative biotechnology stock violate FINRA's suitability requirements?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) across all three suitability obligations. Under Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction is suitable based on the customer's investment profile, which includes age, financial situation, risk tolerance, time horizon, investment objectives, and liquidity needs.

First, regarding reasonable-basis suitability, while biotechnology investments may be appropriate for some investors, concentrating 50% of a conservative retiree's assets in a pre-revenue company awaiting regulatory approval demonstrates a failure to conduct adequate due diligence on the recommendation's appropriateness for any investor, let alone one with Margaret's profile.

Second, the customer-specific suitability violation is clear. Margaret's documented profile--age 72, conservative risk

tolerance, income objective, 5-year horizon, and stated need to preserve principal--is fundamentally incompatible with a speculative biotech position representing half her liquid assets. FINRA Rule 2111.05(a) explicitly requires consideration of the customer's age, investment experience, time horizon, liquidity needs, and risk tolerance. Prescott's recommendation ignored every relevant factor.

Third, quantitative suitability concerns arise from the concentration level. While Rule 2111 typically addresses excessive trading, the principle extends to over-concentration that exposes a customer to unreasonable risk given their profile. Investing 50% of liquid net worth in a single speculative equity effectively transformed Margaret's conservative portfolio into a high-risk speculative account.

Prescott's defense that Margaret signed risk acknowledgment documents is unavailing. FINRA has consistently held that customer consent does not cure an unsuitable recommendation. Under Supplementary Material 2111.04, the suitability obligation remains with the broker regardless of documentation signed by the customer. The broker cannot shift responsibility for unsuitable recommendations to the customer through disclosure alone.

The concentration, speculation level, and complete mismatch with Margaret's documented investment profile establish clear violations of FINRA Rules 2111 and 2010 (Standards of Commercial Honor).

Key Factor

Recommending a 50% portfolio concentration in a speculative pre-revenue biotechnology stock to a 72-year-old conservative investor dependent on her savings for retirement income directly contradicted her documented investment profile and suitability requirements.

Item 264 of 499**NON-COMPLIANT**

Topic: suitability_va_annuity_senior_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 72, was a retired schoolteacher living in Coral Springs, Florida, with a fixed income consisting of Social Security benefits (\$2,100/month) and a small pension (\$1,400/month). In March 2019, she met with registered representative David Brennan of Coastal Atlantic Financial Group after attending a dinner seminar about 'safe retirement income strategies.' Mrs. Holloway had approximately \$285,000 in liquid assets, representing her entire life savings, held in certificates of deposit and a money market account. She explicitly told Brennan that her primary objectives were capital preservation and maintaining liquidity to cover potential healthcare expenses, as she had recently been diagnosed with early-stage Parkinson's disease. Her documented risk tolerance was conservative, and she indicated on her new account form that she had no prior experience with variable products or securities investments.

Brennan recommended that Mrs. Holloway invest \$240,000--approximately 84% of her liquid net worth--into the Pinnacle Growth Variable Annuity, a product featuring a seven-year surrender period with declining surrender charges starting at 7% in year one. The product included various sub-account investment options, and Brennan allocated 60% of the funds to aggressive growth equity sub-accounts and 30% to international equity sub-accounts, with only 10% in a fixed account option. The annuity carried total annual expenses of 3.2%, including mortality and expense charges, administrative fees, and underlying fund expenses.

Brennan's supervisor, Branch Manager Patricia Odom, approved the transaction after a brief review, noting only that the client had signed all required disclosure documents. Internal emails later revealed that Brennan was competing for a sales contest prize and that the Pinnacle annuity generated a 6.5% upfront commission. Within eighteen months, Mrs. Holloway needed to access \$45,000 for medical expenses but was forced to pay a \$2,835 surrender charge. Additionally, due to market volatility in early 2020, her account value had declined to \$187,000, representing a loss of over 22% of her principal.

Question

Did registered representative David Brennan violate his suitability obligations under FINRA rules when recommending the variable annuity to Margaret Holloway?

Answer

Yes, David Brennan violated FINRA Rule 2111 (Suitability) and FINRA Rule 2330 (Variable Annuity Suitability) in multiple respects. Under Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on reasonable diligence concerning the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance.

Brennan failed the reasonable-basis suitability component by recommending an aggressive equity allocation within a

complex variable annuity to a 72-year-old conservative investor with no securities experience. The 60% aggressive growth and 30% international equity allocation was fundamentally inconsistent with Mrs. Holloway's documented conservative risk tolerance and capital preservation objectives.

The customer-specific suitability violation is equally clear. Rule 2111(a) requires that recommendations be suitable for the particular customer. Mrs. Holloway explicitly communicated her need for liquidity due to her Parkinson's diagnosis and potential healthcare expenses. Recommending a product with a seven-year surrender period and concentrating 84% of her liquid assets in that illiquid vehicle directly contradicted her stated needs. FINRA Rule 2330(b) specifically requires that a representative have a reasonable basis to believe the customer would benefit from certain features of a variable annuity, including surrender periods and sub-account allocations. A seven-year surrender period is patently unsuitable for a 72-year-old client with documented health concerns and liquidity requirements.

Further, Rule 2330(b)(1)(A) requires consideration of whether the customer has liquid assets sufficient to meet liquidity needs outside the annuity. Leaving Mrs. Holloway with only \$45,000 in liquid assets--less than 16% of her savings--failed this standard.

Branch Manager Odom's supervisory review was deficient under FINRA Rule 3110, as she failed to meaningfully evaluate the suitability factors before approving the transaction. The sales contest incentive, while not dispositive, evidences the motivation behind this unsuitable recommendation. The recommendation violated both the letter and spirit of FINRA's suitability framework designed to protect senior investors.

Key Factor

Recommending a long-surrender-period variable annuity with aggressive equity allocations to a 72-year-old conservative investor with documented liquidity needs and no investment experience was fundamentally unsuitable.

Item 265 of 499**NON-COMPLIANT**

Topic: variable_annuity_suitability_elderly_customer

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2330 (Deferred Variable Annuities), FINRA Rule 3110 (Supervision), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 74, was a retired schoolteacher living in Clearwater, Florida, who became a client of Pinnacle Financial Advisors, LLC in September 2019. Her husband had recently passed away, leaving her with approximately \$485,000 in combined assets: \$320,000 in her late husband's traditional IRA rollover, \$95,000 in a money market account, and \$70,000 in Series I savings bonds. Mrs. Ellison's documented investment objectives were capital preservation and income generation to supplement her modest \$2,100 monthly pension. Her risk tolerance was clearly marked as 'conservative' on her new account documentation, and she disclosed she had no prior experience with securities beyond certificates of deposit.

Her assigned representative, Brian Kowalski, recommended that Mrs. Ellison invest \$285,000 of her IRA rollover into the Summit Select Variable Annuity, a product featuring a 7-year surrender period with declining surrender charges starting at 8%. The annuity included an optional living benefit rider with an annual fee of 1.35%, on top of the base mortality and expense charges of 1.40% and underlying fund expenses averaging 0.85%. Kowalski presented the product as providing 'guaranteed lifetime income protection' without adequately explaining that the guarantees were contingent on annuitization or that the high total annual costs would significantly erode her principal over time.

Mrs. Ellison signed the application materials in October 2019, believing she was purchasing a safe, income-generating investment similar to a CD. She was not informed that liquidating the annuity within the first seven years to access funds for medical expenses or other emergencies would result in substantial surrender penalties. Kowalski's notes reflected a 15-minute meeting with no documentation of any discussion regarding Mrs. Ellison's liquidity needs, health status, or the availability of lower-cost alternatives. The firm's compliance review approved the transaction within 24 hours based solely on the signed application without conducting any supervisory due diligence on the recommendation's suitability for a 74-year-old conservative investor with limited liquid assets.

Question

Did Pinnacle Financial Advisors and representative Brian Kowalski violate their suitability obligations under FINRA rules when recommending the Summit Select Variable Annuity to Mrs. Ellison?

Answer

Yes, this recommendation violated FINRA Rule 2111 (Suitability) and FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities). The facts demonstrate clear failures across multiple suitability dimensions.

Under FINRA Rule 2111, a member must have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Mrs. Ellison's profile--a 74-year-old widow, conservative investor, capital preservation objective, limited investment experience, and reliance on her assets for income supplementation--is fundamentally inconsistent with a complex variable annuity featuring a 7-year surrender period and

aggregate annual expenses exceeding 3.5%.

FINRA Rule 2330 specifically governs deferred variable annuity recommendations and requires representatives to determine whether the customer would benefit from the product's features, whether the customer is willing to accept the risk of loss inherent in the underlying subaccounts, whether the customer has a long-term investment objective, and whether liquidity needs would be impacted by surrender charges. Kowalski failed on every element. At age 74, Mrs. Ellison's actuarial time horizon makes a 7-year surrender period particularly problematic. The recommendation consumed approximately 85% of her liquid IRA assets, leaving minimal accessible funds for healthcare or emergencies--a critical concern for elderly clients. No documentation supports any analysis of these factors.

The firm's supervisory review was equally deficient. FINRA Rule 2330(c) requires principals to review each variable annuity transaction to determine suitability before approving. A 24-hour rubber-stamp approval based solely on signed paperwork, without examining the customer's complete financial picture or the representative's rationale, constitutes inadequate supervision under FINRA Rule 3110.

Kowalski's defense that Mrs. Ellison signed the application is unavailing; customer consent does not cure an unsuitable recommendation. The recommendation prioritized high-commission product sales over Mrs. Ellison's genuine needs for accessible, low-cost, income-generating investments. This constitutes a violation of FINRA Rules 2111, 2330, and 2010 (Standards of Commercial Honor).

Key Factor

Recommending a 7-year surrender period variable annuity to a 74-year-old conservative investor with limited liquidity and no documentation of suitability analysis violated the customer-specific suitability obligation.

Item 266 of 499

NON-COMPLIANT

Topic: nt_etp_suitability_retail_customer

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(1); Rule 15l-1(a)(2)(ii) Care Obligation; Rule 15l-1(a)(2)(iv) Compliance Obligation; FINRA Rules 3110 and 2010

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Coastal Securities Partners, a FINRA member firm based in Tampa, Florida with twelve registered representatives, has operated since 2008 serving primarily retail customers. In September 2022, registered representative Daniel Hoffman recommended that his client, Margaret Chen, age 67, purchase \$85,000 worth of a 3x leveraged inverse crude oil exchange-traded product (NT-ETP) designed to return triple the inverse daily performance of a crude oil futures benchmark. Mrs. Chen was a recently retired school administrator with a stated investment objective of capital preservation and income generation to supplement her pension and Social Security benefits. Her risk tolerance was documented as 'conservative' on her new account form completed in March 2022, and her total liquid net worth was approximately \$340,000, representing her lifetime savings.

Hoffman explained to Mrs. Chen that oil prices appeared elevated and that this product would allow her to profit if prices declined. He characterized the NT-ETP as a 'hedge against inflation' and indicated it could provide meaningful returns in a declining energy market. Hoffman did not explain the daily reset mechanism, the effects of volatility decay, or that the product was designed for short-term trading by sophisticated investors. Mrs. Chen held the position for approximately four months.

During the holding period, crude oil prices experienced significant daily volatility, moving both up and down substantially across multiple trading sessions. Despite oil prices being roughly flat over the four-month period, Mrs. Chen's NT-ETP position lost approximately \$31,400, or 37% of her investment, due to the compounding effects and volatility decay inherent in leveraged inverse products. Coastal Securities' written supervisory procedures at the time contained only a single paragraph referencing complex products generally and did not specifically address NT-ETPs, the appropriateness of such products for retail customers, required disclosures, or holding period limitations. The firm's principal, Thomas Ridley, approved the transaction without conducting any enhanced review or documenting why this recommendation was in Mrs. Chen's best interest.

Question

Did registered representative Hoffman and Coastal Securities Partners violate Regulation Best Interest's Care Obligation when recommending the 3x leveraged inverse NT-ETP to Mrs. Chen?

Answer

Yes, both Hoffman and Coastal Securities Partners violated Regulation Best Interest. Exchange Act Rule 15l-1(a)(1) requires that when making a recommendation to a retail customer, a broker-dealer and its associated persons must act in the best interest of that customer at the time the recommendation is made, without placing their own interests ahead of the customer's interest.

The Care Obligation under Rule 15l-1(a)(2)(ii) specifically requires that the broker or associated person exercise reasonable diligence, care, and skill to: (A) understand the potential risks, rewards, and costs of the recommendation;

(B) have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile; and (C) have a reasonable basis to believe that a series of recommended transactions is not excessive.

Hoffman's recommendation fails each applicable prong. First, his characterization of the NT-ETP as an 'inflation hedge' and his failure to explain the daily reset mechanism, volatility decay, and short-term trading design suggests he did not adequately understand the product's risks and mechanics himself. NT-ETPs are explicitly designed for single-day holding periods by sophisticated traders, not multi-month positions by conservative retirees.

Second, the recommendation lacked any reasonable basis given Mrs. Chen's documented investment profile. A 67-year-old retiree with conservative risk tolerance, capital preservation objectives, and limited liquid assets (\$340,000) is fundamentally unsuitable for a highly speculative, leveraged inverse product representing 25% of her liquid net worth. The product's characteristics are diametrically opposed to her stated needs.

Coastal Securities additionally violated Rule 15l-1(a)(2)(iv)'s Compliance Obligation by failing to establish written policies and procedures reasonably designed to achieve Reg BI compliance regarding NT-ETPs, and violated FINRA Rule 3110 through inadequate supervisory systems. Principal Ridley's approval without enhanced review or documentation of best interest considerations demonstrates systemic supervisory failure. These violations also constitute violations of FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade.

Key Factor

Recommending a 3x leveraged inverse NT-ETP designed for single-day trading to a 67-year-old conservative retiree seeking capital preservation, without adequate product explanation or supervisory review, fundamentally violated the Care Obligation's requirement of reasonable basis belief in the customer's best interest.

Item 267 of 499**NON-COMPLIANT**

Topic: suitability_puerto_rico_closed_end_funds

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 1010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Maria Elena Vasquez, age 67, was a retired schoolteacher in Bayamón, Puerto Rico, with a modest pension of \$2,400 per month and total liquid assets of approximately \$285,000, representing her entire life savings. In March 2013, her financial adviser at Caribbean Wealth Partners, Inc., Roberto Mendez, recommended that she invest \$240,000--approximately 84% of her liquid net worth--into a portfolio of Puerto Rico municipal closed-end bond funds, specifically the PR Fixed Income Fund III and the PR Tax-Advantaged Bond Fund II. Mendez emphasized the tax-free income benefits for Puerto Rico residents and projected yields of 6-7% annually, characterizing the investments as 'conservative income generators suitable for retirees.'

Vasquez's new account documentation indicated she had a 'moderate' risk tolerance, an 'income' investment objective, a 15-year investment time horizon, and limited investment experience confined to certificates of deposit and money market accounts. She specifically told Mendez during their initial meeting in February 2013 that she could not afford to lose her principal because this money needed to last through her retirement. Mendez's notes from the meeting, produced during arbitration discovery, confirmed this conversation occurred.

The closed-end funds Mendez recommended were leveraged at approximately 40-45%, used borrowed money to enhance yields, and were heavily concentrated in Puerto Rico municipal debt--securities that were already showing signs of fiscal stress by early 2013. The funds also traded on secondary markets at prices that could deviate significantly from net asset value, introducing additional volatility risk. By September 2013, credit rating agencies had begun downgrading Puerto Rico debt, and by 2015, Vasquez's portfolio had declined to approximately \$95,000, a loss of over \$145,000 or roughly 60% of her invested principal.

Vasquez filed a FINRA arbitration claim in 2016 alleging unsuitability, breach of fiduciary duty, and negligence. The firm's compliance records showed that Mendez had received internal guidance in January 2013 warning that leveraged closed-end funds carried heightened risk and should be limited to no more than 25% of conservative investors' portfolios. Mendez testified that he believed the tax advantages justified the concentration and that municipal bonds were historically safe investments.

Question

Did Roberto Mendez's recommendation that Maria Elena Vasquez invest 84% of her liquid assets in leveraged Puerto Rico municipal closed-end funds violate FINRA's suitability requirements?

Answer

Yes, Mendez's recommendation violated FINRA Rule 2111 (Suitability) on multiple grounds, specifically the customer-specific suitability obligation under Rule 2111(a) and the quantitative suitability component.

FINRA Rule 2111(a) requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial

situation, risk tolerance, investment objectives, and investment experience. Here, Vasquez was a 67-year-old retiree with limited investment experience, a stated inability to afford principal loss, a moderate risk tolerance, and an income-focused investment objective. Her \$285,000 represented her entire liquid savings needed for retirement.

Mendez's recommendation failed customer-specific suitability in several respects. First, concentrating 84% of a conservative retiree's liquid assets in any single asset class--let alone leveraged closed-end funds--is fundamentally inconsistent with moderate risk tolerance and capital preservation needs. Second, the 40-45% leverage embedded in these funds amplified both potential gains and losses, making them unsuitable for an investor who explicitly stated she could not afford to lose principal. Third, the concentration in Puerto Rico municipal debt created significant credit and liquidity risk that was inappropriate for Vasquez's profile.

The firm's own January 2013 internal guidance--limiting leveraged closed-end fund exposure to 25% for conservative investors--establishes that Mendez knew or should have known the recommendation was unsuitable. His 84% allocation exceeded this threshold by more than three times. Under FINRA Rule 2010 (Standards of Commercial Honor), this disregard of internal risk controls further evidences a failure to observe high standards of commercial honor and just and equitable principles of trade.

Mendez's defense that tax advantages and historical municipal bond safety justified the concentration is unavailing. FINRA guidance consistently emphasizes that suitability analysis must consider the specific characteristics of the actual products recommended--here, leveraged, concentrated, and thinly-traded instruments--not generic asset class assumptions. The 60% principal loss demonstrates the materialization of precisely the risks that made this recommendation unsuitable from inception.

Key Factor

Concentrating 84% of a conservative retiree's life savings in leveraged closed-end funds directly contradicted her stated inability to afford principal loss and the firm's own 25% concentration guidance for such products.

Item 268 of 499

COMPLIANT

Topic: excessive_markup_suitability_elderly_customer

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Oregon Securities Law ORS 59.115, 59.127, 59.135; Oregon Elder Financial Abuse Statute ORS 124.100-110

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Harold J. Weston, an 81-year-old retired school administrator, maintained an Individual Retirement Account with Cascade Securities Partners LLC, a FINRA member firm based in Salem, Oregon. His account representative was Marcus Chen, a registered representative who had serviced Weston's accounts since 2014. Weston's documented investment profile indicated a conservative risk tolerance, income-generation objective, and moderate investment experience limited primarily to mutual funds and certificates of deposit. His liquid net worth was approximately \$340,000, with his IRA representing approximately \$285,000 of that total.

Between March 2019 and November 2022, Chen recommended that Weston purchase various fixed-income securities, primarily investment-grade corporate bonds and municipal bonds appropriate for his conservative profile and income needs. The bonds selected carried credit ratings between A and BBB+, with maturities ranging from 5 to 12 years--consistent with Weston's stated time horizon and income requirements in retirement. The portfolio generated approximately \$14,200 in annual income, which aligned with Weston's supplemental income needs.

In late 2022, Weston's daughter, an attorney, reviewed her father's account statements and became concerned about the transaction costs reflected on his confirmations. She engaged a forensic accountant who analyzed three years of trades. The accountant's report concluded that while the markups and markdowns on Weston's bond transactions were within industry norms (averaging 1.2% on purchases and 0.9% on sales), the overall trading frequency and product selection were consistent with Weston's stated objectives. The expert found no evidence of churning, as the account turnover ratio was 0.31 annually--well below thresholds typically associated with excessive trading.

Weston filed a FINRA arbitration claim alleging breach of fiduciary duty and elder financial abuse under Oregon law, seeking \$175,000 in damages. At the evidentiary hearing, Weston testified about his investment goals and his understanding of the transactions. Respondents presented expert testimony and documentary evidence demonstrating that all recommendations were consistent with Weston's profile and that the account had performed in line with comparable conservative fixed-income portfolios during the relevant period.

Question

Did Marcus Chen's bond recommendations and trading activity in Harold Weston's IRA satisfy FINRA's suitability requirements under Rule 2111, given Weston's age, risk tolerance, and investment objectives?

Answer

Based on the facts presented, Marcus Chen's recommendations appear to have satisfied FINRA Rule 2111's suitability requirements. The arbitration panel's dismissal at the conclusion of claimant's case suggests the evidence failed to establish a prima facie violation.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on

reasonable diligence concerning the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching recommendations to the customer's profile), and quantitative suitability (ensuring trading frequency is appropriate).

Here, Chen's recommendations satisfied all three prongs. First, investment-grade corporate and municipal bonds with A to BBB+ ratings are well-understood fixed-income instruments appropriate for conservative investors--satisfying reasonable-basis suitability. Second, the product selection directly aligned with Weston's documented conservative risk tolerance, income-generation objective, and retirement time horizon. An 81-year-old retiree seeking supplemental income represents precisely the investor profile for whom investment-grade bonds are designed--meeting customer-specific suitability under Rule 2111(a).

Third, the quantitative suitability component was satisfied by the account's annual turnover ratio of 0.31, which falls substantially below the thresholds typically indicating excessive trading (generally 4-6x for equity accounts, even lower for fixed-income). The forensic accountant's finding that markups averaged 1.2%--within industry norms for principal bond transactions--further supports the conclusion that trading costs were reasonable.

Regarding the elder financial abuse claim under Oregon law (ORS 124.100-110), such claims require proof of wrongful taking or appropriation of resources. Where trading activity is suitable and transaction costs are within industry standards, the elements of financial abuse are not established.

The panel's dismissal following claimant's case-in-chief indicates Weston failed to demonstrate damages or misconduct warranting relief, consistent with the expert evidence showing appropriate recommendations and reasonable costs.

Key Factor

The bond recommendations matched Weston's conservative risk profile and income objectives, and the low turnover ratio of 0.31 combined with industry-standard markups demonstrated the trading was quantitatively suitable for an elderly IRA customer.

Item 269 of 499

NON-COMPLIANT

Topic: suitability_of_illiquid_alternative_investments

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on suitability obligations for illiquid investments

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Daniel Petersen, age 72, had been a client of Pacific Coast Financial Services and its registered representative, Marcus Thornton, since 2018. Mr. Petersen was a retired school administrator living on a fixed income consisting of a \$3,200 monthly pension and \$1,800 in Social Security benefits. His total liquid net worth was approximately \$485,000, representing his entire retirement savings held in a rollover IRA. In his new account documentation completed in January 2020, Mr. Petersen indicated his investment objective as 'income with capital preservation,' his risk tolerance as 'conservative,' his time horizon as '5-10 years,' and his liquidity needs as 'moderate' given potential healthcare expenses.

Between March 2020 and August 2021, Thornton recommended that Mr. Petersen invest \$145,000 (approximately 30% of his portfolio) across three non-traded Real Estate Investment Trusts (REITs) and one non-traded Business Development Company (BDC). These products carried upfront commissions ranging from 6% to 7%, had minimum holding periods of seven years, and offered no guaranteed secondary market for redemption. Thornton's internal notes reflected that he discussed 'potential for higher yields than traditional fixed income' but contained no documentation of how he assessed these illiquid investments against Mr. Petersen's stated liquidity needs or conservative risk profile.

In November 2022, Mr. Petersen's wife suffered a stroke requiring extended nursing care. When Mr. Petersen attempted to liquidate portions of his non-traded REIT holdings to cover medical expenses, he discovered the products were essentially illiquid. One sponsor offered a tender at 65 cents on the dollar; the others declined redemption requests entirely. Mr. Petersen subsequently filed a FINRA arbitration claim alleging unsuitable recommendations, seeking \$78,000 in damages representing the difference between his investment and current liquidation value, plus consequential damages for emergency borrowing costs he incurred.

Question

Did Marcus Thornton's recommendations of illiquid non-traded REITs and a BDC to Mr. Petersen violate FINRA's suitability obligations under Rule 2111?

Answer

The recommendations violated FINRA Rule 2111's suitability requirements on multiple grounds. Rule 2111 imposes three distinct suitability obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching recommendations to the customer's profile), and quantitative suitability (avoiding excessive concentration). Thornton failed the customer-specific component decisively.

Under Rule 2111(a), a broker must have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, investment objectives, liquidity needs, risk tolerance, and time horizon. Mr. Petersen's documented profile created clear red flags: at 72 years old, living on fixed income with moderate liquidity needs and a conservative risk tolerance seeking capital preservation, illiquid alternative investments

with 7-year lockups were fundamentally inappropriate.

The 30% concentration in illiquid alternatives is particularly problematic. FINRA has repeatedly emphasized that recommendations of illiquid products to elderly, conservative investors with income needs require heightened scrutiny. The products' 6-7% upfront commissions created immediate value impairment, directly contradicting Mr. Petersen's capital preservation objective. More critically, the inherent illiquidity conflicted with his stated moderate liquidity needs--a factor Thornton's notes failed to address entirely.

Thornton's documentation deficiency compounds the violation. Rule 2111.05 requires brokers to evidence their suitability analysis. His notes referenced only potential yield benefits without documenting any analysis of how illiquid, long-duration products aligned with a 72-year-old's profile or addressed the tension between the lockup periods and Mr. Petersen's liquidity requirements.

The defense that Mr. Petersen signed disclosure documents acknowledging the products' illiquidity does not cure the suitability violation. Customer acknowledgment of risk disclosures does not satisfy the broker's independent obligation to make suitable recommendations. Rule 2111 places the suitability burden on the broker, not the customer.

The arbitration panel would likely find in favor of Mr. Petersen. The recommendations failed customer-specific suitability given the fundamental mismatch between illiquid alternatives and a conservative, income-dependent retiree with documented liquidity needs.

Key Factor

The broker failed to document or reasonably analyze how illiquid products with 7-year lockups were suitable for a 72-year-old conservative investor with moderate liquidity needs and fixed income dependency.

Item 270 of 499

NON-COMPLIANT

Topic: suitability_of_illiquid_tic_investment

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2019, Gerald and Patricia Thornton, a married couple aged 67 and 64 respectively, met with William Marsden III, a registered representative at Cascade Mountain Securities, LLC. The Thorntons had recently sold their family business for \$1.8 million and were seeking conservative investments to fund their retirement, which they planned to begin within 18 months. Their investment objectives were documented as 'income with capital preservation,' with a moderate risk tolerance and a stated need for liquidity to cover potential healthcare expenses given Gerald's recent cardiac diagnosis.

Marsden recommended that the Thorntons invest \$850,000--approximately 47% of their liquid net worth--into two tenant-in-common (TIC) real estate interests: \$500,000 in Westfield Commercial Partners TIC and \$350,000 in Harbor Industrial TIC. Marsden emphasized the tax-deferral benefits and projected 7% annual distributions, but failed to adequately explain that TIC investments are highly illiquid, typically requiring hold periods of seven to ten years, and that distributions were not guaranteed. The new account documentation listed the Thorntons' investment experience as 'moderate,' though they had never previously invested in alternative investments or real estate securities.

Marsden's branch manager, Anthony Kellerman, approved the transactions despite internal compliance guidance requiring enhanced suitability review for customers over age 65 investing more than 25% of liquid assets in illiquid products. Cascade Mountain earned \$68,000 in commissions on the TIC sales. By late 2021, both TIC investments had suspended distributions, and the Thorntons were unable to liquidate their positions when Gerald required unexpected long-term care. The Thorntons filed a FINRA arbitration claim in February 2022, alleging unsuitability, negligence, and failure to supervise against Marsden, Kellerman, and Cascade Mountain Securities.

Question

Did Marsden's recommendation that the Thorntons invest \$850,000 in illiquid TIC interests violate FINRA suitability requirements given their documented investment profile and stated need for liquidity?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111. Under Rule 2111(a), a member or associated person must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on reasonable diligence concerning the customer's investment profile. This obligation has three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Marsden's recommendation failed the customer-specific suitability prong. The Thorntons explicitly documented income with capital preservation objectives, moderate risk tolerance, and a need for liquidity due to Gerald's health condition. TIC investments are inherently illiquid alternative investments with extended hold periods of seven to ten years--fundamentally inconsistent with customers requiring accessible capital within 18 months for retirement and potential healthcare needs. Concentrating 47% of the Thorntons' liquid net worth in such illiquid products was grossly

disproportionate to their stated profile.

Furthermore, Marsden failed to ensure the Thorntons understood material characteristics of the TIC investments, including illiquidity risks and the speculative nature of projected distributions. Rule 2111's Supplementary Material .05 clarifies that while a customer's stated risk tolerance is relevant, the recommended investment must still be consistent with other profile factors including liquidity needs and investment time horizon.

The supervisory failure compounds the violation. Under FINRA Rule 3110, Cascade Mountain was required to establish written procedures reasonably designed to supervise representatives' activities. Kellerman's approval of the transaction despite internal guidance requiring enhanced review for elderly customers investing heavily in illiquid products constitutes a failure to supervise under Rule 3110(a) and (b).

Marsden cannot defend on grounds that the Thorntons signed disclosures or that projected returns justified the risk. FINRA has consistently held that customer signatures do not cure an unsuitable recommendation, and speculative yield does not override fundamental profile mismatches. The arbitration panel would likely find joint and several liability for compensatory damages representing investment losses plus consequential damages from the liquidity crisis.

Key Factor

The recommendation of illiquid TIC investments requiring seven-to-ten-year hold periods was fundamentally incompatible with the Thorntons' documented liquidity needs, near-term retirement timeline, and health-related financial contingencies.

Item 271 of 499**NON-COMPLIANT**

Topic: unsuitability_concentrated_speculative_securities

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); New Jersey Securities Act

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Camille Whitfield, a 62-year-old retired schoolteacher from Edison, New Jersey, opened a brokerage account with Graystone Capital Partners, LLC in January 2014. Her account documentation indicated annual income of \$48,000 from pension payments, liquid net worth of approximately \$225,000 (representing substantially all of her life savings), investment experience limited to certificates of deposit and a 403(b) plan invested in target-date funds, a conservative risk tolerance, and investment objectives of capital preservation and income generation to supplement her pension during retirement. Her registered representative, Michael Santana, had been in the industry for eight years and was the sole point of contact for Mrs. Whitfield's account.

Between March 2014 and November 2015, Santana recommended and executed purchases of seven different microcap and penny stock securities in Mrs. Whitfield's account, representing issuers in speculative industries including junior mining exploration, early-stage biotechnology, and cannabis-related ventures. These securities were thinly traded, carried significant liquidity risk, and several were the subject of promotional campaigns. By December 2015, these speculative positions constituted approximately 78% of Mrs. Whitfield's portfolio, with individual position sizes ranging from \$18,000 to \$45,000.

Santana represented to Mrs. Whitfield that these securities offered 'ground floor opportunities' with 'limited downside' and would provide the growth needed to ensure her financial security throughout retirement. He did not document any change to her risk tolerance or investment objectives in the firm's systems. Graystone Capital Partners had a supervisory system requiring heightened review of concentrated speculative positions exceeding 25% of account value, but Santana's branch manager, who was responsible for over 140 registered representatives, failed to flag these transactions for additional scrutiny.

By March 2016, Mrs. Whitfield's account had declined to approximately \$25,000, representing losses of approximately \$200,000. Several of the penny stocks became essentially worthless after trading was halted, and one issuer was subsequently the subject of SEC enforcement action for securities fraud. Mrs. Whitfield was forced to take a second mortgage on her home to cover living expenses, incurring approximately \$26,000 in additional interest costs.

Question

Did Santana's recommendations of concentrated speculative securities to Mrs. Whitfield violate FINRA's suitability requirements, and what is the potential liability for both the representative and the firm?

Answer

Santana's recommendations clearly violated FINRA Rule 2111 (Suitability) across all three components, and both he and Graystone Capital Partners bear liability for the resulting damages.

Regarding reasonable-basis suitability under Rule 2111(a), a registered representative must have a reasonable basis to

believe a recommendation is suitable for at least some investors. Microcap and penny stocks carry extreme volatility, liquidity risk, and heightened fraud exposure. While such securities may be suitable for sophisticated investors with high risk tolerance and speculative objectives, Santana failed to demonstrate adequate due diligence on these issuers, several of which were promotional vehicles later subject to regulatory action.

More critically, Santana violated customer-specific suitability requirements. Rule 2111.04 requires that recommendations be suitable based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and investment experience. Mrs. Whitfield's documented profile--a 62-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience, and dependence on her \$225,000 in savings for retirement security--is fundamentally incompatible with speculative penny stock investments. Santana's oral representations about 'limited downside' were materially misleading and do not cure the underlying unsuitability.

Quantitative suitability was also violated. Concentrating 78% of a conservative retiree's portfolio in speculative securities, regardless of individual transaction merit, created unsuitable overall exposure. FINRA has consistently held that even individually suitable recommendations can constitute violations when aggregated in a manner inconsistent with customer objectives.

Graystone Capital Partners is liable under FINRA Rule 3110 for failure to supervise. The firm's 25% concentration threshold should have triggered enhanced review, but the branch manager's failure to monitor Santana's activities--despite a supervisory ratio of 140 representatives--demonstrates systemic deficiency. The firm is also liable under principles of respondeat superior for Santana's conduct.

The damages awarded--\$200,000 compensatory, \$26,000 mortgage interest, \$111,000 market-adjusted damages, and punitive damages against the firm for document falsification--appropriately reflect the severity of the misconduct and the claimant's complete financial devastation resulting from fundamentally unsuitable recommendations.

Key Factor

Recommending speculative penny stocks constituting 78% of portfolio to a 62-year-old conservative retiree with capital preservation objectives directly contradicted her documented investment profile and risk tolerance.

Item 272 of 499**NON-COMPLIANT**

Topic: pre_ipo_fund_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a)-(c) (reasonable-basis, customer-specific, and quantitative suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Coastal Securities Group, a FINRA member firm based in Garden City, New York, employed registered representative Daniel Moretti, who in March 2020 recommended that his client, Eleanor Vance, age 67, invest \$185,000 in a private placement offering of the Quantum Pre-IPO Technology Fund II, LP. Mrs. Vance was a recently widowed retired schoolteacher whose husband had passed away six months earlier, leaving her with a \$420,000 rollover IRA and a modest pension of \$2,800 per month. Her new account form indicated a 'moderate' risk tolerance, an investment objective of 'income with capital preservation,' a liquid net worth of \$445,000, and an annual income of \$38,000. She had no prior experience with private placements, alternative investments, or illiquid securities.

Moretti told Mrs. Vance that the Quantum Fund invested in late-stage technology companies expected to go public within 18 to 24 months and projected returns of 40-60% upon the anticipated IPOs. He emphasized that the fund was 'practically risk-free' because the underlying companies were 'guaranteed' to IPO based on market conditions. Moretti did not discuss the fund's five-year lockup period, the lack of any secondary market for the interests, the speculative nature of pre-IPO investing, or the possibility that the underlying companies might never go public or could fail entirely.

The private placement memorandum for Quantum Fund explicitly stated that the offering was suitable only for 'accredited investors who can bear the complete loss of their investment and who have no need for liquidity.' It further disclosed numerous risk factors including the illiquid nature of the investment, the speculative character of pre-IPO companies, and the possibility of total loss. Mrs. Vance's \$185,000 investment represented approximately 44% of her liquid net worth.

By January 2023, two of the three portfolio companies in Quantum Fund had ceased operations, and the fund's NAV had declined by 72%. Mrs. Vance was unable to access any of her investment due to the lockup provisions and faced the prospect of significant permanent capital loss at a time when she needed funds for assisted living expenses.

Question

Did Moretti's recommendation that Mrs. Vance invest \$185,000 in the Quantum Pre-IPO Technology Fund violate FINRA's suitability requirements?

Answer

Moretti's recommendation clearly violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). The suitability analysis fails on all three components required under Rule 2111.

Regarding reasonable-basis suitability under Rule 2111.05(a), Moretti failed to perform adequate due diligence on the Quantum Fund. His representations that pre-IPO investments were 'practically risk-free' and that IPOs were 'guaranteed' directly contradicted the PPM's explicit risk disclosures. A representative must understand the risks and

features of a product before recommending it, and Moretti's statements demonstrate either willful ignorance or deliberate misrepresentation of fundamental product characteristics.

Customer-specific suitability under Rule 2111.05(b) was grossly violated. Mrs. Vance's documented investment profile--moderate risk tolerance, income with capital preservation objective, age 67, limited investment experience, and dependence on her assets for retirement income--was fundamentally incompatible with a speculative, illiquid private placement with a five-year lockup. The PPM itself stated the investment was suitable only for investors who could 'bear the complete loss' and had 'no need for liquidity.' Mrs. Vance met neither criterion.

Quantitative suitability under Rule 2111.05(c) is implicated by the concentration. Recommending that a 67-year-old retiree with modest means place 44% of her liquid assets in a single illiquid, speculative investment is excessive on its face. This concentration exposed her to catastrophic loss potential inconsistent with her stated objectives and financial situation.

Moretti cannot claim reliance on Mrs. Vance's signature on account documents as a defense. FINRA Regulatory Notice 12-25 clarifies that suitability obligations are not satisfied merely by customer consent; the recommendation itself must be suitable based on the customer's actual profile. Additionally, his affirmative misstatements about risk levels constitute independent violations of Rule 2010's just and equitable principles of trade. The recommendation was unsuitable, and Coastal Securities Group failed in its supervisory obligations under Rule 3110 by permitting this transaction.

Key Factor

Recommending a speculative, illiquid five-year lockup private placement representing 44% of liquid assets to a 67-year-old widow with moderate risk tolerance and income/preservation objectives directly contradicted every element of her documented investment profile.

Item 273 of 499

NON-COMPLIANT

Topic: private_fund_expense_suitability

Difficulty: hard

Standard: Investment Advisers Act Sections 206(2), 206(4); Rule 206(4)-8 (fraud on pooled investment vehicle investors)

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Horizon Impact Partners, LLC is a registered investment adviser that manages two private funds: the Horizon Africa Growth Fund, LP and the Horizon Family Credit Opportunities Fund, LP. Marcus Wellingham serves as the founder, CEO, and sole owner of Horizon Impact Partners. Between March 2020 and November 2024, Horizon Impact Partners recommended that approximately 45 accredited investors--primarily high-net-worth individuals seeking impact-oriented investments with moderate risk tolerance--allocate between \$150,000 and \$2,500,000 each to these private funds. The funds' Private Placement Memoranda represented that management fees would be 1.5% annually and that fund expenses would be limited to 'ordinary operating costs including audit, legal, and custodial fees.'

During the investment period, Wellingham directed the funds to pay for expenses that materially exceeded the disclosed scope, including \$387,000 in travel costs for Wellingham and his family to conduct purported due diligence trips, \$215,000 for office renovations at Horizon's headquarters, and \$142,000 for promotional events that primarily benefited the adviser's marketing efforts rather than fund operations. These expense allocations reduced fund returns by approximately 2.8% annually beyond the disclosed fee structure. A 72-year-old retired investor, Eleanor Vasquez, invested \$1,800,000 of her retirement savings in the Horizon Africa Growth Fund based on representations that her capital would experience minimal fee drag beyond the stated management fee.

Wellingham never updated the PPM disclosures to reflect the expanded expense categories, nor did he provide investors with any supplemental written notice of these charges. When questioned by Horizon's compliance consultant about the expense allocations, Wellingham maintained that the charges were 'reasonably related to fund operations' and declined to implement the consultant's recommendation to revise disclosure documents. The funds' audited financial statements reflected these expenses as 'general and administrative costs' without itemization.

Question

Did Horizon Impact Partners and Wellingham breach their fiduciary duties to fund investors by charging undisclosed expenses to the private funds without adequate disclosure, thereby making the investment unsuitable relative to investors' expectations?

Answer

Yes, Horizon Impact Partners and Wellingham breached their fiduciary duties to fund investors in violation of Sections 206(2) and 206(4) of the Investment Advisers Act and Rule 206(4)-8 thereunder. The conduct rendered the investment materially different from what investors were led to expect, undermining the suitability of the recommendation.

Under Section 206(2), an investment adviser owes clients a fiduciary duty that encompasses full and fair disclosure of all material facts and an obligation not to engage in conduct that operates as a fraud or deceit. The charging of \$744,000 in undisclosed expenses--including personal travel, office renovations, and marketing events--directly contradicted the PPM representations that expenses would be limited to ordinary operating costs. This created an

undisclosed fee structure that reduced investor returns by 2.8% annually beyond stated fees, a material deviation that would have influenced a reasonable investor's decision.

Section 206(4) and Rule 206(4)-8 specifically prohibit advisers to pooled investment vehicles from making untrue statements of material fact or engaging in practices that operate as fraud upon fund investors. By representing a limited expense structure while systematically charging broader expenses, Horizon made materially misleading statements. The failure to update disclosures despite the compliance consultant's recommendations demonstrates conscious disregard for disclosure obligations.

For investors like Eleanor Vasquez--a 72-year-old retiree with \$1,800,000 invested and moderate risk tolerance--the undisclosed fee drag fundamentally altered the investment's suitability profile. Retirees dependent on investment returns are particularly sensitive to fee structures, and the 2.8% additional annual drag materially impacted her expected retirement income.

Wellingham's defense that expenses were 'reasonably related to fund operations' fails because the controlling standard is not his subjective characterization but rather the objective scope of disclosures provided to investors. Personal travel costs and office renovations clearly exceeded the 'ordinary operating costs' language in the PPM. The fiduciary duty requires not merely avoiding outright lies but providing complete and accurate information to enable informed investment decisions.

Key Factor

The adviser charged \$744,000 in undisclosed expenses to the private funds that contradicted PPM representations, creating hidden fee drag that materially altered the investment's suitability for investors relying on stated cost structures.

Item 274 of 499

NON-COMPLIANT

Topic: retirement_rollover_best_interest_care_obligation

Difficulty: hard

Standard: Regulation Best Interest (Exchange Act Rule 15l-1), Care Obligation component; FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuity Recommendations)

Source: 09_Law_Firm_Memos

Fact Pattern

Sterling Capital Securities, a registered broker-dealer, employed Marcus Whitfield as a registered representative serving retail customers in the Atlanta metropolitan area. In March 2023, Whitfield met with Helen Cartwright, a 62-year-old administrative assistant at a local hospital who was planning to retire within 18 months. Cartwright had accumulated \$387,000 in her employer's 401(k) plan, which was invested in a diversified target-date fund with an expense ratio of 0.08% and had averaged 7.2% annual returns over the prior decade.

During their initial meeting, Cartwright completed a customer profile indicating moderate risk tolerance, a primary investment objective of capital preservation with modest growth, limited investment knowledge, and no prior brokerage account experience. She explained that the 401(k) represented substantially all of her retirement savings aside from anticipated Social Security benefits of approximately \$2,100 monthly. Cartwright expressed concern about outliving her savings and stated she could not afford to take significant losses given her proximity to retirement.

Whitfield recommended that Cartwright roll over her entire 401(k) balance into an individual retirement account at Sterling Capital and invest the proceeds in a proprietary variable annuity product called the Sterling Secure Growth VA. The variable annuity carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying fund expenses averaging 0.95%, resulting in total annual costs of approximately 2.45%. The product also imposed a seven-year surrender charge schedule starting at 7% and declining by 1% annually. Whitfield received a 5.5% commission on the sale, totaling approximately \$21,285.

Whitfield's recommendation documentation noted that the variable annuity provided 'tax-deferred growth' and 'guaranteed lifetime income options,' but failed to analyze whether Cartwright would benefit from additional tax deferral given that her 401(k) already provided tax-deferred treatment. The documentation also did not compare the costs of the variable annuity against maintaining the existing 401(k) investment, nor did it evaluate the impact of the surrender charges on Cartwright's liquidity needs during retirement. Sterling Capital's compliance department approved the transaction after a cursory review that focused primarily on confirming Cartwright's signature on disclosure documents.

Question

Did Marcus Whitfield satisfy Regulation Best Interest's Care Obligation when recommending that Helen Cartwright roll over her 401(k) into a proprietary variable annuity?

Answer

No, Marcus Whitfield failed to satisfy Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1. The Care Obligation requires broker-dealers to exercise reasonable diligence, care, and skill when making recommendations to retail customers, specifically requiring analysis of (1) the potential risks, rewards, and costs of the recommendation, (2) whether the recommendation is in the customer's best interest in light of their investment profile, and (3) whether a series of recommended transactions is excessive.

Whitfield's conduct fails each applicable prong. First, regarding reasonable basis suitability, Whitfield failed to conduct adequate cost-benefit analysis. The variable annuity's 2.45% annual expense ratio compared to the existing target-date fund's 0.08% creates an annual cost differential of approximately \$9,175 on Cartwright's \$387,000 balance--a drag that would compound substantially over her retirement horizon. The recommendation documentation's emphasis on 'tax-deferred growth' demonstrates a fundamental analytical failure, as Cartwright's 401(k) already provided identical tax treatment, rendering this purported benefit illusory.

Second, concerning customer-specific suitability, the recommendation contradicted Cartwright's documented investment profile. Her stated objectives of capital preservation, limited investment knowledge, moderate risk tolerance, and concern about outliving savings were incompatible with a product featuring a seven-year surrender schedule when she planned to retire within 18 months and might require liquidity. The surrender charges could impose penalties of up to \$27,090 if Cartwright needed early access to funds for healthcare or other retirement expenses.

Third, Whitfield's \$21,285 commission created a financial incentive that the Care Obligation specifically addresses--the requirement not to place the broker-dealer's financial interest ahead of the retail customer's interest. While compensation alone does not violate Reg BI, the absence of documented analysis demonstrating why this higher-cost product served Cartwright's interests despite alternatives suggests the recommendation was compensation-driven rather than customer-focused.

Sterling Capital's compliance review was inadequate, focusing on disclosure execution rather than substantive recommendation quality. The Care Obligation demands more than signature verification; it requires assessment of whether reasonable diligence was exercised. This transaction violated the fundamental Reg BI requirement to act in the retail customer's best interest at the time the recommendation was made.

Key Factor

Whitfield failed to analyze the cost differential and duplicative tax-deferral benefits when recommending a high-cost variable annuity rollover to a near-retiree whose existing low-cost 401(k) investment already provided tax-deferred treatment.

Item 275 of 499

NON-COMPLIANT

Topic: investment_adviser_duty_of_care_best_interest

Difficulty: hard

Standard: Investment Advisers Act Section 206; SEC Interpretation Regarding Standard of Conduct for Investment Advisers (Release No. IA-5248); Duty of Care including duty to provide advice in the client's best interest, duty to have reasonable belief, and duty to provide ongoing monitoring

Source: 07_Practitioner_Commentary

Fact Pattern

Meridian Wealth Advisors, LLC is a registered investment adviser providing comprehensive financial planning and discretionary portfolio management to retail clients. In March 2023, Marcus Thornton, a 58-year-old manufacturing plant supervisor, became a client of Meridian after attending a retirement planning seminar. Mr. Thornton had recently inherited \$485,000 from his late mother's estate and sought advice on investing these funds to supplement his existing 401(k) balance of \$220,000. During the onboarding process, Mr. Thornton completed Meridian's client profile questionnaire, indicating a moderate risk tolerance, a primary investment objective of capital preservation with modest growth, an investment time horizon of seven to ten years until retirement, and limited investment experience beyond his employer's target-date fund.

Sarah Kenworth, the adviser assigned to Mr. Thornton's account, recommended allocating the entire \$485,000 inheritance into a concentrated portfolio consisting of 60% in small-cap technology growth stocks, 25% in emerging market equities, and 15% in high-yield corporate bonds rated below investment grade. Ms. Kenworth's recommendation memo noted that these allocations would 'maximize growth potential' and referenced recent strong performance in these asset classes. The memo made no reference to Mr. Thornton's stated preference for capital preservation or his limited investment experience. During the recommendation meeting, Mr. Thornton expressed concern about the aggressive nature of the portfolio, but Ms. Kenworth assured him that 'you need to take risks to beat inflation' and that she would 'monitor the portfolio closely.'

Between March 2023 and January 2024, the portfolio declined by approximately \$127,000 (26%), significantly underperforming both Mr. Thornton's previous target-date fund and a moderate allocation benchmark. Despite the significant losses, Ms. Kenworth made no changes to the allocation strategy and did not proactively contact Mr. Thornton to discuss the portfolio's performance or reassess his investment objectives. When Mr. Thornton eventually reached out in February 2024, Ms. Kenworth suggested 'staying the course' because markets would eventually recover, again without revisiting his stated investment objectives or time horizon.

Question

Did Meridian Wealth Advisors and Sarah Kenworth satisfy their fiduciary duty of care under the Investment Advisers Act when recommending and maintaining the concentrated high-risk portfolio for Mr. Thornton?

Answer

No, Meridian Wealth Advisors and Sarah Kenworth violated their fiduciary duty of care under the Investment Advisers Act. As articulated in the SEC's 2019 Interpretation Regarding Standard of Conduct for Investment Advisers (Release No. IA-5248), the duty of care requires investment advisers to provide advice that is in the best interest of the client, based upon the client's objectives.

The duty of care comprises three primary components, each of which was breached here. First, the duty to provide advice in the client's best interest requires a reasonable understanding of the client's objectives and tailoring advice to those objectives. Mr. Thornton explicitly stated a moderate risk tolerance, capital preservation objective, and limited investment experience. The recommended portfolio--60% small-cap tech, 25% emerging markets, 15% high-yield bonds--was manifestly inconsistent with these stated parameters. Ms. Kenworth's recommendation memo referenced only performance maximization without addressing the fundamental mismatch with the client's documented objectives.

Second, the adviser must have a reasonable belief that the advice is in the client's best interest. The SEC Interpretation makes clear that this analysis must be based on the client's financial situation and investment objectives, not the adviser's own preferences or recent market performance. Ms. Kenworth's reliance on recent asset class performance, without analyzing whether such volatility was appropriate for a 58-year-old seeking capital preservation before retirement, demonstrates a failure to form a reasonable basis for her recommendation.

Third, the duty of care extends to providing ongoing monitoring over the course of the relationship. The SEC Interpretation specifically notes that advisers with ongoing responsibilities must monitor investments and make adjustments when warranted. Ms. Kenworth's failure to proactively contact Mr. Thornton during a 26% portfolio decline, or to reassess the allocation strategy against his objectives, constitutes a clear breach of this ongoing monitoring duty.

The adviser's dismissive response to Mr. Thornton's initial concerns--telling him he 'needs to take risks'--further evidences a failure to act in his best interest by overriding his clearly communicated preferences without reasonable justification documented in the client file.

Key Factor

The adviser recommended a high-risk concentrated portfolio directly contradicting the client's documented moderate risk tolerance and capital preservation objective without reasonable justification or ongoing monitoring.

Item 276 of 499

NON-COMPLIANT

Topic: reg_bi_care_obligation_complex_product_suitability

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) -- Care Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 2360 (Options) principles applied analogously to complex products

Source: 10_Academic_Articles

Fact Pattern

Margaret Holloway, age 71, was a retired elementary school teacher who opened a brokerage account with Ridgeview Securities LLC in March 2022. Her account documentation indicated she had a conservative risk tolerance, an investment objective of income generation with capital preservation, liquid net worth of \$285,000 (representing her life savings), annual income of \$42,000 from Social Security and a small pension, and no prior experience with options or leveraged products. Mrs. Holloway explicitly told her registered representative, Daniel Kramer, that she could not afford to lose principal and needed her savings to supplement her retirement income.

In September 2022, Kramer recommended that Mrs. Holloway invest \$140,000--nearly half her liquid assets--in a leveraged exchange-traded product that provided 2x daily exposure to the technology sector. Kramer explained that technology stocks had been beaten down and this product would allow her to capitalize on the recovery more efficiently. He did not explain the daily reset mechanism, the effects of volatility decay on long-term holding periods, or the fact that such products are generally designed for short-term tactical trading by sophisticated investors. Mrs. Holloway, trusting Kramer's expertise, approved the purchase.

Kramer's rationale documented in the firm's system stated only: 'Client wants growth exposure to tech sector for potential upside.' No analysis of the product's suitability for a conservative retiree with capital preservation objectives was performed. Ridgeview's product committee had previously classified leveraged ETPs as suitable only for customers with aggressive risk tolerance and investment experience with derivatives.

Over the following eight months, despite moderate gains in the underlying technology index, Mrs. Holloway's position declined by approximately 34% due to volatility decay, resulting in a loss of \$47,600. When she contacted Kramer in May 2023 expressing concern, he recommended she continue holding to 'wait for the recovery,' without reassessing the product's ongoing suitability for her situation.

Question

Did registered representative Daniel Kramer satisfy his Care Obligation under Regulation Best Interest when recommending the leveraged exchange-traded product to Mrs. Holloway?

Answer

No. Daniel Kramer violated the Care Obligation component of Regulation Best Interest (Reg BI Rule 15l-1(a)(2)(ii)). The Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation; have a reasonable basis to believe the recommendation is in the retail customer's best interest based on their investment profile; and not place their own interests ahead of the customer's.

Kramer failed each prong of this analysis. First, his documentation demonstrated no understanding of the leveraged

ETP's mechanics, including daily reset features and volatility decay--critical characteristics that make such products unsuitable for long-term holding by conservative investors. The SEC has repeatedly emphasized that complex products require heightened scrutiny under Reg BI's care standard.

Second, Kramer lacked any reasonable basis to believe this recommendation was in Mrs. Holloway's best interest given her documented investment profile. She was 71 years old with a conservative risk tolerance, capital preservation objectives, limited investment experience, and dependence on her savings for retirement income. Ridgeview's own product committee had restricted leveraged ETPs to aggressive, experienced investors--a classification Mrs. Holloway plainly did not meet. Recommending that a conservative retiree invest 49% of her liquid net worth in a complex leveraged product designed for short-term tactical trading directly contradicts her stated objectives and financial situation.

Third, Kramer's vague documentation ('client wants growth exposure') suggests he prioritized completing the transaction over conducting genuine customer-specific suitability analysis. His subsequent recommendation to 'hold and wait' further demonstrates a failure to reassess suitability when circumstances warranted.

The Care Obligation requires consideration of reasonably available alternatives. Lower-cost, unleveraged technology sector funds would have provided the market exposure without the structural risks of a 2x leveraged product. Kramer made no documented effort to consider such alternatives. This recommendation plainly violated Reg BI's Care Obligation.

Key Factor

Recommending a leveraged exchange-traded product requiring aggressive risk tolerance and trading sophistication to a 71-year-old conservative retiree with capital preservation objectives and no derivatives experience violated the Reg BI Care Obligation's requirement for customer-specific reasonable basis.

Item 277 of 499**NON-COMPLIANT**

Topic: variable_annuity_suitability_elderly_customer

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellsworth, age 78, was a retired school teacher with a modest pension of \$2,400 per month and Social Security benefits of \$1,850 per month. In March 2019, she met with Brian Castellano, a registered representative at Meridian Financial Partners, LLC, after her husband passed away and she received \$385,000 from his life insurance policy. Mrs. Ellsworth had never invested in anything beyond bank CDs and savings bonds throughout her life. She told Castellano explicitly that she needed the money to remain liquid for potential nursing home costs, as she had recently been diagnosed with early-stage Parkinson's disease, and that she was 'terrified of losing any principal.'

Castellano documented Mrs. Ellsworth's investment objective as 'growth and income' and her risk tolerance as 'moderate' on the new account form, despite her stated concerns. He recommended she invest \$310,000 into the Apex Secure Growth Variable Annuity, a product with a seven-year surrender period carrying declining surrender charges starting at 7% in year one. The annuity included a guaranteed minimum income benefit rider with an additional 1.35% annual fee, bringing total annual expenses to approximately 3.2%. Castellano emphasized the 'guarantees' and 'protection' features while minimizing discussion of the surrender charges and the illiquidity implications.

The firm's supervisory system flagged the transaction for heightened review due to Mrs. Ellsworth's age, but the branch manager, Thomas Vitale, approved the trade after a brief phone conversation with Castellano, who assured him the client understood the product. No direct contact with Mrs. Ellsworth was made by supervision. Within eighteen months, Mrs. Ellsworth required access to \$175,000 for assisted living facility costs. She surrendered a portion of the annuity in September 2020 and incurred surrender charges of approximately \$10,850, in addition to having suffered market losses of \$23,400 on the subaccount investments during the COVID-19 market volatility. Mrs. Ellsworth filed a FINRA arbitration claim in November 2020 alleging unsuitable recommendations.

Question

Did Castellano's recommendation of the variable annuity to Mrs. Ellsworth satisfy the suitability requirements under FINRA Rule 2111, and did the firm's supervisory review adequately protect the customer?

Answer

The recommendation was unsuitable under FINRA Rule 2111, and the firm's supervision failed to meet its obligations under FINRA Rule 3110. FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on customer-specific factors including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance.

Castellano violated Rule 2111(a)'s customer-specific suitability obligation on multiple grounds. First, the customer's stated liquidity needs directly conflicted with a product carrying a seven-year surrender period. Mrs. Ellsworth's Parkinson's diagnosis created a foreseeable need for substantial funds for medical and long-term care expenses--precisely the circumstances that materialized. Second, her documented preference for principal preservation

('terrified of losing any principal') was fundamentally inconsistent with a variable annuity exposed to market risk through subaccount investments. Third, at age 78, the surrender period extended well beyond reasonable life expectancy considerations, making the long-term accumulation features of the annuity unsuitable.

Castellano's documentation of 'moderate' risk tolerance and 'growth and income' objectives appears to have been falsified or recklessly inaccurate, contradicting the customer's actual expressed preferences. This manipulation of account documentation to justify an unsuitable sale constitutes a violation of FINRA Rule 2010's just and equitable principles requirement.

The supervisory failure compounds the violation. Under FINRA Rule 3110, firms must establish and maintain a system reasonably designed to achieve compliance with securities laws and regulations. The heightened review flag for elderly customers should have triggered direct contact with Mrs. Ellsworth to verify her understanding and suitability. Supervisor Vitale's reliance solely on Castellano's assurances, without independent customer verification for an elderly widow investing life insurance proceeds in a complex product, fell below supervisory standards.

The \$310,000 concentration representing approximately 80% of Mrs. Ellsworth's liquid assets in a single illiquid product further evidences unsuitability. The recommendation prioritized commission generation over client welfare, warranting compensatory damages including surrender charges, market losses attributable to the unsuitable recommendation, and costs of the proceeding.

Key Factor

The recommendation of an illiquid variable annuity with a seven-year surrender period to a 78-year-old widow with documented health issues and explicit liquidity needs for potential long-term care directly contradicted customer-specific suitability requirements.

Item 278 of 499**NON-COMPLIANT**

Topic: erisa_prudent_investment_selection

Difficulty: hard

Standard: ERISA Section 404(a)(1)(B) prudent expert standard; ERISA Section 404(a)(1)(A) exclusive benefit rule; duty to monitor plan investments; ERISA Section 502(a)(2) plan restoration remedies

Source: 11_Case_Law

Fact Pattern

Ridgeline Manufacturing, Inc. sponsored a 401(k) retirement plan for its 150 employees, with approximately \$12.4 million in total plan assets as of January 2019. The company's CEO, Marcus Thornton, served as the Plan's named fiduciary and was responsible for selecting and monitoring investment options. In March 2019, Thornton added the Apex Growth Aggressive Fund to the plan's investment lineup after a brief conversation with a sales representative from Apex Financial Services at a golf outing. The fund charged an expense ratio of 2.15%, significantly higher than comparable index funds available in the market that charged between 0.03% and 0.15%. Thornton conducted no due diligence on the fund's performance history, risk characteristics, or fee competitiveness before adding it to the plan.

Eleanor Simmons, a 58-year-old assembly line supervisor earning \$52,000 annually, had accumulated \$287,000 in her 401(k) account by early 2019. She had consistently selected conservative investment options throughout her career, maintaining approximately 70% in stable value funds and 30% in a target-date 2025 fund appropriate for her planned retirement at age 62. In April 2019, Thornton sent a company-wide email enthusiastically recommending that employees consider the newly added Apex Growth Aggressive Fund, describing it as 'a great opportunity for enhanced returns.' Simmons, trusting her employer's guidance, reallocated \$230,000 of her retirement savings into the Apex fund.

The Apex Growth Aggressive Fund was a concentrated portfolio holding primarily speculative technology stocks and leveraged positions. By December 2020, Simmons's investment in the Apex fund had declined to \$142,000, a loss of \$88,000 or approximately 38%. Meanwhile, her original conservative allocation would have grown to approximately \$302,000 based on market performance during that period. When Simmons complained to Thornton, he dismissed her concerns, stating that 'the market is unpredictable' and that she had 'made her own choice.' Thornton never reviewed whether the fund remained appropriate for the plan or conducted any ongoing monitoring of its performance relative to benchmarks.

Question

Did Thornton breach his ERISA fiduciary duty of prudence in selecting and recommending the Apex Growth Aggressive Fund for the plan and its participants?

Answer

Thornton breached his ERISA fiduciary duties under Section 404(a)(1)(B), which requires fiduciaries to act 'with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use.' Multiple failures establish this breach.

First, Thornton's investment selection process was fundamentally deficient. The prudent expert standard requires fiduciaries to conduct thorough due diligence before adding investment options to a plan. Thornton added the Apex fund based solely on a casual conversation at a golf outing, without analyzing performance history, risk metrics, peer comparisons, or fee reasonableness. Courts have consistently held that reliance on sales pitches without independent

verification constitutes imprudence. The 2.15% expense ratio, approximately 14 to 70 times higher than comparable index alternatives, should have triggered heightened scrutiny under the fee reasonableness analysis established in cases like *Tibble v. Edison International*.

Second, Thornton's email recommendation to employees constitutes investment advice creating additional fiduciary exposure. By affirmatively recommending the aggressive fund company-wide without regard to individual participants' circumstances, Thornton acted imprudently. Simmons's conservative risk profile, proximity to retirement at age 58, and modest income made the speculative, leveraged fund manifestly unsuitable for her situation. A prudent fiduciary would not have issued blanket investment recommendations without appropriate caveats.

Third, Thornton completely failed his ongoing duty to monitor plan investments. Following the *Browe* decision's analysis, ERISA fiduciaries bear a continuing obligation to ensure investments remain prudent. Thornton conducted no performance reviews, benchmark comparisons, or reassessments of the fund's appropriateness.

The defense that Simmons 'made her own choice' is unavailing. ERISA Section 404(c) provides limited protection for participant-directed investments only when fiduciaries provide adequate disclosure and the underlying investment options themselves are prudently selected--neither condition was satisfied here.

Damages should restore the plan to its position had funds been prudently invested, calculated through the date of judgment consistent with the *Browe* holding. Thornton faces personal liability for the \$88,000 loss plus foregone appreciation.

Key Factor

Thornton selected a high-cost, speculative fund without any due diligence and affirmatively recommended it to participants regardless of their individual risk profiles and retirement timelines, while failing to conduct any ongoing monitoring.

Item 279 of 499**NON-COMPLIANT**

Topic: mutual_fund_share_class_suitability

Difficulty: medium

Standard: Investment Advisers Act of 1940 Sections 206(1) and 206(2); Fiduciary Duty of Care

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Northfield Capital Advisors, LLC is a registered investment adviser based in Denver, Colorado, managing approximately \$425 million in client assets. From January 2017 through December 2020, portfolio manager David Hartman served as the primary adviser for approximately 180 retail client accounts, including the retirement account of Margaret Chen, age 62, a recently retired schoolteacher with \$340,000 in rollover IRA assets.

Mrs. Chen's investment profile, documented during her March 2017 onboarding, indicated a moderate risk tolerance, a primary objective of capital preservation with modest growth, and an investment time horizon of 15-20 years to fund retirement expenses. She explicitly stated she wanted to minimize fees and maximize the portion of her savings working for her retirement. Her completed client questionnaire noted she was highly fee-conscious given her fixed pension income of \$48,000 annually.

Hartman constructed Mrs. Chen's portfolio using seven mutual funds across various asset classes. For each fund selected, Hartman purchased Class A shares that charged 12b-1 fees ranging from 25 to 35 basis points annually. However, each of these same funds offered institutional share classes (Class I shares) with no 12b-1 fees for which Mrs. Chen's account qualified based on her account size and Northfield's platform agreements with the fund families. Over the three-year period, Mrs. Chen's account paid approximately \$3,570 in additional fees that would not have been incurred had Hartman selected the lower-cost institutional share classes.

Northfield's affiliated broker-dealer, Northfield Securities, Inc., received the 12b-1 fee revenue generated from Mrs. Chen's account and other similarly situated clients. Hartman, as a registered representative of Northfield Securities, received a portion of these 12b-1 fees as additional compensation. Northfield's Form ADV Part 2A during this period stated only that 'the firm may receive compensation from mutual fund companies' without specifying the conflict created by share class selection or that lower-cost alternatives existed.

Question

Did portfolio manager David Hartman's selection of higher-cost mutual fund share classes for Margaret Chen's retirement account violate the investment adviser's duty of care and best interest obligation under the Investment Advisers Act?

Answer

Yes, Hartman's share class selection violated Northfield Capital Advisors' fiduciary duty of care owed to Mrs. Chen under Sections 206(1) and 206(2) of the Investment Advisers Act of 1940.

Under the Advisers Act, registered investment advisers owe clients a fiduciary duty encompassing both a duty of loyalty and a duty of care. The duty of care requires advisers to provide investment advice that is in the client's best interest based on the client's objectives, financial situation, and needs. This duty extends to the selection of specific investments, including the share class of mutual funds recommended or purchased for client accounts.

The facts demonstrate clear violations of this standard. First, Mrs. Chen's documented investment profile explicitly emphasized fee minimization and capital preservation. Hartman possessed actual knowledge that his client prioritized low costs, yet systematically selected share classes that charged 12b-1 fees when identical portfolios of securities were available through institutional share classes at lower cost. Second, the institutional share classes were accessible to Mrs. Chen's account--she met eligibility requirements based on account size and Northfield's platform agreements. The adviser's failure to utilize available lower-cost alternatives directly contradicted Mrs. Chen's stated objectives.

Third, the economic harm is quantifiable: \$3,570 in excess fees over three years represents approximately 1% of her total retirement assets--a material drag on returns for a client in the decumulation phase of her financial life. For a 62-year-old retiree dependent on these assets, such unnecessary fee erosion is particularly harmful.

The receipt of 12b-1 fees by the affiliated broker-dealer and Hartman personally created a financial incentive to select higher-cost share classes, demonstrating that the adviser prioritized its own compensation over the client's best interest. While disclosure failures compound this violation, the core breach is the duty of care violation: selecting investments that were not in the client's best interest when suitable, lower-cost alternatives were readily available. The adviser cannot satisfy its fiduciary obligations merely by disclosing conflicts; it must act in the client's best interest regardless of its own financial incentives.

Key Factor

The adviser purchased mutual fund share classes charging 12b-1 fees when lower-cost institutional shares of the same funds were available and suitable for the fee-conscious retirement client.

Item 280 of 499**NON-COMPLIANT**

Topic: suitability_independent_contractor_recommendations

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Independent Contractor Agreement provisions incorporating suitability requirements

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Francesco Delgado was a registered representative who entered into an independent contractor agreement with Millennial Edge Securities, LLC ('MES') in January 2018. Under the agreement, Delgado was required to recommend only securities and investment strategies that were suitable for customers based on their stated investment objectives, risk tolerance, and financial situation. The agreement included Schedule A, which specified that Delgado would be personally liable for any damages resulting from unsuitable recommendations, plus attorneys' fees incurred by MES in enforcing the contract.

In March 2018, Delgado was assigned to work with Helen Brightwater, a 67-year-old retired school administrator with a moderate risk tolerance, an income-focused investment objective, and liquid assets of approximately \$285,000 in her IRA rollover account. Ms. Brightwater had explicitly stated during her account opening that she needed steady income to supplement her pension and Social Security, and could not afford significant principal losses given her fixed retirement budget.

Between April 2018 and November 2018, Delgado recommended that Ms. Brightwater invest \$120,000 of her IRA assets into a portfolio of high-yield energy sector bonds and leveraged ETFs that provided exposure to volatile commodity markets. Delgado represented to Ms. Brightwater that these investments would generate 'enhanced income' compared to traditional fixed-income securities. He did not adequately explain the credit risk associated with below-investment-grade bonds or the daily reset mechanism and decay characteristics of leveraged ETFs.

By February 2019, the energy sector experienced significant volatility, and Ms. Brightwater's \$120,000 investment had declined to approximately \$78,000--a loss of \$42,000 representing 35% of the invested amount. MES conducted an internal review and determined that Delgado's recommendations violated the firm's suitability policies and constituted a breach of his independent contractor agreement. MES subsequently terminated Delgado and sought to recover damages through FINRA arbitration based on his contractual obligations.

Question

Did Francesco Delgado's recommendations of high-yield energy bonds and leveraged ETFs to Helen Brightwater violate suitability obligations under FINRA Rule 2111, and was the arbitration award against him appropriate?

Answer

The arbitration award finding Delgado liable for breach of contract stemming from unsuitable recommendations was appropriate and well-supported by the evidence. Under FINRA Rule 2111, a registered representative must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, other investments, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Delgado violated the customer-specific suitability obligation under Rule 2111(a). Ms. Brightwater was a 67-year-old retiree with a stated moderate risk tolerance and income-focused investment objective. She explicitly communicated that she needed steady income and could not afford significant principal losses. Despite this clear customer profile, Delgado recommended high-yield energy sector bonds--which carry substantial credit risk--and leveraged ETFs, which are complex products generally unsuitable for long-term investors due to their daily reset mechanism and potential for significant value decay in volatile markets.

FINRA has consistently emphasized that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for more than one trading session. Delgado's recommendation that Ms. Brightwater hold these products for months directly contradicted established suitability guidance. Furthermore, his failure to adequately explain the risks associated with these products--particularly the credit risk of below-investment-grade bonds and the mechanics of leveraged ETFs--demonstrates a failure to satisfy his care obligation.

The 35% loss (\$42,000) on a \$120,000 investment was a foreseeable consequence of placing an income-focused retiree in speculative, high-volatility instruments. Delgado's contractual obligation under Schedule A of his independent contractor agreement with MES incorporated suitability requirements, making his regulatory violation simultaneously a breach of contract. The arbitrator's award of \$24,000 in compensatory damages plus \$2,500 in attorneys' fees reflected appropriate consideration of the actual harm caused and the contractual fee-shifting provision. Delgado's conduct fell below the standard of care required under both FINRA Rule 2111 and his contractual commitments.

Key Factor

Delgado recommended high-yield bonds and leveraged ETFs to a 67-year-old income-focused retiree with moderate risk tolerance, directly contradicting her stated objectives and inability to absorb significant principal losses.

Item 281 of 499

NON-COMPLIANT

Topic: suitability_complex_product_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, was a retired school teacher who had accumulated \$285,000 in savings from her pension and a small inheritance. In March 2023, she opened an account with Pinnacle Wealth Advisors, a broker-dealer registered with FINRA. Her account documentation indicated she had a conservative risk tolerance, an investment objective of income and capital preservation, a 10-year investment time horizon, and limited investment experience consisting primarily of certificates of deposit and a small 403(b) retirement account. Her annual income from her pension was \$42,000, and she had no other liquid assets beyond the \$285,000.

Brian Kowalski, the registered representative assigned to Mrs. Thornton's account, recommended that she invest \$175,000 (approximately 61% of her liquid net worth) into a leveraged exchange-traded note (ETN) that provided 2x exposure to a volatility index. Kowalski explained that the product would generate substantial returns during market turbulence and described it as a 'hedge against market downturns.' The product's prospectus clearly disclosed that it was designed for sophisticated investors with short-term trading horizons and that the compounding effects of daily leverage could result in significant losses if held for extended periods.

Mrs. Thornton held the position for approximately eight months. During that time, the ETN experienced significant decay due to contango effects and the compounding nature of daily leverage resets. By November 2023, her position had declined to \$52,000, representing a loss of \$123,000. When she contacted Kowalski expressing concern, he advised her to 'stay the course' and indicated the position would recover. Kowalski's notes from the initial recommendation meeting contained no analysis of why this product was appropriate for a conservative, income-oriented retiree with limited investment sophistication. Pinnacle Wealth Advisors' compliance department had no record of any heightened review of this recommendation despite firm policies requiring supervisory approval for leveraged product recommendations to customers over age 65.

Question

Did Brian Kowalski's recommendation of the leveraged ETN to Mrs. Thornton satisfy FINRA's suitability requirements under Rule 2111?

Answer

The recommendation clearly violated FINRA Rule 2111's suitability requirements on multiple grounds. Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

First, regarding reasonable-basis suitability under Rule 2111(a), while Kowalski may have understood the product's mechanics, his recommendation failed customer-specific suitability analysis entirely. Leveraged ETNs are explicitly

designed for short-term trading by sophisticated investors who actively monitor positions daily. The product's own prospectus warnings directly contradicted its use as a long-term holding for a conservative retiree.

Second, and most critically, the recommendation failed customer-specific suitability. Mrs. Thornton's documented profile--conservative risk tolerance, income and capital preservation objectives, limited investment experience, and reliance on these funds for retirement security--was fundamentally incompatible with a leveraged volatility product. Concentrating 61% of her liquid net worth in a single speculative instrument compounded this unsuitability. FINRA has consistently emphasized that complex, leveraged products require heightened suitability analysis, particularly for elderly customers with conservative profiles.

Third, quantitative suitability was implicated by the excessive concentration in a single high-risk position inappropriate for her stated objectives.

Kowalski's documentation failures further evidence the lack of reasonable basis--no analysis existed explaining how this product served Mrs. Thornton's income and preservation goals. The firm's supervisory failure to conduct required heightened review for a customer over 65 purchasing leveraged products represents an additional violation of FINRA Rule 3110's supervision requirements.

The recommendation was patently unsuitable under FINRA Rule 2111 and violated FINRA Rule 2010's standards of commercial honor and just principles of trade. The \$123,000 loss resulted directly from placing an unsuitable, complex product in the account of a vulnerable, unsophisticated retiree.

Key Factor

The leveraged volatility ETN was fundamentally incompatible with Mrs. Thornton's documented conservative risk tolerance, income-oriented investment objectives, limited investment experience, and her age and financial dependence on these retirement assets.

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NON-COMPLIANT

Topic: suitability_complex_product_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111.05 (Customer Investment Profile), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Thornton, age 72, was a retired elementary school teacher with a modest pension of \$2,800 per month and Social Security benefits of \$1,950 per month. In March 2023, she inherited \$340,000 from her late sister and sought investment advice from Beacon Ridge Securities, a regional broker-dealer. Mrs. Thornton met with registered representative Daniel Vickers at the firm's Wilmington, Delaware branch office. During their initial meeting, Mrs. Thornton completed a new account form indicating her investment objective as 'income with capital preservation,' her risk tolerance as 'conservative,' her investment time horizon as '5-7 years,' and her liquid net worth as \$385,000 (including the inheritance). She explicitly stated she needed the funds to supplement her retirement income and potentially cover future long-term care expenses.

Vickers recommended that Mrs. Thornton invest \$280,000 of her inheritance into a portfolio consisting of three leveraged exchange-traded funds (ETFs): \$100,000 in a 3x leveraged S&P 500 bull ETF, \$90,000 in a 2x leveraged emerging markets ETF, and \$90,000 in a 3x leveraged technology sector ETF. Vickers explained these products would 'maximize her growth potential' and generate 'superior returns compared to traditional index funds.' He provided Mrs. Thornton with prospectuses for each ETF but did not verbally explain the daily reset mechanism, the compounding effects over time, or the substantial risks of holding leveraged ETFs for periods longer than one trading day.

The account documentation completed by Vickers reflected an investment objective of 'growth' and a risk tolerance of 'aggressive,' which contradicted the information Mrs. Thornton had provided during their meeting. Mrs. Thornton signed the documents without noticing these discrepancies. By November 2023, due to market volatility and the decay inherent in leveraged products held over extended periods, Mrs. Thornton's \$280,000 investment had declined to approximately \$168,000, representing a loss of 40%. When Mrs. Thornton contacted Vickers expressing concern about her losses and her need for income, Vickers advised her to 'stay the course' as the market would eventually recover.

Beacon Ridge Securities' supervisory system flagged the initial transaction for review due to the customer's age and the concentration in leveraged products. However, the branch manager, Patricia Kellerman, approved the trades after a cursory review, noting only that 'customer signed all disclosures' without conducting any independent verification of suitability or speaking with Mrs. Thornton directly.

Question

Did Daniel Vickers' recommendation of leveraged ETFs to Margaret Thornton satisfy FINRA's suitability requirements under Rule 2111?

Answer

No, Daniel Vickers' recommendation of leveraged ETFs to Margaret Thornton constituted a clear violation of FINRA Rule 2111's suitability requirements on multiple grounds.

FINRA Rule 2111 establishes three distinct suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Vickers violated at least the first two components. Under Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction is suitable for at least some investors (reasonable-basis) and suitable for the particular customer based on that customer's investment profile (customer-specific).

Regarding customer-specific suitability, FINRA has consistently emphasized that leveraged and inverse ETFs are complex products that are typically unsuitable for retail investors who plan to hold them for longer than one trading session. These products use derivatives to achieve their leverage and reset daily, meaning their performance over longer periods can deviate significantly from the underlying index's performance multiplied by the leverage factor. Mrs. Thornton's documented profile--a 72-year-old retiree seeking income with capital preservation, conservative risk tolerance, and a 5-7 year time horizon--is fundamentally incompatible with 3x and 2x leveraged ETFs designed for short-term trading by sophisticated investors.

The customer-specific suitability analysis under Rule 2111.05 requires consideration of the customer's age, investment experience, time horizon, liquidity needs, and risk tolerance. Every element of Mrs. Thornton's profile contradicted the recommendation: her advanced age warranted reduced volatility, her stated conservative risk tolerance precluded highly speculative instruments, her need for income and capital preservation was antithetical to products prone to significant decay, and her multi-year time horizon was incompatible with daily-reset products.

Furthermore, Vickers' alteration of the customer's stated investment objective and risk tolerance on account documents from 'income with capital preservation' and 'conservative' to 'growth' and 'aggressive' constitutes a separate violation of FINRA Rule 2010's ethical standards and potentially FINRA Rule 4511's recordkeeping requirements. The supervisory failure by Kellerman, who approved transactions despite red flags, also implicates FINRA Rule 3110's supervisory obligations.

The recommendation was unsuitable from inception and caused substantial customer harm.

Key Factor

Vickers recommended leveraged ETFs designed for short-term trading to a 72-year-old conservative investor seeking income and capital preservation over a multi-year time horizon, directly contradicting every element of her stated investment profile.

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COMPLIANT

Topic: erisa_prudence_cif_investment_selection

Difficulty: hard

Standard: 12 U.S.C. §92a; 12 CFR Part 9 (§§9.5, 9.18); ERISA §404(a)(1)(A)-(B); Uniform Prudent Investor Act

Source: 18_OCC_Bank_Trust_Guidance

Fact Pattern

Heritage National Bank & Trust, a national bank headquartered in Columbus, Ohio, serves as trustee for the Midwest Manufacturing Corporation 401(k) Retirement Plan, a participant-directed defined contribution plan with approximately \$47 million in assets and 1,200 participants. In March 2023, the Bank's trust committee recommended adding the Heritage Stable Value Collective Investment Fund (HSVCIF) as an investment option for plan participants. The HSVCIF invests primarily in guaranteed investment contracts (GICs) issued by insurance companies rated A or higher, maintaining a 12% cash position for liquidity management.

Midwest Manufacturing's plan sponsor, CFO Margaret Chen, age 52, reviewed the proposal on behalf of the plan's investment committee. Heritage National provided a comprehensive Disclosure Statement explaining the HSVCIF's investment strategy, historical returns averaging 2.8% annually over five years, the GIC credit quality standards, and the wrap contract protections that help maintain stable unit values. The Bank also provided detailed fee information showing that Midwest Manufacturing would be charged an all-in management fee of 35 basis points, reflecting the plan's size and the fact that the company contracted directly with a third-party recordkeeper, Pinnacle Administrative Services, for participant accounting rather than using Heritage's bundled services.

Prior to the recommendation, Heritage's senior trust officer, David Kowalski, analyzed the plan's participant demographics. The analysis revealed that 38% of participants were within ten years of retirement, and participant surveys indicated strong demand for a principal-preservation option. The existing plan lineup included six mutual funds spanning equity and fixed income categories but lacked a stable value option. Kowalski documented that the HSVCIF would provide appropriate diversification for participants seeking capital preservation while offering returns exceeding money market alternatives.

The plan's investment committee formally adopted the HSVCIF in April 2023, and participant enrollment commenced in May 2023. Within six months, approximately \$8.2 million in participant assets had been allocated to the fund, primarily by participants aged 55 and older. Heritage National maintained ongoing monitoring of the GIC issuers' credit ratings and provided quarterly performance reports to the plan sponsor.

Question

Did Heritage National Bank satisfy its fiduciary duties under ERISA and OCC regulations when recommending and implementing the HSVCIF collective investment fund as an investment option for the Midwest Manufacturing 401(k) Plan?

Answer

Heritage National Bank satisfied its fiduciary duties under both ERISA and OCC regulations in recommending the HSVCIF to the Midwest Manufacturing 401(k) Plan. This conclusion rests on the Bank's compliance with multiple overlapping regulatory frameworks governing bank fiduciary activities.

Under 12 U.S.C. §92a and 12 CFR Part 9, national banks exercising fiduciary powers must administer accounts in accordance with applicable law and the instrument establishing the fiduciary relationship. Section 9.5 requires banks to have policies and procedures governing fiduciary activities, including investment management. Heritage demonstrated compliance through its trust committee's formal review process, documented demographic analysis, and systematic consideration of participant needs.

Under ERISA §404(a)(1)(B), fiduciaries must discharge duties with the care, skill, prudence, and diligence that a prudent person acting in like capacity would use. Heritage satisfied this prudent expert standard through several key actions: (1) conducting participant demographic analysis revealing 38% near retirement age; (2) identifying a gap in the existing investment lineup lacking principal preservation options; (3) establishing credit quality standards requiring A-rated or higher GIC issuers; (4) maintaining appropriate liquidity through a 12% cash position; and (5) implementing ongoing monitoring of issuer creditworthiness.

Consistent with the Uniform Prudent Investor Act principles incorporated into bank trust activities, Heritage evaluated the HSVCIF within the context of the plan's overall portfolio and participant needs rather than in isolation. The fund's role as a capital preservation option for participants approaching retirement reflects prudent portfolio construction.

The fee structure also demonstrates ERISA §404(a)(1)(A) compliance regarding exclusive benefit and reasonableness of expenses. As contemplated in OCC Interpretive Letter #829, Heritage appropriately charged fees commensurate with services provided, reducing the management fee to 35 basis points where the plan utilized third-party recordkeeping. This avoided charging participants for services not rendered--a concern the OCC specifically identified as potentially breaching fiduciary duty.

The Bank's provision of comprehensive disclosure materials, including the Declaration of Trust and Disclosure Statement, prior to the sponsor's decision further evidences procedural prudence and transparency consistent with fiduciary obligations.

Key Factor

Heritage conducted thorough participant demographic analysis, documented the investment rationale addressing an identified gap in principal preservation options, and charged fees commensurate with services actually provided to the plan.

Item 284 of 499

NON-COMPLIANT

Topic: suitability_403b_rollover_recommendation

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, a 58-year-old public school teacher in California, had accumulated \$387,000 in her 403(b) retirement plan through her school district. In March 2022, she was contacted by Bradley Simmons, a registered representative associated with Educator Financial Partners, Inc., a FINRA member firm specializing in retirement products for education professionals. Simmons recommended that Thornton roll over her entire 403(b) balance into a variable annuity product offered through the firm, the SecureGrowth Plus VA, which carried a 7-year surrender period with declining charges starting at 7%, mortality and expense charges of 1.35% annually, and underlying fund expenses averaging 0.95%.

Thornton's investment profile indicated she was moderately conservative, with a primary objective of capital preservation and income generation for retirement in seven years. Her annual teaching salary was \$78,000, and she had no other significant liquid assets outside of her 403(b). Her existing 403(b) investments were in low-cost target-date funds with an aggregate expense ratio of 0.12% and no surrender charges. Simmons emphasized the guaranteed minimum income benefit rider available with SecureGrowth Plus VA, which added an additional 1.10% annual charge, bringing total annual costs to approximately 3.40%.

During the sales presentation, Simmons provided Thornton with a comparison showing projected income under both options but failed to document a quantitative analysis of whether the benefits of the annuity's guaranteed income rider would reasonably offset the substantial increase in fees over her investment horizon. Simmons's notes reflected that Thornton expressed concern about market volatility affecting her retirement date, but no written analysis addressed whether less costly alternatives within her existing 403(b) plan, such as a stable value fund, could address her risk concerns. The rollover was processed on April 15, 2022, generating a \$19,350 commission for Simmons.

By December 2023, Thornton filed a FINRA arbitration claim alleging the rollover recommendation was unsuitable and that Simmons breached his duty of care under Regulation Best Interest. She sought compensatory damages of \$45,000 representing excess fees paid, surrender charges she would incur if she transferred out, and lost opportunity costs from the lower-cost 403(b) investments.

Question

Did Simmons's recommendation that Thornton roll over her 403(b) into the variable annuity comply with the care obligation under Regulation Best Interest and FINRA Rule 2111 suitability requirements?

Answer

The recommendation likely violated both Regulation Best Interest's Care Obligation and FINRA Rule 2111 suitability requirements. Under Reg BI's Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)), a broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation and have a reasonable basis to believe that the recommendation is in the customer's best interest based on the customer's

investment profile and the potential risks, rewards, and costs associated with the recommendation.

Simmons's recommendation fails on multiple grounds. First, the quantitative cost analysis was deficient or absent. Rolling \$387,000 from investments with 0.12% expenses to a product with 3.40% all-in costs represents an annual fee increase of approximately \$12,700. Over Thornton's seven-year horizon to retirement, this amounts to nearly \$89,000 in additional costs before accounting for surrender charges. Reg BI requires brokers to consider reasonably available alternatives, and Simmons failed to document why the guaranteed income rider justified this substantial cost differential.

Second, under FINRA Rule 2111(a), the recommendation must be suitable based on reasonable diligence concerning the customer's investment profile. Thornton's profile indicated moderate conservatism and capital preservation needs. Her existing target-date funds and available stable value options within the 403(b) could address her volatility concerns without the liquidity constraints of a 7-year surrender period--problematic for someone only seven years from retirement who may need flexibility.

Third, the commission structure raises care concerns. The \$19,350 commission (approximately 5% of assets) created significant incentive for the recommendation regardless of suitability. While compensation alone does not establish a violation, the absence of documented comparative analysis when recommending a high-cost, high-commission product demonstrates inadequate care.

Simmons may argue the guaranteed income benefit addressed Thornton's expressed volatility concerns. However, the Care Obligation requires consideration of whether the benefits reasonably offset the costs. Without documented analysis showing the rider's value proposition justified a 28-fold increase in annual expenses, this defense is unpersuasive. The panel would likely find the recommendation violated both Reg BI and Rule 2111.

Key Factor

Simmons failed to perform or document a quantitative analysis demonstrating that the variable annuity's guaranteed income benefits reasonably offset the 28-fold increase in annual expenses compared to Thornton's existing low-cost 403(b) investments.

Item 285 of 499**NON-COMPLIANT**

Topic: reg_bi_care_obligation_complex_products

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; Exchange Act Section 15(b)(4)(E) supervisory liability; FINRA Rule 2111 (suitability)

Source: 05_SEC_Exam_Findings

Fact Pattern

Grandview Securities LLC is a mid-sized broker-dealer headquartered in Columbus, Ohio, with approximately 180 registered representatives serving retail customers. In March 2024, registered representative Daniel Kowalski met with new customer Margaret Chen, a 58-year-old administrative assistant at a local hospital earning \$52,000 annually. Mrs. Chen had recently received a \$185,000 inheritance following her mother's passing and sought guidance on investing these funds for her retirement in approximately seven years.

During the account opening process, Mrs. Chen completed a customer profile indicating moderate risk tolerance, a primary investment objective of capital preservation with modest growth, limited investment experience (having previously held only a 401(k) with target-date funds), and no prior experience with options, derivatives, or leveraged products. Her liquid net worth exclusive of the inheritance was approximately \$40,000, and she carried \$18,000 in credit card debt at 19.99% APR.

Kowalski recommended that Mrs. Chen invest \$140,000 of her inheritance into the ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF tracking the Nasdaq-100 Index, explaining that technology stocks had performed well historically and this product would 'triple her returns' as she approached retirement. Kowalski's internal notes reflected that he spent approximately 12 minutes discussing the recommendation and did not document any analysis of the product's volatility decay, daily rebalancing mechanics, or the SEC's published warnings about leveraged ETFs being unsuitable for buy-and-hold investors.

Grandview Securities' compliance manual explicitly stated that leveraged and inverse ETFs require enhanced suitability review and supervisor pre-approval for customers over age 55 or those with moderate or lower risk tolerances. Kowalski did not obtain the required pre-approval. By September 2024, Mrs. Chen's TQQQ position had declined to \$67,200 following market volatility, representing a 52% loss, while the underlying Nasdaq-100 had declined only 11% during the same period due to the compounding effects of the leveraged product.

Question

Did Daniel Kowalski and Grandview Securities satisfy the Care Obligation under Regulation Best Interest when recommending the 3x leveraged ETF to Mrs. Chen?

Answer

No, Daniel Kowalski and Grandview Securities failed to satisfy the Care Obligation under Regulation Best Interest, and the recommendation constituted a clear violation of Rule 15l-1(a)(2)(ii) under the Securities Exchange Act.

Regulation Best Interest's Care Obligation requires that a broker-dealer and associated person exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, have a reasonable basis to believe the recommendation is in the customer's best interest based on their investment profile, and have a reasonable

basis to believe that a series of recommended transactions is not excessive. The customer's investment profile expressly includes factors such as age, investment experience, time horizon, risk tolerance, and financial situation.

Kowalski's recommendation fails each analytical prong. First, his 12-minute discussion and absence of documented analysis regarding volatility decay or daily rebalancing mechanics demonstrates he did not exercise reasonable diligence to understand the product's material risks. TQQQ is designed for short-term trading and can experience significant value erosion over holding periods as short as weeks--a fact extensively documented in SEC investor alerts and prospectus disclosures that Kowalski apparently ignored.

Second, the recommendation was facially inconsistent with Mrs. Chen's investment profile. A 58-year-old investor with a seven-year time horizon, moderate risk tolerance, capital preservation objective, limited investment experience, and no familiarity with leveraged products is precisely the type of customer for whom a 3x leveraged ETF is categorically unsuitable. The SEC's 2024 Examination Priorities specifically flag complex products and their appropriateness for retail investors as examination focus areas.

Third, Kowalski's failure to obtain required pre-approval under Grandview's own compliance procedures constitutes additional evidence of inadequate care. Firm policies requiring enhanced review for leveraged products exist precisely to prevent recommendations like this one.

The 52% loss compared to an 11% decline in the underlying index dramatically illustrates the realized risk of volatility decay that a reasonably diligent analysis would have identified. Grandview Securities bears supervisory liability under Exchange Act Section 15(b)(4)(E) for Kowalski's failure to follow mandated pre-approval procedures. No reasonable basis existed to believe this recommendation was in Mrs. Chen's best interest.

Key Factor

Kowalski recommended a 3x leveraged ETF designed for short-term trading to a near-retirement investor with moderate risk tolerance, capital preservation objectives, and no experience with complex products, without conducting or documenting any analysis of volatility decay risks.

Item 286 of 499**NON-COMPLIANT**

Topic: variable_annuity_suitability_elderly_customer

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 78, was a longtime customer of Beacon Ridge Financial Services. Following the death of her husband in January 2021, Mrs. Holloway received a \$420,000 life insurance payout, which represented the bulk of her liquid assets aside from approximately \$85,000 in a savings account. Her registered representative, Derek Simmons, had known Mrs. Holloway for approximately six years and understood that her primary investment objectives were capital preservation and income generation to supplement her fixed Social Security income of \$1,850 per month. Her new account documentation from 2019 indicated a conservative risk tolerance and a five-year investment time horizon.

In March 2021, Simmons recommended that Mrs. Holloway invest \$340,000 of her life insurance proceeds into the Meridian Growth Variable Annuity with a 10-year surrender period. The product carried a 7% declining surrender charge in the first year, annual mortality and expense charges of 1.45%, and underlying subaccount expenses averaging 0.95%. Simmons emphasized the death benefit rider and tax-deferred growth features during his presentation but did not discuss the lengthy surrender period or the total cost structure in detail. He also failed to document any discussion of alternative products such as fixed annuities, immediate annuities, or bond ladders that might have addressed her income needs with lower costs and greater liquidity.

Mrs. Holloway's daughter contacted Beacon Ridge's compliance department in September 2022 after her mother needed to access funds for unexpected medical expenses and discovered the substantial surrender charges. Upon review, the compliance department found that Simmons had earned a \$17,000 commission on the transaction and had recommended similar long-surrender-period variable annuities to three other customers over age 75 in the preceding 18 months. Mrs. Holloway's account paperwork contained only a brief notation stating 'customer desires growth and protection' without any analysis of why the specific product was appropriate given her age, limited income, and documented conservative profile.

Question

Did Derek Simmons' recommendation of the 10-year surrender period variable annuity to Mrs. Holloway satisfy his suitability obligations under FINRA rules?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111. Under Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance.

Simmons' recommendation fails multiple prongs of the suitability analysis. First, regarding customer-specific suitability under Rule 2111(a), Mrs. Holloway's documented profile--age 78, conservative risk tolerance, five-year time horizon, capital preservation objective, and reliance on limited fixed income--is fundamentally incompatible with a variable

annuity featuring a 10-year surrender period and significant market risk exposure through subaccounts. A 10-year surrender commitment for a 78-year-old customer effectively locks up her primary liquid asset until she reaches age 88, directly contradicting both her stated time horizon and reasonable liquidity expectations for an elderly widow.

Second, the total cost structure of approximately 2.40% annually in combined fees significantly erodes the income generation she required, particularly when compared to lower-cost alternatives. FINRA has consistently emphasized that when recommending variable annuities to elderly customers, brokers must carefully consider surrender periods relative to the customer's age and realistic access needs.

Third, Simmons' documentation was deficient under the reasonable-basis suitability requirement. The cursory notation 'customer desires growth and protection' fails to demonstrate the required analysis of why this specific product--rather than a fixed annuity, immediate annuity, or other income-generating vehicle--was appropriate. The absence of any documented consideration of alternatives suggests the recommendation was driven by the substantial \$17,000 commission rather than customer need.

Simmons cannot defend the recommendation by citing the death benefit rider, as Mrs. Holloway's primary need was current income and liquidity, not estate planning. The pattern of similar recommendations to other elderly customers further undermines any claim that reasonable diligence was exercised. This recommendation violated FINRA Rules 2111 and 2010 (standards of commercial honor).

Key Factor

The 10-year surrender period was fundamentally incompatible with a 78-year-old customer's documented five-year time horizon, conservative profile, and realistic liquidity needs.

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NON-COMPLIANT

Topic: illiquid_alternative_investment_suitability_ira

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on non-traded REITs and BDCs for retail investors

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 68, was a retired schoolteacher who opened an IRA rollover account with Pinnacle Wealth Advisors LLC in March 2018 after transferring \$285,000 from her 403(b) retirement plan. Her new account documentation indicated she had a conservative risk tolerance, an investment objective of income with capital preservation, a 5-7 year investment time horizon, and annual income of approximately \$42,000 from Social Security and a modest pension. Mrs. Thornton explicitly stated during her onboarding meeting that this IRA represented her primary retirement savings and she anticipated needing regular distributions starting at age 72 to supplement her fixed income.

Her assigned financial adviser, Richard Delacroix, recommended that Mrs. Thornton allocate \$85,000 (approximately 30% of her portfolio) to FS Energy & Power Fund, a non-traded business development company investing in senior secured loans to energy sector companies. Additionally, Delacroix recommended \$65,000 (23% of the portfolio) to Resource Real Estate Opportunity REIT II, a non-traded REIT focused on multifamily residential properties, and \$45,000 (16% of the portfolio) to Franklin Square Capital Partners Fund III, another non-traded BDC. In total, these three illiquid alternative investments constituted approximately 69% of Mrs. Thornton's retirement assets.

Delacroix explained to Mrs. Thornton that these products would provide attractive income streams ranging from 6-8% annually, which he characterized as ideal for retirees seeking income. However, he did not adequately emphasize that these non-traded products typically carried 7-10 year holding periods before any liquidity event, that early redemption was severely restricted or unavailable, and that the energy sector BDCs carried substantial concentration risk in a volatile commodity market. The account documentation noted that Mrs. Thornton had 'limited' investment experience and had never previously owned alternative investments.

By late 2019, the FS Energy & Power Fund had suspended its distribution payments amid declining energy prices, and valuations across all three products had declined substantially. When Mrs. Thornton attempted to access funds in early 2020 to cover unexpected medical expenses, she discovered she could not liquidate these positions without accepting steep discounts through secondary market transactions. She ultimately filed an arbitration claim against Pinnacle Wealth Advisors in September 2020, alleging breach of fiduciary duty, negligence, and failure to supervise, seeking approximately \$114,000 in damages representing her estimated losses.

Question

Did Richard Delacroix's recommendation that Mrs. Thornton concentrate 69% of her IRA assets in three illiquid non-traded alternative investments satisfy FINRA's suitability requirements and the applicable duty of care?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111. Under Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based

on information obtained through reasonable diligence concerning the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon.

Delacroix's recommendations failed all three components of the suitability obligation. First, regarding customer-specific suitability under Rule 2111(a), Mrs. Thornton's documented profile--conservative risk tolerance, income with capital preservation objective, 5-7 year time horizon, and explicit need for liquidity starting at age 72--was fundamentally incompatible with non-traded alternative investments carrying 7-10 year holding periods and severe redemption restrictions. The 69% concentration in illiquid alternatives for a 68-year-old retiree whose IRA represented her primary retirement savings demonstrates a clear mismatch between the recommendation and her stated profile.

Second, the quantitative suitability component under Rule 2111(b) was violated through excessive concentration. FINRA has consistently indicated that concentration of 50% or more of a customer's liquid net worth in illiquid alternative investments warrants heightened scrutiny, particularly for elderly investors with income needs. Allocating nearly 70% of retirement assets to products with no reliable liquidity mechanism was excessive given Mrs. Thornton's circumstances.

Third, the reasonable-basis suitability analysis should have identified that non-traded BDCs concentrated in the energy sector carried substantial risks inappropriate for conservative investors, particularly given the volatile nature of commodity-linked investments.

The fact that Delacroix emphasized the attractive yield while failing to adequately disclose the liquidity constraints and holding period requirements further demonstrates that the recommendation prioritized product features over customer needs. Under FINRA Rule 2010, brokers must observe high standards of commercial honor and just and equitable principles of trade. Recommending illiquid products to a client who explicitly stated she would need distributions within four years falls below these standards. The subsequent inability to access funds during a medical emergency directly resulted from the unsuitable concentration in illiquid products.

Key Factor

The 69% concentration of a conservative 68-year-old retiree's IRA in illiquid non-traded products with 7-10 year holding periods was fundamentally inconsistent with her documented need for liquidity within four years and her capital preservation objective.

Item 288 of 499

NON-COMPLIANT

Topic: unsuitable_leveraged_etf_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 71, was a retired school administrator who approached Pinnacle Wealth Advisors in March 2023 seeking assistance with managing her \$485,000 IRA rollover from her former employer's 403(b) plan. Mrs. Holloway's stated investment objectives were capital preservation and income generation to supplement her pension and Social Security benefits, which together provided approximately \$4,200 monthly. During her account opening interview with registered representative Thomas Brennan, she explicitly stated she had 'no tolerance for losing money' and wanted 'safe investments that would protect what she had saved over 35 years of teaching.' Her investment questionnaire indicated a conservative risk profile with a 5-7 year time horizon.

Between April and September 2023, Brennan recommended and executed a series of purchases in leveraged and inverse exchange-traded funds, including a 3x leveraged technology sector ETF and a 2x inverse S&P 500 ETF. These products comprised approximately 62% of Mrs. Holloway's portfolio by August 2023, with a total investment of approximately \$301,000 in these instruments. Brennan's internal notes indicated he believed technology stocks were poised for significant gains and that the inverse position would 'hedge' any market downturns, though he provided no documentation of how he explained the daily reset mechanics, compounding decay, or the unsuitability of holding these products beyond short-term tactical periods.

By December 2023, due to market volatility and the mathematical decay inherent in leveraged products held over extended periods, Mrs. Holloway's account had declined to approximately \$312,000--a loss of approximately \$173,000 or 35.7% of her original rollover amount. When Mrs. Holloway contacted the firm's compliance department to complain, she stated that Brennan had described the leveraged ETFs as 'enhanced index funds that would help her portfolio grow faster' without disclosing the substantial risks associated with these complex derivative-based products. Pinnacle Wealth Advisors' own product approval list classified leveraged and inverse ETFs as suitable only for customers with aggressive risk tolerance, substantial investment experience, and short-term trading objectives.

Question

Did Thomas Brennan's recommendations of leveraged and inverse ETFs to Margaret Holloway satisfy FINRA's suitability obligations under Rule 2111?

Answer

Brennan's recommendations clearly violated FINRA Rule 2111's suitability requirements across all three components: reasonable-basis, customer-specific, and quantitative suitability. The analysis strongly supports a finding of non-compliance.

Regarding reasonable-basis suitability under Rule 2111(a), Brennan failed to demonstrate adequate understanding of the leveraged and inverse ETFs he recommended. These products are designed for sophisticated short-term traders and reset daily, causing significant performance decay when held over extended periods. FINRA has consistently

emphasized that representatives must understand that leveraged ETFs are generally unsuitable for long-term buy-and-hold investors. Brennan's characterization of these as 'enhanced index funds' demonstrates either fundamental misunderstanding of the products or deliberate misrepresentation--neither of which satisfies reasonable-basis suitability.

The customer-specific suitability violation under Rule 2111(a) is particularly egregious. Mrs. Holloway was a 71-year-old retiree with explicitly stated conservative objectives (capital preservation and income), no tolerance for loss, and reliance on her savings to supplement fixed retirement income. FINRA Rule 2111.03 requires representatives to have a reasonable basis to believe recommendations are suitable based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Recommending that 62% of a conservative retiree's IRA consist of highly volatile leveraged products directly contradicts every element of her documented profile.

Furthermore, Pinnacle's own internal product guidelines classified these instruments as suitable only for aggressive investors with short-term horizons--a classification Mrs. Holloway plainly did not meet. Brennan's failure to document any reasonable basis for deviating from these guidelines or for concluding that complex derivative-based products were appropriate for this customer profile compounds the violation.

The firm's potential supervisory failures under FINRA Rule 3110 are also implicated, as compliance systems should have flagged the concentration of leveraged products in a conservative elderly client's retirement account. The \$173,000 loss--representing over 35% of Mrs. Holloway's retirement savings--demonstrates the foreseeable harm that suitability rules are designed to prevent.

Key Factor

Brennan recommended that 62% of a 71-year-old conservative retiree's IRA be invested in leveraged and inverse ETFs--products his own firm classified as suitable only for aggressive short-term traders--directly contradicting every element of the customer's documented investment profile.

Item 289 of 499**NON-COMPLIANT**

Topic: ira_rollover_suitability_unauthorized_trading

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Marcus Thornton, a registered representative with Ridgeline Financial Services, Inc., serviced approximately 15 customers with retirement accounts between February 2019 and September 2021. One of his primary clients was Eleanor Vasquez, a 68-year-old retired schoolteacher with liquid assets of approximately \$185,000, consisting primarily of a traditional IRA valued at \$142,000 and a savings account of \$43,000. Mrs. Vasquez's investment profile, documented in her new account form dated March 2019, indicated a conservative risk tolerance, income-focused investment objective, and a 10-year time horizon. She explicitly stated during her initial meeting that capital preservation was paramount as the IRA represented her primary source of retirement income alongside Social Security benefits.

Between April 2019 and August 2021, Thornton executed 47 trades in Mrs. Vasquez's IRA without obtaining her prior authorization. These trades included purchases of leveraged ETFs, high-yield bond funds, and small-cap growth stocks--products inconsistent with her stated conservative profile. The account documentation reflected a blank authorization section for discretionary trading, and Ridgeline's policies explicitly prohibited representatives from exercising discretion in customer accounts without written authorization. Mrs. Vasquez testified that Thornton assured her he would only make trades that were 'safe and appropriate' for someone in her situation, and she trusted him to look out for her interests.

The trading activity generated approximately \$8,400 in commissions for Thornton over the 29-month period. Mrs. Vasquez's account declined from \$142,000 to approximately \$119,000, representing a loss of approximately 16% during a period when a conservative benchmark portfolio would have appreciated roughly 8%. When Mrs. Vasquez discovered the unauthorized trades during a routine account review in October 2021, she filed a complaint with Ridgeline. The firm's compliance department determined that Thornton had made recommendations and executed trades based on what he believed was best, but he failed to obtain proper authorization and did not document how the investments aligned with Mrs. Vasquez's stated profile and objectives.

Question

Did Thornton's recommendations and trading activity in Mrs. Vasquez's IRA violate FINRA suitability requirements and just and equitable principles of trade?

Answer

Thornton's conduct violated both FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). The violations are multifaceted and severe.

Regarding FINRA Rule 2111, the suitability obligation requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111(a) establishes three component obligations: reasonable-basis suitability, customer-specific suitability,

and quantitative suitability. Thornton failed all three.

First, customer-specific suitability under Rule 2111.05(a) requires recommendations to align with the customer's age, financial situation, investment objectives, time horizon, liquidity needs, and risk tolerance. Mrs. Vasquez's documented profile--a 68-year-old conservative investor seeking income with capital preservation as paramount--was fundamentally incompatible with leveraged ETFs, high-yield bonds, and small-cap growth stocks. These products carry substantially higher volatility and risk of principal loss than appropriate for her profile.

Second, Thornton executed 47 trades without obtaining prior customer authorization in an account where discretionary trading was neither authorized in writing nor permitted under firm policy. This constitutes unauthorized trading, a per se violation of FINRA Rule 2010, which requires adherence to high standards of commercial honor and just and equitable principles of trade. Executing trades without authorization, regardless of whether the representative believed they were beneficial, violates the fundamental duty to act within the scope of customer consent.

Thornton's assertion that he acted in what he believed was the customer's best interest does not constitute a defense. The suitability analysis must be grounded in the customer's actual documented profile, not the representative's subjective assessment of what might be beneficial. Furthermore, FINRA Rule 3110 requires member firms to establish supervisory systems, and Thornton's conduct also reflects a failure to adhere to Ridgeline's prohibition on discretionary trading without written authorization.

The \$8,400 in commissions and 16% account decline, contrasted against an 8% benchmark appreciation, further evidence that the trading was neither suitable nor in the customer's best interest. The appropriate sanctions include disgorgement of commissions and restitution to the customer.

Key Factor

Thornton executed trades in speculative products inconsistent with the customer's documented conservative profile without obtaining prior authorization, violating both suitability requirements and the prohibition on unauthorized trading.

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NON-COMPLIANT

Topic: reg_bi_care_obligation_complex_product

Difficulty: hard

Standard: Regulation Best Interest, Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities, by analogy for complex products)

Source: 07_Practitioner_Commentary

Fact Pattern

Margaret Holloway, age 71, is a retired elementary school teacher who visited Ridgewater Securities LLC's branch office in Tucson, Arizona in March 2023. She had recently lost her husband and inherited his \$485,000 traditional IRA. Mrs. Holloway's documented investment profile indicated she had a conservative risk tolerance, a primary objective of capital preservation with modest income, a 5-7 year time horizon, limited investment knowledge (having previously held only certificates of deposit and a stable value fund in her 403(b)), and annual fixed income of approximately \$42,000 from Social Security and a small pension.

Associated person Derek Fontaine, who had been with Ridgewater for four years, met with Mrs. Holloway on three occasions over two weeks. During these meetings, he recommended she invest \$340,000 of the inherited IRA assets into the Apex Leveraged Yield Strategy Fund, a complex interval fund employing 1.5x leverage on high-yield corporate bonds with a 5% redemption limitation per quarter. The fund carried an expense ratio of 2.35% and had experienced a 23% drawdown during the 2022 market correction. Fontaine emphasized the fund's 8.2% trailing yield without adequately explaining the leverage mechanics, liquidity constraints, or historical volatility.

Fontaine's documentation noted that Mrs. Holloway 'expressed interest in higher income' and 'understood the investment involves some risk,' but contained no evidence that he analyzed whether a leveraged, illiquid high-yield product aligned with her conservative profile, limited liquidity needs as a retiree, or her stated capital preservation objective. Ridgewater's product committee had designated the Apex fund as appropriate only for customers with moderate-to-aggressive risk profiles and investment horizons exceeding ten years. The firm's compensation grid paid 4.5% on Apex fund sales compared to 1.2% on investment-grade bond funds. Fontaine earned \$15,300 in commissions on the transaction, which settled on April 14, 2023.

Question

Did Derek Fontaine and Ridgewater Securities satisfy their Care Obligation under Regulation Best Interest when recommending the Apex Leveraged Yield Strategy Fund to Mrs. Holloway?

Answer

No, Derek Fontaine and Ridgewater Securities failed to satisfy the Care Obligation under Regulation Best Interest. Exchange Act Rule 15l-1(a)(2)(ii) requires that broker-dealers and associated persons exercise reasonable diligence, care, and skill to (A) understand the potential risks, rewards, and costs of the recommendation, (B) have a reasonable basis to believe the recommendation is in the retail customer's best interest based on their investment profile, and (C) have a reasonable basis to believe that a series of recommendations is not excessive.

The Care Obligation analysis reveals multiple deficiencies. First, regarding the customer's investment profile: Mrs. Holloway was a 71-year-old widow with documented conservative risk tolerance, capital preservation objectives, limited

investment sophistication, and a 5-7 year time horizon. Reg BI explicitly requires consideration of the retail customer's age, investment experience, time horizon, risk tolerance, and liquidity needs. The recommendation of a leveraged interval fund with quarterly redemption limitations to a retiree dependent on her assets fundamentally conflicts with each of these profile elements.

Second, Fontaine failed to exercise reasonable diligence in matching product characteristics to client needs. The Apex fund's 1.5x leverage, 23% historical drawdown, and illiquidity features are categorically inconsistent with capital preservation objectives. Critically, Ridgewater's own product committee had designated this fund as suitable only for moderate-to-aggressive investors with ten-year-plus horizons--parameters Mrs. Holloway did not meet.

Third, the compensation differential (\$15,300 versus approximately \$4,080 on a comparable investment-grade allocation) created an incentive that Fontaine allowed to influence his recommendation. While compensation differentials alone do not violate Reg BI, placing the associated person's financial interest ahead of the customer's interest directly contravenes the overarching best interest standard.

Fontaine's sparse documentation--noting only that the customer 'expressed interest in higher income'--fails to demonstrate the required reasonable-basis analysis. The Care Obligation demands affirmative evaluation of alternatives and documentation of why the specific recommendation serves the customer's best interest. The absence of such analysis, combined with the product-profile mismatch and disregard of internal suitability parameters, establishes a clear Care Obligation violation.

Key Factor

The recommendation of a leveraged, illiquid interval fund to a 71-year-old conservative investor with capital preservation objectives directly contradicted her documented investment profile and the firm's own internal product suitability parameters.

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NON-COMPLIANT

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: Regulation Best Interest Care Obligation; FINRA Rule 2111 (Suitability); Ohio Rev. Code Section 1707.44; NASAA Model Rule on Investment Adviser Fiduciary Duty

Source: 14_NASAA_State_Enforcement

Fact Pattern

Margaret Holloway, age 71, is a retired elementary school teacher living in Ohio with annual pension income of \$42,000 and a total liquid net worth of approximately \$185,000 held in an IRA account. Her investment objective, documented on her new account form dated March 15, 2023, was listed as 'income with capital preservation,' and her risk tolerance was marked as 'conservative.' Mrs. Holloway had no prior experience with derivative products, options, or leveraged instruments.

In April 2023, registered representative Derek Finch of Horizon Peak Securities, a broker-dealer dually registered as an investment adviser in Ohio, recommended that Mrs. Holloway invest \$55,000--approximately 30% of her liquid assets--in ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF that seeks daily investment results corresponding to three times the daily performance of the Nasdaq-100 Index. Finch explained the product as a 'turbocharged growth opportunity' and emphasized recent short-term gains without adequately explaining the compounding decay inherent in daily-reset leveraged products or the significant risk of principal loss.

Mrs. Holloway held the position for approximately seven months. During this period, market volatility caused the leveraged ETF to experience substantial decay despite the underlying index remaining relatively flat. By November 2023, her \$55,000 investment had declined to approximately \$31,400, representing a loss of nearly 43%. When Mrs. Holloway complained to the Ohio Division of Securities, an examination revealed that Finch had made similar leveraged ETF recommendations to fourteen other retired clients with conservative risk profiles, generating significant commission revenue for himself while the clients collectively suffered losses exceeding \$340,000.

Horizon Peak Securities' compliance procedures required heightened suitability review for leveraged and inverse products, but the firm's records showed no evidence that such review occurred for any of Finch's recommendations. The firm's written supervisory procedures specifically stated that leveraged ETFs were 'generally unsuitable for long-term holding periods' and required principal approval for positions held beyond 30 days.

Question

Did Derek Finch's recommendation of the 3x leveraged ETF to Mrs. Holloway satisfy his suitability and best interest obligations under applicable state and federal standards?

Answer

Derek Finch's recommendation of the 3x leveraged ETF to Mrs. Holloway violated both Regulation Best Interest and Ohio state securities law suitability requirements. The recommendation was unsuitable and not in the customer's best interest.

Under Regulation Best Interest's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, have a reasonable basis to believe the

recommendation is in the customer's best interest considering the customer's investment profile, and have a reasonable basis to believe that a series of recommendations is not excessive. FINRA Rule 2111 similarly requires customer-specific suitability analysis.

The facts demonstrate multiple failures. First, regarding reasonable-basis suitability, leveraged ETFs are designed for short-term trading strategies and sophisticated investors who can actively monitor positions. The daily reset mechanism creates significant compounding risk over extended holding periods. Mrs. Holloway's seven-month holding period directly contradicted the product's intended use, a risk Finch failed to adequately explain.

Second, customer-specific suitability was clearly violated. Mrs. Holloway's profile--a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited liquid assets, and no experience with leveraged products--rendered a 3x leveraged ETF fundamentally inappropriate. Allocating 30% of her liquid net worth to such a volatile instrument was grossly disproportionate to her financial situation and objectives.

Third, under Ohio Rev. Code Section 1707.44 and the NASAA Model Rule on Investment Adviser fiduciary duty, advisers must make recommendations consistent with the client's best interest. The pattern of similar unsuitable recommendations to fourteen other conservative retirees suggests a prioritization of commission generation over client welfare.

The firm's own written supervisory procedures acknowledged that leveraged ETFs were 'generally unsuitable for long-term holding' and required principal approval for extended positions--requirements that were ignored. This supervisory failure compounds the violation.

Finch cannot defend on grounds that the client consented; suitability obligations are non-waivable and require independent professional judgment regardless of client acquiescence. The recommendation constituted a clear violation warranting enforcement action.

Key Factor

Recommending a daily-reset 3x leveraged ETF for long-term holding to a conservative 71-year-old retiree with capital preservation objectives was fundamentally inconsistent with the product's intended use and the client's investment profile.

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NON-COMPLIANT

Topic: cryptocurrency_investment_suitability_elderly_client

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; Exchange Act Section 15(l); SEC Reg BI Adopting Release guidance on investment profile and reasonable basis obligations

Source: 16_Congressional_Materials

Fact Pattern

In March 2024, Gerald Thornton, age 74, visited Pinnacle Wealth Advisors, a dual-registered broker-dealer and investment adviser, to discuss repositioning his retirement assets following the death of his wife. Mr. Thornton had \$380,000 in a traditional IRA, representing approximately 85% of his total liquid assets, and received \$2,400 monthly in Social Security benefits. His stated investment objectives were capital preservation and modest income generation to supplement his fixed income. Mr. Thornton explicitly stated he had a conservative risk tolerance and could not afford to lose principal, as he had no pension and his wife's medical bills had depleted their emergency savings.

Kevin Marsden, a registered representative and investment adviser representative at Pinnacle, recommended that Mr. Thornton allocate \$95,000 (25% of his IRA) to the CryptoVanguard Digital Assets Fund, a recently launched fund investing primarily in Bitcoin and Ethereum with exposure to smaller altcoins. Marsden explained that cryptocurrency had generated substantial returns historically and represented a 'hedge against inflation' that would protect Mr. Thornton's purchasing power. The fund prospectus disclosed annualized volatility exceeding 70%, a maximum drawdown potential of 80%, and noted the speculative nature of digital asset investments.

Marsden completed a customer profile form but marked Mr. Thornton's risk tolerance as 'moderate-aggressive' and his investment objective as 'growth,' contradicting the client's verbal statements documented in Marsden's own handwritten notes from the meeting. Marsden earned a 4.5% commission on the CryptoVanguard fund compared to 0.75% on the balanced income funds that would have aligned with Mr. Thornton's stated objectives. By November 2024, the CryptoVanguard fund had declined 52%, reducing Mr. Thornton's \$95,000 investment to approximately \$45,600.

Pinnacle's compliance department had issued internal guidance in January 2024 noting that cryptocurrency-focused investments were generally unsuitable for clients over age 70 with conservative risk profiles and income-dependent objectives, but no pre-trade review mechanism was implemented for such recommendations.

Question

Did Kevin Marsden's recommendation that Gerald Thornton invest 25% of his IRA in a cryptocurrency-focused fund satisfy the care obligation under Regulation Best Interest?

Answer

No, Kevin Marsden's recommendation violated the Care Obligation under Regulation Best Interest, Rule 15l-1 under the Securities Exchange Act. The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, have a reasonable basis to believe the recommendation is in the customer's best interest based on their investment profile, and have a reasonable basis to believe a series of recommended transactions is not excessive.

First, regarding reasonable diligence about the product: While Marsden may have understood the CryptoVanguard

fund's characteristics, the fund's disclosed 70%+ volatility and 80% maximum drawdown potential were fundamentally incompatible with capital preservation objectives. A cryptocurrency-heavy allocation for an elderly client dependent on retirement assets for income demonstrates failure to prudently weigh these risks.

Second, regarding customer investment profile: The recommendation failed the customer-specific component of the Care Obligation. Mr. Thornton's profile--age 74, conservative risk tolerance, capital preservation objective, income-dependent, 85% of liquid assets in the IRA, and depleted emergency savings--represents a textbook case where speculative cryptocurrency exposure is unsuitable. Marsden's falsification of the profile form to reflect 'moderate-aggressive' risk tolerance and 'growth' objectives directly contradicts documented verbal statements and evidences knowledge that the true profile would not support this recommendation.

Third, the quantitative unsuitability of concentrating 25% of retirement assets in a single highly volatile asset class for a client who cannot afford principal loss further demonstrates Care Obligation failure. SEC guidance makes clear that Reg BI requires consideration of reasonably available alternatives; balanced income funds paying lower commissions would have aligned with Mr. Thornton's actual objectives.

The 4.5% commission differential creates additional evidence that the recommendation was driven by compensation rather than client interest. Pinnacle's own compliance guidance identifying cryptocurrency investments as generally unsuitable for this demographic underscores the unreasonableness of Marsden's conduct. The Care Obligation was materially breached.

Key Factor

Marsden falsified the customer profile to reflect risk tolerance and objectives contradicting the client's documented statements, enabling a high-commission cryptocurrency recommendation fundamentally unsuitable for a 74-year-old conservative investor dependent on retirement assets for income.

Item 293 of 499

NON-COMPLIANT

Topic: unsuitable_concentrated_position_margin_lending

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) -- customer-specific suitability obligation; FINRA Rule 2111 Supplementary Material .05(b) -- customer approval does not satisfy suitability; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollister, age 62, was a longtime client of Beacon Harbor Securities LLC and its registered representative, Kenneth Vance. In March 2019, Mrs. Hollister retired from her position as a hospital administrator with a pension providing \$48,000 annually and Social Security benefits of \$24,000. Her liquid net worth totaled approximately \$1.8 million, primarily held in a diversified portfolio of mutual funds and bonds accumulated over her career. Her investment objective, documented on her new account form dated January 2019, was 'capital preservation and income generation' with a 'conservative' risk tolerance. Mrs. Hollister explicitly communicated to Vance that she needed to preserve principal to supplement her fixed income throughout retirement, estimating she would need \$30,000 annually from her portfolio.

In June 2019, Vance recommended that Mrs. Hollister liquidate approximately \$900,000 of her diversified holdings and concentrate the proceeds into shares of Meridian Technology Holdings, a mid-cap technology company. Vance represented that the stock had 'substantial upside potential' and would 'supercharge her retirement income.' To amplify the position, Vance further recommended that Mrs. Hollister open a securities-backed line of credit through Beacon Harbor's affiliate lending arm, borrowing \$450,000 against her portfolio to purchase additional Meridian shares. By August 2019, Mrs. Hollister held \$1.35 million in Meridian Technology, representing 75% of her liquid net worth, with \$450,000 in margin debt at a 5.25% interest rate.

Through late 2019 and early 2020, Meridian's share price declined approximately 40% following disappointing earnings reports. In March 2020, amid broader market volatility, Beacon Harbor issued margin calls totaling \$285,000. Unable to meet the calls with cash, Mrs. Hollister was forced to liquidate Meridian shares at depressed prices. By April 2020, her total portfolio value had declined to approximately \$620,000, and she still owed \$180,000 on the margin loan. Mrs. Hollister filed a FINRA arbitration claim in September 2020 alleging unsuitable recommendations, breach of fiduciary duty, and violation of FINRA Rules 2111 and 2010.

Question

Did Kenneth Vance's recommendations to concentrate Mrs. Hollister's retirement portfolio in a single technology stock using margin debt violate FINRA's suitability requirements under Rule 2111?

Answer

The recommendations clearly violated FINRA Rule 2111's suitability requirements across all three components. Under Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, time horizon, and liquidity needs.

First, regarding customer-specific suitability under Rule 2111(a), Mrs. Hollister's documented profile--age 62, retired,

conservative risk tolerance, capital preservation objective, and need for \$30,000 annual income--was fundamentally incompatible with a concentrated position in a single mid-cap technology stock. FINRA has consistently held that concentration in a single security dramatically increases risk and is generally unsuitable for conservative, income-focused investors. The 75% concentration in Meridian violated basic diversification principles essential for capital preservation.

Second, the margin strategy compounded the suitability violation. Leveraging a retirement portfolio for a speculative equity position introduced magnified downside risk wholly inconsistent with Mrs. Hollister's stated objectives. The 5.25% interest expense further eroded her income-generation capacity, requiring Meridian to appreciate meaningfully just to break even. For a client needing reliable income and principal preservation, margin amplified both market risk and liquidity risk through potential margin calls.

Third, under Rule 2111(b)'s quantitative suitability component, while traditionally applied to churning, the economic impact of the strategy was excessive given the customer's profile. The strategy exposed her to potential losses exceeding her entire retirement supplement needs.

Vance cannot defend by arguing Mrs. Hollister approved the transactions. Rule 2111 Supplementary Material .05(b) establishes that customer acquiescence does not eliminate suitability obligations--the broker must independently determine suitability regardless of customer consent. Additionally, FINRA Rule 2010's ethical standards requirement encompasses making suitable recommendations, meaning the suitability failure constitutes a concurrent Rule 2010 violation.

The arbitration panel should find liability for compensatory damages reflecting the difference between Mrs. Hollister's portfolio value under prudent management versus the actual losses sustained, less any amounts attributable to general market decline.

Key Factor

Recommending a 75% concentration in a single speculative technology stock using margin debt to a 62-year-old retired client with documented conservative risk tolerance and capital preservation objectives was fundamentally unsuitable under any reasonable analysis.

Item 294 of 499**NON-COMPLIANT**

Topic: complex_product_suitability_institutional_customer

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2111.03 (Institutional Suitability), 3110 (Supervision), 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Meridian Capital Markets, Inc. is a full-service broker-dealer providing services to both retail and institutional clients. In March 2022, registered representative Daniel Whitmore began working with Greenleaf Municipal Pension Fund, a mid-sized public pension plan with approximately \$340 million in assets under management. The pension fund's investment policy statement specified a conservative allocation with 60% fixed income, 30% equities, and 10% alternatives, with an explicit prohibition on leveraged products and derivatives except for hedging purposes approved by the board. The fund's stated objective was capital preservation with moderate income generation to meet ongoing pension obligations.

Whitmore recommended that Greenleaf allocate \$28 million to a series of structured notes linked to a basket of emerging market equity indices. These notes featured 2x leveraged exposure to the underlying indices, a 5-year maturity, and principal protection only if the underlying basket did not decline more than 30% from inception. Whitmore presented the products as 'enhanced income vehicles with downside protection,' emphasizing the 8.5% annual coupon payments. His sales presentation materials focused heavily on the coupon yield without adequately explaining the leveraged exposure mechanism or the conditional nature of the principal protection.

Meridian's supervisory system for complex products required a suitability review by a designated principal before execution of structured product transactions exceeding \$5 million. Branch manager Patricia Nolan approved the transaction after reviewing only the customer's account documentation and the product summary sheet, without examining the pension fund's investment policy statement or considering whether the leveraged exposure violated the fund's stated investment restrictions. The firm's written supervisory procedures required principals to verify that recommended products aligned with documented customer investment objectives and restrictions, but Nolan testified she had not been trained on reviewing institutional investment policy statements.

By December 2023, the emerging market basket had declined 42%, triggering a complete loss of principal protection. Greenleaf suffered a realized loss of \$19.2 million when it was forced to liquidate the position to meet liquidity needs for pension disbursements.

Question

Did Meridian Capital Markets and its representatives violate their suitability obligations under FINRA rules when recommending the leveraged structured notes to Greenleaf Municipal Pension Fund?

Answer

Yes, Meridian Capital Markets violated FINRA Rules 2111 and 2010, and its supervisory failures violated FINRA Rule 3110. The recommendation of leveraged structured notes to Greenleaf Municipal Pension Fund was unsuitable on multiple grounds.

Under FINRA Rule 2111(a), a member must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including investment objectives, risk tolerance, financial situation, and other relevant information. The rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding customer-specific suitability, Whitmore's recommendation directly contradicted Greenleaf's documented investment policy, which explicitly prohibited leveraged products except for board-approved hedging. The 2x leveraged structured notes were fundamentally incompatible with the fund's stated conservative allocation and capital preservation objective. FINRA has consistently held that recommending products that conflict with a customer's stated investment restrictions constitutes a suitability violation, regardless of the customer's sophistication level.

While institutional customers may be afforded certain accommodations under FINRA Rule 2111.03 (the institutional customer exemption), this exemption only applies when the institution has affirmatively indicated it is exercising independent judgment and the member has a reasonable basis to believe the customer is capable of doing so. Here, Greenleaf relied on Whitmore's recommendation without exercising independent analysis, and the firm made no documented determination regarding the customer's capability to evaluate the complex leveraged structure.

Meridian's supervisory failures compounded the violation. Under FINRA Rule 3110(a), firms must establish and maintain a supervisory system reasonably designed to achieve compliance with applicable securities laws and FINRA rules. Nolan's approval without reviewing the investment policy statement--a critical document defining the customer's investment parameters--demonstrates inadequate supervision. The firm's WSPs required verification of alignment with customer restrictions, yet Nolan lacked training to perform this function for institutional accounts.

The pivotal compliance failure was recommending a product that explicitly violated documented customer investment restrictions, combined with supervisory approval that ignored those restrictions entirely.

Key Factor

The recommendation of leveraged structured notes directly violated the pension fund's written investment policy prohibiting leveraged products, and the supervising principal failed to verify compliance with documented customer investment restrictions before approving the transaction.

Item 295 of 499**NON-COMPLIANT**

Topic: suitability_of_complex_product_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 72, was a retired schoolteacher who opened an account with Pinnacle Securities Group in March 2019. Her intake documentation reflected a conservative risk tolerance, an investment objective of capital preservation with income generation, liquid net worth of \$340,000 (representing her entire retirement savings), and annual pension income of \$42,000. Ms. Holloway explicitly communicated to her registered representative, Daniel Vasquez, that she needed her portfolio to generate stable income to supplement her pension and could not afford to lose principal given her age and lack of other assets.

Between April 2019 and August 2019, Vasquez recommended that Ms. Holloway invest \$180,000--approximately 53% of her liquid net worth--into a series of leveraged exchange-traded notes (ETNs) linked to crude oil futures. Vasquez described these products to Ms. Holloway as 'enhanced income vehicles' that would generate superior returns compared to traditional fixed-income investments. He did not adequately explain the daily reset mechanism, the effects of contango on long-term returns, or the potential for substantial principal loss inherent in leveraged commodity-linked products.

By February 2020, as oil markets experienced extreme volatility, Ms. Holloway's leveraged ETN positions had declined in value by approximately \$127,000, representing a 70.5% loss on her invested principal. Ms. Holloway filed an arbitration claim against Pinnacle Securities Group alleging that Vasquez's recommendations were unsuitable given her documented conservative profile, age, and need for capital preservation. Pinnacle's compliance records showed that Vasquez had received no specialized training on leveraged ETN products and that the firm's supervisory review had flagged the concentration but took no corrective action.

Question

Did the recommendation of leveraged commodity-linked ETNs violate FINRA suitability requirements given Ms. Holloway's documented customer profile and investment objectives?

Answer

The recommendation violated FINRA Rule 2111 suitability requirements on multiple grounds. FINRA Rule 2111(a) requires that a broker have a reasonable basis to believe that a recommended transaction is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and investment time horizon.

First, regarding customer-specific suitability under Rule 2111(a), Ms. Holloway's documented profile--a 72-year-old retiree with conservative risk tolerance, capital preservation objectives, and dependence on her \$340,000 in liquid assets for retirement income--was fundamentally incompatible with leveraged commodity-linked ETNs. These products carry substantial principal risk, experience value decay due to daily rebalancing mechanics, and are generally considered appropriate only for sophisticated investors with high risk tolerance and short-term trading horizons.

Second, the quantitative suitability component is implicated by the 53% concentration in a single volatile asset class. Even if one leveraged ETN position might have been marginally defensible for a small speculative allocation, concentrating over half of a conservative retiree's liquid net worth in leveraged commodity products was excessive given her profile.

Third, Vasquez failed to meet his reasonable-basis suitability obligation under Rule 2111(a). The evidence that he received no specialized training on leveraged ETNs suggests he lacked the understanding necessary to reasonably believe the recommendation was suitable for any customer, let alone one with Ms. Holloway's conservative profile.

The firm's supervisory failure compounds the violation. Under FINRA Rule 3110, Pinnacle was obligated to establish and maintain a supervisory system reasonably designed to achieve compliance with applicable rules. The flagged concentration without corrective action demonstrates deficient supervision.

Verdict: The recommendations were unsuitable. Vasquez violated FINRA Rules 2111 and 2010, and Pinnacle failed its supervisory obligations under Rule 3110. Ms. Holloway should be awarded damages reflecting her losses attributable to the unsuitable recommendations.

Key Factor

Recommending leveraged commodity-linked ETNs to a 72-year-old conservative investor seeking capital preservation, concentrating over 50% of her retirement savings in products fundamentally incompatible with her documented risk profile and investment objectives.

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NON-COMPLIANT

Topic: leveraged_etf_reasonable_basis_suitability

Difficulty: medium

Standard: Exchange Act Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Rivera, a registered representative with Pinecrest Financial Services, Inc., began working with retail customer Helen Kowalski in January 2020. Mrs. Kowalski, age 67, was a retired schoolteacher with a moderate risk tolerance, an investment objective of capital preservation with modest income generation, liquid assets of approximately \$285,000, and annual pension income of \$42,000. She informed Rivera that she intended to use her investment portfolio to supplement her retirement income over the next 15-20 years.

In August 2020, Rivera recommended that Mrs. Kowalski invest \$45,000 of her retirement savings into ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF tracking the NASDAQ-100 Index, and \$30,000 into ProShares UltraShort S&P500 (SDS), a 2x inverse ETF. Rivera told Mrs. Kowalski these products would provide 'enhanced returns' and 'downside protection' for her portfolio. He did not explain the daily reset mechanism, the compounding effects over multi-day holding periods, or the substantial volatility risks inherent in these products.

When Mrs. Kowalski asked how long she should hold these positions, Rivera advised her to 'hold them for the long term like your other investments' and suggested she check her statements quarterly rather than daily. Internal firm records showed that Rivera had not completed the firm's required training module on non-traditional ETFs and had not reviewed the prospectuses for either product before making the recommendations.

By February 2021, Mrs. Kowalski's TQQQ position had experienced significant value erosion despite the NASDAQ-100 posting modest gains over the holding period, and her SDS position had lost approximately 60% of its value. The combined losses exceeded \$38,000, representing over 13% of her total liquid assets.

Question

Did Marcus Rivera violate Regulation BI's Care Obligation and FINRA Rule 2111 when recommending leveraged and inverse ETFs to Mrs. Kowalski?

Answer

Yes, Marcus Rivera violated both Regulation BI's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii) and FINRA Rule 2111. The violations are clear and well-documented.

First, Rivera failed to satisfy the reasonable-basis component of the Care Obligation. Rule 15l-1(a)(2)(ii) requires associated persons to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs associated with a recommendation. The SEC's Adopting Release emphasizes that this standard is heightened for complex products. Rivera demonstrably lacked understanding of these NT-ETFs: he failed to complete required firm training, did not review the product prospectuses, and fundamentally mischaracterized the products' characteristics by describing them as suitable for 'long-term' holding when they are designed for single-day trading sessions.

Second, Rivera violated the customer-specific component of both Reg BI and Rule 2111. NT-ETFs are inherently high-risk, volatile instruments designed for sophisticated, short-term traders. Mrs. Kowalski's profile--a 67-year-old retiree with moderate risk tolerance, capital preservation objectives, and reliance on her portfolio for retirement income--is fundamentally incompatible with these products. The allocation of \$75,000 (over 26% of her liquid assets) to these instruments was grossly disproportionate to her risk capacity.

Third, Rivera's advice to hold these products 'long term' and review statements only quarterly directly contradicts the operational reality of daily-reset products. FINRA has repeatedly cautioned that NT-ETFs are typically unsuitable for retail investors holding beyond one trading session, particularly in volatile markets. Rivera's failure to communicate basic product mechanics deprived Mrs. Kowalski of material information necessary for informed decision-making.

These violations of Reg BI and Rule 2111 also constitute violations of FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade. Rivera's conduct fell far below the standard of care required when recommending complex products to retail customers, and no good-faith defense is available where the representative demonstrably failed to understand the products being recommended.

Key Factor

Rivera recommended leveraged and inverse ETFs without understanding their daily reset mechanism and compounding effects, and advised a retirement-focused client with moderate risk tolerance to hold these single-day trading instruments long-term.

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COMPLIANT

Topic: suitability_client_directed_equity_concentration

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.02 (Explicit Customer Directives); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 58, opened a brokerage account with Piedmont Financial Services LLC in March 2015. Her account documentation indicated she was a marketing executive earning \$145,000 annually with a net worth of approximately \$850,000, excluding her primary residence. On her new account form, Mrs. Thornton checked 'growth' as her primary investment objective, indicated a 'moderate to aggressive' risk tolerance, and specified a 15-year time horizon aligned with her planned retirement at age 73. Her completed investor profile questionnaire noted she was 'willing to accept significant short-term losses in pursuit of long-term capital appreciation' and had 'substantial' prior investment experience including individual equities.

Her assigned representative, David Kowalski, initially recommended a diversified portfolio consisting of 70% equities across multiple sectors and 30% fixed income. However, during their quarterly review in September 2015, Mrs. Thornton expressed strong conviction about technology sector growth and directed Mr. Kowalski to concentrate her holdings to 100% equities, specifically requesting allocation to technology-focused growth stocks. Mr. Kowalski documented their conversation in detail, noting he advised Mrs. Thornton that such concentration increased volatility risk and that her age suggested considering some fixed income allocation. The documentation reflected Mrs. Thornton's acknowledgment of these risks and her explicit instruction to proceed with the concentrated equity strategy.

Over the next four years, Mr. Kowalski continued to recommend rebalancing toward a more diversified allocation during each semi-annual review. His notes from meetings in March 2016, September 2016, March 2017, September 2017, March 2018, and September 2018 each reflected renewed recommendations to reduce equity concentration and Mrs. Thornton's consistent refusal to reallocate. In January 2020, following market volatility that reduced her account value from \$920,000 to \$710,000, Mrs. Thornton filed a complaint alleging Mr. Kowalski made unsuitable investment recommendations by maintaining her in an inappropriately concentrated equity portfolio given her age and proximity to retirement.

Question

Did David Kowalski violate FINRA's suitability requirements by allowing Mrs. Thornton to maintain a 100% equity concentration despite repeatedly recommending diversification?

Answer

No violation occurred. David Kowalski satisfied his suitability obligations under FINRA Rule 2111, and the concentrated equity position was maintained at the customer's explicit direction over his documented contrary recommendations.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on reasonable diligence concerning the customer's investment profile. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Critically, Rule 2111.02 explicitly states that a broker's suitability obligation does not apply to a customer's

explicit rejection of a broker's recommendation to modify or liquidate a position.

Mr. Kowalski's conduct demonstrates compliance with each applicable element. First, his initial recommendation of a 70% equity/30% fixed income allocation was customer-specific suitable given Mrs. Thornton's documented growth objective, moderate-to-aggressive risk tolerance, substantial investment experience, 15-year time horizon, and express willingness to accept significant short-term losses. Second, when Mrs. Thornton directed concentration into equities, Mr. Kowalski fulfilled his care obligation by explaining the increased volatility risk and documenting her acknowledgment before executing her instructions.

Most significantly, Mr. Kowalski's consistent recommendations over four years to reallocate toward diversification--each documented with Mrs. Thornton's refusal--establish that the concentrated position was customer-directed, not broker-recommended. Under FINRA Rule 2111, when a customer explicitly rejects suitable advice to modify positions, the resulting portfolio allocation is attributable to the customer's investment decisions, not the broker's recommendations.

The firm's internal investigation finding the complaint 'without merit' aligns with this analysis. Mrs. Thornton's profile supported growth-oriented equity investments, her refusals were documented, and Mr. Kowalski consistently advocated for prudent diversification. The losses resulted from market conditions affecting a strategy the customer insisted upon maintaining despite contrary professional advice. No suitability violation occurred.

Key Factor

The representative's documented recommendations to reallocate toward diversification, coupled with the customer's explicit refusal to follow that advice, established that the concentrated equity position was customer-directed rather than broker-recommended, negating any suitability violation.

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NON-COMPLIANT

Topic: suitability_leveraged_etf_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2268 (Requirements When Using Predispute Arbitration Agreements); FINRA Rule 12213 (Hearing Locations); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 67, opened a brokerage account with Pinnacle Securities LLC in February 2020. Her new account documentation indicated she was a retired elementary school teacher with a fixed income of \$3,200 monthly from her pension and Social Security. Her liquid net worth was approximately \$285,000, representing her entire retirement savings. Mrs. Chen's investment objective was listed as 'income with capital preservation,' her risk tolerance was marked as 'conservative,' and her investment time horizon was noted as '5-10 years.' She expressly told her registered representative, David Harmon, that she could not afford to lose principal because these funds needed to supplement her pension for the remainder of her life.

Between March 2020 and August 2020, Harmon recommended that Mrs. Chen invest approximately \$142,000 (nearly 50% of her liquid assets) in leveraged and inverse exchange-traded products, including ProShares UltraPro QQQ (3x leveraged NASDAQ exposure), Direxion Daily Financial Bull 3X Shares, and ProShares UltraShort S&P500. Harmon told Mrs. Chen these products would 'protect her portfolio during market volatility' and 'maximize her returns during the recovery.' He did not explain that these products were designed for short-term trading, typically one day, and that holding them longer could result in significant losses due to daily compounding effects and volatility decay.

Mrs. Chen held these positions for periods ranging from 45 to 120 days. By December 2020, her account had lost \$67,400 in these leveraged ETF positions despite the underlying indices having recovered substantially from March lows. When Mrs. Chen complained about her losses, Harmon initially attributed them to 'market conditions' and suggested she sign a new customer agreement containing an arbitration clause that Pinnacle had recently revised. The revised agreement included a provision requiring all arbitration hearings to be held exclusively in Delaware, despite Mrs. Chen residing in Arizona and Harmon operating from Pinnacle's Phoenix branch.

Question

Did David Harmon's recommendation that Mrs. Chen invest in leveraged and inverse ETFs violate FINRA suitability requirements, and does the forum selection provision in Pinnacle's revised customer agreement comply with FINRA rules?

Answer

Harmon's recommendations violated FINRA Rule 2111 (Suitability) on multiple grounds, and Pinnacle's forum selection clause violates FINRA Rule 2268.

Regarding suitability, FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Harmon's recommendations fail all three suitability obligations.

First, reasonable-basis suitability under Rule 2111.05(a) requires the broker to understand the product's risks and

characteristics. Leveraged and inverse ETFs are complex products designed for sophisticated short-term traders. These products reset daily and are explicitly unsuitable for buy-and-hold strategies due to compounding effects. FINRA has consistently emphasized that leveraged ETFs are typically unsuitable for retail investors who plan to hold them for more than one trading session. Harmon's failure to understand or communicate these features demonstrates a lack of reasonable-basis suitability.

Second, customer-specific suitability under Rule 2111.05(b) was violated because Mrs. Chen's conservative risk tolerance, capital preservation objective, income needs, age (67), and complete reliance on these assets for retirement income made leveraged products categorically inappropriate. Concentrating 50% of a conservative retiree's assets in 3x leveraged instruments is indefensible.

Third, quantitative suitability under Rule 2111.05(c) is implicated by the excessive concentration in unsuitable products relative to her profile.

Regarding the forum selection provision, FINRA Rule 2268(d) and the guidance in this Notice make clear that customer agreements cannot dictate hearing locations in a manner that contradicts FINRA arbitration rules. FINRA Rule 12213 establishes that hearing locations are determined based on the customer's residence at account opening. Pinnacle's Delaware-exclusive provision directly contradicts this rule and is therefore prohibited under Rule 2268(d)(1). Additionally, attempting to have Mrs. Chen sign this non-compliant agreement after losses materialized raises concerns under FINRA Rule 2010 (Standards of Commercial Honor).

The violations are clear and Pinnacle faces potential disciplinary action for both the unsuitable recommendations and the non-compliant customer agreement provisions.

Key Factor

Recommending complex leveraged ETFs designed for daily trading to a 67-year-old conservative retiree who needed capital preservation, combined with attempting to enforce a forum selection clause that contradicts FINRA arbitration rules.

Item 299 of 499

NON-COMPLIANT

Topic: annuity_suitability_best_interest_elderly_client

Difficulty: hard

Standard: NAIC Suitability in Annuity Transactions Model Regulation (Best Interest Standard); Care Obligation; Documentation Obligation; Insurer Supervision Requirements

Source: 10_Academic_Articles

Fact Pattern

Margaret Townsend, age 78, visited Cypress Ridge Insurance Agency in March 2024 seeking advice on how to generate income from her late husband's \$340,000 life insurance proceeds. Mrs. Townsend disclosed to producer Daniel Whitmore that she had limited savings beyond this sum, received \$1,850 monthly from Social Security, had moderate hypertension requiring regular medication costing approximately \$380 monthly, and lived in a rental apartment with monthly rent of \$1,400. She explicitly stated her primary objective was preserving her principal while generating steady income to cover her living expenses, and she described herself as having 'no tolerance for losing money at my age.' Whitmore recommended she purchase a variable annuity with a 10-year surrender period, the Pinnacle Growth VA Plus, which carried a 7% surrender charge in year one declining by 0.5% annually. The product invested primarily in equity sub-accounts with total annual expenses of 2.85%, including mortality and expense charges and underlying fund fees. Whitmore collected basic profile information on a standardized form but did not document Mrs. Townsend's liquidity needs beyond noting 'retirement income' as her objective. He did not discuss the product's market risk exposure, the lengthy surrender period relative to her age, or alternative products such as single premium immediate annuities or fixed annuities that might better address her stated income needs. Within eight months, Mrs. Townsend faced unexpected medical expenses totaling \$12,000 and needed to access her annuity funds. She discovered she would forfeit approximately \$23,000 in surrender charges to access her full account value, which had also declined 11% due to equity market volatility. Cypress Ridge's supervisory review had approved the transaction based solely on the completed suitability form without any independent analysis of the recommendation's appropriateness.

Question

Did Daniel Whitmore's recommendation of the Pinnacle Growth VA Plus variable annuity satisfy the NAIC Model Regulation's best interest standard for annuity sales to Mrs. Townsend?

Answer

No, Daniel Whitmore's recommendation clearly failed to satisfy the NAIC Model Regulation's best interest standard. Under the NAIC Suitability in Annuity Transactions Model Regulation, a producer must act in the best interest of the consumer when making an annuity recommendation, which requires satisfying a comprehensive care obligation that goes beyond mere suitability.

The Model Regulation's care obligation requires the producer to know the consumer's financial situation, insurance needs, and financial objectives, and to have a reasonable basis to believe the recommendation addresses the consumer's financial situation, insurance needs, and financial objectives. Whitmore failed this standard on multiple grounds.

First, the product's 10-year surrender period was grossly mismatched to Mrs. Townsend's profile. At age 78 with documented health conditions and limited assets, recommending a product with substantial surrender charges

extending to age 88 demonstrated a fundamental failure to consider her likely liquidity needs and life expectancy. The Model Regulation specifically requires consideration of the consumer's financial situation, which includes reasonably foreseeable liquidity requirements.

Second, the variable annuity's equity exposure directly contradicted Mrs. Townsend's explicitly stated zero tolerance for loss and principal preservation objective. The care obligation mandates that the recommended product must address the consumer's stated financial objectives. A product with significant market risk cannot satisfy the best interest standard for a client who expressly rejected any potential for principal loss.

Third, Whitmore failed to consider reasonably available alternatives as required under the care standard. Single premium immediate annuities or fixed annuities would have better addressed her stated income needs without market risk or lengthy surrender periods. The Model Regulation requires the producer to consider reasonably available alternatives.

Fourth, the documentation obligation was not satisfied. The producer must maintain records of the information collected and the basis for the recommendation. Whitmore's cursory notation of 'retirement income' without documenting liquidity analysis or product comparison demonstrates inadequate documentation.

Finally, Cypress Ridge's supervisory review was deficient. The insurer must establish and maintain a supervision system reasonably designed to achieve compliance, including reviewing each recommendation for compliance with the best interest standard--not merely checking form completion.

The recommendation violated the NAIC Model Regulation's best interest standard in its care, documentation, and supervision requirements.

Key Factor

The producer recommended a long-surrender-period variable annuity with significant equity risk to a 78-year-old client with limited assets, documented health conditions, and an explicitly stated zero tolerance for loss, without considering reasonably available alternatives that would have better matched her income and preservation objectives.

Item 300 of 499

NON-COMPLIANT

Topic: suitability_lending_relationship_product_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation BI Care Obligation; FINRA Rule 3240 (Borrowing/Lending); FINRA Rule 3110 (Supervision)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Marcus Whitfield, a registered representative at Prestige Securities LLC, had maintained a close personal friendship with Thomas Carrington for approximately eight years before Carrington became his brokerage customer in March 2021. Their relationship originated through their children's youth soccer league, and they frequently socialized at family gatherings. In February 2022, Whitfield borrowed \$85,000 from Carrington to cover unexpected medical expenses for his spouse. Whitfield properly notified Prestige Securities of this borrowing arrangement under the firm's procedures, and the firm approved the loan in writing, documenting it as a bona fide personal relationship formed prior to the broker-customer relationship.

Carrington, age 67, was a recently retired municipal employee with a modest pension of \$3,200 monthly, Social Security benefits of \$2,100 monthly, and liquid savings of \$340,000. His investment objective was capital preservation with moderate income generation, and his documented risk tolerance was conservative. He had limited investment experience beyond certificates of deposit and his employer's stable value fund.

In September 2022, while still owing Carrington approximately \$62,000 on the outstanding loan, Whitfield recommended that Carrington invest \$180,000--more than half his liquid assets--in a portfolio of leveraged inverse ETFs tied to energy sector indices. Whitfield explained these products would provide 'enhanced returns' and 'downside protection' during market volatility. Carrington trusted Whitfield given their longstanding friendship and his gratitude that Whitfield had helped him 'get started with real investing.' The recommendation came three weeks before a scheduled \$15,000 loan repayment was due from Whitfield to Carrington.

Within four months, Carrington's position had declined by \$67,000 due to the compounding effects and volatility decay inherent in leveraged inverse products held over extended periods. Prestige Securities' supervisory system flagged the account only after Carrington filed a written complaint in February 2023.

Question

Did Marcus Whitfield's recommendation of leveraged inverse ETFs to Thomas Carrington satisfy his suitability and care obligations under applicable standards, considering Carrington's investor profile and the existing borrowing arrangement between them?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111 and Regulation BI's care obligation. While the borrowing arrangement itself was properly disclosed and approved under FINRA Rule 3240(a)(2)(D) as a bona fide personal relationship predating the broker-customer relationship, this does not insulate subsequent investment recommendations from suitability scrutiny--indeed, it heightens the need for careful analysis.

Under FINRA Rule 2111, a recommendation must be suitable based on customer-specific factors including age,

financial situation, investment objectives, risk tolerance, and investment experience. Carrington's profile--age 67, recently retired, conservative risk tolerance, capital preservation objective, limited investment experience, and dependence on fixed income--is fundamentally incompatible with leveraged inverse ETFs. These complex products are designed for short-term trading by sophisticated investors who actively monitor positions and understand compounding effects. Recommending that a conservative retiree allocate over 50% of liquid assets to such products fails the customer-specific suitability requirement.

Under Regulation BI's Care Obligation, Whitfield was required to exercise reasonable diligence, care, and skill to understand the risks of leveraged inverse ETFs and have a reasonable basis to believe the recommendation was in Carrington's best interest. The substantial concentration--\$180,000 of \$340,000--in a product category antithetical to capital preservation demonstrates a failure of care.

The outstanding \$62,000 debt compounds the violation. While Rule 3240 permits such arrangements when properly approved, the existence of the debt created practical pressure that arguably influenced Whitfield's judgment. Recommending volatile products to a creditor who might need to liquidate holdings to meet his own expenses--while a loan repayment was imminent--suggests Whitfield's recommendation was not made with exclusive regard to Carrington's interests.

Prestige Securities' supervisory failure to detect this unsuitable concentration until after customer complaint further evidences systemic deficiencies. The recommendation was unsuitable, and the care obligation was breached.

Key Factor

Recommending leveraged inverse ETFs representing over 50% of liquid assets to a conservative, retired investor with limited experience and capital preservation objectives constituted a clear suitability violation, exacerbated by the representative's outstanding debt to the customer.

Item 301 of 499**NON-COMPLIANT**

Topic: reasonable_basis_suitability_complex_products

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2111.05(a) (Reasonable-Basis Suitability), 2111.05(b) (Customer-Specific Suitability), 3110 (Supervision), 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Piedmont Capital Partners, LLC is a small broker-dealer headquartered in Augusta, Georgia, with twelve registered representatives serving approximately 800 retail accounts. Harold Jennings, age 62, has been the firm's President and Chief Compliance Officer since 2008. Between March 2016 and November 2018, Jennings developed and recommended a proprietary trading strategy he called the 'Volatility Harvest Program' to twenty-three retail customers.

The strategy centered on concentrated positions in the XIV inverse volatility exchange-traded note, which was designed to deliver the inverse of short-term VIX futures on a daily basis. Jennings allocated between 40% and 65% of participating customers' portfolios to XIV, with holding periods ranging from three to eighteen months. Among the affected customers was Dorothy Marchetti, a 71-year-old retired schoolteacher with a \$485,000 portfolio, moderate risk tolerance, and stated investment objective of capital preservation and income generation. Jennings placed 55% of her account in XIV beginning in April 2016, maintaining the position for fourteen months.

When questioned during a routine branch examination, Jennings acknowledged he had not reviewed the XIV prospectus in detail, did not understand the daily reset mechanism or compounding effects, and was unaware that the product could lose substantial value if held during periods of volatility spikes. He stated he relied on a brief summary from a wholesaler and believed the product would generate steady returns because 'volatility usually goes down over time.' The firm's written supervisory procedures contained no guidance on evaluating complex ETPs, establishing concentration limits, or conducting reasonable-basis suitability analysis for non-traditional products.

In February 2018, XIV experienced a catastrophic decline of over 90% in a single trading session following a VIX spike. Mrs. Marchetti's account lost approximately \$218,000 in that event alone. Subsequently, three customers filed arbitration claims against the firm, all of which were settled for amounts totaling \$412,000.

Question

Did Jennings and Piedmont Capital Partners violate their suitability obligations under FINRA rules when recommending the Volatility Harvest Program and concentrated XIV positions to retail customers like Mrs. Marchetti?

Answer

Yes, Jennings and Piedmont Capital Partners violated FINRA Rules 2111 and 2010, and the firm additionally violated FINRA Rule 3110, through their recommendation of the Volatility Harvest Program without reasonable basis suitability and their failure to supervise.

FINRA Rule 2111 imposes a three-component suitability obligation: reasonable-basis, customer-specific, and quantitative suitability. Rule 2111.05(a) specifically requires that a member or associated person have 'an understanding of the potential risks and rewards associated with the recommended security or strategy' before recommending it. This reasonable-basis obligation demands that the recommendation be suitable for at least some

investors based on reasonable diligence.

Jennings fundamentally failed this standard. His admitted lack of prospectus review, ignorance of the daily reset mechanism, and reliance solely on wholesaler summaries demonstrate he did not understand XIV's core features. Inverse volatility ETNs are explicitly designed for single-day holding periods, and FINRA has long warned that such products are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session.' Jennings held positions for months, directly contradicting the product's intended use.

Beyond reasonable-basis failures, the recommendations failed customer-specific suitability under Rule 2111.05(b). Mrs. Marchetti's profile--age 71, moderate risk tolerance, capital preservation objective--was fundamentally incompatible with a 55% concentration in a highly speculative inverse volatility product. The potential for catastrophic single-day losses was inconsistent with her stated objectives and financial situation.

The firm violated Rule 3110 by failing to establish adequate supervisory procedures for complex products. The absence of guidance on ETP evaluation, concentration limits, or reasonable-basis analysis for non-traditional products constitutes a systemic supervisory failure. Jennings, as President and CCO, bore responsibility for this deficiency while simultaneously making the unsuitable recommendations.

The violations of Rules 2111 and 3110 also constitute violations of Rule 2010's requirement to observe high standards of commercial honor. The \$218,000 loss to Mrs. Marchetti and subsequent arbitration settlements confirm the harm caused by these violations.

Key Factor

Jennings recommended concentrated positions in an inverse volatility ETN without understanding its daily reset mechanism, holding period limitations, or compounding risks, thereby failing the reasonable-basis suitability requirement.

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NON-COMPLIANT

Topic: suitability_puerto_rico_closed_end_funds

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) Reasonable-Basis Suitability; FINRA Rule 2111.05(b) Customer-Specific Suitability; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Carmen Delgado, age 68, was a retired public school teacher residing in Bayamón, Puerto Rico, with a fixed monthly pension of \$2,400 and total liquid assets of approximately \$285,000, representing her entire retirement savings accumulated over 35 years. In March 2019, she met with registered representative Victor Santana at Caribe Capital Securities, LLC, seeking conservative income-generating investments to supplement her pension. On her new account form, Mrs. Delgado indicated a 'conservative' risk tolerance, 'income' as her primary investment objective, and a 5-7 year investment time horizon. She expressly noted that capital preservation was essential because she had no other sources of retirement income beyond her pension and these savings.

Between March and August 2019, Santana recommended that Mrs. Delgado invest \$240,000--approximately 84% of her liquid net worth--into a concentrated portfolio of Puerto Rico closed-end bond funds, specifically allocating \$95,000 to the Caribe Tax-Free Target Maturity Fund, \$85,000 to the PR Municipal Bond Fund II, and \$60,000 to the Island Infrastructure Income Trust. Santana emphasized the tax-free nature of the income for Puerto Rico residents and projected annual yields of 6-7%. However, he did not adequately explain that these funds utilized substantial leverage (averaging 35-40% leverage ratios), were thinly traded with limited secondary market liquidity, and carried significant concentration risk to the Puerto Rico municipal credit market.

By December 2019, following credit downgrades of several Puerto Rico governmental entities and increased market volatility, the combined value of Mrs. Delgado's closed-end fund holdings had declined to approximately \$156,000--a loss of \$84,000 or 35% of her investment. The funds' leveraged structures amplified the losses during the market decline. Mrs. Delgado filed an arbitration claim in January 2020 against Caribe Capital Securities and Santana, alleging unsuitability, breach of fiduciary duty, and failure to adequately disclose the risks of leveraged closed-end funds. The firm defended by arguing the investments were suitable given Mrs. Delgado's income objective and the tax advantages for Puerto Rico residents.

Question

Did Victor Santana's recommendation that Carmen Delgado invest 84% of her liquid retirement assets in leveraged Puerto Rico closed-end bond funds violate FINRA suitability requirements, given her conservative risk tolerance, income objective, and capital preservation needs?

Answer

The recommendation violated FINRA Rule 2111's suitability requirements on multiple grounds. Rule 2111(a) requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile.

First, regarding reasonable-basis suitability under Rule 2111.05(a), Santana failed to understand and convey the

material risks of leveraged closed-end funds. These products use borrowed capital to amplify returns, which correspondingly amplifies losses--a characteristic fundamentally incompatible with Mrs. Delgado's stated need for capital preservation. The 35-40% leverage ratios meant her portfolio was exposed to magnified volatility, which materialized in the 35% loss.

Second, customer-specific suitability under Rule 2111.05(b) was clearly violated. Mrs. Delgado's documented profile--age 68, conservative risk tolerance, income objective with capital preservation priority, 5-7 year horizon, and dependence on these assets for retirement--was fundamentally mismatched with leveraged, illiquid, geographically concentrated closed-end funds. FINRA has consistently emphasized that recommending complex leveraged products to conservative, elderly investors with limited financial resources raises serious suitability concerns.

Third, the 84% concentration in a single asset class tied to Puerto Rico municipal credit violated quantitative suitability principles. Even if individual fund recommendations might be defensible in isolation, the aggregate portfolio construction exposed Mrs. Delgado to catastrophic concentration risk antithetical to her conservative profile.

The firm's defense regarding tax advantages is unavailing. Tax efficiency cannot override fundamental unsuitability; a tax-advantaged investment that subjects a conservative retiree to substantial principal loss risk remains unsuitable. Additionally, the income objective does not justify leverage-enhanced yield products when capital preservation is explicitly paramount.

Under FINRA Rule 2010's just and equitable principles of trade, Santana's conduct in prioritizing yield generation over documented client needs further supports liability. The arbitration panel would likely find for Mrs. Delgado on the suitability claim and award damages reflecting the losses attributable to the unsuitable recommendations.

Key Factor

Recommending that a 68-year-old conservative retiree dependent on her savings concentrate 84% of liquid assets in leveraged, illiquid closed-end funds was fundamentally unsuitable given her documented capital preservation needs and limited risk capacity.

Item 303 of 499**NON-COMPLIANT**

Topic: mutual_fund_share_class_selection_best_interest

Difficulty: medium

Standard: Investment Advisers Act Section 206(2); Fiduciary Duty of Care; Duty to Seek Best Execution

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Ridgeway Capital Advisors LLC is a registered investment adviser headquartered in Hartford, Connecticut, with approximately \$1.2 billion in regulatory assets under management. Ridgeway is affiliated with Ridgeway Securities Inc., a registered broker-dealer. From March 2015 through December 2017, Ridgeway investment adviser representative Jonathan Mercer managed the retirement accounts of approximately 340 advisory clients, including Patricia Holloway, a 58-year-old school administrator planning to retire at age 65.

Ms. Holloway opened an IRA rollover account with Ridgeway in April 2015 after transferring \$387,000 from her former employer's 401(k) plan. Her investment profile indicated a moderate risk tolerance, a time horizon of seven to ten years, and a primary objective of capital preservation with modest growth to fund retirement income. During the initial consultation, Mercer recommended allocating 65% of her portfolio across six different equity and balanced mutual funds.

For each of the six mutual funds, Mercer selected Class A shares, which carried 12b-1 fees ranging from 25 to 35 basis points annually. However, each of these funds also offered Class I (Institutional) shares that charged no 12b-1 fees and for which Ms. Holloway's account was eligible based on the investment minimums and account type. The 12b-1 fees from Ms. Holloway's account, totaling approximately \$875 annually, were paid to Ridgeway Securities, the affiliated broker-dealer. Over the 32-month period she held these positions, Ms. Holloway paid approximately \$2,335 in additional fees compared to what she would have paid in Class I shares.

Ridgeway's Form ADV Part 2A during this period stated that the firm 'may receive compensation from mutual fund companies' but did not specifically disclose that the affiliated broker received 12b-1 fees or that lower-cost share classes were available. The firm's compliance policies did not require advisers to evaluate share class availability or document share class selection rationale. Mercer testified he was unaware that Class I shares existed for these funds.

Question

Did Jonathan Mercer and Ridgeway Capital Advisors fulfill their fiduciary duty of care when selecting Class A mutual fund shares for Patricia Holloway's retirement account?

Answer

No, Jonathan Mercer and Ridgeway Capital Advisors breached their fiduciary duty of care under the Investment Advisers Act of 1940. Section 206(2) of the Advisers Act prohibits investment advisers from engaging in any transaction, practice, or course of business that operates as a fraud or deceit upon any client. The fiduciary duty owed by registered investment advisers encompasses both a duty of loyalty and a duty of care, requiring advisers to provide advice that is in the best interest of clients.

The duty of care requires an investment adviser to have a reasonable basis for its recommendations and to seek best execution, which includes evaluating the total cost of investments when substantially similar alternatives exist. Here,

Mercer selected Class A shares charging 12b-1 fees of 25-35 basis points when Class I shares of the identical underlying fund portfolios were available to Ms. Holloway at no 12b-1 cost. The Class I shares represented identical investment exposure with lower total expenses, meaning Ms. Holloway would have earned higher net returns over time.

Ms. Holloway's moderate risk tolerance and capital preservation objective for retirement made cost minimization particularly important--every dollar lost to unnecessary fees directly reduced her retirement security. The \$2,335 in excess fees over 32 months represented a material diminution of her retirement assets without any corresponding benefit.

The firm cannot defend on the basis that Mercer was unaware of Class I share availability. A fiduciary's duty of care requires reasonable diligence in understanding available investment options. Ridgeway's failure to implement policies requiring share class evaluation demonstrates a systemic compliance deficiency that does not excuse the underlying breach. The SEC has consistently held that selecting higher-cost share classes when lower-cost alternatives are available for which the client qualifies constitutes a breach of fiduciary duty, as illustrated in numerous SCSD Initiative settlements.

The conduct violated Section 206(2) of the Advisers Act by placing the financial interests of the affiliated broker-dealer above the client's interest in minimizing investment costs.

Key Factor

The adviser selected mutual fund share classes charging 12b-1 fees when identical lower-cost institutional shares were available and appropriate for the client's retirement account.

Item 304 of 499

NON-COMPLIANT

Topic: mifid_ii_suitability_complex_product_retail_client

Difficulty: hard

Standard: MiFID II Article 25(2); ESMA Guidelines on Certain Aspects of MiFID II Suitability Requirements; MiFID II Delegated Regulation Articles 54-55

Source: 23_International_Comparative

Fact Pattern

Meridian Wealth Partners GmbH is a German investment firm authorized under MiFID II providing investment advice to retail clients across the EU. On 15 March 2023, adviser Klaus Hartmann met with Ingrid Bauer, a 67-year-old retired schoolteacher residing in Munich. Ms. Bauer disclosed that her total liquid assets consisted of ?185,000 in savings deposits, her sole source of income was a monthly pension of ?1,850, and she had no other investments or financial buffers beyond her savings. She explicitly stated her investment objective was capital preservation with modest income generation to supplement her pension, and she characterized her risk tolerance as 'very conservative' on Meridian's client questionnaire, selecting the lowest risk category available.

During the meeting, Hartmann recommended that Ms. Bauer invest ?120,000--representing 65% of her liquid assets--into the Meridian Structured Yield Note Series VII, a complex structured product linked to a basket of emerging market equities with a 5-year maturity. The product offered a conditional coupon of 7.2% annually but included a capital-at-risk feature whereby principal could be reduced by up to 40% if any underlying equity fell below 60% of its initial value at maturity. The product documentation classified it as appropriate only for clients with 'high' or 'speculative' risk tolerance and substantial investment experience with derivatives.

Hartmann's suitability report, dated 15 March 2023, stated that the recommendation was suitable because 'the client seeks income enhancement and the product offers attractive yield.' The report did not address the concentration risk, the mismatch between the product's risk classification and Ms. Bauer's stated risk tolerance, or her limited ability to absorb potential capital losses given her reliance on savings for retirement security. Meridian's compliance records show no evidence that Hartmann conducted any assessment of Ms. Bauer's knowledge and experience with structured products or derivatives, though internal policy required such assessment for complex instruments. Ms. Bauer signed the transaction documents on 22 March 2023, investing the full ?120,000.

Question

Did Meridian Wealth Partners and adviser Klaus Hartmann comply with MiFID II suitability requirements when recommending the Meridian Structured Yield Note Series VII to Ms. Bauer?

Answer

No, Meridian Wealth Partners and Klaus Hartmann clearly violated MiFID II suitability requirements under Article 25(2) and the related ESMA Guidelines on suitability. The recommendation was manifestly unsuitable and failed multiple mandatory assessment criteria.

Under MiFID II Article 25(2), investment firms providing advice must obtain necessary information regarding the client's knowledge and experience, financial situation including ability to bear losses, and investment objectives including risk tolerance. The firm must then ensure that any personal recommendation is suitable based on this information. ESMA's Guidelines on Certain Aspects of MiFID II Suitability Requirements further elaborate that firms must assess whether the

client can financially bear investment losses consistent with their objectives and risk tolerance.

First, regarding knowledge and experience assessment: Meridian failed to conduct any documented assessment of Ms. Bauer's familiarity with structured products or derivatives, despite internal policy mandating such review for complex instruments. This violates Article 25(2)(a) and ESMA Guideline provisions requiring firms to gather sufficient information to understand the client's ability to comprehend product risks.

Second, regarding financial situation: Ms. Bauer's profile--a retiree with ?185,000 in total liquid assets, dependent on a modest pension, with no other financial buffers--clearly indicated limited loss-bearing capacity. Recommending she commit 65% of her liquid assets to a product with potential 40% capital erosion fundamentally disregarded her ability to bear losses as required under Article 25(2)(b).

Third, regarding investment objectives and risk tolerance: Ms. Bauer explicitly selected 'very conservative' risk tolerance and stated capital preservation as her primary objective. The structured note was classified internally for 'high' or 'speculative' risk clients. Hartmann's suitability report failed to reconcile--or even acknowledge--this fundamental mismatch, violating Article 25(2)(c) requirements.

The suitability report's rationale citing 'income enhancement' does not constitute adequate justification when the product's risk profile directly contradicts the client's stated objectives and tolerance. ESMA Guidelines specifically require that suitability statements explain how recommendations meet client characteristics, which this report failed to do.

The recommendation was unsuitable and constitutes a clear breach of MiFID II Article 25(2) and applicable ESMA suitability guidelines.

Key Factor

The adviser recommended a high-risk complex structured product with significant capital-at-risk features to a conservative retired client whose stated objectives were capital preservation, without reconciling the fundamental mismatch between product risk and client profile.

Item 305 of 499**NON-COMPLIANT**

Topic: suitability_of_margin_account_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 210 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Eleanor Whitfield, age 71, is a retired schoolteacher with a fixed pension of \$3,200 per month and liquid savings of approximately \$185,000 held primarily in certificates of deposit and municipal bonds. In March 2022, she met with registered representative Marcus Dellacroix at Horizon Edge Securities, LLC to discuss transferring her assets to capture a promotional bonus of \$3,500 for new accounts over \$150,000. Dellacroix recommended that Mrs. Whitfield open a margin-enabled brokerage account, explaining that the margin feature would provide 'flexibility' and allow her to 'take advantage of opportunities' without liquidating her bond positions.

Mrs. Whitfield's new account documentation indicated her investment objective as 'income with capital preservation,' her risk tolerance as 'low,' and her investment experience as 'limited--primarily savings products.' Despite these documented characteristics, Dellacroix proceeded to execute the margin agreement and subsequently recommended that Mrs. Whitfield purchase \$45,000 in leveraged ETF shares tracking the energy sector, funded partially through a \$22,000 margin loan. Dellacroix told Mrs. Whitfield these products would 'boost her income significantly' without adequately explaining the daily reset mechanics, volatility decay, or margin interest costs.

Within four months, the energy sector experienced significant volatility. The leveraged ETF position declined 38%, triggering a margin call of \$8,400. Mrs. Whitfield, who had never received a margin call before and did not fully understand the concept, was forced to liquidate a substantial portion of her municipal bond holdings at a loss to meet the call. By August 2022, her account value had declined to \$141,000 from the original \$185,000 transfer, representing total losses of approximately \$44,000 including margin interest charges.

Mrs. Whitfield subsequently filed a FINRA arbitration claim alleging that Dellacroix's recommendation of both the margin account and the leveraged ETF products was unsuitable given her documented conservative profile, limited investment knowledge, and retirement income needs.

Question

Did Marcus Dellacroix's recommendations of a margin account and leveraged ETF products to Mrs. Whitfield satisfy his suitability obligations under FINRA rules?

Answer

No, the recommendations were unsuitable and violated FINRA Rule 2111 (Suitability). The analysis proceeds across the rule's three core components.

First, regarding reasonable-basis suitability under Rule 2111.05(a), a registered representative must understand the risks and features of a recommended security before recommending it. Leveraged ETFs are complex products that reset daily and can experience significant value erosion in volatile markets even when the underlying index remains flat. The facts do not indicate Dellacroix adequately understood or explained these mechanics, particularly volatility decay and the products' unsuitability for buy-and-hold strategies typical of income-focused retirees.

Second, customer-specific suitability under Rule 2111.05(b) requires that recommendations be suitable based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and investment experience. Mrs. Whitfield was 71, retired on a fixed pension, had low risk tolerance, sought income with capital preservation, and had limited investment experience confined to savings products. Recommending margin and leveraged sector ETFs to such a customer represents a fundamental mismatch. Margin amplifies both gains and losses, creating risk wholly inconsistent with capital preservation objectives. Leveraged ETFs are explicitly unsuitable for conservative, income-oriented investors per industry guidance.

Third, quantitative suitability under Rule 2111.05(c) addresses whether the cumulative recommendations impose excessive costs or risks. Here, the \$22,000 margin loan on a \$185,000 account created unnecessary leverage and interest expense for a client with no stated need for borrowed funds.

Dellacroix's defense that the margin feature provided 'flexibility' is unavailing--flexibility is irrelevant when the customer's documented profile indicates no need or tolerance for leverage. The promotional bonus context further suggests the recommendation was driven by account acquisition incentives rather than customer-centered analysis.

Additionally, FINRA Rule 2010 (Standards of Commercial Honor) is implicated when a representative recommends complex products without ensuring customer understanding. The failure to explain margin mechanics and leveraged ETF risks to an unsophisticated retiree falls below just and equitable principles of trade.

The \$44,000 loss, representing approximately 24% of Mrs. Whitfield's liquid assets, was a foreseeable consequence of unsuitable recommendations.

Key Factor

Recommending margin and leveraged ETFs to a 71-year-old retiree with documented low risk tolerance, capital preservation objectives, and limited investment experience fundamentally violated customer-specific suitability requirements.

Item 306 of 499**NON-COMPLIANT**

Topic: nontraded_reit_suitability_for_retirement_account

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Harold Vincenzo, age 71, opened an IRA account with Cornerstone Capital Securities, LLC in March 2016. His account application documented his investment objective as 'income and preservation of capital,' a conservative risk tolerance, a 5-year investment time horizon, and liquid net worth of approximately \$180,000, the majority of which was held in this IRA. Mr. Vincenzo was a retired factory supervisor with limited investment experience beyond certificates of deposit and money market funds.

In April 2016, registered representative Marcus Dellwood recommended that Mr. Vincenzo invest \$85,000--representing approximately 47% of his liquid net worth--into two non-traded REITs: Gateway Healthcare Properties, Inc. (\$45,000) and Continental Office Trust VII (\$40,000). Dellwood emphasized the 7% annual distribution rates and described the products as 'safe real estate investments' suitable for generating retirement income. The sales materials provided to Mr. Vincenzo highlighted projected income but did not prominently disclose the illiquid nature of the investments, the 7-year minimum hold period, or the 12% front-end commission structure.

Mr. Vincenzo did not receive account statements reflecting the declining NAV of these REITs until late 2018, when Gateway Healthcare suspended distributions entirely and Continental Office Trust VII reduced its NAV by 38%. By January 2019, Mr. Vincenzo's combined REIT holdings had declined to approximately \$31,000. He was unable to liquidate the positions to cover unexpected medical expenses and had to borrow against his home equity. The firm's supervisory records showed no independent review of the concentration level or suitability determination for Mr. Vincenzo's account despite his documented conservative profile and age. Dellwood had received enhanced commission payouts on non-traded REIT sales during this period.

Question

Did the recommendation to invest nearly half of a 71-year-old retiree's liquid net worth in illiquid, high-commission non-traded REITs violate suitability obligations under FINRA rules?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) in multiple respects. Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable for the customer based on reasonable diligence concerning the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, and investment objectives.

First, the customer-specific suitability component of Rule 2111(a) was breached. Mr. Vincenzo was 71 years old, retired, with conservative risk tolerance and income/preservation objectives. Non-traded REITs are illiquid, speculative products with significant principal risk and multi-year lockup periods. These characteristics are fundamentally inconsistent with a conservative retiree seeking income and capital preservation.

Second, the quantitative suitability component was violated through excessive concentration. Recommending that a 71-year-old investor place 47% of his liquid net worth into illiquid, speculative products constitutes an unsuitable concentration, particularly when the investor has limited other resources and a short time horizon. FINRA has consistently held that concentration in illiquid alternatives is presumptively unsuitable for elderly, conservative investors.

Third, the reasonable-basis suitability obligation was compromised by inadequate disclosure. Dellwood's characterization of non-traded REITs as 'safe real estate investments' was misleading given the products' documented risks including illiquidity, distribution suspensions, and NAV volatility. This also implicates FINRA Rule 2010's just and equitable principles requirement.

The firm's supervisory failure compounds the violation. Under FINRA Rule 3110, Cornerstone Capital Securities was required to maintain supervisory systems reasonably designed to review suitability determinations for complex products. The absence of documented review for a concentrated, illiquid investment in a retirement account of a 71-year-old conservative investor demonstrates inadequate supervision.

The 12% front-end commission structure, while not itself a suitability violation, provides context for the recommendation and may evidence that the advice was motivated by compensation rather than customer interest. The \$75,000 damages award in this case reflects recognition that the recommendation was unsuitable from inception, causing substantial harm to a vulnerable investor.

Key Factor

Recommending illiquid, high-commission non-traded REITs representing 47% of a 71-year-old conservative retiree's liquid net worth was fundamentally inconsistent with the customer's documented investment profile and liquidity needs.

Item 307 of 499

NON-COMPLIANT

Topic: unsuitable_concentrated_position_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05 (Components of Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollister, age 68, was a retired elementary school teacher who opened an account with Ridgemont Securities, LLC in March 2019. Her account application documented a conservative risk tolerance, an investment objective of capital preservation and income, a liquid net worth of \$420,000 (representing substantially all of her retirement savings), and an annual income of \$38,000 from her pension and Social Security. She indicated a 10-year investment time horizon and limited investment experience, having previously held only certificates of deposit and a small municipal bond fund.

Her registered representative, Daniel Kowalski, recommended that Mrs. Hollister invest \$315,000--approximately 75% of her liquid net worth--into shares of Vertex Biotechnology Corp., a speculative small-cap pharmaceutical company that had no FDA-approved products and had reported net losses for six consecutive quarters. Kowalski told Mrs. Hollister that the stock was 'poised for explosive growth' once the company's lead drug candidate received approval, which he characterized as 'virtually certain' within 18 months.

Between March and June 2019, Kowalski executed multiple purchases of Vertex stock in Mrs. Hollister's account, ultimately accumulating 28,000 shares at an average cost of \$11.25 per share. Kowalski's notes in the firm's customer relationship management system stated only that 'client wants growth opportunities.' He did not document any discussion of the concentration risk, the speculative nature of the investment, or how this recommendation aligned with her stated conservative objectives.

By February 2020, Vertex Biotechnology's lead drug candidate failed a Phase III clinical trial, and the stock declined to \$1.85 per share. Mrs. Hollister's position, which had represented the bulk of her retirement savings, was now worth approximately \$51,800--a loss of over \$263,000. She filed a customer complaint with FINRA alleging unsuitability and breach of fiduciary duty.

Question

Did Daniel Kowalski's recommendation that Margaret Hollister invest 75% of her liquid net worth in a speculative biotechnology stock violate FINRA's suitability requirements given her documented conservative risk tolerance and capital preservation objectives?

Answer

The recommendation clearly violated FINRA Rule 2111 (Suitability) on multiple grounds. Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, which includes age, financial situation, risk tolerance, investment objectives, and time horizon.

First, the recommendation failed customer-specific suitability under Rule 2111(a). Mrs. Hollister's documented

profile--age 68, conservative risk tolerance, capital preservation objective, limited investment experience, and reliance on these funds for retirement--was fundamentally incompatible with a concentrated position in a speculative biotechnology stock with no approved products and a history of losses. FINRA Regulatory Notice 12-25 emphasizes that recommendations must align with the customer's actual documented profile, not the representative's assumptions about what the customer might accept.

Second, the recommendation violated quantitative suitability principles. Concentrating 75% of a conservative retiree's liquid net worth in a single speculative equity created excessive concentration risk wholly inconsistent with capital preservation. FINRA has repeatedly held that concentration in speculative securities is presumptively unsuitable for conservative, elderly investors dependent on their savings.

Third, Kowalski's conduct suggests he lacked reasonable-basis suitability under Rule 2111.05(a). Characterizing FDA approval as 'virtually certain' without documented due diligence on the drug's clinical prospects indicates an inadequate understanding of the investment's risks.

Kowalski's sparse documentation--noting only that 'client wants growth opportunities' without reconciling this with her stated conservative objectives--further evidences a suitability failure. Under Rule 2111.03, when a customer's stated objectives conflict with a recommendation, the representative must resolve that conflict, not simply proceed.

The firm may also face liability under FINRA Rule 2010 (Standards of Commercial Honor) for Kowalski's misleading characterization of approval certainty. No defenses appear viable; the documented customer profile directly contradicts the recommendation made. The recommendation was clearly unsuitable.

Key Factor

The representative recommended concentrating 75% of a conservative 68-year-old retiree's liquid net worth in a speculative biotechnology stock, directly contradicting her documented capital preservation objective and conservative risk tolerance.

Item 308 of 499

NON-COMPLIANT

Topic: newly_registered_adviser_suitability_failures

Difficulty: hard

Standard: Investment Advisers Act Section 206; SEC Fiduciary Interpretation (IA Release 2019); Investment Advisers Act Section 206(4)-7 (compliance programs)

Source: 05_SEC_Exam_Findings

Fact Pattern

Apex Wealth Partners, LLC registered with the SEC in January 2023 after exceeding the \$100 million AUM threshold. The firm's founder and sole portfolio manager, Derek Harmon, had previously operated as a state-registered adviser for three years. Within six months of federal registration, Apex accumulated 47 discretionary client accounts with combined assets of \$142 million.

In April 2023, Harmon onboarded Margaret Ellison, a 71-year-old recently widowed client who received a \$680,000 life insurance payout following her husband's death. During the initial client intake, Mrs. Ellison completed an investment profile questionnaire indicating a conservative risk tolerance, a primary objective of capital preservation with modest income generation, a 5-7 year investment horizon, and limited investment experience consisting only of bank CDs and a small 401(k). She explicitly stated her goals were to preserve principal for healthcare expenses and leave remaining assets to her grandchildren.

Despite this documented profile, Harmon exercised discretionary authority to allocate 62% of Mrs. Ellison's portfolio to a concentrated position in three small-cap technology growth stocks and a leveraged semiconductor ETF. Harmon's investment thesis was that these positions would generate superior long-term returns that would ultimately benefit Mrs. Ellison. Apex's compliance policies and procedures manual, which had been hastily assembled prior to SEC registration, contained only generic language about suitability without any specific protocols for assessing client risk profiles against proposed allocations or documenting the basis for investment recommendations.

By September 2023, Mrs. Ellison's portfolio had declined 34% to approximately \$449,000. When Mrs. Ellison expressed concern about accessing funds for a planned knee replacement surgery, she discovered for the first time the nature of her portfolio holdings. Apex had no written documentation explaining why the aggressive allocation was appropriate for Mrs. Ellison's stated conservative objectives.

Question

Did Apex Wealth Partners and Derek Harmon fulfill their fiduciary duty of care by allocating Mrs. Ellison's assets to aggressive growth positions despite her documented conservative profile and capital preservation objectives?

Answer

Apex Wealth Partners and Derek Harmon violated their fiduciary duty of care under Investment Advisers Act Section 206, which imposes a duty to act in the client's best interest as articulated in the SEC's Fiduciary Interpretation. The allocation was fundamentally unsuitable and not in Mrs. Ellison's best interest.

Under the duty of care, an investment adviser must have a reasonable belief that advice is in the best interest of the client based on the client's objectives and profile. Here, multiple failures occurred. First, Mrs. Ellison's documented investment profile explicitly established conservative risk tolerance, capital preservation objectives, limited investment

experience, and a moderate time horizon appropriate for a 71-year-old widow. The 62% allocation to speculative small-cap technology stocks and a leveraged ETF directly contradicted every element of her stated profile.

Second, the SEC's Risk Alert specifically emphasizes that newly-registered advisers must identify and address conflicts of interest and adopt effective compliance programs. Apex's generic compliance manual failed to establish any protocols for matching client profiles to investment allocations or documenting suitability determinations--a deficiency the Risk Alert specifically highlights as a common examination finding. The absence of any written rationale for overriding Mrs. Ellison's conservative mandate demonstrates a systemic compliance failure.

Third, the discretionary authority granted to Harmon heightened rather than diminished his fiduciary obligations. When acting with discretion, an adviser must exercise the care, skill, and diligence that a prudent person would use. Concentrating a conservative widow's life insurance proceeds in volatile growth positions reflects neither prudence nor reasonable professional judgment.

Harmon's belief that aggressive positions would generate superior long-term returns does not constitute a defense. The fiduciary duty requires advice consistent with the client's articulated objectives, not the adviser's personal investment philosophy. The \$231,000 loss (34% decline) and Mrs. Ellison's inability to access funds for necessary medical expenses demonstrate concrete client harm resulting from the breach. Apex and Harmon failed their fundamental duty of care obligations.

Key Factor

The adviser allocated 62% of a conservative elderly widow's assets to aggressive speculative positions directly contradicting her documented risk tolerance, investment objectives, and capital preservation goals without any documented rationale.

Item 309 of 499**NON-COMPLIANT**

Topic: erisa_prudence_rollover_recommendation

Difficulty: hard

Standard: ERISA Section 404(a)(1)(B) duty of prudence; ERISA Section 3(21)(A)(ii) investment advice fiduciary status; ERISA Section 101(f)(2)(D) disclosure requirements regarding MAP-21 segment rate impact

Source: 06_DOL_Fiduciary

Fact Pattern

Margaret Holloway, age 58, worked for Consolidated Manufacturing Corp. for 31 years and participated in the company's single-employer defined benefit pension plan. In February 2013, she was approached by Derek Simmons, a financial adviser at Prosperity Wealth Advisors, LLC, who suggested she take a lump-sum distribution from her pension and roll it into an IRA he would manage. At the time, Margaret's pension had a lump-sum value of approximately \$412,000, calculated using the MAP-21 stabilized segment rates that had recently been implemented. Simmons told Margaret that 'pension plans are risky these days' and that she would have 'more control' over her retirement assets in an IRA.

Simmons did not explain to Margaret that the MAP-21 segment rate stabilization rules had actually reduced her calculated lump-sum amount compared to what it would have been under the pre-MAP-21 rates. Had the lump-sum been calculated without the stabilized rates, her distribution would have been approximately \$458,000--a difference of \$46,000. Simmons also failed to analyze whether Margaret's guaranteed lifetime annuity benefit under the defined benefit plan, which would have provided approximately \$2,850 per month starting at age 65, was more advantageous given her health status (she had recently been diagnosed with Type 2 diabetes but was otherwise in good health) and her risk tolerance, which she described as 'conservative.'

Simmons recommended rolling the funds into a portfolio of actively managed mutual funds and variable annuities with total annual fees of 2.1%, which would generate approximately \$8,650 in annual fees for Prosperity Wealth Advisors. Margaret's only other retirement savings consisted of \$45,000 in a 403(b) from a previous employer. Simmons did not document any analysis comparing the pension's guaranteed income stream to projected IRA withdrawals, nor did he consider the longevity protection the defined benefit plan would have provided. Margaret proceeded with the rollover in March 2013.

Question

Did Derek Simmons satisfy his fiduciary duty of prudence under ERISA when recommending that Margaret Holloway take a lump-sum distribution and roll her pension benefits into an IRA?

Answer

No, Derek Simmons failed to satisfy the fiduciary duty of prudence under ERISA Section 404(a)(1)(B) when providing investment advice regarding Margaret's rollover. Under ERISA, a fiduciary must act with the care, skill, prudence, and diligence that a prudent person acting in a like capacity would use. When advising a participant on whether to take a distribution from a defined benefit plan, an investment advice fiduciary must conduct a thorough analysis that considers all relevant factors affecting the participant's retirement security.

Simmons's conduct violated prudence requirements in multiple respects. First, he failed to analyze the impact of MAP-21 segment rate stabilization on Margaret's lump-sum calculation. As the 2013 annual funding notice

requirements under ERISA Section 101(f)(2)(D) made clear, segment rate stabilization significantly affected single-employer defined benefit plan valuations. Margaret's lump-sum was reduced by approximately \$46,000 due to these rules--a material fact that a prudent adviser would have disclosed and incorporated into any rollover recommendation.

Second, Simmons failed to conduct any comparative analysis between the guaranteed lifetime income Margaret would receive under the pension (approximately \$2,850 monthly at age 65) versus projected IRA withdrawals. Given Margaret's conservative risk tolerance, her diabetes diagnosis affecting longevity considerations, and her limited other retirement assets (\$45,000), a prudent fiduciary would have carefully evaluated whether abandoning guaranteed lifetime income was appropriate.

Third, the recommendation appeared driven by fee generation rather than Margaret's best interest. The 2.1% annual fee structure would generate substantial ongoing revenue for Prosperity Wealth Advisors while exposing Margaret to market risk she had expressed discomfort with.

Simmons cannot claim good faith compliance as discussed in Field Assistance Bulletin 2013-01 because his failures extended beyond technical compliance issues to fundamental prudence obligations. The absence of any documented analysis comparing pension benefits to IRA projections demonstrates a lack of the procedural prudence ERISA requires. A prudent fiduciary would have, at minimum, quantified the guaranteed pension income, assessed longevity risk, evaluated fee impact on retirement sustainability, and documented why forfeiting guaranteed benefits served Margaret's interests.

Key Factor

Simmons failed to conduct any analysis comparing Margaret's guaranteed pension income to projected IRA outcomes, did not disclose the MAP-21 segment rate impact reducing her lump-sum by \$46,000, and recommended a fee-heavy rollover inconsistent with her conservative risk tolerance and limited retirement assets.

Item 310 of 499**NON-COMPLIANT**

Topic: options_overlay_strategy_suitability

Difficulty: hard

Standard: Investment Advisers Act Section 206(2) (fraud/deceit through breach of fiduciary duty); Section 206(4) and Rule 206(4)-7 (compliance policies and procedures); IA fiduciary duty of care

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Pinnacle Wealth Advisors LLC, a dually-registered investment adviser and broker-dealer, began offering clients access to an options overlay strategy managed by Sigma Options Management LLC in January 2019. The strategy, called the 'Enhanced Yield Collar Program' (EYCP), involved writing covered calls and purchasing protective puts against clients' existing equity portfolios, with the goal of generating income while providing downside protection. Under the Investment Management Agreement, clients would authorize a specific notional amount representing the maximum dollar value of options positions Sigma could establish against their portfolios.

Margaret Ellison, a 68-year-old retired school administrator from Phoenix, Arizona, had a \$1.8 million portfolio with Pinnacle consisting primarily of blue-chip dividend stocks. Her documented investment objectives were capital preservation and income generation, with a moderate risk tolerance. Her financial advisor, Richard Baxter, recommended she allocate \$400,000 in notional exposure to the EYCP strategy, which she authorized in writing in March 2019. Mrs. Ellison specifically stated she could not afford significant losses as this represented her entire retirement savings accumulated over 35 years.

Between March 2019 and February 2021, Sigma Options Management consistently exceeded the authorized notional amounts for Mrs. Ellison's account, at times establishing options positions representing \$750,000 to \$900,000 in notional exposure--more than double her authorized limit. Pinnacle Wealth Advisors received monthly position reports from Sigma that clearly showed the over-exposure, but Richard Baxter never informed Mrs. Ellison of the discrepancy. During the market volatility of March 2020, Mrs. Ellison's account suffered losses of \$127,000 attributable to the options strategy--losses that would have been approximately \$56,000 had her authorized notional limits been respected.

When Mrs. Ellison discovered the over-exposure in April 2021 during a routine account review, she filed a complaint. Internal investigation revealed that Pinnacle had received position reports showing the excess exposure for 23 consecutive months but had no procedures in place to reconcile client authorizations against actual positions or to notify clients of material deviations.

Question

Did Pinnacle Wealth Advisors and its representative Richard Baxter fulfill their fiduciary duty of care to Mrs. Ellison by failing to monitor and notify her of the excessive options exposure that materially exceeded her authorized investment parameters?

Answer

No, Pinnacle Wealth Advisors and Richard Baxter breached their fiduciary duty of care under Sections 206(2) and 206(4) of the Investment Advisers Act of 1940. As a registered investment adviser, Pinnacle owed Mrs. Ellison a fiduciary duty encompassing both a duty of loyalty and a duty of care. The duty of care requires an adviser to provide advice that is in the client's best interest and to monitor the client's account consistent with the scope of the advisory

relationship.

The facts demonstrate multiple breaches of this duty. First, Pinnacle knew or reasonably should have known that Mrs. Ellison's actual options exposure consistently exceeded her documented authorization by 87% to 125%. The firm received monthly position reports clearly showing notional amounts of \$750,000-\$900,000 against her authorized limit of \$400,000. Despite possessing this information for 23 consecutive months, neither Pinnacle nor Baxter notified Mrs. Ellison of this material deviation from her investment parameters.

Second, the over-exposure was fundamentally inconsistent with Mrs. Ellison's documented investment profile. As a 68-year-old retiree with moderate risk tolerance, capital preservation objectives, and her entire retirement savings at stake, exposure to nearly double the authorized options strategy was unsuitable. The \$127,000 loss she suffered--versus the approximately \$56,000 she would have incurred at proper exposure levels--represents quantifiable harm directly attributable to the breach.

Third, Pinnacle violated Section 206(4) and Rule 206(4)-7 by failing to adopt and implement written compliance policies and procedures reasonably designed to prevent such violations. The absence of any reconciliation process between client authorizations and actual positions constitutes a systemic compliance failure.

Pinnacle cannot defend by claiming Sigma was responsible for the over-trading. As the referring adviser maintaining the client relationship, Pinnacle retained oversight responsibilities and fiduciary obligations. The monthly reports provided constructive knowledge of the violations. The failure to act on this information and notify the client constitutes willful violation of the adviser's fiduciary duty of care.

Key Factor

Pinnacle possessed actual knowledge through monthly position reports that Mrs. Ellison's options exposure exceeded her authorization by up to 125% for 23 months but failed to notify her or take corrective action.

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NON-COMPLIANT

Topic: suitability_complex_product_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation under Exchange Act Section 15(l)(1)(A); FINRA Rule 2330 (Variable Annuities); FINRA Regulatory Notice guidance on complex products

Source: 11_Case_Law

Fact Pattern

Greenfield Wealth Advisors, a dually-registered broker-dealer and investment adviser based in Wilmington, Delaware, assigned representative Marcus Chen to manage the account of Helen Bradshaw, a 67-year-old retired school administrator. In January 2023, Bradshaw rolled over her \$485,000 pension lump sum into a new IRA at Greenfield. Her account opening documents indicated she had a conservative risk tolerance, an investment objective of capital preservation with modest income generation, a 15-year investment horizon, and limited investment experience consisting primarily of target-date mutual funds in her former employer's 403(b) plan. Bradshaw's annual income from Social Security and a small annuity totaled \$42,000, and she had no other liquid savings beyond the IRA.

In March 2023, Chen recommended that Bradshaw invest \$290,000 (approximately 60% of her portfolio) in a leveraged closed-end fund that used 30% structural leverage to amplify returns from high-yield corporate bonds and emerging market debt. The fund carried an expense ratio of 2.1% and had experienced price volatility of approximately 25% over the prior three years. Chen's internal notes stated that the fund's 8.2% distribution yield would 'meet Mrs. Bradshaw's income needs while maximizing total return.' He did not document any analysis of how the leveraged structure could magnify losses or how such losses would affect Bradshaw's retirement security.

Chen also recommended she place \$120,000 in a non-traded REIT with a seven-year lockup period and limited redemption rights. Chen received a 6% front-end commission on the REIT sale. When Bradshaw expressed concern about not being able to access these funds, Chen assured her that 'the income stream makes liquidity unnecessary.' By December 2023, the leveraged closed-end fund had declined 18% in value due to rising interest rates, and Bradshaw's portfolio had lost over \$70,000. She filed a complaint alleging Chen's recommendations were unsuitable and violated his duty of care.

Question

Did Marcus Chen's recommendation of the leveraged closed-end fund and non-traded REIT violate the suitability and best interest standards applicable to Helen Bradshaw's account?

Answer

Chen's recommendations violated both FINRA Rule 2111 (Suitability) and Regulation Best Interest's Care Obligation. The analysis differs depending on the capacity in which Chen acted, but both standards were breached.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and liquidity needs. Bradshaw's documented profile--conservative risk tolerance, capital preservation objective, limited investment experience, and dependence on her IRA for retirement security--is fundamentally incompatible with a 60% allocation to a leveraged high-yield fund. Leveraged closed-end funds amplify both gains and losses, and the fund's 25% historical volatility and concentration in below-investment-grade debt

presented substantial risk of principal loss. Chen's internal notes focused solely on yield without analyzing downside scenarios, demonstrating inadequate reasonable-basis suitability analysis.

Regulation Best Interest's Care Obligation under Exchange Act Section 15(l) requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the risks and rewards of recommended securities and have a reasonable basis to believe the recommendation is in the customer's best interest. Chen's failure to document any analysis of how leverage could magnify losses, combined with recommending a product whose risk profile directly contradicted Bradshaw's stated objectives, fails this standard.

The non-traded REIT recommendation compounds these violations. Placing \$120,000 (25% of assets) in an illiquid product with a seven-year lockup for a 67-year-old retiree with no other liquid savings contravenes both quantitative suitability and the Care Obligation's requirement to consider reasonably available alternatives. Chen's dismissive response to Bradshaw's liquidity concerns demonstrates disregard for her investment profile.

Chen's 6% commission on the REIT, while not dispositive, evidences a potential conflict that heightened his obligation to ensure the recommendation served Bradshaw's interests rather than his own compensation. The \$70,000 loss within nine months confirms the foreseeable harm from these unsuitable recommendations.

Key Factor

Chen allocated 60% of a conservative, retirement-dependent client's portfolio to a leveraged high-yield fund without documenting any analysis of downside risk or suitability for her stated investment objectives.

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NON-COMPLIANT

Topic: nevada_annuity_suitability_senior_investor

Difficulty: medium

Standard: Nevada adoption of NAIC Model Regulation 275 (Suitability in Annuity Transactions); NAC Chapter 686A; NRS 686A.015 unfair trade practices

Source: 08_State_Fiduciary_Rules

Fact Pattern

Silver State Financial Advisors, a Nevada-licensed insurance producer, employed representative Marcus Thornton who specialized in annuity products for retirees in the Las Vegas area. In March 2024, Thornton met with Eleanor Vasquez, a 78-year-old widow living on a fixed income consisting of Social Security benefits totaling \$2,100 per month and a small pension of \$800 per month. Mrs. Vasquez had recently received \$185,000 from her late husband's life insurance policy, which represented substantially all of her liquid assets aside from a checking account with approximately \$4,500.

During their initial meeting, Mrs. Vasquez explained that her primary financial concern was maintaining access to funds for potential medical expenses, as she had been diagnosed with early-stage Parkinson's disease six months prior. She explicitly stated she wanted to keep her money 'safe and available' and had no interest in leaving a legacy since her only child was financially secure. Thornton documented her investment objective as 'income with growth potential' and her risk tolerance as 'moderate' on the suitability questionnaire, despite her verbal statements suggesting a more conservative, liquidity-focused approach.

Thornton recommended that Mrs. Vasquez invest \$165,000--approximately 89% of her liquid assets--into a fixed indexed annuity with a 12-year surrender period. The product carried surrender charges starting at 10% in year one and declining by 1% annually. The annuity allowed penalty-free withdrawals of only 10% of the account value per year after the first contract year. Thornton emphasized the product's principal protection feature and potential for growth tied to a stock market index, but spent minimal time discussing the surrender period restrictions or how they might impact Mrs. Vasquez's stated need for medical expense liquidity.

Thornton earned a commission of \$11,550 (7% of the premium) on the sale. Within eight months of the purchase, Mrs. Vasquez's Parkinson's symptoms progressed, requiring her to access \$45,000 for home modifications and care assistance. She was forced to surrender a portion of the annuity early, incurring a surrender charge of \$3,825 plus loss of the indexed interest credits.

Question

Did Marcus Thornton's recommendation of the 12-year fixed indexed annuity to Mrs. Vasquez satisfy Nevada's annuity suitability requirements?

Answer

No, Marcus Thornton's recommendation violated Nevada's annuity suitability requirements as adopted consistent with NAIC Model Regulation 275 standards. Nevada requires that insurance producers, when recommending annuity products, have reasonable grounds for believing the recommendation is suitable based on the consumer's suitability information, including age, financial situation, insurance needs, financial objectives, intended use of the annuity, and liquidity needs.

Thornton's recommendation fails on multiple grounds. First, regarding the care obligation, he failed to exercise reasonable diligence and care in making a recommendation that addressed Mrs. Vasquez's actual profile. At 78 years old with a progressive neurological condition and explicit statements about needing accessible funds for medical expenses, a product with a 12-year surrender period and only 10% annual penalty-free withdrawals was fundamentally misaligned with her stated liquidity requirements.

Second, Thornton's documentation of her investment objective as 'income with growth potential' with 'moderate' risk tolerance contradicted her verbal statements expressing desire for safety and availability. Under NAIC Model 275 Section 6, producers must make reasonable efforts to obtain accurate suitability information. Mischaracterizing client-stated objectives to justify an unsuitable recommendation constitutes a suitability violation.

Third, the concentration of 89% of her liquid assets in a single illiquid product violated the requirement that recommendations be in the consumer's best interest considering her overall financial situation. Nevada's adoption of enhanced suitability standards requires consideration of whether the consumer would be able to access funds without penalty when reasonably anticipated needs arise.

Fourth, the inadequate disclosure of surrender restrictions, particularly given Mrs. Vasquez's documented health condition, demonstrates failure to ensure the consumer was informed of product features relevant to her suitability profile.

The \$11,550 commission, while not dispositive, suggests potential motivation to recommend a higher-commission product over more liquid alternatives. The actual harm realized--\$3,825 in surrender charges within months--confirms the foreseeable unsuitability. Silver State Financial Advisors bears supervisory responsibility for Thornton's failure to apply proper suitability standards.

Key Factor

Recommending a 12-year surrender period annuity to a 78-year-old client with a progressive illness who explicitly stated she needed liquidity for medical expenses fundamentally contradicted her documented suitability profile.

Item 313 of 499**NON-COMPLIANT**

Topic: erisa_prudent_investment_selection

Difficulty: hard

Standard: ERISA Section 404(a)(1)(B) duty of prudence; ERISA Section 404(a)(1)(D) duty to follow plan documents

Source: 11_Case_Law

Fact Pattern

Mountainview Retirement Consulting, LLC served as the investment adviser and named fiduciary for the Cascade Manufacturing Company 401(k) Plan, a defined contribution plan covering approximately 2,400 participants with \$185 million in assets. In March 2021, Mountainview's lead consultant, Gregory Stanton, recommended that the Plan's Investment Committee add the Apex Emerging Markets Volatility Fund to the plan's investment lineup. The Apex Fund employed a complex derivatives strategy involving leveraged positions in emerging market currencies and equity futures, with an expense ratio of 2.45% and historical volatility exceeding 35% annually.

The Plan's Investment Policy Statement specified that all core investment options should be suitable for long-term retirement savings and that volatile or speculative investments should be limited to a satellite allocation not exceeding 5% of any participant's account. Despite these guidelines, Stanton presented the Apex Fund as appropriate for the 'aggressive growth' tier without implementing any guardrails to limit participant allocations. He failed to conduct peer analysis comparing the Apex Fund to less volatile emerging markets alternatives, and his due diligence memorandum contained only marketing materials provided by Apex's distributor.

The participant population included 847 employees within ten years of retirement, with average account balances of \$142,000. Plan records showed that 23% of participants allocated more than 15% of their balances to the Apex Fund within six months of its addition. By December 2022, the Fund had declined 47%, resulting in aggregate participant losses exceeding \$9.2 million. Former participant Janet Kowalski, age 58 with a moderate risk tolerance and a \$198,000 balance, lost approximately \$28,000 after allocating 30% of her account to the Fund based on the plan's investment menu description, which Stanton had drafted.

Question

Did Mountainview Retirement Consulting breach its ERISA fiduciary duty of prudence in recommending the Apex Emerging Markets Volatility Fund for inclusion in the Plan's investment lineup?

Answer

Yes, Mountainview Retirement Consulting breached its fiduciary duty of prudence under ERISA Section 404(a)(1)(B). This provision requires fiduciaries to act with the care, skill, prudence, and diligence that a prudent expert would use in similar circumstances. The analysis focuses on whether Mountainview followed a prudent process in selecting and monitoring the Apex Fund, not merely on investment outcomes.

First, Mountainview failed to conduct adequate due diligence. A prudent fiduciary must thoroughly evaluate an investment option before recommending it for a retirement plan. Stanton's reliance solely on marketing materials from Apex's distributor, without independent peer analysis or risk assessment, falls far below the standard expected of a prudent investment professional. The absence of comparative analysis against less volatile emerging markets alternatives demonstrates a fundamental process failure.

Second, Mountainview disregarded the Plan's own Investment Policy Statement. The IPS explicitly limited volatile or speculative investments and required that core options be suitable for long-term retirement savings. The Apex Fund's 35% historical volatility and complex derivatives strategy directly conflicted with these guidelines. A prudent fiduciary must honor the governing documents it helped establish.

Third, Mountainview failed to implement appropriate safeguards for a high-risk investment. Given the Plan's demographics--including 847 participants nearing retirement--a prudent fiduciary would have established allocation limits or enhanced participant disclosures regarding the Fund's speculative nature. Stanton's drafting of the investment menu description without adequate risk warnings contributed to participants like Janet Kowalski making unsuitable allocations.

Fourth, the duty to monitor investments is continuous under ERISA. Mountainview's failure to establish monitoring protocols for such a volatile fund compounded its initial selection failures.

While investment losses alone do not establish breach, the process deficiencies here are dispositive. ERISA's prudent expert standard is procedural, and Mountainview's cursory due diligence, disregard for IPS constraints, and failure to protect vulnerable participants constitute clear fiduciary breaches under Section 404(a)(1)(B).

Key Factor

Mountainview's failure to conduct independent due diligence and its reliance solely on distributor marketing materials when recommending a high-volatility leveraged fund for a retirement plan with participants nearing retirement.

Item 314 of 499

NON-COMPLIANT

Topic: mutual_fund_share_class_suitability

Difficulty: medium

Standard: Investment Advisers Act Sections 206(1), 206(2), 206(4); Rule 206(4)-7; Fiduciary Duty of Care

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Heartland Wealth Advisors, LLC, a registered investment adviser based in Springfield, Missouri, managed approximately \$285 million in assets for retail clients between March 2016 and December 2019. The firm's investment adviser representatives were also registered representatives of an unaffiliated broker-dealer, allowing them to receive 12b-1 fees on mutual fund investments placed through that broker-dealer.

Margaret Chen, age 58, was a longtime client of Heartland with a moderate risk tolerance, a primary investment objective of capital preservation with modest growth, and a \$425,000 IRA rollover from her previous employer's 401(k) plan. Her stated time horizon was 7-10 years until retirement. In April 2017, Heartland adviser David Morrison recommended allocating \$180,000 of Mrs. Chen's IRA to a diversified equity mutual fund managed by a well-known fund family.

Morrison selected the Class A shares of the fund, which carried a 0.25% annual 12b-1 fee and a 5.25% front-end load. However, the same fund offered institutional shares (Class I) with no 12b-1 fee and no sales load, which were available to Mrs. Chen's account given the custodial platform Heartland utilized and her account size. Over the following 30 months, Mrs. Chen's account paid approximately \$1,125 in 12b-1 fees on this single fund position, fees that flowed to Morrison through his broker-dealer registration.

Heartland's Form ADV Part 2A disclosed generally that "certain funds may pay distribution fees" but did not specifically disclose that lower-cost share classes of the same funds were available or that the firm's representatives received 12b-1 fees creating a financial incentive to select higher-cost share classes. The firm had no written policies or procedures addressing share class selection or the evaluation of available share classes for client accounts.

Question

Did Heartland Wealth Advisors breach its fiduciary duty of care to Mrs. Chen by recommending Class A mutual fund shares when lower-cost institutional shares of the same fund were available to her account?

Answer

Yes, Heartland Wealth Advisors breached its fiduciary duty of care to Mrs. Chen under the Investment Advisers Act. As a registered investment adviser, Heartland owed Mrs. Chen a fiduciary duty encompassing both a duty of care and a duty of loyalty under Sections 206(1) and 206(2) of the Advisers Act.

The duty of care requires an investment adviser to provide advice that is in the best interest of the client based on the client's objectives. This includes a duty to seek best execution, which extends to selecting the most appropriate share class when multiple options exist for the same underlying investment. When Morrison recommended Class A shares carrying a 0.25% 12b-1 fee and 5.25% front-end load, while institutional shares with no such fees were available and accessible to Mrs. Chen's account, he failed to act in her best interest.

Section 206(2) of the Advisers Act prohibits any investment adviser from engaging in any transaction, practice, or course of business which operates as a fraud or deceit upon any client. The selection of higher-cost share classes when lower-cost alternatives providing identical investment exposure were available, particularly when that selection financially benefited the adviser through 12b-1 fee revenue, constitutes a breach of fiduciary duty under this provision. The \$1,125 in 12b-1 fees paid over 30 months represents a direct, quantifiable harm to Mrs. Chen's retirement savings.

Additionally, Heartland violated Section 206(4) and Rule 206(4)-7 thereunder by failing to adopt and implement written compliance policies and procedures reasonably designed to prevent violations related to share class selection. A properly designed compliance program would have required advisers to evaluate available share classes and document the rationale for selecting any share class that was not the lowest-cost option available.

The fact that the underlying fund itself may have been suitable for Mrs. Chen's moderate risk profile and capital preservation objective does not cure the breach. Suitability of the investment strategy is a necessary but insufficient condition; the adviser must also implement that strategy in the client's best interest, which includes minimizing unnecessary costs.

Key Factor

The adviser recommended higher-cost Class A mutual fund shares when lower-cost institutional shares of the identical fund were available to the client's account, generating 12b-1 fee revenue for the adviser at the client's expense.

Item 315 of 499**NON-COMPLIANT**

Topic: trust_investment_suitability_prudent_investor

Difficulty: hard

Standard: 12 U.S.C. § 92a; OCC Regulation 12 CFR Part 9 (Sections 9.5, 9.6); Uniform Prudent Investor Act (Kansas adoption); Trust instrument investment directives

Source: 18_OCC_Bank_Trust_Guidance

Fact Pattern

Heartland National Bank, N.A., a nationally chartered bank headquartered in Kansas City, Missouri, received OCC approval for fiduciary powers in 2018 and subsequently established a national fiduciary program. In March 2023, the bank's trust department accepted appointment as trustee for the Margaret Holloway Irrevocable Trust, a \$2.8 million trust established for the benefit of Mrs. Holloway's two grandchildren, ages 8 and 11. The trust instrument specified that principal could be distributed for education and health needs, with final distribution when the youngest beneficiary reached age 25. The governing law designated was Kansas, and the trust agreement explicitly required the trustee to 'invest prudently with consideration for the long-term growth needs of the beneficiaries while preserving capital.'

David Kessler, a senior trust officer at Heartland National Bank with 22 years of experience, was assigned to manage the Holloway Trust. Despite the trust's 14+ year investment horizon and explicit growth mandate, Kessler allocated 85% of the trust assets to short-term Treasury bills and money market instruments yielding approximately 4.2%, with only 15% allocated to a conservative balanced fund. Kessler documented his rationale as 'preserving capital in uncertain market conditions' and noted he applied the same conservative allocation across all trusts he managed regardless of their individual circumstances.

Over the following 18 months through September 2024, the trust earned approximately \$176,000 in income, while a diversified portfolio appropriate for the trust's time horizon and objectives would have reasonably been expected to generate returns of approximately \$420,000 based on market performance during that period. The beneficiaries' mother, acting as trust protector, raised concerns with Heartland's chief fiduciary officer that Kessler had failed to consider the specific circumstances of the Holloway Trust and instead applied a one-size-fits-all approach that prioritized administrative convenience over the beneficiaries' interests.

Internal review revealed that Kessler had applied virtually identical allocations to 47 different trust accounts under his management, regardless of varying time horizons, distribution requirements, or stated investment objectives in the governing instruments.

Question

Did Heartland National Bank, acting through trust officer Kessler, meet its fiduciary duty of prudent investment and suitability under applicable federal and state law governing the administration of the Holloway Trust?

Answer

No, Heartland National Bank failed to meet its fiduciary duty of prudent investment. As a national bank exercising fiduciary powers under 12 U.S.C. § 92a, Heartland is subject to OCC Regulation 12 CFR Part 9, which establishes comprehensive standards for fiduciary conduct. Section 9.5 requires national bank fiduciaries to administer fiduciary accounts in accordance with applicable law, and Section 9.6(a) mandates compliance with the terms of the governing instrument and applicable law regarding investment standards.

Kansas, as the designated governing law, has adopted the Uniform Prudent Investor Act (UPIA), which imposes specific duties directly violated here. The UPIA requires trustees to invest and manage trust assets as a prudent investor would, considering the purposes, terms, distribution requirements, and other circumstances of the trust. Critically, the UPIA mandates that investment decisions be evaluated not in isolation but in the context of the trust portfolio as a whole and as part of an overall investment strategy having risk and return objectives reasonably suited to the trust.

Kessler's conduct violated multiple UPIA requirements. First, the blanket application of an 85% short-term fixed income allocation across 47 trusts, irrespective of individual circumstances, constitutes a failure to consider each trust's specific purposes and circumstances as required. Second, for a trust with a 14+ year horizon and explicit growth mandate, an ultra-conservative allocation prioritizing capital preservation over growth was inconsistent with the trust's terms and beneficiaries' needs. Third, the UPIA requires diversification appropriate to the trust's objectives; the heavy concentration in low-yielding instruments was unsuitable given the stated investment objectives.

The defense of 'uncertain market conditions' fails because the UPIA explicitly contemplates long-term investment horizons and requires trustees to manage assets with appropriate consideration of time horizon. A trustee cannot substitute personal risk aversion or administrative convenience for the individualized analysis each fiduciary relationship demands. The approximately \$244,000 opportunity cost over 18 months represents quantifiable harm to the beneficiaries resulting from this breach. Heartland's fiduciary duty required tailored, suitable investment decisions--not standardized allocations applied without regard to each trust's unique circumstances.

Key Factor

The trust officer applied a uniform conservative allocation across all accounts without considering the Holloway Trust's specific 14+ year time horizon, growth mandate, and beneficiary circumstances, violating the individualized prudent investor analysis required under UPIA and OCC fiduciary standards.

Item 316 of 499

NON-COMPLIANT

Topic: margin_account_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2264 (Margin Disclosure Statement)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Harold Brennan, age 67, and his wife Margaret Brennan, age 64, were longtime customers of Pinnacle Securities Group LLC, maintaining their retirement savings in a joint brokerage account since 2018. Their combined account value was approximately \$285,000, representing the bulk of their liquid retirement assets. Both Brennans had retired from careers in education and relied on Social Security benefits plus periodic withdrawals from their investment account to cover living expenses. Their customer profile, completed in January 2022, indicated a 'conservative' risk tolerance, 'income and capital preservation' as their primary investment objective, and 'low' tolerance for volatility given their reliance on these funds for retirement income.

In March 2023, their assigned registered representative, Kevin Whitmore, recommended enabling margin capability on their account, explaining it would provide 'flexibility' for accessing funds quickly without selling positions during market downturns. Whitmore did not provide a detailed explanation of how margin interest would accrue or the circumstances under which margin would automatically be utilized. The Brennans signed the margin agreement but testified they believed margin would only be used if they explicitly requested a margin loan.

Between June 2023 and February 2024, the Brennans made seven separate cash withdrawals totaling \$47,500 to cover home repairs and medical expenses. Unbeknownst to them, Pinnacle's system automatically funded these withdrawals via margin loans rather than liquidating their money market holdings, which contained sufficient funds to cover the withdrawals without margin. By March 2024, the Brennans had accumulated \$8,750 in margin interest charges. When Harold Brennan called to inquire about the declining account value, he was shocked to discover the margin balance.

Pinnacle's compliance department reviewed the matter and determined that while the margin agreement was properly signed, Whitmore had failed to document any suitability analysis for recommending margin capability to customers with a conservative profile and income-dependent investment objectives. The firm's own policies required enhanced documentation for margin recommendations to retirement-age clients.

Question

Did the registered representative's recommendation to enable margin capability on the Brennans' account satisfy FINRA's suitability requirements given their customer profile and investment objectives?

Answer

The recommendation to enable margin capability was not suitable for the Brennans and violated FINRA Rule 2111. This rule requires a member or associated person to have a reasonable basis to believe that a recommended transaction or investment strategy involving securities is suitable for the customer, based on information obtained through reasonable diligence concerning the customer's investment profile.

Under FINRA Rule 2111(a), the suitability analysis encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Here, the customer-specific suitability obligation was clearly breached. The Brennans' documented profile indicated conservative risk tolerance, capital preservation objectives, and reliance on the account for retirement income--characteristics fundamentally incompatible with margin exposure. Margin accounts introduce leverage risk, forced liquidation risk during market declines, and ongoing interest expense that erodes capital--directly contradicting preservation objectives.

FINRA has consistently held that margin recommendations require heightened scrutiny for conservative, income-dependent investors. The representative's characterization of margin as providing 'flexibility' without adequate disclosure of the automatic funding mechanism and interest accumulation constitutes a failure to ensure the customer understood the strategy being recommended, as required under the know-your-customer component of Rule 2111.

The absence of any documented suitability analysis further demonstrates the violation. FINRA Rule 2010's standards of commercial honor require that representatives maintain documentation supporting suitability determinations, particularly for complex account features like margin. The firm's own enhanced documentation policies for retirement-age clients were ignored.

While Respondent may argue the Brennans signed proper margin agreements, documentation of consent does not satisfy suitability obligations. The representative must independently determine that the recommendation is appropriate regardless of customer willingness to proceed. The \$8,750 in interest charges directly resulted from a margin structure that should never have been recommended to customers with this profile.

The arbitration panel should find in favor of the Brennans, awarding compensatory damages for the margin interest charges incurred, as the recommendation failed customer-specific suitability requirements under FINRA Rule 2111.

Key Factor

The representative recommended margin capability to retirement-age, conservative investors dependent on the account for income without conducting or documenting any customer-specific suitability analysis.

Item 317 of 499

NON-COMPLIANT

Topic: variable_annuity_exchange_suitability

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2330(b)(1)(A) (Variable Annuity Exchange Standards), 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade)

Source: 03_FINRA_AWC

Fact Pattern

Meridian Securities Group, LLC is a mid-sized broker-dealer headquartered in Minneapolis with approximately 65 registered representatives across 18 branch offices. The firm conducts a general securities business with a significant focus on variable annuity sales to retail customers. Between January 2021 and March 2023, registered representative Daniel Kramer, operating out of the firm's suburban St. Paul branch, recommended a series of variable annuity exchanges to his client, Margaret Holloway, a 67-year-old retired elementary school teacher.

Mrs. Holloway had a conservative risk tolerance, an investment objective of capital preservation with modest income generation, and relied on her \$485,000 in retirement savings as her primary source of income beyond Social Security. In January 2021, she held a deferred variable annuity with Lincoln Financial valued at approximately \$210,000, which she had purchased in 2015 and was now outside its surrender period. Kramer recommended she exchange this annuity into a new Jackson National variable annuity with a seven-year surrender schedule and higher annual fees. Kramer represented that the new product offered superior death benefit features and a more attractive living benefit rider.

Over the following 26 months, Kramer recommended three additional exchanges of Mrs. Holloway's variable annuity holdings. In August 2021, he exchanged the Jackson National annuity (then valued at \$218,000) into an Allianz product. In April 2022, he recommended moving \$195,000 from the Allianz annuity into a Prudential variable annuity. Finally, in March 2023, Kramer recommended exchanging the Prudential annuity into a new Nationwide product. Each exchange initiated new surrender periods ranging from six to eight years and generated fresh commission payments to Kramer totaling approximately \$34,500 across all four transactions.

Mrs. Holloway incurred cumulative surrender charges of approximately \$18,200 and lost valuable guaranteed minimum income benefit riders that had increased in value during her holding periods. At no point did Kramer document a comparative analysis demonstrating how the new products' features materially benefited Mrs. Holloway over her existing holdings. The firm's supervisory system relied solely on transaction-by-transaction principal review of individual applications without any surveillance mechanism to track exchange rates among its registered representatives.

Question

Did Daniel Kramer's recommendations to exchange Mrs. Holloway's variable annuities four times over 26 months comply with FINRA's suitability and variable annuity exchange requirements?

Answer

No, Daniel Kramer's recommendations violated FINRA Rules 2111 (Suitability), 2330 (Variable Annuities), and 2010 (Standards of Commercial Honor). The pattern of serial exchanges was unsuitable for Mrs. Holloway and failed to meet the heightened standards applicable to variable annuity transactions.

Under FINRA Rule 2330(b)(1)(A), a registered representative recommending an exchange of a deferred variable annuity must have a reasonable basis to believe the exchange is suitable, considering whether the customer would incur surrender charges, be subject to a new surrender period, lose existing benefits, and whether the customer would benefit from product enhancements. Kramer's recommendations failed each of these factors. Mrs. Holloway incurred \$18,200 in surrender charges, was repeatedly subjected to new six-to-eight-year surrender periods inappropriate for a 67-year-old retiree seeking capital preservation, and forfeited valuable guaranteed minimum income benefit riders that had appreciated during her holding periods.

FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, including risk tolerance, time horizon, and financial situation. Mrs. Holloway's conservative risk tolerance, income-focused objective, and reliance on these funds as her primary retirement income source made repeated exchanges into products with lengthy surrender periods fundamentally unsuitable. A retiree in her late 60s requiring liquidity and income generation should not be locked into seven-year surrender schedules multiple times.

The absence of documented comparative analyses demonstrating material customer benefit suggests Kramer lacked reasonable-basis suitability under Rule 2111(a). The \$34,500 in commissions generated across four transactions within 26 months, combined with the customer's net losses, evidences that these recommendations served Kramer's financial interests rather than Mrs. Holloway's investment needs.

Meridian's supervisory failures under Rules 3110 and 2330(d)--specifically its lack of exchange rate surveillance--compounded the violation by allowing this pattern to continue undetected. However, the firm's supervisory deficiencies do not excuse Kramer's individual obligation to ensure each recommendation was suitable. The serial exchange pattern constitutes classic annuity switching, a well-recognized violation warranting significant sanctions.

Key Factor

Kramer recommended four variable annuity exchanges over 26 months that generated \$34,500 in commissions while causing \$18,200 in surrender charges and loss of valuable benefits for a conservative 67-year-old retiree without documenting any material customer benefit.

Item 318 of 499**NON-COMPLIANT**

Topic: unregistered_individual_investment_advice

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2010 (Standards of Commercial Honor), 3110 (Supervision); Securities Exchange Act Section 15(b)(6) (Statutory Disqualification)

Source: 03_FINRA_AWC

Fact Pattern

Westbrook Financial Partners, LLC is a small broker-dealer based in Pasadena, California, with approximately \$45 million in customer assets under management. In March 2021, the firm's principal, Gerald Hutchins, learned that one of his most productive representatives, Daniel Kowalski, had been subject to a statutory disqualification following a felony conviction for securities fraud at a prior firm. FINRA denied Westbrook's MC-400 application in August 2021, prohibiting Kowalski from associating with the firm in any registered capacity.

Despite the denial, Hutchins devised a workaround. Beginning in September 2021, he designated a junior registered representative, Monica Chen, as the official representative of record for Kowalski's former book of approximately 85 clients representing \$12.3 million in assets. However, Kowalski continued to meet with clients at the firm's office, conducted portfolio reviews, and made specific investment recommendations. For example, in October 2021, Kowalski recommended that Eleanor Vance, a 72-year-old retired schoolteacher with a conservative risk tolerance and \$340,000 in retirement savings, allocate 40% of her portfolio to a high-yield bond fund and 25% to emerging market equities. Mrs. Vance's investment objective was income preservation with minimal risk, and she had previously held only certificates of deposit and Treasury securities.

Kowalski prepared the investment proposal documents, conducted the client meeting where he explained the recommendations, and answered Mrs. Vance's questions about the strategy. Chen's role was limited to signing the account documentation and placing the trades Kowalski specified. When Mrs. Vance asked about the changes at the firm, Kowalski assured her that Chen was handling 'administrative matters' while he continued to manage her investment strategy. The firm's internal records showed Chen as the recommending representative, though email correspondence and meeting notes documented Kowalski's direct involvement in formulating and communicating the investment recommendations.

By February 2022, Mrs. Vance's portfolio had declined 18% due to market volatility affecting her concentrated positions in high-yield and emerging market securities. She filed a complaint with FINRA, which triggered an examination revealing the arrangement between Hutchins, Kowalski, and Chen.

Question

Did Westbrook Financial Partners violate suitability and supervisory obligations by allowing the disqualified individual to formulate and communicate investment recommendations to Mrs. Vance, and was the recommendation itself suitable for her investment profile?

Answer

Westbrook Financial Partners committed multiple serious violations of FINRA Rules 2111 (Suitability), 2010 (Standards of Commercial Honor), and 3110 (Supervision). The violations are compounded by the fact that the investment recommendations were made by an individual prohibited from engaging in securities activities.

First, regarding FINRA Rule 2111, the recommendation that Mrs. Vance allocate 65% of her retirement portfolio to high-yield bonds and emerging market equities was patently unsuitable under all three components of the suitability obligation. Under Rule 2111(a), the customer-specific suitability analysis must consider the customer's age, investment experience, risk tolerance, and investment objectives. Mrs. Vance was 72 years old, a retired schoolteacher with conservative risk tolerance seeking income preservation. Her prior investment experience was limited to CDs and Treasuries. Recommending volatile, higher-risk asset classes representing nearly two-thirds of her retirement savings directly contradicted her stated objectives and risk profile.

Second, FINRA Rule 2010 requires members to observe high standards of commercial honor and just and equitable principles of trade. The firm's deliberate scheme to circumvent FINRA's denial of the MC-400 application--by using Chen as a nominal representative while Kowalski performed all substantive advisory functions--constitutes a fundamental violation of commercial honor. The arrangement was designed to evade regulatory prohibitions while deceiving both customers and regulators about who was actually providing investment advice.

Third, under FINRA Rule 3110, the firm failed to establish and maintain a supervisory system reasonably designed to achieve compliance. Hutchins, as principal, not only failed to supervise but actively orchestrated the evasion scheme. The supervision failures include permitting an unregistered, disqualified individual to make recommendations, failing to review the suitability of recommendations made to elderly, conservative investors, and maintaining false records regarding the recommending representative.

The firm cannot invoke any reasonable defense. The losses suffered by Mrs. Vance were a foreseeable consequence of unsuitable recommendations made by an individual who should never have been communicating with customers about securities. The violations warrant significant sanctions including disgorgement, fines, and potential expulsion.

Key Factor

The firm permitted a statutorily disqualified individual to formulate and communicate investment recommendations that were independently unsuitable for a conservative, elderly investor's profile, while falsely documenting a registered representative as the recommending party.

Item 319 of 499**NON-COMPLIANT**

Topic: mutual_fund_share_class_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA guidance on mutual fund share class suitability

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, a 71-year-old retired schoolteacher residing in Boca Raton, Florida, approached registered representative David Kellerman of Coastal Investment Partners, LLC in March 2019 seeking to invest \$185,000 from her late husband's life insurance proceeds. Mrs. Thornton explicitly stated during her initial consultation that she needed income to supplement her modest pension of \$2,400 per month and Social Security benefits, had a conservative risk tolerance, and anticipated needing to access portions of the funds within three to five years for potential healthcare expenses. Her new account form documented these objectives and noted her limited investment experience, consisting primarily of certificates of deposit and savings bonds.

Kellerman recommended that Mrs. Thornton invest the entire \$185,000 in Class B shares of the Meridian Growth & Income Fund, which carried a 5% contingent deferred sales charge (CDSC) declining over six years, along with annual 12b-1 fees of 1.00%. Kellerman explained that Class B shares had 'no upfront costs' and were therefore 'better for her money.' He did not discuss the availability of Class A shares, which carried a 4.25% front-end load but only 0.25% annual 12b-1 fees, nor did he mention that for investments over \$100,000, breakpoint discounts would reduce the Class A load to 3.50%. He also failed to discuss Class C shares or institutional share classes that might have been available.

Over the following three years, Mrs. Thornton paid approximately \$5,550 in annual 12b-1 fees. When she needed to liquidate \$40,000 in September 2021 for medical expenses, she was assessed a 3% CDSC totaling \$1,200. In total, Mrs. Thornton paid approximately \$7,950 more in fees and charges than she would have paid had Kellerman recommended Class A shares with the applicable breakpoint discount. The firm's compliance records showed no documentation of any share class comparison or analysis supporting the Class B recommendation for this size investment.

Question

Did Kellerman's recommendation of Class B mutual fund shares to Mrs. Thornton satisfy FINRA suitability requirements and his duty of care to the customer?

Answer

The recommendation did not satisfy FINRA suitability requirements. Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on reasonable diligence concerning the customer's investment profile. This encompasses customer-specific suitability, requiring the recommendation to be appropriate for the particular customer's financial situation, investment objectives, and needs.

Kellerman violated the suitability standard on multiple grounds. First, Class B shares were quantitatively unsuitable for Mrs. Thornton's \$185,000 investment. FINRA has consistently held that Class B shares are generally unsuitable for larger investments because the ongoing 12b-1 fees exceed the cost savings from avoiding front-end loads. For

investments exceeding \$100,000, breakpoint discounts on Class A shares typically make them more economical. Here, Mrs. Thornton would have paid approximately \$6,475 in Class A loads with breakpoints, versus the \$7,950 in 12b-1 fees and CDSC charges she actually incurred.

Second, Class B shares were unsuitable given Mrs. Thornton's stated need for liquidity within three to five years. The six-year CDSC schedule directly conflicted with her documented investment time horizon and anticipated healthcare expenses. When she liquidated funds in year three, she incurred a \$1,200 penalty that a proper share class analysis would have anticipated and avoided.

Third, under FINRA Rule 2010's standards of commercial honor and just and equitable principles of trade, Kellerman's failure to explain the availability of different share classes and their relative costs constituted a breach of fair dealing. The absence of any documented share class comparison demonstrates a failure of reasonable diligence.

Kellerman cannot defend on grounds that Class B shares had 'no upfront costs,' as this framing ignored the total cost of ownership and was misleading given Mrs. Thornton's investment amount and time horizon. The recommendation prioritized apparent simplicity over the customer's actual economic interests, constituting a clear suitability violation under Rule 2111.

Key Factor

Kellerman recommended Class B shares for a \$185,000 investment without analyzing or disclosing that Class A shares with breakpoint discounts would result in significantly lower total costs for a customer with Mrs. Thornton's investment amount and stated liquidity needs.

Item 320 of 499**COMPLIANT**

Topic: suitability_high_net_worth_relationship

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Delmont, a registered representative with Pinnacle Wealth Advisors, LLC, maintained a twelve-year advisory relationship with client Theodore Ashford, a 67-year-old retired corporate executive with a net worth of approximately \$8.2 million in investable assets. Throughout their relationship, Delmont met with Ashford quarterly to review portfolio performance and discuss market conditions. Ashford had documented his investment objectives as growth with moderate risk tolerance, and his investment profile indicated significant prior experience with equities, options, and alternative investments from his years as a CFO.

In March 2019, Delmont recommended that Ashford allocate \$425,000 (approximately 5.2% of his portfolio) to a structured product linked to an index of large-cap technology stocks. The product had a five-year maturity, offered 90% downside protection, and capped upside participation at 42% over the term. Delmont explained the product mechanics in detail during a 90-minute meeting, provided the offering documents, and followed up with a written summary of the recommendation rationale. Ashford signed an acknowledgment confirming he understood the liquidity limitations and the cap on potential gains.

In August 2020, following significant technology sector volatility during the pandemic, Ashford filed a customer complaint alleging the structured product was unsuitable for his age and that Delmont failed to adequately explain the risks. The complaint sought \$85,000 in damages representing the opportunity cost of not being fully invested in the underlying index. Pinnacle Wealth Advisors settled the matter for \$22,500 without any contribution from Delmont, and the firm's internal review concluded that Delmont had followed all suitability protocols and that the recommendation was consistent with Ashford's documented profile and objectives.

Question

Did Marcus Delmont's recommendation of the structured product to Theodore Ashford satisfy FINRA suitability requirements under Rule 2111?

Answer

The recommendation appears to satisfy FINRA Rule 2111 suitability requirements across all three components: reasonable-basis, customer-specific, and quantitative suitability.

Under Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction is suitable for at least some investors (reasonable-basis suitability) and for the particular customer based on that customer's investment profile (customer-specific suitability). The investment profile includes factors such as age, financial situation, investment objectives, risk tolerance, time horizon, liquidity needs, and investment experience.

Regarding reasonable-basis suitability, Delmont demonstrated adequate understanding of the structured product's features, including the 90% downside protection, 42% upside cap, and five-year maturity. The product itself is appropriate for investors seeking equity market exposure with reduced downside risk--a legitimate investment objective.

For customer-specific suitability, the analysis strongly favors compliance. Ashford's profile indicated: (1) substantial net worth of \$8.2 million, making the \$425,000 allocation (5.2% of assets) appropriately sized; (2) documented growth objective with moderate risk tolerance, consistent with a protected equity-linked structure; (3) significant investment experience including options and alternatives, demonstrating sophistication with complex products; and (4) a twelve-year relationship with documented quarterly reviews, establishing thorough knowledge of the customer.

Delmont's process further supports suitability: the 90-minute meeting to explain product mechanics, provision of offering documents, written recommendation summary, and signed customer acknowledgment all demonstrate the care obligation contemplated by Rule 2111. The product's downside protection feature actually addressed age-appropriate risk mitigation for a 67-year-old investor.

The customer's complaint focused on opportunity cost--not actual losses--which does not establish unsuitability. A suitable recommendation is not required to be optimal or to outperform alternatives. The settlement by the firm without Delmont's contribution, combined with the internal finding that protocols were followed, supports the conclusion that the recommendation met all suitability obligations under FINRA Rule 2111.

Key Factor

The structured product allocation represented only 5.2% of a high-net-worth client's portfolio, matched his documented growth objective and moderate risk tolerance, and was explained thoroughly during a twelve-year relationship with consistent client engagement.

Item 321 of 499**NON-COMPLIANT**

Topic: suitability_concentrated_position_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a)-(c) (reasonable-basis, customer-specific, and quantitative suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 67, was a retired public school teacher with a modest \$385,000 in investable assets, representing her entire retirement savings accumulated through a 403(b) plan and personal savings. In March 2021, she opened an account with Crestview Securities LLC and was assigned to registered representative Daniel Harmon. During onboarding, Ellison completed a new account form indicating a conservative risk tolerance, an investment objective of capital preservation with income, a 10-15 year time horizon, and monthly income needs of approximately \$2,200 to supplement her pension and Social Security. She explicitly noted that she could not afford significant losses as she had no other financial resources.

Harmon, after reviewing Ellison's profile, recommended that she invest \$290,000--approximately 75% of her liquid assets--into shares of a single biotechnology company, Meridian Therapeutics Inc., which was awaiting FDA approval for an experimental cancer treatment. Harmon told Ellison that the stock was 'practically guaranteed to triple' once FDA approval came through, which he predicted would occur within six months. He dismissed her concerns about concentration risk, stating that diversification was 'for people who don't know what they're doing.'

Ellison followed Harmon's recommendation in April 2021. By October 2021, Meridian Therapeutics received a Complete Response Letter from the FDA, indicating deficiencies in its application. The stock price dropped 68% within two weeks, reducing Ellison's position to approximately \$92,800. She filed a FINRA arbitration claim in January 2022, alleging unsuitability, breach of fiduciary duty, and negligent misrepresentation, seeking recovery of her \$197,200 in losses plus interest.

Crestview Securities' compliance manual explicitly required representatives to document the basis for concentrated position recommendations and obtain supervisory pre-approval for any single-security position exceeding 25% of a customer's liquid net worth. Harmon obtained no such approval and maintained no written rationale for the recommendation.

Question

Did Daniel Harmon's recommendation that Margaret Ellison invest 75% of her retirement assets in a single speculative biotechnology stock violate FINRA suitability requirements?

Answer

Yes, Daniel Harmon's recommendation clearly violated FINRA Rule 2111 suitability requirements on multiple grounds. The recommendation fails all three components of the suitability analysis.

Regarding reasonable-basis suitability under Rule 2111.05(a), while Harmon may have believed in Meridian Therapeutics' prospects, his representation that the stock was 'practically guaranteed to triple' upon FDA approval

demonstrates either inadequate due diligence or willful disregard of the substantial regulatory risks inherent in pre-approval biotech investments. FDA approval rates for novel oncology treatments historically hover around 10-15%, making such guarantees fundamentally unreasonable.

The most egregious failure concerns customer-specific suitability under Rule 2111.05(b). Ellison's documented profile--conservative risk tolerance, capital preservation objective, income needs, age 67, and explicit statement that she could not afford significant losses--is categorically incompatible with a 75% concentration in a speculative, binary-outcome equity position. FINRA's suitability rule requires that recommendations be consistent with the customer's investment profile, including risk tolerance, investment objectives, time horizon, and financial situation. A speculative biotech stock pending regulatory approval represents the opposite of capital preservation.

Quantitative suitability under Rule 2111.05(c) is also implicated. While typically applied to excessive trading, the extreme concentration here--75% in a single speculative security--represents a position that no reasonable basis exists to believe was suitable given Ellison's stated inability to withstand significant losses.

Harmon's dismissal of diversification concerns and failure to follow Crestview's internal compliance requirements--including supervisory pre-approval for concentrated positions--further evidences his disregard for suitability obligations. Under FINRA Rule 2010, such conduct also violates just and equitable principles of trade.

Crestview Securities faces potential supervisory liability under FINRA Rule 3110 for failing to enforce its own written procedures regarding concentrated position oversight. The arbitration panel would likely find liability and award compensatory damages approaching Ellison's \$197,200 loss.

Key Factor

Recommending that a 67-year-old conservative investor with capital preservation objectives invest 75% of her retirement assets in a single speculative biotech stock awaiting FDA approval was fundamentally inconsistent with her documented investment profile and risk tolerance.

Item 322 of 499**NON-COMPLIANT**

Topic: bond_and_preferred_stock_suitability_retirement_accounts

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05 (Components of Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Harold and Margaret Sinclair, ages 71 and 68 respectively, maintained retirement accounts totaling approximately \$1.2 million at Coastal Ridge Wealth Management. Harold's traditional IRA held \$485,000, his Roth IRA contained \$215,000, and Margaret's IRA held \$320,000. Additionally, the couple maintained the Sinclair Family Limited Partnership account with \$180,000 in investment assets. Their documented investment objectives across all accounts were income generation and capital preservation, with a conservative risk tolerance appropriate for their retirement status. Harold was a retired high school principal, and Margaret had worked as a nurse administrator. Neither had any professional investment experience.

Between March 2021 and November 2022, their adviser, Thomas Kravitz, concentrated approximately 78% of the couple's total portfolio into high-yield corporate bonds rated BB or below and preferred stocks from regional banking institutions. Specifically, Kravitz recommended \$625,000 in high-yield bonds with maturities ranging from 15 to 25 years, including substantial positions in speculative-grade energy sector debt. He also placed \$312,000 into preferred shares of three regional banks that subsequently experienced significant stress during the banking sector volatility of early 2023.

Kravitz justified these recommendations by emphasizing the income yields, which ranged from 6.5% to 9.2%, compared to investment-grade alternatives yielding 3% to 4% at the time. However, he did not adequately discuss the credit risk of speculative-grade bonds, the interest rate sensitivity of long-duration fixed income in a rising rate environment, or the subordinated position of preferred stock in a bank's capital structure. The couple's account documents reflected that they could not afford to lose more than 15% of their portfolio value without materially impacting their retirement lifestyle.

By March 2023, the Sinclairs' portfolio had declined by approximately \$340,000, representing a 28% loss. Several bond positions had been downgraded, and two of the regional bank preferred stocks had declined 45% and 52% respectively. The couple filed an arbitration claim alleging unsuitability, breach of fiduciary duty, negligence, and failure to supervise.

Question

Did Thomas Kravitz's recommendations of high-yield bonds and regional bank preferred stocks violate his suitability obligations to the Sinclairs given their conservative investment objectives and retirement status?

Answer

The recommendations likely violated FINRA Rule 2111 suitability requirements on multiple grounds. FINRA Rule 2111(a) requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, and time horizon.

First, regarding customer-specific suitability under Rule 2111(a), the Sinclairs explicitly documented conservative risk tolerance and capital preservation objectives. Concentrating 78% of retirement assets in speculative-grade bonds and subordinated bank preferred shares fundamentally contradicts these objectives. High-yield bonds rated BB or below carry substantially elevated default risk, while preferred stocks occupy a subordinated position that makes them inappropriate for capital preservation mandates.

Second, the quantitative suitability component is implicated by the excessive concentration. Placing \$937,000 of \$1.2 million in high-risk fixed income eliminated meaningful diversification and exposed conservative retirees to sector-specific and credit-specific risks inconsistent with their 15% maximum loss tolerance.

Third, the reasonable-basis suitability prong under Rule 2111.05(a) requires the adviser to understand the risks and rewards of the recommendation. The selection of 15-to-25-year duration bonds during a period of anticipated Federal Reserve tightening demonstrated inadequate analysis of interest rate sensitivity. Similarly, concentrating in regional bank preferreds without accounting for their structural subordination and regulatory capital implications suggests deficient product due diligence.

Under FINRA Rule 2010's just and equitable principles of trade, recommending products materially inconsistent with documented customer objectives violates ethical standards. The income yield differential (6.5%-9.2% versus 3%-4%) does not justify abandoning principal protection mandates for retirees dependent on these assets.

Kravitz may argue the customers approved the transactions and received enhanced income. However, suitability is an independent broker obligation that cannot be delegated to customers who lack expertise to evaluate credit and duration risk. The resulting 28% loss, exceeding the stated 15% threshold, demonstrates the foreseeable harm from unsuitable concentration in speculative securities within retirement accounts requiring preservation-focused management.

Key Factor

Concentrating 78% of conservative retirees' assets in speculative-grade bonds and subordinated preferred stocks directly contradicted their documented capital preservation objectives and conservative risk tolerance.

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NON-COMPLIANT

Topic: ira_rollover_suitability_conflicted_advice

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 Suitability; FINRA Rule 2330 Variable Annuity Suitability

Source: 10_Academic_Articles

Fact Pattern

Margaret Holloway, age 62, worked as a school administrator for 34 years and accumulated \$485,000 in her employer's 403(b) plan. In March 2023, she met with Derek Simmons, a registered representative at Horizon Wealth Partners, after receiving a mailer about 'maximizing retirement income.' During their initial meeting, Mrs. Holloway explained she planned to retire in three years, needed her savings to last approximately 25 years, had no other significant retirement assets besides Social Security, and described herself as 'very conservative' due to watching her parents lose money in the 2008 financial crisis. She specifically mentioned wanting 'safety and steady income' and expressed concern about outliving her savings.

Simmons recommended Mrs. Holloway roll over her entire 403(b) balance into an IRA at Horizon and invest the proceeds in a variable annuity product called the Paramount Growth & Income VA. This product carried a 7-year surrender period with declining charges starting at 7%, annual mortality and expense charges of 1.35%, administrative fees of 0.15%, and underlying subaccount expenses averaging 0.95%. The total annual cost structure exceeded 2.45%. Simmons received a 5.5% upfront commission (\$26,675) on the sale. He did not discuss that Mrs. Holloway's existing 403(b) plan offered low-cost target-date funds with expense ratios of 0.12%, nor did he mention that her plan permitted systematic withdrawals without surrender penalties.

Simmons's notes from the meeting indicated Mrs. Holloway's risk tolerance as 'moderate growth' and her investment objective as 'growth and income,' despite her verbal statements about being very conservative. The variable annuity's subaccounts included equity funds comprising 65% of the recommended allocation. Six months later, after the account declined 12% during a market correction, Mrs. Holloway complained that the investment was far more volatile than she had anticipated and that she could not access her funds without paying substantial surrender charges. Internal emails revealed that Horizon's branch manager had sent communications to representatives in February 2023 encouraging them to 'prioritize Paramount VA sales' due to enhanced commission arrangements through Q2.

Question

Did Derek Simmons satisfy his Regulation Best Interest care obligation when recommending the IRA rollover and variable annuity to Margaret Holloway?

Answer

No, Derek Simmons violated Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii). The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, have a reasonable basis to believe the recommendation is in the customer's best interest, and consider reasonably available alternatives.

First, regarding the rollover recommendation itself, Simmons failed to perform the comparative analysis required when recommending an IRA rollover. SEC guidance makes clear that brokers must weigh the costs and benefits of remaining

in an employer plan versus rolling over. Mrs. Holloway's 403(b) offered low-cost target-date funds (0.12% expense ratio) with penalty-free systematic withdrawals. Rolling into a product with 2.45% annual costs and a 7-year surrender period was objectively inferior for a client three years from retirement who prioritized capital preservation and liquidity.

Second, the variable annuity recommendation failed the best interest standard. Mrs. Holloway explicitly stated she was 'very conservative' and wanted 'safety and steady income.' Recommending a product with 65% equity allocation in underlying subaccounts directly contradicted her stated risk tolerance. Simmons's documentation characterizing her as 'moderate growth' appears to have been reverse-engineered to justify a predetermined product recommendation, evidenced by the branch manager's pressure to prioritize Paramount VA sales.

Third, the cost-benefit analysis was deficient. The 7-year surrender period locked up funds for a client who would need retirement income within three years. The \$26,675 commission created precisely the type of conflict the 2015 CEA study identified as generating advice that prioritizes adviser compensation over client welfare.

Simmons cannot defend by arguing Mrs. Holloway signed disclosure documents. Regulation Best Interest imposes an affirmative obligation beyond disclosure; the recommendation itself must be in the customer's best interest regardless of what was disclosed. The Care Obligation was breached through inadequate alternatives analysis, mischaracterization of customer profile, and recommendation of a product fundamentally misaligned with the client's stated objectives, time horizon, and risk tolerance.

Key Factor

Simmons recommended a high-cost variable annuity with a 7-year surrender period to a conservative pre-retiree without adequately comparing it to her existing low-cost 403(b) options, prioritizing his commission over her stated need for safety and liquidity.

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NON-COMPLIANT

Topic: suitability_qualification_lapse_customer_harm

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 1010 (Registration Requirements); FINRA CE Program Requirements

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Thornton, age 67, was a retired schoolteacher who walked into the Westbrook branch of Pinnacle Securities LLC in March 2022 seeking guidance on how to invest her \$285,000 in retirement savings. She had a moderate risk tolerance, sought income generation with capital preservation, and relied on Social Security plus a small pension totaling \$2,400 monthly for living expenses. Her investment objective was to supplement her fixed income without jeopardizing her principal.

Ms. Thornton was assigned to work with David Kellerman, who had previously been a registered representative at another firm from 2012 to 2017. Kellerman left the industry in 2017 for personal reasons and returned to Pinnacle Securities in January 2022. However, Pinnacle's compliance department failed to verify that Kellerman's registrations had lapsed beyond the two-year window, and he had not completed any continuing education during his absence. Kellerman was permitted to begin servicing clients immediately upon hire without retaking qualifying examinations.

Kellerman recommended that Ms. Thornton invest 70% of her portfolio (\$199,500) in a portfolio of high-yield corporate bonds with credit ratings below investment grade, and the remaining 30% (\$85,500) in small-cap growth equities. He assured her these investments would generate the income she needed while providing growth potential. He did not discuss the significant credit risk associated with below-investment-grade bonds or the volatility inherent in small-cap growth stocks. By December 2022, Ms. Thornton's portfolio had declined to \$198,000, a loss of over \$87,000, and several of the high-yield bonds had defaulted, eliminating her expected income stream.

Ms. Thornton filed a complaint with FINRA, alleging that Kellerman's recommendations were unsuitable given her stated investment objectives, risk tolerance, and financial situation, and that Pinnacle Securities failed to properly supervise an unqualified representative.

Question

Did David Kellerman's investment recommendations to Margaret Thornton satisfy FINRA's suitability requirements under Rule 2111, and did Pinnacle Securities fulfill its supervisory obligations?

Answer

The investment recommendations made by David Kellerman to Margaret Thornton violated FINRA Rule 2111's suitability requirements, and Pinnacle Securities failed in its supervisory obligations under FINRA Rules 3110 and 3120.

FINRA Rule 2111 imposes three suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. The customer-specific obligation under Rule 2111(a) requires that a recommendation be suitable for the particular customer based on that customer's investment profile, including age, financial situation, investment objectives, risk tolerance, and liquidity needs.

Ms. Thornton was a 67-year-old retiree with moderate risk tolerance, income generation objectives, and capital preservation needs. Her \$285,000 represented her entire retirement savings, supplementing limited fixed income of \$2,400 monthly. Recommending that 70% of her portfolio be allocated to below-investment-grade high-yield bonds exposed her to substantial credit risk wholly inconsistent with her preservation objective. The 30% allocation to small-cap growth equities further contradicted her stated preference for income generation, as growth stocks typically do not provide current income. This allocation strategy was aggressive and speculative, inappropriate for a retired investor dependent on these funds.

Kellerman also failed the reasonable-basis suitability component by not adequately understanding or explaining the risks of below-investment-grade securities to Ms. Thornton. The subsequent defaults on multiple bonds demonstrate the materialization of precisely the credit risk that should have been evaluated and disclosed.

Pinnacle Securities violated FINRA Rule 3110 by failing to establish and maintain a supervisory system reasonably designed to achieve compliance with securities laws. The firm permitted Kellerman to service clients without verifying his registration status or ensuring completion of required qualifying examinations following his multi-year industry absence. This represents a fundamental breakdown in supervisory controls. FINRA's continuing education requirements exist precisely to ensure representatives maintain current knowledge of regulatory obligations and product risks.

The firm's compliance failures enabled an unqualified representative to provide unsuitable recommendations to a vulnerable customer, resulting in significant financial harm. Both Kellerman and Pinnacle Securities face liability for these violations.

Key Factor

Kellerman recommended a high-risk portfolio of below-investment-grade bonds and small-cap growth stocks to a 67-year-old retiree seeking income and capital preservation, directly contradicting her investment profile and objectives.

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NON-COMPLIANT

Topic: suitability_duty_client_priority_nz_regime

Difficulty: medium

Standard: FMC Act 2013 sections 431I-431P; Code of Professional Conduct for Financial Advice Services (suitability, client priority, care/diligence/skill standards)

Source: 23_International_Comparative

Fact Pattern

Coastal Wealth Advisers Limited is a licensed financial advice provider operating in Auckland, New Zealand under the Financial Markets Conduct Act 2013 as amended. Marcus Chen, age 58, approached adviser Sarah Thornton in February 2024 seeking guidance on repositioning his KiwiSaver balance of NZD 485,000 ahead of his planned retirement at age 65. During the initial consultation, Chen clearly articulated his objectives: capital preservation, modest growth to keep pace with inflation, and minimal volatility given his proximity to retirement. He disclosed that this KiwiSaver balance represented approximately 70% of his total retirement savings, with the remainder in a modest rental property. Chen's risk tolerance questionnaire scored him as 'conservative' with a maximum acceptable drawdown of 8%.

Thornton conducted a single 45-minute meeting with Chen before recommending he switch his entire KiwiSaver balance to the 'Pacific Growth Aggressive Fund,' a scheme investing primarily in emerging market equities and cryptocurrency-linked assets. The fund's product disclosure statement indicated historical volatility of 28% annually and a recommended minimum investment horizon of 10 years. Thornton's recommendation letter briefly mentioned that the fund had delivered 34% returns in the prior year but failed to address how this aligned with Chen's stated conservative profile or his seven-year investment horizon.

Internal records obtained during a subsequent Financial Markets Authority review revealed that Coastal Wealth Advisers received trailing commissions of 1.2% per annum from Pacific Growth Aggressive Fund placements, compared to 0.3% from the conservative alternatives that would have matched Chen's profile. Thornton's file notes contained no documented analysis comparing suitable conservative options, nor any explanation for departing from Chen's expressed risk tolerance. When Chen's balance declined by NZD 112,000 within six months due to emerging market corrections, he lodged a formal complaint.

Question

Did Sarah Thornton breach her duties under the New Zealand financial advice regime when recommending the Pacific Growth Aggressive Fund to Marcus Chen?

Answer

Yes, Sarah Thornton breached multiple duties under sections 431I to 431P of the Financial Markets Conduct Act 2013 as amended by the Financial Services Legislation Amendment Act 2019, and the Code of Professional Conduct for Financial Advice Services.

First, Thornton violated the duty to give priority to the client's interests under section 431L. The documented commission differential (1.2% versus 0.3%) created an obvious conflict between Thornton's financial interests and Chen's investment objectives. When such conflicts exist, the adviser must give priority to the client's interests. The absence of any documented analysis comparing lower-commission conservative alternatives, combined with the

recommendation of the highest-commission product despite its fundamental unsuitability, demonstrates that Thornton prioritised her remuneration over Chen's needs. Applying the regime's own test--'would the advice be the same in the absence of the conflict?'--the answer is clearly no.

Second, Thornton breached the Code's requirement to 'give financial advice that is suitable.' Chen's conservative risk profile, seven-year investment horizon, age of 58, and stated capital preservation objective were wholly incompatible with a fund exhibiting 28% annual volatility and requiring a minimum 10-year horizon. The recommendation fundamentally mismatched the product's risk characteristics with the client's documented circumstances.

Third, Thornton failed to exercise care, diligence and skill as required under section 431M. A prudent financial adviser in the same circumstances would have recommended products aligned with Chen's conservative profile, conducted comparative analysis of suitable options, and documented the rationale connecting the recommendation to client needs. The single brief meeting and absence of alternatives analysis falls below the standard expected of a competent professional.

Fourth, the duty to ensure the client understands the nature and scope of advice under section 431K appears compromised, as Thornton's recommendation letter emphasised prior returns without adequately explaining the product's risk profile relative to Chen's circumstances.

No reasonable defence exists. The regime explicitly contemplates commission-based advice but demands that client interests take precedence regardless of remuneration structures. Thornton's conduct represents a clear failure to meet the regime's core objective of ensuring New Zealanders receive quality, suitable financial advice.

Key Factor

Thornton recommended a high-volatility aggressive fund to a conservative pre-retiree client, prioritising her higher commission income over the client's clearly documented capital preservation objectives and risk tolerance.

Item 326 of 499**NON-COMPLIANT**

Topic: suitability_complex_products_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Customer Investment Profile factors); FINRA Rule 2111.03 (Customer acceptance does not establish suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 74, was a retired schoolteacher who opened an account with Granite Peak Securities, LLC in March 2019. Her new account documentation indicated she had a conservative risk tolerance, an investment objective of income and capital preservation, a \$425,000 liquid net worth consisting primarily of her pension rollover IRA, Social Security income of \$2,400 monthly, and no prior experience with complex investment products. Her intake form explicitly noted she sought 'safe investments to supplement retirement income' and had a 5-7 year investment time horizon.

Her assigned representative, Marcus Delvechio (CRD# 4521876), recommended that Mrs. Holloway allocate \$175,000--representing 41% of her liquid assets--into three leveraged exchange-traded products: the ProShares UltraPro QQQ (TQQQ), the Direxion Daily S&P 500 Bull 3X Shares (SPXL), and the Direxion Daily Financial Bull 3X Shares (FAS). Delvechio explained these products would 'turbocharge her returns' and help her 'beat inflation.' He did not explain the daily reset mechanism, compounding decay, or that these products were designed for short-term trading by sophisticated investors.

Between March 2019 and March 2020, Mrs. Holloway's account experienced significant losses during market volatility. By April 2020, her \$175,000 investment in leveraged ETFs had declined to approximately \$67,000--a loss of approximately \$108,000. During this period, the products were held continuously without any rebalancing or exit strategy. Delvechio's supervisor, Branch Manager Philip Torrance, approved all three purchases despite the firm's written supervisory procedures requiring heightened review for leveraged product sales to customers over age 65 with conservative profiles.

Granite Peak's compliance manual specifically stated that leveraged and inverse ETFs 'are generally unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' The firm maintained no evidence that Mrs. Holloway received or acknowledged the product-specific risk disclosures required by firm policy for complex products.

Question

Did Marcus Delvechio and Granite Peak Securities violate their suitability obligations under FINRA Rule 2111 by recommending leveraged ETFs to Mrs. Holloway?

Answer

Yes, both Marcus Delvechio and Granite Peak Securities violated FINRA Rule 2111's suitability requirements through recommendations fundamentally inconsistent with Mrs. Holloway's documented investment profile and the characteristics of the recommended products.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111(a), Delvechio failed to understand that leveraged ETFs are designed for short-term trading and experience significant value decay when held over time due to daily compounding. FINRA has consistently warned that these products are generally unsuitable for retail investors with intermediate or long-term horizons--precisely Mrs. Holloway's stated 5-7 year timeframe.

The customer-specific suitability violation is particularly egregious. Rule 2111.05(a) requires consideration of the customer's age, investment experience, time horizon, liquidity needs, and risk tolerance. Mrs. Holloway was 74 years old, had no complex product experience, maintained a conservative risk tolerance, sought capital preservation and income, and depended on these assets for retirement supplementation. A 41% concentration in triple-leveraged equity products directly contradicted every relevant profile factor.

Delvechio's failure to explain the daily reset mechanism and compounding decay compounds the violation. FINRA Rule 2010's just and equitable principles require that representatives not recommend products they cannot adequately explain or that customers cannot reasonably understand.

Granite Peak Securities bears supervisory liability under FINRA Rule 3110. Branch Manager Torrance approved these transactions despite the firm's own written procedures mandating heightened review for leveraged products sold to elderly, conservative investors. The absence of documented risk acknowledgments further evidences supervisory failure.

The defense that Mrs. Holloway signed the account agreements is unavailing--FINRA Rule 2111.03 expressly provides that a customer's willingness to accept a recommendation does not establish its suitability. The recommendation must be independently appropriate based on the customer's profile, which these products manifestly were not.

Key Factor

The recommendation of triple-leveraged ETFs designed for short-term trading to a 74-year-old conservative investor seeking capital preservation for retirement directly contradicted every element of her documented investment profile.

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NON-COMPLIANT

Topic: suitability_senior_investor_complex_product

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 4512 (Customer Account Information); FINRA guidance on complex products and leveraged/inverse ETFs; heightened suitability standards for senior investors

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Holloway, age 78, had been a client of Clearwater Financial Services for over fifteen years when her husband passed away in September 2021. She received approximately \$485,000 from life insurance proceeds and her husband's IRA rollover. Mrs. Holloway lived on Social Security payments of \$2,100 monthly and had annual expenses of approximately \$38,000. Her liquid net worth prior to the inheritance was roughly \$95,000, held primarily in certificates of deposit at her local bank. She had no prior experience with securities investments beyond these CDs and a small savings account.

In October 2021, registered representative Daniel Finch of Clearwater Financial Services met with Mrs. Holloway to discuss investment options for her inheritance. According to Finch's notes, Mrs. Holloway stated she wanted to 'keep the money safe' and 'maybe earn a little more than the bank pays' so she could supplement her Social Security income. She expressed concern about outliving her savings and emphasized she could not afford to lose principal. Finch documented her risk tolerance as 'conservative' and her investment objective as 'income with capital preservation.'

Despite this documented profile, Finch recommended that Mrs. Holloway invest \$350,000 in a portfolio consisting of leveraged exchange-traded funds (ETFs) tracking various market indices and sector-specific inverse ETFs. Finch explained these products could 'maximize returns quickly' and represented that the inverse ETFs would 'protect against market downturns.' He did not explain the daily reset mechanism of leveraged and inverse ETFs, nor did he discuss the compounding effects that make these products unsuitable for holding periods beyond a single trading day. Mrs. Holloway signed the account documents, including a boilerplate risk disclosure she later stated she did not understand.

By January 2022, Mrs. Holloway's portfolio had declined to approximately \$218,000 due to market volatility and the decay inherent in leveraged products held over multiple weeks. When she contacted Clearwater to understand what happened, the branch manager conducted a review and discovered Finch had made similar recommendations to three other senior clients during the same period.

Question

Did Daniel Finch's recommendation of leveraged and inverse ETFs to Margaret Holloway satisfy his suitability obligations under FINRA rules?

Answer

No, Daniel Finch's recommendation clearly violated FINRA Rule 2111 (Suitability) and failed to meet the standards applicable to recommendations involving complex products to senior investors.

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs,

and risk tolerance. The rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Finch failed reasonable-basis suitability by recommending leveraged and inverse ETFs without adequately understanding their complex mechanics. These products are designed to achieve their stated objectives on a daily basis only; holding them for longer periods subjects investors to significant deviation from expected returns due to compounding effects and volatility decay. FINRA has repeatedly emphasized that these products are generally unsuitable for retail investors who plan to hold them for more than one trading session.

More critically, Finch violated customer-specific suitability. Mrs. Holloway's documented profile established she was 78 years old, had no securities experience, possessed a conservative risk tolerance, sought income with capital preservation, and depended on these funds to supplement fixed retirement income. Recommending that a 78-year-old widow with no investment experience invest 72% of her liquid assets in complex leveraged products designed for sophisticated short-term traders is fundamentally inconsistent with her stated objectives and circumstances.

FINRA Rule 2330 regarding deferred variable annuities, while not directly applicable, reflects the heightened scrutiny required for recommendations to seniors. Similarly, FINRA Rule 4512 requires firms to make reasonable efforts to obtain and maintain customer profile information--information Finch obtained but then disregarded.

The boilerplate risk disclosure Mrs. Holloway signed does not cure the suitability deficiency. A customer's signature on disclosure documents does not relieve a broker of the independent obligation to ensure recommendations are suitable.

The \$132,000 loss directly resulted from recommending products fundamentally incompatible with Mrs. Holloway's documented investment profile, constituting a clear suitability violation.

Key Factor

Finch recommended complex leveraged and inverse ETFs to a 78-year-old widow with no investment experience, conservative risk tolerance, and stated objectives of capital preservation and income--products fundamentally unsuitable for her documented profile.

Item 328 of 499**NON-COMPLIANT**

Topic: reg_bi_care_obligation_complex_product

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) - Care Obligation; SEC Staff Bulletin: Standards of Conduct for Broker-Dealers and Investment Advisers (Care Obligation)

Source: 17_SEC_Staff_Bulletins

Fact Pattern

Meridian Securities LLC is a mid-sized broker-dealer headquartered in Charlotte, North Carolina, with approximately 450 registered representatives serving retail customers nationwide. In March 2023, registered representative Daniel Hoffman met with Margaret Chen, a 71-year-old recently widowed retail customer who had just received \$385,000 from her late husband's life insurance policy. Mrs. Chen explicitly stated during the new account opening process that she needed the funds to supplement her Social Security income of \$2,100 per month, pay for ongoing medical expenses related to her Type 2 diabetes, and potentially cover assisted living costs within the next three to five years. She documented her investment objective as 'income with capital preservation,' her risk tolerance as 'conservative,' her investment time horizon as 'short-term (1-3 years),' and her liquid net worth outside these funds as approximately \$45,000 in a savings account.

During their April 2023 meeting, Hoffman recommended that Mrs. Chen invest \$310,000 of her insurance proceeds into three leveraged exchange-traded notes (ETNs) designed to provide 2x exposure to various commodity indices, including crude oil, natural gas, and agricultural futures. Hoffman explained these products would generate 'enhanced returns' that would help her 'stay ahead of inflation' and noted the products had performed well over the prior six months. He did not discuss the daily reset mechanism inherent in leveraged products, the potential for significant principal loss due to volatility decay, the credit risk associated with ETNs as unsecured debt obligations, or the unsuitability of holding leveraged products for periods longer than one trading day.

Meridian's product catalog classified these leveraged ETNs as suitable only for 'sophisticated investors with high risk tolerance and speculative investment objectives,' requiring supervisory pre-approval for any customer over age 65 or with a conservative risk profile. Hoffman did not seek such approval and processed the transactions directly through the firm's order entry system. By November 2023, Mrs. Chen's leveraged ETN positions had declined to \$127,000--a loss of approximately 59%--despite the underlying commodity indices experiencing only modest volatility. Mrs. Chen was forced to liquidate the remaining positions to cover mounting medical bills and now lacks sufficient funds for her anticipated assisted living needs.

Question

Did registered representative Daniel Hoffman satisfy his Care Obligation under Regulation Best Interest when recommending leveraged commodity ETNs to Mrs. Chen?

Answer

No, Daniel Hoffman clearly violated the Care Obligation under Regulation Best Interest, specifically the requirements set forth in Rule 15l-1(a)(2)(ii). The Care Obligation mandates that a broker-dealer exercise reasonable diligence, care, and skill to: (A) understand the potential risks, rewards, and costs of the recommendation; (B) have a reasonable basis to believe the recommendation is in the best interest of the retail customer based on the customer's investment profile; and (C) have a reasonable basis to believe that a series of recommended transactions is not excessive.

Regarding element (A), Hoffman failed to demonstrate understanding of the leveraged ETN products' mechanics. These instruments feature daily reset mechanisms causing volatility decay, making them categorically unsuitable for holding periods beyond one trading day. His failure to explain credit risk, daily compounding effects, or the speculative nature of commodity exposure demonstrates inadequate product knowledge required under the Care Obligation.

Element (B) presents the most egregious violation. Mrs. Chen's documented investment profile--71 years old, conservative risk tolerance, income-with-preservation objective, short-term horizon of 1-3 years, limited liquid assets, and explicit need for funds to cover medical and assisted living expenses--is diametrically opposed to the risk characteristics of 2x leveraged commodity ETNs. The SEC has consistently emphasized that the Care Obligation requires consideration of the customer's 'investment profile, including the retail customer's age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the retail customer may disclose.' Every element of Mrs. Chen's profile contraindicated this recommendation.

Further compounding the violation, Hoffman circumvented Meridian's internal controls requiring supervisory pre-approval for customers over 65 or with conservative profiles purchasing leveraged products. While firm policy violations do not independently establish Reg BI breaches, deliberate evasion of product-specific safeguards strongly evidences lack of reasonable diligence. The catastrophic 59% loss--resulting not from extraordinary market events but from predictable volatility decay--confirms the recommendation's unsuitability. Hoffman's conduct fails all three prongs of the Care Obligation.

Key Factor

Recommending speculative leveraged commodity ETNs designed for single-day holding to a 71-year-old conservative investor with documented short-term income and capital preservation needs represents a fundamental failure to reasonably believe the recommendation was in the customer's best interest.

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NON-COMPLIANT

Topic: puerto_rico_bond_fund_concentration_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Roberto and Maria Delgado, a married couple ages 67 and 64 respectively, opened investment accounts with Coastal Wealth Advisors in San Juan, Puerto Rico in January 2012. Roberto had recently retired from a pharmaceutical company with a \$420,000 lump sum pension distribution, while Maria continued working part-time as a teacher earning approximately \$28,000 annually. Their account opening documents indicated a moderate risk tolerance, income and capital preservation as primary objectives, a 10-15 year investment horizon, and limited investment experience consisting mainly of employer 401(k) plans invested in target-date funds. Their combined liquid net worth was approximately \$580,000, including the pension distribution.

Their assigned financial advisor, Miguel Santana, recommended allocating \$340,000 (approximately 81% of the pension distribution and 59% of total liquid assets) to a portfolio of closed-end municipal bond funds concentrating exclusively in Puerto Rico government obligations. Santana explained that the funds offered attractive tax-free yields of 6-7% for Puerto Rico residents and emphasized the triple tax exemption available on these securities. He presented historical performance data showing consistent dividend payments and characterized the investments as 'safe income vehicles suitable for retirees.' The recommendations were made during March through May 2012 across seven separate purchases in four different Puerto Rico bond fund families.

Santana's internal notes from customer meetings contained minimal documentation of his suitability analysis. His supervisor, Branch Manager Teresa Colon, approved each transaction without conducting independent verification of suitability given the concentration levels. The firm's written supervisory procedures required enhanced review for any single investment position exceeding 25% of customer assets, but Colon treated the separate fund purchases as distinct positions rather than recognizing the concentrated exposure to Puerto Rico credit risk. By late 2013, the funds had declined approximately 40% in value following credit rating downgrades, and the Delgados filed a FINRA arbitration claim in early 2017 seeking \$180,000 in compensatory damages.

Question

Did Coastal Wealth Advisors and its financial advisor Miguel Santana violate suitability obligations under FINRA rules by recommending a concentrated portfolio of Puerto Rico municipal bond funds to the Delgados?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) across multiple dimensions. Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on reasonable diligence concerning the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, liquidity needs, and time horizon.

First, regarding reasonable-basis suitability under Rule 2111(a), Santana failed to adequately understand the risks inherent in leveraged closed-end funds concentrated in a single issuer's obligations. Puerto Rico bond funds carried

significant credit risk that was not adequately disclosed or analyzed. The minimal documentation in Santana's notes evidences insufficient diligence.

Second, customer-specific suitability was violated. The Delgados were retired or near-retirement investors with moderate risk tolerance, income and capital preservation objectives, and limited investment experience. Allocating 59% of their liquid net worth to highly correlated, single-geography municipal obligations was inconsistent with these documented characteristics. FINRA has consistently emphasized that concentration in a single asset class or issuer creates heightened suitability concerns for conservative investors.

Third, the quantitative suitability component was implicated by the excessive concentration. While Rule 2111 quantitative suitability typically addresses churning, the principle extends to recommendations that, taken together, expose customers to inappropriate aggregate risk levels.

The supervisory failures compound liability. FINRA Rule 3110 requires firms to establish written supervisory procedures reasonably designed to achieve compliance. Colon's failure to recognize that separate Puerto Rico fund purchases represented concentrated exposure to the same underlying credit risk constituted deficient supervision. The firm's 25% concentration threshold was circumvented through form over substance.

Potential defenses--that the funds were individually suitable, that yields were attractive, or that municipal bonds are generally conservative--fail. Suitability must consider portfolio context, not merely individual security characteristics. Tax advantages do not excuse concentration risk unsuitable for the customer's profile. The recommendation was unsuitable, and supervisory systems failed to prevent the violation.

Key Factor

Concentration of 59% of a moderate-risk retired couple's liquid assets in correlated Puerto Rico municipal bond funds was inconsistent with their documented income and preservation objectives and limited experience.

Item 330 of 499

NON-COMPLIANT

Topic: erisa_prudence_missing_participant_distribution

Difficulty: hard

Standard: ERISA Section 404(a)(1)(A) duty of loyalty; ERISA Section 404(a)(1)(B) duty of prudence; DOL Missing Participants Best Practices Guidance (2021); Field Assistance Bulletin 2014-01

Source: 06_DOL_Fiduciary

Fact Pattern

Greenleaf Pension Consultants, Inc. serves as the investment adviser and named fiduciary for the Harrington Manufacturing Company 401(k) Plan, a defined contribution plan with \$45 million in assets and 892 participants. In March 2024, plan administrator Marcus Webb identified 47 missing participants with aggregate account balances totaling \$218,000, with individual balances ranging from \$850 to \$12,400. The largest concentration involved 31 former employees with balances under \$5,000 each. Rather than conducting systematic search efforts, Webb and Greenleaf's principal, Sandra Chen, decided to immediately transfer all 47 accounts to Pinnacle Auto-Rollover IRA Solutions, a provider that charged an annual account maintenance fee of \$75 plus an asset-based fee of 1.85% annually. Pinnacle invested all transferred funds into a single proprietary money market fund yielding 0.25% APY. Chen recommended Pinnacle based primarily on their expedited processing timeline of 15 business days and because Pinnacle paid Greenleaf a \$50 referral fee per account transferred. No individualized analysis was conducted to determine whether the fee structure was appropriate for any particular participant's balance size. For participant Eleanor Vasquez, age 58, whose \$4,200 balance was transferred, the combined annual fees of \$152.70 would consume 3.6% of her account value yearly, virtually guaranteeing erosion of her retirement savings. Chen did not consider transferring accounts to the state unclaimed property fund, which charges no fees and actively attempts to reunite owners with funds, nor did she evaluate the PBGC's missing participant program. The plan's records showed that Greenleaf had last updated participant contact information in 2019 and had not utilized any commercial locator services, social media searches, or credit bureau searches before initiating the transfers.

Question

Did Greenleaf Pension Consultants and Sandra Chen satisfy their ERISA fiduciary duties of prudence and loyalty when recommending the automatic rollover of missing participant accounts to Pinnacle Auto-Rollover IRA Solutions?

Answer

Greenleaf Pension Consultants and Sandra Chen violated their ERISA fiduciary duties under Sections 404(a)(1)(A) and (B). The conduct fails both the prudence and loyalty standards applicable to handling distributions for missing participants.

Under ERISA Section 404(a)(1)(A), fiduciaries must discharge duties solely in the interest of participants and beneficiaries. Chen's recommendation was tainted by the \$50 per-account referral fee Greenleaf received from Pinnacle, creating a direct financial conflict. This self-dealing motive undermines any claim that the decision was made exclusively for participants' benefit, violating the duty of loyalty.

Under ERISA Section 404(a)(1)(B), fiduciaries must act with the care, skill, prudence, and diligence of a prudent person. The Department of Labor's guidance on missing participants establishes that fiduciaries must prudently conclude that a distribution is appropriate despite potential adverse consequences, including fees that erode retirement savings. Multiple prudence failures occurred here.

First, Greenleaf failed to implement DOL best practices for locating missing participants before initiating distributions. The 2021 DOL guidance specifically recommends utilizing commercial locator services, credit bureaus, and social media searches. Contact information had not been updated since 2019, and no systematic search was attempted.

Second, the IRA fee structure was plainly inappropriate. For small balances like Eleanor Vasquez's \$4,200 account, combined annual fees of 3.6% guaranteed account erosion when invested in a 0.25% yielding money market fund. A prudent fiduciary would have recognized that state unclaimed property funds--which the DOL has identified as an acceptable alternative precisely because they charge no fees--better serve participants with small balances.

Third, Chen conducted no individualized analysis of whether the rollover destination was appropriate for each participant's circumstances, despite balance sizes varying from \$850 to \$12,400 and participant ages presumably varying significantly.

The selection of Pinnacle based primarily on processing speed rather than participant outcomes demonstrates procedural imprudence. The DOL has consistently emphasized that IRAs may not always be available or appropriate, and fiduciaries must evaluate alternatives including state unclaimed property funds and the PBGC missing participant program. This wholesale transfer without proper due diligence constitutes a breach of fiduciary duty.

Key Factor

The fiduciary failed to conduct prudent due diligence on rollover destination fees and alternatives, while simultaneously receiving referral compensation that created a prohibited conflict of interest.

Item 331 of 499**NON-COMPLIANT**

Topic: unsuitable_concentrated_position_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 210 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 67, was a retired elementary school teacher who opened an account with Sentinel Wealth Partners in March 2022. Her new account documentation indicated a conservative risk tolerance, an investment objective of capital preservation with modest income generation, and a liquid net worth of approximately \$485,000--representing her entire retirement savings accumulated over a 35-year teaching career. Margaret disclosed to her registered representative, David Thornton, that she relied on Social Security benefits of \$2,100 monthly and needed to supplement this income with approximately \$1,500 per month from her investments to cover living expenses.

In their initial consultations between March and May 2022, Thornton recommended that Margaret invest \$290,000--approximately 60% of her liquid net worth--into a single high-yield corporate bond fund, the Apex Strategic Income Fund, which concentrated heavily in below-investment-grade debt securities with an average credit rating of B+. Thornton emphasized the fund's attractive 7.2% yield without adequately explaining the credit risk, interest rate sensitivity, or the significant price volatility characteristic of high-yield bond funds. He noted in his client file that 'client needs income and this fund delivers.'

By November 2022, rising interest rates and credit spread widening caused the Apex Strategic Income Fund to decline 18.7% in value, reducing Margaret's position to approximately \$235,000. The monthly distributions also decreased by 22% as the fund reduced its payout. Margaret, who had limited investment experience beyond certificates of deposit and her state pension, was distressed to learn her principal had suffered such significant erosion. She filed a FINRA arbitration claim in January 2023 alleging that Thornton's recommendation was unsuitable given her age, conservative risk tolerance, capital preservation objective, and dependence on the investment for essential living expenses.

Question

Did David Thornton's recommendation that Margaret Chen invest 60% of her liquid net worth in a high-yield corporate bond fund violate FINRA's suitability requirements?

Answer

The recommendation violated FINRA Rule 2111 (Suitability). The rule requires that a broker have a reasonable basis to believe a recommendation is suitable based on customer-specific factors including age, investment objectives, risk tolerance, financial situation, and liquidity needs.

Thornton failed all three suitability obligations under Rule 2111. First, regarding reasonable-basis suitability, while the Apex Strategic Income Fund may be appropriate for some investors, Thornton's documentation suggests he focused solely on yield without adequately understanding or conveying the fund's credit risk profile and volatility characteristics inherent in below-investment-grade securities.

Second, and most critically, the customer-specific suitability obligation was violated. Margaret's documented profile--age 67, conservative risk tolerance, capital preservation objective, and reliance on the investment for essential

monthly expenses--was fundamentally incompatible with a concentrated position in high-yield bonds. FINRA has consistently emphasized that recommendations involving speculative or volatile securities are presumptively unsuitable for elderly customers with conservative profiles who depend on their investments for living expenses. The 60% concentration in a single high-yield fund exposed Margaret to unacceptable principal risk given her stated objectives.

Third, quantitative suitability concerns arise from the excessive concentration. Even if high-yield exposure were marginally appropriate, a 60% allocation to a single fund violated basic diversification principles for a capital preservation investor. Thornton's sparse documentation--'client needs income and this fund delivers'--demonstrates inadequate analysis of whether the recommendation aligned with Margaret's complete investment profile as required under the rule.

Thornton may argue that yield-focused products were necessary to meet Margaret's income needs, but this defense fails. A broker's duty is to recommend suitable investments, not to chase yield at the expense of principal safety for a conservative retiree. Alternative strategies--such as diversified investment-grade bond ladders, balanced funds, or systematic withdrawal plans--could have addressed income needs without the concentrated credit and interest rate risk. The recommendation prioritized income generation over Margaret's explicitly stated capital preservation objective, constituting a clear suitability violation under FINRA Rule 2111 and the ethical standards of FINRA Rule 2010.

Key Factor

Recommending a 60% concentration in high-yield bonds to a 67-year-old retiree with a conservative risk tolerance and capital preservation objective who depended on the investment for essential living expenses was fundamentally unsuitable.

Item 332 of 499**NON-COMPLIANT**

Topic: annuity_best_interest_cfp_vs_naic_standards

Difficulty: hard

Standard: CFP Board Code of Ethics and Standards of Conduct (Fiduciary Duty, Duty of Care, Prudent Professional Standard); NAIC Suitability in Annuity Transactions Model Regulation (MO-275-1) Best Interest Standard; CFP Board guidance on limited product menus and compensation conflicts

Source: 10_Academic_Articles

Fact Pattern

Margaret Chen, age 67, retired from her position as a school librarian in March 2023 with a modest pension of \$2,400 per month and accumulated savings of \$340,000 in various bank CDs and money market accounts. She contacted Pinnacle Financial Strategies, LLC seeking advice on generating additional retirement income while preserving her principal. Her stated objectives were capital preservation, modest income supplementation, and maintaining liquidity for potential healthcare expenses. She explicitly stated she had no tolerance for market losses and wanted to avoid any investments she could not easily access.

Her adviser, Derek Morrison, held both a CFP(R) certification and an insurance license in a state that had adopted the NAIC Model Regulation. After a single 45-minute consultation, Morrison recommended that Chen allocate \$285,000--approximately 84% of her liquid assets--into a 12-year fixed indexed annuity called the Horizon Growth Plus Annuity. The product featured a 7-year surrender period with declining surrender charges starting at 9%, a participation rate of 55% on the S&P 500 index, and a guaranteed minimum return of 0.5% annually. The annuity also contained a nursing home waiver allowing penalty-free withdrawals only after 90 days of confinement.

Morrison's recommendation documentation noted that the annuity would provide 'market-linked growth potential with downside protection,' which he characterized as suitable for Chen's conservative profile. He did not document any analysis of Chen's potential healthcare liquidity needs, did not discuss alternative products such as shorter-term annuities or laddered CD strategies, and did not explain the significant limitations the surrender period would place on her access to funds. Morrison received a 6.5% commission on the sale, totaling \$18,525.

Within eight months, Chen's husband required unexpected cardiac surgery, and she attempted to withdraw \$75,000 from the annuity to cover medical expenses not covered by Medicare. She was informed that a surrender charge of \$5,850 would apply, and the nursing home waiver did not cover her situation. Chen filed complaints with both the state insurance commissioner and CFP Board.

Question

Did Derek Morrison's recommendation of the Horizon Growth Plus Annuity satisfy the applicable best interest standards under both the CFP Board's Code and Standards and the NAIC Model Regulation?

Answer

Derek Morrison's recommendation likely violated both the CFP Board's Code and Standards and the NAIC Model Regulation, though the CFP Board standards impose more stringent requirements.

Under CFP Board's Code and Standards, Morrison owed Chen a fiduciary duty requiring that recommendations be in the client's best interest, applying a prudent professional standard. The Code and Standards' Duty of Care requires that

a CFP(R) professional act with the care, skill, prudence, and diligence that a prudent professional would exercise. Morrison's conduct fails this standard on multiple grounds. First, recommending that a 67-year-old retiree with explicit liquidity concerns and healthcare expense anxiety allocate 84% of her liquid assets into a product with a 7-year surrender period demonstrates a fundamental failure to exercise prudent professional judgment. Second, Morrison's documentation contained no analysis of Chen's healthcare liquidity needs despite her explicit concerns--a critical omission. Third, he failed to consider or present alternative products that would better address her stated objectives of preservation and accessibility, such as shorter-term annuities or CD ladders.

Under the NAIC Model Regulation, producers must have a reasonable basis to believe the recommendation is in the consumer's best interest based on the consumer's suitability information, though this standard explicitly is not a fiduciary duty. The Model Regulation requires consideration of the consumer's financial situation, insurance needs, and financial objectives. Morrison's failure to adequately address Chen's liquidity requirements and his recommendation of an illiquid long-term product to someone with limited assets and healthcare concerns likely fails even this lower standard.

Critically, while the NAIC Model Regulation permits recommendations from a limited product menu and excludes compensation from material conflict analysis, the CFP Board's Code and Standards does not. Morrison's \$18,525 commission constitutes a material conflict of interest under CFP standards that should have been addressed in his analysis and disclosure.

The CFP Board's prudent professional standard--requiring what similarly situated competent CFP(R) professionals would recommend--clearly was not met. No prudent CFP(R) professional would recommend concentrated illiquidity to a client with Chen's profile and stated objectives.

Key Factor

Morrison recommended concentrating 84% of a 67-year-old retiree's liquid assets into a 7-year surrender period annuity despite her explicit liquidity concerns and healthcare expense anxiety, failing the prudent professional standard required under CFP Board's fiduciary duty.

Item 333 of 499**COMPLIANT**

Topic: customer_notification_duty_and_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 58, opened a self-directed brokerage account with Clearview Securities, Inc. in March 2021. Her account documents indicated moderate risk tolerance, a primary objective of growth with income, and retirement savings as her investment time horizon. Ms. Holloway had 15 years of investing experience, primarily in mutual funds and blue-chip equities, and listed her annual income at \$95,000 with liquid net worth of \$340,000.

In September 2021, Ms. Holloway independently purchased 3,000 shares of warrants tied to a recently de-SPACed technology company, Nexus Imaging Holdings, paying approximately \$4.85 per warrant for a total investment of \$14,550. The warrants were publicly traded and Ms. Holloway executed the trade through Clearview's online platform without any recommendation from a registered representative. The warrants had an original expiration date of October 2026, but Nexus Imaging exercised its right under the warrant agreement to redeem the warrants early, setting a redemption deadline of November 15, 2021.

Nexus Imaging filed the required 8-K with the SEC announcing the early redemption on October 18, 2021, and issued a press release the same day. Clearview Securities did not send Ms. Holloway a personalized notification about the early redemption deadline. Ms. Holloway failed to exercise or sell her warrants before the deadline, and they were redeemed at \$0.01 per warrant, resulting in a loss of approximately \$14,520. She filed an arbitration claim against Clearview Securities alleging the firm breached its duty by failing to notify her of the early expiration, claiming damages of \$14,520.

Clearview Securities defended by noting the account was self-directed, no recommendation was made, and the redemption notice was publicly available through SEC filings and issuer communications. The firm's customer agreement specifically stated that customers bear responsibility for monitoring their own positions in a self-directed account.

Question

Did Clearview Securities violate its suitability obligations or duty of care to Ms. Holloway by not providing personalized notification of the warrant's early redemption deadline?

Answer

Clearview Securities did not violate suitability obligations or its duty of care. The claim should be denied in its entirety.

FINRA Rule 2111 (Suitability) requires that a broker-dealer have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. However, this obligation is triggered only when a member firm or associated person makes a recommendation. In this case, Ms. Holloway independently selected and purchased the Nexus Imaging warrants through Clearview's self-directed online platform without any input, suggestion, or recommendation from a registered representative.

Absent a recommendation, no suitability obligation under Rule 2111 arose. The rule's three component obligations--reasonable-basis suitability, customer-specific suitability, and quantitative suitability--all presuppose an affirmative recommendation by the firm or its representatives. Self-directed trades executed at the customer's sole initiative fall outside this framework.

Regarding the alleged failure to notify, broker-dealers generally do not have a regulatory duty under FINRA rules or Exchange Act Section 10(b) to provide customers with personalized alerts about corporate actions affecting securities held in self-directed accounts. The issuer, Nexus Imaging, fulfilled its disclosure obligations by filing an 8-K and issuing a press release. This information was publicly available, and Ms. Holloway, as the holder of the warrants, bore responsibility for monitoring her positions and reviewing issuer communications.

Furthermore, Clearview's customer agreement explicitly disclaimed responsibility for monitoring positions in self-directed accounts and placed that burden on the customer. Such contractual provisions are enforceable and reflect the fundamental distinction between advised and self-directed relationships.

FINRA Rule 2010 (Standards of Commercial Honor) requires firms to observe high standards of commercial honor and just and equitable principles of trade. However, failing to provide courtesy notifications about publicly available information does not rise to the level of a Rule 2010 violation when no advisory relationship exists and contractual terms are clear.

The pivotal facts--self-directed account, no recommendation, publicly available redemption information, and clear customer agreement terms--support denial of the claim.

Key Factor

No suitability obligation arose because the customer independently executed the warrant purchase in a self-directed account without any recommendation from the firm.

Item 334 of 499**COMPLIANT**

Topic: suitability_speculative_trading_customer_profile

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2111.05 (Customer Investment Profile Components)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 58, opened a brokerage account with Piedmont Securities LLC in March 2018. On her Account Application, she documented annual income of \$175,000, estimated liquid net worth of \$425,000, and total net worth of \$850,000 including her primary residence. Ms. Holloway selected 'growth' and 'speculation' as her investment objectives and indicated a 'medium to high' risk tolerance. She had 22 years of investment experience, including prior trading in individual equities and options. Her stated investment time horizon was 10-15 years until retirement.

Her assigned representative, David Moreno (CRD# 4587221), reviewed the account documentation with Ms. Holloway during their initial meeting and confirmed her objectives through a recorded telephone conversation. Ms. Holloway expressly stated she wanted to pursue aggressive growth strategies and was comfortable with volatility given her existing pension and retirement savings in separate accounts totaling approximately \$1.2 million.

Over the following 18 months, Moreno recommended a portfolio consisting of 60% individual growth equities in technology and healthcare sectors, 25% in leveraged ETFs providing 2x exposure to the S&P 500, and 15% in speculative small-cap positions. The account experienced significant volatility, with quarterly fluctuations ranging from +18% to -22%. Ms. Holloway signed quarterly account statements acknowledging the portfolio composition and performance. She also approved each transaction through the firm's electronic confirmation system.

In early 2020, during the market downturn, Ms. Holloway's account declined approximately 35% before recovering substantially by year-end. She subsequently filed a complaint alleging the investments were unsuitable and that Moreno misrepresented the risk characteristics of the leveraged ETFs. Piedmont Securities conducted an internal review examining the account documentation, recorded calls, and trading records.

Question

Did David Moreno's investment recommendations for Margaret Holloway satisfy FINRA's suitability requirements under Rule 2111, given her documented risk tolerance, investment objectives, and financial profile?

Answer

Based on the facts presented, David Moreno's recommendations appear to have satisfied FINRA Rule 2111's suitability requirements. Rule 2111 imposes three distinct suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding customer-specific suitability under Rule 2111(a), a broker must have a reasonable basis to believe recommendations are suitable based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Here, Ms. Holloway's documented profile strongly supports the recommendations made. She explicitly selected 'growth' and 'speculation' as investment objectives and indicated 'medium to high' risk tolerance. Her substantial net worth

(\$850,000), significant liquid assets (\$425,000), robust income (\$175,000 annually), and 22 years of investment experience demonstrate both the financial capacity to absorb losses and the sophistication to understand speculative strategies.

Critically, Ms. Holloway maintained separate retirement assets totaling \$1.2 million plus a pension, meaning the Piedmont account represented discretionary investment capital rather than her core retirement security. Her 10-15 year time horizon provided adequate opportunity for recovery from market volatility. The portfolio allocation--60% growth equities, 25% leveraged ETFs, and 15% speculative small-caps--while aggressive, aligned with her stated speculative objectives.

Regarding reasonable-basis suitability, Moreno's recommendations involved publicly traded securities appropriate for speculative investors. The leveraged ETFs, while complex, are suitable instruments for sophisticated investors seeking amplified returns who understand the compounding risks.

The firm's documented procedures strengthen the compliance position: recorded telephone confirmation of objectives, electronic transaction approvals, and quarterly statement acknowledgments demonstrate ongoing customer awareness and consent. While Ms. Holloway experienced significant drawdowns, market losses alone do not establish unsuitability when recommendations align with a customer's documented profile and objectives. FINRA Rule 2111.05 specifically provides that a customer's stated investment objectives and risk tolerance are primary considerations in the suitability analysis.

Key Factor

The customer's documented selection of 'speculation' as an investment objective, combined with substantial separate retirement assets and 22 years of investment experience, established a customer profile consistent with the aggressive portfolio recommendations.

Item 335 of 499**NON-COMPLIANT**

Topic: unsuitable_leveraged_etf_recommendation_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Exchange Act Section 10(b) and Rule 10b-5 (antifraud)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Dawson, age 74, was a retired schoolteacher who opened an account with Pinnacle Securities Group in March 2019. Her account application documented a conservative risk tolerance, income-focused investment objective, annual income of \$42,000 from Social Security and a modest pension, liquid net worth of \$285,000, and limited investment experience consisting primarily of certificates of deposit and a 403(b) retirement account. Her stated time horizon was 5-7 years, and she specifically noted on her new account form that she could not afford to lose principal as her savings represented her entire retirement nest egg.

Her registered representative, Thomas Keller, recommended that Mrs. Dawson allocate \$95,000 of her portfolio to a 3x leveraged inverse S&P 500 ETF, representing approximately 33% of her liquid assets. Keller explained that the product would provide 'downside protection' against market volatility and described it as a 'hedge' for her remaining equity positions. He did not explain the daily reset mechanism, compounding effects, or the substantial risks of holding leveraged inverse ETFs beyond a single trading session. No written materials regarding the product's complex structure were provided, and Keller's notes indicated only that he discussed 'market protection strategies' with the client.

Between March 2019 and February 2020, Mrs. Dawson held the leveraged inverse ETF continuously. During this period of general market appreciation, the position lost approximately \$67,000, or roughly 70% of the initial investment. When Mrs. Dawson contacted Keller expressing alarm at monthly statements showing ongoing losses, he advised her to 'stay the course' and that the position would recover when markets eventually declined. The firm's compliance department had issued guidance to registered representatives that leveraged and inverse ETFs were generally unsuitable for retail investors with conservative objectives and should not be held for periods exceeding 30 days.

Question

Did Thomas Keller's recommendation of a 3x leveraged inverse ETF to Margaret Dawson satisfy his suitability obligations under applicable FINRA rules?

Answer

The recommendation clearly violated FINRA Rule 2111 suitability requirements and would result in liability for Pinnacle Securities Group and Thomas Keller. The FINRA arbitration panel would likely find in favor of the claimant and award compensatory damages.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on reasonable diligence concerning the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Keller failed customer-specific suitability under Rule 2111(a). Mrs. Dawson's documented profile--age 74, conservative

risk tolerance, income objective, limited investment experience, and explicit statement that she could not afford principal loss--was fundamentally incompatible with a complex, highly speculative 3x leveraged inverse product. Leveraged inverse ETFs are designed for sophisticated, short-term tactical traders, not conservative retirees seeking income preservation.

Keller also failed reasonable-basis suitability. His characterization of the product as 'downside protection' and a 'hedge' demonstrates either a fundamental misunderstanding of the product's mechanics or deliberate misrepresentation. Leveraged inverse ETFs experience significant value decay when held beyond their daily reset period due to compounding effects, making them categorically unsuitable for buy-and-hold strategies. Keller's failure to explain the daily reset mechanism and advising the client to 'stay the course' during a holding period of nearly eleven months constitutes a breach of his care obligation.

The concentration of 33% of liquid assets in a single speculative instrument further compounds the unsuitability. Pinnacle's own compliance guidance--which Keller disregarded--recognized these products as generally unsuitable for conservative retail investors and unsuitable for holding periods exceeding 30 days.

This conduct also violates FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade. The panel would likely award compensatory damages of approximately \$67,000 representing the realized losses, plus potentially pre-judgment interest.

Key Factor

Recommending a complex 3x leveraged inverse ETF designed for short-term trading to a 74-year-old conservative investor with limited experience, then advising an extended holding period of nearly one year in direct contradiction to the product's intended use and the firm's own compliance guidance.

Item 336 of 499

COMPLIANT

Topic: suitability_state_tax_investment_recommendations

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, was a retired schoolteacher in Kansas City, Missouri with approximately \$485,000 in retirement savings, consisting primarily of her 403(b) account and a small brokerage account. Her stated investment objectives were income generation and capital preservation, with a moderate risk tolerance. She lived on a fixed income of \$2,800 per month from her teacher's pension and Social Security benefits.

In March 2017, registered representative Thomas Brennan of Heartland Wealth Advisors, LLC recommended that Mrs. Holloway consolidate her accounts and invest approximately \$320,000 in a diversified portfolio of municipal bond funds, with 60% allocated to Missouri-specific municipal bonds for state tax advantages, and the remaining 40% in a balanced fund consisting of investment-grade corporate bonds and dividend-paying equities. Brennan thoroughly documented his analysis of Mrs. Holloway's financial situation, including her tax bracket, income needs, and time horizon.

During their meetings, Brennan explained that Missouri municipal bonds would provide tax-exempt income at both federal and state levels, which was particularly advantageous given her income sources. Mrs. Holloway expressed frustration about Missouri's state tax laws generally, stating she 'hated paying any taxes to Missouri.' Brennan documented these conversations and explained that while she might prefer no state taxes, the municipal bond strategy actually minimized her tax burden within the legal framework.

Approximately eight months later, Mrs. Holloway filed a complaint with FINRA alleging that Brennan had placed her in unsuitable investments and failed to address her concerns about state taxation. She claimed she wanted investments completely outside Missouri's tax jurisdiction. Heartland Wealth Advisors conducted an internal review and found that Brennan's recommendations were thoroughly documented, aligned with her stated objectives, and appropriate for her risk profile and income needs.

Question

Did Thomas Brennan's recommendation to invest Mrs. Holloway's retirement savings primarily in Missouri municipal bonds and a balanced fund satisfy his suitability obligations under FINRA rules?

Answer

Brennan's recommendations satisfied his suitability obligations under FINRA Rule 2111. The analysis supports a finding of compliance across all three suitability components.

Under FINRA Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile. This rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111.05(a), municipal bond funds and balanced funds consisting of

investment-grade bonds and dividend-paying equities are well-established, mainstream investment vehicles appropriate for income-oriented retirees. Brennan demonstrated adequate understanding of these products' characteristics and risks.

For customer-specific suitability under Rule 2111.05(b), Brennan's recommendations aligned precisely with Mrs. Holloway's documented investment profile. At age 67, retired, with moderate risk tolerance and income generation objectives, a portfolio emphasizing tax-advantaged municipal bonds was textbook-appropriate. The Missouri-specific municipal bonds provided dual tax exemption, directly serving her income needs by maximizing after-tax yield. The 40% allocation to a balanced fund provided diversification appropriate for capital preservation while generating additional income.

Critically, Mrs. Holloway's subjective dissatisfaction with Missouri tax laws does not create a suitability violation. FINRA Rule 2111 requires recommendations suitable for the customer's financial circumstances and stated investment objectives--not recommendations that satisfy a customer's general political or philosophical preferences about taxation. Brennan documented that he explained the tax advantages and that the strategy actually minimized her tax burden.

The claim appears to conflate Mrs. Holloway's general displeasure with state tax policy with an allegation of unsuitable advice. The documented evidence demonstrates Brennan conducted appropriate due diligence, made recommendations consistent with her profile, and provided clear explanations. Under FINRA Rule 2010's just and equitable principles, a representative who properly documents suitable recommendations and explains their rationale has fulfilled his obligations, even when a customer later expresses regret or misunderstands the advice given.

Key Factor

The recommendations were thoroughly documented, aligned with the customer's stated investment objectives and risk profile, and the customer's general dissatisfaction with state tax policy does not constitute evidence of unsuitability.

Item 337 of 499**NON-COMPLIANT**

Topic: concentration_suitability_mlp_investment

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret and Donald Thornton, ages 67 and 71 respectively, were longtime customers of Midwest Securities Partners, LLC, maintaining a joint brokerage account and Donald's traditional IRA with the firm since 2008. Their combined portfolio totaled approximately \$520,000, representing substantially all of their retirement savings. Both Thorntons had completed customer account forms in January 2015 indicating conservative investment objectives, low risk tolerance, and a primary goal of capital preservation with income generation to supplement their Social Security and modest pension benefits. Margaret worked as a retired school librarian while Donald was a former municipal employee.

In March 2015, their registered representative, Kevin Marsden, began recommending that the Thorntons liquidate their diversified portfolio of blue-chip dividend stocks, investment-grade bonds, and balanced mutual funds. Over a six-week period from March through April 2015, Marsden executed trades that sold approximately \$485,000 of these holdings. He then recommended reinvesting virtually all proceeds into Crestview Energy Partners, L.P., a master limited partnership focused on oil and gas production and development. By May 1, 2015, the Thorntons' joint account held \$340,000 in Crestview units, while Donald's IRA contained \$145,000 in the same security, representing approximately 93% of their total portfolio.

Marsden told the Thorntons that Crestview's 9.2% distribution yield would significantly increase their retirement income and that MLPs were 'safe income investments backed by hard assets.' He did not adequately explain the commodity price risks, the partnership's substantial debt levels, or that distributions could be cut if oil prices declined. When the Thorntons expressed concern about 'putting all their eggs in one basket,' Marsden assured them that energy infrastructure was 'recession-proof' and that diversification was 'overrated for income investors.'

In early 2016, as oil prices collapsed, Crestview announced it was suspending distributions and subsequently filed for bankruptcy protection in May 2016. The Thorntons' combined position became nearly worthless, resulting in losses exceeding \$470,000. They filed a FINRA arbitration claim against Midwest Securities Partners alleging unsuitability, breach of fiduciary duty, negligent supervision, and violation of state securities laws.

Question

Did the registered representative's recommendation to concentrate virtually all of the Thorntons' retirement assets in a single master limited partnership violate FINRA suitability obligations given their documented conservative investment profile?

Answer

The recommendation clearly violated FINRA Rule 2111 (Suitability) across all three component obligations. Under the customer-specific suitability requirement of Rule 2111(a), a member must have a reasonable basis to believe that a recommended transaction is suitable for the particular customer based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Here, the Thorntons were elderly retirees (67 and 71)

with documented conservative objectives, low risk tolerance, and capital preservation goals. Concentrating 93% of their retirement assets in a single speculative energy MLP was fundamentally incompatible with this profile.

The quantitative suitability component is also implicated. Even if individual purchases might be suitable, Rule 2111.05(c) requires that the series of recommended transactions, taken together, must not be excessive or unsuitable. Systematically liquidating a diversified portfolio to achieve near-total concentration in one volatile sector violates this standard regardless of the individual transaction merits.

Moreover, under FINRA Rule 2010 (Standards of Commercial Honor), Marsden's dismissive characterization of diversification as 'overrated' and his description of a leveraged commodity-sensitive MLP as a 'safe income investment' constituted materially misleading statements that induced unsuitable investment decisions.

The respondent firm also bears liability for negligent supervision under FINRA Rule 3110. A reasonably designed supervisory system should have flagged the rapid liquidation of a conservative retiree portfolio and subsequent concentration exceeding 90% in a single speculative security. The failure to detect and prevent this dramatic deviation from stated investment objectives evidences supervisory deficiency.

Potential defenses--such as customer consent or signed transaction confirmations--do not absolve suitability violations. FINRA has consistently held that customers cannot waive suitability protections and that a broker's superior knowledge creates obligations that persist despite customer acquiescence. The panel would likely find liability for compensatory damages representing the Thorntons' losses, and the egregious nature of the conduct--targeting elderly, unsophisticated retirees with misrepresentations--supports punitive damages under applicable state law standards.

Key Factor

The recommendation to concentrate 93% of elderly conservative retirees' assets in a single speculative energy MLP directly contradicted their documented low risk tolerance and capital preservation objectives.

Item 338 of 499**NON-COMPLIANT**

Topic: suitability_complex_product_retail_investor

Difficulty: medium

Standard: Regulation BI Rule 15l-1(a)(2)(ii) Care Obligation; Securities Exchange Act Section 15(l)

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Pinnacle Wealth Advisors LLC is a dual registrant offering both brokerage and investment advisory services to retail clients. In March 2023, registered representative David Thornton met with new client Martha Jennings, a 68-year-old retired school teacher living in suburban Ohio. Mrs. Jennings had recently received a \$285,000 inheritance following her husband's death and sought guidance on investing these funds to supplement her pension income of \$3,200 per month and Social Security benefits of \$1,850 per month. During the initial meeting, Mrs. Jennings completed a client profile questionnaire indicating she had 'limited' investment knowledge, a 'conservative' risk tolerance, a primary objective of 'income with capital preservation,' and a time horizon of '5-10 years.' She explicitly stated she could not afford to lose principal as these funds represented her entire liquid savings.

Mr. Thornton recommended that Mrs. Jennings allocate \$175,000 (approximately 61% of her investable assets) into a leveraged closed-end fund specializing in emerging market debt securities, explaining that the fund's 9.2% distribution yield would provide the income she needed. The fund employed leverage ratios of approximately 35% and invested primarily in sovereign and corporate bonds from Brazil, Turkey, Indonesia, and South Africa. The fund's prospectus disclosed significant risks including currency volatility, political instability, interest rate sensitivity amplified by leverage, and potential return of capital distributions that could erode principal. Mr. Thornton's notes from the meeting indicate he spent approximately four minutes discussing the fund and characterized it as 'similar to a bond fund but with higher income.'

The remaining \$110,000 was placed in a money market fund. By December 2023, the leveraged emerging market fund had declined 23% in value due to rising interest rates and currency depreciation, reducing Mrs. Jennings' position to approximately \$134,750. She filed a complaint with Pinnacle's compliance department in January 2024, stating she never understood the risks involved and believed she was purchasing a conservative income investment.

Question

Did Mr. Thornton's recommendation of the leveraged emerging market debt fund satisfy his obligation to act in Mrs. Jennings' best interest under Regulation BI's Care Obligation?

Answer

Mr. Thornton's recommendation violated Regulation BI's Care Obligation under Rule 15l-1(a)(2)(ii). The Care Obligation requires broker-dealers and their associated persons to exercise reasonable diligence, care, and skill when making recommendations, specifically requiring them to: (1) understand the potential risks, rewards, and costs of the recommendation; (2) have a reasonable basis to believe the recommendation is in the retail customer's best interest based on their investment profile; and (3) have a reasonable basis to believe that a series of recommended transactions is not excessive.

The recommendation fails on multiple grounds. First, regarding the customer's investment profile, Mrs. Jennings clearly documented conservative risk tolerance, limited investment knowledge, an income-with-capital-preservation objective,

and an explicit statement that she could not afford principal loss. A leveraged closed-end fund investing in emerging market debt is fundamentally incompatible with this profile. Leverage amplifies both gains and losses, and emerging market securities carry heightened volatility, currency risk, and political risk--characteristics antithetical to capital preservation.

Second, the concentration of 61% of Mrs. Jennings' liquid assets in a single high-risk product demonstrates a failure to consider reasonably available alternatives. Conservative income investors typically benefit from diversified portfolios of investment-grade bonds, Treasury securities, or dividend-paying equities with lower volatility profiles. Mr. Thornton's cursory four-minute explanation, characterizing the fund as 'similar to a bond fund,' materially understated the product's risk characteristics and suggests inadequate analysis of whether the recommendation served Mrs. Jennings' best interest.

Third, the SEC's Reg BI adopting release emphasizes that the Care Obligation requires consideration of the retail customer's financial situation and needs. A 68-year-old retiree with fixed income and no ability to recover from significant losses represents the archetype of an investor for whom leveraged emerging market exposure is unsuitable. The 23% loss directly impaired her retirement security. Mr. Thornton cannot satisfy his Care Obligation by pointing to the fund's high yield alone; he was required to evaluate whether the risks associated with that yield were appropriate for this specific customer. The recommendation was not in Mrs. Jennings' best interest.

Key Factor

The adviser recommended a leveraged emerging market debt fund to a conservative, risk-averse 68-year-old retiree who explicitly stated she could not afford to lose principal, demonstrating a fundamental mismatch between the product's risk profile and the customer's documented investment objectives and financial situation.

Item 339 of 499**NON-COMPLIANT**

Topic: 401k_default_investment_suitability_erisa_prudence

Difficulty: hard

Standard: ERISA Section 404(a)(1)(B) duty of prudence; ERISA Section 404(a)(1)(A) duty of loyalty; DOL QDIA regulations; ERISA Section 3(38) investment manager fiduciary status

Source: 09_Law_Firm_Memos

Fact Pattern

Meridian Wealth Advisors, LLC serves as the investment adviser and 3(38) fiduciary to the Greenfield Manufacturing Company 401(k) Plan, a newly established plan effective January 15, 2025, with 847 participants and \$12.4 million in assets. The plan was designed to comply with the SECURE 2.0 automatic enrollment mandate, defaulting participants at a 4% contribution rate with 1% annual escalation. Marcus Thornton, the lead adviser at Meridian responsible for the Greenfield account, was tasked with selecting the qualified default investment alternative (QDIA) for automatically enrolled participants.

The Greenfield workforce demographics showed that 68% of participants were production workers aged 25-40 with moderate risk tolerance and long investment horizons of 25-40 years until retirement. Another 22% were administrative staff aged 35-50, and only 10% were management personnel over age 50. Despite this predominantly young workforce composition, Thornton selected the Apex Stable Value Fund as the QDIA, which had a guaranteed return of 2.1% annually and an expense ratio of 0.85%. Thornton's rationale, documented in a brief email to the plan sponsor dated December 3, 2024, stated only that 'capital preservation is always prudent in uncertain markets.'

Internal records obtained during a subsequent Department of Labor investigation revealed that Meridian had a revenue-sharing arrangement with Apex Asset Management that provided Meridian with 25 basis points on all stable value fund assets. The investigation also uncovered that Thornton never conducted an analysis of participant demographics, never evaluated target-date funds or balanced funds as potential QDIAs, and failed to document any comparison of the stable value fund's expected returns against inflation or the participants' retirement income needs. Patricia Chen, age 29, a production line supervisor earning \$58,000 annually with a 35-year investment horizon, was automatically enrolled and had \$4,200 in contributions directed to the Apex Stable Value Fund over 14 months before discovering the allocation during a plan education session.

Question

Did Meridian Wealth Advisors breach its ERISA fiduciary duty of prudence by selecting the Apex Stable Value Fund as the QDIA for the Greenfield Manufacturing Company 401(k) Plan?

Answer

Yes, Meridian Wealth Advisors breached its ERISA fiduciary duty of prudence under ERISA Section 404(a)(1)(B), which requires fiduciaries to act 'with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use.' As a 3(38) investment manager, Meridian assumed direct fiduciary responsibility for investment selection, including the QDIA.

The Department of Labor's QDIA regulations establish that while stable value funds can qualify as QDIAs, the fiduciary selection process must be prudent and consider participant demographics and retirement objectives. The evidence demonstrates multiple prudence failures. First, Thornton failed to conduct any meaningful analysis of the participant

population, 68% of whom were young workers with 25-40 year investment horizons. A stable value fund yielding 2.1% would likely fail to outpace inflation over such periods, severely impairing these participants' retirement readiness.

Second, the documented rationale--a single sentence about 'uncertain markets'--fails to satisfy the procedural prudence requirement established in ERISA case law requiring fiduciaries to engage in a deliberative process. Thornton never evaluated target-date funds, the most common QDIA choice specifically designed to provide age-appropriate asset allocation, nor balanced funds, both of which would have been appropriate alternatives for the workforce demographics.

Third, the undisclosed revenue-sharing arrangement creating 25 basis points in compensation to Meridian raises serious questions about whether the selection was tainted by self-interest rather than participant welfare. While revenue sharing is not per se prohibited, selecting an investment that benefits the fiduciary while being demonstrably inappropriate for participant demographics evidences a breach of the duty of loyalty under ERISA Section 404(a)(1)(A) in addition to the prudence violation.

Participants like Patricia Chen, with 35-year horizons, face significant retirement shortfalls from having contributions directed to a capital preservation vehicle rather than growth-oriented investments. Meridian's conduct fails the prudent expert standard applicable to professional fiduciaries and constitutes a clear ERISA violation.

Key Factor

The adviser selected a low-return stable value fund as the QDIA for a predominantly young workforce without any documented analysis of participant demographics, investment alternatives, or retirement income needs, while receiving undisclosed revenue sharing from the fund provider.

Item 340 of 499

NON-COMPLIANT

Topic: churning_excessive_trading_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); Securities Exchange Act Section 10(b); Rule 10b-5

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Gerald Whitmore, a 68-year-old retired postal worker from suburban Philadelphia, opened a brokerage account with Meridian Securities Group, Inc. in January 2019. Whitmore had accumulated \$340,000 in retirement savings, which represented substantially all of his liquid net worth. On his new account form, Whitmore indicated his investment objectives were 'income and preservation of capital,' his risk tolerance was 'conservative,' and his investment time horizon was '5-10 years.' Whitmore had no prior investment experience beyond certificates of deposit and his pension.

Whitmore's account was assigned to registered representative Derek Fontaine, who had been with Meridian for three years. Over the next eighteen months, from January 2019 through June 2020, Fontaine executed 287 transactions in Whitmore's account, predominantly in small-cap technology stocks, penny stocks, and thinly-traded OTC securities. The account experienced an annualized turnover rate of 14.2 and a cost-to-equity ratio of 31.4%. Total commissions and markups generated during this period exceeded \$106,800, while Whitmore's account value declined from \$340,000 to approximately \$167,000--a loss of over 50%.

Fontaine maintained discretionary control over the account despite never obtaining written authorization, as Whitmore trusted Fontaine's recommendations and routinely approved trades when called. Whitmore testified that Fontaine assured him the frequent trading was necessary to 'capture quick gains in volatile markets' and that this strategy was 'standard practice for building wealth.' Meridian's branch manager, Patricia Holloway, received exception reports flagging the account's unusual activity on multiple occasions but took no documented supervisory action beyond a single phone call to Fontaine in March 2020.

Internal compliance records showed that Whitmore's account generated the highest commission revenue of any account in Fontaine's book of business, comprising nearly 40% of Fontaine's total production. Whitmore filed an arbitration claim in September 2020, alleging churning, breach of fiduciary duty, and failure to supervise.

Question

Did Fontaine's trading activity in Whitmore's account constitute churning in violation of suitability obligations, and what factors determine liability for Fontaine and Meridian?

Answer

The trading activity in Whitmore's account constitutes churning in violation of FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), and Section 10(b) of the Securities Exchange Act. Churning requires proof of three elements: (1) control over the account by the broker, (2) excessive trading in light of the customer's objectives, and (3) scienter or intent to defraud.

Regarding control, Fontaine exercised de facto control over Whitmore's account. While no written discretionary authorization existed, control may be established where a customer routinely follows the broker's recommendations

without independent evaluation. Whitmore's lack of investment sophistication, his complete reliance on Fontaine's guidance, and his pattern of approving recommended trades demonstrates functional control sufficient to satisfy this element.

The excessive trading element is overwhelmingly established by quantitative metrics. An annualized turnover ratio of 14.2 far exceeds the threshold of 6.0 that courts and arbitration panels have consistently recognized as presumptively excessive. Similarly, the cost-to-equity ratio of 31.4% means Whitmore's account needed to generate returns exceeding 31% annually merely to break even--an impossibility for a conservative, income-oriented portfolio. These metrics, combined with the concentration in speculative securities wholly inconsistent with Whitmore's stated objectives of income and capital preservation, establish a quantitative suitability violation under FINRA Rule 2111(a).

Scienter is demonstrated through the commission structure: Fontaine derived 40% of his total production from Whitmore's account, creating overwhelming incentive to trade excessively regardless of customer benefit. The speculative nature of securities selected for a conservative retiree further evidences intent to generate commissions rather than serve client interests.

Meridian faces supervisory liability under FINRA Rule 3110. Branch manager Holloway received multiple exception reports yet failed to conduct meaningful review or implement corrective action. A single undocumented phone call is insufficient supervisory response to persistent red flags. Meridian's failure to enforce its own compliance procedures renders it jointly liable.

Fontaine's defense that Whitmore approved each trade fails; customer ratification does not excuse a broker's breach of duty where the customer lacks sophistication to evaluate trading strategy. The panel should find for Claimant with damages measured by the excess commissions plus trading losses attributable to unsuitable activity.

Key Factor

The annualized turnover ratio of 14.2 and cost-to-equity ratio of 31.4% in an account designated for conservative income and preservation objectives establish presumptive churning, compounded by the broker's de facto control and commission-driven motive.

Item 341 of 499

NON-COMPLIANT

Topic: broker_suitability_high_fee_fund_recommendation

Difficulty: medium

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 Suitability

Source: 10_Academic_Articles

Fact Pattern

Margaret Holloway, age 58, met with her registered representative, David Chen, at Piedmont Financial Services, LLC, in March 2023 to discuss repositioning her \$340,000 IRA for retirement in approximately seven years. Mrs. Holloway had moderate risk tolerance, needed income generation beginning at age 65, and had limited investment knowledge--she had previously held only certificates of deposit and a small position in her former employer's stock. Her annual household income was \$78,000, and she had no other significant liquid assets beyond her IRA.

David Chen recommended that Mrs. Holloway invest her entire IRA into the Apex Growth & Income Fund Class A shares, which carried a 5.25% front-end sales load and an expense ratio of 1.45%. The fund was an actively managed balanced fund with a three-star Morningstar rating and had underperformed its benchmark by an average of 1.2% annually over the preceding five years. Chen received a commission of approximately \$17,850 from the transaction.

Piedmont Financial Services' product shelf included several lower-cost alternatives with similar investment objectives. Specifically, the firm offered access to Vanguard Wellington Fund Admiral Shares, a balanced fund with a 0.17% expense ratio and no sales load, which had consistently outperformed the Apex fund over three, five, and ten-year periods. Chen's branch manager had recently circulated an internal memo emphasizing the higher commissions available on proprietary and preferred partner funds like Apex.

Mrs. Holloway's account records indicate that Chen documented her investment objective as 'growth and income' and her risk tolerance as 'moderate.' However, the suitability analysis worksheet contained no comparative analysis of alternative funds, no documentation of why the higher-cost Apex fund was preferable to lower-cost alternatives, and no explanation of how the 5.25% immediate reduction in principal would affect Mrs. Holloway's retirement timeline. When Mrs. Holloway later discovered the availability of lower-cost alternatives, she filed a complaint.

Question

Did David Chen's recommendation of the high-fee Apex Growth & Income Fund satisfy his suitability and best interest obligations under Regulation Best Interest?

Answer

David Chen's recommendation likely violated Regulation Best Interest's Care Obligation. Under Reg BI Rule 15l-1(a)(2)(ii), a broker-dealer must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile and ensuring the recommendation is in the customer's best interest without placing the broker's financial interest ahead of the customer's.

The Care Obligation has three components, all of which appear compromised here. First, Chen failed to demonstrate reasonable diligence in understanding the available alternatives. Despite having lower-cost funds with superior performance records on the firm's product shelf--specifically the Vanguard Wellington Fund with an expense ratio of 0.17% versus 1.45%--Chen recommended the higher-cost Apex fund without any documented comparative analysis.

The SEC has emphasized that cost is a critical factor when recommending securities with similar investment objectives.

Second, the recommendation does not appear to be in Mrs. Holloway's best interest given her specific circumstances. She was 58 years old with a seven-year retirement horizon, moderate risk tolerance, limited investment sophistication, and no other significant liquid assets. The 5.25% front-end load immediately reduced her \$340,000 IRA by approximately \$17,850--money that would have compounded over her remaining investment horizon. For a client with her profile, the drag of higher fees on a modest retirement portfolio is particularly consequential.

Third, Chen's financial interest appears to have been prioritized. The internal memo emphasizing higher commissions on preferred partner funds, combined with the absence of any documented rationale for choosing the inferior-performing, higher-cost option, suggests that compensation drove the recommendation rather than client interest.

Chen cannot defend the recommendation by arguing Mrs. Holloway wanted a balanced fund--the Care Obligation requires consideration of reasonably available alternatives to the recommended security. The complete absence of comparative cost and performance analysis in the suitability documentation further undermines any defense. This recommendation violated Reg BI's Care Obligation.

Key Factor

Chen recommended a high-fee, underperforming fund over demonstrably superior lower-cost alternatives available on the same platform, without documenting any client-specific rationale for the higher-cost choice, while receiving substantially higher compensation.

Item 342 of 499**NON-COMPLIANT**

Topic: suitability_inverse_etf_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 210 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, a 67-year-old retired school administrator, opened an account with Stratton Ridge Financial Services in March 2021. Her intake documentation indicated she was a conservative investor with an investment objective of capital preservation and income generation, had a net worth of \$485,000 (excluding her primary residence), liquid assets of \$290,000, and limited investment experience consisting primarily of certificates of deposit and municipal bonds. Her stated risk tolerance was 'low' and her time horizon was 5-7 years, as she intended to use the funds to supplement her pension and Social Security income during retirement.

Her registered representative, Derek Fontaine, recommended that Mrs. Holloway allocate \$145,000--approximately 50% of her liquid assets--to a portfolio of leveraged and inverse exchange-traded products. Specifically, Fontaine recommended \$65,000 in ProShares UltraShort S&P 500 (a -2x leveraged inverse ETF), \$45,000 in Direxion Daily Financial Bear 3X Shares (a -3x leveraged inverse ETF), and \$35,000 in VelocityShares Daily Inverse VIX Short-Term ETN. Fontaine told Mrs. Holloway these products would 'protect her portfolio during market downturns' and were 'ideal hedges for conservative retirees.' He did not explain the daily reset mechanism, volatility decay, or the holding period limitations that typically make these products unsuitable for buy-and-hold investors.

Mrs. Holloway held these positions for approximately nine months, from April 2021 through January 2022. During this period, despite relatively modest market movements, her leveraged and inverse positions lost approximately \$67,000--a 46% decline--due to volatility decay and the compounding effects inherent in these products. Meanwhile, the underlying indices these products were designed to inversely track did not move proportionally in the opposite direction. When Mrs. Holloway complained to the firm's branch manager in February 2022, an internal review revealed that Fontaine had made similar recommendations to eleven other retired clients with conservative profiles, resulting in aggregate losses exceeding \$340,000.

Question

Did Derek Fontaine's recommendation of leveraged inverse ETFs to Margaret Holloway violate FINRA's suitability requirements under Rule 2111?

Answer

Yes, Derek Fontaine's recommendations clearly violated FINRA Rule 2111's suitability requirements across all three component obligations: reasonable-basis, customer-specific, and quantitative suitability.

Under Rule 2111(a), a broker must have a reasonable basis to believe that a recommendation is suitable for at least some investors (reasonable-basis suitability), suitable for the particular customer based on that customer's investment profile (customer-specific suitability), and that any series of transactions is not excessive (quantitative suitability). The rule specifically requires consideration of the customer's age, investment experience, time horizon, liquidity needs, risk tolerance, and investment objectives.

Regarding reasonable-basis suitability, Fontaine apparently failed to understand the products he recommended. Leveraged and inverse ETFs are designed for sophisticated short-term traders and reset daily, making them fundamentally inappropriate for buy-and-hold strategies. FINRA has repeatedly emphasized that these products are typically unsuitable for retail investors who plan to hold them for more than one trading session, particularly in volatile markets. Fontaine's characterization of these products as 'ideal hedges for conservative retirees' demonstrates either a fundamental misunderstanding of the products or a willful misrepresentation.

The customer-specific suitability violation is equally evident. Mrs. Holloway's profile--a 67-year-old retiree with low risk tolerance, limited investment experience, capital preservation objectives, and dependence on these funds for retirement income--is the antithesis of an appropriate customer for -2x and -3x leveraged inverse products. Allocating 50% of her liquid assets to these speculative instruments directly contradicted her stated objectives and risk tolerance documented in her account opening paperwork.

Fontaine also violated Rule 2010's standards of commercial honor by failing to explain material product characteristics, including daily reset mechanisms and volatility decay, which are essential for any customer to understand before investing in leveraged products.

The pattern of similar unsuitable recommendations to eleven other conservative retirees suggests a systematic disregard for suitability obligations rather than an isolated error, potentially warranting heightened supervisory scrutiny under FINRA Rule 3110.

Key Factor

The recommendation of complex leveraged inverse ETFs--products designed for sophisticated short-term traders--to a conservative 67-year-old retiree with limited investment experience and capital preservation objectives fundamentally violated customer-specific suitability requirements.

Item 343 of 499

NON-COMPLIANT

Topic: complex_product_suitability_elderly_customer

Difficulty: medium

Standard: Exchange Act Rule 15l-1(a)(1) (Reg BI General Obligation); Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation); FINRA Rule 2010

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Margaret Chen, age 92, became a customer of Pinnacle Securities LLC in August 2022 after selling her longtime residence and receiving net proceeds of \$125,000. Her son, David Chen, held durable power of attorney and communicated with registered representative Samuel Hartwell regarding his mother's investment needs. During the account opening process, David completed the new account form indicating that Margaret's investment objective was 'capital preservation with modest income,' her risk tolerance was 'low,' her investment time horizon was 'short-term (less than 3 years),' and she had no prior experience with fixed income securities beyond bank CDs. David explicitly informed Hartwell that his mother required access to the principal within 12-18 months to fund her transition to an assisted living facility, and that protecting the principal was paramount because these funds represented her entire liquid net worth.

Between August 15 and August 22, 2022, Hartwell recommended that Margaret invest approximately \$118,000 in Collateralized Mortgage Obligation (CMO) support tranches issued through a Real Estate Mortgage Investment Conduit structure. Hartwell explained to David that these were 'government-backed securities' that would provide better yields than CDs. Hartwell earned \$875 in commissions on these transactions. He did not explain that CMO support tranches experience significant principal risk due to prepayment and extension risk, that these securities have unpredictable cash flows making the timing of principal return highly uncertain, or that the support class absorbs prepayment volatility to protect other tranches in the structure.

By February 2023, rising interest rates had caused extension risk to materialize, and the bonds' market value had declined by approximately 18%. When David attempted to liquidate the position to fund his mother's assisted living deposit, the realized loss exceeded \$21,000. David filed a complaint with FINRA alleging that Hartwell's recommendation was not in his mother's best interest given her age, stated objectives, and explicit need for principal preservation and near-term liquidity.

Question

Did Hartwell's recommendation of CMO support tranches to Margaret Chen violate Regulation Best Interest's Care Obligation given her investment profile and stated needs?

Answer

Yes, Hartwell's recommendation violated Regulation Best Interest. Under Exchange Act Rule 15l-1(a)(1), a broker-dealer or associated person must act in the best interest of a retail customer at the time a recommendation is made, without placing their financial interest ahead of the customer's interest. The Care Obligation under Rule 15l-1(a)(2)(ii) specifically requires reasonable diligence, care, and skill to have a reasonable basis to believe the recommendation is in the best interest of the particular retail customer based on that customer's investment profile.

The retail customer investment profile, as defined in Reg BI, includes age, financial situation and needs, investment

objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Margaret Chen's profile overwhelmingly indicated that CMO support tranches were inappropriate: she was 92 years old, had no fixed income experience, maintained a capital preservation objective with low risk tolerance, required liquidity within 12-18 months, and the \$125,000 represented her entire liquid assets needed for imminent assisted living expenses.

CMO support tranches are complex structured products with significant principal risk stemming from prepayment and extension risk, and they feature highly unpredictable cash flow timing. These characteristics directly contradict every element of Margaret's investment profile. Hartwell's characterization of these securities as 'government-backed' without explaining the material structural risks demonstrates a failure to exercise reasonable diligence and care.

Hartwell cannot claim reasonable basis for believing this recommendation was in Margaret's best interest when the product's defining characteristics--principal volatility, unpredictable return of principal timing, and complexity--are fundamentally incompatible with her explicit needs for capital preservation and near-term liquidity. The \$875 commission earned further suggests Hartwell may have placed his financial interest ahead of his customer's. This conduct also violates FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade.

Key Factor

Hartwell recommended a complex structured product with significant principal and timing risk to a 92-year-old customer who explicitly required capital preservation and near-term liquidity for essential living expenses.

Item 344 of 499

COMPLIANT

Topic: discretionary_account_suitability_monitoring

Difficulty: medium

Standard: Investment Advisers Act of 1940 fiduciary duty; SEC interpretation of IA fiduciary duty (duty of care, duty of loyalty); FINRA Rule 2111 (Suitability) reasonable-basis, customer-specific, and quantitative components

Source: 07_Practitioner_Commentary

Fact Pattern

Fiducient Advisors LLC, a registered investment adviser, entered into a discretionary investment advisory agreement with Martha Greenwood, age 67, on April 15, 2024. Mrs. Greenwood is a recently widowed retiree with \$1.2 million in investable assets, consisting primarily of proceeds from her late husband's life insurance policy and the sale of their family business. During the client onboarding process, the firm's adviser, Daniel Torres, conducted a comprehensive financial assessment including a risk tolerance questionnaire, income needs analysis, and discussion of investment time horizon. Mrs. Greenwood indicated she had moderate risk tolerance, needed approximately \$4,000 monthly to supplement Social Security income, and had a 20-year investment horizon given her good health and family longevity history.

Based on this profile, Torres recommended and implemented a diversified portfolio allocation of 55% equities (split between domestic large-cap, international developed markets, and a small allocation to emerging markets through low-cost ETFs), 35% fixed income (investment-grade corporate bonds and Treasury securities), and 10% cash equivalents. The firm's fee structure was 0.85% of assets under management annually, assessed quarterly in advance. Torres documented his rationale for the allocation, noting that the equity exposure provided growth potential to maintain purchasing power over Mrs. Greenwood's expected retirement horizon while the fixed income and cash allocations could fund approximately seven years of income needs without requiring equity liquidation during market downturns.

Over the following nine months, Torres conducted quarterly portfolio reviews with Mrs. Greenwood, documenting each conversation. During the January 2025 review, Mrs. Greenwood mentioned increased anxiety about market volatility following news coverage of economic uncertainty. Torres discussed her concerns, reviewed her actual spending needs, and confirmed her financial situation remained unchanged. Rather than making reactive changes, he reminded her of the original investment strategy rationale and the portfolio's ability to meet her income needs through the fixed income allocation. He did, however, document her concerns and noted he would revisit the allocation at the next quarterly meeting if her risk tolerance had genuinely shifted.

Question

Did Fiducient Advisors LLC and adviser Daniel Torres fulfill their fiduciary duty of care in providing investment advice and ongoing portfolio management to Mrs. Greenwood?

Answer

Yes, Fiducient Advisors LLC and Daniel Torres satisfied their fiduciary duty of care under the Investment Advisers Act of 1940. As a registered investment adviser exercising discretionary authority, the firm owed Mrs. Greenwood a fiduciary duty requiring it to act in her best interest, including both the duty of care and duty of loyalty.

The duty of care encompasses three primary components: (1) the duty to provide advice that is in the client's best interest, (2) the duty to seek best execution, and (3) the duty to provide advice and monitoring over the course of the

relationship. Torres demonstrably satisfied each element.

First, regarding the initial recommendation, Torres conducted a thorough client assessment gathering essential information about Mrs. Greenwood's financial situation, investment objectives, risk tolerance, and time horizon. The resulting 55/35/10 equity-fixed income-cash allocation was reasonable and tailored to her specific circumstances--a 67-year-old retiree needing \$48,000 annual income supplementation with a 20-year horizon. The strategy balanced growth needs against income requirements, with the fixed income allocation specifically designed to fund approximately seven years of distributions without forced equity sales during downturns.

Second, the use of low-cost ETFs for equity exposure demonstrates attention to cost efficiency, a component of best execution and prudent investment selection.

Third, Torres fulfilled the ongoing monitoring obligation through quarterly reviews, documenting each interaction. Critically, when Mrs. Greenwood expressed anxiety in January 2025, Torres appropriately engaged with her concerns rather than dismissing them or reactively restructuring the portfolio. He reaffirmed the strategic rationale, confirmed her circumstances remained unchanged, and documented the conversation with a commitment to reassess if her risk tolerance genuinely shifted. This reflects the firm's Form CRS representation that it monitors investments periodically and provides advice on an ongoing basis.

The comprehensive documentation throughout the relationship--from onboarding through quarterly reviews--demonstrates the investment process and prudent reasoning that regulators expect from fiduciary advisers.

Key Factor

The adviser conducted thorough initial profiling, implemented an allocation reasonably matched to the client's documented needs, and maintained ongoing monitoring with appropriate documentation of client communications and concerns.

Item 345 of 499**NON-COMPLIANT**

Topic: microcap_securities_suitability_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) -- reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Margaret Thornton, age 74, was a retired elementary school teacher residing in Scottsdale, Arizona. In March 2017, she became a customer of Pinnacle Ridge Securities, LLC, a small broker-dealer specializing in microcap and penny stock transactions. Her new account form indicated she had \$380,000 in liquid assets, primarily from her deceased husband's life insurance proceeds, an annual pension income of \$42,000, a conservative risk tolerance, and investment objectives of capital preservation and income generation. She explicitly noted on her account documents that she could not afford to lose principal as these funds represented her sole retirement savings.

Her assigned representative, Marcus Delgado, recommended that Mrs. Thornton invest \$175,000 (46% of her liquid assets) into a portfolio of five microcap securities trading on the OTC Markets. These included shares of Apex Mineral Holdings, a speculative mining exploration company with no revenue; GreenLeaf Biotech Inc., a development-stage pharmaceutical company that had never achieved FDA approval for any product; and three similar early-stage companies. Delgado told Mrs. Thornton these securities offered 'ground floor opportunities' with potential returns of 300-500% and assured her that his firm had 'done the research' on these companies.

Delgado's internal notes indicated he understood Mrs. Thornton's conservative profile but reasoned that 'even conservative investors need growth.' He did not document any analysis of the specific risks of microcap securities, including their extreme volatility, lack of public information, limited liquidity, and susceptibility to manipulation. The firm's supervisory system for reviewing microcap recommendations consisted only of a monthly trade blotter review by the branch manager, Timothy Vance, who approved all of Delgado's recommendations without contacting Mrs. Thornton or reviewing her customer profile.

By September 2017, Mrs. Thornton's microcap portfolio had declined to \$31,000, representing a loss of \$144,000 or 82% of her investment. Two of the five companies had been suspended from trading by the SEC for questions about the accuracy of publicly available information.

Question

Did Marcus Delgado's recommendation that Margaret Thornton invest \$175,000 in speculative microcap securities violate FINRA suitability requirements?

Answer

Yes, Marcus Delgado's recommendations constituted clear violations of FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor). The recommendation failed all three components of the suitability obligation.

Regarding reasonable-basis suitability under Rule 2111(a), Delgado failed to perform adequate due diligence on the recommended microcap securities. Microcap stocks present unique risks including limited public information, thin trading volumes, and heightened susceptibility to fraud and manipulation. Delgado's cursory assurance that the firm 'did

the research' without documented analysis of these issuers' financial condition, business prospects, or risk factors fails to satisfy the reasonable-basis requirement that a representative have a reasonable basis to believe a recommendation is suitable for at least some investors.

The customer-specific suitability violation under Rule 2111(a) is particularly egregious. Mrs. Thornton was a 74-year-old retiree with expressly stated conservative risk tolerance, capital preservation objectives, and documented dependence on these assets for retirement security. Recommending that she concentrate 46% of her liquid assets in highly speculative, illiquid securities with substantial loss potential directly contradicts her documented investment profile. FINRA has consistently held that recommendations of speculative securities to elderly, conservative investors with limited financial resources constitute per se suitability violations.

Delgado's internal rationalization that 'even conservative investors need growth' demonstrates a willful disregard of his customer's stated objectives and cannot serve as a defense. The duty under Rule 2111.04 requires recommendations to be consistent with the customer's stated investment profile, not the representative's subjective beliefs about what the customer should want.

Additionally, Pinnacle Ridge Securities failed its supervisory obligations under FINRA Rule 3110 by implementing only cursory trade blotter reviews without examining customer profiles or the appropriateness of specific recommendations. The firm's supervisory system was not reasonably designed to achieve compliance with suitability requirements for its high-risk microcap business.

The 82% loss suffered by Mrs. Thornton, while not determinative of suitability, underscores the foreseeable harm from these unsuitable recommendations.

Key Factor

Recommending that a 74-year-old conservative investor with capital preservation objectives invest 46% of her retirement savings in speculative microcap securities with no revenue or proven business models constitutes a fundamental customer-specific suitability violation.

Item 346 of 499**NON-COMPLIANT**

Topic: suitability_complex_product_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, was a retired schoolteacher who opened an account with Cedar Valley Financial Services, Inc. in March 2019. Her new account documentation indicated she had a moderate risk tolerance, an investment objective of income with capital preservation, liquid net worth of \$285,000 (primarily from her pension rollover), and annual income of \$42,000 from Social Security and a small pension. Her investment experience was limited to certificates of deposit and one balanced mutual fund she had held for fifteen years. Margaret's stated investment time horizon was 5-7 years, as she anticipated needing funds for potential long-term care expenses.

Her registered representative, Daniel Kirkwood, recommended that Margaret invest \$175,000--representing approximately 61% of her liquid net worth--into a non-traded REIT called Heartland Commercial Properties II. Kirkwood explained that the REIT would provide quarterly income distributions of approximately 6.5% annually, significantly higher than the 2.1% she was earning on her CDs. He emphasized the income-generating nature of the investment but did not adequately explain the product's illiquidity, the typical 7-10 year holding period before any liquidity event, the significant front-end sales charges of 12%, or the fact that stated distribution rates often include return of principal.

By late 2020, Heartland Commercial Properties II suspended distributions due to pandemic-related commercial real estate distress. When Margaret needed to access funds in early 2021 for unexpected medical expenses, she discovered she could not liquidate her position except through a limited secondary market at approximately 40% of her original investment. She filed a customer complaint alleging that Kirkwood's recommendation was unsuitable given her age, limited investment experience, income needs, and relatively short time horizon. Cedar Valley's compliance records showed no documentation of a suitability analysis for this concentrated position in an illiquid alternative investment.

Question

Did Daniel Kirkwood's recommendation that Margaret Thornton invest 61% of her liquid net worth in a non-traded REIT violate FINRA suitability requirements?

Answer

Kirkwood's recommendation violated FINRA Rule 2111 suitability requirements on multiple dimensions. The rule requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, investment objectives, time horizon, liquidity needs, and risk tolerance.

First, the recommendation failed customer-specific suitability under Rule 2111(a). Margaret's profile--a 67-year-old retiree with moderate risk tolerance, capital preservation objectives, a 5-7 year time horizon, and potential near-term liquidity needs--was fundamentally incompatible with a non-traded REIT requiring a 7-10 year holding period and offering no meaningful liquidity. FINRA has consistently emphasized that illiquid alternative investments demand careful suitability analysis, particularly for elderly investors approaching or in retirement.

Second, the quantitative suitability component was violated through excessive concentration. Recommending that Margaret invest 61% of her liquid assets in a single illiquid product created unreasonable concentration risk for a client dependent on her savings for living expenses and potential healthcare costs. Prudent portfolio construction for a moderate-risk retiree would typically limit alternative investment exposure to a much smaller allocation.

Third, Kirkwood failed reasonable-basis suitability by not ensuring Margaret understood the product's material characteristics. Non-traded REITs are complex products with significant risks including illiquidity, distribution sustainability concerns, valuation opacity, and high front-end costs (here, 12% in fees). FINRA Rule 2010 requires fair dealing, which includes ensuring customers understand what they are purchasing.

The absence of any documented suitability analysis in Cedar Valley's compliance records further evidences supervisory failures under FINRA Rule 3110. Member firms must establish systems to supervise representatives' activities, particularly when complex products are recommended to vulnerable investors.

Kirkwood cannot defend the recommendation by pointing to Margaret's signed acknowledgment forms, as suitability obligations are substantive duties that cannot be waived. The recommendation was unsuitable regardless of disclosure, given the fundamental mismatch between product characteristics and customer profile.

Key Factor

The recommendation of an illiquid, long-duration alternative investment to a 67-year-old retiree with a 5-7 year time horizon, capital preservation objectives, and potential near-term liquidity needs constituted a fundamental customer-specific suitability failure.

Item 347 of 499

NON-COMPLIANT

Topic: illiquid_private_placement_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 72, was a retired school teacher who held accounts at Westbrook Securities, LLC. In March 2019, her registered representative, David Thornton, reviewed her account and noted that Chen had approximately \$485,000 in retirement savings, consisting primarily of Treasury bonds, municipal bonds, and blue-chip dividend stocks. Her investment objectives were documented as 'income' and 'capital preservation,' with a risk tolerance marked as 'conservative.' Chen's annual income from Social Security and a modest pension totaled \$38,000, and her liquid net worth outside the Westbrook accounts was approximately \$45,000.

Thornton recommended that Chen invest \$125,000--approximately 26% of her portfolio--in Pinnacle Capital Holdings II, LP, a private equity fund focused on acquiring automotive dealership businesses. The private placement memorandum disclosed a minimum 7-year hold period, no secondary market for the interests, and substantial risks including complete loss of principal. Thornton emphasized the fund's targeted 8% annual distribution and characterized it as 'perfect for retirement income needs,' while downplaying the illiquidity and speculative nature of the investment. He received a 7% commission on the sale.

By late 2020, Pinnacle Capital Holdings II suspended distributions and disclosed material accounting irregularities. An SEC investigation followed, and by 2022, the fund's interests were effectively worthless. Chen filed a FINRA arbitration claim in January 2023 against Westbrook Securities, alleging that the recommendation was unsuitable given her age, conservative profile, and reliance on these funds for retirement income. She sought recovery of her \$125,000 principal plus interest, alleging violations of FINRA Rules 2111 and 2010, breach of fiduciary duty, and negligent supervision. Westbrook defended by arguing that Chen signed all disclosure documents acknowledging the risks and that she was a 'sophisticated investor' based on her prior ownership of individual stocks.

Question

Did Thornton's recommendation that Chen invest 26% of her retirement portfolio in an illiquid private equity fund violate FINRA suitability requirements?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) and constitutes a clear breach of the quantitative and customer-specific suitability obligations. Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable for the customer based on their investment profile, including age, financial situation, investment experience, time horizon, liquidity needs, and risk tolerance.

Thornton's recommendation fails customer-specific suitability under Rule 2111(a) on multiple grounds. First, Chen's documented conservative risk tolerance and capital preservation objectives are fundamentally incompatible with a speculative private equity investment carrying complete loss-of-principal risk. Second, at age 72 with limited liquid assets and dependence on her portfolio for retirement income, Chen could not reasonably absorb a 7+ year lockup

period without compromising her financial security. Third, concentrating 26% of her retirement assets in a single illiquid alternative investment violated basic diversification principles for a conservative retiree.

Westbrook's defense that Chen signed risk disclosures is unavailing. FINRA has consistently held that customer acknowledgment of risks does not cure an unsuitable recommendation. The suitability obligation is independent of disclosure; a broker cannot recommend an unsuitable investment simply because the customer signs documents. Similarly, Chen's prior ownership of blue-chip dividend stocks does not establish sophistication regarding complex private equity structures--retail stock ownership bears no resemblance to evaluating private placement risks.

The 7% commission creates an inference of sales motivation over customer interest, though commissions alone do not establish unsuitability. However, combined with the mischaracterization of a speculative illiquid investment as 'perfect for retirement income needs,' this evidences a breach of Rule 2010's standards of commercial honor. Westbrook's supervisory system also failed under FINRA Rule 3110, as no reasonable supervisor should have approved this concentration of illiquid alternatives for a 72-year-old conservative investor.

The arbitration panel would likely find liability and award Chen compensatory damages for her principal loss plus prejudgment interest, consistent with patterns in GPB-related arbitrations.

Key Factor

Recommending a 7-year illiquid private equity investment to a 72-year-old conservative investor dependent on her portfolio for retirement income violated customer-specific suitability requirements regardless of signed risk disclosures.

Item 348 of 499**NON-COMPLIANT**

Topic: reg_bi_care_obligation_complex_product_recommendation

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 Suitability (components analysis); SEC Regulation Best Interest Adopting Release guidance on complex products

Source: 07_Practitioner_Commentary

Fact Pattern

Westfield Securities Group, a dually registered broker-dealer and investment adviser based in Chicago, employed Marcus Thornton as a registered representative in its retail brokerage division. In March 2023, Thornton met with Helen Kowalski, a 67-year-old recently retired elementary school teacher, who sought guidance on investing her \$285,000 pension lump-sum distribution. Kowalski completed Westfield's customer account documentation, indicating she had a conservative risk tolerance, a primary investment objective of capital preservation with modest income generation, an investment time horizon of 10-15 years, limited investment experience consisting only of her employer's 403(b) plan invested in target-date funds, and annual income of approximately \$42,000 from Social Security and a small state pension.

During their second meeting in April 2023, Thornton recommended that Kowalski invest \$175,000 (approximately 61% of her liquid assets) in the Apex Structured Outcome Fund, a buffer exchange-traded fund employing options strategies designed to provide downside protection with capped upside participation tied to the S&P 500 Index. Thornton's presentation emphasized the fund's 10% downside buffer feature, describing it as 'safe money with growth potential.' He did not explain the one-year outcome period structure, the consequences of redeeming shares mid-period, or that the fund's complexity stemmed from its use of FLEX options. The fund's prospectus contained twelve pages describing the options mechanics and outcome period considerations.

Kowalski signed the account paperwork and invested the \$175,000 as recommended. Six months later, in October 2023, she needed \$40,000 for an unexpected home repair and liquidated a portion of her position. Because she redeemed mid-outcome period during a period of market volatility, her actual loss exceeded what she had understood the buffer would protect, resulting in a realized loss of approximately \$6,800 on the shares sold. A subsequent review by Westfield's compliance department revealed that Thornton had completed his annual Reg BI training but had not completed the firm's mandatory complex products module specific to buffer ETFs. Westfield's supervisory system flagged the concentration but the supervisor approved the transaction without additional documentation of the rationale.

Question

Did Marcus Thornton satisfy Regulation Best Interest's Care Obligation when recommending the Apex Structured Outcome Fund to Helen Kowalski?

Answer

Thornton violated Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii). The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation and to have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile.

The SEC's adopting release emphasizes that Care Obligation compliance requires analysis at three levels:

reasonable-basis suitability (understanding the product), customer-specific suitability (matching product to customer profile), and quantitative suitability (avoiding excessive costs or trading). Thornton failed at multiple levels.

First, regarding reasonable basis: Thornton's failure to complete Westfield's mandatory buffer ETF training module demonstrates he lacked adequate understanding of the product's mechanics. Buffer ETFs utilizing FLEX options are explicitly identified by FINRA as complex products requiring heightened diligence. His characterization of the investment as 'safe money' without explaining outcome period constraints or mid-period redemption risks reflects fundamental misunderstanding of the product he recommended.

Second, on customer-specific suitability: Kowalski's profile--conservative risk tolerance, capital preservation objective, limited investment experience with only target-date fund exposure, and dependence on the \$285,000 as her primary liquid retirement asset--was fundamentally inconsistent with a 61% allocation to a complex derivatives-based product. The SEC has stated that the Care Obligation's best interest standard requires consideration of reasonably available alternatives. A conservative retiree seeking capital preservation would typically be better served by Treasury securities, investment-grade bonds, or stable value options rather than a complex structured product with outcome period dependencies.

Third, the concentration itself--\$175,000 representing 61% of liquid assets--was excessive for a product whose liquidity constraints could adversely affect the customer. Kowalski's subsequent need for funds and resulting loss demonstrates the materialization of risks that reasonable diligence should have anticipated given her profile.

Westfield's supervisory approval without documented rationale compounds the violation but does not excuse Thornton's individual Care Obligation failure. The recommendation did not satisfy the best interest standard under Reg BI.

Key Factor

Thornton recommended a complex buffer ETF representing 61% of a conservative retiree's liquid assets without completing required product training or explaining material risks including mid-period redemption consequences.

Item 349 of 499**NON-COMPLIANT**

Topic: unsuitable_fee_laden_investments_for_retiree

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability) -- reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret and Donald Hensley, ages 68 and 71 respectively, were retired public school teachers who had accumulated approximately \$485,000 in combined IRA accounts through decades of careful saving. In March 2019, they met with registered representative Vincent Carlucci at Meridian Wealth Partners, LLC, seeking guidance on preserving their retirement savings while generating modest income to supplement their pension benefits. The Hensleys completed new account documentation indicating a conservative risk tolerance, an investment objective of income with capital preservation, a moderate investment time horizon of 10-15 years, and annual income needs of approximately \$18,000 from their portfolio. They explicitly noted on their account forms that they could not afford to lose principal and had no prior experience with complex investment products.

Over the following six months, Carlucci recommended and executed a series of transactions that fundamentally transformed the Hensleys' portfolio. He allocated approximately \$195,000 (40% of their assets) to variable annuities with seven-year surrender periods, internal expenses averaging 2.8% annually, and optional riders costing an additional 1.1% per year. Another \$145,000 was placed into Class A mutual funds with front-end loads averaging 5.25%, resulting in approximately \$7,600 in immediate commission charges. The remaining \$145,000 was invested in a mix of non-traded REITs and business development companies (BDCs), which carried front-end commissions of 7% and limited liquidity provisions.

When the Hensleys attempted to access \$35,000 in early 2020 to cover unexpected medical expenses, they discovered they would face surrender charges exceeding \$8,500 on the annuities and that their non-traded REIT holdings could not be liquidated for at least eighteen months. Their total first-year costs, including commissions, fees, and internal expenses, exceeded \$28,000. Carlucci had earned approximately \$31,500 in commissions on the transactions. Meridian's compliance department had flagged the concentration in illiquid products for supervisory review, but the branch manager approved the transactions after a brief conversation with Carlucci, documenting only that 'client understood recommendations.'

Question

Did Vincent Carlucci's investment recommendations for the Hensleys violate FINRA suitability requirements under Rule 2111?

Answer

Vincent Carlucci violated FINRA Rule 2111 on multiple grounds. The rule requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, which includes age, financial situation, risk tolerance, investment objectives, liquidity needs, and time horizon.

First, regarding reasonable-basis suitability under Rule 2111(a), Carlucci failed to understand the products' cost

structures and liquidity constraints relative to a retired couple's needs. The combination of variable annuities with 2.8% internal expenses plus 1.1% rider costs, front-loaded mutual funds, and illiquid alternative investments was inappropriate for customers requiring income generation with capital preservation.

Second, customer-specific suitability was violated. The Hensleys documented conservative risk tolerance, income objectives, and an explicit inability to absorb principal losses. Allocating 40% to long-surrender-period variable annuities and 30% to illiquid non-traded REITs and BDCs directly contradicted these stated objectives. FINRA has consistently held that recommendations of illiquid products to clients with potential near-term liquidity needs are presumptively unsuitable.

Third, quantitative suitability concerns arise from the excessive cost structure. First-year expenses exceeding \$28,000 on a \$485,000 portfolio represent approximately 5.8% in costs, requiring substantial returns merely to break even. For conservative, income-focused retirees, such cost drag renders the strategy unsuitable regardless of underlying investment merit.

The supervisor's cursory approval, documented only as 'client understood recommendations,' fails to constitute reasonable supervision under FINRA Rule 3110. Understanding is distinct from suitability--a customer may comprehend a recommendation while it remains fundamentally inappropriate for their profile.

Meridian's potential defense that the Hensleys signed documentation acknowledging the recommendations provides no safe harbor. FINRA Rule 2111.05(a) explicitly states that a customer's investment profile cannot be satisfied solely by account documentation if the representative has information suggesting the customer's actual situation differs from documented preferences. The Hensleys' stated liquidity needs and conservative objectives rendered these recommendations unsuitable regardless of signatures obtained.

Key Factor

The concentration of a conservative retirees' assets in high-cost, illiquid products with long surrender periods directly contradicted their documented investment objectives, risk tolerance, and liquidity needs.

Item 350 of 499

NON-COMPLIANT

Topic: prudent_expert_standard_trust_account

Difficulty: hard

Standard: 12 U.S.C. §92a; OCC Regulation 12 CFR Part 9; Uniform Prudent Investor Act (UPIA); Committee for the Fiduciary Standard Principles 1 and 2

Source: 18_OCC_Bank_Trust_Guidance

Fact Pattern

Cornerstone National Bank & Trust Company serves as trustee for the Margaret A. Holloway Irrevocable Trust, established in March 2019 with \$2.8 million in assets for the benefit of Ms. Holloway's three grandchildren, ages 8, 11, and 14. The trust instrument specifies that principal distributions may be made for education and health expenses until the youngest beneficiary reaches age 25, at which point the corpus is to be divided equally among the three beneficiaries. The trust document grants the trustee broad investment discretion but mandates preservation of capital as a primary objective and generation of modest income as a secondary goal.

Daniel Reeves, a trust officer at Cornerstone National Bank with 18 years of experience, assumed management of the Holloway Trust in January 2022. In reviewing the portfolio, Reeves noted that the trust held approximately 65% in investment-grade municipal bonds, 25% in blue-chip dividend stocks, and 10% in money market instruments--an allocation consistent with the trust's conservative mandate. However, Reeves became convinced that rising interest rates would devastate the bond portfolio and, in April 2022, executed a dramatic reallocation: he sold \$1.4 million in municipal bonds and invested the proceeds in a concentrated position of three biotechnology stocks--Vertex Pharmaceuticals, Moderna, and BioNTech--reasoning that healthcare innovation represented the future of growth investing.

Reeves did not document any analysis comparing the risk profiles of the original allocation versus the new concentrated biotech position. He failed to consult with the bank's investment committee, which internal policy required for any single-sector concentration exceeding 20% of trust assets. By December 2023, the biotechnology position had declined by 47%, resulting in losses of approximately \$658,000. The trust's overall value fell to \$1.95 million, severely compromising its ability to fund anticipated education expenses for the three beneficiaries, the eldest of whom would begin college in Fall 2024.

Question

Did Daniel Reeves and Cornerstone National Bank & Trust Company satisfy the prudent expert fiduciary standard in managing the Holloway Trust's investment portfolio?

Answer

No, Daniel Reeves and Cornerstone National Bank & Trust Company violated the prudent expert fiduciary standard applicable to bank trust activities under multiple frameworks.

Under 12 U.S.C. §92a and OCC Regulation 12 CFR Part 9, national banks exercising fiduciary powers must administer trust accounts in accordance with applicable law, which incorporates the Uniform Prudent Investor Act (UPIA) standards. The UPIA requires trustees to invest with the care, skill, and caution of a prudent investor, considering the purposes, terms, and circumstances of the trust. The Committee for the Fiduciary Standard's second principle--acting with the skill, care, diligence, and good judgment of a professional--reflects this prudent expert standard, which

demands far more than mere suitability.

Reeves' conduct failed this standard in multiple respects. First, the dramatic reallocation from a diversified portfolio of investment-grade bonds and dividend stocks to a concentrated three-stock biotechnology position directly contradicted the trust instrument's mandate for capital preservation. A prudent expert would recognize that concentrated sector bets in volatile industries are antithetical to preservation objectives. Second, Reeves abandoned the UPIA's diversification requirement, which mandates that trustees diversify investments unless special circumstances make concentration prudent--no such circumstances existed here. Third, Reeves failed to apply 'generally accepted investment theories' as the fiduciary standard requires, instead acting on personal market predictions without documented analysis or risk assessment.

The procedural failures compound the substantive violations. Reeves bypassed the bank's internal investment committee review required for concentrated positions, demonstrating negligence in the governance process. The absence of any contemporaneous documentation analyzing the risk-return profile of the new allocation evidences failure to exercise the deliberative judgment expected of a prudent expert.

The \$658,000 loss--representing approximately 24% of the original corpus--directly impaired the trust's ability to fulfill its educational purpose for beneficiaries with near-term needs. Under the first fiduciary principle, Reeves failed to put the client's best interest first, subordinating the beneficiaries' welfare to his speculative market views. Cornerstone National Bank bears institutional liability for inadequate supervision of trust account management.

Key Factor

The trustee abandoned a conservative, diversified portfolio mandated by the trust instrument in favor of a concentrated speculative biotechnology position without documented analysis, committee review, or consideration of the trust's capital preservation objectives and beneficiaries' near-term needs.

Item 351 of 499

NON-COMPLIANT

Topic: suitability_of_discretionary_options_strategy

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); Investment Advisers Act of 1940 fiduciary duty; Minnesota state securities laws

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret and Thomas Lindquist, ages 67 and 69 respectively, were retired schoolteachers living in Eden Prairie, Minnesota. In September 2016, they engaged Northland Wealth Partners, LLC, a registered investment adviser, to manage their combined retirement savings of \$485,000. Their investment adviser representative, Kyle Frederickson, conducted an initial client profile assessment where both Lindquists indicated they had 'moderate' risk tolerance, a primary objective of 'capital preservation with modest income,' and a time horizon of 15-20 years to fund their retirement. They expressly noted on intake forms that they had no experience with options, derivatives, or alternative investments and wanted to avoid 'speculative strategies.'

Frederickson signed a discretionary investment advisory agreement with the Lindquists in October 2016. Over the following eighteen months, Frederickson exercised his discretionary authority to allocate approximately \$145,000 (30% of their portfolio) to the Meridian Options Premium Fund, a mutual fund employing a complex options-selling strategy that generated income by writing uncovered put options on the S&P 500 index. Frederickson did not specifically discuss this allocation with the Lindquists, nor did he explain the concentrated risk exposure inherent in short volatility strategies. The fund's prospectus disclosed that in periods of market stress, losses could substantially exceed typical equity drawdowns.

In February 2018, during a period of extreme market volatility, the Meridian Options Premium Fund suffered catastrophic losses, declining 87% in value within two weeks. The Lindquists' position in the fund fell from approximately \$158,000 to \$19,400. When Margaret Lindquist called Frederickson to inquire about the sudden account decline, he acknowledged he had allocated to the fund because of its historical 5-star Morningstar rating and attractive yield, stating he believed it would 'perform like a bond fund with better returns.' Internal compliance records at Northland revealed that Frederickson had received no specialized training on options strategies and had recommended the same fund to over forty other clients, regardless of their risk profiles.

The Lindquists filed a FINRA arbitration claim in April 2018, alleging breach of fiduciary duty, negligence, and unsuitable investments. They sought recovery of \$138,600 in losses plus interest and attorneys' fees. Northland's compliance department had no documentation of any suitability review for the Meridian allocation, and supervisory records showed the firm's chief compliance officer had never reviewed Frederickson's discretionary trades in the fund.

Question

Did Frederickson breach his fiduciary duty and suitability obligations by using discretionary authority to invest 30% of the Lindquists' retirement portfolio in a complex options strategy fund?

Answer

Frederickson violated his fiduciary duty of care and FINRA Rule 2111 suitability requirements through multiple failures in his handling of the Lindquists' account.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on their investment profile, including risk tolerance, investment objectives, time horizon, and experience. Rule 2111(a) encompasses customer-specific suitability, requiring the adviser to match recommendations to the individual customer's documented characteristics.

The Lindquists' investment profile unambiguously established: (1) moderate risk tolerance; (2) capital preservation as primary objective; (3) no experience with options or derivatives; and (4) explicit aversion to speculative strategies. Allocating 30% of retirement assets to an uncovered options writing strategy directly contradicted every element of their stated profile. Short volatility strategies carry tail risk that is fundamentally incompatible with capital preservation objectives, particularly for retirees with no other income sources.

Frederickson's reliance on the fund's Morningstar rating demonstrates inadequate reasonable-basis suitability analysis under Rule 2111(a). A third-party rating does not substitute for independent analysis of strategy mechanics and risk characteristics. His characterization of the fund as performing 'like a bond fund' evidences either fundamental misunderstanding of the product or misrepresentation--neither of which satisfies his duty of care.

As a registered investment adviser representative exercising discretionary authority, Frederickson owed the Lindquists a fiduciary duty under the Investment Advisers Act of 1940, requiring him to act in their best interest. This duty was breached by: (1) failing to discuss the allocation before execution; (2) investing in a strategy they explicitly sought to avoid; (3) applying the recommendation uniformly across clients without individualized analysis; and (4) lacking the competence to understand the product's risk profile.

Northland's supervisory failures compound the violations. Under FINRA Rule 3110, the firm was obligated to establish supervisory procedures reasonably designed to achieve compliance with suitability requirements. The absence of any documented suitability review for a concentrated allocation to a complex strategy constitutes supervision failure.

The Panel would likely find for the Lindquists, awarding compensatory damages of approximately \$138,600 plus prejudgment interest.

Key Factor

Frederickson used discretionary authority to concentrate 30% of conservative retirees' assets in a complex short-volatility options strategy that directly contradicted their documented risk tolerance, investment objective, and explicit preference to avoid speculative investments.

Item 352 of 499**NON-COMPLIANT**

Topic: variable_annuity_suitability_senior_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2330 (Variable Annuity Transactions)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollister, age 72, was a retired schoolteacher living in suburban Pittsburgh, Pennsylvania. In March 2019, she met with registered representative Kevin Drummond of Keystone Wealth Advisors, LLC, to discuss her retirement savings. Mrs. Hollister had approximately \$340,000 in liquid assets, consisting primarily of a \$285,000 traditional IRA rollover from her pension and \$55,000 in a money market account. Her annual pension income was \$38,000, and she had modest Social Security benefits of \$1,800 monthly. She explicitly told Drummond that her primary objectives were capital preservation and generating supplemental income to cover medical expenses, as she had recently been diagnosed with a chronic condition requiring ongoing treatment.

During their second meeting on April 8, 2019, Drummond recommended that Mrs. Hollister invest \$250,000 of her IRA into a variable annuity product called the Pinnacle Growth Plus VA, which featured a seven-year surrender period with declining surrender charges starting at 7% in year one. The product included a guaranteed minimum withdrawal benefit rider with an annual fee of 1.15%, on top of the base contract's mortality and expense charges of 1.40% and underlying fund expenses averaging 0.85%. Drummond emphasized the death benefit feature and downside protection, but spent minimal time discussing the surrender schedule or the cumulative impact of the fees on her returns.

Mrs. Hollister signed the paperwork that day. Her customer account documentation, completed by Drummond, listed her risk tolerance as 'moderate growth' and her investment time horizon as '10+ years,' despite her stated concerns about near-term liquidity for medical costs. By September 2019, Mrs. Hollister needed to access \$45,000 for unexpected medical procedures. Upon learning she would face a \$3,150 surrender charge plus potential tax consequences, she filed a complaint. A subsequent review revealed that Drummond had earned a 5.5% commission (\$13,750) on the sale and had sold similar variable annuity products to eleven other clients over age 70 in the preceding eighteen months.

Question

Did Kevin Drummond's recommendation of the Pinnacle Growth Plus variable annuity to Mrs. Hollister satisfy his suitability obligations under applicable FINRA rules?

Answer

No, the recommendation was unsuitable and violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor). FINRA Rule 2111 imposes three distinct suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. The facts demonstrate clear violations of customer-specific suitability requirements.

Under Rule 2111(a), a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Drummond's

recommendation failed multiple elements of this analysis.

First, Mrs. Hollister's age (72) and health condition created obvious near-term liquidity concerns. The seven-year surrender period with substantial early withdrawal penalties directly conflicted with her stated need for accessible funds for medical expenses. Second, her explicitly stated objectives--capital preservation and income generation--were inconsistent with a variable annuity featuring equity market exposure and significant fee drag totaling approximately 3.40% annually. Third, Drummond's documentation listed a '10+ year' time horizon and 'moderate growth' risk tolerance, which contradicted Mrs. Hollister's actual statements and circumstances, suggesting potential falsification of customer records.

FINRA has consistently held that variable annuities with lengthy surrender periods are presumptively unsuitable for senior investors with liquidity needs and shorter investment horizons. The product's complexity, high costs, and illiquidity characteristics made it inappropriate for a 72-year-old retiree dependent on her savings for medical care. The substantial commission (5.5%) and pattern of similar sales to elderly clients suggests the recommendation was driven by compensation rather than client interests.

Drummond cannot assert reliance on customer signatures as a defense; the obligation to make suitable recommendations is non-delegable and requires the representative to exercise independent judgment about appropriateness. The recommendation constituted a violation of suitability requirements and the firm's supervisory systems should have flagged this transaction for heightened review given the customer profile.

Key Factor

The seven-year surrender period and high fee structure of the variable annuity were fundamentally incompatible with a 72-year-old client's stated need for liquidity to cover ongoing medical expenses.

Item 353 of 499**NON-COMPLIANT**

Topic: deferred_annuity_suitability_state_fiduciary_duty

Difficulty: hard

Standard: State common law fiduciary duty for annuity sales; duty of care requiring reasonable effort on behalf of clients; duty of loyalty requiring advisers to prioritize client interests over personal compensation; NAIC Suitability in Annuity Transactions Model Regulation principles

Source: 16_Congressional_Materials

Fact Pattern

Margaret Holloway, age 71, met with registered representative David Kessler of Ridgeline Financial Services, LLC in March 2023. Mrs. Holloway had recently lost her husband and received a \$485,000 death benefit from his life insurance policy. She explained to Kessler that she needed income to supplement her Social Security of \$2,100 per month, had approximately \$62,000 in existing savings, and wanted to ensure she could access funds for potential medical expenses given her recent diagnosis of early-stage Parkinson's disease. Her stated investment objective was income with capital preservation, and she indicated low risk tolerance. Mrs. Holloway had no prior experience with annuity products and had worked as an elementary school teacher before retiring at 65.

Kessler recommended she invest \$400,000 of the insurance proceeds into a deferred variable annuity issued by Granite Life Insurance Company, with a 12-year surrender period carrying a declining surrender charge starting at 9% in year one. The product included an optional guaranteed minimum income benefit rider with an annual cost of 1.15% of the contract value. The underlying subaccounts were allocated 70% to equity funds and 30% to fixed income. The product carried total annual expenses of 2.85% including mortality and expense charges, administrative fees, and the rider cost. Kessler received a 6.5% upfront commission of \$26,000 on the sale.

Ridgeline Financial Services operated in a state that had adopted common law fiduciary duty for insurance agents selling annuity products, requiring advisers to act in the best interest of their clients. Internal firm records showed that Kessler documented Mrs. Holloway's profile but did not memorialize any analysis of why the lengthy surrender period was appropriate given her age and health status. The firm's product shelf included immediate annuities and shorter-surrender-period deferred annuities that would have provided Mrs. Holloway with current income and greater liquidity. Six months after the purchase, Mrs. Holloway needed \$45,000 for home healthcare modifications and incurred a surrender charge of \$4,050 when she made a partial withdrawal.

Question

Did Kessler's recommendation of the 12-year surrender deferred variable annuity violate his duty of care and best interest obligations under applicable state fiduciary standards given Mrs. Holloway's age, health status, income needs, and liquidity requirements?

Answer

The recommendation violated Kessler's fiduciary duty of care under the applicable state's common law fiduciary standard for annuity sales. Under state fiduciary duty as analyzed in the Bhattacharya, Illanes, and Padi study, advisers must act in the best interest of their principals, including a duty of care requiring agents to exert effort on behalf of clients and a duty of loyalty requiring agents to put aside opportunities for private benefit.

Kessler failed the duty of care on multiple grounds. First, the 12-year surrender period was fundamentally unsuitable for

a 71-year-old client with a progressive neurological condition. Basic actuarial principles and reasonable care require consideration of a client's realistic time horizon. Mrs. Holloway's health status and age created a foreseeable need for liquidity that the product's structure directly contradicted. Second, her stated objective was income and capital preservation, yet the deferred annuity provided no immediate income stream while the immediate annuities on Ridgeline's product shelf would have directly addressed her needs. Third, the 70% equity allocation in the subaccounts contradicted her low risk tolerance and capital preservation objective.

The duty of loyalty was also breached. The \$26,000 commission created an obvious conflict of interest that Kessler resolved in his own favor rather than in Mrs. Holloway's interest. The research literature demonstrates that fiduciary duty operates by directly constraining low-quality advice, and here the recommendation exemplifies precisely the type of high-commission, unsuitable product that fiduciary standards are designed to prevent.

Kessler's failure to document any rationale for why the lengthy surrender period was appropriate demonstrates inadequate reasonable-basis suitability analysis. The subsequent \$4,050 surrender charge Mrs. Holloway incurred represents concrete harm flowing directly from the unsuitable recommendation. Ridgeline's supervisory systems also failed by permitting this transaction without flagging the obvious misalignment between client profile and product characteristics. The recommendation was not in Mrs. Holloway's best interest and constitutes a clear violation of state fiduciary standards.

Key Factor

The 12-year surrender period was fundamentally incompatible with a 71-year-old client's age, progressive health condition, and expressed need for accessible funds, demonstrating the adviser prioritized his \$26,000 commission over the client's best interest.

Item 354 of 499**COMPLIANT**

Topic: variable_universal_life_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellen Thornton, age 67, was a retired schoolteacher with a modest pension of \$2,800 monthly and approximately \$185,000 in savings. In March 2019, she met with registered representative David Koslow of Greenfield Wealth Partners, seeking advice on providing for her two adult grandchildren while maintaining sufficient liquidity for her own retirement needs. Mrs. Thornton indicated on her new account form that she had a moderate risk tolerance, a long-term investment horizon for the portion intended for her grandchildren, and an objective of wealth transfer combined with capital preservation for her own needs.

After a thorough analysis of Mrs. Thornton's financial situation, Koslow recommended she allocate \$75,000 to a variable universal life insurance policy with Lincoln Benefit Life. Koslow spent approximately two hours explaining the product's features, including the death benefit structure, the investment subaccount options, the policy's surrender charges, and the inherent market risk associated with the variable component. He specifically emphasized that the cash value could fluctuate based on market performance and that she could lose principal in adverse market conditions. Mrs. Thornton signed a comprehensive disclosure acknowledgment confirming her understanding of these risks.

Greenfield Wealth Partners' compliance department conducted a multi-level suitability review before approving the transaction, examining Mrs. Thornton's income, liquid net worth, existing insurance coverage, and stated objectives. The review confirmed that the \$75,000 allocation represented approximately 40% of her liquid assets, leaving \$110,000 in accessible savings and money market accounts for her personal needs. In March 2020, following significant market volatility related to the pandemic, Mrs. Thornton's policy cash value declined by approximately \$18,000. She filed a complaint alleging that Koslow had misrepresented the product and that it was unsuitable for someone her age. Mrs. Thornton passed away in July 2020, and the complaint remained unresolved. Greenfield's internal investigation concluded that all suitability protocols had been followed and that market losses were the sole cause of the diminished value.

Question

Did David Koslow's recommendation of the variable universal life insurance policy to Mrs. Thornton satisfy FINRA's suitability requirements given her age, financial profile, and stated investment objectives?

Answer

Based on the facts presented, David Koslow's recommendation of the variable universal life insurance policy to Mrs. Thornton appears to have satisfied FINRA Rule 2111 suitability requirements. The analysis supports a finding that the recommendation was suitable and the customer's complaint was factually erroneous.

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction is suitable for the customer based on information obtained through reasonable diligence. The rule encompasses three principal obligations: reasonable-basis suitability, customer-specific suitability, and

quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111(a), Koslow demonstrated adequate product knowledge by spending approximately two hours explaining the VUL policy's features, risks, surrender charges, and market exposure. This thorough explanation indicates he understood the product well enough to form a reasonable basis for recommendation.

For customer-specific suitability, the critical factors weigh in Koslow's favor. Mrs. Thornton's stated objectives included wealth transfer to grandchildren combined with capital preservation for personal needs--a VUL policy directly addresses the wealth transfer objective through its death benefit feature. Her indicated long-term investment horizon for the grandchildren's portion aligned with the product's structure. The allocation of \$75,000 from \$185,000 in savings left \$110,000 in liquid assets, representing approximately 59% of her savings remaining accessible for retirement needs. Her moderate risk tolerance was consistent with a variable product containing market exposure.

Greenfield's multi-level compliance review, examining income, liquid net worth, existing coverage, and objectives, demonstrates adherence to FINRA Rule 2010's standards of commercial honor and just principles of trade. The comprehensive disclosure acknowledgment signed by Mrs. Thornton confirms informed consent regarding market risks.

The subsequent \$18,000 decline resulted solely from extraordinary market volatility, not from product unsuitability. Market losses alone do not establish a suitability violation when the recommendation was appropriate at the time made. The claim that the product was unsuitable for someone her age fails when considering the legitimate wealth transfer purpose and adequate remaining liquidity. The recommendation was compliant with applicable suitability standards.

Key Factor

The VUL recommendation was suitable because it aligned with Mrs. Thornton's stated wealth transfer objectives, her moderate risk tolerance, and left adequate liquid assets for her personal retirement needs, with subsequent losses attributable solely to market volatility rather than product unsuitability.

Item 355 of 499**NON-COMPLIANT****Topic:** cryptocurrency_investment_suitability**Difficulty:** hard**Standard:** FINRA Rule 2111 (Suitability); Regulation Best Interest Rule 15l-1(a)(2)(ii) (Care Obligation); FINRA Rule 3110 (Supervision)**Source:** 09_Law_Firm_Memos**Fact Pattern**

In September 2021, Marcus Chen, a 67-year-old retired postal worker, visited Pinnacle Digital Wealth Advisors to discuss investing his \$340,000 in retirement savings, which represented substantially all of his liquid net worth. Chen had a fixed monthly income of \$2,800 from Social Security and a small pension, no other sources of income, and had consistently indicated on account documentation that he had a conservative risk tolerance and an investment objective of capital preservation with modest income generation. Chen mentioned to his registered representative, Derek Hoffmann, that he had read news articles about Bitcoin's price appreciation and was curious whether he should 'get in on it.' Hoffmann, who had recently attended a firm seminar on blockchain technology and cryptocurrency markets, enthusiastically recommended that Chen allocate \$170,000--exactly 50% of his retirement savings--to a portfolio consisting of Bitcoin, Ethereum, and three smaller altcoins through a cryptocurrency trading platform that Pinnacle had recently partnered with. Hoffmann explained that blockchain technology was 'revolutionary' and that cryptocurrencies represented 'the future of finance,' emphasizing the potential for substantial gains based on historical performance. He did not discuss the extreme volatility of cryptocurrency markets, the lack of regulatory protections, the possibility of total loss, or how such an allocation aligned with Chen's stated conservative risk tolerance and capital preservation objectives. The firm's supervisory system flagged the transaction for review due to the concentration level, but the branch manager approved it after a brief conversation with Hoffmann, who assured him that Chen 'understood the risks.' By March 2022, following a significant market downturn, Chen's cryptocurrency holdings had declined to approximately \$51,000, representing a loss of \$119,000 or 70% of that portion of his retirement savings. Chen filed a complaint alleging the recommendation was unsuitable given his age, risk tolerance, and financial circumstances.

Question

Did Hoffmann's recommendation that Chen invest 50% of his retirement savings in cryptocurrency satisfy the suitability and best interest obligations applicable to broker-dealers under FINRA rules and Regulation Best Interest?

Answer

The recommendation was not suitable and violated both FINRA Rule 2111 and Regulation Best Interest's Care Obligation. Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and liquidity needs. Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii) similarly requires that the broker exercise reasonable diligence, care, and skill to have a reasonable basis to believe the recommendation is in the customer's best interest based on their profile and does not place the broker's interest ahead of the customer's. Hoffmann's recommendation fails both standards on multiple grounds. First, the quantitative suitability component is violated because concentrating 50% of a 67-year-old retiree's entire liquid net worth in highly volatile, speculative assets is inconsistent with any reasonable interpretation of a conservative risk tolerance and capital preservation objective. Second, the customer-specific suitability requirement under Rule 2111(a) is breached because Chen's profile--fixed income, no other liquid assets, retirement-age, conservative stated tolerance--is fundamentally incompatible with speculative cryptocurrency investments that can lose substantial value rapidly, as occurred here.

Third, Hoffmann failed to exercise reasonable diligence under Reg BI by not discussing material risks including extreme volatility, lack of regulatory protection, and potential for total loss--information critical to assessing whether this recommendation served Chen's best interest rather than generating commissions for Hoffmann. The supervisory approval does not cure the underlying suitability failure, as FINRA Rule 3110 requires supervisors to conduct meaningful review, which did not occur here. The fact that Chen expressed curiosity about cryptocurrency does not transform an unsuitable recommendation into a suitable one; the broker retains the obligation to recommend only investments consistent with the customer's documented profile. This recommendation prioritized speculative appreciation potential over Chen's clearly documented need for capital preservation, constituting a clear violation.

Key Factor

Recommending that a conservative, 67-year-old retiree with capital preservation objectives invest 50% of his liquid net worth in highly volatile cryptocurrencies was fundamentally inconsistent with his documented investment profile.

Item 356 of 499**NON-COMPLIANT**

Topic: dual_standard_best_interest_cfp_reg_bi

Difficulty: hard

Standard: CFP Board Code of Ethics and Standards of Conduct (Duty of Care, Duty of Loyalty, Fiduciary Duty); SEC Regulation Best Interest Care Obligation; FINRA Rule 2111 (Suitability)

Source: 10_Academic_Articles

Fact Pattern

Margaret Chen, age 67, retired from her position as a hospital administrator in February 2023 with a \$485,000 lump sum pension distribution and \$125,000 in existing savings. She met with Bradley Simmons, a CFP(R) professional and registered representative at Cornerstone Financial Partners, seeking advice on how to invest her retirement assets to generate reliable income while preserving capital for potential long-term care needs. Mrs. Chen explicitly stated she had a conservative risk tolerance, needed approximately \$2,800 monthly to supplement her Social Security income, and was concerned about market volatility after witnessing her brother lose significant retirement savings in 2008. Her investment objective was capital preservation with modest income generation, and she had limited investment experience beyond employer-sponsored 401(k) plans invested in target-date funds.

During their March 2023 meeting, Simmons recommended Mrs. Chen invest \$350,000 into the Meridian Growth Sector Fund, an actively managed equity fund concentrated in technology and healthcare stocks with a 5.75% front-end load and 1.45% expense ratio. The fund had experienced 35% volatility over the prior three years and was categorized as 'aggressive growth' in the fund prospectus. Simmons also recommended \$135,000 into a variable annuity with a seven-year surrender period and annual fees totaling 2.8%, with subaccounts primarily invested in small-cap growth equities. Simmons documented in his client file that Mrs. Chen 'understood the growth potential' and 'wanted to maximize returns,' though no contemporaneous notes from the meeting reflected this conversation.

By September 2023, Mrs. Chen's portfolio had declined 22% due to sector concentration losses, and she faced surrender charges when she attempted to access funds for unexpected medical expenses. She filed complaints with both FINRA and CFP Board alleging the recommendations were unsuitable for her stated objectives and risk tolerance. Cornerstone's compliance records showed Simmons received enhanced grid payouts of 48% on the variable annuity sale compared to 38% on fixed income alternatives.

Question

Did Bradley Simmons satisfy his best interest obligations under both the CFP Board Code and Standards and SEC Regulation Best Interest when recommending the aggressive growth fund and variable annuity to Mrs. Chen?

Answer

Bradley Simmons violated his best interest obligations under both the CFP Board Code and Standards and Regulation Best Interest. The analysis reveals failures across multiple care and loyalty dimensions under both regulatory frameworks.

Under the CFP Board Code and Standards, effective October 1, 2019, Simmons owed Mrs. Chen a fiduciary duty requiring that Financial Advice be provided in the client's best interest, exercising the duty of care and duty of loyalty. The duty of care mandates that recommendations reflect prudent professional judgment considering the client's financial situation, needs, and objectives. Mrs. Chen's explicit conservative risk tolerance, capital preservation

objective, income needs of \$2,800 monthly, and limited investment experience created a clear client profile incompatible with aggressive growth investments. The Meridian Growth Sector Fund's 35% volatility and 'aggressive growth' classification directly contradicted her stated objectives. The variable annuity's seven-year surrender period was inappropriate given her age (67) and potential liquidity needs for long-term care expenses.

The CFP Board's duty of loyalty requires Financial Advice to be rendered 'without regard' to the interests of the CFP(R) professional or the firm. The enhanced grid payout structure (48% versus 38%) created representative-level financial incentives that appear to have influenced the recommendations, which CFP Board standards require be managed to prevent compromising the client's best interests.

Under Regulation Best Interest's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill when making recommendations, understanding the potential risks and rewards and having a reasonable basis to believe the recommendation is in the customer's best interest based on their investment profile. The SEC explicitly requires consideration of the customer's investment objectives, financial situation, and risk tolerance. Recommending concentrated equity exposure and an illiquid variable annuity to a 67-year-old conservative investor seeking capital preservation fails this standard.

Simmons's file documentation claiming Mrs. Chen 'wanted to maximize returns' contradicts her contemporaneous stated objectives and appears to be post-hoc rationalization rather than genuine suitability analysis. Both standards require client-specific analysis, not generic growth recommendations divorced from individual circumstances.

Key Factor

Simmons recommended aggressive growth products with high volatility and illiquidity to a 67-year-old conservative investor with explicit capital preservation objectives and income needs, directly contradicting her stated investment profile under both CFP and Reg BI standards.

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NON-COMPLIANT

Topic: oil_gas_investment_suitability_misrepresentation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2020 (Use of Manipulative, Deceptive or Other Fraudulent Devices); FINRA Rule 3110 (Supervision); Securities Exchange Act Section 10(b); Rule 10b-5

Source: 03_FINRA_AWC

Fact Pattern

Lone Star Energy Partners, LLC, a FINRA member firm based in Houston, Texas, and its principal, Marcus Delgado, solicited investments in a series of oil and gas joint venture offerings structured as general partnerships between January 2019 and August 2021. The firm raised approximately \$18.4 million from 127 retail investors for participation in drilling projects across the Permian Basin.

Eleanor Whitfield, a 68-year-old retired schoolteacher from Tulsa, Oklahoma, was contacted by Delgado in March 2020. Mrs. Whitfield had a modest investment portfolio of approximately \$340,000, consisting primarily of certificates of deposit and Treasury bonds. Her stated investment objectives on her new account form were capital preservation and income generation, with a conservative risk tolerance. She indicated on intake documents that she had no prior experience with alternative investments or oil and gas partnerships and that this portfolio represented substantially all of her liquid net worth accumulated over 35 years of teaching.

Delgado recommended that Mrs. Whitfield invest \$85,000--representing 25% of her liquid net worth--in the Lone Star Permian Venture VII offering. During his sales presentation, Delgado informed Mrs. Whitfield that investors in prior Lone Star ventures had received annual distributions averaging 22% of their invested capital, when internal records showed actual distributions averaged only 4.7%. Delgado did not provide Mrs. Whitfield with the Authorization for Expenditure documents he had prepared showing expected drilling costs that would significantly reduce potential investor returns. Furthermore, Delgado failed to disclose that Permian Venture VII was targeting an exploratory 'wildcat' well in an unproven formation with no established production history, instead describing it as a 'proven reserve' opportunity.

Delgado also provided Mrs. Whitfield with a geological assessment report purportedly prepared by an independent petroleum engineer, Dr. Samuel Reeves. In reality, Delgado had authored the report himself and fabricated the geologist credentials. The firm's written supervisory procedures contained no provisions addressing conflicts of interest arising from Delgado's dual role as principal and promoter of the offerings, and the firm conducted no independent suitability review of Mrs. Whitfield's investment given her profile.

Question

Did Lone Star Energy Partners and Marcus Delgado violate their suitability obligations under FINRA rules when recommending the Permian Venture VII investment to Eleanor Whitfield?

Answer

Yes, Lone Star Energy Partners and Marcus Delgado committed multiple, egregious suitability violations under FINRA Rule 2111 and related provisions.

FINRA Rule 2111 requires that a member or associated person have a reasonable basis to believe a recommended transaction is suitable for the customer based on information obtained through reasonable diligence concerning the

customer's investment profile. This rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding customer-specific suitability, the recommendation fundamentally failed. Mrs. Whitfield was a 68-year-old retiree with conservative risk tolerance, capital preservation objectives, no alternative investment experience, and the investment represented 25% of her entire liquid net worth. Oil and gas drilling partnerships--particularly exploratory wildcat wells--are inherently speculative, illiquid investments with substantial risk of total loss. Such investments are categorically unsuitable for an elderly, risk-averse investor seeking capital preservation. The concentration of 25% of liquid assets in a single speculative venture further compounds this violation.

The conduct also violated FINRA Rule 2020 (prohibiting manipulative and fraudulent practices) and Section 10(b) of the Securities Exchange Act with Rule 10b-5 thereunder through material misrepresentations and omissions. Delgado inflated prior distribution returns from 4.7% to 22%--a nearly five-fold exaggeration constituting material misrepresentation. The omission of AFE documents, the concealment of the wildcat well's exploratory nature, and the fraudulent attribution of a self-authored geological report to a fictitious independent expert each constitute material omissions that deprived Mrs. Whitfield of information essential to making an informed investment decision.

The firm further violated FINRA Rules 3110 (supervision) by failing to establish WSPs addressing conflicts arising from Delgado's dual roles and by conducting no independent suitability review despite obvious red flags in Mrs. Whitfield's customer profile.

No viable defense exists. The misrepresentations were intentional and documented. Mrs. Whitfield's profile unambiguously indicated this investment was inappropriate, and reasonable diligence would have prevented the recommendation. The sanctions would appropriately include restitution of Mrs. Whitfield's investment plus interest, substantial fines, and potential bars from the industry.

Key Factor

The recommendation of a speculative exploratory oil and gas partnership to a conservative, elderly retiree with no alternative investment experience, coupled with material misrepresentations about prior returns and the well's risk profile, constituted a fundamental breach of customer-specific suitability obligations.

Item 358 of 499

NON-COMPLIANT

Topic: fiduciary_duty_suitability_speculative_securities

Difficulty: hard

Standard: Investment Advisers Act of 1940 Section 206 (antifraud provisions); SEC v. Capital Gains Research Bureau fiduciary duty framework; SEC interpretation of adviser duty of care

Source: 10_Academic_Articles

Fact Pattern

Meridian Capital Advisors, LLC, a registered investment adviser based in Hartford, Connecticut, provided investment management services to retail clients under a fee-based advisory arrangement. Gerald Whitmore, the firm's founder and sole portfolio manager, managed approximately \$45 million in client assets as of March 2022. Among his clients was Eleanor Castellano, a 72-year-old retired schoolteacher with a total investable portfolio of \$380,000, representing substantially all of her retirement savings. Mrs. Castellano's Investment Policy Statement, signed in January 2021, indicated a 'conservative' risk tolerance, an investment objective of 'capital preservation with modest income,' and a five-year time horizon to fund living expenses and potential long-term care needs. Her annual income from Social Security and a small pension totaled \$34,000.

Between April and August 2022, Whitmore systematically repositioned Mrs. Castellano's portfolio from a diversified mix of investment-grade bonds and blue-chip dividend stocks into a concentrated position in early-stage biotechnology companies and cryptocurrency-related equities. By September 2022, approximately 68% of her portfolio was allocated to these speculative securities, including \$142,000 in a single pre-revenue biotech firm, Nexagen Therapeutics, and \$78,000 in shares of CryptoMine Holdings, a company that had only been publicly traded for eight months. Whitmore documented his rationale in internal notes as 'significant upside potential that client needs to meet future care expenses.'

Mrs. Castellano's portfolio declined by approximately \$167,000 (44%) between September 2022 and February 2023. When she inquired about the losses, Whitmore explained that he believed aggressive positioning was necessary to 'grow her assets sufficiently' for anticipated medical costs, despite having no documented basis for assuming her existing conservative allocation was insufficient. Mrs. Castellano had never expressed willingness to accept substantial principal risk, nor had Whitmore updated her Investment Policy Statement to reflect any change in risk tolerance or investment objectives. Whitmore had recommended similar speculative positions to three other elderly clients with conservative profiles during the same period.

Question

Did Meridian Capital Advisors and Gerald Whitmore breach their fiduciary duty under the Investment Advisers Act by recommending and implementing a highly speculative investment strategy for Mrs. Castellano?

Answer

Yes, Meridian Capital Advisors and Gerald Whitmore breached their fiduciary duty to Mrs. Castellano under the Investment Advisers Act of 1940. As established in SEC v. Capital Gains Research Bureau, Inc., the Supreme Court held that the Investment Advisers Act imposes a federal fiduciary duty on investment advisers requiring them to act in the best interests of their clients with undivided loyalty and utmost good faith. This fiduciary duty encompasses both a duty of loyalty and a duty of care.

The duty of care requires an investment adviser to provide advice that is suitable and in the best interest of the client based on the client's stated investment objectives, risk tolerance, financial situation, and other relevant circumstances. Here, Mrs. Castellano's documented profile unambiguously established conservative risk tolerance, capital preservation objectives, limited financial resources, and a short-to-intermediate time horizon. These factors demanded a prudent, conservative investment approach.

Whitmore's conduct violated this duty in multiple respects. First, concentrating 68% of a 72-year-old conservative client's life savings in speculative biotechnology and cryptocurrency-adjacent securities was fundamentally incompatible with her documented profile. The SEC has consistently interpreted the fiduciary standard to require that recommendations align with client-specific factors documented in client agreements. Second, Whitmore's unilateral determination that Mrs. Castellano 'needed' aggressive growth contradicts her expressed preferences and substitutes his judgment for her informed consent. Third, the failure to update the Investment Policy Statement before implementing a radically different strategy demonstrates a lack of the procedural diligence required of fiduciaries.

Whitmore's defense--that aggressive positioning was necessary for potential care expenses--fails because fiduciary duty requires advisers to honor client instructions and obtain informed consent before deviating from established parameters. The pattern of similar recommendations to other elderly conservative clients suggests a systematic disregard for individualized suitability analysis. Meridian Capital Advisors, as the registered adviser, bears responsibility for Whitmore's conduct and the firm's failure to supervise appropriately.

Key Factor

The adviser implemented a highly speculative investment strategy directly contradicting the client's documented conservative risk tolerance and capital preservation objectives without obtaining informed consent or updating the Investment Policy Statement.

Item 359 of 499

NON-COMPLIANT

Topic: elderly_investor_suitability_complex_products

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation; FINRA Rule 2010 (Standards of Commercial Honor); California Welfare and Institutions Code (Elder Financial Abuse)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, an 82-year-old widow residing in Pasadena, California, maintained accounts at Coastal Wealth Advisors LLC totaling approximately \$1.2 million, representing her entire life savings accumulated from her late husband's pension and the proceeds of their family home sale. In September 2023, her registered representative, Daniel Whitmore, recommended that Mrs. Holloway invest \$485,000 in a portfolio of leveraged exchange-traded funds (ETFs) tracking technology sector indices, including 3x leveraged products designed for daily rebalancing. Mrs. Holloway's new account form, completed in March 2022, documented her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her investment time horizon as '1-3 years,' and her liquid net worth as \$1.3 million. The form also noted she had no prior experience with leveraged products, options, or margin trading.

Whitmore's recommendation came during a period of significant market volatility. He assured Mrs. Holloway that the leveraged ETFs would 'double or triple her returns' and help her 'catch up' after losses in her fixed-income portfolio during 2022. He did not explain the compounding effects of daily rebalancing, decay risk, or the products' unsuitability for long-term holding periods. The firm's product due diligence materials clearly stated that leveraged ETFs were 'designed for sophisticated investors with short-term trading strategies' and were 'not appropriate for investors seeking to hold positions for more than one trading day.'

By February 2024, Mrs. Holloway's leveraged ETF positions had declined to \$187,000, a loss of approximately \$298,000 or 61%. When she complained to Whitmore, he encouraged her to 'stay the course' and suggested investing an additional \$100,000 to 'average down' her cost basis. Mrs. Holloway's daughter, Patricia, discovered the situation in April 2024 when reviewing her mother's account statements. Patricia, who held power of attorney for financial matters, immediately contacted Coastal Wealth's compliance department. An internal review revealed that Whitmore had made similar recommendations to six other elderly clients with conservative profiles during the same period, generating approximately \$47,000 in commissions for himself.

Question

Did Daniel Whitmore's recommendation of leveraged ETFs to Margaret Holloway satisfy FINRA's suitability requirements and the care obligation under Regulation Best Interest?

Answer

The recommendation was clearly unsuitable and violated both FINRA Rule 2111 and the care obligation under Regulation Best Interest. The analysis demonstrates multiple failures across all applicable suitability components.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three main obligations: reasonable-basis suitability, customer-specific suitability, and quantitative

suitability.

Whitmore failed customer-specific suitability comprehensively. Mrs. Holloway's documented profile--82 years old, conservative risk tolerance, income and capital preservation objectives, 1-3 year time horizon, no experience with leveraged products--was fundamentally incompatible with 3x leveraged ETFs. FINRA has repeatedly emphasized that leveraged and inverse ETFs are complex products unsuitable for typical retail investors, particularly those with long-term, buy-and-hold investment strategies.

Regulation Best Interest's Care Obligation requires that a broker exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, and have a reasonable basis to believe the recommendation is in the customer's best interest. Whitmore's conduct failed this standard entirely. He recommended products the firm's own due diligence materials identified as inappropriate for long-term holding, to a client whose profile screamed unsuitability. His \$47,000 in commissions across similar elderly clients suggests the recommendations prioritized his compensation over customer interests.

The firm's liability under FINRA Rule 2010 (standards of commercial honor) and potential failure to supervise under Rule 3110 is also implicated, given the pattern of unsuitable recommendations to elderly conservative investors.

Whitmore's assurances about 'doubling or tripling returns' without disclosure of decay risk and daily rebalancing mechanics constitute material omissions. His subsequent advice to 'average down' compounded the original violation. The recommendation was unsuitable, not in Mrs. Holloway's best interest, and constitutes potential financial elder abuse under California law.

Key Factor

The recommendation of 3x leveraged ETFs designed for daily trading to an 82-year-old widow with conservative risk tolerance, capital preservation objectives, and no experience with complex products was fundamentally unsuitable regardless of market conditions.

Item 360 of 499

NON-COMPLIANT

Topic: mutual_fund_share_class_selection_best_execution

Difficulty: hard

Standard: Investment Advisers Act Section 206(2) (fraudulent practices); Section 206(4) and Rule 206(4)-7 (compliance policies and procedures); Fiduciary duty of care including best execution obligation

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Keystone Wealth Partners, LLC ('Keystone'), a registered investment adviser based in Philadelphia, Pennsylvania, managed approximately \$340 million in assets through its Premier Wrap Program. Under this program, clients paid a single all-inclusive advisory fee of 1.25% annually, which covered investment management, trading costs, and transaction fees. The wrap fee structure made Keystone responsible for absorbing all trading expenses.

In March 2021, Margaret Chen, age 58, opened a wrap account with Keystone seeking moderate growth to supplement her pension during retirement, which she planned to begin in seven years. Ms. Chen transferred \$425,000 from her previous brokerage account, representing substantially all her liquid investable assets. Her stated risk tolerance was moderate, and her investment objective was long-term capital appreciation with income. Keystone's investment adviser representative, David Morrison, developed a portfolio allocation including 40% in diversified equity mutual funds.

Between April 2021 and November 2021, Morrison invested approximately \$170,000 of Ms. Chen's assets into seven different mutual funds through Keystone's clearing broker's no-transaction-fee ('NTF') platform. For each fund, Morrison selected the NTF share class even though lower-cost institutional share classes of the identical funds were available to clients who met the applicable minimum investment thresholds. For example, Morrison invested \$35,000 in the Meridian Growth Fund Class A shares with an expense ratio of 1.12%, when the same fund's Institutional Class shares were available with an expense ratio of 0.68% for a one-time transaction fee of \$25. Across all seven funds, the aggregate annual expense ratio differential cost Ms. Chen approximately \$1,870 per year in excess fund expenses, while Keystone would have incurred only \$175 in total transaction fees had it purchased the lower-cost share classes.

Keystone's compliance procedures did not require advisers to document any analysis of share class availability or comparative costs when selecting mutual funds for wrap accounts. The firm's internal guidance simply directed advisers to use the NTF platform 'when available' to minimize administrative burden. Morrison never conducted a best execution analysis comparing the long-term cost impact of NTF shares versus lower-cost alternatives for Ms. Chen's account.

Question

Did Keystone Wealth Partners fulfill its duty of care, including its best execution obligation, when it systematically invested Ms. Chen's wrap account assets in higher-cost NTF mutual fund share classes instead of available lower-cost share classes of the same funds?

Answer

Keystone Wealth Partners violated its fiduciary duty of care under Section 206(2) of the Investment Advisers Act of 1940 by failing to seek best execution for Ms. Chen's mutual fund investments. Under Section 206(2), it is unlawful for any investment adviser to engage in any transaction, practice, or course of business which operates as a fraud or deceit upon any client. The Commission has consistently interpreted this provision to encompass an adviser's duty of care, which includes the obligation to seek best execution of client transactions.

The duty of best execution requires advisers to seek the most favorable terms reasonably available under the circumstances for client transactions. This analysis must consider the full range of a broker's services, including execution capability, commission rates, and in the mutual fund context, the total cost to the client through expense ratios. Keystone systematically failed this standard.

First, Keystone's selection of NTF share classes was driven by its own financial interest in avoiding transaction fees it was contractually obligated to pay under the wrap arrangement, not by client benefit. The \$175 in transaction fees Keystone would have incurred was dwarfed by the \$1,870 annual expense differential imposed on Ms. Chen--a cost that would compound over her seven-year investment horizon to approximately \$13,000 in excess expenses.

Second, Morrison conducted no analysis whatsoever to determine whether the NTF share classes represented the most favorable value for Ms. Chen. A straightforward breakeven calculation would have demonstrated that for a long-term investor like Ms. Chen, paying a modest one-time transaction fee for institutional shares would have been substantially more beneficial than bearing ongoing higher expense ratios.

Third, Keystone's compliance procedures were deficient under Section 206(4) and Rule 206(4)-7 by failing to require any documentation or analysis of share class selection decisions. The blanket guidance to use NTF shares 'when available' institutionalized a practice that prioritized firm economics over client interests.

The fact that Ms. Chen was a moderate-risk, long-term investor made the selection of higher-cost share classes particularly inappropriate, as the compounding effect of elevated expenses would significantly erode her retirement assets. Keystone breached its duty of care by subordinating Ms. Chen's best interests to its own cost avoidance.

Key Factor

The adviser systematically selected higher-cost mutual fund share classes to avoid transaction fees it was obligated to pay under the wrap arrangement, without conducting any analysis of whether lower-cost alternatives would provide more favorable value to the client.

Item 361 of 499

NON-COMPLIANT

Topic: elderly_customer_suitability_annuity_recommendation

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2330 (Deferred Variable Annuities), 2010 (Standards of Commercial Honor), 3110 (Supervision)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Thornton, age 82, was a longtime customer at Bayside Financial Advisors, LLC. Following the retirement of her previous broker in January 2022, she was reassigned to registered representative Derek Holloway. At the time of reassignment, Mrs. Thornton's account held approximately \$485,000 in conservative municipal bond funds and short-term Treasury instruments, reflecting her stated investment objectives of capital preservation and income generation. Her customer profile documented that she was a widow living on Social Security and a modest pension totaling \$2,800 per month, had limited investment knowledge rated as 'low' on the firm's risk questionnaire, and had a time horizon of 3-5 years given her age and health concerns.

Within six weeks of becoming her broker of record, Holloway met with Mrs. Thornton at her assisted living facility and recommended she liquidate her entire portfolio to purchase a variable annuity with a 10-year surrender period, the Pinnacle Growth VA Select, which carried a 7% surrender charge in year one declining by 0.5% annually. The product offered exposure to equity sub-accounts and carried total annual expenses of 3.2%, including mortality and expense charges, administrative fees, and sub-account management fees. Holloway emphasized the 'guaranteed lifetime income benefit' rider, which added an additional 1.1% annual fee.

Mrs. Thornton executed the paperwork in February 2022, investing \$478,500 in the variable annuity. Holloway received a commission of approximately \$33,500. Internal firm records show that Holloway did not document any change in Mrs. Thornton's investment objectives, risk tolerance, or time horizon prior to making the recommendation. The firm's annuity principal review, conducted by supervisor Paul Vance, approved the transaction based solely on Holloway's verbal representation that 'the customer wanted guaranteed income.' No follow-up conversation with Mrs. Thornton was conducted.

By September 2022, the variable annuity had declined 18% in value due to equity market volatility. Mrs. Thornton, needing funds for unexpected medical expenses, discovered she would face a surrender charge of approximately \$27,000 to access her money. Her son filed a complaint with FINRA alleging the recommendation was grossly unsuitable for his mother's age, financial situation, and documented investment objectives.

Question

Did Derek Holloway's recommendation that 82-year-old Margaret Thornton invest her entire \$478,500 portfolio in a variable annuity with a 10-year surrender period violate FINRA suitability and annuity recommendation rules?

Answer

Yes, Holloway's recommendation violated FINRA Rules 2111 (Suitability), 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), and 2010 (Standards of Commercial Honor). The analysis reveals multiple failures across the applicable regulatory framework.

Under FINRA Rule 2111, a recommendation must satisfy three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Here, customer-specific suitability was fundamentally breached. Mrs. Thornton's documented profile showed capital preservation as her objective, low risk tolerance, a 3-5 year time horizon, and dependence on her portfolio for potential liquidity needs. A variable annuity with equity sub-accounts, a 10-year surrender period, and total annual expenses exceeding 4.3% directly contradicted every element of her investment profile.

FINRA Rule 2330 imposes heightened obligations for deferred variable annuity recommendations. Under Rule 2330(b), a member or associated person must have a reasonable basis to believe the customer has been informed of the features of the annuity, the customer would benefit from certain features (such as tax-deferred growth, annuitization, or death benefits), and the particular annuity is suitable based on the customer's age, income, financial situation, existing assets, liquidity needs, investment objectives, and risk tolerance. Holloway failed all of these elements. An 82-year-old customer with a 3-5 year time horizon cannot reasonably benefit from tax deferral features that require extended holding periods. The 10-year surrender period created severe liquidity risk for a customer whose documented needs and age made near-term access to funds foreseeable.

Rule 2330(c) requires principal review before transmitting an application. Supervisor Vance's approval based solely on Holloway's verbal representation, without independent customer contact or documentation review, constitutes a supervisory failure under both Rule 2330 and Rule 3110.

Holloway's defense that Mrs. Thornton 'wanted guaranteed income' is unavailing. Suitability is an objective standard; a customer's expressed desire does not override the broker's independent obligation to ensure a recommendation aligns with the customer's overall profile. The \$33,500 commission creates an inference of self-dealing that further undermines any claimed good faith.

The recommendation was unsuitable, and both Holloway and the firm violated applicable FINRA Rules.

Key Factor

Recommending a variable annuity with a 10-year surrender period to an 82-year-old customer with documented capital preservation objectives and a 3-5 year time horizon constituted a fundamental customer-specific suitability violation.

Item 362 of 499

NON-COMPLIANT

Topic: unsuitable_leveraged_etf_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111.05(a) (Reasonable-Basis Suitability), FINRA Rule 2111.05(b) (Customer-Specific Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 71, was a retired elementary school teacher who opened an account with Coastal Ridge Securities, LLC in March 2019. Her account documents indicated she had a conservative risk tolerance, an investment objective of income and capital preservation, liquid net worth of \$285,000, and annual income of \$42,000 from Social Security and a small pension. Mrs. Ellison explained to her financial adviser, Daniel Kavanaugh, that her investment portfolio represented her entire life savings and she could not afford to lose principal, as she had no other resources to draw upon for living expenses and potential medical costs.

In September 2019, Kavanaugh recommended that Mrs. Ellison invest \$95,000 (approximately 33% of her liquid net worth) in a 3x leveraged inverse ETF tracking the S&P 500 index, explaining it would provide 'enhanced returns' and 'protect her portfolio if the market declined.' Kavanaugh did not explain that leveraged inverse ETFs are designed for short-term trading, typically one day, and that holding such products for extended periods could result in significant losses due to volatility decay and daily rebalancing mechanics, regardless of the underlying index's performance over time.

Mrs. Ellison held the position for approximately fourteen months through November 2020. During this period, despite the S&P 500 recovering from the March 2020 decline and ending higher than when she purchased the ETF, Mrs. Ellison's position lost \$67,400, representing approximately 71% of her initial investment. When she contacted Kavanaugh to inquire about the losses, he had already left the firm. Mrs. Ellison filed a FINRA arbitration claim against Coastal Ridge Securities alleging unsuitable investment recommendations, breach of fiduciary duty, and negligence, seeking compensatory damages of \$67,400 plus interest.

Question

Did Kavanaugh's recommendation that Mrs. Ellison invest a substantial portion of her savings in a 3x leveraged inverse ETF violate FINRA's suitability requirements?

Answer

The recommendation clearly violated FINRA Rule 2111 (Suitability). This rule requires that a broker have a reasonable basis to believe a recommendation is suitable based on reasonable diligence concerning the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Rule 2111 imposes three distinct suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Kavanaugh failed the first two obligations decisively.

Regarding reasonable-basis suitability under Rule 2111.05(a), leveraged and inverse ETFs are complex products that

FINRA has specifically addressed as being unsuitable for buy-and-hold investors. These products reset daily and are designed for sophisticated traders implementing short-term strategies. A fourteen-month holding period fundamentally contradicts the product's intended use. Kavanaugh either failed to understand this product or deliberately disregarded its characteristics.

Regarding customer-specific suitability under Rule 2111.05(b), every element of Mrs. Ellison's investment profile contradicted this recommendation. Her age (71), conservative risk tolerance, income and capital preservation objectives, limited liquid net worth (\$285,000), modest fixed income, and explicit statement that she could not afford principal loss all demonstrate profound unsuitability. Concentrating 33% of her liquid net worth in a speculative 3x leveraged inverse product was grossly inappropriate.

Additionally, Kavanaugh violated FINRA Rule 2010 (Standards of Commercial Honor) by failing to adequately explain the product's mechanics and risks, particularly volatility decay and daily rebalancing. His characterization of the ETF as providing 'enhanced returns' and portfolio 'protection' was misleading and omitted material information necessary for Mrs. Ellison to make an informed decision.

The firm bears supervisory liability under FINRA Rule 3110 for failing to establish systems reasonably designed to prevent unsuitable recommendations of complex products to retail customers with conservative profiles. An arbitration panel would likely find in Mrs. Ellison's favor and award compensatory damages reflecting her \$67,400 loss.

Key Factor

Recommending a complex leveraged inverse ETF designed for short-term trading to a 71-year-old conservative investor seeking capital preservation, who then held it for fourteen months resulting in substantial losses.

Item 363 of 499

NON-COMPLIANT

Topic: suitability_of_complex_products_for_conservative_retiree

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Reasonable-Basis Suitability); FINRA Rule 2111.05(b) (Customer-Specific Suitability); FINRA Rule 210 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 72, was a retired school administrator who opened an account with Meridian Financial Services, LLC in March 2019. Her account documentation indicated she had a conservative risk tolerance, an investment objective of capital preservation with modest income generation, a 3-5 year time horizon, liquid net worth of \$340,000, and annual income of \$48,000 from pension and Social Security. She explicitly stated in her new account form that she could not afford to lose principal and needed the funds for healthcare expenses and supplemental retirement income.

Her assigned registered representative, Bradley Thornton, recommended Mrs. Holloway invest \$185,000--representing approximately 54% of her liquid assets--into a portfolio of leveraged exchange-traded funds (ETFs) focused on emerging market equities and a volatility-linked exchange-traded note (ETN). Thornton explained these products offered 'enhanced growth potential' and would 'supercharge her retirement savings.' He did not explain that leveraged ETFs reset daily and could experience significant value decay over holding periods longer than one day, nor did he disclose the credit risk associated with the ETN issuer.

Between March 2019 and February 2020, Mrs. Holloway's account lost approximately \$78,000, representing a 42% decline in her invested principal. During this period, Thornton made no contact with Mrs. Holloway to review the positions or recommend any adjustments despite the mounting losses. When Mrs. Holloway discovered the losses and contacted Meridian's compliance department in March 2020, she learned for the first time that the products she held were designed for short-term trading by sophisticated investors and were generally unsuitable for buy-and-hold retirement accounts. Meridian Financial Services conducted an internal review but took no disciplinary action against Thornton, who continued to recommend similar products to other clients.

Question

Did Bradley Thornton's recommendation of leveraged ETFs and a volatility-linked ETN to Margaret Holloway violate FINRA suitability requirements under Rule 2111?

Answer

The recommendation clearly violated FINRA Rule 2111's suitability requirements across all three component obligations: reasonable-basis, customer-specific, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111.05(a), Thornton failed to perform adequate due diligence on the recommended products. Leveraged ETFs and volatility-linked ETNs are complex derivative-based products with unique risk characteristics including daily reset mechanisms, compounding effects, and issuer credit exposure. FINRA has repeatedly emphasized that these products are generally unsuitable for retail investors with long-term holding strategies. Thornton's failure to understand--or his disregard of--these fundamental product characteristics represents a threshold violation.

The customer-specific suitability violation under Rule 2111.05(b) is particularly egregious. Mrs. Holloway's documented profile established her as a conservative, 72-year-old retiree with capital preservation objectives, a limited time horizon, modest liquid assets, and an explicit inability to sustain principal losses. Recommending that she concentrate 54% of her liquid net worth in highly volatile, leveraged products designed for short-term speculation directly contradicts every element of her investment profile. The mismatch between product characteristics and customer needs could not be more stark.

Additionally, Thornton violated his obligation under FINRA Rule 2010's just and equitable principles of trade by mischaracterizing these high-risk products as vehicles for 'enhanced growth' without disclosing their inherent risks and unsuitability for buy-and-hold strategies. This omission deprived Mrs. Holloway of material information necessary to make an informed investment decision.

The defense that Mrs. Holloway signed account documents does not cure the suitability violation. FINRA Rule 2111 imposes an independent obligation on the representative to ensure recommendations are suitable regardless of customer consent. The 42% loss over less than one year, while not determinative, provides compelling evidence that the inherent risks of these products materialized precisely as regulatory guidance predicted for long-term holders.

Meridian Financial Services also bears supervisory liability under FINRA Rule 3110 for failing to detect and prevent the unsuitable recommendations through its supervisory systems.

Key Factor

Thornton recommended highly volatile, leveraged products designed for short-term trading to a 72-year-old conservative retiree with capital preservation objectives and an inability to sustain principal losses, representing a direct contradiction of her documented investment profile.

Item 364 of 499

NON-COMPLIANT

Topic: digital_asset_suitability_elderly_investor

Difficulty: hard

Standard: NASAA Model Rule on Investment Adviser Fiduciary Duty; Ohio Revised Code Chapter 1707; Uniform Securities Act Section 502 (fraudulent and other prohibited practices); state suitability requirements for investment advisers

Source: 14_NASAA_State_Enforcement

Fact Pattern

Margaret Thornton, age 74, is a retired elementary school teacher residing in Columbus, Ohio. In March 2024, she met with Randall Pierce, an investment adviser representative at Quantum Horizon Advisors LLC, a state-registered investment adviser. Mrs. Thornton's financial profile showed liquid assets of \$285,000, consisting primarily of certificates of deposit and a conservative balanced mutual fund. Her stated investment objectives were capital preservation and modest income generation to supplement her \$2,100 monthly pension and Social Security benefits. She indicated low risk tolerance on her new account paperwork and noted that these funds represented her entire life savings, accumulated over 38 years of teaching.

During their second meeting on April 8, 2024, Pierce recommended that Mrs. Thornton reallocate \$142,500--exactly half of her liquid net worth--into a portfolio of digital asset tokens that he described as 'the future of finance with guaranteed growth potential.' Pierce presented her with marketing materials showing 300% returns over the prior 18 months and assured her that his firm had conducted 'extensive due diligence' on each token. The recommended allocation included three speculative tokens issued by offshore entities with no audited financial statements, minimal operating history, and no regulatory registration in any jurisdiction.

Pierce documented in his notes that Mrs. Thornton expressed concerns about volatility and asked whether she could lose her principal. According to his own contemporaneous notes, he responded that 'digital assets always recover' and that her investment horizon of 'a few years' was sufficient. He did not document any analysis of how this allocation aligned with her stated preservation objectives or low risk tolerance. By September 2024, the portfolio had declined 78% in value, leaving Mrs. Thornton with approximately \$31,350 of her original \$142,500 investment. She filed a complaint with the Ohio Division of Securities in November 2024, alleging that Pierce's recommendation was unsuitable and violated his fiduciary duty.

Question

Did Randall Pierce violate his fiduciary duty of care and the state suitability standard when recommending that Margaret Thornton invest half of her liquid assets in speculative digital asset tokens?

Answer

Pierce clearly violated both his fiduciary duty of care under the NASAA Model Rule on Investment Adviser Fiduciary Duty and Ohio state securities law suitability requirements. The analysis proceeds on multiple grounds.

First, under the NASAA Model Rule, an investment adviser owes clients a fiduciary duty encompassing a duty of care that requires the adviser to provide investment advice that is in the client's best interest. This duty mandates that recommendations be suitable based on the client's investment profile, including age, financial situation, investment objectives, risk tolerance, and time horizon. Pierce's recommendation failed every relevant factor.

Mrs. Thornton's profile demonstrates a textbook case of an unsuitable recommendation. At 74 years old with low risk tolerance, capital preservation objectives, and \$285,000 representing her entire life savings supplementing fixed retirement income, she was categorically inappropriate for speculative digital assets. The NASAA Model Rule requires advisers to conduct reasonable diligence regarding the recommended investment. Pierce recommended tokens from offshore issuers with no audited financials and minimal operating history--a failure of basic due diligence.

Second, Pierce's allocation of 50% of her liquid assets to a single speculative asset class demonstrates a complete disregard for prudent diversification principles inherent in fiduciary investment advice. Ohio's securities regulations, consistent with the Uniform Securities Act, prohibit recommendations that are unsuitable given the customer's investment profile.

Third, Pierce's documented response to Mrs. Thornton's explicit concerns about losing principal--assuring her that 'digital assets always recover'--constitutes a material misrepresentation. This statement has no factual basis and directly contradicts his duty to provide honest, accurate advice.

Pierce cannot defend by claiming Mrs. Thornton consented to the investment. A fiduciary cannot delegate his duty of care to the client. His obligation was to exercise independent professional judgment and decline to make unsuitable recommendations regardless of client acquiescence. The 78% loss, while not itself determinative, confirms the speculative nature Pierce should have identified before recommending this allocation. This constitutes a clear violation warranting disciplinary action.

Key Factor

Pierce recommended that a 74-year-old retiree with low risk tolerance and capital preservation objectives invest 50% of her life savings in unregistered, speculative digital asset tokens from offshore issuers, directly contradicting her documented investment profile and objectives.

Item 365 of 499

NON-COMPLIANT

Topic: unsuitable_concentration_elderly_customer

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Customer-Specific Suitability Obligations

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 74, was a retired schoolteacher residing in Queens, New York, with a fixed income of \$2,800 monthly from Social Security and a modest pension. In March 2019, she opened an account at Continental Securities Group LLC with representative David Hoffman. Mrs. Thornton's new account documentation indicated her investment objective was 'income with capital preservation,' her risk tolerance was 'conservative,' her liquid net worth was approximately \$340,000 (representing her entire retirement savings), and her investment time horizon was 5-10 years. She specifically stated on her customer profile that she needed predictable income to supplement her fixed expenses and could not afford significant losses.

Between April and July 2019, Hoffman recommended that Mrs. Thornton invest \$285,000--approximately 84% of her liquid net worth--into a single non-traded Real Estate Investment Trust called Meridian Healthcare Properties REIT. Hoffman explained to Mrs. Thornton that the REIT offered a 7.2% annual distribution and was 'as safe as owning real estate directly.' The product's offering documents, however, disclosed that the REIT was illiquid, with no established secondary market, had a minimum seven-year hold period, and carried substantial risk including potential total loss of principal. The documents also noted that distributions were not guaranteed and could be funded from sources other than operating income.

Mrs. Thornton signed the subscription documents but later testified in arbitration that Hoffman never explained the illiquidity features or the risks associated with concentrating nearly all her savings in a single alternative investment. In September 2021, Meridian Healthcare Properties REIT suspended distributions entirely due to portfolio underperformance and subsequently reduced its estimated per-share value by 38%. Mrs. Thornton filed a FINRA arbitration claim in January 2022 seeking \$175,000 in damages, alleging unsuitability and breach of fiduciary duty.

Question

Did David Hoffman's recommendation that Mrs. Thornton invest 84% of her liquid net worth in a single illiquid non-traded REIT violate FINRA's suitability requirements given her conservative risk profile, income needs, and age?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111. Under Rule 2111(a), a member or associated person must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on reasonable diligence concerning the customer's investment profile. Rule 2111(b) further requires that any recommended investment strategy involving a series of transactions must be suitable when viewed in totality.

FINRA Rule 2111 encompasses three primary suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Hoffman's recommendation fails the customer-specific suitability component, which requires the representative to have a reasonable basis to believe the recommendation is suitable for the

particular customer based on that customer's investment profile including age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon.

The facts demonstrate multiple suitability failures. First, Mrs. Thornton's documented conservative risk tolerance and capital preservation objective were fundamentally incompatible with an illiquid, high-risk alternative investment carrying potential total loss of principal. Second, concentrating 84% of a 74-year-old retiree's liquid net worth in a single non-traded REIT with a seven-year hold period directly contradicted her stated need for predictable income and reasonable liquidity. Third, Mrs. Thornton's reliance on these funds for retirement income made the illiquidity and distribution uncertainty particularly inappropriate for her circumstances.

Additionally, FINRA Rule 2010 requires members to observe high standards of commercial honor and just and equitable principles of trade. Hoffman's alleged mischaracterization of the REIT as 'safe as owning real estate directly'--without adequate disclosure of illiquidity, concentration risk, and potential principal loss--constitutes a violation of just and equitable principles.

Hoffman cannot defend on the basis that Mrs. Thornton signed subscription documents, as customer signature does not cure an unsuitable recommendation. The representative bears independent responsibility to ensure recommendations align with the customer's documented profile. The extreme concentration, product complexity, and customer vulnerability establish clear suitability violations warranting damages.

Key Factor

Recommending that a 74-year-old conservative investor with capital preservation objectives concentrate 84% of her retirement savings in a single illiquid, high-risk non-traded REIT directly contradicted her documented investment profile and liquidity needs.

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COMPLIANT

Topic: retirement_account_transfer_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Code of Arbitration Procedure Rule 12800

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollister, age 58, initiated a request in February 2025 to transfer her traditional IRA valued at approximately \$287,000 from Steadfast Wealth Advisors to Apex Digital Investing, LLC, a self-directed online brokerage platform. Mrs. Hollister had been managing her retirement savings conservatively through Steadfast, with a portfolio consisting primarily of target-date funds and investment-grade bond ETFs appropriate for her moderate risk tolerance and 7-year investment horizon until planned retirement at age 65.

Upon receiving Mrs. Hollister's ACAT transfer request, Apex Digital processed the account transfer within standard timeframes. The transfer completed on March 3, 2025, with all positions liquidated and cash transferred per the customer's explicit written instructions. Mrs. Hollister subsequently filed an arbitration claim against Apex Digital alleging the firm should not have accepted the transfer because it resulted in her retirement funds being placed in a self-directed environment without ongoing advisory guidance.

Apex Digital's records demonstrated that Mrs. Hollister completed the firm's standard account opening documentation, including acknowledgments that the platform was execution-only with no investment advice provided. The customer selected her own investment allocations after the transfer, choosing to invest heavily in technology sector ETFs and individual growth stocks--a departure from her previous conservative allocation. When the market experienced a 12% correction in April 2025, Mrs. Hollister's portfolio declined by approximately \$43,000.

Mrs. Hollister claimed Apex Digital was negligent in accepting her retirement assets without evaluating whether the self-directed platform was suitable for her profile. She sought \$43,000 in compensatory damages representing her portfolio losses, plus \$15,000 in punitive damages. Apex Digital responded that as an execution-only platform that made no recommendations, it had no suitability obligation regarding Mrs. Hollister's decision to transfer her account or her subsequent self-directed investment choices.

Question

Did Apex Digital Investing, LLC violate its suitability obligations under FINRA Rule 2111 by accepting the transfer of Mrs. Hollister's retirement account without evaluating whether the self-directed platform was appropriate for her investment profile?

Answer

Apex Digital Investing did not violate FINRA Rule 2111 suitability obligations, and the arbitrator would properly deny Mrs. Hollister's claims in their entirety.

FINRA Rule 2111 requires that a member firm or associated person have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence. The rule's applicability hinges on whether a 'recommendation' occurred. FINRA has consistently

interpreted Rule 2111 to apply only when a broker-dealer makes a recommendation--the rule does not impose suitability obligations on unsolicited transactions or customer-directed activity.

In this matter, Apex Digital functioned as an execution-only, self-directed brokerage platform. The firm made no recommendation that Mrs. Hollister transfer her account from Steadfast Wealth Advisors, nor did it recommend any specific investments after the transfer completed. Mrs. Hollister initiated the ACAT transfer request independently and subsequently made her own investment selections without input from Apex Digital personnel.

The customer's completion of account opening documentation acknowledging the execution-only nature of the platform further supports that no advisory relationship existed. When a customer affirmatively chooses to utilize a self-directed platform and makes independent investment decisions, the receiving firm has no suitability obligation under Rule 2111 regarding either the account transfer or subsequent trades.

Mrs. Hollister's losses resulted from her autonomous decision to shift from a conservative allocation to concentrated technology sector investments--choices made without any recommendation from Apex Digital. Under FINRA Rule 2010's standards of commercial honor, a firm is not required to refuse business from customers who choose self-directed investing, nor must it evaluate whether customers would be better served by advisory relationships elsewhere.

The arbitrator correctly determined that absent any recommendation by Apex Digital, no suitability obligation attached. The firm properly processed a customer-initiated transfer and provided the execution-only services Mrs. Hollister requested. Market losses from self-directed investment decisions do not create retroactive suitability claims against execution-only platforms.

Key Factor

Apex Digital made no recommendation triggering suitability obligations; the customer independently initiated the transfer and made self-directed investment decisions on an execution-only platform.

Item 367 of 499**COMPLIANT**

Topic: private_fund_suitability_sophisticated_investor

Difficulty: hard

Standard: Investment Advisers Act of 1940 fiduciary duty; SEC Interpretation Regarding Standard of Conduct for Investment Advisers (duty of care, duty to provide suitable advice, duty of inquiry)

Source: 16_Congressional_Materials

Fact Pattern

Whitmore Capital Advisors LLC, a registered investment adviser based in Boston, specializes in alternative investment strategies for high-net-worth and institutional clients. In September 2023, Marcus Thornton, age 58, approached Whitmore seeking to diversify his \$12 million investment portfolio. Thornton had recently retired as CFO of a publicly traded technology company, held an MBA from a top-tier business school, and had personally managed his own investments for over 25 years, including previous allocations to hedge funds and private equity.

During the initial consultation, Thornton completed a comprehensive investor questionnaire indicating a moderate-to-aggressive risk tolerance, a 15-year investment horizon, annual income from consulting of approximately \$400,000, liquid assets exceeding \$8 million beyond his primary residence, and a stated objective of capital appreciation with tolerance for illiquidity in exchange for enhanced returns. He specifically expressed interest in accessing venture capital opportunities similar to those he had observed during his corporate career.

Whitmore's senior adviser, Patricia Chen, recommended that Thornton allocate \$2.5 million (approximately 21% of his portfolio) to the Meridian Innovation Partners Fund III, a venture capital fund focused on late-stage technology companies. The fund carried a seven-year lockup period, a 2% management fee, and a 20% carried interest above an 8% preferred return hurdle. Chen provided Thornton with the fund's private placement memorandum, detailed historical performance data from prior Meridian funds, risk disclosures regarding illiquidity and potential total loss, and a comparison with alternative venture capital offerings. She documented three separate meetings totaling over four hours of discussion regarding the fund's strategy, risks, and fee structure.

Chen's recommendation memo noted that Thornton's remaining \$9.5 million in liquid assets would provide substantial financial cushion, that his income exceeded his living expenses, and that his prior experience with alternative investments demonstrated both sophistication and realistic expectations regarding illiquidity and return volatility. Thornton executed subscription documents acknowledging his accredited investor status and confirming he understood the risks involved.

Question

Did Patricia Chen satisfy her fiduciary duty of care under the Investment Advisers Act when recommending the Meridian Innovation Partners Fund III to Marcus Thornton?

Answer

Patricia Chen satisfied her fiduciary duty of care under the Investment Advisers Act of 1940. As a registered investment adviser, Whitmore Capital Advisors owes its clients a fiduciary duty encompassing both a duty of care and a duty of loyalty. The duty of care requires that investment advice be suitable for the client based on the client's financial situation, investment objectives, and risk tolerance, and that the adviser conduct a reasonable investigation into recommended investments.

Chen's recommendation demonstrates compliance with each element of the duty of care. First, regarding client-specific suitability, Thornton's profile strongly supports the recommendation: his \$12 million portfolio, \$400,000 annual consulting income, 15-year investment horizon, and explicitly stated moderate-to-aggressive risk tolerance with acceptance of illiquidity all align with a venture capital allocation. The \$2.5 million investment represents approximately 21% of his portfolio, leaving \$9.5 million in liquid assets--a prudent cushion that ensures the illiquid investment does not jeopardize his financial security.

Second, Thornton's sophistication weighs heavily in the analysis. His background as a public company CFO, MBA education, and 25 years of self-directed investing including prior alternative investments establish that he possesses the knowledge and experience to evaluate complex investment risks. The SEC has consistently recognized that sophisticated investors require less regulatory protection, as noted in guidance regarding accredited investor standards.

Third, Chen conducted a reasonable investigation and provided comprehensive disclosure. She furnished the private placement memorandum, historical performance data, risk disclosures, and competitive comparisons. The documented four hours of meetings across three sessions demonstrate thorough discussion of strategy, risks, and fees--far exceeding perfunctory sales presentations.

Finally, Chen's contemporaneous documentation of her reasoning, including analysis of Thornton's financial cushion and investment experience, reflects the reasonable-basis suitability analysis expected under fiduciary standards. The recommendation was tailored to the client's stated objectives and constraints, not a cookie-cutter product push. This conduct exemplifies the investment adviser's obligation to provide advice in the client's best interest with the care, skill, and diligence that a prudent adviser would exercise.

Key Factor

The recommendation was appropriate because Thornton's substantial liquid assets, long investment horizon, stated risk tolerance, and documented sophistication as a former public company CFO with prior alternative investment experience aligned with the illiquid venture capital fund's characteristics.

Item 368 of 499**COMPLIANT**

Topic: mutual_fund_share_class_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 62, opened an advisory account with Lakewood Financial Partners in March 2019. Her investment profile indicated moderate risk tolerance, an investment objective of growth and income for retirement supplementation, liquid net worth of \$340,000, and a 10-year investment horizon. She had limited investment experience, having previously held only certificates of deposit and a small 401(k) from her prior employer.

Her registered representative, Daniel Pearson, recommended she invest \$175,000 across a diversified portfolio of mutual funds. Given the size of her investment and the fee-based advisory account structure, Pearson specifically recommended Class I institutional shares where available and Class C shares for funds without institutional share class availability, explaining that this would minimize her ongoing costs compared to Class A shares with front-end loads.

Pearson documented in his account notes that he evaluated breakpoint eligibility for Class A shares but determined that the fee-based account structure with institutional shares would result in lower total cost of ownership over Mrs. Holloway's stated 10-year horizon. He provided her with a written comparison showing projected costs under both scenarios, which she signed acknowledging receipt. The analysis showed that for her \$175,000 investment, the institutional share classes would save approximately \$4,200 in the first year alone compared to A shares even with breakpoint pricing.

Eighteen months later, Mrs. Holloway's nephew, who worked in the insurance industry, reviewed her statements and convinced her that she should have received Class A shares with breakpoints. He referred her to an attorney who sent a demand letter to Lakewood Financial Partners alleging that Pearson had improperly placed her in share classes that generated higher ongoing fees without providing breakpoint benefits. Lakewood responded with detailed documentation of Pearson's analysis and share class comparison.

Question

Did Daniel Pearson satisfy his suitability obligation under FINRA Rule 2111 when recommending institutional share class mutual funds over Class A shares with breakpoints for Mrs. Holloway's fee-based advisory account?

Answer

Daniel Pearson satisfied his suitability obligation under FINRA Rule 2111, and the recommendation was appropriate for Mrs. Holloway's investment profile and account structure.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including factors such as age, financial situation, investment objectives, time horizon, and risk tolerance. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Pearson's recommendation demonstrates compliance with all applicable suitability components. First, regarding

reasonable-basis suitability under Rule 2111.05(a), Pearson conducted proper due diligence by comparing total cost of ownership between share classes, correctly identifying that institutional shares in a fee-based account would result in lower expenses over Mrs. Holloway's 10-year horizon. His analysis showing \$4,200 in first-year savings provides objective support for his recommendation.

Second, Pearson satisfied customer-specific suitability under Rule 2111.05(b). Mrs. Holloway's profile--moderate risk tolerance, growth and income objective, \$340,000 liquid net worth, 10-year horizon, and limited experience--was properly considered. The fee-based account structure with institutional shares aligned with her long-term investment approach, as ongoing advisory fees typically prove more economical than front-end loads for extended holding periods.

Critically, Pearson documented his analysis and obtained Mrs. Holloway's written acknowledgment of the share class comparison. This documentation demonstrates the reasonableness of his recommendation process. The allegation that A shares with breakpoints would have been superior fails upon examination--breakpoint pricing reduces front-end loads but does not eliminate them, while institutional shares typically carry no sales charges and lower expense ratios.

The complaint's fundamental misunderstanding appears to conflate share class selection in commission-based accounts with fee-based advisory accounts. In advisory accounts, institutional shares are typically the most suitable choice, as they avoid duplicative compensation structures. Pearson's conduct exemplifies proper suitability analysis and client communication. The claim lacks merit.

Key Factor

Pearson properly analyzed and documented that institutional share classes in a fee-based advisory account would result in lower total costs than Class A shares with breakpoints over the customer's stated investment horizon.

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NON-COMPLIANT

Topic: suitability_conservative_investor_aggressive_allocation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.04 (Customer-Specific Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 67, retired in January 2024 after 35 years as a public school administrator. She rolled over her \$485,000 403(b) retirement account to Pinnacle Wealth Advisors, a broker-dealer, in February 2024. During her onboarding meeting with registered representative David Thornton, Mrs. Chen completed an investor profile questionnaire indicating she was a conservative investor with a primary objective of capital preservation and income generation. She stated her risk tolerance was 'low,' noted she could not afford to lose more than 10% of her portfolio value, and explained these funds represented substantially all her liquid assets aside from a small emergency fund. Her annual pension income was \$52,000, and she anticipated needing to withdraw approximately \$18,000 annually from her investment account to supplement her living expenses.

Despite this documented profile, Thornton recommended an aggressive growth allocation consisting of 45% in small-cap growth equity funds, 25% in emerging market equities, 15% in a leveraged S&P 500 ETF, and only 15% in investment-grade bonds. Thornton told Mrs. Chen this allocation would 'maximize her retirement lifestyle' and that she had 'plenty of time for recovery if markets declined.' He did not discuss the leveraged nature of the ETF or explain that emerging markets historically experience significant volatility. The account documentation reflected Thornton had changed Mrs. Chen's investment objective to 'growth' without her explicit written authorization.

By August 2024, Mrs. Chen's portfolio had declined to \$371,000, a loss of approximately 23.5%, due to a correction in growth stocks and emerging market weakness. When she contacted Thornton expressing concern, he advised her to 'stay the course.' Mrs. Chen subsequently filed a customer complaint alleging unsuitable recommendations, which was disclosed on Thornton's CRD record as Occurrence Number 2101408.

Question

Did registered representative Thornton's investment recommendations violate FINRA suitability obligations given Mrs. Chen's documented investor profile and circumstances?

Answer

Thornton's recommendations clearly violated FINRA Rule 2111 (Suitability) and its component obligations. The analysis proceeds through each suitability element.

Regarding reasonable-basis suitability under Rule 2111(a), while aggressive growth allocations can be appropriate for certain investors, the inclusion of a leveraged ETF without adequate explanation of its mechanics and risks raises concerns about whether Thornton understood the products he recommended. Leveraged products reset daily and can produce unexpected results over extended holding periods, making them generally unsuitable for buy-and-hold retirement investors.

The customer-specific suitability violation under Rule 2111(a) is the most egregious. FINRA Rule 2111.04 requires

brokers to have a reasonable basis to believe recommendations are suitable based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, and liquidity needs. Mrs. Chen explicitly documented: (1) conservative risk tolerance; (2) capital preservation and income objectives; (3) inability to sustain losses exceeding 10%; (4) age 67 with retirement status; and (5) need for regular withdrawals of \$18,000 annually. An allocation of 85% to equities--including volatile small-caps, emerging markets, and leveraged products--directly contradicts every element of her stated profile.

Additionally, Thornton's apparent alteration of Mrs. Chen's investment objective from conservative to 'growth' without explicit written authorization compounds the violation and potentially implicates FINRA Rule 2010 (Standards of Commercial Honor). Firms cannot circumvent suitability obligations by unilaterally modifying customer documentation.

Thornton's defense that Mrs. Chen had 'plenty of time for recovery' is unavailing. At 67 with immediate income needs and no other significant liquid assets, her time horizon for recovery was limited, and her liquidity requirements precluded waiting out extended market downturns.

The 23.5% portfolio loss, which more than doubled her stated maximum tolerable loss, demonstrates the concrete harm resulting from the unsuitable recommendations. This case presents a textbook violation of customer-specific suitability under FINRA Rule 2111.

Key Factor

The representative recommended an 85% equity allocation including leveraged and emerging market products to a 67-year-old conservative retiree who explicitly documented low risk tolerance, capital preservation objectives, and inability to sustain losses exceeding 10%.

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NON-COMPLIANT

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.03 (Recommended Strategies); Regulation Best Interest Rule 15l-1(a)(2)(ii) (Care Obligation); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 67, retired in January 2023 after a 35-year career as a public school administrator. She rolled over her \$485,000 pension into an IRA at Pinnacle Wealth Advisors, LLC, seeking conservative income-generating investments to supplement her Social Security benefits of \$2,400 monthly. Her new account documents indicated a 'conservative' risk tolerance, 'income with capital preservation' as her primary objective, a 15-year investment time horizon, limited investment experience (having only owned target-date funds previously), and annual income of \$28,800 from Social Security alone.

Her assigned representative, David Thornton, CRD No. 5847221, conducted an initial consultation in February 2023 where Mrs. Chen emphasized she could not afford to lose principal and needed reliable quarterly income of approximately \$4,000 to cover her living expenses. Despite these stated objectives, Thornton recommended allocating \$290,000 (60% of her portfolio) to a mix of triple-leveraged ETFs, including TQQQ (3x Nasdaq-100), SOXL (3x Semiconductor), and UPRO (3x S&P 500), claiming these products would 'turbocharge her returns in the current bull market.' He also recommended \$120,000 in high-yield corporate bond funds rated BB or below.

Between February and October 2023, the leveraged ETF positions experienced significant volatility. Due to the daily rebalancing mechanism inherent to leveraged ETFs, the portfolio suffered decay losses even during periods when the underlying indices showed modest gains. By November 2023, Mrs. Chen's leveraged ETF holdings had declined to \$187,000, representing a loss of approximately \$103,000 or 35.5%. The high-yield bond positions also declined by 8%. Mrs. Chen's total portfolio value fell to approximately \$378,000. Throughout this period, Thornton made no effort to rebalance the portfolio or contact Mrs. Chen about the declining positions. When Mrs. Chen called to inquire about her losses in December 2023, Thornton advised her to 'stay the course' and that the positions would 'bounce back.' Pinnacle's written supervisory procedures specifically cautioned that leveraged ETFs were unsuitable for retirement accounts and required enhanced suitability documentation for customers over age 65.

Question

Did David Thornton's recommendation of leveraged ETFs and high-yield bonds to Margaret Chen violate FINRA suitability requirements and Regulation Best Interest's care obligation?

Answer

Yes, David Thornton's recommendations constituted clear violations of both FINRA Rule 2111 (Suitability) and Regulation Best Interest's care obligation under Exchange Act Rule 15l-1(a)(2)(ii).

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, investment objectives, and investment experience. Rule 2111.03 specifically addresses complex products and emphasizes that firms must understand the risks and features of recommended products and match them to

customer profiles.

There are three critical suitability failures here. First, regarding customer-specific suitability, Mrs. Chen was a 67-year-old retiree with a conservative risk tolerance, income and capital preservation objectives, limited investment experience, and dependence on portfolio income for living expenses. Leveraged ETFs are speculative instruments designed for short-term trading by sophisticated investors. FINRA has repeatedly warned that these products are generally unsuitable for retail investors, particularly those with buy-and-hold strategies, due to daily rebalancing decay and amplified volatility.

Second, concerning reasonable-basis suitability, Thornton either failed to understand or willfully ignored the mechanics of leveraged ETFs, which can lose value even when underlying indices gain over time due to volatility decay. No reasonable basis existed to recommend these products for a retirement income portfolio.

Third, under Regulation Best Interest's care obligation, Thornton was required to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs, and have a reasonable basis to believe the recommendation was in the customer's best interest without placing his own interests ahead of hers. Allocating 60% of a conservative retiree's assets to triple-leveraged ETFs fails this standard categorically.

Additionally, Thornton violated Pinnacle's own supervisory procedures, which prohibited leveraged ETFs in retirement accounts. This compounds the suitability failure and evidences a violation of FINRA Rule 2010 (Standards of Commercial Honor).

The recommendation was manifestly unsuitable, and Mrs. Chen would have strong grounds for recovery of her approximately \$103,000 in losses attributable to the leveraged ETF positions.

Key Factor

Recommending triple-leveraged ETFs--complex, volatile instruments designed for short-term sophisticated trading--to a 67-year-old conservative retiree dependent on portfolio income for living expenses directly contradicted her documented investment profile and objectives.

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NON-COMPLIANT

Topic: complex_product_suitability_self_directed_options

Difficulty: hard

Standard: FINRA Rule 2360(b)(16) (Options Account Approval), FINRA Rule 2111 (Suitability), FINRA Rule 3110 (Supervision), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

In September 2023, Marjorie Tillman, a 58-year-old administrative assistant earning \$52,000 annually, opened a self-directed brokerage account with Coastal Ridge Securities, LLC. During the online account opening process, Ms. Tillman indicated she had 'limited' investment experience, a 'moderate' risk tolerance, and her primary investment objective was 'capital preservation' for retirement in seven years. Her liquid net worth was approximately \$185,000, consisting primarily of her 401(k) rollover of \$140,000 and \$45,000 in savings.

During the options approval process, Ms. Tillman requested Level 3 options trading privileges, which would permit her to engage in spread strategies and write uncovered puts. Coastal Ridge's automated approval system flagged her application due to the mismatch between her stated limited experience and the requested options level. However, registered representative Derek Huang contacted Ms. Tillman by phone and, after a 12-minute conversation, approved her for Level 3 options trading. Mr. Huang's notes from the call stated only: 'Customer confirmed she watched YouTube videos on options and wants to generate income. Approved.'

Between October 2023 and February 2024, Ms. Tillman executed 47 options trades, including writing uncovered puts on volatile technology stocks and purchasing short-dated call options on leveraged ETFs. Her account suffered losses of \$67,400, representing approximately 36% of her total liquid net worth. Post-trade surveillance by Coastal Ridge's compliance department revealed that Ms. Tillman had contacted the firm's customer service line on three occasions expressing confusion about assignment risk and why her positions were automatically closed.

Coastal Ridge's written supervisory procedures required representatives approving elevated options levels to document the customer's specific options knowledge, prior trading experience, and understanding of maximum potential loss scenarios. The firm's procedures also required a suitability determination before approval of Level 2 or higher options privileges. Mr. Huang's documentation contained none of these required elements beyond the brief notation about YouTube videos.

Question

Did Coastal Ridge Securities and its representative Derek Huang violate their suitability and supervisory obligations in approving Ms. Tillman for Level 3 options trading and permitting her subsequent trading activity?

Answer

Yes, Coastal Ridge Securities and Derek Huang violated multiple regulatory obligations regarding the suitability of options trading for Ms. Tillman.

First, FINRA Rule 2360(b)(16) establishes specific requirements for options account approval. Before approving a customer for options trading, a member firm must obtain information concerning the customer's investment objectives, employment status, financial situation, and investment experience. The firm must then make a determination that

options trading is appropriate for the customer. Here, Mr. Huang's cursory 12-minute phone call and minimal documentation--noting only that the customer 'watched YouTube videos'--falls far short of the diligent inquiry required. The rule mandates that the firm have a reasonable basis to believe the customer has sufficient knowledge and experience to engage in the approved options strategies.

Second, FINRA Rule 2111 (Suitability) requires that recommendations have a reasonable basis and be suitable for the particular customer based on their investment profile. While Ms. Tillman used a self-directed platform, Mr. Huang's affirmative approval of her elevated options level constituted a recommendation that such trading was appropriate. Ms. Tillman's profile--limited investment experience, moderate risk tolerance, capital preservation objective, and concentration of retirement assets--was fundamentally inconsistent with Level 3 options privileges permitting uncovered puts and complex strategies.

Third, FINRA Rule 3110 requires member firms to establish and maintain supervisory systems reasonably designed to achieve compliance. Coastal Ridge's own written supervisory procedures required documentation of specific options knowledge and maximum loss understanding before elevated approval. Mr. Huang's approval violated these internal requirements, and the firm's post-trade detection--only after substantial losses--indicates deficient real-time supervision.

The customer's repeated calls expressing confusion about assignment risk further demonstrate she lacked the fundamental understanding necessary for the approved trading level. Coastal Ridge cannot rely on self-directed status to absolve responsibility when its representative actively intervened to approve unsuitable options privileges. The \$67,400 loss (36% of liquid net worth) to a near-retiree seeking capital preservation represents precisely the harm these suitability requirements are designed to prevent.

Key Factor

The representative's approval of Level 3 options privileges based solely on a brief phone call and notation about 'YouTube videos' failed to satisfy the diligent inquiry and documentation requirements for options approval when the customer's stated profile indicated limited experience and capital preservation objectives.

Item 372 of 499**NON-COMPLIANT**

Topic: suitability_illiquid_reit_elderly_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 72, was a retired school administrator who met with David Prescott, a registered representative at Ridgeview Securities, Inc. in March 2018. Mrs. Thornton had recently lost her husband and received a \$225,000 life insurance payout that she planned to use for income supplementation during retirement. Her new account documents indicated she had a conservative risk tolerance, an investment objective of income with capital preservation, a moderate investment experience limited to mutual funds and CDs, and liquid net worth of approximately \$310,000 including the insurance proceeds. Her primary income source was a \$2,800 monthly pension plus Social Security.

Prescott recommended that Mrs. Thornton invest \$175,000--representing 56% of her liquid net worth--into Meridian Healthcare Properties I, LLC, a non-traded Real Estate Investment Trust focused on skilled nursing facilities and assisted living properties. Prescott emphasized the 7% projected annual distribution and described it as 'safe real estate income' suitable for retirees. He provided the Private Placement Memorandum but did not walk through the risk factors with Mrs. Thornton, including the 10-year minimum holding period, lack of secondary market, and substantial front-end fees of 15% that would immediately reduce her investment value to approximately \$148,750.

By late 2022, Mrs. Thornton needed to access funds for unexpected medical expenses totaling \$45,000. She discovered she could not liquidate her REIT investment without accepting a 35% discount through a secondary market buyer, ultimately receiving only \$97,000 of her original \$175,000 investment. She also learned the distributions had been suspended in 2020 when several underlying properties experienced occupancy declines. Mrs. Thornton filed a FINRA arbitration claim in January 2023 alleging that Prescott and Ridgeview Securities failed to make a suitable recommendation given her age, liquidity needs, and conservative investment profile.

Question

Did David Prescott and Ridgeview Securities violate their suitability obligations under FINRA rules by recommending that Mrs. Thornton invest 56% of her liquid net worth in a non-traded REIT?

Answer

The recommendation to Mrs. Thornton violated FINRA Rule 2111's suitability requirements on multiple grounds. Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe a recommendation is suitable based on reasonable diligence concerning the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon.

First, the quantitative suitability component was violated. Concentrating 56% of a 72-year-old widow's liquid net worth in a single illiquid investment with a 10-year lockup is excessive given her age and limited time horizon. Mrs. Thornton's investment profile explicitly indicated capital preservation as an objective--fundamentally inconsistent with committing the majority of her assets to a speculative real estate venture she could not access for a decade.

Second, customer-specific suitability under Rule 2111(a) was breached. Her conservative risk tolerance and need for accessible funds to supplement retirement income were incompatible with a non-traded REIT. These products are inherently illiquid and carry substantial risks including distribution suspensions, as occurred here. FINRA has consistently emphasized that non-traded REITs are complex products requiring heightened suitability analysis, particularly for elderly investors dependent on investment income.

Third, Prescott's characterization of the investment as 'safe real estate income' without adequately explaining the illiquidity, 10-year holding period, and 15% front-end load violated FINRA Rule 2010's requirement for just and equitable principles of trade. The 15% fees alone meant Mrs. Thornton's investment immediately lost \$26,250 in value--a material fact for someone seeking capital preservation.

Ridgeview Securities bears supervisory liability under FINRA Rule 3110 for failing to establish systems reasonably designed to prevent unsuitable concentration in illiquid products for elderly, conservative investors. The firm should have flagged this transaction for enhanced review given the customer profile and concentration level.

The Panel would likely find violations of Rules 2111 and 2010, awarding compensatory damages representing the difference between Mrs. Thornton's investment and recovery, plus consideration of the lost income she was promised.

Key Factor

Recommending a 72-year-old conservative investor concentrate 56% of liquid assets in an illiquid non-traded REIT with a 10-year lockup period was fundamentally unsuitable given her age, income needs, and capital preservation objective.

Item 373 of 499**NON-COMPLIANT**

Topic: municipal_bond_suitability_due_diligence_failure

Difficulty: hard

Standard: MSRB Rule G-19 (Suitability); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); MSRB Rule G-17 (Fair Dealing)

Source: 03_FINRA_AWC

Fact Pattern

Coastal Capital Securities LLC, a FINRA member firm based in Newark, New Jersey, served as the sole underwriter for two municipal bond offerings in 2022 and 2023. The first offering, totaling \$2.8 million, was issued to finance the renovation of a student housing facility near Pemberton Community College. The second offering, valued at \$5.4 million, funded the acquisition and rehabilitation of Sunrise Gardens, a shuttered assisted-living facility in rural Pennsylvania.

Marcus Devlin, the firm's head of municipal securities, and senior registered representative Theresa Huang led both transactions. In November 2022, Devlin learned that another underwriting firm, Hartwell Municipal Partners, had abruptly withdrawn from the student housing deal after four months of due diligence work, abandoning its bond model and draft Preliminary Official Statement without compensation. Rather than investigating why Hartwell withdrew, Devlin characterized the abandoned documentation as a 'head start' and instructed Huang to proceed on an accelerated timeline without conducting independent due diligence.

The firm sold the student housing bonds to 47 retail customers, including Eleanor Vasquez, age 68, a retired school administrator with \$340,000 in investable assets seeking stable income with moderate risk tolerance. Devlin approved materials showing projected 94% occupancy rates, despite historical data indicating the dormitory never exceeded 71% occupancy. The materials also understated management fees by 35% and failed to disclose that the 'new' management company was the same entity that had previously managed the facility before its bankruptcy filing in 2019.

For the assisted-living facility bonds, Coastal Capital sold \$5.4 million to 62 customers, including retirees and conservative income investors. The offering documents presented fabricated historical financial performance data showing the facility as profitable, when in fact it had operated at a loss for its final three years before closing. Huang personally recommended these bonds to clients as 'safe municipal income investments backed by essential healthcare infrastructure' without verifying the underlying financial representations.

Question

Did Coastal Capital Securities, Devlin, and Huang violate their suitability obligations under MSRB Rule G-19 and FINRA Rules 2111 and 2010 by recommending and selling these municipal bonds to retail customers?

Answer

Yes, Coastal Capital Securities, Devlin, and Huang committed multiple suitability violations under MSRB Rule G-19 and FINRA Rules 2111 and 2010. The violations are clear and substantial.

MSRB Rule G-19 requires dealers to have a reasonable basis to believe that a recommended municipal security is suitable for at least some investors (reasonable-basis suitability) and for the specific customer to whom it is recommended (customer-specific suitability). This rule mandates that firms conduct adequate due diligence to

understand the risks and characteristics of municipal securities before recommending them. FINRA Rule 2111 imposes parallel reasonable-basis, customer-specific, and quantitative suitability obligations on broker-dealers.

The reasonable-basis suitability failure is manifest. Devlin and Huang proceeded with both offerings without conducting meaningful independent due diligence despite glaring red flags. Hartwell Municipal Partners' sudden withdrawal after months of work--forfeiting compensation and declining identification in offering documents--constituted an extraordinary warning that required heightened scrutiny, not acceleration. Instead, the respondents treated abandoned documentation as sufficient basis to proceed. For the student housing bonds, they used unrealistic 94% occupancy projections when historical data showed maximum 71% occupancy, understated management fees by 35%, and concealed that the 'new' manager was the same entity that had previously driven the facility into bankruptcy. For the assisted-living bonds, they presented fabricated profitability data for a facility that had operated at losses before closure. No reasonable due diligence could have supported a belief these bonds were suitable for any investor.

The customer-specific suitability violations are equally clear. Eleanor Vasquez, a 68-year-old retiree with moderate risk tolerance seeking stable income, was sold speculative bonds backed by distressed real estate projects with materially misrepresented fundamentals. The bonds' actual risk profile was wholly inconsistent with her stated objectives and financial situation.

Under FINRA Rule 2010, the firm and its representatives violated just and equitable principles of trade by recommending securities they had not adequately investigated and by using materially misleading information. The failure to probe obvious red flags and the reliance on false financial projections demonstrate a fundamental breach of the care obligation owed to customers.

Key Factor

The firm failed to conduct any meaningful independent due diligence despite knowledge that another underwriter had withdrawn from the transaction after extensive work, treating obvious red flags as opportunities for accelerated execution rather than signals requiring heightened scrutiny.

Item 374 of 499**NON-COMPLIANT**

Topic: unsuitable_complex_product_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) reasonable-basis suitability; FINRA Rule 2111.05(b) customer-specific suitability; FINRA Rule 2010 (Standards of Commercial Honor); Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 72, was a retired school teacher living in Rochester, New York, when she became a customer of Summit Ridge Financial Services, LLC in March 2018. Mrs. Ellison's late husband had passed away six months prior, leaving her with a \$425,000 life insurance payout and a modest pension of \$2,800 per month. During her new account opening with registered representative David Thornton, Mrs. Ellison completed a customer profile indicating conservative risk tolerance, capital preservation as her primary investment objective, a 5-year investment time horizon, and limited investment experience consisting only of certificates of deposit and a small mutual fund position her husband had managed. She explicitly stated her goal was to generate steady income to supplement her pension while preserving principal for potential healthcare needs.

Between April and August 2018, Thornton recommended that Mrs. Ellison invest \$285,000--approximately 67% of her liquid assets--into a portfolio of leveraged exchange-traded notes (ETNs) tied to volatility indices and inverse commodity positions. Thornton explained these products as 'enhanced income vehicles' that would provide 'superior returns compared to bonds.' He did not explain that the ETNs reset daily, were designed for short-term trading, and could lose substantial value even if the underlying index remained flat over time due to volatility decay and compounding effects. The ETNs carried expense ratios exceeding 1.5% annually and prospectus warnings stating they were unsuitable for buy-and-hold investors.

By February 2019, Mrs. Ellison's ETN portfolio had declined to \$127,000--a loss of approximately \$158,000 or 55% of her investment. When she contacted Thornton expressing alarm, he advised her to 'hold for recovery' rather than explaining that these products were structurally unsuitable for long-term holding. Mrs. Ellison filed a FINRA arbitration claim in November 2021, alleging violations of FINRA suitability rules and breach of the duty of care. Summit Ridge moved to dismiss under the eligibility rule, arguing the six-year period had not elapsed since the recommendations occurred between April and August 2018, only three years prior to the filing.

Question

Did David Thornton's recommendation that Mrs. Ellison invest the majority of her liquid assets in leveraged volatility and inverse commodity ETNs violate FINRA suitability requirements given her customer profile?

Answer

The recommendation clearly violated FINRA Rule 2111 suitability requirements on multiple grounds, and Mrs. Ellison's claims should proceed to hearing on the merits.

Under FINRA Rule 2111(a), a broker must have a reasonable basis to believe a recommendation is suitable based on reasonable diligence regarding the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule

establishes three distinct suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Thornton failed reasonable-basis suitability under Rule 2111.05(a). Leveraged and inverse ETNs are complex products designed for sophisticated traders executing short-term strategies. These products explicitly warn they are unsuitable for buy-and-hold investors due to daily reset mechanisms causing volatility decay. A broker recommending such products must understand their mechanics and risks--Thornton's characterization of them as 'enhanced income vehicles' demonstrates either fundamental misunderstanding or deliberate misrepresentation.

More critically, Thornton violated customer-specific suitability under Rule 2111.05(b). Mrs. Ellison's profile--age 72, conservative risk tolerance, capital preservation objective, 5-year time horizon, limited experience, and dependency on assets for healthcare needs--is antithetical to leveraged volatility products. Concentrating 67% of a conservative elderly widow's liquid assets in speculative instruments designed for professional traders constitutes a textbook suitability violation.

The recommendation also violated FINRA Rule 2010's just and equitable principles of trade. Describing complex leveraged products in misleading terms to an unsophisticated investor compounds the suitability failure with potential fraud implications under Exchange Act Section 10(b).

Summit Ridge's motion to dismiss under Rule 13206 should be denied. Unlike the underlying case where six years elapsed, Mrs. Ellison filed approximately three years after the recommendations--well within the eligibility period. The panel should find liability and award compensatory damages reflecting her \$158,000 loss, plus reasonable attorney's fees given the egregious nature of the misconduct.

Key Factor

Recommending leveraged volatility ETNs designed for short-term trading to a 72-year-old conservative widow seeking capital preservation represents a fundamental customer-specific suitability violation.

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COMPLIANT

Topic: treasury_securities_suitability_for_conservative_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 4512 (Customer Account Information)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Riverstone Capital Partners, a mid-sized broker-dealer based in McLean, Virginia, maintained a retail customer base that included Margaret Thornton, a 68-year-old retired federal government employee. Mrs. Thornton opened her account in March 2022 with \$425,000 in liquid assets, representing approximately 60% of her total net worth. Her account documentation reflected a conservative risk tolerance, a primary investment objective of capital preservation with modest income generation, a 10-year investment time horizon, and annual income needs of approximately \$18,000 from her portfolio to supplement her pension and Social Security benefits.

In April 2022, her registered representative, David Kowalski, recommended that Mrs. Thornton allocate \$300,000 of her portfolio to a ladder of U.S. Treasury securities with maturities ranging from 6 months to 5 years. The recommendation included \$50,000 in 6-month T-Bills, \$75,000 in 2-year Treasury Notes, \$100,000 in 3-year Treasury Notes, and \$75,000 in 5-year Treasury Notes. Kowalski explained that Treasuries offered safety of principal backed by the full faith and credit of the U.S. government, predictable income streams, and high liquidity in the secondary market should Mrs. Thornton need access to funds.

Kowalski documented his rationale in a contemporaneous memorandum, noting that the laddered structure would provide Mrs. Thornton with regular maturity dates to either reinvest or access principal as needed. He also noted that the remaining \$125,000 would be allocated to a money market fund and investment-grade municipal bonds. The total projected annual income from the Treasury ladder was approximately \$12,500 at then-prevailing rates, with the remainder of her income needs to be met through the municipal bond allocation.

Mrs. Thornton's quarterly statements showed stable account values with no significant losses, and she received regular interest payments as projected. Eighteen months later, a routine FINRA examination reviewed Kowalski's recommendations to several senior investors, including Mrs. Thornton.

Question

Did David Kowalski's recommendation that Mrs. Thornton invest \$300,000 in a ladder of U.S. Treasury securities satisfy his suitability obligations under applicable FINRA rules?

Answer

Yes, David Kowalski's recommendation satisfied his suitability obligations under FINRA Rule 2111. The analysis requires examination of all three suitability components: reasonable-basis, customer-specific, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111.05(a), U.S. Treasury securities are among the most creditworthy fixed-income instruments available, backed by the full faith and credit of the U.S. government. Treasury securities are highly liquid, with robust secondary market trading as noted in industry discussions regarding Treasury market transparency. Kowalski had reasonable grounds to believe that his recommendation of Treasury securities was

suitable for at least some investors, particularly those with conservative objectives.

Customer-specific suitability under Rule 2111.05(b) is clearly satisfied here. Mrs. Thornton's documented investment profile established a conservative risk tolerance, capital preservation objective, and income needs of \$18,000 annually. At age 68 with a 10-year time horizon, she required stability and predictable cash flows. The laddered Treasury structure directly addressed these needs by providing government-guaranteed principal protection, scheduled maturity dates for liquidity, and predictable interest income. The allocation of \$300,000 (approximately 71% of her liquid assets) to Treasuries was proportionate to her conservative profile rather than an over-concentration in an unsuitable product.

Quantitative suitability under Rule 2111.05(c) is not implicated as there was no pattern of excessive trading--the recommendation involved a single allocation decision with a buy-and-hold strategy.

Kowalski also fulfilled his obligations under FINRA Rule 4512 by maintaining adequate customer account information documenting Mrs. Thornton's investment profile, risk tolerance, and financial situation. His contemporaneous memorandum demonstrated reasonable diligence in matching the recommendation to her documented needs.

The recommendation aligned with FINRA's heightened focus on senior investor protection, as the strategy avoided complex products, provided liquidity, and preserved capital--all appropriate considerations for a 68-year-old retiree dependent on portfolio income. This constitutes a compliant suitability determination.

Key Factor

The Treasury ladder recommendation directly matched Mrs. Thornton's documented conservative risk tolerance, capital preservation objective, and income needs, demonstrating proper customer-specific suitability analysis.

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NON-COMPLIANT

Topic: complex_product_suitability_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Exchange Act Rule 15l-1 (Regulation Best Interest Care Obligation)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 78, had been a client of Pinnacle Financial Advisors, Inc. since 2015. In March 2022, her registered representative, David Callahan, reviewed her account following the death of her husband. Mrs. Thornton's updated financial profile showed liquid assets of \$485,000 consisting primarily of proceeds from her late husband's life insurance policy and the couple's joint savings. Her sole income was Social Security benefits of \$2,340 per month. Her stated investment objective was capital preservation with modest income generation, and her risk tolerance was documented as conservative. She expressed to Callahan that her primary concern was having sufficient funds to cover potential long-term care expenses and leaving a modest inheritance to her two grandchildren.

Despite this clearly conservative profile, Callahan recommended that Mrs. Thornton invest \$325,000--approximately 67% of her liquid assets--into a portfolio of leveraged inverse exchange-traded funds (ETFs) tied to various sector indices, including energy, technology, and emerging markets. Callahan explained these products would 'protect against market downturns' and generate 'enhanced returns in volatile markets.' The product prospectuses clearly stated these instruments were designed for sophisticated investors with short-term trading horizons, typically holding periods of one day, and were unsuitable for buy-and-hold strategies.

Callahan did not provide Mrs. Thornton with the prospectuses or explain the daily reset mechanism, compounding decay, or the amplified risks of holding leveraged inverse ETFs for extended periods. Mrs. Thornton held these positions for fourteen months. By May 2023, the portfolio had declined in value to \$118,000, representing a loss of approximately \$207,000 or 64% of her investment. When Mrs. Thornton complained, Pinnacle's compliance department reviewed the matter and discovered that Callahan had made similar recommendations to seven other elderly clients with conservative profiles, resulting in aggregate losses exceeding \$890,000. Pinnacle terminated Callahan's registration in June 2023, and Mrs. Thornton subsequently filed a FINRA arbitration claim seeking compensatory damages.

Question

Did David Callahan violate his suitability obligations under FINRA rules when he recommended leveraged inverse ETFs to Margaret Thornton, and would this conduct also constitute a violation of the duty of care under Regulation Best Interest?

Answer

David Callahan clearly violated FINRA Rule 2111 (Suitability) and, to the extent Regulation Best Interest applied to the March 2022 recommendation, also breached the Care Obligation under Rule 15l-1(a)(2)(ii) of the Exchange Act.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon. Rule 2111 encompasses three distinct

obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Callahan failed customer-specific suitability analysis on multiple grounds. Mrs. Thornton was 78 years old, recently widowed, with conservative risk tolerance, capital preservation objectives, and dependence on Social Security income. Leveraged inverse ETFs are explicitly designed for sophisticated traders with short-term horizons--typically single-day holding periods--and carry prospectus warnings that they are unsuitable for buy-and-hold investors. Recommending that a 78-year-old conservative investor allocate 67% of her liquid assets to such instruments represents a fundamental mismatch between product characteristics and customer profile.

Additionally, Callahan's failure to explain the daily reset mechanism, compounding decay, and amplified volatility risks suggests a violation of reasonable-basis suitability. A representative cannot satisfy reasonable-basis obligations without understanding--and conveying--the essential characteristics of complex products.

Under Regulation Best Interest's Care Obligation, Callahan was required to exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and have a reasonable basis to believe the recommendation was in Mrs. Thornton's best interest. The recommendation of leveraged inverse products to be held for fourteen months--contrary to their designed purpose--cannot satisfy this standard. The concentration of 67% of assets in these instruments further demonstrates disregard for her financial security and liquidity needs.

Callahan's conduct also implicates FINRA Rule 2010 (Standards of Commercial Honor), as the pattern of similar unsuitable recommendations to multiple elderly clients suggests systematic misconduct rather than isolated error. No reasonable defense exists; the product characteristics and client profile are fundamentally incompatible, and the losses were foreseeable given the holding period.

Key Factor

The recommendation of leveraged inverse ETFs designed for single-day holding periods to a 78-year-old conservative investor for a fourteen-month hold constitutes a fundamental mismatch between product design and customer investment profile.

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NON-COMPLIANT

Topic: suitability_options_trading_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2360 (Options); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, opened a brokerage account with Clearwater Securities, LLC in March 2024. During her onboarding meeting with registered representative Derek Simmons, Mrs. Holloway disclosed that she was a retired school teacher with a fixed annual income of \$42,000 from Social Security and a modest pension. Her liquid net worth totaled approximately \$185,000, representing her entire retirement savings. On her new account form, Mrs. Holloway indicated her investment objective as 'income and preservation of capital' and her risk tolerance as 'conservative.' She explicitly stated she had no prior experience trading options or derivatives and wanted safe investments to supplement her retirement income.

In April 2024, Simmons recommended that Mrs. Holloway allocate \$75,000 of her portfolio to an options trading strategy involving selling uncovered put options on volatile technology stocks, including positions in companies that had experienced 40-50% price swings over the prior six months. Simmons explained this would generate 'steady premium income' but did not adequately explain the unlimited downside risk associated with naked put writing or the margin requirements that could force liquidation of her other holdings. He documented the recommendation as suitable based on her 'desire for income generation.'

Between April and August 2024, Mrs. Holloway's account suffered losses of \$47,800 when several technology stocks declined sharply and her short put positions were assigned. She faced margin calls totaling \$23,000 and was forced to liquidate her dividend-paying stock portfolio at depressed prices to meet the calls. By September 2024, her account value had declined from \$185,000 to approximately \$112,000, a loss of nearly 40% of her retirement savings. Clearwater's supervisory system flagged the options activity as potentially unsuitable in June 2024, but the branch manager approved continued trading after a brief telephone conversation with Simmons.

Question

Did Derek Simmons violate his suitability obligations under FINRA rules when he recommended the uncovered options strategy to Mrs. Holloway?

Answer

Yes, Derek Simmons violated FINRA Rule 2111 suitability obligations through multiple failures in recommending the uncovered put options strategy to Mrs. Holloway.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Simmons failed the customer-specific suitability requirement, which mandates that a broker have a reasonable basis to believe the recommendation is suitable for the particular customer based on that customer's investment profile. Mrs.

Holloway's profile clearly established: (1) conservative risk tolerance; (2) investment objectives of income and capital preservation; (3) zero experience with options trading; (4) limited liquid net worth of \$185,000 representing her entire retirement savings; and (5) fixed income dependency as a 67-year-old retiree. Recommending uncovered put options--a strategy with theoretically unlimited loss potential--to a conservative, inexperienced retiree whose stated objective was capital preservation fundamentally contradicts every element of her customer profile.

Additionally, Simmons violated FINRA Rule 2360's options suitability requirements, which impose heightened obligations when recommending options transactions. The rule requires brokers to have reasonable grounds for believing the customer has sufficient knowledge and experience to evaluate the risks. Mrs. Holloway had no options experience, and Simmons failed to ensure she understood the unlimited downside risk and margin implications.

Simmons's documentation that the recommendation was suitable based on 'desire for income generation' reflects a fundamental mischaracterization of the customer's profile. Income was secondary to Mrs. Holloway's primary objective of capital preservation. This documentation does not cure the underlying unsuitability.

Furthermore, Clearwater's supervisory failure--approving continued trading despite system flags--constitutes a violation of FINRA Rule 3110 supervisory obligations. The branch manager's cursory telephone review was inadequate given the obvious red flags.

The 40% portfolio loss directly resulted from recommendations that no reasonable broker could have believed were suitable for this customer.

Key Factor

Recommending an unlimited-risk options strategy to a conservative, inexperienced 67-year-old retiree seeking capital preservation directly contradicted every element of her documented investment profile.

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NON-COMPLIANT

Topic: variable_annuity_exchange_suitability

Difficulty: hard

Standard: FINRA Rules 2330(b)(1)(A)-(B), 2330(c), 2330(d), 2330 Supplementary Material .05, FINRA Rule 3110(a)-(b), FINRA Rule 2010

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Cornerstone Wealth Advisors, Inc., a FINRA member firm based in Pittsburgh, Pennsylvania, employed registered representative Marcus Dalton, who specialized in retirement planning for clients nearing or in retirement. Between March 2018 and August 2021, Dalton recommended a series of variable annuity exchanges to his client, Eleanor Vance, a 68-year-old retired schoolteacher with approximately \$485,000 in liquid assets, a moderate risk tolerance, and an investment objective of capital preservation with modest income generation.

Mrs. Vance initially purchased a deferred variable annuity from Pacific Life in 2016 with a \$275,000 investment, which included a seven-year surrender period and a guaranteed minimum withdrawal benefit rider. In March 2018, Dalton recommended she exchange this annuity into a Jackson National product, triggering a \$16,500 surrender charge (6% of contract value). The Jackson annuity carried similar features but a new seven-year surrender period. Dalton documented that the exchange provided 'enhanced death benefit provisions,' though Mrs. Vance had no dependents and had repeatedly stated estate planning was not a priority.

In November 2019, just 20 months later, Dalton recommended Mrs. Vance exchange the Jackson annuity into a Nationwide product, incurring another \$14,200 surrender charge. The documented rationale cited 'improved subaccount options,' though the new annuity's expense ratios were 0.35% higher annually. Finally, in August 2021, Dalton recommended a third exchange into an Allianz variable annuity, resulting in a \$12,800 surrender charge. Over this three-year period, Mrs. Vance paid \$43,500 in surrender charges--approximately 15.8% of her original investment--while gaining no material improvement in benefits aligned with her stated objectives.

Cornerstone's compliance department received automated alerts flagging Dalton's elevated variable annuity exchange rate, which exceeded 40% of his total annuity transactions. However, the firm's supervisory system merely required a supervisor to document a brief conversation with the representative rather than conduct an independent suitability analysis. The reviewing principal, Sandra Holbrook, approved each exchange based solely on Dalton's representations without examining surrender charge impact, benefit comparisons, or Mrs. Vance's documented investment profile.

Question

Did Cornerstone Wealth Advisors and its registered representative violate FINRA suitability requirements in recommending three successive variable annuity exchanges to Mrs. Vance within a 41-month period?

Answer

Yes, Cornerstone Wealth Advisors and Marcus Dalton violated FINRA Rules 2330, 3110, and 2010 through the pattern of unsuitable variable annuity exchanges recommended to Mrs. Vance.

Under FINRA Rule 2330(b)(1)(A), firms and associated persons must have a reasonable basis to believe that a variable annuity transaction is suitable for the customer based on their investment profile. Rule 2330(b)(1)(B) specifically

requires that for exchanges, the suitability determination must consider whether the customer would incur a surrender charge, be subject to a new surrender period, lose existing benefits, and whether the transaction would benefit the customer materially. The three exchanges imposed \$43,500 in cumulative surrender charges--15.8% of Mrs. Vance's original principal--while providing no documented material benefit aligned with her stated objectives of capital preservation and income generation. The purported benefits (enhanced death benefits, improved subaccounts) were either irrelevant to her profile or negated by higher expenses.

Rule 2330 Supplementary Material .05 mandates consideration of whether a customer has had another deferred variable annuity exchange within the preceding 36 months. Mrs. Vance experienced three exchanges within 41 months, with two occurring within 20 months of each other--a glaring red flag that demanded heightened scrutiny.

Cornerstone also violated FINRA Rule 3110(a) and Rule 2330(c)-(d). Rule 2330(c) requires principal review within seven days and approval only upon determining reasonable basis for suitability. Rule 2330(d) mandates surveillance procedures to detect inappropriate exchange rates. While Cornerstone's system generated alerts identifying Dalton's 40%+ exchange rate, the firm's response was deficient. Principal Holbrook approved transactions based solely on representative assertions without independent analysis of surrender charge impact, benefit comparisons, or client profile alignment. This rubber-stamp approach failed to satisfy the substantive review requirement.

The firm cannot assert reliance on representative disclosures as a defense when automated surveillance specifically flagged the problematic pattern. The duty to supervise under Rule 3110 includes reasonable investigation of red flags and appropriate responsive action. These violations of Rules 2330 and 3110 also constitute violations of FINRA Rule 2010's ethical standards requirement.

Key Factor

The firm failed to conduct substantive suitability analysis of serial variable annuity exchanges despite automated alerts flagging the representative's inappropriate exchange rate, resulting in \$43,500 in surrender charges with no material customer benefit.

Item 379 of 499**COMPLIANT**

Topic: roth_conversion_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, was a longtime client of registered representative Derek Lansing at Heartland Wealth Advisors, LLC. In January 2024, Mrs. Thornton contacted Lansing to discuss converting her traditional IRA, valued at approximately \$485,000, to a Roth IRA. Mrs. Thornton had recently retired from her position as a hospital administrator and was receiving a pension of \$62,000 annually. Her total annual income from all sources was approximately \$78,000, placing her in the 22% federal tax bracket. She had no significant outstanding debts, owned her home outright, and maintained an emergency fund of \$45,000 in liquid savings.

During their meeting on January 15, 2024, Lansing conducted a comprehensive review of Mrs. Thornton's financial situation. He documented her moderate risk tolerance, her investment objective of capital preservation with modest growth, and her 15-20 year investment time horizon. Lansing analyzed the tax implications of converting the entire IRA balance versus partial conversions over multiple years. He explained that a full conversion would generate approximately \$485,000 in taxable income for 2024, potentially pushing her into the 35% bracket and triggering Medicare IRMAA surcharges.

Based on this analysis, Lansing recommended a phased conversion strategy: converting \$75,000 annually over approximately six years, which would keep Mrs. Thornton within the 24% bracket while minimizing Medicare premium impacts. He provided written documentation of his analysis, including projected tax savings of approximately \$58,000 compared to a lump-sum conversion. Mrs. Thornton agreed to this approach, and Lansing processed the first \$75,000 conversion in March 2024.

In October 2024, Mrs. Thornton filed a complaint alleging that Lansing failed to act on her requests for a full Roth conversion and that his recommendation of partial conversions was unsuitable because she wanted to minimize her estate's future tax burden. She claimed damages of \$15,000 representing estimated additional administrative costs of multiple conversions.

Question

Did Derek Lansing's recommendation of a phased Roth IRA conversion strategy satisfy his suitability and best interest obligations under applicable regulatory standards?

Answer

Lansing's phased Roth conversion recommendation satisfied his regulatory obligations under both FINRA Rule 2111 (Suitability) and Regulation Best Interest. The recommendation was compliant, and Mrs. Thornton's claim lacks merit.

Under FINRA Rule 2111, a representative must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, and time horizon. Lansing demonstrably satisfied all three components of

suitability analysis.

Regarding reasonable-basis suitability under Rule 2111(a), Lansing conducted appropriate due diligence on Roth conversion strategies and understood the tax implications of various approaches. For customer-specific suitability, he gathered comprehensive information about Mrs. Thornton's income (\$78,000 annually), tax bracket (22%), risk tolerance (moderate), investment objective (capital preservation), and time horizon (15-20 years). His recommendation directly addressed her specific circumstances.

Under Regulation Best Interest's Care Obligation, Lansing exercised reasonable diligence, care, and skill in analyzing conversion options. He evaluated multiple alternatives--full conversion versus phased conversion--and selected the approach that provided quantifiable benefits: approximately \$58,000 in projected tax savings. This demonstrates that he considered reasonably available alternatives and recommended the strategy that was in Mrs. Thornton's best interest.

The documentation Lansing maintained is particularly significant. He provided written analysis showing the tax bracket impact of each approach, the Medicare IRMAA implications, and the comparative cost analysis. This contemporaneous documentation evidences his reasonable basis for the recommendation.

Mrs. Thornton's complaint essentially argues that her subjective preference for immediate full conversion should override Lansing's professional analysis. However, suitability obligations do not require a representative to execute whatever strategy a customer prefers; rather, they require recommendations to be appropriate for the customer's actual financial circumstances. Lansing's phased approach was objectively superior for Mrs. Thornton's stated objectives and financial profile. Her claim of \$15,000 in additional administrative costs is speculative and vastly outweighed by the documented tax savings.

The claim should be denied, and expungement is appropriate as the allegation is factually unfounded.

Key Factor

Lansing conducted documented analysis demonstrating the phased conversion strategy was objectively superior for the customer's tax situation and investment objectives, satisfying both suitability and best interest standards.

Item 380 of 499**NON-COMPLIANT**

Topic: suitability_unregistered_adviser_recommendations

Difficulty: hard

Standard: California Corporations Code Sections 25230, 25234, 25241, 25242; NASAA Model Rule on Unethical Business Practices of Investment Advisers; California Code of Regulations Title 10, Section 260.241.4(e)

Source: 14_NASAA_State_Enforcement

Fact Pattern

Horizon Capital Advisors, a California-based sole proprietorship operated by Marcus Chen, held an investment adviser certificate issued by the California Department of Financial Protection and Innovation in March 2018. Chen's client roster included Eleanor Vance, a 71-year-old retired schoolteacher residing in Sonoma County with a modest \$340,000 investment portfolio representing her entire liquid net worth. Mrs. Vance's documented investment profile indicated a conservative risk tolerance, income-generation objective, a 5-7 year time horizon, and limited investment experience beyond certificates of deposit and municipal bonds.

Between January and August 2022, Chen recommended that Mrs. Vance liquidate her existing portfolio of investment-grade municipal bonds and reallocate approximately \$285,000 into a combination of leveraged exchange-traded funds tracking volatile technology sector indices and speculative micro-cap equities. Chen represented to Mrs. Vance that these investments would 'supercharge' her retirement income and that the market timing was ideal for aggressive growth strategies. Chen did not document any change in Mrs. Vance's risk tolerance or investment objectives that would justify such a dramatic shift in strategy.

Critically, Horizon Capital Advisors had failed to file its annual Form ADV updating amendment for fiscal year 2021, and the California DFPI had issued an Order to Discontinue Violation in September 2022 followed by a Suspension Order in November 2022. Chen continued providing investment advice to Mrs. Vance and executing trades in her account through December 2022, despite his firm's suspended and subsequently revoked registration status. By February 2023, Mrs. Vance's portfolio had declined to approximately \$127,000, representing a loss of over 55% of her reallocated assets.

When Mrs. Vance's daughter reviewed the account statements and discovered the concentration in speculative securities, she contacted the DFPI, which confirmed that Horizon Capital Advisors' investment adviser certificate had been summarily revoked effective December 2022. Chen had never informed Mrs. Vance of the regulatory actions against his firm or that he was operating without a valid registration while continuing to manage her assets.

Question

Did Marcus Chen violate his suitability and fiduciary obligations under California state securities law by recommending leveraged ETFs and micro-cap equities to Mrs. Vance, and does his continued advisory activity after suspension compound the violation?

Answer

Marcus Chen violated multiple provisions of California securities law and his fiduciary duties to Mrs. Vance. The analysis proceeds on two grounds: the unsuitability of his recommendations and his unlawful conduct while unregistered.

First, under California Corporations Code Section 25234 and the NASAA Model Rule on Unethical Business Practices of Investment Advisers, investment advisers owe a fiduciary duty requiring them to provide advice that is suitable for the client's financial situation, investment objectives, and risk tolerance. Mrs. Vance's documented profile--a 71-year-old retiree with conservative risk tolerance, income-generation objectives, limited investment experience, and a portfolio representing her entire liquid net worth--was fundamentally incompatible with leveraged ETFs and speculative micro-cap equities. Leveraged ETFs carry amplified volatility and are generally appropriate only for sophisticated investors with short-term trading horizons, not elderly retirees seeking income preservation. Chen's failure to document any legitimate change in Mrs. Vance's investment profile that would justify the reallocation demonstrates a clear breach of his duty of care.

Second, Chen's continued advisory activities after receiving the Order to Discontinue Violation in September 2022 and the Suspension Order in November 2022 constitute violations of California Corporations Code Section 25230, which prohibits any person from transacting business as an investment adviser unless properly registered. Under Section 25242(c), the Commissioner may summarily revoke certificates for failure to file required reports and maintain records. Chen's operation while suspended--and subsequently revoked--meant that every recommendation and trade executed for Mrs. Vance during this period was conducted unlawfully, compounding his fiduciary breaches.

The 55% portfolio loss directly resulted from unsuitable recommendations made by an adviser who knew or should have known his registration was in jeopardy. Chen cannot claim reasonable basis suitability when the products were categorically inappropriate for Mrs. Vance's profile. His failure to disclose the regulatory actions further evidences bad faith. This case presents egregious violations warranting enforcement action and potential disgorgement of advisory fees collected during the violation period.

Key Factor

Chen recommended speculative, high-volatility investments categorically unsuitable for an elderly conservative investor while simultaneously operating under suspended and revoked registration status.

Item 381 of 499**COMPLIANT**

Topic: ira_investment_suitability_elderly_customer

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2111 Supplementary Material .03 (Customer Investment Profile Factors)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Fontaine, age 78, was a retired schoolteacher who opened Individual Retirement Accounts at Crescent Capital Securities, LLC in March 2018. Her accounts totaled approximately \$485,000, representing her life savings and primary source of retirement income beyond Social Security. On her new account documentation, Mrs. Fontaine indicated a 'moderate' risk tolerance, 'income with capital preservation' as her investment objective, and a 15-year investment time horizon. Her annual income was \$42,000 from pension and Social Security, with liquid net worth of approximately \$520,000.

Her assigned financial adviser, Thomas Brennan, conducted an in-person meeting and telephone consultations totaling approximately four hours over two weeks to understand Mrs. Fontaine's financial situation. During these conversations, Mrs. Fontaine repeatedly expressed concern about outliving her money and the importance of steady income. Brennan documented these conversations in his client notes, including her statement that she wanted 'nothing too risky' but understood she needed some growth to combat inflation.

Based on this profile, Brennan recommended a portfolio allocation of 55% investment-grade bond funds, 25% dividend-paying blue-chip equity funds, 15% balanced funds, and 5% money market funds. The recommended bond funds had average durations of 5-7 years and investment-grade credit ratings. The equity holdings focused on established companies with consistent dividend histories. The total annual expense ratio across the portfolio averaged 0.62%.

In December 2019, Mrs. Fontaine's son, Gregory, obtained power of attorney following her dementia diagnosis. Gregory reviewed the account statements and noticed the portfolio had experienced approximately \$31,000 in unrealized losses during a market correction in late 2018. Gregory filed a FINRA arbitration claim in August 2020 on behalf of his mother's estate after her passing, alleging that Brennan breached his fiduciary duty by failing to truly know his customer and that the equity exposure was unsuitable for a 78-year-old retiree dependent on these funds for income.

Question

Did Brennan's recommended portfolio allocation breach his suitability obligations under FINRA Rule 2111 given Mrs. Fontaine's age, retirement status, and dependence on the IRA for income?

Answer

Based on the facts presented, Brennan's recommendations likely satisfied his suitability obligations under FINRA Rule 2111, and a panel would appropriately dismiss the claims.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. The rule encompasses

three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching to the customer's profile), and quantitative suitability (avoiding excessive trading).

Regarding customer-specific suitability under Rule 2111(a), Brennan's process demonstrates compliance with the know-your-customer requirement. He conducted extensive consultations totaling four hours, documented Mrs. Fontaine's stated objectives and concerns, and obtained her completed account documentation indicating moderate risk tolerance and an income-with-capital-preservation objective. The 15-year time horizon she indicated, while perhaps optimistic for a 78-year-old, was her own stated horizon and Brennan reasonably relied upon it.

The recommended portfolio allocation--55% investment-grade bonds, 25% dividend equities, 15% balanced funds, and 5% money market--is consistent with a moderate risk tolerance and income-focused objective. The 25% equity allocation provided inflation protection while the 75% fixed-income and cash allocation prioritized capital preservation. The selection of investment-grade bonds and established dividend-paying equities represented conservative choices within each asset class.

Critically, temporary unrealized losses during market corrections do not establish unsuitability. FINRA Rule 2111 does not guarantee investment performance or protect against market risk. The \$31,000 unrealized loss (approximately 6.4% of portfolio value) during the late 2018 correction was within normal market fluctuation parameters for a moderate portfolio.

The claimant's argument that any equity exposure was unsuitable based solely on the customer's age fails. Rule 2111 Supplementary Material .03 specifically notes that a customer's age is one of many factors, not a determinative one. Mrs. Fontaine's own documented statements acknowledging the need for growth to combat inflation, combined with her moderate risk tolerance designation, support the appropriateness of limited equity exposure.

The panel would correctly find that Brennan fulfilled his suitability obligations through adequate documentation, reasonable allocation, and alignment with the customer's stated profile.

Key Factor

Brennan's extensive documentation of client consultations and the portfolio's alignment with Mrs. Fontaine's own stated moderate risk tolerance and income-with-growth objective established compliance with customer-specific suitability requirements.

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NON-COMPLIANT

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; Securities Exchange Act Section 15(l); FINRA Rule 2111 (Suitability)

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Clearwater Financial Advisors, LLC is a dual registrant offering both brokerage and investment advisory services to retail clients. In March 2023, registered representative Daniel Hoffman met with new client Patricia Engstrom, a 67-year-old recently retired elementary school teacher. Mrs. Engstrom had accumulated \$485,000 in retirement savings, consisting of a 403(b) rollover of \$340,000 and personal savings of \$145,000. Her stated investment objectives were capital preservation and income generation to supplement her \$2,100 monthly pension. On her new account form, Mrs. Engstrom indicated 'conservative' risk tolerance and a 15-year investment time horizon, with moderate investment knowledge limited to mutual funds held through her employer plan.

During their initial consultation, Hoffman explained that traditional fixed income investments were yielding historically low returns and suggested an alternative strategy. He recommended that Mrs. Engstrom invest \$145,000 (30% of her total portfolio) in ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF tracking the NASDAQ-100 Index. Hoffman described the product as 'a more efficient way to capture technology growth' and emphasized strong historical returns during bull markets. He briefly mentioned that the fund 'uses leverage' but did not explain daily rebalancing mechanics, volatility decay, or the SEC's own warnings that leveraged ETFs are designed for short-term trading and may be unsuitable for buy-and-hold investors.

Mrs. Engstrom executed the purchase on March 15, 2023, and Hoffman did not recommend any subsequent monitoring or exit strategy. By September 2023, following a period of market volatility, the position had declined to \$87,500--a 40% loss--despite the NASDAQ-100 Index declining only 12% over the same period. When Mrs. Engstrom called Hoffman expressing concern, he advised her to 'hold on for recovery' rather than explaining the compounding effects of daily leverage that made full recovery mathematically improbable. No suitability documentation explaining the rationale for recommending a 3x leveraged product to a conservative, income-focused retiree was maintained in the client file.

Question

Did Daniel Hoffman's recommendation of a 3x leveraged ETF to Mrs. Engstrom satisfy his obligation to act in the customer's best interest under Regulation Best Interest?

Answer

No, Daniel Hoffman's recommendation of TQQQ to Mrs. Engstrom violated Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii). The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to have a reasonable basis to believe that the recommendation is in the best interest of the retail customer based on that customer's investment profile.

Under Rule 15l-1(b)(2), a customer's investment profile includes age, financial situation, investment objectives, investment experience, risk tolerance, and time horizon. Mrs. Engstrom's profile--a 67-year-old conservative retiree

seeking capital preservation and income with moderate investment knowledge--is fundamentally incompatible with a 3x daily-leveraged ETF. The SEC has consistently warned that leveraged and inverse ETFs are complex products designed for sophisticated, short-term traders who understand daily rebalancing and can actively monitor positions.

Hoffman failed the Care Obligation on multiple grounds. First, he lacked reasonable diligence in understanding TQQQ's mechanics and risks relative to the customer's needs. A 3x leveraged product exhibits volatility decay that makes it structurally unsuitable for buy-and-hold strategies, particularly for income-focused retirees. Second, the 30% portfolio concentration in a single speculative instrument contradicted Mrs. Engstrom's stated capital preservation objective. Third, Hoffman's failure to explain daily rebalancing, the potential for amplified losses, or to establish any monitoring protocol demonstrates absence of reasonable care.

Hoffman's defense that he disclosed the fund 'uses leverage' is insufficient. Regulation BI requires more than nominal disclosure; the Care Obligation demands that the recommendation itself be suitable regardless of disclosure. The recommendation must have a reasonable basis considering the specific customer. Additionally, advising Mrs. Engstrom to 'hold for recovery' after substantial losses further evidences a fundamental misunderstanding of the product incompatible with the skill requirement.

The absence of contemporaneous suitability documentation compounds the violation, as member firms must maintain records demonstrating the basis for recommendations. This recommendation constituted a clear violation of the Care Obligation, exposing Mrs. Engstrom to risks entirely inconsistent with her conservative profile and retirement income needs.

Key Factor

Recommending a 3x daily-leveraged ETF designed for short-term trading to a conservative 67-year-old retiree seeking capital preservation and income, without adequate product understanding or suitability documentation.

Item 383 of 499**NON-COMPLIANT**

Topic: suitability_complex_product_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollings, a 67-year-old retired schoolteacher, opened an account with Meridian Financial Partners in September 2019. Her account documentation indicated she had a conservative risk tolerance, an investment objective of capital preservation and income generation, liquid net worth of \$340,000 (primarily her retirement savings), annual pension income of \$48,000, and no prior experience with complex investment products. Mrs. Hollings explicitly stated during her account opening interview that she needed her investments to be safe because this represented her entire life savings beyond her pension.

Her assigned representative, Bradley Vincenzo, recommended in October 2019 that Mrs. Hollings invest \$185,000--approximately 54% of her liquid net worth--in a portfolio of leveraged exchange-traded funds (ETFs) tracking the energy sector and emerging markets. Vincenzo explained these products would provide 'enhanced returns' and were 'just like regular index funds but better.' He did not explain the daily reset mechanism, volatility decay, or the compounding effects that make leveraged ETFs unsuitable for long-term holding periods. The recommendation documentation contained only a brief notation stating 'client wants growth' despite her recorded objectives.

By March 2020, during the market volatility associated with the pandemic, Mrs. Hollings' leveraged ETF positions had declined by approximately \$127,000--a loss of nearly 69% on those positions. When Mrs. Hollings contacted Vincenzo in distress, he recommended she hold the positions to 'wait for recovery,' despite the mathematical reality that leveraged products do not recover proportionally to their underlying indices. Mrs. Hollings ultimately liquidated her remaining positions in June 2020, realizing total losses of \$142,000. She filed a FINRA arbitration claim in August 2022 alleging unsuitable investment recommendations.

Question

Did Bradley Vincenzo's recommendation that Mrs. Hollings invest 54% of her liquid net worth in leveraged ETFs violate FINRA suitability requirements given her documented investment profile?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111. Bradley Vincenzo failed to satisfy his suitability obligations across all three required components.

Regarding reasonable-basis suitability under Rule 2111(a), Vincenzo was required to have a reasonable basis to believe the leveraged ETFs were suitable for at least some investors based on reasonable diligence. FINRA has repeatedly emphasized that leveraged ETFs are complex products with unique characteristics--including daily rebalancing, volatility decay, and path dependency--that make them generally unsuitable for buy-and-hold investors. Vincenzo's characterization of these products as being 'just like regular index funds but better' demonstrates either a fundamental misunderstanding of the products or willful misrepresentation, either of which fails reasonable-basis suitability.

The customer-specific suitability analysis under Rule 2111(a) is even more clearly violated. Mrs. Hollings' documented profile--conservative risk tolerance, capital preservation objective, limited investment experience, age 67, and reliance on these funds as her primary retirement savings--is directly inconsistent with leveraged ETF investments. The rule requires that a recommendation be suitable for the particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Recommending that a conservative, inexperienced retiree concentrate 54% of her liquid net worth in volatile leveraged products designed for short-term trading directly contradicts every element of her stated profile.

Vincenzo's documentation noting 'client wants growth' despite her recorded objectives does not provide a defense. FINRA Rule 2111.04 makes clear that a representative cannot rely on customer statements that are inconsistent with other information the representative has about the customer. Additionally, the recommendation violated FINRA Rule 2010's requirement for just and equitable principles of trade.

Vincenzo's subsequent advice to hold the positions during extreme volatility compounded the original violation, as leveraged products are explicitly not designed for recovery through holding. This constitutes a continued breach of the care obligation owed to Mrs. Hollings.

Key Factor

The recommendation of leveraged ETFs to a conservative, elderly, inexperienced investor seeking capital preservation directly contradicted every element of her documented investment profile.

Item 384 of 499**NON-COMPLIANT**

Topic: suitability_of_alternative_investment_recommendation

Difficulty: hard

Standard: Investment Advisers Act Sections 206(1), 206(2), 206(4); Rule 206(4)-7; Fiduciary Duty of Care

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Clearview Capital Advisors, LLC, a registered investment adviser based in Hartford, Connecticut, managed approximately \$180 million in assets for approximately 320 clients as of December 2021. In March 2022, Clearview's senior adviser, Marcus Thornton, met with Margaret Delacroix, a 71-year-old retired school teacher with a total liquid net worth of \$340,000, virtually all of which represented her life savings accumulated over 38 years of teaching. Mrs. Delacroix's stated investment objectives were capital preservation and income generation to supplement her pension and Social Security benefits. Her risk tolerance questionnaire, completed during onboarding, scored her as 'conservative' with a time horizon of 5-7 years. She explicitly informed Thornton that she could not afford to lose principal because she had no other financial resources.

During the March meeting, Thornton recommended that Mrs. Delacroix invest \$170,000--representing 50% of her liquid assets--into the Meridian Private Credit Fund II, a private placement offering targeting distressed corporate debt. The fund had a seven-year lockup period with no liquidity provisions, a 2% management fee, 20% carried interest, and concentrated exposure to speculative-grade debt instruments. The offering memorandum disclosed that investors could lose their entire investment and that the fund was suitable only for sophisticated investors who could bear the complete loss of capital.

Thornton's internal notes from the meeting indicated that Mrs. Delacroix 'seemed hesitant about the long lockup' but that he 'explained the superior yield potential versus bonds.' Clearview's compliance policies required advisers to document the basis for suitability determinations for alternative investments, including an analysis of the client's liquidity needs, risk capacity, and investment sophistication. Thornton's file contained no such analysis. Clearview received a 1.5% placement fee from the fund sponsor for each subscription, a fact disclosed in the firm's Form ADV Part 2A but not specifically discussed with Mrs. Delacroix during the recommendation. By September 2023, the fund had suspended distributions and marked its NAV down by 62%.

Question

Did Clearview Capital Advisors and its adviser Marcus Thornton violate their fiduciary duty of care under the Investment Advisers Act by recommending the Meridian Private Credit Fund II to Mrs. Delacroix?

Answer

Yes, Clearview Capital Advisors and Marcus Thornton violated their fiduciary duty of care under Sections 206(1) and 206(2) of the Investment Advisers Act of 1940. As a registered investment adviser, Clearview owes its clients a fiduciary duty encompassing both a duty of care and a duty of loyalty. The duty of care requires that investment advice be suitable for the client based on the client's objectives, risk tolerance, financial situation, and other relevant factors.

The recommendation to Mrs. Delacroix was patently unsuitable on multiple grounds. First, her conservative risk tolerance and capital preservation objective were fundamentally incompatible with a speculative private credit fund investing in distressed debt that the offering memorandum itself described as suitable only for sophisticated investors

capable of bearing complete loss. Second, allocating 50% of her liquid net worth to an illiquid investment with a seven-year lockup directly contradicted her 5-7 year time horizon and her expressed inability to absorb principal losses. Third, her status as a retired individual dependent on these assets for income made the absence of liquidity provisions and the speculative nature of the investment particularly inappropriate.

Clearview's failure to document any suitability analysis, despite its own compliance policies requiring such documentation for alternative investments, constitutes a violation of Section 206(4) of the Advisers Act and Rule 206(4)-7, which requires advisers to adopt and implement written policies and procedures reasonably designed to prevent violations. The existence of a policy without implementation provides no defense.

The placement fee received by Clearview, while disclosed in Form ADV, heightens the scrutiny applied to this recommendation but does not excuse the underlying unsuitability. An adviser cannot satisfy its fiduciary obligations merely through disclosure; it must actually provide advice that serves the client's best interest. Thornton's notes acknowledging Mrs. Delacroix's hesitancy about the lockup, combined with his failure to address her legitimate concerns through appropriate analysis, demonstrates a prioritization of transaction completion over client welfare. The subsequent fund losses, while not determinative of the violation, underscore the materialization of the very risks that made this recommendation unsuitable from inception.

Key Factor

Recommending a speculative, illiquid private credit fund to a conservative, 71-year-old retiree who expressly could not afford principal loss and needed liquidity, without documenting any suitability analysis.

Item 385 of 499**NON-COMPLIANT**

Topic: mutual_fund_suitability_retirement_investor

Difficulty: medium

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuities and mutual fund share class considerations)

Source: 07_Practitioner_Commentary

Fact Pattern

Margaret Thornton, age 71, visited Pinnacle Wealth Advisors in March 2023 seeking assistance with her retirement portfolio. Mrs. Thornton had recently lost her husband and inherited his \$340,000 IRA rollover, which represented her primary source of retirement income aside from Social Security benefits of \$1,850 per month. During her initial consultation with registered representative David Kessler, Mrs. Thornton explicitly stated she needed income to cover her living expenses and could not afford to lose principal. She described herself as 'very conservative' and mentioned she had never invested in anything other than CDs and savings accounts during her 45-year marriage.

Kessler completed a customer profile form that documented Mrs. Thornton's conservative risk tolerance, income investment objective, limited investment experience, and 5-7 year time horizon before she anticipated needing to access significant portions of the funds for potential assisted living expenses. Despite this documented profile, Kessler recommended allocating the entire \$340,000 IRA into three sector-specific mutual funds: \$120,000 into the Apex Technology Growth Fund (concentrated in semiconductor stocks), \$110,000 into the Frontier Emerging Markets Fund, and \$110,000 into the Sterling Small-Cap Aggressive Growth Fund. All three funds carried above-average volatility ratings, had no dividend income orientation, and carried combined front-end sales charges totaling approximately \$17,000.

Kessler's rationale, documented in his recommendation notes, stated that Mrs. Thornton needed 'growth to keep pace with inflation' and that 'over the long term, equities outperform bonds.' He did not discuss the volatility characteristics of the recommended funds, nor did he explain that these sector and emerging market funds carried concentration risks inconsistent with the diversification benefits typically associated with mutual fund investing. By November 2023, Mrs. Thornton's portfolio had declined to \$261,000, a loss of approximately 23%, forcing her to delay necessary home repairs and reduce her monthly expenses significantly.

Question

Did registered representative Kessler's recommendation of aggressive sector mutual funds to Mrs. Thornton satisfy the Care Obligation under Regulation Best Interest?

Answer

No, Kessler's recommendations clearly violated the Care Obligation under Regulation Best Interest. The Care Obligation, codified under Rule 15l-1(a)(2)(ii), requires broker-dealers and their associated persons to exercise reasonable diligence, care, and skill when making recommendations, ensuring that the recommendation is in the customer's best interest based on the customer's investment profile.

The Care Obligation has three discrete components that Kessler failed to satisfy. First, he failed to understand the risks, rewards, and costs of the recommended products. Sector-concentrated funds in technology, emerging markets, and small-cap aggressive growth carry substantial volatility and concentration risk--characteristics fundamentally

incompatible with a conservative income-oriented investor. The combined front-end load of approximately \$17,000 (5% of assets) further diminished any potential return while providing no corresponding benefit to Mrs. Thornton.

Second, Kessler failed to have a reasonable basis to believe the recommendations were in Mrs. Thornton's best interest at the time they were made. Her documented profile established: (1) age 71 with limited alternative income sources; (2) conservative risk tolerance explicitly stated; (3) income investment objective; (4) no prior equity investment experience; and (5) a defined time horizon of 5-7 years with anticipated liquidity needs for assisted living. Recommending 100% allocation to aggressive growth-oriented equity funds directly contradicted each of these profile elements.

Third, under the customer-specific component, Kessler failed to consider reasonably available alternatives. The mutual fund marketplace offers numerous income-oriented bond funds, balanced funds, and conservative allocation funds that would have aligned with Mrs. Thornton's stated objectives while still providing professional management and diversification benefits outlined in ICI guidance on mutual fund investing.

Kessler's documented rationale regarding inflation protection does not constitute a reasonable defense. A generalized market philosophy cannot override specific customer-documented needs, particularly for a 71-year-old widow dependent on her portfolio for income. The 23% loss and resulting financial hardship demonstrate the foreseeable consequences of this unsuitable recommendation. This constitutes a clear violation of FINRA Rule 2111 suitability requirements and Reg BI's Care Obligation.

Key Factor

Kessler recommended aggressive sector-concentrated growth funds to a 71-year-old widow with documented conservative risk tolerance, income objectives, and limited investment experience, directly contradicting her explicit customer profile.

Item 386 of 499

NON-COMPLIANT

Topic: fiduciary_duty_investment_vehicle_suitability

Difficulty: hard

Standard: Investment Advisers Act of 1940 fiduciary duty; SEC guidance on investment adviser duty of care and duty of loyalty; FINRA Rule 2111 suitability principles

Source: 07_Practitioner_Commentary

Fact Pattern

Meridian Wealth Advisors LLC is a registered investment adviser with discretionary management authority over client accounts. In March 2023, portfolio manager David Thornton was assigned to manage the account of Margaret Chen, a 71-year-old retired schoolteacher with \$485,000 in retirement savings representing her entire liquid net worth. Mrs. Chen's Investment Policy Statement, signed during onboarding in January 2023, clearly documented her investment objectives as capital preservation and income generation, with a conservative risk tolerance, a 10-year investment horizon, and monthly income needs of \$2,800 to supplement her Social Security benefits.

Despite these documented parameters, Thornton allocated 65% of Mrs. Chen's portfolio to concentrated positions in small-cap technology equities and emerging market growth funds between March and July 2023. He justified this allocation in internal notes by stating that 'the client needs growth to keep pace with inflation' and that 'conservative allocations won't generate sufficient returns in the current environment.' Thornton did not discuss these allocation decisions with Mrs. Chen, nor did he document any change in her risk tolerance or investment objectives. The firm's compliance manual explicitly states that employees must 'place the interests of the Investment Vehicles and Investors before their own interests at all times' and conduct transactions 'in such a manner as to avoid any actual or potential conflict of interest.'

By November 2023, Mrs. Chen's portfolio had declined by \$127,000, representing a 26.2% loss. When she contacted the firm seeking her regular monthly distribution, she discovered the losses and that her portfolio composition bore no resemblance to her stated objectives. Thornton's compensation structure included a performance-based bonus tied to portfolio returns exceeding benchmark indices, creating an incentive to pursue aggressive strategies. Mrs. Chen filed a complaint with the SEC alleging breach of fiduciary duty and unsuitable investment recommendations.

Question

Did Meridian Wealth Advisors and portfolio manager David Thornton breach their fiduciary duty of care by allocating Mrs. Chen's retirement portfolio to aggressive growth investments inconsistent with her documented conservative profile?

Answer

Yes, Meridian Wealth Advisors and David Thornton breached their fiduciary duty of care owed to Mrs. Chen under the Investment Advisers Act of 1940. As a registered investment adviser exercising discretionary authority, Meridian owed Mrs. Chen an unwavering fiduciary duty requiring that all investment decisions be made in her best interest, consistent with her stated objectives and risk tolerance.

The SEC has consistently held that the fiduciary duty encompasses both a duty of care and a duty of loyalty. The duty of care requires advisers to provide advice that is suitable and in the client's best interest, based on a reasonable understanding of the client's objectives. Here, Thornton possessed explicit documentation of Mrs. Chen's conservative

risk tolerance, capital preservation objectives, income needs of \$2,800 monthly, and the fact that the \$485,000 represented her entire liquid net worth. Despite this knowledge, he allocated 65% to aggressive small-cap technology and emerging market positions--an allocation fundamentally incompatible with a 71-year-old retiree dependent on portfolio income.

Thornton's internal justification that 'conservative allocations won't generate sufficient returns' demonstrates substitution of his own judgment for the client's documented preferences--a clear violation of the principle that advisers must place client interests before their own. The firm's own compliance manual reinforces this obligation, requiring employees to place investor interests first and avoid conflicts. Thornton's performance-based compensation structure created precisely the conflict the manual prohibits, incentivizing aggressive strategies regardless of client suitability.

The failure to communicate with Mrs. Chen about the allocation or document any revised investment objectives further compounds the violation. An adviser exercising discretionary authority must still act within the scope of authority granted by the client's stated parameters. The 26.2% loss, while not dispositive of a violation standing alone, demonstrates the foreseeable consequences of unsuitable aggressive positioning for a client requiring capital preservation. Meridian's supervisory failures in permitting these allocations without review against the client's IPS constitute additional compliance deficiencies. The conduct represents a textbook breach of investment adviser fiduciary obligations.

Key Factor

The portfolio manager ignored the client's documented conservative risk tolerance and capital preservation objectives, instead pursuing aggressive growth allocations that served his performance-based compensation interests rather than the elderly client's stated needs.

Item 387 of 499**COMPLIANT**

Topic: ira_transfer_suitability_and_duty_of_care

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 210 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 72, was the beneficiary of her late husband's IRA account held at Westfield Financial Advisors, Inc. Following her husband's death in March 2021, Margaret contacted her registered representative, David Thornton, to request that the inherited IRA be retitled into her name as the surviving spouse and subsequently rolled into her existing traditional IRA at the same firm. Margaret's investment profile indicated moderate risk tolerance, an income-oriented investment objective, liquid net worth of \$485,000, and annual income of \$62,000 from Social Security and a small pension.

Thornton promptly initiated the retitling paperwork within five business days of receiving the death certificate and required documentation. He recommended that Margaret maintain the existing portfolio allocation of 60% investment-grade bonds, 25% dividend-paying equities, and 15% money market funds, explaining that this conservative allocation aligned with her income needs and moderate risk tolerance. The inherited IRA contained approximately \$178,000 in assets.

During the retitling process, which took approximately eight weeks due to probate documentation requirements from the estate attorney, Margaret became concerned about delays and filed a complaint with the firm in June 2021. She alleged that Thornton had failed to act promptly and that the delay caused her tax penalties. However, firm records demonstrated that Thornton had submitted all paperwork within the required timeframes and had followed up with the back office and custodian on seven separate occasions to expedite processing.

The firm's compliance department reviewed the matter and found that all transfer documentation was processed according to standard procedures. The investment recommendations made by Thornton were consistent with Margaret's stated objectives, time horizon, and risk tolerance. An independent review confirmed that the eight-week processing timeline was reasonable given the complexity of probate-related transfers and the need for estate attorney verification. Margaret did not incur any IRS penalties as the transfer was completed within the one-year deadline for spousal rollovers.

Question

Did Thornton meet his suitability and duty of care obligations in handling Margaret Chen's inherited IRA transfer and providing investment recommendations?

Answer

Thornton complied with his suitability obligations under FINRA Rule 2111 and his duty of care to the customer. The analysis supports a finding of no violation.

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111.01 specifies that this profile includes age, investment experience, time horizon, liquidity needs, risk tolerance, and

financial situation. Thornton's recommendation to maintain the existing conservative allocation of 60% investment-grade bonds, 25% dividend-paying equities, and 15% money market funds was appropriate for a 72-year-old retiree with moderate risk tolerance, income-oriented objectives, and reliance on fixed income sources.

The customer-specific suitability component of Rule 2111(a) requires that the recommendation be suitable for the particular customer. Margaret's profile--retirement-age, moderate risk tolerance, income objective, and \$485,000 liquid net worth--clearly supported a conservative, income-generating portfolio. Thornton's recommendation preserved capital while generating income, precisely matching her stated needs.

Regarding the transfer processing, FINRA Rule 2010 (Standards of Commercial Honor) requires brokers to observe high standards of commercial honor and just and equitable principles of trade. Thornton initiated paperwork within five business days, made seven documented follow-up contacts, and the eight-week timeline was attributable to legitimate probate documentation requirements beyond his control. This conduct demonstrates diligence rather than negligence.

The absence of actual tax penalties further undermines any claim of harm. The spousal rollover was completed within all applicable IRS deadlines. Where a representative acts promptly, documents their efforts, and achieves the customer's objective without penalty, no breach of duty has occurred. The allegations were, as the arbitrator might characterize them, factually unsupported by the evidence. Thornton's conduct exemplifies compliant handling of complex estate-related transfers while maintaining suitable investment positioning.

Key Factor

Thornton's investment recommendations aligned with the customer's documented moderate risk tolerance and income objectives, and the transfer processing delays were attributable to necessary probate procedures rather than any failure to act diligently.

Item 388 of 499**NON-COMPLIANT**

Topic: churning_excessive_trading_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Richard and Bonnie Hatten, a married couple aged 68 and 65 respectively, opened joint and individual brokerage accounts at Presidential Financial Services, Inc. in January 2017. The Hattens were retired schoolteachers with combined pension income of \$78,000 annually and liquid assets of approximately \$485,000, representing their life savings intended to supplement retirement income. Their new account documentation indicated a 'moderate' risk tolerance, 'income with capital preservation' investment objective, and a 10-year time horizon. Their assigned registered representative, Gregory Williams, initially recommended a diversified portfolio of blue-chip dividend stocks and investment-grade bonds.

Within three months, Williams began recommending frequent trades in speculative small-cap stocks, leveraged ETFs, and high-yield bond funds. Between April 2017 and December 2018, Williams executed over 340 transactions across the Hattens' accounts, generating a turnover ratio of 8.2 and a cost-to-equity ratio of 24.3%. The Hattens paid commissions totaling \$39,268.72 during this period, while their accounts suffered net losses of approximately \$225,000. Williams repeatedly assured the Hattens that the active trading strategy was necessary to 'capture market opportunities' and that short-term losses would be recovered.

The Hattens trusted Williams because he was recommended by their church pastor and had presented himself as a retirement specialist. They did not understand the significance of the monthly statements showing frequent trading activity. When the Hattens questioned their declining account balances in late 2018, Williams discouraged them from reviewing statements closely, stating the paperwork was 'too complicated for non-professionals.' Presidential Financial Services' supervisory system flagged Williams's accounts for review in August 2018 due to elevated commission ratios, but the branch manager approved continued trading after Williams explained he was executing a 'tactical allocation strategy' for sophisticated clients seeking enhanced returns.

Question

Did Gregory Williams's trading recommendations violate his suitability obligations under FINRA rules, and did Presidential Financial Services fail in its supervisory duties?

Answer

Williams's conduct constitutes clear violations of FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor), and Presidential Financial Services violated its supervisory obligations under FINRA Rule 3110.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, and time horizon. The Rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Williams failed all three prongs. First, recommending speculative small-cap stocks and leveraged ETFs to retired clients seeking income and capital preservation lacks any reasonable basis regardless of customer profile. Second, the customer-specific suitability analysis is devastating: the Hattens were 68 and 65, retired on fixed income, with moderate risk tolerance and preservation objectives. Leveraged ETFs and speculative securities are categorically unsuitable for such investors.

Third, the quantitative metrics establish churning. A turnover ratio of 8.2 indicates the entire portfolio was replaced more than eight times annually--FINRA guidance and case law consistently find ratios exceeding 4-6 presumptively excessive. The cost-to-equity ratio of 24.3% means the accounts needed to generate over 24% returns annually merely to break even after commissions--an impossible burden for any legitimate strategy. These metrics demonstrate Williams was trading primarily to generate commissions rather than benefit his clients, violating the quantitative suitability obligation.

Presidential Financial Services's supervisory failures compound the violation. Under FINRA Rule 3110, member firms must establish and maintain supervisory systems reasonably designed to achieve compliance. The firm's system appropriately flagged Williams's accounts, but the branch manager's acceptance of Williams's 'tactical allocation' explanation without verifying the clients' actual profiles or investment objectives constitutes deficient supervision. A cursory review of the account documents would have revealed the glaring mismatch between the Hattens' conservative profile and the speculative trading activity.

The panel's award of \$45,818.00 to the Hattens reflects the compensable damages proven at hearing. The denial of expungement confirms the panel found the underlying misconduct substantiated.

Key Factor

A turnover ratio of 8.2 and cost-to-equity ratio of 24.3% in accounts belonging to retired investors with moderate risk tolerance and capital preservation objectives establishes presumptive churning and quantitative unsuitability.

Item 389 of 499**NON-COMPLIANT**

Topic: variable_annuity_suitability_for_elderly_client

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Customer-Specific Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hennessey, age 78, was a retired schoolteacher who had been a client of Coastal Capital Advisors, LLC for over fifteen years. In March 2023, her registered representative, Thomas Whittaker, met with Mrs. Hennessey to discuss her portfolio following her husband's death. At that time, her investment profile documented a conservative risk tolerance, income-focused investment objective, a 3-5 year time horizon, and liquid assets of approximately \$485,000, primarily held in certificates of deposit and Treasury securities. Her annual income from Social Security and pension totaled \$42,000, and she had modest monthly expenses of approximately \$3,100.

During the meeting, Whittaker recommended that Mrs. Hennessey invest \$275,000--representing 57% of her liquid assets--into the Pinnacle Select Variable Annuity, a product featuring a 7-year surrender period with declining surrender charges starting at 7% in year one. The annuity included various subaccount investment options, many of which invested in equity growth funds. Whittaker emphasized the death benefit rider and tax-deferred growth features, noting these would benefit her grandchildren. He completed the annuity application indicating a 'moderate' risk tolerance and 'growth and income' objective, which differed from her firm account documentation.

Mrs. Hennessey signed the application and related documents in April 2023. By January 2024, after market volatility caused the annuity's value to decline to \$241,000, Mrs. Hennessey needed to access funds for unexpected medical expenses and home repairs totaling \$45,000. When she attempted to withdraw funds, she discovered she would face a 6% surrender charge plus potential tax consequences. Her daughter subsequently filed a customer complaint with Coastal Capital alleging the recommendation was unsuitable given her mother's age, conservative profile, limited time horizon, and need for liquidity. The firm settled the matter for \$67,500 without admitting liability.

Question

Did Thomas Whittaker's recommendation that Mrs. Hennessey invest \$275,000 in a variable annuity with a 7-year surrender period satisfy his suitability obligations under FINRA Rule 2111?

Answer

No, Whittaker's recommendation failed to satisfy the suitability requirements of FINRA Rule 2111. The rule imposes three distinct suitability obligations: reasonable-basis, customer-specific, and quantitative suitability. This case primarily involves a customer-specific suitability violation under Rule 2111(a) and its supplementary material.

Under Rule 2111.05(a), customer-specific suitability requires that a recommendation be suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Whittaker's recommendation failed this standard on multiple fronts.

First, Mrs. Hennessey's documented time horizon of 3-5 years was fundamentally incompatible with a product featuring

a 7-year surrender period. FINRA has consistently emphasized that surrender periods must align with customer liquidity needs and time horizons. Second, concentrating 57% of her liquid assets in a single illiquid product contradicted her conservative risk tolerance and income-focused objective. At age 78, with modest fixed income and potential healthcare needs, maintaining adequate liquidity was essential.

Third, the discrepancy between Mrs. Hennessey's documented firm profile (conservative/income) and the annuity application (moderate/growth and income) suggests either negligent record-keeping or intentional misrepresentation to facilitate the sale--both constituting violations of FINRA Rule 2010's just and equitable principles of trade.

Whittaker might argue the death benefit rider served estate planning purposes. However, this defense fails because customer-specific suitability must consider the customer's overall profile, not isolated features. The tax-deferred growth benefit was also minimal given Mrs. Hennessey's tax bracket and the fact that her existing Treasury holdings already provided favorable tax treatment.

The subsequent need to access funds and the substantial surrender charges directly harmed Mrs. Hennessey, validating the unsuitability of the original recommendation. The \$67,500 settlement reflects the firm's implicit acknowledgment of the violation. Whittaker failed his duty of care by prioritizing product features over the client's fundamental needs for liquidity, capital preservation, and income.

Key Factor

The recommendation of a variable annuity with a 7-year surrender period to a 78-year-old client with a documented 3-5 year time horizon and conservative risk tolerance was fundamentally unsuitable.

Item 390 of 499

NON-COMPLIANT

Topic: suitability_small_claims_representation_and_advice_quality

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05 (Components of Suitability); FINRA Rule 4512 (Customer Account Information)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Holloway, a 72-year-old retired school teacher from Phoenix, Arizona, had accumulated \$85,000 in a traditional IRA from her career savings. In March 2023, she contacted Westbrook Securities, LLC after seeing an advertisement promising 'aggressive recovery strategies for retirement savers.' Her investment profile documented a conservative risk tolerance, an income-focused investment objective, a 5-7 year time horizon, and limited investment experience consisting primarily of certificates of deposit and a single target-date fund through her employer's 403(b) plan. Her annual income from Social Security and a small pension totaled \$42,000, and the IRA represented approximately 60% of her liquid net worth.

Brandon Mills, a registered representative at Westbrook Securities, conducted a single 30-minute phone consultation with Mrs. Holloway. During this call, Mills recommended that she liquidate her existing target-date fund holdings and invest \$70,000 (approximately 82% of her IRA) into a leveraged ETF tracking the NASDAQ-100 index with 3x daily exposure, and the remaining \$15,000 into a sector-specific biotechnology fund with high volatility characteristics. Mills explained these products would 'supercharge her retirement growth' and 'make up for lost time in the market.'

Mills's documentation of the recommendation consisted of a brief notation stating 'client wants growth, recommended aggressive portfolio repositioning per client request.' No written analysis of the leveraged ETF's daily reset mechanism, compounding effects over time, or decay characteristics was provided to Mrs. Holloway. Mills did not discuss how the recommended products aligned with her documented conservative risk tolerance or income-focused objectives.

By September 2023, Mrs. Holloway's account had declined to \$51,000--a loss of approximately 40%--due to market volatility and the mathematical decay inherent in holding leveraged products over extended periods. She subsequently filed a complaint with FINRA, alleging the recommendations were unsuitable for her age, risk tolerance, and investment objectives.

Question

Did Brandon Mills's recommendation of leveraged and high-volatility products to Mrs. Holloway satisfy FINRA's suitability requirements under Rule 2111?

Answer

No, Brandon Mills's recommendations clearly violated FINRA Rule 2111's suitability requirements on multiple grounds.

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile. This rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Mills failed the customer-specific suitability obligation under Rule 2111(a). Mrs. Holloway's documented profile established she was a 72-year-old retiree with conservative risk tolerance, income-focused objectives, limited investment experience, and a moderate time horizon. Recommending that she invest 82% of her IRA--which represented 60% of her liquid net worth--into a 3x leveraged ETF fundamentally contradicts every element of her profile. Leveraged ETFs are explicitly recognized by regulators as unsuitable for buy-and-hold investors due to daily reset mechanisms that cause performance decay over time.

Mills also failed reasonable-basis suitability under Rule 2111.05(a). The superficial 30-minute phone consultation and minimal documentation suggest Mills did not perform the required diligence to understand the complex products he recommended. FINRA has consistently emphasized that complex products like leveraged ETFs require heightened suitability analysis and enhanced documentation demonstrating the representative understands product mechanics and has determined appropriateness for the specific customer.

The documentation defense is unavailing. Mills's notation that the 'client wants growth' does not override the suitability obligation. Under FINRA Rule 2111.05(c), a customer's stated desire for a particular product or strategy does not excuse the representative's independent suitability determination. Representatives cannot simply rely on customer requests when the recommendation contradicts the customer's documented investment profile.

Furthermore, FINRA Rule 2111(b) requires consideration of the customer's age, which Mills ignored. Concentrating a 72-year-old's retirement assets in volatile, leveraged instruments designed for short-term trading represents a fundamental breach of the care obligation.

The 40% loss directly resulted from predictable product characteristics that an adequately diligent representative would have identified as incompatible with Mrs. Holloway's profile.

Key Factor

The recommendation of leveraged and high-volatility products representing 82% of the customer's IRA directly contradicted her documented conservative risk tolerance, income-focused objectives, and advanced age.

Item 391 of 499**NON-COMPLIANT**

Topic: suitability_puerto_rico_bond_funds

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 210 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Delgado, age 68, was a retired schoolteacher in San Juan, Puerto Rico with a fixed pension of \$2,400 per month and liquid savings of approximately \$385,000. In March 2012, she opened an account with Caribbean Wealth Advisors, a broker-dealer subsidiary of a large financial institution. Her new account documentation indicated a 'moderate' risk tolerance, 'income with capital preservation' as her investment objective, a 10-year investment time horizon, and limited investment experience consisting primarily of bank CDs and money market accounts. Her registered representative, Francisco Vega, recommended that Mrs. Delgado invest \$310,000--approximately 80% of her liquid net worth--into a concentrated portfolio of Puerto Rico municipal closed-end bond funds (CEFs), specifically the Caribbean Tax-Free Income Fund and the Island Municipal Trust II. Vega emphasized the tax-exempt status of the income, which he presented as ideal for Puerto Rico residents in her tax bracket. However, he did not adequately explain that these CEFs employed significant leverage ratios averaging 40%, were illiquid with thin secondary markets, and had concentrated geographic exposure exclusively to Puerto Rico municipal debt. Between 2012 and 2014, Mrs. Delgado received quarterly statements showing stable dividend income, reinforcing her belief that the investments were conservative. By late 2015, following Puerto Rico's debt crisis and eventual defaults, her portfolio had declined to approximately \$95,000--a loss exceeding \$215,000 or roughly 69% of her invested capital. When Mrs. Delgado complained, Vega's supervisor reviewed the file and noted that the concentration analysis had never been performed despite the firm's written supervisory procedures requiring such review for positions exceeding 50% of liquid assets. The firm's compliance records showed that Vega had similarly concentrated twelve other retiree clients into these same CEFs during the same period.

Question

Did Francisco Vega's recommendation to invest 80% of Mrs. Delgado's liquid assets in leveraged, geographically concentrated Puerto Rico municipal closed-end funds violate his suitability obligations under FINRA Rule 2111?

Answer

The recommendation violated FINRA Rule 2111's suitability requirements on multiple grounds. Rule 2111 imposes three distinct suitability obligations: reasonable-basis, customer-specific, and quantitative suitability. Vega's conduct failed at least the first two.

Regarding reasonable-basis suitability under Rule 2111(a), the broker must understand the risks and rewards of the recommended security before recommending it. While there is no evidence Vega lacked product knowledge, the recommendation of leveraged CEFs with concentrated Puerto Rico municipal exposure to a 68-year-old retiree with limited investment experience and capital preservation objectives fails customer-specific suitability analysis.

Under customer-specific suitability, the broker must have a reasonable basis to believe that the recommendation is suitable for the particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and experience. Mrs. Delgado's profile--moderate risk tolerance, income with capital preservation objective, limited experience with fixed-income securities, and dependence on a fixed pension--was

fundamentally incompatible with an 80% concentration in leveraged, illiquid, geographically concentrated municipal securities.

FINRA has consistently emphasized that concentration in a single sector, issuer, or geographic region raises significant suitability concerns, particularly when combined with leverage. The 40% leverage ratios in these CEFs amplified both returns and losses, making them unsuitable for a conservative retiree seeking capital preservation. The illiquidity of these funds in the secondary market further compounded the risk, as Mrs. Delgado had limited ability to exit positions during market stress.

Vega's failure to explain the leverage, illiquidity, and concentration risks also implicates FINRA Rule 2010's just and equitable principles of trade. While Rule 2111 does not explicitly mandate disclosure, providing misleading impressions about product risk characteristics--such as emphasizing tax benefits while minimizing structural risks--undermines the suitability analysis.

The firm's supervisory failure to conduct required concentration analysis under its own WSPs does not excuse Vega's individual suitability violation but demonstrates systemic deficiency. The pattern of similar recommendations to twelve other retirees suggests this was not an isolated misjudgment but a systematic practice of unsuitable recommendations to vulnerable customers.

Key Factor

Recommending that a 68-year-old retiree with capital preservation objectives invest 80% of liquid assets in leveraged, illiquid, geographically concentrated closed-end funds was fundamentally incompatible with her documented investment profile and risk tolerance.

Item 392 of 499

NON-COMPLIANT

Topic: suitability_complex_products_elderly_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Customer-Specific Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 74, was a retired schoolteacher living in Pasadena, California with a modest pension of \$3,200 monthly and liquid savings of approximately \$285,000 representing her entire life savings. In March 2021, she met with Thomas Reinhardt, a registered representative at Pinnacle Securities Group, after attending a dinner seminar on 'Maximizing Retirement Income.' During the account opening process, Mrs. Holloway clearly indicated her investment objectives as 'income and preservation of capital,' her risk tolerance as 'conservative,' and her time horizon as 'short-term (1-3 years)' given her age and health concerns. She specifically stated she needed reliable income to supplement her pension and wanted to keep her principal safe for potential medical expenses.

Reinhardt recommended that Mrs. Holloway invest \$195,000--approximately 68% of her liquid net worth--into a portfolio of leveraged exchange-traded notes (ETNs) tracking energy and technology indices, claiming these would provide 'enhanced income potential.' He also recommended \$45,000 in high-yield emerging market bond funds rated below investment grade. Reinhardt's documentation noted the customer 'understood the risks' but the only risk disclosure consisted of a brief verbal statement that 'all investments carry some risk.' He did not explain the daily reset mechanism of leveraged products, the credit risk inherent in ETNs, or the volatility characteristics of emerging market debt.

By September 2021, Mrs. Holloway's portfolio had declined by approximately \$87,000 due to market volatility and the compounding decay effect of the leveraged ETNs. When she contacted Reinhardt expressing concern about her losses, he assured her the positions would 'recover' and recommended she hold. The firm's compliance records showed no evidence that Reinhardt had conducted any quantitative suitability analysis or considered whether the concentration in speculative products was appropriate for this elderly, conservative investor dependent on her savings for living expenses.

Question

Did Thomas Reinhardt's recommendations to Mrs. Holloway satisfy his suitability obligations under FINRA rules, given her stated investment profile and the complex, speculative nature of the recommended securities?

Answer

The recommendations clearly violated FINRA Rule 2111 (Suitability) across all three components of the suitability framework. First, regarding reasonable-basis suitability under Rule 2111(a), Reinhardt failed to demonstrate adequate understanding of the leveraged ETNs' mechanics, including daily reset features that make them unsuitable for buy-and-hold strategies and the issuer credit risk inherent in ETN structures. The absence of any documented product analysis suggests he lacked reasonable grounds to recommend these instruments to any customer.

Second, and most critically, customer-specific suitability was egregiously violated. FINRA Rule 2111.05(a) requires that recommendations be consistent with the customer's investment profile, including age, financial situation, risk tolerance, time horizon, and investment objectives. Mrs. Holloway's profile--a 74-year-old retiree with conservative risk tolerance,

short time horizon, income and preservation objectives, and reliance on these funds for living expenses--is fundamentally incompatible with leveraged ETNs and below-investment-grade emerging market bonds. These products carry substantial principal risk and are designed for sophisticated investors with high risk tolerance and speculative objectives.

Third, quantitative suitability concerns arise from the 68% concentration of liquid assets in speculative products. Even if individual products were marginally suitable, the aggregate exposure created excessive risk for a conservative elderly investor dependent on her savings.

Reinhardt's cursory verbal risk disclosure fails to satisfy the heightened disclosure expectations articulated in FINRA guidance regarding complex products. The 'customer understood the risks' notation is insufficient where the representative did not meaningfully explain daily compounding decay, leverage mechanics, or credit risk. The recommendation to hold during significant losses compounded the original suitability violation.

The firm's compliance failures--including absence of documented suitability analysis and inadequate supervision of recommendations to a clearly vulnerable customer--further support liability under FINRA Rule 2010 (Standards of Commercial Honor). The facts support customer-specific unsuitability and inadequate reasonable-basis due diligence.

Key Factor

Recommending leveraged ETNs and high-yield emerging market bonds to a 74-year-old conservative investor with income and preservation objectives directly contradicted her documented investment profile and risk tolerance.

Item 393 of 499**NON-COMPLIANT**

Topic: fiduciary_duty_investment_suitability_private_fund

Difficulty: hard

Standard: Investment Advisers Act of 1940, Sections 206(1) and 206(2); Fiduciary duty of care requiring investment advice suitable to client's objectives, risk tolerance, and financial situation

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Heartland Capital Partners, LLC ('Heartland') is a registered investment adviser based in Madison, Wisconsin, with approximately \$320 million in regulatory assets under management. Margaret Sullivan, age 58, serves as Heartland's founder, president, and chief investment officer. Heartland manages a private investment fund called the Heartland Growth Opportunity Fund, LP ('HGO Fund'), which was marketed to Heartland's existing individual advisory clients as a vehicle for accessing alternative investments with moderate risk exposure.

In March 2019, Sullivan recommended that Harold Bernstein, age 72, invest \$450,000 of his retirement savings into the HGO Fund. Bernstein had been an individual advisory client of Heartland since 2014, and his investment profile indicated a conservative risk tolerance, a primary objective of capital preservation with modest income generation, and a five-year investment horizon tied to his anticipated need for funds to cover long-term care expenses. Bernstein's total liquid net worth at the time was approximately \$1.2 million, meaning the HGO Fund investment represented 37.5% of his investable assets.

The HGO Fund's private placement memorandum described the fund's strategy as investing in 'diversified growth-oriented opportunities including venture-stage companies, real estate development, and structured credit products.' The PPM disclosed risks including illiquidity, potential for total loss of principal, and extended lock-up periods of three to five years. Sullivan told Bernstein verbally that the fund was 'appropriate for clients seeking stable returns without stock market volatility' and that his investment would be 'well-protected given the fund's diversified approach.'

Between 2019 and 2021, the HGO Fund allocated approximately 65% of its assets to early-stage technology startups, several of which were operating at substantial losses. By December 2021, Bernstein's \$450,000 investment had declined to approximately \$185,000 in estimated value. When Bernstein requested a partial redemption in January 2022 to fund assisted living expenses, Sullivan informed him that the fund's lock-up provisions prevented any withdrawals until March 2024.

Question

Did Heartland and Sullivan breach their fiduciary duty of care under the Investment Advisers Act by recommending the HGO Fund investment to Bernstein?

Answer

Yes, Heartland and Sullivan breached their fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940 by recommending an unsuitable investment that was inconsistent with Bernstein's investment profile, objectives, and financial circumstances.

Under Section 206(1) and 206(2) of the Advisers Act, investment advisers owe their clients a fiduciary duty encompassing both a duty of loyalty and a duty of care. The duty of care requires that advisers provide investment

advice that is in the client's best interest based on the client's objectives, risk tolerance, financial situation, and other relevant factors. The SEC has consistently held that this duty requires a reasonable belief that the advice given is suitable for the particular client.

Several factors establish the breach here. First, Bernstein's documented conservative risk tolerance and capital preservation objective were fundamentally incompatible with a fund heavily concentrated in venture-stage technology companies--an asset class characterized by high volatility and significant principal loss risk. Second, Bernstein's five-year investment horizon and anticipated need for liquidity to fund long-term care expenses were irreconcilable with the fund's three-to-five year lock-up provisions. Sullivan knew or should have known that recommending an illiquid investment to a 72-year-old client with identified near-term liquidity needs violated basic suitability principles.

Third, the concentration of 37.5% of Bernstein's liquid assets in a single high-risk private fund was excessive given his conservative profile and age. Fourth, Sullivan's verbal representations characterizing the fund as offering 'stable returns' and 'well-protected' capital were materially misleading given the fund's actual strategy and risk characteristics, constituting a breach of the adviser's duty to provide full and fair disclosure.

The fact that the PPM contained risk disclosures does not cure these violations. An adviser's fiduciary duty is personal and cannot be satisfied merely by providing documentation when the adviser affirmatively recommends an unsuitable investment and makes contradictory oral representations. Heartland and Sullivan failed to act in Bernstein's best interest, breaching their fiduciary obligations under Sections 206(1) and 206(2) of the Advisers Act.

Key Factor

Sullivan recommended a high-risk, illiquid private fund investment to a 72-year-old conservative investor with documented near-term liquidity needs and a capital preservation objective, in direct conflict with his investment profile.

Item 394 of 499**NON-COMPLIANT**

Topic: suitability_complex_product_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, a 71-year-old retired schoolteacher residing in Albany, New York, opened an account with Coastal Ridge Securities LLC in January 2019. Her new customer account form documented a moderate risk tolerance, an investment objective of income with capital preservation, liquid net worth of \$340,000 (representing her entire retirement savings), annual income of \$42,000 from Social Security and a small pension, and an investment time horizon of 5-7 years. Mrs. Ellison explicitly stated to her registered representative, Daniel Harwick, that she needed stable income to supplement her fixed retirement payments and could not afford to lose principal.

Between March 2019 and August 2019, Harwick recommended that Mrs. Ellison invest \$185,000--approximately 54% of her liquid net worth--into a portfolio of leveraged inverse ETFs tracking oil and gas indices, as well as triple-leveraged ETFs on small-cap indices. Harwick told Mrs. Ellison these products would 'protect her portfolio in volatile markets' and 'generate superior returns.' He did not explain the daily reset mechanism, compounding decay, or the products' unsuitability for buy-and-hold investors. Account records show Mrs. Ellison held these positions for periods ranging from four to eleven months without any rebalancing.

By July 2020, Mrs. Ellison's leveraged ETF positions had declined by \$127,000, representing a 68% loss on the invested amount. Her total account value had fallen to \$198,000 from an original \$340,000. Harwick's notes contained no documentation of any suitability analysis regarding leveraged products, no risk disclosure acknowledgment from Mrs. Ellison, and no explanation for why these products aligned with her stated objectives. Coastal Ridge's compliance manual specifically required heightened suitability review and written customer acknowledgment for any leveraged or inverse product recommendation, but no such review was conducted.

Mrs. Ellison filed a FINRA arbitration claim alleging breach of suitability obligations, negligence, and violation of FINRA Rule 2010. She sought compensatory damages of \$142,000, representing her net losses, plus attorneys' fees and costs.

Question

Did Daniel Harwick violate FINRA suitability requirements by recommending leveraged and inverse ETFs to Mrs. Ellison, and was Coastal Ridge Securities liable for supervisory failures?

Answer

The Panel would likely find that Daniel Harwick violated FINRA Rule 2111 (Suitability) and that Coastal Ridge Securities failed its supervisory obligations under FINRA Rule 3110. The recommendation of leveraged and inverse ETFs to Mrs. Ellison was fundamentally unsuitable under all three components of the suitability framework.

Under FINRA Rule 2111(a), a broker must have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile. Rule 2111 establishes three distinct suitability obligations: reasonable-basis

suitability, customer-specific suitability, and quantitative suitability.

First, regarding reasonable-basis suitability, Harwick demonstrated no understanding of leveraged ETF mechanics. These products are designed for short-term trading and reset daily, making them categorically inappropriate for buy-and-hold strategies. FINRA has repeatedly cautioned that leveraged and inverse ETFs can produce results dramatically different from their stated objectives when held beyond a single trading session due to compounding effects. Harwick's failure to document any analysis of these products suggests he lacked the requisite understanding.

Second, customer-specific suitability was clearly violated. Mrs. Ellison's profile--a 71-year-old retiree with moderate risk tolerance, income-focused objectives, capital preservation needs, limited liquid assets, and a stated inability to afford principal loss--was diametrically opposed to the characteristics of leveraged products. Concentrating 54% of her liquid net worth in highly volatile, speculative instruments directly contradicted her documented investment objectives and financial situation.

Third, Coastal Ridge's supervisory failures under Rule 3110 are evident. The firm's own compliance procedures mandated heightened review and customer acknowledgments for leveraged products, yet no such procedures were followed. The complete absence of documentation indicates systemic supervisory breakdown.

Harwick's statement that these products would 'protect her portfolio' constitutes a material misrepresentation under FINRA Rule 2010, which requires adherence to high standards of commercial honor. The losses sustained--68% of the recommended positions--demonstrate the foreseeable harm from these unsuitable recommendations.

The Panel should award Mrs. Ellison compensatory damages representing her actual losses attributable to the unsuitable recommendations, with consideration of attorneys' fees given the egregious nature of the violations.

Key Factor

Harwick recommended leveraged and inverse ETFs--products designed for short-term trading--to a 71-year-old retired investor with income and capital preservation objectives, concentrating 54% of her liquid net worth in instruments fundamentally incompatible with her profile and holding period.

Item 395 of 499**NON-COMPLIANT**

Topic: life_insurance_policy_suitability_for_corporate_client

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Customer Investment Profile Factors); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Pinnacle Wealth Advisors, Inc. is a FINRA member broker-dealer headquartered in Phoenix, Arizona. In March 2019, registered representative David Thornton recommended that his corporate client, Westbrook Manufacturing Corporation, purchase a \$5,000,000 variable universal life insurance policy on the life of the company's 68-year-old CEO and Chairman, Harold Westbrook. The policy was structured as a key-man insurance arrangement, with Westbrook Manufacturing as the owner and beneficiary.

Westbrook Manufacturing was a mid-sized metal fabrication company with approximately \$18 million in annual revenue but had experienced declining profitability over the previous three years, with net margins falling from 8% to 2.3%. The company's balance sheet showed \$2.1 million in cash reserves, but also carried \$4.7 million in outstanding debt obligations with a debt service coverage ratio of 1.4x. The CFO, Margaret Chen, had expressed concerns about cash flow and the company's ability to fund capital expenditure requirements for equipment modernization.

Thornton recommended the variable universal life policy with an aggressive investment allocation--80% in equity sub-accounts and 20% in high-yield bond funds--to maximize cash value accumulation. The annual premium of \$187,000 represented approximately 8.9% of the company's available cash reserves. Thornton's recommendation memo noted that the policy would provide 'estate planning benefits and tax-advantaged growth,' but did not analyze the company's liquidity needs, debt obligations, or the appropriateness of the aggressive investment allocation given the purpose of the coverage.

In October 2020, Westbrook Manufacturing filed for Chapter 11 bankruptcy protection after failing to meet debt covenants. The bankruptcy trustee subsequently initiated litigation against Thornton and Pinnacle Wealth Advisors, alleging that the life insurance recommendation was unsuitable given the company's financial condition and that the premium payments contributed to the company's liquidity crisis. The policy had declined approximately 23% in cash surrender value due to market volatility in early 2020.

Question

Did David Thornton's recommendation of the variable universal life insurance policy with an aggressive investment allocation violate his suitability obligations under FINRA rules given Westbrook Manufacturing's financial condition and liquidity needs?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor). Thornton failed to satisfy all three components of the suitability obligation, most critically the customer-specific and quantitative suitability requirements.

Under FINRA Rule 2111(a), a member must have a reasonable basis to believe that a recommended transaction is

suitable for the customer based on information obtained through reasonable diligence. Rule 2111.05(a) specifically requires consideration of the customer's investment profile, including liquidity needs, financial situation, and risk tolerance.

Here, Thornton's recommendation failed customer-specific suitability analysis. Westbrook Manufacturing exhibited clear signs of financial distress: declining profitability (margins falling from 8% to 2.3%), a concerning debt service coverage ratio of 1.4x, and identified capital expenditure needs. Committing \$187,000 annually--representing nearly 9% of liquid reserves--to an illiquid insurance product directly contradicted the company's documented liquidity constraints. A reasonably diligent broker would recognize that a corporation struggling with cash flow should not allocate substantial resources to a product with surrender charges and limited short-term liquidity.

The aggressive 80/20 equity/high-yield allocation further demonstrates unsuitability. Key-man insurance serves a risk management and business continuity purpose, not speculative growth. The volatile allocation exposed the company to significant market risk, as evidenced by the 23% decline in cash surrender value during the 2020 market downturn. This allocation was inconsistent with the conservative objectives typically appropriate for corporate insurance arrangements.

Thornton's documentation exacerbates the violation. His recommendation memo emphasized 'estate planning benefits' without analyzing the company's actual financial condition, liquidity requirements, or the appropriateness of the investment allocation for the stated purpose. This deficient analysis demonstrates failure to conduct reasonable diligence under Rule 2111.

The settlement by the E&O insurer as a 'business decision' does not establish absence of wrongdoing. FINRA arbitration panels routinely find suitability violations where representatives recommend products misaligned with customer financial circumstances, regardless of subsequent settlement posture. Thornton's conduct violated his fundamental obligation to ensure recommendations served his client's actual needs and financial situation.

Key Factor

Thornton recommended a high-premium, illiquid variable life insurance policy with an aggressive investment allocation to a corporate client exhibiting clear financial distress and liquidity constraints, without analyzing whether the recommendation was consistent with the client's actual financial situation and needs.

Item 396 of 499**NON-COMPLIANT**

Topic: retirement_rollover_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Regulation Best Interest Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hoskins, age 67, was a retired schoolteacher who had accumulated \$412,000 in her state pension 403(b) plan when she met with registered representative Daniel Kowalski of Prairie Financial Services, Inc. in March 2022. Mrs. Hoskins explained that her primary investment objective was capital preservation with modest income generation to supplement her \$2,100 monthly pension. She stated clearly that she had no experience with market-based investments, as her 403(b) had always been allocated to stable value funds. Her risk tolerance questionnaire indicated she was conservative and could not tolerate losses exceeding 5% of her portfolio.

Kowalski recommended that Mrs. Hoskins roll over her entire 403(b) balance into an IRA at Prairie Financial and allocate the funds across three variable annuities with riders totaling \$285,000, a leveraged closed-end municipal bond fund at \$75,000, and a non-traded REIT at \$52,000. The variable annuities carried combined annual expenses of 3.2%, seven-year surrender periods with 7% declining surrender charges, and were invested in aggressive growth subaccounts. The leveraged closed-end fund employed 35% leverage and had experienced NAV volatility of 18% annually. The non-traded REIT was illiquid with no secondary market and a seven-year anticipated holding period.

Kowalski's documentation reflected that he discussed the rollover but failed to document any comparison of Mrs. Hoskins' existing 403(b) plan fees, which were 0.35% annually, against the proposed IRA structure. He also did not document any discussion of the surrender charges, the illiquidity of the non-traded REIT, or the leverage risk in the closed-end fund. Within fourteen months, Mrs. Hoskins' portfolio declined by \$68,000 due to rising interest rates impacting both the leveraged bond fund and the variable annuity subaccounts. She filed a customer complaint alleging the recommendations were unsuitable for her conservative profile and retirement income needs.

Question

Did Kowalski's recommendation that Mrs. Hoskins roll over her 403(b) into the proposed IRA allocation meet the suitability and care obligations required under applicable securities regulations?

Answer

The recommendation failed to satisfy suitability requirements under FINRA Rule 2111 and the care obligation under Regulation Best Interest. The analysis proceeds through each applicable standard.

Under FINRA Rule 2111, a recommendation must be suitable based on reasonable-basis, customer-specific, and quantitative suitability components. Here, customer-specific suitability is clearly violated. Mrs. Hoskins explicitly stated she was conservative, seeking capital preservation and income, with no tolerance for losses exceeding 5%. Recommending variable annuities invested in aggressive growth subaccounts, a 35% leveraged closed-end fund, and an illiquid non-traded REIT directly contradicts her stated profile. The Rule 2111 Supplementary Material .04 emphasizes that investment profile factors including risk tolerance, investment objectives, and time horizon must drive suitability determinations.

Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii) requires that the broker exercise reasonable diligence, care, and skill to understand risks and rewards of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest based on her profile. The 3.2% combined expense ratio on the variable annuities, compared to her existing 0.35% 403(b) expenses, represents a nine-fold increase in costs without documented justification. The seven-year surrender periods and illiquid REIT create liquidity constraints inappropriate for a 67-year-old retiree who may need access to funds.

Kowalski's failure to document the rollover analysis comparing existing plan costs to proposed IRA costs violates the requirement to consider reasonably available alternatives. The lack of documentation regarding surrender charges, leverage risks, and illiquidity further demonstrates inadequate care.

The 16.5% portfolio decline within fourteen months (\$68,000 loss) exceeded Mrs. Hoskins' stated 5% loss tolerance by more than threefold, evidencing the unsuitability of the aggressive allocation. No reasonable basis existed to believe this recommendation served her stated conservative objectives. The recommendation was unsuitable under FINRA Rule 2111 and failed to satisfy Reg BI's Care Obligation.

Key Factor

The allocation of a conservative, income-focused retiree's entire rollover into aggressive variable annuity subaccounts, a leveraged fund, and an illiquid REIT directly contradicted her stated risk tolerance and investment objectives.

Item 397 of 499

NON-COMPLIANT

Topic: variable_annuity_suitability_for_elderly_client

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 74, was a retired schoolteacher with a modest pension of \$2,400 per month and savings of approximately \$185,000, representing her entire liquid net worth. In March 2019, she met with Derek Holloway, a registered representative at Midland Financial Advisors, Inc., after her husband passed away. Mrs. Thornton explained that she needed reliable income to supplement her pension and wanted to preserve her principal for potential healthcare expenses and to leave something to her grandchildren. She explicitly stated she had no investment experience beyond CDs and savings accounts, described herself as 'very conservative,' and expressed concern about losing any of her savings.

Despite Mrs. Thornton's clearly articulated conservative objectives and limited investment horizon, Holloway recommended she invest \$140,000--approximately 76% of her liquid assets--into a variable annuity with a 7-year surrender period. The product, the Apex Growth Variable Annuity, carried annual fees of 2.85% and was invested in aggressive growth subaccounts with significant equity exposure. Holloway emphasized the 'guaranteed death benefit' feature but did not adequately explain that the annuity's value could decline substantially during market downturns, that surrender charges of up to 7% would apply if she needed access to funds, or that the aggressive subaccount allocation was inconsistent with her stated risk tolerance.

By December 2020, the account had declined by approximately \$23,000 during market volatility, and when Mrs. Thornton needed \$35,000 for unexpected medical expenses in early 2021, she faced a surrender charge of \$2,100. Mrs. Thornton filed a customer complaint with Midland Financial Advisors alleging that Holloway recommended an unsuitable investment that did not match her conservative profile, limited time horizon, and liquidity needs. The firm's compliance records showed that Holloway had documented Mrs. Thornton's risk tolerance as 'moderate growth' on the new account form, contradicting her verbal statements during the meeting.

Question

Did Derek Holloway's recommendation of the Apex Growth Variable Annuity violate his suitability obligations under FINRA rules given Mrs. Thornton's investment profile, age, risk tolerance, and liquidity needs?

Answer

Holloway's recommendation constitutes a clear violation of FINRA Rule 2111 (Suitability) and potentially FINRA Rule 2010 (Standards of Commercial Honor). The suitability rule requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Applying the customer-specific suitability component of Rule 2111, Holloway's recommendation fails on multiple grounds. First, Mrs. Thornton's age (74) and 7-year surrender period created an inherent mismatch--she would be 81 before accessing funds without penalty, an unreasonable timeframe for someone with potential healthcare needs.

Second, concentrating 76% of her liquid assets in a single illiquid product directly contradicted her expressed need for capital preservation and potential healthcare expenses. Third, placing a self-described 'very conservative' investor with no investment experience into aggressive growth subaccounts violated the risk tolerance component of customer-specific suitability.

The documentation discrepancy--where Holloway recorded 'moderate growth' despite Mrs. Thornton's verbal statements of being 'very conservative'--suggests potential falsification of records to justify an unsuitable sale, implicating Rule 2010's requirement for high standards of commercial honor. FINRA has consistently held that representatives cannot rely on inaccurate customer profile documentation to shield unsuitable recommendations.

Additionally, the 2.85% annual fee burden on a product for a retiree seeking income preservation raises quantitative suitability concerns, as the costs would substantially erode returns and principal over time. Holloway's emphasis on the death benefit while failing to adequately disclose surrender charges, market risk, and fee impact demonstrates inadequate disclosure that compounds the suitability violation.

No reasonable compliance defense exists here. The recommendation was unsuitable at the time made, regardless of subsequent market performance, and the totality of circumstances--age, concentration, liquidity constraints, risk mismatch, and documentation irregularities--establishes liability.

Key Factor

Recommending a variable annuity with a 7-year surrender period and aggressive equity subaccounts to a 74-year-old conservative investor who needed liquidity for healthcare expenses and had no investment experience constitutes a customer-specific suitability violation.

Item 398 of 499**NON-COMPLIANT**

Topic: suitability_leveraged_etf_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 68, retired from her position as a school librarian in March 2022 and rolled over her 403(b) account totaling \$287,000 into an IRA at Apex Financial Services LLC. During her new account intake, Mrs. Holloway completed a customer profile indicating her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her time horizon as '5-10 years,' and her annual income from Social Security and a small pension totaling \$42,000. She specifically noted on the account application that this IRA represented approximately 85% of her liquid net worth and that she could not afford significant losses.

Her assigned representative, Bradley Simmons, initially placed approximately \$230,000 in a diversified portfolio of investment-grade bonds and dividend-paying blue-chip equities. However, beginning in August 2022, Simmons recommended that Mrs. Holloway allocate \$75,000 of her IRA into ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF tracking the Nasdaq-100 index. Simmons explained to Mrs. Holloway that the product would 'supercharge her returns' and help her 'make up for lost time' after the market downturn earlier that year. He did not explain the daily reset mechanism, the effects of volatility decay, or that FINRA has warned these products are generally unsuitable for long-term buy-and-hold investors.

Mrs. Holloway held the TQQQ position for approximately fourteen months. During periods of market volatility in late 2022 and into 2023, the position experienced severe value deterioration due to the compounding effects inherent in leveraged products. By October 2023, her \$75,000 investment had declined to approximately \$31,400, a loss of roughly 58%. When Mrs. Holloway complained, Simmons advised her to 'stay the course' because 'the market always comes back.' Apex's supervisory system flagged the initial TQQQ purchase for suitability review, but the branch manager approved the trade after a cursory review noting only that 'client approved the recommendation verbally.'

Question

Did Bradley Simmons violate his suitability obligations under FINRA Rule 2111 by recommending the 3x leveraged ETF to Mrs. Holloway?

Answer

Yes, Bradley Simmons violated FINRA Rule 2111 by recommending TQQQ, a 3x leveraged ETF, to Mrs. Holloway. The recommendation failed all three components of the suitability rule.

Regarding reasonable-basis suitability under Rule 2111(a), Simmons was required to have a reasonable basis to believe the recommendation was suitable for at least some investors based on reasonable diligence. Leveraged ETFs are complex products designed to achieve daily--not long-term--investment objectives. FINRA has consistently cautioned that these products are generally unsuitable for retail investors who plan to hold them for longer than one trading session due to the mathematical certainty of volatility decay eroding returns over time. Simmons's failure to understand or explain the daily reset mechanism and compounding effects demonstrates inadequate product-level due

diligence.

Under customer-specific suitability (Rule 2111(a)), Simmons was obligated to have a reasonable basis to believe the recommendation was suitable for Mrs. Holloway based on her investment profile. Her documented profile--age 68, conservative risk tolerance, income and capital preservation objective, 5-10 year time horizon, and the fact that this IRA constituted 85% of her liquid assets--is fundamentally incompatible with a speculative, highly volatile 3x leveraged instrument. Allocating approximately 26% of her retirement portfolio to such a product directly contradicted her stated inability to afford significant losses.

Quantitative suitability under Rule 2111(b) also appears implicated given the extended holding period Simmons recommended, which predictably resulted in substantial losses unrelated to the underlying index's actual performance.

Simmons's explanations that the product would 'supercharge returns' and 'make up for lost time' reflect a sales-driven approach rather than genuine consideration of Mrs. Holloway's needs. The firm's supervisory failure under FINRA Rule 3110, approving the trade after only cursory review despite red flags, compounded the violation but does not excuse the representative's conduct. The verbal approval defense is unavailing; suitability is an objective standard based on the customer's actual profile, not her acquiescence to a recommendation she did not understand.

Key Factor

Recommending a 3x leveraged ETF designed for short-term trading to a 68-year-old conservative investor seeking capital preservation for a long-term hold directly contradicted her documented investment profile and risk tolerance.

Item 399 of 499**NON-COMPLIANT**

Topic: unauthorized_mutual_fund_exchanges_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Marcus Thornton, a registered representative with Ridgeview Financial Partners, had been serving as the broker for five elderly customers--Helen Cartwright (age 74), Robert Jennings (age 71), Patricia Dunmore (age 78), William Ashford (age 69), and Dorothy Sellers (age 76)--since 2019. Each customer had conservative investment objectives documented in their account profiles, with risk tolerances ranging from 'low' to 'moderate' and primary investment goals of capital preservation and income generation for retirement.

Between March and August 2023, Thornton executed a series of six mutual fund exchanges across these five customer accounts, moving approximately \$847,000 in total from established bond and balanced funds into sector-specific growth funds with higher expense ratios and greater volatility. Helen Cartwright's account alone saw \$215,000 moved from a diversified bond fund into a technology sector fund. Robert Jennings had \$178,000 exchanged from a balanced fund into an emerging markets equity fund. The other three customers experienced similar exchanges ranging from \$125,000 to \$180,000 each.

Critically, Thornton did not contact any of these customers to discuss the exchanges or obtain their authorization prior to executing the transactions. When the customers received their quarterly statements in October 2023, they were surprised to see unfamiliar holdings in their accounts. Four of the five customers contacted Ridgeview's compliance department to inquire about the changes. Upon investigation, compliance discovered that Thornton had no documented customer authorization--no signed exchange forms, no recorded telephone calls, and no contemporaneous notes reflecting customer consent.

When questioned by his branch manager, Thornton claimed the customers had verbally authorized the exchanges during routine check-in calls, but he could not produce any evidence supporting this assertion. The firm's phone records showed no calls between Thornton and these customers during the relevant period. The mutual fund exchanges resulted in the customers holding investments that were inconsistent with their documented profiles and exposed them to significantly higher market risk during a period of considerable volatility.

Question

Did Marcus Thornton violate his suitability obligations and FINRA rules by executing the mutual fund exchanges in his customers' accounts without documented authorization and contrary to their investment profiles?

Answer

Marcus Thornton violated multiple FINRA rules, including FINRA Rules 2111 (Suitability) and 2010 (Standards of Commercial Honor and Principles of Trade). The conduct described constitutes both unauthorized trading and unsuitable recommendations.

Regarding unauthorized trading under FINRA Rule 2010, a registered representative must obtain customer authorization before effecting transactions in discretionary accounts or before each transaction in non-discretionary

accounts. Thornton executed six exchanges totaling \$847,000 across five customer accounts without any documented authorization. The absence of signed exchange forms, recorded calls, or contemporaneous notes--combined with firm phone records showing no customer contact during the relevant period--establishes that Thornton acted without proper authorization. Unauthorized trading is a serious violation of just and equitable principles of trade under Rule 2010.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, risk tolerance, time horizon, and investment objectives. All five customers were elderly (ages 69-78) with documented conservative objectives emphasizing capital preservation and income generation. The exchanges moved their assets from diversified bond and balanced funds into volatile sector-specific and emerging markets funds--investments fundamentally inconsistent with their profiles. Helen Cartwright, a 74-year-old conservative investor, had no reasonable basis for holding \$215,000 in a technology sector fund. The customer-specific suitability component of Rule 2111 requires the broker to evaluate whether the recommendation fits that particular customer's stated needs and circumstances.

Thornton cannot credibly claim the customers authorized these transactions given the complete absence of documentation and contradicting phone records. Even if authorization had been obtained, the recommendations themselves were unsuitable given the customers' documented profiles. The exchanges exposed elderly, conservative investors to inappropriate market risk and higher costs without any documented rationale supporting the strategy change.

The violations warrant significant sanctions given the pattern of conduct affecting multiple vulnerable customers and the substantial sums involved.

Key Factor

Thornton executed mutual fund exchanges without customer authorization and moved elderly, conservative investors into volatile sector funds inconsistent with their documented investment profiles.

Item 400 of 499

NON-COMPLIANT

Topic: ria_strategy_concentration_suitability

Difficulty: medium

Standard: Investment Advisers Act of 1940 fiduciary duty; SEC interpretive guidance on duty of care; Form ADV Part 2A disclosure requirements

Source: 07_Practitioner_Commentary

Fact Pattern

Margaret Holbrook, age 68, retired from her position as a hospital administrator in February 2024 with \$1.4 million in liquid assets representing her entire retirement savings. She approached Badger Capital Advisers, LLC, an SEC-registered investment adviser based in Madison, Wisconsin, seeking investment management services. During her initial consultation on March 5, 2024, Mrs. Holbrook completed a detailed investor profile questionnaire indicating she was a conservative investor with moderate risk tolerance, needed income generation to supplement her Social Security benefits, had a 15-20 year investment horizon, and specifically noted she could not afford to lose more than 15% of her portfolio value without materially affecting her retirement lifestyle.

Badger Capital's adviser, Thomas Reinhardt, recommended placing Mrs. Holbrook's entire \$1.4 million into a single concentrated equity strategy--the firm's proprietary Small-Cap Value strategy--which invested exclusively in small-capitalization equities with market caps below \$2.5 billion. The strategy had generated impressive returns of 24% in 2023, which Reinhardt emphasized during his recommendation. The investment management agreement signed on March 12, 2024, granted Badger Capital full discretionary authority over the account and specified an asset-based fee of 1.25% annually.

Reinhardt's recommendation documentation consisted solely of a one-page summary noting Mrs. Holbrook's 'desire for growth' and the strategy's recent performance. No analysis was conducted regarding the strategy's volatility profile, lack of income generation capability, or appropriateness for a retiree dependent on portfolio withdrawals. The Small-Cap Value strategy historically exhibited standard deviation of 22% and generated minimal dividend income of approximately 0.4% annually. By October 2024, the concentrated small-cap portfolio had declined 28% to \$1.008 million during a market rotation away from small-cap value stocks, leaving Mrs. Holbrook unable to fund her planned \$60,000 annual withdrawals without further depleting her principal.

Question

Did Thomas Reinhardt and Badger Capital Advisers breach their fiduciary duty of care by recommending that Mrs. Holbrook allocate her entire retirement portfolio to a concentrated small-cap equity strategy?

Answer

Yes, Thomas Reinhardt and Badger Capital Advisers breached their fiduciary duty of care under the Investment Advisers Act of 1940. As an SEC-registered investment adviser, Badger Capital owed Mrs. Holbrook a fiduciary duty encompassing both the duty of care and the duty of loyalty, as articulated in SEC Release IA-5248 and reinforced in subsequent Commission guidance.

The duty of care requires an investment adviser to provide advice that is in the client's best interest based on a reasonable understanding of the client's objectives. This duty specifically mandates that advisers have a reasonable belief that the advice is suitable for the client, taking into account the client's financial situation, risk tolerance,

investment objectives, and other relevant factors. Reinhardt's recommendation failed this standard on multiple grounds.

First, the Small-Cap Value strategy's characteristics were fundamentally incompatible with Mrs. Holbrook's stated needs. She required income generation to supplement Social Security, yet the strategy produced only 0.4% dividend yield--woefully inadequate for her \$60,000 annual withdrawal requirement. Second, her moderate risk tolerance and explicit statement that she could not afford losses exceeding 15% directly contradicted placement in a strategy with 22% historical standard deviation. Third, as a 68-year-old retiree with no other liquid assets, concentration of her entire portfolio in a single volatile asset class violated basic prudent investment principles.

Reinhardt's documentation further evidences the breach. The one-page summary failed to document any reasonable basis analysis connecting the recommendation to Mrs. Holbrook's specific circumstances. Emphasizing recent 24% returns without analyzing volatility, income characteristics, or suitability for a retiree dependent on withdrawals demonstrates a recommendation driven by performance marketing rather than client-centered analysis.

Badger Capital cannot defend by citing discretionary authority. The investment management agreement establishes the advisory relationship but does not absolve the adviser from ensuring initial strategy recommendations are suitable. The 28% loss--nearly double Mrs. Holbrook's stated tolerance--and the strategy's inability to support her income needs confirm the recommendation was not in her best interest from inception.

Key Factor

The adviser recommended a concentrated, high-volatility, low-income equity strategy to a conservative retiree who expressly stated she could not tolerate losses exceeding 15% and needed income to fund retirement withdrawals.

Item 401 of 499**NON-COMPLIANT**

Topic: reg_bi_care_obligation_complex_product

Difficulty: hard

Standard: Regulation Best Interest (Exchange Act Rule 15l-1); Care Obligation under Rule 15l-1(a)(2)(ii); Compliance Obligation under Rule 15l-1(a)(2)(iv); FINRA Rule 2111 (Suitability)

Source: 09_Law_Firm_Memos

Fact Pattern

Meridian Capital Securities, a dual-registered broker-dealer and investment adviser, employed Marcus Thornton as a registered representative in its Atlanta branch. In September 2023, Thornton met with retail customer Dolores Fuentes, a 67-year-old recently retired postal worker with a pension income of \$3,200 monthly and a lump-sum retirement distribution of \$285,000 she wished to invest conservatively. Ms. Fuentes completed a client profile indicating 'low' risk tolerance, 'capital preservation' as her primary investment objective, a 5-7 year investment horizon, and limited investment experience consisting only of her 401(k) plan's target-date funds.

During the meeting, Thornton recommended that Ms. Fuentes allocate \$180,000--approximately 63% of her investable assets--into a structured product: a reverse convertible note linked to a basket of three biotechnology stocks with a 14-month maturity. The product offered a 9.2% annual coupon but carried principal-at-risk exposure if any underlying stock declined more than 25% during the observation period. Thornton's internal notes reflected that he spent approximately twelve minutes explaining the product mechanics, characterizing it as 'similar to a CD but with better yield.'

Meridian's product due diligence committee had classified the reverse convertible as suitable only for customers with 'moderate-high' to 'high' risk tolerance, at least 'some' experience with structured products, and allocation limits of no more than 20% of liquid net worth. Thornton did not document any analysis of why Ms. Fuentes's profile warranted deviation from these guidelines. His supervisor, branch manager Keith Donaldson, approved the transaction the same day without requesting additional justification or conducting a suitability review beyond confirming the order ticket matched the recommendation.

By November 2024, one of the underlying biotechnology stocks had declined 47% following an adverse FDA decision, triggering the knock-in barrier. Ms. Fuentes received only \$98,400 in principal repayment at maturity, representing a loss of \$81,600 or approximately 45% of her allocated investment. She filed a complaint with Meridian alleging the recommendation was unsuitable and not in her best interest.

Question

Did Marcus Thornton and Meridian Capital Securities satisfy their Regulation Best Interest Care Obligation when recommending the reverse convertible note to Ms. Fuentes?

Answer

No, Marcus Thornton and Meridian Capital Securities violated the Care Obligation component of Regulation Best Interest. Under Exchange Act Rule 15l-1(a)(2)(ii), the Care Obligation requires a broker-dealer and its associated persons to exercise reasonable diligence, care, and skill when making a recommendation to understand the potential risks, rewards, and costs associated with the recommendation, and to have a reasonable basis to believe the recommendation is in the retail customer's best interest based on that customer's investment profile.

Thornton's recommendation fails this standard on multiple grounds. First, the reverse convertible note--a complex structured product with embedded put options exposing principal to equity volatility--was fundamentally misaligned with Ms. Fuentes's documented investment profile. Her stated risk tolerance was 'low,' her objective was 'capital preservation,' and she had no experience with structured products. The SEC's adopting release for Reg BI emphasizes that the Care Obligation requires consideration of the customer's specific characteristics, including risk tolerance and investment experience, when assessing whether a recommendation is in the customer's best interest.

Second, Thornton failed to apply reasonable diligence in evaluating the recommendation against Meridian's own product guidelines, which explicitly restricted the reverse convertible to customers with 'moderate-high' to 'high' risk tolerance and capped allocations at 20% of liquid assets. The 63% allocation to Ms. Fuentes egregiously exceeded this threshold without documented justification. The SEC has clarified that while internal guidelines alone do not define Reg BI compliance, systematic deviation without reasoned analysis evidences lack of reasonable care.

Third, Meridian's supervisory procedures under Rule 15l-1(a)(2)(iv)--the Compliance Obligation--appear deficient. Supervisor Donaldson's same-day approval without heightened review of a complex product sale to a clearly mismatched customer profile demonstrates inadequate policies to achieve compliance with the Care Obligation.

Thornton's characterization of the product as 'similar to a CD' further reflects inadequate understanding of the product's risk profile, undermining any claim of reasonable diligence. The Care Obligation explicitly requires understanding the recommendation's risks before determining it serves the customer's best interest. Meridian and Thornton are subject to SEC enforcement action for violating Regulation Best Interest's General Obligation and Care Obligation.

Key Factor

Thornton recommended a complex principal-at-risk structured product requiring high risk tolerance to a conservative, inexperienced retiree seeking capital preservation, directly contradicting the firm's own suitability guidelines and the customer's documented investment profile.

Item 402 of 499

NON-COMPLIANT

Topic: suitability_elderly_customer_complex_products

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2010 (Standards of Commercial Honor); FINRA guidance on complex products and senior investors

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Gerald Thornton, age 78, opened a brokerage account with Apex Securities Group in March 2024. During his onboarding, Thornton completed a new account form indicating he was a retired postal worker with a fixed income of \$2,400 monthly from Social Security and a small pension. His liquid net worth consisted of approximately \$185,000 in savings, representing his entire life savings accumulated over 40 years. Thornton marked his investment objective as 'income and preservation of capital' and his risk tolerance as 'conservative.' He specifically noted on the form that he needed reliable income to supplement his fixed retirement payments and could not afford to lose principal.

Despite this documented profile, his assigned representative, Marcus Webb, recommended that Thornton invest \$140,000--approximately 76% of his liquid assets--into a portfolio of leveraged exchange-traded funds (ETFs) tracking volatile sectors including biotechnology and semiconductor indices. Webb explained these products would 'supercharge' Thornton's returns and provide better income than certificates of deposit. Webb did not explain that leveraged ETFs are designed for short-term trading, experience daily compounding decay, and are generally unsuitable for buy-and-hold investors, particularly elderly customers seeking capital preservation.

Between March and September 2024, the leveraged ETF positions experienced significant volatility. Due to the compounding effects and market fluctuations, Thornton's \$140,000 investment declined to approximately \$67,500--a loss of \$72,500 or roughly 52% of the invested amount. When Thornton contacted Webb expressing distress about the losses, Webb suggested he 'hold on' and that the positions would recover. Thornton, now facing depleted retirement savings, filed a customer complaint in October 2024 alleging the recommendations were unsuitable for his age, financial situation, and stated investment objectives.

Question

Did Marcus Webb's recommendation that Gerald Thornton invest 76% of his liquid net worth in leveraged ETFs violate FINRA suitability requirements and the duty of care owed to this elderly, conservative investor?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) across all three components and constituted a clear breach of the duty of care owed to this vulnerable customer.

Regarding reasonable-basis suitability under Rule 2111(a), Webb failed to perform adequate due diligence on leveraged ETFs before recommending them. FINRA has consistently emphasized that leveraged and inverse ETFs are complex products unsuitable for retail investors with buy-and-hold strategies because daily rebalancing causes returns to deviate significantly from the underlying index over time. A reasonable representative would understand these products are designed for sophisticated short-term traders, not elderly retirees seeking income and capital preservation.

The customer-specific suitability violation is egregious. Rule 2111 requires that recommendations be suitable based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, and time horizon. Thornton was 78 years old, living on fixed income, with conservative risk tolerance and explicit capital preservation objectives. Recommending that he concentrate 76% of his liquid net worth--his entire life savings--in leveraged volatility-laden products directly contradicts every element of his documented profile. The quantitative unsuitability is also apparent: this extreme concentration exposed Thornton to catastrophic loss potential inconsistent with his stated inability to afford principal loss.

For quantitative suitability, while this prong typically addresses excessive trading, the sheer concentration of assets in unsuitable products demonstrates a failure to construct a portfolio aligned with customer needs.

Webb's conduct also implicates FINRA Rule 2010 (Standards of Commercial Honor), as placing an elderly customer's retirement savings in products fundamentally incompatible with his needs violates just and equitable principles of trade. The fact that Webb subsequently advised Thornton to 'hold on' when these products require active management further demonstrates his failure to understand or fulfill his obligations.

No defense is available. Webb documented Thornton's conservative profile yet deliberately recommended the opposite strategy. The \$72,500 loss--representing nearly 40% of Thornton's total liquid assets--demonstrates concrete harm flowing directly from unsuitable advice.

Key Factor

Webb recommended leveraged ETFs--complex products unsuitable for buy-and-hold strategies--to a 78-year-old conservative investor seeking capital preservation, concentrating 76% of his life savings in instruments fundamentally incompatible with his documented investment profile.

Item 403 of 499

NON-COMPLIANT

Topic: share_class_suitability_fee_structure

Difficulty: medium

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; Investment Advisers Act Section 206(2); Form N-1A Item 12(a)(2) sales load disclosure requirements

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Margaret Holloway, age 67, retired from her career as a public school administrator in March 2023 with a \$412,000 lump sum pension distribution. She met with registered representative Daniel Kirkpatrick of Westbrook Financial Services, LLC in April 2023 to discuss investing her retirement savings. During the meeting, Mrs. Holloway explained that she needed the money to supplement her Social Security income, had moderate risk tolerance, and anticipated needing to make regular withdrawals of approximately \$2,000 per month starting within six months. She had no other liquid savings beyond a \$15,000 emergency fund.

Kirkpatrick recommended that Mrs. Holloway invest \$380,000 across four equity mutual funds, each purchased using Class A shares with front-end sales loads ranging from 4.75% to 5.50%. The total upfront sales charges exceeded \$19,500. Kirkpatrick's rationale, documented in his notes, was that Class A shares offered lower ongoing expense ratios compared to Class C shares, making them 'more cost-effective for long-term investors.'

However, Kirkpatrick failed to consider that the same fund family offered Class T shares specifically designed for retirement investors through certain intermediary arrangements, which featured reduced front-end loads of 2.50% and were available through Westbrook's platform. Additionally, several of the recommended funds offered load waivers for retirement rollovers that Kirkpatrick did not apply, despite Mrs. Holloway's investment qualifying under the funds' prospectus-disclosed variations. The prospectus appendix for each fund clearly identified Westbrook Financial Services as an intermediary eligible for these reduced load structures.

Mrs. Holloway's account lost approximately \$28,000 in market value during her first eight months, and combined with her monthly withdrawals, her account balance had declined to \$310,000 by December 2023. She filed a complaint alleging that Kirkpatrick recommended an unsuitable share class structure given her circumstances.

Question

Did Kirkpatrick's recommendation of Class A shares with full front-end loads satisfy the care obligation under Regulation Best Interest, given Mrs. Holloway's retirement income needs and the availability of reduced-load share classes?

Answer

Kirkpatrick's recommendation likely violated Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii). The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs associated with the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made.

The analysis reveals multiple deficiencies. First, regarding cost considerations: Reg BI explicitly requires consideration of reasonably available alternatives, including cost factors. Kirkpatrick recommended Class A shares with 4.75%-5.50%

front-end loads when Class T shares with 2.50% loads were available through his own firm's platform, and when prospectus-disclosed load waivers for retirement rollovers applied to Mrs. Holloway's qualified pension distribution. The SEC's guidance on mutual fund fee structures, as reflected in IM Guidance 2016-06, emphasizes that funds must disclose variations in sales loads uniformly applied to particular classes of investors, and intermediaries like Westbrook are specifically identified in prospectus appendices. Kirkpatrick's failure to apply available waivers or consider lower-cost share classes resulted in approximately \$9,500 in unnecessary upfront charges.

Second, regarding customer profile analysis: Mrs. Holloway's profile--age 67, retired, needing monthly withdrawals within six months, moderate risk tolerance, limited liquid savings--did not support Kirkpatrick's stated rationale that Class A shares were appropriate for 'long-term investors.' Her anticipated holding period and withdrawal needs contradicted this justification.

Third, regarding reasonable diligence: The Care Obligation's reasonable diligence requirement extends to understanding product costs and alternatives. Kirkpatrick's own firm had access to reduced-load arrangements specifically disclosed in fund prospectus appendices. His failure to review or apply these available cost reductions demonstrates inadequate diligence.

Kirkpatrick may argue that Class A shares' lower expense ratios justified the recommendation, but this defense fails given Mrs. Holloway's short-to-intermediate time horizon and immediate income needs, where upfront load recovery would take many years. The recommendation prioritized a generalized cost principle over the customer's specific circumstances, violating the individualized best interest standard Reg BI requires.

Key Factor

Kirkpatrick failed to apply available sales load waivers and consider lower-cost share classes specifically available through his firm's platform for retirement investors, resulting in approximately \$9,500 in unnecessary charges for a client with near-term income needs.

Item 404 of 499**NON-COMPLIANT**

Topic: suitability_speculative_investments_conservative_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Thornton, age 71, retired from her position as a public school teacher in March 2022. She had accumulated approximately \$485,000 in her 403(b) retirement account, which represented the vast majority of her liquid net worth. Her only other assets included her modest home valued at \$210,000 and a checking account with \$12,000. Mrs. Thornton's monthly income consisted solely of a \$2,400 pension and \$1,850 in Social Security benefits. When she opened an account at Westfield Securities Group in April 2022, she completed a new account form indicating her investment objective as 'income and preservation of capital,' her risk tolerance as 'conservative,' her investment time horizon as '5-10 years,' and her liquidity needs as 'moderate' given potential healthcare expenses.

Her registered representative, Daniel Corwin, recommended that Mrs. Thornton roll over her 403(b) into an IRA at Westfield and invest \$290,000 (approximately 60% of her retirement savings) into a portfolio of leveraged exchange-traded funds tracking the energy sector and emerging markets. Corwin explained these products could 'supercharge her returns' and allow her to 'catch up on retirement savings.' The prospectuses for these leveraged ETFs clearly stated they were designed for short-term trading, typically single-day holding periods, and were unsuitable for long-term investors due to the daily reset mechanism that could cause significant value erosion over time regardless of underlying index performance.

Corwin documented in his notes that he discussed the products' features with Mrs. Thornton, but his notes did not reflect any analysis of why leveraged ETFs were appropriate for a 71-year-old conservative investor seeking income and capital preservation. By November 2022, the leveraged ETF portfolio had declined by \$127,000 to a value of \$163,000, representing a 44% loss. Mrs. Thornton filed a complaint with FINRA, stating she never understood the complex mechanics of daily leverage resets and believed the investments would simply track the underlying sectors over time.

Question

Did Daniel Corwin's recommendation that Mrs. Thornton invest 60% of her retirement savings in leveraged ETFs violate FINRA's suitability requirements under Rule 2111?

Answer

Daniel Corwin's recommendation clearly violated FINRA Rule 2111's suitability requirements on multiple grounds. Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable for the customer based on reasonable diligence concerning the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

First, Corwin failed the customer-specific suitability obligation under Rule 2111(a). Mrs. Thornton was a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, and a 5-10 year time horizon. Leveraged ETFs are explicitly designed for short-term trading--typically single-day holding periods--and are fundamentally incompatible with conservative, long-term investing strategies. FINRA has consistently warned that

leveraged ETFs are generally unsuitable for retail investors who plan to hold them for more than one trading session due to the compounding effects of daily resets.

Second, the quantitative suitability component was violated. Concentrating 60% of a retired client's liquid retirement assets in speculative, complex products created excessive risk exposure wholly inconsistent with her stated objectives and financial circumstances. Mrs. Thornton's limited income (\$4,250 monthly) and lack of other substantial liquid assets made her particularly vulnerable to significant losses.

Third, Corwin's documentation failures indicate he did not conduct the reasonable-basis suitability analysis required under Rule 2111. His notes reflected no analysis of why these complex products were appropriate for this specific customer's profile. The absence of such analysis suggests he lacked a reasonable basis for the recommendation.

The fact that Corwin discussed product features does not satisfy suitability obligations. A broker cannot discharge his duty simply by disclosing risks; he must ensure the recommendation itself is suitable. Mrs. Thornton's lack of sophisticated investment experience further aggravates the violation, as Corwin should have recognized she could not fully appreciate the daily reset mechanics and their long-term consequences. This recommendation violated FINRA Rule 2111 and the ethical standards of FINRA Rule 2010.

Key Factor

Recommending leveraged ETFs designed for single-day holding periods to a 71-year-old conservative investor seeking income and capital preservation with a multi-year time horizon fundamentally contradicts customer-specific suitability requirements.

Item 405 of 499

NON-COMPLIANT

Topic: suitability_complex_product_elderly_customer

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Customer-Specific Suitability Factors); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 78, was a retired schoolteacher with a modest pension and approximately \$425,000 in liquid assets, representing her entire life savings. She had been a customer of Piedmont Wealth Services, a FINRA member firm, since 2003. In January 2019, her longtime financial advisor retired, and her account was reassigned to Derek Castellano, a registered representative with the firm. Mrs. Holloway's account documentation consistently reflected a 'conservative' risk tolerance, an investment objective of 'income and capital preservation,' and a 10-year investment time horizon. Her annual income from pension and Social Security totaled approximately \$38,000.

Between March 2019 and August 2019, Castellano recommended that Mrs. Holloway liquidate her diversified portfolio of investment-grade bonds and blue-chip dividend stocks and reinvest the proceeds into a concentrated position of leveraged exchange-traded funds (ETFs) tracking emerging market indices and sector-specific volatility products. Castellano represented that these products would 'supercharge' her income and provide 'better growth potential' than her existing holdings. By October 2019, Mrs. Holloway held approximately \$380,000 in leveraged and inverse ETFs, representing nearly 90% of her liquid net worth.

Castellano's branch manager, Victoria Reinholt, conducted a supervisory review of the account in November 2019 after the firm's compliance system flagged the concentration. Despite the red flags, Reinholt approved the holdings after Castellano explained that Mrs. Holloway had verbally expressed interest in 'more aggressive investments.' No updated account documentation reflecting any change in risk tolerance or investment objectives was obtained. By February 2020, the portfolio had declined in value by approximately \$165,000 due to market volatility and the compounding decay inherent in leveraged products held over extended periods.

Mrs. Holloway filed a FINRA arbitration claim in April 2020, alleging unsuitability, breach of fiduciary duty, negligence, and failure to supervise. She sought compensatory damages of \$165,000, plus interest and costs. Piedmont Wealth Services and Castellano denied liability, arguing that Mrs. Holloway had approved each transaction and had expressed a desire for higher returns during conversations with her advisor.

Question

Did Castellano's recommendations to concentrate Mrs. Holloway's portfolio in leveraged and inverse ETFs violate FINRA suitability requirements, and did the firm fail in its supervisory obligations?

Answer

The recommendations made by Castellano clearly violated FINRA Rule 2111 (Suitability) across all three components of the suitability obligation. First, regarding reasonable-basis suitability under Rule 2111(a), leveraged and inverse ETFs are explicitly designed for short-term trading strategies and reset daily, making them fundamentally unsuitable for buy-and-hold investors like Mrs. Holloway. These products experience 'volatility decay' when held over extended periods, a characteristic that should have been understood by any representative recommending them.

Second, the customer-specific suitability prong was grossly violated. Mrs. Holloway's documented profile--conservative risk tolerance, income and capital preservation objectives, age 78, modest fixed income, and the fact that these assets represented her entire liquid net worth--made leveraged emerging market and volatility products categorically inappropriate. Rule 2111.05(a) specifically requires consideration of the customer's age, investment time horizon, risk tolerance, and other investments. A 90% concentration in complex leveraged products for a 78-year-old conservative investor with capital preservation goals represents a fundamental breach of this standard.

Third, quantitative suitability was violated through the excessive concentration. Even if individual products had some theoretical merit, concentrating nearly the entire portfolio in volatile, leveraged instruments created an unsuitable overall strategy.

The firm's supervisory failure compounds the violation. Under FINRA Rule 3110, member firms must establish and maintain supervisory systems reasonably designed to achieve compliance with applicable securities laws and regulations. Branch manager Reinholt's approval of the concentrated position based solely on the representative's claim of verbal customer interest--without requiring updated account documentation or conducting meaningful diligence--represents a supervisory failure. FINRA has consistently emphasized that verbal representations cannot override documented customer profiles without contemporaneous written confirmation.

Castellano's defense that Mrs. Holloway approved each transaction fails because customer consent does not relieve a representative of suitability obligations. FINRA Rule 2111 imposes an independent duty on the representative to have a reasonable basis for recommendations, regardless of customer acquiescence. The damages of \$165,000 flow directly from the unsuitable recommendations and inadequate supervision.

Key Factor

Concentrating 90% of a 78-year-old conservative investor's life savings in leveraged and inverse ETFs designed for short-term trading directly contradicted her documented risk tolerance, investment objectives, and time horizon.

Item 406 of 499**NON-COMPLIANT**

Topic: unsuitable_complex_product_recommendation_elderly_client

Difficulty: hard

Standard: NASAA Model Rule on IA Fiduciary Duty; Ohio Rev. Code § 1707.44 (fraudulent practices); State fiduciary duty of care requiring investment recommendations suitable to client's age, risk tolerance, investment objectives, liquidity needs, and financial situation

Source: 14_NASAA_State_Enforcement

Fact Pattern

Margaret Thornton, age 78, was a retired elementary school teacher living in Columbus, Ohio with a modest fixed income consisting of Social Security benefits of \$2,100 monthly and a small state pension of \$1,400 monthly. In March 2023, she inherited \$185,000 from her late sister and sought advice from Midwest Wealth Partners, LLC, a state-registered investment adviser. Her investment adviser representative, Daniel Kowalski, conducted an initial meeting where Mrs. Thornton clearly stated her primary objectives: preserving capital for potential nursing home expenses, maintaining liquidity for medical emergencies, and generating modest income to supplement her fixed sources. She explicitly described herself as having 'no tolerance for losing money' and indicated she had never invested in anything beyond certificates of deposit and savings bonds throughout her life.

Kowalski, who had been registered as an IAR for three years, recommended that Mrs. Thornton invest \$140,000 of her inheritance into a portfolio consisting of 60% in leveraged inverse exchange-traded funds tracking volatility indexes and 40% in non-traded real estate investment trusts with seven-year lockup periods. He explained that the leveraged ETFs would 'protect her against market downturns' and the non-traded REITs would provide 'guaranteed income.' His written investment policy statement noted her risk tolerance as 'moderate growth' and her time horizon as 'long-term (10+ years),' despite her documented statements to the contrary during the recorded initial consultation.

Within six months, by September 2023, the leveraged inverse ETF positions had lost approximately 67% of their value due to daily rebalancing decay during a period of declining market volatility, reducing that portion of her investment from \$84,000 to approximately \$27,700. Meanwhile, Mrs. Thornton discovered she could not access her \$56,000 in non-traded REITs when she needed funds for an unexpected hip replacement surgery in October 2023. The Ohio Division of Securities initiated an examination after Mrs. Thornton filed a complaint, revealing that Kowalski had received significantly higher commissions on both the leveraged products and the non-traded REITs compared to traditional investment alternatives.

Question

Did IAR Daniel Kowalski violate his fiduciary duty of care and state suitability requirements by recommending leveraged inverse ETFs and illiquid non-traded REITs to Mrs. Thornton?

Answer

Yes, Daniel Kowalski violated his fiduciary duty of care and state suitability requirements through recommendations that were fundamentally inconsistent with Mrs. Thornton's documented investment profile. Under the NASAA Model Rule on IA Fiduciary Duty and Ohio's securities laws implementing state fiduciary standards, an investment adviser representative owes clients a duty to provide advice that is in the client's best interest, which necessarily requires that recommendations be suitable given the client's specific circumstances.

Kowalski's conduct fails multiple elements of the duty of care analysis. First, the recommended leveraged inverse ETFs were patently unsuitable for a 78-year-old investor with zero risk tolerance and capital preservation objectives. These instruments are explicitly designed for short-term trading and sophisticated investors who understand daily rebalancing mechanics and volatility decay. NASAA guidance and state regulators have consistently held that leveraged and inverse products are presumptively unsuitable for elderly, conservative investors seeking capital preservation.

Second, the seven-year lockup on non-traded REITs directly contradicted Mrs. Thornton's stated need for liquidity to address medical emergencies--a need that materialized within months. An IAR exercising reasonable care would have recognized that recommending illiquid products to a 78-year-old client with health-related liquidity needs constitutes a fundamental breach of the care obligation.

Third, Kowalski's documentation falsely characterized Mrs. Thornton's risk tolerance as 'moderate growth' and her time horizon as 'long-term (10+ years),' directly contradicting her recorded statements. This misrepresentation of client profile information to justify unsuitable recommendations constitutes an independent violation of the adviser's duty to make investment recommendations based on accurate client information.

The higher commissions Kowalski received, while primarily a conflict of interest issue, further evidences that the recommendations were driven by adviser compensation rather than client suitability. The concentration of 100% of recommended assets in high-risk, illiquid, or complex products for an elderly, conservative, first-time investor with documented liquidity needs represents a clear violation of state fiduciary standards requiring advisers to act in clients' best interests with the care of a prudent professional.

Key Factor

Kowalski recommended complex leveraged products and illiquid investments to a 78-year-old conservative investor with explicit capital preservation goals and liquidity needs, directly contradicting her documented investment profile.

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NON-COMPLIANT

Topic: suitability_leveraged_etf_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05 (Components of Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 74, was a retired schoolteacher who opened an account with Southeastern Capital Advisors, Inc. in March 2018. Her account application documented her investment objective as 'income with capital preservation,' her risk tolerance as 'conservative,' her annual income as \$42,000 from Social Security and a small pension, and her liquid net worth as \$285,000--representing her entire retirement savings. Mrs. Holloway had no prior investment experience beyond certificates of deposit and a modest bond fund held in her 403(b) during employment.

Her registered representative, Daniel Ostrowski, recommended that Mrs. Holloway invest \$140,000 (approximately 49% of her liquid net worth) in ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF designed to deliver three times the daily return of the Nasdaq-100 Index. Ostrowski explained to Mrs. Holloway that technology stocks were 'the future' and that this investment would help her 'catch up' on retirement savings she felt were inadequate. He did not explain the daily reset mechanism, the compounding effects over holding periods longer than one day, or the potential for accelerated losses in volatile markets.

Mrs. Holloway held the TQQQ position from April 2018 through February 2019, a period that included significant market volatility in the fourth quarter of 2018. During this holding period, the position experienced a maximum drawdown of 47%, and by February 2019, her \$140,000 investment had declined to approximately \$78,400--a loss of \$61,600. Internal firm communications later revealed that Ostrowski had received bonus compensation tied to gross production, and that TQQQ generated higher commissions than traditional index funds. The firm's supervisory principal, who was responsible for reviewing new account documentation and trade activity, approved the initial TQQQ purchase without conducting a heightened suitability review despite the customer's documented conservative profile and the product's inherent complexity and risk characteristics.

Question

Did Ostrowski's recommendation that Mrs. Holloway invest 49% of her retirement savings in a 3x leveraged ETF violate FINRA's suitability rule, and did the firm fail in its supervisory obligations?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) on multiple grounds, and the firm violated FINRA Rules 3110 (Supervision) and 2010 (Standards of Commercial Honor).

Regarding customer-specific suitability under Rule 2111(a), a member must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Mrs. Holloway's documented profile--a 74-year-old retiree with conservative risk tolerance, income-focused objectives, limited investment experience, and total liquid net worth of \$285,000--is fundamentally incompatible with leveraged ETF products.

FINRA has consistently emphasized that leveraged and inverse ETFs are complex products unsuitable for retail investors who plan to hold them for longer than one trading session. These products reset daily and can produce returns that deviate significantly from the underlying index over extended periods, particularly in volatile markets. Ostrowski recommended a 10-month hold of TQQQ, directly contradicting the product's design and intended use. The 49% concentration in a single high-risk speculative instrument further violated quantitative suitability standards, as this allocation exposed nearly half of Mrs. Holloway's retirement assets to potential total loss.

Ostrowski's failure to explain the daily reset mechanism, compounding effects, and volatility decay constitutes a failure to ensure reasonable-basis suitability under Rule 2111.05(a). Without understanding these material characteristics, Mrs. Holloway could not make an informed investment decision.

The firm violated Rule 3110 by failing to establish and maintain a supervisory system reasonably designed to achieve compliance with suitability requirements. The supervisory principal's approval of a leveraged ETF purchase for a documented conservative elderly investor without heightened review demonstrates systemic supervisory failure. Firms must implement enhanced scrutiny for complex products recommended to vulnerable investors.

The recommendation was clearly unsuitable, and both the representative and firm bear responsibility for the resulting losses.

Key Factor

Recommending a 3x leveraged ETF designed for single-day holding to a 74-year-old conservative investor for a 10-month hold, concentrating 49% of her retirement savings, constituted a clear customer-specific suitability violation.

Item 408 of 499**NON-COMPLIANT**

Topic: unsuitable_bank_securities_portfolio_recommendation

Difficulty: hard

Standard: Investment Advisers Act of 1940 Section 206(1) and (2); SEC fiduciary duty interpretation requiring duty of care and duty of loyalty; SEC guidance on investment adviser fiduciary duty (June 2019 Commission Interpretation)

Source: 16_Congressional_Materials

Fact Pattern

Ironside Wealth Partners, a dually registered broker-dealer and investment adviser in Charlotte, North Carolina, provided investment advisory services to Carolina Community Savings Bank, a small regional bank with approximately \$890 million in total assets. In March 2021, the bank's board engaged Ironside to manage their \$175 million held-to-maturity securities portfolio, primarily consisting of U.S. Treasury securities maturing within 2-5 years. The bank's investment policy statement, provided to Ironside, explicitly stated that the portfolio must maintain duration of no more than 4 years, that the bank had minimal tolerance for interest rate risk given its heavy reliance on rate-sensitive deposits, and that capital preservation was the paramount objective.

Marcus Pennington, the Ironside portfolio manager assigned to the account, recommended restructuring the portfolio over Q2 and Q3 2021 by selling \$145 million in short-dated Treasuries and reinvesting the proceeds into 15-year and 20-year duration mortgage-backed securities and long-dated municipal bonds yielding approximately 90 basis points more than the existing portfolio. Pennington's internal emails to colleagues noted that the restructuring would generate approximately \$1.3 million in additional annual advisory fees for Ironside due to the larger notional positions and more complex securities requiring active management.

Pennington presented the recommendation to the bank's CFO, Janet Morales, emphasizing only the yield enhancement without conducting or presenting any interest rate sensitivity analysis. He did not discuss how rising rates would impact the portfolio's market value or the bank's regulatory capital ratios. When Morales asked about risks, Pennington stated that mortgage-backed securities were 'backed by the full faith and credit of the U.S. government agencies' and were therefore 'essentially risk-free.' He did not mention duration extension risk or the asymmetric prepayment characteristics of mortgage-backed securities.

By December 2022, after the Federal Reserve raised rates by 425 basis points, the restructured portfolio had unrealized losses exceeding \$38 million, representing approximately 22% of the bank's total equity capital. The bank was forced to classify certain securities as available-for-sale and recognize \$14 million in losses to meet liquidity needs, ultimately triggering regulatory scrutiny of its capital adequacy. The bank filed a complaint against Ironside alleging breach of fiduciary duty and failure to provide suitable investment advice.

Question

Did Marcus Pennington and Ironside Wealth Partners breach their fiduciary duty of care by recommending the restructuring of Carolina Community Savings Bank's securities portfolio into long-duration mortgage-backed securities and municipal bonds?

Answer

Yes, Marcus Pennington and Ironside Wealth Partners breached their fiduciary duty of care under the Investment

Advisers Act of 1940. As a registered investment adviser, Ironside owed Carolina Community Savings Bank a fiduciary duty encompassing both a duty of care and a duty of loyalty. The duty of care requires an adviser to provide investment advice that is in the client's best interest based on the client's objectives, risk tolerance, and financial circumstances.

The breach of the duty of care is evident on multiple grounds. First, Ironside had clear knowledge of the bank's investment constraints--the investment policy statement explicitly limited duration to 4 years and prioritized capital preservation given the bank's rate-sensitive deposit base. Recommending 15-20 year duration securities directly contradicted these documented constraints and was fundamentally unsuitable for the client's stated objectives and risk profile.

Second, Pennington failed to conduct reasonable investigation and due diligence. SEC guidance establishes that advisers must have a reasonable understanding of the potential risks and rewards of recommended investments in light of the client's profile. A basic interest rate sensitivity analysis would have revealed catastrophic downside risk to the bank's capital ratios in a rising rate environment. Pennington's failure to perform or present such analysis constitutes a failure to provide advice with the care, skill, prudence, and diligence required of fiduciaries.

Third, Pennington's characterization of mortgage-backed securities as 'essentially risk-free' was materially misleading. While agency MBS carry minimal credit risk, they carry substantial interest rate risk and prepayment risk--particularly relevant given the purpose of the recommendation. This misrepresentation compounded the breach by depriving the client of information necessary to make an informed decision.

Ironside cannot defend on grounds that the bank's board approved the recommendation. Fiduciary duty requires advisers to provide suitable advice; client consent does not cure unsuitable recommendations, particularly when the adviser failed to adequately disclose material risks. The internal emails regarding fee enhancement further evidence that Ironside subordinated the client's interests to its own, potentially also implicating the duty of loyalty. The \$38 million loss directly resulted from a recommendation that violated the client's explicit investment parameters and risk constraints.

Key Factor

The adviser recommended long-duration securities that directly contradicted the client's documented 4-year duration limit and capital preservation mandate, without conducting or presenting interest rate risk analysis.

Item 409 of 499**NON-COMPLIANT**

Topic: fiduciary_duty_of_care_investment_suitability

Difficulty: hard

Standard: Investment Advisers Act Section 206(2); SEC v. Capital Gains Research Bureau fiduciary duty of care and suitability

Source: 11_Case_Law

Fact Pattern

Westbrook Capital Advisors, LLC, a registered investment adviser based in Dallas, Texas, managed approximately \$180 million in client assets through individualized portfolio management. Marcus Thornton, the firm's founder and chief investment officer, personally managed the account of Eleanor Vasquez, a 71-year-old retired schoolteacher with \$420,000 in retirement savings representing her entire liquid net worth. During the onboarding process in March 2021, Ms. Vasquez completed an investment profile questionnaire indicating she had a conservative risk tolerance, needed income to supplement her Social Security and modest pension, and had limited investment experience beyond her former employer's 403(b) plan. Her stated investment objective was capital preservation with modest income generation.

Between April 2021 and February 2022, Thornton systematically repositioned Ms. Vasquez's portfolio from its initial allocation of 70% investment-grade bonds and 30% dividend-paying blue-chip equities into a dramatically different composition. By February 2022, her portfolio consisted of 45% in speculative biotechnology stocks, 25% in leveraged ETFs tracking volatile sector indices, and 30% in high-yield corporate bonds rated below investment grade. Thornton documented in his internal notes that these positions offered 'superior return potential' and would 'grow the account faster than traditional conservative allocations.'

When questioned by his compliance officer about the Vasquez account during a routine review in March 2022, Thornton explained that he believed the client's stated conservative preferences were 'too limiting' and that she would 'thank him later' when she saw the returns. He acknowledged he had not discussed the strategy changes with Ms. Vasquez or obtained her consent for the dramatically altered risk profile. By September 2022, following market volatility, Ms. Vasquez's portfolio had declined to \$267,000, representing a loss of approximately 36% of her retirement savings. Only then did she become aware of the portfolio's composition when reviewing her quarterly statement in detail.

Question

Did Marcus Thornton and Westbrook Capital Advisors violate their fiduciary duty of care under the Investment Advisers Act by repositioning Ms. Vasquez's portfolio into high-risk investments without regard to her documented investment profile?

Answer

Yes, Marcus Thornton and Westbrook Capital Advisors violated their fiduciary duty under Section 206(2) of the Investment Advisers Act by engaging in a course of business that operated as a fraud upon their client through negligent disregard of her documented investment profile and suitability requirements.

Under the Investment Advisers Act, as interpreted by the Supreme Court in SEC v. Capital Gains Research Bureau, Inc., investment advisers owe their clients an affirmative duty of 'utmost good faith, and full and fair disclosure of all material facts.' This fiduciary standard imposes a duty of care requiring advisers to provide advice that is suitable and in

the client's best interest based on their documented financial situation, investment objectives, and risk tolerance. Critically, as the D.C. Circuit confirmed, Section 206(2) violations require only proof of negligence, not scienter or intent to defraud.

Thornton's conduct clearly breached this standard. First, he possessed documented evidence of Ms. Vasquez's conservative risk tolerance, capital preservation objective, income needs, and limited investment experience. Second, he deliberately disregarded this profile, repositioning her portfolio into speculative biotechnology stocks, leveraged ETFs, and below-investment-grade bonds--instruments fundamentally unsuitable for a 71-year-old retiree dependent on her savings for income. Third, his own documented rationale--that her preferences were 'too limiting'--demonstrates he substituted his judgment for her expressed wishes without consultation or consent.

Thornton's defense that he believed the strategy would generate superior returns is unavailing. The fiduciary duty of care requires advisers to recommend investments appropriate for the specific client, not investments the adviser personally believes will perform well in the abstract. The 36% portfolio loss, while not required to prove a Section 206(2) violation under Capital Gains, demonstrates the concrete harm resulting from this breach. The failure to obtain informed consent for material strategy changes further compounds the violation. Both the adviser and the firm are liable for this negligent course of business that operated as a fraud upon Ms. Vasquez.

Key Factor

The adviser deliberately disregarded the client's documented conservative risk tolerance and capital preservation objectives by repositioning her portfolio into speculative, high-risk investments without her knowledge or consent.

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NON-COMPLIANT

Topic: variable_annuity_suitability_for_elderly_client

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuity Suitability); Regulation Best Interest Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 78, had been a client of Coastal Wealth Advisors and her registered representative, Daniel Mercer, since 2019. Mrs. Thornton's husband passed away in January 2024, leaving her as the sole beneficiary of his \$485,000 traditional IRA and a \$175,000 life insurance death benefit. Her total liquid net worth following these inheritances was approximately \$720,000. Mrs. Thornton lived on Social Security income of \$2,100 monthly and had modest annual expenses of approximately \$38,000. Her documented investment objectives were income and capital preservation, with a conservative risk tolerance. She had no prior experience with variable products or complex investments.

In March 2024, Mercer recommended that Mrs. Thornton invest \$400,000 of her inherited IRA into the Pinnacle Strategic Growth Variable Annuity, which carried a seven-year surrender period with declining surrender charges starting at 7%. The product featured a Guaranteed Minimum Income Benefit (GMIB) rider with an annual fee of 1.15%, in addition to the base contract's mortality and expense charge of 1.40% and average underlying fund expenses of 0.85%. The total annual cost structure exceeded 3.4%. Mercer emphasized the death benefit protection and tax-deferral features during his presentation.

Mrs. Thornton's account documentation reflected that Mercer conducted a suitability review, noting she wanted to 'protect principal while generating some growth.' However, he failed to document why the lengthy surrender period was appropriate for a 78-year-old client with conservative objectives, or why the tax-deferral benefit--already available through her IRA--justified the additional annuity expenses. Mercer earned a \$28,000 commission on the sale. By September 2024, when Mrs. Thornton needed to access \$50,000 for unexpected home repairs, she faced a surrender charge of \$24,500 (7% of the remaining contract value after a 10% free withdrawal). Her estate subsequently filed a complaint alleging unsuitable recommendation and failure to consider her best interest.

Question

Did Daniel Mercer's recommendation of the variable annuity to Mrs. Thornton satisfy his suitability obligations and care duty under applicable securities regulations?

Answer

The recommendation was unsuitable and violated FINRA Rules 2111 and 2330, as well as Regulation Best Interest's care obligation. The analysis demonstrates multiple failures in meeting the applicable standards.

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on their investment profile, including age, financial situation, investment objectives, time horizon, liquidity needs, and risk tolerance. Mrs. Thornton's profile--a 78-year-old widow with conservative objectives, income needs, no complex product experience, and reliance on the invested assets--was

fundamentally inconsistent with a seven-year surrender period variable annuity.

FINRA Rule 2330 specifically addresses variable annuity suitability and requires documented reasonable grounds that the customer would benefit from certain features, including the death benefit, tax-deferred growth, and any riders. Here, the tax-deferral feature provided no incremental benefit because the funds were already in a tax-deferred IRA. The death benefit, while present, came at substantial ongoing cost that diminished the conservative growth Mrs. Thornton sought. Mercer failed to document any analysis of why these features justified the 3.4% annual expense burden for a capital preservation-oriented investor.

Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii) requires that the broker exercise reasonable diligence, care, and skill to understand the recommendation and have a reasonable basis to believe it is in the customer's best interest. The seven-year surrender period created significant liquidity risk for a 78-year-old client who reasonably could require access to her principal. The \$24,500 surrender charge she incurred demonstrates this risk materialized within months.

Mercer's \$28,000 commission, while not dispositive, suggests cost considerations were not appropriately balanced against customer benefit. Lower-cost alternatives--such as a balanced mutual fund portfolio within the IRA--would have provided liquidity, modest growth potential, and income generation without surrender constraints. The recommendation prioritized product features Mrs. Thornton did not need over her documented objectives of preservation and accessible income.

Key Factor

The seven-year surrender period and duplicative tax-deferral feature were fundamentally inappropriate for a 78-year-old conservative investor with documented liquidity needs and existing tax-advantaged account status.

Item 411 of 499**NON-COMPLIANT**

Topic: suitability_speculative_securities_elderly_client

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 4512 (Customer Account Information); FINRA Rule 3110 (Supervision)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Holloway, age 78, became a client of Pinnacle Securities Group LLC in March 2019 after her husband passed away and she received \$420,000 from his life insurance policy. Mrs. Holloway had no prior investment experience, having relied entirely on her husband for financial decisions. During her initial meeting with registered representative Daniel Reeves, she explained that she needed to preserve her capital to supplement her Social Security income of \$1,850 per month and cover potential long-term care expenses. She explicitly stated she 'could not afford to lose this money' and wanted 'something safe like CDs or bonds.' Reeves documented her investment objective as 'growth' and risk tolerance as 'moderate' on her new account form.

Between April and September 2019, Reeves recommended that Mrs. Holloway invest \$285,000 of her insurance proceeds into a portfolio consisting of three small-cap biotechnology stocks, two leveraged ETFs tracking the energy sector, and a speculative cannabis industry fund. Reeves assured her these investments would 'grow faster than any CD' and that he would 'watch them carefully.' The account documentation showed annual income of \$22,200 and liquid net worth of \$445,000, with the insurance proceeds representing approximately 94% of her investable assets.

By February 2020, the portfolio had declined in value to \$127,000, representing a loss of approximately \$158,000 or 55% of the invested principal. Mrs. Holloway's daughter, a certified financial planner, discovered the situation when her mother mentioned she could no longer afford her prescription medications. The daughter filed a FINRA arbitration claim alleging that Reeves made unsuitable recommendations that were inconsistent with her mother's conservative investment profile, age, and stated objectives.

Reeves defended his recommendations by arguing that Mrs. Holloway had signed all required disclosure documents and that the losses were attributable to market volatility rather than the investment selection itself. Pinnacle Securities' compliance records showed no heightened supervision protocols were applied despite Mrs. Holloway's age and investment inexperience.

Question

Did Daniel Reeves violate his suitability obligations under FINRA Rule 2111 by recommending speculative securities to Mrs. Holloway?

Answer

Yes, Daniel Reeves violated FINRA Rule 2111 by recommending investments that were unsuitable for Mrs. Holloway's documented customer profile and stated investment objectives. The violations span all three components of the suitability framework.

Regarding reasonable-basis suitability under Rule 2111(a), while Reeves may have understood the products' mechanics, recommending leveraged ETFs and speculative sector funds to a 78-year-old widow with no investment

experience and explicit capital preservation needs fails the threshold requirement that a recommendation be suitable for at least some investors with similar profiles.

The customer-specific suitability violation under Rule 2111(a) is particularly egregious. Rule 2111.05 requires that recommendations align with the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, and investment objectives. Mrs. Holloway was 78 years old, had zero investment experience, depended on the proceeds for living expenses and potential healthcare costs, and explicitly requested conservative investments. Reeves's documentation of 'growth' objectives and 'moderate' risk tolerance directly contradicted her stated preferences, constituting a fundamental breach of the information-gathering obligations under FINRA Rule 4512.

The concentration of 68% of Mrs. Holloway's total investable assets in highly speculative securities compounded the violation. FINRA has consistently held that recommendations concentrating elderly clients' assets in volatile, speculative products warrant heightened scrutiny. Leveraged ETFs, in particular, are generally unsuitable for unsophisticated, long-term investors due to daily rebalancing decay and amplified volatility.

Reeves's defense that signed disclosures absolve responsibility is unavailing. FINRA's suitability doctrine is substantive, not procedural; customer signatures do not cure fundamentally unsuitable recommendations. The market volatility defense similarly fails because the risk of significant loss was inherent and foreseeable in the speculative securities selected, making the volatility a direct consequence of unsuitable product selection rather than an independent cause.

Pinnacle Securities also bears supervisory liability under FINRA Rules 3110 and 2330 for failing to implement enhanced supervision protocols for a senior investor, though the primary suitability violation rests with Reeves.

Key Factor

Reeves recommended highly speculative securities to a 78-year-old widow with no investment experience who explicitly requested capital preservation, directly contradicting her stated objectives and documented profile.

Item 412 of 499

NON-COMPLIANT

Topic: focused_advice_suitability_boundaries

Difficulty: hard

Standard: FCA COBS 9.2.1R (suitability requirement); COBS 9.2.2R (information about client's financial situation and investment objectives); FG15/1 guidance on focused advice boundaries

Source: 23_International_Comparative

Fact Pattern

Sterling Wealth Partners LLP, an FCA-authorized firm based in Manchester, offered a 'Focused ISA Advice' service marketed to retail clients seeking guidance specifically on Individual Savings Account investments. The firm's service documentation explicitly stated that the advice would be limited to ISA wrapper selection and fund recommendations within that wrapper, and would not consider the client's broader financial circumstances including pensions, property, or existing non-ISA investments.

In March 2024, Margaret Thornton, a 58-year-old NHS administrator earning £42,000 annually, engaged Sterling Wealth Partners for their Focused ISA Advice service. Mrs. Thornton completed an abbreviated fact-find that collected only her risk tolerance (assessed as 'balanced'), her ISA contribution amount (£20,000 annual allowance), and her stated investment horizon of 'medium-term growth.' The adviser, David Cromwell, did not inquire about Mrs. Thornton's pension provisions, her proximity to retirement, her existing investment portfolio outside the ISA, or her overall financial objectives.

Cromwell recommended Mrs. Thornton invest her entire £20,000 ISA allowance into the Apex Emerging Markets Growth Fund, a concentrated equity fund with 85% exposure to Chinese and Indian equities and historical volatility of 28% annualized. The fund carried ongoing charges of 1.85% and had experienced a 34% drawdown in the previous 18 months. Cromwell's suitability letter stated the recommendation was suitable based on her 'balanced' risk profile and medium-term horizon.

Subsequently, it emerged that Mrs. Thornton had minimal defined benefit pension entitlement, only £15,000 in other liquid savings, and had intended the ISA to supplement her retirement income beginning in approximately seven years. She had existing holdings of £30,000 in a similar emerging markets fund through a workplace share scheme, meaning the recommendation significantly overweighted her total portfolio to emerging market equities. Within eight months, the Apex fund declined 22%, reducing her ISA value to approximately £15,600.

Question

Did Sterling Wealth Partners meet its suitability obligations under COBS 9 when providing focused advice to Mrs. Thornton, given that the firm deliberately limited its fact-finding to ISA-specific information?

Answer

Sterling Wealth Partners failed to meet its suitability obligations under COBS 9, and the firm's characterization of the service as 'focused advice' does not excuse this failure. Under COBS 9.2.1R, before making a personal recommendation, a firm must obtain necessary information regarding the client's knowledge and experience, financial situation, and investment objectives to enable the firm to make a recommendation that is suitable for the client.

The FCA's guidance in FG15/1 clarifies that focused advice, while permitting limitation to specific needs at the client's

request, does not eliminate the requirement to gather sufficient information to ensure suitability within that scope. Critically, the guidance emphasizes that where a firm provides focused advice, it must still ensure the recommendation is suitable based on a proper consideration of relevant circumstances--even if the analysis is narrower than full holistic advice.

Sterling Wealth Partners' fact-find was fundamentally inadequate. First, recommending a high-volatility emerging markets fund to a client seven years from retirement, without ascertaining her retirement income needs or pension position, breached the requirement under COBS 9.2.2R(2) to consider investment objectives including risk tolerance in context. A 'balanced' risk assessment divorced from retirement proximity is meaningless. Second, the firm failed to identify Mrs. Thornton's existing £30,000 emerging markets exposure, resulting in inappropriate concentration risk. COBS 9.2.2R(1) requires consideration of the client's ability to bear losses--the 22% decline represented a material portion of her liquid wealth.

The firm cannot rely on the 'focused advice' model to justify inadequate information gathering. FG15/1 makes clear that limiting the scope of advice does not permit ignoring information material to suitability within that scope. Mrs. Thornton's retirement timeline and existing holdings were directly relevant to whether an emerging markets fund was suitable for her ISA investment. The recommendation exposed a near-retiree with limited savings to inappropriate volatility and concentration risk. This constitutes a clear breach of COBS 9.2.1R and the overarching suitability requirements.

Key Factor

The firm's deliberately narrow fact-find failed to capture information about Mrs. Thornton's retirement timeline, existing portfolio concentration, and limited savings that was directly material to suitability even within a focused ISA advice scope.

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NON-COMPLIANT

Topic: cross_border_advisory_suitability_non_us_client

Difficulty: hard

Standard: Investment Advisers Act Section 206 (anti-fraud provisions); Investment Advisers Act fiduciary duty of care; Section 49C:3.3 Fiduciary Duty Owed to All Clients; Section 49C:3.9 Suitability requirements for cross-border advisory services

Source: 09_Law_Firm_Memos

Fact Pattern

Meridian Capital Advisors LLC, a SEC-registered investment adviser based in Boston, Massachusetts, has been providing cross-border advisory services to non-U.S. clients since 2018. In March 2023, Meridian's senior portfolio manager, David Thornton, was approached by Wilhelm Bauer, a 72-year-old retired German industrialist residing in Munich, who sought conservative wealth preservation strategies for his \$4.2 million in liquid assets. Bauer explicitly communicated through email correspondence and a recorded video call that his primary objectives were capital preservation, modest income generation of approximately 3-4% annually, and maintaining liquidity to cover potential healthcare expenses as he aged. Bauer had no prior experience with U.S. securities markets and indicated he was extremely risk-averse following substantial losses in German real estate investments during the 2008 financial crisis.

Despite these clearly articulated objectives and Bauer's documented risk profile, Thornton recommended that Bauer allocate 65% of his portfolio to a concentrated position in U.S. technology growth stocks, 20% to emerging market equity ETFs, and 15% to high-yield corporate bonds rated BB or lower. Thornton justified this recommendation by citing the strong historical performance of U.S. equities and argued that Bauer's long life expectancy warranted a growth-oriented approach. Thornton did not conduct any formal suitability analysis, nor did he document how this aggressive allocation aligned with Bauer's stated conservative objectives. Meridian's compliance department had no record of reviewing this client relationship or the recommendations made.

By December 2023, Bauer's portfolio had declined by 31% due to technology sector volatility and emerging market corrections, resulting in losses exceeding \$1.3 million. Bauer filed a complaint with the SEC, alleging that Meridian and Thornton failed to provide suitable investment advice and breached their fiduciary duty under the Investment Advisers Act. During the subsequent investigation, it was discovered that Thornton had been compensated through a revenue-sharing arrangement with the ETF providers, which he failed to disclose to Bauer.

Question

Did Meridian Capital Advisors and David Thornton breach their fiduciary duty of care and suitability obligations under the Investment Advisers Act by recommending an aggressive growth portfolio to Wilhelm Bauer?

Answer

Meridian Capital Advisors and David Thornton clearly breached their fiduciary duty of care and suitability obligations under the Investment Advisers Act. As the document excerpt emphasizes at Section 49C:3.3, registered investment advisers owe a fiduciary duty to all clients, including non-U.S. clients receiving cross-border advisory services. This fiduciary duty encompasses a duty of care requiring advisers to provide advice that is in the client's best interest based on a reasonable understanding of the client's objectives.

Under Section 206 of the Investment Advisers Act, advisers are prohibited from engaging in any practice that operates

as a fraud or deceit upon clients. The SEC has consistently interpreted this provision to require that advisers have a reasonable basis for their recommendations, grounded in the client's specific financial situation, risk tolerance, and investment objectives. Thornton's recommendation of a 65% allocation to volatile technology stocks and 20% to emerging market equities for a 72-year-old client who explicitly requested capital preservation and modest income generation fundamentally contradicts these obligations.

The suitability analysis, which Section 49C:3.9 of the document identifies as a key consideration for advisers dealing with non-U.S. clients, requires advisers to ensure recommendations are appropriate given the client's documented profile. Bauer's profile--advanced age, extreme risk aversion stemming from prior losses, need for liquidity for healthcare expenses, and explicit 3-4% income objective--categorically precluded aggressive growth strategies. Thornton's justification based on life expectancy was insufficient and ignored the client's actual stated preferences.

The absence of any documented suitability analysis compounds the violation. SEC examination standards require advisers to maintain records demonstrating the basis for investment recommendations. Meridian's compliance failure to review this relationship constitutes a supervisory deficiency under Section 203(e)(6) of the Investment Advisers Act.

Furthermore, the undisclosed revenue-sharing arrangement with ETF providers created a material conflict that influenced Thornton's recommendations, constituting an additional breach of the duty of loyalty and anti-fraud provisions. The combination of unsuitable recommendations, lack of documentation, and undisclosed conflicts establishes multiple fiduciary violations.

Key Factor

The adviser recommended an aggressive growth portfolio consisting of 85% equities to a 72-year-old risk-averse client who explicitly requested capital preservation and modest income generation, without conducting or documenting any suitability analysis.

Item 414 of 499**NON-COMPLIANT**

Topic: vrsp_concentration_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 67, opened an account with Coastal Wealth Advisors in March 2022. Her account documents indicated she was a retired schoolteacher with a moderate risk tolerance, a primary investment objective of income with capital preservation, liquid net worth of \$340,000, and annual income of \$42,000 from Social Security and a small pension. She explicitly stated she could not afford to lose principal as these funds represented her entire retirement savings outside of her pension.

Her registered representative, David Thornton, recommended that Mrs. Chen invest \$185,000--representing approximately 54% of her liquid net worth--in variable rate structured products (VRSPs) linked to a basket of technology sector indices. Thornton explained that VRSPs offered enhanced yield compared to traditional fixed income and characterized them as 'income-generating investments suitable for retirees.' He did not adequately explain that VRSPs carried significant downside risk, including potential loss of principal if the underlying indices declined below specified barrier levels.

Between March and August 2022, Thornton executed seven separate VRSP purchases for Mrs. Chen's account. By December 2023, three of these products had breached their barrier levels due to technology sector volatility, resulting in realized losses of \$38,750. Mrs. Chen also held an additional \$95,000 in VRSPs that remained at risk of further losses. Internal firm communications revealed that Thornton's branch office had been generating substantial commissions from VRSP sales, with Thornton personally earning \$12,400 in commissions on Mrs. Chen's purchases alone.

Coastal Wealth Advisors' supervisory procedures required heightened review for concentration above 25% in structured products for customers with moderate or lower risk tolerances, but the branch manager approved each transaction without documenting any analysis of suitability for Mrs. Chen's specific profile.

Question

Did David Thornton's recommendations that Mrs. Chen concentrate 54% of her liquid net worth in variable rate structured products violate FINRA suitability requirements?

Answer

Yes, David Thornton's recommendations violated FINRA Rule 2111 (Suitability) and its customer-specific suitability component, and the conduct also implicated FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade).

FINRA Rule 2111(a) requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability,

and quantitative suitability.

Here, Thornton failed the customer-specific suitability requirement. Mrs. Chen's profile demonstrated she was 67 years old, retired, with moderate risk tolerance and an explicit capital preservation objective. Her \$340,000 in liquid assets represented her entire retirement savings. VRSPs are complex structured products with embedded derivatives that carry significant downside risk, including potential total loss of principal if underlying indices breach barrier levels. Recommending that a capital-preservation-focused retiree concentrate 54% of her liquid net worth in such products was patently unsuitable.

The concentration level is particularly problematic. FINRA has consistently emphasized that over-concentration in complex products for customers with conservative or moderate profiles raises serious suitability concerns. The firm's own procedures flagged concentrations above 25% for heightened review, yet Mrs. Chen's allocation was more than double that threshold.

Thornton's characterization of VRSPs as appropriate 'income-generating investments suitable for retirees' without adequate disclosure of principal risk further evidences a failure to form a reasonable basis for his recommendations. The \$38,750 in realized losses and ongoing exposure of \$95,000 demonstrate the materialization of precisely the risks Mrs. Chen's profile indicated she could not bear.

The branch manager's failure to document suitability analysis despite the firm's concentration policies constitutes a supervisory failure under FINRA Rule 3110, compounding the individual suitability violation. Thornton's substantial commissions (\$12,400) suggest the recommendations were driven by compensation rather than customer interests.

Key Factor

Recommending that a 67-year-old retiree with moderate risk tolerance and capital preservation objectives concentrate 54% of her liquid net worth in complex variable rate structured products with significant principal risk was unsuitable for her investment profile.

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NON-COMPLIANT

Topic: complex_product_suitability_reverse_repurchase

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Margaret Thornton, age 67, was a retired schoolteacher with a \$420,000 IRA rollover at Bridgewater Securities LLC. Her investment profile documented conservative risk tolerance, income generation as her primary objective, and a five-year time horizon given her reliance on portfolio distributions to supplement Social Security. In January 2023, her broker Derek Simmons recommended she invest \$175,000 in a structured product linked to forward start reverse repurchase agreements with a January 2024 start date and June 2024 settlement. Simmons explained the product as 'essentially a bond alternative with enhanced yield,' noting the 6.2% projected return compared to the 4.8% available on Treasury securities.

Simmons did not adequately explain that the product's value would fluctuate significantly based on interest rate movements during the forward period, nor did he disclose that if rates rose substantially, Mrs. Thornton could experience principal losses exceeding 15%. The product documentation, which Mrs. Thornton signed, contained dense technical language about 'contractual rate spreads' and 'mark-to-market valuation' that she later testified she did not understand.

By August 2023, rising interest rates had caused the position to decline by \$31,000 in unrealized losses. Mrs. Thornton only discovered the magnitude of her losses when she requested a portfolio review in preparation for her required minimum distributions. The firm's supervisory review had initially approved the transaction based on the yield enhancement characteristics without adequately considering the interest rate sensitivity or the customer's documented conservative profile.

Bridgewater Securities' compliance records showed that Simmons had received training on reverse repurchase products for institutional clients but had never been certified to recommend such instruments to retail customers. The firm's product approval committee had categorized the structured product as suitable only for customers with aggressive risk tolerance and minimum five-year investment horizons without need for liquidity.

Question

Did Derek Simmons and Bridgewater Securities violate their suitability and best interest obligations in recommending the forward start reverse repurchase-linked structured product to Margaret Thornton?

Answer

Yes, both Derek Simmons and Bridgewater Securities violated FINRA Rule 2111 (Suitability) and Regulation Best Interest's Care Obligation. The recommendation was unsuitable and not in Mrs. Thornton's best interest on multiple grounds.

Under FINRA Rule 2111(a), a broker must have a reasonable basis to believe a recommendation is suitable based on reasonable diligence concerning the customer's investment profile. Rule 2111.03 specifically identifies three suitability

components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Here, Simmons failed customer-specific suitability requirements.

Mrs. Thornton's documented profile--conservative risk tolerance, income objective, five-year horizon, and dependence on distributions--was fundamentally incompatible with a complex interest rate-sensitive product that the firm itself had categorized as appropriate only for aggressive investors. The \$175,000 allocation represented over 41% of her retirement assets in a single speculative position, creating dangerous concentration risk for a retiree relying on portfolio income.

Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii) requires brokers to exercise reasonable diligence, care, and skill to understand potential risks and rewards and have a reasonable basis to believe the recommendation is in the retail customer's best interest. Simmons's characterization of this complex product as 'essentially a bond alternative' constituted a material misrepresentation of the product's risk characteristics. His failure to explain interest rate sensitivity and potential for significant principal loss violated the Care Obligation's requirement to understand and communicate risks.

Bridgewater Securities bears supervisory liability under FINRA Rule 3110 for approving a transaction that facially contradicted both the customer's investment profile and the firm's own product suitability guidelines. The firm's approval based solely on yield enhancement, without considering the interest rate risk against a conservative customer profile, demonstrates inadequate supervisory review.

Simmons's lack of certification to recommend these products to retail customers further evidences reasonable-basis suitability failure--he lacked the competence to understand the recommendation's risks. The \$31,000 unrealized loss, while substantial, is secondary to the fundamental unsuitability of the original recommendation.

Key Factor

The complex interest rate-sensitive structured product was fundamentally incompatible with Mrs. Thornton's documented conservative risk tolerance and income-dependent retirement profile, and the firm's own guidelines restricted such products to aggressive investors.

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NON-COMPLIANT

Topic: retirement_rollover_best_interest

Difficulty: hard

Standard: Regulation Best Interest Care Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Deferred Variable Annuities); FINRA Rule 3110 (Supervision)

Source: 22_PiABA_Materials

Fact Pattern

Margaret Donovan, age 62, was a longtime employee of Midwest Manufacturing Corp. who retired in January 2024 after 34 years of service. Her employer-sponsored 401(k) plan held \$847,000 in diversified index funds with an all-in expense ratio of 0.06% annually. The plan offered institutional share classes, stable value options, and free financial planning services through the plan's fiduciary adviser. In February 2024, Gerald Hopkins, a registered representative with Heartland Financial Advisors, contacted Mrs. Donovan after obtaining her information from a retirement seminar lead list. During their initial meeting, Hopkins learned that Mrs. Donovan was a conservative investor whose primary objectives were capital preservation and generating income to supplement her Social Security benefits of \$2,400 monthly. Her husband had passed away two years prior, and she had no other significant assets beyond her home.

Hopkins recommended that Mrs. Donovan roll her entire 401(k) balance into an individual retirement account at Heartland, where he proposed investing approximately \$680,000 in a variable annuity with a guaranteed lifetime withdrawal benefit rider. The annuity carried total annual fees of 3.2%, including mortality and expense charges, administrative fees, and the rider cost. Hopkins also recommended allocating the remaining \$167,000 across three non-traded REITs, each carrying upfront commissions of 7% and ongoing management fees of 1.5%. Hopkins emphasized the 'guaranteed income' features of the annuity and the 'stable dividends' from the REITs, but did not document any comparison of these costs against Mrs. Donovan's existing 401(k) options or discuss that she could retain her assets in the employer plan.

Hopkins earned \$31,200 in commissions on the variable annuity sale and \$11,690 on the REIT transactions. His firm's supervision consisted solely of reviewing trade tickets without any substantive analysis of the rollover recommendation. When Mrs. Donovan later reviewed her first quarterly statement, she discovered her account had declined by \$23,000 due to market fluctuations and fee deductions, prompting her to seek independent advice. The independent adviser noted that Mrs. Donovan's former 401(k) would have provided comparable income options at a fraction of the cost, and that the illiquid REITs were fundamentally inconsistent with her conservative profile and potential need for liquidity to cover healthcare expenses.

Question

Did Hopkins's recommendation that Mrs. Donovan roll over her 401(k) and invest in the variable annuity and non-traded REITs satisfy his best interest obligations under applicable standards?

Answer

Hopkins's recommendation clearly violated Regulation Best Interest and FINRA's suitability requirements. Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation and have a reasonable basis to believe it is in the retail customer's best interest at the time of the recommendation without placing the financial interest of the broker ahead of the customer's interest.

Hopkins failed multiple components of this standard. First, regarding the rollover recommendation itself, Reg BI requires consideration of whether the investor should maintain their assets in their existing account. Mrs. Donovan's 401(k) offered institutional pricing at 0.06% versus the 3.2% variable annuity fees--a cost differential of approximately \$26,500 annually on the annuity portion alone. Hopkins documented no comparative analysis, which represents a fundamental failure under the Care Obligation's requirement to evaluate costs relative to reasonably available alternatives.

Second, the variable annuity recommendation violated FINRA Rule 2330, which requires reasonable grounds to believe that the customer would benefit from certain features of a deferred variable annuity. Mrs. Donovan, at 62 with conservative objectives, did not require the tax-deferral benefits of an annuity within an already tax-advantaged IRA wrapper. The high fees directly contradicted her capital preservation objective.

Third, the non-traded REIT allocation violated FINRA's quantitative suitability standards. Concentrating \$167,000 (nearly 20% of liquid assets) in illiquid products for a 62-year-old widow with no other significant assets and potential healthcare needs was patently unsuitable. FINRA Rule 2111 requires that the recommended investment be suitable in light of the customer's investment profile, including liquidity needs.

Hopkins's \$42,890 in commissions created substantial economic incentive that he placed ahead of Mrs. Donovan's interests. The firm's supervision failures further compound liability under FINRA Rule 3110. The recommendation failed the best interest standard on cost, liquidity, and customer-specific suitability grounds.

Key Factor

Hopkins failed to conduct any comparative cost analysis between the existing low-cost 401(k) and the high-fee rollover products, placing his substantial commission interest ahead of Mrs. Donovan's retirement security.

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NON-COMPLIANT

Topic: municipal_bond_suitability_tax_implications

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Rule 15l-1 (Care Obligation); MSRB Rule G-47 (Time of Trade Disclosure); FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Riverstone Securities LLC is a FINRA member broker-dealer offering self-directed and advised brokerage accounts. In March 2023, registered representative Marcus Thompson met with client Eleanor Vance, a 72-year-old retired school teacher with a moderate risk tolerance and an investment objective of income generation with capital preservation. Mrs. Vance had a total liquid net worth of \$485,000, derived primarily from her pension and a rollover IRA. She explicitly informed Thompson that minimizing tax liability was critical to her retirement planning, as she was already in the 22% federal tax bracket from her pension income and Social Security.

Thompson recommended that Mrs. Vance invest \$150,000 of her taxable brokerage account in a portfolio of municipal bonds, emphasizing their tax-exempt interest payments. Between March and August 2023, Thompson executed purchases of 15 different municipal bonds for Mrs. Vance's account, totaling \$152,340. Twelve of these bonds were purchased at significant market discounts, ranging from 8% to 14% below par value, during the rising interest rate environment. Thompson did not disclose to Mrs. Vance that these bonds carried non-de minimis market discounts, nor did he explain that the accretion of these discounts would be taxable as ordinary income rather than capital gains upon sale or maturity.

Mrs. Vance held the bonds until several matured or were called in 2024, at which point she received unexpected tax documentation showing substantial ordinary income from market discount accretion totaling approximately \$18,700. This pushed her into a higher tax bracket and reduced her net after-tax return significantly below what Thompson had projected. Riverstone Securities' written supervisory procedures contained no guidance on evaluating whether deeply discounted municipal bonds were suitable for tax-sensitive clients, and Thompson received no training on the tax implications of market discount bonds.

When Mrs. Vance complained, the firm's compliance department reviewed the transactions and found that Thompson had never documented any discussion of tax implications in his customer file notes, nor had he updated Mrs. Vance's investment profile to reflect her stated tax sensitivity as a primary investment consideration.

Question

Did Marcus Thompson's recommendation of market discount municipal bonds to Eleanor Vance satisfy his suitability and best interest obligations under applicable FINRA rules and Regulation BI?

Answer

Thompson's recommendations violated both FINRA Rule 2111 (Suitability) and Regulation Best Interest (Rule 15l-1) under the Securities Exchange Act. The analysis proceeds across multiple obligation dimensions.

Under FINRA Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on information obtained through reasonable diligence concerning the customer's

investment profile, including tax status. Mrs. Vance explicitly communicated that minimizing tax liability was critical to her retirement planning. Thompson's failure to consider the ordinary income tax treatment of non-de minimis market discount bonds directly contravened the customer-specific suitability component of Rule 2111.

Regulation BI's Care Obligation under Rule 15l-1(a)(2)(ii) requires that a broker exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs associated with a recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest. The tax consequences of market discount bonds are a material risk that Thompson was obligated to evaluate. His failure to understand or communicate that accretion of market discounts would be taxed as ordinary income--not at favorable capital gains rates--demonstrates a failure of the care obligation.

MSRB Rule G-47 further required disclosure of the market discount as material information at or prior to the time of trade. Thompson's omission of this disclosure compounded the suitability failure by depriving Mrs. Vance of information necessary to make an informed investment decision.

The firm's supervisory deficiencies under FINRA Rule 3110 are also implicated, as Riverstone Securities maintained no written procedures addressing the suitability review of market discount bonds for tax-sensitive clients and provided no representative training on these products.

Thompson cannot claim reasonable reliance on the client's self-direction, as he actively recommended these specific bonds. The verdict is that Thompson failed to meet his suitability and best interest obligations, and the recommendations were unsuitable given Mrs. Vance's clearly articulated tax-sensitive investment objective.

Key Factor

Thompson recommended municipal bonds with non-de minimis market discounts to a tax-sensitive retiree without evaluating or disclosing the ordinary income tax consequences, failing both suitability and best interest standards.

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NON-COMPLIANT

Topic: venture_capital_suitability_pension_fund

Difficulty: hard

Standard: Investment Advisers Act Section 206(1) and 206(2); Fiduciary Duty of Care; Investment Policy Statement Compliance

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Granite Peak Advisors LLC is a venture capital investment adviser based in Denver, Colorado, operating as an exempt reporting adviser under Section 204(a) of the Investment Advisers Act. In March 2023, Granite Peak's senior managing director, Thomas Wellman, met with representatives from the Colorado Municipal Employees Retirement System (CMERS), a public pension plan with approximately \$4.2 billion in total assets. CMERS had a stated investment policy limiting alternative investments to 15% of total plan assets, with venture capital specifically capped at 3% of total assets, or approximately \$126 million.

During the March 2023 meeting, Wellman recommended that CMERS commit \$175 million to Granite Peak Ventures Fund XI, LP, a new venture capital fund focused on early-stage technology companies. Wellman emphasized the fund's projected 25% IRR based on historical performance of prior funds, but failed to discuss that Fund XI would concentrate 60% of its capital in pre-revenue artificial intelligence startups--a significant departure from prior funds that maintained sector diversification. CMERS's investment policy statement explicitly required consideration of concentration risk and mandated that any single fund commitment not exceed 1.5% of total plan assets (approximately \$63 million).

Wellman was aware of CMERS's investment policy limitations, having received a copy during initial due diligence meetings in January 2023. Nevertheless, he structured the recommendation to include a provision allowing CMERS to make the full \$175 million commitment through a side letter arrangement that would defer capital calls over 36 months, arguing this would technically comply with annual allocation limits. CMERS's board, relying on Wellman's expertise and representations about risk management, approved the commitment in April 2023. By December 2023, the fund had called \$58 million from CMERS, concentrated heavily in three AI startups, two of which subsequently failed, resulting in a \$31 million loss to the pension plan.

Question

Did Granite Peak Advisors LLC and Thomas Wellman breach their fiduciary duty of care by recommending the \$175 million commitment to Fund XI given CMERS's investment policy constraints and the fund's concentration risk profile?

Answer

Yes, Granite Peak Advisors LLC and Thomas Wellman breached their fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940. Investment advisers owe their clients a fiduciary duty encompassing both a duty of care and a duty of loyalty. The duty of care requires advisers to provide advice that is in the best interest of the client based on the client's objectives, risk tolerance, and financial circumstances.

First, the recommendation directly violated CMERS's stated investment policy limitations. The pension plan's policy capped venture capital at 3% of assets (\$126 million) and individual fund commitments at 1.5% (\$63 million). Wellman's recommendation of \$175 million exceeded both thresholds by substantial margins. An adviser exercising reasonable care must understand and respect a client's documented investment constraints, particularly for institutional clients with

formal investment policy statements.

Second, Wellman failed to adequately disclose material changes in Fund XI's strategy. The fund's 60% concentration in pre-revenue AI startups represented a significant departure from prior diversified funds. Under the duty of care, advisers must provide clients with information material to the investment decision. Concentration risk in speculative pre-revenue companies fundamentally altered the risk profile that CMERS's board was evaluating.

Third, the side letter arrangement designed to circumvent annual allocation limits demonstrates that Wellman knowingly structured a recommendation to evade policy constraints rather than serve the client's best interest. This conduct reflects a prioritization of securing a large commitment over ensuring suitability--a clear breach of fiduciary obligations.

The fact that CMERS's board ultimately approved the commitment does not absolve Granite Peak of liability. Fiduciary duty requires the adviser to provide suitable recommendations in the first instance; client approval based on incomplete or misleading information does not cure the underlying breach. The subsequent \$31 million loss, while not determinative of liability, illustrates the materialized risk of the unsuitable recommendation.

Granite Peak violated Section 206(2) of the Advisers Act by engaging in a course of business that operated as a fraud upon the client through the unsuitable recommendation.

Key Factor

The adviser recommended a commitment that exceeded the pension plan's documented investment policy limits and failed to disclose material changes in fund strategy that significantly altered the risk profile.

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NON-COMPLIANT

Topic: leveraged_etf_suitability_for_conservative_retiree

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2111.05(a) (Reasonable-Basis Suitability), 2111.05(b) (Customer-Specific Suitability), 4512 (Customer Account Information), 3110 (Supervision), 2010 (Standards of Commercial Honor)

Source: 13_FINRA_Rulebook

Fact Pattern

Margaret Holloway, age 72, retired from her position as a school librarian in March 2022 with a \$340,000 IRA rollover from her employer's 403(b) plan. She opened an account with Pinnacle Securities Group in April 2022, where she was assigned to registered representative David Cranston. During the new account process, Mrs. Holloway completed a customer profile indicating her investment objective was 'income with capital preservation,' her risk tolerance was 'conservative,' her time horizon was '5-10 years,' and her annual income from Social Security and a small pension totaled approximately \$38,000. She explicitly stated that this IRA represented substantially all of her liquid net worth and that she could not afford to lose principal.

In May 2022, Cranston recommended that Mrs. Holloway allocate \$85,000 (25% of her portfolio) to the ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF tracking the Nasdaq-100 Index. Cranston explained to Mrs. Holloway that this product would 'supercharge her returns' and help her 'catch up on retirement savings.' He did not explain the daily reset mechanism, the effects of volatility decay, or that FINRA had issued extensive guidance warning that leveraged ETFs are generally unsuitable for long-term holding periods. Cranston's notes indicate he spent approximately 12 minutes discussing the recommendation.

Mrs. Holloway held the TQQQ position for fourteen months. During the 2022 market downturn, the position lost approximately \$51,000 in value--a 60% decline--even though the underlying Nasdaq-100 index declined by only 22% over portions of that period due to the compounding effects of daily leverage resets during volatile conditions. When Mrs. Holloway complained in July 2023, Pinnacle's compliance department reviewed the account and discovered that Cranston had made similar leveraged ETF recommendations to eleven other retired clients with conservative profiles during the same period.

Question

Did David Cranston's recommendation that Margaret Holloway invest 25% of her retirement account in a 3x leveraged ETF satisfy FINRA's suitability requirements under Rule 2111?

Answer

No, David Cranston's recommendation clearly violated FINRA Rule 2111's suitability requirements across all three component obligations. The recommendation was fundamentally unsuitable for Mrs. Holloway's documented customer profile.

Under FINRA Rule 2111(a), a member or associated person must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence. Rule 2111 establishes three distinct suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

First, regarding reasonable-basis suitability under Rule 2111.05(a), Cranston failed to understand the product he recommended. Leveraged ETFs are complex instruments designed to achieve daily--not long-term--investment objectives. The daily reset mechanism causes performance divergence from the underlying index over extended holding periods, particularly in volatile markets. Cranston's 12-minute discussion and failure to explain volatility decay demonstrates inadequate product comprehension.

Second, and most critically, Cranston violated customer-specific suitability under Rule 2111.05(b). Mrs. Holloway's documented profile indicated conservative risk tolerance, income with capital preservation objectives, and explicit statements that she could not afford principal loss. Her IRA represented substantially all her liquid assets. Recommending that a 72-year-old conservative retiree allocate 25% of her retirement savings to a highly volatile 3x leveraged product is patently inconsistent with her investment profile under FINRA Rule 4512's customer account information requirements.

Cranston cannot claim he lacked knowledge of Mrs. Holloway's profile--the new account documentation clearly established her conservative parameters. The concentration of \$85,000 in a single speculative position further aggravated the unsuitability. The actual 60% loss versus the underlying index's 22% decline demonstrates precisely the risks that made this recommendation unsuitable.

Pinnacle Securities Group also faces supervisory liability under FINRA Rule 3110 for failing to detect this pattern across eleven similarly situated retired clients, suggesting systemic supervisory failures. Additionally, Cranston's conduct implicates FINRA Rule 2010's just and equitable principles of trade standard.

Key Factor

Recommending a 3x daily-leveraged ETF for long-term holding to a 72-year-old conservative retiree whose documented profile explicitly required capital preservation was fundamentally inconsistent with customer-specific suitability obligations.

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NON-COMPLIANT

Topic: leveraged_etf_suitability_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) Reasonable-Basis Obligation; FINRA Rule 2111.05(b) Customer-Specific Obligation; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 74, was a retired elementary school principal residing in Scottsdale, Arizona. In March 2019, she opened an account with Granite Peak Securities LLC after her husband of 48 years passed away, leaving her with approximately \$620,000 in life insurance proceeds and a modest pension of \$3,200 monthly. Mrs. Holloway's new account documentation indicated she had a conservative risk tolerance, an investment objective of income with capital preservation, a 5-7 year time horizon, limited investment experience consisting only of certificates of deposit and a small 403(b) account, and annual income of \$45,000. Her liquid net worth excluding her residence was listed as \$680,000.

Her assigned representative, Derek Stanton, age 31, had been registered for four years and held Series 7 and 66 licenses. Between April 2019 and November 2020, Stanton recommended and executed purchases totaling \$185,000 in leveraged and inverse exchange-traded products, specifically including \$75,000 in a 3x leveraged S&P 500 bull ETF, \$60,000 in a 2x leveraged technology sector ETF, and \$50,000 in an inverse 2x leveraged natural gas ETN. Stanton documented in his notes that these products would provide enhanced returns to help Mrs. Holloway offset inflation and potentially leave a larger inheritance to her grandchildren.

These positions were held for periods ranging from 47 to 163 days despite prospectus disclosure stating the products were designed for daily trading objectives and were unsuitable for holding periods exceeding one trading session. Mrs. Holloway's account experienced losses of approximately \$94,000 on these positions by December 2020. When she contacted the firm to complain, Stanton explained that market volatility had caused unexpected results and recommended she hold the positions to recover losses.

Granite Peak's written supervisory procedures required heightened review for leveraged product recommendations to customers over age 65 or with conservative profiles, but the firm's principal, Ronald Vickers, approved each transaction with only a cursory email confirmation. Internal compliance records showed no documentation of any quantitative analysis comparing holding period returns to stated product objectives or assessment of Mrs. Holloway's understanding of compounding risk.

Question

Did Derek Stanton and Granite Peak Securities violate their suitability obligations under FINRA Rule 2111 in recommending leveraged and inverse ETPs to Mrs. Holloway?

Answer

The FINRA arbitration panel would likely find violations of FINRA Rule 2111 on multiple grounds, warranting an award to claimant Holloway.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111.05(a), Stanton failed to demonstrate adequate understanding of leveraged and inverse ETPs. These products reset daily and are explicitly designed for short-term trading. Holding them for 47 to 163 days contradicts their fundamental structure, as compounding causes returns to deviate substantially from the underlying index over extended periods. A representative recommending such products must understand and account for this volatility decay.

The customer-specific suitability failure under Rule 2111.05(b) is particularly egregious. Mrs. Holloway was 74 years old with conservative risk tolerance, capital preservation objectives, limited investment experience, and a 5-7 year time horizon. Allocating \$185,000--approximately 27% of her liquid assets--to 2x and 3x leveraged products directly contradicted every element of her documented investment profile. The concentration alone violated basic diversification principles for a conservative investor dependent on these assets for retirement security.

The supervisory failures compound the violation. FINRA Rule 3110 requires firms to establish reasonable supervisory systems. Principal Vickers approved complex product transactions for a vulnerable investor without documented analysis of product suitability or customer comprehension, despite the firm's own procedures requiring heightened review.

Stanton's defense that the recommendations were intended to enhance returns and create an inheritance is unavailing; customer objectives control, and Mrs. Holloway's stated objectives were income and preservation, not aggressive growth. Additionally, the hold recommendation after losses demonstrated ongoing disregard for the products' stated purposes.

The panel should find violations of FINRA Rules 2111 and 2010, awarding compensatory damages of \$94,000 plus interest.

Key Factor

Recommending leveraged ETPs designed for single-day holding to a 74-year-old conservative investor with capital preservation objectives, then holding positions for extended periods contrary to prospectus guidance, constitutes a fundamental customer-specific suitability failure.

Item 421 of 499

NON-COMPLIANT

Topic: suitability_variable_annuity_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 72, was a customer of Pinnacle Wealth Advisors, a FINRA member broker-dealer, from January 2021 through March 2023. Mrs. Chen was a retired elementary school teacher with a fixed pension of \$3,200 per month and Social Security benefits of \$1,850 per month. Her total liquid investable assets were approximately \$285,000, representing her entire life savings accumulated through decades of careful saving. During her account opening, Mrs. Chen completed a customer profile indicating her investment objective as 'income and preservation of capital,' her risk tolerance as 'conservative,' her time horizon as '3-5 years,' and her liquidity needs as 'moderate' given potential healthcare expenses.

In February 2022, her registered representative, David Thornton, recommended that Mrs. Chen invest \$195,000--approximately 68% of her liquid assets--into a variable annuity product called the Apex Growth Variable Annuity. This product featured a seven-year surrender period with declining surrender charges starting at 7% in year one and decreasing by 1% annually. The annuity invested in equity sub-accounts with an average expense ratio of 2.15% annually, plus mortality and expense charges of 1.25%. Mr. Thornton received a 6.5% commission on the transaction, totaling \$12,675.

Mr. Thornton's documentation noted that Mrs. Chen wanted 'growth potential with some downside protection' and that the annuity's death benefit rider would benefit her grandchildren. However, the firm's supervisory records showed no analysis of whether the high fees and long surrender period were appropriate given Mrs. Chen's age and documented liquidity needs. In September 2022, Mrs. Chen needed to access \$40,000 for unexpected home repairs and medical expenses, resulting in surrender charges of \$2,520 plus tax penalties for early withdrawal. She subsequently filed a customer complaint alleging the variable annuity recommendation was unsuitable for her investment profile and financial circumstances.

Question

Did David Thornton's recommendation that Mrs. Chen invest \$195,000 in the Apex Growth Variable Annuity violate FINRA's suitability requirements?

Answer

Yes, the recommendation violated FINRA Rule 2111 (Suitability) based on both customer-specific and reasonable-basis suitability failures.

Under FINRA Rule 2111(a), a member or associated person must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding customer-specific suitability under Rule 2111.05, Thornton failed to ensure the recommendation was suitable given Mrs. Chen's documented profile. First, her stated investment objective of 'income and preservation of capital' directly conflicts with a variable annuity invested in equity sub-accounts subject to market volatility. Second, her 'conservative' risk tolerance was incompatible with a product that could lose principal value and carried aggregate annual expenses exceeding 3.4%. Third, her time horizon of 3-5 years was fundamentally mismatched with a seven-year surrender period, effectively trapping her capital. Fourth, her documented 'moderate' liquidity needs at age 72--with potential healthcare expenses--made a product with significant surrender charges clearly inappropriate.

The concentration issue compounds the violation. Investing 68% of a 72-year-old retiree's liquid assets in a single illiquid product with a seven-year lockup demonstrates a failure to consider her overall financial situation and needs, as required by Rule 2111's investment profile analysis.

FINRA Rule 2330 specifically governs variable annuity recommendations and requires members to have a reasonable basis to believe the customer would benefit from the annuity's features, including tax-deferred growth. For Mrs. Chen, already in retirement with modest income, the tax-deferral benefit was minimal while the costs were substantial.

The defense that Mrs. Chen wanted 'growth potential' and a death benefit for grandchildren is insufficient. FINRA Supplementary Material 2111.04 makes clear that a customer's stated wishes do not relieve the representative of the obligation to ensure recommendations are suitable based on the customer's actual profile. The commission of \$12,675 suggests the recommendation was driven by compensation rather than client interest.

This recommendation was unsuitable and violated FINRA Rules 2111 and 2330.

Key Factor

The recommendation of a variable annuity with a seven-year surrender period to a 72-year-old conservative investor with documented moderate liquidity needs and a 3-5 year time horizon was fundamentally incompatible with her investment profile.

Item 422 of 499**NON-COMPLIANT**

Topic: suitability_leveraged_etf_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05 (Components of Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, was a retired school administrator who opened an account with Pinnacle Wealth Advisors in February 2018. Her account documentation indicated a conservative risk tolerance, an investment objective of income and capital preservation, a 10-year investment time horizon, liquid net worth of \$420,000 (representing substantially all of her retirement savings), annual income of \$48,000 from pension and Social Security, and limited investment experience consisting primarily of certificates of deposit and money market funds held over her career.

Her registered representative, David Mercer, recommended that Mrs. Holloway allocate \$125,000 of her portfolio to a triple-leveraged inverse ETF tracking the energy sector, explaining that 'energy prices always bounce back' and that the product would provide 'amplified returns when the sector recovers.' Mercer did not explain that leveraged ETFs are designed for short-term trading, typically reset daily, and can experience value decay over time due to compounding effects even if the underlying index eventually returns to its starting point. The recommendation was made on March 15, 2018.

Mrs. Holloway held the position for approximately 14 months. During this period, despite the underlying energy index experiencing only modest net decline, the leveraged ETF lost approximately 62% of its value due to volatility decay and the daily reset mechanism. Mrs. Holloway's \$125,000 investment was worth approximately \$47,500 when she liquidated in May 2019 after learning from a family member that the product was unsuitable for long-term holding.

Firm records showed that Mercer had received compliance training on leveraged and inverse ETFs in January 2018, including specific guidance that such products are generally unsuitable for customers with conservative risk profiles or holding periods exceeding one trading session. Pinnacle Wealth Advisors' supervisory system flagged the trade for review, but the branch manager approved it after a cursory examination, noting only that 'client wanted exposure to energy sector.'

Question

Did David Mercer violate his suitability obligations under FINRA Rule 2111 when he recommended a triple-leveraged inverse ETF to Mrs. Holloway?

Answer

David Mercer violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) through his recommendation of a triple-leveraged inverse ETF to Mrs. Holloway.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable for a customer based on reasonable diligence regarding the customer's investment profile. The rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Mercer failed reasonable-basis suitability under Rule 2111(a) and Rule 2111.05(a). Leveraged and inverse ETFs are complex products that reset daily and are designed for sophisticated traders executing short-term strategies. FINRA has consistently emphasized that these products are typically unsuitable for retail investors who plan to hold them for more than one trading session. Mercer's own compliance training in January 2018 explicitly warned against recommending such products to conservative investors or for extended holding periods. By recommending a 14-month hold to a client with limited investment experience, Mercer demonstrated he either failed to understand the product or disregarded that understanding.

Mercer also failed customer-specific suitability under Rule 2111.05(b). Mrs. Holloway's documented investment profile--conservative risk tolerance, income and capital preservation objectives, limited experience with complex products, and a portfolio representing substantially all her retirement assets--was fundamentally incompatible with a volatile, leveraged instrument. Allocating nearly 30% of her liquid net worth to a single speculative position compounded the unsuitability.

Mercer's statement that 'energy prices always bounce back' was misleading because it failed to disclose the critical distinction between the performance of an underlying index and a leveraged ETF tracking that index. This omission further evidences a violation of Rule 2010's just and equitable principles of trade.

The branch manager's cursory approval does not absolve Mercer of his independent suitability obligation. Each representative bears personal responsibility for recommendations made to customers. The \$77,500 loss (62% of the position) directly resulted from recommending a product structurally unsuited to Mrs. Holloway's profile and intended holding period.

Key Factor

Recommending a daily-reset leveraged inverse ETF for long-term holding to a conservative, inexperienced retiree whose primary objective was capital preservation fundamentally violated customer-specific suitability requirements.

Item 423 of 499**NON-COMPLIANT**

Topic: excessive_trading_care_obligation

Difficulty: hard

Standard: Exchange Act Rule 15l-1(a)(1); Exchange Act Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); FINRA Rule 2010

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Brennan, age 62, retired from his position as a facilities manager in January 2021 with a lump-sum pension distribution of \$340,000. Brennan opened a brokerage account at Coastal Ridge Securities LLC in March 2021, indicating on his new account form that his investment objective was 'income with moderate growth,' his risk tolerance was 'moderate,' his time horizon was '10-15 years,' and his annual income from Social Security and a small rental property was approximately \$48,000. Brennan specifically told his registered representative, Daniel Ferris, that this account represented the bulk of his retirement savings and that he could not afford significant losses.

From March 2021 through November 2021, Ferris recommended that Brennan execute 247 equity transactions in the account. Ferris frequently recommended purchasing shares in technology and biotechnology stocks, only to recommend selling those same positions within days or weeks, often at a loss, before recommending new positions. For example, in June 2021 alone, Ferris recommended Brennan purchase and then sell shares in fourteen different securities, with average holding periods of less than eight trading days.

An analysis of the account activity revealed an annualized turnover rate of 14.2 and a cost-to-equity ratio of 38.7 percent. The account generated approximately \$67,400 in commissions and fees for Coastal Ridge Securities during the nine-month period. By contrast, the account experienced a net loss of \$52,000 during the same period, reducing Brennan's retirement savings to approximately \$288,000.

When questioned by Coastal Ridge's compliance department in December 2021, Ferris stated that Brennan had verbally requested 'aggressive trading' and wanted to 'make up for lost time' in building his retirement portfolio. However, Ferris could not produce any documentation of these conversations, and the account documentation continued to reflect Brennan's original moderate risk tolerance and income-oriented objectives. Brennan subsequently filed a customer complaint denying he ever authorized or requested such aggressive trading activity.

Question

Did registered representative Daniel Ferris violate the Care Obligation of Regulation Best Interest by recommending excessive trading in Marcus Brennan's retirement account?

Answer

Yes, Daniel Ferris willfully violated the Care Obligation of Regulation Best Interest under Exchange Act Rule 15l-1(a)(2)(ii) and FINRA Rule 2010. The Care Obligation requires that when making a recommendation to a retail customer, an associated person must exercise reasonable diligence, care, and skill to have a reasonable basis to believe that a series of recommended transactions, even if suitable when viewed in isolation, is not excessive and is in the customer's best interest in light of the customer's investment profile.

The quantitative factors overwhelmingly demonstrate excessive trading. The account's annualized turnover rate of 14.2

far exceeds the threshold of six that generally indicates excessive trading. Similarly, the cost-to-equity ratio of 38.7 percent dramatically surpasses the 20 percent level that serves as a red flag for excessive activity. These metrics mean Brennan's account would have needed to appreciate nearly 39 percent simply to break even on costs before generating any return—an unreasonable burden for any customer, particularly one with moderate risk tolerance and income-oriented objectives.

The qualitative factors further support the violation. Brennan was a 62-year-old retiree whose documented investment profile reflected moderate risk tolerance, income-focused objectives, and reliance on these funds for retirement security. The pattern of rapid in-and-out trading in volatile technology and biotechnology stocks was fundamentally inconsistent with these stated objectives. Ferris's defense that Brennan verbally requested aggressive trading is unavailing for two reasons: first, no documentation supports this claim, and second, even if true, Reg BI requires that recommendations be in the customer's best interest based on their actual investment profile, not merely customer-requested.

The \$67,400 in commissions generated against a \$52,000 net loss demonstrates that Ferris's financial interest was placed ahead of Brennan's interest, directly contravening Rule 15l-1(a)(1)'s prohibition against placing the associated person's interests ahead of the retail customer's. This conduct also violates FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade.

Key Factor

The turnover rate of 14.2 and cost-to-equity ratio of 38.7 percent vastly exceeded recognized thresholds for excessive trading, demonstrating recommendations that were not in the customer's best interest given his moderate risk tolerance and retirement income objectives.

Item 424 of 499**NON-COMPLIANT**

Topic: complex_product_suitability_elderly_client

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 210 (Standards of Commercial Honor and Principles of Trade); Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 74, was a retired schoolteacher living in suburban Atlanta with a fixed income consisting of a modest pension of \$2,400 monthly and Social Security benefits of \$1,850 monthly. In February 2024, she met with Gregory Palmer, a registered representative at Southeastern Capital Partners, LLC, after her husband of 48 years passed away and she received \$385,000 in life insurance proceeds. Mrs. Thornton completed a new account form indicating her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her investment time horizon as '3-5 years,' and her liquid net worth (excluding her primary residence) as \$420,000. She explicitly told Palmer during their initial meeting that she needed to supplement her fixed income and could not afford to lose principal because she had no other sources of funds for medical expenses or potential long-term care needs.

Palmer recommended that Mrs. Thornton invest \$275,000 of her insurance proceeds--representing 65% of her liquid net worth--into a portfolio consisting of leveraged exchange-traded funds (ETFs) focused on technology and energy sectors, as well as inverse ETFs designed to profit from market declines. Specifically, Palmer placed \$125,000 into a 3x leveraged technology ETF, \$100,000 into a 2x leveraged energy sector ETF, and \$50,000 into an inverse S&P 500 ETF. Palmer's internal notes from March 2024 stated that these products would 'maximize growth potential in volatile markets' and that Mrs. Thornton 'understood the risks after our discussion.'

By September 2024, Mrs. Thornton's \$275,000 investment had declined to approximately \$142,000 due to the compounding effects of daily rebalancing in the leveraged products combined with market volatility. When Mrs. Thornton called Palmer expressing distress about her losses, he assured her the positions would 'bounce back' and recommended holding. The firm's product committee had previously issued internal guidance in January 2024 noting that leveraged and inverse ETFs were generally unsuitable for retail investors with conservative risk profiles or holding periods exceeding 30 days due to volatility decay and compounding risks.

Question

Did Gregory Palmer violate his suitability obligations under FINRA rules when he recommended the leveraged and inverse ETF portfolio to Margaret Thornton?

Answer

Gregory Palmer clearly violated FINRA Rule 2111 (Suitability) and FINRA Rule 210 (Standards of Commercial Honor) in recommending leveraged and inverse ETFs to Margaret Thornton. The suitability analysis under Rule 2111 requires satisfaction of three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding customer-specific suitability under Rule 2111(a), Palmer was required to have a reasonable basis to believe that the recommendation was suitable for this particular customer based on her investment profile. Mrs. Thornton's profile unambiguously established conservative risk tolerance, income and capital preservation objectives, a 3-5 year time horizon, and critical reliance on these funds for medical and care expenses. Leveraged and inverse ETFs are

inherently inconsistent with each of these factors. These products utilize derivatives to achieve daily leveraged or inverse returns and are designed for sophisticated, active traders with short holding periods--typically intraday or single-day positions.

The concentration of 65% of Mrs. Thornton's liquid net worth in these complex, high-risk products further aggravated the unsuitability. FINRA has consistently held that concentration in speculative investments is unsuitable for conservative, income-dependent investors. Palmer's own firm guidance acknowledged that leveraged and inverse ETFs were inappropriate for conservative investors or holding periods beyond 30 days, yet he recommended precisely this strategy with an apparent multi-month holding expectation.

Palmer's notation that Mrs. Thornton 'understood the risks' does not cure the suitability violation. Under Rule 2111, customer consent or acknowledgment cannot transform an unsuitable recommendation into a suitable one. The obligation rests with the broker to recommend only suitable investments regardless of customer acquiescence.

The subsequent 48% portfolio decline and Palmer's advice to hold--further extending the inappropriate holding period--compounded the original violation. Palmer's conduct fell below the standards of commercial honor required by Rule 2010. A panel would likely find in Mrs. Thornton's favor and award compensatory damages reflecting her losses attributable to the unsuitable recommendations.

Key Factor

Palmer recommended inherently speculative leveraged and inverse ETFs--products designed for short-term active trading--to a 74-year-old conservative investor dependent on capital preservation for income and medical expenses, in direct contravention of her documented investment profile and the firm's own internal guidance.

Item 425 of 499**NON-COMPLIANT**

Topic: esop_trustee_prudence_stock_valuation

Difficulty: hard

Standard: ERISA §404(a)(1)(B) duty of prudence; ERISA §406 prohibited transaction rules; Department of Labor guidance on ESOP trustee responsibilities

Source: 11_Case_Law

Fact Pattern

Cornerstone Industrial Services, Inc. established an Employee Stock Ownership Plan (ESOP) in January 2019 for its 340 employees. Midwest Fiduciary Trust Company served as the independent trustee responsible for determining fair market value of Cornerstone stock for ESOP transactions. In March 2021, the ESOP purchased 45% of Cornerstone's outstanding shares from the company's founders, Gerald and Patricia Morrison, for \$28.4 million.

Eleanor Vasquez, a 52-year-old assembly line supervisor who had worked at Cornerstone for 18 years, was automatically enrolled in the ESOP and received an allocation of shares worth approximately \$67,000 based on the transaction price. Vasquez, like all ESOP participants, had no ability to opt out of the plan or choose alternative investments. Her retirement security depended entirely on Cornerstone stock performance.

Prior to approving the transaction, Midwest Fiduciary Trust received financial projections from Cornerstone management showing aggressive revenue growth of 22% annually over five years. These projections contradicted Cornerstone's actual historical performance, which showed flat revenues and declining profit margins over the preceding three years. The independent valuation firm retained by Midwest Fiduciary Trust, Pinnacle Valuation Associates, flagged these discrepancies in their draft report, noting that the projections appeared 'optimistic given current market conditions and historical trends.'

Despite these warnings, Midwest Fiduciary Trust approved the \$28.4 million purchase price without requesting revised projections or additional due diligence. The trust officer handling the transaction, Marcus Chen, later testified that he 'relied on management's representations' and did not independently verify the reasonableness of the growth assumptions. Within 18 months of the transaction, Cornerstone's revenues declined 15%, and the company's estimated fair market value dropped to \$14.2 million, wiping out approximately half of participants' account balances.

Question

Did Midwest Fiduciary Trust Company breach its ERISA fiduciary duty of prudence by approving the ESOP stock purchase at \$28.4 million without adequately investigating the reliability of management's financial projections?

Answer

Midwest Fiduciary Trust Company likely breached its fiduciary duty of prudence under ERISA §404(a)(1)(B). This section requires fiduciaries to discharge their duties 'with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims.'

The prudent man standard for ESOP transactions requires trustees to conduct an independent investigation into the fair market value of employer securities. As established in the Third Circuit's analysis of ESOP fiduciary duties, trustees cannot simply rubber-stamp valuations or blindly accept management representations--they must engage in meaningful

scrutiny, particularly when red flags emerge.

Several facts demonstrate Midwest Fiduciary Trust's imprudent conduct. First, the trustee received explicit warnings from its own valuation firm that management projections appeared inconsistent with historical performance. A prudent fiduciary would have investigated these discrepancies rather than ignoring them. Second, the 22% projected growth rate directly contradicted three years of flat revenues and declining margins--a glaring inconsistency that demanded explanation. Third, trust officer Chen's admission that he simply 'relied on management's representations' evidences a failure to conduct independent analysis, which is precisely what ERISA fiduciary duties require.

The Department of Labor has consistently held that ESOP trustees must conduct thorough due diligence on stock valuations because plan participants, unlike ordinary investors, cannot diversify their holdings or opt out of the plan. Eleanor Vasquez and similarly situated participants were captive investors whose retirement security depended entirely on the trustee's diligence.

Midwest Fiduciary Trust may argue it retained an independent valuation firm, but this defense fails because the trustee disregarded that firm's warnings. Delegation does not eliminate fiduciary responsibility--it requires oversight of the delegate's work product. The subsequent 50% decline in value, while not dispositive, corroborates that the initial valuation was inflated and that reasonable investigation would have revealed the projection flaws.

Key Factor

The trustee ignored explicit warnings from its own valuation firm about unreliable management projections and failed to conduct independent verification before approving the stock purchase price.

Item 426 of 499**NON-COMPLIANT**

Topic: suitability_complex_products_elderly_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision), Exchange Act Section 10(b)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 78, was a longtime customer of Meridian Wealth Partners, LLC, having maintained her accounts there since 2008. Following her husband's death in January 2021, Mrs. Thornton inherited approximately \$485,000 in life insurance proceeds and an additional \$220,000 from her husband's IRA rollover, bringing her total liquid assets to roughly \$705,000. Her stated investment objectives on file were 'income' and 'capital preservation,' with a 'conservative' risk tolerance. Mrs. Thornton lived on Social Security benefits of \$2,100 monthly and a small pension of \$850 monthly, and the inherited funds represented essentially her entire retirement savings.

Between March and June 2021, her registered representative, Daniel Reeves, recommended and executed a series of transactions that concentrated approximately 62% of Mrs. Thornton's portfolio into leveraged exchange-traded funds (ETFs) tracking the technology sector and inverse bond ETFs. Reeves documented in his notes that Mrs. Thornton wanted 'growth to leave something for grandchildren' and was 'comfortable with volatility.' However, the firm's account opening documents from 2008 and the most recent customer profile update in December 2020--just four months prior--reflected no change from her conservative, income-oriented objectives.

By November 2021, Mrs. Thornton's account had declined by approximately \$187,000, representing a 26.5% loss of her total portfolio value. The leveraged and inverse ETFs experienced significant decay due to daily rebalancing and were held for periods ranging from four to seven months, contrary to the products' prospectus disclosures warning against holding periods exceeding one day. When Mrs. Thornton's daughter reviewed the account statements during the 2021 holiday season, she immediately contacted the firm's compliance department and subsequently filed a customer complaint alleging unsuitable recommendations.

Question

Did Daniel Reeves violate his suitability obligations under FINRA Rule 2111 by recommending leveraged and inverse ETFs to Mrs. Thornton, and did Meridian Wealth Partners fail to supervise these recommendations?

Answer

The recommendations made by Daniel Reeves clearly violated FINRA Rule 2111's suitability requirements on multiple levels, and the firm likely failed its supervisory obligations under FINRA Rule 3110.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding customer-specific suitability under Rule 2111(a), Reeves failed to ensure his recommendations aligned with Mrs. Thornton's documented investment profile. Her objectives were clearly 'income' and 'capital preservation' with 'conservative' risk tolerance--characteristics fundamentally incompatible with leveraged and inverse ETFs, which are

complex, high-risk instruments designed for sophisticated traders with short time horizons. At age 78, with these funds representing her primary retirement assets and limited income from Social Security and pension, the 62% concentration in such volatile products was patently unsuitable.

Reeves's documentation claiming Mrs. Thornton wanted 'growth' and was 'comfortable with volatility' directly contradicts the customer profile updated just four months earlier. FINRA guidance has consistently emphasized that brokers cannot rely on informal verbal statements that contradict formal documentation, and any material change in customer objectives should be formally documented and approved through compliance channels.

Moreover, leveraged and inverse ETFs carry explicit prospectus warnings against holding periods beyond one day due to the compounding effects of daily rebalancing. Reeves held these positions for four to seven months, demonstrating a fundamental misunderstanding of the products themselves--a violation of reasonable-basis suitability requiring that the broker understand the risks and features of recommended products.

Meridian Wealth Partners likely violated FINRA Rule 3110's supervision requirements by failing to detect the obvious mismatch between Mrs. Thornton's documented conservative profile and the highly speculative positions being established in her account. A reasonably designed supervisory system should flag such concentration in complex products for elderly, conservative investors.

The \$187,000 loss directly resulted from these unsuitable recommendations, making disgorgement and compensatory damages appropriate remedies.

Key Factor

The adviser concentrated 62% of a 78-year-old conservative investor's retirement assets in leveraged and inverse ETFs, products explicitly unsuitable for her documented risk tolerance and investment objectives, and held them for months despite prospectus warnings against extended holding periods.

Item 427 of 499**NON-COMPLIANT**

Topic: suitability_structured_products_retail_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holbrook, age 67, was a retired schoolteacher who opened an account with Beacon Ridge Securities LLC in March 2019. Her account documents indicated she had a conservative risk tolerance, an investment objective of capital preservation and income generation, liquid net worth of \$380,000 (representing substantially all of her retirement savings), annual income of \$42,000 from her pension and Social Security, and limited investment experience consisting primarily of certificates of deposit and Treasury bonds. Her stated time horizon was 5-7 years, and she specifically noted on her new account form that she could not afford significant principal loss.

Her registered representative, Daniel Kovacs, recommended that Mrs. Holbrook invest \$175,000--approximately 46% of her liquid net worth--in reverse convertible notes linked to the performance of three volatile technology stocks. Kovacs explained these products as 'enhanced income investments' that would pay monthly coupons of 12% annualized, significantly higher than her existing CD yields of 2.3%. However, Kovacs did not adequately explain the substantial downside risk: if any of the three reference stocks declined more than 30%, Mrs. Holbrook's principal would convert to shares of the worst-performing stock, potentially resulting in losses far exceeding the coupon income received.

Between March and August 2019, Kovacs executed five separate purchases of reverse convertibles for Mrs. Holbrook's account, each linked to different baskets of high-beta technology and biotech stocks. Internal firm emails obtained during arbitration discovery revealed that Kovacs received enhanced compensation of 3.5% on structured product sales versus 1% on traditional bond transactions. By March 2020, following the market volatility, three of the five reverse convertibles had breached their knock-in barriers, resulting in principal losses totaling \$127,400. Mrs. Holbrook filed a FINRA arbitration claim in September 2020 alleging unsuitable recommendations.

Question

Did Daniel Kovacs violate his suitability obligations under FINRA Rule 2111 when he recommended the concentrated reverse convertible note positions to Margaret Holbrook?

Answer

The arbitration panel should find that Daniel Kovacs violated FINRA Rule 2111 on multiple grounds, warranting an award of compensatory damages to Mrs. Holbrook.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on reasonable diligence concerning the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

First, regarding customer-specific suitability under Rule 2111(a), the recommendation to concentrate 46% of a 67-year-old retiree's liquid net worth in reverse convertibles linked to volatile technology stocks directly contradicted her documented conservative risk tolerance, capital preservation objective, and explicit statement that she could not afford

significant principal loss. Reverse convertibles are complex structured products that expose investors to full downside equity risk while capping upside potential--the antithesis of capital preservation. FINRA has consistently emphasized that product complexity and embedded leverage require heightened suitability analysis for retail investors.

Second, Kovacs failed reasonable-basis suitability requirements. A reasonable broker exercising due diligence would recognize that reverse convertibles linked to high-beta technology stocks are categorically inappropriate for a conservative retiree dependent on her investment portfolio for retirement security. The 12% coupon yield reflected the substantial risk being transferred to Mrs. Holbrook--risk she neither understood nor could financially absorb.

Third, Kovacs's conduct raises concerns under FINRA Rule 2010's just and equitable principles of trade, given the enhanced compensation he received for structured product sales. While compensation alone does not establish unsuitability, the 3.5% versus 1% differential provides context for why unsuitable products were systematically recommended.

The concentration of nearly half of Mrs. Holbrook's retirement assets in speculative, complex instruments violated the fundamental principle that recommendations must align with the customer's stated objectives and capacity for loss. The panel should award compensatory damages reflecting her \$127,400 in realized losses, plus prejudgment interest.

Key Factor

Recommending complex, equity-risk-bearing structured products totaling 46% of liquid net worth to a conservative 67-year-old retiree with documented capital preservation objectives and inability to afford significant principal loss constituted a clear customer-specific suitability violation.

Item 428 of 499**NON-COMPLIANT**

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) Reasonable-Basis Suitability; FINRA Rule 2111.05(b) Customer-Specific Suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Greenfield Capital Partners LLC, a FINRA member firm headquartered in New York, employed registered representative Marcus Brennan who serviced the accounts of retail customers. In March 2019, Brennan recommended that his client, retired schoolteacher Dorothy Callahan, age 71, invest \$485,000--representing approximately 65% of her liquid net worth--in a portfolio consisting primarily of triple-leveraged exchange-traded funds (3x ETFs) tracking energy sector indices. Mrs. Callahan's account documentation indicated she had a conservative risk tolerance, an investment objective of capital preservation with modest income generation, and a 5-year investment time horizon to fund her retirement living expenses and potential long-term care needs. Her annual income from Social Security and a small pension totaled \$42,000.

Brennan explained to Mrs. Callahan that the 3x ETFs would 'supercharge her returns' during what he predicted would be a strong year for energy stocks. He did not explain the daily reset mechanism inherent in leveraged ETFs, the compounding decay that occurs during volatile markets, or the fact that these products are designed for short-term trading rather than buy-and-hold strategies. Mrs. Callahan held the positions for approximately 14 months. Internal records showed Brennan had received specific training on leveraged and inverse products in January 2019, including materials explicitly stating these products are 'unsuitable for investors who plan to hold them for more than one trading session.'

By May 2020, following extreme volatility in the energy sector exacerbated by the global pandemic, Mrs. Callahan's account had declined to \$127,400--a loss of \$357,600, or approximately 73.7% of her invested principal. When she contacted Brennan expressing concern, he advised her to 'hold on and wait for the recovery,' despite the structural characteristics of leveraged ETFs making long-term recovery unlikely. Greenfield Capital's written supervisory procedures required heightened review for leveraged product recommendations to customers over age 65 or with conservative profiles, but the firm's principal, Thomas Whitmore, approved the initial trades without documented analysis of Mrs. Callahan's customer profile or investment objectives.

Question

Did Marcus Brennan's recommendation that Dorothy Callahan invest a substantial portion of her retirement assets in triple-leveraged ETFs violate FINRA suitability obligations, and did the firm fail in its supervisory duties?

Answer

The recommendation clearly violated FINRA Rule 2111 (Suitability) on multiple grounds, and Greenfield Capital Partners failed its supervisory obligations under FINRA Rule 3110.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This encompasses three

distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111.05(a), Brennan demonstrably understood leveraged ETFs' characteristics given his January 2019 training explicitly warning these products are unsuitable for holding periods beyond one trading session. His recommendation that Mrs. Callahan hold these instruments for long-term retirement income fundamentally contradicted this understanding, indicating he lacked--or ignored--a reasonable basis for believing this strategy was appropriate for any long-term investor.

The customer-specific suitability violation under Rule 2111.05(b) is equally clear. Mrs. Callahan's profile--age 71, conservative risk tolerance, capital preservation objective, 5-year time horizon for retirement funding, and concentration of 65% of liquid assets--was fundamentally incompatible with highly volatile leveraged products. FINRA has consistently emphasized that complex leveraged products carry heightened suitability concerns for elderly investors with conservative objectives.

Brennan's conduct also violated FINRA Rule 2010's just and equitable principles of trade. His failure to explain the daily reset mechanism, compounding decay, and short-term nature of these products constituted a material omission rendering Mrs. Callahan unable to make an informed investment decision.

The firm violated FINRA Rule 3110 (Supervision). Despite having written supervisory procedures requiring heightened review for leveraged products recommended to customers over 65 with conservative profiles, Principal Whitmore approved the trades without documented analysis. This represents a failure to implement the firm's own supervisory system.

The defense might argue Mrs. Callahan signed account documentation. However, customer signatures do not relieve brokers of suitability obligations when recommendations are objectively unsuitable for the documented customer profile. The award should reflect both compensatory damages for the unsuitable recommendations and consideration of the egregious supervisory failures.

Key Factor

The recommendation of triple-leveraged ETFs designed for single-day holding periods to a 71-year-old conservative investor for long-term retirement income directly contradicted the product's stated purpose and the customer's documented investment profile.

Item 429 of 499

NON-COMPLIANT

Topic: concentration_in_illiquid_nontraded_reits

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative components; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA guidance on non-traded REITs and alternative investments

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret and Dennis Kirkwood, ages 72 and 74 respectively, were retired schoolteachers who had accumulated approximately \$620,000 in retirement savings across two accounts: a revocable living trust account (\$485,000) and a custodial account for their two grandchildren's education (\$135,000). In March 2019, the Kirkwoods met with financial adviser Thomas Brennan at Horizon Wealth Partners, seeking conservative income-generating investments to supplement their modest pension income of \$4,200 monthly. The Kirkwoods' account documentation reflected a 'conservative' risk tolerance, 'capital preservation and income' as their primary investment objectives, a 15-year time horizon, and limited investment experience consisting primarily of certificates of deposit and government bonds.

Between April 2019 and February 2020, Brennan recommended and executed purchases totaling \$390,000 in four different non-traded Real Estate Investment Trusts (REITs): \$120,000 in Inland American Real Estate Trust, \$95,000 in Cole Credit Property Trust III, \$90,000 in KBS Real Estate Investment Trust II, and \$85,000 in Behringer Harvard Opportunity REIT. Additionally, Brennan placed \$75,000 of the grandchildren's custodial account into Unit Investment Trusts concentrated in small-cap emerging market equities. Following these transactions, approximately 75% of the Kirkwoods' total portfolio was allocated to illiquid alternative investments.

Brennan's sales materials emphasized the 7-8% distribution rates of the non-traded REITs but did not adequately explain the illiquidity features, including typical 7-10 year holding periods, the absence of a secondary market, and substantial early redemption penalties. The Kirkwoods were not informed that non-traded REITs carried substantial front-end loads averaging 12-15% or that distributions might include return of capital rather than investment income. When the Kirkwoods attempted to access funds in September 2021 to cover unexpected medical expenses, they discovered their investments could not be liquidated without substantial losses. The non-traded REIT positions had declined approximately 35% in value by that time, and the small-cap emerging market UITs in the grandchildren's account had lost 28% of principal.

Question

Did financial adviser Thomas Brennan violate his suitability obligations under FINRA rules by recommending that the Kirkwoods concentrate approximately 75% of their retirement portfolio in illiquid non-traded REITs and speculative UITs?

Answer

Thomas Brennan violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor) through his recommendations to the Kirkwoods. The analysis proceeds across all three suitability components.

Regarding reasonable-basis suitability under Rule 2111(a), Brennan failed to perform adequate due diligence on the non-traded REITs' complex fee structures, illiquidity characteristics, and suitability for retail investors. Non-traded REITs

carry significant risks including lack of price transparency, absence of secondary markets, and substantial front-end commissions that FINRA has consistently identified as requiring heightened scrutiny.

The customer-specific suitability violation is most pronounced. The Kirkwoods were elderly retirees (ages 72 and 74) with conservative risk tolerances, income and capital preservation objectives, and limited investment experience. Rule 2111.05(a) explicitly requires consideration of the customer's age, investment time horizon, liquidity needs, and risk tolerance. Recommending a 75% portfolio concentration in illiquid products with 7-10 year holding periods to septuagenarian investors needing income fundamentally conflicts with these requirements. The grandchildren's custodial account likewise was unsuitably invested in speculative small-cap emerging market UITs when the funds were designated for education--a specific, time-defined goal requiring capital preservation.

Quantitative suitability under Rule 2111.05(c) is also implicated. While typically applied to excessive trading, the concentration level here--75% in a single illiquid asset class--demonstrates a pattern of recommendations that were excessive and unsuitable when viewed in totality.

Brennan's failure to adequately disclose the illiquidity features, front-end loads averaging 12-15%, and the nature of distributions (potentially return of capital) further evidences breach of his care obligation. The discrepancy between the 'conservative' documented risk profile and the speculative, illiquid portfolio constructed demonstrates willful disregard for customer suitability requirements.

Brennan cannot claim reliance on the Kirkwoods' signatures on product documents, as suitability remains an independent broker obligation. The resulting 35% decline in REIT values and inability to access funds for medical emergencies demonstrates the foreseeable harm from these unsuitable recommendations.

Key Factor

Recommending 75% portfolio concentration in illiquid non-traded REITs with 7-10 year holding periods to 72 and 74-year-old retirees with documented conservative risk tolerance, income objectives, and potential near-term liquidity needs fundamentally violated customer-specific suitability requirements.

Item 430 of 499**NON-COMPLIANT**

Topic: unsuitable_variable_annuity_recommendation_senior_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability) - customer-specific and reasonable-basis obligations; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Marcus Feldman, a registered representative with Westbrook Financial Partners, met with client Dorothy Sinclair in March 2015. Mrs. Sinclair was a 78-year-old widow living on a fixed income consisting of Social Security benefits of \$2,100 per month and a small pension of \$800 per month. Her late husband had left her \$320,000 in liquid savings, which represented her entire net worth outside of her modest home valued at approximately \$185,000. Mrs. Sinclair's stated investment objectives on her new account form were income generation and capital preservation, with a conservative risk tolerance. She explicitly informed Feldman that she needed reliable income to supplement her monthly expenses and wanted to preserve her savings for potential long-term care needs and to leave something for her grandchildren.

Feldman recommended that Mrs. Sinclair invest \$275,000--representing approximately 86% of her liquid assets--into a variable annuity product called the Horizon Growth Plus VA. This product featured a 7-year surrender period with surrender charges starting at 7% and declining annually, annual fees totaling 3.2% including mortality and expense charges, administrative fees, and underlying fund expenses. The annuity's investment options were primarily allocated to equity sub-accounts with moderate to aggressive growth objectives. Feldman emphasized the death benefit feature and tax-deferred growth potential when presenting the recommendation.

Mrs. Sinclair signed the paperwork in April 2015, and the annuity was funded by liquidating her existing portfolio of Treasury bonds and certificates of deposit. Within eighteen months, the account had declined approximately 12% due to market volatility, and Mrs. Sinclair discovered she could not access her funds to pay for an unexpected home repair without incurring substantial surrender charges. Her daughter subsequently filed a complaint alleging the recommendation was unsuitable given her mother's age, income needs, risk tolerance, and liquidity requirements.

Question

Did Marcus Feldman's recommendation that Dorothy Sinclair invest 86% of her liquid assets in a variable annuity with a 7-year surrender period and aggressive equity sub-accounts violate FINRA suitability requirements?

Answer

Yes, Marcus Feldman's recommendation violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor). The recommendation failed both the customer-specific suitability obligation and reasonable-basis suitability standards.

Under FINRA Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Feldman's recommendation failed customer-specific suitability on multiple grounds. First, Mrs. Sinclair's age of 78 years old combined with a 7-year surrender period meant she would be 85 before accessing her funds without penalty--an unreasonable time horizon for a senior investor with stated liquidity concerns for potential healthcare needs. Second, concentrating 86% of her liquid assets in a single illiquid product directly contradicted her stated objective of capital preservation and income generation. Third, the allocation to aggressive equity sub-accounts was fundamentally inconsistent with her conservative risk tolerance and need for reliable income. Fourth, the 3.2% annual fee structure would substantially erode returns for an investor seeking income, and the tax-deferral benefit provides minimal advantage for a 78-year-old investor with limited investment horizon.

FINRA has consistently emphasized heightened suitability concerns regarding variable annuity recommendations to senior investors, particularly where surrender periods extend beyond the customer's reasonable life expectancy or immediate liquidity needs. The death benefit feature, while potentially valuable, does not cure the fundamental unsuitability of the recommendation given Mrs. Sinclair's liquidity needs and conservative profile.

Feldman's reliance on the death benefit and tax-deferral features does not constitute a valid defense when the core product characteristics--illiquidity, high fees, and equity market exposure--are fundamentally incompatible with the customer's documented investment objectives and profile. The recommendation prioritized product features over customer needs, violating the care obligation inherent in the suitability standard.

Key Factor

Recommending an illiquid variable annuity with a 7-year surrender period and aggressive equity allocation to a 78-year-old widow with conservative risk tolerance, income needs, and explicit liquidity concerns for potential healthcare expenses.

Item 431 of 499**NON-COMPLIANT**

Topic: annuity_recommendation_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 74, was a longtime client of Pinnacle Wealth Advisors, LLC, where she was serviced by registered representative David Cromwell. Mrs. Thornton's account profile, last updated in March 2023, indicated she was a widow with a liquid net worth of approximately \$385,000, consisting primarily of certificates of deposit and a money market account inherited from her late husband. Her stated investment objective was capital preservation with income generation to supplement her Social Security benefits of \$1,840 per month. Her risk tolerance was documented as conservative, and her investment time horizon was listed as short-term (1-3 years) given her age and health concerns including recent cardiac issues requiring ongoing treatment.

In September 2023, Cromwell recommended that Mrs. Thornton invest \$275,000--representing over 71% of her liquid assets--into a variable annuity product called the Evergreen Growth Plus VA, which carried a 7-year surrender period with declining surrender charges starting at 7% in year one. The product included a guaranteed minimum income benefit rider that would not become exercisable until Mrs. Thornton reached age 82. The annuity's subaccount options were invested in moderate-growth equity funds with annual expense ratios averaging 1.85%, plus an additional 1.35% annual mortality and expense charge and 0.95% for the income rider.

Cromwell's notes from the September 2023 meeting indicated that he discussed the product's death benefit features and long-term income guarantees, emphasizing that the annuity would provide Mrs. Thornton with financial security. However, his documentation did not address how the 7-year surrender period aligned with her stated short-term time horizon, nor did it analyze whether a 74-year-old with documented health issues and conservative risk tolerance was appropriate for a product with significant equity market exposure and a rider that would not activate for 8 years.

In February 2024, Mrs. Thornton experienced a medical emergency requiring skilled nursing facility care. Her son attempted to access the annuity funds to pay for her care but discovered the surrender charge would result in a \$19,250 penalty. A customer complaint was filed alleging unsuitable investment advice.

Question

Did David Cromwell's recommendation of the Evergreen Growth Plus variable annuity satisfy his suitability obligations under FINRA Rule 2111 given Mrs. Thornton's investment profile and circumstances?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111. Under Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile. This rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Cromwell failed customer-specific suitability under Rule 2111(a) on multiple grounds. First, the 7-year surrender period fundamentally conflicted with Mrs. Thornton's documented short-term investment horizon of 1-3 years. FINRA guidance

has repeatedly emphasized that surrender periods must align with the customer's liquidity needs and time horizon. A 74-year-old client with documented health issues and explicit short-term objectives should not be placed in a product that effectively locks up funds for seven years without substantial penalty.

Second, the concentration of 71% of liquid assets in a single illiquid product was excessive given her conservative risk tolerance and capital preservation objective. When Mrs. Thornton needed funds for medical care--a foreseeable event given her age and health--she faced a \$19,250 surrender charge, directly undermining her capital preservation goal.

Third, the product's structure was mismatched to her profile. The guaranteed minimum income benefit rider activating at age 82 had questionable utility for a client with documented cardiac issues. The moderate-growth equity subaccounts with combined annual costs exceeding 4% were inconsistent with her conservative risk tolerance and income needs.

Cromwell's documentation exacerbates the violation. His notes failed to memorialize any analysis of how the product's features matched Mrs. Thornton's stated profile--a requirement under FINRA's heightened documentation standards for complex products. The absence of suitability analysis suggests no reasonable basis existed for the recommendation.

Under FINRA Rule 2010's just and equitable principles of trade, recommending an unsuitable product that foreseeably harmed a vulnerable senior client constitutes a violation of ethical standards. The recommendation prioritized product features over client needs, resulting in demonstrable harm when liquidity was required.

Key Factor

The 7-year surrender period directly contradicted the client's documented 1-3 year short-term investment horizon, and the concentration of 71% of liquid assets in an illiquid product was incompatible with her conservative risk tolerance and capital preservation objective.

Item 432 of 499

NON-COMPLIANT

Topic: care_obligation_complex_product_recommendation

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuities and Similar Products guidance on complex products)

Source: 07_Practitioner_Commentary

Fact Pattern

Margaret Delacroix, age 71, is a retired school librarian who visited Summit Ridge Securities LLC in October 2023 seeking advice on investing proceeds from her late husband's life insurance policy. She received \$285,000 and explained to her assigned representative, Kevin Hartnett, that she needed income to supplement her \$2,100 monthly Social Security and small pension of \$650. Her total liquid assets, including the insurance proceeds, amounted to approximately \$340,000. Mrs. Delacroix explicitly stated she could not afford to lose this money as it represented her entire financial safety net, and she had no other family support. Her investment questionnaire indicated a conservative risk tolerance, income as her primary objective, and a time horizon of 5-7 years given her age and health concerns.

Hartnett recommended that Mrs. Delacroix invest \$200,000--approximately 59% of her liquid net worth--into the Apex Strategic Yield Fund, a non-traded Business Development Company (BDC) that invested primarily in mezzanine debt and equity of distressed middle-market companies. The BDC carried significant liquidity restrictions, with shares redeemable only quarterly at the fund's discretion and subject to a 5% early redemption fee for the first three years. The fund's prospectus disclosed leverage ratios up to 2:1 and historical NAV volatility of 15-22% annually. The product paid Hartnett a 7% upfront commission compared to 1% for comparable liquid fixed-income funds.

During the recommendation conversation, Hartnett emphasized the BDC's 9.5% target distribution yield, comparing it favorably to the 4.8% yield available from investment-grade bond funds. He did not discuss the fund's use of leverage, the illiquidity provisions in detail, or the fact that distributions could include return of capital rather than actual income. Summit Ridge's product due diligence committee had approved the BDC for sale but had flagged it as suitable only for customers with moderate-to-aggressive risk profiles and liquid net worth exceeding \$750,000. Hartnett did not consult these internal guidelines before making the recommendation.

Question

Did Kevin Hartnett satisfy his Care Obligation under Regulation Best Interest when recommending the Apex Strategic Yield Fund to Mrs. Delacroix?

Answer

No, Kevin Hartnett failed to satisfy his Care Obligation under Regulation Best Interest. The Care Obligation under Reg BI Rule 15l-1(a)(2)(ii) requires that a broker-dealer exercise reasonable diligence, care, and skill to (A) understand the potential risks, rewards, and costs of the recommendation, (B) have a reasonable basis to believe the recommendation is in the customer's best interest based on her investment profile, and (C) have a reasonable basis to believe that a series of recommended transactions is not excessive.

First, regarding reasonable basis suitability, the recommendation of a non-traded BDC investing in distressed company debt to a 71-year-old conservative investor seeking capital preservation fundamentally fails the care standard. The SEC has emphasized that the care obligation requires understanding the product's characteristics--here, the 2:1 leverage,

quarterly liquidity restrictions, 15-22% NAV volatility, and potential return of capital distributions directly contradict Mrs. Delacroix's stated inability to absorb losses and her need for reliable income.

Second, the customer-specific suitability analysis is deficient. Mrs. Delacroix's profile--conservative risk tolerance, income objective, limited time horizon, and dependence on these funds for living expenses--is fundamentally incompatible with a complex, illiquid, leveraged product. Summit Ridge's own internal guidelines restricted this product to moderate-to-aggressive investors with liquid net worth exceeding \$750,000. Mrs. Delacroix met neither criterion, yet Hartnett failed to consult these guidelines.

Third, the concentration of 59% of her liquid assets in a single illiquid position amplifies the violation. The SEC Release accompanying Reg BI adoption specifically notes that cost and compensation are relevant factors that must not be placed ahead of the customer's interest. The 7% commission versus 1% for comparable liquid alternatives suggests Hartnett's recommendation was influenced by compensation rather than customer suitability.

Hartnett's failure to discuss leverage, liquidity restrictions, and distribution composition further demonstrates inadequate diligence in understanding and communicating the product's risks. This recommendation was not in Mrs. Delacroix's best interest at the time it was made.

Key Factor

Recommending an illiquid, leveraged, high-volatility BDC to a 71-year-old conservative investor whose explicit investment objective was capital preservation and income, while ignoring the firm's own suitability guidelines restricting the product to different customer profiles.

Item 433 of 499**NON-COMPLIANT**

Topic: reg_bi_care_obligation_complex_product

Difficulty: hard

Standard: SEC Regulation Best Interest Care Obligation; Exchange Act Rule 15l-1(a)(2)(ii); State Securities Law provisions incorporating Reg BI standards

Source: 14_NASAA_State_Enforcement

Fact Pattern

Margaret Thornton, age 72, had been a customer of Pinnacle Securities Group, a dually-registered broker-dealer, since 2015. Her account documentation reflected a conservative risk tolerance, income-focused investment objective, and a 5-year investment time horizon. Mrs. Thornton's liquid net worth was approximately \$340,000, consisting primarily of proceeds from her late husband's life insurance policy and her modest pension of \$2,100 per month. She expressed to her registered representative, Daniel Krebs, that capital preservation was paramount because this money needed to last the remainder of her retirement.

In March 2023, Krebs recommended that Mrs. Thornton invest \$175,000--approximately 51% of her liquid assets--in the Apex Strategic Yield Note, a structured product linked to the performance of three volatile technology stocks. The product featured a 12% annual coupon but included a knock-in barrier at 60% of initial value, meaning if any underlying stock declined more than 40%, principal losses would be calculated based on the worst-performing stock. The prospectus disclosed that the product was designed for sophisticated investors with high risk tolerance who could withstand complete loss of principal.

Krebs's internal notes indicated that Mrs. Thornton would benefit from the 'enhanced yield' compared to her existing certificate of deposits earning 4.2% APY. However, there was no documentation showing Krebs evaluated Mrs. Thornton's ability to understand the product's complex payoff structure or analyzed whether the concentration risk aligned with her stated objectives. Pinnacle's product committee had approved the Apex Note for sale but classified it as suitable only for customers with aggressive risk profiles and investment horizons of seven years or more.

By November 2023, one of the underlying technology stocks had declined 52%, triggering the knock-in event. Mrs. Thornton's investment was subsequently valued at \$78,750, representing a loss of approximately \$96,250. She filed a complaint with the state securities division alleging that Krebs failed to act in her best interest under Regulation Best Interest.

Question

Did registered representative Daniel Krebs satisfy the care obligation under Regulation Best Interest when recommending the Apex Strategic Yield Note to Mrs. Thornton?

Answer

Daniel Krebs did not satisfy the care obligation under Regulation Best Interest. Under the SEC's Reg BI Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, have a reasonable basis to believe the recommendation is in the customer's best interest based on their investment profile, and ensure that a series of recommended transactions is not excessive.

The care obligation requires consideration of the retail customer's investment profile, which explicitly includes age,

investment time horizon, risk tolerance, liquidity needs, and financial situation. Mrs. Thornton's profile--a 72-year-old widow with conservative risk tolerance, income-focused objectives, a 5-year time horizon, and expressed need for capital preservation--was fundamentally incompatible with the Apex Strategic Yield Note.

First, Krebs failed to have a reasonable basis to believe this recommendation was in Mrs. Thornton's best interest. The structured note was internally classified by Pinnacle's own product committee as suitable only for aggressive-risk customers with seven-year-plus horizons. Recommending a product that contradicts the firm's own suitability parameters demonstrates a failure to exercise reasonable diligence.

Second, concentration risk analysis was absent. Placing 51% of a conservative retiree's liquid assets in a single complex product with potential for complete principal loss violates the care obligation's requirement to consider the customer's overall investment profile, including her limited ability to recover from substantial losses.

Third, Krebs's documentation showed no analysis of whether Mrs. Thornton could understand the knock-in barrier mechanics or the correlation risk among three volatile technology stocks. The product's own prospectus identified it as appropriate for sophisticated investors--a category inconsistent with Mrs. Thornton's profile.

The enhanced yield rationale noted by Krebs is insufficient justification. Reg BI requires that recommendations serve the customer's best interest, not merely offer higher returns without proportionate risk analysis. The state securities division would likely find that Krebs prioritized the recommendation's commission potential over genuine analysis of Mrs. Thornton's needs, constituting a violation of the Reg BI care obligation.

Key Factor

Krebs recommended a complex structured product classified for aggressive investors to a conservative 72-year-old retiree without documented analysis of profile compatibility or principal loss tolerance.

Item 434 of 499

NON-COMPLIANT

Topic: discretionary_authority_suitability_obligation

Difficulty: hard

Standard: Investment Advisers Act Section 206; SEC Fiduciary Duty Interpretation; Duty of Care requiring suitable investment advice based on client's investment profile

Source: 11_Case_Law

Fact Pattern

Meridian Capital Advisors, LLC, a registered investment adviser, entered into an investment management agreement with Margaret Thornton, a 68-year-old retired schoolteacher, in March 2022. The agreement granted Meridian full discretionary authority over Thornton's \$875,000 retirement account, which represented approximately 85% of her liquid net worth. Thornton's investment profile, documented during onboarding, indicated a conservative risk tolerance, a primary objective of capital preservation with modest income generation, a 10-year investment horizon, and limited investment experience beyond mutual funds and CDs. Her annual income from Social Security and a small pension totaled \$42,000.

Meridian's portfolio manager, Derek Castillo, managed accounts for approximately 140 clients with varying risk profiles. Between April 2022 and September 2022, Castillo exercised his discretionary authority to allocate 45% of Thornton's portfolio to concentrated positions in three small-cap technology stocks and an additional 20% to a leveraged ETF tracking the NASDAQ-100 index. These allocations were consistent with Castillo's overall investment thesis and were similarly implemented across many client accounts regardless of individual client profiles. Castillo believed these positions offered superior return potential based on his market analysis.

By December 2022, Thornton's portfolio had declined by approximately \$310,000, representing a 35% loss. The small-cap technology positions had each declined between 40-55%, while the leveraged ETF experienced amplified losses during market volatility. When Thornton contacted Meridian expressing concern about her losses and her ability to fund her retirement expenses, Castillo informed her that short-term volatility was expected and that his investment thesis remained intact. Internal communications revealed that Castillo had not reviewed Thornton's individual client profile before implementing the aggressive allocations and had instead applied a uniform investment strategy across accounts.

Question

Did Meridian Capital Advisors breach its fiduciary duty of care by allocating the majority of Thornton's retirement portfolio to aggressive, speculative positions without considering her individual investment profile?

Answer

Yes, Meridian Capital Advisors breached its fiduciary duty of care under the Investment Advisers Act of 1940, Section 206, by failing to provide investment advice that was in Thornton's best interest and suitable for her individual circumstances.

Under the SEC's interpretation of an investment adviser's fiduciary duty, advisers owe clients both a duty of care and a duty of loyalty. The duty of care requires that an adviser provide advice that is in the client's best interest, which encompasses a duty to provide advice that is suitable for the client based on the client's investment profile. This obligation exists regardless of whether the adviser exercises discretionary authority.

When exercising discretionary authority, the duty of care is heightened. The adviser must make investment decisions that are consistent with the client's stated investment objectives, risk tolerance, and financial situation. The adviser cannot simply implement a uniform investment strategy across accounts without regard to individual client profiles.

Here, multiple elements establish the breach. First, Thornton's documented profile clearly indicated conservative risk tolerance and capital preservation objectives--fundamentally incompatible with concentrated small-cap technology positions and leveraged ETFs. Second, Castillo's internal communications confirm he never reviewed Thornton's individual profile before executing trades, demonstrating a failure to exercise reasonable care. Third, allocating 65% of a 68-year-old retiree's portfolio (representing 85% of her liquid net worth) to speculative, volatile investments is facially unsuitable for someone with limited investment experience, modest fixed income, and capital preservation objectives.

Meridian cannot defend by arguing that discretionary authority permits any investment strategy. Discretionary authority delegates trade execution, not the obligation to act in the client's best interest. The investment management agreement does not authorize disregard of the client's profile. The fact that Castillo's investment thesis may have had merit for growth-oriented clients is irrelevant--suitability is determined by each individual client's circumstances. Thornton's 35% loss directly resulted from Meridian's failure to tailor its investment approach to her documented conservative profile and retirement income needs.

Key Factor

The portfolio manager implemented aggressive allocations across client accounts without reviewing individual client profiles, disregarding Thornton's documented conservative risk tolerance and capital preservation objectives.

Item 435 of 499**COMPLIANT**

Topic: municipal_bond_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Donovan, age 67, opened an account at Coastal Securities Partners in March 2014 with her registered representative, Thomas Brennan. Mrs. Donovan's new account documents identified her as a retiree with a moderate risk tolerance, seeking long-term growth with income generation. Her liquid net worth was approximately \$1.2 million, and she indicated no immediate liquidity needs, as she had pension income and Social Security covering her monthly expenses. Her investment time horizon was listed as 10+ years.

Based on her stated objectives, Mr. Brennan recommended a diversified portfolio of municipal bonds, including an allocation of approximately \$180,000 to various Puerto Rican general obligation bonds and Puerto Rico Electric Power Authority bonds. At the time of purchase in April and May 2014, these bonds carried investment-grade ratings from major rating agencies (Moody's Baa3, S&P BBB-). Mr. Brennan explained the tax-exempt income benefits and the bonds' triple tax-exempt status for investors in any state.

In 2015, Puerto Rico's fiscal situation deteriorated significantly, and the bonds were downgraded to below investment grade. By late 2016, Mrs. Donovan's Puerto Rican bond holdings had declined in value by approximately \$95,000. In January 2017, Mrs. Donovan filed an arbitration claim against Coastal Securities Partners, alleging that Mr. Brennan made unsuitable recommendations and that the concentration in Puerto Rican municipal bonds was inappropriate for her risk profile.

During discovery, Coastal Securities produced contemporaneous notes from Mr. Brennan's client meetings showing he had discussed the credit risks associated with Puerto Rican issuers, the investment-grade ratings at purchase, and the diversification across multiple Puerto Rican issuers. The firm also produced Mrs. Donovan's signed risk disclosure acknowledgment specific to municipal bond investments. The matter settled in August 2017 for \$35,000, with no contribution from Mr. Brennan personally.

Question

Did Mr. Brennan's recommendation of Puerto Rican municipal bonds to Mrs. Donovan satisfy the suitability requirements under FINRA Rule 2111?

Answer

Based on the facts presented, Mr. Brennan's recommendations appear to have satisfied the suitability requirements under FINRA Rule 2111. The rule requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including factors such as age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance.

FINRA Rule 2111 establishes three main suitability obligations: reasonable-basis suitability (the recommendation must be appropriate for at least some investors), customer-specific suitability (the recommendation must match the particular customer's profile), and quantitative suitability (the series of transactions must not be excessive). Here, the

customer-specific analysis is determinative.

Mrs. Donovan's documented profile supported the municipal bond recommendations. At age 67, she was a retiree seeking long-term growth with income--a profile consistent with investment-grade municipal bonds offering tax-exempt income. Her \$1.2 million liquid net worth and lack of immediate liquidity needs permitted her to hold fixed-income securities through market cycles. Her moderate risk tolerance accommodated investment-grade credits, which inherently carry some credit risk.

Critically, the Puerto Rican bonds were rated investment grade at the time of purchase. FINRA Rule 2111.05(a) clarifies that suitability is evaluated based on information known at the time of the recommendation, not with hindsight. Mr. Brennan could reasonably rely on the bonds' Baa3/BBB- ratings as an indicator of acceptable credit quality for a moderate-risk investor.

The documentation further supports compliance: contemporaneous meeting notes reflect discussion of credit risks, and Mrs. Donovan signed a municipal bond risk disclosure. The \$180,000 allocation represented approximately 15% of her portfolio--a meaningful but not unreasonably concentrated position given her objectives.

The subsequent credit deterioration and losses resulted from unforeseeable macroeconomic events, not from an unsuitable recommendation at inception. The settlement amount was modest relative to claimed damages, and Mr. Brennan's non-contribution suggests the firm viewed the defense as meritorious. The recommendation satisfied FINRA Rule 2111's customer-specific suitability standard.

Key Factor

The Puerto Rican bonds carried investment-grade ratings at the time of purchase and matched the customer's documented moderate risk tolerance, long-term horizon, and income objectives.

Item 436 of 499**NON-COMPLIANT**

Topic: suitability_elderly_investor_equity_concentration

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability) -- customer-specific suitability; FINRA Rule 2010 (Standards of Commercial Honor); concentration and risk exposure standards

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret and Donald Thornton, ages 72 and 74 respectively, were retired schoolteachers who opened accounts at Meridian Wealth Advisors, LLC in March 2018. Their combined retirement savings totaled approximately \$380,000, consisting of a joint investment account holding \$210,000 and Donald's IRA containing \$170,000. The Thorntons' new account documentation indicated a conservative risk tolerance, income generation as their primary investment objective, and a 10-year time horizon. Their annual pension income was \$62,000, and the investment accounts represented substantially all of their liquid savings outside of a modest emergency fund.

Their assigned representative, Bradley Simmons, recommended that the Thorntons concentrate approximately 65% of their portfolio in three technology sector stocks, arguing that these positions would provide superior growth to offset inflation during their retirement years. Between April and September 2018, Simmons executed purchases totaling \$247,000 in shares of a semiconductor manufacturer, a cloud computing company, and a social media platform. The Thorntons had no prior experience with individual stock investing, having previously held only certificates of deposit and a target-date mutual fund through their employer's 403(b) plan.

When technology stocks experienced significant volatility in late 2018, the concentrated positions declined by approximately \$58,000, representing a 23% loss on those holdings. The Thorntons filed a complaint alleging that Simmons failed to recommend investments suitable for their age, risk tolerance, and investment objectives. Meridian's compliance records showed that Simmons had documented the Thorntons' conservative profile but proceeded with the aggressive recommendations without any written rationale explaining the deviation from their stated preferences. Simmons asserted that he had verbally explained the growth potential and that the Thorntons had approved each transaction.

Question

Did Bradley Simmons violate his suitability obligations under FINRA rules by recommending a concentrated technology stock portfolio to the Thorntons?

Answer

Based on the facts presented, Bradley Simmons violated FINRA Rule 2111 (Suitability) by recommending a concentrated technology stock portfolio that was inconsistent with the Thorntons' documented investment profile.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile. This profile includes age, other investments, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

The customer-specific suitability analysis under Rule 2111(a) reveals multiple deficiencies. First, the Thorntons'

documented conservative risk tolerance was fundamentally inconsistent with a 65% concentration in volatile technology equities. Second, their stated investment objective of income generation conflicted with growth-oriented technology stocks that typically pay minimal or no dividends. Third, their ages (72 and 74) and reliance on these accounts as substantially all liquid savings warranted preservation-focused strategies, not speculative sector concentration. Fourth, their complete lack of individual stock investing experience made aggressive equity positions particularly inappropriate.

The concentration of \$247,000--roughly 65% of total assets--in three technology stocks created undue risk exposure for investors with this profile. FINRA has consistently held that recommendations resulting in overconcentration can violate suitability requirements even when individual securities might otherwise be appropriate.

Simmons's defense that the Thorntons verbally approved each transaction does not cure the suitability violation. Under Rule 2111, the obligation to make suitable recommendations rests with the representative, not the customer. Customer consent does not transform an unsuitable recommendation into a suitable one. Moreover, the absence of any documented rationale explaining why these recommendations were appropriate despite conflicting with the stated profile further undermines Simmons's position.

The fact pattern closely mirrors the underlying dispute in FINRA Arbitration Case 19-01011, where the panel found the respondent liable and notably denied expungement requests for both associated persons, indicating substantive findings of wrongdoing. The award of \$4,317 in compensatory damages suggests the panel found liability but applied an offset or comparative analysis to the damages claimed.

Key Factor

The representative recommended a 65% concentration in volatile technology stocks to elderly, conservative investors seeking income generation, directly contradicting their documented investment profile and risk tolerance.

Item 437 of 499

NON-COMPLIANT

Topic: quantitative_suitability_excessive_trading

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), specifically Rule 2111.05(c) (Quantitative Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 03_FINRA_AWC

Fact Pattern

Meridian Securities Group LLC employed registered representative David Thornton, who serviced approximately forty retail brokerage accounts between January 2019 and December 2021. Among his clients was Eleanor Vance, a 68-year-old retired school administrator with a modest pension of \$3,200 monthly and liquid investable assets of approximately \$340,000, representing her entire retirement savings apart from Social Security benefits. Mrs. Vance's documented investment profile indicated a conservative risk tolerance, income generation objective, and a long-term time horizon focused on capital preservation to fund her retirement through age 90.

Mrs. Vance opened her account in January 2019 with an initial deposit of \$340,000. She signed a limited trading authorization granting Thornton discretion to execute trades without prior approval for each transaction, though she retained the right to direct specific trades. Over the thirty-six month period, Thornton executed 847 transactions in the account, generating total commissions of \$127,400. The account's cost-to-equity ratio was 31.2%, meaning Mrs. Vance's portfolio needed to appreciate by over 31% annually merely to break even after costs. The annualized turnover rate was 9.4, indicating the entire portfolio was liquidated and reconstituted nearly ten times per year.

The trading activity consisted primarily of frequent in-and-out transactions in speculative growth equities, technology sector ETFs, and leveraged funds--products fundamentally inconsistent with Mrs. Vance's stated conservative objectives. By December 2021, the account value had declined to \$198,000, a loss of \$142,000 or approximately 42% of her original investment. Mrs. Vance testified that she trusted Thornton implicitly, rarely reviewed her statements in detail, and approved his recommendations without independent analysis because she believed he was acting in her interest.

Meridian's supervisory procedures required branch managers to review accounts with turnover rates exceeding 4.0 and cost-to-equity ratios above 15%, but the firm's exception reports were generated only quarterly and branch manager Harold Fischer failed to conduct meaningful follow-up on the alerts generated for the Vance account.

Question

Did Thornton's trading activity in Mrs. Vance's account violate FINRA's quantitative suitability obligation under Rule 2111, and what factors establish his control over the account?

Answer

Thornton's conduct constitutes a clear violation of FINRA Rule 2111's quantitative suitability obligation. Under Rule 2111.05(c), a broker with actual or de facto control over a customer account must have a reasonable basis for believing that a series of recommended transactions, even if suitable when viewed in isolation, are not excessive and unsuitable for the customer when taken together in light of the customer's investment profile.

The control element is satisfied here through both actual and de facto means. Thornton possessed actual control via

the limited trading authorization Mrs. Vance executed, granting him discretion to trade without prior approval. Additionally, de facto control existed because Mrs. Vance, by her own admission, trusted Thornton implicitly, rarely reviewed statements, and routinely approved his recommendations without independent analysis. Courts and FINRA have consistently held that such customer deference, combined with limited financial sophistication and advanced age, establishes de facto control.

The excessiveness element is demonstrated through quantitative metrics that far exceed recognized thresholds. The 9.4 annualized turnover rate dramatically surpasses the benchmark of 6.0 that FINRA and courts have traditionally considered presumptively excessive. The 31.2% cost-to-equity ratio means Mrs. Vance's conservative account would have required extraordinary returns merely to offset trading costs--an impossibility for the income-focused, capital preservation strategy her profile demanded. These metrics constitute compelling evidence of churning.

The unsuitability is further evidenced by the fundamental mismatch between the trading strategy employed and Mrs. Vance's documented profile. Speculative growth equities and leveraged funds are categorically inappropriate for a 68-year-old retiree with conservative risk tolerance, income objectives, and no capacity to recover losses. The \$142,000 loss--42% of her retirement savings--caused concrete harm.

Meridian Securities also violated FINRA Rule 3110 by failing to reasonably supervise Thornton despite exception reports flagging the account. Fischer's failure to conduct meaningful review enabled the misconduct to continue for three years. Both Thornton and the firm violated FINRA Rule 2010's just and equitable principles of trade through conduct that prioritized commission generation over customer welfare.

Key Factor

The 9.4 turnover rate and 31.2% cost-to-equity ratio in an account belonging to a conservative, retired investor with limited sophistication established both excessive trading and de facto control sufficient to prove quantitative unsuitability.

Item 438 of 499

NON-COMPLIANT

Topic: suitability_new_representative_complex_product

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 2090 (Know Your Customer)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Marcus Webb, age 24, passed the Securities Industry Essentials Examination in March 2023 and subsequently obtained his Series 7 license in June 2023 after being hired by Centennial Securities Group, LLC. Within his first three months at the firm, Webb was assigned to service existing client accounts while building his own book of business. In September 2023, Webb met with Helen Kowalski, a 71-year-old retired schoolteacher with a \$340,000 portfolio consisting primarily of Treasury bonds and dividend-paying blue-chip stocks. Kowalski's account documentation indicated a conservative risk tolerance, income generation as her primary investment objective, and a 5-year time horizon. She relied on her portfolio to supplement her pension and Social Security income of approximately \$3,200 per month.

During their meeting, Webb recommended that Kowalski reallocate \$170,000 of her portfolio into a leveraged inverse ETF tracking the S&P 500 index, explaining that he believed the market was overvalued and this position would protect her portfolio during an anticipated correction. Webb had attended a single 45-minute webinar on leveraged and inverse products during his onboarding but had no practical experience recommending such instruments. He did not explain to Kowalski that the product rebalanced daily, that long-term holding could result in significant value decay regardless of market direction, or that the product was designed for short-term tactical trading by sophisticated investors.

Kowalski, trusting her new representative, approved the reallocation. Over the following four months, the S&P 500 experienced volatility but ultimately remained relatively flat. Despite this, Kowalski's leveraged inverse ETF position declined by approximately \$58,000 due to volatility decay and compounding effects. When Kowalski called Webb in January 2024 to express concern about her losses, Webb suggested she continue holding the position because 'the correction is still coming.' Centennial's supervisory review revealed that Webb's branch manager had approved the initial transaction without conducting any heightened review despite the complex product type and the customer's conservative profile.

Question

Did Marcus Webb's recommendation of a leveraged inverse ETF to Helen Kowalski satisfy FINRA's suitability requirements under Rule 2111?

Answer

No, Marcus Webb's recommendation violated FINRA Rule 2111's suitability requirements on multiple grounds. Rule 2111 mandates that a broker-dealer or associated person have a reasonable basis to believe that a recommendation is suitable based on the customer's investment profile, which includes age, financial situation, risk tolerance, investment objectives, time horizon, and needs.

First, Webb failed to satisfy the reasonable-basis suitability obligation under Rule 2111(a). This component requires the representative to perform reasonable diligence to understand the product's risks and features. Leveraged inverse ETFs are complex instruments subject to daily rebalancing that can cause significant value erosion when held beyond short

periods, particularly in volatile markets. Webb's attendance at a single 45-minute webinar was manifestly insufficient to develop the understanding necessary to recommend this product. FINRA has consistently emphasized through guidance that representatives must understand complex products before recommending them.

Second, Webb violated the customer-specific suitability obligation. Kowalski's documented profile--age 71, conservative risk tolerance, income-generation objective, 5-year time horizon, and reliance on portfolio income--was fundamentally incompatible with a leveraged inverse ETF designed for short-term tactical trading by sophisticated investors comfortable with substantial volatility. The \$170,000 allocation represented 50% of her entire portfolio, an excessive concentration in an unsuitable product.

Third, Webb failed to provide adequate disclosure of material risks, including daily rebalancing mechanics and volatility decay. While disclosure alone cannot cure an unsuitable recommendation, the absence of meaningful explanation compounded the violation.

Centennial Securities also failed its supervisory obligations under FINRA Rule 3110. The branch manager's approval without heightened scrutiny for a complex product recommended to a conservative senior investor represents a systemic supervision failure. Firms must establish and maintain supervisory systems reasonably designed to achieve compliance with applicable rules, particularly when complex products are involved.

The recommendation was unsuitable from inception, and Webb's subsequent advice to continue holding the position despite mounting losses further demonstrates his fundamental misunderstanding of the product's characteristics and disregard for his customer's best interests.

Key Factor

Webb recommended a complex leveraged inverse ETF requiring sophisticated understanding and short-term trading to a 71-year-old conservative investor seeking income, without adequate product knowledge or consideration of the customer's investment profile.

Item 439 of 499**NON-COMPLIANT**

Topic: fiduciary_duty_of_care_retirement_recommendation

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 Suitability

Source: 10_Academic_Articles

Fact Pattern

Margaret Thornton, age 67, retired from her position as a county librarian in March 2024 with a \$412,000 balance in her county-sponsored 457(b) deferred compensation plan. She had invested conservatively throughout her career, maintaining approximately 70% in stable value funds and 30% in a target-date retirement fund. Her annual pension income was \$38,000, and she had modest Social Security benefits of \$1,650 monthly. Margaret contacted Ridgeline Financial Advisors in April 2024, seeking guidance on whether to keep her 457(b) with the county plan or roll it over to an IRA. She explicitly stated her primary objectives were capital preservation and generating modest supplemental income to cover unexpected medical expenses, given her husband's recent diagnosis with Parkinson's disease.

Ridgeline's representative, Dennis Carver, recommended Margaret execute a full rollover to an IRA at Ridgeline and invest the proceeds into a portfolio consisting of 45% in sector-specific equity ETFs concentrated in technology and healthcare, 30% in high-yield corporate bond funds rated BB or below, and 25% in a variable annuity with a seven-year surrender period. Carver's written recommendation stated these investments would 'maximize growth potential while providing income flexibility.' The variable annuity carried annual fees of 2.85% and the equity ETFs had expense ratios averaging 0.75%.

Carver documented Margaret's risk tolerance as 'moderate growth' based on a questionnaire she completed, though Margaret later stated she did not understand several questions and thought 'moderate' meant her money would be safe from significant losses. Carver spent approximately 25 minutes with Margaret during their sole consultation and did not document any analysis of the county 457(b) plan's investment options, fee structure, or the tax implications of the rollover. The county plan offered institutional share class funds with expense ratios averaging 0.08% and had no surrender charges. Margaret signed the rollover paperwork the same day as her initial consultation. By December 2024, her portfolio had declined 18% in value due to sector volatility.

Question

Did Dennis Carver satisfy his fiduciary duty of care under Regulation Best Interest when recommending that Margaret Thornton roll over her 457(b) plan assets and invest in the recommended portfolio?

Answer

Dennis Carver violated Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii). The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation; have a reasonable basis to believe the recommendation is in the retail customer's best interest; and have a reasonable basis to believe a series of recommended transactions is not excessive.

First, Carver failed to demonstrate reasonable diligence regarding the rollover recommendation itself. Reg BI requires that when recommending a rollover, the broker must consider the alternatives available in the existing plan, including fees, available investments, and services. Carver documented no analysis comparing the county 457(b) plan's institutional share class funds (0.08% expense ratios, no surrender charges) against the proposed IRA investments

(combined costs exceeding 2% annually with a seven-year surrender period on the annuity). This comparative analysis is essential to establishing a reasonable basis for the rollover recommendation.

Second, the recommended investment allocation was inconsistent with Margaret's stated investment profile. A 67-year-old retiree who explicitly articulated capital preservation objectives, has a spouse with a serious medical diagnosis, and needs liquidity for potential healthcare expenses should not be placed in a portfolio with 45% sector-concentrated equities and 30% below-investment-grade bonds. The customer-specific suitability prong requires alignment between recommendations and the customer's investment profile, including risk tolerance, time horizon, and liquidity needs.

Third, the risk tolerance documentation appears unreliable. Margaret indicated confusion about the questionnaire, yet Carver proceeded with the transaction after only 25 minutes of consultation. Reasonable diligence requires ensuring the customer understands the questions forming the basis of the investment profile.

Carver cannot defend the recommendation by pointing to signed paperwork or the completed questionnaire. Reg BI requires substantive analysis, not merely procedural compliance. The combination of inadequate rollover analysis, misaligned asset allocation, excessive costs, and insufficient customer consultation demonstrates a clear failure to satisfy the Care Obligation.

Key Factor

Carver failed to document any comparative analysis of the existing 457(b) plan versus the proposed IRA rollover and recommended a high-risk, high-cost portfolio inconsistent with the customer's explicit capital preservation objectives and liquidity needs.

Item 440 of 499**NON-COMPLIANT**

Topic: fiduciary_duty_self_dealing_investment_recommendations

Difficulty: hard

Standard: Investment Advisers Act Section 206(1) and 206(2); SEC fiduciary duty of care and loyalty for registered investment advisers

Source: 11_Case_Law

Fact Pattern

Margaret Thornton, age 74, was a retired schoolteacher with a modest portfolio of approximately \$485,000 in retirement savings, held across three accounts managed by Pacific Ridge Wealth Advisors, a registered investment adviser. Her investment objectives, documented in her client profile updated in March 2021, were income generation and capital preservation, with a conservative risk tolerance. She relied on this portfolio to supplement her pension income of \$2,800 per month.

Her adviser, David Kessler, was a managing partner at Pacific Ridge and also held significant ownership interests in several private real estate syndication entities. Beginning in June 2021, Kessler recommended that Mrs. Thornton invest \$175,000 of her retirement funds into Ridgeline Capital Partners III, a private real estate limited partnership in which Kessler personally held a 22% ownership stake. Kessler presented the investment as offering 'stable income with minimal risk,' projecting annual distributions of 8-9%.

The Ridgeline offering memorandum, which Mrs. Thornton was not provided until after signing subscription documents, disclosed that the fund invested in speculative development projects, had no guaranteed distributions, imposed a 7-year lockup period, and charged a 2% annual management fee plus 20% carried interest payable to the general partner--an entity Kessler controlled. The fund's structure meant Kessler would personally receive approximately \$38,500 in management fees and potential profit participation from Mrs. Thornton's investment alone over the investment period.

In October 2022, Ridgeline Capital Partners III suspended distributions due to cost overruns on its primary development project. Mrs. Thornton, now facing liquidity constraints and unable to access her funds, filed a complaint alleging breach of fiduciary duty and unsuitable investment recommendations.

Question

Did David Kessler breach his fiduciary duty to Mrs. Thornton by recommending an investment in a private real estate partnership in which he held a significant personal financial interest, given her conservative profile and income needs?

Answer

David Kessler breached his fiduciary duty to Mrs. Thornton under Investment Advisers Act Section 206, which imposes upon investment advisers a fiduciary duty encompassing both a duty of care and a duty of loyalty. The recommendation was unsuitable and infected by disqualifying self-interest.

First, regarding the duty of care: Section 206 requires advisers to provide advice that is in the client's best interest based on the client's objectives and circumstances. Mrs. Thornton's documented profile specified conservative risk tolerance, income generation, and capital preservation--objectives fundamentally incompatible with speculative private real estate development investments. The 7-year lockup period was particularly inappropriate for a 74-year-old retiree

dependent on her portfolio for income supplementation. Committing 36% of her retirement assets to an illiquid, speculative investment with no guaranteed distributions directly contradicted her stated needs and constituted a failure of the adviser's care obligation.

Second, regarding the duty of loyalty: Section 206(2) prohibits advisers from engaging in transactions that operate as a fraud or deceit upon clients, including undisclosed self-dealing. Kessler's 22% ownership in Ridgeline and his control over the fee-generating general partner created a severe conflict of interest. He stood to receive substantial personal compensation--management fees and carried interest--directly from Mrs. Thornton's investment. This conflict should have been fully disclosed before the recommendation and likely should have precluded the recommendation entirely given the fundamental incompatibility with Mrs. Thornton's investment profile. The SEC has consistently held that advisers cannot place their own interests ahead of clients' interests.

Kessler cannot defend by arguing disclosure cured the breach because the offering memorandum was provided only after Mrs. Thornton signed subscription documents. Moreover, even with disclosure, recommending a fundamentally unsuitable investment that enriches the adviser cannot satisfy fiduciary standards. The combination of investment unsuitability and undisclosed material self-dealing constitutes clear violations of Sections 206(1) and 206(2) of the Investment Advisers Act.

Key Factor

The adviser recommended a speculative, illiquid investment to a conservative elderly client while personally benefiting from substantial undisclosed financial interests in the recommended investment.

Item 441 of 499**NON-COMPLIANT**

Topic: suitability_complex_product_senior_investor

Difficulty: hard

Standard: Investment Advisers Act of 1940 Sections 206(1) and 206(2); SEC fiduciary duty of care requiring reasonable belief that advice is in client's best interest based on client's investment profile, objectives, and financial situation

Source: 05_SEC_Exam_Findings

Fact Pattern

Ridgemont Capital Advisors, LLC, a registered investment adviser based in Scottsdale, Arizona, managed approximately \$340 million in client assets as of December 2023. Harold Finch, a 74-year-old retired aerospace engineer, became a client of Ridgemont in March 2024 after attending a retirement planning seminar hosted by the firm. During his initial consultation with portfolio manager Derek Vance, Finch disclosed that his entire liquid net worth consisted of \$1.2 million in a traditional IRA rollover from his former employer's 401(k) plan, plus \$180,000 in a brokerage account. Finch stated his primary objectives were capital preservation and generating modest income to supplement his Social Security benefits of \$2,800 per month. He explicitly noted on his client profile questionnaire that he had 'low' risk tolerance and described his investment knowledge as 'basic--mostly index funds and CDs.' Finch also mentioned he was managing early-stage Parkinson's disease and wanted to ensure liquidity for potential medical expenses.

Despite this profile, Vance recommended that Finch allocate \$720,000--60% of his IRA--to a portfolio of structured notes linked to the performance of a basket of emerging market equities, with principal protection triggered only if the underlying index did not decline more than 30% over the five-year term. Vance explained the notes offered 'downside protection' and potential returns of 8-10% annually, emphasizing the principal protection feature while downplaying the conditional nature of that protection. The structured notes carried a 3.5% upfront commission paid to Ridgemont, significantly higher than the 0.75% advisory fee on traditional managed accounts.

Vance documented the recommendation in a brief internal memo stating only that 'client seeks income and some growth; structured notes provide both with downside buffer.' There was no analysis of Finch's liquidity needs, time horizon relative to his age and health, or comparison of the structured notes' risk profile against his stated low risk tolerance. By September 2024, the underlying emerging market index had declined 18%, and Finch expressed concern about his inability to access the invested funds without substantial early redemption penalties. He subsequently filed a complaint with Ridgemont's compliance department.

Question

Did Ridgemont Capital Advisors and portfolio manager Derek Vance fulfill their fiduciary duty of care when recommending the structured note allocation to Harold Finch?

Answer

No, Ridgemont Capital Advisors and Derek Vance violated their fiduciary duty of care under the Investment Advisers Act of 1940, specifically Section 206(1) and (2), which impose a fiduciary obligation requiring advisers to act in the best interest of their clients and provide advice suitable to each client's particular circumstances.

The duty of care requires an investment adviser to have a reasonable belief that the advice provided is in the client's

best interest based on the client's objectives, risk tolerance, financial situation, and other relevant factors. Here, multiple elements of the recommendation were fundamentally inconsistent with Finch's documented profile. First, Finch explicitly indicated low risk tolerance and basic investment knowledge, yet structured notes linked to emerging market equities represent a complex, higher-risk product category that requires sophisticated understanding of conditional principal protection, index correlation, and illiquidity risks. Second, Finch's age (74), health condition (early Parkinson's), and stated need for liquidity to cover potential medical expenses made a five-year illiquid investment with substantial early redemption penalties clearly inappropriate for his circumstances. Third, allocating 60% of his retirement assets to a single complex product category violated basic diversification principles and concentrated risk in a manner inconsistent with capital preservation objectives.

Vance's documentation was woefully inadequate, failing to demonstrate any meaningful analysis of suitability factors as required under an adviser's fiduciary obligations. The SEC has consistently held that advisers must conduct reasonable inquiry into client circumstances and document the basis for recommendations. The cursory internal memo referencing 'income and growth' ignored Finch's explicit capital preservation objective, low risk tolerance, and liquidity requirements.

The elevated commission structure (3.5% versus 0.75%) further suggests the recommendation may have been driven by compensation considerations rather than client interest, compounding the breach of fiduciary duty. While compensation alone does not establish a violation, it heightens scrutiny when recommendations appear misaligned with client profiles.

Ridgemont's conduct represents a clear failure to satisfy the fiduciary standard of care owed to advisory clients under Advisers Act Section 206.

Key Factor

The adviser recommended a complex, illiquid five-year structured product to a 74-year-old client with explicitly stated low risk tolerance, capital preservation objectives, and documented liquidity needs for medical expenses, without any documented suitability analysis.

Item 442 of 499

NON-COMPLIANT

Topic: unsuitable_reit_recommendation_elderly_client

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 78, was a widow living in Scottsdale, Arizona on a fixed income consisting of Social Security benefits of \$2,100 per month and a small pension of \$800 per month. Her total liquid net worth was approximately \$185,000, held primarily in certificates of deposit and a money market account at her local bank. In September 2019, she met with Thomas Hendricks, a registered representative with Pinnacle Wealth Advisors, Inc., after attending a free lunch seminar on 'Maximizing Your Retirement Income.' Hendricks reviewed Mrs. Ellison's financial situation and noted on her client profile form that her investment objective was 'income with capital preservation' and her risk tolerance was 'conservative.' She explicitly stated she could not afford to lose principal and needed reliable monthly income to supplement her fixed sources.

Despite these clearly documented constraints, Hendricks recommended that Mrs. Ellison invest \$95,000--more than half her liquid net worth--in a non-traded Real Estate Investment Trust (REIT) called Meridian Commercial Properties REIT II. The product had a seven-year holding period, no secondary market, limited redemption rights (capped at 5% of shares annually after two years), and substantial front-end fees totaling 12% of the investment. Hendricks earned a 7% commission on the sale. The prospectus disclosed that distributions were not guaranteed and could be funded partially from offering proceeds rather than operating income.

By March 2021, the REIT suspended distributions entirely due to commercial real estate vacancies caused by economic disruption. Mrs. Ellison, now 80 and facing unexpected medical expenses, attempted to redeem her shares but was informed the redemption program had been suspended. Her investment was effectively illiquid, and the estimated NAV had declined by approximately 35%. Hendricks had not disclosed to Mrs. Ellison that the REIT's distribution history showed prior reliance on return of capital rather than operating income, nor did he explain the practical implications of the seven-year hold period for someone of her age.

Question

Did Thomas Hendricks' recommendation that Margaret Ellison invest \$95,000 in a non-traded REIT violate FINRA's suitability requirements given her age, income needs, risk tolerance, and liquidity constraints?

Answer

Yes, Hendricks' recommendation clearly violated FINRA Rule 2111 (Suitability). The rule requires that a broker have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon.

Under Rule 2111's customer-specific suitability obligation (Rule 2111(a)), Hendricks was required to analyze Mrs. Ellison's particular circumstances before recommending the REIT. The facts demonstrate multiple suitability failures. First, concentration risk: investing \$95,000 of her \$185,000 liquid net worth (51%) in a single illiquid product with a seven-year hold period was grossly disproportionate for a 78-year-old client with limited income sources. Second,

liquidity mismatch: Mrs. Ellison's documented need for income and capital preservation was fundamentally incompatible with a product offering limited redemption rights, no secondary market, and distributions that could be suspended. Third, risk tolerance violation: a non-traded REIT with 35% NAV decline potential and distribution uncertainty is inconsistent with a 'conservative' risk profile and explicit instruction that she could not afford principal loss. Fourth, time horizon: at age 78, a seven-year holding period created substantial actuarial risk that Mrs. Ellison would need access to these funds before liquidity was available.

The 12% front-end load further undermined the recommendation's suitability, as it required substantial appreciation merely to recover principal. FINRA has consistently emphasized through enforcement actions and guidance that non-traded REITs require heightened suitability analysis due to their complexity, illiquidity, and fee structures. Hendricks' failure to adequately explain the distribution funding mechanism (return of capital versus operating income) also raises concerns under FINRA Rule 2010's just and equitable principles of trade.

Hendricks cannot claim reasonable-basis suitability under Rule 2111.05(a) as a defense because the violation here is customer-specific--his own documentation of Mrs. Ellison's conservative profile contradicted the recommendation. The substantial commission earned suggests the recommendation served the broker's interest rather than the customer's.

Key Factor

Recommending that a 78-year-old widow with conservative risk tolerance and documented liquidity needs invest over 50% of her liquid assets in an illiquid, seven-year hold non-traded REIT was fundamentally unsuitable regardless of product merit.

Item 443 of 499**NON-COMPLIANT**

Topic: complex_product_suitability_day_trading

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Clearview Trading Services LLC is a broker-dealer headquartered in Hartford, Connecticut that provides clearing services for day traders and institutional customers across equities, options, and fixed income products. In September 2021, registered representative Marcus Whitfield opened an account for Helen Cartwright, a 67-year-old recently retired elementary school teacher with a modest pension and \$285,000 in liquid savings representing substantially all of her retirement assets. Mrs. Cartwright indicated on her new account form that she had 'limited' investment experience, a 'conservative' risk tolerance, and an investment objective of 'income and capital preservation' to supplement her pension during retirement.

Despite these documented customer profile characteristics, Whitfield recommended that Mrs. Cartwright allocate \$175,000 to an active day trading strategy utilizing leveraged ETFs and options on volatile technology sector securities. Whitfield explained to Mrs. Cartwright that day trading could generate 'consistent monthly income' to supplement her pension and that he would personally monitor the positions. He provided her with literature about the firm's sophisticated trading platform but did not adequately explain the mechanics of leveraged products, the risks of rapid capital depletion, or the statistical probability of loss for retail day traders.

Over the following eight months through May 2022, Mrs. Cartwright's account experienced 847 round-trip transactions. The account declined in value from \$175,000 to \$42,300, representing a loss of approximately 76% of the invested capital. Transaction costs including commissions totaled \$31,200 during this period. Whitfield's supervisor, Branch Manager David Kellerman, was aware that the firm provided clearing services for day trading accounts but never reviewed whether Mrs. Cartwright's customer profile was compatible with the recommended strategy before or during the trading activity.

Question

Did the recommendation of an active day trading strategy using leveraged ETFs and options violate suitability obligations under FINRA rules given Mrs. Cartwright's documented investment profile?

Answer

The recommendation clearly violated FINRA Rule 2111 suitability requirements and FINRA Rule 2010's standards of commercial honor. Under Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111(a) establishes three distinct suitability obligations: reasonable-basis, customer-specific, and quantitative suitability.

First, regarding customer-specific suitability under Rule 2111.05(a), Whitfield failed entirely to match the recommendation to Mrs. Cartwright's documented profile. She was a 67-year-old retiree with conservative risk tolerance, limited investment experience, and income/capital preservation objectives. Her \$285,000 represented substantially all of her retirement assets. Day trading leveraged ETFs and options is among the most speculative and

high-risk strategies available, fundamentally incompatible with conservative investors seeking capital preservation.

Second, the quantitative suitability component was violated given the 847 round-trip transactions over eight months. Rule 2111.05(c) requires that even if a series of recommended transactions are suitable when viewed individually, the quantity must not be excessive in light of the customer's profile. The turnover ratio and cost-to-equity ratio here indicate classic excessive trading patterns inconsistent with any legitimate customer objective.

Third, reasonable-basis suitability under Rule 2111.05(a) requires the representative to understand the product's risks and characteristics. Leveraged ETFs are explicitly designed for short-term trading by sophisticated investors who understand daily rebalancing and volatility decay. Recommending these products to an unsophisticated retiree without proper explanation demonstrates inadequate product due diligence.

The supervisory failure by Branch Manager Kellerman constitutes a separate violation of FINRA Rule 3110, which requires member firms to establish supervisory systems reasonably designed to achieve compliance with applicable rules. The branch manager's failure to review account suitability despite awareness of the day trading activity represents a material supervisory lapse. No defense exists here; the recommendation was patently unsuitable and the resulting 76% capital loss was foreseeable given the mismatch between strategy and customer profile.

Key Factor

Recommending a high-risk day trading strategy using leveraged ETFs and options to a 67-year-old conservative retiree with limited investment experience and capital preservation objectives represented a fundamental mismatch between the customer profile and the recommended strategy.

Item 444 of 499**NON-COMPLIANT**

Topic: unsuitable_variable_annuity_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability) including customer-specific and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 73, was a retired elementary school teacher with a modest pension of \$2,400 monthly and approximately \$285,000 in savings, representing her entire liquid net worth accumulated over her career. In March 2022, she met with registered representative Daniel Vasquez at Bayshore Investment Services, LLC, to discuss safe income-generating options for her retirement years. Mrs. Ellison explicitly stated during the account opening process that she needed reliable income to supplement her pension, had a conservative risk tolerance, and could not afford to lose principal as she had no other family support. Her investment objective was documented as 'income and capital preservation,' and her time horizon was noted as 5-7 years given her age and health considerations.

Despite this documented profile, Vasquez recommended that Mrs. Ellison invest \$210,000--approximately 74% of her liquid assets--into the Pinnacle Growth Variable Annuity, a product featuring a seven-year surrender period with declining surrender charges starting at 7% in the first year. The annuity's subaccounts were allocated 65% to aggressive growth equity funds and 25% to emerging market funds, with only 10% in fixed income options. Vasquez emphasized the tax-deferred growth benefits and a death benefit rider, but did not adequately explain the surrender charges, the market risk inherent in the subaccount allocations, or the ongoing annual fees totaling approximately 3.2% including mortality and expense charges, administrative fees, and subaccount expenses.

Within eighteen months, by September 2023, the variable annuity had declined in value to approximately \$164,000 due to market volatility in the growth and emerging market subaccounts. When Mrs. Ellison attempted to access funds for unexpected medical expenses, she discovered she would face a surrender charge of approximately \$8,200 in addition to her realized losses. She filed a FINRA arbitration claim against Bayshore Investment Services alleging unsuitable recommendations and breach of fiduciary duty, seeking recovery of her losses totaling over \$54,000 including the prospective surrender penalty.

Question

Did Daniel Vasquez's recommendation of the aggressive variable annuity violate FINRA suitability requirements given Mrs. Ellison's documented investment profile and financial circumstances?

Answer

The recommendation clearly violated FINRA Rule 2111 (Suitability) across multiple dimensions. Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Regarding customer-specific suitability under Rule 2111(a), Vasquez failed to align his recommendation with Mrs. Ellison's documented profile. Her stated objectives were income and capital preservation with conservative risk tolerance, yet 90% of the annuity subaccounts were allocated to aggressive growth and emerging market

equities--products antithetical to capital preservation. At age 73 with a 5-7 year time horizon, the seven-year surrender period created an unreasonable liquidity constraint, particularly given that the invested amount represented 74% of her total liquid assets.

The quantitative suitability component is also implicated. Concentrating nearly three-quarters of a retiree's liquid net worth in a single illiquid product with high fees (3.2% annually) and significant market exposure demonstrates disregard for reasonable diversification and cost considerations. FINRA has consistently emphasized that recommendations must be evaluated in the context of the customer's entire financial situation.

Vasquez cannot rely on the defense that Mrs. Ellison signed disclosure documents. Under Rule 2111.05(a), suitability obligations apply regardless of whether the customer accepts or acknowledges the risks. The representative's obligation is independent--mere disclosure does not cure an unsuitable recommendation.

Additionally, Rule 2010 (Standards of Commercial Honor) is violated when a representative places a customer in manifestly inappropriate investments. The combination of advanced age, limited resources, documented conservative objectives, and the aggressive, illiquid, high-cost product recommended demonstrates a failure to observe high standards of commercial honor and just and equitable principles of trade.

The arbitration panel would likely find in favor of the claimant, with damages calculated based on the difference between the investment performance and a suitable alternative aligned with her stated objectives.

Key Factor

The representative recommended an aggressive, illiquid variable annuity with a seven-year surrender period to a 73-year-old conservative investor who explicitly needed income and capital preservation, concentrating 74% of her liquid assets in a product fundamentally misaligned with her documented profile.

Item 445 of 499**NON-COMPLIANT**

Topic: suitability_of_speculative_investment_for_elderly_customer

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2111.03 (Suitability Safe Harbor Limitations)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 78, was a retired schoolteacher with a modest pension of \$2,400 per month and savings totaling approximately \$185,000 in her brokerage account at Midwest Capital Securities, Inc. Her account documents from March 2018 clearly indicated a conservative risk tolerance, income generation as her primary investment objective, and a time horizon of less than five years. Mrs. Thornton had explicitly noted on her new account form that she could not afford to lose principal and needed her savings to supplement her fixed income for living expenses and potential healthcare costs.

Her registered representative, Kevin Marchetti, recommended in April 2018 that Mrs. Thornton invest \$95,000--more than half of her liquid net worth--in a speculative biotechnology sector fund that focused on early-stage pharmaceutical companies awaiting FDA approval. Marchetti explained that the fund had generated 45% returns the previous year and represented an excellent growth opportunity. He did not discuss the fund's prospectus disclosure that it was suitable only for investors who could withstand substantial volatility and potential total loss of principal.

By February 2019, the biotechnology fund had declined 62% in value, reducing Mrs. Thornton's \$95,000 investment to approximately \$36,100. She filed a complaint with Midwest Capital Securities alleging that Marchetti had misrepresented the investment and recommended an unsuitable product. The firm's compliance records showed that Marchetti had documented Mrs. Thornton's risk tolerance as 'aggressive' on the order ticket for the biotechnology fund purchase, contradicting her new account documentation. The firm's supervisory system had not flagged the discrepancy between the customer profile and the recommendation.

Mrs. Thornton subsequently passed away in November 2020. Her estate pursued the claim, and the matter proceeded to FINRA arbitration. Marchetti's counsel argued that Mrs. Thornton had verbally agreed to take on more risk for potential higher returns and that the subsequent market decline was unforeseeable.

Question

Did registered representative Kevin Marchetti violate his suitability obligations under FINRA rules when he recommended the speculative biotechnology fund to Margaret Thornton?

Answer

Kevin Marchetti violated FINRA Rule 2111 (Suitability) when he recommended the speculative biotechnology fund to Margaret Thornton. The rule requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on reasonable diligence to ascertain the customer's investment profile, including age, financial situation, risk tolerance, time horizon, and investment objectives.

Rule 2111 establishes three suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Here, the customer-specific suitability component is dispositive. Mrs. Thornton's documented

profile--a 78-year-old retiree with conservative risk tolerance, income-focused objectives, a short time horizon, and explicit statements that she could not afford principal loss--was fundamentally incompatible with a speculative biotechnology sector fund investing in early-stage companies subject to binary FDA approval outcomes.

The concentration of over 51% of her liquid assets in a single speculative sector fund compounded the violation. FINRA has consistently held that recommendations must account for the customer's overall portfolio composition and ability to withstand losses. Mrs. Thornton's reliance on her savings for essential living expenses made any speculative investment inappropriate, let alone one consuming the majority of her assets.

Marchetti's defense that Mrs. Thornton verbally consented to aggressive investing fails for two reasons. First, FINRA Rule 2111.03 explicitly states that a customer's stated willingness to accept risk does not relieve a broker of suitability obligations; the recommendation must still be consistent with the customer's actual financial situation and needs. Second, Marchetti's notation of 'aggressive' risk tolerance on the order ticket, contradicting her official account documentation, suggests an attempt to manufacture after-the-fact justification rather than genuine informed consent.

Marchetti also violated FINRA Rule 2010 (Standards of Commercial Honor) by failing to observe high standards of commercial honor and just and equitable principles of trade. The discrepancy between documented customer profile and order ticket notations reflects conduct inconsistent with a broker's fundamental ethical obligations. The recommendation was unsuitable, and damages equal to Mrs. Thornton's losses plus costs would be appropriate.

Key Factor

The recommendation of a speculative, high-volatility investment consuming over half of a 78-year-old conservative investor's liquid assets directly contradicted her documented risk tolerance, time horizon, and stated inability to afford principal loss.

Item 446 of 499

NON-COMPLIANT

Topic: best_execution_and_soft_dollar_suitability

Difficulty: hard

Standard: Investment Advisers Act Section 206 fiduciary duty; Exchange Act Section 28(e) soft dollar safe harbor; SEC interpretive guidance on best execution obligations

Source: 09_Law_Firm_Memos

Fact Pattern

Ridgecrest Capital Advisors, LLC is a registered investment adviser managing approximately \$450 million in client assets across 127 discretionary accounts. In March 2023, the firm's Chief Investment Officer, Harold Brennan, implemented a new trading arrangement with executing broker Kingsley Securities whereby Ridgecrest would direct trades through Kingsley in exchange for proprietary research reports and access to an investment analytics platform. The arrangement resulted in Ridgecrest paying average commissions of \$0.08 per share through Kingsley, compared to \$0.03 per share available through alternative executing brokers offering comparable execution quality.

Margaret Holloway, age 67, is a retired hospital administrator with a moderate risk tolerance, an investment objective of capital preservation with modest income generation, and a total portfolio of \$1.2 million managed by Ridgecrest. Her account traded approximately 45,000 shares monthly between March 2023 and November 2023, generating approximately \$32,400 in excess commission costs attributable to the Kingsley arrangement over this period. Mrs. Holloway's Investment Policy Statement specifically emphasized cost-consciousness and stated that 'minimizing transaction costs is a priority given the client's retirement income needs.'

Brennan justified the arrangement internally by noting that the Kingsley research platform provided valuable sector analysis that benefited all Ridgecrest clients collectively. However, Mrs. Holloway's portfolio was concentrated in large-cap dividend-paying equities and municipal bonds--asset classes for which Kingsley's research coverage was minimal. The research predominantly covered small-cap growth equities and emerging market securities, neither of which appeared in Mrs. Holloway's portfolio or aligned with her investment objectives.

Ridgecrest's Form ADV Part 2A disclosed that the firm 'may utilize soft dollar arrangements' but did not quantify the cost differential or explain how the benefits would be allocated across client accounts. The firm conducted no individualized analysis of whether the excess commission costs were justified for clients like Mrs. Holloway whose portfolios derived no direct benefit from the research obtained.

Question

Did Ridgecrest Capital Advisors meet its fiduciary duty of care and best execution obligations in directing Mrs. Holloway's trades through the Kingsley Securities arrangement?

Answer

Ridgecrest Capital Advisors violated its fiduciary duty under Investment Advisers Act Section 206 and failed to meet its best execution obligations with respect to Mrs. Holloway's account. While Section 28(e) of the Exchange Act provides a safe harbor for soft dollar arrangements, this safe harbor does not eliminate an adviser's underlying fiduciary obligations--it merely provides protection from breach of fiduciary duty claims when properly utilized.

The SEC's interpretive guidance emphasizes that an asset manager's fiduciary role includes the duty to obtain best

execution, requiring the manager to 'execute securities transactions for clients in such a manner that the client's total cost or proceeds in each transaction are the most favorable under the circumstances.' Ridgecrest systematically failed this standard.

First, the cost differential was substantial and unjustified. Mrs. Holloway paid \$32,400 in excess commissions over nine months--representing nearly 2.7% of her portfolio value annually in unnecessary friction costs alone. For a 67-year-old retiree with capital preservation objectives and explicit cost-consciousness documented in her IPS, this directly contravened her stated investment parameters.

Second, the research obtained provided no identifiable benefit to Mrs. Holloway's portfolio. The Kingsley platform covered small-cap growth and emerging markets, while her holdings were limited to large-cap dividend equities and municipal bonds. The SEC has consistently held that advisers using soft dollars must reasonably believe the research will benefit clients. Ridgecrest conducted no individualized analysis to support such a belief for Mrs. Holloway specifically.

Third, the disclosure in Form ADV Part 2A was inadequate to cure the fiduciary breach. Generic disclosure that soft dollars 'may' be utilized does not satisfy the adviser's obligation to act in each client's best interest, particularly where the arrangement systematically disadvantages certain client profiles.

Ridgecrest might argue the collective research benefited all clients through improved firm-wide investment decisions. However, this argument fails where, as here, the specific client bore disproportionate costs for research inapplicable to her portfolio composition and objectives. The duty of care requires individualized consideration, which Ridgecrest demonstrably failed to provide.

Key Factor

Ridgecrest directed Mrs. Holloway's trades through a higher-cost broker to obtain research that provided no benefit to her specific portfolio composition, violating the individualized duty of care and best execution obligations.

Item 447 of 499**NON-COMPLIANT**

Topic: unsuitable_concentrated_position_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111.05 (Components of Suitability), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 67, was a retired schoolteacher with a \$485,000 IRA representing her entire retirement savings. In March 2019, she became a client of registered representative Daniel Vargas at Pinnacle Investment Partners, LLC. During onboarding, Ms. Holloway completed a new account form indicating a conservative risk tolerance, income-focused investment objective, a 10-year time horizon, and annual income of \$42,000 from Social Security and a small pension. She explicitly noted that capital preservation was essential as she had no other liquid assets.

Mr. Vargas recommended that Ms. Holloway invest \$340,000 (approximately 70% of her portfolio) into a single high-yield corporate bond fund, Apex High Yield Credit Fund Class C, which invested primarily in below-investment-grade securities rated BB or lower. The fund's prospectus disclosed volatility significantly higher than investment-grade alternatives and noted that investors should be prepared to accept principal fluctuations of 15-25% annually. The C-share class carried a 1% annual 12b-1 fee and a contingent deferred sales charge.

Mr. Vargas documented in his notes that the 6.8% yield would 'meet the client's income needs' and that high-yield bonds were 'appropriate for income investors.' He did not document any analysis of concentration risk, the client's ability to withstand principal losses, or alternative investment options that might achieve income objectives with lower volatility. He also failed to discuss or document the liquidity implications of the C-share structure for a retiree who might need access to funds.

By March 2020, the position had declined by \$78,200 (23%) during the COVID-19 market disruption. Ms. Holloway was forced to liquidate a portion at depressed prices to cover unexpected medical expenses, realizing substantial losses and incurring the CDSC. She filed a FINRA arbitration claim in June 2020 alleging unsuitable recommendations.

Question

Did Mr. Vargas's recommendation to concentrate 70% of Ms. Holloway's retirement portfolio in a high-yield bond fund violate his suitability obligations under FINRA rules?

Answer

The recommendation violated FINRA Rule 2111 suitability requirements and likely FINRA Rule 2010's just and equitable principles of trade. The analysis reveals failures across all three suitability components.

Regarding reasonable-basis suitability under Rule 2111(a), while Mr. Vargas may have understood the high-yield fund's general characteristics, he failed to adequately consider how a 70% concentrated position in below-investment-grade securities would behave under stress conditions. His documentation that high-yield bonds are 'appropriate for income investors' reflects an insufficient analysis given the fund's disclosed 15-25% annual volatility potential.

The customer-specific suitability violation is most pronounced. Rule 2111.05(a) requires that recommendations be suitable based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Ms. Holloway was 67 years old with a conservative risk tolerance, income-focused objective emphasizing capital preservation, and no other liquid assets. Concentrating 70% of her sole retirement account in volatile below-investment-grade securities directly contradicted these documented characteristics. The FINRA Rule 2111 Supplementary Material .04 emphasizes that a representative must have a reasonable basis for believing the specific recommendation is suitable for the particular customer.

The quantitative suitability component under Rule 2111.05(c) also applies here, as the concentration level itself constitutes an unsuitable strategy regardless of the individual security's merits. A 70% allocation to a single volatile asset class for a capital-preservation-focused retiree lacks any reasonable justification.

Mr. Vargas's defense that the yield met income needs fails because suitability analysis must consider total return expectations and risk capacity, not merely income generation. The selection of C-shares with their ongoing 12b-1 fees and CDSC for a retiree who might need liquidity further evidences inadequate customer-specific analysis.

The panel would likely find that the recommendation was unsuitable, and that Ms. Holloway's losses were proximately caused by this unsuitable concentration strategy. Compensatory damages would appropriately include realized losses, CDSC charges incurred, and potentially the excess fees paid on the C-share structure.

Key Factor

Concentrating 70% of a conservative, capital-preservation-focused retiree's sole retirement account in volatile below-investment-grade securities directly contradicted her documented risk tolerance and investment objectives.

Item 448 of 499**NON-COMPLIANT**

Topic: investment_adviser_fiduciary_duty_portfolio_management

Difficulty: hard

Standard: Investment Advisers Act of 1940 fiduciary duty; SEC Interpretation Regarding Standard of Conduct for Investment Advisers (June 2019); common law fiduciary principles

Source: 07_Practitioner_Commentary

Fact Pattern

Eleanor Whitfield, age 72, is a retired schoolteacher who engaged Horizon Wealth Partners, LLC, a registered investment adviser, in March 2022 to manage her \$890,000 retirement portfolio. During her initial consultation with Marcus Chen, the firm's senior portfolio manager, Eleanor clearly articulated her investment objectives: capital preservation with modest income generation to supplement her \$2,400 monthly pension and Social Security benefits. She explicitly stated she had 'no stomach for risk' following significant losses during the 2008 financial crisis and indicated she would need to begin taking regular distributions of approximately \$3,000 per month beginning in January 2023 to cover living expenses and healthcare costs.

Marcus documented Eleanor's risk tolerance as 'conservative' in her Investment Policy Statement and noted her investment time horizon as 'short-term to intermediate' given her age and anticipated distribution needs. However, between April 2022 and November 2022, Marcus constructed a portfolio consisting of 45% in small-cap growth equities, 25% in emerging market ETFs, 12% in high-yield corporate bonds rated below investment grade, and only 18% in Treasury securities and money market funds. Marcus believed the growth-oriented approach would 'make up for lost time' and generate superior long-term returns, despite Eleanor's stated objectives.

By December 2022, amid market volatility, Eleanor's portfolio had declined to \$671,000--a loss of approximately \$219,000 or 24.6%. When Eleanor contacted Marcus to begin her planned January 2023 distributions, she discovered her portfolio could no longer sustain her anticipated withdrawal schedule without rapidly depleting principal. Marcus defended his strategy by pointing to his fifteen years of investment experience and his belief that 'markets always recover.' The advisory agreement granted Marcus full discretionary authority and contained a provision stating the firm would manage assets 'consistent with client objectives as determined by the adviser in its professional judgment.'

Question

Did Marcus Chen and Horizon Wealth Partners breach their fiduciary duty of care by constructing a growth-oriented portfolio for Eleanor Whitfield despite her clearly stated conservative investment objectives and near-term liquidity needs?

Answer

Yes, Marcus Chen and Horizon Wealth Partners breached their fiduciary duty of care owed to Eleanor Whitfield under the Investment Advisers Act of 1940. As the SEC has consistently interpreted, investment advisers owe their clients a fiduciary duty comprising duties of care and loyalty. The duty of care requires advisers to provide investment advice that is in the client's best interest, which necessarily means the advice must be suitable for the client based on the client's investment profile, including stated objectives, risk tolerance, financial situation, and time horizon.

The breach here is unambiguous. Eleanor explicitly communicated three critical constraints: (1) a conservative risk tolerance with 'no stomach for risk,' (2) a capital preservation objective, and (3) an imminent need for regular monthly

distributions beginning January 2023. Marcus documented these factors in the Investment Policy Statement, acknowledging awareness of her profile. Despite this documented understanding, he constructed a portfolio with 82% allocated to volatile asset classes--small-cap growth equities, emerging markets, and below-investment-grade bonds--wholly inconsistent with capital preservation and short-term liquidity needs.

The fiduciary duty of care requires advisers to have a reasonable basis for their recommendations and to consider the client's circumstances, not substitute the adviser's own judgment for clearly articulated client objectives. Marcus's rationale of 'making up for lost time' reflects his investment philosophy, not Eleanor's stated needs. The discretionary authority granted in the advisory agreement does not insulate the adviser from fiduciary obligations; rather, it heightens the duty of care because the client has entrusted portfolio decisions entirely to the adviser's judgment.

The contractual language stating management would be 'consistent with client objectives as determined by the adviser' cannot be read to permit the adviser to override documented client instructions. Such an interpretation would eviscerate fiduciary protection. The resulting 24.6% loss and inability to sustain planned distributions demonstrate concrete harm directly caused by the unsuitable portfolio construction. Horizon Wealth Partners and Marcus Chen failed to act in Eleanor's best interest, breaching their fundamental fiduciary obligation.

Key Factor

The adviser constructed a growth-oriented portfolio with 82% in volatile assets despite documented client objectives of capital preservation, conservative risk tolerance, and imminent distribution needs.

Item 449 of 499**NON-COMPLIANT**

Topic: churning_excessive_trading_suitability

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2010 (Standards of Commercial Honor), 3110 (Supervision)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Donovan, age 68, retired in March 2018 from her position as a school administrator in Syracuse, New York. She opened a brokerage account at Kensington Capital Partners, LLC in April 2018, depositing \$485,000 representing her life savings, including proceeds from her late husband's life insurance policy and her pension lump-sum distribution. On her new account form, Mrs. Donovan indicated a conservative risk tolerance, income and capital preservation as her investment objectives, a 10-year time horizon, and annual income of \$32,000 from Social Security. Her liquid net worth was listed as \$520,000.

Her registered representative, Victor Santangelo, who held Series 7 and Series 63 licenses, initially recommended a diversified portfolio of investment-grade bonds and blue-chip dividend stocks. However, beginning in July 2018, Santangelo began executing frequent trades in speculative small-cap equities and options. Between July 2018 and November 2019, Santangelo executed 847 trades in Mrs. Donovan's account, generating an annualized turnover rate of 14.2 and a cost-to-equity ratio of 38.7%. The account generated \$187,340 in commissions and fees during this 16-month period, while Mrs. Donovan's account value declined from \$485,000 to \$218,600.

Kensington Capital Partners maintained written supervisory procedures that required branch managers to review accounts with turnover rates exceeding 4.0 and cost-to-equity ratios above 8%. Monthly exception reports flagged Mrs. Donovan's account beginning in September 2018, showing it consistently exceeded both thresholds. Branch manager Dennis Kowalski acknowledged receiving these reports but took no action beyond initialing them. When Mrs. Donovan called in October 2019 expressing concern about her declining account balance, Kowalski assured her that Santangelo was 'actively managing' her portfolio and that 'markets require patience.'

In December 2019, Mrs. Donovan retained independent counsel after discovering the extent of her losses. An expert analysis determined that Mrs. Donovan would have needed to earn returns of 38.7% annually just to break even after commissions--an impossibility given any reasonable investment strategy for her profile.

Question

Did Santangelo's trading activity in Mrs. Donovan's account violate FINRA's suitability requirements, and did Kensington Capital Partners fail in its supervisory obligations?

Answer

Both Santangelo and Kensington Capital Partners committed serious violations of FINRA rules. Santangelo's conduct constitutes churning and violates FINRA Rules 2111 (Suitability) and 2010 (Standards of Commercial Honor).

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, and investment objectives. The rule encompasses quantitative suitability, which requires that a broker with de facto control over an account not engage in trading that is excessive in light of the customer's profile.

The evidence overwhelmingly establishes quantitative unsuitability. Mrs. Donovan's profile--a 68-year-old retiree with conservative risk tolerance, income and preservation objectives, and limited liquid assets--is fundamentally incompatible with an annualized turnover rate of 14.2 and cost-to-equity ratio of 38.7%. FINRA guidance and case law consistently hold that turnover rates exceeding 6.0 and cost-to-equity ratios above 20% are presumptive indicators of churning. Santangelo exceeded both thresholds dramatically. The requirement that Mrs. Donovan earn 38.7% annually merely to break even demonstrates the trading was designed to generate commissions rather than serve client interests.

Kensington Capital Partners violated FINRA Rule 3110, which requires member firms to establish and maintain supervisory systems reasonably designed to achieve compliance with applicable rules. The firm's own WSPs established clear thresholds for escalated review, yet Kowalski's response to repeated exception report flags--merely initialing them without investigation--represents a textbook supervisory failure. His reassurance to Mrs. Donovan despite overwhelming red flags compounds this violation.

This case mirrors the findings in Castle Securities Corp., where the NAC affirmed sanctions for churning and supervisory failures based on ignored red flags. The combination of excessive commissions, customer complaints, and documented exception reports that received no meaningful response establishes willful disregard of supervisory obligations. Both Santangelo and Kensington are liable for the resulting customer harm.

Key Factor

The annualized turnover rate of 14.2 and cost-to-equity ratio of 38.7% far exceeded industry thresholds for churning, while the firm's branch manager ignored repeated exception report warnings documenting the excessive trading.

Item 450 of 499

NON-COMPLIANT

Topic: leveraged_etf_suitability_senior_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Hold Recommendations); FINRA Rule 3110 (Supervision); FINRA guidance on leveraged and inverse ETFs

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Holbrook, age 71, was a retired schoolteacher living in suburban Phoenix with her husband Gerald, who had recently been diagnosed with early-stage Parkinson's disease. In March 2023, Margaret met with registered representative Daniel Voss of Pinnacle Ridge Securities to discuss repositioning her \$485,000 investment portfolio, which represented her entire liquid net worth accumulated over 38 years of teaching. Margaret explicitly told Voss that she needed steady income to supplement her pension and Social Security, as Gerald's medical expenses were expected to increase substantially. She described herself as 'very conservative' and stated she could not afford to lose principal because they had no other financial safety net.

Voss, after reviewing Margaret's modest pension income of \$2,800 monthly and Social Security of \$1,950 monthly, recommended allocating \$145,500 (30% of her portfolio) to ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF tracking the Nasdaq-100 index. He explained this would 'supercharge her returns' and allow her to 'catch up' on retirement savings. Voss assured Margaret that he would 'keep a close eye on it' and suggested the leveraged position could be held for 12-18 months to capture technology sector growth. He did not explain the mechanics of daily reset, volatility decay, or the product's unsuitability for long-term holding periods.

Pinnacle Ridge's written supervisory procedures specifically flagged leveraged and inverse ETFs as complex products requiring heightened suitability review. The firm's compliance manual mandated that representatives document enhanced due diligence for any client over 65 investing more than 10% of liquid assets in leveraged products. Voss's supervisor, Branch Manager Rita Feldman, approved the trade after a cursory review, noting only that 'client acknowledged risks.' No enhanced documentation was completed.

By November 2023, Margaret's TQQQ position had declined to \$67,200 due to market volatility and compounding effects, representing a loss of \$78,300 or 53.8%. Margaret, distressed by the losses and facing mounting medical bills, filed a customer complaint alleging unsuitable recommendations. Voss defended his recommendation by pointing to Margaret's signed new account documentation acknowledging 'growth' as a secondary investment objective.

Question

Did Daniel Voss's recommendation of a 3x leveraged ETF to Margaret Holbrook satisfy FINRA's suitability obligations under Rule 2111, considering her age, stated risk tolerance, income needs, and the product's characteristics?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111. The analysis requires examination of all three suitability components: reasonable-basis, customer-specific, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111(a), Voss failed to understand the product sufficiently to recommend it. Leveraged ETFs are designed to achieve daily investment objectives through mathematical

compounding that makes them fundamentally unsuitable for holding periods beyond one trading session. FINRA has consistently emphasized that these products can produce dramatically different results than their stated multiple when held over time due to volatility decay. Voss's suggestion that TQQQ could be held 12-18 months demonstrates a fundamental misunderstanding of product mechanics, rendering his reasonable-basis suitability deficient.

The customer-specific suitability violation under Rule 2111(a) is particularly egregious. Margaret explicitly communicated a conservative risk tolerance, income-focused objectives, and inability to absorb principal losses due to anticipated medical expenses. At age 71 with her entire liquid net worth at stake and a dependent spouse facing progressive illness, she represented the archetype of an investor for whom speculative, highly volatile instruments are categorically inappropriate. Allocating 30% of her assets to a 3x leveraged product directly contradicted her stated investment profile. The presence of 'growth' as a secondary objective in account documentation does not cure this deficiency; representatives must consider the totality of customer circumstances, not cherry-pick favorable language.

FINRA Rule 2111.05(a) specifically addresses hold recommendations, establishing that time horizon is material to suitability analysis. Recommending long-term holding of a daily-reset leveraged product constitutes a per se violation when the customer lacks sophistication to understand compounding risk.

Voss's defense regarding the account documentation is unavailing. Under Rule 2111.04, a customer's acceptance does not excuse an unsuitable recommendation, and representatives cannot shift responsibility through disclosure. Additionally, Pinnacle Ridge's supervisory failures under Rule 3110 are evident, as the firm's own heightened review requirements for senior investors and complex products were ignored. The 53.8% loss confirms the predictable harm from this unsuitable recommendation.

Key Factor

Recommending a 3x leveraged ETF with a 12-18 month holding period to a 71-year-old conservative investor who expressly stated she could not afford principal loss directly contradicted her investment profile and demonstrated fundamental misunderstanding of the product's mechanics.

Item 451 of 499**NON-COMPLIANT**

Topic: suitability_concentrated_position_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Okonkwo, age 62, was a customer of Prescott Capital Partners, LLC from March 2016 through December 2018. Mrs. Okonkwo was a recently retired elementary school teacher with a modest pension of \$42,000 annually and liquid savings of approximately \$385,000 representing her entire retirement nest egg. Her documented investment profile indicated a conservative risk tolerance, capital preservation as her primary objective, and a need for income supplementation starting within three years. Her investment experience was limited to certificates of deposit and a target-date mutual fund in her 403(b) plan.

Her registered representative, Brandon Castellano, recommended that Mrs. Okonkwo invest \$290,000--approximately 75% of her liquid assets--in shares of Meridian Biotech Holdings, a speculative small-cap biotechnology company awaiting FDA approval on its lead drug candidate. Castellano emphasized the 'transformative upside potential' and told Mrs. Okonkwo that the investment could 'double or triple' within eighteen months if the FDA approved the drug. He provided her with analyst reports projecting significant gains but did not discuss the binary risk nature of biotech investments or the possibility of substantial loss if approval was denied.

In February 2018, the FDA issued a complete response letter rejecting Meridian Biotech's drug application, citing insufficient efficacy data. The stock declined 78% within two weeks, reducing Mrs. Okonkwo's position to approximately \$63,800. She subsequently filed a FINRA arbitration claim against Prescott Capital Partners and Castellano, alleging unsuitable investment recommendations. The respondents argued that Mrs. Okonkwo signed all required disclosures and that the recommendation was suitable given her expressed interest in growth opportunities during initial conversations.

Question

Did Castellano's recommendation that Mrs. Okonkwo invest 75% of her liquid retirement savings in a speculative biotechnology stock violate FINRA suitability requirements?

Answer

The recommendation clearly violated FINRA Rule 2111 suitability requirements. Rule 2111 imposes three distinct suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Castellano's recommendation failed the customer-specific component, which requires a broker to have a reasonable basis to believe the recommendation is suitable for the particular customer based on that customer's investment profile.

Mrs. Okonkwo's documented profile established: (1) conservative risk tolerance; (2) capital preservation as primary objective; (3) need for income within three years; (4) limited investment experience; and (5) her \$385,000 representing her entire retirement savings beyond a modest pension. FINRA Rule 2111(a) explicitly requires consideration of the customer's 'investment profile,' which includes age, financial situation, investment objectives, risk tolerance, and liquidity needs.

Concentrating 75% of a 62-year-old conservative retiree's liquid assets in a single speculative small-cap biotechnology stock with binary FDA approval risk is fundamentally incompatible with capital preservation objectives. The recommendation exposed Mrs. Okonkwo to catastrophic loss potential--which materialized--directly contradicting her stated need for asset protection and near-term income generation.

Respondents' defense that Mrs. Okonkwo signed disclosures is unavailing. FINRA has consistently held that customer signatures on disclosure documents do not cure an unsuitable recommendation. Under FINRA Rule 2010's just and equitable principles, a broker cannot shift responsibility for suitability analysis to the customer through paperwork. Furthermore, Castellano's emphasis on upside potential while failing to adequately explain the binary downside risk associated with FDA-dependent biotechnology investments demonstrates a failure to provide balanced information necessary for informed customer decision-making.

The concentration in a single speculative security, the mismatch between the recommendation and the customer's documented profile, and the inadequate risk disclosure collectively establish a violation of FINRA Rule 2111's customer-specific suitability requirement and FINRA Rule 2010's standards of commercial honor. An arbitration panel would likely find for the claimant and award compensatory damages.

Key Factor

Recommending that a conservative 62-year-old retiree concentrate 75% of her retirement savings in a single speculative biotechnology stock directly contradicted her documented capital preservation objective and conservative risk tolerance.

Item 452 of 499**NON-COMPLIANT**

Topic: dual_registrant_account_type_suitability

Difficulty: hard

Standard: Investment Advisers Act §206(1), §206(2); FINRA Rule 2111 (Suitability); Fiduciary duty of care for dual registrants

Source: 05_SEC_Exam_Findings

Fact Pattern

Westbrook Financial Partners LLC operates as a dual registrant, holding both SEC investment adviser registration and FINRA broker-dealer registration. On March 15, 2014, registered representative and investment adviser representative Marcus Thornton met with new client Dorothy Albrecht, a 71-year-old retired schoolteacher from suburban Philadelphia. Mrs. Albrecht disclosed that she had \$485,000 in liquid assets representing her entire retirement savings, received \$2,100 monthly in Social Security and a \$1,400 monthly pension, and described herself as 'very conservative' with the primary objective of capital preservation and generating modest income to supplement her fixed income sources. She explicitly stated she could not afford to lose principal and wanted to avoid 'anything complicated.'

During the account opening process, Thornton recommended Mrs. Albrecht open a fee-based advisory account with a 1.25% annual wrap fee rather than a commission-based brokerage account. Thornton explained that the advisory account provided 'ongoing professional management and monitoring.' He proceeded to construct a portfolio consisting of a laddered municipal bond portfolio (\$350,000), a short-term Treasury ETF (\$75,000), and a money market fund (\$60,000). The portfolio generated approximately \$12,800 in annual income. Over the following eighteen months through September 2015, Thornton made no changes to the portfolio other than reinvesting maturing bonds into similar issues.

The wrap fee arrangement resulted in Mrs. Albrecht paying approximately \$6,062 in annual advisory fees. Had the same securities been purchased in a commission-based brokerage account, the upfront commissions would have totaled approximately \$2,400, with no ongoing advisory fees. Westbrook's compliance department later reviewed the account during a routine supervision cycle and noted that the buy-and-hold strategy with minimal trading activity raised questions about account type selection. Internal records showed that Thornton received higher ongoing compensation through the advisory fee structure than he would have through the commission-based alternative.

Question

Did Marcus Thornton violate his duty of care under applicable standards when he recommended Mrs. Albrecht open a fee-based advisory account rather than a commission-based brokerage account for her conservative, buy-and-hold investment strategy?

Answer

Yes, Marcus Thornton violated his fiduciary duty of care under Investment Advisers Act Section 206 and failed to act in Mrs. Albrecht's best interest when recommending the fee-based advisory account. As a dual registrant representative, Thornton had an obligation to recommend the account type that best served the client's investment profile and anticipated trading activity.

Under the fiduciary duty established by Section 206(1) and 206(2) of the Investment Advisers Act, investment advisers must act in the best interest of their clients. This duty encompasses recommending an appropriate account type based

on the client's needs. The 2014 NEP examination priorities specifically identified dual registrant account selection as a significant risk area, noting that 'representatives of dual registrants...may influence whether a customer establishes a brokerage or investment advisory account' in ways that may not serve client interests.

The facts demonstrate a clear violation of the care obligation. Mrs. Albrecht's profile--a 71-year-old conservative retiree seeking capital preservation with fixed-income investments--indicated minimal need for ongoing portfolio management or frequent rebalancing. The recommended portfolio of laddered municipal bonds, a Treasury ETF, and money market funds required virtually no active management, as evidenced by the eighteen months of inactivity. The wrap fee structure cost Mrs. Albrecht approximately \$6,062 annually versus a one-time commission cost of approximately \$2,400, resulting in substantially higher cumulative costs with no corresponding benefit in services rendered.

Thornton's recommendation failed the reasonable-basis suitability requirement under FINRA Rule 2111(a) because a reasonable representative would recognize that a buy-and-hold conservative strategy does not justify ongoing advisory fees. The fact that Thornton received higher compensation through the advisory arrangement further evidences that the recommendation was driven by his economic interest rather than the client's needs. The absence of any meaningful advisory activity beyond initial portfolio construction rendered the ongoing fee structure unsuitable for this client's circumstances, constituting a breach of fiduciary duty.

Key Factor

The recommendation of a fee-based advisory account charging ongoing 1.25% annual fees was unsuitable for a conservative, buy-and-hold client whose portfolio required no active management, resulting in costs substantially exceeding a commission-based alternative with no corresponding benefit.

Item 453 of 499**NON-COMPLIANT**

Topic: unsuitable_leveraged_etf_recommendation_elderly_client

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 Suitability (reasonable-basis, customer-specific, and quantitative suitability); Investment Advisers Act Section 206 fiduciary duty

Source: 05_SEC_Exam_Findings

Fact Pattern

Brightline Financial Advisors, a dual-registered broker-dealer and investment adviser based in Phoenix, Arizona, employed Marcus Thornton as a registered representative and investment adviser representative. In March 2023, Thornton met with new client Eleanor Hastings, an 81-year-old retired schoolteacher with a modest pension of \$2,400 per month and a \$340,000 IRA rollover from a previous employer's 403(b) plan. During the account opening process, Mrs. Hastings completed a risk tolerance questionnaire indicating she was a 'conservative' investor with a primary objective of 'capital preservation and income generation' to supplement her fixed pension throughout retirement. She explicitly noted on the new account form that she could not afford to lose principal and had no prior experience with complex investment products.

Despite this documented profile, Thornton recommended that Mrs. Hastings allocate \$85,000 (25% of her retirement assets) to a 3x leveraged inverse S&P 500 ETF, explaining that it would 'protect her portfolio if the market crashes.' He assured her the product was 'like insurance' and suggested she hold it for 12-18 months as a hedge against market volatility. Thornton's notes from the meeting indicate he spent approximately 8 minutes discussing the product and did not explain the daily reset mechanism, compounding decay, or the significant risks of holding leveraged inverse products beyond a single trading session.

Over the following nine months, the S&P 500 experienced normal market fluctuations without a sustained decline. Due to volatility decay and the compounding effects inherent to leveraged inverse products, Mrs. Hastings' \$85,000 position declined to \$31,200 by December 2023--a loss of \$53,800 or approximately 63% of the invested amount. When Mrs. Hastings contacted Thornton expressing distress about her losses, he suggested she 'hold on a bit longer' because 'the market correction is coming.' Meanwhile, Brightline's compliance department had no supervisory protocols specifically addressing leveraged or inverse ETF recommendations to clients over age 65 or those with conservative risk profiles.

Question

Did Marcus Thornton's recommendation of the 3x leveraged inverse ETF to Eleanor Hastings satisfy his obligations under Regulation Best Interest and FINRA Rule 2111?

Answer

No, Marcus Thornton's recommendation clearly violated both Regulation Best Interest and FINRA Rule 2111's suitability requirements. The recommendation failed on multiple grounds.

Under Regulation Best Interest's Care Obligation (Rule 15l-1(a)(2)(ii)), a broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, and have a reasonable basis to believe the recommendation is in the customer's best interest based on their investment profile. Mrs. Hastings' documented profile--an 81-year-old conservative investor seeking capital preservation with no complex

product experience and inability to sustain principal loss--is fundamentally incompatible with a 3x leveraged inverse ETF designed for sophisticated short-term traders.

FINRA Rule 2111 imposes customer-specific suitability requiring that recommendations align with the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Leveraged and inverse ETFs are explicitly identified in regulatory guidance as unsuitable for buy-and-hold investors due to daily reset mechanisms causing performance deviation from underlying indices over time. Thornton's suggestion to hold the position for 12-18 months directly contradicts the product's intended use.

The recommendation also violated reasonable-basis suitability under Rule 2111(a). Thornton's cursory 8-minute explanation demonstrates he failed to understand the product sufficiently to form a reasonable basis for recommending it. His characterization of the product as 'like insurance' was materially misleading given the instrument's actual risk profile and mechanics.

Additionally, Brightline's lack of supervisory procedures for complex products recommended to elderly or conservative investors suggests systemic compliance failures under FINRA Rules 3110 and Reg BI's Compliance Obligation.

The 63% loss resulting from holding an inherently unsuitable short-term trading vehicle as a long-term hedge demonstrates the foreseeable harm from this recommendation. No reasonable defense exists--Mrs. Hastings' documented conservative profile and explicit statement that she could not afford principal loss made this recommendation manifestly inappropriate regardless of Thornton's purported market outlook.

Key Factor

Recommending a 3x leveraged inverse ETF as a long-term holding to an 81-year-old conservative investor seeking capital preservation directly contradicted her documented investment profile and the product's intended short-term trading purpose.

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NON-COMPLIANT

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: Investment Advisers Act Section 206(1) and 206(2); SEC Fiduciary Duty Interpretation; Division of Examinations FY 2025 Priority I.A (Adherence to Fiduciary Standards of Conduct)

Source: 05_SEC_Exam_Findings

Fact Pattern

Greenleaf Wealth Advisors, LLC is a registered investment adviser based in Phoenix, Arizona, managing approximately \$340 million in client assets. On March 15, 2024, senior adviser Marcus Delgado met with new client Patricia Henning, a 67-year-old recently widowed retiree. Mrs. Henning had received \$485,000 from her late husband's life insurance policy and an additional \$210,000 from the sale of their family home, representing substantially all of her liquid assets. During the onboarding process, Mrs. Henning completed Greenleaf's investment profile questionnaire, indicating her primary objective was capital preservation with modest income generation to supplement her \$2,100 monthly Social Security benefit. She marked her risk tolerance as 'conservative,' noted she had no prior investment experience beyond a bank CD, and stated her investment time horizon was 'indefinite--I need this money to last the rest of my life.'

Delgado recommended allocating \$175,000 of Mrs. Henning's portfolio to a 3x leveraged inverse energy sector ETF, explaining that he anticipated a significant decline in oil prices over the coming months and that this position could generate substantial returns to 'supercharge' her retirement. He briefly mentioned the product used derivatives but did not explain the daily reset mechanism, volatility decay, or the compounding risks inherent to leveraged inverse products held beyond single trading sessions. Delgado's written recommendation memorandum stated only that the ETF 'provides exposure to energy market movements' without any discussion of product-specific risks or how such a concentrated, leveraged position aligned with Mrs. Henning's stated objectives.

By June 2024, despite energy prices remaining relatively flat on a cumulative basis, the leveraged ETF had declined 43% due to daily compounding effects and market volatility, resulting in a \$75,250 loss in Mrs. Henning's account. Greenleaf's compliance manual required advisers to document the basis for recommendations involving complex products and obtain supervisory pre-approval for leveraged or inverse ETF purchases exceeding \$50,000 in conservative-profile accounts. Delgado obtained no such approval, and the firm's internal trade surveillance system flagged the transaction three days after execution, but no remedial action was taken.

Question

Did Marcus Delgado breach his fiduciary duty of care under the Investment Advisers Act by recommending the leveraged inverse ETF to Patricia Henning?

Answer

Yes, Marcus Delgado breached his fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940. Investment advisers owe clients a fiduciary duty encompassing both a duty of care and a duty of loyalty. The duty of care requires that advice be suitable and in the client's best interest based on the client's objectives, financial situation, and needs. SEC guidance and the Division of Examinations' FY 2025 priorities explicitly emphasize examination focus on adherence to fiduciary standards, including whether advisers are providing advice consistent with clients' stated investment profiles.

Delgado's recommendation fails the duty of care on multiple grounds. First, the 3x leveraged inverse ETF is categorically unsuitable for a 67-year-old conservative investor with no investment experience, a capital preservation objective, and dependence on these assets for lifetime income. Leveraged and inverse ETFs are designed for sophisticated short-term traders, not buy-and-hold retirement investors. The SEC has repeatedly warned that these products can produce results dramatically different from stated objectives when held beyond single trading sessions due to daily rebalancing and volatility decay.

Second, Delgado failed to conduct adequate due diligence on the product's risks relative to Mrs. Henning's profile. His recommendation memorandum contained no analysis of how a concentrated, highly speculative position served a conservative client's stated needs. This omission violates the reasonable-basis component of the duty of care, which requires advisers to understand both the product and the client before recommending.

Third, the \$175,000 allocation represented over 25% of Mrs. Henning's total liquid assets in a single speculative instrument--a concentration manifestly inconsistent with prudent advice for her circumstances.

Finally, Delgado violated Greenleaf's internal compliance requirements mandating supervisory pre-approval for such transactions, compounding the breach. The firm's failure to act upon the surveillance flag suggests systemic compliance deficiencies. The 43% loss directly resulted from risks inherent to leveraged products that an adviser exercising reasonable care would never have exposed this client to.

Key Factor

Recommending a 3x leveraged inverse ETF to a conservative, inexperienced 67-year-old retiree seeking capital preservation was fundamentally incompatible with her investment profile and objectives.

Item 455 of 499

NON-COMPLIANT

Topic: suitability_of_speculative_margin_trading

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111.05(a)-(c), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, a 67-year-old retired schoolteacher, opened an account with Pinnacle Wealth Advisors, LLC in March 2022. Her new client account form documented her annual income as \$42,000 from pension and Social Security, liquid net worth of \$185,000 (representing substantially all of her retirement savings), investment objective as 'income with capital preservation,' risk tolerance as 'conservative,' time horizon as '5-10 years,' and investment experience as 'limited--primarily CDs and money market funds.' Her stated purpose for the account was to generate supplemental income while protecting her principal for healthcare expenses.

Her assigned registered representative, Bradley Simmons, held the account for three weeks before recommending Mrs. Thornton establish a margin account and invest \$120,000 in a concentrated position of small-cap biotechnology stocks. Simmons explained that these positions had 'tremendous upside potential' and that margin would 'amplify her returns to generate the income she needed.' He did not discuss downside risks, margin calls, or the speculative nature of biotech equities. Mrs. Thornton signed the margin agreement after Simmons assured her that 'this is how sophisticated investors build wealth.'

Between April and August 2022, the biotechnology positions declined approximately 45%, triggering margin calls totaling \$38,500. Unable to meet the calls from other assets, Mrs. Thornton was forced to liquidate at substantial losses. Her account value fell from \$185,000 to approximately \$67,000 by September 2022--a loss of \$118,000 representing 64% of her life savings. Simmons had earned \$8,750 in commissions on the initial purchases and subsequent margin-driven transactions. At no point did Simmons document any reasonable basis for believing these recommendations were suitable for a conservative, retired investor dependent on capital preservation.

Question

Did Bradley Simmons violate his suitability obligations under FINRA rules by recommending margin-based speculative biotechnology investments to Mrs. Thornton?

Answer

Simmons clearly violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor) through recommendations fundamentally inconsistent with Mrs. Thornton's documented investment profile.

FINRA Rule 2111 imposes three distinct suitability obligations. First, the reasonable-basis suitability component (Rule 2111.05(a)) requires that a representative have a reasonable basis to believe a recommendation is suitable for at least some investors. While biotechnology stocks are suitable for certain risk-tolerant investors, recommending them on margin amplifies risk substantially, requiring heightened scrutiny of investor qualifications.

Second, and most critically, customer-specific suitability (Rule 2111.05(b)) requires reasonable grounds for believing the recommendation is suitable for the particular customer based on their investment profile, including age, financial

situation, risk tolerance, investment objectives, and time horizon. Mrs. Thornton's profile presented multiple red flags: she was 67 years old and retired, had limited investment experience, possessed conservative risk tolerance, sought capital preservation, and the \$185,000 represented substantially all her retirement assets needed for healthcare expenses. Recommending a concentrated, margin-leveraged position in speculative small-cap biotechnology stocks to such a customer constitutes a textbook suitability violation.

Third, quantitative suitability (Rule 2111.05(c)) prohibits excessive trading. While this case involves concentration rather than churning, the margin-driven transactions generating \$8,750 in commissions on a conservative retiree's account reflects conduct inconsistent with her objectives.

Simmons's conduct also violated FINRA Rule 2010's requirement for just and equitable principles of trade. His failure to explain margin risks, downside scenarios, and the speculative nature of biotech equities--while assuring the customer this was how 'sophisticated investors build wealth'--constitutes a breach of the duty of fair dealing owed to customers.

The defense that Mrs. Thornton signed account documents is unavailing. Under FINRA jurisprudence, a representative cannot rely on customer signatures to escape suitability obligations when recommendations are fundamentally unsuitable for the documented customer profile. The registered representative bears independent responsibility to ensure recommendations align with customer characteristics regardless of customer consent.

Key Factor

The recommendation of margin-leveraged speculative biotechnology stocks was categorically unsuitable for a 67-year-old conservative retiree whose documented investment objective was income with capital preservation and whose account represented substantially all her retirement savings.

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NON-COMPLIANT

Topic: front_running_suitability_breach

Difficulty: hard

Standard: Investment Advisers Act Section 206(1), Section 206(2); Fiduciary Duty of Care; Best Execution Obligation; Exchange Act Section 10(b); Rule 10b-5

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Marcus Belford, age 58, was a senior portfolio manager at Granite Peak Advisers LLC, a registered investment adviser based in Greenwich, Connecticut with approximately \$2.4 billion in assets under management. Belford had discretionary authority over client accounts including those of the Millbrook Family Trust, a \$45 million account established for the benefit of Eleanor Millbrook, a 72-year-old retiree with moderate risk tolerance and income-generation objectives. From March 2019 through November 2022, Belford systematically executed trades in his wife's personal brokerage account at Coastal Securities Inc. immediately before placing substantially identical orders for the Millbrook Family Trust and other advisory clients.

The pattern was consistent: Belford would purchase shares in his wife's account--typically between \$50,000 and \$200,000 per transaction--in small-cap and mid-cap equities, then within minutes place large block orders for the same securities on behalf of Granite Peak's client accounts, including the Millbrook Trust. The client orders, often exceeding \$2 million, would move the stock price upward, at which point Belford's wife's account would sell for quick profits. Over the relevant period, this conduct generated approximately \$1.8 million in illicit gains in the family account.

The Millbrook Family Trust suffered concrete harm from this arrangement. The Trust consistently received inferior execution prices--on average 2.3% higher per share than would have been available absent Belford's front-running activity. For the Trust alone, this translated to approximately \$890,000 in excess costs over the three-year period. Eleanor Millbrook's investment policy statement explicitly required Belford to seek best execution and to manage the account prudently consistent with her retirement income needs. Rather than prioritizing her interests, Belford subordinated her account to his personal enrichment scheme.

When compliance personnel at Granite Peak began investigating unusual trading patterns in late 2022, Belford initially claimed the timing overlaps were coincidental, asserting that his wife made independent investment decisions. Internal records, however, revealed that Belford had sole access to the trading credentials for his wife's account and that the trades were placed from his office workstation during market hours.

Question

Did Marcus Belford breach his fiduciary duty of care and suitability obligations to Eleanor Millbrook and the Millbrook Family Trust through his trading conduct?

Answer

Yes, Marcus Belford egregiously breached his fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940 and violated his suitability obligations to Eleanor Millbrook and the Trust. As a registered investment adviser with discretionary authority, Belford owed the Trust the highest fiduciary duties, including the duty of care requiring him to provide investment advice in the client's best interest.

Under Section 206(1) and 206(2) of the Advisers Act, it is unlawful for any investment adviser to employ any device, scheme, or artifice to defraud any client, or to engage in any transaction, practice, or course of business which operates as a fraud or deceit upon any client. Belford's front-running scheme constitutes a textbook violation of both provisions. By systematically trading ahead of client orders, he engaged in a fraudulent scheme that directly harmed the Trust's interests while enriching himself.

The duty of care requires advisers to seek best execution for client trades. Belford's conduct was antithetical to this obligation--he deliberately structured his personal trades to front-run client orders, guaranteeing that the Trust would receive inferior execution prices. The 2.3% average price disadvantage and \$890,000 in excess costs demonstrate quantifiable harm directly attributable to his breach.

Moreover, Eleanor Millbrook's investment policy statement mandated prudent management consistent with her retirement income needs. Every dollar lost to Belford's scheme was a dollar unavailable for her income objectives. A 72-year-old retiree with moderate risk tolerance cannot recover such losses through time in the market.

Belford's defense that his wife acted independently fails on the evidence: he controlled her account credentials and placed trades from his workstation. This conduct also violates Section 10(b) of the Exchange Act and Rule 10b-5, as he traded on material nonpublic information about pending client orders. The investment advice he provided--though superficially suitable in security selection--was fundamentally corrupted by his self-dealing, rendering every recommendation unsuitable as executed.

Key Factor

Belford systematically prioritized his personal financial gain over his client's interests by front-running client trades, causing the Trust to receive materially inferior execution prices in direct violation of his fiduciary duty of care.

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NON-COMPLIANT

Topic: complex_options_strategy_suitability

Difficulty: hard

Standard: Investment Advisers Act Section 206(2); Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); Investment Advisers Act Section 206(4) and Rule 206(4)-7 (compliance procedures)

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Pinnacle Wealth Advisors, LLC, a dually registered broker-dealer and investment adviser, referred approximately 180 clients to Stratagem Options Management, Inc. ('Stratagem'), a third-party investment adviser specializing in options overlay strategies, between January 2019 and December 2021. Among these clients was Margaret Thornton, a 67-year-old retired schoolteacher from Boise, Idaho, with a total liquid net worth of \$485,000, consisting primarily of her 403(b) rollover IRA valued at \$340,000 and a taxable brokerage account of \$145,000. Mrs. Thornton's documented investment objectives were income generation and capital preservation, with a moderate risk tolerance and a 10-year investment horizon to fund her retirement living expenses and potential long-term care needs.

Pinnacle's financial adviser, Derek Simmons, recommended that Mrs. Thornton allocate \$280,000 of her IRA to Stratagem's 'Enhanced Yield Collar Strategy' (EYCS), an options overlay program that generated income through selling covered calls and purchasing protective puts on underlying equity positions. The Investment Management Agreement Mrs. Thornton signed specified that notional exposure to the strategy would not exceed 100% of her allocated capital--meaning options positions would be written against no more than \$280,000 in underlying securities.

However, internal records later revealed that Stratagem routinely executed options contracts at notional levels reaching 175% to 220% of Mrs. Thornton's authorized limit throughout the relationship, with her exposure sometimes exceeding \$600,000 in notional value. This overexposure resulted in Mrs. Thornton paying approximately \$8,400 in excess management fees over the relevant period, calculated as 0.50% annually on the unauthorized notional amounts. More significantly, during the March 2020 market volatility, the amplified exposure contributed to portfolio losses of approximately \$67,000--losses that would have been substantially mitigated had the strategy remained within contractual limits.

When conducting due diligence on Stratagem, Pinnacle's compliance department failed to implement monitoring procedures to verify that client notional exposures remained within IMA limits. Simmons received quarterly performance reports from Stratagem but never compared actual notional exposures against authorized limits, despite red flags including fee calculations that appeared inconsistent with the agreed-upon parameters.

Question

Did Pinnacle Wealth Advisors and its financial adviser Derek Simmons violate their duty of care and suitability obligations by referring Mrs. Thornton to the Enhanced Yield Collar Strategy and failing to monitor Stratagem's execution of that strategy within authorized limits?

Answer

Yes, Pinnacle Wealth Advisors and Derek Simmons violated both their fiduciary duty of care under Investment Advisers Act Section 206(2) and Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii). The violations are multi-layered, encompassing both the initial recommendation and ongoing monitoring failures.

First, regarding the initial recommendation: while an options collar strategy can theoretically serve capital preservation and income objectives, the Care Obligation requires that an adviser exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation and have a reasonable basis to believe it is in the customer's best interest. Mrs. Thornton's profile--a 67-year-old retiree with moderate risk tolerance, capital preservation objectives, and reliance on these assets for living expenses--demanded heightened scrutiny before recommending a complex options overlay strategy. The recommendation to allocate 82% of her IRA (\$280,000 of \$340,000) to a single sophisticated strategy raises substantial suitability concerns even before considering the execution failures.

Second, and more critically, both respondents failed in their ongoing duty of care. Under Section 206(2) of the Advisers Act, an investment adviser breaches its fiduciary duty by engaging in any practice that operates as a fraud or deceit upon clients. Pinnacle, as a dually registered adviser that referred clients to Stratagem, had an obligation to conduct reasonable due diligence and ongoing monitoring. The failure to implement procedures verifying that Stratagem executed within IMA limits--particularly when fee calculations presented red flags--constitutes a breach of the duty of care.

The Care Obligation also requires understanding the costs associated with recommendations. Stratagem's systematic overexposure resulted in \$8,400 in excess fees and amplified losses of approximately \$67,000 during market stress. These were foreseeable harms that reasonable monitoring would have prevented. Simmons's failure to compare actual notional exposures against authorized limits, despite receiving quarterly reports, demonstrates inadequate diligence.

No reasonable defense exists. The duty to monitor referred managers is well-established, and the contractual limits in the IMA provided clear, objective standards against which compliance could be measured.

Key Factor

Pinnacle and its adviser failed to implement monitoring procedures to verify that the third-party manager executed the options strategy within contractually authorized notional limits, resulting in excessive fees and amplified losses for a retirement-focused client.

Item 458 of 499

NON-COMPLIANT

Topic: suitability_of_concentrated_position_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Customer-Specific Suitability factors); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 72, was a retired schoolteacher who had accumulated \$485,000 in liquid savings, representing substantially all of her investable assets outside of her modest pension income of \$2,800 per month. In March 2021, she became a client of Redwood Capital Advisors, LLC, where registered representative Daniel Kowalski reviewed her financial situation. According to her client profile documents, Mrs. Thornton indicated a 'conservative' risk tolerance, an investment objective of 'income with preservation of capital,' and a time horizon of 5-10 years. She explicitly noted on her account application that she could not afford to lose more than 10% of her principal without materially affecting her retirement lifestyle.

Despite this documented profile, Kowalski recommended that Mrs. Thornton invest \$340,000 (approximately 70% of her liquid assets) into shares of a single technology company, NovaTech Industries, which he described as a 'once-in-a-lifetime opportunity' with 'guaranteed' upside potential. Kowalski's rationale, documented in a brief internal memo, stated that the stock had 'strong momentum' and would likely double within 18 months. NovaTech paid no dividends and had a beta of 1.8, indicating significantly higher volatility than the broader market.

Mrs. Thornton followed the recommendation based on her trust in Kowalski, who had been referred to her by a church friend. By September 2022, NovaTech shares had declined 62% following disappointing earnings and sector-wide selloffs, reducing her position to approximately \$129,200. Mrs. Thornton filed a customer complaint alleging that the recommendation was unsuitable given her age, risk tolerance, investment objectives, and financial situation. Kowalski maintained that Mrs. Thornton had verbally expressed interest in 'growth opportunities' during their initial meeting, though no documentation supported this claim.

Question

Did Kowalski's recommendation to concentrate 70% of Mrs. Thornton's liquid assets in a single volatile technology stock violate FINRA suitability obligations given her documented conservative profile and capital preservation objectives?

Answer

The recommendation clearly violated FINRA Rule 2111 (Suitability) and likely FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). The analysis demonstrates multiple suitability failures across all three components of Rule 2111.

Regarding reasonable-basis suitability under Rule 2111(a), while Kowalski may have understood NovaTech as an investment, his characterization of 'guaranteed' upside potential for a high-beta, non-dividend-paying technology stock demonstrates either a fundamental misunderstanding of the security or misrepresentation of its characteristics. No reasonable diligence would support guaranteeing returns on a stock with a 1.8 beta.

The customer-specific suitability violation under Rule 2111(a) is most egregious. FINRA Rule 2111.05(a) requires consideration of the customer's age, investment objectives, time horizon, risk tolerance, and financial situation. Mrs. Thornton was 72 years old with a conservative risk tolerance, income-with-preservation objective, and explicit documentation that she could not sustain losses exceeding 10% without lifestyle impact. Recommending a 70% concentration in a single volatile equity directly contradicts every documented element of her profile. The supplementary material to Rule 2111 emphasizes that recommendations must be consistent with the customer's stated investment profile.

Quantitative suitability under Rule 2111.05(c) also supports the violation finding. While typically applied to excessive trading, the principle that recommendations should not impose costs or risks inconsistent with customer profiles applies here. A 70% concentration violates basic diversification principles for any conservative investor, let alone a 72-year-old retiree dependent on capital preservation.

Kowalski's defense regarding verbal expressions of growth interest fails because FINRA guidance establishes that documented customer profiles govern suitability analysis. Undocumented verbal statements cannot override explicit written risk tolerance and investment objectives. The \$340,000 recommendation resulting in \$210,800 in losses (43% of total liquid assets) demonstrates the materialization of precisely the unsuitable risk exposure the suitability rules are designed to prevent.

Verdict: Clear suitability violation warranting damages.

Key Factor

The representative recommended concentrating 70% of a 72-year-old conservative investor's liquid assets in a single high-volatility stock despite documented capital preservation objectives and explicit loss tolerance limitations.

Item 459 of 499**NON-COMPLIANT**

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 210 (Standards of Commercial Honor and Principles of Trade); Firm Written Supervisory Procedures regarding complex products

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 72, was a retired schoolteacher who opened an account with Pinnacle Securities Group in March 2023. Her account application indicated she had a conservative risk tolerance, an investment objective of capital preservation with income generation, annual income of \$48,000 from Social Security and a small pension, liquid net worth of \$320,000 (representing her entire retirement savings), and limited investment experience consisting primarily of certificates of deposit and money market funds. Her registered representative, Daniel Marsh, had been with the firm for six years and held Series 7 and 66 licenses.

During an April 2023 meeting, Marsh recommended that Holloway invest \$95,000--approximately 30% of her liquid net worth--in the ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF tracking the Nasdaq-100. Marsh explained that the product would 'amplify gains' and help her 'catch up' on retirement savings she felt were inadequate. He did not explain the daily reset mechanism, volatility decay, or that leveraged ETFs are designed for short-term trading rather than buy-and-hold strategies. The firm's written supervisory procedures explicitly stated that leveraged and inverse ETFs were generally unsuitable for retail investors with conservative profiles and required enhanced suitability review and branch manager approval for any such recommendations to customers over age 65.

Mrs. Holloway held the position for eleven months. During this period, the Nasdaq-100 experienced significant volatility, and despite ending approximately flat over the period, TQQQ declined 23% due to volatility decay and the compounding effect of daily resets. Holloway's position lost approximately \$21,850. When she contacted Marsh expressing concern, he assured her to 'stay the course' and that the position would recover. No supervisory review or approval was ever conducted for this recommendation, and no documentation existed showing Marsh had explained the unique risks of leveraged products to his client.

Question

Did Daniel Marsh's recommendation that Margaret Holloway invest 30% of her retirement savings in a 3x leveraged ETF satisfy FINRA's suitability requirements?

Answer

The recommendation clearly violated FINRA Rule 2111 (Suitability) across all three component obligations--reasonable-basis, customer-specific, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111(a), a representative must understand the risks and features of a recommended security. Leveraged ETFs like TQQQ employ daily rebalancing that causes returns to deviate significantly from the underlying index over holding periods longer than one day--a phenomenon known as volatility decay. Marsh failed to understand or communicate these mechanics, as evidenced by his advice to 'stay the course' during volatility, which is precisely contrary to how leveraged products are designed to be used. FINRA has consistently emphasized that leveraged and inverse ETFs are complex products requiring enhanced due diligence before

recommendation.

The customer-specific suitability violation under Rule 2111(a) is equally evident. Holloway's documented profile--age 72, conservative risk tolerance, capital preservation objective, limited investment experience, and dependence on this \$320,000 as her sole retirement savings--is fundamentally incompatible with a speculative, highly volatile 3x leveraged product. Concentrating 30% of her liquid net worth in TQQQ exposed her to potential losses she could neither afford nor recover from given her age and fixed income. The recommendation ignored virtually every element of her investment profile.

Additionally, Pinnacle Securities' own written supervisory procedures required enhanced review and branch manager approval for leveraged ETF recommendations to customers over 65, constituting a violation of FINRA Rule 2010 (Standards of Commercial Honor) when Marsh circumvented these procedures. The absence of any documented suitability analysis or supervisory sign-off demonstrates systemic compliance failures.

Marsh's conduct also implicates FINRA Rule 2010's just and equitable principles of trade. Recommending a product designed for sophisticated short-term traders to an elderly retiree seeking capital preservation, without meaningful disclosure of the product's unique risks, falls below professional standards.

The recommendation was unsuitable, and Holloway would have strong grounds for recovery of her \$21,850 loss plus interest and costs.

Key Factor

A 3x leveraged ETF designed for short-term trading was recommended for long-term holding by a 72-year-old conservative investor with limited experience, without explanation of daily reset mechanics or supervisory approval.

Item 460 of 499**NON-COMPLIANT**

Topic: erisa_fiduciary_level_fee_investment_advice

Difficulty: hard

Standard: ERISA Sections 404(a)(1), 406, 408(b)(14), 408(g); Level Fee Requirements under Section 408(g)(2); Fiduciary Adviser definition under Section 408(g)(11)(A)

Source: 06_DOL_Fiduciary

Fact Pattern

Pinnacle Retirement Advisors, LLC is a registered investment adviser that provides investment advice to participants in employer-sponsored 401(k) plans. In March 2023, Pinnacle entered into an agreement with Hartfield Manufacturing Company to provide individualized investment advice to the 2,400 participants in Hartfield's self-directed 401(k) plan. Pinnacle represented to Hartfield's plan fiduciaries that it would operate as a 'fiduciary adviser' under ERISA and that its compensation structure qualified as 'level fees' because participant fees were assessed as a flat 0.75% of assets under advisement regardless of which investment options were recommended.

Margaret Thornton, age 58, was a Hartfield plan participant with \$340,000 in her 401(k) account. She had a moderate risk tolerance and her primary objective was capital preservation with modest growth as she approached retirement in seven years. During an advice session in April 2023, Pinnacle adviser Derek Walsh recommended that Margaret reallocate 65% of her portfolio from diversified index funds into a suite of proprietary target-date funds managed by Meridian Asset Management, an affiliate of Pinnacle's parent company, Summit Financial Holdings. The proprietary funds carried internal expense ratios of 1.15%, compared to 0.08% for the index funds Margaret previously held.

Pinnacle's advisory agreement disclosed that Summit Financial Holdings owned both Pinnacle and Meridian Asset Management. However, Pinnacle asserted that because Derek Walsh personally received the same 0.75% advisory fee regardless of which funds were recommended, the 'level fee' exemption applied and no prohibited transaction occurred. Pinnacle did not utilize an audited computer model for these recommendations. Internal documents later revealed that Pinnacle received quarterly revenue-sharing payments from Meridian equal to 0.25% of assets placed in Meridian funds by Pinnacle clients, totaling approximately \$218,000 annually across all advised plans.

Margaret followed the recommendation, and over the subsequent twelve months, the higher expense ratios eroded approximately \$3,600 more from her account than would have occurred had she remained in the lower-cost index funds offering substantially similar market exposure.

Question

Did Pinnacle Retirement Advisors satisfy the ERISA requirements for providing fiduciary investment advice under a level fee arrangement, and was the recommendation to Margaret Thornton in her best interest?

Answer

Pinnacle Retirement Advisors failed to satisfy ERISA's requirements for an eligible investment advice arrangement, and the recommendation to Margaret Thornton was not in her best interest.

Under ERISA Section 408(g), a fiduciary adviser may provide investment advice that would otherwise constitute a prohibited transaction under Section 406 only if the advice is rendered pursuant to an 'eligible investment advice arrangement.' Congress established two permissible structures: (1) advice generated by an audited computer model

meeting specific certification requirements, or (2) advice provided under a genuine level fee arrangement where the fiduciary adviser receives only fees that do not vary based on the investment option selected.

Pinnacle claimed qualification under the level fee exemption, but this claim fails upon examination of the complete compensation structure. ERISA Section 408(g)(11)(A) defines 'fiduciary adviser' to include affiliates, and Section 408(g)(2) requires that fees received by the fiduciary adviser 'and any affiliate thereof' not vary based on investment options selected. Here, Pinnacle and Meridian Asset Management are both subsidiaries of Summit Financial Holdings, making them affiliates under ERISA's broad definition of controlled groups. The quarterly revenue-sharing payments of 0.25% that Pinnacle received from Meridian for assets placed in Meridian funds directly contravened the level fee requirement--compensation to Pinnacle's enterprise materially increased when proprietary Meridian funds were recommended.

As the NAPFA comment letter in the source document emphasizes, Congress expressly intended that affiliate compensation be included in the level fee calculation to 'safeguard against a firm's creation of incentives for individuals to recommend certain investment products.' Pinnacle's structure created precisely such incentives.

Substantively, the recommendation itself failed prudent fiduciary standards under ERISA Section 404(a)(1). Derek Walsh recommended that a 58-year-old participant with capital preservation objectives reallocate into funds with expense ratios fourteen times higher than comparable index alternatives, without demonstrating any corresponding benefit to Margaret. The additional \$3,600 annual cost erosion directly harmed her retirement security without justification.

Pinnacle cannot cure these violations by pointing to disclosure of affiliate relationships or the individual adviser's flat compensation. ERISA's prohibited transaction rules require actual structural compliance, not merely disclosure of non-compliance.

Key Factor

Pinnacle received revenue-sharing payments from its affiliate that varied based on investment options recommended, disqualifying the arrangement from the level fee exemption and rendering the conflicted advice a prohibited transaction.

Item 461 of 499**NON-COMPLIANT**

Topic: oil_gas_investment_suitability_retirement_accounts

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Harold and Margaret Thornton, ages 68 and 65 respectively, were retired schoolteachers living in Green Bay, Wisconsin. In March 2015, they met with registered representative Bradley Simmons of Prairie Ridge Financial Group, Inc. to discuss their retirement savings. The Thorntons disclosed they had approximately \$385,000 in combined IRA accounts, representing virtually all of their liquid savings outside of their modest pension income of \$4,200 per month. They explicitly stated their investment objectives were capital preservation and income generation, with a conservative risk tolerance, as they needed the funds to supplement their fixed income throughout retirement.

Simmons recommended that the Thorntons invest \$275,000 from their IRAs into direct participation programs offered by Heartland Energy Partners, LLC, and its affiliated entities, including Prairie Basin Exploration Corp. These were illiquid oil and gas drilling ventures structured as private placements. Simmons told the Thorntons that based on projected well production, their investment could 'easily triple or quadruple within five years' and represented a 'safe haven for retirement dollars.' He characterized the investments as 'proven energy plays' with minimal downside risk.

Prairie Ridge Financial Group received selling commissions of approximately 12% on these placements. Internal due diligence memoranda later revealed that the firm's compliance department had flagged concerns about the speculative nature of Heartland Energy offerings and the lack of audited financials, but no formal prohibition was issued. Simmons had previously sold over \$2.1 million in Heartland products to other retail customers, many of whom were retirees.

By December 2016, Heartland Energy Partners and its affiliates had ceased operations. The Thorntons' \$275,000 investment became essentially worthless, leaving them with only \$110,000 in remaining retirement assets. They filed a FINRA arbitration claim alleging fraud, negligence, failure to investigate, and failure to supervise against Simmons, Prairie Ridge Financial Group, and the firm's president, Carlton Hayes, who had final supervisory authority over due diligence on private placements.

Question

Did Simmons and Prairie Ridge Financial Group violate their suitability obligations under FINRA rules by recommending that the Thorntons invest over 70% of their retirement savings in speculative, illiquid oil and gas private placements?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) on multiple grounds, and the Panel would likely find for the Thorntons.

FINRA Rule 2111 requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. The rule establishes three suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111.05(a), Simmons failed to perform adequate due diligence on the Heartland Energy offerings. The firm's own compliance memoranda flagged concerns about the speculative nature and lack of audited financials, yet Simmons represented these as 'safe' investments with minimal downside risk. A registered representative must understand the risks and features of recommended products before suggesting them to any customer.

The customer-specific suitability violation under Rule 2111.05(b) is particularly egregious. The Thorntons were retired, ages 68 and 65, with conservative risk tolerance, capital preservation objectives, and limited liquid assets outside the invested funds. Recommending that they concentrate over 70% of their retirement savings in speculative, illiquid private placements in the oil and gas sector directly contradicted their stated investment profile. Such investments carry substantial principal risk and are wholly inappropriate for investors dependent on these funds for retirement income.

Simmons' representations that the investment could 'triple or quadruple' while being a 'safe haven' constitutes a violation of FINRA Rule 2010 (Standards of Commercial Honor), as such statements were materially misleading and inconsistent with the known speculative nature of oil and gas drilling ventures.

Prairie Ridge's supervisory failures under FINRA Rules 3110 and 2010 are evident. Despite compliance flags about Heartland products, the firm failed to implement adequate controls to prevent unsuitable sales to vulnerable retirees. The 12% commission structure created incentives that the firm failed to monitor.

Defenses that the Thorntons signed subscription documents acknowledging risks would be unavailing, as written disclosures cannot cure fundamentally unsuitable recommendations made with misleading oral representations to unsophisticated retail investors.

Key Factor

Recommending speculative, illiquid oil and gas private placements for over 70% of elderly retirees' liquid savings directly contradicted their stated conservative risk tolerance and capital preservation objectives.

Item 462 of 499**NON-COMPLIANT**

Topic: unsuitable_concentration_high_volatility_securities

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111 Supplementary Material .05, FINRA Rule 3110 (Supervision), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Dr. Farhan Nasseri, a 62-year-old cardiologist, opened four accounts at Sterling Crest Wealth Management in January 2018: a family trust, a personal trust for his wife, and two profit-sharing plans for his medical practice. The combined assets totaled approximately \$2.8 million. Dr. Nasseri's investment profile, documented across all account opening documents, indicated a moderate risk tolerance, a primary objective of capital preservation with income, and a 5-7 year time horizon as he planned to reduce his clinical practice and transition toward retirement. His liquid net worth outside these accounts was approximately \$400,000.

Between March 2018 and November 2019, his assigned financial adviser, Marcus Thornton, allocated approximately 38% of the combined portfolio to three concentrated positions: BioGenix Therapeutics (a pre-revenue biotechnology company with a beta of 2.4), the Platinum Commodities Trust (a gold-backed ETF with significant price volatility), and the Apex High-Yield Floating Rate Fund (a fund investing primarily in below-investment-grade corporate debt). Thornton characterized these as 'growth opportunities with hedging characteristics' during quarterly reviews but never documented how these high-volatility, high-beta securities aligned with Dr. Nasseri's stated moderate risk tolerance and capital preservation objective.

By December 2020, BioGenix had declined 78% following failed clinical trials, the commodities trust experienced a 34% drawdown during market volatility, and the high-yield fund suffered significant NAV erosion due to credit defaults during the economic disruption. Dr. Nasseri's combined accounts showed losses of approximately \$612,000. Internal Sterling Crest compliance reviews from 2019 noted the concentration levels but the supervising principal approved the positions without requiring Thornton to document a reasonable basis for the recommendations given the customer profile. Dr. Nasseri filed for arbitration in March 2021, alleging unsuitable recommendations and inadequate supervision.

Question

Did Marcus Thornton's recommendations of concentrated positions in high-volatility securities violate his suitability obligations under FINRA Rule 2111, given Dr. Nasseri's documented moderate risk tolerance and capital preservation investment objective?

Answer

The recommendations violated FINRA Rule 2111's suitability requirements on multiple grounds. Rule 2111 imposes three core obligations: reasonable-basis suitability (the adviser must understand the product's risks), customer-specific suitability (the recommendation must align with the customer's profile), and quantitative suitability (the overall pattern must not be excessive).

First, regarding customer-specific suitability under Rule 2111(a), Thornton failed to establish a reasonable basis that concentrating 38% of a moderate-risk, capital-preservation portfolio in high-beta biotechnology stock, volatile commodities, and below-investment-grade debt was appropriate. Dr. Nasseri's documented profile explicitly stated

moderate risk tolerance and capital preservation objectives with a retirement-oriented time horizon. Securities with betas exceeding 2.0, pre-revenue companies, and junk-rated debt instruments are categorically inconsistent with capital preservation mandates. The FINRA Supplementary Material 2111.05(a) specifically identifies investment objectives, risk tolerance, and time horizon as critical profile factors that must inform recommendations.

Second, the concentration itself presented heightened suitability concerns. While FINRA rules do not establish bright-line concentration limits, Supplementary Material 2111.05(c) recognizes that concentrated positions can be unsuitable when they expose customers to risks inconsistent with their stated objectives. A 38% allocation across three volatile positions in accounts explicitly designated for capital preservation and retirement income created risk exposure fundamentally incompatible with the documented customer profile.

Third, the supervision failures under FINRA Rule 3110 compounded the violations. Sterling Crest's compliance system flagged the concentrations, yet the supervising principal approved without requiring documented justification explaining how these recommendations served a moderate-risk, capital-preservation investor approaching retirement. This represents a failure of reasonable supervision.

Thornton's characterization of these positions as having 'hedging characteristics' without documented analysis demonstrates inadequate reasonable-basis suitability. Gold trusts and high-yield floating rate funds can provide certain hedging functions, but their volatility profiles must still be reconciled with overall customer objectives. The absence of contemporaneous documentation explaining the investment rationale is particularly damaging.

The panel should find for Claimant on the suitability claims, with damages calculated using an appropriate methodology measuring losses attributable to the unsuitable recommendations.

Key Factor

The adviser concentrated 38% of retirement-oriented accounts with documented capital preservation objectives in high-beta, high-volatility securities without any documented reasonable basis for deviating from the customer's stated risk profile.

Item 463 of 499**NON-COMPLIANT**

Topic: deferred_variable_annuity_exchange_suitability

Difficulty: hard

Standard: FINRA Rule 2821 (Deferred Variable Annuities), FINRA Rule 2310 (General Suitability), FINRA Rule 3110 (Supervision)

Source: 13_FINRA_Rulebook

Fact Pattern

Margaret Holloway, age 71, is a retired schoolteacher residing in Phoenix, Arizona, with a modest pension of \$2,800 per month and Social Security benefits of \$1,900 per month. In March 2023, she contacted Pinnacle Securities Group after receiving a mailer about retirement income options. Her total liquid net worth consisted of \$285,000 held in a deferred variable annuity she had purchased in 2019 from a different carrier, plus \$42,000 in a money market account she maintained for emergencies. Mrs. Holloway's investment objective was capital preservation with modest growth, and she described herself as having low risk tolerance. She indicated she might need access to funds within three years to help her daughter with a home down payment.

Registered representative Derek Simmons met with Mrs. Holloway and recommended she exchange her existing variable annuity for a new product offered through Pinnacle's affiliated insurance company, the Horizon Elite Variable Annuity. Simmons emphasized the new product's guaranteed minimum income benefit rider, which would provide lifetime income starting at age 80. He did not discuss that Mrs. Holloway's existing annuity had a similar income guarantee that would vest in only 14 months. The new annuity carried a seven-year surrender schedule starting at 7% and declining annually, while Mrs. Holloway's existing contract had only 18 months remaining on a declining 2% surrender charge.

Simmons collected the required customer profile information documenting Mrs. Holloway's age, income, and stated liquidity needs. However, his suitability worksheet noted her time horizon as "long-term retirement income" despite her explicit statement about potential liquidity needs within three years. The exchange was processed, triggering a \$14,250 surrender charge on the original annuity. Mrs. Holloway's new contract also carried an additional 0.45% annual mortality and expense charge compared to her prior annuity, plus a \$175 annual rider fee for the income benefit.

The firm's registered principal, Sandra Chen, approved the transaction within the required timeframe. Her review notes indicated she verified the customer information was collected but did not document any analysis of whether the exchange benefits outweighed the costs incurred. Six months later, Mrs. Holloway needed \$60,000 to assist her daughter as planned, but faced a \$4,200 surrender penalty on the withdrawal from the new annuity.

Question

Did the recommendation to exchange Mrs. Holloway's existing deferred variable annuity for the Horizon Elite Variable Annuity satisfy the suitability requirements under FINRA Rule 2821?

Answer

The recommendation violated FINRA Rule 2821's suitability requirements for deferred variable annuity exchanges. Rule 2821 imposes heightened obligations when recommending an exchange, requiring the firm and associated person to have a reasonable basis to believe the transaction as a whole is suitable for the particular customer.

First, Rule 2821(b) mandates that in exchange transactions, the representative must specifically consider whether the customer would incur a surrender charge, be subject to a new surrender period, lose existing benefits, or face increased fees. Here, Simmons failed this analysis on multiple grounds. Mrs. Holloway incurred a \$14,250 surrender charge on the existing contract that had only 18 months remaining before becoming fully liquid. She was subjected to a new seven-year surrender schedule starting at 7%, dramatically reducing her liquidity. The new contract carried higher ongoing costs--an additional 0.45% M&E charge plus a \$175 annual rider fee--without documented offsetting benefits.

Second, the rule requires consideration of whether the customer would benefit from product enhancements. Simmons emphasized the income guarantee rider but failed to document how this benefit exceeded what Mrs. Holloway would receive from her existing contract's income guarantee vesting in 14 months. This omission demonstrates lack of reasonable basis for the recommendation.

Third, Rule 2821 requires that customer information collected must accurately reflect the customer's circumstances. Simmons documented a "long-term" time horizon despite Mrs. Holloway's explicit statement of potential three-year liquidity needs. This mischaracterization of her investment time horizon and liquidity needs directly contradicts the customer information requirements and undermines any claim of reasonable-basis suitability.

Fourth, the registered principal's approval under Rule 2821(c) was deficient. Principal Chen failed to document analysis of whether exchange benefits outweighed the substantial costs, as required for supervisory approval of variable annuity transactions.

The recommendation was unsuitable for a 71-year-old, low-risk-tolerance retiree with stated near-term liquidity needs who was placed into a seven-year surrender product with higher costs and no documented incremental benefits. The exchange served no legitimate customer purpose while generating substantial charges.

Key Factor

The representative recommended an exchange that imposed a new seven-year surrender period and higher costs on a customer with explicitly stated three-year liquidity needs, without documenting how exchange benefits outweighed these substantial detriments.

Item 464 of 499**NON-COMPLIANT**

Topic: trust_investment_prudent_investor_standard

Difficulty: hard

Standard: 12 CFR Part 9 (OCC fiduciary regulations); 12 U.S.C. §92a; Uniform Prudent Investor Act; OCC Trust Handbook Section 110 fiduciary duties including prudent investor rule and duty of loyalty

Source: 18_OCC_Bank_Trust_Guidance

Fact Pattern

Mountain States Savings Bank serves as trustee for the Harold and Margaret Thornton Irrevocable Trust, established in March 2019 with assets of \$2.8 million. The trust instrument directs the trustee to provide income to the surviving spouse, Margaret Thornton (age 78), for her lifetime, with remainder to the couple's three adult children. Margaret relies on trust distributions to cover her assisted living facility costs of approximately \$8,500 per month, supplementing her modest Social Security income of \$1,900 monthly. The trust document grants the trustee broad investment discretion and incorporates the state's Uniform Prudent Investor Act by reference.

In January 2022, Thomas Keller, the trust officer assigned to the Thornton Trust, reallocated 65% of the trust portfolio into a concentrated position in Apex Technology Ventures Fund, a private equity vehicle with a seven-year lockup period and no liquidity provisions. Keller had recently attended a conference where Apex's general partners presented compelling historical returns of 18-22% annually. The trust's prior allocation had been 45% investment-grade bonds, 35% diversified equity mutual funds, and 20% money market instruments, generating approximately \$95,000 in annual income sufficient to meet Margaret's needs.

Keller documented in the account file that the Apex investment would 'maximize long-term growth for remainder beneficiaries.' However, he conducted no formal analysis of Margaret's income needs, life expectancy, or the trust's liquidity requirements. Within eighteen months, the Apex fund suspended distributions entirely due to market conditions, and the trust's liquid assets proved insufficient to cover Margaret's care expenses. By September 2023, the trust had depleted its remaining liquid holdings and was forced to request hardship distributions from Apex at a 40% discount to stated net asset value.

Mountain States Savings Bank's internal policies require trust officers to document an investment policy statement for each account and to conduct annual suitability reviews. No investment policy statement existed for the Thornton Trust, and the prior year's suitability review form was marked 'N/A - no changes recommended' without substantive analysis.

Question

Did Mountain States Savings Bank, acting as trustee, breach its fiduciary duty of prudent investment under applicable standards when its trust officer concentrated the Thornton Trust portfolio in an illiquid private equity fund?

Answer

Mountain States Savings Bank breached its fiduciary duty of prudent investment. Under 12 CFR Part 9 governing fiduciary activities of national banks and federal savings associations, and consistent with the Uniform Prudent Investor Act incorporated by the trust instrument, a fiduciary must exercise the care and skill that a person of ordinary prudence would exercise in dealing with their own property--the prudent investor standard referenced in the OCC Trust Handbook.

The prudent investor rule requires trustees to consider multiple factors including the trust's purposes, distribution requirements, the beneficiary's needs, and overall portfolio diversification. Here, the trust had an express current income obligation to an elderly income beneficiary requiring \$8,500 monthly for essential living expenses. Trust officer Keller's allocation of 65% to a seven-year lockup private equity fund fundamentally disregarded the trust's liquidity requirements and Margaret's immediate, predictable income needs.

The OCC guidance specifically mandates that fiduciaries 'administer the trust solely in the interest of the beneficiary'--the duty of loyalty. Keller's documented rationale of maximizing growth for remainder beneficiaries subordinated the current income beneficiary's interests, violating this core principle. A prudent trustee facing these facts would have maintained sufficient liquid, income-producing assets to ensure uninterrupted distributions.

Additionally, the bank failed to maintain adequate controls. The OCC handbook emphasizes that management must implement policies ensuring fiduciary activities comply with applicable law and that appropriate risk assessment systems exist. The absence of an investment policy statement and the cursory annual review marked 'N/A' demonstrate transaction/operational risk failures and compliance/legal risk exposure.

The bank cannot claim reliance on broad investment discretion as a defense. Discretionary authority does not eliminate the duty to match investments to beneficiary circumstances. The concentration in a single illiquid vehicle, absence of documented analysis, and predictable cash flow crisis establish imprudent administration. The 40% haircut on forced liquidation quantifies direct damages attributable to this breach.

Key Factor

The trust officer concentrated 65% of assets in an illiquid seven-year lockup investment without analyzing the income beneficiary's immediate liquidity needs, directly contravening the prudent investor standard's requirement to consider distribution requirements and beneficiary circumstances.

Item 465 of 499**COMPLIANT**

Topic: equity_index_options_strategy_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Securities Exchange Act Section 10(b) and Rule 10b-5

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Whitfield, age 58, opened a brokerage account with Hartwell Securities LLC in March 2018. His new account documentation indicated a net worth of \$4.2 million, annual income of \$380,000 as a corporate executive, moderate-to-aggressive risk tolerance, and investment objectives of growth with speculation as a secondary objective. Whitfield had over 15 years of investment experience and indicated familiarity with options trading on his account application, noting he had traded covered calls and protective puts in prior accounts.

Hartwell's registered representative, Thomas Brennan, recommended Whitfield participate in the firm's Yield Enhancement Strategy (YES), which employed complex equity index options trades designed to generate monthly income through selling volatility. Brennan provided Whitfield with detailed written disclosures explaining the strategy's mechanics, including that it involved selling out-of-the-money put and call spreads on equity indices like the S&P 500. The disclosures explicitly stated the strategy could experience significant losses during periods of elevated market volatility and that past performance was not indicative of future results.

Whitfield allocated \$650,000 to the YES strategy in April 2018. Between April 2018 and February 2019, the strategy generated approximately \$42,000 in income. However, during the December 2018 market correction and again in early 2019 volatility spikes, Whitfield's account experienced losses totaling \$187,000. Throughout this period, Brennan sent Whitfield emails on at least four occasions explaining that market volatility was causing the losses and offering Whitfield the opportunity to exit the strategy if he was uncomfortable with the risk-return profile. Whitfield acknowledged these emails and elected to remain in the strategy. Brennan also provided Whitfield with amended risk disclosures in August 2018 that specifically addressed tail-risk scenarios.

In November 2019, Whitfield filed a complaint alleging the YES strategy was unsuitable given his age and proximity to retirement, and that Brennan failed to adequately explain the risks. Whitfield claimed damages of \$187,000 plus disgorgement of all fees paid.

Question

Did Brennan's recommendation of the Yield Enhancement Strategy violate FINRA's suitability requirements given Whitfield's investor profile and the documented disclosures provided?

Answer

The recommendation appears to have satisfied FINRA's suitability requirements under Rule 2111. The rule imposes three core obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the recommendation to the customer's profile), and quantitative suitability (ensuring transaction frequency is appropriate).

Regarding reasonable-basis suitability under Rule 2111.05(a), Brennan demonstrated adequate understanding of the

YES strategy through the detailed written disclosures provided to Whitfield, which accurately described the mechanics of selling equity index options spreads and the associated volatility risks. The disclosures specifically warned that significant losses could occur during market stress periods.

For customer-specific suitability under Rule 2111.05(b), Whitfield's documented investor profile strongly supports the recommendation's appropriateness. His \$4.2 million net worth meant the \$650,000 allocation represented approximately 15% of total assets--a reasonable concentration for a growth-oriented investor. His moderate-to-aggressive risk tolerance and stated speculation objective align with options-based income strategies. Critically, Whitfield represented 15 years of investment experience with specific familiarity with options trading, distinguishing him from unsophisticated investors for whom such strategies might be unsuitable.

The documentary evidence significantly bolsters the compliance position. Brennan's contemporaneous emails offering Whitfield exit opportunities when volatility increased, combined with Whitfield's acknowledgment and decision to remain invested, demonstrate ongoing suitability monitoring and informed consent. The amended August 2018 risk disclosures addressing tail-risk scenarios show the firm adapted its disclosures as market conditions evolved.

Whitfield's proximity-to-retirement argument fails because suitability analysis considers the totality of circumstances, not isolated factors. At 58 with substantial wealth and income, a growth allocation with speculation components remained appropriate. Under FINRA Rule 2010's just and equitable principles, the losses resulted from disclosed market risks that materialized, not from unsuitable recommendations or misrepresentations. The claim should be denied.

Key Factor

The customer's documented sophisticated investor profile, explicit risk disclosures, and contemporaneous emails offering exit opportunities establish that the options strategy recommendation met all three components of the suitability obligation despite subsequent losses.

Item 466 of 499**NON-COMPLIANT**

Topic: cross_border_emerging_market_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 23_International_Comparative

Fact Pattern

Helena Marchetti, age 67, was a retired schoolteacher residing in Phoenix, Arizona, with a modest retirement portfolio of \$340,000 held at Frontier Global Advisers, LLC, a dual-registered broker-dealer and investment adviser. In March 2023, her adviser, Derek Thornton, reviewed her account and noted her stated investment objectives as 'income with capital preservation' and her risk tolerance as 'conservative.' Mrs. Marchetti's annual living expenses totaled approximately \$42,000, supplemented by \$28,000 in Social Security benefits, meaning she required approximately \$14,000 annually from her portfolio.

During a meeting on April 5, 2023, Thornton recommended that Mrs. Marchetti allocate \$170,000--exactly 50% of her liquid assets--into the Emerging Frontier Markets Growth Fund, a non-traded interval fund investing primarily in equity securities of companies domiciled in Vietnam, Indonesia, Nigeria, and other developing economies. Thornton emphasized the 'tremendous growth potential' of these markets, citing improving regulatory environments and increasing FDI flows as indicators of future appreciation. He provided her with a glossy marketing brochure but did not discuss the fund's 2% annual management fee, 1.5% distribution fee, limited quarterly liquidity windows, or the fact that the fund had experienced 23% volatility in the prior year.

Mrs. Marchetti signed the subscription documents that day. By November 2023, the fund had declined 18% due to currency depreciation and political instability in several target countries. When Mrs. Marchetti attempted to redeem shares to cover unexpected medical expenses of \$25,000, she discovered she could only redeem 5% of her holdings per quarter, leaving her unable to access the funds she needed. Internal compliance records later revealed that Thornton had received a 4% upfront commission on the sale, significantly higher than the 1% commission available on suitable income-oriented alternatives.

Question

Did Derek Thornton's recommendation of the Emerging Frontier Markets Growth Fund satisfy his suitability and best interest obligations to Mrs. Marchetti under applicable regulatory standards?

Answer

No, Derek Thornton violated both FINRA Rule 2111 (Suitability) and Regulation Best Interest under the Securities Exchange Act. The recommendation was unsuitable on multiple grounds and failed to satisfy the Care Obligation required under Reg BI.

Under FINRA Rule 2111, a recommendation must be suitable based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, and time horizon. Mrs. Marchetti was a 67-year-old retiree with conservative risk tolerance, income-with-preservation objectives, and documented need to draw \$14,000 annually from her portfolio. Allocating 50% of her assets to a volatile, illiquid emerging markets equity fund directly contradicted every element of her investment profile. The fund's 23% historical

volatility was incompatible with her conservative designation, and the interval fund structure with 5% quarterly redemption limits created unacceptable liquidity risk for a client with ongoing income needs.

Under Regulation Best Interest's Care Obligation, Thornton was required to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and have a reasonable basis to believe it was in Mrs. Marchetti's best interest. The evidence demonstrates multiple failures: Thornton did not disclose the fund's elevated fee structure (3.5% combined annual fees), failed to explain liquidity constraints, and did not consider or present lower-cost, more liquid income alternatives. The 4% upfront commission--four times higher than alternatives--suggests the recommendation was motivated by compensation rather than client interest.

The quantitative unsuitability is stark: placing 50% of a conservative retiree's assets in a high-volatility, illiquid emerging markets product constitutes an excessive concentration that no reasonable adviser could justify. Thornton cannot claim reliance on client consent because Reg BI's Care Obligation is not satisfied merely by obtaining signatures; the recommendation itself must objectively serve the customer's best interest considering reasonably available alternatives. The failure to discuss fees, volatility, and liquidity constraints also undermines any argument that Mrs. Marchetti made an informed decision.

Key Factor

Recommending a volatile, illiquid emerging markets fund representing 50% of assets to a conservative 67-year-old retiree with income needs and limited liquidity tolerance directly contradicted her documented investment profile.

Item 467 of 499**NON-COMPLIANT**

Topic: overconcentration_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 74, was a retired school administrator with a total liquid net worth of approximately \$1.85 million held across an individual brokerage account, a traditional IRA, and a revocable living trust. Her stated investment objectives on account documents were income generation and capital preservation, with a moderate risk tolerance and a 5-7 year time horizon given her retirement status and reliance on the accounts for supplemental income. In March 2021, her registered representative at Coastal Ridge Financial Services, LLC, Bradley Jennings, began recommending a series of non-traded Real Estate Investment Trusts (REITs) and Business Development Companies (BDCs), emphasizing their attractive yield characteristics.

Between March 2021 and November 2022, Jennings executed purchases totaling approximately \$1.2 million in these alternative investments across Mrs. Thornton's three accounts, representing approximately 65% of her total portfolio. The products included Meridian Industrial REIT II (\$425,000), Apex Healthcare Properties REIT (\$380,000), and Pinnacle Capital BDC (\$395,000). Each product carried significant liquidity restrictions with 7-10 year expected holding periods, early redemption limitations, and substantial front-end sales charges averaging 7%. Jennings documented in his notes that Mrs. Thornton wanted 'maximum income' but did not document any discussion of concentration risk, liquidity constraints relative to her age and income needs, or the illiquid nature of these investments.

In late 2023, Mrs. Thornton required access to approximately \$200,000 for unexpected medical expenses and discovered she could not liquidate her alternative investment positions without substantial penalties or, in some cases, at all due to redemption suspensions. Her remaining liquid assets of approximately \$650,000 proved insufficient when combined with her fixed income sources to meet ongoing expenses without significantly altering her lifestyle. Mrs. Thornton filed a FINRA arbitration claim against Coastal Ridge Financial Services alleging breach of fiduciary duty, negligent failure to supervise, and unsuitability based on overconcentration.

Question

Did Bradley Jennings violate his suitability obligations under FINRA rules by recommending a 65% concentration in illiquid alternative investments to a 74-year-old retiree with income and capital preservation objectives?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) on multiple grounds. Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

First, regarding quantitative suitability under Rule 2111(b), the 65% concentration in illiquid alternative investments was facially inappropriate for Mrs. Thornton's profile. At age 74 with stated objectives of income generation and capital preservation, her reasonable liquidity needs were substantial and foreseeable. The 7-10 year holding periods on these

products directly conflicted with her 5-7 year stated time horizon and created an obvious mismatch between product characteristics and customer profile.

Second, under the customer-specific suitability obligation of Rule 2111(a), Jennings failed to consider the cumulative effect of his recommendations. While a single alternative investment allocation might be defensible, the systematic buildup to 65% concentration demonstrates a pattern of unsuitable advice. FINRA guidance has consistently emphasized that concentration in illiquid products poses heightened risks requiring careful analysis of the customer's overall financial picture.

Third, Jennings' documentation failures compound the violation. His notes reference 'maximum income' but contain no evidence he discussed or considered liquidity constraints, concentration risks, or early redemption limitations--all material factors for a retiree dependent on her portfolio for supplemental income. This absence of documentation suggests he failed to perform the required reasonable-basis suitability analysis under Rule 2111.

The firm's supervisory obligations under FINRA Rule 3110 were also implicated, as the cumulative concentration should have triggered supervisory review. The 7% front-end loads across \$1.2 million in purchases generated approximately \$84,000 in commissions, creating an incentive structure that supervision should have scrutinized.

Jennings cannot defend on grounds that Mrs. Thornton approved the transactions, as suitability is an independent broker obligation that customer consent does not waive. The recommendation was unsuitable and violated FINRA Rule 2111 and Rule 2010's just and equitable principles of trade.

Key Factor

The 65% concentration in illiquid alternative investments with 7-10 year holding periods was fundamentally incompatible with a 74-year-old retiree's stated 5-7 year time horizon, income needs, and capital preservation objectives.

Item 468 of 499**NON-COMPLIANT**

Topic: suitability_leveraged_etf_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative components;
FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 74, was a retired elementary school teacher who opened an account at Pinnacle Wealth Advisors LLC in March 2019. Her new account documentation indicated she had a conservative risk tolerance, an investment objective of capital preservation and income, a net worth of \$425,000 (excluding her primary residence), liquid assets of \$310,000, and an annual income of \$38,000 from Social Security and a small pension. Mrs. Ellison explicitly noted on her customer profile that she could not afford to lose principal and needed her investments to supplement her fixed retirement income.

Her assigned representative, Derek Fontaine, recommended that Mrs. Ellison invest \$85,000--approximately 27% of her liquid assets--in ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF designed to deliver triple the daily return of the NASDAQ-100 Index. Fontaine described the product to Mrs. Ellison as a 'turbocharged technology fund' that would help her 'catch up' on retirement savings she felt were insufficient. He did not explain the daily reset mechanism, the compounding decay that occurs in volatile markets, or that the product's prospectus explicitly stated it was intended for sophisticated investors with short-term trading horizons.

Mrs. Ellison held the TQQQ position from April 2019 through March 2020. During the COVID-19 market volatility in February-March 2020, the position lost approximately \$61,000, or 72% of her original investment. Fontaine made no effort to monitor the position or contact Mrs. Ellison during the period of extreme volatility, despite TQQQ experiencing daily swings exceeding 15% on multiple occasions. Internal firm emails revealed that Fontaine had received compliance training in January 2019 specifically warning that leveraged and inverse ETFs were generally unsuitable for buy-and-hold retail investors, particularly those with conservative profiles.

Mrs. Ellison filed a FINRA arbitration claim alleging that the recommendation was unsuitable and that Fontaine and Pinnacle Wealth Advisors failed to exercise reasonable care in making the recommendation.

Question

Did Derek Fontaine's recommendation that Mrs. Ellison invest \$85,000 in a 3x leveraged ETF violate FINRA's suitability requirements under Rule 2111?

Answer

The recommendation violated FINRA Rule 2111 on all three suitability components--reasonable-basis, customer-specific, and quantitative suitability.

Regarding reasonable-basis suitability under Rule 2111(a), Fontaine failed to exercise reasonable diligence to understand the risks associated with TQQQ before recommending it. Leveraged ETFs are explicitly designed for short-term trading by sophisticated investors who actively monitor positions. The daily reset mechanism causes significant tracking deviation over longer holding periods, especially in volatile markets. By recommending a

buy-and-hold strategy for a leveraged product without understanding these mechanics, Fontaine lacked the requisite reasonable basis. FINRA has consistently emphasized through guidance that leveraged ETFs require heightened scrutiny and are typically unsuitable for retail investors seeking long-term investments.

The customer-specific suitability violation under Rule 2111(a) is even more egregious. Mrs. Ellison's documented profile--age 74, conservative risk tolerance, capital preservation objective, inability to afford principal loss, and dependence on investments for retirement income--is fundamentally incompatible with a speculative 3x leveraged product. Allocating 27% of her liquid assets to TQQQ exposed her to catastrophic loss potential directly contrary to every stated investment parameter. Fontaine's characterization of the product as a 'turbocharged technology fund' without explaining the daily compounding mechanism, volatility decay, or the prospectus warning about sophisticated short-term investors constitutes a failure to have reasonable grounds to believe the recommendation was suitable for this particular customer.

Additionally, under FINRA Rule 2010's just and equitable principles of trade, the failure to monitor a highly volatile leveraged position during the extreme market conditions of early 2020--despite the firm's own compliance training warning about these products--demonstrates a lack of reasonable care. The 72% loss was a foreseeable consequence of holding a 3x leveraged product through significant volatility.

Pinnacle's defense that Mrs. Ellison signed disclosure documents acknowledging leveraged ETF risks does not cure the suitability violation; a customer's consent cannot transform an unsuitable recommendation into a suitable one. The arbitration panel should find in favor of the claimant.

Key Factor

A 3x leveraged ETF designed for short-term sophisticated traders was recommended as a buy-and-hold investment to a 74-year-old conservative investor who could not afford principal loss.

Item 469 of 499**NON-COMPLIANT**

Topic: variable_annuity_suitability_senior_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); FINRA Regulatory Guidance on Variable Annuity Sales to Senior Investors

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 72, was a retired schoolteacher living in Birmingham, Alabama with a fixed income consisting of her state pension (\$2,800/month) and Social Security benefits (\$1,400/month). In March 2019, she met with registered representative Daniel Kirkwood of Southeastern Financial Partners, LLC to discuss investing the \$285,000 she had recently inherited from her late sister's estate. Mrs. Holloway explicitly stated her investment objectives were capital preservation and generating supplemental income to cover rising healthcare costs. She completed a customer profile form indicating a conservative risk tolerance and a five-year investment time horizon, as she anticipated needing funds for potential assisted living expenses.

Kirkwood recommended that Mrs. Holloway invest \$240,000 (84% of her liquid assets) into the Meridian Select Plus Variable Annuity, a product featuring a 7-year surrender period with declining surrender charges starting at 8% in year one. The annuity offered various sub-account investment options, and Kirkwood allocated 65% to equity growth sub-accounts and 20% to aggressive small-cap funds, with only 15% in fixed income options. The product carried total annual expenses of 3.2%, including mortality and expense charges, administrative fees, and underlying fund expenses. Kirkwood earned a 6.5% commission (\$15,600) on the sale.

During the eighteen months following the purchase, Mrs. Holloway's account declined by approximately \$47,000 due to market volatility affecting the equity-heavy sub-account allocation. When she attempted to access \$35,000 for unexpected medical expenses in September 2020, she was assessed a surrender charge of \$2,380. Internal firm emails obtained during arbitration discovery revealed that Kirkwood had failed to document any meaningful discussion of alternative products, including immediate annuities or short-term bond funds that would have provided the income and liquidity Mrs. Holloway needed. Kirkwood's supervisor, Branch Manager Patricia Stanton, had approved the transaction after only a cursory review of the new account documentation.

Question

Did Daniel Kirkwood's recommendation of the Meridian Select Plus Variable Annuity to Margaret Holloway satisfy FINRA's suitability requirements under Rule 2111?

Answer

The recommendation violated FINRA Rule 2111, and the arbitration panel should find in favor of the claimant. Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Kirkwood failed all three components of the suitability obligation. First, regarding reasonable-basis suitability under Rule 2111.05(a), while variable annuities are legitimate products, recommending one with a 7-year surrender period and 3.2% annual expenses to a 72-year-old investor with a stated five-year time horizon and anticipated liquidity needs

demonstrates a failure to understand the product's appropriateness for this customer segment.

Second, customer-specific suitability under Rule 2111.05(b) was clearly violated. Mrs. Holloway's documented conservative risk tolerance and capital preservation objectives were fundamentally incompatible with an allocation placing 85% of the annuity assets in equity and aggressive small-cap sub-accounts. Her explicit statements about anticipated assisted living expenses signaled obvious liquidity needs that the 7-year surrender period and substantial surrender charges would frustrate.

Third, the concentration of 84% of her liquid assets in a single illiquid product violated quantitative suitability principles. FINRA guidance consistently warns against over-concentration, particularly for senior investors with limited time horizons and income needs.

Kirkwood's failure to document consideration of alternative products--such as immediate annuities or short-term bond funds--evidences a recommendation driven by commission considerations rather than client needs. The 6.5% commission created an obvious incentive misalignment. Additionally, supervisor Stanton's cursory approval suggests a failure of supervisory procedures under FINRA Rule 3110.

Respondents may argue Mrs. Holloway signed disclosure documents acknowledging the surrender charges. However, document execution does not cure an unsuitable recommendation where the customer's stated needs directly conflict with the product's fundamental characteristics. The panel should award compensatory damages including the account losses, surrender charges assessed, and reasonable attorneys' fees.

Key Factor

The recommendation of an illiquid variable annuity with a 7-year surrender period and aggressive equity allocation to a 72-year-old conservative investor with a five-year time horizon and stated liquidity needs was fundamentally unsuitable.

Item 470 of 499**NON-COMPLIANT**

Topic: unauthorized_trading_suitability

Difficulty: hard

Standard: FINRA Rules 2111 (Suitability), 2010 (Standards of Commercial Honor), 3260 (Discretionary Accounts)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Thornton, age 72, was a retired elementary school teacher with a conservative investment profile at Meridian Securities Group. Her account documents from March 2021 indicated a risk tolerance of 'low,' an investment objective of 'capital preservation and income,' liquid net worth of \$340,000, and annual income of \$42,000 from Social Security and a small pension. Her entire investment portfolio of approximately \$285,000 represented her life savings accumulated over 35 years of teaching.

Brandon Kellerman, her registered representative at Meridian Securities Group, had managed her account since 2018. Beginning in September 2022, Kellerman executed a series of transactions in Mrs. Thornton's account without obtaining her prior authorization. Over a seven-month period ending April 2023, Kellerman executed 47 trades, including purchases of leveraged exchange-traded funds tracking emerging market indices, high-yield corporate bond funds rated below investment grade, and concentrated positions in volatile technology sector stocks. The turnover rate in Mrs. Thornton's account exceeded 6.0 during this period, and the cost-to-equity ratio reached 24%.

Mrs. Thornton testified that she had explicitly told Kellerman in August 2022 that she wanted no changes to her portfolio because she was dealing with health issues and needed stability in her finances. She stated she never received trade confirmations because Kellerman had changed her communication preferences to electronic delivery at an email address she rarely checked. When she finally reviewed her December 2022 statement, she discovered her account had declined by \$67,000 and contained securities she had never heard of and never authorized.

Kellerman claimed during FINRA's investigation that Mrs. Thornton had given him verbal discretion to 'do what was best' during a phone call. However, no written discretionary authorization existed in the account records, and the firm's compliance manual explicitly required written authorization for discretionary trading. Kellerman provided inconsistent statements to FINRA investigators regarding the dates and substance of his alleged conversations with Mrs. Thornton about discretionary authority.

Question

Did Kellerman's trading activity in Mrs. Thornton's account violate FINRA's suitability and just and equitable principles of trade requirements?

Answer

Kellerman's conduct constituted multiple violations of FINRA Rules 2111 (Suitability) and 2010 (Standards of Commercial Honor and Principles of Trade). The analysis proceeds on two independent but related grounds: unauthorized trading and quantitative unsuitability.

First, under FINRA Rule 2111(b), a broker must have a reasonable basis to believe that a series of recommended transactions is suitable when taken together in light of the customer's investment profile. Kellerman executed 47 trades over seven months without written discretionary authority, which is required under FINRA Rule 3260 and the firm's

compliance procedures. His claim of verbal discretion is insufficient as a matter of law and was contradicted by his inconsistent statements during the investigation. Unauthorized trading inherently fails the suitability standard because the customer has not consented to the transactions, rendering any suitability analysis by the broker legally irrelevant.

Second, even assuming *arguendo* the trades were authorized, they were quantitatively unsuitable. The turnover rate of 6.0 and cost-to-equity ratio of 24% far exceed the thresholds typically indicative of excessive trading. FINRA guidance establishes that a turnover rate above 6 and cost-to-equity ratio above 20% presumptively indicate churning. For a 72-year-old retiree with low risk tolerance, capital preservation objectives, and no tolerance for speculative investments, the concentrated positions in leveraged ETFs and high-yield bonds were fundamentally inconsistent with her documented investment profile.

Third, under the customer-specific suitability obligation of Rule 2111(a), Kellerman failed to ensure that each recommended security was suitable for Mrs. Thornton. Leveraged ETFs are complex products inappropriate for conservative elderly investors, and high-yield bonds carry credit risk inconsistent with capital preservation objectives.

Kellerman's conduct also violated Rule 2010's requirement that members observe high standards of commercial honor. Changing a customer's communication preferences to conceal trading activity, executing unauthorized trades, and providing false information during an investigation demonstrate conduct fundamentally inconsistent with just and equitable principles of trade.

The violations are established by clear and convincing evidence.

Key Factor

Kellerman executed 47 trades in a conservative elderly customer's account without written discretionary authority and with quantitative indicators (6.0 turnover, 24% cost-to-equity) establishing excessive trading unsuitable for her documented conservative profile.

Item 471 of 499**NON-COMPLIANT**

Topic: platform_failure_suitability_execution

Difficulty: hard

Standard: FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade); FINRA Rule 3110 (Supervision); Broker-dealer duty of care in order execution

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus and Jennifer Whitfield, ages 52 and 49, maintained a joint brokerage account at Pinnacle Securities, LLC since 2016. The Whitfields had moderate risk tolerance, a combined household income of \$185,000, liquid net worth of approximately \$425,000, and a primary investment objective of growth with capital preservation for retirement in 12-15 years. In January 2021, the Whitfields held 800 shares of Vertex Entertainment Corp. (VEC), a volatile small-cap stock they had accumulated over several months at an average cost basis of \$38 per share.

On January 27, 2021, VEC shares surged to \$483 per share amid a market-wide short squeeze affecting several heavily shorted stocks. At approximately 9:45 AM EST, Marcus Whitfield attempted to execute a limit sell order for all 800 shares at \$475 per share through Pinnacle's online trading platform. The platform displayed error messages and failed to process the order. Marcus immediately called Pinnacle's trading desk at 9:52 AM and spoke with representative Thomas Crane, who acknowledged system overload but assured Marcus the order would be manually entered. Marcus requested confirmation of the trade execution.

Despite repeated follow-up calls at 10:15 AM, 10:48 AM, and 11:22 AM, the Whitfields received no confirmation. By 12:30 PM, when Pinnacle's systems stabilized, VEC shares had declined to \$112 per share. Pinnacle finally executed a market sell order at \$108.50 per share at 1:15 PM without the Whitfields' authorization, generating proceeds of \$86,800. Had the original \$475 limit order been executed as requested, the Whitfields would have received \$380,000. The Whitfields alleged Pinnacle failed to maintain adequate trading infrastructure, failed to timely execute their orders, and breached its duty of care by not having sufficient risk management systems during periods of extreme market volatility.

Pinnacle's compliance records showed the firm had received internal warnings about platform capacity limitations in November 2020 but had deferred infrastructure upgrades to Q2 2021 due to budget constraints. The firm's written supervisory procedures required backup manual execution protocols during system outages, but evidence showed the trading desk was understaffed by 40% on January 27, 2021.

Question

Did Pinnacle Securities breach its duty of care and industry standards by failing to execute the Whitfields' trade order in a timely manner and by lacking adequate infrastructure and risk management systems?

Answer

Based on the facts presented, Pinnacle Securities likely breached its duty of care under FINRA Rule 2010 (Standards of Commercial Honor) and failed to observe high standards of commercial honor and just and equitable principles of trade. The firm's conduct demonstrates multiple failures that violated industry standards for order execution and client care.

First, FINRA Rule 2010 requires member firms to conduct business with customers consistent with just and equitable principles of trade. Pinnacle's documented awareness of platform capacity limitations--evidenced by internal warnings in November 2020--combined with its decision to defer infrastructure upgrades despite known risks, demonstrates a conscious disregard for customer interests during foreseeable high-volatility events. This pre-existing knowledge negates any defense of unforeseeable circumstances.

Second, the firm's failure to execute the Whitfields' clearly communicated limit order, despite multiple customer contacts and explicit assurances from representative Crane, constitutes a breach of the broker-dealer's fundamental obligation to effect transactions according to customer instructions. The unauthorized market execution at \$108.50 per share--without customer consent and at a price substantially below the requested \$475 limit--further compounds this violation.

Third, Pinnacle's understaffed trading desk (40% below required levels) on a day of anticipated volatility demonstrates inadequate supervision under FINRA Rule 3110, which requires firms to establish and maintain supervisory systems reasonably designed to achieve compliance. The written supervisory procedures mandating backup manual execution protocols were rendered meaningless by insufficient personnel.

The damages calculation supports an award of \$293,200, representing the difference between the \$380,000 the Whitfields would have received at their requested limit price and the \$86,800 actually received. While Pinnacle may argue market volatility was extraordinary and unforeseeable, the documentary evidence of prior warnings and deferred infrastructure investments undermines this defense.

The panel would likely find Pinnacle liable for compensatory damages based on negligence, breach of contract regarding order execution obligations, and violation of FINRA Rule 2010's commercial honor standards. The firm's systemic failures--not mere isolated technical difficulties--proximately caused the Whitfields' losses.

Key Factor

Pinnacle's documented prior knowledge of platform capacity limitations combined with deferred infrastructure upgrades and inadequate staffing demonstrates a systemic failure to maintain adequate trading systems, proximately causing the Whitfields' inability to execute their sell order at the requested price.

Item 472 of 499

NON-COMPLIANT

Topic: systemic_risk_product_suitability_retail_investor

Difficulty: hard

Standard: Regulation Best Interest, Exchange Act Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 2360 (Options) principles applied to complex products

Source: 16_Congressional_Materials

Fact Pattern

In February 2020, Marcus Thornton, a registered representative with Pinnacle Securities Group, recommended that his client Eleanor Fitzpatrick, age 72, invest \$340,000--representing approximately 65% of her liquid retirement assets--into a leveraged exchange-traded fund (ETF) designed to provide 3x daily exposure to short-term Treasury futures. Eleanor was a retired school administrator with a fixed income consisting of Social Security and a modest pension totaling \$3,200 per month. Her investment objective, as documented on her new account form from 2018, was 'capital preservation with modest income,' and her risk tolerance was marked as 'conservative.' Eleanor had no prior experience with derivatives, leveraged products, or complex financial instruments.

Thornton pitched the investment during a phone call on February 18, 2020, explaining that Treasury-linked products were 'the safest investments available' and that the ETF would provide 'enhanced returns without additional risk since it's backed by government bonds.' He did not explain the mechanics of daily rebalancing, volatility decay, or the compounding effects that make leveraged ETFs unsuitable for long-term holding periods. His call notes simply stated: 'Client interested in better yield on fixed income allocation. Recommended TLTF3X for Treasury exposure.'

When markets experienced severe volatility in March 2020 during the pandemic-related financial instability referenced in Congressional Research Service reports on systemic risk, the leveraged ETF experienced dramatic losses due to volatility decay despite underlying Treasury prices eventually stabilizing. By April 15, 2020, Eleanor's position had declined to approximately \$127,000--a loss of \$213,000 or roughly 63%. Eleanor contacted Pinnacle's compliance department after receiving her quarterly statement, stating she had never understood the product could lose value so rapidly and believed she was purchasing 'safe government bonds.' Pinnacle's product committee had previously flagged the TLTF3X product as inappropriate for customers over age 65 or those with conservative risk profiles, but Thornton had not consulted the internal suitability matrix before making the recommendation.

Question

Did Marcus Thornton satisfy his Regulation Best Interest care obligation when recommending the 3x leveraged Treasury ETF to Eleanor Fitzpatrick?

Answer

No, Marcus Thornton violated Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii). The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation; have a reasonable basis to believe the recommendation is in the retail customer's best interest based on her investment profile; and have a reasonable basis to believe that any series of transactions is not excessive.

Thornton failed each prong of this analysis. First, his recommendation demonstrated inadequate understanding of the product itself. Leveraged ETFs are explicitly designed for short-term trading strategies and experienced investors who

understand daily rebalancing mechanics and volatility decay. The SEC has repeatedly warned that these products can produce results dramatically different from their stated multiples when held for periods longer than one day, particularly during volatile markets. Thornton's mischaracterization of the product as providing 'enhanced returns without additional risk' evidences fundamental misunderstanding or willful misrepresentation.

Second, the recommendation lacked reasonable basis given Eleanor's investment profile. At age 72 with a conservative risk tolerance, capital preservation objective, no derivatives experience, and concentration of 65% of liquid retirement assets, Eleanor's profile was antithetical to leveraged product suitability. Pinnacle's own internal suitability matrix prohibited such recommendations to customers over 65 or with conservative profiles--guidance Thornton ignored.

Third, under the customer-specific component of the Care Obligation, Thornton failed to consider reasonably available alternatives that would have achieved Eleanor's actual objective of modest income with capital preservation, such as investment-grade bond funds or Treasury ladder strategies.

The magnitude of loss--63% during a period when Treasury prices actually recovered--demonstrates precisely why leveraged ETFs are unsuitable for long-term holding by conservative investors. Thornton cannot defend by claiming market conditions were unforeseeable; the 2020 volatility highlighted in CRS systemic risk analysis was exactly the scenario that makes leveraged products inappropriate for Eleanor's profile. The violation is clear and the conduct fell substantially below the standard required by Regulation Best Interest.

Key Factor

Thornton recommended a 3x leveraged ETF--a complex product explicitly unsuitable for long-term holding--to a 72-year-old conservative investor seeking capital preservation, directly contradicting his firm's internal suitability matrix and misrepresenting the product's risk characteristics.

Item 473 of 499

NON-COMPLIANT

Topic: consumer_duty_suitability_vulnerable_customer

Difficulty: hard

Standard: FCA Consumer Duty (PRIN 2A, PRIN 12); PRIN 2A.3 Products and Services Outcome; PRIN 2A.4 Price and Value Outcome; PRIN 2A.5 Consumer Understanding Outcome; FG22/5 Consumer Duty Guidance Chapters 4-6

Source: 23_International_Comparative

Fact Pattern

Meridian Financial Services Ltd, an FCA-authorised investment firm, provided investment advice to Margaret Thornton, a 74-year-old widow residing in Leeds. Mrs. Thornton approached the firm in September 2023 seeking guidance on investing £185,000 she received from her late husband's life insurance policy. During the fact-find process, adviser James Carrington documented that Mrs. Thornton had no prior investment experience, lived on a modest pension of £14,200 annually, and had expressed significant anxiety about potentially losing money. She explicitly stated her primary objective was capital preservation with modest income to supplement her pension, and she needed access to at least £40,000 within the next 18 months to fund home modifications for mobility issues.

Despite documenting these characteristics, Carrington recommended Mrs. Thornton invest £160,000 into a complex structured product linked to FTSE 100 performance with a 6-year lock-in period and capital-at-risk features. The product carried annual charges of 2.8% and would impose early redemption penalties of up to 7% if accessed before maturity. Carrington's suitability report justified the recommendation by citing potential returns of 8-12% annually, which he described as 'essential for keeping pace with inflation.' The report made only passing reference to her vulnerability characteristics and liquidity needs.

Meridian's internal product governance framework classified this structured product as suitable for experienced investors with high risk tolerance and investment horizons exceeding 5 years. The firm's target market assessment specifically excluded customers exhibiting characteristics of vulnerability or those requiring near-term capital access. When the firm's compliance team reviewed a sample of Carrington's client files in January 2024, they discovered that Mrs. Thornton's case was one of seven instances where similar products had been recommended to customers outside the defined target market. By this time, Mrs. Thornton had been unable to access funds for her home modifications without incurring a £9,800 penalty.

Question

Did Meridian Financial Services Ltd and its adviser James Carrington comply with the FCA Consumer Duty requirements in recommending the structured product to Mrs. Thornton?

Answer

Meridian Financial Services Ltd and adviser James Carrington clearly failed to comply with the FCA Consumer Duty under PRIN 2A and the associated outcome rules. This constitutes a serious breach of multiple interconnected requirements.

Under the Consumer Duty's overarching principle (PRIN 12), firms must act to deliver good outcomes for retail customers. The cross-cutting rules require firms to act in good faith, avoid causing foreseeable harm, and enable customers to pursue their financial objectives. Carrington's recommendation directly contradicted Mrs. Thornton's

stated objective of capital preservation and liquidity, causing foreseeable harm to a customer whose vulnerability characteristics were documented.

The Products and Services outcome (PRIN 2A.3) requires that products be designed to meet the needs of an identified target market and that firms only distribute products to customers within that target market. Meridian's own governance framework excluded vulnerable customers and those requiring near-term liquidity from this product's target market. Recommending the structured product to Mrs. Thornton--a 74-year-old widow with no investment experience, documented anxiety about losses, and explicit liquidity needs--represents a fundamental failure to ensure distribution aligned with target market parameters.

The Price and Value outcome (PRIN 2A.4) requires reasonable relationship between price and benefit. Annual charges of 2.8% combined with early redemption penalties of 7% cannot provide fair value to a customer who needed capital access within 18 months. The product's value proposition was inherently incompatible with her circumstances.

The Consumer Understanding outcome (PRIN 2A.5) requires communications that equip consumers to make informed decisions. The suitability report's emphasis on potential returns while minimizing discussion of liquidity constraints and vulnerability considerations failed this standard.

Pursuant to FG22/5 (Consumer Duty Guidance), firms must pay particular attention to customers with characteristics of vulnerability. Mrs. Thornton's age, recent bereavement, lack of investment experience, and health-related financial needs constituted clear vulnerability indicators that demanded enhanced care, not disregard.

The firm cannot defend this recommendation by citing Carrington's stated inflation concerns, as these theoretical benefits were entirely outweighed by the product's incompatibility with documented customer needs and the firm's own target market restrictions.

Key Factor

The adviser recommended a complex product with a 6-year lock-in period to a vulnerable 74-year-old customer who explicitly required access to £40,000 within 18 months and sought capital preservation, directly contradicting documented needs and the firm's own target market parameters.

Item 474 of 499**NON-COMPLIANT**

Topic: suitability_elderly_client_estate_planning_products

Difficulty: medium

Standard: FINRA Rule 2330 (Deferred Variable Annuities); FINRA Rule 2111 (Suitability); FINRA Rule 4512 (Customer Account Information)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Holloway, an 84-year-old widow residing in Tampa, Florida, had been a client of Coastal Harbor Securities since 2012. Her registered representative, Daniel Kreider, had managed her \$620,000 investment portfolio, which represented substantially all of her liquid assets. Mrs. Holloway's investment profile, documented on her account forms dated January 2019, indicated a conservative risk tolerance, income-generation objective, a 3-5 year investment time horizon, and moderate financial sophistication. Her sole sources of income were Social Security payments of \$2,100 monthly and required minimum distributions from her IRA.

In March 2019, during a meeting at Mrs. Holloway's assisted living facility, Kreider recommended that she liquidate \$400,000 of her diversified municipal bond portfolio and purchase a variable annuity with a 10-year surrender period and annual surrender charges beginning at 8%. Kreider emphasized that the annuity would provide guaranteed income and help with her estate planning goals of leaving assets to three local charities she had supported for decades. Mrs. Holloway had expressed concern about simplifying her affairs and ensuring the charities received her assets upon her death.

Kreider's recommendation did not account for Mrs. Holloway's documented 3-5 year investment horizon, her age of 84, or the illiquidity implications of a 10-year surrender period. The variable annuity's M&E fees totaled 1.45% annually, and the underlying subaccounts carried expense ratios averaging 0.85%. Kreider earned a commission of \$28,000 on the transaction. Coastal Harbor's supervisory review, conducted by branch manager Patricia Vinson, approved the transaction within 24 hours without requesting additional documentation regarding Mrs. Holloway's liquidity needs, health status, or whether simpler estate planning mechanisms such as beneficiary designations or transfer-on-death arrangements might achieve her charitable objectives.

Five months later, Mrs. Holloway required access to \$75,000 for unexpected medical expenses and memory care costs. The surrender charge resulted in a \$6,000 penalty, and she faced additional tax consequences from the withdrawal.

Question

Did Daniel Kreider's recommendation that Margaret Holloway purchase a variable annuity with a 10-year surrender period satisfy FINRA's suitability requirements for annuity recommendations to senior investors?

Answer

No, Kreider's recommendation violated FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) and FINRA Rule 2111 (Suitability). The recommendation was unsuitable under both customer-specific and quantitative suitability standards.

FINRA Rule 2330(b) requires that a member or associated person have a reasonable basis to believe that a deferred

variable annuity transaction is suitable based on the customer's investment profile, including age, liquidity needs, investment time horizon, and existing assets. Mrs. Holloway's documented profile created multiple red flags: at age 84 with a 3-5 year investment horizon, a 10-year surrender period product was fundamentally mismatched to her circumstances. Rule 2330 specifically requires consideration of surrender period duration relative to the customer's needs.

Under FINRA Rule 2111(a), the recommendation failed customer-specific suitability analysis. Mrs. Holloway's conservative risk tolerance and income-generation objective were inconsistent with a variable annuity carrying 2.30% in combined annual fees that would erode principal. Her liquidity needs were foreseeable given her age, assisted living residence, and reliance on the portfolio as her primary liquid asset base.

The supervisory failures compound the violation. FINRA Rule 2330(c) mandates that a registered principal review and approve each deferred variable annuity transaction, with particular attention to whether the customer would benefit from the product's features. Vinson's 24-hour approval without inquiry into Mrs. Holloway's health status, liquidity reserves, or alternative estate planning mechanisms constitutes deficient supervision under Rule 2330(c)(1).

Kreider's defense that Mrs. Holloway expressed estate planning goals is unavailing. Simpler mechanisms--beneficiary designations, payable-on-death arrangements, or charitable remainder trusts--could have achieved her charitable objectives without a decade-long surrender period and substantial fees. The \$28,000 commission suggests Kreider prioritized compensation over client welfare. The subsequent surrender charge loss confirms the predictable harm from recommending an illiquid product to an elderly client with limited income sources and foreseeable healthcare needs.

Key Factor

The recommendation of a 10-year surrender period product to an 84-year-old client with a documented 3-5 year investment horizon and foreseeable liquidity needs was fundamentally unsuitable regardless of the client's expressed estate planning goals.

Item 475 of 499

NON-COMPLIANT

Topic: unsuitable_alternative_investment_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 210 (Standards of Commercial Honor and Principles of Trade); FINRA Regulatory Notice guidance on concentration limits and alternative investments

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 71, was a retired schoolteacher who had accumulated approximately \$485,000 in liquid assets, consisting primarily of certificates of deposit, Treasury bonds, and a conservative balanced mutual fund. Her monthly pension and Social Security income covered her living expenses, and she maintained a modest emergency fund of \$35,000. In March 2022, Mrs. Holloway met with registered representative Daniel Vance of Apex Capital Services, LLC to discuss her investment objectives following the death of her husband. She clearly articulated that her primary goals were capital preservation and generating supplemental income to cover unexpected medical expenses, as she had recently been diagnosed with early-stage Parkinson's disease. She emphasized her inability to tolerate significant losses and her potential need for liquidity within 2-3 years for anticipated home modifications and medical equipment.

Vance recommended that Mrs. Holloway allocate \$275,000--approximately 57% of her liquid assets--into a non-traded real estate investment trust (REIT) marketed under the name Pinnacle Commercial Properties Fund II. The REIT had a 7-year investment horizon before any liquidity event, offered no meaningful secondary market, and carried substantial upfront fees totaling 12% of the invested principal. Vance explained that the projected 6.5% annual distribution would provide the income she sought, but minimized discussion of the illiquidity constraints and the speculative nature of the underlying commercial real estate holdings, which were concentrated in retail and office properties facing significant post-pandemic headwinds.

Vance's firm, Apex Capital Services, had previously flagged representatives for overconcentration in alternative products, and the compliance manual explicitly stated that non-traded REITs should generally not exceed 10% of a client's liquid net worth for clients over age 65 with conservative risk profiles. Mrs. Holloway's new account form, completed by Vance, listed her risk tolerance as 'moderate growth' and her investment time horizon as '10+ years,' despite her verbal statements indicating otherwise. Within 18 months, Mrs. Holloway required approximately \$150,000 for medical expenses and home modifications but was unable to liquidate her REIT position without accepting a substantial loss through a limited tender offer at 65 cents on the dollar.

Question

Did Daniel Vance's recommendation that Mrs. Holloway invest 57% of her liquid assets in a non-traded REIT violate FINRA's suitability requirements given her stated investment objectives, risk tolerance, and liquidity needs?

Answer

The recommendation clearly violated FINRA Rule 2111 (Suitability) across all three components: reasonable-basis, customer-specific, and quantitative suitability. The analysis proceeds as follows:

First, regarding customer-specific suitability under Rule 2111(a), a registered representative must have a reasonable basis to believe that a recommendation is suitable based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk

tolerance. Mrs. Holloway's profile was unambiguous: she was 71 years old, recently widowed, facing a progressive medical condition, with stated objectives of capital preservation and income generation, a 2-3 year liquidity timeline, and explicit intolerance for significant losses. The non-traded REIT directly contradicted every material element of her investment profile--a 7-year lock-up period versus her 2-3 year liquidity need, speculative commercial real estate versus capital preservation, and 12% upfront fees eroding her principal.

Second, the 57% concentration in a single illiquid alternative investment grossly exceeded both industry standards and Apex Capital's own compliance guidelines limiting such products to 10% for elderly conservative investors. FINRA has consistently held that overconcentration in unsuitable products violates suitability obligations.

Third, Vance's manipulation of the new account documentation--recording 'moderate growth' risk tolerance and '10+ years' time horizon contrary to Mrs. Holloway's explicit verbal representations--constitutes a separate violation of FINRA Rule 2010 (Standards of Commercial Honor) and evidences knowledge of the recommendation's unsuitability. The falsified documentation cannot shield the representative from suitability liability when the actual customer profile was known.

Defenses based on the signed account documentation fail because suitability is assessed based on the customer's actual profile, not fabricated records. The projected 6.5% distribution does not justify the recommendation where the product's fundamental characteristics--illiquidity, concentration, and speculative nature--were wholly incompatible with the customer's needs. The recommendation was unsuitable and violated FINRA Rules 2111 and 2010.

Key Factor

The adviser recommended concentrating 57% of a 71-year-old widow's liquid assets in a 7-year illiquid product despite her explicitly stated 2-3 year liquidity need and conservative risk tolerance, and falsified account documentation to mask the unsuitability.

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NON-COMPLIANT

Topic: unsuitable_concentration_recommendation

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, was a retired elementary school teacher who had accumulated \$485,000 in her 403(b) retirement account over her 35-year career. In March 2023, she met with registered representative David Kellerman of Piedmont Capital Group, seeking advice on generating income during retirement while preserving her principal for healthcare expenses and a modest inheritance for her two grandchildren. Mrs. Thornton completed a new account form indicating she had limited investment knowledge, a conservative risk tolerance, an investment time horizon of 10-15 years, and a primary objective of capital preservation with income generation. Her liquid net worth outside the 403(b) consisted of approximately \$42,000 in a savings account, and her annual pension income was \$38,000.

Between April and July 2023, Kellerman recommended Mrs. Thornton roll over her entire 403(b) into an IRA at Piedmont and subsequently invest \$390,000 (approximately 80% of her retirement assets) into three non-traded Real Estate Investment Trusts (REITs): Heartland Commercial Properties REIT (\$150,000), Sunrise Healthcare REIT (\$140,000), and Metro Industrial REIT (\$100,000). Kellerman represented these investments as 'stable income producers' that would generate 6-7% annual distributions. He provided product brochures but did not emphasize the illiquid nature of these investments, the typical 7-10 year holding periods, or the fact that distributions could include return of principal rather than actual income.

By early 2024, Mrs. Thornton needed to access approximately \$75,000 for unexpected medical expenses related to her husband's hospitalization. She discovered that the non-traded REITs had no secondary market, redemption programs were severely limited, and two of the three REITs had suspended their share repurchase programs entirely due to liquidity constraints. Additionally, the estimated values of her REIT holdings had declined by approximately 22% based on updated NAV calculations. Mrs. Thornton's accessible liquid assets were now insufficient to cover her medical needs.

Piedmont Capital Group's written supervisory procedures required heightened suitability review for any recommendation to invest more than 25% of a client's liquid net worth in illiquid alternative investments, particularly for clients over age 65. Internal records showed that Kellerman's branch manager approved the transactions but documented only a cursory review noting 'client seeking income, REITs appropriate for income objective' without addressing concentration risk or liquidity concerns.

Question

Did David Kellerman's recommendation that Mrs. Thornton invest 80% of her retirement assets in non-traded REITs violate FINRA suitability requirements given her conservative risk profile, limited liquid assets, and need for capital preservation?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111. The analysis requires examination of all three

suitability components--reasonable-basis, customer-specific, and quantitative suitability--with the customer-specific obligation being most clearly breached.

Under FINRA Rule 2111(a), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Kellerman failed this standard on multiple dimensions.

First, regarding customer-specific suitability under Rule 2111.05(a), the 80% concentration in illiquid non-traded REITs was fundamentally incompatible with Mrs. Thornton's stated conservative risk tolerance and capital preservation objective. At age 67, with limited liquid assets outside her retirement account and no indication she could sustain significant losses, recommending an investment that carried substantial illiquidity risk and potential for principal loss directly contradicted her documented investment profile.

Second, the concentration violated reasonable liquidity planning requirements. FINRA guidance has consistently emphasized that recommendations to elderly clients with limited assets must account for potential liquidity needs. Mrs. Thornton's \$42,000 in savings provided minimal cushion, and the recommendation effectively locked 80% of her retirement assets in products with 7-10 year holding periods and uncertain redemption features.

Third, Piedmont's own supervisory procedures established a 25% concentration threshold for illiquid alternatives for clients over 65, creating an internal standard that Kellerman exceeded by more than three times. While internal thresholds are not dispositive, they evidence the firm's own recognition that such concentration poses elevated suitability concerns.

The branch manager's cursory approval, focusing solely on income objectives while ignoring concentration and liquidity factors, represents a supervisory failure under FINRA Rule 3110 but does not absolve Kellerman of his primary suitability obligation. The fact that REITs generate income does not render them suitable when the overall recommendation creates liquidity constraints and concentration risk incompatible with the customer's profile.

The defense that Mrs. Thornton signed acknowledgment forms is unavailing; customer consent does not cure an unsuitable recommendation where the broker possesses superior knowledge of product characteristics.

Key Factor

Recommending 80% concentration in illiquid non-traded REITs to a 67-year-old retiree with limited liquid assets and documented conservative risk tolerance and capital preservation objectives directly contradicted customer-specific suitability requirements.

Item 477 of 499**NON-COMPLIANT**

Topic: unsuitable_concentrated_position_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a)-(c) (Reasonable-Basis, Customer-Specific, and Quantitative Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, was a retired school administrator with \$485,000 in liquid savings representing her entire retirement nest egg. In March 2022, she became a client of Pinnacle Wealth Advisors, LLC, and was assigned to registered representative Derek Simmons. During the new account opening process, Mrs. Thornton completed a client profile indicating she had a conservative risk tolerance, an investment objective of capital preservation with modest income, a 10-year investment horizon, and limited investment experience consisting only of certificates of deposit and money market funds. She explicitly noted on her intake form that she could not afford significant losses and needed reliable income to supplement her pension and Social Security.

Between April and August 2022, Simmons recommended that Mrs. Thornton invest \$340,000--approximately 70% of her liquid assets--into a single technology sector exchange-traded fund (ETF) that focused on early-stage artificial intelligence companies. The fund prospectus disclosed high volatility characteristics and stated it was appropriate for investors with aggressive risk tolerance and long time horizons who could withstand substantial principal loss. Simmons told Mrs. Thornton the investment would provide 'guaranteed growth' and that AI stocks were 'the safest bet in the market right now.'

By December 2022, the technology sector ETF had declined 43%, reducing Mrs. Thornton's position to approximately \$193,800--a loss of \$146,200. Mrs. Thornton filed a FINRA arbitration claim against Pinnacle Wealth Advisors and Simmons individually, alleging the recommendation was unsuitable given her documented profile. In discovery, Simmons's internal notes revealed he had earned an elevated commission rate on the ETF sales and had recommended the same concentrated position to fourteen other clients that quarter, regardless of their individual profiles.

Question

Did Derek Simmons's recommendation that Mrs. Thornton invest 70% of her retirement savings in an aggressive technology sector ETF violate FINRA's suitability requirements?

Answer

The recommendation clearly violated FINRA Rule 2111 (Suitability) across all three component obligations. FINRA Rule 2111(a) requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence regarding the customer's investment profile.

First, regarding reasonable-basis suitability under Rule 2111.05(a), while Simmons may have understood the ETF's basic characteristics, his representation that it offered 'guaranteed growth' and was 'the safest bet' demonstrates a fundamental misunderstanding or deliberate mischaracterization of a volatile, aggressive-growth vehicle.

Second, and most critically, the recommendation failed customer-specific suitability under Rule 2111.05(b). Mrs. Thornton's documented profile established: (1) conservative risk tolerance, (2) capital preservation objective, (3) limited investment experience, (4) retirement-stage life circumstances, and (5) an explicit statement that she could not afford significant losses. The ETF prospectus expressly stated it was appropriate for aggressive investors who could withstand substantial principal loss--the precise opposite of Mrs. Thornton's profile. Concentrating 70% of her retirement assets in this single volatile position was fundamentally incompatible with her stated needs.

Third, the quantitative suitability component under Rule 2111.05(c) is implicated by the concentration itself. Even if the ETF were otherwise appropriate, placing 70% of a conservative retiree's assets in a single sector position created excessive exposure inconsistent with prudent diversification for her profile.

Simmons's internal notes revealing commission motivation and pattern practice of recommending this position regardless of client profile further evidence a violation of FINRA Rule 2010 (Standards of Commercial Honor), as the recommendations were driven by compensation rather than client suitability. The respondent cannot credibly argue reliance on customer approval, as suitability obligations are non-delegable and the customer lacked sophistication to independently evaluate the recommendation's appropriateness. The \$146,200 loss was a direct, foreseeable consequence of this unsuitable recommendation.

Key Factor

The recommendation of a volatile, aggressive-growth ETF to a conservative, retirement-stage investor with documented capital preservation objectives and limited experience directly contradicted every element of her customer-specific suitability profile.

Item 478 of 499

NON-COMPLIANT

Topic: unsuitable_speculative_recommendations_conservative_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision)

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Holloway, a 68-year-old retired schoolteacher, opened an account with Eastbrook Securities LLC in March 2022. During her new account interview, Margaret clearly articulated her investment objectives: capital preservation and income generation to supplement her \$2,400 monthly pension. She indicated a conservative risk tolerance on her account documentation and stated she could not afford to lose principal because her \$185,000 in savings represented her entire liquid net worth. Her annual income was approximately \$32,000, consisting primarily of her pension and Social Security benefits.

Her registered representative, Daniel Vasquez, initially recommended a portfolio of investment-grade municipal bonds and dividend-paying blue-chip equities consistent with her stated objectives. However, beginning in June 2022, Vasquez began recommending that Margaret allocate a significant portion of her portfolio to speculative biotechnology stocks and leveraged exchange-traded funds. Vasquez told Margaret that these investments would 'turbocharge' her retirement income and that he had 'inside knowledge' about upcoming FDA approvals that would generate substantial returns.

Between June 2022 and December 2022, Margaret invested \$95,000--over 51% of her liquid assets--into three early-stage biotechnology companies with no revenue and two triple-leveraged semiconductor ETFs. Vasquez did not explain the decay mechanism inherent in leveraged ETFs or the high failure rate of clinical-stage biotech companies. When Margaret expressed concern about the volatility she observed, Vasquez assured her the positions were 'temporary' and would be liquidated once target prices were reached.

By February 2023, Margaret's speculative positions had declined by approximately \$67,000, representing a 70% loss on those investments. Her remaining portfolio value was approximately \$118,000, significantly impairing her retirement security. Vasquez's supervisor at Eastbrook, who was responsible for reviewing trade blotters, had not flagged the concentrated speculative positions in Margaret's account despite her documented conservative profile.

Question

Did Daniel Vasquez's recommendations of speculative biotechnology stocks and leveraged ETFs to Margaret Holloway violate FINRA's suitability requirements?

Answer

Yes, Daniel Vasquez's recommendations clearly violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor). The analysis involves multiple components of the suitability obligation.

Under FINRA Rule 2111(a), a member or associated person must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This profile includes age, financial situation, tax status, investment objectives, investment experience,

investment time horizon, liquidity needs, and risk tolerance.

Vasquez violated all three suitability components. First, regarding reasonable-basis suitability, Vasquez failed to understand the products he recommended. Leveraged ETFs are designed for short-term trading and experience significant value decay over time due to daily rebalancing--making them categorically unsuitable for a buy-and-hold retirement investor. FINRA has repeatedly emphasized that leveraged ETFs are inappropriate for typical retail investors seeking long-term holdings.

Second, regarding customer-specific suitability, Vasquez's recommendations were fundamentally incompatible with Margaret's documented profile. A 68-year-old retiree with \$185,000 in total liquid assets, a conservative risk tolerance, capital preservation objectives, and limited income should not have 51% of her portfolio allocated to highly speculative securities. Her investment profile explicitly indicated she could not afford principal loss.

Third, regarding quantitative suitability, while traditionally applied to excessive trading, the concentration of speculative positions constituted an excessive level of risk relative to Margaret's profile.

Vasquez's assurances about 'inside knowledge' and characterizing speculative positions as 'temporary' do not constitute adequate disclosure and may constitute additional violations. The substantial \$67,000 loss--representing approximately 36% of her entire liquid net worth--demonstrates the concrete harm caused by these unsuitable recommendations.

Additionally, Eastbrook's supervisory failures under FINRA Rule 3110 are implicated, as the firm failed to detect and prevent recommendations that were patently inconsistent with the customer's documented investment profile. The sanctions should include disgorgement, restitution to the customer, and a substantial suspension or bar.

Key Factor

The representative recommended speculative biotechnology stocks and leveraged ETFs to a 68-year-old conservative retiree who documented that capital preservation was her primary objective and that she could not afford to lose principal.

Item 479 of 499**NON-COMPLIANT**

Topic: unsuitable_speculative_trading_retired_investor

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a)-(c) (reasonable-basis, customer-specific, and quantitative suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Margaret Holloway, age 72, was a retired schoolteacher who opened an account with Pinnacle Securities Group LLC in March 2023. During her new account interview with registered representative Derek Simmons, Mrs. Holloway disclosed that her total liquid net worth was approximately \$340,000, consisting primarily of her teacher's pension rollover. She stated her investment objective was capital preservation with modest income generation, her risk tolerance was conservative, and her time horizon was 5-7 years as she needed the funds to supplement her fixed pension income and cover potential healthcare expenses. She explicitly told Simmons that she could not afford to lose principal and had never invested in anything more aggressive than certificates of deposit and government bonds.

Between March 2023 and August 2024, Simmons recommended and executed a series of trades that fundamentally contradicted Mrs. Holloway's stated profile. He placed approximately 65% of her portfolio--roughly \$221,000--into leveraged ETFs tracking the technology sector, small-cap growth stocks, and options strategies. Simmons told Mrs. Holloway these investments would 'catch up her retirement savings' and generate 'substantial returns to offset inflation.' He failed to explain the daily reset mechanism of leveraged ETFs, the volatility decay that occurs with these products over time, or the substantial risk of loss inherent in options trading.

By October 2024, Mrs. Holloway's account had declined in value to approximately \$187,000, representing a loss of roughly \$153,000 or 45% of her original investment. Simmons had executed over 40 transactions during this period, generating approximately \$18,500 in commissions. When Mrs. Holloway confronted Simmons about the losses, he assured her the market would recover and recommended she hold the positions. Internal compliance reviews at Pinnacle Securities had flagged the account twice for concentration concerns, but no supervisory action was taken to restrict trading or contact the customer.

Question

Did Derek Simmons violate his suitability obligations under FINRA rules by recommending leveraged ETFs, small-cap growth stocks, and options to Mrs. Holloway?

Answer

Derek Simmons violated FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial Honor) through his recommendations to Mrs. Holloway. The analysis proceeds across the three suitability components established under Rule 2111.

Regarding reasonable-basis suitability under Rule 2111.05(a), Simmons failed to adequately understand the products he recommended. Leveraged ETFs are complex instruments designed for short-term trading by sophisticated investors who understand daily reset mechanisms and volatility decay. FINRA has consistently warned that these products are generally unsuitable for retail investors seeking long-term holdings, particularly those with conservative profiles.

Under customer-specific suitability per Rule 2111.05(b), the violations are most egregious. Mrs. Holloway's documented profile--72 years old, conservative risk tolerance, capital preservation objective, limited liquid assets of \$340,000, dependence on these funds for living expenses--was fundamentally incompatible with a portfolio concentrated 65% in leveraged ETFs, speculative growth stocks, and options. The rule explicitly requires that recommendations be suitable based on the customer's age, financial situation, investment objectives, risk tolerance, and needs. Simmons disregarded every element of this profile.

Quantitative suitability under Rule 2111.05(c) is also implicated given the 40+ transactions generating \$18,500 in commissions--a turnover rate and cost-to-equity ratio suggesting excessive trading inconsistent with any reasonable investment strategy for a retired conservative investor.

Simmons's assurances about 'catching up retirement savings' do not constitute adequate disclosure of risks and cannot serve as a defense. The compliance flags that went unaddressed further demonstrate systemic failures under FINRA Rule 3110 regarding supervisory obligations. The \$153,000 loss--45% of Mrs. Holloway's retirement assets--directly resulted from recommendations that violated both the letter and spirit of suitability requirements. This conduct fails to meet the high standards of commercial honor required under Rule 2010.

Key Factor

Simmons recommended highly speculative, complex products including leveraged ETFs and options to a 72-year-old conservative investor whose documented objective was capital preservation, directly contradicting every element of her customer profile.

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NON-COMPLIANT

Topic: unsuitable_concentrated_position_retirement_client

Difficulty: hard

Standard: Investment Advisers Act of 1940 Section 206(1) and 206(2); SEC Fiduciary Interpretation (IA-5248); Duty of Care requiring advice in client's best interest based on client's investment profile

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Meridian Wealth Partners LLC, a registered investment adviser based in Palm Beach, Florida, managed discretionary accounts for approximately 85 clients with combined assets of approximately \$78 million. The firm's founder and sole investment adviser representative, Marcus Dellacroix, had been managing money since 2018. In January 2024, Dellacroix took on a new client, Eleanor Whitfield, a 71-year-old retired schoolteacher who had recently received \$425,000 from her late husband's life insurance policy. Mrs. Whitfield completed a detailed client intake questionnaire indicating she had a conservative risk tolerance, needed the funds to supplement her \$2,100 monthly Social Security income, had no other significant assets besides her paid-off residence valued at approximately \$180,000, and had an investment objective of capital preservation with modest income generation. She explicitly stated on her questionnaire that she could not afford to lose more than 10% of her principal.

Despite Mrs. Whitfield's documented profile, Dellacroix recommended and subsequently invested 72% of her portfolio (\$306,000) in a single commodities-focused master limited partnership (MLP), Apex Energy Partners LP, which Dellacroix personally believed was significantly undervalued. The MLP had experienced 45% price volatility over the prior 18 months and paid distributions that fluctuated between 2% and 12% annually depending on energy prices. The remaining 28% was placed in a high-yield bond fund rated BB- on average. Dellacroix's investment memorandum for Mrs. Whitfield's account noted that 'client seeks income' but made no mention of her conservative risk tolerance, her age, her limited financial resources, or her stated maximum loss tolerance.

By August 2024, the MLP had declined 38% in value due to falling natural gas prices, reducing Mrs. Whitfield's portfolio to approximately \$295,000. When Mrs. Whitfield contacted Dellacroix expressing distress about the losses, he assured her the position would recover and recommended she 'stay the course.' No rebalancing or risk mitigation was undertaken. Mrs. Whitfield filed a complaint with the SEC in October 2024, prompting an examination of Meridian Wealth Partners.

Question

Did Marcus Dellacroix and Meridian Wealth Partners LLC breach their fiduciary duty of care under the Investment Advisers Act by recommending a concentrated, volatile commodities investment to Mrs. Whitfield?

Answer

Yes, Dellacroix and Meridian Wealth Partners breached their fiduciary duty of care under Section 206 of the Investment Advisers Act of 1940. Investment advisers owe their clients both a duty of care and a duty of loyalty, as established by the Supreme Court in *SEC v. Capital Gains Research Bureau* and codified in the SEC's 2019 Fiduciary Interpretation. The duty of care requires advisers to provide advice that is in the client's best interest based on the client's objectives, risk tolerance, financial situation, and other relevant factors.

The facts demonstrate multiple violations of this standard. First, Mrs. Whitfield's documented profile established she

was a 71-year-old retiree with conservative risk tolerance, limited income (\$2,100/month Social Security), no other significant liquid assets, and an explicit maximum loss tolerance of 10%. These factors required a conservative, diversified portfolio emphasizing capital preservation. Instead, Dellacroix concentrated 72% of her assets in a single highly volatile MLP that had exhibited 45% price volatility--a product categorically unsuitable for any conservative investor, let alone an elderly client dependent on these funds for living expenses.

Second, Dellacroix's investment memorandum selectively noted only that 'client seeks income' while omitting her conservative risk tolerance, age, limited resources, and stated loss parameters. This selective documentation suggests Dellacroix either failed to conduct reasonable due diligence on suitability or deliberately ignored material client information when making the recommendation.

Third, the adviser's personal belief that the MLP was 'undervalued' does not satisfy the duty of care. An adviser's market views cannot override documented client suitability factors. The duty requires the adviser to act in the client's best interest, not to impose the adviser's own investment thesis on an unsuitable client.

Finally, Dellacroix's failure to rebalance or mitigate risk after the 38% decline, instead advising Mrs. Whitfield to 'stay the course,' compounded the initial breach by perpetuating an unsuitable allocation. The losses sustained (approximately \$130,000) far exceeded her stated 10% loss tolerance, demonstrating the foreseeable harm from the unsuitable recommendation.

Key Factor

Dellacroix concentrated 72% of a conservative 71-year-old retiree's life savings in a single volatile commodities MLP despite her documented 10% maximum loss tolerance and capital preservation objective.

Item 481 of 499

NON-COMPLIANT

Topic: suitability_complex_products_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Eleanor Whitfield, age 74, was a retired schoolteacher who had accumulated \$485,000 in savings, primarily held in certificates of deposit and a traditional IRA rollover from her pension. In March 2021, she became a client of Coastal Ridge Financial Services, LLC, seeking conservative income to supplement her Social Security benefits of \$2,100 per month. Her new account form indicated a 'conservative' risk tolerance, 'income' as her primary investment objective, a 10-year time horizon, and limited investment experience confined to CDs and savings bonds. Her annual income was approximately \$38,000, and she had no other liquid assets beyond her home valued at \$225,000.

Her assigned representative, Marcus Henley, recommended that Mrs. Whitfield invest \$320,000--approximately 66% of her liquid net worth--into a portfolio of leveraged exchange-traded notes (ETNs) focused on commodities and emerging market currencies. Henley explained these products would provide 'enhanced yield opportunities' and described them as 'similar to bonds but with better returns.' The ETNs carried 2x and 3x leverage factors and were designed for short-term tactical trading, with prospectus warnings explicitly stating they were unsuitable for investors planning to hold positions for more than one trading session.

Over the following eight months, Mrs. Whitfield's portfolio declined by \$187,000 due to the compounding effects of daily leverage resets during volatile market conditions. When she contacted Henley expressing concern, he advised her to 'hold tight' and wait for recovery. By December 2021, her account value had fallen to \$133,000. Mrs. Whitfield filed a FINRA arbitration claim in February 2022, alleging unsuitable recommendations and breach of the duty of care under Regulation Best Interest.

Coastal Ridge's compliance records showed that Henley had completed the firm's product training module on leveraged ETNs but that no supervisory review had flagged the concentration of complex products in an elderly conservative investor's account. The firm's written supervisory procedures required heightened review for customers over age 65 investing in complex products, but no such review occurred.

Question

Did Marcus Henley's recommendation of leveraged ETNs to Eleanor Whitfield violate FINRA's suitability requirements and Regulation Best Interest's care obligation?

Answer

Yes, Marcus Henley's recommendation violated both FINRA Rule 2111 (Suitability) and Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii). The violations are clear across multiple dimensions of the regulatory framework.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on their investment profile, including age, financial situation, risk tolerance, investment

objectives, and time horizon. Mrs. Whitfield's profile--a 74-year-old conservative investor seeking income with limited investment experience and a 10-year horizon--was fundamentally incompatible with leveraged ETNs designed for short-term tactical trading. The product prospectuses themselves warned against holding positions beyond a single trading session, yet Henley advised a buy-and-hold strategy.

The concentration element compounds the violation. Recommending that 66% of a client's liquid net worth be invested in complex leveraged products violates the quantitative suitability component of Rule 2111. Even if individual transactions might theoretically be suitable in isolation, the cumulative effect created excessive exposure to volatility decay and compounding losses entirely inappropriate for an income-focused retiree.

Under Regulation Best Interest's Care Obligation, Henley was required to exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommended securities and have a reasonable basis to believe the recommendation was in the customer's best interest. The recommendation failed this standard because: (1) leveraged ETNs' mechanics are unsuitable for conservative income investors; (2) the concentration violated prudent diversification principles; and (3) Henley's characterization of the products as 'similar to bonds' was materially misleading.

The firm's failure to conduct the heightened supervisory review required by its own WSPs for elderly investors in complex products further supports liability under FINRA Rule 3110 (Supervision). Coastal Ridge cannot rely on Henley's completion of product training when supervisory systems failed to flag obvious red flags. The \$187,000 loss directly resulted from unsuitable recommendations, establishing both violation and damages.

Key Factor

Recommending leveraged ETNs designed for short-term tactical trading to a 74-year-old conservative income investor with limited experience, concentrating 66% of her liquid assets in these complex products, constituted a fundamental mismatch between product characteristics and customer investment profile.

Item 482 of 499**NON-COMPLIANT**

Topic: suitability_limited_purpose_broker_dealer_wholesaler

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Pinnacle Distribution Services, LLC is a limited purpose broker-dealer that serves as placement agent for alternative investment products, including private real estate funds and business development companies (BDCs). The firm employs approximately 45 wholesalers across the country who market these products to financial intermediaries and qualified investors. Marcus Chen, a registered representative working from his home office in Phoenix, Arizona, serves as a regional wholesaler for Pinnacle.

In March 2023, Chen attended an investment conference where he met Gerald Hoffman, a 72-year-old retired engineer with approximately \$1.2 million in retirement savings, primarily held in IRAs. Hoffman expressed frustration with low bond yields and mentioned he was looking for income-generating investments. Rather than directing Hoffman to work with his existing financial adviser, Chen began directly discussing the merits of the Apex Commercial REIT II, a non-traded REIT offered through Pinnacle that carried a 7% stated distribution rate.

Over the following two weeks, Chen had multiple phone conversations with Hoffman, during which he emphasized the income potential while minimizing the product's illiquidity, stating it was 'essentially like a bond with better returns.' Chen did not inquire about Hoffman's complete financial situation, liquidity needs, investment time horizon, or risk tolerance. He provided Hoffman with subscription documents and assisted him in completing the paperwork to invest \$350,000 directly into the Apex Commercial REIT II--representing nearly 30% of Hoffman's total retirement assets.

Pinnacle's compliance procedures stated that wholesalers were prohibited from soliciting retail investors directly and should only engage with financial intermediaries. The firm's supervisory system relied on attestations from remote locations that no direct retail solicitation occurred, but no verification mechanisms existed. Hoffman's investment was processed without any suitability review, as the firm's procedures assumed all investments came through intermediary channels where suitability would be assessed by the selling broker-dealer.

Question

Did Marcus Chen and Pinnacle Distribution Services violate suitability obligations under FINRA Rule 2111 by facilitating Hoffman's investment in the non-traded REIT without conducting appropriate suitability analysis?

Answer

Yes, both Marcus Chen and Pinnacle Distribution Services violated FINRA Rule 2111's suitability requirements through multiple failures in their obligations to Gerald Hoffman.

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile. This rule applies whenever a registered representative makes a 'recommendation' to a customer, regardless of the broker-dealer's limited purpose

classification.

Chen's conduct clearly constituted a recommendation under FINRA's established framework. His multiple conversations emphasizing the income potential of Apex Commercial REIT II, his comparison to bonds, and his assistance with subscription documents demonstrated a 'call to action' that reasonably influenced Hoffman's investment decision. The fact that Pinnacle operates as a limited purpose broker-dealer does not exempt its registered representatives from suitability obligations when they engage in direct solicitation of retail investors.

Chen violated all three components of Rule 2111. First, he failed reasonable-basis suitability by not understanding the risks of non-traded REITs sufficiently to recommend them, evidenced by his misleading characterization as 'essentially like a bond.' Second, he violated customer-specific suitability under Rule 2111(a) by failing to gather essential information about Hoffman's investment profile, including liquidity needs, time horizon, and risk tolerance--critical factors for a 72-year-old investor considering an illiquid alternative investment. Third, concentrating 30% of a retiree's assets in a single illiquid product violated quantitative suitability principles.

Pinnacle's supervisory failures under FINRA Rule 3110 compounded these violations. The firm's reliance on unverified attestations from remote wholesalers, without mechanisms to detect direct retail solicitation, constituted inadequate supervision. The firm cannot escape suitability obligations by assuming intermediary channels handle compliance when its own representatives bypass those channels.

The defense that Pinnacle is a limited purpose broker-dealer that does not maintain customer accounts is unavailing. FINRA Rule 2111 applies based on the making of recommendations, not on account custody arrangements. Chen's direct solicitation triggered full suitability obligations regardless of the firm's operational model.

Key Factor

The wholesaler directly solicited a retail investor and recommended an illiquid alternative investment without conducting any suitability analysis, despite the firm's limited purpose broker-dealer structure not exempting registered representatives from suitability obligations when making recommendations.

Item 483 of 499**NON-COMPLIANT**

Topic: unsupervised_consolidated_report_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2010 (Standards of Commercial Honor), FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Ridgewater Financial Partners, Inc., a mid-sized broker-dealer headquartered in Nashville, Tennessee, employed registered representative Daniel Kershaw at its Chattanooga branch office. In March 2014, Kershaw began servicing the account of Margaret Tolliver, a 72-year-old retired schoolteacher with a modest pension of \$2,800 per month and liquid savings of approximately \$340,000. Mrs. Tolliver's documented investment objectives were income and capital preservation, with a conservative risk tolerance. She had no prior experience with alternative investments or complex products.

Kershaw recommended that Mrs. Tolliver invest \$175,000--representing over 51% of her liquid net worth--into Pinnacle Energy Partners LP, a non-traded limited partnership investing in speculative oil and gas exploration ventures. The private placement memorandum disclosed illiquidity for a minimum of seven years, projected high volatility tied to commodity prices, and the possibility of total loss of principal. Kershaw told Mrs. Tolliver the investment would provide 'steady quarterly income like a utility stock' and showed her a consolidated report he had prepared using the firm's reporting system, which displayed a projected 8% annual yield.

Ridgewater's written supervisory procedures required supervisors to review all consolidated reports containing manually entered valuations before distribution to customers. However, the firm had never implemented an actual review process for these reports. Branch manager Patricia Holcomb assumed the home office compliance team reviewed consolidated reports, while the compliance department believed branch supervisors handled the reviews. No one at the firm verified the accuracy of Kershaw's yield projections or assessed whether the recommended concentration in an illiquid, speculative energy partnership was suitable for a 72-year-old conservative investor dependent on her savings for retirement income.

By December 2015, Pinnacle Energy Partners suspended distributions entirely due to collapsing oil prices, and the partnership's estimated value had declined to approximately \$52,000. Mrs. Tolliver, now unable to access over half her original savings, was forced to significantly reduce her living expenses and delay necessary medical procedures.

Question

Did Kershaw and Ridgewater Financial Partners violate their suitability obligations under FINRA rules when recommending the Pinnacle Energy Partners LP investment to Mrs. Tolliver?

Answer

Yes, both Kershaw and Ridgewater Financial Partners violated FINRA Rule 2111 (Suitability) and FINRA Rule 3110 (Supervision), and Kershaw additionally violated FINRA Rule 2010 (Standards of Commercial Honor).

Under FINRA Rule 2111(a), a member or associated person must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on information obtained through reasonable diligence

concerning the customer's investment profile. This rule encompasses three distinct obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Kershaw violated customer-specific suitability by recommending that Mrs. Tolliver concentrate 51% of her liquid assets in an illiquid, speculative private placement when her documented profile clearly indicated conservative risk tolerance, income objectives, and capital preservation needs. A 72-year-old retiree dependent on modest pension income and savings has no reasonable capacity to absorb a seven-year lockup period or the total loss of principal explicitly disclosed in the offering memorandum. The recommendation was fundamentally incompatible with her stated objectives and financial situation.

Kershaw's misrepresentation that the investment would provide 'steady quarterly income like a utility stock' when the PPM disclosed speculative commodity exposure and potential total loss constitutes a violation of FINRA Rule 2010, which requires adherence to high standards of commercial honor and just and equitable principles of trade.

Ridgewater violated FINRA Rule 3110(a) by failing to establish and maintain a supervisory system reasonably designed to achieve compliance with applicable securities rules. The firm's procedures nominally required review of consolidated reports with manual valuations, yet the firm never implemented an actual review process. The resulting confusion between branch and home office supervisors--where each assumed the other was conducting reviews--mirrors the supervisory failures cited in the referenced AWC. This systemic failure allowed misleading yield projections to reach the customer without any supervisory scrutiny of either the report accuracy or the underlying recommendation's suitability.

The firm cannot claim adequate supervision existed when no one actually reviewed Kershaw's recommendations or verified the consolidated report's accuracy before customer distribution. Both the representative and firm bear responsibility for the unsuitable recommendation and resulting customer harm.

Key Factor

Recommending a 51% concentration in an illiquid, speculative private placement to a 72-year-old conservative investor reliant on her savings for retirement income, compounded by the firm's complete failure to implement any supervisory review of the recommendation or the misleading consolidated report.

Item 484 of 499**NON-COMPLIANT**

Topic: complex_product_suitability_elderly_investor

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 09-31 (Non-Traditional ETFs)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollister, age 78, was a retired school administrator with a modest portfolio of approximately \$420,000 in retirement savings held at Westbrook Capital Partners, LLC. Her account records from January 2021 indicated a conservative risk tolerance, income-focused investment objective, and a 10-year investment time horizon. Mrs. Hollister's annual income consisted of \$32,000 in Social Security benefits and \$18,000 from a small pension, totaling \$50,000. She had no other liquid assets beyond her investment account and relied on periodic withdrawals for medical expenses related to her husband's ongoing dementia care, averaging \$3,500 monthly.

In March 2021, her registered representative, Daniel Kowalski, recommended that Mrs. Hollister invest \$185,000--approximately 44% of her total portfolio--in a leveraged exchange-traded note (ETN) tracking the inverse performance of the S&P 500 with 2x daily leverage. Kowalski explained that this product would provide 'protection against market downturns' and was 'appropriate for someone her age who couldn't afford losses.' The recommendation was made during a single 40-minute meeting at Mrs. Hollister's home, with no written materials provided explaining the product's mechanics, daily reset features, or volatility decay.

Mrs. Hollister held the leveraged ETN for approximately seven months. Despite the S&P 500 experiencing modest volatility during this period, the compounding effects of daily rebalancing caused the ETN to lose approximately \$67,000 in value. When Mrs. Hollister requested a withdrawal in October 2021 to pay for her husband's assisted living facility deposit, she discovered the significant losses. Kowalski's notes from the original meeting stated only 'client wants downside protection' and contained no documentation of a discussion regarding the product's unsuitability for buy-and-hold strategies or the daily reset mechanism. Westbrook Capital Partners' supervisory review consisted of a single checkbox indicating 'suitability reviewed' with no narrative explanation of how the recommendation aligned with Mrs. Hollister's documented profile.

Question

Did Daniel Kowalski and Westbrook Capital Partners violate their suitability obligations under FINRA Rule 2111 by recommending a leveraged inverse ETN to Mrs. Hollister given her investment profile and circumstances?

Answer

The recommendation violated FINRA Rule 2111 (Suitability) across all three components: reasonable-basis, customer-specific, and quantitative suitability. The recommendation was plainly unsuitable, and both the representative and firm bear responsibility.

Regarding reasonable-basis suitability under Rule 2111(a), Kowalski failed to understand the product he recommended. Leveraged and inverse ETNs are complex instruments designed for short-term tactical trading, not buy-and-hold strategies. FINRA has repeatedly emphasized that these products' daily reset features cause returns to deviate significantly from the underlying index over holding periods longer than one day due to volatility decay and

compounding. Kowalski's characterization of the product as 'downside protection' demonstrates a fundamental misunderstanding of its mechanics, violating the requirement that a broker have a reasonable basis to believe the recommendation is suitable for at least some investors.

The customer-specific suitability violation under Rule 2111(a) is equally clear. Mrs. Hollister's documented profile--conservative risk tolerance, income objective, 78 years of age, limited liquid assets, and dependence on the portfolio for medical expenses--is fundamentally incompatible with a volatile, speculative instrument. A 44% concentration in a single leveraged product contradicts every element of her stated investment objectives. The seven-month holding period directly contravened the product's design for daily trading horizons.

Westbrook Capital Partners failed its supervisory obligations under FINRA Rules 3110 and 2010. A checkbox review without substantive analysis of how a leveraged inverse ETN could possibly align with a 78-year-old conservative investor's profile constitutes inadequate supervision. The firm's procedures failed to flag an obvious red-flag transaction.

Kowalski's defense that the client 'wanted downside protection' is unavailing. A broker's suitability obligation is independent of customer requests; recommending an unsuitable product because a client expressed a general desire does not satisfy Rule 2111. The \$67,000 loss directly resulted from placing an unsuitable complex product in an elderly conservative investor's account without adequate explanation, documentation, or supervisory review.

Key Factor

Recommending a leveraged inverse ETN designed for daily trading to a 78-year-old conservative investor dependent on her portfolio for medical expenses, with a seven-month holding period, directly contradicted the product's intended use and the customer's documented investment profile.

Item 485 of 499**NON-COMPLIANT**

Topic: reg_bi_care_obligation_complex_product

Difficulty: hard

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) -- Care Obligation; Exchange Act Section 15(l)

Source: 05_SEC_Exam_Findings

Fact Pattern

Greenleaf Securities, LLC is a mid-sized broker-dealer operating in the Midwest with approximately 145 registered representatives. On March 15, 2023, financial professional Marcus Webber met with retail customer Dorothy Hendricks, a 71-year-old retired schoolteacher, to discuss her investment options. Mrs. Hendricks had recently received \$285,000 from her late husband's life insurance policy and sought conservative income-generating investments to supplement her \$2,400 monthly pension and Social Security benefits. Her new account form indicated a 'conservative' risk tolerance, a 5-7 year investment horizon, 'income with capital preservation' as her primary objective, and limited investment experience consisting solely of certificates of deposit and savings bonds.

During their meeting, Webber recommended that Mrs. Hendricks invest \$180,000 in the Apex Strategic Income Note, a structured product with a 6-year maturity linked to the performance of a basket of emerging market equity indices. The product prospectus disclosed that investors could lose up to 35% of principal if the underlying indices declined by more than 20% from their initial levels, and that early redemption would result in significant penalties and potential additional losses. The product offered a 7.2% annual coupon, which Webber emphasized heavily during his presentation.

Webber's documentation of the recommendation consisted of a single paragraph noting 'client seeks income, product provides 7.2% yield, suitable for income objective.' There was no documented analysis of the product's risks relative to Mrs. Hendricks' conservative profile, her limited investment experience, or her need for capital preservation to fund retirement living expenses. Greenleaf's compliance manual required representatives to complete a 'Complex Product Suitability Worksheet' for structured notes, but Webber did not complete this form. Internal records showed that Webber earned a 3.8% commission on the structured note sale compared to a 0.75% commission on comparable investment-grade corporate bond funds that would have met Mrs. Hendricks' stated income objective.

Six months after the investment, the underlying emerging market indices had declined 18%, placing Mrs. Hendricks' principal at significant risk. When she inquired about liquidating the position to cover unexpected medical expenses, she learned she would receive only \$142,000 of her \$180,000 investment due to early redemption penalties and mark-to-market losses.

Question

Did financial professional Marcus Webber satisfy the Care Obligation under Regulation Best Interest when recommending the Apex Strategic Income Note to Mrs. Hendricks?

Answer

No, Marcus Webber failed to satisfy the Care Obligation under Regulation Best Interest. Rule 15l-1(a)(2)(ii) requires that a broker-dealer and its financial professionals exercise reasonable diligence, care, and skill when making a recommendation. This obligation has three distinct components that Webber failed to meet.

First, under the Care Obligation's requirement to understand the potential risks, rewards, and costs associated with a

recommendation, Webber demonstrated deficient analysis. The Apex Strategic Income Note carried substantial principal risk (up to 35% loss), a 6-year illiquidity period with significant early redemption penalties, and complex payoff structures tied to volatile emerging market indices. Webber's single-paragraph documentation focusing solely on yield indicates he failed to develop a reasonable understanding of the product's risk characteristics before recommending it.

Second, the Care Obligation requires having a reasonable basis to believe the recommendation is in the retail customer's best interest based on their investment profile. Mrs. Hendricks' profile was unambiguous: 71 years old, conservative risk tolerance, income with capital preservation objective, limited investment experience, and dependence on investment income for retirement expenses. A structured note with principal-at-risk features tied to emerging market volatility is fundamentally incompatible with this profile. The SEC's Adopting Release emphasizes that the more complex or risky a product, the more diligence required to satisfy the Care Obligation.

Third, the Care Obligation requires consideration of reasonably available alternatives. Investment-grade corporate bond funds could have provided meaningful income yield with substantially lower risk and greater liquidity--precisely matching Mrs. Hendricks' stated objectives. The significant commission differential (3.8% versus 0.75%) suggests Webber prioritized his financial interest over identifying the investment that best served the customer.

Webber's failure to complete Greenleaf's required Complex Product Suitability Worksheet further demonstrates inadequate diligence. As noted in the SEC's January 2023 Risk Alert, the Division has identified deficiencies where firms failed to maintain adequate documentation demonstrating how recommendations were in customers' best interests. Webber's conduct exemplifies such deficiencies and constitutes a clear violation of Regulation Best Interest's Care Obligation.

Key Factor

Webber recommended a complex, principal-at-risk structured product to a 71-year-old conservative investor seeking capital preservation without documented analysis of the product's risks relative to her profile or consideration of lower-risk alternatives that could meet her income objective.

Item 486 of 499**NON-COMPLIANT**

Topic: suitability_small_firm_concentrated_position

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05(a) (Customer-Specific Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 4512 (Customer Account Information)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Holloway, age 71, became a customer of Granite Peak Securities, LLC in March 2019 after her longtime broker at a large wirehouse retired. Granite Peak is a small independent broker-dealer with twelve registered representatives and approximately \$180 million in assets under management. Mrs. Holloway's new account form indicated she was a retired elementary school teacher with a modest pension of \$2,400 per month, Social Security income of \$1,850 per month, liquid investable assets of \$385,000 representing her entire retirement savings, a conservative risk tolerance, and an investment objective of capital preservation with income generation. Her investment time horizon was noted as 5-10 years, and she indicated low experience with securities.

Her assigned representative, Daniel Whitfield, recommended in April 2019 that Mrs. Holloway invest \$290,000--approximately 75% of her liquid assets--in a single speculative biotechnology company, ViraTech Innovations Inc., which was trading at \$14.25 per share on the NASDAQ. Whitfield told Mrs. Holloway that ViraTech was 'about to receive FDA approval for a breakthrough cancer treatment' and that the stock would 'easily triple within eighteen months.' ViraTech had no approved products, had never generated revenue, and had posted losses exceeding \$45 million in the prior fiscal year. The company's most recent 10-K disclosed substantial doubt about its ability to continue as a going concern.

Whitfield's supervisor, Branch Manager Carol Engstrom, approved the transaction after a cursory review, noting only that Mrs. Holloway had signed a concentrated position acknowledgment form. No documentation existed showing any analysis of whether such a concentration in a speculative security was appropriate for Mrs. Holloway's stated objectives and risk tolerance. By November 2020, ViraTech's FDA application had been rejected, and the stock had declined to \$1.85 per share. Mrs. Holloway's position was worth approximately \$37,600, representing a loss of over \$252,000. When Mrs. Holloway attempted to file an arbitration claim, she discovered that Granite Peak carried only \$500,000 in errors and omissions insurance coverage with a \$100,000 deductible and had net capital barely exceeding FINRA minimums.

Question

Did Daniel Whitfield's recommendation that Mrs. Holloway invest 75% of her retirement assets in a speculative biotechnology stock violate FINRA suitability requirements?

Answer

Yes, Daniel Whitfield's recommendation constituted a clear violation of FINRA Rule 2111 suitability requirements across all three component obligations.

Regarding reasonable-basis suitability under Rule 2111(a), Whitfield failed to perform adequate due diligence on ViraTech Innovations. The company had no revenue, substantial operating losses, and disclosed going-concern doubts in its public filings. No reasonable broker could conclude that a speculative pre-revenue biotechnology company

awaiting FDA approval represented a suitable investment for any customer without thoroughly analyzing these fundamental risks. Whitfield's unsubstantiated claims about imminent FDA approval and stock tripling demonstrated a lack of reasonable investigation.

The customer-specific suitability violation is particularly egregious. Rule 2111.05(a) requires that recommendations be consistent with the customer's investment profile, including age, financial situation, risk tolerance, time horizon, and investment objectives. Mrs. Holloway was 71 years old, had a conservative risk tolerance, sought capital preservation with income, possessed limited investment experience, and depended on her \$385,000 for retirement security alongside modest fixed income. Recommending that she concentrate 75% of these irreplaceable assets in a speculative security with binary FDA risk fundamentally contradicted every element of her documented profile.

Quantitative suitability under Rule 2111(b) was also violated through the excessive concentration. FINRA has consistently held that concentration risk must be evaluated against the customer's ability to bear potential losses. A 75% allocation to a single speculative equity left Mrs. Holloway with inadequate diversification and exposed her to catastrophic loss--which materialized.

The supervisory failure compounds these violations. Under FINRA Rule 3110, Carol Engstrom's approval based solely on a signed acknowledgment form, without documented analysis of the recommendation's appropriateness, represents inadequate supervision. A concentration acknowledgment does not cure an unsuitable recommendation; it merely documents disclosure.

The defense that Mrs. Holloway signed a concentration acknowledgment is unavailing. FINRA Rule 2111 imposes an affirmative obligation on representatives to recommend only suitable investments regardless of customer consent. The suitability determination cannot be delegated to the customer through disclosure documents. Whitfield's recommendation was unsuitable at inception, and no amount of paperwork could render it compliant.

Key Factor

Recommending that a 71-year-old conservative investor with limited experience concentrate 75% of her retirement assets in a single speculative, pre-revenue biotechnology stock directly contradicted her documented investment profile and objectives.

Item 487 of 499**NON-COMPLIANT**

Topic: churning_and_unsuitable_penny_stock_recommendations

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); Securities Exchange Act Section 10(b); Rule 10b-5

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Thornton, age 58, opened a brokerage account with Ridgeway Securities Group, LP in January 2019 with an initial deposit of \$185,000 representing his early retirement savings. On his new account form, Thornton indicated his investment objective was 'long-term growth with moderate risk,' his investment time horizon was '10+ years,' his annual income was \$72,000, his liquid net worth was \$210,000, and his risk tolerance was 'moderate.' Thornton had limited investment experience, having previously held only a 401(k) with broad market index funds.

Over the following eighteen months, Thornton's registered representative, Bradley Kessler, executed 147 transactions in the account, concentrating heavily in speculative penny stocks trading under \$2.00 per share and illiquid private placement offerings in early-stage technology ventures. The account's turnover ratio reached 8.2, and the cost-to-equity ratio exceeded 31%. Commission charges totaled approximately \$58,400, representing roughly 31.5% of the account's average monthly equity. Kessler frequently purchased large blocks of thinly-traded penny stocks, then sold within days or weeks, often at losses, only to repeat the pattern with different speculative securities.

When Thornton questioned the trading activity during a phone call in March 2020, Kessler assured him that 'aggressive positioning in emerging companies' was necessary to achieve meaningful growth before retirement. Kessler failed to explain that Ridgeway Securities received substantially higher commissions on penny stock transactions and private placements compared to listed securities. By August 2020, Thornton's account value had declined to \$67,200, representing losses of approximately \$117,800, while Ridgeway had captured \$58,400 in commissions and fees.

Ridgeway's compliance department had received three prior customer complaints regarding Kessler's trading practices between 2016 and 2018, yet the firm failed to implement heightened supervision of his accounts. The firm's written supervisory procedures required branch managers to review accounts with turnover ratios exceeding 4.0, but no such review was conducted for Thornton's account despite the ratio reaching 8.2.

Question

Did Kessler's investment recommendations and trading activity in Thornton's account violate FINRA suitability rules and constitute churning, and does Ridgeway bear supervisory liability for the resulting customer harm?

Answer

The conduct described constitutes clear violations of FINRA Rules 2111 (Suitability), 2010 (Standards of Commercial Honor), and 3110 (Supervision), as well as potential violations of Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder.

Regarding churning, courts and arbitration panels apply three elements: (1) control over the account by the broker, (2) excessive trading in light of the customer's objectives, and (3) scienter or intent to defraud. Here, Thornton's limited investment experience and reliance on Kessler's assurances establish de facto control. The turnover ratio of 8.2 and

cost-to-equity ratio of 31% far exceed thresholds courts have deemed presumptively excessive--typically turnover above 4.0 and cost-to-equity above 20% raise inference of churning. The pattern of rapid-fire trading in speculative penny stocks while collecting \$58,400 in commissions demonstrates scienter, particularly when Kessler misrepresented the strategy as necessary for growth while concealing the commission structure benefiting Ridgeway.

Under FINRA Rule 2111, the recommendations were quantitatively unsuitable under subsection (a)'s requirement that brokers have a reasonable basis for believing recommendations are suitable considering the customer's investment profile. Thornton's documented moderate risk tolerance, long-term growth objective, and limited experience are fundamentally incompatible with concentrated penny stock speculation and illiquid private placements. The 147 transactions in 18 months generating 31.5% in costs made profitability mathematically improbable regardless of market performance.

Ridgeway's supervisory failures compound liability under FINRA Rule 3110. The firm's WSPs required review of accounts exceeding 4.0 turnover ratios, yet no review occurred despite Thornton's account reaching 8.2. Prior complaints against Kessler established a red flag requiring heightened supervision under reasonable supervisory standards. This failure to implement existing procedures and respond to warning signs constitutes supervisory negligence supporting respondeat superior liability.

Punitive damages are warranted given the fraudulent conduct, consistent with the pattern in the underlying arbitration award where panels found evidence of fraud and churning supported enhanced damages. Thornton is entitled to compensatory damages of approximately \$117,800 plus applicable interest, and punitive damages reflecting the egregious nature of the violations.

Key Factor

The turnover ratio of 8.2 and cost-to-equity ratio of 31% in an account with documented moderate risk tolerance and long-term growth objectives establishes quantitative unsuitability and churning, while the firm's failure to conduct required supervisory reviews despite documented red flags compounds the violation.

Item 488 of 499**NON-COMPLIANT**

Topic: utma_account_investment_suitability

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); Uniform Transfers to Minors Act custodial standards

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Harrison Whitmore, a minor born in 2010, was the beneficiary of a Uniform Transfers to Minors Act (UTMA) account established by his grandmother in 2015 at Meridian Wealth Advisors, LLC. The account was funded with \$185,000 from an inheritance, with the stated investment objective documented as 'education funding and long-term growth' with a moderate risk tolerance appropriate for a minor's custodial account with a roughly 10-year time horizon until the beneficiary reached majority.

Brook Whitmore, Harrison's mother and the designated custodian, met with registered representative Sandra Belmont in March 2022 to discuss the account's positioning. At that time, the account had grown to approximately \$242,000. Belmont recommended repositioning 65% of the portfolio--approximately \$157,300--into a combination of leveraged ETFs tracking the NASDAQ-100 (2x daily leverage) and concentrated positions in three speculative technology stocks, each with market capitalizations under \$500 million. Belmont justified the recommendation by noting that 'the child has years before needing the money, so we can afford to be aggressive.'

By December 2023, following significant market volatility, the leveraged ETF positions had declined by approximately 58%, and two of the three micro-cap technology positions had lost over 70% of their value. The total account value had fallen to \$118,400, representing a loss of \$123,600 from the March 2022 value. Brook Whitmore, as custodian, filed a FINRA arbitration claim in January 2025 on behalf of her son, alleging that Belmont's recommendations were unsuitable for a minor's education-focused UTMA account and that Meridian Wealth failed to supervise Belmont's recommendations to ensure they were appropriate for the account's documented objectives.

Question

Did Sandra Belmont's recommendation to invest 65% of a minor's UTMA education account in leveraged ETFs and speculative micro-cap stocks violate suitability obligations under FINRA Rule 2111?

Answer

The recommendation violated FINRA Rule 2111's suitability requirements on multiple grounds. Under Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile.

Rule 2111 establishes three suitability obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability. Belmont's recommendations failed both reasonable-basis and customer-specific suitability.

Regarding reasonable-basis suitability, leveraged ETFs are complex products designed for short-term trading and experience significant value decay over extended holding periods due to daily rebalancing. FINRA has consistently warned that leveraged ETFs are unsuitable for buy-and-hold strategies, particularly in accounts with long-term

investment horizons. Belmont's recommendation to hold 2x leveraged NASDAQ ETFs in a custodial account intended for education funding over a multi-year period demonstrates a fundamental misunderstanding of the product's mechanics.

For customer-specific suitability, the documented investment profile--education funding with moderate risk tolerance and a 10-year horizon--is directly incompatible with speculative micro-cap stocks and leveraged products. UTMA accounts carry heightened duties because the custodian acts as a fiduciary for the minor beneficiary. The Uniform Transfers to Minors Act requires custodians to observe the standard of care of a prudent person dealing with property of another. Concentrating 65% of education funds in highly volatile instruments contradicts both the stated objectives and the custodian's fiduciary duties.

Belmont's defense that the long time horizon justified aggressive positioning misconstrues the nature of leveraged products and ignores the specific purpose of the funds. Time horizon analysis applies differently to volatile products that experience compounding decay versus traditional growth investments.

Meridian Wealth also failed its supervisory obligations under FINRA Rule 3110, which requires member firms to establish and maintain a system to supervise activities of associated persons reasonably designed to achieve compliance with applicable securities laws and FINRA rules. The firm should have flagged leveraged ETF recommendations in custodial accounts for enhanced review.

The claim should be found in Claimant's favor with compensatory damages reflecting the unsuitable investment losses.

Key Factor

Recommending leveraged ETFs and speculative micro-cap stocks for a minor's education-focused UTMA account directly contradicted the documented moderate risk tolerance and long-term education funding objective.

Item 489 of 499**NON-COMPLIANT**

Topic: cross_border_suitability_complex_derivatives

Difficulty: hard

Standard: Hong Kong SFC Code of Conduct General Principle 5; SFC Code of Conduct paragraphs 5.2, 5.3; Securities and Futures Ordinance suitability requirements; SFC Guidelines on Selling of Investment Products

Source: 23_International_Comparative

Fact Pattern

Pacific Rim Wealth Advisers Ltd., a Hong Kong-based investment advisory firm regulated by the Securities and Futures Commission (SFC), provided investment advice to Margaret Chen, a 58-year-old retired schoolteacher residing in Singapore. Ms. Chen had accumulated HKD 3.2 million (approximately USD 410,000) in retirement savings, which represented her entire liquid net worth. During her initial consultation in March 2023, Ms. Chen explicitly stated her investment objectives were capital preservation and modest income generation to supplement her pension. She completed a client assessment questionnaire indicating 'low' risk tolerance, limited investment experience confined to bank deposits and government bonds, and a five-year investment horizon leading to her planned full retirement at age 63.

Her adviser, David Kwok, recommended that Ms. Chen allocate 45% of her portfolio to structured equity-linked notes tied to a basket of volatile technology stocks listed on the Hong Kong Stock Exchange, with embedded knock-in barrier features at 65% of initial prices. Mr. Kwok emphasized the products' 'enhanced yield' of 12% annually but provided only cursory verbal explanation of the downside risk mechanics. The written product disclosure documents, totaling 87 pages, were provided in English despite Ms. Chen's primary language being Mandarin, and she was given only 30 minutes to review them before signing.

By November 2023, the underlying technology stocks had declined significantly, triggering the knock-in barriers on multiple notes. Ms. Chen's portfolio lost approximately HKD 890,000 (28% of principal), directly contradicting her stated capital preservation objective. Internal compliance records later revealed that Mr. Kwok had received enhanced commission payments of 3.5% on structured product sales compared to 0.8% on bond recommendations, and that Pacific Rim's compliance department had not conducted any independent suitability review of the recommendation despite the firm's internal policy requiring such review for complex products sold to retail clients over age 55.

Question

Did Pacific Rim Wealth Advisers and David Kwok satisfy their suitability obligations under applicable Hong Kong regulatory standards when recommending the structured equity-linked notes to Ms. Chen?

Answer

Pacific Rim Wealth Advisers and David Kwok failed to satisfy their suitability obligations under Hong Kong's Securities and Futures Ordinance (SFO) and the SFC Code of Conduct for Persons Licensed by or Registered with the Securities and Futures Commission.

Under SFC Code of Conduct General Principle 5 and paragraph 5.2, licensed persons must ensure the suitability of advice given to clients, taking into account the client's financial situation, investment experience, and investment objectives. The Hong Kong Suitability Requirement mandates that advisers conduct reasonable inquiry into client

circumstances and ensure any recommendation is suitable given those circumstances.

The recommendation fundamentally violated these standards on multiple grounds. First, allocating 45% of a capital preservation-focused retiree's portfolio to complex structured products with significant downside exposure directly contradicted Ms. Chen's explicitly stated low risk tolerance and capital preservation objective. The SFC has consistently emphasized that suitability requires alignment between product risk characteristics and client objectives--a standard clearly breached here.

Second, the derivative nature of equity-linked notes with knock-in barriers constitutes a complex product requiring heightened suitability scrutiny under SFC guidelines. Ms. Chen's limited investment experience--confined to deposits and government bonds--rendered her unsuitable for such instruments without substantial education and documentation of informed consent.

Third, the disclosure deficiencies compounded the violation. Providing 87 pages of English-language documentation to a Mandarin-speaking client with only 30 minutes for review fails the SFC's requirement under paragraph 5.3 that clients receive adequate information in a comprehensible manner to make informed decisions.

Fourth, the firm's compliance failure--neglecting the required independent suitability review for complex products sold to clients over 55--demonstrates systemic supervisory breakdown under SFC Code paragraph 4.3 requiring adequate compliance systems.

The enhanced commission structure, while not dispositive, evidences the conflict that drove an unsuitable recommendation prioritizing adviser compensation over client interest. Pacific Rim and Mr. Kwok violated their suitability obligations, and the resulting 28% loss directly evidences the harm from this regulatory breach.

Key Factor

The adviser recommended complex structured derivatives with significant downside risk to a low-risk-tolerance retiree seeking capital preservation, in direct contradiction of her stated objectives and without adequate disclosure or compliance review.

Item 490 of 499

NON-COMPLIANT

Topic: complex_product_suitability_leveraged_etf

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); Regulation BI Rule 15l-1 Care Obligation; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Redstone Capital Partners, a mid-sized broker-dealer headquartered in Charlotte, North Carolina, employed registered representative Marcus Holloway from January 2019 through December 2022. In March 2021, Holloway was assigned a new client, Dorothy Callahan, a 72-year-old retired schoolteacher with a total liquid net worth of approximately \$485,000, consisting primarily of her 403(b) rollover IRA valued at \$340,000 and a taxable brokerage account containing \$145,000. Mrs. Callahan's new account documentation indicated her investment objective was 'income with capital preservation,' her risk tolerance was 'conservative,' her investment time horizon was '5-10 years,' and her annual income from Social Security and a small pension totaled \$38,000.

During their initial meeting, Holloway recommended that Mrs. Callahan invest \$85,000 of her IRA assets into ProShares UltraPro QQQ (TQQQ), a 3x leveraged ETF tracking the NASDAQ-100 index. Holloway explained that the product would 'supercharge her returns' during the post-pandemic recovery and that technology stocks were 'guaranteed to keep climbing.' He did not explain the daily rebalancing mechanism, the effects of volatility decay, or that the product was designed for short-term trading rather than buy-and-hold strategies. The client signed trade confirmation documents but was not provided with the fund's prospectus until three weeks after the purchase.

Mrs. Callahan held the TQQQ position for fourteen months without any follow-up communication from Holloway regarding the appropriateness of maintaining such a position. During a volatile period in early 2022, the position experienced significant losses, declining to approximately \$41,000--a loss of over 51%. When Mrs. Callahan contacted the firm in distress, Holloway suggested she 'hold on and wait for the bounce back,' without conducting any suitability reassessment. Internal firm records later revealed that Holloway had received enhanced commissions for placing clients in leveraged products and that Redstone's supervisory system had not flagged the trade despite Mrs. Callahan's conservative risk profile and advanced age.

Question

Did Marcus Holloway's recommendation of the 3x leveraged ETF to Dorothy Callahan satisfy his suitability and best interest obligations under applicable FINRA rules and Regulation BI?

Answer

No, Marcus Holloway's recommendation clearly violated both FINRA Rule 2111 (Suitability) and Regulation BI's Care Obligation. The recommendation was unsuitable and not in Mrs. Callahan's best interest based on multiple failures.

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on their investment profile, including age, financial situation, tax status, investment objectives, time horizon, risk tolerance, and liquidity needs. Mrs. Callahan's profile--a 72-year-old retiree with conservative risk tolerance, income-focused objectives, and limited liquid assets--was fundamentally incompatible with a 3x leveraged ETF. FINRA has repeatedly warned that leveraged and inverse ETFs are typically unsuitable for retail investors who

plan to hold them longer than one trading session due to daily rebalancing and volatility decay effects.

Regulation BI's Care Obligation under Rule 15l-1(a)(2)(ii) requires that a broker exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommended security and have a reasonable basis to believe the recommendation is in the customer's best interest. Holloway failed both components: he did not adequately explain the product's mechanics and risks, and the recommendation served his own interest (enhanced commissions) rather than the customer's conservative objectives.

The fourteen-month holding period without any suitability reassessment further compounded the violation. FINRA guidance emphasizes that leveraged products require active monitoring and are inappropriate for buy-and-hold strategies. Holloway's advice to simply 'hold on' demonstrated continued disregard for the customer's profile.

Additionally, the delayed prospectus delivery violated the customer's right to material information before making investment decisions. Redstone Capital's supervisory failures under FINRA Rule 3110 are implicated by the absence of system flags for this patently unsuitable trade.

No reasonable defense exists here: the customer's profile and the product's characteristics were diametrically opposed, and Holloway's commission incentive suggests the recommendation was motivated by self-interest rather than customer welfare.

Key Factor

Recommending a 3x leveraged ETF designed for short-term trading to a 72-year-old conservative investor seeking income and capital preservation, without explaining material risks and maintaining the position for over fourteen months, fundamentally violated suitability and best interest standards.

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NON-COMPLIANT

Topic: leveraged_etf_suitability_elderly_customer

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 210 (Standards of Commercial Honor), FINRA Rule 2111.05(a) (Customer Investment Profile)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornberry, age 74, was a retired school administrator who opened an account with Beacon Ridge Securities, LLC in March 2019. Her new account form indicated she had a conservative risk tolerance, investment objective of income with capital preservation, liquid net worth of \$485,000 (representing substantially all her retirement savings), annual income of \$42,000 from Social Security and a small pension, and limited investment experience consisting primarily of certificates of deposit and government bonds held at her credit union for the past two decades.

Her assigned representative, Donald Pearce, recommended that Mrs. Thornberry allocate \$145,000--approximately 30% of her liquid assets--to a portfolio of leveraged and inverse exchange-traded products. Specifically, Pearce recommended \$75,000 in a 3x leveraged technology sector ETF, \$40,000 in a 2x leveraged small-cap growth ETF, and \$30,000 in a -2x inverse S&P 500 ETF. Pearce explained these products would provide 'enhanced returns to make up for years of low CD rates' and characterized the inverse position as a 'hedge' against market downturns.

Pearce's written notes from the March 15, 2019 meeting stated: 'Client expressed frustration with low interest rates. Discussed growth strategies to enhance retirement income.' There was no documentation that Pearce explained the daily reset mechanism of leveraged ETFs, the effects of volatility decay, or the products' unsuitability for buy-and-hold investors. The leveraged ETF prospectuses explicitly stated these products were designed for sophisticated investors who actively monitor their positions daily and that they were inappropriate for investors with time horizons greater than one trading session.

Mrs. Thornberry held these positions for eleven months. During this period, she neither made additional purchases nor sales. By February 2020, immediately before the COVID-19 market volatility, her leveraged positions had declined to \$87,000, representing a loss of \$58,000. She subsequently filed a FINRA arbitration claim alleging unsuitability and breach of fiduciary duty.

Question

Did Donald Pearce's recommendation of leveraged and inverse ETFs to Margaret Thornberry violate FINRA suitability requirements, and what factors are determinative in analyzing this claim?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111, warranting a finding in favor of Mrs. Thornberry.

FINRA Rule 2111 imposes three suitability obligations: reasonable-basis, customer-specific, and quantitative suitability. Pearce violated at least the first two components.

Regarding reasonable-basis suitability under Rule 2111(a), a representative must understand the risks and features of a recommended product before recommending it. Leveraged and inverse ETFs are complex products that utilize

derivatives to achieve daily leveraged returns and are subject to significant volatility decay over holding periods exceeding one day. The products' own prospectuses explicitly warned they were unsuitable for buy-and-hold investors. Pearce's failure to document any explanation of daily reset mechanics, compounding effects, or the products' short-term design suggests he either failed to understand these critical features himself or failed to convey them to his customer--either scenario constitutes a reasonable-basis violation.

Customer-specific suitability under Rule 2111(a) requires that recommendations be suitable for the particular customer based on her investment profile. Mrs. Thornberry's profile demonstrated every contraindication for leveraged products: she was 74 years old, had conservative risk tolerance, sought income and capital preservation, had limited investment experience confined to fixed-income instruments, and was investing retirement assets representing substantially all her liquid net worth. Recommending that 30% of her assets be allocated to products designed for sophisticated, active traders with high risk tolerance directly contradicts her documented objectives.

Pearce's characterization of the inverse ETF as a 'hedge' is misleading. A product subject to daily rebalancing and volatility decay does not function as a traditional hedge for a buy-and-hold investor and may amplify rather than mitigate losses over time.

Defenses based on customer frustration with low CD rates are unavailing. FINRA Rule 2111.05(a) makes clear that customer willingness to accept risk does not eliminate suitability obligations; the representative retains responsibility to recommend only investments consistent with the customer's actual profile and objectives.

The eleven-month holding period, combined with the customer's profile and the nature of the products, establishes the recommendation was unsuitable at inception.

Key Factor

Recommending leveraged and inverse ETFs--products designed for sophisticated daily traders--to a 74-year-old conservative investor seeking capital preservation, without explaining their fundamental unsuitability for buy-and-hold strategies, constitutes a clear customer-specific suitability violation.

Item 492 of 499**COMPLIANT**

Topic: suitability_elderly_customer_complex_products

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 78, opened an account with Patriot Wealth Advisors, Inc. in March 2019. Her account opening documents indicated she was a retired schoolteacher with a pension providing \$3,200 monthly income, Social Security benefits of \$1,800 monthly, and liquid savings of approximately \$485,000. Mrs. Thornton stated her investment objective as 'income with capital preservation' and her risk tolerance as 'conservative.' Her investment time horizon was listed as 5-7 years, and she noted on her new account form that she might need funds for potential long-term care expenses.

Her assigned representative, James Caldwell, conducted an in-person meeting where he documented Mrs. Thornton's familiarity with basic investments including CDs, money market funds, and some blue-chip dividend stocks she had held for decades. Caldwell recommended allocating her portfolio as follows: 60% in investment-grade municipal bond funds, 25% in dividend-focused equity funds emphasizing utility and consumer staples sectors, and 15% in a money market fund for liquidity. The municipal bond funds had average durations of 4-6 years and carried expense ratios between 0.35% and 0.55%.

Mrs. Thornton's four adult children filed an arbitration claim in May 2021 following their mother's passing, alleging that Caldwell committed elder abuse, fraud, and breach of fiduciary duties by recommending unsuitable investments. The claimants asserted the portfolio should have been entirely in cash equivalents given her age and potential care needs. They sought compensatory damages of approximately \$47,000 representing what they characterized as losses during the 2020 market volatility, plus treble damages. Respondent Patriot Wealth Advisors maintained that the recommendations were thoroughly documented, aligned with the customer's stated objectives, and provided appropriate income generation while preserving principal over the holding period.

Question

Did the representative's investment recommendations for Mrs. Thornton satisfy FINRA's suitability requirements under Rule 2111, given her age, conservative risk tolerance, and stated investment objectives?

Answer

The representative's recommendations appear to satisfy FINRA Rule 2111 suitability requirements. Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence concerning the customer's investment profile.

Under the rule's three-component framework, the recommendations pass scrutiny. First, regarding reasonable-basis suitability under Rule 2111(a), municipal bond funds and dividend-focused equity funds are well-established products with transparent risk characteristics that Caldwell could reasonably understand and recommend. Second, customer-specific suitability under Rule 2111(a) requires alignment with the customer's investment profile including age, financial situation, investment objectives, time horizon, and risk tolerance. Here, Mrs. Thornton's documented

objectives of 'income with capital preservation' and conservative risk tolerance align with a portfolio emphasizing investment-grade municipal bonds (60%) and dividend-paying equities in defensive sectors (25%), with meaningful liquidity reserves (15%).

The claimants' assertion that a 78-year-old should hold only cash equivalents mischaracterizes suitability standards. FINRA Rule 2111 does not mandate exclusively risk-free investments for elderly customers; rather, it requires that recommendations match the customer's profile. Mrs. Thornton's 5-7 year time horizon, stable pension and Social Security income, and explicit income-generation objective supported some allocation to income-producing securities beyond money markets.

The documentation practices further support compliance. Caldwell conducted in-person due diligence, gathered comprehensive profile information, and maintained records of the customer's investment experience and objectives. The moderate expense ratios and use of diversified funds rather than individual securities or complex products demonstrate reasonable care.

Temporary market volatility in 2020 does not establish unsuitability at the time of recommendation. FINRA has consistently held that suitability is evaluated at the point of recommendation, not with hindsight. The panel properly denied the claims, finding no elder abuse, fraud, or breach of duty where recommendations aligned with documented customer objectives and risk parameters.

Key Factor

The investment recommendations aligned with Mrs. Thornton's documented conservative risk tolerance and income-with-preservation objectives, with appropriate diversification and liquidity for her stated time horizon.

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NON-COMPLIANT

Topic: unsuitable_investment_strategy_elderly_client

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 210 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 2111.05 (Customer Consent)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 78, was a retired school teacher who had been a client of Greenfield Capital Advisors since 2015. Her registered representative, Bernard Whitmore, managed her \$485,000 retirement portfolio, which represented substantially all of her liquid assets. Mrs. Holloway's account documentation from her 2019 annual review clearly indicated a conservative risk tolerance, an investment objective of capital preservation with income generation, and a 3-5 year investment time horizon given her age and health concerns. Her annual income from Social Security and a small pension totaled approximately \$32,000, and she relied on modest portfolio withdrawals of \$1,500 monthly to supplement her living expenses.

In March 2020, during significant market volatility, Whitmore recommended that Mrs. Holloway reallocate 65% of her portfolio--approximately \$315,000--into a concentrated position of leveraged ETFs tracking the technology sector, specifically promising 2x daily returns on the NASDAQ-100. Whitmore told Mrs. Holloway that the market downturn represented a 'once in a lifetime opportunity' to recover losses and significantly grow her nest egg. He minimized the risks by stating these products 'work just like regular stock funds but with better upside.' Mrs. Holloway, trusting her long-time adviser, agreed to the strategy.

Over the following eight months, due to the daily compounding mechanics and volatility decay inherent in leveraged ETFs, Mrs. Holloway's portfolio declined by approximately \$127,000 despite the underlying index recovering most of its losses. When Mrs. Holloway complained in November 2020 about her significant losses and inability to maintain her withdrawal schedule, Greenfield Capital settled her complaint for \$95,000. The settlement agreement contained no admission of wrongdoing and was subsequently destroyed pursuant to the firm's document retention policy seven years later. Whitmore now seeks expungement of this occurrence from his CRD record, arguing the customer was informed and consented to the strategy.

Question

Did Whitmore's recommendation to concentrate 65% of an elderly, conservative client's retirement portfolio in leveraged technology ETFs satisfy the suitability requirements under FINRA rules?

Answer

The recommendation was unsuitable and violated FINRA Rule 2111, which requires that a broker have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111 encompasses three main obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Whitmore clearly violated customer-specific suitability under Rule 2111(a). Mrs. Holloway's documented profile--age 78, conservative risk tolerance, capital preservation objective, 3-5 year time horizon, and dependence on portfolio income--was fundamentally incompatible with leveraged ETFs. These complex products are designed for short-term

trading, typically single-day holding periods, and carry substantial risks due to daily rebalancing and volatility decay. FINRA has consistently warned that leveraged ETFs are generally unsuitable for retail investors who plan to hold them for longer than one trading session, particularly those seeking income or capital preservation.

The concentration of 65% of Mrs. Holloway's liquid net worth in a single speculative sector strategy compounded the unsuitability. This allocation exposed her to catastrophic loss potential while she had no ability to recover given her age, limited income, and reliance on the portfolio for living expenses. The \$127,000 loss represented over 26% of her total assets and materially impaired her financial security.

Whitmore's defense that Mrs. Holloway consented is unavailing. Under FINRA Rule 2111.05, a customer's consent does not cure an unsuitable recommendation; the suitability obligation rests with the registered representative who must exercise independent professional judgment. Additionally, his characterization of leveraged ETFs as working 'just like regular stock funds' constitutes a material misrepresentation that undermines any claim of informed consent.

Whitmore also violated FINRA Rule 2010's just and equitable principles of trade by recommending a speculative strategy wholly inconsistent with his client's needs and mischaracterizing the products' risk characteristics. The \$95,000 settlement strongly evidences the firm's recognition of liability.

Key Factor

Recommending leveraged ETFs requiring short-term active management to a 78-year-old conservative investor dependent on her portfolio for income fundamentally contradicted her documented investment profile and objectives.

Item 494 of 499**COMPLIANT**

Topic: failure_to_execute_defensive_reallocation_suitability

Difficulty: hard

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Advisory Agreement Terms Governing Discretionary Authority

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret and William Thornton, ages 67 and 69 respectively, were longtime clients of Westbrook Financial Advisors, LLC, with combined assets of approximately \$1.85 million managed by their registered representative, Catherine Reinhardt. The Thorntons had retired in 2017 and designated their investment objective as 'capital preservation with moderate income' on their account documents, with a risk tolerance marked as 'conservative.' In September 2019, following a comprehensive portfolio review, the Thorntons verbally instructed Reinhardt to reallocate their equity-heavy portfolio (then 72% equities) to a more defensive posture of 40% equities and 60% fixed income, citing concerns about market volatility and their reliance on the portfolio for retirement income.

Reinhardt acknowledged the instructions during the meeting and documented the conversation in her contemporaneous notes. However, she did not execute the reallocation immediately, intending to phase in the changes over several weeks to minimize transaction costs and potential tax consequences. Before she could complete the transition, the market experienced a sharp correction in late October 2019, and the Thorntons' portfolio declined by approximately \$187,000. The Thorntons subsequently filed an arbitration claim alleging failure to execute, breach of fiduciary duty, and violation of FINRA suitability rules, seeking \$187,000 in compensatory damages plus attorneys' fees.

During the arbitration hearing, Reinhardt presented evidence that she had begun the reallocation process within five business days of the meeting, having moved approximately 15% of the equity allocation to intermediate-term bond funds. She testified that her phased approach was consistent with industry best practices for clients in similar situations and that immediate liquidation of the equity positions would have triggered significant short-term capital gains. Reinhardt also introduced the Thorntons' signed advisory agreement, which granted her discretionary authority and specifically noted that reallocation requests would be executed 'in a manner and timeframe deemed appropriate by the adviser.' The Thorntons' prior account statements showed they had previously acquiesced to similar phased transitions without objection.

Question

Did Reinhardt's phased approach to executing the Thorntons' defensive reallocation request constitute a suitability violation or breach of her duty of care under applicable FINRA rules?

Answer

Based on the facts presented, Reinhardt's conduct did not constitute a suitability violation or breach of her duty of care. The arbitration panel would likely deny the Thorntons' claims.

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Here, Reinhardt was not recommending against the defensive reallocation--she was implementing it through a phased approach. The suitability rule does not mandate immediate execution of customer instructions but rather addresses the

appropriateness of recommendations made.

Regarding the duty of care, Reinhardt's phased execution approach appears reasonable under the circumstances. Her documented rationale--minimizing transaction costs and adverse tax consequences--reflects consideration of the Thorntons' overall financial interests. The advisory agreement expressly granted Reinhardt discretionary authority and contemplated that reallocation requests would be executed in a 'manner and timeframe deemed appropriate by the adviser.' The Thorntons' prior acceptance of similar phased transitions without objection supports the reasonableness of Reinhardt's approach.

Under FINRA Rule 2010 (Standards of Commercial Honor), a broker must observe high standards of commercial honor and just and equitable principles of trade. Reinhardt's contemporaneous documentation of the conversation, prompt commencement of the reallocation (within five business days), and substantive progress (15% moved before the correction) demonstrate good faith efforts to honor the clients' wishes while exercising professional judgment.

The Thorntons' damages claim relies on timing--the market decline occurring before full execution. However, market timing losses alone do not establish liability absent evidence of unreasonable delay or disregard of client instructions. Reinhardt's five-day commencement and ongoing execution fall within reasonable professional standards.

The panel should find no violation of FINRA Rules 2111 or 2010, as Reinhardt acted reasonably within her discretionary authority while pursuing the Thorntons' stated objective through a prudent implementation strategy.

Key Factor

Reinhardt's phased execution approach was supported by documented rationale, discretionary authority in the advisory agreement, and prior client acquiescence to similar implementation methods.

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NON-COMPLIANT

Topic: cta_suitability_qep_commodity_trading_advice

Difficulty: hard

Standard: Commodity Exchange Act Section 4o; NFA Rule 2-29 (Communications with the Public); NFA Rule 2-30 (Customer Information and Risk Disclosure); CFTC Regulation 4.41

Source: 19_CFTC_Guidance

Fact Pattern

Horizon Commodity Advisors LLC is a registered Commodity Trading Advisor operating under CFTC Rule 4.7 exemptions, offering managed futures trading programs to qualified eligible persons. In March 2024, Marcus Thornton, a CTA representative at Horizon, was approached by Eleanor Vasquez, a 64-year-old retired schoolteacher from Phoenix, Arizona. Ms. Vasquez had recently received a \$485,000 inheritance and sought advice on generating supplemental income to support her retirement. Her investment experience consisted solely of holding municipal bonds and a balanced mutual fund through her 403(b) plan, with no prior exposure to derivatives, futures, or commodity trading.

During the initial consultation, Ms. Vasquez explicitly stated her objectives: capital preservation with modest income generation, noting she could not afford to lose more than 10% of her inheritance as it represented her primary financial cushion beyond Social Security benefits of \$2,100 monthly. She characterized her risk tolerance as 'conservative to moderate' and indicated she needed liquidity access within 12 months for potential medical expenses. Thornton, eager to meet quarterly revenue targets, recommended that Ms. Vasquez allocate \$350,000 to Horizon's 'Aggressive Momentum Trading Program,' a leveraged managed futures strategy that historically exhibited annualized volatility of 38% and maximum drawdowns exceeding 45%.

Thornton presented performance data showing the program's 24% average annual returns over five years but minimized discussion of the volatility metrics and drawdown history. He represented that the QEP Portfolio Requirement thresholds were satisfied because Ms. Vasquez's total investable assets exceeded \$500,000 when combining her inheritance with her 403(b) balance of approximately \$120,000. However, Thornton failed to conduct any meaningful suitability analysis beyond verifying QEP qualification. By September 2024, the Aggressive Momentum Trading Program experienced a 31% drawdown, reducing Ms. Vasquez's account to approximately \$241,500, devastating her retirement security.

Horizon's compliance department later discovered that Thornton's client file contained no documentation of suitability analysis, risk tolerance assessment, or any consideration of whether the aggressive leveraged strategy aligned with Ms. Vasquez's stated conservative objectives and limited financial resilience.

Question

Did Horizon Commodity Advisors LLC and its representative Marcus Thornton violate their suitability obligations under applicable CFTC regulations and NFA rules when recommending the Aggressive Momentum Trading Program to Eleanor Vasquez?

Answer

Yes, Horizon Commodity Advisors LLC and Marcus Thornton violated their suitability obligations under Commodity Exchange Act Section 4o and NFA Rules 2-29 and 2-30. While Rule 4.7 provides registered CTAs with exemptions

from certain disclosure and reporting requirements when dealing with QEPs, it does not eliminate the fundamental antifraud provisions of CEA Section 4o or NFA compliance requirements.

CEA Section 4o prohibits CTAs from employing any device, scheme, or artifice to defraud clients or engaging in transactions, practices, or courses of business that operate as a fraud or deceit upon clients. Recommending a strategy fundamentally incompatible with a client's stated objectives and financial situation can constitute a fraudulent practice, regardless of QEP qualification. The QEP determination under Rule 4.7 establishes investor eligibility for reduced regulatory disclosure--it does not create a safe harbor for unsuitable recommendations.

NFA Rule 2-30 explicitly requires CTAs to obtain information about customers' financial situation, trading experience, and investment objectives, and to use this information to ensure recommendations are suitable. Here, Thornton documented Ms. Vasquez's conservative risk tolerance, capital preservation objective, limited loss capacity (10% maximum), and complete absence of derivatives experience. Despite this clear profile, he recommended a strategy with 38% annualized volatility and historical drawdowns exceeding 45%--directly contradicting every stated parameter.

NFA Rule 2-29 prohibits high-pressure sales tactics and requires communications to be balanced and not misleading. Thornton's emphasis on historical returns while minimizing volatility and drawdown discussion constitutes a potentially misleading presentation.

The absence of documented suitability analysis in the client file further evidences non-compliance. That Ms. Vasquez technically qualified as a QEP under the Portfolio Requirement provides no defense; sophisticated investor status does not authorize recommendations that are manifestly unsuitable for the client's documented profile. The 31% loss, representing approximately \$108,500, directly materialized the risks that proper suitability analysis would have identified as incompatible with this client's circumstances.

Key Factor

The CTA recommended a highly volatile leveraged strategy to a conservative, inexperienced retiree despite documented risk tolerance and loss capacity that were fundamentally incompatible with the program's characteristics, demonstrating that QEP qualification does not eliminate suitability obligations.

Item 496 of 499**NON-COMPLIANT**

Topic: suitability_account_transfer_recommendation

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2111.05 (Components of Suitability); FINRA Rule 2330 (Variable Annuity Transactions)

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Marcus Thornton, age 58, had been a client of Pinnacle Financial Group for twelve years, maintaining a moderate-risk portfolio consisting of diversified mutual funds, individual bonds, and a variable annuity with a guaranteed minimum withdrawal benefit (GMWB) rider. His total account value was approximately \$485,000, representing his primary retirement savings. In March 2023, his long-time financial advisor, Jennifer Cullen, departed Pinnacle to join Independence Wealth Advisors, an independent broker-dealer. Within days of her move, Cullen contacted Thornton and strongly recommended he transfer his entire account to her new firm, emphasizing their continued relationship and her familiarity with his financial goals.

Cullen informed Thornton that the transfer would be 'seamless' and that he would receive 'better service and lower costs' at Independence Wealth. However, Cullen failed to conduct a thorough analysis of the transfer implications. Specifically, she did not disclose that Thornton's variable annuity with the GMWB rider carried a \$38,500 surrender charge if liquidated, and that the guaranteed withdrawal benefit--which Thornton had specifically purchased for retirement income security--would be forfeited upon transfer since the product was proprietary to Pinnacle's affiliate insurance company. The annuity represented \$195,000 of Thornton's total portfolio.

Additionally, Cullen did not inform Thornton that several of his Class A mutual fund shares would need to be liquidated and repurchased at the new firm, resulting in approximately \$4,200 in new sales charges. Cullen's recommendation was motivated in part by a \$75,000 recruitment bonus she received from Independence Wealth, contingent on transferring at least \$400,000 in client assets within 90 days of joining. Thornton proceeded with the transfer based on Cullen's recommendation, losing his GMWB rider and incurring the surrender charges and sales loads. He discovered these losses only when reviewing his first quarterly statement at the new firm.

Question

Did Jennifer Cullen's recommendation that Marcus Thornton transfer his entire account to her new firm satisfy the suitability requirements under FINRA rules?

Answer

Jennifer Cullen's recommendation that Marcus Thornton transfer his entire account to Independence Wealth Advisors violated FINRA Rule 2111 (Suitability) on multiple grounds. The recommendation failed all three suitability components.

Regarding reasonable-basis suitability under Rule 2111(a), Cullen failed to conduct adequate due diligence on the transfer recommendation. A reasonable analysis would have identified the \$38,500 surrender charge on the variable annuity, the forfeiture of the GMWB rider, and the approximately \$4,200 in new mutual fund sales charges. Cullen's characterization of the transfer as 'seamless' with 'lower costs' was factually inaccurate and demonstrated insufficient understanding of the recommendation's consequences.

The customer-specific suitability obligation was also violated. Rule 2111.05 requires that recommendations be suitable based on the customer's investment profile, including financial situation, investment objectives, and risk tolerance. Thornton, at age 58 with \$485,000 representing his primary retirement savings, had a moderate risk tolerance and an objective of retirement income security--evidenced by his purchase of a GMWB rider. Recommending liquidation of a product specifically designed to provide guaranteed retirement income, while incurring substantial costs, directly contradicted his documented investment profile and objectives.

Further, Rule 2111.05(a) requires consideration of the customer's liquidity needs and time horizon. The surrender charges and lost guarantees materially impaired Thornton's retirement readiness just seven years before typical retirement age.

Cullen's \$75,000 recruitment bonus created an undisclosed conflict that influenced her recommendation, raising additional concerns under the suitability rule's requirement that recommendations serve the customer's interests. While recruitment compensation itself is not prohibited, the failure to weigh customer costs against advisor incentives demonstrates the recommendation was not made with reasonable diligence.

Cullen cannot claim reliance on customer direction, as she actively recommended the transfer without providing material information necessary for informed decision-making. The omission of surrender charges, lost benefits, and new sales loads rendered Thornton's consent uninformed. The recommendation was unsuitable and constitutes a violation of FINRA Rule 2111.

Key Factor

Cullen recommended the account transfer without analyzing or disclosing the \$38,500 surrender charge, forfeiture of the GMWB rider, and new sales charges, rendering the recommendation unsuitable for a pre-retiree whose investment objective was retirement income security.

Item 497 of 499**COMPLIANT**

Topic: suitability_transferred_positions

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111.03 (Hold Recommendations), FINRA Rule 2010 (Standards of Commercial Honor)

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holbrook, age 67, had accumulated a portfolio of mutual funds valued at approximately \$185,000 through her previous broker-dealer, Summit Financial Partners, where she had worked with her longtime adviser Thomas Denning for eight years. In March 2019, Denning left Summit to join Cornerstone Wealth Advisors, and Holbrook elected to follow him by executing an ACAT transfer of her entire portfolio to her new account at Cornerstone. The transferred positions consisted of five mutual funds: two large-cap equity funds, one balanced fund, one intermediate-term bond fund, and one target-date retirement fund. Holbrook's investor profile at Cornerstone documented her as having a moderate risk tolerance, a primary objective of capital preservation with income, and a time horizon of 10-15 years given her recent retirement from teaching.

Upon account opening at Cornerstone in April 2019, Holbrook's new registered representative, Marcus Whitfield (CRD# 4512887), conducted an initial review meeting with her. Whitfield documented that the transferred positions appeared generally consistent with her stated objectives and risk tolerance, though he noted the equity allocation was slightly higher than typical for her profile. Rather than recommending immediate changes, Whitfield suggested they monitor the positions for six months before making any rebalancing decisions, allowing Holbrook to avoid potential short-term redemption fees and tax consequences from the recent transfer.

In September 2021, following market volatility and a decline in her portfolio value to approximately \$162,000, Holbrook filed a FINRA arbitration claim against Cornerstone Wealth Advisors, naming Whitfield and alleging breach of fiduciary duty, unsuitability, and failure to supervise. Her Statement of Claim asserted compensatory damages of \$35,000, claiming the investments were unsuitable for a retired teacher seeking capital preservation. Cornerstone responded that Whitfield had no involvement in selecting the original positions, which were transferred in-kind from her prior firm, and that his recommendation to hold and monitor was appropriate under the circumstances.

Question

Did Marcus Whitfield violate his suitability obligations under FINRA Rule 2111 by allowing Margaret Holbrook to retain the transferred mutual fund positions rather than recommending immediate changes to her portfolio?

Answer

No, Whitfield did not violate his suitability obligations, and the claims should be denied in their entirety. Under FINRA Rule 2111 (Suitability), a broker-dealer must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on their investment profile. The critical threshold issue is whether Whitfield made a 'recommendation' as defined under the rule.

FINRA Rule 2111 applies specifically to recommendations made by a registered representative. When securities positions are transferred in-kind via ACAT from a prior broker-dealer, and the receiving representative did not participate in the original investment selection, no new recommendation has occurred. The positions were chosen by

Holbrook's previous adviser at Summit Financial Partners, not by Whitfield. This case closely parallels the reasoning in the underlying arbitration award, where the panel found the claim false because 'the positions held by Claimant were transferred into her account and [the representative] played no part in the selection of the investments.'

Whitfield's conduct of reviewing the positions and recommending a monitoring period before any rebalancing actually demonstrates appropriate care. FINRA Rule 2111.03 (Hold Recommendations) establishes that explicit recommendations to hold can trigger suitability obligations, but Whitfield's suggestion to monitor was reasonably grounded in avoiding unnecessary transaction costs, redemption fees, and tax consequences--factors that served Holbrook's stated preservation objective.

Furthermore, under FINRA Rule 2010 (Standards of Commercial Honor), Whitfield's documentation of the portfolio review and his articulation of rationale for the monitoring period reflect adherence to just and equitable principles of trade. The subsequent market decline does not retroactively render the approach unsuitable; suitability is evaluated at the time of recommendation based on then-available information.

The claim lacks merit because Whitfield bore no responsibility for the original investment selections and his subsequent conduct was consistent with prudent advisory practice.

Key Factor

The representative played no part in selecting the investments, which were transferred in-kind from the customer's prior broker-dealer, negating any suitability violation attributable to him.

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NON-COMPLIANT

Topic: unsuitable_leveraged_etf_recommendation_elderly_client

Difficulty: medium

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Source: 03_FINRA_AWC

Fact Pattern

Margaret Thornton, age 74, was a retired school administrator who opened an account with Westfield Capital Partners in March 2023. Her new account documentation indicated she had a conservative risk tolerance, an investment objective of capital preservation and income generation, liquid net worth of approximately \$285,000 (representing her entire retirement savings), and limited investment experience confined primarily to certificates of deposit and Treasury bonds. Her stated time horizon was three to five years, and she expressed concern about outliving her savings during retirement.

Richard Valdez, a registered representative at Westfield Capital Partners, met with Mrs. Thornton on April 12, 2023. During this meeting, Valdez recommended that she invest \$95,000--approximately one-third of her liquid net worth--into a 3x leveraged inverse S&P 500 ETF, explaining that this product would provide 'enhanced downside protection' if the market declined. Valdez briefly mentioned the product used derivatives but did not explain the daily reset feature, compounding effects, or the significant risk of loss from holding the product beyond a single trading session.

Mrs. Thornton executed the trade based on Valdez's recommendation. Over the following four months, despite the S&P 500 experiencing only modest volatility, the leveraged inverse ETF lost approximately \$37,000 in value due to the effects of daily compounding and volatility decay. When Mrs. Thornton contacted Valdez in August 2023 seeking an explanation, he suggested she hold the position longer to 'wait for the market to turn.' By November 2023, her position had declined to approximately \$41,000, representing a total loss of over \$54,000 or 57% of her initial investment. Westfield's supervisory systems had flagged the initial transaction for review given the client's age and account profile, but the reviewing principal approved the trade after a cursory review of the new account form without contacting Mrs. Thornton directly.

Question

Did Richard Valdez's recommendation that Mrs. Thornton invest \$95,000 in a 3x leveraged inverse ETF violate FINRA's suitability requirements under Rule 2111?

Answer

Yes, Richard Valdez's recommendation violated FINRA Rule 2111's suitability requirements on multiple grounds. The analysis reveals failures under all three suitability components.

Regarding reasonable-basis suitability under Rule 2111(a), a representative must understand the product's risks and features before recommending it. Leveraged inverse ETFs are complex products designed for sophisticated short-term traders, not retirement income investors. Valdez's characterization of the product as providing 'enhanced downside protection' demonstrates either a fundamental misunderstanding of the product or deliberate misrepresentation. These products reset daily and are subject to significant volatility decay, making them unsuitable for multi-month holding periods regardless of market direction.

The customer-specific suitability violation is equally clear. Rule 2111.05(a) requires consideration of the customer's investment profile, including age, financial situation, risk tolerance, time horizon, and investment objectives. Mrs. Thornton was 74 years old with a conservative risk tolerance, capital preservation objective, limited investment experience, and the \$285,000 represented her entire retirement savings. Concentrating one-third of her liquid net worth in a highly speculative leveraged derivative product directly contradicted every element of her stated investment profile.

FINRA has consistently emphasized that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for more than one trading session. Valdez's subsequent advice to continue holding the position compounded the original suitability violation.

Quantitative suitability concerns also arise from the concentration risk--placing approximately 33% of a conservative retiree's assets in a single speculative position is excessive regardless of product type.

Westfield's supervisory failure under Rule 3110 contributed to the harm. The principal's cursory approval of a flagged transaction involving a 74-year-old conservative investor purchasing leveraged derivatives represents inadequate supervision.

Valdez violated FINRA Rules 2111 and 2010 by making a recommendation fundamentally inconsistent with Mrs. Thornton's documented investment profile and needs.

Key Factor

Recommending a 3x leveraged inverse ETF designed for short-term trading to a 74-year-old conservative investor seeking capital preservation with limited investment experience and concentration of one-third of retirement assets.

Item 499 of 499**NON-COMPLIANT**

Topic: complex_product_suitability_elderly_investor

Difficulty: hard

Standard: Regulation Best Interest Care Obligation (Rule 15l-1(a)(2)(ii)); Investment Advisers Act Section 206 fiduciary duty; FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuities/complex products senior considerations)

Source: 07_Practitioner_Commentary

Fact Pattern

Margaret Thornton, age 78, became a client of Horizon Wealth Partners LLC, a dually registered broker-dealer and investment adviser, in March 2022. Ms. Thornton had recently been widowed and received a \$1.2 million life insurance payout, which represented substantially all of her liquid assets. Her new account documentation indicated a conservative risk tolerance, income-focused investment objective, a 5-year investment time horizon, and limited investment experience consisting primarily of certificates of deposit and money market accounts held jointly with her late husband. Her annual income from Social Security was \$32,000, and she expressed to her adviser, Kevin Marsden, that capital preservation was paramount because the funds needed to last for her remaining years and potentially cover long-term care expenses.

In April 2022, Marsden recommended that Ms. Thornton invest \$400,000 (one-third of her liquid net worth) in the Apex Strategic Income Fund, a non-traded business development company (BDC) that invested primarily in subordinated debt and equity of middle-market companies. The BDC offered a stated distribution yield of 9.5% but carried significant risks including illiquidity (shares were not listed on any exchange and redemptions were limited to quarterly tender offers at the board's discretion), potential principal loss, and concentration in speculative-grade credits. The fund's offering documents disclosed that investors should have a long-term investment horizon of at least 7-10 years and sufficient liquid assets outside the investment to meet ongoing needs.

Marsden documented in his notes that the high yield would provide income to supplement Ms. Thornton's Social Security and characterized the investment as 'income-producing, therefore conservative.' He did not document any analysis of Ms. Thornton's liquidity needs, the illiquid nature of the BDC relative to her stated time horizon, or the speculative credit quality of the underlying portfolio. The firm's compliance procedures required heightened suitability review for complex products sold to investors over age 70, but Marsden submitted the transaction directly without triggering the required supervisory review. By December 2023, the BDC had suspended redemptions entirely, and the net asset value had declined 35%.

Question

Did Kevin Marsden satisfy his care obligation under applicable standards when recommending the non-traded BDC investment to Ms. Thornton?

Answer

Kevin Marsden failed to satisfy his care obligation under both Regulation Best Interest and the Investment Advisers Act fiduciary standard, depending on the capacity in which he acted.

Under Regulation BI's Care Obligation (Rule 15l-1(a)(2)(ii)), a broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, have a reasonable basis to believe

the recommendation is in the customer's best interest based on their investment profile, and ensure that a series of transactions is not excessive. Ms. Thornton's investment profile--conservative risk tolerance, 5-year time horizon, income objective, limited experience, and dependence on the funds for potential long-term care--was fundamentally incompatible with a non-traded BDC requiring a 7-10 year horizon and carrying substantial illiquidity and credit risk.

Marsden's characterization of the BDC as 'conservative' because it paid dividends reflects a failure to exercise reasonable diligence in understanding the product's risk characteristics. High distribution yields often correlate with elevated risk, not conservatism. His failure to analyze liquidity needs against the illiquid structure, or to consider that Ms. Thornton lacked other substantial liquid assets, violated the requirement to consider reasonably available alternatives.

To the extent Marsden acted in an advisory capacity, the Advisers Act fiduciary duty of care required him to provide advice in the client's best interest with the care that a prudent person would exercise. Concentrating one-third of an elderly widow's assets in an illiquid, speculative product with redemption limitations directly contradicts this duty.

Further aggravating the violation, Marsden bypassed the firm's heightened supervision procedures for elderly clients and complex products, which FINRA Rule 2330 and the SEC's enhanced scrutiny expectations for seniors would have triggered. This procedural failure eliminated a critical safeguard.

No reasonable defense exists. The 9.5% yield does not justify the recommendation when the client's primary objective was capital preservation and liquidity for near-term needs. The recommendation was unsuitable and not in Ms. Thornton's best interest.

Key Factor

The adviser recommended a highly illiquid, speculative non-traded BDC to a 78-year-old conservative investor with a 5-year time horizon and dependence on the invested funds for potential care expenses, without analyzing liquidity needs or product risk characteristics.
